REPORTS OF CASES

DECIDED IN THE

COURT OF APPEALS

OF THE

STATE OF NEW YORK

OPINIONS FROM AND INCLUDING FEBRUARY 19, 2019, TO AND INCLUDING JUNE 27, 2019; MEMORANDA FROM AND INCLUDING FEBRUARY 21, 2019, TO AND INCLUDING SEPTEMBER 12, 2019

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TABLE OF CONTENTS

JUDGES OF THE COURT OF APPEALS

JANET DIFIORE, CHIEF JUDGE

JENNY RIVERA

LESLIE E. STEIN

EUGENE M. FAHEY

MICHAEL J. GARCIA

ROWAN D. WILSON

PAUL G. FEINMAN

ELIZABETH A. GARRY[1]

REINALDO E. RIVERA[2]

JOHN W. SWEENY, JR.[3]

1. Presiding Justice of the Appellate Division, Third Department, designated pursuant to NY Constitution, article VI, § 2 to serve as an Associate Judge of the Court of Appeals.

2. Justice of the Appellate Division, Second Department, designated pursuant to NY Constitution, article VI, § 2 to serve as an Associate Judge of the Court of Appeals.

3. Justice of the Appellate Division, First Department, designated pursuant to NY Constitution, article VI, § 2 to serve as an Associate Judge of the Court of Appeals.

Investiture

of

Judge Rowan D. Wilson

as an

Associate Judge

of the

Court of Appeals

of

State of New York

Court of Appeals Hall

June 1, 2017

Chief Judge Janet DiFiore.

Good morning, everyone. On behalf of my colleagues here at the Court of Appeals, welcome. My colleagues to my right, Senior Associate Judge Jenny Rivera; Associate Judges Leslie Stein, Eugene Fahey and Michael Garcia. We are delighted to have you all here today on this wonderful occasion, the investiture of Rowan D. Wilson as an Associate Judge of the New York Court of Appeals.

Please allow me to start by welcoming our guests on behalf of Judge Wilson. First and foremost, his family, his beautiful wife Grace, seated in the front, and his three very talented and beautiful daughters, Isabel, Anna, and Elinor.

And we are also delighted to have so many of Judge Wilson's extended family here, his brother, Rich Edlin, his wonderful friend and colleague for so many years. And of course, to all of his colleagues and friends who traveled to Albany on this historic occasion of his investiture.

And Judge Wilson is, of course, most pleased to be joined by so many dignitaries. Representing the Governor, Andrew Cuomo, is a wonderful friend to the Court, Alphonso David, Counsel to the Governor.

We have with us former members of the Court of Appeals, so many of them: Judge Albert Rosenblatt and his wife Julie Rosenblatt; Judge Howard Levine; Judge Carmen Beauchamp Ciparick; Judge Eugene Pigott; and Judge Robert Smith. Thank you all for being here.

Our Chief Administrative Judge of the State of New York, Lawrence Marks; our Deputy Chief Administrative Judge for Access to Justice, Edwina Mendelson; our Presiding Justices of the Appellate Division, Rolando Acosta of the First Department—and congratulations to you, Judge Acosta, on your recent elevation as Presiding Justice; Randall Eng, from the Second Department; Karen Peters of the Third Department; and Gerald Whalen of the Fourth Department.

We have the Presiding Justice of the Court of Claims, Richard Sise; the former Presiding Justice of the Appellate Division, First Department, our friend, Betty Ellerin; administrative judges from throughout the state; our appellate and trial court judges who were so kind to join us and be supportive of Judge Wilson; the Clerk of our Court, John Asiello; members of the executive branch of government, Michael Green, commissioner of DCJS; and Barbara Underwood, who's no stranger to this Court, Solicitor General.

From the legislative branch of government, Senator Jesse Hamilton. We have the Dean of Albany Law School joining us today, Alicia Ouellette. So many of our local officials and bar leaders, Claire Gutekunst, I think she's now former president of the New York State Bar, along with the current president, Sharon Stern Gerstman—welcome to you. And representatives of the Albany County Bar Association, the Trial Lawyers Association, the Women's Bar Association of the State of New York, members of the all-important Commission on Judicial Nomination, Professor Michael Hutter, Mylan Denerstein, former Counsel to the Governor, and of course Hank Greenberg, counsel to the Commission.

We also want to welcome, of course, the distinguished members of the legal community and all of the friends of Judge Wilson.

And now, the reason we're all here, Rowan Wilson.

Judge Wilson has had, by every measure, a spectacular career, enjoying enormous success at the highest level of the legal profession. And most important, Judge Wilson is a marvelous human being, a wonderful husband, a devoted father, and a loyal friend and colleague. And you will hear more about him in a moment from Counsel David.

But from our perspective here, on the Court, as recent FORs—Friends of Rowan—we have come to observe and appreciate Judge Wilson's intellect, his experience, competence, his sense of fairness, his enormous work ethic and capacity for work, his respect for the rule of law, and his deep and abiding commitment to public service.

Anyone who has spent any time working with this serious, soft-spoken man knows that he is truly superbly qualified to serve on this Court and to excel on this Court.

On behalf of my colleagues here on the Court, we could not be happier to have Judge Wilson as our newest colleague. And we are truly grateful to Governor Cuomo for making yet another spectacular appointment to this Court.

Now, ladies and gentlemen, it is my pleasure and privilege to introduce to you a friend of the Court, as I said, Counsel Alphonso David, who will speak on behalf of the Governor, in support of Judge Wilson.

Counsel?

ALPHONSO DAVID.

Thank you Chief Judge DIFIORE.

To the members of the Court, members of the legislature, esteemed guests, and the assembled family members that are here today, it is my honor to join you for the investiture of the Honorable Rowan Wilson.

I am privileged to represent our Governor here today, the Honorable Andrew M. Cuomo, who has once again, as you heard, made an outstanding choice in selecting Rowan Wilson as Associate Judge to the New York State Court of Appeals.

In this historic hall, Judge Wilson deservedly joins this venerable institution, an institution steeped in history and accomplishment, and one that is intertwined with the principles and the practices of our country.

Indeed, argument is the foundation of our democracy. The subsequent compromises and resolutions are the building blocks of our nation. Such arguments are waged in a million places, in bedrooms and living rooms and locker rooms, in classrooms and barrooms and boardrooms, in churches, in banks.

In legislative houses and courts, we wage the arguments from which our opinions and our controversies and our laws emerge.

Since 1847, there has been no room in this nation where the discussion has been more learned, more erudite, more incisive, than the august chambers of the New York State Court of Appeals. At the apex is one of this state's three branches of government—the Court does what all courts do. It applies the law and it provides a just resolution to the cases that appear before the Court.

But often, in the Court of Appeals, those resolutions affect more than the litigants that are involved in those cases. They touch the lives of all New Yorkers. They set in many cases a nationwide legal precedent.

In this room, the Judges of our Court of Appeals have made history. For 170 years, under the guidance of an exemplary group of Judges and Chief Judges—among them Benjamin Cardozo, Frederick Crane, Stanley Fuld, Charles Breitel, Judith Kaye, Jonathan Lippman, and now Janet DiFiore—they have brought considerable intellect and skills to an essential task: apply the foundational principles of law to our everyday lives and ensure justice for everyone.

All of us now, and all of us who come after us, stand on the shoulders of giants. And I would argue that the best way to honor their legacies is to ensure that our highest court remains in talented and sincere hands, that it continues to pursue justice in its truest form.

We continue the noble and storied tradition of this Court with the appointment of Judge Rowan Wilson. Judge Wilson has had an extraordinary career, by any objective standard. For more than thirty years, he has balanced a distinguished record as a commercial litigator for one of the nation's preeminent law firms, Cravath, Swaine & Moore, with work that has improved the welfare for many that are in need.

In 1992, only five years after joining his law firm—five years—he was named partner, the youngest partner in its history, and its first African American partner. An extraordinary accomplishment for any lawyer.

He litigated cases across the country and across the globe, representing large companies in complex trials, including cases involving antitrust, intellectual property, contract, securities fraud, entertainment and media, and civil rights and employment matters.

And while he managed those large cases, he never forgot the importance of giving back. As chair of Cravath's pro bono department, he helped bring the firm's world-class legal talent to underrepresented issues and to clients who previously would have been unable to afford such quality legal counsel.

As the chair of the board of trustees of the Neighborhood Defender Service of Harlem, he helped keep legal representation, and thus the due process of law, accessible to those most in need of such services.

As a member of the board of directors of Wide Horizons for Children, he has lent his time and his energy to an organization that improves the welfare of society's youngest and most innocent members.

Now, after so many important and impactful chapters in his life, his career will be devoted fully to public service and to the pursuit of justice.

I leave you with a final thought from the Governor. The Governor has often noted, with justifiable pride, the diversity of his appointments to the State's highest bench. Along with his father, Governor Mario Cuomo, he is one of two Governors to appoint the entire Court.

His selection criteria have always included that each appointee must be brilliant, and together, they must reflect the composition of our New York, our population.

And so our Court of Appeals has male and female judges, Caucasian judges and African American judges, Hispanic judges, judges from New York City, from Long Island, and from upstate. And the composition will continue to change to reflect the diversity of New York State.

With Judge Wilson, however, Governor Cuomo has broken new ground in diversity hiring. Judge Wilson, as you see, is originally from California. We keep on redefining the concept of diversity.

Judge Wilson, welcome to the Court and congratulations.

Chief Judge Janet DiFiore.

Thank you, Counsel. And I'll now call upon Judge Wilson to come to the center of the bench where I will administer the oath of office and ask his wife Grace to please come forward and hold the Bible.

Judge, raise your right hand, place your left hand on the Bible, and repeat after me.

I, Rowan D. Wilson—

Judge Rowan Wilson.

I, Rowan D. Wilson—

Chief Judge Janet DiFiore.

—do solemnly swear—

Judge Rowan Wilson.

—do solemnly swear—

Chief Judge Janet DiFiore.

—to uphold the Constitution of the United States—

Judge Rowan Wilson.

—to uphold the Constitution of the United States—

Chief Judge Janet DiFiore.

—the Constitution of the State of New York—

Judge Rowan Wilson.

—the Constitution of the State of New York—

Chief Judge Janet DiFiore.

—and to faithfully discharge my duty—

Judge Rowan Wilson.

—and to faithfully discharge my duty—

Chief Judge Janet DiFiore.

—as an Associate Judge of the New York State Court of Appeals—

Judge Rowan Wilson.

—as an Associate Judge of the New York State Court of Appeals—

Chief Judge Janet DiFiore.

—to the best of my ability—

Judge Rowan Wilson.

—to the best of my ability—

Chief Judge Janet DiFiore.

—so help me God.

Judge Rowan Wilson.

—so help me God.

Chief Judge Janet DiFiore.

Congratulations, sir.

And now, we'll hear from Judge Wilson.

Judge Rowan Wilson.

Well, this is awfully embarrassing. Thank you all for coming.

My anticipation of this ceremony brought to mind Lewis Carroll, not merely because the past four months have been something of a wonderland, but because my investiture, which is derived from the Latin word for robes, comes four months and several dozen cases and hundreds of motions after I first put on a robe.

I thought of the White Queen's observation that the King's messenger is in prison now being punished, and the trial doesn't even begin until next Wednesday, and of course the crime comes last of all.

The Queen did explain to Alice that the one great advantage of living backwards is that one's memory works both ways. I think it would be immensely useful to be able to remember things that haven't happened yet. I find the idea particularly comforting now, for the following reason.

So many people from Governor Cuomo and Alphonso David, to the State Senate, the Commission on Judicial Nomination, my colleagues on the Court, members of the bar, friends, neighbors, and my family, expect me to serve the people of New York well. It would be immensely reassuring to be able to remember the future than to have to wait for the future to become the past.

Of course, that might take the fun out of the ride.

Speaking of large numbers of people, I'm tremendously moved to see all of you here, including friends, old and new, from near and far. Thank you again for coming.

This is for me, an extremely rare and exciting event, but for a reason you would never guess. Grace and I have three daughters, Isabel, who's eighteen; Anna, who's twelve; and Elinor, who's six. They're all here. They don't have any electronic gadgets with them, they don't have any other diversions with them, and they have to listen to me talk for as long as I want, and they can't get away.

So, despite the large number of you that are here, I hope you will all forgive me, because I'm going to spend my time here talking to them.

And Elinor, because you've figured out how to use YouTube to watch people unwrap Kinder Eggs, I want you to know, this is going to be on the Court's YouTube site, so you can watch me later if you want, if you miss any part of this.

So, girls, first this is a really fancy courtroom, filled with lots of people. You know only a few of them. Every one of them has inconvenienced herself or himself to come here today. It's very important that you don't get the wrong impression from all these people being here. They are not here because I'm an important person. I am not an important person. I have an important job. Those things are very different.

Whoever you are, whatever you do, if you think of your job as important, you'll do it well. If you think of yourself as important, you will not do your job to the best of your abilities.

There was a soda commercial from about fifteen years ago that said: thirst is everything, image is nothing, obey your thirst.

So, basically, I've tried to live by the words of a soda commercial. Inspiration comes from odd places.

Second, what's so great about this job anyway? All right, well, the guy in the red robes there in the portrait, that's John Jay. He was the first Chief Judge of the highest court of the State of New York. He was instrumental in getting the United States Constitution adopted. He was the first Chief Justice of the United States Supreme Court. He was the Governor of New York for six years. And he was the chief negotiator of the treaty that bears his name that allowed the United States to survive when it was just hatched.

The man in the portrait on the far wall there, not at the very end, but the next, is Judge Benjamin Cardozo, of this Court, and also later of the United States Supreme Court and the Chief Judge of this Court for several years. He was widely thought of as the greatest common-law judge in this country's history.

When the United States Supreme Court was making it harder for Congress and the President to pass laws to protect individuals, the New York Court of Appeals, led by Judge Cardozo, was doing the opposite, by chipping away at antiquated rules that we inherited from England.

Other state courts and even the United States Supreme Court eventually followed the lead of the Cardozo Court.

New York had a constitution and laws before the United States existed, and the job of this Court, the legislature, and the Governor is to improve the lives of New Yorkers, which is especially important, whenever the federal government isn't doing such a great job.

But what's wonderful about this job is not what happened in the past, what the White Queen referred to as backwards memory, it's the forwards memory that will make a difference. In the words of a much more recent author, history is happening in New York.

Third, you girls have wondered out loud why I would leave a great job with great people and great work for a different job.

Good question. After four months on the Court, I can tell you that I still have a great job, with great people, and great work.

You probably remember that when you were all here in February, the Chief Judge sat through my Senate confirmation hearings with you and then sat with us in the Senate gallery. Since then, each time she calls me, whatever she's calling about, she always ends the call asking: am I doing okay; she's asking me if I'm okay and if there's anything she can do to help me.

Judge Rivera is my go-to person for information—inside information about just about anything. Judge Stein very carefully edits my writing and offers helpful suggestions in the most polite and tactful way imaginable, which is hard for Isabel to imagine, because she thinks of me as a great writer. But there is always plenty of room for improvement.

Judge Fahey quickly realized that I'd become a nonfunctional and pretty miserable person without espresso, and he's become my caffeine pusher. Judge Garcia brings a huge dose of humor to our meetings, which is essential to our cohesion. And he went to what I think is sort of an extreme of planning a fake news story that he was on the short list for FBI director, just so we would all call him and beg him not to go. And it worked.

I can tell you from my four months on the Court that all the other Judges are wonderful people, great to work with, and fun to be around. But it's not just the Judges who are great. It's the whole Court staff.

For a very long time, I thought of my law firm, Cravath, as not a job, but really a second home with a family in it. And this Court has the same feeling.

Anna, don't take that the wrong way; I'm using home and family figuratively, not literally.

But that's only part of the answer to why switch jobs. The bigger part of the answer is that forcing a change is a way to grow and revitalize yourself and those around you. Change, even the best change, is hard. It's much easier to stay in comfortable surroundings than to venture off into the unknown. But if you pick the new situations well, you and those around you will be better off.

The three of you have a lot of changes ahead of you. New schools for all three of you in the fall, a new home, new friends to come. What I hope you can see from looking around at all the people in this courtroom, is that change doesn't mean losing people who are important to you.

My college roommates Tom and Jim, who've been among my closest friends in the world since we were all younger than Isabel is now, are here, along with many of my longtime friends and partners from Cravath, including my two Cravath secretaries, Sharon and Janice. The first real friend I made in New York, Rich Edlin, is sitting up in the front here. My brother came from California.

But the courtroom is also full of new friends, and even, using my forward memory, some friends to be. Change isn't loss, it's the opportunity to gain.

Finally, your mom and I have told you over and over how important it is to say please and thank you. The three of you believe that I never admit to making mistakes, and one of you still believes that I don't make mistakes.

I have to admit that all the times I interviewed with the Commission on Judicial Nomination, the various bar associations, who rated me, I didn't say please.

When I met with Alphonso, I didn't say please. When I met with Governor Cuomo, I forgot to say please. So here's another important rule. If you forget to say please, you'd better say a super big thank you.

So to the members of the Commission on Judicial Nomination, who are hard at work right now, and the members of the bar association screening committees, who are about to be hard at work, both of whom had to endure interviewing me over and over again, I deeply appreciate the time you took out of your busy lives to perform an important public service, and for your votes of confidence.

To Mylan Denerstein, the Governor's former Counsel, who interviewed me on behalf of the Governor the first time my name was up, and who asked in the course of that interview whether I would apply a second time if I wasn't selected then, thank you for that hint and for the encouragement.

To the New York State Senators who met with me, questioned me, and spoke about me on the Senate floor, I both thank you and applaud you for demonstrating how the process of advice and consent to nomination should be handled, not just in my case, but in general.

To Alphonso, thanks for being the only tough interviewer out of everyone who questioned me, for your overly effusive words today, and for being a friend.

And my thanks, profuse and unending, to Governor Cuomo for using the hour or so he spent interviewing me giving me a personal tour of the art of the Capitol about which he was incredibly knowledgeable; for telling me stories about Governors past, and for giving me the chance of a lifetime to serve the people of New York.

Now, I haven't forgotten, there's one person in the world who is responsible for everything that matters to me and who, herself, is what matters to me most. Grace.

We first met on May 29th, thirty years ago, and our twenty-fifth anniversary was a week ago today. Every moment has been a wonderland to me.

I didn't have to say please when I first mentioned this job to her and even the super biggest thank you wouldn't be right. Grace, I love you.

One last thing, Isabel, Anna, and Elinor. When your parents say it's time to eat, we mean it. And now, it's time to eat.

Chief Judge Janet DiFiore.

Indeed, it is time to eat. And on behalf of Judge Wilson and his family, they invite you to join them across the street at a reception at the New York State Bar Association. Thank you all for being here.

TABLE OF CASES REPORTED

[To cite a case, use the case name that appears in bold face].
[Numeric titles sort separately
at the top of the table.]

C

D

E

I

J

M

N

O

Q

R

S

T

U

V

W

X

Y

Z

TABLE OF CASES AFFECTED

(Listing Cases Overruled, Disapproved or
Otherwise Limited by Cases Reported in This Volume.)

155 AD3d 814 [2d Dept 2017] (*Amrusi v Nwaukoni*)

The Court in *Amrusi v Nwaukoni* (155 AD3d 814 [2d Dept 2017]) impliedly permitted an action to recover on missed interest payments accruing after a claim on principal was time barred. To the extent that the Court's decision has previously been read as endorsing that view, it should no longer be followed.—***Ajdler v Province of Mendoza***, 33 NY3d 120

149 AD3d 772, 773 [2d Dept 2017], *lv denied* 29 NY3d 1077 [2017] (*People v Chestnut*)

Under *People v Gonzalez* (68 NY2d 424 [1986]), the proponent of a missing witness charge initially must demonstrate that there is an uncalled witness believed to be knowledgeable about a material issue pending in the case, that the witness can be expected to testify favorably to the opposing party, and that the opposing party has failed to call the witness. The party opposing the charge can defeat an initial prima facie showing by accounting for the witness's absence or demonstrating that the charge would not be appropriate, a burden that can be met by demonstrating, among other things, that the witness's testimony would be cumulative. If the party opposing the charge meets its burden by rebutting the prima facie showing, the proponent retains the ultimate burden to show that the charge would be appropriate. Appellate Division decisions placing the burden of demonstrating the lack of cumulativeness on the charge's proponent have misapplied that established precedent. The Court of Appeals reaffirms again the long-standing rule established in *Gonzalez*, and rejects any decisions placing the initial cumulativeness burden on the proponent of a missing witness charge (*see e.g. People v Chestnut*, 149 AD3d 772, 773 [2d Dept 2017], *lv denied* 29 NY3d 1077 [2017]; *People v McBride*, 272 AD2d 200, 200 [1st Dept 2000], *lv denied* 95 NY2d 868 [2000]; *People v Townsley*, 240 AD2d 955, 958 [3d Dept 1997], *lv denied* 90 NY2d 943 [1997], *denied upon reconsideration* 90 NY2d 1014 [1997]).—***People v Smith***, 33 NY3d 454

272 AD2d 200, 200 [1st Dept 2000], *lv denied* 95 NY2d 868 [2000] (*People v McBride*)

Under *People v Gonzalez* (68 NY2d 424 [1986]), the proponent of a missing witness charge initially must demonstrate that there is an uncalled witness believed to be knowledgeable about a material issue pending in the case, that the witness can be expected to testify favorably to the opposing party, and that the opposing party has failed to call the witness. The party opposing the charge can defeat an initial prima facie showing by accounting for the witness's absence or demonstrating that the charge would not be appropriate, a burden that can be met by demonstrating, among other things, that the witness's testimony would be cumulative. If the party opposing the charge meets its burden by rebutting the prima facie showing, the proponent retains the ultimate burden to show that the charge would be appropriate. Appellate Division decisions placing the burden of demonstrating the lack of cumulativeness on the charge's proponent have misapplied that established precedent. The Court of Appeals reaffirms again the long-standing rule established in *Gonzalez*, and rejects any decisions placing the initial cumulativeness burden on the proponent of a missing witness charge (*see e.g. People v Chestnut*, 149 AD3d 772, 773 [2d Dept 2017], *lv denied* 29 NY3d 1077 [2017]; *People v McBride*, 272 AD2d 200, 200 [1st Dept 2000], *lv denied* 95 NY2d 868 [2000]; *People v Townsley*, 240 AD2d 955, 958 [3d Dept 1997], *lv denied* 90 NY2d 943 [1997], *denied upon reconsideration* 90 NY2d 1014 [1997]).—***People v Smith***, 33 NY3d 454

240 AD2d 955, 958 [3d Dept 1997], *lv denied* 90 NY2d 943 [1997], *denied upon reconsideration* 90 NY2d 1014 [1997] (*People v Townsley*)

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CASES DECIDED

IN THE

COURT OF APPEALS

OF THE

STATE OF NEW YORK

[121 NE3d 270, 97 NYS3d 642]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v MICHAEL THOMAS, Respondent.

Argued January 9, 2019; decided February 19, 2019

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered August 23, 2017. The Appellate Division affirmed an order of the Supreme Court, Kings County (Guy J. Mangano, Jr., J.), which had (1) granted defendant's motion pursuant to CPL 440.20 to set aside a sentence of that court (John J. DeLury, J.), imposed upon his conviction of robbery in the third degree; (2) vacated the sentence; and (3) directed that resentencing be scheduled.

People v Thomas, 153 AD3d 860, reversed.

HEADNOTE

Crimes — Sentence — Second Felony Offender — Predicate Conviction — Controlling Sentencing Date

In determining a defendant's predicate felony status, the date on which sentence was first imposed upon a prior conviction—not the date of any subsequent resentencings on that same conviction—is the relevant date for purposes of determining when "[s]entence upon such prior conviction [was] imposed" (Penal Law § 70.06 [1] [b] [ii]). A prior conviction will not constitute a predicate felony unless it satisfies the "sequentiality requirement"—namely, that the "[s]entence upon such prior conviction must have been imposed before commission of the present felony" (Penal Law § 70.06 [1] [b] [ii]). Relatedly, the sentence also must have been imposed not more than 10 years before commission of the present felony (Penal Law § 70.06 [1] [b] [iv]). A resentence on a prior conviction imposed after the commission of a subsequent crime does not disrupt sequentiality such that the sentence upon such prior conviction can no longer be considered to have been imposed prior to commission of the present felony. The statutory text of Penal Law § 70.06, itself, establishes that the term "sentence" is not synonymous with the term "resentence." Specifically, for purposes of the sequentiality requirement and 10-year look-back period, the definition of a "sentence" is set forth in section 70.06 (1) (b) (iii), and it does not include any reference to a "resentence." The express language of the predicate felony statutes, not the plenary or clerical nature of the resentencing, determines the date that sentence upon the prior conviction was imposed. Moreover, the legislature has determined that merely hearing a sentence imposed should deter further unlawful conduct. Accordingly, defendant's motion to set aside his sentence as a second felony offender on the ground that his prior convictions were no longer predicate felonies because he was resentenced on both after the commission of the present felony was denied.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Habitual Criminals and Subsequent Offenders § 20.

CARMODY-WAIT 2d Sentencing Procedures §§ 203:105, 203:108.

LAFAVE, ET AL., CRIMINAL PROCEDURE (4th ed) § 26.6.

MCKINNEY'S, Penal Law § 70.06 (1) (b) (ii), (iii).

NY JUR 2d Criminal Law: Procedure §§ 3312, 3327, 3331.

ANNOTATION REFERENCE

See ALR Index under Habitual Criminals and Subsequent Offenders.

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Path: Home > Cases > New York State & Federal Cases > New York Official Reports

Query: "predicate felony" /s date /3 sentencing /p resentenced

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POINTS OF COUNSEL

Eric Gonzalez, District Attorney, Brooklyn (*Jean M. Joyce* and *Leonard Joblove* of counsel), for appellant. Defendant's motion to set aside his sentence should have been denied, because the resentencing on his predicate felony convictions did not change his status as a second felony offender. (*People v Tychanski*, 78 NY2d 909; *Matter of Theroux v Reilly*, 1 NY3d

232; *People v Thompson*, 26 NY3d 678; *People v Boyer*, 22 NY3d 15; *People v Cagle*, 7 NY3d 647; *People v Acevedo*, 17 NY3d 297; *People v Sparber*, 10 NY3d 457; *People v Morse*, 62 NY2d 205; *People v Samms*, 95 NY2d 52; *People v Walker*, 81 NY2d 661.)

Paul Skip Laisure, *Appellate Advocates*, New York City (*Melissa S. Horlick* of counsel), for respondent. The Appellate Division correctly held, based on the plain meaning of the second felony offender statute and this Court's settled law, that respondent Michael Thomas's prior convictions failed to qualify as predicate felonies because his original prison sentences on them were illegal, and legal sentences were not imposed until after his commission of the instant crime. (*People v Bell*, 73 NY2d 153; *People v Boyer*, 22 NY3d 15; *People v Lingle*, 16 NY3d 621; *People v Sparber*, 10 NY3d 457; *People v Jamison*, 138 AD3d 1020; *People v Esquiled*, 121 AD3d 807; *People v Wright*, 270 AD2d 213; *People v Robles*, 251 AD2d 20; *People v Samms*, 95 NY2d 52; *People v Golo*, 26 NY3d 358.)

OPINION OF THE COURT

STEIN, J.

The issue on this appeal is whether a resentence on a prior conviction—imposed after the original sentence is vacated as illegal—resets the date of sentencing for purposes of determining a defendant's predicate felony status. We hold that the date on which sentence was first imposed upon a prior conviction—not the date of any subsequent resentencings on that same conviction—is the relevant date for purposes of determining when "[s]entence upon such prior conviction [was] imposed" (Penal Law § 70.06 [1] [b] [ii]).

I.

In 1989, defendant was convicted, upon his guilty plea, of attempted robbery in the second degree and, based upon two 1988 youthful offender adjudications, was erroneously sentenced as a second felony offender to $2\frac{1}{2}$ to 5 years in prison (*see* CPL 720.35 [1]; *People v Kuey*, 83 NY2d 278, 283 [1994]). Later that year, defendant was convicted in another county, also upon a plea of guilty, of attempted robbery in the first degree, and was, again, erroneously sentenced as a second felony offender, because of the same youthful offender adjudications, to $3\frac{1}{2}$ to 7 years in prison. In 1993, a jury convicted defendant of robbery in the third degree, for which he was sentenced as a second felony offender to $3^1/_2$ to 7 years in prison based upon, as relevant here, his two prior 1989 convictions.[1]

In 2008 and 2011, respectively, long after he served all of the aforementioned sentences,[2] defendant moved to set aside his sentences on each of the 1989 convictions, arguing that his status as a second felony offender in both cases was improperly premised on the use of his 1988 youthful offender adjudications, which cannot be used as convictions for enhanced sentencing purposes. The motions to vacate the original sentences imposed on the 1989 convictions were granted, and the courts resentenced defendant accordingly. In both instances, the court reimposed the original indeterminate maximum prison sentences, and modified the minimum sentences by reducing them from one half to one third of the statutory maximums (*see* Penal Law § 70.06 [4] [b]).

Defendant then moved to set aside the sentence on his 1993 conviction, and requested that he be resentenced on that conviction as a first-time offender, arguing that his 1989 convictions were no longer predicate felonies within the meaning of Penal Law § 70.06 (1) (b) (ii)—governing second felony offender status—because he was resentenced on both after the commission of the offense underlying the 1993 conviction. Supreme Court initially denied defendant's motion, concluding that the original date of sentencing controlled for predicate felony purposes. However, on defendant's second motion to set aside the sentence on his 1993 conviction, following the decision of the Appellate Division in *People v Esquiled* (121 AD3d 807 [2d Dept 2014], *lv denied* 25 NY3d 1201 [2015]), Supreme Court agreed that *Esquiled* required defendant to be resentenced as a first-time offender. The People appealed, and the Appellate Division affirmed (153 AD3d 860 [2d Dept 2017]). That Court explained that, under *Esquiled*, "for purposes of determining whether a prior conviction is a predicate felony conviction, the sentence upon such prior conviction must have been imposed before commission of the present felony" (153 AD3d at 861

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1. To the extent that the 1993 sentencing court also characterized defendant's 1988 youthful offender adjudications as predicate felony convictions, the People have conceded that the use of the youthful offender adjudications was error.

2. Defendant remained in prison serving a sentence of 25 years to life imposed on a subsequent conviction for robbery in the first degree and attempted robbery in the first degree, on which he was sentenced as a persistent violent felon.

[internal quotation marks and citations omitted]). A Judge of this Court granted the People leave to appeal (30 NY3d 1064 [2017]), and we now reverse.

II.

Penal Law § 70.06 requires a sentencing court to impose an enhanced sentence where the defendant is a "second felony offender"—a person "who stands convicted of a felony . . . , other than a class A-I felony, after having previously been subjected to one or more predicate felony convictions" (Penal Law § 70.06 [1] [a]). As relevant here, a prior conviction will not constitute a predicate felony unless it satisfies the "sequentiality requirement"—namely, that the "*[s]entence* upon such prior conviction must have been imposed before commission of the present felony" (Penal Law § 70.06 [1] [b] [ii] [emphasis added]). Relatedly, the "sentence [also] must have been imposed not more than [10] years before commission of the felony of which the defendant presently stands convicted" (Penal Law § 70.06 [1] [b] [iv]).[3] The question presented on this appeal is whether the term "sentence" in these provisions means "resentence" where the original sentence was vacated because defendant was illegally sentenced as a predicate offender, yet the underlying conviction remains undisturbed. In other words, we must decide whether, as urged by defendant, a resentence on a prior conviction imposed *after* the commission of a subsequent crime disrupts sequentiality such that the "[s]entence upon such prior conviction" can no longer be considered to have been imposed prior to commission of the present felony (Penal Law § 70.06 [1] [b] [ii]). We reject this strained interpretation of the predicate felony statutes, because it defies the express language, and would defeat the purpose, of those statutes.

In answering any "question of statutory interpretation, our primary consideration is to ascertain and give effect to the intention of the Legislature" (*Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653, 660 [2006] [internal quotation marks and citation omitted]; *see People v Andujar*, 30 NY3d 160, 166 [2017]). Because "the clearest indicator of legislative intent is the statutory text, the starting point in any case of interpretation must always be the language itself, giving effect to the

3. This 10-year look-back period is tolled for "any period of time during which the person was incarcerated for any reason between the time of commission of the previous felony and the time of commission of the present felony" (Penal Law § 70.06 [1] [b] [v]).

plain meaning thereof" (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998]; *see People v Roberts*, 31 NY3d 406, 418 [2018]). We also must consider "the spirit and purpose of the act and the objects to be accomplished" (*People v Silburn*, 31 NY3d 144, 155 [2018]). Critically, "a statute . . . must be construed as a whole and . . . its various sections must be considered together and with reference to each other" (*Matter of Avella v City of New York*, 29 NY3d 425, 434 [2017] [internal quotation marks and citation omitted]).

As this Court has previously observed (*People v Thompson*, 26 NY3d 678, 687 [2016]), the statutory text of Penal Law § 70.06, itself, establishes that the term "sentence" is not synonymous with the term "resentence." Specifically, for purposes of the sequentiality requirement and 10-year look-back period, section 70.06 defines "sentence" as a "[s]uspended sentence, suspended execution of sentence, a sentence of probation, a sentence of conditional discharge or of unconditional discharge, and a sentence of certification to the care and custody of the division of substance abuse services" (Penal Law § 70.06 [1] [b] [iii]).[4] Conspicuously absent from this definition is any reference to a "resentence." In *Thompson*, we explained that the use of the word "sentence," and not the word "resentence," is particularly significant because—"unlike a 'sentence of probation'—a 'resentence' is not defined as a 'sentence' under [the predicate felony statutes]" (26 NY3d at 687). The dissent posits that the resentence in *Thompson* was different from the resentence at issue here because *Thompson* involved a revocation of probation, which "does not equate to annulling a sentence" (dissenting op at 16 [emphasis omitted]). The predicate felony statutes, however, make no such distinction between types of resentences.

The omission of any reference to a resentence in the predicate felony statutes is not "gratuitous," as defendant asserts. For example, CPL 450.30 (3) similarly distinguishes between a resentence and a sentence for purposes of taking an appeal, providing that

> "[a]n appeal from a sentence . . . means an appeal from either the sentence originally imposed or from

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4. This same definitional provision—together with the sequentiality requirement and 10-year look-back period—is repeated in the second violent felony offender statute (*see* Penal Law § 70.04 [1] [b]) and also controls other predicate felony statutes (*see* Penal Law §§ 70.07 [3]; 70.08 [1] [b]).

> a resentence following an order vacating the original sentence. For purposes of appeal, the judgment consists of the conviction and the original sentence only, and when a resentence occurs more than [30] days after the original sentence, a defendant who has not previously filed a notice of appeal from the judgment may not appeal from the judgment, but only from the resentence."

Inasmuch as the legislature expressly distinguished a "sentence" from a "resentence" in the Criminal Procedural Law, a related statute, there is no reason to conclude that those terms are always interchangeable in the Penal Law (*see People v Duggins*, 3 NY3d 522, 528 [2004] [applying a CPL definition to a Penal Law provision using the same phrase because, "(w)here the same word or group of words is used in . . . different statutes, if the acts are similar in intent and character the same meaning may be attached to them" (internal quotation marks and citation omitted)]). Indeed, had the legislature intended a "resentence" to be synonymous with a "sentence" for predicate felony purposes,[5] it was aware—as demonstrated by the text of CPL 450.30 (3)—how to make this directive explicit (*see* McKinney's Cons Laws of NY, Book 1, Statutes § 74; *El-Dehdan v El-Dehdan*, 26 NY3d 19, 34 [2015]). Nevertheless, the legislature did not do so, despite its inclusion of provisions in the predicate felony statutes defining the term "sentence" for purposes of determining whether prior offenses are predicate felonies. Thus, the dissent's assumption that "sentence" obviously means "currently-existing, legal sentence" (dissenting op at 13 [emphasis omitted]), whether or not a defendant has been resentenced, is simply unfounded.

Defendant argues, and the dissent agrees, that *People v Bell* (73 NY2d 153 [1989]) requires that there be only one controlling sentence for purposes of determining whether a crime constitutes a predicate felony, and that the proper sentence is the one imposed as part of the "final judgment" (*id.* at 165). The CPL, however, directs that the sentence imposed as part of the final judgment is the *original* sentence imposed on the conviction, not a resentence (*see* CPL 1.20 [15] ["(a) judgment is comprised of a conviction and the sentence imposed thereon and is completed by imposition and entry of the sentence"]; CPL 450.30 [3] ["the judgment consists of the conviction and

5. We do not opine on the legislature's use of the words "sentence" and "resentence" in any other context.

the *original* sentence only" (emphasis added)]). In any event, *Bell* is inapposite. That case stands for the unassailable rule that a *conviction* that is subsequently vacated on direct appeal no longer exists and, therefore, can have no utility for determining whether a prior offense falls within the 10-year look-back period of the predicate felony statutes (*see Bell*, 73 NY2d at 165; *see* Penal Law § 70.06 [1] [a] ["(a) second felony offender is a person . . . who" firstly, "stands convicted of a felony"]). There is no dispute in this case that defendant's 1989 convictions are lawful and were never disturbed. Therefore, *Bell* does not apply here.

Instead, we conclude that the circumstances presented in this case are more analogous to those in *People v Boyer* (22 NY3d 15 [2013]). Defendant attempts to distinguish *Boyer* on the ground that it involved a resentencing to correct a trial court's failure to pronounce the postrelease supervision (PRS) component of a determinate sentence under *People v Sparber* (10 NY3d 457 [2008]). *Boyer* held that a *Sparber* resentencing does not "reset[ ] the date of sentence for a felony conviction such that it may no longer serve as a predicate felony conviction in relation to a subsequently committed crime" (22 NY3d at 25). In rejecting the defendant's claim that a "*Sparber* resentencing necessarily vacates the defendant's entire original unlawful sentence and replaces it with a completely new lawful sentence, thus resetting the date of all components of the defendant's sentence," we determined that "the controlling date of sentence for a defendant's prior conviction is the original date on which the defendant received a lawful prison term pursuant to a valid conviction for that prior crime" (*Boyer*, 22 NY3d at 23-24). As noted by defendant and the dissent, in reaching this conclusion, we suggested that *Sparber* resentencings were unlike other resentencings because "correct[ing] the flawed imposition of PRS does not vacate the original sentence and replace it with an entirely new sentence, but instead merely corrects a clerical error and leaves the original sentence, along with the date of that sentence, undisturbed" (*Boyer*, 22 NY3d at 24; *see People v Lingle*, 16 NY3d 621, 634-635 [2011]). However, we also made clear in *Boyer* that "we [were] not opin[ing] on the relationship between the recidivist sentencing statutes and any other form of resentencing" (*Boyer*, 22 NY3d at 26 n 3). The present appeal presents us with our first opportunity to address this relationship, and we conclude that the essential holding in *Boyer*—that the original sentence determines the sequentiality of the prior offense where there is a subsequent *Sparber* resentencing—also applies where the resentencing is to correct a sentence that is illegal because the defendant was improperly adjudicated a predicate felony offender.

Defendant argues, and the dissent agrees, that a "plenary" resentencing, such as the one that occurred here, is distinguishable from a *Sparber* resentencing because the latter merely adds a required PRS term to an otherwise legal sentence, while a plenary resentencing involves vacatur of an *illegal* sentence. As we have recently explained, however, a *Sparber* resentencing does, in fact, correct an "illegal" sentence (*People v Estremera*, 30 NY3d 268, 271 [2017]). Thus, if the sequentiality requirement turned on the date of the "currently-existing, legal sentence"—as the dissent posits—the date of a *Sparber* resentencing, not the original sentence date, would have controlled in *Boyer* because the original sentence was illegal.[6] We rejected this rule in *Boyer* and now clarify that the express language of the predicate felony statutes, not the plenary or clerical nature of the resentencing, determines the date that "[s]entence upon [the] prior conviction [was] imposed" (Penal Law § 70.06 [1] [b] [ii]). The statute provides no basis to distinguish between a sentence that is illegal because the defendant was improperly adjudicated a predicate felon and one that is illegal because PRS was not pronounced at sentencing, and we decline defendant's invitation to fashion such a distinction here. Rather, where "[s]entence upon such prior conviction [was] imposed before commission of the present felony" (Penal Law § 70.06 [1] [b] [ii]), the sequentiality requirement is satisfied, even if, at some undetermined time in the future, the original sentence is vacated as illegal, resulting in a resentence.

Not only does this rule avoid rewriting the predicate felony statutes to insert the phrase "resentence"—or, as the dissent would have it, "currently-existing, legal sentence,"—in place of "sentence" in order to conjure what our dissenting colleagues consider to be a more fair result (*see Matter of Chemical Specialties Mfrs. Assn. v Jorling*, 85 NY2d 382, 394 [1995]

6. The dissent would, in effect, have us either overrule *Boyer* or repudiate our statement in *Estremera* that a *Sparber* resentencing allows the trial court to reimpose sentence even if the "terms are identical to the illegal sentence originally imposed" (*Estremera*, 30 NY3d at 271). We decline to do either inasmuch as *Boyer* and *Estremera* are both entirely consistent with the plain language of the predicate felony statute.

["(n)ew language cannot be imported into a statute to give it a meaning not otherwise found therein" (internal quotation marks and citation omitted)]; *see also* McKinney's Cons Laws of NY, Book 1, Statutes § 73 ["(t)he courts in construing statutes should avoid judicial legislation; they do not sit in review of the discretion of the Legislature or determine the expediency, wisdom, or propriety of its action on matters within its powers"]), it also effectuates the long-recognized purpose of those statutes (*see Silburn*, 31 NY3d at 155). By enacting harsher punishments for recidivists, the legislature intended to penalize qualifying defendants for their "refusal to reform after sentence on a prior crime had been imposed" (*People v Morse*, 62 NY2d 205, 222 [1984], *appeal dismissed* 469 US 1186 [1985]). Put differently, the goal was "to deter recidivism by enhancing the punishments of those who, having been convicted of felonies, violate the norms of civil society and commit felonies again" (*People v Walker*, 81 NY2d 661, 665 [1993]; *see People v Cagle*, 7 NY3d 647, 651 [2006]). As we explained in the *Sparber* context:

> "[A] defendant who was sentenced for a prior conviction and then commits a new crime plainly deserves enhanced punishment for the new crime because the defendant remains unchastened after the court's *pronouncement* of the sentence for the prior conviction, and the defendant's heightened culpability cannot be mitigated in any way by a subsequent *Sparber* resentencing" (*Boyer*, 22 NY3d at 26 [emphasis added]).

Precisely the same rationale applies regardless of the reason the original sentence was later held to be illegal, because the legislature has determined that merely hearing a sentence imposed should deter further unlawful conduct (*see Morse*, 62 NY2d at 222). By following the legislative directive that the governing date under the sequentiality requirement is when "[s]entence upon such prior conviction [was] imposed" (Penal Law § 70.06 [1] [b] [ii]), we give the prior illegal sentence only as much "operative legal effect" (dissenting op at 13) as the Penal Law allows, and effectuate the purpose of the multiple offender statutes—namely, to hold defendants accountable for failing to comport with the norms of civil society even after being subjected to the "chastening effect of sentence on [a] prior conviction" (*Morse*, 62 NY2d at 219).[7] Moreover, the rule we espouse today "promotes clarity and fairness" and "does not favor one party over the other" (*Boyer*, 22 NY3d at 26). Just as defendants are barred from using the date of a subsequent resentencing to interrupt the sequence of their criminal history and avoid an enhanced sentence, so too will the People be precluded from using a resentence to extend artificially the 10-year look-back period to crimes that would otherwise fall outside that period. Indeed, applying the resentence date instead of the original sentence date could, in some cases, defeat the ameliorative purpose of the look-back period, which requires only that "prior felons . . . demonstrate their ability to live within the norms of civil society for 10 years" (*Cagle*, 7 NY3d at 651).[8] Such a rule would also render a defendant's predicate felony status arbitrary, since it would depend entirely upon when a successful challenge to the sentence on the underlying conviction was made. In fact, defendant here already served the sentences that were subsequently determined to be illegal. Thus, in moving to set aside his original 1989 sentences, "defendant[ ] manifestly had no expectation that [he] would obtain relief from those originally imposed, fully discharged sentences" (*People v Acevedo*, 17 NY3d 297, 303 [2011] [internal quotation marks omitted]). Rather, it is "transparent" from the timing of defendant's CPL 440.20 motion that his "purpose was, by means of vacatur and resentence, to render [the] prior convictions useless as predicates to enhance punishment for the crimes . . . subsequently committed" (*id.*).

7. We cannot agree with the dissent that, upon resentence, the original sentence was wholly without legal effect. After vacating the original sentences on the 1989 convictions, defendant was resentenced, nunc pro tunc, and duly credited for the time served beginning from the date of his *original sentences* (*see* Penal Law § 70.30 [5] ["(w)hen a sentence of imprisonment that has been imposed on a person is vacated and a new sentence is imposed on such person for the same offense, or for an offense based upon the same act, the new sentence shall be calculated as if it had commenced at the time the vacated sentence commenced, and all time credited against the vacated sentence shall be credited against the new sentence"]).

8. The dissent's theory that, "if the resentencing date controls, the People will have an additional incentive to move promptly to correct the illegal sentence" (dissenting op at 18-19 n 2) fails to acknowledge that the People must move to set aside a sentence "upon the ground that it was invalid as a matter of law" within "one year after the entry of a judgment" (CPL 440.40 [1]; *cf.* Correction Law § 601-d). However, a defendant has no similar time restriction. Consequently, if defendant's position on appeal were accepted, a defendant could conceivably manipulate the availability of a predicate felony conviction by strategic timing of a motion to resentence.

As we previously have stated, "[r]esentence is not a device appropriately employed simply to alter a sentencing date and thereby affect the utility of a conviction as a predicate for the imposition of enhanced punishment" (*id.*).[9]

III.

In sum, defendant's proffered interpretation of Penal Law § 70.06 is not supported by the plain language of that provision, its well-established legislative purpose, or our precedent. Therefore, because the original sentences on defendant's 1989 convictions were imposed before commission of the present felony, the sequentiality requirement of the predicate felony statute was satisfied, and defendant was properly sentenced as a second felony offender.

Accordingly, the order of the Appellate Division should be reversed, and defendant's motion to set aside the sentence denied.

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9. The dissent reasonably concedes that the legislature may have "intended to keep prior crimes in their original sequence even where a resentencing has occurred and the original sentence has been vacated," but concludes that the legislative history on this issue is "sparse," the sequentiality requirement has never been amended despite other amendments to the statute, and the Appellate Division Departments have universally determined that the resentencing date applies (dissenting op at 13, 17-18). Then—in an apparent attempt to support its conclusion that the legislature intended the resentencing date to govern sequentiality—the dissent cites the legislature's failure to enact the Advisory Committee on Criminal Law and Procedure's proposed amendment to the predicate felony statutes that would more clearly state that the original sentence date applies in cases such as this. Legislative inaction, however, "is a weak reed upon which to lean in determining legislative intent" (*Flanagan v Mount Eden Gen. Hosp.*, 24 NY2d 427, 433 [1969] [internal quotation marks and citation omitted]; *see People v Ocasio*, 28 NY3d 178, 183 n 2 [2016] ["(legislative) inaction is susceptible to varying interpretations"]). It is equally likely that the legislature has failed to enact the proposed amendment because it recognized, as we hold today, that the predicate felony statutes already unambiguously require sentencing courts to look to the date of the original sentence. Moreover, the Advisory Committee recommendation itself recognizes, by citation to *Morse*, that the intent of the predicate felony statute is well-settled—that is, "to impose more severe punishment on persons who continue to commit serious crimes relatively soon after having been subjected to punishment for other serious criminal conduct" because of "a defendant's disregard for the 'chastening effect of sentence on the prior conviction' " (*see* Report of the Advisory Committee on Criminal Law and Procedure to the Chief Administrative Judge of the Courts of the State of New York at 21 [Jan. 2013], available at https://www.nycourts.gov/LegacyPDFS/IP/judiciaryslegislative/pdfs/2013-CriminalLaw&Procedure-ADV-Report.pdf [accessed Jan. 24, 2019], cached at http://www.nycourts.gov/reporter/webdocs/2013AdvRepCrimLaw.pdf, quoting *People v Morse*, 62 NY2d at 219).

FAHEY, J. (dissenting). It has been a fundamental principle of our jurisprudence that an illegal sentence cannot stand, so much so that we do not require the preservation of a challenge to such a sentence (*see People v Nieves*, 2 NY3d 310, 315 [2004]; *People v Samms*, 95 NY2d 52, 56 [2000]). Here the Court is required to look to the first legal sentence, not the original sentence. Legality should prevail over chronology.

The majority's interpretation of Penal Law § 70.06 cannot be reconciled with several undisputed facts. The sentences imposed upon defendant in 1989 were illegal. For that reason, upon defendant's motion, those sentences were vacated in their entirety, and new, legal terms of imprisonment were imposed. The original 1989 sentences therefore ceased to exist. The only "sentences" that currently exist on those 1989 convictions were imposed in 2009 and 2012. Thus, "sentences" on defendant's 1989 convictions were not "imposed" before defendant committed his 1993 felony (*see* Penal Law § 70.06 [1] [b] [ii]).

In allowing the date of the original, vacated sentences to control, the majority has allowed illegal sentences to continue to have operative legal effect. I therefore respectfully dissent.

I.

The majority first concludes that defendant's position that the resentencing date should control cannot be reconciled with the plain language of the statute. This conclusion is based on the observation that the legislature used the word "sentence" and not "resentence" in the text of the statute (*see* Penal Law § 70.06 [1] [b] [ii]). Yet the legislature also did not use the phrase "original sentence" or similar language that might indicate that it intended for anything other than the *currently-existing, legal* sentence imposed on the conviction to apply for second felony offender purposes.

Indeed, although Penal Law § 70.06 has been amended several times since its enactment in 1973, the particular subparagraph at issue here—Penal Law § 70.06 (1) (b) (ii)—remains in its original form (*see* L 1973, ch 277, § 9). This law was enacted at the same time as comprehensive legislation addressing, among other things, harsher prison sentences for drug offenses (*see* L 1973, chs 276-278; Governor's Mem approving L 1973, chs 276-277, 1973 NY Legis Ann at 1-4; M.A. Farber, *Fixed-Term Laws Draw Opposition: Groups Criticize Mandatory Minimums Set by State for Non-Drug Crimes*, NY Times, Sept. 24, 1973, at 1, 20, available at https://www.nytimes.com/1973/

09/24/archives/fixedterm-laws-draw-opposition-groups-criticize-mahdatory-minimums.html [last accessed Feb. 12, 2019]). In this context, there is no reason to believe that the use of the term "[s]entence" in Penal Law § 70.06 (1) (b) (ii) represents anything other than the legislature's assumption that the sentence imposed upon the prior conviction would be a legal one.

I disagree with the majority's assertion that the Criminal Procedure Law "directs that the sentence imposed as part of the final judgment is the *original* sentence imposed on the conviction, not a resentence" (majority op at 7). CPL 1.20 (15) states that a judgment consists of "a conviction and the sentence imposed thereon"; it does not state that a "resentence" cannot constitute a "sentence," particularly where the original sentence was vacated as illegal and no longer exists. Furthermore, CPL 450.30 (3) does not support the majority's interpretation because it expressly states that "*[f]or purposes of appeal*, the judgment consists of the conviction and the original sentence only" (emphasis added). This provision is meant merely to clarify that if the resentencing occurs more than 30 days after the original sentencing, a defendant must file two notices of appeal, one from the original judgment and one from the resentence, in order to preserve the right to appeal from both the judgment and the resentence, respectively (*see id.*). The subdivision expressly states that its provisions are limited to appeals (*id.*).

The majority's conclusion that by using the word "sentence" in Penal Law § 70.06, the legislature meant "original sentence" to the exclusion of "resentences" simply because it separately employed those terms in CPL 450.30 is incorrect. The Criminal Procedure Law contains multiple statutes that apply to "sentencing" (*see e.g.* CPL art 380). These provisions remain applicable when a defendant is resentenced, even though those statutes use only the word "sentence" and not "resentence." We recently held that CPL 380.40 (1), which provides that a defendant "must be personally present at the time sentence is pronounced," applies to a resentencing proceeding (*see People v Estremera*, 30 NY3d 268, 269 [2017]). We reasoned that "whether such a proceeding is technically a 'resentencing' proceeding, as opposed to a proceeding to 'reimpose' a prior sentence, it is unquestionably a proceeding at which 'sentence is pronounced' as contemplated in CPL 380.40" (*id.* at 271).

It is undisputed that both the Penal Law and the Criminal Procedure Law are filled with references to "sentence" or "sentencing" that New York courts and criminal practitioners routinely and correctly apply equally to sentences and resentences. The fact that the legislature used the word "sentence" in Penal Law § 70.06 (1) (b) (ii) and not the word "resentence" is neither dispositive nor, in my view, particularly significant.

II.

With respect to this Court's precedent, I agree with the majority that *People v Bell* is distinguishable from the present case because there both the original conviction and the sentence were vacated after the defendant's successful appeal (73 NY2d 153, 165 [1989]). Nevertheless, *Bell* is instructive. The Court held that the applicable "sentence" for purposes of Penal Law § 70.06 was "the sentence imposed as a part of the final judgment," not the original sentence that was later vacated on appeal along with the conviction (*id.*). The Court said that it reached that holding "for the reasons stated" in the dissenting opinion of Justice Sullivan at the Appellate Division (*id.*). In that dissenting opinion, Justice Sullivan reasoned that upon vacatur of the judgment, the "defendant's earlier conviction was no longer a conviction," and "the sentence based on that conviction was no longer a sentence" (*People v Bell*, 138 AD2d 298, 300 [1st Dept 1988, Sullivan, J., dissenting]).

That reasoning applies equally to this scenario. The original sentences imposed on defendant's 1989 convictions were illegal and, for that reason, they were vacated in their entirety. Those original sentences no longer exist. In other words, upon their vacatur, each of the 1989 sentences "was no longer a sentence" (*id.*). The only "sentences" that currently exist for defendant's 1989 convictions are the legal sentences imposed in 2009 and 2012.

The majority's reliance on *People v Thompson* (26 NY3d 678 [2016]) is misplaced. Granted, we stated in that case that "unlike a 'sentence of probation'—a 'resentence' is not defined as a 'sentence' under Penal Law § 70.04 (1) (b) (iii) for the purpose of calculating the 10-year look-back period" (*id.* at 687). That statement, however, must be considered within the context of the case. In *Thompson*, the defendant argued that the original sentencing date, at which a sentence of probation was imposed, should control for recidivist sentencing purposes, rather than the later resentencing date when his probation was revoked and he was sentenced to a term of imprisonment (*see id.* at 681-683). We agreed with the defendant that the original sentencing date controlled based on our conclusion that "to *revoke* a penalty of probation does not equate to *annulling* a sentence" (*id.* at 681). We relied on the conditional nature of a revocable sentence, describing it as a "tentative punishment in that it may be altered or revoked" (*id.* at 686 [internal quotation marks and alterations omitted]). Importantly, we stated that "the substitution of a different punishment—such as incarceration—for the probation a defendant has violated does not constitute a *new* sentence, but rather a replacement of the original, conditional penalty reflected in the sentence" (*id.*). Here, by contrast, the original sentences imposed on defendant's 1989 convictions were vacated and annulled. Entirely new sentences were imposed in 2009 and 2012. No revocable sentences are at issue.

The majority's reliance on *People v Boyer* (22 NY3d 15 [2013]) is puzzling. As the majority acknowledges, the *Boyer* Court expressly stated that "[i]n reaching this conclusion regarding the significance of a *Sparber* resentencing under the sequentiality requirement for recidivist sentencing, we do not opine on the relationship between the recidivist sentencing statutes and any other form of resentencing" (*id.* at 26 n 3). Even if one were to rely on the reasoning of the *Boyer* Court despite this disclaimer, that reasoning supports the conclusion that the resentencing date controls under these circumstances. The Court concluded that a *Sparber* resentencing did not constitute "a vacatur of a defendant's entire original sentence" but rather amounted to the correction of a clerical error that did not "permit the resentencing court to alter the defendant's prison term or otherwise change any aspect of his or her sentence" (*id.* at 24). In other words, a *Sparber* resentencing "to correct the flawed imposition of PRS does not vacate the original sentence and replace it with an entirely new sentence, but instead merely corrects a clerical error and leaves the original sentence, along with the date of that sentence, undisturbed" (*id.*).

None of those conditions are present here. The original sentences imposed upon defendant's 1989 convictions were illegal, and therefore when the court resentenced defendant in 2009 and 2012, the court was *obligated* to vacate the entire original sentence and alter the prison term to a legal term. There is no dispute that here defendant's original sentences were vacated and replaced with entirely new sentences.

The majority cites *Estremera* to note that we have recently clarified that "a *Sparber* resentencing does, in fact, correct an 'illegal' sentence" (majority op at 9). We cautioned in *Estremera*, however, that "nothing herein should be read to conflict with our prior decision in [*Boyer*]" (*Estremera*, 30 NY3d at 271 n 2). The majority's decision calls into question our reasoning in *Boyer*, which was based primarily on the fact that a *Sparber* resentencing was akin to the correction of a clerical error, the original term of imprisonment was legal and remained unchanged, and the original sentence was not vacated and replaced with an entirely new sentence. Today, the majority holds that even where the original term of imprisonment was illegal, was vacated for that reason at a plenary resentencing, and was replaced with an entirely new sentence, the original sentence continues to control for purposes of the recidivist sentencing statutes. The majority's conclusion is not supported by the Court's reasoning in *Boyer*.

III.

Finally, the majority concludes that utilizing the original sentencing date despite the plenary resentencing effectuates the legislative purpose of the recidivist sentencing statutes (*see* majority op at 9-11). It is possible that the legislature intended to keep prior crimes in their original sequence even where a resentencing has occurred and the original sentence has been vacated. Nevertheless, there is no legislative history addressing this issue, and we have previously described the legislative history surrounding this enactment as "sparse" (*People v Cagle*, 7 NY3d 647, 651 [2006]). As explained above, the legislature may have simply assumed that the sentence imposed on the prior crime would be a legal one. It is equally possible, in my view, that the legislature would *not* wish the courts to give legal effect to an illegal sentence that has been vacated and no longer exists when applying the recidivist sentencing statutes.

Indeed, the Appellate Division has generally arrived at the opposite conclusion of the majority here, and has held that the resentencing date controls when the original sentence has been vacated (*see People v Jamison*, 138 AD3d 1020, 1021 [2d Dept 2016], *lv denied* 28 NY3d 931 [2016]; *People v Esquiled*, 121 AD3d 807, 808 [2d Dept 2014], *lv denied* 25 NY3d 1201 [2015], *denied reconsideration* 26 NY3d 967 [2015]; *People v Boyer*, 19 AD3d 804, 806 [3d Dept 2005], *lv denied* 5 NY3d 804 [2005]; *People v Wright*, 270 AD2d 213, 215 [1st Dept 2000], *lv denied* 95 NY2d 859 [2000]; *People v Robles*, 251 AD2d 20, 21 [1st Dept 1998], *lv denied* 92 NY2d 904 [1998]; *People v Juliano*, 207 AD2d 414, 415 [2d Dept 1994], *lv denied* 84 NY2d 937 [1994]). The People have not identified any case where the Appellate Division has applied the original sentencing date after the original sentence has been vacated and an entirely new sentence has been imposed.[1]

Furthermore, I would apply the resentencing date as a matter of fairness. This Court has generally refused to interpret the predicate felony offender sentencing statutes in a manner that takes into account an illegal incarceration (*see generally People v Small*, 26 NY3d 253, 260-261 [2015]; *People v Dozier*, 78 NY2d 242, 249-250 [1991]; *People v Love*, 71 NY2d 711, 716 [1988]). Although the underlying conviction was either invalid or called into question in those cases, the same logic should apply here. An illegal, vacated sentence should not be used to enhance a defendant's future punishment.

Moreover, like the majority's rule (*see* majority op at 11), a rule that applies the resentencing date where the original sentence has been vacated would not favor either the defendant or the People. In some cases, like this one, the defendant will benefit, but in others, the resentencing date will bring a defendant's prior conviction within the 10-year look-back period (*see e.g. Juliano*, 207 AD2d at 415).[2]

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1. In addition, since 2013, the Advisory Committee on Criminal Law and Procedure has recommended that the legislature amend the recidivist sentencing statutes to clarify that where, as here, the original sentence has been vacated as illegal and the defendant is resentenced, but the underlying conviction is not disturbed, the controlling sentencing date is the date that the original sentence was imposed (*see* Rep of Advisory Comm on Crim Law and Procedure to Chief Admin Judge of Cts of St of NY at 21-23 [Jan. 2013], available at https://www.nycourts.gov/LegacyPDFS/IP/judiciaryslegislative/pdfs/2013-CriminalLaw&Procedure-ADV-Report.pdf [last accessed Feb. 12, 2019], cached at http://www.nycourts.gov/reporter/webdocs/2013AdvRepCrimLaw.pdf). After 2013, this recommendation has been included in the Advisory Committee Report either as a "Previously Endorsed Measure" or a "Temporarily Tabled Previously Endorsed Measure" (*see* Repts of Advisory Comm on Crim Law and Procedure to Chief Admin Judge of Cts of St of NY, Jan. 2014-Jan. 2018). Despite the Appellate Division decisions and the Advisory Committee's recommendation, the legislature has not acted to clarify that it intends for the original sentencing date to control under these circumstances.

2. Few if any criminal defendants will knowingly serve illegally harsh sentences in the hope that if they commit another felony in the future, they will be able to move for resentencing and thereby alter the sequence of their criminal history in order to avoid enhanced punishment under the recidivist sentencing statutes. In most cases, the resentencing will likely occur in far closer temporal proximity to the original sentencing. In addition, if the

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The majority's holding allows a sentence that has been vacated as illegal and no longer exists to be used to enhance the punishment imposed upon a defendant for a subsequent criminal offense. This holding is not supported by the text of the statute or any legislative history, conflicts with our prior case law, and most importantly is unjust. I therefore respectfully dissent.

Chief Judge DIFIORE and Judges GARCIA and FEINMAN concur; Judge FAHEY dissents in an opinion in which Judges RIVERA and WILSON concur.

Order reversed and defendant's motion to set aside sentence denied.

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resentencing date controls, the People will have an additional incentive to move promptly to correct the illegal sentence if the defendant fails to do so.

[123 NE3d 218, 99 NYS3d 734]

In the Matter of NEW YORK CITY ASBESTOS LITIGATION.

ANN M. SOUTH, Individually and as Executor of MASON T. SOUTH, Respondent, v CHEVRON CORPORATION, Individually and as Successor by Merger to TEXACO INC., et al., Appellant, et al., Defendant.

Argued January 10, 2019; decided February 21, 2019

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered August 29, 2017. The Appellate Division affirmed so much of an order of the Supreme Court, New York County (Peter H. Moulton, J.; op 2016 NY Slip Op 30011[U] [2016]), as had denied defendant Chevron Corporation's alleged predecessor in interest's (Texaco Inc.) motion for summary judgment dismissing the complaint against it. The following question was certified by the Appellate Division: "Was the order of this Court, which affirmed the order of the Supreme Court, properly made?"

Matter of New York City Asbestos Litig., 153 AD3d 461, affirmed.

HEADNOTES

Release — Scope of Release — Release by Seaman of Claims Related to Asbestos Exposure — Burden to Prove Validity of Release in Mesothelioma Action

1. In an action arising from plaintiff's decedent's contraction of mesothelioma, defendant, the successor by merger to the company that owned ships upon which decedent was exposed to asbestos while working as a merchant marine, had the burden to prove that a release signed by decedent upon settlement with defendant's predecessor of maritime asbestos claims by him and other plaintiffs was valid. A seaman in admiralty who attacks a release executed by him or her in favor of a shipowner has no burden to show the invalidity of the release. Instead, the burden is on the entity who sets up a seaman's release to show that it was executed freely, without deception or coercion, and that it was made by the seaman with full understanding of his or her rights.

Seamen — Jones Act — Release of Claims Related to Asbestos Exposure — Effectiveness of Release to Extinguish Future Mesothelioma Claim

2. In an action seeking damages for plaintiff's decedent's contraction of mesothelioma, defendant, the successor to the company that owned ships upon which decedent was exposed to asbestos while working as a merchant marine, did not meet its burden to show that a release, signed by decedent

upon settlement with the predecessor of maritime asbestos claims by him and other plaintiffs, entitled it to summary judgment. A release constituting a compromise enabling the parties to settle their dispute without litigation is not prohibited under the Federal Employers' Liability Act and the Jones Act (45 USC § 55; 46 USC § 30104). However, a merchant marine is entitled to heightened protections of the admiralty law, placing the burden on the entity who set up the release to show that it was executed freely, without deception or coercion, and that it was made by the seaman with full understanding of his or her rights, adequate consideration, and the benefit of medical and legal advice. Here, defendant failed to show that the release unambiguously extinguished a future claim for mesothelioma, a term the release did not even mention. At the time of execution, decedent only suffered from a non-malignant asbestos-related pulmonary disease. Inasmuch as the complaint in the action resulting in the release mentioned mesothelioma among a list of diseases followed by language indicating that plaintiff suffered from such diseases "either singularly or in combination," defendant's predecessor knew that asbestos exposure could cause mesothelioma, but omitted it from the release. Moreover, while the release recited that decedent knew he was relinquishing his rights, the record did not establish his full understanding of what he was extinguishing or that he had any communications with counsel about the settlement. The record was also ambiguous about the adequacy of the consideration and silent as to the medical advice decedent received prior to signing.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d Federal Employers' Liability and Compensation Acts §§ 9, 19–21, 29, 48; Am Jur 2d Release §§ 26, 33, 36, 43, 48.

NY Jur 2d Boats, Ships, and Shipping §§ 209, 210, 217; NY Jur 2d Compromise, Accord, and Release §§ 82, 84, 85, 113, 119, 128.

45 USCA § 55; 46 USCA § 30104.

ANNOTATION REFERENCE

See ALR Index under Asbestos; Federal Employers' Liability Act (FELA); Jones Act; Release or Discharge; Seamen.

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POINTS OF COUNSEL

Jones Day, New York City (*Meir Feder, Thomas E. Lynch* and *Rajeev Muttreja* of counsel), and *Wilson Elser Moskowitz Edelman & Dicker LLP*, New York City (*Elizabeth M. Young* of counsel), for appellant. I. A Jones Act plaintiff's settlement releasing all claims based on the alleged tortious conduct is a valid compromise, not an exemption from liability under section 5 of the Federal Employers' Liability Act (45 USC § 55). (*Callen v Pennsylvania R. Co.*, 332 US 625; *Matter of Ahern v South Buffalo Ry. Co.*, 303 NY 545; *Duncan v Thompson*, 315 US 1; *Sea-Land Serv., Inc. v Sellan*, 231 F3d 848; *Oliverio v Consolidated Rail Corp.*, 14 Misc 3d 219.) II. The United States Court of Appeals, Third Circuit's "known risk" test used by the Appellate Division, First Department is both inapplicable and, in any event, plainly satisfied here. (*Wicker v Consolidated Rail Corp.*, 142 F3d 690; *Babbitt v Norfolk & W. Ry. Co.*, 104 F3d 89.) III. The decision below rests on the mistaken assertion that Mason South had no asbestos-related illness when he filed his 1997 lawsuit. (*Oliverio v Consolidated Rail Corp.*, 14 Misc 3d 219.)

Motley Rice LLC, Washington, D.C. (*Louis M. Bograd*, of the Kentucky and District of Columbia bars, admitted pro hac vice, of counsel), New York City (*Michael M. Buchman* of counsel) and Mount Pleasant, South Carolina (*Donald A. Migliori* of counsel), for respondent. I. Under the Jones Act, which incorporates section 5 of the Federal Employers' Liability Act (45 USC § 55), employers of merchant seamen are barred from contracting with their employees to exempt themselves from potential future liability. (*Garrett v Moore-McCormack Co.*, 317 US 239; *Kernan v American Dredging Co.*, 355 US 426; *Callen v Pennsylvania R. Co.*, 332 US 625; *Daranowich v Land*, 186 F2d 386; *Kelcey v Tankers Co.*, 217 F2d 541.) II. Under either test employed by other courts, the 1997 release cannot bar Mason South's present mesothelioma claim. (*Callen v Pennsylvania R. Co.*, 332 US 625; *Babbitt v Norfolk & W. Ry. Co.*, 104 F3d 89; *Wicker v Consolidated Rail Corp.*, 142 F3d 690; *Norfolk & W. R. Co. v Ayers*, 538 US 135; *Oliverio v Consolidated Rail Corp.*, 14 Misc 3d 219; *Hume v Moore-McCormack Lines*, 121 F2d 336; *Garrett v Moore-McCormack Co.*, 317 US 239.)

Landman Corsi Ballaine & Ford, P.C., New York City (*Mark S. Landman* of counsel), and *Association of American Railroads*, Washington D.C. (*Kathryn D. Kirmayer* and *Daniel Saphire* of counsel), for Association of American Railroads, amicus curiae. I. Section 5 of the Federal Employers' Liability Act (45 USC § 55 [FELA]) was not meant to restrict settlement and release agreements, which are a common and practical outcome of FELA and Jones Act cases. (*Cortes v Baltimore Insular Line,* *Inc.*, 287 US 367; *Erie R. Co. v Winfield*, 244 US 170; *Denburg v Parker Chapin Flattau & Klimpl*, 82 NY2d 375; *Nordgren v Burlington N. R. Co.*, 101 F3d 1246; *Philadelphia, B. & W. R. Co. v Schubert*, 224 US 603; *Callen v Pennsylvania R. Co.*, 332 US 625; *Panichella v Pennsylvania R. Co.*, 268 F2d 72; *Heagney v Brooklyn E. Dist. Term.*, 190 F2d 976; *Fulk v Illinois Cent. R. Co.*, 22 F3d 120; *Zarow-Smith v New Jersey Tr. Rail Operations, Inc.*, 953 F Supp 581.) II. Enforcing releases of all injuries arising from the same tortious conduct best facilitates the policy of promoting the settlement of Federal Employers' Liability Act claims. (*Callen v Pennsylvania R. Co.*, 332 US 625; *Wicker v Consolidated Rail Corp.*, 142 F3d 690; *Blackwell v CSX Transp., Inc.*, 102 A3d 864; *Oliverio v Consolidated Rail Corp.*, 14 Misc 3d 219; *Norfolk & W. R. Co. v Ayers*, 538 US 135; *H.K.S. Hunt Club v Town of Claverack*, 222 AD2d 769; *Dryden Cent. School Dist. v Dryden Aquatic Racing Team*, 195 AD2d 790; *Babbitt v Norfolk & W. Ry. Co.*, 104 F3d 89.) III. The Court below misapplied the law on the enforcement of releases in Federal Employers' Liability Act/Jones Act cases. (*Wicker v Consolidated Rail Corp.*, 142 F3d 690; *Callen v Pennsylvania R. Co.*, 332 US 625.) IV. The *Babbitt v Norfolk & W. Ry. Co.* (104 F3d 89 [6th Cir 1997]) test that respondent advocates will inhibit the settlement of Federal Employers' Liability Act and Jones Act cases. (*Wicker v Consolidated Rail Corp.*, 142 F3d 690; *Babbitt v Norfolk & W. Ry. Co.*, 104 F3d 89; *Marek v Chesny*, 473 US 1.)

OPINION OF THE COURT

WILSON, J.

Mason South and his wife sued Chevron Corporation[1] and several other defendants, alleging that the defendants are responsible for causing his mesothelioma, from which he died in May 2015. Chevron moved for summary judgment based on a release Mr. South signed when he settled a 1997 lawsuit he filed against Texaco Inc. and many other defendants, based on his exposure to asbestos. Supreme Court denied Chevron's motion for summary judgment, reasoning that the record at this stage of the proceedings does not meet Chevron's heightened burden, under the Federal Employers' Liability Act (FELA) and admiralty law, to demonstrate that the release forecloses the claims in the present lawsuit. The Appellate Division af-

1. Chevron is sued as successor by merger to Texaco Inc., aboard whose ships Mr. South worked in the 1950s.

firmed, with one Justice dissenting (153 AD3d 461 [1st Dept 2017]), and certified to this Court the question of whether its order was properly made (2017 NY Slip Op 95449[U] [1st Dept 2017]). We answer that question affirmatively.

I.

Mason South worked shipboard as a merchant marine from 1945 to 1982, at which point he retired. During 1953-1955, he worked aboard ships owned by Texaco. In 1997, 15 years after his last voyage, he, along with hundreds of other plaintiffs, filed individual lawsuits against Texaco and 115 other defendants (including both shipowners and asbestos manufacturers), in the United States District Court for the Northern District of Ohio. All of these plaintiffs were represented by the Jaques Admiralty Law Firm, which also used the name "Maritime Asbestosis Legal Clinic." Mr. South's lawsuit alleged that he "spent his life as a seaman . . . plying [the] waters" during which time, on ships owned by Texaco and others, he was "exposed to asbestos friable fibers, causing him to breathe into his system carcinogenic asbestos dust."

A few weeks after Texaco was served with Mr. South's complaint, Texaco reached a settlement with Mr. South and other plaintiffs represented by the Jaques Admiralty Law Firm. The settlement between Texaco and Mr. South was effectuated by the entry of a judgment of dismissal with prejudice of all the claims brought by Mr. South as well as by a release executed by Mr. South, dated December 26, 1997. Although Chevron asserts, without challenge, that Texaco made a single lump-sum payment to settle the claims against it in all the maritime asbestos cases brought in the Northern District of Ohio, the record does not contain any evidence of the number or identity of the cases settled, the amount paid by Texaco, or the basis for distribution of the settlement amount to individual plaintiffs. Plaintiffs claim that Mr. South's share of Texaco's total settlement payment was $1,750, which Chevron does not dispute. Chevron alleges that Texaco was not involved in the determination of what portion of the total sum it paid in settlement would be paid to Mr. South, which plaintiffs do not dispute.

Two decades later, on February 4, 2015, Mr. and Mrs. South filed the instant lawsuit in New York Supreme Court against Chevron (as successor by merger to Texaco) and several other defendants, seeking to recover for Mr. South's "serious, incur-able and progressive asbestos-related disease" resulting from his exposure to asbestos shipboard, "during the years 1945 through 1982." As against Chevron, the lawsuit pleaded three causes of action: (I) a claim under the Jones Act, 46 USC § 30104; (II) a claim under federal admiralty and maritime law; and (III) a claim on behalf of Mrs. South for loss of consortium. When Mr. South passed away, his estate was substituted for him in this lawsuit.

Chevron, relying on the 1997 release, moved for summary judgment in Supreme Court. Supreme Court denied the motion on the ground that the record did not unequivocally demonstrate the validity of the release under section 5 of FELA. The Appellate Division affirmed. Like Supreme Court, the Appellate Division concluded that the record did not demonstrate Chevron's entitlement to summary judgment, because the release did not specifically mention mesothelioma, which then required the court to determine whether extrinsic evidence entitled Chevron to summary judgment. Pointing to the "meager consideration" and the lack of any diagnosis of mesothelioma as to Mr. South at the time he settled, the Appellate Division concluded that the record left open the question of whether the release pertained to an existing pulmonary condition and the fear of some future asbestos-related disease, or if it was intended to release all future asbestos-related diseases arising from Mr. South's employment by Texaco. The parties agree that, at the time he executed the release, Mr. South suffered from a nonmalignant pulmonary disease but not from mesothelioma or cancer.

II.

"To grant summary judgment, it must clearly appear that no material and triable issue of fact is presented" (*Glick & Dolleck v Tri-Pac Export Corp.*, 22 NY2d 439, 441 [1968]). "Summary judgment should not be granted where there is any doubt as to the existence of a factual issue or where the existence of a factual issue is arguable" (*Forrest v Jewish Guild for the Blind*, 3 NY3d 295, 315 [2004], citing *Glick*, 22 NY2d at 441). On summary judgment, "facts must be viewed 'in the light most favorable to the non-moving party' " (*Vega v Restani Constr. Corp.*, 18 NY3d 499, 503 [2012], quoting *Ortiz v Varsity Holdings, LLC*, 18 NY3d 335, 339 [2011]), and "the proponent of a summary judgment motion must make a prima facie showing of entitlement to judgment as a matter of law, tendering sufficient evidence to demonstrate the absence of any material issues of fact" (*Alvarez v Prospect Hosp.*, 68 NY2d 320, 324 [1986]).

Chevron claims the 1997 release entitles it to summary judgment because the release unequivocally demonstrates that Mr. South previously released the claims he now seeks to pursue. The sole question presented to us on this appeal is whether Chevron has established that the release, coupled with the 1997 complaint, eliminates all material questions of fact and proves that the release bars the claims here as a matter of law. Answering that question requires us to consider the protections afforded to Mr. South by admiralty law and section 5 of FELA (45 USC § 55), which is incorporated into the Jones Act by 46 USC § 30104.

III.

We turn first to the question of whether plaintiffs bear the burden to show the invalidity of the release or Chevron bears the burden to show its validity. In *Garrett v Moore-McCormack Co.* (317 US 239 [1942]), the United States Supreme Court considered the law applicable to a release executed by a merchant marine in favor of a shipowner. The merchant marine brought, in Pennsylvania state court, both a Jones Act claim and an admiralty claim for maintenance and cure; the Court noted that the two causes of action were "independent and cumulative" (317 US 239, 240 n 2). The Pennsylvania courts applied their state-law rule that a plaintiff bears the burden to show the invalidity of a release by "clear, precise and indubitable" evidence, instead of the federal admiralty rule that the defendant bears the burden of proving the validity of the release (*id.* at 242). The Supreme Court reversed, holding that "a seaman in admiralty who attacks a release has no such burden imposed upon him as that to which the Pennsylvania rule subjects him" (*id.* at 246). Although the Court did not, in that regard, expressly state that it was treating the Jones Act claim as one "in admiralty," it did state that "the Jones Act is to have a uniform application throughout the country, unaffected by 'local views of common law rules' " (*id.* at 244, citing *Panama R. Co. v Johnson*, 264 US 375, 392 [1924]). The Court went on to hold "the burden is upon one who sets up a seaman's release to show that it was executed freely, without deception or coercion, and that it was made by the seaman with full understanding of his rights" (317 US at 248).

[1] Six years later, in *Callen v Pennsylvania R. Co.* (332 US 625 [1948]), the Court rejected Callen's argument "that the burden should not be on one who attacks a release, to show grounds of mutual mistake or fraud, but should rest upon the one who pleads such a contract, to prove the absence of those grounds" (332 US 625, 629), thus placing the burden to prove invalidity on the plaintiff—the opposite of the holding in *Garrett*. *Callen* concerned a railroad worker, not a plaintiff in admiralty, and its decision did not purport to change the holding in *Garrett* that in the case of mariners, the burden rests on the employer to prove the validity of the release. Consistent with that Supreme Court precedent, Chevron acknowledges that *Garrett* applies to plaintiff's claims and places on Chevron the burden to prove the release's validity.

IV.

The Jones Act incorporates FELA, including section 5 thereof. Section 5 provides in relevant part: "Any contract, rule, regulation, or device whatsoever, the purpose or intent of which shall be to enable any common carrier to exempt itself from any liability created by this chapter, shall to that extent be void" (45 USC § 55). *Callen* makes clear that section 5 does not bar employers from settling claims brought against them by employees:

> "It is obvious that a release is not a device to exempt from liability but is a means of compromising a claimed liability and to that extent recognizing its possibility. Where controversies exist as to whether there is liability, and if so for how much, Congress has not said that parties may not settle their claims without litigation" (332 US at 631).

In subsequent cases, the Court has reiterated that section 5 does not prohibit a "full compromise enabling the parties to settle their dispute without litigation" (*Boyd v Grand Trunk Western R. Co.*, 338 US 263, 266 [1949]) because "full and fair compromises of FELA claims do not clash with the policy of the Act" (*South Buffalo R. Co. v Ahern*, 344 US 367, 372 [1953]).

Although the parties here differ as to whether plaintiffs' claims should be evaluated by reference to *Babbitt v Norfolk & W. Ry. Co.* (104 F3d 89 [6th Cir 1997]) or *Wicker v Consolidated Rail Corp.* (142 F3d 690 [3d Cir 1998]), two circuit court cases interpreting *Callen*, neither case pertains here. The plaintiffs in those cases were railroad workers, not mariners like Mr.

South, so the decisions did not involve *Garrett*'s heightened standard applicable to mariners like Mr. South.

Unlike railroad workers, because Mr. South is a merchant marine, he is entitled to the heightened protections of admiralty law. In *Garrett*, the Supreme Court explained the policy underlying the admiralty standard by quoting Justice Joseph Story from his time as a Circuit Judge:

> "[seamen] are emphatically the wards of the admiralty; and though not technically incapable of entering into a valid contract, they are treated in the same manner as courts of equity are accustomed to treat young heirs, dealing with their expectancies, wards with their guardians, and *cestuis que trustent* with their trustees. . . . If there is any undue inequality in the terms, any disproportion in the bargain, any sacrifice of rights on one side, which are not compensated by extraordinary benefits on the other, the judicial interpretation of the transaction is that the bargain is unjust and unreasonable, that advantage has been taken of the situation of the weaker party, and that *pro tanto* the bargain ought to be set aside as inequitable" (*Garrett v Moore-McCormack Co.*, 317 US at 247, quoting *Harden v Gordon*, 11 F Cas 480, 485 [D Me 1823, No. 6,047]).

To vindicate those interests, the Supreme Court set out a heightened standard: "the burden is upon one who sets up a seaman's release to show [1] that it was executed freely, without deception or coercion"; [2] "it was made by the seaman with full understanding of his rights"; [3] "[t]he adequacy of the consideration"; and [4] "the nature of the medical and [5] legal advice available to the seaman at the time of signing the release are relevant to an appraisal of this understanding" (317 US at 248 [numbering added]). In view of that heavy burden, "summary judgment is often considered an inappropriate procedure to determine the validity of a [mariner's] release" (*Complaint of Bankers Trust Co. v Chatterjee*, 636 F2d 37, 39 [3d Cir 1980]).[2]

[2] Applying that standard to this case, we conclude that Chevron has not met its burden to demonstrate the absence of

2. When the dissent complains that the plaintiffs have failed to come forward with evidence (dissenting op at 40), they have silently reversed the burden required by *Garrett*.

any material question of fact. The 1997 release does not unambiguously extinguish a future claim for mesothelioma.[3] The release itself does not mention mesothelioma. It does say that Mr. South "is giving up the right to bring an action against the Released Parties, or any of them, in the future for any new or different diagnosis that may be made about Claimant's condition as a result of exposure to any product." But "claimant's condition" may cabin the "new or different diagnosis" to ones that related to his nonmalignant asbestos-related pulmonary disease—the "condition" both parties agree was the only one he suffered at the time. Although, as the dissent notes, Mr. South's 1997 complaint mentioned mesothelioma, the dissent has elided an important portion of the complaint. Mr. South pleaded that he:

> "suffers . . . pulmonary diseases inclusive of asbestosis / mesothelioma / lung cancer / pneumoconiosis / chronic obstructive pulmonary disease / colon cancer / stomach cancer / rectal cancer / kidney cancer / pancreas cancer / pharynx cancer / brain cancer / other anatomical cancer, et cetera, *either singularly or in combination thereof*" (emphasis added).

The complaint does not assist Chevron in resolving the release's ambiguity. First, the parties agree that Mr. South was not, at the time of the release, suffering from most of the above diseases, including mesothelioma,[4] and the complaint's "either singularly or in combination thereof" could be taken to demonstrate Mr. South's lack of knowledge as to his condition at the

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3. We agree with the dissent (dissenting op at 35-36) that even maritime employers and employees should be able to settle disputes by releasing claims, and that such releases should not be routinely challenged by searching examinations bearing on the parties' intent, as is necessary here. However, the solution is for parties to write a careful and precise release instead of one that is ambiguous and purports to rely for definiteness on a complaint that itself is facially—perhaps intentionally—vague (*cf. Collier v CSX Transp. Inc.*, 673 Fed Appx 192, 197 [3d Cir 2016] [upholding a release where "(t)he release itself specifically mentioned cancer arising from asbestos exposure"]).

4. The parties agree that Mr. South did not have mesothelioma at the time he signed the release. Instead, they agree he suffered from a pulmonary disease that the record leaves only vaguely described. The dissent's version of the complaint's text, focusing on the words "inclusive of" (dissenting op at 39 [emphasis omitted]) would have Mr. South pleading that he had not only mesothelioma, but also colon cancer, stomach cancer, rectal cancer, kidney cancer, pancreas cancer, pharynx cancer, and brain cancer. The parties agree that was not the case, and it would be a mistake to alter the language of the

(n. cont'd)

time he signed the release. Second, the complaint at most demonstrates that both Texaco and Mr. South were aware that all of the above conditions, including mesothelioma, might result from exposure to asbestos, but the absence of mesothelioma (and the other cancers) from the release could readily support the conclusion that the omission of mesothelioma (and the other cancers) from the language of the release was deliberate. The dissent complains that we have set an ["impossibly high"] burden for employers to settle with mariners, but that is not so. First, Garrett sets a high burden, so part of the dissent's complaint is with the requirements of federal law. Second, the dissent appears to forget that the complaint plainly demonstrates that both Texaco and Mr. South knew that asbestos exposure could cause mesothelioma, yet they agreed to a release that omitted it. It would hardly have been "impossible" for Texaco to insist on including mesothelioma in the release. Indeed, other releases have been upheld in cases where they specifically mentioned cancers arising from asbestos exposure (*see e.g. Collier v CSX Transp. Inc.*, 673 Fed Appx 192, 197 [3d Cir 2016]). Particularly when viewed through the lens required by *Garrett*, the manner in which the complaint refers to mesothelioma does not meet Chevron's burden to demonstrate the absence of disputed material facts.

The record as thus far developed is silent or ambiguous on most of the factors set forth in *Garrett*. The release recites that Mr. South understood he was relinquishing his rights, but the record does not presently establish his "full understanding" of what he was extinguishing. Mr. South signed the release a few weeks after the case was filed. He signed it one day after Christmas, while in Florida, represented by counsel located in Ohio. Some large but unknown number of others represented by the same law firm also settled at the same time.[5] Although, again as the dissent points out, the release recites that Mr. South consulted with counsel, were the inclusion of such language sufficient to avoid *Garrett*'s heightened standard, the

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complaint by striking out "either singularly or in combination," as the dissent does when it quotes the language.

5. These are not "extraneous" facts (dissenting op at 42 n 6) as they provide circumstantial evidence suggesting that Mr. South received no meaningful legal advice about the release. He signed the release at a time when the law firm representing him was obtaining releases from "thousands" of other clients (dissenting op at 37), and when he was across the country from his lawyers. A fair inference from these facts would be that he received no individualized advice and merely signed a piece of paper sent to him.

protection guaranteed to mariners under admiralty law would be readily circumventable. There is no record evidence to show that Mr. South had any communications with counsel about the settlement, other than the transmission of the settlement agreement to him.

As to the adequacy of the consideration, nothing in Chevron's summary judgment proffer established the amount paid by Chevron in exchange for Mr. South's settlement and release, although the parties agree that Mr. South received $1,750 from some omnibus amount paid by Texaco to settle his and other claims. We do not know how many cases Texaco settled; how much Texaco paid to settle as a lump sum; how that lump sum was distributed; what the considerations were that led to the allocation of a specific amount of compensation to Mr. South; what, if anything, Mr. South received from the 115 other defendants he sued; or what he or his counsel viewed as the value of those remaining claims (which he expressly carved out of the release) at the time he settled with Texaco.

With respect to medical advice, the record is completely silent, other than the parties' agreed-upon assertion that Mr. South had a pulmonary disease but not mesothelioma or cancer when he signed the release. By contrast, in *Jackson v Delaware Riv. & Bay Auth.*, the court, applying *Garrett*, pointed to a seaman's consultations with two doctors as evidence of his receipt of adequate medical advice (334 F Supp 2d 615 [D NJ 2004]; *see also Sitchon v American Export Lines*, 113 F2d 830, 832 [2d Cir 1940]). Here, no medical records documenting Mr. South's condition when he signed the release are in the record.

On the other hand, we do know that Mr. South was represented by counsel, which weighs in favor of finding the release valid. "[T]he need for the Court to determine whether a seaman fully understood his rights when executing a release is reduced when a seaman is represented by counsel" (*Nicolich v City of New York*, 1996 WL 99392, *2, 1996 US Dist LEXIS 2646, *6 [SD NY, Mar. 6, 1996, No. 95 CIV. 0053 (AGS)]). Similarly, the Fifth Circuit has held that "[w]hen a seaman is acting upon independent advice and that advice is disinterested and based on a reasonable investigation, there being no question of competence, a settlement agreement will not be set aside" (*Borne v A & P Boat Rentals No. 4, Inc.*, 780 F2d 1254, 1258 [5th Cir 1986]). Although representation by counsel helps establish the validity of a release, here Supreme Court indicated that the competence of Mr. South's 1997 counsel in connection with its mass representation of maritime asbestos plaintiffs had been consistently questioned, which is also not fleshed out in the record (*but see In re United States Lines, Inc.*, 318 F3d 432, 434-435 [2d Cir 2003] [noting the Jaques Admiralty Firm's pursuit of a "risky" "unwise and dilatory volume strategy" in the context of settlement negotiations, including failing to provide documentation specific to individual plaintiffs]; *In re United States Lines, Inc.*, 216 F3d 228, 231 [2d Cir 2000]).

To be clear, it is possible that additional evidence could be developed that would validate the release and extinguish plaintiffs' claims. However, applying *Garrett*'s heightened standard in the summary judgment posture, the record is presently insufficient to demonstrate the effectiveness of the 1997 release as a matter of law.

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

GARCIA, J. (dissenting). More than 20 years ago, plaintiff, a merchant marine, sued a ship owner for injuries related to alleged asbestos exposure sustained while serving aboard the owner's vessel. The parties swiftly settled and, in exchange for compensation, plaintiff executed a comprehensive release, agreeing to forfeit "any and all" claims for known or potential injuries suffered as a result of his alleged exposure. Despite that release, the same seaman, with the same counsel, is again suing the same ship owner for injuries sustained from that same asbestos exposure. The majority declines to enforce the parties' agreement, holding that defendant failed to meet its burden of demonstrating the validity of the release.

I disagree. Defendant carried its burden, and plaintiff has not suggested, let alone raised, any facts to the contrary. By denying summary judgment, the majority seemingly renders all releases executed by seamen—no matter how comprehensive—unenforceable in New York courts. That result harms both defendants seeking certainty in settlement and plaintiffs hoping to avoid the risk and expense of litigation. Accordingly, I dissent.

I.

In 1997, plaintiff Mason T. South filed suit against 117 defendants, including Texaco Inc., alleging claims under federal admiralty law and the Jones Act (46 USC § 30104). In the complaint, plaintiff alleged that, throughout his 37-year career as a merchant marine, he "was constantly exposed to asbestos friable fibers," which "caused the devastating pulmonary disease [he] now suffers." Plaintiff asserted that he "suffer[ed] harm in the form of necessity to be monitored for other asbestotic diseases including lung cancer," and sought damages for "being forever medically monitored for disease onset and worsening." The complaint further alleged that "[a]s a direct and proximate result of said exposure to asbestos . . . [p]laintiff suffers cancerphobia . . . , pneumoconiosis as well as exacerbation of existing diseases; and . . . pulmonary diseases inclusive of . . . mesothelioma." Plaintiff served aboard ships owned by Texaco for approximately 20 months.

Less than two months after filing suit, plaintiff and Texaco reached an agreement to settle plaintiff's claim. In exchange for $1,750, plaintiff agreed to release Texaco from "any and all claims for damages as alleged, or which could be alleged, for the injuries, sickness and/or disease allegedly caused as a result of the exposure to asbestos, silica, asbestos fibers, and asbestos dusts, and/or silica or asbestos-containing products, smoke and carcinogenic chemicals (not including benzene or products containing benzene)." The release also represented that plaintiff:

> "understands that the long term effects of exposure to asbestos substances . . . may result in obtaining a new and different diagnosis from the diagnosis as of the date of this Release. Nevertheless, [plaintiff] understands that by entering into this agreement, he is giving up the right to bring an action against [defendant] . . . in the future for any new or different diagnosis that may be made about [plaintiff's] condition as a result of exposure."

Plaintiff specifically forfeited all claims for harm "on account or in any way arising out of any and all known or unknown, present or future, foreseen or unforeseen bodily and/or personal injuries, sickness or death," including those claims "which may accrue in the future."

The text of the release clarified that it "d[id] not amount to an admission of any kind of liability" by Texaco. Rather, Texaco "denie[d] any and all liability for any damages," but agreed to settle "any and all claims" arising out of plaintiff's alleged exposure "in order to resolve the dispute between the parties, and to forever terminate the claims asserted, or which could be asserted."

Before signing the release, plaintiff acknowledged the following:

> "I HAVE CAREFULLY READ THE FOREGOING RELEASE, HAVE DISCUSSED THE CONTENTS THEREOF WITH MY ATTORNEY AND AM SIGNING THIS RELEASE OF MY OWN FREE ACT, WITH FULL KNOWLEDGE OF THE CONTENTS AND THE PURPOSE OF THIS RELEASE, INTENDING . . . TO BE FOREVER LEGALLY BOUND."

Plaintiff also swore before a notary public that he had read the release and fully understood its terms. Plaintiff, two witnesses, and a notary signed the release. The complaint was subsequently dismissed as against Texaco, with prejudice.

In 2015, plaintiff, using the same counsel retained in 1997, again filed suit against Texaco for his alleged asbestos exposure, claiming damages for plaintiff's subsequent diagnosis of mesothelioma.[1] The 2015 complaint asserts the same causes of action as the 1997 complaint, as well as a claim for loss of consortium on behalf of plaintiff's wife. Defendant moved for summary judgment, citing the 1997 release as a complete bar to plaintiff's present claim.

Plaintiff admits to signing the release, but claims that he should not be bound by it. Specifically, in opposition to defendant's motion, plaintiff argues that the release is unenforceable under federal law because: "1) the language Texaco relies upon is boilerplate language insufficient to indicate intent; 2) the release failed to mention any form of cancer, let alone mesothelioma, and; 3) the settlement amount of the 1997 release indicates that [plaintiff] did not understand or intend to release future claims for mesothelioma."[2] Plaintiff died shortly after his opposition papers were filed.

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1. Plaintiff sued Chevron Corporation as the successor in interest to Texaco Inc. For clarity, I will refer to the party as "Texaco" or "defendant."

2. Plaintiff also asserts that the release is invalid as a matter of law under section 5 of the Federal Employers' Liability Act (45 USC § 55). As the majority seems to recognize (*see* majority op at 27), that argument fails under *Callen v Pennsylvania R. Co.* (332 US 625, 631 [1948] ["It is obvious that a release is not a device to exempt from liability but is a means of compromising a claimed liability . . . Where controversies exist as to whether

(n. cont'd)

II.

"[T]he proponent of a summary judgment motion must make a prima facie showing of entitlement to judgment as a matter of law, tendering sufficient evidence to demonstrate the absence of any material issues of fact" (*Jacobsen v New York City Health & Hosps. Corp.*, 22 NY3d 824, 833 [2014], quoting *Alvarez v Prospect Hosp.*, 68 NY2d 320, 324 [1986]; *see* CPLR 3212 [b]). "If the moving party meets this burden, the burden then shifts to the non-moving party to 'establish the existence of material issues of fact which require a trial of the action' " (*Jacobsen*, 22 NY3d at 833, quoting *Vega v Restani Constr. Corp.*, 18 NY3d 499, 503 [2012]). In determining whether the non-moving party has created an issue of fact warranting denial of summary judgment, we are bound by the assertions raised in opposition below (*see De Lourdes Torres v Jones*, 26 NY3d 742, 764 n 5 [2016] [finding argument in support of motion for summary judgment not preserved where plaintiff did not raise it at trial court or cite supporting testimony]; *Bingham v New York City Tr. Auth.*, 99 NY2d 355, 359 [2003] [rejecting an argument in support of summary judgment raised for the first time on appeal]).[3]

As the majority explains, in the context of a release signed by a seaman, federal admiralty law provides that "the burden is upon one who sets up a seaman's release" to demonstrate (1) "that it was executed freely, without deception or coercion," and (2) "that it was made by the seaman with full understanding of his rights" (*Garrett v Moore-McCormack Co.*, 317 US 239, 248 [1942]; majority op at 28). "The adequacy of the consideration and the nature of the medical and legal advice available to the seaman at the time of signing the release are relevant to an appraisal of [the seaman's] understanding" (*Garrett*, 317 US at 248).

Texaco does not dispute that it bears the burden of proving the validity of the release (*see* majority op at 27). But while the law is "solicitous of seamen . . . it does not prevent them from entering into informed and voluntary settlements and from

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there is liability, and if so for how much, Congress has not said that parties may not settle their claims without litigation"]).

3. Although federal law governs the substance of this dispute (i.e., the validity of the release), New York law governs the procedural standard for determining a party's entitlement to summary judgment.

giving binding releases in connection therewith" (*Pereira v Boa Viagem Fishing Corp.*, 11 F Supp 2d 151, 153 [D Mass 1998]).[4]

III.

In support of its summary judgment motion, defendant proffered the duly executed release as well as plaintiff's 1997 complaint. The release provides, in no uncertain terms, that plaintiff discharged Texaco from "any and all claims"—including "any new or different diagnosis" he may receive—resulting from plaintiff's alleged asbestos exposure. Plaintiff does not dispute the authenticity of the release.

Turning to the *Garrett* factors, the majority apparently acknowledges that there is no issue as to whether the release was executed freely, without deception or coercion (*Garrett*, 317 US at 248; majority op at 30-31). Plaintiff acknowledged that he "carefully read" the release, and he swore before a notary public and two witnesses that he fully understood its import. Indeed, the terms of the release itself assure us that plaintiff signed the release "of [his] own free act." Nothing in the record contradicts these statements; plaintiff does not assert that he was somehow pressured or misled into signing the settlement agreement, or that the release was not signed freely and willingly (*see Orsini v O/S SEABROOKE O.N.*, 247 F3d 953, 959-960 [9th Cir 2001] [holding that defendant was not entitled to summary judgment where plaintiff alleged that he was "coerced into signing the Release" by the ship's captain and crew]; *Castillo v Spiliada Mar. Corp.*, 937 F2d 240, 245-246 [5th Cir 1991] [finding that plaintiff's affidavit, alleging a threat that charges would be filed against him if he failed to settle, was sufficient to reverse grant of summary judgment]; *Davis v American Commercial Lines, Inc.*, 823 F2d 1006, 1008 [6th Cir 1987] [holding that defendant was not entitled to summary judgment where plaintiff alleged specific instances of "over-reaching and misrepresentation by defendants"]).

With respect to the second part of the *Garrett* analysis, defendant sufficiently established that plaintiff entered into the release with a full understanding of his rights. As to the ade-

4. Both parties agree that, because plaintiff is a seaman, the *Garrett* standard governs (*see* majority op at 27-28). That said, this Court has noted that "there is something antiquated in the idea that seamen are less capable than other people of making contracts for themselves" and, for that reason, the *Garrett* doctrine "has shown some signs of erosion" (*Matter of Schreiber v K-Sea Transp. Corp.*, 9 NY3d 331, 339-340 [2007]).

quacy of the consideration, the majority does not contend that there is anything inherently unfair about the $1,750 Texaco paid to settle plaintiff's claim (majority op at 31; *see Baker v Helix Energy Solutions Group, Inc.*, 469 Fed Appx 327, 328-329 [5th Cir 2012] [affirming defendant's award of summary judgment where plaintiff received consideration of $4,800]; *Sitchon v American Export Lines*, 113 F2d 830, 830 [2d Cir 1940] [affirming defendant's award of summary judgment where plaintiff received consideration of $180]). In addition to suing Texaco, plaintiff also sought to collect from 115 other defendants—among them, large ship owners and major asbestos manufacturers. As to defendant's percentage of potential liability, plaintiff concedes that he spent fewer than 2 of his 37 years of service aboard Texaco's ships. Texaco also settled plaintiff's claims expeditiously—less than two months after plaintiff filed suit. That settlement included the thousands of other plaintiffs also represented by plaintiff's counsel, resulting in one lump-sum payment to plaintiff's law firm. It is undisputed that defendant was not involved in determining "what portion of the total sum" would be allocated to plaintiff (majority op at 24).

Significantly, Texaco consistently "denie[d] any and all liability," contending that it was responsible for $0 in damages. As defendants often do, Texaco offered payment as a "compromise" in order to "resolve the dispute between the parties" and "terminate" plaintiff's claims. Nor was the consideration "meager" relative to plaintiff's medical condition: at the time of the settlement, plaintiff did not have mesothelioma. The release encompassed the *risk* that he might develop the disease, as well as the *risk* that Texaco would be found liable. Of course, had plaintiff rejected a settlement in favor of trial, he may have recovered an even lower sum—or nothing at all.

With regard to legal advice, plaintiff was represented by counsel—an admiralty law firm. As the release makes clear, plaintiff discussed its contents with his attorney in order to ensure that he had "full knowledge of the contents and the purpose" of the release.[5] Because plaintiff was "represented by counsel," the "need for the Court to determine whether [he] fully understood his rights when executing [the] release is

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5. The majority suggests that this recitation was employed to "circumvent [ ]"—rather than satisfy—defendant's *Garrett* burden (*see* majority op at 31). That logic sets up an unworkable standard for maritime employers: the majority implores parties to write "careful and precise" releases (majority op at

(n. cont'd)

reduced" (*Nicolich v City of New York*, 1996 WL 99392, *2, 1996 US Dist LEXIS 2646, *6 [SD NY, Mar. 6, 1996, No. 95 CIV. 0053 (AGS)]; *see also Borne v A & P Boat Rentals No. 4, Inc.*, 780 F2d 1254, 1258 [5th Cir 1986] ["When a seaman is acting upon independent advice and that advice is disinterested and based on a reasonable investigation, there being no question of competence, a settlement agreement will not be set aside"]). Plaintiff has not challenged counsel's competence, or otherwise questioned the adequacy of the legal advice he received.

As to medical advice, plaintiff concedes that, at the time he signed the release, he had received a firm diagnosis: bilateral asbestos related pleural disease. Evidently, plaintiff also had been advised that serious health complications may be associated with his exposure to asbestos. As the complaint makes clear, he was aware of a number of potential medical risks from asbestos exposure, including lung cancer, rectal cancer, colon cancer, and mesothelioma, to name a few. The complaint also notes, among other things, that plaintiff "suffer[ed] harm in the form of necessity to be monitored for other asbestotic diseases." Plaintiff has not countered any of these statements, nor has he asserted that he received faulty or otherwise inadequate medical advice.

Citing the release itself, plaintiff asserts that the "boilerplate" language, coupled with the absence of any mention of mesothelioma, demonstrates that plaintiff did not intend to relinquish his current claim. In support of these arguments, plaintiff compares his release to those executed in *Wicker v Consolidated Rail Corp.* (142 F3d 690, 694-695 [3d Cir 1998]). In *Wicker*, several plaintiffs sued their employer for asbestos-related injuries. The parties settled, and the plaintiffs each signed a general release. Thereafter, the plaintiffs filed another lawsuit. The plaintiffs in *Wicker* conceded that their earlier releases barred claims related to their asbestos exposure (*id.* at 694), but argued that the releases did not bar their new claims based on exposure to other toxins. The *Wicker* court invalidated the "boiler plate" agreements, noting that one of the releases "merely recite[d] a series of generic hazards to which [plaintiffs] might have been exposed, rather than specific risks the employees faced during the course of their employment"

29 n 3), then distrusts the careful and precise language they use (majority op at 29, 30-31).

(*id.* at 701). Inclusion of those "generic hazards," the court held, was insufficient to establish that the plaintiff intended to relinquish his right to bring suit for injuries sustained as a result of exposure to other toxins. With respect to another plaintiff's "short, *pro forma* waiver[ ]," the *Wicker* court concluded that the release "d[id] not indicate the parties negotiated any part of the release[ ] other than the amount of settlement" (*id.*).

Here, unlike in *Wicker*, plaintiff expressly brought suit for injuries sustained from the *very same* asbestos exposure that formed the basis of his earlier claims—claims that even the *Wicker* plaintiffs acknowledged were barred by their earlier releases (*id.* at 694). Far from resembling a laundry list of generic hazards, plaintiff's release of Texaco includes agreed-upon carve-outs, specifically exempting "benzene or products containing benzene" from its scope (*see id.* at 701). Moreover, unlike the release in *Wicker*, plaintiff's release "recite[s] that plaintiff was aware of and understood the other risks to which he was exposed" (*id.* at 702). In fact, plaintiff expressly recognized the possibility that, as a result of his exposure, he might later face a "new or different diagnosis." Nonetheless, plaintiff released "any and all known or unknown, present or future, foreseen or unforeseen" injuries that may arise. By its plain terms, then, the release conclusively rebuts plaintiff's contention that it covers only those conditions mentioned by name.

In any event, plaintiff's *own* complaint makes clear that plaintiff was aware that mesothelioma was a "potential health risk[ ] to which he had been exposed" (*id.* at 701-702). In his 1997 suit, plaintiff explicitly acknowledged that, "[a]s a direct and proximate result" of his alleged exposure, he suffers "cancerphobia . . . , pneumoconiosis as well as exacerbation of existing diseases; and . . . pulmonary diseases *inclusive of . . . mesothelioma*" (emphasis added). Indeed, plaintiff sought to recover the "[c]osts of being forever medically monitored for disease onset and worsening," as well as damages for "harm in the form of necessity to be monitored for other asbestotic diseases." Plaintiff's current contention that he was unaware of the risk of mesothelioma is therefore belied by his own prior statements.

In relying on the "absence of mesothelioma" from the release (majority op at 30), the majority now requires settling parties to exhaustively catalog all conceivable, asbestos-related diseases—even those the plaintiff has specifically acknowledged—in order to release them. Not only does this undermine the parties' clear intent, it essentially precludes maritime plaintiffs from settling unknown or unforeseen claims. Here, for instance, while the release does not "mention mesothelioma" by name (majority op at 29), mesothelioma was still a "known" risk—recognized in plaintiff's complaint—encapsulated by the plain language of the release. Indeed, the release did not mention *any* health risks by name, including bilateral asbestos related pleural disease. Similarly, the release seeks to cover plaintiff's "unknown" and "unforeseen" injuries but, by definition, those conditions cannot be identified. Under the majority's rule, plaintiff apparently did not release any of these unenumerated claims—or perhaps any claims at all—even though the text of the release was designed to accomplish that precise result.

In sum, even under its heightened *Garrett* burden, defendant has tendered sufficient evidence to demonstrate the absence of any material issue of fact, thereby shifting the burden of proof to plaintiff to establish a material issue of fact (*Stivason v Love*, 122 F3d 1074 [9th Cir 1997] [table; text at 1997 WL 556299, *3, 1997 US App LEXIS 22858, *9 (1997) noting that the "objective evidence establishes that (plaintiff) understood what he was doing when he signed the settlement"]).

IV.

In denying summary judgment, the majority asserts that the record "is silent or ambiguous" on a number of supposedly material facts (majority op at 30). But any remaining gaps in the record are reflective only of *plaintiff*'s failure to come forward with any allegations—let alone proof—to rebut the assertions in defendant's motion. Conspicuously absent from the record is any testimony, affidavit, or statement from plaintiff asserting coercion, fraud, duress, incapacity, misunderstanding, lack of counsel, or any similar allegation that might warrant denial of summary judgment (*compare Simpson v Lykes Bros. Inc.*, 22 F3d 601, 601, 603 [5th Cir 1994] [granting summary judgment to defendant because plaintiff failed to submit an affidavit contradicting the plain language of the release to establish an issue of fact], *and Nicolich*, 1996 WL 99392, *3 n 4, 1996 US Dist LEXIS 2646, *11 n 4 [granting summary judgment to defendant because "counsel's own affirmation stating that 'plaintiff never intended to release the defendant of the claim' . . . cannot be used to create a factual dispute as to (p)laintiff's intent because it is not based on personal knowledge"], *with Davis*, 823 F2d at 1008-1009 [denying defendant's motion for summary judgment based on plaintiff's affidavit which raised issues of fact concerning plaintiff's understanding of his rights, including allegations that defendant stated "that counsel would not be necessary to settle this type of claim"], *and Halliburton v Ocean Drilling & Exploration Co.*, 620 F2d 444, 445 [5th Cir 1980] [relying on affidavit from plaintiff's physician, which indicated that plaintiff suffered from diminished mental capacity at the time of settlement, to reverse grant of summary judgment], *and Aguiluz-Nunez v Carnival Cruise Lines, Inc.*, 584 F2d 76, 78 [5th Cir 1978] [finding that plaintiff's affidavit and deposition testimony, which alleged that "the significance of the release was not explained to him, that his legal rights were not discussed . . . created a genuine issue of material fact (as to) whether (he) executed the release with full comprehension of the effects of his action"], *and Blanco v Moran Shipping Co.*, 483 F2d 63, 64 [5th Cir 1973] [holding that defendant was not entitled to summary judgment where the plaintiff, who "spoke and understood only Spanish," alleged that he "did not understand the legal effect of the release and executed it because he thought it represented no more than a receipt for his wages aboard (the) ship"], *and Irons v Matthews*, 2010 WL 2540347, *4, 2010 US Dist LEXIS 60015, *11-12 [D NJ, June 15, 2010, civ action No. 04-4825 (JEI/JS)] [denying summary judgment where the record included affidavits and deposition testimony indicating that plaintiff "did not consult with an attorney" and that "his rights, including claims of maintenance and cure, (were never) explained to him"], *and King v Waterman S S Corp*, 61 F Supp 969, 970 [SD NY 1945] [denying summary judgment based on affidavits indicating that plaintiff settled "without a full understanding of his legal rights and with inadequate information regarding his injuries"]). At bottom, defendant carried its burden of proof, and plaintiff did not raise a single triable issue of fact in opposition.

The majority's speculative assertions regarding conceivable—but unalleged—additional facts cannot cure this glaring deficit (*see Stivason*, 1997 WL 556299, *3, 1997 US App LEXIS 22858, *9). Plaintiff does not assert, for instance, that the release is invalid because of "how many cases Texaco settled," or "how much Texaco paid to settle as a lump sum," or "the considerations . . . that led to the allocation" of the settlement amount (majority op at 31). Plaintiff similarly does not argue that "the competence of [his] 1997 counsel" should be "questioned" (majority op at 31, 32). Nor does he assert a "lack of knowledge as to his condition at the time he signed the release" (majority op at 29-30), or that any "medical records documenting [his] condition" will demonstrate the release's invalidity (majority op at 31). Rather, the *majority* makes these scattered arguments on plaintiff's behalf, faulting defendant for failing to disprove every hypothetical assertion.[6]

Regrettably, the majority's holding sets a hopelessly high bar for defendants tasked with demonstrating the validity of a seaman's release. The majority's *Garrett* analysis resembles a blanket prohibition on settlements with seamen—a result that has been repeatedly rejected by federal courts (*see Simpson*, 22 F3d at 603 [granting defendant's motion for summary judgment based on a valid release by the seaman plaintiff]; *Nicolich*, 1996 WL 99392, *3 n 4, 1996 US Dist LEXIS 2646, *11 n 4 [same]; *see also Sitchon*, 113 F2d at 832 ["If such a settlement as the one in the case at bar is voidable, no release by a seaman could ever be free from attack, if he subsequently discovered that his injuries were greater than he anticipated when (he) execut(ed) the release"]; *McBrien v United States Petroleum Carrier's, Inc*, 177 F Supp 627, 635 [SD NY 1959] ["If a release is to be held invalid under these circumstances, it would be virtually impossible to settle seamen's cases without litigation or for a ship owner to purchase his peace at a reasonable and fair figure"]). Even worse, the majority's holding disturbs the finality of existing settlement agreements and, in doing so, discourages the swift resolution of these types of disputes (*Borne*, 780 F2d at 1257 ["If employers are denied any degree of confidence in the finality of a settlement, seamen will lose the option to settle since employers will have little incentive to avoid a full-scale trial on the merits"]). That result is "no kindness to the seaman, for it would make all settlements dangerous from the employer's standpoint and thus tend to force the seaman more regularly into the courts" (*Sitchon*, 113 F2d at 832).

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6. The majority also references a number of extraneous facts—for instance, that plaintiff signed the release "one day after Christmas," and that he was "in Florida" at the time (majority op at 30). Plaintiff argues no connection between these facts and the validity of the release. In any event, whether any meaningful inference may be drawn from them is both unclear and unexplained.

Purportedly applying federal law, the majority turns New York into a destination venue for seaman plaintiffs who no longer wish to abide by the terms of their valid settlements. That result is wrong on the law, and undermines the many important policy goals furthered by settlement agreements.

V.

Plaintiff negotiated and executed a release covering the risk that he would develop mesothelioma as a result of his alleged asbestos exposure aboard defendant's vessel. Defendant demonstrated the validity of that release, and plaintiff failed to contradict any of defendant's assertions. Defendant is therefore entitled to summary judgment.

Judges RIVERA, FAHEY and FEINMAN concur; Judge GARCIA dissents in an opinion in which Chief Judge DIFIORE and Judge STEIN concur.

Order affirmed, with costs, and certified question answered in the affirmative.

[122 NE3d 21, 98 NYS3d 504]

In the Matter of MENTAL HYGIENE LEGAL SERVICE, Respondent, v ANITA DANIELS, as Acting Director of Bronx Psychiatric Center, Appellant.

Argued January 8, 2019; decided February 14, 2019

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 12, 2017. The Appellate Division, with two Justices dissenting, affirmed an order of the Supreme Court, Bronx County (Ben R. Barbato, J.; op 55 Misc 3d 258 [2016]), which had (1) denied respondent's cross motion to dismiss the petition; and (2) granted the petition and ordered respondent, "in any action brought pursuant to Mental Hygiene Law § 9.31 (a), to provide petitioner with a complete copy of a respective patient's medical chart prior to a hearing as prescribed by Mental Hygiene Law § 9.31 (b)."

Matter of Mental Hygiene Legal Serv. v Daniels, 158 AD3d 82, reversed.

HEADNOTES

Parties — Standing — Proceeding Brought by Mental Hygiene Legal Service to Compel Psychiatric Center to Provide Patient Records Prior to Retention Hearings — Injury-in-Fact

1. Petitioner Mental Hygiene Legal Service did not have standing to initiate a proceeding in its own name seeking a writ of mandamus to compel respondent psychiatric hospital to provide copies of a patient's entire clinical chart when it provides notice of a request for an admission or retention hearing. Petitioner failed to allege—much less establish—that it had suffered an injury-in-fact within the protected zone of interests as a result of the asserted violation of Mental Hygiene Law § 9.31 (b), which requires a facility to provide notice of a hearing request with "a record of the patient" to petitioner. Petitioner did not show with any particularity that it suffered an actual harm to its own interests as opposed to those of the patients it serves. Rather, petitioner couched its interest in the dispute exclusively in terms of the needs and rights of its clients, noting that a complete copy of the clinical chart must accompany the Mental Hygiene Law § 9.31 notice because it "is necessary to protect the [client's] due process rights" and clients must receive adequate "notice of the evidence being used against them." There was no allegation relating to the number of hours that petitioner's employees would need to expend to copy records or the non-reimbursable expense, if any, that would be incurred if they were not supplied by respondent hospital. As respondent had never before provided copies of a patient's clinical file as part of the section 9.31 (b) notice, petitioner was well-positioned to describe the burden, if any, imposed on the agency and its attorneys as a result of respondent's long-standing practice, but it failed to do so.

Parties — Standing — Organizational Standing — Mental Hygiene Legal Service — Proceeding to Compel Psychiatric Center to Provide Patient Records Prior to Retention Hearings

2. Petitioner Mental Hygiene Legal Service did not have organizational standing to initiate a proceeding in its own name seeking a writ of mandamus to compel respondent psychiatric hospital to provide copies of a patient's entire clinical chart when it provides notice of a request for an admission or retention hearing, even if petitioner is viewed as an "organization" with "members." To the extent petitioner, a government entity that performs legal services, could be said to have "members" they would not be its clients. Petitioner did not demonstrate that it had been harmed—not just its clients—by respondent's alleged interference with rights and interests protected under the statute, which requires a facility to provide notice of a hearing request with "a record of the patient" to petitioner (Mental Hygiene Law § 9.31 [b]). The statutory scheme already provides a vehicle for adjudication of the rights of injured clients. Every patient subject to Mental Hygiene Law § 9.31 (b) is represented by counsel—petitioner—who has ample opportunity within an existing legal proceeding to object on the patient's behalf to any alleged violation of the statute. To the extent petitioner argues that its clients are unable to pursue their rights as a result of their illnesses, the legislature created petitioner and made its services available to all patients in mental health facilities to ensure that the constitutional and statutory interests of each individual would be protected. If a hospital violates notice or disclosure obligations, the court can fashion an appropriate remedy. Petitioner need not sue in its own name to enforce its clients' procedural rights, which can be protected in the ordinary course by traditional legal advocacy.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Mentally Impaired Persons §§ 78, 84; AM JUR 2d Parties §§ 28, 31, 32.

CARMODY-WAIT 2d Parties §§ 19:10–19:12.

MCKINNEY'S, Mental Hygiene Law § 9.31.

NY JUR 2d Infants and Other Persons Under Legal Disability §§ 57, 104, 105, 108; NY JUR 2d Parties §§ 13, 14, 16, 19, 23.

ANNOTATION REFERENCE

See ALR Index under Incompetent or Insane Persons; Medical Records; Parties.

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POINTS OF COUNSEL

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The lower courts should have dismissed this case without reaching the merits because the Mental Hygiene Legal Service lacks standing. (*Matter of MFY Legal Servs. v Dudley*, 67 NY2d 706; *Singleton v Wulff*, 428 US 106; *New York State Assn. of Nurse Anesthetists v Novello*, 2 NY3d 207; *Society of Plastics Indus. v County of Suffolk*, 77 NY2d 761; *Urban Justice Ctr. v Silver*, 66 AD3d 567; *Matter of Ford v Daniel R.*, 215 AD2d 294; *New York City Health & Hosps. Corp. v Brian H.*, 51 AD3d 412; *Matter of Gary F. [Bronx Psychiatric Ctr.]*, 143 AD3d 495; *Society of Plastics Indus. v County of Suffolk*, 77 NY2d 761; *Rudder v Pataki*, 93 NY2d 273.) II. In any event, the lower courts erred in granting mandamus because the Mental Hygiene Legal Service has not shown a clear statutory right to that remedy. (*Matter of Natural Resources Defense Council, Inc. v New York State Dept. of Envtl. Conservation*, 25 NY3d 373; *Matter of Council of City of N.Y. v Bloomberg*, 6 NY3d 380; *Matter of New York State Superfund Coalition, Inc. v New York State Dept. of Envtl. Conservation*, 18 NY3d 289; *Matter of Kaslow v City of New York*, 23 NY3d 78; *Matter of Kese Indus. v Roslyn Torah Found.*, 15 NY3d 485; *People v Pabon*, 28 NY3d 147; *Uribe v Merchants Bank of N.Y.*, 91 NY2d 336; *Matter of County of Chemung v Shah*, 28 NY3d 244; *Matter of County of Oneida v Berle*, 49 NY2d 515; *People v Aviles*, 28 NY3d 497.)

Marvin Bernstein, *Mental Hygiene Legal Service*, *First Judicial Department*, New York City (*Sadie Zea Ishee* of counsel), for respondent. I. Bronx Psychiatric Center has a mandatory duty to provide Mental Hygiene Legal Service with a complete copy of a "record of the patient" in advance of the patient's Mental Hygiene Law § 9.31 hearing. (*Matter of Murphy v New York State Div. of Hous. & Community Renewal*, 21 NY3d 649; *Matter of Peckham v Calogero*, 12 NY3d 424; *Matter of Howard v Wyman*, 28 NY2d 434; *Matter of Carver v State of New York*, 26 NY3d 272; *Christensen v Harris County*, 529 US 576; *Matter of Visiting Nurse Serv. of N.Y. Home Care v New York State Dept. of Health*, 5 NY3d 499; *Matter of Trump-Equitable Fifth Ave. Co. v Gliedman*, 57 NY2d 588; *Roberts v Tishman Speyer Props., L.P.*, 13 NY3d 270; *Vitek v Jones*, 445 US 480; *People v Lally*, 19 NY2d 27.) II. Mental Hygiene Legal Service has standing to sue for clarification and enforcement of Mental Hygiene Law § 9.31, both as an individual entity with rights set forth in that statute and as an organization asserting the claims of psychiatric patients whose rights it is mandated to protect. (*Matter of Dairylea Coop. v Walkley*, 38 NY2d 6; *Matter of Association for a Better Long Is., Inc. v New*

York State Dept. of Envtl. Conservation, 23 NY3d 1; *New York State Assn. of Nurse Anesthetists v Novello*, 2 NY3d 207; *Matter of Dental Socy. of State of N.Y. v Carey*, 61 NY2d 330; *National Org. for Women v State Div. of Human Rights*, 34 NY2d 416; *Mahoney v Pataki*, 98 NY2d 45; *Society of Plastics Indus. v County of Suffolk*, 77 NY2d 761; *Rudder v Pataki*, 93 NY2d 273; *Rivers v Katz*, 67 NY2d 485; *Addington v Texas*, 441 US 418.)

OPINION OF THE COURT

Chief Judge DiFiore.

Petitioner Mental Hygiene Legal Service (MHLS) is a government entity charged with providing legal services to patients of mental health facilities and hospitals "related to the admission, retention, and care and treatment of such persons" (Mental Hygiene Law § 47.03 [c]). The threshold determinative issue here is whether MHLS has standing to initiate a proceeding in its own name seeking a writ of mandamus to compel a hospital to comply with Mental Hygiene Law § 9.31 (b), which sets forth the procedure that must be followed after a patient requests an admission or retention hearing. Because MHLS lacks standing to bring this proceeding in its own name to vindicate its clients' rights under Mental Hygiene Law § 9.31 (b), we reverse the Appellate Division order, grant respondents' motion, and dismiss the petition and proceeding.

A mental health facility or hospital is authorized to admit a patient involuntarily if three physicians, including a psychiatrist, certify that the patient is mentally ill and in need of involuntary care and treatment (Mental Hygiene Law § 9.27 [a], [e]). A patient challenging admission can request a hearing before a judge, which is to be held within five days of notice to the court of the request (Mental Hygiene Law § 9.31 [c]).[1] To this end, Mental Hygiene Law § 9.31 provides that "[i]t shall be the duty of the [facility] upon receiving notice of such request for hearing to forward forthwith a copy of such notice with a record of the patient to the [court and] . . . the mental hygiene legal service" (Mental Hygiene Law § 9.31 [b]). The underlying dispute in this case is whether the "record of the patient" referred to in this statute includes a copy of the patient's entire clinical chart.

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1. The notice requirement is also triggered if the hospital files an application to retain the patient beyond the initial admission period, and the patient requests a hearing (*see* Mental Hygiene Law § 9.33 [c]).

Judicial hearings under section 9.31 are held at respondent Bronx Psychiatric Center (BPC) every Wednesday. MHLS has an office at that facility and it is undisputed that it has round-the-clock access to (and may copy) any clinical chart related to a client pursuant to Mental Hygiene Law § 47.03 (d). Prior to this litigation, upon learning of a request for a hearing, BPC's practice was to send both the court and MHLS copies of the notice of hearing, the client's admission, transfer, or retention papers, and the physician certificates supporting the client's confinement (*see* Mental Hygiene Law § 9.27 [e])—but it did not supply a copy of the patient's clinical chart. BPC did, however, bring the entire clinical chart—which includes clinical assessments, the client's medical history, and progress notes—to the hearing. According to BPC, the clinical chart usually consists of one or two binders totaling hundreds of documents and is continuously updated.

MHLS alleges that, in early 2016, it "began to notice problems with the medical charts offered into evidence by BPC" because "documents contained in the chart had been added or removed just prior to the hearing." MHLS filed this CPLR article 78 petition in the nature of mandamus, in its own name—and separate from any specific client or proceeding—seeking an order compelling BPC to provide copies of a patient's entire clinical chart when it provides notice of a request for an admission or retention hearing, arguing the clinical chart is part of the "record of the patient" under Mental Hygiene Law § 9.31.

BPC moved to dismiss the petition on the ground that MHLS lacked standing to bring such a claim in its own name, contending that MHLS had not shown an injury-in-fact. BPC argued that MHLS—which provides legal services to patients as its clients—could not pursue the claim because the statute at issue protects the clients' interests, rather than those of MHLS and, in any event, MHLS had not articulated an injury distinct from the harm purportedly suffered by its clients. Finally, BPC argued that MHLS could not rely on associational standing to assert a claim on behalf of its "members" because that government agency does not have "members." On the merits, BPC argued that Mental Hygiene Law § 9.31 does not clearly require it to provide copies of a patient's clinical chart as the phrase "record of the patient" is defined in section 9.01 to encompass the application and accompanying physician certificates relevant to initiation of the legal proceeding—not a patient's medical records.

In opposition to the motion, MHLS argued, among other things, that it had standing under common-law principles to assert a claim on behalf of its clients and contended that its "injury-in-fact" was that its ability to represent and advocate for patients was being frustrated by BPC's alleged noncompliance with section 9.31. On the merits, MHLS acknowledged that the operative phrase is defined in section 9.01 but contended that statute's reference to "regulations of the commissioner" required consideration of statutory and regulatory provisions found elsewhere in the Mental Hygiene Law (*see* Mental Hygiene Law § 33.16; 14 NYCRR 501.2), which indicate that a "patient record" means the patient's clinical record.

Supreme Court denied the hospital's motion to dismiss and granted the petition, determining that although MHLS does "not have individual standing to bring this action, it nevertheless has organizational standing" to assert its client's rights on the rationale that "those whom the statute seeks to protect . . . will not seek judicial intervention and, thus, a remedy" (55 Misc 3d 258, 265 [Sup Ct, Bronx County 2016]). Additionally, Supreme Court determined that MHLS had demonstrated a right to mandamus relief. Thus, Supreme Court ordered the hospital to provide MHLS with a "complete copy of a respective patient's medical chart prior to a hearing" (*id.* at 270).

With two Justices dissenting, the Appellate Division affirmed (158 AD3d 82 [1st Dept 2017]). The Court acknowledged that an organizational defendant must generally establish injury to itself or to a member in order to have standing. But it ultimately relied on the existence of "exceptional circumstances" in concluding that MHLS established associational standing. Moreover, the Court opined that MHLS had "alleged a specific and genuine burden on its resources" and its injury fell within the interests "sought to be provided or protected by the statutory provision that it invokes" (*see* 158 AD3d at 89). Finally, the Appellate Division concluded that MHLS was entitled to mandamus relief.

The dissenting Justices found it unnecessary to address the standing issue, reasoning that because MHLS had not established a clear legal right "to be provided with complete copies of patient charts at BPC's expense" the claim failed on the merits (*id.* at 95). The dissent emphasized that this case is not about MHLS' access to medical charts or its ability to make copies of patient records to fulfill its advocacy function because a separate statute guarantees round-the-clock access. Further, the dissent disagreed that the dispute is governed by Mental Hygiene Law article 33 and regulations promulgated thereunder, noting that the term "record" as used in section 9.31 is defined in section 9.01 to comprise the admission, transfer or retention papers or orders and their "accompanying data"—the medical certificates supporting the application.

BPC appealed to this Court as of right (CPLR 5601 [a]) and we now reverse the Appellate Division order, grant the motion to dismiss the petition for lack of standing, and dismiss the proceeding.

"Under the common law, there is little doubt that a 'court has no inherent power to right a wrong unless thereby the civil, property or personal rights of the plaintiff in the action or the petitioner in the proceeding are affected' " (*Society of Plastics Indus. v County of Suffolk*, 77 NY2d 761, 772 [1991], quoting *Schieffelin v Komfort*, 212 NY 520, 530 [1914]). Related to this principle is "a general prohibition on one litigant raising the legal rights of another" (*Society of Plastics*, 77 NY2d at 773). Thus, if the issue of standing is raised, a party challenging governmental action must meet the threshold burden of establishing that it has suffered an "injury in fact" and that the injury it asserts "fall[s] within the zone of interests or concerns sought to be promoted or protected by the statutory provision under which the [government] has acted" (*New York State Assn. of Nurse Anesthetists v Novello*, 2 NY3d 207, 211 [2004]).[2] The injury-in-fact requirement necessitates a showing that the party has "an actual legal stake in the matter being adjudicated" and has suffered a cognizable harm (*see Society of Plastics*, 77 NY2d at 772) that is not "tenuous," "ephemeral," or "conjectural" but is sufficiently concrete and particularized to warrant judicial intervention (*Novello*, 2 NY3d at 214; *see Spokeo, Inc. v Robins*, 578 US —, —, 136 S Ct 1540, 1548 [2016]).

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2. As we explained in *Society of Plastics*,

> "[t]he question of standing . . . may, of course, be answered by the statute at issue, which may identify the class of persons entitled to seek review (*see, e.g.,* State Finance Law art 7-A declaring that 'any citizen-taxpayer should have and hereafter does have a right to seek the remedies provided for herein' [State Finance Law § 123])" (77 NY2d at 769).

But Mental Hygiene Law article 9 does not contain a standing provision authorizing MHLS to initiate an enforcement suit in its own name. Accordingly, our common-law standards govern here.

An organization can establish standing in several ways. Under the standard established in *Society of Plastics* (*see* 77 NY2d at 775), it may demonstrate "associational standing" by asserting a claim on behalf of its members, provided "that at least one of its members would have standing to sue, that it is representative of the organizational purposes it asserts and that the case would not require the participation of individual members" (*Novello*, 2 NY3d at 211). Alternatively, an organization can demonstrate "standing in its own right to seek judicial relief from injury to itself and to vindicate whatever rights and immunities the association itself may enjoy" (*Warth v Seldin*, 422 US 490, 511 [1975]; *see Society of Plastics*, 77 NY2d at 772-773). Under this option, an organization—just like an individual—must show that it has suffered an "injury in fact" and that its concerns fall within the "zone of interests" sought to be protected by the statutory provision under which the government agency has acted (*see Society of Plastics*, 77 NY2d at 774-775; *Matter of Colella v Board of Assessors of County of Nassau*, 95 NY2d 401, 409-410 [2000]).

Here, MHLS asserts standing to enforce Mental Hygiene Law § 9.31, claiming that it possesses interests derived therefrom. That statute provides:

> "It shall be the duty of the director upon receiving notice of such request for hearing to forward forthwith a copy of such notice with a record of the patient to the supreme court or the county court in the county designated by the applicant, if one be designated, or if no designation be made, then to the supreme court or the county court in the county where such hospital is located. A copy of such notice and record shall also be given the mental hygiene legal service" (Mental Hygiene Law § 9.31 [b]).

Mental Hygiene Law § 9.01, a definitional provision, states that the " 'record' of a patient shall consist of admission, transfer or retention papers and orders, and accompanying data required by this article and by the regulations of the commissioner." Beyond agreement that this definition applies, the parties dispute what documents comprise the "record" or the "accompanying data."[3] But regardless of the nature of the documents that must be supplied to the court (with a copy to MHLS), one thing is clear: Mental Hygiene Law § 9.31 (b) is a notice provision aimed at alerting the court and a patient's counsel "forthwith" that the patient has requested a hearing to challenge the propriety of admission or continued retention. This enables the court to promptly schedule a hearing within five days of the patient's request and facilitates representation by MHLS at that hearing. The statute is comparable to other procedural rules found elsewhere in the law intended to ensure the just and expeditious resolution of litigants' claims by the courts. In this instance, the rights and interests that Mental Hygiene Law § 9.31 (b) endeavors to protect are those of the patient-litigant who has requested judicial review.

[1] On this record, MHLS does not have standing to bring this petition under any of the available routes because it failed to allege—much less establish—that it has suffered an injury-in-fact within the protected zone of interests as a result of the asserted violation of Mental Hygiene Law § 9.31. First, MHLS has not shown with any particularity that it has suffered an actual harm to its own interests as opposed to those of the patients it serves. Rather, MHLS couches its interest in this dispute exclusively in terms of the needs and rights of its clients, noting that a complete copy of the clinical chart must accompany the Mental Hygiene Law § 9.31 notice because it "is necessary to protect the [client's] due process rights" and clients

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3. MHLS posits that the phrase "record of the patient" is synonymous with the terms "[c]ase record, clinical record, medical record, or patient record," which are defined in a regulation (14 NYCRR 501.2 [a]) as the "clinical record as such term is defined in [Mental Hygiene Law § 33.16]." Alternatively, MHLS asserts that the clinical record is "accompanying data" within the meaning of section 9.01 and, thus, that section 9.31 functions as a discovery or evidentiary rule, requiring the hospital to provide the clinical chart in advance of the hearing. In contrast, BPC asserts that it is unnecessary to look beyond Mental Hygiene Law article 9 to discern the meaning of "record of the patient" because the definition in section 9.01 governs, which references legally relevant admission, transfer or retention papers (which function as pleadings in an admission or retention proceeding) and their "accompanying data." BPC maintains that phrase refers to the physician certificates that must "accompany" any such application under section 9.27 (a) and (e), both of which use derivations of the verb "accompany" to reference those supporting documents. It would make no sense, argues BPC, to interpret Mental Hygiene Law § 9.31 as requiring that the notice to the court and counsel (necessary to schedule a prompt hearing and ensure representation by MHLS) be delayed while hospital staff make copies of voluminous medical charts.

must receive adequate "notice of the evidence being used against them."

In Supreme Court, MHLS did not predicate its standing claim on the assertion that BPC's failure to provide copies of the clinical chart imposes an undue burden on MHLS attorneys or other agency resources, nor does the record contain sworn factual allegations describing such a burden with particularity. The premise of MHLS' claim—which we accept for standing purposes—is that a physical copy of a patient's clinical chart must be in MHLS' possession at the time notice of the hearing is given. But notably lacking from this record is any allegation relating to the number of hours that MHLS employees would need to expend to copy records or the non-reimbursable expense, if any, that would be incurred if they are not supplied by the hospital. This is significant because, prior to this proceeding, BPC had never provided copies of a patient's clinical file as part of the Mental Hygiene Law § 9.31 (b) notice. Thus, MHLS was well-positioned to describe the burden, if any, imposed on the agency and its attorneys as a result of BPC's long-standing practice—yet it did not do so. Indeed, although it claims that prior to the hearing it must have a copy of the clinical chart, rather than access to it, in order to effectively represent clients, MHLS never alleged in the record that it actually copied a single patient's clinical chart. Thus, the legal services provider has not established an injury-in-fact within the zone of interests protected by the statute.

[2] For the same reasons, MHLS has not established associational standing, even if it is viewed as an "organization" with "members." Preliminarily, we reject MHLS' invitation to dispense with the "member" requirement as this would require us to eliminate the first prong of the *Society of Plastics* standard, which requires a showing that at least one member of the organization has standing to sue (*see also Matter of Dental Socy. of State of N.Y. v Carey*, 61 NY2d 330, 333-334 [1984]).[4] To the extent MHLS, a government entity that performs legal services, could be said to have "members" they would not be its clients.

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4. Under the federal test for associational standing set forth in *Hunt v Washington State Apple Advertising Comm'n* (432 US 333, 344 [1977]), MHLS lacks the requisite "indicia of membership," even viewing its clients as members, because MHLS clients "do not 'elect' its members, do not 'serve' on the association, and do not 'finance its activities' " (*see Mental Hygiene Legal Serv. v Cuomo*, 609 Fed Appx 693, 695 [2d Cir 2015]). We have no occasion to reject or adopt the federal "indicia of membership" analysis.

In this respect, *Matter of MFY Legal Servs. v Dudley* (67 NY2d 706 [1986]) is instructive. In *Dudley*, a not-for-profit legal services corporation initiated a proceeding in its own name seeking a writ of prohibition against a group of Supreme Court Justices to prohibit them from issuing certain ex parte orders in summary proceedings involving real property. This Court found that petitioner lacked standing, noting it had not adequately alleged an injury-in-fact because its claimed injury—"that the entry of default judgments without inquests results in a greater demand for its services than holding inquests"—was too speculative (*id.* at 708). To the extent the organization asserted associational standing, the Court found it did not meet the standard because "none of [its] lawyer members has standing" and, "[u]nless its members have standing, [an organization] can claim none as their representative" (*id.*). The Court rejected the notion that a lawyer has standing to commence litigation as a representative of its clients, noting that "what petitioner is attempting to do is to sue on its own behalf for a declaration of its potential clients' rights"—something it could not do (*id.*). The same is true here.

MHLS' failure to adequately assert an injury-in-fact here is evident when this case is compared to others in which an organization or entity has been deemed to have standing to challenge government action in its own name. For example, in *Mahoney v Pataki* (98 NY2d 45, 49-50 [2002]), a group of attorneys who represented defendants in capital cases sought a declaration that fees for legal and paralegal assistance were authorized under Judiciary Law § 35-b, challenging the Director of the State Division of the Budget's policy interpreting the statute as limiting compensation to only lead and associate counsel. We held that although the attorney plaintiffs' "pecuniary interests are not the primary motivation behind Judiciary Law § 35-b, those interests nonetheless derive from a right that is conferred by statute, i.e., the right to be adequately compensated for services as determined in accordance with the approved fee schedule" (*id.* at 52). Thus, the attorney plaintiffs—who were seeking a separate funding stream to pay supportive employees—asserted an injury-in-fact that was within the zone of interests protected by the statute (*id.*). Although MHLS suggests otherwise, we did not predicate standing on the fact that assigned counsel were specifically referenced in the statute but applied our traditional analysis, concluding that Judiciary Law § 35-b conferred certain distinct rights on that class of legal service providers.

Likewise, in *Dental Socy.*, the Court found that an organization representing all licensed dentists in New York State had standing to challenge the legality of the State's Medicaid dental fee reimbursement schedule on the ground that it violated federal regulations because it did not reasonably reflect the current cost of delivering dental services (*see* 61 NY2d at 333-335). Although the fee schedule certainly affected the rights of patients because only 5% of dentists statewide were willing to accept Medicaid, it directly impacted the interests of the organization's dentist-members by providing allegedly inadequate compensation for services rendered.

In contrast to the scenarios in *Mahoney* and *Dental Socy.*, here MHLS has not demonstrated that it has been harmed—not just its clients—by BPC's alleged interference with rights and interests protected under the statute. The statutory scheme already provides a vehicle for adjudication of the rights of injured clients. Indeed, every patient subject to Mental Hygiene Law § 9.31 (b) is represented by counsel—MHLS—who has ample opportunity within an existing legal proceeding (the admission or retention proceeding) to object on the patient's behalf to any alleged violation of the statute (thereby making a factual record appropriate for judicial review).[5] To the extent MHLS argues that its clients are unable to pursue their rights as a result of their illnesses, the legislature created MHLS and made its services available to all patients in mental health facilities to ensure that the constitutional and statutory interests of each individual would be protected. If the hospital violates notice or disclosure obligations, the court can fashion an appropriate remedy. MHLS need not sue in its own name to enforce its clients' procedural rights, which can be protected in the ordinary course by traditional legal advocacy.

Because we conclude that MHLS lacked standing to maintain this proceeding, we do not reach the issue of whether Mental Hygiene Law § 9.31 (b) requires a psychiatric hospital to provide a court and MHLS with a copy of a patient's entire clinical chart when providing notice that a patient is requesting a hearing, which remains an open question.

Accordingly, the Appellate Division order should be reversed, without costs, the motion to dismiss the petition granted and the proceeding dismissed.

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5. For this reason, we have no occasion to consider the efficacy of the "exceptional circumstances" rationale for standing cited by the courts below.

RIVERA, J. (dissenting). The issue on this appeal is whether a state-run psychiatric facility must provide Mental Hygiene Legal Service (MHLS) a complete copy of the patient's medical record, in advance of a hearing requested on behalf of a person involuntarily confined pursuant to article 9 of the Mental Hygiene Law. The majority holds that MHLS lacks standing to challenge the denial of the contested documents, even though the law specifically requires the facility provide MHLS a copy of the patient's record. To reach this anomalous and erroneous conclusion, the majority adopts an onerous standard unsupported by law. Compounding its error, the majority misconstrues the jurisprudential underpinnings of our party-standing doctrine, which are designed to ensure that the plaintiff is a proper party to seek judicial review and that resources are conserved for those cases where the party asserts an injury. Our standing principles seek to avoid litigation by a party with no, or attenuated interests in the action—a party that literally cannot identify a particular stake in the outcome (*see Society of Plastics Indus. v County of Suffolk*, 77 NY2d 761, 772 [1991]). Those principles were never meant to close the courthouse door on an individual or entity, like MHLS, specifically named by the legislature as an intended beneficiary of the government's statutory obligation and who claims some harm due to the government's noncompliance.

In addition to establishing that it has standing, MHLS is also correct on the merits of its substantive claim. In accordance with Mental Hygiene Law §§ 9.31 (b); 9.01, and 33.16, and section 501.2 of the Regulations of the Commissioner of the New York State Office of Mental Health (14 NYCRR), a patient's record includes the clinical record, which, in turn, is defined broadly and encompasses the documents sought by MHLS. Therefore, I would affirm the Appellate Division as I agree with its conclusion that mandamus was properly granted here, although, unlike that Court, I conclude that the standing question is addressed by reference to the statute in the first instance.

I.

Statutory and Regulatory Framework

In furtherance of our State's mental health policies, the legislature created and charged MHLS with "provid[ing] legal assistance to patients or residents of a facility [for the mentally disabled,] to persons alleged to be in need of care and treatment in such facilities . . . , and to persons entitled to such legal assistance as provided by [Mental Hygiene Law] article ten" (Mental Hygiene Law § 47.01 [a]). In other words, MHLS is statutorily required to provide legal assistance to anyone subject to possible civil confinement.

On this appeal, MHLS seeks compliance with the statutory and regulatory mandates applicable to retention hearings for persons involuntarily committed under article 9 of the Mental Hygiene Law. As relevant here, section 9.31 (a) states, in part,

> "If, at any time prior to the expiration of sixty days from the date of involuntary admission of a patient on an application supported by medical certification, [the patient] or any relative or friend or the mental hygiene legal service gives notice in writing to the director [at the facility where the patient is held] of request for hearing on the question of need for involuntary care and treatment, a hearing shall be held as herein provided."

Upon receiving such notice, the director shall "forward forthwith a copy of [the] notice with a record of the patient to the . . . court" and "*[a] copy of such notice and record shall also be given the mental hygiene legal service*" (Mental Hygiene Law § 9.31 [b] [emphasis added]).

By its terms, the facility's obligation to provide a copy of the patient's record to MHLS in advance of the retention hearing applies even in those cases where MHLS is not the counsel of record for the patient. In other words, MHLS must receive a copy of the patient record in every retention hearing.[1] Furthermore, the record is the same record that must be provided to the hearing court.

The definitional section of article 9 provides that the " 'record' of a patient shall consist of admission, transfer or retention papers and orders, and accompanying data required by this article and by the regulations of the commissioner" (Mental Hygiene Law § 9.01). The commissioner refers to the Commissioner of the New York State Office of Mental Health (OMH) (*see* Mental Hygiene Law § 1.03 [2]).

1. Since the statute specifically names MHLS and *not* the patient as the recipient of the record, and Mental Hygiene Law § 9.31 (b) applies even when the patient retains counsel, the majority's characterization of the statute as "comparable to other procedural rules found elsewhere in the law" (majority op at 52), is incorrect. Other procedural rules recognize the right as belonging to a litigant, not to a specifically named governmental entity.

Pursuant to the Commissioner's statutory authority to issue regulations that are "necessary and proper to implement any matters under [the Commissioner's] jurisdiction" (Mental Hygiene Law § 7.09 [b]; *see also* Mental Hygiene Law § 31.04), the Office of Mental Health has set forth definitions of general applicability. Under part 501, titled Mental Health Services—General Provisions, "[c]ase record, clinical record, medical record, or patient record means clinical record as such term is defined in section 33.16 of the Mental Hygiene Law, whether created or maintained in writing or electronically" (14 NYCRR 501.2 [a]). Mental Hygiene Law § 33.16 defines "clinical record" to include

> "any information concerning or relating to the examination or treatment of an identifiable patient or client maintained or possessed by a facility which has treated or is treating such patient or client, except data disclosed to a practitioner in confidence by other persons on the basis of an express condition that such data would never be disclosed to the patient or client or other persons, provided that such data has never been disclosed by the practitioner or a facility to any other person" (Mental Hygiene Law § 33.16 [a] [1]).

II.

Factual and Procedural History

Judicial retention hearings for patients involuntarily confined at Bronx Psychiatric Center (BPC) pursuant to article 9 are typically held one day a week in a courtroom at BPC. In accordance with the Mental Hygiene Law, a patient, their relative or friend, or MHLS may demand such hearing and upon notice to the director of BPC, the director must provide a copy of the patient's record to the hearing court and MHLS (Mental Hygiene Law § 9.31 [a], [b]).

During one of those weekly hearing dates, MHLS made an oral application related to all cases on the day's calendar, requesting Supreme Court direct BPC to provide copies of the complete hospital records for the patients before the hearing, records which counsel had requested a month prior and had not yet received. BPC had provided the admission, transfer, and retention application papers and orders, but not the patient's complete hospital record or "chart," which BPC maintains only in paper form, in binders, at its facility.

The court issued an order directing BPC to turn over the patients' complete hospital records prior to the hearing as part of BPC's Mental Hygiene Law § 9.31 (b) document obligations. BPC moved to vacate on procedural grounds, arguing the proper vehicle to challenge its action was a CPLR article 78 proceeding. Pursuant to the parties' stipulation, the court withdrew the order and MHLS filed the instant article 78 proceeding in its own name, in the nature of mandamus, asserting the same legal arguments and request for relief as before, namely that BPC turn over a copy of each patient's entire medical records in advance of the hearing as mandated by the statute and applicable regulation. BPC cross-moved to dismiss the petition for lack of standing and because its statutory obligation was not sufficiently clear to warrant mandamus relief.

Supreme Court denied BPC's cross motion and granted the petition (55 Misc 3d 258 [Sup Ct, Bronx County 2016]). The court concluded that MHLS had standing and that BPC was legally obligated to provide the entire chart to MHLS, in accordance with Mental Hygiene Law § 9.31 (b) when read together with Mental Hygiene Law §§ 9.01, 33.16 (a), and 14 NYCRR 501.2 (a). The Appellate Division affirmed in a split decision (*Matter of Mental Hygiene Legal Serv. v Daniels*, 158 AD3d 82, 84-94 [1st Dept 2017] [holding that MHLS had standing as an organization and that MHLS was entitled to mandamus relief since BPC violated its statutory obligation]).

III.

MHLS Standing for Purposes of Mental Hygiene Law § 9.31

A. New York's Standing Doctrine

"Standing is, of course, a threshold requirement for a plaintiff seeking to challenge governmental action" (*New York State Assn. of Nurse Anesthetists v Novello*, 2 NY3d 207, 211 [2004]).

> "Whether a person seeking relief is a proper party to request an adjudication is an aspect of justiciability which, when challenged, must be considered at the outset of any litigation. Standing . . . rest[s] in part on policy considerations, that a person should be allowed access to the courts to adjudicate the merits of a particular dispute that satisfies other justiciability criteria" (*Society of Plastics Indus.*, 77 NY2d at 769 [citation omitted]).

Under our general rule of standing, "a plaintiff must show 'injury in fact,' meaning that plaintiff will actually be harmed by the challenged administrative action . . . , [and] the injury a plaintiff asserts must fall within the zone of interests or concerns sought to be promoted or protected by the statutory provision under which the agency has acted" (*Nurse Anesthetists*, 2 NY3d at 211).

> "The existence of an injury in fact—an actual legal stake in the matter being adjudicated—ensures that the party seeking review has some concrete interest in prosecuting the action which casts the dispute 'in a form traditionally capable of judicial resolution.' The requirement of injury in fact for standing purposes is closely aligned with our policy not to render advisory opinions" (*Society of Plastics Indus.*, 77 NY2d at 772-773 [citations omitted]).

The "zone of interests" requirement is an "essential principle of standing" and represents a judicial "prudential limitation[ ]" (*id.* at 773). It is "the crucial test for standing in the administrative context" (*id.*), and "assures that groups whose interests are only marginally related to, or even inconsistent with, the purposes of the statute cannot use the courts to further their own purposes at the expense of the statutory purposes" (*id.* at 774). In cases against the government, "while the universe of potential plaintiffs must be circumscribed in order to avoid misuse of legal challenges to administrative actions, we must preserve access to the courts for those who have been wrongly injured by administrative action (or inaction) directly flowing from statutory authority" (*Mahoney v Pataki*, 98 NY2d 45, 52 [2002]).

The Court has developed a flexible party-standing jurisprudence which recognizes the different concerns implicated by the type of plaintiff and the nature of the claim asserted. For example, we have imposed different requirements on membership organizations than on individuals. Unlike an individual who can point to a personal harm, an associational organization must establish "that at least one of its members would have standing to sue, that it is representative of the organizational purposes it asserts and that the case would not require the participation of individual members" (*Nurse Anesthetists*, 2 NY3d at 211). We also have recognized that the standards apply differently where the government action may aggrieve the larger community. Thus, because land use and environmental cases involve issues affecting the general population, we have required that the plaintiff "suffer direct harm, injury that is in some way different from that of the public at large" (*Society of Plastics Indus.*, 77 NY2d at 774-775). This explains why, "in cases involving environmental harm, the standing of an organization could be 'established by proof that agency action will directly harm association members in their use and enjoyment of the affected natural resources' " (*Matter of Save the Pine Bush, Inc. v Common Council of City of Albany*, 13 NY3d 297, 304 [2009] [citation omitted]).

In each of these iterations of our standing rule, the core requirements remain unchanged: the plaintiff must allege an injury-in-fact that falls within the zone of interests sought to be promoted or protected by the statute. However, plaintiff's standing is always judged in light of the prudential concern that animates the rule: plaintiff should be the proper party to assert the challenge (*Society of Plastics Indus.*, 77 NY2d at 769). This jurisprudential flexibility has not translated into an onerous burden on the plaintiff (*see e.g. Save the Pine Bush*, 13 NY3d at 301 ["a person who . . . uses and enjoys a natural resource more than most other members of the public" had standing to challenge governmental actions threatening that resource]; *Matter of Sierra Club v Village of Painted Post*, 26 NY3d 301 [2015] [landowner alleging increased train noise from trains moving water had standing to challenge village's surplus water agreement]; *Matter of Village of Woodbury v Seggos*, 154 AD3d 1256 [3d Dept 2017] [neighboring landowners and municipalities had standing to seek annulment of village's water withdrawal permit]; *Mixon v Grinker*, 157 AD2d 423 [1st Dept 1990] [Coalition for the Homeless had standing to sue to compel city to provide HIV-infected persons with medically appropriate housing]).

Most relevant here, "[t]he question of standing to challenge particular governmental action may, of course, be answered by the statute at issue, which may identify the class of persons entitled to seek review" (*Society of Plastics Indus.*, 77 NY2d at 769).[2] In practice, this means a plaintiff's burden to establish standing is substantially diminished where a statute identifies

2. I reject the interpretation suggested by the majority that *Society of Plastics* creates a two-track approach to standing—one based on reference to the statute and one based in common law (majority op at 50 n 2). Our common-law jurisprudence on standing always governs our analysis but the statute itself informs that analysis. As *Society of Plastics* recognized, stand-

(n. cont'd)

them as a beneficiary of the government's duty or obligation giving rise to the plaintiff's claim. Specifically, the plaintiff is relieved of the burden to establish compliance with the zone of interests prong because by directly naming an individual or entity, the legislature has made express its determination that the interests and concerns of its designee align with the statutory purpose. Unlike our prior cases, where the beneficiary was uncertain, we need not fathom whether the plaintiff's interests are of the type that the legislature sought to protect because the legislature has provided the answer in the statute itself. Put another way, we no longer worry "that it cannot reasonably be assumed that [the drafters] intended to permit the suit" (*Society of Plastics Indus.*, 77 NY2d at 774 [internal quotation marks omitted]), because that is the conclusion compelled by the statutory language. Obviously, the jurisprudential concerns fundamental to our prior decisions are not implicated when the plaintiff is the beneficiary of the government's statutory obligation.

Although a named beneficiary's interests may align with the purpose of the statute, the beneficiary must still allege an injury-in-fact. Otherwise, the court's consideration of the claim would be a thought exercise, leading to an advisory opinion, and the exact type of judicial action that the standing rule seeks to avoid (*Community Bd. 7 of Borough of Manhattan v Schaffer*, 84 NY2d 148, 155 [1994]; *see generally Cuomo v Long Is. Light. Co.*, 71 NY2d 349 [1988]). More to the point, "[i]njury in fact thus serves to define the proper role of the judiciary, and is based on 'sound reasons, grounded not only in theory but in the judicial experience of centuries, here and elsewhere, for believing that the hard, confining, and yet enlarging context

ing may be established by reference to a statute. By way of example, the Court cited a law which created a cause of action for certain individuals to sue (State Finance Law § 123). This illustrated that by creating a cause of action for those individuals, the legislature explicitly and simultaneously expressed that they are within the statutory zone of interests. While a court must still assure itself that plaintiff satisfies the zone of interests requirement, it is a far simpler question when the statute names a group or entity—as the statute does here. Contrary to the majority's view, the statute need not also provide a cause of action to the named party; that right may be found elsewhere. Such is the case with Mental Hygiene Law § 9.31, which need not create a general cause of action for MHLS to sue because MHLS appropriately brought this action pursuant to article 78 (*see* CPLR 7801). The majority's approach defies common sense and turns the zone of interests analysis on its head by ignoring that MHLS is named in the Mental Hygiene Law—which is the clearest indicator of the legislature's intent.

of a real controversy leads to sounder and more enduring judgments' " (*Society of Plastics Indus.*, 77 NY2d at 773, quoting Bickel, The Least Dangerous Branch 115 [1962]).

Of course, it will be the rare case where the plaintiff, as the object of a statute that requires government to provide it with some service or benefit, cannot establish injury-in-fact. The reason being that the loss of the government benefit is the harm. In other words, when government fails to provide what the legislature has mandated, the beneficiary, by definition, suffers harm. Thus, a plaintiff's allegations of an alleged failure to comply with the statutory mandate to provide something constitutes an injury-in-fact for standing purposes.

B. MHLS Standing to Challenge BPC's Practice

Applying these principles here, MHLS easily establishes its standing to demand BPC's compliance with Mental Hygiene Law § 9.31 (b). According to MHLS, BPC's practice of not providing a copy of the complete record before the hearing violates BPC's statutory obligation and places MHLS in the position of representing a patient without benefit of an advance copy of the patient's full medical records, even though BPC regularly seeks to admit these records as evidence at the hearing.

As Mental Hygiene Law § 9.31 (b) specifically requires that the facility director provide a copy of the patient's record to MHLS—not the patient—MHLS is the named beneficiary of this legal obligation. It is "directly affected" by BPC's actions and MHLS is an entity "whose interests may be said to be placed in jeopardy under the statutory provisions" (*Matter of Legal Aid Socy. of Sullivan County v Scheinman*, 53 NY2d 12, 15 [1981]). It has suffered the harm of not receiving the patient's record from BPC.[3]

The majority departs from the fundamental precepts of our standing doctrine, and mechanically adopts a threshold that is ill-conceived and dismissive of the prudential concerns that have informed our jurisprudence to conclude that MHLS has no standing in this case. The conclusion that MHLS cannot

3. To be clear, MHLS has individual standing as the entity named in the statute. This is not a case of a plaintiff asserting associational rights of a membership organization, or an organizational plaintiff asserting solely the beneficial rights of others. Thus, we need not consider, as the majority does, whether MHLS satisfies the requirements for associational or organizational standing (majority op at 53-54). That standard simply has no application to MHLS for the claims asserted.

meet the injury-in-fact requirement is in part based on the erroneous premise that MHLS must establish economic harm. Our cases do not require a plaintiff suffer a pecuniary loss, only that the injury be actual and not hypothetical or abstract (*Matter of Dental Socy. of State of N.Y. v Carey*, 61 NY2d 330, 334 [1984] ["(I)njury in fact need not be demonstrated by out-of-pocket loss"]). Even if economic harm were a necessary prerequisite to standing, MHLS would meet that test. It cannot be rationally disputed that when BPC fails to provide the copy as required under Mental Hygiene Law § 9.31 (b), MHLS must expend financial and personnel resources to make its own copy—indeed the entire reasoning of the dissent below was that the financial burden of making copies should fall on MHLS, not BPC (*Daniels*, 158 AD3d at 101-102 [Friedman, J.P., dissenting]). This is a cost MHLS would not have to incur but for BPC's alleged noncompliance with its statutory obligation. It is no response that MHLS has access to the record onsite at BPC, and thus could continuously monitor the records for changes, because that would be an additional burden imposed because of BPC's refusal to provide what the statute requires. After all, the legislature has seen fit to provide MHLS with both access to the record and a copy of the patient's record in order to fulfill its mandated obligations. Moreover, regardless of whether MHLS could seek costs—and there is no certainty that it would be reimbursed or fully made whole through a fee award process—we have never held that a party is not injured simply because the injury may be mitigated after the fact. To so hold would call into question the standing of parties alleging financial injury who are insured or capable of seeking indemnification. Simply stated, whether a party chooses to mitigate the harm is irrelevant because the very act of trying to make do without the government benefit to which the party is statutorily entitled is an injury-in-fact.

Since the statute refers to MHLS specifically as the recipient of the copy of the patient's record, it is irrelevant that the patient is an implicit beneficiary of the statutory provision. Contrary to the majority's suggestion, we have never supplanted an implicit beneficiary for an expressly named beneficiary. In any case, the majority fails to address this Court's prior recognition that there may be several beneficiaries that fall within the zone of interests created by the statute (*Mahoney*, 98 NY2d at 52).

This case is not like *Matter of Legal Aid Socy. of Sullivan County v Scheinman* (53 NY2d 12 [1981]), where Legal Aid sued in its own name in an article 78 proceeding for a writ in the nature of mandamus to compel the lower court judge to have charges against a defendant prosecuted by indictment and the matter presented to a grand jury pursuant to CPL 170.25, as had been requested by the defendant in the underlying criminal matter.[4] In dicta, this Court noted what it termed "the questionable standing of the Legal Aid Society" because "[t]he only party directly affected is the client, whose interests may be said to be placed in jeopardy under the statutory provisions," and Legal Aid was seeking "an advisory declaratory opinion on the basis of which it may formulate the advice to be given to its client" (*id.* at 15). In contrast, MHLS is directly affected by BPC's refusal to provide a copy of the documents which MHLS argues are part of the patient's record: MHLS must either incur actual costs or risk the denial of the record adversely impacting its ability to satisfy its professional obligations to the patient as client and to the court when the patient has private counsel. Moreover, a ruling on this issue is not solely a declaration of the patient's rights, but also clarifies the rights of MHLS based on BPC's statutory obligation to provide it with the patient's record in preparation for the hearing.

The instant appeal is more akin to *Mahoney v Pataki*, which involved claims by attorneys, and *Dental Socy. of State of N.Y. v Carey*, which involved claims by an organization of dentists, where this Court held they had standing to challenge the lack of sufficient reimbursement for their services because they fell within the zone of interest created by the statutes that provided for their payment, even though the clients and Medicaid recipients, respectively, were the "primary beneficiaries" of those laws.

It is wholly anomalous for the majority to conclude that an unnamed party (an article 9 patient) has standing to sue, but the party chosen by legislature for special treatment under the statute (MHLS) cannot pursue a claim for alleged violation of the government's duties and obligations to that named party. If an organization dedicated to protection of the endangered butterfly (*Save the Pine Bush*, 13 NY3d 297), and an individual resident living near a train station (*Sierra Club*, 26 NY3d 301) had standing without being named in the relevant law, there is

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4. *Scheinman* is a perfect illustration of the majority's "procedural rule" that is not present here. Only the defendant is named in CPL 170.25, not the Legal Aid Society.

no logical basis to conclude that MHLS lacks standing to demand the documents at issue here when the legislature has named MHLS as the recipient of the government obligation imposed by the statute. Certainly, the statutory command that MHLS provide legal assistance to article 9 patients—facilitated by BPC's provision of a copy of the patient's clinical chart—is no less consequential than an individual's desire to enjoy one of nature's wonders or to live free from the increased noise of passing railroad cars at night.

The majority's erroneous decision also leads to unnecessary expenditure of judicial resources and additional burdens on an already overtaxed MHLS, in direct contravention of the goals of our standing doctrine. As the majority acknowledges, MHLS may start an action in the name of one of its BPC patient clients. In other words, MHLS will litigate, and BPC will have to defend against, the same challenge for a third time. This is a particularly absurd outcome because MHLS is challenging a policy that applies in every case heard at BPC, so that a determination on the merits here would save administrative and judicial resources. Moreover, under the majority's standing rule, MHLS is in the untenable position of choosing to challenge the introduction of the record without an advance copy, possibly delaying the retention hearing and extending an unjustified confinement, and prejudicing its position in case of an appeal. This serves no identifiable prudential interests and undermines the legislative intent of Mental Hygiene Law § 9.31 (b).

IV.

Mandamus Relief was Properly Granted

A. Standard for Article 78 Mandamus Relief

"[A]rticle 78 relief in the form of mandamus to compel may be granted only where a petitioner establishes a 'clear legal right' to the relief requested" (*Matter of Council of City of N.Y. v Bloomberg*, 6 NY3d 380, 388 [2006], quoting *Matter of Brusco v Braun*, 84 NY2d 674, 679 [1994]). "[M]andamus . . . is an extraordinary remedy" (*Brusco*, 84 NY2d at 684), which "lies to compel the performance of a purely ministerial act" (*Legal Aid*, 53 NY2d at 16; *see New York Civ. Liberties Union v State of New York*, 4 NY3d 175, 184 [2005]; CPLR 7803 [1]). In other words, "[m]andamus is used to enforce an administrative act positively required to be done by a provision of law" (*Matter of*

County of Chemung v Shah, 28 NY3d 244, 266 [2016], citing *Matter of Walsh v LaGuardia*, 269 NY 437, 441 [1936]). Here, the Mental Hygiene Law and Commissioner's regulation leave no room for dispute that BPC must turn over a copy of a patient's medical record to MHLS and the court prior to the article 9 hearing.

B. MHLS's Clear Legal Right to the Disputed Records

Whether MHLS has a clear legal right to a copy of the disputed records depends on the scope of BPC's legal duty to provide MHLS with a copy of the patient's record in advance of the retention hearing and what constitutes "the record of the patient." That duty is defined by the applicable sections of article 9 and the Commissioner's regulations, which we interpret in accordance with our well-established rules of statutory and regulatory construction.

"It is fundamental that a court, in interpreting a statute, should attempt to effectuate the intent of the Legislature" (*Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205, 208 [1976]; McKinney's Cons Laws of NY, Book 1, Statutes § 92 [a]). The statutory text is the clearest indicator of legislative intent and the words should be given their natural and obvious meaning (*see Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998]; Statutes § 94). "Interpretation of a statute by the agency charged with its enforcement is, as a general matter, given great weight and judicial deference so long as the interpretation is neither irrational, unreasonable nor inconsistent with the governing statute" (*Matter of Moran Towing & Transp. Co. v New York State Tax Commn.*, 72 NY2d 166, 173 [1988] [citation omitted]; *see also Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451, 459 [1980]). However, "[w]here the question is one of pure legal interpretation of statutory terms, deference to the [agency] is not required" (*Matter of Raritan Dev. Corp. v Silva*, 91 NY2d 98, 102 [1997] [internal quotation marks and citation omitted]). Similarly, where an agency interprets its own regulation, deference should be given if the interpretation is " 'not irrational or unreasonable' " (*Samiento v World Yacht Inc.*, 10 NY3d 70, 79 [2008], quoting *Matter of Chesterfield Assoc. v New York State Dept. of Labor*, 4 NY3d 597, 604 [2005]).

Contrary to BPC's argument, we are presented with a straightforward statutory interpretation question about the meaning of these provisions and no deference is due the Commissioner. Regardless, the record does not establish the Commissioner's interpretation of the statute and her regulations. She is not a party or intervenor in this action, and BPC did not submit evidence constituting an official interpretive guidance from OMH. Even assuming, for the limited purposes of this appeal, that we were inclined to ignore foundational precepts of administrative law and accept BPC's representations as to what it claims is the Commissioner's interpretation of the statute and regulations, it would not change the analysis. As I discuss, because BPC's proposed construction is at odds with the plain language of the statute and regulation and contrary to the intent of the Mental Hygiene Law, it is not a rational or reasonable interpretation entitled to judicial deference.

Mental Hygiene Law § 9.01 defines record as including "accompanying data required by this article *and by* the regulations of the commissioner" (emphasis added). The regulation (14 NYCRR 501.2 [a]) specifies that "patient record means clinical record as such term is defined in section 33.16 of the Mental Hygiene Law," and Mental Hygiene Law § 33.16 (a) (1) defines a "clinical record" broadly as encompassing the patient's entire medical record. Thus, the "record" that must be provided pursuant to Mental Hygiene Law § 9.01 is the same "clinical record" as defined in Mental Hygiene Law § 33.16 (a) (1).

BPC argues that article 9 defines record solely as "admission, transfer or retention papers and orders, and accompanying data required by this article and by the regulations of the commissioner" (Mental Hygiene Law § 9.01). BPC asserts that the Commissioner's definition of "record" does not apply to article 9 (despite being in a section providing definitions for the entire title on Mental Hygiene Law) and, therefore, the regulation does not "supplant" the definition of record set forth in Mental Hygiene Law § 9.01. What Mental Hygiene Law § 9.01 permits, according to BPC, is for the Commissioner to define by regulation the statute's reference to "accompanying data," which BPC maintains the Commissioner has not done.

BPC is correct that Mental Hygiene Law § 9.01 sets forth a definition for the patient's record, but BPC misinterprets the implications of this statutory language. Section 9.01 quite plainly states that the record consists of "accompanying data" as required by article 9 and the Commissioner's regulations. Thus, it is the legislature that has incorporated into the statutory definition data identified by the Commissioner through her regulation. The relevant regulation here, 14 NYCRR 501.2

(a), refers back to Mental Hygiene Law § 33.16, and by incorporation and cross reference, includes the patient's clinical records held by the facility, which are the binders BPC presents at the patient's retention hearing. The fact that this regulation is definitional and applies generally to matters described in the regulations and the Mental Hygiene Law means that it applies to sections 9.01 and 9.31. A broad classification applies absent limiting language (*cf.* Statutes § 114). Here there is none, and if the Commissioner intended that a patient's records would not include the medical charts she would have limited the regulation accordingly.

To the extent BPC represents before this Court that the Commissioner has a practice of interpreting the accompanying data narrowly, that assertion is contradicted by the fact that other facilities provide MHLS with a copy of the patient's medical record in advance of the hearing. Indeed, the Appellate Division majority recognized as much (*Daniels*, 158 AD3d at 91-92).

If this were not enough to establish the flaw of BPC's proposed interpretation, BPC's construction of Mental Hygiene Law § 9.31 also violates the intent of that section and places in jeopardy the patient's liberty interests. It is undisputed that BPC's practice at each retention hearing is for counsel to bring the original and only copy of the patient's medical chart in paper format housed in multiple binders. Counsel then offers the binders into evidence. The court does not retain the binders because counsel returns them to the hospital ward after the hearing, as required by Mental Hygiene Law § 33.13. The contents of these binders are neither copied nor provided in advance to MHLS or the hearing court, notwithstanding the mandates of Mental Hygiene Law § 9.31 (b). As MHLS argues, under this practice there is no complete record of the retention hearing preserved for appeal. Nevertheless, under BPC's reading of the statute, counsel for BPC may rely upon these documents in support of the patient's continued involuntary confinement. That result contravenes the intent of Mental Hygiene Law § 9.31 (b) to provide a set of documents in advance of the hearing that may assist the court in reaching its determination.[5]

BPC's interpretation is also nonsensical. BPC concedes that Mental Hygiene Law § 33.16 provides a patient and the

5. As is clear from all of the writings in the courts below, no judge who has considered this case has interpreted Mental Hygiene Law § 9.31, as the

(n. cont'd)

patient's statutorily listed representative with the right to inspect and photocopy these medical records. Similarly, there is no dispute that MHLS has access to these records at all times, but in the case of BPC, that access means going in person to where each patient's chart is located on the ward, because BPC's records are maintained in paper form. Of course, this is all the more reason for BPC to provide a copy of the medical records to MHLS so that there is no disparity in what constitutes the patient's medical record for MHLS and the hearing court.[6]

V.

Mental Hygiene Law §§ 9.31, 9.01, 33.16 and the Commissioner's regulation, 14 NYCRR 501.2 (a), clearly set forth that BPC must provide an advance hard copy to MHLS of the medical chart upon which BPC will rely at the hearing. The court below properly granted mandamus "to enforce an administrative act positively required to be done by a provision of law" (*Chemung*, 28 NY3d at 266). Therefore, I dissent as I would affirm the Appellate Division.[7]

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majority does here, as a statutory mandate that the director provide an advance copy of the patient's record as a notice requirement intended for the patient (majority op at 52). With good reason, since that interpretation is belied by the plain language and legislative purpose of Mental Hygiene Law § 9.31. Specifically, subdivision (a) identifies the only notice to be given as the request for a hearing to be provided to the facility director (Mental Hygiene Law § 9.31 [a]); subdivision (b) mandates that upon receipt of that notice, the facility director provide it along with the patient's record to the court and MHLS. Read in context these subdivisions establish that the notice and the record serve different purposes. That conclusion is supported by Mental Hygiene Law § 9.01, which defines the "record of a patient" as including various named documents that on their face are relevant to the underlying decision on the continued retention of the patient and are not intended as "notice" of an action (Mental Hygiene Law § 9.01 [record of patient includes "admission, transfer or retention papers and orders" as well as accompanying data]). Hence, the intended purpose of Mental Hygiene Law § 9.31 (a) and (b) is to provide the court and MHLS with a copy of what will constitute documentation of the patient's mental health status, necessary for the court's ultimate decision on whether to continue a patient's involuntary commitment, and not merely "notice" to the patient of that action.

6. Any additions made between when the record is provided to MHLS and when the hearing is held can be dealt with on a rolling basis or at the hearing, but the majority of the patient's record must be provided and established before then.

7. I have no occasion to opine on the Appellate Division's conclusion that MHLS has organizational standing under its departmental precedent based on "exceptional circumstances involving organizations that were dedicated to

(n. cont'd)

Judges STEIN, GARCIA and FEINMAN concur; Judge RIVERA dissents in an opinion in which Judges FAHEY and WILSON concur.

Order reversed, without costs, motion to dismiss the petition granted and the proceeding dismissed.

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protecting a class of individuals" (*Daniels*, 158 AD3d at 88). I reach my conclusion that MHLS has standing in accordance with our well-established standing doctrine.

[122 NE3d 40, 98 NYS3d 523]

U.S. BANK NATIONAL ASSOCIATION, Solely in its Capacity as Trustee of the ASSET BACKED SECURITIES CORPORATION HOME EQUITY LOAN TRUST, SERIES AMQ 2006-HE7 (ABSHE 2006-HE7), Respondent, v DLJ MORTGAGE CAPITAL, INC., Appellant.

Argued January 9, 2019; decided February 19, 2019

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered July 7, 2016. The Appellate Division, insofar as appealed from, affirmed an order of the Supreme Court, New York County (Marcy Friedman, J.; op 2015 NY Slip Op 30424[U] [2015]), which had dismissed the complaint without prejudice on the ground that plaintiff did not fulfill a contractual condition precedent to suit.

U.S. Bank N.A. v DLJ Mtge. Capital, Inc., 141 AD3d 431, affirmed.

HEADNOTE

Limitation of Actions — Commencement of Action after Termination of Prior Action

CPLR 205 (a) applies to a residential mortgage-backed securities (RMBS) trustee's second action when its timely first action is dismissed for failure to comply with a contractual condition precedent. If a timely brought action has been terminated for any reason other than one specified in CPLR 205 (a), the plaintiff may commence another action based on the same transaction or occurrence within six months of the dismissal of the first action, even if the second action would be subject to a statute of limitations defense, so long as the second action would have been timely if commenced when the first action was brought. The statute applies in instances where an action has been terminated for some fatal flaw unrelated to the merits of the underlying claim and is to be liberally construed. Since RMBS notice and sole remedy provisions are not substantive elements of the cause of action, but rather are procedural prerequisites, they are not related to the merits of a claim based on alleged violations of representations and warranties and they do not affect when the statute of limitations commences because the limitations clock begins to run when the contract is executed. Here, plaintiff, the trustee of an RMBS trust, commenced an action against defendant, the original purchaser of the loans who was contractually required to cure a breach or repurchase a loan in the event that the loan originator was unable, within six years of the execution of the pooling and servicing agreement (PSA) and the reconstitution agreement containing the representations and warranties. Plaintiff's cause of action was timely as it accrued upon execution of the PSA, i.e., when defendant agreed to act as a backstop to the loan originator's obligations. Because plaintiff's failure to comply with the contractual notice and cure or repurchase condition within the limitations period did not foreclose its refiling of its action under CPLR 205 (a), its claims were properly dismissed without prejudice.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d Limitation of Actions §§ 251–254, 258, 260, 269.

Carmody-Wait 2d Limitation of Actions §§ 13:445, 13:448–13:451, 13:457.

McKinney's, CPLR 205 (a).

NY Jur 2d Limitations and Laches §§ 311, 314–317.

Siegel, NY Prac § 52.

ANNOTATION REFERENCE

See ALR Index under Limitation of Actions; Savings Clause.

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POINTS OF COUNSEL

Orrick, Herrington & Sutcliffe LLP, New York City (*Barry S. Levin, John Ansbro, Richard A. Jacobsen, Paul F. Rugani, Daniel W. Robertson, Daniel A. Rubens* and *Matthew R. Shahabian* of counsel) and Washington, D.C. (*Robert Loeb* and *Randall C. Smith* of counsel), for appellant. I. A plaintiff's failure to comply with a mandatory contractual remedial provision within the limitations period requires the action to be dismissed with prejudice as untimely. (*ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.*, 25 NY3d 581; *Deutsche Bank Natl. Trust Co. v Quicken Loans Inc.*, 810 F3d 861; *Matter of Donaldson Acoustics v New York Inst. of Tech.*, 249 AD2d 391; *Matter of Meegan S. v Donald T.*, 64 NY2d 751; *DeCrosta v Reynolds Constr. & Supply Corp.*, 41 NY2d 1100.) II. CPLR 205 (a) does not permit refiling of these time-barred claims. (*Matter of Oriskany Cent. School Dist. [Booth Architects]*, 85 NY2d 995; *DeCrosta v Reynolds Constr. & Supply Corp.*, 41 NY2d 1100; *Matter of Goldstein v New York State Urban Dev. Corp.*, 13 NY3d 511; *Yonkers Contr. Co. v Port Auth. Trans-Hudson Corp.*, 93 NY2d 375; *Fleming v Long Is. R.R.*, 72

NY2d 998; *Matter of Morris Invs. v Commissioner of Fin. of City of N.Y.*, 69 NY2d 933; *Carrick v Central Gen. Hosp.*, 51 NY2d 242; *ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.*, 25 NY3d 581; *Great N. Ins. Co. v Interior Constr. Corp.*, 7 NY3d 412; *Southern Wine & Spirits of Am., Inc. v Impact Envtl. Eng'g, PLLC*, 104 AD3d 613.) III. Dismissing the trustee's claims as time-barred respects the bargain struck by the parties. (*General Supply & Constr. Co. v Goelet*, 241 NY 28; *Filmline [Cross-Country] Prods., Inc. v United Artists Corp.*, 865 F2d 513; *Medspan Shipping Serv., Ltd. v Prudential Lines, Inc.*, 541 F Supp 1076; *Harper v Delaware Val. Broadcasters, Inc.*, 743 F Supp 1076; *ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.*, 25 NY3d 581.) IV. Alternatively, regardless of CPLR 205 (a), the complaint must be dismissed as untimely because the trustee did not file suit within six years of being assigned rights under the master loan purchase agreement. (*Portfolio Recovery Assoc., LLC v King*, 14 NY3d 410; *National Urban Ventures, Inc. v City of Niagara Falls*, 78 AD3d 1525.)

Selendy & Gay PLLC, New York City (*Philippe Z. Selendy, Andrew R. Dunlap, Yelena Konanova* and *Ryan W. Allison* of counsel), and *Kasowitz Benson Torres LLP*, New York City (*Hector Torres, David J. Abrams* and *David J. Mark* of counsel), for respondent. I. The trustee may bring a new action under CPLR 205 (a). (*ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.*, 25 NY3d 581; *Victor v New York City Tr. Auth.*, 112 AD3d 523; *Carrick v Central Gen. Hosp.*, 51 NY2d 242; *George v Mt. Sinai Hosp.*, 47 NY2d 170; *Bingham v New York City Tr. Auth.*, 99 NY2d 355; *Follman v World Fin. Network Natl. Bank*, 721 F Supp 2d 158; *Matter of Brua Cab Corp. v Royal Indem. Co.*, 275 AD2d 778; *Fleming v Long Is. R.R.*, 72 NY2d 998; *Buchholz v United States Fire Ins. Co.*, 265 AD 467, 293 NY 82; *Matter of Morris Invs. v Commissioner of Fin. of City of N.Y.*, 69 NY2d 933.) II. The trustee's claims against Ameriquest Mortgage Company accrued on the trust's closing date, when Ameriquest restated its warranties for the trustee's benefit in the reconstitution agreement. (*U.S. Bank N.A. v DLJ Mtge. Capital, Inc.*, 121 AD3d 535.) III. The trustee's claim against DLJ Mortgage Capital, Inc. accrued when Ameriquest Mortgage Company became "unable" to repurchase the breaching loans. (*Hahn Automotive Warehouse, Inc. v American Zurich Ins. Co.*, 18 NY3d 765; *ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured*

Prods., Inc., 25 NY3d 581; *American Trading Co. v Fish*, 42 NY2d 20; *Acadia Woods Partners, LLC v Signal Lake Fund LP*, 102 AD3d 522; *Tanges v Heidelberg N. Am.*, 93 NY2d 48; *Hulbert v Clark*, 128 NY 295; *Martin v Julius Dierck Equip. Co.*, 43 NY2d 583; *Johnson v Albany & Susquehanna R.R. Co.*, 54 NY 416; *Matter of Schwartz*, 44 AD3d 779.)

Wachtell, Lipton, Rosen & Katz, New York City (*Elaine P. Golin, Graham W. Meli, Jordan L. Pietzsch* and *David Shieh* of counsel), for Securities Industry and Financial Markets Association, amicus curiae. I. The trustee's failure to comply with the bargained-for repurchase protocol forecloses relief under CPLR 205 (a). (*Yonkers Contr. Co. v Port Auth. Trans-Hudson Corp.*, 93 NY2d 375; *Gaines v City of New York*, 215 NY 533; *ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.*, 25 NY3d 581; *Dreger v New York State Thruway Auth.*, 81 NY2d 721; *Matter of Meegan S. v Donald T.*, 64 NY2d 751; *Matter of Oriskany Cent. School Dist. [Booth Architects]*, 85 NY2d 995; *Hakala v Deutsche Bank AG*, 343 F3d 111; *Breed v Insurance Co. of N. Am.*, 46 NY2d 351; *Carrick v Central Gen. Hosp.*, 51 NY2d 242; *Fleming v Long Is. R.R.*, 72 NY2d 998.) II. Permitting the trustee to refile its claims under CPLR 205 (a) would thwart the purpose of the repurchase protocol and its notice-and-cure provisions. (*US Bank, N.A. v UBS Real Estate Sec. Inc.*, 205 F Supp 3d 386; *NML Capital v Republic of Argentina*, 17 NY3d 250; *Ambac Assur. Corp. v Countrywide Home Loans, Inc.*, 31 NY3d 569; *Nomura Home Equity Loan, Inc., Series 2006-FM2 v Nomura Credit & Capital, Inc.*, 30 NY3d 572; *ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.*, 25 NY3d 581.) III. The trustee cannot benefit from CPLR 205 (a) in the HEAT action because it was not "the plaintiff" that brought the initial action. (*Reliance Ins. Co. v PolyVision Corp.*, 9 NY3d 52; *Deutsche Bank Natl. Trust Co. v Quicken Loans Inc.*, 810 F3d 861; *Batchelder v Council Grove Water Co.*, 131 NY 42; *Cortlandt St. Recovery Corp. v Bonderman*, 31 NY3d 30.)

OPINION OF THE COURT

Rivera, J.

U.S. Bank National Association in its capacity as trustee of the ABSHE 2006 residential mortgage-backed securities (RMBS) trust seeks to sue DLJ Mortgage Capital, Inc. (DLJ), the sponsor and seller of the trust securitization, for alleged violations of representations and warranties regarding the quality of the loans contained in the trust. The initial action against DLJ was dismissed for failure to comply with a contractual condition precedent, without prejudice to refiling. DLJ asserts this was error as the court should have dismissed with prejudice.

As a general rule, under CPLR 205 (a) a subsequent action may be filed within six months of a non-merits dismissal of the initial timely-filed matter. Here, we conclude that CPLR 205 (a) applies to an RMBS trustee's second action when its timely first action is dismissed for failure to comply with a contractual condition precedent.

I.

Factual and Procedural Background

DLJ purchased a group of residential mortgage loans from codefendant Ameriquest Mortgage Company, the loan originator, pursuant to a mortgage loan purchase and interim servicing agreement (MLPA). In the MLPA, Ameriquest made various representations and warranties regarding the general underwriting practices and quality of the individual loans. Defendants later entered a reconstitution agreement (RA) stating that all the provisions of the MLPA remain "in full force and effect." Under the RA, Ameriquest reiterated its representations and warranties regarding loan quality in substantially identical language "to and for the benefit of" the trustee. DLJ sold the loans to nonparty Asset Backed Securities Corporation (ABSC). ABSC, DLJ, and U.S. Bank, among others, entered a pooling and servicing agreement (PSA), establishing the underlying trust and ABSC conveyed its rights under the MLPA and RA to the trustee.

As is typical of these agreements, the MLPA, RA, and PSA contain a now familiar sole remedy provision, which requires any party that discovers a breach to promptly notify the other relevant party, and upon notice, allows Ameriquest time to remedy the defect (*see e.g. ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.*, 25 NY3d 581, 598-599 [2015]). Under that provision, no action for breach of the representations and warranties may be brought until Ameriquest has had 90 days to cure or repurchase the allegedly noncompliant loans. The PSA also contains what the parties call a "backstop provision," which requires DLJ to "cure

[an] applicable breach or repurchase a related Mortgage Loan" in the event that Ameriquest is "unable" to comply with its cure-or-repurchase obligation.

After the effective date of the PSA and RA, the trustee notified only DLJ, not Ameriquest, that Ameriquest had breached the representations and warranties of several loans and demanded that DLJ cure or repurchase those loans. When DLJ failed to remedy the breach, the trustee filed an action within six years of the execution of the PSA and RA.

DLJ moved to dismiss the complaint, in part, as untimely. Supreme Court found the action to be timely-commenced, but dismissed the complaint without prejudice to refiling pursuant to CPLR 205 (a) based on the trustee's failure to comply with the sole remedy provision by notifying Ameriquest prior to commencing suit (*U.S. Bank N.A. v DLJ Mtge. Capital, Inc.*, 2015 NY Slip Op 30424[U] [2015]). The Appellate Division affirmed (141 AD3d 431, 432 [1st Dept 2016]). We granted DLJ leave to appeal and dismissed the trustee's motion for leave as untimely (29 NY3d 1027 [2017]).

II.

Applicability of CPLR 205 (a)

DLJ argues that our prior holding in *ACE* controls here and stands for the proposition that an action based on alleged violations of RMBS representations and warranties is untimely if the trustee does not provide notice and an opportunity to cure as required by the PSA, within the CPLR six-year statute of limitations. For its part, the trustee maintains that the notice to seller and opportunity to cure or repurchase the defective loan requirement is a procedural condition precedent that does not impact the running of the six-year statute of limitations, and therefore the first filed action was properly dismissed without prejudice to the trustee refiling pursuant to CPLR 205 (a). We agree with the trustee.

CPLR 205 (a) provides, in relevant part,

> "If an action is timely commenced and is terminated in any other manner than by a voluntary discontinuance, a failure to obtain personal jurisdiction over the defendant, a dismissal of the complaint for neglect to prosecute the action, or a final judgment upon the merits, the plaintiff, or, if the plaintiff

> dies, and the cause of action survives, [the plaintiff's] executor or administrator, may commence a new action upon the same transaction or occurrence or series of transactions or occurrences within six months after the termination provided that the new action would have been timely commenced at the time of commencement of the prior action and that service upon defendant is effected within such six-month period."

This provision implements the legislature's "policy preference for the determination of actions on the merits" (*Matter of Goldstein v New York State Urban Dev. Corp.*, 13 NY3d 511, 521 [2009]). The statute is remedial in nature and, where applicable, "allow[s] plaintiffs to avoid the harsh consequences of the statute of limitations and have their claims determined on the merits where . . . a prior action was commenced within the limitations period, thus putting defendants on notice of the claims" (*Malay v City of Syracuse*, 25 NY3d 323, 329 [2015]). The Court has also warned that the provision's "broad and liberal purpose is not to be frittered away by any narrow construction" (*Matter of Morris Invs. v Commissioner of Fin. of City of N.Y.*, 69 NY2d 933, 935 [1987], quoting *Gaines v City of New York*, 215 NY 533, 539 [1915]).

> "The effect of the statute is quite simple: if a timely brought action has been terminated for any reason other than one of the . . . reasons specified in the statute, the plaintiff may commence another action based on the same transactions or occurrences within six months of the dismissal of the first action, even if the second action would otherwise be subject to a Statute of Limitations defense, so long as the second action would have been timely had it been commenced when the first action was brought" (*George v Mt. Sinai Hosp.*, 47 NY2d 170, 175 [1979]).

"The statute by its very terms comes into operation in instances where a proceeding has been terminated for some fatal flaw unrelated to the merits of the underlying claim . . . and it is to be liberally construed" (*Morris*, 69 NY2d at 936).

In *ACE*, we held that the statute of limitations for alleged violations of the representations and warranties in an RMBS agreement commences on the effective date of those promises. Two certificate holders had notified the trustee of alleged breaches of the representations and warranties in several mortgage loans (25 NY3d at 591). When the trustee failed to sue, the certificate holders filed their own lawsuit against the sponsor six years from the date of the contract execution (*id.* at 591-592). Months later, after the expiration of the statute of limitations, the trustee sought to be substituted as plaintiff and filed a complaint on behalf of the trust (*id.* at 592). The sponsor moved to dismiss the complaint as untimely because it was filed more than six years after the contract was executed (*id.*). We rejected the trustee's argument that the action accrued only once the notice and cure provisions were satisfied (*id.* at 597). We clarified that the provisions were a procedural prerequisite to suit and not a substantive condition precedent to the seller's performance, as the trustee argued (*id.* at 597-598).

DLJ maintains that *ACE* requires the trustee here to have complied with the notice and sole remedy provision—including affording DLJ 90 days in which to cure—before filing a complaint within the six-year statute of limitations. Contrary to DLJ's interpretation of *ACE*, we held only that the notice and sole remedy provisions did not delay accrual for statute of limitations purposes (*id.* at 599 [defendant's "failure to cure or repurchase was not a substantive condition precedent that deferred accrual of the Trust's claim; instead, it was a procedural prerequisite to suit"]). We did not expressly hold, and it is not implicit in our analysis, that failure to comply with those provisions before the expiration of the statute of limitations rendered the trustee's action untimely. In point of fact, *ACE* turned on when claims for breach of representations and warranties accrue, not whether failure to comply with a remedial provision within the limitation period bars those claims (*see id.* at 597-599). What made the trustee's claims untimely in *ACE* was that the claims accrued when the underlying agreement was executed, and the trustee did not commence its action within six years of that date.

Indeed, the sponsor argued in *ACE*, similar to DLJ here, that the certificate holders' summons and notice was a nullity because they did not comply with the notice and cure or repurchase deadlines before bringing their lawsuit. We did not address CPLR 205 (a) in *ACE*, and we left open the precise question disputed by the trustee and DLJ: whether the notice and cure or repurchase condition precedent in an RMBS agreement must be satisfied within six years of when the contract is executed in order for a trustee to maintain a timely action for alleged breaches of mortgage loan representations and warranties.

The difference between a procedural and substantive condition precedent is well-established. A condition precedent is substantive when it "describe[s] acts or events which must occur before a party is obliged to perform a promise made pursuant to an existing contract" (*IDT Corp. v Tyco Group, S.A.R.L.*, 13 NY3d 209, 214 [2009]). In other words, the condition is "part of the cause of action and necessary to be alleged and proven, and without this no cause of action exist[s]" (*ACE*, 25 NY3d at 597, quoting *Dickinson v Mayor of City of N.Y.*, 92 NY 584, 591 [1883]). As the Court explained in *ACE*, and reaffirmed in *Deutsche Bank Natl. Trust Co. v Flagstar Capital Mkts.* (32 NY3d 139 [2018]), RMBS notice and sole remedy provisions are not substantive elements of the cause of action, but instead limitations on the remedy for a breach of the mortgage loan representations and warranties (*id.* at 149; *ACE*, 25 NY3d at 598). They serve as a precondition, "a procedural prerequisite to suit," not a separate undertaking by the trustee (*ACE*, 25 NY3d at 598). Since notice and sole remedy provisions "do[ ] not create a substantive condition precedent" (*Deutsche Bank*, 32 NY3d at 148), they do not affect when the statute of limitations commences because the limitations clock begins to run when the contract is executed.

Nevertheless, DLJ argues that the trustee had to fulfill the procedural condition precedent before the limitations period expired, and its failure to do so rendered the original action untimely, such that a new action cannot be commenced pursuant to CPLR 205 (a). DLJ's argument cannot be reconciled with our case law that a suit may be refiled pursuant to CPLR 205 (a) despite a plaintiff's failure to comply with a condition precedent prior to the expiration of the statute of limitations.

For example, in *Carrick v Central Gen. Hosp.* (51 NY2d 242 [1980]), the Court held that failure to comply with a procedural condition precedent may be a fatal flaw to maintaining the prior action and grounds for dismissal but is not a judgment on the merits for purposes of CPLR 205 (a). There, the plaintiff commenced a malpractice and wrongful death action on behalf of her deceased spouse. The plaintiff identified herself as the "proposed administrat[or]" because she had not yet been appointed (*id.* at 246). Supreme Court dismissed the action, and the plaintiff, who had since been appointed administrator, commenced a new action within six months of the dismissal, but outside the applicable limitations period. This Court held that CPLR 205 (a) applied even though the prior plaintiff "lack[ed] . . . capacity to sue" (*id.* at 249). The Court explained that "[l]ike any condition precedent, the requirement of a qualified administrator in a wrongful death action, while essential to the maintenance of the suit, is in no way related to the merits of the underlying claim" (*id.* at 252).

We similarly found CPLR 205 (a) applicable in *Matter of Morris Invs. v Commissioner of Fin. of City of N.Y.*, where the petitioners filed a timely petition challenging a tax assessment, but failed to deposit the disputed tax deficiency or post an undertaking before commencing the action as required by statute (69 NY2d at 934). The original petition was timely-filed within the meaning of CPLR 205 (a) because although "the first proceeding may have been defective for failure to deposit the tax or post a bond," noncompliance with such a requirement "does not put it beyond the saving provision of CPLR 205 (a)" (*id.* at 936). As the Court explained, the savings clause "by its very terms comes into operation in instances where a proceeding has been terminated for some fatal flaw unrelated to the merits of the underlying claim" (*id.*).

The analysis of these cases applies with equal force here, and DLJ's contrary view in reliance on *Yonkers Contr. Co. v Port Auth. Trans-Hudson Corp.* (93 NY2d 375 [1999]) is unavailing. In that case, a contractor sued a subsidiary of the Port Authority of New York and New Jersey for breach of contract. Pursuant to McKinney's Unconsolidated Laws of NY § 7107 (L 1950, ch 301, § 7), any action against the Port Authority must be commenced within one year of accrual of a claim. The action was initially dismissed because the contractor failed to comply with an alternate dispute resolution provision in the underlying contract. The contractor then complied with the ADR provision and refiled the suit within six months of dismissal, but more than a year after accrual of the claim. This Court concluded that noncompliance with section 7107 required dismissal of the contractor's claims because CPLR 205 (a) "may extend a Statute of Limitations, [but] could not obviate the requirements of a statutory condition precedent to suit" (*id.* at 378). The Court explained that "[c]ase law distinguishes between a Statute of Limitations and a statutory time restriction on commencement of suit. The former merely suspends the remedy provided by a right of action, but the latter *conditions* the existence of a right of action, thereby creating a substantive limitation on the right" (*id.* [collecting cases]; *see also Morris Investors*, 69 NY2d at 936 [distinguishing "provisions . . . which specify no particular time limitation for" compliance with a condition precedent from "situations where a right to seek relief is specifically conditioned upon compliance with a particular time requirement rather than, or in addition to, a Statute of Limitations"]). Here, the notice and cure or repurchase condition precedent contained no such "time restriction" and, thus, noncompliance within the statute of limitations did not render the action untimely. *Yonkers Contracting* does not stand for the proposition, advanced by DLJ, that noncompliance with a contractual remedial provision within the limitations period renders CPLR 205 (a) inapplicable. Rather, *Yonkers Contracting* holds that a plaintiff may not proceed under CPLR 205 (a) where the plaintiff fails to comply with the conditions contained in the statute that created the right sued upon. There is no rational reason to distinguish between statutory and contractual conditions precedent as DLJ argues. Our focus is on the nature of the condition, not the source.

Similarly unpersuasive is DLJ's argument that CPLR 205 (a) is inapplicable on the alternative ground that the trustee's action accrued when the MLPA was executed on October 23, 2006, and was therefore untimely when filed on November 29, 2012. In the RA, Ameriquest restated and incorporated the representations and warranties for the trust's benefit. The RA could not have been clearer: Ameriquest made representations and warranties to the trustee for the trust's benefit effective on November 30, 2006. In addition, DLJ did not agree to act as a "backstop" to Ameriquest's obligations until the PSA was executed on the same date. Thus, the trustee's claims based on a breach of that agreement accrued no earlier than that date and were timely filed here.

III.

The trustee's failure to comply with the notice and cure or repurchase condition precedent within the applicable statute of limitations does not foreclose refiling of its action for alleged breach of RMBS representations and warranties pursuant to CPLR 205 (a). Therefore, its claims were properly dismissed without prejudice.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be affirmed, with costs.

Chief Judge DIFIORE and Judges STEIN, FAHEY, GARRY,* R. E. RIVERA* and SWEENY, JR.* concur; Judges GARCIA, WILSON and FEINMAN taking no part.

Order, insofar as appealed from, affirmed, with costs.

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* Designated pursuant to NY Constitution, article VI, § 2.

[122 NE3d 47, 98 NYS3d 530]

U.S. BANK NATIONAL ASSOCIATION, Solely in its Capacity as Trustee of the HOME EQUITY ASSET TRUST 2006-5 (HEAT 2006-5), Appellant, v DLJ MORTGAGE CAPITAL, INC., Respondent.

U.S. BANK NATIONAL ASSOCIATION, Solely in its Capacity as Trustee of the HOME EQUITY ASSET TRUST 2006-6 (HEAT 2006-6), Appellant, v DLJ MORTGAGE CAPITAL, INC., Respondent.

U.S. BANK NATIONAL ASSOCIATION, Solely in its Capacity as Trustee of the HOME EQUITY ASSET TRUST 2006-7 (HEAT 2006-7), Appellant, v DLJ MORTGAGE CAPITAL, INC., Respondent.

Argued January 9, 2019; decided February 19, 2019

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered July 7, 2016. The Appellate Division affirmed an order of the Supreme Court, New York County (Eileen Bransten, J.; op 42 Misc 3d 1206[A], 2014 NY Slip Op 50001[U] [2014]), which had dismissed the complaint with prejudice as untimely.

U.S. Bank N.A. v DLJ Mtge. Capital, Inc., 141 AD3d 431, affirmed.

HEADNOTES

Appeal — Preservation of Issue for Review — Trustee's Ability to Refile Claim Based on Timely Commencement by Certificate Holder

1. Plaintiff, the trustee of three residential mortgage-backed securities trusts whose consolidated action alleging that defendant violated representations and warranties regarding the quality of loans contained in the securitization trust instruments was dismissed with prejudice as untimely, failed to preserve its claim that it may refile the action under CPLR 205 (a) due to the timely commencement of the original action by a certificate holder. Defendant, in a footnote in its motion to dismiss, argued that plaintiff could not use CPLR 205 (a) to cure the pleading deficiency by refashioning the case with the trustee as plaintiff. In its response, the trustee made no mention of section 205 (a) and did not argue before Supreme Court that it should be considered the same plaintiff as the certificate holder for purposes of that section. Because defendant's argument by its terms sought to persuade Supreme Court to dismiss the claim with prejudice, plaintiff trustee was required to respond and present its view of CPLR 205 (a) to that court to preserve its argument on appeal.

Pleading — Amendment — Relation Back Doctrine

2. An untimely filed consolidated complaint by plaintiff, the trustee of three residential mortgage-backed securities trusts, alleging that defendant violated representations and warranties regarding the quality of loans contained in the securitization trust instruments, could not relate back under CPLR 203 (f) to a certificate holder's timely filed actions. CPLR 203 (f) applies only in those cases where a valid preexisting action has been filed. Here, the three trusts were each governed by a separate pooling and servicing agreement (PSA) that included a no action clause and mandatory remedial provisions requiring any party that discovered a breach to promptly notify the other relevant party and allow defendant to remedy the defect. While the certificate holder filed timely separate summonses and notice for each trust within six years of the execution of the PSAs, the lower courts concluded that under the no action clause the certificate holder could not bring the action on behalf of itself, any other certificate holder, or the trustee. Thus, there was no valid preexisting action to which a claim in a subsequent amended pleading could relate back.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d Appellate Review §§ 531, 532; Am Jur 2d Limitation of Actions §§ 251–255.

Carmody-Wait 2d Limitation of Actions §§ 13:445, 13:450, 13:451, 13:457; Carmody-Wait 2d Appeals in General §§ 70:94, 70:95; Carmody-Wait 2d Appeals to the Court of Appeals § 71:109.

McKinney's, CPLR 203 (f); 205 (a).

NY Jur 2d Appellate Review §§ 138, 538; NY Jur 2d Limitations and Laches §§ 300, 301, 310, 314.

Siegel, NY Prac §§ 49, 52.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Relation Back.

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POINTS OF COUNSEL

Kasowitz Benson Torres LLP, New York City (*Hector Torres, David J. Abrams* and *David J. Mark* of counsel), for appellant. I. The trustee can refile these actions under CPLR 205 (a) because it will assert the same claims on behalf of the same trusts and certificate holders. (*Reliance Ins. Co. v PolyVision Corp.*, 9 NY3d 52; *Malay v City of Syracuse*, 25 NY3d 323;

Matter of Goldstein v New York State Urban Dev. Corp., 13 NY3d 511; *Gaines v City of New York*, 215 NY 533; *Natixis Real Estate Capital Trust 2007-HE2 v Natixis Real Estate Holdings, LLC*, 149 AD3d 127; *Velez v Feinstein*, 87 AD2d 309; *George v Mt. Sinai Hosp.*, 47 NY2d 170; *People v Green*, 56 NY2d 427; *Lambert v Sklar*, 30 AD3d 564; *Van der Stegen v Neuss, Hesslein & Co.*, 270 NY 55.) II. The claims in the complaint relate back to the original timely-filed pleading. (*Southern Wine & Spirits of Am., Inc. v Impact Envtl. Eng'g, PLLC*, 104 AD3d 613; *ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.*, 25 NY3d 581; *HSBC Guyerzeller Bank AG v Chascona N.V.*, 42 AD3d 381; *Frankart Furniture Staten Is. v Forest Mall Assoc.*, 159 AD2d 322; *American Home Assur. Co. v Scanlon*, 164 AD2d 751; *Hon Fui Hui v East Broadway Mall, Inc.*, 4 NY3d 790; *Schleidt v Stamler*, 106 AD2d 264; *Victor v New York City Tr. Auth.*, 112 AD3d 523; *Matter of Greater N.Y. Health Care Facilities Assn. v DeBuono*, 91 NY2d 716; *Giambrone v Kings Harbor Multicare Ctr.*, 104 AD3d 546.)

Orrick, Herrington & Sutcliffe LLP, Washington, D.C. (*Robert Loeb*, of the District of Columbia bar, admitted pro hac vice, and *Randall C. Smith* of counsel) and New York City (*Barry S. Levin, John Ansbro, Richard A. Jacobsen, Paul F. Rugani, Daniel W. Robertson, Daniel A. Rubens* and *Matthew R. Shahabian* of counsel), for respondent. I. The action cannot be refiled under CPLR 205 (a) because the trustee is not the "plaintiff" eligible to invoke that provision. (*Streeter v Graham & Norton Co.*, 263 NY 39; *Reliance Ins. Co. v PolyVision Corp.*, 9 NY3d 52; *ACE Sec. Corp. v DB Structured Prods., Inc.*, 112 AD3d 522, 25 NY3d 581; *Quadrant Structured Prods. Co., Ltd. v Vertin*, 23 NY3d 549; *MeehanCombs Glob. Credit Opportunities Funds, LP v Caesars Entertainment Corp.*, 80 F Supp 3d 507; *Akanthos Capital Mgt., LLC v CompuCredit Holdings Corp.*, 677 F3d 1286; *Murray v United States Bank Trust Natl. Assn.*, 365 F3d 1284; *Cruden v Bank of N.Y.*, 957 F2d 961; *George v Mt. Sinai Hosp.*, 47 NY2d 170; *Lambert v Sklar*, 30 AD3d 564.) II. The action cannot be salvaged by relation back under CPLR 203 (f). (*Bingham v New York City Tr. Auth.*, 99 NY2d 355; *Feinberg v Saks & Co.*, 56 NY2d 206; *Telaro v Telaro*, 25 NY2d 433; *George v Mt. Sinai Hosp.*, 47 NY2d 170; *ACE Sec. Corp. v DB Structured Prods., Inc.*, 112 AD3d 522; *Goldberg v Camp Mikan-Recro*, 42 NY2d 1029; *Matter of Greater N.Y. Health Care Facilities Assn. v DeBuono*, 91 NY2d 716; *Hon Fui Hui v East Broadway Mall, Inc.*, 4 NY3d 790; *HSBC Guyerzeller*

Bank AG v Chascona N.V., 42 AD3d 381; *American Home Assur. Co. v Scanlon*, 164 AD2d 751.) III. CPLR 205 (a) is unavailable for the further reason that there was never a "timely commenced" action that could support refiling. (*Matter of Oriskany Cent. School Dist. [Booth Architects]*, 85 NY2d 995; *ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.*, 25 NY3d 581; *Matter of Donaldson Acoustics v New York Inst. of Tech.*, 249 AD2d 391; *ACE Sec. Corp. v DB Structured Prods., Inc.*, 112 AD3d 522.) IV. CPLR 205 (a) also has no application because dismissal of the trustee's claim as time-barred is by definition a ruling "upon the merits." (*Matter of Meegan S. v Donald T.*, 64 NY2d 751; *DeCrosta v Reynolds Constr. & Supply Corp.*, 41 NY2d 1100; *Yonkers Contr. Co. v Port Auth. Trans-Hudson Corp.*, 93 NY2d 375.)

Wachtell, Lipton, Rosen & Katz, New York City (*Elaine P. Golin, Graham W. Meli, Jordan L. Pietzsch* and *David Shieh* of counsel), for The Securities Industry and Financial Markets Association, amicus curiae. I. The trustee's failure to comply with the bargained-for repurchase protocol forecloses relief under CPLR 205 (a). (*Yonkers Contr. Co. v Port Auth. Trans-Hudson Corp.*, 93 NY2d 375; *Gaines v City of New York*, 215 NY 533; *ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.*, 25 NY3d 581; *Dreger v New York State Thruway Auth.*, 81 NY2d 721; *Matter of Meegan S. v Donald T.*, 64 NY2d 751; *Matter of Oriskany Cent. School Dist. [Booth Architects]*, 85 NY2d 995; *Hakala v Deutsche Bank AG*, 343 F3d 111; *Breed v Insurance Co. of N. Am.*, 46 NY2d 351; *Carrick v Central Gen. Hosp.*, 51 NY2d 242; *Matter of Morris Invs. v Commissioner of Fin. of City of N.Y.*, 69 NY2d 933.) II. Permitting the trustee to refile its claims under CPLR 205 (a) would thwart the purpose of the repurchase protocol and its notice-and-cure provisions. (*ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.*, 25 NY3d 581; *NML Capital v Republic of Argentina*, 17 NY3d 250; *Ambac Assur. Corp. v Countrywide Home Loans, Inc.*, 31 NY3d 569; *Nomura Home Equity Loan, Inc., Series 2006-FM2 v Nomura Credit & Capital, Inc.*, 30 NY3d 572.) III. The trustee cannot benefit from CPLR 205 (a) in the HEAT action because it was not "the plaintiff" that brought the initial action. (*Reliance Ins. Co. v PolyVision Corp.*, 9 NY3d 52; *Deutsche Bank Natl. Trust Co. v Quicken Loans Inc.*, 810 F3d 861; *Batchelder v Council Grove Water Co.*, 131 NY 42; *Cortlandt St. Recovery Corp. v Bonderman*, 31 NY3d 30.)

OPINION OF THE COURT

RIVERA, J.

U.S. Bank National Association in its capacity as trustee of three residential mortgage-backed securities (RMBS) trusts seeks to sue DLJ Mortgage Capital, Inc. (DLJ) for alleged violations of representations and warranties regarding the quality of the loans contained in the respective securitization trust instruments. We hold that the trustee's untimely-filed complaint cannot relate back under CPLR 203 (f) to a certificate holder's previously filed action. The trustee's remaining claim is unpreserved.

I.

DLJ served as seller and sponsor of three RMBS securitization trusts (the HEAT Trusts), each governed by a separate pooling and servicing agreement (PSA), containing various representations and warranties about the general underwriting practices and quality of the individual loans. The PSAs include mandatory remedial provisions, which require any party that discovers a breach to promptly notify the other relevant party, and upon notice, allows DLJ time to remedy the defect. Each PSA also includes a no action clause, which prevents certificate holders from pursuing an action under the PSAs, except in limited circumstances.

Within six years of the execution of the respective PSAs, a certificate holder filed a separate summons and notice claiming violations of the representations and warranties for each of the HEAT Trusts. After the limitations period elapsed, the trustee notified DLJ of the alleged breaches and demanded DLJ cure or repurchase the non-compliant loans, in accordance with the sole remedy provisions. The trustee later filed a consolidated complaint alleging claims for all three trusts.

DLJ moved to dismiss the consolidated complaint pursuant to CPLR 3211 (a), asserting, as relevant here, that the complaint was time-barred because the trustee failed to comply with the sole remedy provision within the six-year limitations period, and the trustee could not rely on the prior action because the certificate holder lacked standing to sue under the PSAs. In opposition, the trustee argued that its action was timely, or, in the alternative, that it related back to the certificate holder's timely-commenced action pursuant to CPLR 203 (f).

Supreme Court granted the motion and dismissed the action with prejudice (42 Misc 3d 1206[A], 2014 NY Slip Op 50001[U]

[Sup Ct, NY County 2014]). The Appellate Division affirmed, holding that dismissal with prejudice was appropriate because the trustee was not a "plaintiff" permitted to refile for purposes of CPLR 205 (a) and therefore could not file a new action within that provision's six-month savings clause, nor could the trustee rely on CPLR 203 (f) so that its pleading would relate back to the certificate holder's filing (*U.S. Bank N.A. v DLJ Mtge. Capital, Inc.*, 141 AD3d 431, 433 [1st Dept 2016]). We granted the trustee leave to appeal (29 NY3d 910 [2017]).

II.

[1] As a threshold matter, the trustee has not preserved its claim that it may refile under CPLR 205 (a) due to the timely commencement of the original action by the certificate holder. To preserve an argument for review by this Court, a party must "raise the specific argument[ ]" in Supreme Court "and ask the court to conduct that analysis" in the first instance (*Matter of New York City Asbestos Litig.*, 27 NY3d 1172, 1176 [2016]). While in some circumstances the Appellate Division has interest of justice jurisdiction to review an issue raised for the first time on appeal, this Court "ha[s] no power to review either the Appellate Division's exercise of its discretion to reach that issue, or the issue itself" (*Hecker v State of New York*, 20 NY3d 1087, 1087 [2013]).

In a footnote in DLJ's motion to dismiss the complaint as untimely, DLJ argued that "[b]ecause the actions were not timely commenced . . . , Plaintiffs cannot use CPLR 205(a) to cure the pleading deficiency by refashioning the case with the Trustee as the Plaintiff." In its opposition to the motion, the trustee argued that the action was timely and requested in its final conclusion paragraph (in the alternative, without explanation and in summary fashion) that it be granted leave to file an amended complaint in accordance with CPLR 3025 (b). The trustee made no mention of CPLR 205 (a), and did not argue before Supreme Court that it should be considered the same "plaintiff" as the certificate holder for purposes of CPLR 205 (a). As such, the trustee failed to respond to DLJ's argument that if the court agreed that the claim was not timely filed the trustee could not refile and invoke the savings clause of CPLR 205 (a). However, because this argument by its terms sought to persuade Supreme Court to dismiss the complaint with prejudice, the trustee was required to respond and present its view of CPLR 205 (a) to the nisi prius court to preserve the argument on appeal to us. Having failed to do so, we cannot consider whether CPLR 205 (a) applies to the facts of this case. We therefore express no opinion on the Appellate Division's conclusion that "the trustee is not entitled to refile the claims under CPLR 205 (a), because it is not a 'plaintiff' under that statute" (141 AD3d at 433).

[2] On the merits, the trustee argues that if CPLR 205 (a) does not apply its complaint survives dismissal nonetheless because under CPLR 203 (f) its complaint relates back to the certificate holder's prior action. We disagree.

CPLR 203 (f) provides:

> "A claim asserted in an amended pleading is deemed to have been interposed at the time the claims in the original pleading were interposed, unless the original pleading does not give notice of the transactions, occurrences, or series of transactions or occurrences, to be proved pursuant to the amended pleading."

As our case law establishes, CPLR 203 (f) applies only in those cases where a valid preexisting action has been filed. In *Goldberg v Camp Mikan-Recro* (42 NY2d 1029 [1977]), the plaintiff commenced a timely wrongful death action in his own name following his son's death. At the time he filed the action, the father had not been appointed administrator of the son's estate. By the time the plaintiff was appointed administrator, the limitations period had expired and so the plaintiff sought to amend his complaint to relate back to the original action. The Court declined to apply CPLR 203 (f) because the plaintiff lacked capacity to commence the original action so "there was no preexisting action to which it could 'relate back' " (*id.* at 1030; *see also Carrick v Central Gen. Hosp.*, 51 NY2d 242, 248-249 [1980] [although CPLR 205 (a) "specifically contemplates a prior defective action subject to dismissal upon timely motion," the application of CPLR 203 (f) is "dependent on the existence of a valid pre-existing action"]; *George v Mt. Sinai Hosp.*, 47 NY2d 170, 179-180 [1979] ["While the relation-back provisions of CPLR 203 are dependent on the existence of a valid preexisting action, CPLR 205 (subd [a]) was created to serve in those cases in which the prior action was defective and so had to be dismissed"]).*

CPLR 203 (f) has no application here because the certificate holder's preexisting action was not valid. The lower courts

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* We reject the trustee's argument that the viability of *Goldberg* is questionable in light of this Court's decision in *Carrick*. Contrary to the

(n. cont'd)

concluded that under the no action clause, the certificate holder could not bring the action on behalf of itself, any other certificate holder, or the trustee. Those conclusions are not at issue in this Court. Thus, the certificate holder's action was subject to dismissal, and there is no valid preexisting action to which a claim in a subsequent amended pleading may relate back. The trustee's contention that it may use the relation-back doctrine of CPLR 203 (f) to cure the certificate holder's lack of a right to sue, and that it may therefore avoid any problem with the identity of the plaintiff upon re-filing pursuant to CPLR 205 (a), is without merit.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge DIFIORE and Judges STEIN, FAHEY, GARRY,* R. E. RIVERA* and SWEENY, JR.* concur; Judges GARCIA, WILSON and FEINMAN taking no part.

Order affirmed, with costs.

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trustee's suggestion, *Carrick* did not overrule *Goldberg*, but rather reaffirmed *Goldberg* by distinguishing it from *George* (*see Carrick*, 51 NY2d at 248-249).

* Designated pursuant to NY Constitution, article VI, § 2.

[122 NE3d 61, 98 NYS3d 544]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v EMMANUEL DIAZ, Appellant.

Argued January 10, 2019; decided February 21, 2019

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered April 19, 2017. The Appellate Division affirmed a judgment of the Supreme Court, Kings County (Bruce M. Balter, J.), which had convicted defendant, upon a jury verdict, of robbery in the first degree and burglary in the first degree.

People v Diaz, 149 AD3d 974, affirmed.

HEADNOTE

Crimes — Evidence — Tape Recordings — Release of Recording of Telephone Calls Made by Defendant from Correctional Facility

A correctional facility's release to prosecutors or law enforcement agencies of recordings of nonprivileged telephone calls made by pretrial detainees, who are notified that their calls will be monitored and recorded, does not violate the Fourth Amendment. Defendant inmate did not retain a reasonable expectation of privacy once the calls were intercepted by the correctional facility and there were no additional Fourth Amendment protections that would prevent the correctional facility from releasing the recording to prosecutors absent a warrant. Even if defendant subjectively believed that his calls were private—a notion that was largely belied by the record—that expectation was not objectively reasonable. Given the government's weighty interest in ensuring institutional security and order, surveillance is ubiquitous in the prison context. Where detainees are aware that their phone calls are being recorded, all reasonable expectation of privacy in the content of those phone calls is lost and there is no legitimate reason to think that the recordings, like any other evidence lawfully discovered, would not be admissible.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Penal and Correctional Institutions § 79; AM JUR 2d Searches and Seizures § 9.

CARMODY-WAIT 2d Search and Seizure §§ 173:45, 173:46.

LAFAVE, ET AL., CRIMINAL PROCEDURE (4th ed) § 3.2.

NY JUR 2d Criminal Law: Procedure §§ 238–241; NY JUR 2d Penal and Correctional Institutions § 239.

US Const 4th Amend.

ANNOTATION REFERENCE

See ALR Index under Prisons and Prisoners; Search and Seizure.

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POINTS OF COUNSEL

Paul Skip Laisure, *Appellate Advocates*, New York City (*Dina Zloczower* of counsel), for appellant. I. Appellant's constitutional rights to be free from unreasonable search and seizure were violated when, without a warrant or consent, the District Attorney obtained recordings of his Rikers Island correctional facility telephone calls to review them for incriminating evidence. (*Mincey v Arizona*, 437 US 385; *People v Pettinato*, 69 NY2d 653; *People v Gomez*, 5 NY3d 416; *Florida v Jimeno*, 500 US 248; *Watkins v L.M. Berry & Co.*, 704 F2d 577; *United States v Conley*, 531 F3d 56; *United States v Willoughby*, 860 F2d 15; *United States v Friedman*, 300 F3d 111; *Turner v Safley*, 482 US 78; *United States v Cohen*, 796 F2d 20.) II. Appellant was deprived of his right to the effective assistance of counsel when his attorney failed to request a jury instruction on the affirmative defense to first-degree burglary and first-degree robbery to which appellant would have been entitled based on the People's evidence indicating that appellant did not display a loaded weapon capable of producing death or other serious physical injury. (*Strickland v Washington*, 466 US 668; *People v Baldi*, 54 NY2d 137; *Henry v Poole*, 409 F3d 48; *People v Benevento*, 91 NY2d 708; *People v Droz*, 39 NY2d 457; *People v Bennett*, 29 NY2d 462; *Williams v Taylor*, 529 US 362; *Kimmelman v Morrison*, 477 US 365; *Murray v Carrier*, 477 US 478; *People v Turner*, 5 NY3d 476.)

Eric Gonzalez, District Attorney, Brooklyn (*Leonard Joblove* and *Howard B. Goodman* of counsel), for respondent. I. The recordings of the Rikers Island correctional facility telephone calls were properly admitted into evidence. (*People v McFarlane*, 21 NY3d 1034; *People v Robinson*, 97 NY2d 341; *Smith v Maryland*, 442 US 735; *United States v Willoughby*, 860 F2d 15; *Bell v Wolfish*, 441 US 520; *United States v Friedman*, 300 F3d 111; *United States v Workman*, 80 F3d 688; *People v Jackson*, 125 AD3d 1002; *People v Ross*, 118 AD3d 1321; *United States v Eggleston*, 165 F3d 624.) II. Counsel was not ineffective for failing to request a jury instruction on the affirmative defense to first-degree burglary and first-degree robbery.

(*Strickland v Washington*, 466 US 668; *People v Baldi*, 54 NY2d 137; *People v Stultz*, 2 NY3d 277; *People v Ambers*, 26 NY3d 313; *People v Ennis*, 11 NY3d 403; *People v Caban*, 5 NY3d 143; *People v Gilliard*, 72 NY2d 877; *People v Lockwood*, 52 NY2d 790; *People v Cotarelo*, 71 NY2d 941; *People v Keschner*, 25 NY3d 704.)

The Legal Aid Society, New York City (*Steven B. Wasserman* of counsel), for The Legal Aid Society, amicus curiae. Pretrial detainees should be warned that their prosecutor will have direct access to every telephone conversation they have with their family and friends. (*People v Johnson*, 27 NY3d 199; *Miranda v Arizona*, 384 US 436; *United States v Henry*, 447 US 264; *Illinois v Perkins*, 496 US 292; *People v Weiss*, 176 Misc 2d 496.)

Morningside Heights Legal Clinic, Inc., *Columbia Law School*, New York City (*Brett Dignam* and *Megan Quattlebaum* of counsel), for JustLeadershipUSA and others, amici curiae. I. New York City Department of Correction's phone policy violates firmly established federal and state equal protection law by disadvantaging indigent, mostly minority defendants. (*Griffin v Illinois*, 351 US 12; *Bearden v Georgia*, 461 US 660; *Chambers v Florida*, 309 US 227; *Lewis v Casey*, 518 US 343; *Burns v Ohio*, 360 US 252; *Gideon v Wainwright*, 372 US 335; *Douglas v California*, 372 US 353; *Tate v Short*, 401 US 395; *People v Pride*, 3 NY2d 545; *People v Montgomery*, 18 NY2d 993.) II. New York City Department of Correction's phone policy violates pretrial detainees' due process rights under the New York State Constitution. (*Cooper v Morin*, 49 NY2d 69; *Hernandez v Robles*, 7 NY3d 338; *People v LaValle*, 3 NY3d 88; *People v Johnson*, 27 NY3d 199.) III. Pretrial detainees' recorded phone calls should only be disseminated on the basis of judicially reviewed subpoenas and warrants.

Fried, Frank, Harris, Shriver & Jacobson LLP, New York City (*Aleksandr B. Livshits* and *Arielle F. Evans* of counsel), and *Brooklyn Defender Services*, Brooklyn (*Lisa Schreibersdorf* and *Susannah Karlsson* of counsel), for Brooklyn Defender Services and others, amici curiae. I. Prosecutors' unrestricted access to all pretrial detainees' telephone calls from Rikers Island violates detainees' Fourth Amendment right to be free from unreasonable searches and seizures. (*Camara v Municipal Court of City & County of San Francisco*, 387 US 523; *Hudson v Palmer*, 468 US 517; *United States v Cohen*, 796 F2d 20; *Turner* *v Safley*, 482 US 78; *Walter v United States*, 447 US 649; *Florida v Wells*, 495 US 1; *Terry v Ohio*, 392 US 1; *Warden, Md. Penitentiary v Hayden*, 387 US 294.) II. The prosecution's unsupervised access to pretrial detainees' telephone calls undermines pretrial detainees' "indelible" right to counsel under the New York State Constitution. (*Maine v Moulton*, 474 US 159; *People v Lopez*, 16 NY3d 375; *People v Bing*, 76 NY2d 331; *People v Bialostok*, 80 NY2d 738; *Matter of Abe A.*, 56 NY2d 288; *People v LaClere*, 76 NY2d 670; *People v Hawkins*, 55 NY2d 474; *People v Samuels*, 49 NY2d 218; *People v Settles*, 46 NY2d 154; *People v Davis*, 49 NY2d 114.)

Proskauer Rose LLP, Boston, Massachusetts (*William D. Dalsen* of counsel), for Sanctuary for Families, Inc., amicus curiae. I. Witness tampering is a pervasive and destructive practice of domestic abusers and sex traffickers in pretrial detention. (*People v Abdur-Razzaq*, 60 Misc 3d 631; *Davis v Washington*, 547 US 813.) II. Recording pretrial detainee calls on notice is constitutional and critical to prevent continued violence and witness tampering in domestic violence and trafficking cases. (*Illinois v Andreas*, 463 US 765; *Walter v United States*, 447 US 649; *Florida v Wells*, 495 US 1.)

OPINION OF THE COURT

FEINMAN, J.

The issue in this appeal is whether a correctional facility's release to prosecutors or law enforcement agencies of recordings of nonprivileged telephone calls made by pretrial detainees, who are notified that their calls will be monitored and recorded, violates the Fourth Amendment. We hold that detainees, informed of the monitoring and recording of their calls, have no objectively reasonable constitutional expectation of privacy in the content of those calls (US Const Amend IV). Thus, a correctional facility may record and monitor detainees' calls, as well as share the recordings with law enforcement officials and prosecutors, without violating the Fourth Amendment.

I.

Defendant Emmanuel Diaz was arrested in July 2012 and charged with multiple counts of burglary and robbery. Upon his arraignment on the felony complaint, he was committed to the custody of the New York City Department of Correction (DOC). He was held in one of the Rikers Island Correctional Facilities until his family posted bail. During the eight months before defendant posted bail, he made approximately 1,100 phone calls from prison. At trial, the prosecution sought to introduce excerpts of four phone calls recorded by DOC containing incriminating statements. After colloquy with the parties concerning the notice that had been provided to inmates of the electronic surveillance, Supreme Court admitted the recordings into evidence, over defendant's objection. Defendant was subsequently convicted and sentenced.

The Appellate Division, with one Justice dissenting, affirmed the judgment (149 AD3d 974 [2d Dept 2017]). The majority found that defendant had impliedly consented to the monitoring and recording of his telephone conversations because DOC had given him sufficient notice that his calls would be monitored. The Court determined that the record reflected that DOC had provided several types of notice of the prison's policy to monitor and record inmate telephone calls, including the inmate handbook, signs posted next to the telephones, and a recorded message preceding every phone call made by inmates. The majority held it was not reasonable for defendant to presume an expectation of privacy in the dissemination of the content of his recorded phone conversations. Although it remarked that the "better practice going forward" might be for DOC to expressly notify detainees that the recordings of their calls may be turned over to prosecutors, the majority concluded that the absence of such a warning did not render the calls inadmissible (*id.* at 976). Additionally, the majority found no merit to defendant's contention that the admission of the recorded phone calls into evidence deprived him of his right to counsel under the Federal and State Constitutions (*id.* at 975, citing *People v Johnson*, 27 NY3d 199, 205-206 [2016]).

The dissenting Justice would have held that the calls were inadmissible because defendant was never informed that the recordings of his calls would be made available to the prosecutor for potential use at trial (*Diaz*, 149 AD3d at 977 [Hall, J.P., dissenting]). The dissent contended that DOC should be required to provide proof that detainees were given express notice that their recorded telephone calls could be turned over to the prosecution for use at trial (*id.* at 978). Although the dissent recognized that defendant had no reason to expect privacy in his calls, it posited that this did not mean he consented to the prosecution having access to them. The dissenting Justice granted defendant leave to appeal.

II.

In 2008, DOC began monitoring prisoner phone calls pursuant to an amendment to the Rules of the City of New York and the subsequent development of new DOC policies and procedures.[1] Under the Rules of the City of New York, inmates may make telephone calls during their incarceration, but, "[u]pon implementation of appropriate procedures," their calls may be listened to or monitored where they have been given "legally sufficient notice" (40 RCNY 1-10 [a], [h]). As set forth in its Operations Order,[2] DOC "shall record all inmate telephone calls and retain these recordings," except calls to inmates' attorneys and others included in the Department's "Do Not Record List."[3] The Operations Order requires that inmates be notified that their telephone calls will be monitored and/or recorded by three different methods: (1) signs posted near the telephones used by inmates, stating in both English and Spanish that calls are monitored and recorded and that using the phone constitutes consent to the recording or monitoring; (2) a notice in the inmate handbook that calls can be monitored and recorded; and (3) a recording in Spanish or English that plays when an inmate picks up the phone receiver, stating that the call may be recorded and monitored (*see* Operations Order at 8-9, § III [E] [1], [2]).

Defendant asserts that DOC's release of his recorded telephone calls to the prosecution without a warrant violates his Fourth Amendment right to privacy.[4] Specifically, defendant maintains that a person's consent to governmental intrusion can be no broader than the notice provided. This issue was

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1. The changes were part of a revamping of the Minimum Standards for New York City Correctional Facilities first adopted in 1978 (*see* City of New York Board of Correction, Notice of Adoption of Amendments to the Minimum Standards for New York City Correctional Facilities [2007], available at https://www1.nyc.gov/assets/boc/downloads/pdf/minimum_standards_amendments.pdf [last accessed Jan. 17, 2019], cached at http://www.nycourts.gov/reporter/webdocs/minimum_standards_amendments.pdf).

2. NY City Dept of Corr Operations Order No. 01/09 (eff Mar. 9, 2009).

3. Inmates' calls to their attorneys, doctors, and clergy are privileged and not recorded, nor are calls to certain specified agencies (*see* Operations Order at 1, § II [A]; *see also* 40 RCNY 1-10 [h]).

4. Defendant had cursorily asserted before the trial court that the recordings violated both his federal and his state constitutional rights, but made no argument below that the State Constitution afforded him greater protection than the Fourth Amendment (*see People v Garvin*, 30 NY3d 174, 185 n 8 [2017], *cert denied* 586 US —, 139 S Ct 57 [2018]), and he advances no such argument here.

previously raised in *People v Johnson* (27 NY3d 199 [2016]) but was unpreserved. The parties agree that the issue is now properly before us.

III.

"The Fourth Amendment protects '[t]he right of the people to be secure in their persons, houses, papers, and effects, against unreasonable searches and seizures' " (*Carpenter v United* States, 585 US —, —, 138 S Ct 2206, 2213 [2018]) and safeguards two interests—retaining possession of property, and maintaining personal privacy (*see Texas v Brown*, 460 US 730, 747 [1983] [Stevens, J., concurring with Brennan and Marshall, JJ.]; *United States v Jacobsen*, 466 US 109, 113-114 [1984]). A seizure pertains to the first interest, and a search pertains to the second (*Texas v Brown*, 460 US at 747). The application of the Fourth Amendment depends on whether the person invoking its protection can claim a reasonable expectation of privacy in the face of government action (*see Smith v Maryland*, 442 US 735, 740 [1979]). A legitimate expectation of privacy exists where a person has demonstrated an actual (subjective) expectation of privacy and that expectation is one that society is prepared to recognize as reasonable (*see Katz v United States*, 389 US 347, 361 [1967] [Harlan, J., concurring]). If such expectations of privacy are lacking, no Fourth Amendment violation occurs (*see New York v Class*, 475 US 106, 112 [1986]).

Even if defendant subjectively believed that his calls were private—a notion that is largely belied by the record—that expectation was not objectively reasonable. Given the government's weighty interest in ensuring institutional security and order, surveillance is ubiquitous in the prison context (*see Hudson v Palmer*, 468 US 517, 527-528, 529-530 [1984] [an incarcerated individual's "expectation of privacy (must) always yield to what must be considered the paramount interest in institutional security"]; *Bell v Wolfish*, 441 US 520, 559 [1979]).

For instance, correctional officers routinely conduct warrantless searches of inmates and their cells to keep other inmates and themselves safe (*see Bell*, 441 US at 547). The logic underlying the routine monitoring and recording of phone calls is no different (*see United States v Hearst*, 563 F2d 1331, 1345 [9th Cir 1977] [detainees' expectations of privacy in their phone calls are superseded by "the government's weighty, countervailing interests in prison security and order"]; *see also Lanza v*

New York, 370 US 139, 143 [1962] ["it is obvious that a jail shares none of the attributes of privacy of a home, an automobile, an office, or a hotel room. In prison, official surveillance has traditionally been the order of the day"]; *see e.g. United States v Willoughby*, 860 F2d 15, 21 [2d Cir 1988] [detention facility's practice of randomly monitoring and recording pretrial detainees' phone calls "in the interest of institutional security is not an unreasonable invasion of the privacy rights of pretrial detainees"]). In addition, defendant, like all Rikers Island inmates, received a number of prominent, unavoidable warnings that his calls were subject to electronic monitoring and recording by DOC. Because any expectation of privacy in defendant's calls was not objectively reasonable, "the Fourth Amendment is therefore not triggered by the routine taping of such calls" (*United States v Van Poyck*, 77 F3d 285, 291 [9th Cir 1996]).

On this basis, federal and state courts across the country have long held that detainees provided with prior notice of the government's monitoring and recording of their phone calls have no reasonable expectation of privacy in the content of the communications (*see United States v Gangi*, 57 Fed Appx 809, 814 [10th Cir 2003]; *United States v Friedman*, 300 F3d 111, 123 [2d Cir 2002]; *United States v Eggleston*, 165 F3d 624, 626 [8th Cir 1999]; *Van Poyck*, 77 F3d at 290-291; *United States v Horr*, 963 F2d 1124, 1126 n 3 [8th Cir 1992]; *United States v Sababu*, 891 F2d 1308, 1329 [7th Cir 1989]; *United States v Amen*, 831 F2d 373, 379-380 [2d Cir 1987]; *State v Gilliland*, 294 Kan 519, 534, 276 P3d 165, 177 [2012]; *State v Hill*, 333 SW3d 106, 126 [Tenn Ct Crim App 2010]; *In re Grand Jury Subpoena*, 454 Mass 685, 688-689, 912 NE2d 970, 973 [2009]; *Decay v State*, 2009 Ark 566, at 6, 352 SW3d 319, 325-326 [2009]; *Preston v State*, 282 Ga 210, 214, 647 SE2d 260, 263 [2007]; *State v Smith*, 117 Ohio App 3d 656, 661, 691 NE2d 324, 327 [1997]). In light of this precedent, defendant understandably does not dispute that DOC's monitoring and recording of his phone calls did not constitute a violation of his Fourth Amendment rights.

Defendant, and the dissent, argue that, although DOC's interception of the content of the call may have been lawful, its release of the recordings to the prosecutor's office without notice was an additional search that violated the Fourth Amendment. We disagree.

As a number of courts have explained, where detainees are aware that their phone calls are being monitored and recorded, all reasonable expectation of privacy in the content of those phone calls is lost, "and there is no legitimate reason to think that the recordings, like any other evidence lawfully discovered, would not be admissible" (*United States v Eggleston*, 165 F3d at 626; *see also United States v Novak*, 531 F3d 99, 103 [1st Cir 2008] [holding that because the defendant had consented to the monitoring of his calls, they could be introduced into evidence "consistently with the requirements of the Fourth Amendment"]; *United States v Green*, 184 Fed Appx 617, 618 [9th Cir 2006] [observing that disclosure of recordings to prosecution "does not . . . provide a basis for establishing a violation of . . . the Fourth Amendment"]; *see also People v Natal*, 75 NY2d 379, 382-383 [1990]).[5] Moreover, the signs posted near the telephones used by the inmates state that calls are monitored in "accordance with [DOC] policy" which, according to the DOC Operations Order, provides that while recordings are confidential and not available to the public, the District Attorney's Office may request a copy of an inmate's recorded calls which will be provided upon approval by DOC.[6] Although the inmate handbook provided at Rikers Island gives notice that inmate telephone calls may be monitored "for security purposes," that statement simply explains one of the reasons for DOC's monitoring practice; it says nothing about the potential uses or dissemination of the recordings. In addition, the recorded notice heard when first making a telephone call does not restrict the use of the recording.

We therefore reject defendant's argument that he retained a reasonable expectation of privacy once the calls were lawfully intercepted by DOC and hold that there were no additional Fourth Amendment protections that would prevent DOC from releasing the recording to the District Attorney's Office absent a warrant.

Defendant's remaining arguments, challenging the "voluntariness" of any findings of consent to the monitoring and recording of his phone calls, and claiming that his due process

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5. This is particularly true where, as here, DOC provided multiple notices both that inmates' conversations could be monitored and recorded and that use of the phones constituted consent to that monitoring and recording (*see United States v Workman*, 80 F3d 688, 693-694 [2d Cir 1996]; *Amen*, 831 F2d at 379).

6. *See* Operations Order at 6, § III (B) (5) (b); at 7, § III (C) (1).

and equal protection rights were violated, are unpreserved for our review.[7]

Finally, we agree with the Appellate Division that the existing record does not support a finding that defendant's trial counsel was ineffective as a matter of law.

Accordingly, the order of the Appellate Division should be affirmed.

WILSON, J. (dissenting). The New York City Department of Correction (DOC) routinely records the telephone calls of Rikers Island inmates "for security purposes," yet delivers the recordings to the District Attorney's office for use in prosecution. The Fourth Amendment cannot permit that practice.

I.

Mr. Diaz was advised of the consequence of using the phone in Rikers Island; the majority says he proceeded at his peril and therefore forfeited any privacy right he may have had in his calls. That conclusion is superficially understandable but, in reality, ignores crucial facts: (1) Mr. Diaz was not free to leave Rikers Island but was incarcerated for eight months awaiting trial, with no other viable means of everyday communication with the outside world;[1] (2) others accused of crimes but out on bail cannot be subjected to governmental recording and monitoring without a warrant; (3) Mr. Diaz was charged with crimes and needed to assemble a defense and gather evidence that might mitigate his sentence if convicted; (4) Mr. Diaz was specifically told that the recording of his calls was for the purpose of jail security; and (5) Mr. Diaz was not told that his calls would be funneled en masse to the District Attorney prosecuting his case, to be combed for statements to use against him.

Those differences matter. By discounting them, the majority's analytical framework is internally inconsistent. The majority relies approvingly on Justice Harlan's well-accepted statement that the expectation of privacy "is a twofold requirement, first that a person have exhibited an actual (subjective)

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7. Defendant has abandoned his argument made to the Appellate Division that admission of the recordings deprived him of his right to counsel under the Federal and State Constitutions.

1. Yes, he could write letters, but those too could be opened and examined. He could see in-person visitors, but only as frequently as they could make the onerous journey to Rikers Island, which is hardly a substitute for everyday phone communication.

expectation of privacy and, second, that the expectation be one that society is prepared to recognize as 'reasonable' " (*Katz v United States*, 389 US 347, 361 [1967, Harlan, J., concurring]). The majority begins by announcing that "*detainees*, *informed of the monitoring and recording of their calls*, have no objectively reasonable constitutional expectation of privacy in the content of those calls" (majority op at 95 [emphasis added]). The majority's rationale must rest on the proposition that pretrial detainees have a diminished expectation of privacy resulting from the fact of detention; otherwise, the government could notify the general public that it was monitoring their phone calls and thereby eliminate the reasonable expectation of privacy. The majority's analysis must also depend on the notion of implied consent, because if pretrial detention alone were sufficient to remove all expectation of privacy in inmate phone calls, the majority would have no need to mention consent at all. Thus, under the majority's framework, neither Mr. Diaz's status as a pretrial detainee nor his implied consent would—without the other—eliminate his privacy rights in the calls.

Later, however, the majority states: "correctional officers routinely conduct warrantless searches of inmates and their cells to keep other inmates and themselves safe. The logic underlying the routine monitoring and recording of phone calls is no different" (majority op at 98 [citation omitted]). That conclusion rests on the proposition that pretrial detainees have no expectation of privacy. But unlike the majority's rationale here, the cases upholding the constitutionality of such searches do not depend on any theory of notice or implied consent (*see Bell v Wolfish*, 441 US 520, 557 [1979] [upholding a policy that detainees must exit their rooms while correctional officials conduct "shake-down" searches because that "appropriate security measure" does not infringe on whatever expectation of privacy detainees may have]). However, as I explain later, all four Appellate Division Justices below, and the parties in this case, agree that pretrial detainees like Mr. Diaz have some expectation of privacy in their phone calls—conclusions that accord with existing case law on the subject (*cf. Florence v Board of Chosen Freeholders of County of Burlington*, 566 US 318, 322, 338-339 [2012] [upholding a policy to conduct visual strip and body cavity searches of all pretrial detainees upon intake but suggesting those searches could violate a detainee's privacy rights in other scenarios]; *Bell*, 441 US at 557-558 [assuming without deciding that pretrial detainees retain at least "a diminished expectation of privacy"]). Indeed, the People concede that if DOC gave no notice to inmates that their calls would be recorded or monitored, that recording or monitoring would violate the Fourth Amendment. I discuss this in part II, infra.

The broader problem, with which the majority fails to come to grips, is that determining what expectation of privacy society would recognize as reasonable depends on the government's need for—and intended use of—the information obtained in derogation of a privacy right. The fact that information is known to someone other than its owner does not divest the owner of all privacy interests in that information. In the old world, it was relatively simple to draw a line between private information exchanges to which no third party was present and nonprivate information exchanges to which a third party was present. But the new world does not—and cannot—abide by that taxonomy. Eventually, as I explain in part IV, we come back to Justice Harlan's question: what would society consider reasonable? As Judge Pigott, a retired member of this Court, wrote of the DOC policy at issue today: "The current arrangement between the Department of Correction and the District Attorney's office creates a serious potential for abuse and may undermine the constitutional rights of defendants who are financially unable to make bail" (*People v Johnson*, 27 NY3d 199, 208 [2016, Pigott, J., concurring]). Society should not consider that arrangement reasonable.

II.

The Fourth Amendment guarantees that "[t]he right of the people to be secure in their persons, houses, papers, and effects, against unreasonable searches and seizures, shall not be violated" (US Const Amend IV). That promise requires the government to obtain a search warrant supported by probable cause, or else the consent of the person being searched, before searching something in which that person has a legitimate expectation of privacy. Those requirements manifest the "basic purpose of this Amendment": a commitment to "safeguard the privacy and security of individuals against arbitrary invasions by governmental officials" (*Carpenter v United States*, 585 US —, —, 138 S Ct 2206, 2213 [2018], quoting *Camara v Municipal Court of City & County of San Francisco*, 387 US 523, 528 [1967]).

The Founders designed the Fourth Amendment as a "response to the reviled general warrants and writs of assistance of the colonial era, which allowed British officers to rummage through homes in an unrestrained search for evidence of criminal activity" (585 US at —, 138 S Ct at 2213 [internal quotation marks omitted], quoting *Riley v California*, 573 US 373, 403 [2014]). That opposition to unwarranted government searches was "in fact one of the driving forces behind the Revolution itself" (*Riley*, 573 US at 403, citing *Boyd v United States*, 116 US 616 [1886]), reflecting the consensus that such unrestrained government power had no place in the new United States. By requiring a warrant or consent to search or seize an individual's person or property, the Fourth Amendment serves "to put the courts of the United States and Federal officials"—and, since its incorporation against the states, state courts and officials[2] —"in the exercise of their power and authority, under limitations and restraints as to the exercise of such power and authority" (*Weeks v United States*, 232 US 383, 391-392 [1914]).

The Supreme Court initially interpreted the Fourth Amendment to protect against searches of material things only, explicitly rejecting in *Olmstead v United States* a claim that it protects against the interception of electronic communications (277 US 438 [1928], *overruled in part by Katz v United States*, 389 US 347 [1967]). But the Court later abandoned that limitation, confirming that the right of privacy rests with "people, not places"—and includes communications in which a person has a reasonable expectation of privacy (*Katz*, 389 US at 351). Mr. Diaz has such an expectation here.

Importantly, all agree to the proposition that Mr. Diaz has some protectable expectation of privacy in his calls. The lower courts so held,[3] and, by concluding that Mr. Diaz forfeited that expectation through implied consent, the majority agrees as

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2. *Mapp v Ohio* (367 US 643 [1961]) incorporates the Fourth Amendment against the states.

3. The Appellate Division noted that " 'convicted prisoners do not forfeit all constitutional protections by reason of their conviction and confinement in prison,' and certainly 'pretrial detainees, who have not been convicted of any crimes, retain at least those constitutional rights that . . . are enjoyed by convicted prisoners' " (*People v Diaz*, 149 AD3d 974, 976 [2d Dept 2017], quoting *Bell*, 441 US at 545). From the Appellate Division's conclusion that the notice given to Diaz—in the inmate handbook, in the signs posted by the telephones, and in the audio recording that plays before each outgoing call—sufficiently constituted his implied consent to be recorded by DOC, it neces-

(n. cont'd)

well. The People reaffirmed at oral argument that Mr. Diaz "certainly" has an expectation of privacy in his phone calls and that absent his consent, monitoring or recording his calls would have violated his Fourth Amendment rights.[4]

Those concessions and lower court holdings square with Fourth Amendment jurisprudence by which we are bound. As the Appellate Division reiterated, "convicted prisoners do not forfeit all constitutional protections by reason of their conviction and confinement in prison" (*Bell*, 441 US at 545). Indeed, "[t]here is no iron curtain drawn between the Constitution and the prisons of this country" (*Wolff v McDonnell*, 418 US 539, 555-556 [1974]). Convicted prisoners retain, for instance, at least some of the constitutional protections guaranteeing freedoms of speech and religion (*see Pell v Procunier*, 417 US 817 [1974]; *Cruz v Beto*, 405 US 319 [1972]; *Cooper v Pate*, 378 US 546 [1964]); freedom from invidious racial discrimination (*Lee v Washington*, 390 US 333 [1968]); access to the courts (*Johnson v Avery*, 393 US 483 [1969]); and due process of law in any deprivation of life, liberty or property (*Meachum v Fano*, 427 US 215 [1976]). Accepting that convicted inmates retain some constitutional protections, "*[a] fortiori*, pretrial detainees, who have not been convicted of any crimes, retain at least those constitutional rights that we have held are enjoyed by convicted prisoners" (*Bell*, 441 US at 545).

However, for pretrial detainees and convicted inmates alike, "[t]he fact of confinement as well as the legitimate goals and policies of the penal institution limits these retained constitutional rights" (*Bell*, 441 US at 546; *see also Jones v North Carolina Prisoners' Labor Union, Inc.*, 433 US 119, 125 [1977]; *Pell*, 417 US at 822). To that end, there must be a "mutual accommodation between institutional needs and objectives and the provisions of the Constitution that are of general applica-

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sarily follows that the Court concluded Mr. Diaz has an expectation of privacy that would require consent to search. With the addition of the dissenting Justice Hall, all four Justices agreed that, absent consent, the monitoring or recording of the calls would violate Mr. Diaz's right to privacy under the Fourth Amendment.

4. A word on wiretapping: Mr. Diaz makes no claim under any wiretapping statute, so there is no need to interpret those statutes in his case. In *People v Cisse* (32 NY3d 1198 [2019]), argued the same day as this case, Mr. Cisse made no Fourth Amendment claim, only a wiretapping claim. For purposes of the wiretapping statute, consent, however limited, renders the interception not a violation of the wiretapping statute; the same is not true as regards a limited waiver of one's Fourth Amendment rights.

tion" (*Wolff*, 418 US at 556). That principle "applies equally to pretrial detainees and convicted prisoners," who implicate the same security concerns regardless whether they have been convicted of any crime (*Bell*, 441 US at 546). Accordingly, the "restrictions and limitations" that our society places on an incarcerated individual must be consistent with "the considerations underlying our penal system"—of which "institutional security and preserving internal order and discipline are essential" (*id.* at 545, 546). Our system gives wide latitude to correctional officials to take "appropriate action to ensure the safety of inmates and corrections personnel and to prevent escape or unauthorized entry" (*id.* at 547), on the theory that those officials are best situated to determine what security measures are required to maintain security and order in a correctional facility. That latitude has been used to uphold a range of intrusions—some quite severe—into an inmate's expectation of privacy.

For a criminal defendant who is not detained but is instead out on bail, the Fourth Amendment undoubtedly requires law enforcement to obtain a warrant to monitor that person's calls. As a pretrial detainee not convicted of any crime at the time the phone recordings at issue in this case were made, Mr. Diaz is, as a starting point, entitled to that same level of constitutional protection. Nevertheless, the People argue that DOC's monitoring is lawful because, by using the phones after receiving notice of DOC's recording policy—which explicitly states that use of the phones shall constitute implied consent—Mr. Diaz impliedly consented to a search by DOC. I disagree with that view—now advocated by the majority—because it disregards the limits of DOC's institutional authority, which if left unchecked undermines the foundation of the Fourth Amendment's protection against unwarranted government intrusions.

A.

There is a serious question as to whether, in the sort of circumstances present here, consent can be implied from an inmate's use of the phones following notice.[5] In numerous areas of the law, consent is deemed involuntary—and hence inef-

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5. The idea that notice plus action equals consent is highly suspect in this context. Were notice plus action sufficient to constitute consent to a search, "law enforcement officials, simply by announcing their intent to monitor the content of random samples of first-class mail or private phone conversations, could put the public on notice of the risks they would thereaf-

(n. cont'd)

fective—when made under duress (*see e.g. Centro Empresarial Cempresa S.A. v América Móvil, S.A.B. de C.V.*, 17 NY3d 269, 276 [2011] [releases from liability]; *Hammelburger v Foursome Inn Corp.*, 54 NY2d 580, 592-594 [1981] [mortgage foreclosure]; *Austin Instrument v Loral Corp.*, 29 NY2d 124, 130 [1971] [economic duress in contracts generally]; *cf. McFarland v McFarland*, 70 NY2d 916, 917 [1987] [marital separation agreements]; *Matter of Sarah K*, 66 NY2d 223, 232 [1985] [adoption]). Although the Fourth Amendment permits some intrusions into an inmate's privacy rights without consent (*see e.g. Bell*, 441 US at 558-560 [upholding policy to conduct visual strip and body cavity searches of all inmates after in-person visits]; *id.* at 555-557 [upholding policy to search inmates' living areas and possessions while they are not present]), there is a further serious question as to whether DOC may establish lawful grounds to monitor inmate phone calls without consent for purposes related to prison safety and security. I do not opine on either of those questions here: as to the first, because it is a largely factual question requiring development of a record; as to the second, because DOC is not represented in this litigation and because the People have conceded that absent an inmate's consent, the monitoring and recording would violate the Fourth Amendment.

Thus, for the purposes of this case, I assume that Mr. Diaz waived his expectation of privacy—as against DOC, for security purposes—by providing his implied consent to be monitored and recorded in accordance with DOC policy. According to the record, inmates and pretrial detainees at Rikers Island received three forms of notice of that policy. First, all inmates must sign the inmate handbook, which states:

> "All calls, except for calls with your attorney or other privileged calls, may be monitored and/or recorded by the Department *for security purposes*. In order for your attorney and other privileged calls not to be monitored you must provide the Department with the phone numbers to which calls should not be monitored, and the Department will check that those numbers belong to attorneys or other

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ter assume in such communications" (*Smith v Maryland*, 442 US 735, 750 [1979, Marshall, J., dissenting]). In the particular context of incarceration, where Mr. Diaz has no realistic option but to use the phones to communicate with loved ones and participate in his defense, and no bargaining power to negotiate the terms of DOC's policy, Justice Marshall's concern resonates even more strongly.

> persons with privileged contact with you. Your use of the telephone in a Department facility constitutes your implied consent to such monitoring" (emphasis added).

Second, signs posted in English and Spanish next to the telephones read: "INMATE TELEPHONE CONVERSATIONS ARE SUBJECT TO ELECTRONIC MONITORING AND/OR RECORDING *IN ACCORDANCE WITH [DOC] POLICY*. AN INMATE'S USE OF INSTITUTIONAL TELEPHONES CONSTITUTES CONSENT TO THIS MONITORING AND/OR RECORDING" (emphasis added and internal quotation marks omitted). Third, a brief recorded message at the start of each call warns that calls "may be recorded and monitored" (appendix for defendant-appellant at A236).[6] The first notice plainly limits the purpose of the monitoring and recording to that conducted "by the Department for security purposes"; the second, by referencing "[DOC] POLICY," incorporates the first; and the third, in its brevity, does nothing to dispel the prior restrictions on the purpose and use of the monitored calls. The implied consent provision of the inmate handbook, for its part, states that "[y]our use of the telephone in a Department facility constitutes your implied consent to *such monitoring*" (emphasis added)—that is, to the limited recording described. Likewise, the signs posted by the phones state that use of the phones "CONSTITUTES CONSENT TO *THIS* MONITORING AND/OR RECORDING" (emphasis added)—as in, to the monitoring and recording for security purposes that the signs reference in the first place. DOC thereby sought Mr. Diaz's implied consent for its own security purposes—the only purpose for which it could seek consent; that is the only consent Mr. Diaz even arguably gave.

Working again from the agreed-upon proposition that Mr. Diaz and other pretrial detainees have some reasonable expectation in the privacy of their calls, the mere fact that Mr. Diaz has communicated some information to some other person does not entitle the prosecution to obtain that information without his consent or without a warrant—neither of which it had in this case.[7] In other words, Mr. Diaz's consent to a search by DOC, a non-law enforcement governmental entity, for its

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6. The record does not contain a recording or transcription of the actual message, only a testimonial description of it.

7. Even when only a single governmental entity is involved—and not two, as was the case here, "[t]he standard for measuring the scope of a suspect's consent under the Fourth Amendment is that of 'objective' reasonableness—

(n. cont'd)

own security purposes cannot reasonably be construed to include consent for the District Attorney—a law enforcement entity—to search that information for prosecutorial purposes.

B.

The bases on which an incarcerated person's—or anyone's—constitutional rights may be overcome is limited by the nature of the governmental need. The majority implicitly recognizes as much, noting that prison surveillance is justified by the "government's weighty interest in ensuring institutional security and order" (majority op at 98, citing *Hudson v Palmer*, 468 US 517, 527-528, 529-530 [1984]). As but one example, although the Fourth Amendment by its language prevents all unreasonable warrantless searches and seizures, the governmental need for a warrantless search in exigent circumstances (*see Mincey v Arizona*, 437 US 385, 394 [1978]) or incident to a lawful arrest (*see Chimel v California*, 395 US 752, 763 [1969]) can overcome the privacy right that the Constitution guarantees. As relevant to Mr. Diaz, the Supreme Court has long "insisted that prisoners be accorded those rights not fundamentally inconsistent with imprisonment itself or incompatible with the objectives of incarceration"; that is, they retain those rights not inconsistent with the legitimate penological needs and safety and security concerns that incarceration entails (*Hudson*, 468 US at 523).

Nothing in this case justifies the governmental intrusion of Mr. Diaz's privacy inherent in the District Attorney's unfettered access to his phone calls for the duration of his pretrial detention. The security purposes that expressly underlie DOC's policy to record and monitor detainees' calls are not offered to justify the wholesale disclosure of those recordings to the District Attorney to prosecute Mr. Diaz for the crime for which he was detained—nor could they.

To determine whether the government may lawfully infringe upon an inmate's privacy, the Supreme Court has explained that

> "[t]he test of reasonableness under the Fourth

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what would the typical reasonable person have understood by the exchange between the officer and the suspect?" (*Florida v Jimeno*, 500 US 248, 251 [1991] [holding that a criminal suspect's consent for police to search his vehicle did not constitute consent for police to search a bag within the vehicle that could not reasonably have contained the object police were searching for].)

> Amendment is not capable of precise definition or mechanical application. In each case it requires a balancing of the need for the particular search against the invasion of personal rights that the search entails. Courts must consider the scope of the particular intrusion, the manner in which it is conducted, the justification for initiating it, and the place in which it is conducted" (*Bell*, 441 US at 559).

The Court further explained: "when an institutional restriction infringes a specific constitutional guarantee . . . the practice must be evaluated in the light of the central objective of prison administration, safeguarding institutional security" (*id.* at 547, citing *Jones*, 433 US at 129; *Pell*, 417 US at 823). Indisputably, DOC has a substantial interest in ensuring that pretrial detainees (and convicted inmates alike) are not planning to smuggle contraband into the facility, attempting to tamper with potential witnesses, planning an escape, or participating in the planning of some further crime.[8]

That interest, however, does not justify the intrusion of privacy inherent in turning those recordings over to the prosecution. It is simply implausible that the wholesale disclosure of phone call recordings to the District Attorney advances jail security—and the parties do not contend so. Such disclosure does not strengthen DOC's ability to maintain order, to discover an inmate's efforts to smuggle contraband or hatch an escape, or to monitor for involvement in illegal activity on the outside. DOC, not the District Attorney, is responsible for facility security. Although disclosing the recordings to the District Attorney may often facilitate prosecution for past criminal activity, "[p]rivacy comes at a cost" (*Riley*, 573 US at 401); whatever benefit that access might entail is not nearly sufficient to overcome the protections the Fourth Amendment provides.

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8. The record contains no evidence that DOC's monitoring of inmate phone calls is necessary to maintain security at Rikers Island, nor is there evidence that the District Attorney's office has any weighty need for the recordings. Until 2008, DOC did not record inmate phone calls (and, therefore, did not turn any such recordings over to the District Attorney). There is no evidence that, before the District Attorney's office had unfettered access to recordings of inmate phone calls, its functions were hampered, much less hampered so significantly as to justify the intrusion at issue here. The People make no argument at all as to their *need* for the phone calls—they simply assert a right to have them because DOC has them. If the People did have such a need, the time-honored path to establish it would be through application for a search warrant.

Instead, that type of suspicionless search by the government is just what the Fourth Amendment prohibits.

III.

The People argue that, under what is termed the "third-party" doctrine, a person forfeits all expectation of privacy in information voluntarily disclosed to a third party. Thus, they argue, Mr. Diaz forfeited his expectation of privacy in the call recordings by consenting to DOC's recording and monitoring. That argument fails, and its acceptance bodes ill for the privacy interests of law-abiding individuals.

Application of the third-party doctrine would contravene the test set out in *Bell* and therefore cannot be available here. DOC is a governmental actor that has obtained limited consent from Mr. Diaz for "security purposes" only. According to the People and the majority, that access constitutes the "third-party disclosure" that eliminates all privacy interests Mr. Diaz (or the recipients of the calls) may have in those phone calls. The majority maintains that when the inmate handbook "gives notice that inmate telephone calls may be monitored 'for security purposes,' that statement simply explains *one* of the reasons for DOC's monitoring practice; it says nothing about the potential uses or dissemination of the recordings" (majority op at 100 [emphasis added]). Under the majority's construction, if I ask to borrow your car to drive to the corner store, I may enter it into a demolition derby, because I did not say the *only* thing I was going to use it for was to go to the store. You would be shocked if I said you had impliedly consented, and no court would conclude you had impliedly consented to a use fundamentally different from the one I specifically expressed.

Beyond its detachment from the way consent operates in the real world, the majority's rule contravenes the *Bell* test by disposing of any inquiry into the DOC's need to collect the information it seeks through a particular search. By allowing DOC to collect information "for security purposes" and routinely deliver it to law enforcement on the theory that the subject has forfeited all expectation of privacy, the majority enables the government to circumvent the Fourth Amendment by collecting private information without a warrant for one ostensible purpose and then deeming it nonprivate for a purpose as to which a warrant would have been required.

Consider the following. Suppose DOC determined that it could maintain jail security without monitoring and recording inmates' calls after all. But, because the District Attorney wanted the recordings, DOC continued to record all nonprivileged conversations and to turn them over to the District Attorney. Unless we are willing to say that irrespective of DOC's need to record inmate conversations—which *Bell* requires us to weigh against an inmate's expectation of privacy—the District Attorney's desire to do so is sufficient to overcome the privacy rights of inmates in such calls, we cannot permit such a simple evasion of the Fourth Amendment as is offered here.

For that reason, the People's argument that Mr. Diaz's calls are nonprivileged and therefore subject to the third-party doctrine is a red herring. My phone call to a friend is nonprivileged, but that does not mean the State may intercept it without a warrant and use its contents to prosecute me.[9] Surely, the State may ask my friend what I said, and my friend may volunteer the contents of our conversation or may be compelled to do so by legal process. Neither of those methods would violate the Fourth Amendment. Likewise here, the District Attorney could have contacted the recipients of Mr. Diaz's phone calls to inquire about the contents of his conversations, and could have subpoenaed them. But merely because the State could use lawful means to obtain the substance of the information from third parties does not mean that it may use *any* means to obtain the information simply because it has been divulged to some third party.

This case is also distinguishable from those in which the police request to search a location for a particular type of contraband or evidence, obtain consent, and discover something else in plain view. For instance, if the police obtain permission from a homeowner to search a home for drugs, and instead find unregistered handguns on the table, the police may seize those handguns, and the prosecution may use them as evidence to support a weapons possession charge. In that case, the homeowner consented to a search *by law enforcement*, and it is the plain-view doctrine, not the third-party doctrine, that allows police to seize those guns. Mr. Diaz consented to no such law enforcement search. He presumably understood that his

9. In evaluating the societal reasonableness of the wholesale transfer of Mr. Diaz's phone calls to the District Attorney, it is vital to remember that both DOC and the District Attorney are governmental actors. As a society, we understand that my friend—a private actor—is free to recount to others—even to the District Attorney—our conversation, but that the District Attorney is not permitted to bug our call to obtain that same information.

phone communications would be searched by DOC—the government actor responsible for security on Rikers Island, not the District Attorney—the government actor responsible for his criminal prosecution.

We come back around, then, to whether we, as a society, want to prosecute crime by jailing suspects for lengthy periods of time in relatively inaccessible locations and monitoring their calls for statements that might be used against them. We might obtain a higher conviction rate with rubber hoses or waterboards, but that is not the civilization we want. Our society is committed to safeguarding the right against self-incrimination and the right to counsel. I find myself again with Judge Pigott in describing the society we do want and with it, what measure of privacy pretrial detainees should reasonably expect:

> "Faced with the possibility that anything a defendant says over the phone can (and will) be used against him at trial, the defendant's only real choice is not to use the phones at all. I cannot sanction that result. Trial courts must be vigilant to protect the detainees' constitutional rights, and consideration should be given to placing limitations on the prosecutor's ability to obtain these recordings" (*Johnson*, 27 NY3d at 211 [Pigott, J., concurring]).

Such limitations are at the core of the Fourth Amendment's promise.

IV.

The broader deficiency in the majority's analysis is that the third-party doctrine is eroding under the flow of technological change, just as traditional conceptions of privacy based in property, places, and physical objects have been abandoned over the last century. Nearly a century ago, in *Olmstead v United States*, the Supreme Court held that wiretapping did not violate the Fourth Amendment:

> "The [Fourth] Amendment itself shows that the search is to be of material things—the person, the house, his papers or his effects. . . .
>
> "The Amendment does not forbid what was done here. There was no searching. There was no seizure. The evidence was secured by the use of the sense of

> hearing and that only. There was no entry of the houses or offices of the defendants. . . .
>
> "The language of the Amendment can not be extended and expanded to include telephone wires reaching to the whole world from the defendant's house or office. The intervening wires are not part of his house or office any more than are the highways along which they are stretched" (277 US 438, 464-465 [1928]).

Four decades later, the Court diverged from that property-based conception of privacy rights, acknowledging in *Katz v United States* that over time, "the underpinnings of *Olmstead* . . . have been so eroded by our subsequent decisions that the 'trespass' doctrine there enunciated can no longer be regarded as controlling" (389 US 347, 353 [1967]). Representing a broad expansion of privacy protections to "people, not places" (*id.* at 351), *Katz* holds specifically that the government cannot constitutionally intercept calls placed from a phone booth. Although the booth itself was located on a public street, the "critical fact in this case" was that "[o]ne who occupies [a phone booth], shuts the door behind him, and pays the toll that permits him to place a call is surely entitled to assume that the words he utters into the mouthpiece will not be broadcast to the world" (*id.* at 352, 361). With the advent of cell phones, it would be absurd to maintain that place-based conception of privacy—to say that the "critical fact" underpinning our expectation that the government will not intercept our calls is the act of shutting a door behind us before dialing.

The chief concern of the Fourth Amendment is to protect against arbitrary government power that unjustifiably intrudes on the sphere of privacy attendant to personhood. That guarantee is foundational to our national promise, and we must be vigilant in our efforts to ensure it is not eroded. The way in which we articulate its contours is not static, because the conditions in which information about each of us is discoverable by the State is not static.

For the first two centuries of our nationhood, Fourth Amendment doctrine has been based in large part on a fairly simple rubric about what is private and what is not; something is not private if it is observable to the public, or if it is voluntarily disclosed to another, or if it is outside your home. But in many ways, as the differences between *Katz*'s world and today's exemplifies, those assumptions no longer hold. As technology has developed, old assumptions and guideposts are ever challenged, providing doctrinal puzzles that we must solve with coherence and with respect for the principles that undergird the Fourth Amendment. The old rules of thumb are deteriorating as useful metrics of the reasonableness of an expectation of privacy.

The Supreme Court's most recent articulations of Fourth Amendment doctrine have recognized that, just as privacy rules for an agrarian society did not translate well into an industrial one, privacy rules from the Industrial Age do not translate well into the Information Age. For instance in *Kyllo v United States*, the Court held that a thermal imaging scan of a suspect's home was a search; "obtaining by sense-enhancing technology any information regarding the interior of the home that could not otherwise have been obtained without physical 'intrusion into a constitutionally protected area' constitutes a search—at least where (as here) the technology in question is not in general public use" (533 US 27, 34 [2001] [citation omitted], quoting *Silverman v United States*, 365 US 505, 512 [1961]). That holding challenged the old doctrinal assumption that a person had no expectation of privacy in something "observable" to law enforcement.

Increasingly, Fourth Amendment jurisprudence is retreating from the traditional third-party doctrine, in recognition that a sine qua non of modern society is the deposit of mountains of personal data with third parties who preserve it indefinitely. Most recently, in *Carpenter v United States*, the Supreme Court held "that an individual maintains a legitimate expectation of privacy in the record of his physical movements as captured through CSLI," or cell-site location information, the vast data that places a cell phone—and, by implication, its user—in a particular place at a particular time (585 US —, —, 138 S Ct 2206, 2217 [2018]). Accordingly, the Court concluded, the government could not obtain CSLI from wireless carriers, which it had used at trial to place Mr. Carpenter near the locations of several robberies for which he was charged, without a warrant. *Carpenter* grew from the Court's earlier decision in *Riley v California*, which held that the police may not, without a warrant, search the digital contents of a cell phone lawfully seized from a person who has been arrested (573 US 373 [2014]). In both cases, the government seized the data at issue from a third-party wireless carrier with which the user had indisputably and knowingly shared it.

The mere fact of disclosure to a third party, however, did not eliminate the user's expectation of privacy in that information. Indeed, in *Carpenter*, the defendant's movements were on the public streets, and he would have been visible to anyone in his vicinity. Under a traditional view, he could not have had a reasonable expectation of privacy in his location, but the Court held that he could have a reasonable expectation of privacy in the location data sent by his cell phone to his wireless carrier. Mr. Carpenter's wireless carrier needed to have that information for its own business purposes, not to aid the government in prosecuting Mr. Carpenter; likewise here, DOC needs to record Mr. Diaz's phone calls for its own security purposes, not to aid the government in prosecuting Mr. Diaz.

In its shift away from the blind application of the third-party doctrine, the Court recognized that that doctrine "partly stems from the notion that an individual has a reduced expectation of privacy in information knowingly shared with another" (*Carpenter*, 585 US at —, 138 S Ct at 2219); by sharing information with a third party, such as a bank (*see United States v Miller*, 425 US 435 [1976]) or a telephone company (*see Smith v Maryland*, 442 US 735 [1979]), an individual is traditionally said to have "assumed the risk that the company would reveal to police" the information at issue (*Smith*, 442 US at 744).

But, that "diminished privacy interest[ ] does not mean that the Fourth Amendment falls out of the picture entirely" (*Riley*, 573 US at 392). Importantly, *Smith* and *Miller* "did not rely solely on the act of sharing" to hold that the information at issue was not private (*Carpenter*, 585 US at —, 138 S Ct at 2219). Instead, the Court considered "the nature of the particular documents sought to determine whether there is a legitimate expectation of privacy concerning their contents" (585 US at —, 138 S Ct at 2219 [internal quotation marks omitted], quoting *Miller*, 425 US at 442). In *Carpenter* and *Riley*, the nature of the cell phone information sought—a robust record of the user's life and whereabouts—made it sufficiently distinguishable from the bank records sought in *Miller* and the outgoing numbers dialed from a landline sought in *Smith*.[10] Given the ubiquity of modern cell phones and their technological capacity to trace

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10. Although the Court has distinguished, not overruled, cases such as *Smith* and *Miller* along these lines, I agree with Justice Marshall that "[t]hose who disclose certain facts to a bank or phone company for a limited business purpose need not assume that this information will be released to other persons for other purposes" (*Smith*, 442 US at 749 [Marshall, J., dis-

(n. cont'd)

our every location and communication, “in no meaningful sense does the user voluntarily ‘assume[ ] the risk’ of turning over a comprehensive dossier of his physical movements” (*Carpenter*, 585 US at —, 138 S Ct at 2220, quoting *Smith*, 442 US at 745).

That comparison emphasizes the new nature of smartphone technology and the massive quantity of data stored on those devices to distinguish *Carpenter* and *Riley* from prior third-party doctrine decisions. Although in Mr. Diaz’s case the intrusion stems from good, old-fashioned landline surveillance, it too involves modern technology that made it possible for DOC to record and store massive amounts of data and deliver more than a thousand voice recordings to the District Attorney with the click of a mouse. The intrusion is also distinguishable in a more odious way: the third party obtaining and sharing the information is not a private party but is instead an arm of government. It is exactly such governmental intrusions from which the Fourth Amendment shields us.

The attempt to reconcile old doctrine with an evolving new doctrine is difficult. In his concurring opinion in *Riley*, Justice Alito expressed concern that the majority opinion extended more protections to the outgoing phone calls of arrestees using a cell phone to comparable calls made using a landline. But, recognizing that there was no workable alternative, he agreed with the decision that the Fourth Amendment does not allow warrantless search of a cell phone lawfully seized from an arrestee.

Justice Alito’s point is well-taken and exposes a tick in the development of Fourth Amendment doctrine. Distinguishing modern smartphones from older, more “traditional” forms of technology reflects the perspective of a particular point in time—a basis that makes little sense when the founding principles that underlie the Fourth Amendment do not contemplate differences between the technological developments of a subsequent era. “Traditional surveillance techniques” are only traditional from our vantagepoint; the new technology of a smartphone will seem traditional, perhaps passé, to the next generation.

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senting]); “unless a person is prepared to forgo use of what for many has become a personal or professional necessity, he cannot help but accept the risk of surveillance” (*id.* at 750). For that reason, such third-party disclosures constitute consent for the information at issue to be shared with the third-party company only, not with law enforcement.

Soon, it might not be unusual to see people walking down the street wearing X-ray goggles—will others have forfeited their expectation of privacy in whatever those goggles can see? After all, they are in public, where their expectation of privacy is diminished, and the search image is "observable" thanks to technology in "general public use" (*Kyllo*, 533 US at 34 [limiting its holding that observations conducted with sense-enhancing technology may only violate the Fourth Amendment if that "technology . . . is not in general public use"]). When advances in biotechnology enable tracking of our movements using biometrics that can be constantly read by satellites, will we have forfeited what expectation of privacy remains in our whereabouts?

I offer those questions not to sound a dystopian alarm, but to underscore that when we apply old Fourth Amendment doctrine to new technologies and develop new rules based on those changes, we must extract the principle—and not the prior articulation—from the old doctrine. The map of a flat world worked for a time, but no longer. The rules that define our right of privacy vis-à-vis law enforcement must ensure that law enforcement cannot collect evidence in ways that undermine the privacy rights we want to allow as a society. Returning again to Justice Harlan's normative question, the Fourth Amendment asks not only whether the individual asserting the interest has demonstrated a subjective expectation of privacy, but also whether that expectation would be accepted as reasonable by society. Although there may be no principled basis for permitting the police to observe you in your home through a high-power telescope but not through a heat-sensing infrared device, or to place cameras on streets everywhere but not use cell-site data to track you, those decisions define the Fourth Amendment's sweep.

The majority's holding here is, in essence, the flat map of the world imposed on a spherical one. DOC claims to have obtained Mr. Diaz's telephone calls out of necessity, just as did the phone company in *Carpenter*. Mr. Diaz has used those phones out of necessity to communicate with the outside world, just as the plaintiff in *Riley* used his smartphone to participate in everyday modern life. Mr. Diaz's ability to avoid use of the prison phone for the eight months of his incarceration is far less realistic than Mr. Carpenter's ability to avoid carrying his cell phone during his hours-long crime spree; he could have used burner phones, as many people do when engaging in criminal activity. Yet, the government must obtain a warrant to seize the wireless carrier's records of Mr. Carpenter's movements—movements that, unlike Mr. Diaz's, were nontestimonial and observable to the naked eye. Application of the third-party doctrine to Internet service providers, social media sites, wireless phone carriers, credit card companies, medical insurers and so on would mean that the government may, without a warrant, obtain all that information and more simply because we have "voluntarily" disclosed it to a third party. Instead, Fourth Amendment law, and privacy law more generally, must adapt to times in which we, like Mr. Diaz, have no realistic choice but to divulge information to third parties for a specific purpose, yet retain our rights against the warrantless seizure of that information by the government. Sadly, today's decision is another *Olmstead*.

For that reason and for those discussed above, I dissent.

Chief Judge DIFIORE and Judges STEIN, FAHEY and GARCIA concur; Judge WILSON dissents in an opinion in which Judge RIVERA concurs.

Order affirmed.

[123 NE3d 233, 99 NYS3d 749]

MOSHE MARCEL AJDLER, Appellant, v PROVINCE OF MENDOZA, a Province of the Republic of Argentina, Respondent.

Argued February 14, 2019; decided March 21, 2019

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review two questions certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following questions were certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: "1. If a bond issuer remains obligated to make biannual interest payments until the principal is paid, including after the date of maturity, *see NML Capital v. Republic of Argentina*, 17 N.Y.3d 250, 928 N.Y.S.2d 666, 952 N.E.2d 482 (2011), do enforceable claims for such biannual interest continue to accrue after a claim for the principal of the bonds is time-barred? 2. If the answer to the first question is 'yes,' can interest claims arise *ad infinitum* as long as the principal remains unpaid, or are there limiting principles that apply?"

HEADNOTES

Bills, Notes and Checks — Interest — Contractual Obligation to Make Post-Maturity Interest Payments

1. Where an indenture provides that interest is due until the principal is paid, once an action to recover outstanding principal is time-barred, there can be no freestanding claim to enforce the obligation to make postmaturity interest payments. The date when principal is due—ordinarily the maturity date—serves as a legally significant benchmark because it marks the event upon which the obligation to pay postmaturity interest is conditioned. The obligation to pay postmaturity interest arises on the maturity date only if the bond issuer breaches the parties' agreement by failing to timely repay the principal. The recoverability of postmaturity interest payments is tethered to a claim for principal rather than a debt capable of a distinct claim. Once a creditor can no longer establish a right to repayment of principal, there is no basis or foundation upon which to allege a right to payment of postmaturity interest.

Bills, Notes and Checks — Interest — Action to Recover on Missed Interest Payments after Claim on Principal Time-Barred Not Permitted

2. The Court in *Amrusi v Nwaukoni* (155 AD3d 814 [2d Dept 2017]) impliedly permitted an action to recover on missed interest payments accruing after a claim on principal was time-barred. To the extent that the Court's decision has previously been read as endorsing that view, it should no longer be followed.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Bonds § 44; AM JUR 2d Interest and Usury § 17.
NY JUR 2d Bonds §§ 31, 44, 55; NY JUR 2d Interest and Usury §§ 7, 51.

ANNOTATION REFERENCE

See ALR Index under Bonds and Securities; Interest on Money.

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POINTS OF COUNSEL

Dechert LLP, Philadelphia, Pennsylvania (*Michael H. McGinley* of the Pennsylvania bar, admitted pro hac vice, of counsel) and New York City (*Dennis H. Hranitzky* of counsel), and *Hoffner PLLC*, New York City (*David S. Hoffner* of counsel), for appellant. I. Under New York law and the parties' contract, claims for separate interest payments continue to accrue on the bond after a claim for the underlying principal is time-barred. (*NML Capital v Republic of Argentina*, 17 NY3d 250; *Vermont Teddy Bear Co. v 538 Madison Realty Co.*, 1 NY3d 470; *Schmidt v Magnetic Head Corp.*, 97 AD2d 151; *805 Third Ave. Co. v M.W. Realty Assoc.*, 58 NY2d 447; *Riverside S. Planning Corp. v CRP/Extell Riverside, L.P.*, 13 NY3d 398; *Tanges v Heidelberg N. Am.*, 93 NY2d 48; *Martin v Dierck Equip. Co.*, 43 NY2d 583; *Hulbert v Clark*, 128 NY 295; *Hahn Automotive Warehouse, Inc. v American Zurich Ins. Co.*, 81 AD3d 1331; *Clark v Abbott Labs.*, 155 AD2d 35.) II. Long-standing principles of merger and laches prevent interest claims on the bonds from accruing ad infinitum. (*Jay's Stores v Ann Lewis Shops*, 15 NY2d 141; *Williamsburgh Sav. Bank v Bernstein*, 277 NY 11; *Matter of Doherty v Cuomo*, 76 AD2d 14; *NML Capital v Republic of Argentina*, 17 NY3d 250; *Gray v Richmond Bicycle Co.*, 167 NY 348; *La Societe Anonyme des Parfums le Galion v Jean Patou, Inc.*, 495 F2d 1265; *Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801; *Matter of Barabash*, 31 NY2d 76; *Matter of Schulz v State of New*

York, 81 NY2d 336; *LaSalle Bank N.A. v Nomura Asset Capital Corp.*, 424 F3d 195.)

Cleary Gottlieb Steen & Hamilton LLP, New York City (*Carmine D. Boccuzzi, Jr.*, *Michael Athy-Plunkett* and *Rathna Ramamurthi* of counsel), for respondent. I. Plaintiff's claims for interest are time-barred under the four-year contractual prescription period. (*ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.*, 25 NY3d 581; *Hahn Automotive Warehouse, Inc. v American Zurich Ins. Co.*, 18 NY3d 765; *Vigilant Ins. Co. of Am. v Housing Auth. of City of El Paso, Tex.*, 87 NY2d 36; *Reid v Incorporated Vil. of Floral Park*, 107 AD3d 777; *Town of Brookhaven v MIC Prop. & Cas. Ins. Corp.*, 245 AD2d 365; *Environics, Inc. v Pratt*, 50 AD2d 552; *Duval v Skouras*, 181 Misc 651, 267 App Div 811; *Phoenix Acquisition Corp. v Campcore, Inc.*, 81 NY2d 138; *NML Capital v Republic of Argentina*, 17 NY3d 250; *Metropolitan Life Ins. Co. v Noble Lowndes Intl.*, 84 NY2d 430.) II. Plaintiff's proffered "limiting principles" serve to demonstrate further the untimeliness of his claims. (*ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.*, 25 NY3d 581; *Vastola v Maer*, 48 AD2d 561, 39 NY2d 1019; *Ely-Cruikshank Co. v Bank of Montreal*, 81 NY2d 399; *Matter of Doherty v Cuomo*, 76 AD2d 14; *Jay's Stores v Ann Lewis Shops*, 15 NY2d 141; *Paramount Pictures Corp. v Allianz Risk Transfer AG*, 31 NY3d 64; *Gramatan Home Invs. Corp. v Lopez*, 46 NY2d 481; *NML Capital v Republic of Argentina*, 621 F3d 230; *Matter of Hunter*, 4 NY3d 260; *Brecher v Republic of Argentina*, 806 F3d 22.)

OPINION OF THE COURT

Feinman, J.

The limited issue before us concerns the enforceability of a bond issuer's obligation to pay interest on an outstanding principal debt when a claim to recover that principal is time-barred.

The United States Court of Appeals for the Second Circuit has asked us to decide, pursuant to section 500.27 of the Rules of the Court of Appeals (22 NYCRR), "[i]f a bond issuer remains obligated to make biannual interest payments until the principal is paid, including after the date of maturity . . . [(*see NML Capital v. Republic of Argentina*, 17 NY3d 250 [2011])], do enforceable claims for such biannual interest continue to accrue after a claim for the principal of the bonds is time-barred?" (890 F3d 95, 105 [2018].) We answer this question in the negative.[1] Pursuant to New York common law and the terms of the indenture, in the absence of a timely action to recover principal, a bondholder cannot enforce the conditional obligation to make postmaturity interest payments.

I.

A.

In September 1997, defendant Province of Mendoza issued bonds valued at $250 million (the bonds). Plaintiff Moshe Marcel Ajdler is the beneficial owner of $7,050,000 of the principal amount. The bonds, which were issued pursuant to an indenture and were governed by attendant terms and conditions (collectively, the indenture), were due to mature 10 years later. The plain language of the indenture, which is to be interpreted pursuant to New York law, provides that defendant was required to pay interest in biannual installments accruing on the principal sum at a 10% annual rate. Relatedly, the language of the bonds states: "Interest shall accrue from and including the most recent date to which interest has been paid or duly provided for or, if no interest has been paid or duly provided for, from [the date the bonds were issued] until payment of said principal sum has been made or duly provided for."

Under the terms of the indenture, defendant was required to repay the principal in a lump sum on the maturity date. Moreover, the indenture states that "[e]ach Bond will cease to bear interest from [that date] unless . . . payment of principal is improperly withheld or refused." Upon defendant's failure to pay principal or interest, the indenture provides that, "[n]otwithstanding any other provision in [the] Indenture," plaintiff and the other bondholders have an "absolute and unconditional" right to "receive payment of the principal of and interest on . . . [the] Bond on the stated maturity expressed in such Bond and to institute suit for the enforcement of any such

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1. The Second Circuit also asked whether, "[i]f the answer to the first question is 'yes,' can interest claims arise *ad infinitum* as long as the principal remains unpaid, or are there limiting principles that apply?" (890 F3d at 106.) Because we answer the first question in the negative, we do not reach the second question.

payment." The terms and conditions of the bonds further circumscribe that right, stating that "[a]ll claims against [defendant] for payment of principal of or interest . . . on or in respect of the [b]onds shall be prescribed unless made within four years from the date on which such payment first became due."

In June 2004, defendant offered, in exchange for the bonds, to issue new restructured bonds with a delayed maturity date and a lower interest percentage in anticipation of its inability to meet its obligations as a result of the evolving Argentinian sovereign debt crisis. Plaintiff rejected defendant's exchange offer. Subsequently, plaintiff did not receive any scheduled biannual interest payments or payment of his share of principal on the maturity date.

B.

Nine and a half years after the maturity date, in March 2017, plaintiff commenced this action against defendant in the United States District Court for the Southern District of New York seeking to collect his share of principal as well as all accrued and unpaid biannual interest payments to which he was entitled under the indenture. Defendant moved to dismiss the complaint, as relevant here, on the ground that plaintiff's claims were time-barred under the four-year prescription period provided in the indenture. In opposition, plaintiff relied primarily on *NML Capital v Republic of Argentina* (17 NY3d 250, 259 [2011]), in which we held based on a nearly identical indenture provision requiring the bond issuer to make biannual interest payments "until the principal was repaid" that, where principal was not repaid on the maturity date, the bond issuer was obligated to make interest payments until the principal was actually repaid. Plaintiff argued that because we did not expressly cabin our holding in *NML Capital* to timely claims for principal, defendant was obligated to make biannual interest payments until plaintiff's share of principal was actually repaid or the indenture merged into a judgment, regardless of whether the bondholder sued before a claim to recover the principal was untimely. Thus, at a minimum, plaintiff maintained that he was entitled to recover unpaid postmaturity interest payments due within what he then argued was the applicable six-year limitations period prior to commencing this action.[2]

The district court granted defendant's motion to dismiss. The court held that the four-year prescription period set forth in the indenture applied, and measuring that period from the maturity date, all claims for principal and any accrued interest were time-barred (*Ajdler v Province of Mendoza*, 2017 WL 3635122, 2017 US Dist LEXIS 122659 [SD NY, Aug. 2, 2017, No. 17-CV-1530 (VM)]). Moreover, the court agreed with defendant that *NML Capital* was not intended to extend to situations in which a claim to recover the principal was untimely (2017 WL 3635122, *8-9, 2017 US Dist LEXIS 122659, *19-24).

The Second Circuit agreed that the four-year prescription period applied and that plaintiff's claim for principal was untimely (*Ajdler v Province of Mendoza*, 890 F3d 95 [2d Cir 2018]). Like the trial court, the Second Circuit did not find *NML Capital* to be unambiguously dispositive of the viability of plaintiff's claims to recover interest because "it was made in the context of a *timely* claim for principal" (*id.* at 101). However, the court considered New York law inconclusive as to the timeliness of plaintiff's claims for postmaturity interest payments that came due in the four years before plaintiff commenced this action (*id.*). On the one hand, the court highlighted our decision in *Chapin v Posner* (299 NY 31 [1949]) and its progeny stemming from the time-limited mortgage moratorium legislation enacted in the wake of the Great Depression (*see e.g.* Civ Prac Act §§ 1077-a, 1077-b). The court noted that those cases support defendant's argument, as they indicate that "unpaid principal on which the limitations period has run cannot give rise to new interest claims" (*Ajdler*, 890 F3d at 102). The court also discussed a number of cases from New York lower courts "suggesting not only that claims for post-maturity interest cannot *accrue* once the principal is time-barred, but that claims for interest on unpaid principal *expire* when the limitations period has run for recovery of the principal" (*id.*). The court noted that defendant's argument "might well persuade but for" plaintiff's citation to a section of the encyclopedia New York Jurisprudence sanctioning a separate action to recover postmaturity interest due on unpaid principal even where the

2. Plaintiff now concedes that the four-year contractual prescription period applies, instead of the otherwise applicable six-year statute of limitations period (*see* CPLR 213 [2] [applying a six-year statute of limitations to breach of contract claims]).

principal is barred by the statute of limitations (*id.* at 102-103). That source, however, cited as its only authority an Appellate Division decision issued in partial reliance on our mortgage moratorium jurisprudence (*see* 72 NY Jur 2d, Interest and Usury § 54, citing *Union Trust Co. of Rochester v Kaplan*, 249 App Div 280 [4th Dept 1936]). The court also cited a recent Appellate Division decision that did not explicitly consider the issue here, but which impliedly indicated that the obligation to make postmaturity interest payments after a claim on the principal was time-barred was enforceable (*see Amrusi v Nwaukoni*, 155 AD3d 814 [2d Dept 2017]). Thus, the Second Circuit certified the two aforementioned questions for our consideration (890 F3d at 105-106), and we accepted them (*see* 31 NY3d 1105 [2018]).

II.

As a general rule, we have viewed interest, which is "payable for the loan or retention of money by express contract, or as damages for non-payment of money due" (*Ledyard v Bull*, 119 NY 62, 74 [1890]), as incident to the principal as opposed to a separately enforceable debt (*see Williamsburgh Sav. Bank v Town of Solon*, 136 NY 465, 481 [1893] ["Interest, as a rule, follows the principal"]; *Havender v Brodbeck*, 83 Misc 9, 11 [App Term, 1st Dept 1913] ["Ordinarily interest follows the principal as the shadow does the substance" (internal quotation marks and citation omitted)]). Thus, absent contractual language to the contrary, "the receipt of the principal bars a subsequent claim for the interest for the reason that in such cases interest being a mere incident, cannot exist without the debt, and the debt being extinguished the interest must necessarily be extinguished" (*Matter of Crane v Craig*, 230 NY 452, 461 [1921]; *see also Kaplan*, 249 App Div at 283 ["(W)here several sums or installments are due upon a single contract (and such claims are single, entire, and indivisible), they must all be included within one action; otherwise a recovery upon one will constitute a bar to the others"], citing *Kennedy v City of New York*, 196 NY 19, 22 [1909]).[3]

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3. We note that it has long been settled that in limited circumstances involving the obligation to pay interest prior to the maturity date by way of contractually-scheduled installment payments, New York courts apply a separate accrual rule: "[W]hen a contract provides for the payment of money in installments, such as interest installments, the Statute of Limitations runs

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III.

We turn next to the question posed by the Second Circuit: whether the running of the statute of limitations on a bondholder's claim for principal impacts the recoverability of interest payments that may come due subsequent to that date under an indenture providing for the obligation to pay interest until the principal is paid.

[1] Plaintiff maintains that the logical extension of our holding in *NML Capital* allows him to recover postmaturity interest payments that were due after a claim for the underlying principal is time-barred, for the four years preceding the commencement of this action. In *NML Capital*, the recovery of postmaturity interest payments was an incident of a timely claim for recovery of principal. Thus, the Court had no occasion to opine on the viability of claims for unpaid postmaturity interest payments after the limitations period on claims for unpaid principal have expired. Now, squarely presented with this question, we clarify that under New York law, where an indenture provides that interest is due until the principal is paid, once an action to recover outstanding principal is time-barred, there can be no freestanding claim to enforce the obligation to make postmaturity interest payments.

In *NML Capital*, this Court was asked to consider "whether Argentina's obligation to make biannual interest-only payments to bondholders continued after maturity or acceleration of the indebtedness and, if so, whether the bondholders were entitled to CPLR 5001 prejudgment interest on payments that were not made as a consequence of the nation's default"—i.e., interest on interest (17 NY3d at 254, 267). The indenture at issue in *NML Capital* contained language substantively identical to the central language in this indenture, providing that Argentina was obligated to make biannual interest payments to the bondholders "until the principal hereof is paid or made available for payment" (17 NY3d at 254). We held that "[b]y its terms, the contract contemplates that the bondholders are

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on each installment from the date it becomes due" (*Vigilant Ins. Co. of Am. v Housing Auth. of City of El Paso, Tex.*, 87 NY2d 36, 45 [1995]; *Phoenix Acquisition Corp. v Campcore, Inc.*, 81 NY2d 138, 141-142 [1993]; *U.S. Bank N.A. v Joseph*, 159 AD3d 968, 970 [2d Dept 2018]). But the question we must answer here is not when (or whether) claims for unpaid interest payments "accrue" but whether a bondholder whose claim for recovery of outstanding principal is time-barred nonetheless possesses a viable claim to recover unpaid postmaturity interest payments.

entitled to biannual interest payments until the principal is actually repaid in full—and not merely until the bond maturity date as Argentina suggests" (17 NY3d at 260, 262).

Plaintiff's reliance on *NML Capital* is misplaced. The statute of limitations applicable to the plaintiffs' claim for principal in that case had not yet run, and the novel issue we addressed concerned whether the plaintiffs were entitled to prejudgment interest on overdue postmaturity or post-acceleration interest payments. To answer that question, we relied on general principles of New York law involving prejudgment interest rates establishing that when a contract specifies the interest rate until the principal is paid, in the event of breach of the obligation to pay principal, the contract interest rate governs rather than the statutory prejudgment interest rate provided in CPLR 5001 (a) (*NML Capital*, 17 NY3d at 258-259, 266). We reasoned by analogy that bondholders may recover prejudgment interest at the contract rate accruing on unpaid principal but at the statutory rate accruing on unpaid postmaturity interest payments (*id.* at 261, 266). For timely actions, the parties' negotiated rate governs "until payment of the principal, or until the contract is merged in a judgment" (*id.* at 261). Thus, contrary to plaintiff's argument, *NML Capital* does not stand for the proposition that—in the absence of a timely claim for principal—a bondholder has a legally cognizable claim for unpaid postmaturity interest payments until the principal is actually repaid based on language in the indenture that the issuer is obligated to pay interest "until the principal hereof is paid or made available for payment."

[2] Rather, the date when principal is due—ordinarily the maturity date—serves as a legally significant benchmark because it marks the event upon which the obligation to pay postmaturity interest is conditioned. The obligation to pay postmaturity interest is not a distinct promise of performance, but arises on the maturity date only if the bond issuer breaches the parties' agreement by failing to timely repay the principal. This is consistent with our general view that, aside from the limited mortgage moratorium exception triggered by explicit legislation,[4] the recoverability of postmaturity interest payments is tethered to a claim for principal rather than "a debt

4. Indeed, New York courts have permitted plaintiffs to bring distinct actions to recover a limited set of unpaid interest payments once a claim on the principal is time-barred only after the legislature passed the mortgage moratorium statutes "enacted for the protection of owners and obligors on

(n. cont'd)

capable of a distinct claim" (*see Cutter v Mayor of City of N.Y.*, 92 NY 166, 170 [1883]; *Bailey v County of Buchanan*, 115 NY 297, 302 [1889] ["(T)he amount of the bond with the interest thereon" constitutes "but one debt"]; *cf. Amrusi*, 155 AD3d at 816[5]). Once a creditor can no longer establish a right to repayment of principal, there is no basis or foundation upon which to allege a right to payment of postmaturity interest. To that end, once a claim on the principal is time-barred, a suit to recover postmaturity interest payments is not viable (*see Cutter*, 92 NY at 170 ["(I)nterest (not otherwise provided for independently by contract) . . . is given as damages for non-payment or detention of the money awarded . . . . It could only be recovered with the principal by action"]; *Hudson Val. Ry. Co. v O'Connor*, 95 App Div 6, 10 [3d Dept 1904]; *see also* 3 Williston on Contracts § 7:33 [4th ed 2018]) ["(W)hen the principal debt is barred by the Statute of Limitations, the claim for interest, whether contracted for or not, is also barred"]).

IV.

The rule we reiterate today effectuates the agreement negotiated by the parties and reinforces our long-standing view of interest as generally dependent on principal. Moreover, it

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bonds and mortgages" and intended "to prevent foreclosures and the exaction of higher rates of interest during the emergency period" (*Metropolitan Sav. Bank v Tuttle*, 290 NY 497, 503-504 [1943]; *see e.g. Chapin v Posner*, 299 NY 31, 42 [1949]; *Ernst v Schaack*, 271 App Div 1012 [2d Dept 1947], *affd* 297 NY 566 [1947]; *Matter of People [Bond & Mtge. Guar. Co.]*, 272 App Div 944, 945-946 [2d Dept 1947], *affd* 297 NY 765 [1948]; *see also* Civ Prac Act §§ 1077-a, 1077-b). The jurisprudence emanating from this legislation was premised "upon the theory, evolved in response to the special circumstances created by the mortgage moratorium, that successive defaults in payment of interest installments gave rise to separate new causes of action" (*Gorgas v Perito*, 299 NY 265, 270 [1949]). Plaintiff makes no argument that these cases apply outside the narrow context of the mortgage moratorium legislation in which they were decided, and instead argues that they are distinguishable. In any event, the mortgage moratorium cases enabled a plaintiff to assert claims for only a limited subset of unpaid interest payments that accrued no later than the expiration of the limitations period on the claim for principal—claims that, in this case, would be time-barred.

5. **[2]** Although the Court in *Amrusi* impliedly permitted an action to recover on missed interest payments accruing after a claim on principal was time-barred, we decline to read the Court's decision as endorsing that view because the Court did not consider that precise issue (155 AD3d at 817). To the extent that it has previously been so read, it should no longer be followed.

promotes the purposes underlying the statute of limitations.[6] For those reasons, we conclude that once a claim on the principal is time-barred, a claim to recover unpaid postmaturity interest payments is not legally cognizable.

Accordingly, the first certified question should be answered in the negative and the second certified question not answered as unnecessary.

Chief Judge DIFIORE and Judges RIVERA, STEIN, FAHEY, GARCIA and WILSON concur.

Following certification of questions by the United States Court of Appeals for the Second Circuit and acceptance of the questions by this Court pursuant to section 500.27 of the Rules of the Court of Appeals (22 NYCRR), and after hearing argument by counsel for the parties and consideration of the briefs and record submitted, first certified question answered in the negative and second certified question not answered as unnecessary.

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6. Our statute of limitations doctrine "serve[s] the . . . objectives of finality, certainty and predictability" (*ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.*, 25 NY3d 581, 593 [2015]). Moreover, "the Statute of Limitations is generally viewed as a personal defense to afford protection to defendants against defending stale claims, [and] also expresses a societal interest or public policy of giving repose to human affairs" (*John J. Kassner & Co. v City of New York*, 46 NY2d 544, 550 [1979] [internal quotation marks omitted]). As we recently recognized, in the context of the statute of limitations, our preference for certainty militates in "favor of a bright line approach" (*Deutsche Bank Natl. Trust Co. v Flagstar Capital Mkts.*, 32 NY3d 139, 145-146 [2018]).

[123 NE3d 239, 99 NYS3d 755]

In the Matter of MADISON COUNTY INDUSTRIAL DEVELOPMENT AGENCY et al., Appellants, v STATE OF NEW YORK AUTHORITIES BUDGET OFFICE et al., Respondents.

Argued February 12, 2019; decided March 21, 2019

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered June 29, 2017. The Appellate Division affirmed a judgment of the Supreme Court, Albany County (Debra J. Young, J.), entered in a proceeding pursuant to CPLR article 78, which had, among other things, dismissed a petition to review a determination of respondents refusing to recognize petitioner Madison Grant Facilitation Corporation (MGFC) as a subsidiary of petitioner Madison County Industrial Development Agency and requiring MGFC to file separate budget, annual and audit reports.

Matter of Madison County Indus. Dev. Agency v State of N.Y. Auths. Budget Off., 151 AD3d 1532, affirmed.

HEADNOTE

Counties — Industrial Development Agency — Obligation to File Annual, Budget and Independent Audit Reports with Authorities Budget Office — Nonprofit Corporation Legally Affiliated with Local Authority

Respondent New York State Authorities Budget Office's (ABO) determination that petitioner Madison Grant Facilitation Corporation (MGFC), a nonprofit local development corporation created by and legally affiliated with petitioner Madison County Industrial Development Agency (MCIDA), was required to file separate reports was not irrational, arbitrary and capricious or contrary to law. Under the Public Authorities Accountability Act (PAAA), every "local authority" must submit to ABO and others in state and local government detailed annual, budget, independent audit and other reports (*see* Public Authorities Law §§ 6 [3]; 2800 [1] [a], [b]; [2] [a], [b]; 2801 [1], [2]; 2802 [1], [2]). ABO is required under section 6 to conduct reviews and analysis of the operations, practices and reports of state and local authorities to assess compliance, to maintain a comprehensive inventory of public authorities, and assist state and local authorities in improving management practices and procedures for public disclosure of financial information. The Public Authorities Law (§ 2 [2] [c], [d]) defines a "local authority" to include both a local industrial development agency (IDA) and a local development corporation which is affiliated with a local IDA. Regardless of whether MGFC is a subsidiary of MCIDA or whether MCIDA has the authority to create a subsidiary, MGFC is clearly an "affiliate" of MCIDA, and the PAAA does not contain a reporting exception for subsidiaries. While information on ABO's website suggested an agency policy permitting some subsidiaries of public authorities to file consolidated reports with the parent, ABO had never permitted a purported subsidiary of a local IDA to file consolidated reports. Given the uncertainty of MGFC's status, it was not irrational or an abuse of discretion to decline to treat MGFC as a subsidiary for the limited reporting purpose. ABO's action was consistent with the language of the PAAA and ABO's mandate to ensure transparency.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Municipal Corporations, Counties, and Other Political Subdivisions § 282.
MCKINNEY'S, Public Authorities Law §§ 2 (2); 6.
NY JUR 2d Public Authorities §§ 4, 5, 7.

ANNOTATION REFERENCE

See ALR Index under Administrative Law; Counties; States.

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POINTS OF COUNSEL

Hodgson Russ LLP, Buffalo (*Charles W. Malcomb*, *Joel J. Terragnoli* and *Henry A. Zomerfeld* of counsel), for appellants. I. General Municipal Law § 858 (17) empowers Madison County Industrial Development Agency to create subsidiaries when it is necessary or convenient to the exercise of another express power. (*Abiele Contr. v New York City School Constr. Auth.*, 91 NY2d 1; *Matter of Friedman v Rice*, 30 NY3d 461; *Matter of City of New York v State of N.Y. Commn. on Cable Tel.*, 47 NY2d 89; *Matter of Beer Garden v New York State Liq. Auth.*, 79 NY2d 266; *Greater N.Y. Taxi Assn. v New York City Taxi & Limousine Commn.*, 121 AD3d 21; *Matter of Jacob*, 86 NY2d 651; *Matter of Diegelman v City of Buffalo*, 28 NY3d 231; *Matter of Citizens for an Citizens For An Orderly Energy Policy v Cuomo*, 78 NY2d 398; *Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653; *Matter of Springer v Board of Educ. of the City Sch. Dist. of the City of N.Y.*, 27 NY3d 102.) II. Madison County Industrial Development Agency's (MCIDA) formation of Madison Grant Facilitation Corporation was a proper exercise of its business judgment; the Authorities Budget Office has no authority to overrule the MCIDA. (*Matter of L&M*

Bus. Corp. v New York City Dept. of Educ., 17 NY3d 149; *Matter of Hanover Sand & Gravel v New York State Thruway Auth.*, 65 AD2d 860; *A.J. Temple Marble & Tile v Long Is. R.R.*, 172 Misc 2d 422, 256 AD2d 526; *Jacobson v New York Racing Assn.*, 33 NY2d 144; *Johnson v County of Nassau*, 480 F Supp 2d 581.) III. Respondents' attempt to limit Madison County Industrial Development Agency's (MCIDA) powers through reference to unrelated statutes applicable to other public authorities is meritless, as is their suggestion that MCIDA is prohibited from taking action to limit its potential liabilities. (*Greater N.Y. Taxi Assn. v New York City Taxi & Limousine Commn.*, 121 AD3d 21.) IV. The Authorities Budget Office's (ABO) determination that Madison Grant Facilitation Corporation must file separate, and not consolidated, financial reports through the Public Authorities Report Information System is affected by an error in law, is arbitrary and capricious, and contradicts the ABO's own policy.

Letitia James, Attorney General, Albany (*Robert M. Goldfarb* and *Andrea Oser* of counsel), for respondents. New York State Authorities Budget Office rationally required Madison County Industrial Development Agency's (MCIDA) affiliate Madison Grant Facilitation Corporation to file disclosure reports separate from MCIDA to effectuate the transparency and public accountability purposes of the Public Authorities Law. (*Matter of Entergy Nuclear Operations, Inc. v New York State Dept. of State*, 28 NY3d 279; *Matter of Natural Resources Defense Council, Inc. v New York State Dept. of Envtl. Conservation*, 25 NY3d 373; *Matter of Acevedo v New York State Dept. of Motor Vehs.*, 29 NY3d 202; *Abiele Contr. v New York City School Constr. Auth.*, 91 NY2d 1; *Civil Serv. Forum v New York City Tr. Auth.*, 4 AD2d 117, 4 NY2d 866; *Village of Fort Edward v Fish*, 156 NY 363; *Matter of Nelson v New York State Civ. Serv. Commn.*, 96 AD2d 132, 63 NY2d 802; *Lawrence Constr. Corp. v State of New York*, 293 NY 634; *Kimmel v State of New York*, 29 NY3d 386; *Matter of Citizens For An Orderly Energy Policy v Cuomo*, 78 NY2d 398.)

OPINION OF THE COURT

Chief Judge DiFiore.

Under the Public Authorities Accountability Act (PAAA), every "local authority," as that term is defined in Public Authorities Law § 2 (2), is obligated to file certain annual, budget and independent audit reports with respondent New

York State Authorities Budget Office (ABO). The narrow question before this Court is whether the ABO's determination denying the request of petitioners Madison County Industrial Development Agency (MCIDA) and Madison Grant Facilitation Corporation (MGFC) to file consolidated reports was irrational, arbitrary and capricious or contrary to law. Because it was not, we affirm the Appellate Division order.

MCIDA is an "industrial development agency" (IDA) created under General Municipal Law article 18-A to spur industrial and economic development in Madison County. Under the Public Authorities Law, an IDA is a "local authority" subject to the reporting requirements of the PAAA (Public Authorities Law § 2 [2] [c]). In 2013, MCIDA incorporated MGFC as a "not-for-profit local development corporation" under Not-For-Profit Corporation Law § 1411. According to MCIDA, its intent was to shield itself from potential liability in the event a third-party contractor failed to comply with contractual conditions imposed upon acceptance of economic development grant funds. MCIDA is the sole member of MGFC. In its Certificate of Incorporation, MGFC acknowledged that it is "subject to the [PAAA]" and, as such, is required to undergo annual independent audits, prepare annual budgets, and file required reports with the ABO.

Soon after it was created, the ABO informed MGFC that it must comply with the reporting requirements of the PAAA as a corporation "legally affiliated with" MCIDA, an industrial development agency. Without asserting a legal basis for exemption from separate filing requirements, MCIDA asked that the ABO treat MGFC as its "subsidiary" and allow the two entities to file consolidated reports. In response, the ABO expressed concern that consolidated reporting "will result in a loss of transparency and accountability" and questioned "whether IDAs can form subsidiary corporations," stating it would seek guidance on this issue from the Attorney General. In March 2015, MCIDA advised the ABO that it had filed consolidated reports with MGFC, indicating that the grant project prompting creation of MGFC had stalled and that MGFC had no activities or budget to report. In this communication, MCIDA referenced a statement posted in the "FAQ" section of the ABO's website which, at that time, indicated that consolidated reporting was permissible for certain subsidiaries of public authorities meeting specified criteria.

In the meantime, in September 2014, the Attorney General issued Formal Opinion No. 2014-F1 concluding that an IDA is not authorized to create a subsidiary because that power is not expressly granted in the relevant enabling legislation and, in the Attorney General's view, could not be implied. Referencing that Formal Opinion, the ABO issued the letter determination at issue here, stating it had "concerns about the legal status" of MGFC, and could not "treat [MGFC] as a subsidiary," noting it was required to report under the Public Authorities Law—an obligation acknowledged in its certificate of incorporation. Thus, the ABO denied MCIDA's request to file consolidated reports, effectively requiring separate filing by MGFC.

Petitioners MCIDA and MGFC commenced this CPLR article 78 proceeding challenging the ABO's determination. Supreme Court dismissed the petition, agreeing with the reasoning in the Attorney General's Formal Opinion that MCIDA had no express or implied authority to create a subsidiary. The Appellate Division affirmed on similar grounds (151 AD3d 1532 [2017]). We granted leave to appeal (30 NY3d 913 [2018]).

In this CPLR article 78 proceeding, where no administrative hearing was required, judicial review is limited to whether the determination was irrational, arbitrary and capricious or contrary to law (CPLR 7803 [3]; *see Matter of Lemma v Nassau County Police Officer Indem. Bd.*, 31 NY3d 523, 528 [2018]). Administrative action is irrational or arbitrary and capricious if "it is taken without sound basis in reason or regard to the facts" (*Matter of Wooley v New York State Dept. of Correctional Servs.*, 15 NY3d 275, 280 [2010] [internal quotation marks and citation omitted]). If a determination is rational it must be sustained even if the court concludes that another result would also have been rational (*id.*).

In this case, although the parties dispute the merits of the Attorney General's Formal Opinion, the issue distills to whether the ABO's record-keeping determination was irrational, arbitrary and capricious or contrary to law and our analysis therefore begins with an examination of the legislative source of that determination. The PAAA (*see* Public Authorities Law §§ 2800-2806), adopted in 2005, mandates that "[e]very" state and local authority shall submit to the ABO and others in state and local government detailed annual, budget, independent audit and other reports, and requires "each" state and local authority to make such information accessible to the public (Public Authorities Law §§ 6 [3]; 2800 [1] [a], [b]; [2] [a], [b] [annual]; 2801 [1], [2] [budget]; 2802 [1], [2] [independent audit]). Its purpose was "to ensure openness and accountability" of all public authorities and to "promote public confidence in the financial and operating integrity of these institutions" by expanding the information required to be disclosed to the government and public (Budget Rep on Bills at 1-2, Bill Jacket, L 2005, ch 766).

The ABO was initially created to "oversee and analyze the activities and financial practices" of public authorities, and "review and report on" their compliance "with accepted standards of corporate governance, accountability and financial disclosure" (Budget Rep on Bills at 1-2, Bill Jacket, L 2005, ch 766). However, despite the PAAA's intent to enhance transparency by strengthening reporting requirements, the legislature soon concluded that greater oversight and additional reforms were needed. Thus, in 2009, the Authority Reform Act was passed, expanding the powers and resources of the ABO to enable it to better "police" state and local public authorities (Brodsky Letter, Bill Jacket, L 2009, ch 505 at 8; *see also* L 2009, ch 506, § 1 ["Legislative findings"]). The Authority Reform Act removed the ABO from the umbrella of the Division of Budget, reestablished it as an independent entity and enhanced its powers (*see* Mem in Support, Bill Jacket, L 2009, ch 506).

These enhanced powers are detailed in Public Authorities Law § 6, which requires, among other things, that the ABO "conduct reviews and analysis of the operations, practices and reports of state and local authorities to assess compliance" with the PAAA and other laws, "maintain a comprehensive inventory" of public authorities and assist state and local authorities in improving management practices and procedures for public disclosure of financial information (Public Authorities Law § 6 [1] [a]-[o]). Particularly relevant to this dispute, the ABO was given broad authority to "request and receive from any state or local authority . . . such . . . information, books, records, other documentation and cooperation as may be necessary to perform its duties" (Public Authorities Law § 6 [2] [a]).[1] Under this fortified scheme, the ABO has a full range of enforcement powers to "act upon complaints" regarding any

1. The ABO also has the discretion to waive any of the annual filing and public disclosure requirements upon a showing that the authority meets certain regulatory criteria, and after consideration of "such other factors as the [ABO] deems to reflect the relevance of the required disclosures to evaluation of an authority's effective operation, and the burden such disclosures place on an authority" (Public Authorities Law § 2800 [4] [d]). Petitioners did not request a waiver from the ABO and do not rely on this provision in their arguments before this Court.

authority, “initiate formal investigations,” “issue subpoenas” and “publicly warn and censure authorities for non-compliance” with regulatory requirements (Public Authorities Law § 6 [2] [a]-[j]).

Despite the broad oversight authority granted the ABO, the determination challenged here was quite limited—all that the ABO required was that MGFC file separate reports. Referencing the Attorney General’s Formal Opinion concluding that IDAs cannot form subsidiaries, the ABO noted only that it had “concerns” about the legal status of MGFC and thus would not “treat” MGFC as a subsidiary. Notably, the ABO did not expressly determine that MCIDA “lacked authority” to create a subsidiary or that MCIDA had engaged in any “ultra vires” act, nor did it issue any other final determination relating to MCIDA or MGFC.

The ABO’s narrow record-keeping determination was not contrary to law. The Public Authorities Law plainly provides that a local development corporation such as MGFC, which is “affiliated” with a local IDA, is also a local authority subject to the PAAA and, as such, has reporting obligations (Public Authorities Law § 2 [2] [d]). Regardless of whether MGFC is also a subsidiary, it is clearly an “affiliate” of MCIDA within the meaning of the statute.[2] The PAAA does not contain a reporting exception for subsidiaries of local authorities, and petitioners have not identified any other statute or regulation that excused MGFC from its obligation to separately report.

Moreover, under the circumstances presented here, the decision was neither irrational nor arbitrary and capricious. Petitioners relied on the response to a FAQ that appeared on the ABO’s website regarding the agency policy permitting some subsidiaries of public authorities to file consolidated reports with the parent authority.[3] However, as the ABO asserts without contradiction, the agency has never permitted a

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2. Under Public Authorities Law § 2 (4), “ ‘affiliate’ or ‘affiliated with’ shall mean a corporate body having substantially the same ownership or control as another corporate body” (*see* L 2005, ch 766, § 2, as amended by L 2009, ch 505, such amendment repealed by L 2009, ch 506, § 29).

3. Subsidiaries are not referenced in the definition of a “local authority” (*see* Public Authorities Law § 2 [2]). Subsidiaries of a state public authority or public benefit corporation are expressly included within the definition of a “state authority” (*see* Public Authorities Law § 2 [1]) and, thus, are generally required to comply with the filing requirements of the PAAA. However, for these purposes, the term “subsidiary” does not include “corporations that have been certified by the parent corporation to the [ABO] as being inactive

(n. cont’d)

purported subsidiary of a local IDA to file consolidated reports and, thus, no claim of inconsistent or discriminatory enforcement is advanced here. The decision not to extend this policy to MGFC has not been shown to have been an abuse of the agency's discretionary authority, which includes the power to require a local authority to supply whatever records the ABO deems necessary to perform its duties (*see* Public Authorities Law § 6 [2] [a]). Notwithstanding its decision to excuse some subsidiaries of public authorities from the separate reporting mandate, the ABO was not compelled to exercise that discretion here, particularly given its uncertainty over the status of MGFC. It was not irrational for the ABO to decline to "treat" MGFC as a subsidiary of MCIDA for the limited reporting purpose. Such action was consistent with the plain language of the PAAA and the ABO's mandate to ensure transparency by compelling reporting compliance by public authorities, including affiliates of IDAs such as MGFC.

Thus, petitioners have failed to establish their entitlement to relief under CPLR article 78. Finally, even if MCIDA was authorized to create a subsidiary as it asserts, this would not require invalidation of the ABO determination for the reasons we have explained—making it unnecessary for us to reach that argument.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Judges Rivera, Stein, Fahey, Garcia, Wilson and Feinman concur.

Order affirmed, with costs.

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for the past twelve months, having an identical board of its parent corporation, or not having separate and independent operational control" (Public Authorities Law § 2 [5]). Thus, some subsidiaries of some state authorities are effectively excluded from separate filing requirements under the statutory scheme. There is no provision similarly excluding subsidiaries of local authorities. To the contrary, to the extent such a subsidiary has "substantially the same ownership or control as another" local authority, it is an "affiliate" that is expressly subject to statutory reporting requirements under Public Authorities Law § 2 (2) (d).

[123 NE3d 247, 99 NYS3d 763]

In the Matter of Eastbrooke Condominium, by its Board of Managers on Behalf of All Homeowners and Brighton Eastbrooke Homeowners, Appellant, v Elaine Ainsworth, Assessor, et al., Respondents. (And Two Other Proceedings.)

Argued February 13, 2019; decided March 28, 2019

SUMMARY

Appeal, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered February 10, 2017. The Appellate Division affirmed an order and judgment (one paper) of the Supreme Court, Monroe County (John J. Ark, J.), which, insofar as appealed from, limited to certain enumerated unit owners the entitlement to awarded tax refunds in three related Real Property Tax Law article 7 proceedings to review the real property tax assessments by respondents for certain tax years.

Matter of Eastbrooke Condominium v Ainsworth, 147 AD3d 1510, reversed.

HEADNOTE

Taxation — Assessment — Challenge to Condominium Complex Tax Assessment — Authority of Board of Managers to Proceed on Behalf of Unit Owners

Real Property Law § 339-y (4), which provides that the board of managers of a condominium complex "may act as an agent of each unit owner who has given . . . written authorization to seek administrative and judicial review of [a real property tax] assessment," allows a standing authorization issued by the unit owner to confer authority upon a board to act on behalf of that owner for the tax year in which that authorization was issued and in all subsequent tax years, unless the authorization is cancelled or retracted. The statute created a condition precedent to a board of managers acting on behalf of an individual unit owner, and thus unit owners are required to give authorization for each tax year for which the assessment is challenged. Tax statutes relating to review of assessments are remedial and should be liberally construed and any ambiguity therein should be resolved in favor of the taxpayer. Nothing in section 339-y (4) prohibits a standing authorization or otherwise renders lasting permission defective, regardless of whether the singular "assessment" in the statute refers to one assessment that remains effective until changed by a town assessor or to an assessment effective for one tax year. A new grievance is required for each year. However, absent any written authorization, no agency relationship exists and proceedings cannot be brought on behalf of unit owners who do not authorize the board to act accordingly. Thus, here, the unit owners who provided petitioner condominium board a "standing" agency authorization were entitled to a refund if petitioner prevailed at trial for each tax year disputed, beginning with the tax year in which the owner's written authorization was signed, and regardless of whether the owner signed an authorization each year.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Condominiums and Cooperative Apartments §§ 21, 22, 45.
MCKINNEY'S, Real Property Law § 339-y (4).
NY JUR 2d Condominiums and Cooperative Apartments § 95.

ANNOTATION REFERENCE

See ALR Index under Condominiums and Cooperative Apartments; Taxes.

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POINTS OF COUNSEL

Jacobson Law Firm, P.C., Pittsford (*Robert L. Jacobson* of counsel), for appellant. I. Unit owners need only provide one authorization to their board of managers; a new authorization is not required every year. (*Matter of Skuse v Town of S. Bristol*, 99 AD2d 670; *Matter of Extrom v Town of Skaneateles*, 112 AD2d 35; *Bergman v Horne*, 100 AD2d 526.) II. Unit owners are entitled to refunds even if they never provided an authorization to their board of managers. III. The respondents waived any right to object to authorizations by not raising the issue until trial. (*Matter of Skuse v Town of S. Bristol*, 99 AD2d 670; *Matter of Extrom v Town of Skaneateles*, 112 AD2d 35; *Matter of Georgian Ct. Apt. Masis Parseghian v Assessor of Town of Orangetown*, 182 AD2d 978; *Bergman v Horne*, 100 AD2d 526; *Matter of Miller v Board of Assessors*, 91 NY2d 82.)

Davidson Fink LLP, Rochester (*Thomas A. Fink* of counsel), for respondents. I. Each year's tax assessment challenge is a separate challenge. (*People ex rel. Hilton v Fahrenkopf*, 279 NY 49; *Matter of F. W. Woolworth Co. v Tax Commn. of City of N.Y.*, 20 NY2d 561; *Vantage Petroleum, Bay Isle Oil Co. v Board of Assessment Review of Town of Babylon*, 61 NY2d 695; *Matter of Highbridge Broadway, LLC v Assessor of the City of Schenectady*, 27 NY3d 450; *Matter of The Torok Trust v Town Bd. of

Town of Alexandria, 128 AD3d 97; *Matter of Scellen v Assessor for City of Glens Falls*, 300 AD2d 979; *Matter of Jonsher Realty Corp./Melba, Inc. v Board of Assessors*, 118 AD3d 787.) II. The general structure of a condominium project. (*Matter of D. S. Alamo Assoc. v Commissioner of Fin. of City of N.Y.*, 71 NY2d 340.) III. A unit condominium owner is required to file a separate authorization in each tax year. (*Matter of Town of Fishkill v Royal Dutchess Props.*, 241 AD2d 286; *Matter of Health Ins. Plan of Greater N.Y. v Board of Assessors of Town of Babylon*, 44 AD3d 1044.) IV. Jurisdictional defects cannot be waived by the court. (*Matter of Miller v Board of Assessors*, 91 NY2d 82; *Bergman v Horne*, 100 AD2d 526; *Matter of Frei v Town of Livingston*, 50 AD3d 1381; *Matter of Extrom v Town of Skaneateles*, 112 AD2d 35.) V. The trial court and Appellate Division, Fourth Department, properly analyzed the law relating to how a unit owner is required to year by year create an agency relationship with its board. (*Matter of Larchmont Pancake House v Board of Assessors and/or the Assessor of the Town of Mamaroneck*, 153 AD3d 521; *Matter of Circulo Hous. Dev. Fund Corp. v Assessor of City of Long Beach, Nassau County, NY*, 96 AD3d 1053; *Matter of Frei v Town of Livingston*, 50 AD3d 1381.) VI. There is no issue of waiver by the respondents-respondents. VII. Putting in the word “all” in the heading of petitioners-appellants’ RPTL article 7 proceeding does not give any benefit to those unit owners who did not sign authorizations.

OPINION OF THE COURT

Fahey, J.

This appeal presents the question whether Real Property Law § 339-y (4) requires a condominium board of managers to obtain a separate authorization from each condominium unit owner granting the board authority to proceed on behalf of that owner for each tax year in which the board challenges the condominium’s real property tax assessment. We conclude that section 339-y (4) allows a standing authorization issued by an owner to confer authority upon a board to act on behalf of that owner for the tax year in which that authorization was issued and in all subsequent tax years, unless such authorization is cancelled or retracted.

Background

At issue here are various tax assessments made with respect to the Eastbrooke Condominiums property in the Town of Brighton, which consists of 402 individually-owned units and a communal recreational area located on a separate parcel. The condominium units were assessed for tax years including 2008, 2009, 2010, and 2011. During each of those tax years, petitioner (the condominium board of managers, acting as the agent for individual owners) filed a grievance complaint with respondents (the Town's Assessor and the Board of Assessment Review) with respect to those assessments.

Respondents denied the respective complaints, leading petitioner to commence these proceedings. Petitioner, purportedly acting as agent for each of the 402 unit owners, filed one petition for each of those tax years, wherein it alleged that respondents had incorrectly assessed the condominium units.[1]

Petitioner's right of agency is derived from Real Property Law § 339-y (4), which provides, in pertinent part, that the board of managers of a condominium complex "may act as an agent of each unit owner who has given . . . written authorization to seek administrative and judicial review of an assessment." The same statute further provides that the board may also "retain legal counsel on behalf of all unit owners for which it is acting as agent and . . . charge all such unit owners a pro rata share of expenses, disbursements and legal fees" (Real Property Law § 339-y [4]).

The attorney retained by petitioner to challenge the subject assessments sent annual letters to each owner explaining the tax assessment process and affording the unit owner the opportunity to participate in a challenge to respondents' tax assessments. Each of those letters included an authorization containing this language: "This authorization shall apply to all pending and future proceedings for tax assessment review and reduction relating to the [Eastbrooke Condominiums], unless revoked pursuant to the parties' representation agreement."

According to petitioner's attorney, "[s]ome owners signed [the] authorization form every year," while "[s]ome owners signed the form [only] in some years, and some owners never signed an authorization" at all. Nevertheless, all 402 unit owners were listed on the petitions—irrespective of whether they

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1. Petitioner also challenged the tax assessments for the 2012 and 2013 tax years, and litigation with respect to those assessments was commenced during the pendency of the petitions that are the subject of this appeal. All six of those petitions eventually were consolidated for trial, and the parties stipulated that the value determined by the trial court for the 2011 tax year would be applied to the 2012 and 2013 tax years.

had subscribed to a written authorization required by Real Property Law § 339-y (4).

Shortly before the filing of the petition with respect to the 2010 tax year, respondents asked that petitioner identify which unit owners would not participate in the subject proceedings. In response, petitioner provided some owner authorizations and, based on evidence that not every owner had signed a separate authorization for each of the tax years in question, the parties apparently were unable to agree which owners would be entitled to a refund to the extent petitioner prevailed following trial. That dispute prompted respondents to move in limine for a ruling with respect to the class of owners eligible to recover should petitioner prevail at trial. That is, respondents sought a determination that only those owners who had subscribed to an agency authorization in each of the subject tax years had a right to receive a refund for each of those years.

Supreme Court granted the motion, ruling that the only unit owners who would receive a refund would be those (1) who subscribed to a separate authorization for each of the separate tax years in question (2) before the note of issue in the proceeding for a given tax year was filed. Following a nonjury trial, the trial court determined that the condominium units had been over-assessed by a total of $4,485,300 for each tax year between 2008 and 2011. Following the trial, petitioner appealed, and the Appellate Division affirmed the resultant order and judgment, reasoning "that unit owners are required to give an authorization for each tax year for which the assessment is challenged, and a unit owner's authorization for one year did not give the board of managers authorization to act as his or her agent for a different year" (147 AD3d 1510, 1511 [4th Dept 2017]). Pursuant to our grant of leave (30 NY3d 904 [2017]), petitioner now appeals to this Court.

Analysis

Our review begins with article 9-B of the Real Property Law, which embodies the "Condominium Act." Section 339-y of that article, which is entitled "Separate taxation," generally speaks to the collective assessment of condominium units (*see* Real Property Law § 339-y). This case turns on the application of subdivision (4) of that statute, which—as noted—permits a board of managers to act as an agent of each unit owner of a condominium with respect to which administrative and judicial review of a tax assessment is sought.[2] That subdivision specifically provides that

> "[t]he board of managers may act as an agent of each unit owner who has given . . . written authorization to seek administrative and judicial review of an assessment made in accordance with [Real Property Law § 339-y (1)], pursuant to[, among other things, Real Property Tax Law article 7]. The board of managers may retain legal counsel on behalf of all unit owners for which it is acting as agent and to charge all such unit owners a pro rata share of expenses, disbursements and legal fees for which charges the board of managers shall have a lien pursuant to [Real Property Law § 339-z]" (Real Property Law § 339-y [4]).

Through that statute the legislature created what amounts to a condition precedent to a board of managers acting on behalf of an individual unit owner in a challenge to a real property tax assessment levied upon a condominium. Namely, the legislature provided that the unit owner must, in writing, authorize the board of managers to dispute that tax assessment on the owner's behalf. To that end, we agree with the Appellate Division "that unit owners are required to give an authorization for each tax year for which the assessment is challenged" (147 AD3d at 1511). We cannot, however, agree with that Court to the extent it ruled that "a unit owner's authorization for one year [cannot] give the board of managers authorization to act as [the owner's] agent for a different year" (*id.*).

Nothing in Real Property Law § 339-y (4) prohibits a standing authorization or otherwise renders lasting permission defective. At worst (from the perspective of petitioner and those situated similarly thereto), that statute is ambiguous with respect to the question whether an owner may confer upon a board continuing authority to challenge a tax assessment on

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2. For the purpose of Real Property Law § 339-y (4), "condominium" refers not to an individual unit, but to a building or development as a whole. A condominium is a hybrid form of real property ownership and, "[p]ursuant to the Condominium Act, each owner holds a real property interest in [the] unit and its appurtenances (RPL § 339-g), which consists of an exclusive possessory interest in the unit (RPL § 339-h) and an undivided interest in the common elements of the condominium. RPL § 339-i" (Marc H. Schneider & Dan M. Blumenthal, Practice Commentaries, McKinney's Cons Laws of NY, Book 49, Real Property Law § 339-d).

the owner's behalf. As a general rule, tax statutes "relating to review of assessments [are] remedial in character and should be liberally construed to the end that the taxpayer's right to have his [or her] assessment reviewed should not be defeated by a technicality" (*Matter of Great E. Mall v Condon*, 36 NY2d 544, 548 [1975]; *see Expedia, Inc. v City of N.Y. Dept. of Fin.*, 22 NY3d 121, 127 [2013]). In the same vein, "[a]ny ambiguity in a tax law should be resolved in favor of the taxpayer and against the taxing authority" (*id.*; *see Debevoise & Plimpton v New York State Dept. of Taxation & Fin.*, 80 NY2d 657, 661 [1993]). To disregard those rules here would be to impermissibly read into Real Property Law § 339-y (4) a requirement (specifically, an obligation of an owner to furnish a board with a separate authorization for each separate year in which the owner wishes to allow the board to challenge the condominium's tax assessment) that the legislature did not codify (*cf. Gammons v City of New York*, 24 NY3d 562, 570 [2014]).

Additional Considerations

Our analysis closes with three additional points.

First, our interpretation of Real Property Law § 339-y (4) is not moved by the legislature's reference to "an assessment" in that section. Irrespective of whether that language refers to one assessment that remains effective until it is changed by a town assessor, or to an assessment that is effective for one tax year and then is replaced by a subsequent assessment (that may even be of the same value) in a subsequent tax year, the point remains that nothing in that statute explicitly requires a "fresh" authorization for each tax year. There is no dispute that a new grievance and petition are required each year, and that petitioner properly submitted those documents. However, with respect to authorizations, the legislature provided that a "board of managers may act as an agent of each unit owner who has given . . . written authorization to seek . . . review of an assessment" without expressly stating either that the authorization must be specific to a particular tax year or that the authorization cannot be a "standing" one. Moreover, because the authorizations in question here "apply to all pending and future proceedings for tax assessment review," and are not tied to a particular assessment or to a specific tax year, the "an assessment" clause of Real Property Law § 339-y (4) is of no moment to our analysis.

Second, there is no merit to petitioner's contention that "[a]ll unit owners should receive refunds for all years, regardless of whether they provided a formal authorization" on the ground that "[h]omeowners can agree now to accept their refund and pay their share of expense." That argument ignores the point that the legislature has permitted a board to act as agent for individual unit owners only where the requisite, written authorization is subscribed to pursuant to Real Property Law § 339-y (4). Absent that authorization, no agency relationship exists. Absent an agency relationship, these proceedings could not have been brought on behalf of those unit owners who did not authorize the board to act accordingly.

Third, and finally, petitioner's argument that "respondents waived any right to object to authorizations by not raising the issue until [the eve of] trial" also fails. According to petitioner, because respondents first raised this agency issue in a letter that was sent in 2010—that is, after the filing of the petitions for the tax years 2008 and 2009—"[t]here was no way for unit owners to know that [respondents] questioned participation in 2008 and 2009," and therefore "no opportunity to cure any defects in 2008 and 2009."

That position reflects a subtle attempt to shift the burden of establishing agency from petitioner to respondents. That is, petitioner essentially contends that respondents were responsible for "disproving" agency. However, it remains petitioner's obligation to prove agency in the first instance (*see* Real Property Law § 339-y [4]).

Moreover, respondents' challenge to the extent of the class of persons represented by petitioner was timely. An authorization of a unit owner for a board of managers to act on the owner's behalf is necessary to establish the right to recovery under these facts. It is petitioner's obligation to establish agency. Nothing with respect to the timing or the nature of respondents' request for clarification suggests that respondents waived their right to challenge the standing of the board to act on behalf of some unit owners (*see generally Gilbert Frank Corp. v Federal Ins. Co.*, 70 NY2d 966, 968 [1988]).

Conclusion

Considerations of fiscal responsibility and sound municipal budgeting practices require that a municipality receive notice of a complaint with respect to a real property tax assessment for each year in which such an assessment is challenged. There is not, however, any statutory requirement that a condominium unit owner submit to a condominium board of managers a yearly agency authorization permitting the board to act on the owner's behalf for the purpose of challenging a real property tax assessment (*see* Real Property Law § 339-y [4]). Where, as here, an owner subscribes to a "standing" agency authorization conferring authority on a board of managers to act on behalf of that owner, section 339-y (4) allows that authorization to remain effective until it is cancelled or retracted. In view of that holding, on remittal the trial court should determine which additional unit owners, if any, are entitled to recover based on a standing grant to the board of managers of authority to pursue the subject real property tax challenges.

Accordingly, the Appellate Division order should be reversed, with costs, and the matter remitted to Supreme Court for further proceedings in accordance with this opinion.

Chief Judge DiFiore. (dissenting). Misinterpreting Real Property Law § 339-y (4), the majority holds that condominium unit owners need not sign a separate authorization each year permitting a board of managers to file a grievance or initiate a judicial proceeding on their behalf to challenge a tax assessment, thus exempting them from a long-standing, well-established policy applying to other real property owners. Because the majority creates uncertainty in an area of law requiring clarity, and improperly empowers boards of managers to make decisions the legislature placed in the hands of property owners, I respectfully dissent.

When interpreting a statute, "our primary consideration is to discern and give effect to the Legislature's intention" (*Matter of Albany Law School v New York State Off. of Mental Retardation & Dev. Disabilities*, 19 NY3d 106, 120 [2012]), with the text providing the "clearest indicator" of such intent (*Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653, 660 [2006]). "When the statutory language at issue is but one component in a larger statutory scheme, it must be analyzed in context and in a manner that harmonizes the related provisions and renders them compatible" (*Matter of Mestecky v City of New York*, 30 NY3d 239, 243 [2017] [internal quotation marks and citations omitted]).

Real Property Law § 339-y (4) permits a unit owner to authorize a condominium board of managers to challenge "an assessment" on his or her behalf. The phrase "an assessment" appears throughout the relevant provisions of the Real Property Tax Law and the term must be interpreted in the context of the broader statutory scheme. RPTL 524 (2) provides that "[t]he grounds for review of *an assessment* shall be that the assessment complained of is excessive, unequal or unlawful, or that real property is misclassified" (emphasis added). With certain exceptions, an administrative "complaint with respect to *an assessment* shall be on a form prescribed by the commissioner" and shall consist of statements specifying the nature of the claimed error (RPTL 524 [3] [emphasis added]). Mirroring that language, Real Property Law § 339-y (4) provides:

> "The board of managers may act as an agent of each unit owner who has given . . . written authorization to seek administrative and judicial review of *an assessment* . . . , pursuant to [RPTL article 5, title 1-A, and RPTL article 7, title 1]. The board of managers may retain legal counsel on behalf of all unit owners for which it is acting as agent and to charge all such unit owners a pro rata share of expenses, disbursements and legal fees for which charges the board of managers shall have a lien pursuant to section [339-z]" (Real Property Law § 339-y [4] [emphasis added]).

If a complainant is dissatisfied at the conclusion of the administrative grievance process, judicial redress can be sought pursuant to RPTL article 7, which authorizes a "proceeding to review *an assessment* . . . , [provided that an administrative] complaint was made in due time to the proper officers to correct such assessment" (RPTL 706 [2] [emphasis added]). That language matches the practical structure in which it operates. Generally, a property owner bringing a standard overvaluation claim must challenge each tax assessment separately by filing a new grievance complaint and, if necessary, a new judicial proceeding for each year for which redress is sought because each assessment is typically treated as "separate and distinct" from any other (*see People ex rel. Hilton v Fahrenkopf*, 279 NY 49, 52-53 [1938]).*

Viewing Real Property Law § 339-y (4) in the context of the broader statutory scheme, it is evident that the phrase "an as-

* As this case demonstrates, because tax certiorari proceedings involving a particular assessment may not be resolved before the next year's assessment roll is prepared (particularly when they involve large, multi-unit properties such as the 402-unit condominium complex at issue here), owners file separate administrative grievances and article 7 proceedings each succeeding year while the litigation is pending to preserve the right to a refund of taxes for those tax years. Annual proceedings of this type are typically consolidated for trial, as occurred here.

sessment" in that provision has the same meaning that the phrase has elsewhere in RPTL articles 5 and 7: it refers to the individual tax assessment challenged in a particular administrative grievance or article 7 overvaluation proceeding, neither of which may span more than one tax year. Consistent with its use of the singular "an," the statute cross-references the RPTL article 5 and article 7 provisions quoted above which, as noted, require separate challenges to "an assessment" for each tax year for which recovery is sought. Thus, the legislature contemplated that the authorization given under section 339-y (4) would correlate to a particular assessment challenge and did not grant boards of managers the power to secure open-ended, continuing authorizations spanning multiple tax years. To that end, the statutory scheme requires condominium unit owners to make a separate election to challenge an assessment each tax year by signing an authorization if they wish to have the board of managers assert claims on their behalf for that year. Although the majority concludes otherwise, the legislature clearly intended to treat condominium unit owners just like other real property owners who must decide each year whether or not to file (or authorize an agent to file [*see* RPTL 524 (3)]) an article 5 grievance or article 7 proceeding challenging the assessment for that tax year.

This interpretation of the statute comports with the legislative history of Real Property Law § 339-y (4)—which was intended to facilitate claims by unit owners, not delegate their authority to boards of managers. As the Attorney General made clear in recommending the legislation, the goal was twofold: (1) to "permit a reduction in the multiplicity of applications and special proceedings" by allowing unit owners to band together to challenge a tax assessment in a common application filed by the condominium board of managers and (2) to permit "the sharing of costs" relative to such proceedings (Letter from Atty Gen, May 28, 1976 at 2, Bill Jacket, L 1976, ch 241).

The first goal is achieved by authorizing the board of managers to file a single complaint, but only "on behalf of unit owners who so request" (*see* Letter from St Bd of Equalization and Assessment, May 25, 1976 at 1, Bill Jacket, L 1976, ch 241). Because unit owners are under no obligation to participate in such proceedings, it is critical that—like other real property owners—they decide each year whether or not to challenge their tax assessment, indicating their affirmative decision to do so by signing a section 339-y (4) authorization. The majority's interpretation of the statute shifts that decision to boards of managers, who now may obtain standing authorizations permitting them to sue (or to decline to sue) in any given year at their own election. Permitting a single authorization to carry over to future challenges creates uncertainty given the turnover in ownership and occupancy of these units over time and, absent turnover, unit owners may not recall from one year to the next whether they signed an authorization—a document the board of managers may now rely on in perpetuity absent express revocation.

The second goal—reasonable cost-sharing—is also advanced by my interpretation of the statute. At the conclusion of the litigation, which may take years, the statute authorizes the board of managers to charge participating unit owners “a pro rata share of expenses, disbursements and legal fees” and also gives the board of managers a statutory lien on those costs (Real Property Law § 339-y [4]). Because they can be billed for costs incurred prosecuting the tax challenge—regardless of whether the litigation yielded a dime of tax relief—it is critical that unit owners make an informed decision each year whether to challenge a particular assessment. Under the new rule adopted by the majority, a unit owner who signed a blanket authorization years earlier may be surprised by a bill for the costs of litigation spanning multiple tax years—litigation of which the unit owner may have been entirely unaware.

Properly interpreted, Real Property Law § 339-y protects municipalities by creating an objectively and readily ascertainable pool of unit owners (those who signed authorizations that tax year) who must be paid refunds if a particular assessment is successfully challenged. It also protects condominium unit owners by requiring a board of managers to secure a written authorization each time it files a grievance on the unit owner’s behalf, assuring that the unit owner is aware of, and has specifically approved, each tax certiorari challenge, knowingly assuming liability for any associated costs.

Today, the majority upsets that balance, increasing the power of boards of managers at the expense of condominium unit owners while at the same time stripping unit owners of responsibilities borne by other owners of real property in New York. The task now falls to the legislature to clarify the requirements of Real Property Law § 339-y so that the statute can achieve its intended purpose to ensure that localities paying tax refunds and condominium unit owners seeking them are equally protected and fairly treated.

Order reversed, with costs, and matter remitted to Supreme Court, Monroe County, for further proceedings in accordance with the opinion herein.

Judges Rivera, Stein, Garcia and Wilson concur; Chief Judge DiFiore dissents and votes to affirm in an opinion in which Judge Feinman concurs.

[124 NE3d 162, 100 NYS3d 612]

LILYA ANDRYEYEVA, Individually and on Behalf of All Others Similarly Situated, et al., Respondents, v NEW YORK HEALTH CARE, INC., Doing Business as NEW YORK HOME ATTENDANT AGENCY, et al., Appellants.

ADRIANA MORENO, Individually and on Behalf of All Others Similarly Situated, et al., Respondents, v FUTURE CARE HEALTH SERVICES, INC., et al., Appellants.

Argued February 12, 2019; decided March 26, 2019

SUMMARY

APPEAL, in the first above-entitled action, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered September 13, 2017. The Appellate Division affirmed an order of the Supreme Court, Kings County (Carolyn E. Demarest, J.; op 45 Misc 3d 820 [2014]), which, in a putative class action to recover damages for violations of Labor Law article 19, had (1) granted plaintiffs' renewed motion for class certification pursuant to CPLR article 9; (2) certified the class as "home attendants who worked 24-hour shifts for defendants New York Health Care, New York Home Attendant Agency, and Murray Englard and were not paid minimum, overtime, and spread of hours wages between June 22, 2008 and the date defendants cease, or are enjoined from not paying those individuals the minimum, overtime, and spread of hours wages required by New York Labor Law and regulations"; and (3) directed the process for plaintiffs to give notice of the action to the individual class members. The following question was certified by the Appellate Division: "Was the decision and order of this Court dated September 13, 2017, properly made?"

APPEAL, in the second above-entitled action, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered September 13, 2017. The Appellate Division order, insofar as appealed from, (1) reversed so much of an order of the Supreme Court, Kings County (Lawrence S. Knipel, J.; op 2015 NY Slip Op 32899[U] [2015]), dated October 27, 2015, as had, upon reargument, adhered to the determination in that court's April 24, 2015 order (referred to as the May 4, 2015 order) (David I. Schmidt, J.; op 2015 NY Slip Op 31752[U] [2015]), which, in a putative class action to recover damages for violations of Labor

Law article 19, had denied plaintiffs' motion for class certification pursuant to CPLR article 9; (2) vacated the April 24, 2015 order; and (3) granted plaintiffs' motion for class certification.

Andryeyeva v New York Health Care, Inc., 153 AD3d 1216, reversed.

Moreno v Future Care Health Servs., Inc., 153 AD3d 1254, reversed.

HEADNOTES

Labor — Hours and Wages — Home Health Care Aide Employees — Department of Labor's Interpretation of Minimum Wage Order Regarding 24-Hour Shifts

1. In two putative class actions by home health care aides seeking to recover damages for Labor Law § 652 minimum wage violations, the Appellate Division erroneously disregarded the New York State Department of Labor's (DOL) interpretation of its miscellaneous industries and occupations minimum wage order (12 NYCRR 142-2.1 [b] [wage order]) with respect to aides working 24-hour shifts in determining that class certification was appropriate. Section 142-2.1 (b) provides that "minimum wage shall be paid for the time an employee is permitted to work, or is required to be available for work at a place prescribed by the employer," but that, for residential employees, such time does not include the employee's normal sleeping hours solely because the employee is required to be on call during those hours, or any time the employee is free to leave the place of employment. In response to questions about the application of the wage order to home health care aides, DOL issued an opinion letter, stating that live-in, nonresidential employees, which includes home health care aides, must be paid not less than for 13 hours per 24-hour period provided that they are afforded at least eight hours for sleep and actually receive five hours of uninterrupted sleep and are afforded three hours for meals. This interpretation was consistent with how DOL interpreted the wage order for decades, and reflected informed judgment grounded in its specialized knowledge of the home health care industry. DOL gave meaning to the language "available for work" as used in the wage order by interpreting it in the context of a 24-hour shift to exclude the hours when the employee is not working because the employee is on a scheduled sleep and meal break. The interpretation also harmonized with the federal approach, and there was nothing unreasonable or irrational about recognizing the similarities and dissimilarities between residential and nonresidential employees to reach the conclusion that a home health care aide assigned to a 24-hour shift should have significant amounts of regularly scheduled work-free periods. If the aide does not receive the minimum break time because the patient needs assistance, the aide is paid for 24 hours of work time.

Actions — Class Actions — Class Certification — Home Health Care Aides Alleging Labor Law Minimum Wage Violations

2. In two putative class actions by home health care aides seeking to recover damages for Labor Law § 652 minimum wage violations, class certification was not foreclosed by the fact that damages may vary by class member, notwithstanding the determination that the New York State Department of Labor's (DOL) interpretation of its miscellaneous industries and occupations minimum wage order (12 NYCRR 142-2.1 [b] [wage order]) with respect to

aides working 24-hour shifts was rational. The legislature enacted CPLR 901 (a) with a specific allowance for class actions in cases where damages differed among plaintiffs. Thus, a difference in damage awards was an insufficient basis to deny certification as a matter of law where a class may rely on representative evidence of the class-wide violations. Here, under DOL's interpretation, live-in, nonresidential employees, which includes home health care aides, must be paid not less than for 13 hours per 24-hour period provided that they are afforded at least eight hours for sleep and actually receive five hours of uninterrupted sleep and are afforded three hours for meals. It was for the courts below to determine whether plaintiffs' claims regarding systematic violations of the wage order by home health aide employers warrants class certification.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d Employment Relationship § 48; Am Jur 2d Labor and Labor Relations §§ 3224, 3227; Am Jur 2d Parties §§ 51, 59, 60, 64, 84–86.

Carmody-Wait 2d Parties §§ 19:283, 19:284, 19:317.

McKinney's, CPLR 901 (a); Labor Law § 652.

12 NYCRR 142-2.1 (b).

NY Jur 2d Employment Relations §§ 809, 810; NY Jur 2d Hospitals and Related Health Care Facilities § 178; NY Jur 2d Parties §§ 263, 289.

Siegel, NY Prac § 141.

ANNOTATION REFERENCE

See ALR Index under Class Actions; Minimum Wages.

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POINTS OF COUNSEL

Cohen Tauber Spievack & Wagner P.C., New York City (*Sari E. Kolatch, Stephen Wagner* and *Jackson S. Davis* of counsel), for appellants in the first above-entitled action. I. The Court of Appeals reviews the granting of a motion for class certification under an abuse of discretion standard. (*Small v Lorillard Tobacco Co.*, 94 NY2d 43; *Matter of Acevedo v New York State Dept. of Motor Vehs.*, 29 NY3d 202; *Matter of Consolation Nursing Home v Commissioner of N.Y. State Dept. of Health*, 85 NY2d 326; *Matter of Schenectady Police Benevolent Assn. v New York State Pub. Empl. Relations Bd.*, 85 NY2d 480.) II.

The Appellate Division, Second Department failed to afford due deference to the Department of Labor's interpretation and enforcement of the wage order. (*Matter of Entergy Nuclear Operations, Inc. v New York State Dept. of State*, 28 NY3d 279; *Matter of County of Albany v Hudson Riv.-Black Riv. Regulating Dist.*, 97 AD3d 61; *Matter of Avenue Nursing Home & Rehabilitation Ctr. v Shah*, 112 AD3d 1178; *Matter of Denton v Perales*, 72 NY2d 979; *Matter of New York State Superfund Coalition, Inc. v New York State Dept. of Envtl. Conservation*, 18 NY3d 289; *Matter of Peckham v Calogero*, 12 NY3d 424; *Matter of Chesterfield Assoc. v New York State Dept. of Labor*, 4 NY3d 597; *Barenboim v Starbucks Corp.*, 21 NY3d 460; *Samiento v World Yacht Inc.*, 10 NY3d 70; *Matter of Chesterfield Assoc. v New York State Dept. of Labor*, 4 NY3d 597.) III. Individual issues concerning sleep and meals preclude class certification. (*CLC/CFI Liquidating Trust v Bloomingdale's, Inc.*, 50 AD3d 446; *Rife v Barnes Firm, P.C.*, 48 AD3d 1228; *Alix v Wal-Mart Stores, Inc.*, 57 AD3d 1044; *Evans v City of Johnstown*, 97 AD2d 1; *Small v Lorillard Tobacco Co.*, 94 NY2d 43; *Dimich v Med-Pro, Inc.*, 34 AD3d 329; *Yeger v E*Trade Sec. LLC*, 65 AD3d 410; *Mitchell v Barrios-Paoli*, 253 AD2d 281; *Matter of Colt Indus. Shareholder Litig.*, 77 NY2d 185; *Friar v Vanguard Holding Corp.*, 78 AD2d 83.) IV. CPLR 901 (b) precludes class certification because liquidated damages were not waived on behalf of the class. (*Ballard v Community Home Care Referral Serv.*, 264 AD2d 747; *Sperry v Crompton Corp.*, 8 NY3d 204; *County of Nassau v Expedia, Inc.*, 120 AD3d 1181; *Downing v First Lenox Terrace Assoc.*, 107 AD3d 86; *Borden v 400 E. 55th St. Assoc., L.P.*, 24 NY3d 382; *Carter v Frito-Lay, Inc.*, 74 AD2d 550, 52 NY2d 994.)

Beranbaum Menken LLP, New York City (*Jason J. Rozger* of counsel), for respondents in first above-entitled action. I. The Supreme Court and the Appellate Division correctly decided the threshold issue that nonresident home attendants are entitled to the minimum wage for all hours of a 24-hour shift. (*Matter of Settlement Home Care v Industrial Bd. of Appeals of Dept. of Labor of State of N.Y.*, 151 AD2d 580; *Moreno v Future Care Health Servs., Inc.*, 153 AD3d 1254; *Tokhtaman v Human Care, LLC*, 149 AD3d 476, 30 NY3d 1010; *Lai Chan v Chinese-American Planning Council Home Attendant Program, Inc.*, 50 Misc 3d 201; *Seenaraine v Securitas Sec. Servs. USA, Inc.*, 37 AD3d 700; *Doo Nam Yang v ACBL Corp.*, 427 F Supp 2d 327; *Feit v Emons Indus.*, 119 Misc 2d 157; *Copantitla v Fiskardo Estiatorio, Inc.*, 788 F Supp 2d 253; *Hartnett v New York City*

Tr. Auth., 86 NY2d 438; *Shillingford v Astra Home Care, Inc.*, 293 F Supp 3d 401.) II. Even if class members' sleep and meal times are relevant, defendants-appellants' failure to keep any record of their sleep or meal times should prevent them from making such a defense, even if it exists. (*Kuebel v Black & Decker Inc.*, 643 F3d 352; *Matter of Settlement Home Care v Industrial Bd. of Appeals of Dept. of Labor of State of N.Y.*, 151 AD2d 580; *Matter of A. Uliano & Son. Ltd. v New York State Dept. of Labor*, 97 AD3d 664; *Matter of D&D Mason Contrs., Inc. v Smith*, 81 AD3d 943.) III. Class certification was correctly granted. (*Jacobs v Macy's E., Inc.*, 17 AD3d 318; *Kidd v Delta Funding Corp.*, 289 AD2d 203; *Friar v Vanguard Holding Corp.*, 78 AD2d 83; *Dabrowski v Abax Inc.*, 84 AD3d 633; *Wilder v May Dept. Stores Co.*, 23 AD3d 646; *Freeman v Great Lakes Energy Partners, L.L.C.*, 12 AD3d 1170; *Branch v Crabtree*, 197 AD2d 557; *Weinberg v Hertz Corp.*, 116 AD2d 1, 69 NY2d 979; *Gilman v Merrill Lynch, Pierce, Fenner & Smith*, 93 Misc 2d 941; *Pruitt v Rockefeller Ctr. Props.*, 167 AD2d 14.) IV. There is nothing defective about the waiver of liquidated damages in this case. (*Downing v First Lenox Terrace Assoc.*, 107 AD3d 86; *Ridge Meadows Homeowners' Assn. v Tara Dev. Co.*, 242 AD2d 947; *Super Glue Corp. v Avis Rent A Car Sys.*, 132 AD2d 604.)

Hinman Straub P.C., Albany (*David B. Morgen, Kristin T. Foust* and *Benjamin M. Wilkinson* of counsel), for Home Care Association of New York State, Inc. and another, amici curiae in the first above-entitled action. I. The applicable state law and regulations have long been interpreted to be coextensive with federal law. (*Matter of Entergy Nuclear Operations, Inc. v New York State Dept. of State*, 28 NY3d 279; *Lovelace v Gross*, 80 NY2d 419; *Shillingford v Astra Home Care, Inc.*, 293 F Supp 3d 401; *Ethelberth v Choice Sec. Co.*, 91 F Supp 3d 339; *Gold v New York Life Ins. Co.*, 153 AD3d 216; *Ballard v Community Home Care Referral Serv.*, 264 AD2d 747; *Singh v City of New York*, 524 F3d 361; *Muldowney v Seaberg El. Co.*, 39 F Supp 275; *Hofler v Spearin, Preston & Burrows*, 51 Misc 2d 758, 30 AD2d 639; *Braziel v Tobosa Dev. Servs.*, 166 F3d 1061.) II. The elimination of the 13-hour rule would collapse the home health care system due to lack of Medicaid funding. (*Kuppersmith v Dowling*, 93 NY2d 90; *Matter of Schlossberg v Wing*, 277 AD2d 41; *Olmstead v L. C.*, 527 US 581.)

Bond, Schoeneck & King, PLLC, Albany (*Craig W. Anderson* and *Hermes Fernandez* of counsel), for Consumer Directed

Personal Assistance Association of New York State, Inc., amicus curiae in the first above-entitled action. Sleep time and mealtime are not "hours worked." (*Samiento v World Yacht Inc.*, 10 NY3d 70; *Matter of Chesterfield Assoc. v New York State Dept. of Labor*, 4 NY3d 597; *Matter of KSLM-Columbus Apts., Inc. v New York State Div. of Hous. & Community Renewal*, 5 NY3d 303; *Matter of Kolb v Holling*, 285 NY 104; *Ferraiolo v O'Dwyer*, 302 NY 371; *Tokhtaman v Human Care, LLC*, 149 AD3d 476; *Shillingford v Astra Home Care, Inc.*, 293 F Supp 3d 401.)

Littler Mendelson P.C., Melville (*Ira D. Wincott*, *Lisa M. Griffith* and *Daniel Gomez-Sanchez* of counsel), for Home Care Association of America and another, amici curiae in the first above-entitled action. I. *Andryeyeva v New York Health Care, Inc.* (153 AD3d 1216 [2d Dept 2017]) articulated an erroneous standard of compensability for live-in home health aides in contravention of long-standing New York Department of Labor policy. (*Matter of Terrace Ct., LLC v New York State Div. of Hous. & Community Renewal*, 79 AD3d 630; *Matter of Entergy Nuclear Operations, Inc. v New York State Dept. of State*, 28 NY3d 279; *Barenboim v Starbucks Corp.*, 21 NY3d 460; *Samiento v World Yacht Inc.*, 10 NY3d 70; *Matter of Ansonia Residents Assn. v New York State Div. of Hous. & Community Renewal*, 75 NY2d 206; *Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451; *Moreno v Future Care Health Servs., Inc.*, 153 AD3d 1254; *Williams v Williams*, 23 NY2d 592; *Matter of ATM One v Landaverde*, 307 AD2d 922; *People v Dozier*, 78 NY2d 242.) II. Affirming *Andryeyeva v New York Health Care, Inc.* (153 AD3d 1216 [2d Dept 2017]) would have a devastating impact on the financial stability of the 24-hour home health care industry. (*Olmstead v L. C.*, 527 US 581.)

Greenberg Traurig, LLP, Albany (*Henry M. Greenberg* of counsel), for Greater New York Hospital Association and others, amici curiae in the first above-entitled action. I. Invalidating the 13-hour rule will devastate New York's home care industry and Medicaid program, resulting in harm to every segment of the health care system and the patients it serves. (*Matter of LeadingAge N.Y., Inc. v Shah*, 153 AD3d 10.) II. Home care providers should not be held liable for reasonably relying on the Department of Labor's interpretation of its own statutes and regulations. (*Samiento v World Yacht Inc.*, 10 NY3d 70; *Matter of Chesterfield Assoc. v New York State Dept. of Labor*, 4 NY3d 597; *State of New York v GTE Valeron Corp.*, 155 AD2d 166; *Shillingford v Astra Home Care, Inc.*, 293 F Supp 3d 401; *Matter of Entergy Nuclear Operations, Inc. v New York State Dept. of State*, 28 NY3d 279; *Matter of Blossom View Nursing Home v Novello*, 4 NY3d 581; *Matter of Elcor Health Servs. v Novello*, 100 NY2d 273; *Matter of Zajdowicz v New York State & Local Police & Fire Retirement Sys.*, 267 AD2d 863; *Matter of Queens-Nassau Nursing Home v McBarnette*, 216 AD2d 715, 87 NY2d 804; *Matter of Peckham v Calogero*, 12 NY3d 424.)

Sanford Heisler Sharp, LLP, New York City (*Jeremy Heisler, Russell Kornblith* and *David Tracey* of counsel), for Sanford Heisler Sharp, LLP, amicus curiae in the first above-entitled action. A broad, liberal, pro-certification reading of CPLR article 9 should be applied and the federal courts' "rigorous analysis" test for class motions should not be adopted in New York. (*Matter of Colt Indus. Shareholder Litig.*, 77 NY2d 185; *Amer-A-Med Health Prods., Inc. v O'Brien*, 2011 NY Slip Op 30903[U]; *City of New York v Maul*, 14 NY3d 499; *Younger v Harris*, 401 US 37; *Desrosiers v Perry Ellis Menswear, LLC*, 30 NY3d 488.)

Virginia & Ambinder, LLP, New York City (*LaDonna M. Lusher, Kara Miller* and *Michele A. Moreno* of counsel), for The Community Development Project and others, amici curiae in the first above-entitled action. I. Home care workers should be paid for all hours of their shifts. (*Matter of Settlement Home Care v Industrial Bd. of Appeals of Dept. of Labor of State of N.Y.*, 151 AD2d 580; *Home Care Assn. of Am. v Weil*, 799 F3d 1084.) II. The Court of Appeals should affirm the Appellate Division's unanimous decisions. (*O'Neill v Mermaid Touring Inc.*, 968 F Supp 2d 572; *IBP, Inc. v Alvarez*, 546 US 21; *Anderson v Mt. Clemens Pottery Co.*, 328 US 680; *Armour & Co. v Wantock*, 323 US 126; *Matter of Settlement Home Care v Industrial Bd. of Appeals of Dept. of Labor of State of N.Y.*, 151 AD2d 580; *Matter of New York State Rest. Assn., Inc. v Commissioner of Labor*, 45 AD3d 1133.) III. Any argument that the health care industry will collapse as a result of properly compensating home care workers is not based on any credible evidence and is camouflage for the industry's systemic practice of failing to comply with the law. (*Tokhtaman v Human Care, LLC*, 149 AD3d 476; *Moreno v Future Care Health Servs., Inc.*, 153 AD3d 1254; *Matter of Crumpley v Wack*, 212 AD2d 299.)

Hodgson Russ, LLP, New York City (*Emina Poricanin, Peter

Godfrey and *John Godwin* of counsel), for New York State Association of Health Care Providers, Inc., amicus curiae in the first above-entitled action. I. The Appellate Division, Second Department incorrectly held that sleep and meal time is compensable work time, redefining how an entire industry compensates workers. (*Jin Dong Wang v LW Rest., Inc.*, 81 F Supp 3d 241.) II. The Appellate Division, Second Department conflated the analysis of who constitutes a "residential employee" with the analysis of what constitutes a compensable hour of work. III. Aides assigned to shifts of 24 hours are not owed pay for all 24 hours of such a shift because they are not required to be available for work "at a place prescribed by the employer" for the entire shift. IV. Requiring agencies to pay workers for sleep and other duty-free time is not sustainable under the current Medicaid system.

Letitia James, Attorney General, New York City (*Steven C. Wu, Philip V. Tisne* and *Barbara D. Underwood* of counsel), for New York State Department of Labor, amicus curiae in the first above-entitled action. I. The Appellate Division erroneously rejected Department of Labor's long-standing policy regarding sleep and meal times for home health aides. (*Matter of Chesterfield Assoc. v New York State Dept. of Labor*, 4 NY3d 597; *International Union of Painters & Allied Trades, Dist. Council No. 4 v New York State Dept. of Labor*, 32 NY3d 198; *Ferraiolo v O'Dwyer*, 302 NY 371; *Good Samaritan Hospital v Shalala*, 508 US 402; *Edelman v Lynchburg College*, 535 US 106; *Barenboim v Starbucks Corp.*, 21 NY3d 460; *Skidmore v Swift & Co.*, 323 US 134; *Samiento v World Yacht Inc.*, 10 NY3d 70; *LMK Psychological Servs., P.C. v State Farm Mut. Auto. Ins. Co.*, 12 NY3d 217.) II. The Court of Appeals should remand for the lower courts to consider alternative bases for class certification. (*Matter of Dudley v Kerwick*, 52 NY2d 542; *Marisol A. v Giuliani*, 126 F3d 372; *Anderson v Mt. Clemens Pottery Co.*, 328 US 680; *Herman v Palo Group Foster Home, Inc.*, 183 F3d 468; *Matter of Bae v Industrial Bd. of Appeals*, 104 AD3d 571; *Matter of Ramirez v Commissioner of Labor of State of N.Y.*, 110 AD3d 901.)

National Center for Law and Economic Justice, New York City (*Katharine Deabler-Meadows, Travis W. England,* and *Leah Lotto*, of the Georgia bar, of counsel), for National Center for Law and Economic Justice, amicus curiae in the first above-entitled action. I. New York State law requires that nonresidential home care attendants be paid for the time they are required to be available for work. (*Tokhtaman v Human Care, LLC*, 149 AD3d 476; *Matter of Visiting Nurse Serv. of N.Y. Home Care v New York State Dept. of Health*, 5 NY3d 499; *Samiento v World Yacht Inc.*, 10 NY3d 70.) II. Overturning the decisions below will exacerbate inequitable conditions within the home care industry. III. Minimum Wage Act protections for home care workers will ensure higher quality services for persons with disabilities and the elderly. (*Moreno v Future Care Health Servs., Inc.*, 153 AD3d 1254.)

Peckar & Abramson, P.C., New York City (*Aaron C. Schlesinger, Kevin J. O'Connor* and *Shannon D. Azzaro* of counsel), for appellants in the second above-entitled action. I. The granting of a motion for class certification should be reviewed under an abuse of discretion standard. (*Small v Lorillard Tobacco Co.*, 94 NY2d 43; *Matter of Acevedo v New York State Dept. of Motor Vehs.*, 29 NY3d 202; *Matter of Consolation Nursing Home v Commissioner of N.Y. State Dept. of Health*, 85 NY2d 326; *Matter of Schenectady Police Benevolent Assn. v New York State Pub. Empl. Relations Bd.*, 85 NY2d 480.) II. The Appellate Division, Second Department erred by holding that home health aides who provide home health care services over the course of 24-hour shifts but do not actually reside at the home of the client cannot be classified as "live-in" employees subject to the sleep and mealtime break exemptions identified in the opinion letter. (*Stephenson v Hotel Empls. & Rest. Empls. Union Local 100 of AFL-CIO*, 6 NY3d 265; *Ferrante v American Lung Assn.*, 90 NY2d 623; *Macchio v Michaels Elec. Supply Corp.*, 149 AD3d 716; *Ansoumana v Gristede's Operating Corp.*, 255 F Supp 2d 184.) III. The Appellate Division, Second Department erred by failing to give deference to the opinion letter because it is not unreasonable, irrational or in direct conflict with the wage order. (*Matter of Entergy Nuclear Operations, Inc. v New York State Dept. of State*, 28 NY3d 279; *Samiento v World Yacht Inc.*, 10 NY3d 70; *Matter of Brooklyn Assembly Halls of Jehovah's Witnesses, Inc. v Department of Envtl. Protection of City of N.Y.*, 11 NY3d 327; *Matter of IG Second Generation Partners L.P. v New York State Div. of Hous. & Community Renewal, Off. of Rent Admin.*, 10 NY3d 474; *Matter of Gilman v New York State Div. of Hous. & Community Renewal*, 99 NY2d 144; *Matter of Visiting Nurse Serv. of N.Y. Home Care v New York State Dept. of Health*, 5 NY3d 499; *Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451; *Barenboim v Starbucks Corp.*, 21 NY3d 460.) IV. Regulatory framework and sound policy support appellants' reliance on the sleep and mealtime exemptions identified in the opinion letter. V. The Appellate Division, Second Department erred by granting respondents class certification. (*Weinberg v Hertz Corp.*, 116 AD2d 1, 69 NY2d 979; *Matter of Colt Indus. Shareholder Litig.*, 77 NY2d 185; *Hurrell-Harring v State of New York*, 81 AD3d 69; *Ackerman v Price Waterhouse*, 252 AD2d 179; *Evans v City of Johnstown*, 97 AD2d 1; *Pludeman v Northern Leasing Sys., Inc.*, 74 AD3d 420; *Feder v Staten Is. Hosp.*, 304 AD2d 470; *Dupack v Nationwide Leisure Corp.*, 70 AD2d 568; *Hoerger v Board of Educ. of Great Neck Union Free School Dist.*, 98 AD2d 274; *Alix v Wal-Mart Stores, Inc.*, 57 AD3d 1044.)

Getman Sweeney & Dunn, PLLC, Kingston (*Michael J.D. Sweeney* and *Artemio Guerra* of counsel), *Abbey Spanier, LLP*, New York City (*Judith L. Spanier* and *Julie Sullivan* of counsel), and *National Employment Law Project*, New York City (*Catherine Ruckelshaus* and *Sarah Leberstein* of counsel), for respondents in the second above-entitled action. I. The Second Department was correct in finding that New York law requires nonresidential home health aides to be paid the minimum wage for all 24 hours of a 24-hour shift when they are required to be at the clients' homes and available to render services at all times. (*Matter of New York State Rest. Assn., Inc. v Commissioner of Labor*, 45 AD3d 1133; *Matter of Settlement Home Care v Industrial Bd. of Appeals of Dept. of Labor of State of N.Y.*, 151 AD2d 580; *IBP, Inc. v Alvarez*, 546 US 21; *Anderson v Mt. Clemens Pottery Co.*, 328 US 680; *Armour & Co. v Wantock*, 323 US 126; *Matter of Settlement Home Care v Industrial Bd. of Appeals of Dept. of Labor of State of N.Y.*, 151 AD2d 580; *Matter of Visiting Nurse Serv. of N.Y. Home Care v New York State Dept. of Health*, 5 NY3d 499; *Samiento v World Yacht Inc.*, 10 NY3d 70; *Tokhtaman v Human Care, LLC*, 149 AD3d 476, 30 NY3d 1010; *Matter of New York State Rest. Assn., Inc. v Commissioner of Labor*, 45 AD3d 1133.) II. Expanding the exception beyond the Minimum Wage Order's plain language is poor public policy. (*Campaign for Fiscal Equity v State of New York*, 100 NY2d 893; *Home Care Assn. of Am. v Weil*, 799 F3d 1084.) III. Appellants offer no legal basis for establishing an additional unwritten exemption to the Minimum Wage Act. (*Matter of Visiting Nurse Serv. of N.Y. Home Care v New York State Dept. of Health*, 5 NY3d 499; *Moreno v Future Care Health Servs., Inc.*, 153 AD3d 1254; *Tokhtaman v Human Care, LLC*, 149 AD3d 476; *Matter of OnBank & Trust Co.*, 90 NY2d 725; *Matter of Duell v Condon*, 84 NY2d 773; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577.)

IV. The Appellate Division, Second Department correctly certified all of plaintiffs' claims for class treatment. (*Moreno v Future Care Health Servs., Inc.*, 153 AD3d 1254; *Ramos v SimplexGrinnell LP*, 796 F Supp 2d 346; *City of New York v Maul*, 14 NY3d 499; *Matter of Settlement Home Care v Industrial Bd. of Appeals of Dept. of Labor of State of N.Y.*, 151 AD2d 580; *Matter of Radich v Council of City of Lackawanna*, 93 AD2d 559; *Matter of New York State Rest. Assn., Inc. v Commissioner of Labor*, 45 AD3d 1133; *Padilla v Manlapaz*, 643 F Supp 2d 302; *Hypolite v Health Care Servs. of N.Y. Inc.*, 256 F Supp 3d 485; *O'Hara v Del Bello*, 47 NY2d 363; *Tokhtaman v Human Care, LLC*, 30 NY3d 1010.)

Sanford Heisler Sharp, LLP, New York City (*Jeremy Heisler, Russell Kornblith* and *David Tracey* of counsel), for Sanford Heisler Sharp, LLP, amicus curiae in the second above-entitled action. A broad, liberal, pro-certification reading of CPLR article 9 should be applied and the federal courts' "rigorous analysis" test for class motions should not be adopted in New York. (*Matter of Colt Indus. Shareholder Litig.*, 77 NY2d 185; *Amer-A-Med Health Prods., Inc. v O'Brien*, 2011 NY Slip Op 30903[U]; *City of New York v Maul*, 14 NY3d 499; *Younger v Harris*, 401 US 37; *Desrosiers v Perry Ellis Menswear, LLC*, 30 NY3d 488.)

Greenberg Traurig, LLP, Albany (*Henry M. Greenberg* and *Harold N. Iselin* of counsel), for Greater New York Hospital Association and others, amici curiae in the second above-entitled action. I. Invalidating the 13-hour rule will devastate New York's home care industry and Medicaid program, resulting in harm to every segment of the health care system and the patients it serves. (*Matter of LeadingAge N.Y., Inc. v Shah*, 153 AD3d 10.) II. Home care providers should not be held liable for reasonably relying on the Department of Labor's interpretation of its own statutes and regulations. (*Barenboim v Starbucks Corp.*, 21 NY3d 460; *Samiento v World Yacht Inc.*, 10 NY3d 70; *Matter of Chesterfield Assoc. v New York State Dept. of Labor*, 4 NY3d 597; *State of New York v GTE Valeron Corp.*, 155 AD2d 166; *Shillingford v Astra Home Care, Inc.*, 293 F Supp 3d 401; *Matter of Entergy Nuclear Operations, Inc. v New York State Dept. of State*, 28 NY3d 279; *Matter of Blossom View Nursing Home v Novello*, 4 NY3d 581; *Matter of Elcor Health Servs. v Novello*, 100 NY2d 273; *Matter of Zajdowicz v New York State & Local Police & Fire Retirement Sys.*, 267 AD2d 863; *Matter of Queens-Nassau Nursing Home v McBarnette*, 216 AD2d 715, 87 NY2d 804.)

Virginia & Ambinder, LLP, New York City (*LaDonna M. Lusher, Kara Miller* and *Michele A. Moreno* of counsel), for The Community Development Project and others, amici curiae in the second above-entitled action. I. Home care workers should be paid for all hours of their shifts. (*Matter of Settlement Home Care v Industrial Bd. of Appeals of Dept. of Labor of State of N.Y.*, 151 AD2d 580; *Home Care Assn. of Am. v Weil*, 799 F3d 1084.) II. The Court of Appeals should affirm the Appellate Division's unanimous decisions. (*O'Neill v Mermaid Touring Inc.*, 968 F Supp 2d 572; *IBP, Inc. v Alvarez*, 546 US 21; *Anderson v Mt. Clemens Pottery Co.*, 328 US 680; *Armour & Co. v Wantock*, 323 US 126; *Matter of Settlement Home Care v Industrial Bd. of Appeals of Dept. of Labor of State of N.Y.*, 151 AD2d 580; *Matter of New York State Rest. Assn., Inc. v Commissioner of Labor*, 45 AD3d 1133.) III. Any argument that the health care industry will collapse as a result of properly compensating home care workers is not based on any credible evidence and is camouflage for the industry's systemic practice of failing to comply with the law. (*Tokhtaman v Human Care, LLC*, 149 AD3d 476; *Moreno v Future Care Health Servs., Inc.*, 153 AD3d 1254; *Matter of Crumpley v Wack*, 212 AD2d 299.)

Letita James, Attorney General, New York City (*Steven C. Wu, Philip V. Tisne* and *Barbara D. Underwood* of counsel), for New York State Department of Labor, amicus curiae in the second above-entitled action. I. The Appellate Division erroneously rejected the Department of Labor's long-standing policy regarding sleep and meal times for home health aides. (*Matter of Chesterfield Assoc. v New York State Dept. of Labor*, 4 NY3d 597; *International Union of Painters & Allied Trades, Dist. Council No. 4 v New York State Dept. of Labor*, 32 NY3d 198; *Ferraiolo v O'Dwyer*, 302 NY 371; *Good Samaritan Hospital v Shalala*, 508 US 402; *Edelman v Lynchburg College*, 535 US 106; *Barenboim v Starbucks Corp.*, 21 NY3d 460; *Skidmore v Swift & Co.*, 323 U.S 134; *Samiento v World Yacht Inc.*, 10 NY3d 70; *LMK Psychological Servs., P.C. v State Farm Mut. Auto. Ins. Co.*, 12 NY3d 217; *Matter of Roman Catholic Diocese of Albany v New York State Dept. of Health*, 109 AD2d 140.) II. The Court of Appeals should remand for the lower courts to consider alternative bases for class certification. (*Matter of Dudley v Kerwick*, 52 NY2d 542; *Marisol A. v Giuliani*, 126 F3d 372; *Anderson v Mt. Clemens Pottery Co.*, 328 US 680; *Herman v Palo Group Foster Home, Inc.*, 183 F3d 468; *Matter of Bae v Industrial Bd. of Appeals*, 104 AD3d 571; *Matter of Ramirez v Commissioner of Labor of State of N.Y.*, 110 AD3d 901.)

OPINION OF THE COURT

Rivera, J.

The common issue presented in these joint appeals is whether, pursuant to the New York State Department of Labor's (DOL) Miscellaneous Industries and Occupations Minimum Wage Order (Wage Order), an employer must pay its home health care aide employees for each hour of a 24-hour shift. DOL has interpreted its Wage Order to require payment for at least 13 hours of a 24-hour shift if the employee is allowed a sleep break of at least eight hours—and actually receives five hours of uninterrupted sleep—and three hours of meal break time. DOL's interpretation of its Wage Order does not conflict with the promulgated language, nor has DOL adopted an irrational or unreasonable construction, and so the Appellate Division erred in rejecting that interpretation. Therefore, we reverse the Appellate Division orders and remit for consideration of alternative grounds for class certification for alleged violations of New York's Labor Law, inclusive of defendants' alleged systematic denial of wages earned and due, unaddressed by the courts below because of their erroneous rejection of DOL's interpretation.

I.

Statutory and Regulatory Background

New York's Labor Law requires that all employees be paid a minimum wage for each hour worked (Labor Law § 652). The legislature passed the Minimum Wage Act (the Act) in 1937 to ensure that workers "receive wages sufficient to provide adequate maintenance and to protect their health" (L 1937, ch 276, § 551). In 1971, the legislature extended the Act to cover home health care aides living outside the employer's home (L 1971, ch 1165, § 1), and in 1978 again amended the Act to require a minimum wage for "each hour worked" (L 1978, ch 747, § 1).

The Act delegates to the Commissioner of Labor[1] the authority to set that minimum wage by issuing "wage orders" (L 1937, ch 276, §§ 555-557), which are promulgated as regulations in accordance with the State Administrative Procedure Act and

1. The Act initially referred to the "Industrial Commissioner," which remained the title until 1982 when the legislature renamed the position "Commissioner of Labor" (L 1982, ch 86, §§ 1-2). To avoid confusion, we refer to the individual holding this position as the "Commissioner."

the dictates of the Labor Law (*see* Labor Law § 659). The Commissioner has exercised this statutory authority periodically by publishing the minimum wage rate for employment in five industries, subclassified by occupation, employer size, and geographic location (12 NYCRR ch II, subchs B, F).

Since 1972, home health care aides have come under DOL's Minimum Wage Order Number 11 for Miscellaneous Industries and Occupations (12 NYCRR part 142), which applies to all non-exempt employees who are not subject to a different wage order (i.e., those not in the hospitality industry, the building services industry, or farm workers) (*see* 12 NYCRR 142-2.14; NY St Dept of Labor, Minimum Wage Order for Miscellaneous Industries and Occupations at 1 [eff Dec. 31, 2016] ["This Part shall apply to all employees, as such term is defined in this Part, except: (a) employees who are covered by minimum wage standards in any other minimum wage order promulgated by the commissioner; and (b) employees of a nonprofitmaking institution which has elected to be exempt from coverage under a minimum wage order, pursuant to subdivision 3 of section 652 of the Minimum Wage Act"]).

The Wage Order states, in relevant part:

> "The minimum wage shall be paid for the time an employee is permitted to work, or is required to be available for work at a place prescribed by the employer, and shall include time spent in traveling to the extent that such traveling is part of the duties of the employee. However, a residential employee—one who lives on the premises of the employer—shall not be deemed to be permitted to work or required to be available for work:
>
> "(1) during [the employee's] normal sleeping hours solely because [the employee] is required to be on call during such hours; or
>
> "(2) at any other time when [the employee] is free to leave the place of employment" (12 NYCRR 142-2.1 [b]).

In March 2010, DOL issued an opinion letter, responding to questions about the application of the Wage Order to home health care aides, including the calculation of hours worked when assigned to a patient's home, referred to as a "live-in employee." The letter distinguishes between employees who are "on call"—meaning employees who are considered to be working during all hours they are required to remain in a particular work area, including when they are waiting to perform their services—and employees who are "subject to call" such that they are able to leave the work area between assignments and are paid only for work performed.

The letter further acknowledges that a "residential employee," defined in the Wage Order as a person who lives on the premises of the employer, is deemed not to be working during normal sleeping hours solely because they are "on call," or when free to leave the place of employment. The letter goes on to explain that DOL treats all "live-in" employees the same when determining the number of hours worked, regardless of whether they are residential employees. Specifically, the letter states that

> "it is the opinion and policy of this Department that live-in employees must be paid not less than for thirteen hours per twenty-four hour period provided that they are afforded at least eight hours for sleep and actually receive five hours of uninterrupted sleep, and that they are afforded three hours for meals. If an aide does not receive five hours of uninterrupted sleep, the eight-hour sleep period exclusion is not applicable and the employee must be paid for all eight hours. Similarly, if the aide is not actually afforded three work-free hours for meals, the three-hour meal period exclusion is not applicable" (NY St Dept of Labor Op No. RO-09-0169 at 4 [Mar. 11, 2010]).

The letter explains that home health care aides assigned to a 24-hour shift at a patient's home are live-in, nonresidential employees, who must be paid for at least 13 hours of work. Under DOL's interpretation of the Wage Order, the remaining 11 hours of the shift are not included in the calculation of compensable hours because this time is allocated for eight hours of sleep and three hours of mealtime for the employee. If the home health care aide does not receive a minimum of five hours of uninterrupted sleep and work-free meal breaks, the employer must pay for every hour of a 24-hour shift—meaning the employer cannot exclude 11 hours from the compensable hours total—because when the aide is not provided with actual and substantial duty-free periods for personal use, the employer rather than the employee benefits from the time and the employer must pay for profiting off the employee's labor.

The March 2010 opinion letter, issued prior to the filing of plaintiffs' underlying actions and specifically addressed to the status of home health care aides, is only a recent articulation in a long line of official statements by DOL explaining its general policy towards compensable work for 24-hour shift employees. For decades, DOL has consistently interpreted the Wage Order as applied across occupations to account for substantial periods of employee inactivity during a 24-hour shift when an employee is able to utilize the time for personal matters. As far back as 1969, DOL determined that, in the case of employees "required to be on duty for a 24 hour period," it would consider "up to 8 hours [of] sleeping time . . . as not being hours worked" within the meaning of the Wage Order, if certain conditions were met (NY St Dept of Labor, Inter-Office Mem from George Ostrow to Daniel A. Daly [Oct. 27, 1969]). The exclusion would only apply if there was "express or implied agreement" to exclude time for sleep, the employer provided "adequate sleeping facilities for an uninterrupted night's sleep," the employee actually received five hours of sleep, and interruptions to perform duties were considered work time (*id.*).

In 1998, the Commissioner expressly addressed home health care aides, in response to a letter from an employee of a home health care provider, and explained that, for "live-in" home health care aides, including those working an on-site 24-hour shift:

> "it is the policy of the [DOL] that such persons must be paid for no less than 13 hours of each 24-hour day they are required to remain 'on call' in the home of the person receiving their services—provided that they are afforded eight hours for sleep and actually receive five hours of uninterrupted sleep and that they are afforded three hours for meals. If a 'live-in' home health aide does not receive five hours of uninterrupted sleep, the eight hour sleep period exclusion is not applicable, and the home health aide must be paid for all eight hours in question. Similarly, if a 'live-in' home health aide is not actually afforded three work-free hours for meals, the three-hour meal period exclusion is not applicable" (NY St Dept of Labor, Letter from James J. McGowan to Marian J. Massie [Oct. 27, 1998]).

This interpretation of the Wage Order is similar to the federal government's guidance on the minimum compensable hours for 24-hour shift employees under the Fair Labor Standards Act of 1938 (20 USC § 201 *et seq.* [FLSA]). According to the United States Department of Labor, when an employee is "required to be on call for 24 hours a day," but has "a normal night's sleep" and "ample time in which to eat . . . meals," it may be "justif[ied to conclude] that the employee is not working at all times during which [the employee] is subject to call in the event of an emergency" (US Dept of Labor, Interpretative Bulletin No. 13, Hours Worked: Determination of Hours for Which Employees are Entitled to Compensation under the Fair Labor Standards Act of 1938 at 4 [July 1939]). Under current federal regulations, an employer may exclude up to eight hours of sleep time from compensable time for employees who work 24-hour shifts, assuming certain conditions are satisfied (29 CFR 785.22).

II.

Plaintiffs' Putative Classes Based on Defendants' Alleged New York Labor Law Violations

In both appeals, plaintiffs seek certification of a class of home health care aides for alleged violations of the Labor Law based on their respective employer's failure to pay putative class members a required minimum wage for each hour of a 24-hour shift. Plaintiffs care for some of the most vulnerable members of our society, doing work essential to the survival of their patients. Plaintiffs allege that they are part of a workforce that is predominantly composed of women and recent immigrants, and one that they claim is easily exploited and vulnerable to various forms of wage abuse. Plaintiffs and amici paint a picture of a growing home health care industry where employers reap huge profits from both private and taxpayer funds, while refusing to pay the minimum wage for each hour worked to those who do challenging labor, at all hours of the day and night, often four or five times a week.

Defendants are private home health care companies and their owners who employ plaintiffs and other home health care aides to serve elderly and infirm patients for up to 24 hours at a time. Throughout these litigations, defendants maintained that the applicable law and DOL regulations do not mandate that they pay the equivalent of minimum wage for each hour of a 24-hour shift, relying on DOL's interpretation of its Wage Order.

A. *Andryeyeva v New York Health Care, Inc.*

Plaintiffs Lilya Andryeyeva and Marina Ordus are former employees of New York Home Attendant Agency, an entity formed by defendant New York Health Care (NYHC), a New York State Department of Health licensed home health care agency. They commenced an action individually and sought class certification on behalf of all other home health care aides who were employed by NYHC and worked 24-hour shifts. NYHC provides home care services to elderly and disabled individuals in New York City and Nassau County pursuant to contracts with various managed care companies and local health departments. Defendants' home health care aides assist patients with a range of tasks, including cooking, feeding, bathing, housework, using the restroom, and changing diapers.

NYHC regularly assigns home health care aides to work 24-hour "sleep-in" shifts. During such shifts, a home health care aide is required to be present in the patient's home for a full 24-hour period. Plaintiffs allege that defendants violated the Labor Law by failing to pay the required minimum wage, overtime, and "spread of hours" premiums[2] to home health care aides who worked 24-hour shifts. Plaintiffs allege they routinely did not receive five hours of uninterrupted sleep because their patients required assistance multiple times each night. Plaintiffs also allege that they were never allowed to take meal breaks; indeed, NYHC's orientation manual states expressly: "Patients are never to be left alone!" According to Andryeyeva, the patient for whom she cared most frequently suffered from dementia, "never" slept through the night, and "usually got up two or three times each night to use the bathroom," requiring assistance each time. Plaintiffs further allege they were never told that they should receive five hours of uninterrupted sleep during 24-hour shifts and that defendants failed to record when (or even whether) plaintiffs took sleep and meal breaks. Defendants maintain that home health care aides in their employ are "expected" to receive an eight-hour sleep break and three hours of meal breaks per 24-hour shift.

In support of their motion for class certification, plaintiffs argued that they met each of the statutory requirements of CPLR 901, namely, numerosity, predominance, typicality, ade-

2. Under DOL regulations, employers are required to pay a "spread of hours" premium of "one hour's pay at the basic minimum hourly wage rate" to a covered employee who works a shift of more than 10 hours (12 NYCRR 142-2.4 [a]).

quacy of representation, and superiority. Plaintiffs argued that the proposed class includes 1,063 employees who suffered the same core injury, i.e., defendants' alleged failure to pay lawful wages for each hour worked during 24-hour shifts. Plaintiffs further asserted that they would fairly and adequately represent the class because they had actively participated in the litigation and selected qualified class counsel, and that class treatment was superior to other methods of adjudication because a single judicial adjudication would be more efficient than numerous individual determinations. Plaintiffs argued that they satisfied the requirements of CPLR 902—the interest of class members in controlling the litigation, the inefficiency of individual actions, the extent of prior litigation in the controversy, the desirability of concentrating the litigation in the forum, and any difficulties that may arise in the management of the class action—for many of the same reasons.

In opposition, defendants asserted that they were not required to pay the minimum wage to home health care aides for each hour of a 24-hour shift because the aides were "live-in" employees, and under DOL's March 2010 opinion letter, they could be paid less than the minimum wage for up to eight hours of sleep time and three hours of mealtime. Therefore, defendants argued, each worker's claim required an individual examination of the facts and circumstances of their respective employment, rendering the claims unsuitable for class certification. Unpersuaded, Supreme Court refused to adopt DOL's interpretation and granted plaintiffs' motion to certify a class of home attendants who worked 24-hour shifts during a defined period.

The Appellate Division affirmed, concluding that "DOL's interpretation is neither rational nor reasonable, because it conflicts with the plain language of the Wage Order" (*Andryeyeva v New York Health Care, Inc.*, 153 AD3d 1216, 1218 [2d Dept 2017]). The Court reasoned that, because plaintiffs were required to be present at the patient's home and to perform services as needed if called upon, they were "available for work," regardless of whether they were afforded sleep and meal breaks. In reaching this conclusion, the Court held that the phrase "available for work" includes nighttime hours when the employee was "not called upon to perform services" (*id.* at 1218-1219). The Court relied on the First Department's decision in *Tokhtaman v Human Care, LLC* (149 AD3d 476 [1st Dept 2017]), in which that Court similarly rejected DOL's interpretation of the Wage Order as in conflict with its plain meaning.

The Second Department further concluded that plaintiffs adequately established the requirements of CPLR 901 and that none of the CPLR 902 factors warranted a denial of the certification motion. The Appellate Division granted defendants' motion for leave to appeal pursuant to CPLR 5602 (a).

B. *Moreno v Future Care Health Servs., Inc.*

Plaintiffs Adriana Moreno and Leonidas Peguero-Tineo are home health care aides employed by defendants Future Care Health Services, Inc. and Americare Certified Special Services, Inc. As in *Andryeyeva*, plaintiffs allege that defendants underpaid their employees by failing to pay the minimum wage for each hour of their assigned 24-hour shifts, not paying overtime, and failing to pay "spread of hours" premiums. The *Moreno* plaintiffs further allege that defendants failed to pay employees adequate wages to attend mandatory "in-service" training sessions, reimburse employees for supplies or uniform cleaning, and maintain adequate employment records as required by Labor Law § 195 and 12 NYCRR 142-2.

Plaintiffs moved to certify a class of "current and former home health care workers employed by Defendants." Plaintiffs argued that they satisfied the requirements under CPLR 901 because the proposed class included at least 40 members and presented several common questions, including whether defendants "engaged in a pattern or practice of not paying all wages due for work performed and overtime" and "whether Defendants have kept true and accurate time records for all hours worked by Plaintiffs and the Class." They further argued that plaintiffs were adequate class representatives and had selected qualified counsel to prosecute the class wage claims. Finally, plaintiffs argued that class treatment was superior to other means of resolving their claims because requiring hundreds of class members to file separate actions alleging the same misconduct against the same defendants was inefficient and would waste judicial resources. Plaintiffs also argued that the requirements of CPLR 902 were satisfied.

Like the *Andryeyeva* defendants, the *Moreno* defendants responded in opposition that plaintiffs failed to establish grounds for certification because resolving plaintiffs' claims would require "individualized investigation, proof and determination." Defendants relied, in large part, on the fact that under DOL's interpretation of the Wage Order, plaintiffs' sleep and meal time was non-compensable and defendants were not obligated to pay the minimum wage for this time so long as plaintiffs received at least five hours of uninterrupted sleep and three hours for meals. With respect to plaintiffs' other claims, defendants asserted that there was no evidence to support plaintiffs' allegations. Defendants further argued that plaintiffs failed to satisfy CPLR 902, in part because the individualized issues presented by the litigation were not appropriate for resolution in a class action. Supreme Court agreed with defendants that certification was unwarranted and denied plaintiffs' motion.

The Appellate Division reversed in an opinion decided the same day as *Andryeyeva*. The Court concluded that the DOL opinion letter "conflicts with the plain meaning of" the Wage Order, and that home health care aides were entitled to be paid the minimum wage for every hour of a 24-hour shift even if they were afforded sleep and meal time because they are not "residential employees" within the meaning of the Wage Order (*Moreno v Future Care Health Servs., Inc.*, 153 AD3d 1254, 1255-1256 [2d Dept 2017], citing *Andryeyeva*, 153 AD3d at 1219). The Court further concluded that plaintiffs had established the prerequisites for class treatment and certified the proposed class. As in *Andryeyeva*, the Appellate Division granted defendants' motion for leave to appeal to this Court.

C. DOL's Emergency Regulation

In direct response to these decisions and the holding in *Tokhtaman*, DOL issued an emergency regulation which added the following language to the Wage Order:

> "Notwithstanding the above, this subdivision shall not be construed to require that the minimum wage be paid for meal periods and sleep times that are excluded from hours worked under the Fair Labor Standards Act of 1938, as amended, in accordance with sections 785.19 and 785.22 of 29 C.F.R. for a home care aide who works a shift of 24 hours or more" (NY Reg, Oct. 25, 2017 at 6 [emphasis omitted]).

In DOL's Notice of Emergency Rulemaking, it announced that the emergency regulation was

> "needed to preserve the status quo, prevent the collapse of the home care industry, and avoid institutionalizing patients who could be cared for at home, in the face of recent decisions by the State Appellate Divisions that treat meal periods and sleep

> time by home care aides who work shifts of 24 hours or more as hours worked for purposes of state (but not federal) minimum wage" (*id.* at 5).

In the accompanying Regulatory Impact Statement (RIS),[3] DOL explained that its interpretation had been long-standing, and evolved as legislative expansions covered workers in the home. DOL explained that by the 1970s, the Commissioner interpreted the minimum wage requirement to exclude sleep and meal periods for these groups of workers, and included this interpretation in formal guidelines, legal opinions, investigators' manuals and the Commissioner's determinations. The RIS further stated that the Commissioner amended the Wage Order in 1986 to provide for overtime calculation in accordance with federal methodology and "grew to increasingly look to, and rely upon, federal FLSA regulations interpreting" federal law regarding work hours, meal and sleep periods, "so that hours worked were calculated consistently at the state and federal level for overtime (and other) purposes" (*id.* at 6).

The emergency regulation expired approximately two months later, on January 3, 2018. To avoid any lapse in coverage, DOL promulgated a series of substantially identical emergency regulations between January and September 2018, as well as a proposed final rule on April 5, 2018 (NY Reg, Apr. 25, 2018 at 43-45). Then, in a separate action by different plaintiffs, Supreme Court invalidated the emergency regulation in September 2018, holding DOL failed to justify an emergency in accordance with the State Administrative Procedure Act (*see Matter of Chinese Staff & Workers Assn. v Reardon*, 2018 NY Slip Op 32391[U],*8 [Sup Ct, NY County 2018]).

III.

As defendants' respective challenges to the Appellate Division's approval of class certification in *Andryeyeva* and *Moreno* are analytically indistinguishable, we address these matters jointly. Defendants argue the Appellate Division should have deferred to DOL's rational and reasonable interpretation of the Wage Order, which requires individualized assessment

3. The RIS is a statutory requirement. Pursuant to the State Administrative Procedure Act, except under circumstances not relevant to these appeals, an agency shall "issue a regulatory impact statement for a rule proposed for adoption or a rule adopted on an emergency basis," containing information such as the statutory basis for the proposed rule, "needs and benefits," projected costs of the rule, and a compliance schedule (State Administrative Procedure Act § 202-a [2]-[3]).

of plaintiffs' minimum wage claims, thus precluding certification of a class. Plaintiffs in both appeals submit the same response, namely, that the plain language of the Wage Order requires defendants to pay them minimum wage for every hour of their 24-hour shifts and issues common to their respective classes are defendants' alleged failure to comply with the Wage Order and with regulatory record keeping requirements.[4] Given the decisions below and the arguments as narrowed by defendants, the only issues before us are whether the Appellate Division erroneously disregarded DOL's interpretation of its Wage Order and, if so, whether application of the DOL's interpretation necessarily forecloses class certification. As we discuss, because of the posture of these appeals, we remit so that the courts below may consider unaddressed grounds for class certification.

A. Standard of Judicial Review

Our review of DOL's interpretation of its Wage Order is quite circumscribed. As a general rule, "courts must defer to an administrative agency's rational interpretation of its own regulations in its area of expertise" (*Matter of Peckham v Calogero*, 12 NY3d 424, 431 [2009]). Thus, an agency's construction of its regulations " 'if not irrational or unreasonable,' should be upheld" (*Samiento v World Yacht Inc.*, 10 NY3d 70, 79 [2008], quoting *Matter of Chesterfield Assoc. v New York State Dept. of Labor*, 4 NY3d 597, 604 [2005]). However, "courts are not required to embrace a regulatory construction that conflicts with the plain meaning of the promulgated language" (*Matter of Visiting Nurse Serv. of N.Y. Home Care v New York State Dept. of Health*, 5 NY3d 499, 506 [2005], citing *Matter of 427 W. 51st St. Owners Corp. v Division of Hous. & Community Renewal*, 3 NY3d 337, 342 [2004]). Judicial deference to an agency's interpretation of its rules and regulations is warranted because, having authored the promulgated text and exercised its legislatively delegated authority in interpreting it, the agency is best positioned to accurately describe the intent and construction of its chosen language (*see Peckham*, 12 NY3d at 431).

When an agency adopts a construction which is then followed for "a long period of time," such interpretation "is entitled

4. Plaintiffs have not argued that DOL's interpretation of the Wage Order conflicts with New York State's Labor Law and no such question is presented in these appeals.

to great weight and may not be ignored" (*Ferraiolo v O'Dwyer*, 302 NY 371, 376 [1951]). Further, when set forth in official statements, an agency's consistent interpretation reflects an enduring body of informed administrative analysis (*see Samiento*, 10 NY3d at 79), and provides a reviewing court with the agency's interpretive position, as well as a measure of the enduring quality of the administrative judgment. Indeed, we have previously given weight to DOL's opinion letters when deciding whether to defer both to DOL's interpretation of its own regulations as well as the Labor Law (*see e.g. Samiento*, 10 NY3d at 79-80 [relying on DOL's opinion letters to support upholding DOL's interpretation of Labor Law § 196-d]).

We have no occasion to deviate from our well-settled law in the appeals before us. Thus, if DOL's interpretation of the Wage Order meets our deferential standard, we may not reject it. In making our determination, we must give our foremost consideration to DOL's opinion letters and prior statements because they represent a long-standing articulation of its interpretation of the Wage Order, as applied to nonresidential 24-hour shift employees, including home health care aides. We are also mindful that DOL's fair and studied consideration is grounded in its specialized knowledge and experience of both round-the-clock work assignments and the home health care industry.

There is nothing "novel" (dissenting op at 192) about the standard of review we reiterate today. As revealed by the case law cited above, judicial deference to an agency's interpretation of its own regulations is a basic tenet of administrative law. The dissent appears to confuse our discussion of the well-established justifications for deference (e.g., administrative expertise and the fact that an agency is best positioned to explain what it meant by the words it chose) for the standard itself. Further, the dissent relies on case law addressing agency interpretation of statutory—not regulatory—text to bootstrap an inapposite rule and observes that an agency's interpretation is entitled to no deference "where 'the question is one of pure legal interpretation of statutory terms' " (dissenting op at 192, quoting *Matter of Toys "R" Us v Silva*, 89 NY2d 411, 419 [1996] [concluding that a municipal zoning board's determination revoking a building permit was not inconsistent with local zoning code]). That rule does not apply to an agency's interpretation of its own regulations. As noted above, the Court "*must* defer to an administrative agency's rational interpretation of its own regulations" (*Peckham*, 12 NY3d at 431 [emphasis added]; *see also Visiting Nurse Serv.*, 5 NY3d at 506).

B. DOL's Interpretation of the Wage Order

[1] The Wage Order does not define what it means for an employee to be "required to be available for work at a place prescribed by the employer" (*see* 12 NYCRR 142-2.1 [b]). DOL has interpreted the phrase as applied to employees assigned to 24-hour shifts, (including home health care aides), to exclude up to 11 hours for sleep and meal breaks from compensable hours, based on DOL's understanding that these are regularly scheduled substantial periods of assignment-free personal time. DOL, appearing as amicus curiae, argues that we should defer to its construction because it is consistent with the plain text of the Wage Order, and reflects DOL's well-founded concern for the well-being of workers on round-the-clock assignment, informed judgment grounded in its specialized knowledge of the home health care industry, and the Commissioner's election to align the state's requirements with the federal approach. Upon our review of the Wage Order and DOL's policy statements, we conclude that DOL's interpretation is not inconsistent with the plain language as promulgated, nor is it an irrational or unreasonable construction of the Wage Order as applied to 24-hour shift workers.

DOL's interpretation is not inconsistent with the plain text of the Wage Order, which requires that an employee be paid the minimum wage for the time when they are "required to be available for work at a place prescribed by the employer" (12 NYCRR 142-2.1 [b]). That language requires both presence and an availability during a time scheduled for actual work. Plaintiffs mistakenly argue, and the Appellate Division erroneously concluded, that once a worker is physically present at the designated work site, they are thus able to work if called upon and so are "available for work." That interpretation ignores the entirety of the phrase and renders superfluous the regulation's separate requirement that the employee be both "available for work" and be so available "at a place prescribed by the employer," in violation of two fundamental rules of statutory construction that apply with equal force in the administrative regulatory text: words must be "harmonize[d]" and read together to avoid surplusage (*Matter of Tall Trees Constr. Corp. v Zoning Bd. of Appeals of Town of Huntington*, 97 NY2d 86, 91 [2001]; *Matter of Kamhi v Planning Bd. of Town of Yorktown*, 59 NY2d 385, 391 [1983]; *see also FDA v Brown & Wil-*

liamson Tobacco Corp., 529 US 120, 132-133 [2000]; *cf.* McKinney's Cons Laws of NY, Book 1, Statutes § 98 ["All parts of a statute must be harmonized with each other as well as with the general intent of the whole statute, and effect and meaning must, if possible, be given to the entire statute and every part and word thereof"]). Put another way, if plaintiffs are correct that the only meaning that may be ascribed to this language is physical presence in the patient's home, then the Wage Order is internally redundant as it already conveys that with the words "at a place prescribed by the employer." By contrast, DOL has given meaning to the complete phrase by interpreting "available for work" in the context of a 24-hour shift to exclude the hours when the employee is not working because the employee is on a scheduled sleep and meal break (*see Roberts v Tishman Speyer Props., L.P.*, 13 NY3d 270, 289 [2009] [meaning must be given to "every part and word"]). Moreover, plaintiffs' alternative reading of the Wage Order is beside the point. "That [DOL's] interpretation might not be the most natural reading of the regulation, or that the regulation could be interpreted in another way, does not make the interpretation irrational" (*Matter of Elcor Health Servs. v Novello*, 100 NY2d 273, 280 [2003]).[5]

When it first adopted the Wage Order in 1960, DOL recognized the difficulty of defining hours worked for employees who are on call around-the-clock and the hardship imposed at setting a work day at 24 hours (NY St Dept of Labor, Report of the Industrial Commissioner upon the Promulgation of Minimum Wage Order No. 11 for Miscellaneous Industries and Occupations at 6 [Sept. 29, 1960]). Nevertheless, the realities of

5. The dissent rejects DOL's interpretation of "available for work," in part, because home health care aides "provid[e] 24-hour patient care without meaningful breaks" (dissenting op at 191; *see also* dissenting op at 197 [plaintiffs are entitled to "a day's wages for a day's work"]). This conclusion assumes plaintiffs' allegations are true. If defendants complied with DOL's guidance, then plaintiffs should have been paid the minimum wage for every hour worked and received the required sleep and meal breaks. If, as plaintiffs allege and the dissent apparently accepts, plaintiffs worked 24-hour shifts without "meaningful breaks," then, as DOL agrees, plaintiffs would be entitled to compensation for the entire 24-hour period. In fact, it is possible that a home health care aide may be paid for *more* hours than they actually work under DOL's interpretation. If an aide receives a modicum of sleep below the five-hour minimum and less than three hours of meal breaks, the employee must be paid for the full 24 hours. There is nothing irrational about this construction of the Wage Order, nor is it inconsistent with the plain language of the regulatory text.

the workplace are such that there are many industries and occupations where employees are assigned to 24-hour shifts. This is not a case where DOL has vacillated in its position, rendering its interpretation capricious or unmoored from the realities of workplace life. DOL's interpretation of the Wage Order language has been consistent for nearly five decades, during eight gubernatorial administrations and the tenure of 13 Commissioners of Labor, representing the same fair and studied judgment of officials throughout that time. DOL's position has been set forth and explained in its Investigator's Manual, DOL memoranda, and opinion letters, up to its recent March 2010 correspondence. As intended, this articulated position has informed and guided the industries that rely on 24-hour shift workers, including home health care services employers. This consistent interpretation is further support for this Court's deference to the DOL's reading of its own Wage Order (*see Barenboim v Starbucks Corp.*, 21 NY3d 460, 471 [2013]).[6]

Here, DOL explains that its interpretation is an attempt to apply the Wage Order's requirement that workers be paid for the time that they are "required to be available for work at a place prescribed by the employer" (12 NYCRR 142-2.1 [b]) with the realities of in-home health care aides who work 24-hour shifts. According to its brief in this Court, DOL has "concluded that an employee who enjoys genuine sleep and meal breaks consistent with the strict requirements of DOL's policy—i.e., regularly scheduled, substantially uninterrupted, work-free times to eat and sleep—is not meaningfully 'available for work' during those breaks, precisely because DOL's criteria are

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6. The dissent's contention that DOL's interpretation has " 'vacillated' dramatically" (dissenting op at 195) is unfounded. The substance of DOL's interpretation is that employees who work 24-hour shifts and receive bona fide, uninterrupted sleep and meal breaks are not "working" within the meaning of the Wage Order during those breaks, unless actually called upon to perform tasks. The dissent does not argue—because it cannot—that DOL has departed from this core understanding in any of the publications it has issued over the past 50 years. Instead, the dissent quibbles that DOL stated in 1972 that the exclusion only applies when sleep breaks are "bona fide" and "regularly scheduled" and "[a]dequate sleeping facilities" are "provided," but then explained 16 years later that, as a "rule of thumb," DOL considered 13 hours to be the " 'normal standard for working time' for home health care aides" (dissenting op at 195). Minor variations in DOL's articulation do not change the fact that DOL has never said that a home health care aide must be paid the minimum wage for every hour of a 24-hour shift in all circumstances. Instead, DOL has consistently maintained that home health care aides are not "available for work" within the meaning of the Wage Order during sleep and meal breaks, but must be compensated if called upon to work.

intended to identify breaks that are predictably and largely free from work interruptions." This echoes the position it took in its 2010 opinion letter, where DOL distinguished between employees who are "on call" and "considered to be working during all the hours that they are confined to the workplace including those hours in which they do not actually perform their duties" and those who are "subject to call," which includes "that time in which employees are permitted to leave the work room or workplace between work assignments to engage in personal pursuits and activities" (NY St Dept of Labor Op No. RO-09-0169 at 3 [Mar. 11, 2010]). DOL has concluded that

> "[i]n some cases, employees who are 'subject to call' may be restricted to a specified area, to be reachable by telephone or otherwise, to report to the work assignments within 15 to 30 minutes, etc. In cases in which an employee is 'subject to call,' working time starts when they are actually ordered to a specific assignment or at the time in which they perform work for the employer" (*id.*).

In adopting its interpretation, DOL "sought to protect . . . employees' ability to engage in a significant degree of personal activity during their breaks by imposing strict rules that employers must comply with if they wish to exclude such breaks from compensable time."

Moreover, DOL's interpretation of the Wage Order reflects its specialized knowledge of labor law's evolving application to domestic workers and the home health care industry (*see International Union of Painters*, 32 NY3d at 208-209; *Matter of KSLM-Columbus Apts., Inc. v New York State Div. of Hous. & Community Renewal*, 5 NY3d 303, 312 [2005]). It further reflects DOL's expertise in handling labor law violations and its historical efforts to ensure that its policies reflect the realities of the diverse industries and occupations over which it has administrative oversight. With respect to home health care aides, this interpretation of the Wage Order is supported by DOL's experience with the particularities of this occupation, where the needs of some patients allow for regularly scheduled work-free uninterrupted periods to sleep and eat. In other words, DOL has determined that a patient may need an aide on site around-the-clock without requiring adult care services for all 24 hours of the day. Indeed, defendants maintain that when a patient requires full-time attention and care, two home health care aides are, or ought to be, assigned to separate 12-

hour shifts. DOL's interpretation based on this industry reality is neither irrational nor unreasonable.

DOL's interpretation also reflects the Commissioner's interest in conforming state and federal guidance on the proper calculation of compensable hours. Interpreting the Wage Order to exclude sleep and eating breaks in a 24-hour shift, on the presumption that the employer will in fact structure the work assignment to provide such time for a home health care aide, harmonizes with the federal approach. It is neither unreasonable nor irrational for DOL to interpret its Wage Order in a manner that reduces administrative burdens, such as dual-sovereign reporting and wage payment requirements, and also has the added benefit of avoiding intergovernmental conflict.[7]

Plaintiffs unpersuasively argue that DOL's interpretation is a misapplication of the residential exception set forth in the Wage Order. Contrary to plaintiffs' suggestion, the Wage Order's treatment of residential employees is not an exception or a particularized carve-out (which creates nothing more than a general exception) (*see e.g. Mullen v Zoebe, Inc.*, 86 NY2d 135, 142 [1995]). The Wage Order does not exclude residential employees from coverage, but rather, subjects these workers to a particular interpretation of compensable hours, grounded in DOL's knowledge and experience with this type of work. Nor do plaintiffs argue that a home health care aide working a 24-hour shift who does not live in the employer's residence is a residential employee for purposes of the Wage Order (*Matter of Settlement Home Care v Industrial Bd. of Appeals of Dept. of Labor of State of N.Y.*, 151 AD2d 580, 581 [2d Dept 1989]). Instead, such an employee is covered under the remaining language of the Wage Order, language which DOL applies to an employee assigned to a 24-hour shift. Nothing in the Wage Order language precludes DOL from interpreting the remainder of the provision and, specifically, the "available for work" language, as implementing a similar approach to compensable hours for nonresidential home health care employees working 24-hour shifts. Moreover, there is nothing unreasonable or ir-

7. The dissent is mistaken that the Court "seeks to emulate" the federal regulatory scheme (dissenting op at 194). The Court is not emulating or adopting any particular approach. Instead, we have applied our well-established jurisprudence to defer to DOL's interpretation because it is neither irrational nor unreasonable and is not contrary to the regulatory text. However, as explained above, we cannot see how it would be irrational or unreasonable for DOL to track the federal approach with respect to sleep and meal breaks for employees who work 24-hour shifts.

rational about recognizing the similarities and dissimilarities between residential and nonresidential employees to reach the conclusion that a home health care aide assigned to a 24-hour shift should have significant amounts of regularly scheduled work-free periods.[8]

Plaintiffs' argument is essentially a claim that DOL must issue a separate wage order for home health care aides. Although courts must ensure that administrative entities comply with their statutory, regulatory, and the State Administrative Procedure Act requirements in exercising their legislatively delegated powers, DOL's highly fact-specific, industry-specific interpretation of its own Wage Order is a far cry from the "fixed, general principle to be applied by an administrative agency without regard to other facts and circumstances relevant to the regulatory scheme of the statute it administers" that requires a separate rulemaking under the State Administrative Procedure Act (*Matter of Roman Catholic Diocese of Albany v New York State Dept. of Health*, 66 NY2d 948, 951 [1985]). Apart from the fact that DOL complied with procedural requirements when it promulgated the Wage Order, and plaintiffs do not argue to the contrary, plaintiffs' interpretation devolves to a requirement that DOL issue individualized wage orders for each of the numerous occupations across a variety of industries for which it has administrative responsibility. Plaintiffs' approach is in contravention of the Act's requirement of periodic publication of Wage Orders, is unworkable in practice and ignores DOL's administrative knowledge of how best to address the common concerns that arise for 24-hour shift workers.[9]

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8. The dissent argues that the residential employee provision "expressly exclude[s]" such employees' sleeping hours, and so "it must follow" that sleep time is otherwise compensable under the Wage Order (dissenting op at 189-190). This analysis is fundamentally flawed. Contrary to the dissent's claim, the clause does not "expressly exclude[ ]" a residential employee's sleeping hours from compensable time. Rather, it clarifies that sleeping hours "shall not be deemed" work hours "*solely because* [the employee] is required to be on call during such hours" (12 NYCRR 142-2.1 [b] [1] [emphasis added]). The dissent contends that this language indicates that sleep time for all other employees "*should* be compensated *solely because* they are on call" (dissenting op at 190). However, the Wage Order's text does not compel that interpretation, and DOL has reasonably determined that home health care aides are not "on call" when asleep and certain conditions are satisfied.

9. The dissent appears to embrace this position, concluding that deference to DOL's interpretation allows the agency to "circumvent statutory

(n. cont'd)

Significantly, DOL's interpretation is congruent with the enforcement provisions of the Labor Law, which authorize private and regulatory enforcement actions for wage theft and other minimum wage law violations as a means to hold an employer accountable for abuse and exploitation of its workers (Labor Law § 663 [1]-[2]). DOL has determined that it can avoid exploitation of these employees by interpreting its Wage Order to mandate a substantive period for sleep and meals to directly benefit the employee. The employer must pay when the employee is interrupted during these breaks for any time worked and must pay for the entire break when the employee does not receive the requisite hours of sleep and meal breaks. In other words, when the employee is able to take the prescribed eight hours of sleep and three hours of meal breaks, the home health care aide is paid for working the remaining time of the 24-hour shift—13 hours. If, in fact, the aide does not receive the minimum break time because the patient needs assistance, the aide is paid for 24 hours of work time. As DOL confirms, failure to provide a home health care aide with the minimum sleep and meal times required under DOL's interpretation of the Wage Order is a "hair trigger" that immediately makes the employer liable for paying every hour of the 24-hour shift, not just the actual hours worked. Thus, even if a home health care aide sleeps without interruption for four hours and 59 minutes, but is not able to obtain five full hours of sleep, DOL mandates the employer pay for the entire eight hours allotted for sleep. This is not inconsistent with interpreting the Wage Order's mandate as requiring an employee be paid for when they are intended to be available for work, and there is nothing unreasonable or irrational about interpreting "available for work" in this way. Indeed, under DOL's interpretation of the Wage Order, a home health care aide is paid for every hour during which patient care is actually provided.

While we ultimately conclude that the Appellate Division failed to afford adequate deference to DOL's interpretation of

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safeguards in favor of 'interpretations' " (dissenting op at 194). The dissent's position is unprecedented and would upset established administrative law doctrine. Issuing interpretative guidance is a critical aspect of an agency's role, allowing regulated entities to understand how the law applies to their unique and varied circumstances. As noted above, the Wage Order was duly promulgated pursuant to the State Administrative Procedure Act. To require DOL to issue a separate regulation for every circumstance facing every profession is not required under the State Administrative Procedure Act and would impose staggering burdens on the State's administrative agencies.

the Wage Order, we do not ignore plaintiffs' and amici's claims that a vulnerable population of workers is being mistreated. Plaintiffs' allegations are disturbing and paint a picture of rampant and unchecked years-long exploitation. Plaintiffs allege, among other things, that they rarely received required sleep and meal time during 24-hour shifts, were expected and required to attend to patients numerous times each night, and that defendants failed to track actual hours worked or make a serious effort to ensure adequate sleep and meal times, as required by law. In concluding that DOL's interpretation of the Wage Order is rational, we express no opinion on the ultimate merits of plaintiffs' claims. Moreover, to the extent plaintiffs' allegations suggest current enforcement priorities and methods are inadequate, it is for DOL and the legislature, not this Court, to consider whether the sleep and mealtime exemption is a viable methodology to ensure employer compliance with the law and proper wage payment in the case of home health care aides.

IV.

Class Certification

Defendants in both appeals argue that, assuming we defer to DOL's interpretation of the Wage Order, individual issues preclude class certification.[10] According to defendants, because each putative class member's claim is fact-specific and turns on whether the home health care aide received the requisite number of uninterrupted sleep and meal hours, plaintiffs may not offer generalized proof on a class-wide basis. While we do not pass on the ultimate merits of plaintiffs' class certification motions, we observe that New York's statutory class certification provisions are to be liberally construed (*City of New York v Maul*, 14 NY3d 499, 509 [2010]; Sponsor's Mem at 1, Bill Jacket, L 1975, ch 207 [article 9 was intended to replace New York's prior "restrictive" class action rules which "fail(ed) to accommodate pressing needs for an effective, flexible and balanced group remedy"]). CPLR article 9 recognizes that certain

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10. The *Andryeyeva* defendants apparently concede that if we adopt plaintiffs' interpretation of the Wage Order, there is no statutory or factual impediment to class certification. The *Moreno* defendants contend that, regardless of whether the Court adopts DOL's interpretation, plaintiffs failed to offer sufficient evidence to satisfy the numerosity, commonality, or typicality requirements.

claims are unlikely to be litigated because the costs of individual cases outweigh the possible damages, thus making those cases unattractive to the private bar and resource-strapped government and nonprofit entities (*see Sperry v Crompton Corp.*, 8 NY3d 204, 213 [2007] ["class actions are designed in large part to incentivize plaintiffs to sue when the economic benefit would otherwise be too small, particularly when taking into account the court costs and attorneys' fees typically incurred"]; Letter from Stanley Fink, June 2, 1975, Bill Jacket, L 1975, ch 207 ["(article 9) will enable persons similarly aggrieved to enforce existing substantive rights, which presently go without redress solely because of the financial impracticability of financing individual suits"]; 82 NY Jur 2d, Parties § 254 ["The statutory criteria governing the permissibility of class actions should be liberally construed so as to allow for the adjudication of claims that would not be economically litigable except by means of a class action"]).

Plaintiffs allege, and claim there is evidence of, defendants' systemic violations of the Wage Order and Labor Law, such as defendants' failure to adequately compensate home health care aides when they did not receive the minimum time for sleep and meal breaks during their 24-hour shifts, maintain adequate records of, or compensate for, the hours actually worked, and provide appropriate sleep facilities. Claims of uniform systemwide violations are particularly appropriate for class certification (*see e.g. Maul*, 14 NY3d at 513-514). Indeed, plaintiffs' allegations suggest a policy or practice of unlawful action of the type our courts have previously found ripe for class treatment (*see id.* at 513 [affirming certification of a class challenging "a de facto policy followed by (a city agency) of delaying the receipt of services as a result of its practices"]; Labor Law § 661; 12 NYCRR 142-2.6 [a] [4] [requiring employers to maintain records of "the number of hours worked daily and weekly"]). DOL maintains that if plaintiffs establish prima facie that defendants failed to comply with Labor Law and regulatory record keeping requirements that the burden would shift to defendants to establish they maintained the required work records, serving as another basis for class certification. We do not reach the underlying legal question raised by DOL's argument, but note only that assertion of these types of common questions may be considered by the courts in determining whether class certification is appropriate.

[2] Conversely, the fact that damages may vary by class member does not per se foreclose class certification. As we have explained,

> "the legislature enacted CPLR 901 (a) with a specific allowance for class actions in cases where damages differed among the plaintiffs, stating 'the amount of damages suffered by each class member typically varies from individual to individual, but that fact will not prevent the suit from going forward as a class action if the important legal or factual issues involving liability are common to the class' " (*Borden v 400 E. 55th St. Assoc., L.P.*, 24 NY3d 382, 399 [2014], quoting Mem of St Consumer Protection Bd at 3, Bill Jacket, L 1975, ch 207).

A difference in damage awards is an insufficient basis to deny certification as a matter of law where the class may rely on representative evidence of the class-wide violations (*see id.*).[11]

Given the posture of these appeals—where the Appellate Division determined that class certification was appropriate under its erroneous interpretation of the Wage Order—we may not consider unaddressed or alternative grounds proffered for class certification. The courts below are charged with that task in the first instance and therefore we remit for that determination.

V.

For the reasons discussed, the Appellate Division orders should be reversed and the matters remitted to permit the courts below to evaluate the issues in accordance with DOL's interpretation of the Wage Order and to consider alternative bases for class certification. In *Andryeyeva*, because Supreme Court certified the class upon finding that DOL's interpretation did not apply to plaintiffs, and the Appellate Division affirmed, neither court reached the issue of whether class certification is otherwise warranted. Accordingly, in *Andryeyeva*, the Appellate Division order should be reversed, with costs, the matter remitted to Supreme Court for further proceedings in accordance with this decision, and the certified question

11. The *Andryeyeva* defendants' argument that Andryeyeva's disavowal of liquidated damages was an insufficient waiver on behalf of the class is without merit as she clearly stated she was waiving the liquidated damages claim in order to pursue the matter as a class action (*see Borden*, 24 NY3d at 394).

answered in the negative. In *Moreno*, Supreme Court considered all of plaintiffs' alternative bases for class certification under DOL's interpretation of the Wage Order and the Appellate Division reversed based on that court's rejection of DOL's interpretation of the Wage Order. Accordingly, in *Moreno*, the Appellate Division order, insofar as appealed from, should be reversed, with costs, the matter remitted to the Appellate Division for further proceedings in accordance with this decision, and the certified question answered in the negative.

GARCIA, J. (dissenting). Workers are entitled to a minimum wage for each hour worked (Labor Law § 652 [1]). Today, the majority defers to a New York State Department of Labor (DOL) interpretation of a wage order, allowing home health care aides to be paid an hourly rate less than minimum wage. That result is not only unfair, it is completely at odds with the plain text of the wage order. Accordingly, I dissent.

I.

The Minimum Wage Act, first enacted in 1937, was designed to address the financial hardship faced by those receiving "wages insufficient to provide adequate maintenance for themselves and their families" (Labor Law § 650). Payment of insufficient wages, the legislature noted, "threatens the health and well-being" of our State's workers (*id.*). In enacting the Minimum Wage Act, the legislature sought to provide relief "as rapidly as practicable without substantially curtailing opportunities for employment or earning power" (*id.*). Minimum wage standards are vital to accomplishing that goal (*id.*; *see West Coast Hotel Co. v Parrish*, 300 US 379, 398-399 [1937] ["minimum wage requirements" prevent "the exploiting of workers at wages so low as to be insufficient to meet the bare cost of living"]). Given these important policy objectives, and the careful balancing critical to setting a minimum wage, the Minimum Wage Act sets forth a detailed procedure for issuing wage orders—one that mandates transparency and the inclusion of various affected stakeholders (*see* Labor Law §§ 655-659).

As a first step, the Commissioner must convene and appoint a "wage board . . . composed of not more than three representatives of employers, an equal number of representatives of employees[,] and an equal number of persons selected from the general public" (Labor Law § 655 [1]). The wage board has extensive authority. It has the power to "conduct public hearings," "consult with employers and employees," issue subpoenas for "testimony . . . [and] books, records, and other evidence," and "cause depositions" (Labor Law § 655 [3]). The wage board's end goal is, with the approval of a "majority of all its members," to "submit to the [C]ommissioner a report, including its recommendations as to minimum wages" in certain occupations (Labor Law § 655 [4]).

The wage board's submission of a report is followed by continued dialogue and consultation. The Commissioner is statutorily obligated to "publish a notice" of the report and to receive "objections to the report and recommendations" (Labor Law § 656). The Commissioner may then "accept . . . the board's report and recommendations"—potentially with modifications—or "reject" them (Labor Law § 656). If the board's report and recommendations are accepted, "[t]he Commissioner . . . thereafter issues a wage order setting a minimum wage in a specific occupation" (*Matter of National Rest. Assn. v Commissioner of Labor*, 141 AD3d 185, 192 [3d Dept 2016]). The statute also contemplates further amendments; after the wage order "has been in effect for six months or more," the same wage board may be "reconvene[d]" by the Commissioner or on a "petition of fifty or more residents . . . in or affected by" the covered occupations (Labor Law § 659 [1]). "Any minimum wage order . . . issued by the [C]ommissioner . . . shall, unless appealed from . . . be final" (Labor Law § 657 [1]).

This exhaustive process complies, as it must, with the strictures of the State Administrative Procedure Act (*see* majority op at 164-165). The State Administrative Procedure Act was formulated "[a]fter years of study . . . to guarantee that the actions of administrative agencies conform to uniform, sound and equitable standards" (*Matter of Cortlandt Nursing Home v Axelrod*, 66 NY2d 169, 177 [1985]). Among other things, the State Administrative Procedure Act "outlines uniform administrative procedures that State agencies must follow in their rule making, adjudicatory and licensing processes" (*Matter of Industrial Liaison Comm. of Niagara Falls Area Chamber of Commerce v Williams*, 72 NY2d 137, 144 [1988]).

DOL's Minimum Wage Order Number 11 for Miscellaneous Industries and Occupations (the Wage Order) was passed in 1960 in accordance with the procedures required by the State Administrative Procedure Act and the Minimum Wage Act (*see* 12 NYCRR 142-2.14; *see also* NY St Department of Labor, Report of the Industrial Commissioner Upon the Promulgation of Minimum Wage Order No. 11 for Miscellaneous Industries and Occupations 1 [Sept. 29, 1960]). In relevant part, the Wage Order provides:

> "The minimum wage shall be paid for the time an employee is permitted to work, or is required to be available for work at a place prescribed by the employer, and shall include time spent in traveling to the extent that such traveling is part of the duties of the employee. However, a residential employee—one who lives on the premises of the employer—shall not be deemed to be permitted to work or required to be available for work:
>
> "(1) during [the employee's] normal sleeping hours solely because [they are] required to be on call during such hours; or
>
> "(2) at any other time when [the employee] is free to leave the place of employment" (12 NYCRR 142-2.1 [b]).

As relevant here, the Wage Order mandates minimum wage compensation whenever an employee is "available for work at a place prescribed by the employer" (12 NYCRR 142-2.1 [b]). The Wage Order contains only one exception—applicable only to residential employees—permitting employers to deduct certain hours of pay that would otherwise be compensable.

II.

Plaintiffs are nonresidential home health care aides who work 24-hour shifts. During each shift, home health care aides are required to be present in the patient's home for the full 24-hour period (majority op at 169). They assist with a variety of tasks integral to a patient's daily functioning: "cooking, feeding, bathing, housework, using the restroom, and changing diapers" (majority op at 169). According to plaintiffs' allegations, home health care aides routinely do not receive meal breaks or adequate time for uninterrupted sleep, as their patients require assistance throughout the shift. As one employer's orientation manual states: "Patients are never to be left alone!" Plaintiffs further allege that defendants failed to record when (or even whether) plaintiffs took sleep and meal breaks, making it impossible to reconstruct their actual hours of work.

All agree that the Wage Order applies to plaintiffs in this case, and that plaintiffs do not fall within the Wage Order's "residential employee" exception (*see* majority op at 180). Though home health care aides are nowhere excepted from minimum wage requirements, DOL nonetheless contends that the Wage Order should be interpreted to exclude 11 hours of each plaintiff's work day: eight hours for "sleep time" and three hours for "mealtime." Specifically, DOL argues that the phrase "available for work at a place prescribed by the employer" imposes two distinct requirements—"available for work" and "at a place prescribed by the employer"—such that physical presence on the premises is, by itself, inadequate for an employee to be deemed "available for work" (majority op at 176-177). In other words, DOL contends that, for nonresidential employees like plaintiffs, the Wage Order should be interpreted to require both "presence and an availability during a time scheduled for actual work" (majority op at 176). Applying that interpretation, DOL asserts that home health care aides are not technically "available for work" during "sleep time" and "mealtime," and therefore they need not be paid for those periods.

DOL (and the majority) may be correct that the Wage Order's "available for work" requirement entails more than physical presence at a place prescribed by the employer (majority op at 176). Unlike mere presence, the notion of availability implies that an employee is "ready, willing, and able to" take on work (Black's Law Dictionary [10th ed 2014], available for work). Thus, an employee might not be "available for work" at a time when, for instance, the employee cannot be reached, or is otherwise guaranteed to remain undisturbed. Plaintiffs, then, must be both present and "available for work"—not merely present—to be entitled to minimum wage compensation.

But DOL (and the majority) *cannot* be correct that plaintiffs' sleep time may be excluded from their wages. Under the Wage Order's single exception—not applicable to plaintiffs—residential employees' "sleeping hours" are expressly excluded from the time they are considered "available for work," thereby allowing employers to deduct those hours of pay. By providing that, for residential employees, sleep hours *do not* constitute time the employee is "available for work," the exception signifies that, for all other employees, sleep hours *do* constitute time they are "available for work"—and, accordingly, must be paid (*Walker v Town of Hempstead*, 84 NY2d 360, 366-367 [1994] [noting that it is "not . . . necessary" to provide exceptions to a general term if they "fall within the preceding general proscription"]; McKinney's Cons Law of NY, Book 1, Statutes § 213 [noting that an exception encapsulates items that would "otherwise . . . fall within (the) scope" of a term]; 82 CJS, Statutes § 505 [noting that an exception operates to "remov(e) something . . . which would otherwise be within" the clause to which it applies]). Put differently, because residential employees' sleep hours are specifically excluded from compensable time, it must follow that sleep hours would otherwise constitute time for which the employee must be compensated; if sleep time did not fall within "available for work" time, there would be no need to expressly exclude it. Accordingly, while the "available for work" requirement might demand more than physical presence—for instance, prompt readiness or accessibility—it *cannot* exclude "sleeping hours" for nonresidential employees.

The majority asserts that the "residential employee" exception does not "exclude" sleeping hours from compensable time, but rather serves only to "clarif[y] that sleeping hours shall not be deemed work hours *solely because* the employee is required to be on call during such hours" (majority op at 181 n 8 [quotation marks, brackets, and citation omitted]). Whether called an "exception" or a "clarification," the provision's import is the same: In specifying that a residential employee's sleeping hours should *not* be compensated *solely because* the employee is on call, the provision signifies that—for all other employees—sleeping hours *should* be compensated *solely because* they are on call.

By distinguishing residential from nonresidential employees in this way, the Wage Order reflects the policies of dignity and fairness advanced by the Minimum Wage Act. Residential employees, by definition, have living quarters on the premises and are provided regular periods of rest. "In the ordinary course of events," a residential employee "has a normal night's sleep, has ample time in which to eat his meals, and has a certain amount of time for relaxation and entirely private pursuits," and "the employee may be free to come and go during certain periods" (US Dept of Labor, Interpretative Bulletin No. 13, Hours Worked: Determination of Hours for Which Employees are Entitled to Compensation under the Fair Labor Standards Act of 1938 at 4 [July 1939]). Recognizing this unique arrangement, the Wage Order permits employers to deduct a residential employee's "sleeping hours," as well as time when the employee is "free to leave the place of employment" (12 NYCRR 142-2.1 [b]).

Those presumptions of ample free time and private pursuits do *not* apply to nonresidential home health care aides, who "do challenging labor, at all hours of the day and night" (majority op at 168; brief of NY St Dept of Labor at 29 ["To be sure, even during their sleep and meal breaks, employees working twenty-four hour shifts are not truly free from their employment—for example, they are generally not free to leave their employers' premises, and are expected to respond if called back to work"]). Unlike residential employees, who reside in their workplace, home health care aides report for a 24-hour shift, often remaining available from beginning to end. Given the nature of a home health care aide's work—providing 24-hour patient care without meaningful breaks—the Wage Order sensibly excludes them from the "residential employee" exception and its corresponding compensation deductions. In the context of "sleeping hours," the Wage Order recognizes that home health care aides remain on call (i.e., "available for work") even during those hours designated for sleep.[1]

Under the plain terms of the Wage Order, for nonresidential employees like plaintiffs—who remain consistently "available for work," even during sleeping hours—sleep time cannot be deducted from their pay. DOL's contrary reading is expressly belied by the text of the regulation, and therefore warrants no deference (*see Matter of Visiting Nurse Serv. of N.Y. Home Care v New York State Dept. of Health*, 5 NY3d 499, 506 [2005]; *Matter of Albano v Board of Trustees of N.Y. City Fire Dept., Art. II Pension Fund*, 98 NY2d 548, 553 [2002]; *Matter of Raritan Dev. Corp. v Silva*, 91 NY2d 98, 100 [1997]).

III.

Casting aside the plain text of the Wage Order, the majority defers to DOL's incompatible reading. Not only does that holding impose a new and problematic standard for agency deference, it enables DOL to circumvent statutory promulgation procedures in favor of an informal and erratic process replete with inconsistency. Worst of all, DOL's interpretation, now adopted by the majority, will have profound and far-reaching ramifications for a vulnerable and often mistreated workforce.

1. Whether a home health care aide is in fact called upon to perform services during "sleeping hours" does not determine whether the aide is, in the plain meaning of the term, "available for work."

A.

Under the guise of deference, the majority adopts a construction of the Wage Order that runs contrary to the regulation's text. Deference is unwarranted, however, where an agency's interpretation is "irrational or unreasonable" (*Matter of Howard v Wyman*, 28 NY2d 434, 438 [1971]) or, in other words, unsupported by the regulation's plain text (*Visiting Nurse Serv.*, 5 NY3d at 506). While we will defer to "a rational interpretation that [is] not inconsistent with the plain language" (*James Sq. Assoc. LP v Mullen*, 21 NY3d 233, 251 [2013]), we have never elevated deference over clear, unambiguous text.

Rather, as we have repeatedly emphasized, plain language must control over an inconsistent agency interpretation (*see Raritan Dev. Corp.*, 91 NY2d at 100 [noting our "long-established rule" that we "decline( ) to enforce" an agency interpretation that is "contrary to the plain meaning" of the relevant "language"]). We have therefore declined to "embrace a regulatory construction that conflicts with the plain meaning of the promulgated language" (*Visiting Nurse Serv.*, 5 NY3d at 506). Indeed, where "the question is one of pure legal interpretation of statutory terms," we have held that "deference to the [agency] is not required" altogether (*Matter of Toys "R" Us v Silva*, 89 NY2d 411, 419 [1996]). Because pure interpretation is the "function" of the courts, we have reasoned that there is "little basis to rely on any special competence or expertise of the administrative agency" (*Matter of Albano v Board of Trustees of N.Y. City Fire Dept., Art. II Pension Fund*, 98 NY2d 548, 553 [2002]).

According to the majority, however, deference to DOL is warranted because, "having authored the promulgated text and exercised its legislatively delegated authority in interpreting it, the agency is best positioned to accurately describe the intent and construction of its chosen language" (majority op at 174). That is not, and has never been, a basis for deference at the expense of plain text.[2] The majority's novel standard elevates DOL's construction over the text of the Wage Order, suggesting that deference is warranted simply because DOL itself promulgated the regulation (majority op at 174-175). Of course, *every* agency interpreting its own regulation will satisfy

2. Nor is that approach condoned by *Matter of Peckham v Calogero* (12 NY3d 424 [2009]), the authority on which the majority relies (majority op at 174).

the majority's negligible standard, even if the agency's construction is irrational or defied by the regulation's plain language. Such a toothless standard—deferring to an agency's construction of a regulation solely because the agency wrote it—not only distorts our principles of deference, it abandons the Court's role as the proper authority on matters of textual construction.

B.

DOL's atextual construction warrants particularly exacting scrutiny in light of the extensive, collaborative process by which wage orders must be created. The Minimum Wage Act establishes detailed procedures, involving research, consultation, public hearings, notice, and input from various stakeholders. The transparency and delicate balancing that typify this process assure "fair and studied consideration" (majority op at 175), and ensure that each wage order furthers the critical policy goals underlying the Minimum Wage Act.

Rather than codify rules through the processes required by statute—mandating public notice, hearings, and comments—DOL opts to promulgate revised wage orders "under the guise of interpreting a regulation" (*Christensen v Harris County*, 529 US 576, 588 [2000]; *see also Talk America, Inc. v Michigan Bell Telephone Co.*, 564 US 50, 69 [2011, Scalia, J., concurring] [allowing an agency "to do what it pleases" with an existing regulation "frustrates the notice and predictability purposes of rulemaking, and promotes arbitrary government"]; *Axelrod*, 66 NY2d at 177 [the State Administrative Procedure Act was designed to "guarantee that the actions of administrative agencies conform to uniform, sound and equitable standards"]). For instance, in support of its most recent interpretation of the Wage Order, DOL relies heavily on a 2010 opinion letter issued in response to the query of an undisclosed recipient. The opinion letter, signed only by an associate attorney at DOL, inserts a new exception into the Wage Order for "live-in, non-residential employees," permitting employers to compensate them for only 13 hours of each 24-hour shift (majority op at 166). Presumably, that opinion letter was never considered by the members of the wage board. It was never reviewed in consultation with affected employers or employees. And it certainly was never the subject of public notice or comment. Yet DOL contends that its opinion letter constitutes an "official statement[ ]" embodying the "general policy towards compensable work for 24-hour shift employees" (majority op at 167), irrespective of its consistency with the Wage Order's text. Such informal and unchecked modifications—through opinion letters, agency manuals, and other documents—enable DOL to circumvent statutory safeguards in favor of "interpretations" carrying the force of a duly promulgated regulation. And by issuing interpretations untethered to the Wage Order's text, DOL undermines the collective outcome of a comprehensive, statutorily-mandated process.

The majority predicts "staggering burdens" if DOL were forced to issue a separate regulation (majority op at 182 n 9). But the federal government's scheme—which the majority seeks to emulate (majority op at 180)—has done just that. In lieu of ever-changing "interpretations," the federal Department of Labor employs detailed, duly promulgated provisions aimed at implementing clear, codified rules (*see* 20 Fed Reg 9963, 9965 [Dec. 24, 1955]). For instance, unlike the Wage Order, the relevant federal provisions expressly carve out exceptions for "employee[s] . . . required to be on duty for 24 hours or more" (20 Fed Reg at 9965; *see also* 29 CFR 785.22). For that category of employees, "the employer and employee may agree to exclude bona fide meal periods and a bona fide regularly scheduled sleeping period of not more than eight hours from hours worked provided adequate sleeping facilities are furnished" (20 Fed Reg at 9965; *see also* 29 CFR 785.22). And for "[e]mployees residing on employer's premises," any "reasonable agreement of the parties which takes into consideration all of the pertinent facts will be accepted" (20 Fed Reg at 9965 [emphasis omitted]; *see also* 29 CFR 785.23).

If DOL prefers an alternative compensation scheme—so as to dock 11 hours of plaintiffs' pay—it should amend the Wage Order in accordance with statutory procedure. While a "separate regulation" is not required "for *every* circumstance" (majority op at 182 n 9 [emphasis added]), it *is* required for those instances involving dramatic pay cuts that are directly precluded by existing regulations. DOL itself apparently recognizes the importance of the promulgation process in adopting exceptions to minimum wage requirements; DOL saw fit to codify the "residential employee" provision before implementing those pay exclusions. Given the devastating impact of DOL's "interpretation"—imposing substantive changes and substantial pay cuts—compliance with formal promulgation procedures is hardly an unreasonable requirement. Any "burdens" that may result (majority op at 182 n 9) are in place by design: the Minimum Wage Act requires a comprehensive and transparent process in order to ensure a balanced and fair result for our State's employees.

As this case bluntly demonstrates, agency regulations carry the force of law; they "frequently play a more direct role than statutes in defining the public's legal rights and obligations" (John F. Manning, *Constitutional Structure and Judicial Deference to Agency Interpretations of Agency Rules*, 96 Colum L Rev 612, 614-615 [1996]). DOL's "experience with the particularities of this occupation" might well provide a basis for modifying the existing regulatory regime (majority op at 179). It does not, however, permit DOL to unilaterally impose an entirely new wage order.

C.

Seeing no issue with DOL's evasion, the majority asserts that deference is further warranted because, "for . . . five decades," DOL has not "vacillated in its position" (majority op at 178). Even if a long-standing, uniform construction could supersede plain text, DOL has not exhibited the consistency or clarity that the majority describes. Rather, DOL has been consistent on one and only one position: nonresidential home health care aides may be paid for fewer hours than their shift requires. The interpretations that DOL has adopted to achieve that result have "vacillated" dramatically.

In a 1972 version of DOL's enforcement manual, investigators were told that, to discount a home health care aide's working hours, a "bona fide, regularly scheduled 'sleeping period' " must be established, and "[t]he employer and the employee [must] agree to exclude" those hours from "working time" (brief for NY St Dept of Labor at ADD91). The 1972 manual also stated that, in order to exclude an aide's sleeping period, "[a]dequate sleeping facilities" must be "provided" to the employee (*id.*). That guidance was relatively short-lived. In a 1988 opinion letter issued by the Supervisor for the Administrative Services Unit, DOL moved to a "rule of thumb" that fixed "13 hours as the normal standard for working time" for home health care aides (brief for NY St Dept of Labor at ADD134). A bona fide, regularly scheduled sleeping period was no longer required. An agreement between employer and employee was no longer required. And adequate sleeping facilities were no longer required.

DOL shifted yet again in 1995. That year, DOL Counsel's Office issued an opinion letter explicitly distinguishing between "live-in home health aides" and "non-live-in home health aides" (brief for NY St Dept of Labor at ADD139-140). For "non-live-in home health aides," the opinion letter established that only "time actually afforded for sleeping and eating" may be excluded from pay. The 13-hour "rule of thumb," however, no longer applied. Three years later, in 1998, the Commissioner issued another opinion letter returning to the 1988 rule (brief for NY St Dept of Labor at ADD148-149). Four years after that, in 2002, DOL Counsel's Office reverted back to the 1972 scheme, requiring an agreed-upon sleeping period and adequate sleeping facilitates (brief for NY St Dept of Labor at ADD150). Eventually, in opinion letters sent to various recipients in 2009 and 2010, DOL swung back to its "rule of thumb" (brief for NY St Dept of Labor at ADD153-160).

Far from "consistently interpret[ing] the Wage Order" (majority op at 167), DOL has adopted varying and even conflicting interpretations of the very same text. These so-called "[m]inor variations" (majority op at 178 n 6) have very real effects on plaintiffs' lives: they make the difference between adequate sleeping facilities (or not), an agreed-upon schedule (or not), and a livable wage (or not). In light of the profound impact on plaintiffs' daily lives, they are certainly entitled to "quibble[ ]" (majority op at 178 n 6) over these meaningful departures from their governing wage order.

IV.

As the majority notes, home health care aides "care for some of the most vulnerable members of our society, doing work essential to the survival of their patients" (majority op at 168). These employees are "predominantly composed of women and recent immigrants" (majority op at 168), and comprise a workforce that is "easily exploited and vulnerable to various forms of wage abuse" (majority op at 168). Plaintiffs allegations in this case are "disturbing" to say the least, and "paint a picture of rampant and unchecked years-long exploitation" (majority op at 183). DOL's interpretation of the Wage Order not only enables this mistreatment of home health care aides, it directly affects their livelihood: with 11 hours of pay deducted from their earnings, home health care aides are paid an hourly rate less than the statewide minimum wage. Rather than hold DOL accountable, the majority defers.

In lieu of relief, the majority instructs plaintiffs to go back and seek class certification—which may ultimately be denied—so they might retroactively recover pay for years-old violations of DOL's sleep and meal rules (majority op at 183-185). It is little consolation to afford plaintiffs merely a chance to win what they have already earned: a day's wages for a day's work.

In *Andryeyeva v New York Health Care, Inc.*: Order reversed, with costs, matter remitted to Supreme Court, Kings County, for further proceedings in accordance with the opinion herein and certified question answered in the negative.

Opinion by Judge RIVERA. Chief Judge DIFIORE and Judges STEIN, WILSON and FEINMAN concur. Judge GARCIA dissents and votes to affirm in an opinion in which Judge FAHEY concurs.

In *Moreno v Future Health Care Servs.*: Order, insofar as appealed from, reversed, with costs, matter remitted to the Appellate Division, Second Department, for further proceedings in accordance with the opinion herein and certified question answered in the negative.

Opinion by Judge RIVERA. Chief Judge DIFIORE and Judges STEIN, WILSON and FEINMAN concur. Judge GARCIA dissents and votes to affirm in an opinion in which Judge FAHEY concurs.

[124 NE3d 189, 100 NYS3d 639]

In the Matter of SAVE AMERICA'S CLOCKS, INC., et al., Respondents, v CITY OF NEW YORK et al., Appellants.

Argued February 13, 2019; decided March 28, 2019

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered November 30, 2017. The Appellate Division, with two Justices dissenting, affirmed an order and judgment (one paper) of the Supreme Court, New York County (Lynn R. Kotler, J.), entered in a proceeding pursuant to CPLR article 78, which had (1) granted to the extent reflected in that court's decision (op 52 Misc 3d 282 [2016]) the CPLR article 78 proceeding which, among other things, challenged respondent New York City Landmarks Preservation Commission's (Commission) determination which, after a hearing, had granted respondent Civic Center Community Group Broadway LLC (owner) a certificate of appropriateness (COA) to allow the owner to perform certain work on its building (Landmark Premises); (2) annulled the COA to the extent reflected in its decision; (3) adjudged that there was no rational basis for the Commission to permit work to be performed which would eliminate public access to a designated New York City interior landmark; (4) adjudged that the Commission's decision to permit conversion of the mechanical clock housed in the Landmark Premises (Clock) into an electrical clock was effected by a mistake of law; (5) adjudged that the Commission "does have the power to require that the Clock be maintained mechanically"; (6) adjudged that the internal mechanism by which the Clock operates is a significant portion of the Clock itself and, since the Commission can issue a violation for its removal or alteration, the legislature intended to give the Commission the power to compel the owner to maintain the Clock's mechanical operation; (7) adjudged that the New York City Landmarks Preservation Law vests the Commission with the power and the ability to direct an owner of an interior landmarked property to maintain public access, "since public access is a specific characteristic of an interior landmark"; (8) declared that "the Commission has the power to require respondents to keep the tower clock operable and mechanical and available to be wound, service[d] and maintained, and to keep the Clock Tower open to the public"; (9) ordered and adjudged that the petition was thus granted to the

extent that the COA was "vacated and annulled in its entirety to the extent that it would have allowed: (a) work inside the Clock tower Suite of the Landmark Premises that would have completely eliminated public access to the Clock tower Suite; and (b) work that would have converted the Clock located in the Clock tower Suite of the Landmark Premises from a mechanical to an electrical system of operation"; and (10) ordered that petitioners' remaining requests for relief were moot or otherwise denied in accordance with its decision.

Matter of Save America's Clocks, Inc. v City of New York, 157 AD3d 133, reversed.

HEADNOTE

Municipal Corporations — Landmarks — Authority to Regulate Interior Landmarks — Mechanical Clocktower

A determination of the New York City Landmarks Preservation Commission (LPC) to issue a certificate of appropriateness (COA) with respect to a proposal to redevelop a historic building in Lower Manhattan, which building and parts of its interior had previously been designated as landmarks, into private residences and to convert the landmark clocktower from mechanical to electric operation and limit public access thereto constituted a rational exercise of LPC's discretion based on its unique expertise. Under the Landmarks Preservation Law, the LPC has broad discretion to designate landmarks for the purpose of furthering the protection, enhancement, perpetuation and use thereof, as well as strengthening the economy of the City (Administrative Code of City of NY §§ 25-301 [b]; 25-303 [a]). If an application seeks to alter or demolish a landmark, the LPC must determine whether the proposed work would be appropriate for and consistent with the purposes of the Landmarks Preservation Law (§ 25-307 [a]). Here, the LPC made its determination and findings following an extensive deliberative process, including multiple public hearings (§ 25-313 [b]). The COA described the approved proposal, including as it related to the clocktower and mechanism, and found that the main lobby, stair hall, clocktower rooms and banking hall would be fully restored and the clock mechanism and faces retained. While the definition of "interior landmark" states that it is "customarily open or accessible to the public" (§ 25-302 [m]), public access is a threshold condition, not an ongoing one. The COA process presumes change, sometimes drastic change.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d Zoning and Planning § 125.

NY Jur 2d Parks, Recreation, and Historic Preservation § 16.

ANNOTATION REFERENCE

See ALR Index under Historic Landmarks.

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POINTS OF COUNSEL

Zachary W. Carter, Corporation Counsel, New York City (*Diana Lawless, Richard Dearing* and *Devin Slack* of counsel), for City of New York, Office of the Deputy Mayor for Housing and Economic Development, New York City Landmarks Preservation Commission, and New York City Department of Buildings, appellants. I. The Landmarks Law (Administrative Code of City of NY § 25-301 *et seq.*) mandates neither permanent public access to an interior nor a specific mode of operating interior fixtures. (*Matter of Teachers Ins. & Annuity Assn. of Am. v City of New York*, 82 NY2d 35; *Cruz v TD Bank, N.A.*, 22 NY3d 61; *Weinberg v Barry*, 634 F Supp 86; *Matter of Best Payphones, Inc. v Department of Info. Tech. & Telecom. of City of N.Y.*, 5 NY3d 30; *National Min. Assn. v Fowler*, 324 F3d 752; *Matter of Scherbyn v Wayne-Finger Lakes Bd. of Coop. Educ. Servs.*, 77 NY2d 753.) II. There was a rational basis for the Landmarks Preservation Commission's discretionary approval of the expansive landmark restoration project. (*Matter of City of New York v State of N.Y. Commn. on Cable Tel.*, 47 NY2d 89; *Penn Central Transp. Co. v New York City*, 438 US 104; *Motor Vehicle Mfrs. Assn. of United States, Inc. v State Farm Mut. Automobile Ins. Co.*, 463 US 29; *Matter of Committee to Save Beacon Theater v City of New York*, 146 AD2d 397; *Matter of Friends of P.S. 163, Inc. v Jewish Home Lifecare, Manhattan*, 30 NY3d 416.)

Davis Polk & Wardwell LLP, New York City (*James P. Rouhandeh, Andrew S. Gehring* and *Tina Hwa Joe* of counsel), for Civic Center Community Group Broadway LLP, appellant. I. The Landmarks Preservation Commission had a rational basis to approve the certification of appropriateness without requiring public access to the clock tower. (*Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222; *Finger Lakes Racing Assn. v New York State Racing & Wagering Bd.*, 45 NY2d 471; *Bluebird Partners v First Fid. Bank*, 97 NY2d 456; *Commonwealth of the N. Mariana Is. v Canadian Imperial Bank of Commerce*, 21 NY3d 55; *Matter of Tze Chun Liao v New York State Banking Dept.*, 74 NY2d 505; *Matter of Teach-*

ers Ins. & Annuity Assn. of Am. v City of New York, 82 NY2d 35; *Yatauro v Mangano*, 17 NY3d 420; *Abiele Contr. v New York City School Constr. Auth.*, 91 NY2d 1; *Matter of Flynn v State Ethics Commn., Dept. of State, State of N.Y.*, 87 NY2d 199.) II. The Landmarks Preservation Commission had a rational basis for approving the certification of appropriateness permitting the owner to upgrade the clock. (*Matter of Teachers Ins. & Annuity Assn. of Am. v City of New York*, 82 NY2d 35; *Matter of Chemical Specialties Mfrs. Assn. v Jorling*, 85 NY2d 382; *Matter of Tze Chun Liao v New York State Banking Dept.*, 74 NY2d 505; *Bluebird Partners v First Fid. Bank*, 97 NY2d 456; *Matter of Flynn v State Ethics Commn., Dept. of State, State of N.Y.*, 87 NY2d 199; *Saltser & Weinsier, Inc. v McGoldrick*, 295 NY 499; *Lawrence Constr. Corp. v State of New York*, 293 NY 634; *Matter of New York Pub. Interest Research Group v Town of Islip*, 71 NY2d 292; *Matter of New York Botanical Garden v Board of Stds. & Appeals of City of N.Y.*, 91 NY2d 413; *Penn Central Transp. Co. v New York City*, 438 US 104.)

Hiller, PC, New York City (*Michael S. Hiller, Jason E. Zakai, Fatima V. Afia* and *David P. Rubinstein* of counsel), for respondents. I. The courts below properly determined that the Landmarks Preservation Commission violated the Landmarks Law (Administrative Code of City of NY § 25-301 *et seq.*) (*Patrolmen's Benevolent Assn. of the City of N.Y. v City of New York*, 41 NY2d 205; *Matter of Petterson v Daystrom Corp.*, 17 NY2d 32; *Matter of Carr v New York State Bd. of Elections*, 40 NY2d 556; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Matter of Tucker v Board of Educ., Community School Dist. No. 10*, 82 NY2d 274; *Matter of Sipal Realty Corp. [Dankers]*, 5 AD2d 84, 4 NY2d 1026; *Garzo v Maid of Mist Steamboat Co.*, 303 NY 516; *Jacobus v Colgate*, 217 NY 235; *Matter of Albano v Kirby*, 36 NY2d 526; *Matter of Smathers*, 309 NY 487.) II. Appellants' argument that the Landmarks Preservation Commission lacks the authority to deny a request to disconnect a landmark one-of-a-kind tower-clock from its mechanism is predicated upon an error of law and, in any event, is utterly irrational. (*Matter of New York State Assn. of Criminal Defense Lawyers v Kaye*, 96 NY2d 512; *Matter of City of New York v State of N.Y. Commn. on Cable Tel.*, 47 NY2d 89; *Matter of Public Serv. Commn. of State of N.Y. v Jamaica Water Supply Co.*, 54 AD2d 10.) III. Appellants' argument that the Landmarks Preservation Commission commissioners may not have relied upon the erroneous advice provided by legal counsel is not preserved for review and raises issues beyond this

Court's jurisdiction. (*Bingham v New York City Tr. Auth.*, 99 NY2d 355; *Feigelson v Allstate Ins. Co.*, 31 NY2d 913; *Matter of Colton v Riccobono*, 67 NY2d 571; *Lichtman v Grossbard*, 73 NY2d 792; *People v Ramos*, 99 NY2d 27; *People v Graham*, 25 NY3d 994; *People v Turriago*, 90 NY2d 77; *People v Perez*, 31 NY3d 964; *People v Sivertson*, 29 NY3d 1006.)

Michael S. Gruen, New York City, and *John R. Low-Beer* for The City Club of New York and others, amici curiae. I. The Landmarks Preservation Commission is governed by the rule of law, not of bazaar negotiation. (*Matter of Levine v Whalen*, 39 NY2d 510; *Matter of Flynn v State Ethics Commn., Dept. of State, State of N.Y.*, 87 NY2d 199; *Matter of New York State Superfund Coalition, Inc. v New York State Dept. of Envtl. Conservation*, 18 NY3d 289; *Matter of Avella v City of New York*, 29 NY3d 425; *Hotel Dorset Co. v Trust for Cultural Resources of City of N.Y.*, 46 NY2d 358; *Matter of Long v Adirondack Park Agency*, 76 NY2d 416; *Surace v Danna*, 248 NY 18; *Matter of Teachers Ins. & Annuity Assn. of Am. v City of New York*, 82 NY2d 35; *Trustees of the Sailors' Snug Harbor in the City of N.Y. v Platt*, 29 AD2d 376; *Lutheran Church in Am. v City of New York*, 35 NY2d 121.) II. The Landmarks Preservation Commission has the authority to discharge all duties at issue here; it has failed to do so. (*Matter of Allison v New York City Landmarks Preserv. Commn.*, 35 Misc 3d 500; *Matter of Charles A. Field Delivery Serv. [Roberts]*, 66 NY2d 516.)

OPINION OF THE COURT

GARCIA, J.

New York City's Landmarks Preservation Commission (LPC) is entrusted with the "establishment and regulation" of the City's landmarks (NY City Charter § 3020 [6]). On respondents' appeal in this CPLR article 78 proceeding, petitioners allege that the LPC's decision to approve the redevelopment of 346 Broadway—a historic building in Lower Manhattan that the LPC previously designated as a landmark—was irrational and affected by errors of law.* We disagree and hold that the LPC's decision was proper. Accordingly, we reverse.

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* Petitioners include the following entities and individuals: Save America's Clocks, Inc., The Historic Districts Council, Inc., Tribeca Trust, Inc., Marvin Schneider, Forest Markowitz, Thomas Bernardin, Christopher DeSantis, Jeremy Woodoff, and Alanna Heiss. Respondents include the following municipal and private entities: the Deputy Mayor for Housing and Economic Development for the City of New York, the LPC, the New York City Department of Buildings (DOB), and the developer. Other entities associated with

(n. cont'd)

I.

The Landmarks Preservation Law (Landmarks Law) was passed in 1965 as a response "to the loss of a number of [New York City's] significant buildings" (*Matter of Teachers Ins. & Annuity Assn. of Am. v City of New York*, 82 NY2d 35, 41 [1993]). The law is "not" designed for public "acquisitions of historic properties"; rather it "provid[es] services, standards, controls, and incentives that will encourage preservation by private owners and users" (*Penn Central Transp. Co. v New York City*, 438 US 104, 109-110 [1978]). In 1973, the law was amended to allow the LPC to designate an interior landmark, defined as "[a]n interior, or part thereof, any part of which is thirty years old or older, and which is customarily open or accessible to the public, or to which the public is customarily invited, and which has a special historical or aesthetic interest or value" (Administrative Code of City of NY § 25-302 [m]).

"The primary responsibility for administering the law is vested in the [LPC]" (*Penn Central*, 438 US at 110). The Landmarks Law allows the LPC—whose 11 Commissioners are appointed by the Mayor—to designate landmarks "[f]or the purpose of . . . furthering the protection, preservation, enhancement, perpetuation and use" of such landmarks (Administrative Code § 25-303 [a]). The LPC's authority over landmarks does not end with designation. Express "authoriz[ation]" from the LPC is required before "work" begins on a "landmark site" or a structure "containing an interior landmark" (Administrative Code § 25-305 [a] [1]). The LPC's approval may come in one of two forms. It may issue a "certificate of no effect" if the "proposed work" does not "change, destroy or affect any exterior architectural feature . . . or any interior architectural feature" of a landmark (Administrative Code § 25-306 [a] [1] [a]). Such "feature[s]" are defined broadly to include "[t]he architectural style, design, general arrangement and components" of a protected interior or exterior (Administrative Code § 25-302 [g], [l]).

If an "application" does, however, seek to "alter" or "demolish" a landmark, the LPC must issue a "certificate of appropriateness" (COA) before the "proposed work" can begin (Administrative Code § 25-307 [a]). By statute, it is for the

the developer were named as respondents, including The Peebles Corporation, 346 Broadway LLC, El Ad US Holding, Inc., El Ad 346 Development LLC, and Beyer Blinder Bell, Architects and Planners, LLP.

LPC to "determine whether the proposed work would be appropriate for and consistent with the effectuation of the purposes" of the Landmarks Law (*id.*). LPC's discretion is broad given the Landmark Law's diverse statutory purposes, which range from the "protection, enhancement and perpetuation" of landmarks to "strengthen[ing] the economy of the city" (Administrative Code § 25-301 [b]). Unlike initial landmark designations, the LPC's COA determinations are not reviewable by the City Council (*compare* Administrative Code § 25-303 [g] [2], *with* Administrative Code § 25-307). If a COA is denied by the LPC, the applicant "may submit . . . [a] modified plan for approval," or "seek[ ] a certificate of appropriateness on the ground of 'insufficient return' "—a procedure designed "to ensure that designation does not cause economic hardship" (*Penn Central*, 438 US at 112).

II.

346 Broadway is the old New York Life Insurance Company headquarters. The 15-story structure, completed in the late 1890s, was designed in part by the historically significant architectural firm of McKim, Mead & White. The City acquired the building in 1968, and it was during this period of City ownership, in 1987, that the LPC designated the building and parts of its interior as landmarks.

In its initial designation report, the LPC noted several of the building's unique features. The exterior of the "palazzo-like tower," constructed in "the neo-Italian Renaissance style," was largely built with "white Tuckahoe marble." The "interiors" were also "designed using the finest craftsmanship and lavish materials" including "marble, bronze, [and] mahogany." Among the interior spaces designated were the former "Banking Hall," a "grand and boldly scaled neo-Classical room" with "monumental freestanding Corinthian columns," and "[t]he clock tower" which housed a "No. 4 Striking Tower Clock"—a mechanical clock driven "by a thousand pound weight" which "strikes the hours" with a hammer and a "5000 pound bell." The clock was manufactured by E. Howard Watch & Clock Company and "was specially equipped with a double three-legged gravity escapement"—a feature, petitioners claim, is shared by only one other tower clock: the clock housed by Elizabeth Tower (also home to the bell known as Big Ben) in London. In total, the LPC landmarked 20,000 square feet out of the building's total interior space of 420,000 square feet.

In December 2013, the City sold the building to Civic Center Community Group Broadway LLC, a private developer. After purchasing the building, the developer sought approval from the DOB to convert the building into private residences. The developer's plan was approved by DOB in June 2014. In line with the Landmarks Law, the developer next sought a COA from the LPC.

The developer's initial proposal, presented to the LPC at a public hearing in November 2014, included installation of new windows, removal of an outdated fire escape, restoration of entrances to the building, addition of a new entrance, removal of a deteriorating parapet that had been surrounded by scaffolding for 10 years, and addition of a fence and gate inspired by similar structures designed for other sites by the original architectural firm. With respect to the interior, the owner proposed to, among other things, restore the main lobby and the banking hall and restore and relocate the president's office. The clocktower mechanism would be kept in its original location and the building and area around it restored and weatherproofed. Under the proposal, the banking hall and lobby would remain publicly accessible. Questions were raised, however, about access to the clocktower, which was to be part of a private residence, as well as about the continued operation of the clock. During the hearing, LPC's General Counsel stated that "there's no power under the Landmarks Law to require interior-designated spaces to remain public." Counsel also opined that the Commission was powerless to require that the clock mechanism remain "operable," but noted that the developer intended to keep the clock running electrically.

After the public hearing, certain Commissioners and LPC staff members conducted a site visit. Shortly after that, at a second public meeting in December 2014, the Commission approved the proposal by a vote of 7-1. The dissenting Commissioner voted against the proposal because she "[could not] approve the changes to the [clock] mechanism itself and to the interior of the clock tower gallery, as well as mechanical room."

Consistent with the Landmarks Law, the COA "set forth the reasons for [the LPC's determination]" in detail over seven single-spaced pages (Administrative Code § 25-315 [a]). As articulated in the COA, the LPC found that the developer's plan would have "the main lobby, stair hall, clock tower rooms and banking hall . . . fully restored." Additionally, it would "allow accessibility by the public to the lobby and former banking hall." The LPC also found that "the clock mechanism and faces will be retained, thereby preserving these significant features." In sum, the LPC found that "the proposed restorative work will return . . . the interior closer to [its] original appearance, and will aid in [its] long-term preservation."

III.

This proceeding challenging the COA ensued. Petitioners—a self-styled coalition of entities and individuals—agreed to "limit the scope of . . . litigation to only issues pertaining to the clock tower suite," specifically the decisions to limit public access to the clocktower and to run the clock electrically (52 Misc 3d 282, 285 [Sup Ct, NY County 2016]). Supreme Court granted the petition and annulled the COA. The court concluded that decision to "eliminate public access to the clock tower" was "irrational and arbitrary," but that there was a rational basis for the conversion of the clock from mechanical to electrical operation (*id.* at 297-298). Nevertheless, the court determined that the decision to electrify the clock was affected by an error of law because LPC counsel's advice that the LPC could not regulate the functioning of the clock was incorrect. Similarly, LPC counsel's advice on public access was wrong, according to the court, because "the general provisions of the Landmarks Law vest the Commission with the power to regulate an interior landmark" (*id.* at 301).

A divided Appellate Division affirmed (157 AD3d 133 [1st Dept 2017]). The majority agreed with Supreme Court that the decision to discontinue public access to the clocktower was irrational because it "is inconsistent with the statutory definition" of interior landmark, but parted ways with Supreme Court by finding the decision to electrify the clock irrational as well (157 AD3d at 151). The majority also agreed with Supreme Court that LPC's General Counsel gave incorrect advice during the public hearings about the LPC's authority to require public access and dictate how the clock functioned. That advice, the majority found, affected the Commission's vote on the COA—a determination the majority based on portions of the hearing transcript. The dissent concluded that based on the record, the LPC's decisions were rational, and that no error of law infected the proceedings because: (1) counsel's advice was correct; and (2) the LPC vote would not have been affected even if the advice was incorrect (157 AD3d at 153 [Kahn, J., dissenting]).

Respondents appealed as of right to this Court (*see* CPLR 5601 [a]).

IV.

Judicial review of the Commission's findings is limited to whether the "determination was made in violation of lawful procedure, was affected by an error of law or was arbitrary and capricious or an abuse of discretion" (CPLR 7803 [3]; *see Lutheran Church in Am. v City of New York*, 35 NY2d 121, 128 n 2 [1974] [explaining that the "public hearing provided for in the Landmarks Law is not the sort of adversary hearing involving cross-examination and the making of a record as is contemplated under CPLR 7803 (subd. 4), where substantial evidence is the test set forth"]). "This review is deferential for it is not the role of the courts to weigh the desirability of any action or choose among alternatives" (*Matter of Friends of P.S. 163, Inc. v Jewish Home Lifecare, Manhattan*, 30 NY3d 416, 430 [2017] [internal quotation marks and citation omitted]; *see Matter of Beck-Nichols v Bianco*, 20 NY3d 540, 559 [2013] [the "standard is, of course, an extremely deferential one"]). "The courts cannot interfere unless there is no rational basis for the exercise of discretion" or the "action is without sound basis in reason and . . . taken without regard to the facts" (*Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222, 231 [1974]; *see Matter of Society for Ethical Culture in City of N.Y. v Spatt*, 68 AD2d 112, 116 [1st Dept 1979] ["our inquiry is directed to a determination of whether the commission's (decision) had a rational basis or, if, . . . it was arbitrary and capricious"]). It follows that "[i]f the court finds that the determination is supported by a rational basis, it must sustain the determination even if the court concludes that it would have reached a different result than the one reached by the agency" (*Matter of Peckham v Calogero*, 12 NY3d 424, 431 [2009]).

A.

The COA described the approved proposal, including as it related to the clocktower and clock mechanism, and found that, under the proposal, "the main lobby, stair hall, clock tower rooms and banking hall w[ould] be fully restored, and the clock mechanism and faces w[ould] be retained, thereby preserving these significant features." The COA explains that "[b]ased on these findings, the [LPC] determined the work to be appropriate to [the building] and [the] [i]nterior [l]andmark[s] and voted to approve it." The LPC made its determination and these findings following an extensive deliberative process, including multiple public hearings. The LPC "afford[ed] a reasonable opportunity for the presentation of facts and the expression of views by those desiring to be heard" and, in an exercise of its discretion, received "testimony of witnesses," along with various documentary submissions (Administrative Code § 25-313 [b]). The LPC staff engaged in a dialogue with the owner concerning the project and staff members visited the building site, along with certain Commissioners, to more fully understand the scope of the proposed work and its potential impact on the designated interior landmarks.

Petitioners argue that the LPC's decision to close off the clocktower is inconsistent with the statutory definition of interior landmark and is therefore facially irrational. It is the LPC's position that "public access is a threshold condition, not an ongoing one," and "public access at designation is no more than the foothold that allows the Commission to exercise the police power to regulate private property." This is consistent with our holding in *Teachers*. There, we said public access is a "jurisdictional predicate" for an initial LPC designation (82 NY2d at 42). A designation, we noted, did not foreclose the possibility of "private use in the future" (*Teachers*, 82 NY2d at 44). Underscoring this, the law contemplates that the LPC may issue a COA for "demol[ition of] any improvement"—which is defined to include "building"—"containing an interior landmark" (Administrative Code §§ 25-302 [k]; 25-307 [a]). As the LPC notes, the COA "process *presumes* change, sometimes dramatic change." At base, the Landmarks Law makes plain that the LPC's decision with respect to the clocktower was well within the ambit of its discretion.

Contrary to petitioners' claims, the LPC's decision to allow the clock to be electrified was similarly rational. As the dissenting opinion in the Appellate Division noted, "the operation of the clock would be modernized by electrification, thereby assuring its continued maintenance for the foreseeable future, and the visibility of exterior clock faces to the public would be enhanced by LED or some other form of modernized lighting, while the clock faces would remain in their original, pristine condition" (157 AD3d at 166 [Kahn, J., dissenting]). The COA also makes plain the LPC's finding that the developer's plan would ensure that "the clock mechanism and faces will be retained, thereby preserving these significant features." The LPC was well within its discretion to approve a plan that included electrification of the clock.

The LPC's determination to issue the COA following this extensive and inclusive deliberative process, and to approve certain work to the clocktower and clock mechanism on the basis that the proposed work would restore the clocktower rooms and both retain and preserve the interior and exterior features of the clock mechanism and faces, constituted a rational exercise of the LPC's discretion based on its unique expertise. Certainly, those determinations are consistent with the purposes of the Landmarks Law (*see* Administrative Code § 25-307 [a] [requiring the Commission to "determine whether the proposed work would be appropriate for and consistent with the effectuation of the purposes of" the Landmarks Law, and mandating that, if this question is answered in the affirmative, the Commission "shall grant a certificate of appropriateness"]; Administrative Code § 25-301 [b] [stating that the express purpose of the Landmarks Law is to, among other things, "effect and accomplish the protection, enhancement and perpetuation of . . . (landmarks) which represent or reflect elements of the city's cultural, social, economic, political and architectural history," and "safeguard the city's historic, aesthetic and cultural heritage"]). Moreover, in approving a project that would restore the clocktower and ensure the clock's continued operation along with the preservation of its components, it is manifest that the Commission "consider[ed] the effects of the proposed work upon the protection, enhancement, perpetuation and use of the interior architectural features of such interior landmark which cause it to possess a special character or special historical or aesthetic interest or value" (Administrative Code § 25-307 [e]).

In short, it cannot be said that the Commission acted with "no rational basis" (*Matter of Pell*, 34 NY2d at 231), and the Appellate Division erred in concluding otherwise.

B.

We also conclude that the LPC's decisions were not affected by an error of law. Petitioners rely solely on statements concerning the LPC's authority found in the transcript of the public hearings. "It is the settled rule," however, "that judicial review of an administrative determination is limited to the grounds invoked by the agency" (*Matter of Scherbyn v Wayne-*

Finger Lakes Bd. of Coop. Educ. Servs., 77 NY2d 753, 758 [1991]). Here, the Landmarks Law makes plain that the COA must "set forth the reasons" for the LPC's action (Administrative Code § 25-315 [a]). And the COA in this case did exactly that by setting forth in detail why the LPC "determined the work to be appropriate." There is no need to "surmise or speculate as to how or why [the LPC] reached a particular conclusion" (*Matter of Montauk Improvement v Proccacino*, 41 NY2d 913, 914 [1977]). The Landmarks Law gives the LPC the authority to "grant" a COA or "deny" one after it evaluates the "proposed work" (Administrative Code § 25-307 [a]). The LPC appropriately exercised that authority in this case.

V.

At bottom, the Landmarks Law invests the LPC with broad discretion. The law "textually . . . commit[s]" a "policy" decision—determining whether an individual project is "appropriate for and consistent with the effectuation of the purposes of" the Landmarks Law (Administrative Code § 25-307 [a])—to the LPC alone (*Matter of New York State Inspection, Sec. & Law Enforcement Empls., Dist. Council 82, AFSCME, AFL-CIO v Cuomo*, 64 NY2d 233, 240 [1984]). Because of this "very wide discretion" we do not "have the power to substitute [our] judgment in place of the judgment of the properly delegated administrative officials" (*Matter of Marburg v Cole*, 286 NY 202, 208 [1941]).

Based on the foregoing, the order of the Appellate Division should be reversed, with costs, and the proceeding dismissed.

RIVERA, J. (dissenting). New York City is an architectural wonder, home to hundreds of landmarked structures and areas with unique cultural and historical value to the public. Some structures illustrate the grandeur and majesty of the City—Grand Central Terminal, the Empire State Building, the Chrysler Building, and the Brooklyn Bridge. Others depict the City's vibrant social and cultural life—the Coney Island Cyclone, the Rainbow Room in Rockefeller Center, the Apollo Theatre in Harlem, and the Paradise Theatre in the Bronx. Some are visible to the public from the street and fully appreciated in contrast to their surroundings, like the Sidewalk Clock at 161-11 Jamaica Avenue; others, like the Sailors' Snug

Harbor on Staten Island, provide a more intimate view of life and invite us to enjoy the internal settings of the past. Varying in size, fame, and use, these structures and spaces root the City in its complex and diverse history and embody its indelible soul.

The New York City Landmarks Preservation Commission (LPC) is authorized to designate these structures for preservation in furtherance of the City's Landmarks Preservation and Historic Districts Law (Landmarks Preservation Law) (Administrative Code of City of NY § 25-301 *et seq.*; NY City Charter § 3020 [6]).[1] In order to effectuate the Law's conservancy purposes, the LPC must approve only those changes and alterations that do not imperil the integrity of a designated structure (Administrative Code § 25-305 [a] [1]). Here, we must determine whether the LPC exceeded its authority when it approved a developer's proposal to alter and privatize one of the last functioning mechanical public clocks in the City. Far from an ordinary clock, this is a centuries old timepiece that sits atop one of the City's first skyscrapers and is driven by a rare mechanism that exists in just a few other clocks in the world.

Notwithstanding the historical significance of the clock to the City, the LPC approved the building owner's request to convert this interior landmark into a luxury apartment. The former is a rare horological masterpiece; the latter is a typical, now-commonplace, development for the wealthy by the wealthy. Although the LPC has great latitude to decide whether to approve an alteration to an interior landmark, it cannot approve an alteration that, by its very nature, amounts to a de facto rescission of a landmark designation. So, the question is, when is an interior landmark no longer an interior landmark? The answer is contained in the plain language of the Landmarks Preservation Law, which defines an interior landmark as accessible to the public for the people's benefit and welfare. Transforming an interior landmark into a private residence such that it is completely closed off from the public annuls its designation and is inconsistent with the purpose of the Landmarks Preservation Law.

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1. I refer to the Landmarks Preservation and Historic Districts Law as the "Landmarks Preservation Law" to accurately reflect the statute's purpose, which is to protect and preserve the exteriors, interiors, scenic landscapes, and districts that are landmarked by the LPC.

I.

New York City's Landmarks Preservation Law

The City Council first enacted the Landmarks Preservation Law in 1965 to preserve the City's "historical and architectural heritage" (*id.* § 25-301 [a]). The statute was, in part, a response to the public's dismay of the destruction of Pennsylvania Station, a Beaux arts-style railway station that was demolished to construct Madison Square Garden (John Nivala, *The Future of Our Past: Preserving Landmark Preservation*, 5 NYU Envtl L J 83, 83-85 [1996]). However, more than sentimentality animates the City's commitment to preserving symbols of the past. Historic preservation laws serve a pragmatic interest in the public welfare. As the United States Supreme Court explained, the Landmarks Preservation Law is part of "nationwide legislative efforts" to use "[h]istoric conservation" to address "one aspect of the much larger problem, basically an environmental one, of enhancing—or perhaps developing for the first time—the quality of life for people" (*Penn Central Transp. Co. v New York City*, 438 US 104, 107-108 [1978], quoting Frank Gilbert, *Introduction, Precedents for the Future*, 36 Law & Contemp Probs 311, 312 [1971]). It is understood as reflecting the "widely shared belief that structures with special historic, cultural, or architectural significance enhance the quality of life for all," not merely the few (*id.* at 108; *see* Administrative Code § 25-301 [b]).

New York City's Landmarks Preservation Law expressly guards against the loss of cultural assets vital to the City's world stature and economy, for the benefit of the general public, not any individual interest. As detailed in the statute's purpose and public policy declaration, the City Council—the City's governing body—recognized that many sites of "a special character or a special historical or aesthetic interest or value" had been "uprooted . . . without adequate consideration of the irreplaceable loss to the people of the city of the aesthetic, cultural and historic values represented" in these structures (Administrative Code § 25-301 [a]). The Council acknowledged that the "standing of th[e] city as a world wide tourist center and world capital of business, culture and government cannot be maintained or enhanced by disregarding the historical and architectural heritage of the city and by countenancing the destruction of such cultural assets" (*id.*).

Based on these findings, the Council "declared as a matter of public policy that the protection, enhancement, perpetuation and use of improvements . . . of special character or special historical or aesthetic interest or value is a public necessity and is required in the interest of the health, prosperity, safety and welfare of the people" (*id.* § 25-301 [b]). The express purpose of the Landmarks Preservation Law is to protect the spaces that represent the City's "historic, aesthetic, and cultural heritage"; enhance the City's economy; foster civic pride in the City's past accomplishments; and "promote the use of historic districts, landmarks, interior landmarks and scenic landmarks for the education, pleasure and welfare of the people of the city" (*id.* § 25-301 [b]). As the City Council and the United States Supreme Court have recognized, landmark designation economically benefits both the municipality and the owner, as it enhances the City's stature and quality of life.

The Landmarks Preservation Law adopts a designation framework for the preservation of historically and culturally significant sites and districts. Since 1973, the Landmarks Preservation Law has protected interior landmarks, defined as:

> "An interior, or part thereof, any part of which is thirty years old or older, and which is customarily open or accessible to the public, or to which the public is customarily invited, and which has a special historical or aesthetic interest or value as part of the development, heritage or cultural characteristics of the city, state or nation, and which has been designated as an interior landmark pursuant to the provisions of this chapter" (Administrative Code § 25-302 [m]).

An interior architectural feature is "[t]he architectural style, design, general arrangement and components of an interior, including, but not limited to, the kind, color and texture of the building material and the type and style of all windows, doors, lights, signs and other fixtures appurtenant to such interior" (*id.* § 25-302 [l]).

Landmark designation is a rigorous process, involving the LPC, City Council, mayor, various administrative agencies, and local communities. The LPC is responsible for initially designating landmarks through a public hearing process that provides a reasonable opportunity for the public to present facts and views on the proposed landmark (*id.* §§ 25-303 [b]; 25-313 [b]). Notice of the hearing must be given to the City Planning Commission, affected community boards, the president of the borough where the landmark is located, and the owner of the landmark (*id.* § 25-303 [a], [j]). If the LPC adopts the proposal to designate a landmark, it must then file the designation with the City Council, Department of Buildings, City Planning Commission, Board of Standards and Appeals, Fire Department and Department of Health and Mental Hygiene (*id.* § 25-303 [e], [f]). The City Planning Commission also must hold a public hearing on the designation and submit a report to the Council outlining the impact of the designation (*id.* § 25-303 [g] [1]). The City Council then issues its final vote on the designation, which is subject to the mayor's veto (*id.* § 25-303 [g] [2]). Likewise, the LPC has the authority to rescind a landmark designation but may only do so after notice and public hearings and approval from the City Council and mayor (*id.* § 25-303 [h]).

Once designated, a landmarked site may not be altered without the LPC's approval. An owner who desires to "construct, reconstruct, alter or demolish any improvement on a landmark . . . or containing an interior landmark" must file an application for a certificate of appropriateness (*id.* § 25-307 [a]). Upon submission of a request for such certificate, "the [LPC] shall determine whether the proposed work would be appropriate for and consistent with the effectuation of the purposes of [the Landmarks Preservation Law]" (*id.*). If the LPC determines that the proposed work furthers the statute's purposes, then the LPC "shall grant" the certificate (*id.*). If it determines to the contrary, "it shall deny the applicant's request" (*id.*). While an applicant can modify its proposal to address concerns raised during this process, the LPC cannot approve actions in contravention of the statutory purposes and public policy of the Landmarks Preservation Law. In other words, the LPC has no discretion other than in its determination as to whether the proposed work is appropriate; it is wholly without power to grant a request that does not satisfy the criteria set forth in the Landmarks Preservation Law or to deny a request that does. The Council has further cabined the LPC's decision-making authority by requiring that the LPC "consider the effects of the proposed work upon the protection, enhancement, perpetuation and use of" the exterior and interior architectural features "which cause it to possess a special character or special historical or aesthetic interest or value" (*id.* § 25-307 [d], [e]).

Significantly, and in line with the legislative intent to protect and preserve landmarks for future use and enjoyment by the public, an owner may request permission to demolish a designated landmark in whole or in part under limited circumstances. For instance, under the Law's hardship provision, an owner may assert that work is necessary for the building to provide a "reasonable return" (*id.* § 25-309).

II.

The Interior Landmark Clock

New York City is home to the former New York Life Insurance Company building, located at 346 Broadway in the borough of Manhattan. Constructed in 1898, the building was part of the first wave of skyscrapers that heralded the dawn of the twentieth century (Cromwell Childe, *New York's High Buildings*, NY Times, Feb. 6, 1898 at 14 [discussing the novel appearance of skyscrapers, "(i)n the place of the old(,) the new looms—forever skyward"]). Designed by the renowned architectural firm McKim, Meade & White, which would later build Pennsylvania Station, and with construction costs that were expected to exceed $1.5 million, the building was described as "one of the most striking projected improvements" in lower Manhattan (*For A Modern Building. The New-York Life Insurance Company's New Home*, NY Herald-Tribune, Aug. 29, 1895 at 11). Its planning and assembly were noteworthy and garnered significant public attention (*see In the Real Estate Field: Plans for an Addition to the New-York Life Building and for a Theatre—The Auction Offerings*, NY Times, Dec. 27, 1895 at 15 [noting the filing of plans with the City's building department]; *Race Between Buildings: Interesting Contest In Which Sky Scrapers Take Part*, NY Times, Oct. 18, 1896 [describing a "race" to construct the building before completion of the nearby Central National Bank Building]).

The building stands 13 stories and encompasses an entire block, bounded by Broadway, Leonard Street, Lafayette Street, and Catherine Lane, in what was once referred to as the "mercantile section" or "dry-goods district" of Manhattan (New York Life Insurance Company, A Temple of Humanity 5 [1909]). As the LPC describes in its designation report, the exterior is made of white Tuckahoe marble in the neo-Italian Renaissance style, with a "monumental portico entrance," attractive cornices, and a decorative balustrade at the fourth floor. At the top of the 13th floor of the Broadway face of the building is a parapet with four impressive stone eagles, above which rises a clocktower topped by a statue. The interior of the building reflects a similar sense of majesty, with a long hall on the first floor that spans the length of the building, composed of terrazzo floors and marble walls. One end of the hall, the "Banking Hall," stands two stories tall and has large round-arched windows, two rows of Corinthian columns, and a deeply coffered ceiling.

The building's clocktower is impressive both for its external magnificence and internal architectural and mechanical features (Ernest H. Morgan, *Clocks, Clock-Making, and Clock-Makers*, 60 J Educ 225, 225 [1904] [noting the "enormous four-dial clock is one of the sights of the metropolis"]). As the LPC's designation report describes, the four large faces of the clock are visible from the street and accented by a statue of "four kneeling male figures supporting a skeletal globe, surmounted by an eagle." An 1898 New York Times article describing the upper stories of the City's significant buildings such as the Mutual Life Building and American Tract Society Building—the newly termed skyscrapers—saw fit to include the clocktower (Childe, *New York's High Buildings*). The author highlighted its aesthetic elements:

> "The clock here and the tower itself are modern ornaments of Broadway. From the point mentioned they are superb. The eagles with outstretched wings marking the tower's base, the heroic figures of an Atlas type holding the globe on their backs, all carved out of fine white stone, are the features that at once strike the eye and that the man in the street can only dimly see. The tower's base on the rook is balconied. The tower itself is square at its foot, and then runs up in the rounding form of a watchtower of old" (*id.*).

The clock was manufactured by the E. Howard Watch & Clock Company and operates with a particularly rare double three-legged gravity escapement that is manually wound once a week. The mechanism was once praised as "the best time-keeping system used in buildings in the world" (Morgan at 225). Petitioners explain that only one other tower clock possesses such a mechanism: "Big Ben," the clock at the northern end of the Houses of Parliament in Westminster Palace, London.[2] The clock mechanism is driven by a 1,000-pound weight and operates with a 5,000-pound bell, twice the size of the Liberty Bell, that was designed to toll the hour with the assistance of a hammer powered by two 800-pound weights.

In 1968, the City acquired the building. In 1987, the LPC designated the building's exterior and parts of its interior as landmarks. The LPC's interior designation report highlights various aspects of the building that give it special aesthetic and cultural value, including the clock and clocktower. The report notes that the "clock and clocktower interior, which have not been altered, are a rarity in New York City." It describes features of the clock mechanism as well: its manufacture by the E. Howard Watch & Clock Company, its 1,000-pound weight, and its need to be wound on a weekly basis. In particular, the report emphasizes the functioning mechanism's import, stating "[t]he clock is one of the few remaining in New York which has not been electrified."

The designation concludes:

> "[a]ccordingly, pursuant to the provisions of [the Landmarks Preservation Law], the Landmarks Preservation Commission designates as an Interior Landmark the . . . thirteenth floor interior . . . ; fourteenth floor interior consisting of the clocktower machinery room; . . . and the fixtures and interior components of these spaces, including but not limited to . . . clock machinery."

Years later, recognizing that the clock mechanism needed regular maintenance, the LPC urged the City to appoint a City Clock Master. The LPC called the six remaining mechanical public clocks in the City "public treasures," that "are not simply decorative elements on distinguished buildings, [but] truly urban amenities." The mayor agreed and stated at the appointment ceremony of the Clock Master of the City of New York that the clocks were "works of art," with extraordinary designs

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2. Edmund Beckett Denison was appointed to design Big Ben, and in doing so, invented the revolutionary double three-legged gravity escapement (Building the Great Clock, parliament.uk, https://www.parliament.uk/about/living-heritage/building/palace/big-ben/building-clock-tower/building-great-clock/, cached at http://www.nycourts.gov/reporter/webdocs/BuildingGreatClock.pdf). Completed in 1859, Big Ben is now a UNESCO World Heritage Site, and is "instantly recognizable" (Palace of Westminster and Westminster Abbey including Saint Margaret's Church, UNESCO, http://whc.unesco.org/en/list/426, cached at http://www.nycourts.gov/reporter/webdocs/palaceWestminster.pdf).

and “mechanical ‘innards.’ ” The mayor further acknowledged “[i]t is crucial that we carefully preserve and safeguard our City’s architectural heritage, and [that] the large mechanical clocks are an especially public and important part of that heritage.” For 35 years, the clock in the former New York Life Insurance Company building worked without disruption; the Clock Master, Marvin Schneider, wound and maintained the clock, giving weekly public tours of the clocktower.

In 2013, the City sold the building to respondent, Civic Center Community Group Broadway LLC (Developer), for $145 million. At the time of the transfer, the deed expressly stated that the purchase was subject to “Notice of Landmark Designation, recorded May 25, 1989.” Developer thus knowingly purchased more than a building with an artistic interior; it bought a historically significant structure, protected by law and intended to be preserved for public enjoyment. Indeed, Developer and its partner now seek to capitalize on the designation by advertising the building as a “Renaissance-Revival palace,” whose exterior and interiors were “designated as New York City landmarks” and will soon house luxury condominium residences and possibly a boutique hotel (The Peebles Corporation, 108 Leonard Street, http://peeblescorp.com/project/108-leonard-street [last visited Mar. 18, 2019], cached at http://www.nycourts.gov/reporter/webdocs/108-leonard-street.pdf).

Approximately 10 months later, Developer applied for a certificate of appropriateness with a 103-page proposal. Developer had acquired the necessary Department of Building permits and sought the LPC’s approval to restore the exterior and interior of the building. Developer planned to replace much of the exterior with new fixtures in the style of the original architecture, renovate the Banking Hall, and convert the rest of the building into residential properties.

As relevant to this appeal, the proposed alterations to the clock were the topic of heated debate at two public hearings LPC held in 2014. At the first hearing, Developer made clear that the clocktower, with its unique clock mechanism, would be sold as part of the private triplex apartment that would occupy the top floors of the building, rendering the clock inaccessible to the public. When asked whether it would be feasible to allow the public to access the clock mechanism from the roof, the Developer’s architect stated, “it is possible, but it is not our intention to do that.” During this exchange, counsel for the

LPC interjected: "there's no power under the Landmarks [Preservation] Law to require interior-designated spaces to remain public." When the discussion turned to the operation of the clock, Developer did not state whether the clock would continue to run with the original mechanism. However, counsel for the LPC advised "there's nothing in the Landmarks [Preservation] Law that requires or gives the Commission the power to require that this mechanism remain operable."

During the first hearing, the LPC also heard from members of community groups, preservation societies, and Clock Master Schneider, who all expressed concern that the clocktower would no longer be accessible to the public and that the mechanism would not function. Schneider also stated that the 1987 designation was intended to preserve the clock's mechanism and that disconnecting it would fundamentally alter the clock as a whole.

After a visit to the site, the LPC held a second public hearing one month later. There, Developer explained that it would disconnect the mechanism, electrify the clock, and weatherproof the part of the clocktower that housed the mechanism. While Developer's architect did not know all the details of the electrification process, he surmised that the mechanism would "[be] available at any time for anybody to look at or come back in some day and wind it up, who knows." Developer made clear, however, that the reason the mechanism would be disconnected was to ensure the privacy of the future owners of the triplex. Although there were questions from several commissioners regarding the LPC's authority to require public access and the maintenance of the original mechanism, LPC counsel repeated his opinion that the LPC was without authority to regulate the functioning of the clock or to require public access. The LPC Chair echoed counsel's position, stating that the "law does not require, again, that it remain open to the public and used." At the end of the hearing, the LPC voted to issue the certificate of appropriateness with one commissioner dissenting.

The certificate approved work that would renovate the exterior of the building and the Banking Hall. It also approved work that Developer had not initially proposed, which would involve "disconnecting, retaining, and protecting the existing clock mechanism and the restoration of the wood and glass mechanism enclosure; and electrifying the clock operation." In a single sentence, the LPC reasoned that such work will "fully restore[ ]" the clocktower and will ensure that the "clock mechanism and faces will be retained, thereby preserving these significant features."

III.

The LPC Decision to Approve the Clock's Privatization and Alteration

Save America's Clocks, a national horological preservation organization; The Historic Districts Council; Tribeca Trust; and other individuals involved in the preservation of the clock successfully challenged the LPC's approval of the certificate in the courts below. The majority now reverses, concluding that the LPC's decision was rational. I disagree, first, because the LPC permitted Developer to transform the clocktower, an interior landmark, from a publicly accessible space to a private luxury residence in contravention of the plain language of the Landmarks Preservation Law. The LPC's decision effectively rescinds the clock's landmark designation, an act which may only be accomplished by holding a public hearing, proposing rescission to the City Planning Commission, and obtaining approval of the rescission from the City Council and mayor. Second, the decision contravenes the LPC's statutory mandate to permit only those alterations that effectuate the purposes of the Landmarks Preservation Law. Such alterations do not include the conversion of a public treasure to a private apartment in a manner that irrevocably damages the unique and defining historic characteristic of the interior landmark.

In reviewing the LPC's decision, this Court must determine whether it "was affected by an error of law or was arbitrary and capricious or an abuse of discretion" (CPLR 7803 [3]). An agency's action is arbitrary and capricious where it lacks a rational basis and is taken without regard to the facts (*Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222, 231 [1974]). An agency decision in excess of its authority is ultra vires, infected by an error of law, and cannot stand (*see* CPLR 7803; *Matter of DeVera v Elia*, 32 NY3d 423 [2018]).

By approving alterations that rendered the clock mechanism inaccessible to the public, the LPC effectively rescinded the clock's designation. Public access is an essential characteristic of an interior landmark (Administrative Code § 25-302 [m]). Nothing in the statute requires unlimited round-the-clock access, but the opportunity for the public to view those features that warrant landmark designation is fundamental to the statute's purposes. Indeed, the Landmarks Preservation Law was enacted because the destruction of historic sites wrought "irreplaceable loss to the people of the city," and damaged the City's position as a destination for visitors and tourists (*id.* § 25-301 [a]).

That an interior landmark's designation requires some degree of public accessibility is evident from the language of the Landmarks Preservation Law. We begin with the well-established rules of construction that we may not interpret a statute in contravention of its plain language or in a manner that leads to incongruous results (McKinney's Cons Laws of NY, Book 1, Statutes § 94). The Landmarks Preservation Law's definition of an interior landmark must apply throughout the life of the designated site—otherwise it is not an interior landmark. The statute defines an interior landmark in the present, not the past: an interior landmark is one "customarily open or accessible to the public, or to which the public is customarily invited, and which has a special historical or aesthetic interest or value as part of the development, heritage or cultural characteristics of the city, state or nation" (Administrative Code § 25-302 [m]). It also requires that the site "has been designated as an interior landmark pursuant" to the Landmarks Preservation Law (*id.*). The use of the present tense and the requirement of a present designation make clear that an interior landmark is one that presently allows for customary openness. If the Council intended the definition to describe only a prospective interior landmark, then it would have used the past tense and not referred to a completed designation process.

Even if the plain text did not make clear that public access is an essential characteristic of an interior landmark, it would be a nonsensical interpretation of the statute that would permit a landmarked interior space to be closed off to the public indefinitely. If an interior landmark is defined, in part, as a site open to the public, it cannot be stripped of that characteristic and still retain its statutory designation. Otherwise, the definition would be rendered wholly meaningless. This reading of the Landmarks Preservation Law would allow for the absurd result where a space could be designated an interior landmark one day and shortly thereafter entirely closed off from the public. What would be the purpose of preserving a space for the public that the public will never enjoy?

The legislative history of the Landmarks Preservation Law also supports the conclusion that public access is a requirement for continued designation. While the plain language of a statute is "the best evidence of legislative intent, 'the legislative history of an enactment may also be relevant and is not to be ignored' " (*Kimmel v State of New York*, 29 NY3d 386, 397 [2017], quoting *Matter of Tompkins County Support Collection Unit v Chamberlin*, 99 NY2d 328, 335 [2003]). As that history reveals, when the Council was considering whether to amend the Landmarks Preservation Law to protect interior landmarks, the LPC threw its full support behind the amendment, agreeing with the Council's intended purpose to expand the statutory coverage only to those interiors permanently open to the public. As the LPC's letter to the Council explained:

> "New York City's buildings contain many architecturally notable interiors. Some buildings are actually more distinguished for certain of their great rooms than for their facades. Under the proposed expansion of its powers, the [LPC] will be able, after due notice and public hearing, to provide the same sort of protection to these interior spaces as it now provides to exteriors. The [LPC] agrees that this protection should be limited to interiors that are *permanently* available for public enjoyment" (NY City Landmarks Preservation Commn, Statement before NY City Council Comm on Charter & Govt Operations at 2 [Nov. 1, 1973] [emphasis added]).

Once passed, the amendment codified the Council's intention to ensure that interior landmarks provided a degree of permanent public access. Accordingly, the only interpretation supported by the Landmarks Preservation Law's plain text and its legislative history is that an interior landmark must be open and available for the public's welfare, enjoyment, and education. When the LPC designated the clock mechanism, it did so with the understanding that the mechanism was and would continue to be available for the public to view. The LPC's own words confirm the error of the current decision to permit privatization of the clocktower without public access and the majority's fundamentally flawed analysis in this regard.

Contrary to the majority's view (majority op at 208), an interior landmark cannot retain its designation if the complete denial of public access is part of the approved alteration. The majority's analysis is based on its erroneous reading of *Matter of Teachers Ins. & Annuity Assn. of Am. v City of New York* (82 NY2d 35 [1993]) as defining the public access requirement solely as "a 'jurisdictional predicate' for an initial LPC designation" (majority op at 208). *Teachers* required the Court to consider the LPC's authority to designate the interior of the historic Four Seasons restaurant.[3] The owner sought to distinguish what it called " 'inherently' public interiors, such as railroad stations, lobbies and theaters, which are intrinsically dedicated to public use by their public assemblage purpose," from the restaurant interior, which, although previously open to the public, did not have a "distinctively public purpose" (*Teachers*, 82 NY2d at 43). The Court rejected this argument based on the plain language of the statute which made no such distinction. As the Court explained, "[t]he crux of [the interior landmark definitional provision's public access requirement] is *customary* openness, accessibility, invitation to the public—words that are readily understood to require usual, ordinary or habitual (rather than rare or occasional) availability to the general public" (*id.*). The Court similarly rejected the owner's argument that the space fell outside the LPC's designation jurisdiction as a matter of law because it could be adapted for private use. In so doing, the Court acknowledged the uncontroversial fact "that *any* structure . . . can be converted to private use in the future; that potential cannot preclude the landmarking of appropriate interiors" (*id.* at 44). This statement and the Court's holding merely recognize that the then-extant potential to convert public space to private space does not foreclose landmark designation because otherwise, no space could ever be landmarked.

Properly understood, and in context, *Teachers* does not, as the majority contends, conclude that the public access requirement of the Landmarks Preservation Law is only relevant at the initial designation stage. In fact, the Court in *Teachers* had no reason to address the question of post-designation public access because the owner's challenge was limited to the LPC's

3. Designated in 1989, the Four Seasons interior is recognized as an uncommon example of International Style architecture (Landmarks Preservation Commn, Designation List 221 at 6, Oct. 3, 1989, http://s-media.nyc.gov/agencies/lpc/lp/1666.pdf, cached at http://www.nycourts.gov/reporter/webdocs/1666.pdf). Constructed in 1958, it was one of the costliest restaurants ever constructed at the time and was completed with rich materials and expert craftsmanship (*id.*). The restaurant also features numerous works of acclaimed modern art including Pablo Picasso's "The Three-Cornered Hat" (*id.*).

jurisdictional power to designate an interior space in the first instance.

The LPC's decision was also irrational and ultra vires because it permitted Developer to disconnect the clock from its mechanism, resulting in the destruction of an essential characteristic of the clock that warranted its interior landmark designation. The designation report describes the clock and the mechanism as "a rarity" and the interior components and all fixtures appurtenant to the interior are landmarked because of their "special character, special historical and aesthetic interest and value as part of the development, heritage and cultural characteristics of New York City." The mechanism's continued operation is part of the clock's unique character as the report explains that "[t]he clock is one of the few remaining in New York which has not been electrified." The fact that electrification of the clock will not affect the external appearance of the tower is irrelevant. It is the master design and detail of its interior mechanism and the fact that is not electrified that sets it apart from other clocktowers.

The majority asserts that the LPC's approval of the work was permissible because the Landmarks Preservation Law provides that a certificate of appropriateness may issue for the "demoli[tion of] any improvement . . . containing an interior landmark" (Administrative Code § 25-307 [a]; majority op at 208). However, the Landmarks Preservation Law cannot reasonably be understood as requiring the approval of both the City Council and mayor for the rescission of an interior landmark's designation, but not for the destruction of the landmark itself. Nor is this point applicable here as Developer did not seek to demolish the clock mechanism. Putting aside whether the LPC could approve work that would demolish the clock mechanism, that is not what LPC ultimately approved.

The LPC's decision to allow Developer to deny public access to the clock and to disconnect the clock mechanism is in direct contravention of the Landmarks Preservation Law's statutory purposes and public policy: the preservation of unique structures and spaces that reflect the City's aesthetic, cultural, and historic values for everyone's enjoyment (Administrative Code § 25-301; *Penn Central Transp. Co.*, 438 US at 108). The Law expressly provides that it is intended to "promote the use of [designated landmarks]" (Administrative Code § 25-301 [b] [g]). It authorizes the LPC to issue certificates of appropriateness where "the proposed work would be appropriate for and consistent with the effectuation of the purposes of" the Landmarks Preservation Law and requires the LPC to "consider the effects of the proposed work upon the protection, enhancement, perpetuation and use of the interior architectural features of such interior landmark which cause it to possess a special character or special historical or aesthetic interest or value" (*id.* § 25-307 [a], [e]). These affirmative obligations require the LPC's express attention to factors that impact a designated landmark, the public's use of it, and its continued viability as a public cultural asset. The Council mandated conservancy for the benefit of present and future generations. The Landmarks Preservation Law is not, as Developer would have it, for the benefit of those who can pay a high cost for private access. Nor is it intended to facilitate the desires of those who would rather do away with the public's cultural assets because they pose an inconvenience to private interests. The Council's intention is crystal clear: to preserve these spaces "for the education, pleasure and welfare of the people of the city" (*id.* § 25-301 [b] [g]). We cannot construe the Landmarks Preservation Law in a manner that subverts this legislative intent and the statutory rationale.[4]

Developer's contention that public access would impede the economic viability of landmarks, reduce funds for preservation, and discourage owners from seeking landmark designation reveals its fundamental misunderstanding of the Landmarks Preservation Law. The Council's enactment was in response to the destruction of structures and spaces of historical or aesthetic importance (*Penn Central Transp. Co.*, 438 US at 108-109). As the United States Supreme Court recognized in *Penn Central*, New York City's Landmarks Preservation Law, like other urban landmark laws, seeks to "encourage preservation by private owners and users" by ensuring owners "a 'reasonable return' on their investments and maximum latitude to use their parcels for purposes not inconsistent with the preserva-

4. I have no occasion to opine on whether the Appellate Division properly considered statements by the LPC Counsel that the LPC had no authority to require public access because my conclusion that the LPC reached an erroneous decision is based on a pure legal interpretation of the Landmarks Preservation Law and not dependent on whether the LPC adopted counsel's view of the statutory language (*Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451, 459 [1980]). However, Developer's argument in this regard fails to address well-established law that an agency's decision must be unaffected by an error of law (CPLR 7803). Developer fails to explain how the error discussed by the Appellate Division could be reviewed without reference to counsel's public hearing statements.

tion goals" (*id.* at 109-110). The key is that private use cannot be inconsistent with the public purposes and policy of the Landmarks Preservation Law. The Council intended to make it economically attractive for the private sector to assist with preservation and enacted legislation that would benefit both the public and private sector. However, what Developer advocates as a regime in which private development is prioritized over continued preservation is a far cry from the Landmarks Preservation Law's conservancy framework, which puts preservation front and center and fosters private interest in that endeavor with a reasonable return on ownership. Where, as here, the LPC approves alterations at odds with the preservation of the interior landmark's unique features and the public access requirement that justified designation in the first place, Developer's private use is wholly inconsistent with the goals and public policy of the Landmarks Preservation Law.[5] The LPC had no authority to permit what the Council forbids.

IV.

Conclusion

Soon after the demolition of Pennsylvania Station had commenced, acclaimed architecture critic Ada Louise Huxtable described the work as an indictment of the City's values. "We want and deserve tin-can architecture in a tin-horn culture. And we will probably be judged not by the monuments we build but by those we have destroyed" (Ada Louise Huxtable, *Farewell to Penn Station*, NY Times, Oct. 30, 1963 at 38). Fundamentally, the Landmarks Preservation Law, which grew from this fervor, recognized that the structures and sites that embody the spirit of the City should be preserved even when commercial interests seek their destruction. While it might be

5. Regardless of the LPC's approval of the renovations to the exterior and other portions of the building's interior, such as the Banking Hall, the Landmarks Preservation Law does not permit the denial of public access to the clock mechanism. The statute does not suggest that renovations of one designated landmark may justify the rescission of another. It would be particularly inappropriate here, where it was Developer's commercial interest in commodifying the clocktower, and not the work on the Banking Hall and exterior, that necessitated the alterations to the clock mechanism. Developer's architect said as much during the hearing when he explained the clock mechanism could be kept open to the public and that the purpose of electrifying the clock was to allow the clocktower to be sold as part of the triplex.

more profitable to disavow the clatter of the Cyclone, the sight of the Navy Yard dry dock, or the pace of the retractile Carroll Street Bridge, New York City appreciates these elements and the quality they add to public life. The LPC designation here recognized that it was not just the elegant faces of the clock that warranted protection, but also the less visible mechanism that gave it meaning and historical significance. By approving Developer's proposal to irrevocably alter the mechanics that define the unique horological features of the clock and indefinitely deny public access to this interior landmark in violation of the Landmarks Preservation Law, the LPC's decision was erroneous as a matter of law and cannot stand.[6] I would affirm the Appellate Division.

Judges STEIN, FAHEY and FEINMAN concur; Judge RIVERA dissents and votes to affirm in an opinion in which Judge WILSON concurs; Chief Judge DIFIORE taking no part.

Order reversed, with costs, and proceeding dismissed.

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6. Although raised in the Appellate Division, there is no takings question presented before this Court. In any event, such an argument would be meritless as Developer did not request a certificate of appropriateness on the ground of insufficient return pursuant to the hardship provision of the Landmarks Preservation Law (*see* Administrative Code § 25-309).

[124 NE3d 230, 100 NYS3d 680]

In the Matter of LARCHMONT PANCAKE HOUSE, Appellant, v BOARD OF ASSESSORS AND/OR THE ASSESSOR OF THE TOWN OF MAMARONECK et al., Respondents. (And Three Other Proceedings.)

Argued February 13, 2019; decided April 2, 2019

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered August 2, 2017. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, Westchester County (Bruce E. Tolbert, J.; op 2015 NY Slip Op 32901[U] [2015]), entered in four related proceedings pursuant to Real Property Tax Law article 7 to review real property tax assessments for the tax years 2010, 2011, 2012, and 2013, which had denied respondents' motions to dismiss the petition in each proceeding; and (2) granted the motions.

Matter of Larchmont Pancake House v Board of Assessors and/or the Assessor of the Town of Mamaroneck, 153 AD3d 521, affirmed.

HEADNOTE

Taxation — Assessment — Standing to Maintain Tax Certiorari Proceeding

Petitioner restaurant operator, which was the sole occupant of the real property and paid the entirety of the real property taxes directly to the taxing authority for the tax years in question but was not the owner of the real property or legally bound to pay the taxes or authorized to pursue the proceedings it brought challenging the tax assessments, was not an "aggrieved party" within the meaning of RPTL article 7. In the absence of a direct contractual obligation, the tax assessment's remote and consequential impact on petitioner was inadequate to confer standing to maintain a tax certiorari proceeding pursuant to RPAPL article 7. Although petitioner, like any taxpaying tenant, was not immune from the impact of an increased tax obligation, petitioner could have ceased paying the property taxes at any time without incurring any direct legal consequence vis-à-vis the taxing authority or the property owner. While paying taxes always has a direct adverse effect on one's pecuniary interest, that alone has never been enough. Only a lessee who is obligated to pay an assessment is sure to lose something from the lessee's own property or means.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d State and Local Taxation §§ 127, 681, 693–694;
AM JUR 2d Taxpayers' Actions § 15.

Carmody-Wait 2d Judicial Review of Assessments and Taxes §§ 146:1, 146:32–146:33, 146:41, 146:81.

McKinney's, RPAPL art 7.

NY Jur 2d Taxation and Assessment §§ 416, 424, 481–482.

ANNOTATION REFERENCE

Who is aggrieved within statutes providing remedies in tax cases. 74 ALR 1221.

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POINTS OF COUNSEL

Herman Katz Cangemi & Clyne, LLP, Melville (*Kevin M. Clyne* and *Warren M. Dubitsky* of counsel), for appellant. I. The Second Department's decision contradicts the plain language of RPTL 524 (3), is inconsistent with the balance of article 5 of the RPTL, and is contrary to the rules of statutory construction. (*Khela v Neiger*, 85 NY2d 333; *Baldine v Gomulka*, 61 AD2d 419; *Matter of Bliss v Bliss*, 66 NY2d 382; *Mangam v City of Brooklyn*, 98 NY 585; *Matter of Orens v Novello*, 99 NY2d 180.) II. The Second Department's reliance on the *Matter of Circulo Hous. Dev. Fund Corp. v Assessor of City of Long Beach, Nassau County, NY* (96 AD3d 1053 [2d Dept 2012]) property tax exemption case conflates the strict standards necessary for obtaining a property tax exemption pursuant to RPTL 420-a with the more liberal standards applicable to an aggrieved taxpayer obtaining administrative and judicial review of an assessment. (*Matter of Yeshivath Shearith Hapletah v Assessor of Town of Fallsburg*, 79 NY2d 244; *W.T. Grant Co. v Srogi*, 52 NY2d 496; *Matter of Great E. Mall v Condon*, 36 NY2d 544; *Matter of Plaro Estates, Inc. v Assessor*, 101 AD3d 886; *Matter of Ames Dept. Store, No. 418 v Assessor of Town of Greece*, 261 AD2d 835; *Matter of Waldbaum, Inc. v Finance Adm'r of City of N.Y.*, 74 NY2d 128.) III. The Second Department's decision ignores and contradicts decades of New York precedent where the predicate administrative grievance was filed by a nonowner of a property and courts found subject matter jurisdiction over the subsequent court proceeding. (*Matter of McLean's Dept. Stores v Commissioner of Assessment of City of Binghamton*, 2 AD2d 98; *Matter of Circulo Hous. Dev. Fund Corp. v Assessor of City of Long Beach, Nassau County,* *NY*, 96 AD3d 1053; *Matter of EFCO Prods. v Cullen*, 161 AD2d 44; *Matter of Big "V" Supermarkets, Store #217 v Assessor of Town of E. Greenbush*, 114 AD2d 726; *Matter of Birchwood Vil. LP v Assessor of the City of Kingston*, 94 AD3d 1374; *Matter of Hangair, LLC v Hillock*, 126 AD3d 1092; *Matter of Onteora Club v Board of Assessors of Town of Hunter*, 29 AD2d 251.) IV. The Second Department's decision overlooks the purpose of the administrative review of assessments and frustrates the important role that the process plays in avoiding litigation and minimizing cost. (*Matter of Sterling Estates v Board of Assessors of County of Nassau*, 66 NY2d 122; *Matter of McLean's Dept. Stores v Commissioner of Assessment of City of Binghamton*, 2 AD2d 98; *Matter of Waldbaum, Inc. v Finance Adm'r of City of N.Y.*, 74 NY2d 128.) V. The Second Department misapplied statutory and case law in holding that the court lacked subject matter jurisdiction. (*Matter of Sterling Estates v Board of Assessors of County of Nassau*, 66 NY2d 122; *Matter of City of Little Falls v Board of Assessors of Town of Salisbury*, 68 AD2d 734; *Matter of Cherrypike Estates v Herbert*, 67 Misc 2d 853; *City of Rochester v Assessors of Town of Canadice*, 136 AD2d 966; *City of Albany v Town of Coeymans*, 253 App Div 436; *Matter of Onteora Club v Board of Assessors of Town of Hunter*, 29 AD2d 251; *Matter of McLean's Dept. Stores v Commissioner of Assessment of City of Binghamton*, 2 AD2d 98; *Matter of Miller v Board of Assessors*, 91 NY2d 82; *Matter of Big "V" Supermarkets, Store #217 v Assessor of Town of E. Greenbush*, 114 AD2d 726; *Matter of Astoria Fed. Sav. & Loan Assn. v Board of Assessors*, 212 AD2d 600.) VI. The Second Department's opinion is inconsistent with the remedial nature of these proceedings, which mandates the most liberal construction of the laws such that a taxpayer and aggrieved party, such as Larchmont Pancake House, shall have its assessment review curtailed by a technicality. Here, the Court's interpretation of the law simply imposes requirements that do not exist in the statute. (*W.T. Grant Co. v Srogi*, 52 NY2d 496; *Matter of Great E. Mall v Condon*, 36 NY2d 544; *Matter of Plaro Estates, Inc. v Assessor*, 101 AD3d 886; *Watergate II Apts. v Buffalo Sewer Auth.*, 46 NY2d 52; *Lehigh Portland Cement Co. v New York State Dept. of Envtl. Conservation*, 87 NY2d 136; *Matter of Level 3 Communications, LLC v DeBellis*, 72 AD3d 164.)

William Maker, Jr., Mamaroneck, for respondents. I. The Appellate Division should be affirmed because the petitioner-appellant is not "aggrieved." (*Matter of Waldbaum, Inc. v Finance Adm'r of City of N.Y.*, 74 NY2d 128; *Matter of Saint Gobain v Assessor of Town of Wheatfield*, 17 AD3d 1112; *Matter of Malik v Tax Commn. of the City of N.Y.*, 68 AD3d 870; *Matter of Mott Haven Furniture Co. v Finance Admin. of City of N.Y.*, 130 Misc 2d 667; *Matter of Greenburger v Tax Commn. of City of N.Y.*, 57 AD3d 218; *Congel v Malfitano*, 31 NY3d 272.) II. Non-owners filing RPTL 524 complaints is not a "universally accepted" legal principle. (*Matter of McLean's Dept. Stores v Commissioner of Assessment of City of Binghamton*, 2 AD2d 98; *Matter of Grecian Garden Apts. v Barlow*, 71 Misc 2d 457; *Matter of Raer Corp. v Village Bd. of Trustees of Vil. of Clifton Springs*, 78 AD2d 989, 53 NY2d 677; *Matter of Radisson Community Assn. v Long*, 3 AD3d 135, 4 NY3d 870.) III. RPTL 524 (3) ("the person whose property is assessed") and 704 (1) ("[a]ny person claiming to be aggrieved by any assessment") contain two completely different categories requiring two completely different definitions. (*People v Brancoccio*, 83 NY2d 638; *Matter of Level 3 Communications, LLC v Clinton County*, 144 AD3d 115; *International Union of Painters & Allied Trades, Dist. Council No. 4 v New York State Dept. of Labor*, 147 AD3d 1542; *Rocovich v Consolidated Edison Co.*, 78 NY2d 509.) IV. The RPTL 524 complaint form and RPTL 523-b furnish additional proof that *Matter of Circulo Hous. Dev. Fund Corp. v Assessor of City of Long Beach, Nassau County, NY* (96 AD3d 1053 [2d Dept 2012]) and *Matter of Larchmont Pancake House v Board of Assessors and/or the Assessor of the Town of Mamaroneck* (153 AD3d 521 [2d Dept 2017]) were decided correctly. (*People v Brancoccio*, 83 NY2d 638.) V. Courts do not have the same authority to correct mistakes in the administrative review that they have to correct errors in court proceedings. (*Matter of Circulo Hous. Dev. Fund Corp. v Assessor of City of Long Beach, Nassau County, NY*, 96 AD3d 1053; *Matter of Miller v Board of Assessors*, 91 NY2d 82; *Matter of Great E. Mall v Condon*, 36 NY2d 544; *Matter of Plaro Estates, Inc. v Assessor*, 101 AD3d 886; *Matter of Ames Dept. Stores v Assessor of Town of Concord*, 102 AD2d 9; *Matter of Board of Mgrs. of Century Condominium v Board of Assessors*, 96 AD3d 739; *Matter of the City of Little Falls v Board of Assessors of the Town of Salisbury*, 68 AD2d 734; *Matter of Sterling Estates v Board of Assessors of County of Nassau*, 66 NY2d 122; *Matter of Onteora Club v Board of Assessors of Town of Hunter*, 17 AD2d 1008; *Matter of Frei v Town of Livingston*, 50 AD3d 1381.) VI. Contrary to the petitioner-appellant's lament, persons who are "aggrieved" are not powerless. (*Matter of Grecian Garden Apts. v Barlow*, 71 Misc 2d 457; *Matter of Mott Haven Furniture Co. v Finance Admin. of City of N.Y.*, 130 Misc 2d 667.) VII. The petitioner-appellant launches a broadside at *Matter of Circulo Hous. Dev. Fund Corp. v Assessor of City of Long Beach, Nassau County, NY* (96 AD3d 1053 [2d Dept 2012]) and *Matter of Larchmont Pancake House v Board of Assessors and/or the Assessor of the Town of Mamaroneck* (153 AD3d 521 [2d Dept 2017]) that is refuted easily. (*Matter of Big "V" Supermarkets, Inc., Store #217 v Assessor of Town of E. Greenbush*, 114 AD2d 726; *Matter of Birchwood Vil. LP v Assessor of the City of Kingston*, 94 AD3d 1374; *Matter of Erie County Indus. Dev. Agency v Roberts*, 94 AD2d 532, 63 NY2d 810; *Davidson Pipe Supply Co. v Wyoming County Indus. Dev. Agency*, 85 NY2d 281; *Matter of Waldbaum, Inc. v Finance Adm'r of City of N.Y.*, 74 NY2d 128; *Ames Dept. Store v Assessor*,102 AD2d 9; *Matter of Onteora Club v Board of Assessors of Town of Hunter*, 29 AD2d 251; *Matter of Sterling Estates v Board of Assessors of County of Nassau*, 66 NY2d 122; *Matter of Tennanah Lake Townhouse & Villa Community v Town of Fremont*, 168 AD2d 789.)

Cronin & Cronin Law Firm, PLLC, Mineola (*Raymond Furey* of counsel), for Stop and Shop Supermarket Company, LLC, amicus curiae. I. The Appellate Division correctly held that under RPTL 704 Larchmont Pancake House, as the taxpayer, is an aggrieved party with the right to judicially challenge their real estate tax burden. (*Matter of Steel Los III/Goya Foods, Inc. v Board of Assessors of County of Nassau*, 10 NY3d 445; *Matter of Waldbaum, Inc. v Finance Adm'r of City of N.Y.*, 74 NY2d 128; *Matter of Saint Gobain v Assessor of Town of Wheatfield*, 17 AD3d 1112; *Matter of Mack v Assessor of Town of Ramapo*, 72 AD2d 604.) II. The Appellate Division wrongly removed the rights given to taxpaying tenants and other similarly situated entities and individuals in RPTL article 7 by making these aggrieved parties ineligible to pursue their claims under an administrative condition precedent in RPTL 524 without due process. (*Board of Trustees of the Vil. of Groton v Pirro*, 152 AD3d 149; *Baldine v Gomulka*, 61 AD2d 419.) III. RPTL 524 is remedial in nature and not designed to preclude thousands of taxpaying aggrieved parties who have the right to judicially challenge their real estate tax obligation pursuant to RPTL article 7 by a technical point not present in the plain language of the statute or legislature's intent. (*Matter of Dew-*

ine v State of N.Y. Bd. of Examiners of Sex Offenders, 89 AD3d 88; *Matter of Sterling Estates v Board of Assessors of County of Nassau*, 66 NY2d 122; *Matter of Waldbaum, Inc. v Finance Adm'r of City of N.Y.*, 74 NY2d 128; *Matter of Onteora Club v Board of Assessors of Town of Hunter*, 29 AD2d 251.) IV. The Appellate Division's mistaken reliance on the *Matter of Circulo Hous. Dev. Fund Corp. v Assessor of City of Long Beach, Nassau County, NY* (96 AD3d 1053 [2d Dept 2012]) case fails to recognize the fundamental difference in filing requirements between the case before this Court in which an aggrieved taxpayer challenges its real estate tax obligation and the *Circulo* case, a tax exemption case guided by RPTL 420-a which requires the owner, the only entity entitled to file for tax exemption, to file judicial and administrative grievances challenging the denial of a tax exemption. (*Matter of Greater Jamaica Dev. Corp. v New York City Tax Commn.*, 25 NY3d 614.) V. Recognizing the unjust consequences of the Appellate Division's mistaken decision in this case, courts throughout the State of New York are issuing decisions correctly interpreting RPTL 524 and 704 in favor of the taxpayer. (*Matter of Long Is. Power Auth. v Assessor of the Town of Huntington*, 164 AD3d 591; *Matter of Circulo Hous. Dev. Fund Corp. v Assessor of City of Long Beach, Nassau County, NY*, 96 AD3d 1053; *Matter of Astoria Fed. Sav. & Loan Assn. v Board of Assessors*, 212 AD2d 600; *Matter of Raer Corp. v Village Bd. of Trustees of Vil. of Clifton Springs*, 78 AD2d 989; *W.T. Grant v Srogi*, 52 NY2d 496.) VI. The Appellate Division's harmful decision forces taxpaying tenants and other similarly situated entities to be held hostage by uncooperative owners and over-assessing, overtaxing municipalities.

Forchelli Deegan Terrana LLP, Uniondale (*Peter B. Skelos, Jeffrey G. Stark, John V. Terrana* and *Nathan R. Jones* of counsel), and *Christine Mott, General Counsel, International Council of Shopping Centers*, for International Council of Shopping Centers, amicus curiae. *Matter of Larchmont Pancake House v Board of Assessors and/or the Assessor of the Town of Mamaroneck* (153 AD3d 521 [2d Dept 2017]) should be reversed or modified because it went beyond the facts presented, could cause many pending tax certiorari proceedings commenced by net lessees to be dismissed, is in conflict with decisions of the Third Department, and was otherwise wrongly decided. (*Matter of Circulo Hous. Dev. Fund Corp. v Assessor of City of Long*

Beach, Nassau County, NY, 96 AD3d 1053; *Matter of McLean's Dept. Stores v Commissioner of Assessment of City of Binghamton*, 2 AD2d 98; *Matter of Big "V" Supermarkets, Store #217 v Assessor of Town of E. Greenbush*, 114 AD2d 726; *People ex rel. W. Shore R.R. Co. v Johnson*, 29 App Div 75; *Matter of King v Cuomo*, 81 NY2d 247; *Matter of McCann v Scaduto*, 71 NY2d 164; *Matter of Board of Educ. of Cent. School Dist. No. 1 v Parsons*, 61 Misc 2d 838; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205; *Bender v Jamaica Hosp.*, 40 NY2d 560.)

New York State School Boards Association, Inc., Latham (*Jay Worona* and *Jeffrey Mongelli* of counsel), for New York State School Boards Association, Inc., amicus curiae. I. The Court below properly determined that the petitioner-appellant is not authorized to seek administrative review of the property tax assessment at issue herein pursuant to RPTL 524 (3). (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Cole v Mandell Food Stores*, 93 NY2d 34; *People v Shakun*, 251 NY 107; *Matter of Circulo Hous. Dev. Fund Corp. v Assessor of City of Long Beach, Nassau County, NY*, 96 AD3d 1053; *Matter of McLean's Dept. Stores v Commissioner of Assessment of City of Binghamton*, 2 AD2d 98; *Matter of Malpica-Orsini*, 36 NY2d 568, 423 US 1042; *Oneida Natl. Bank & Trust Co. of Utica v Manikas*, 10 Misc 2d 671; *People v Graham*, 55 NY2d 144; *Klein v City of Yonkers*, 53 NY2d 1011.) II. The Court below's interpretation of RPTL 524 (3) is consistent with basic principles of property ownership rights. (*Kaiser Aetna v United States*, 444 US 164.) III. An expansion of the class of persons who can file complaints to commence administrative reviews of property tax assessments under RPTL 524 (3) is likely to have a negative impact on school districts. (*Campaign for Fiscal Equity v State of New York*, 86 NY2d 307; *Board of Educ., Levittown Union Free School Dist. v Nyquist*, 57 NY2d 27; *Matter of Circulo Hous. Dev. Fund Corp. v Assessor of City of Long Beach, Nassau County, NY*, 96 AD3d 1053; *Matter of McLean's Dept. Stores v Commissioner of Assessment of City of Binghamton*, 2 AD2d 98.)

New York State Conference of Mayors and Municipal Officials, Albany (*Richard Sinnott* of counsel), and *Association of Towns of the State of New York*, Albany (*Sarah Brancatella* of counsel), for New York State Conference of Mayors and Municipal Officials and another, amici curiae. I. The Court should not unnecessarily complicate a straightforward standard by allowing those who do not own or have permission from the property owner to file a complaint and grieve a property tax assessment at the local level. (*Matter of Sterling Estates v Board of Assessors of County of Nassau*, 66 NY2d 122; *Matter of Waldbaum, Inc. v Finance Adm'r of City of N.Y.*, 74 NY2d 128; *Matter of Ames Dept. Store, No. 418 v Assessor of Town of Greece*, 261 AD2d 835; *Matter of Big "V" Supermarkets, Store #217 v Assessor of Town of E. Greenbush*, 114 AD2d 726; *Matter of EFCO Prods. v Cullen*, 161 AD2d 44; *Matter of Onteora Club v Board of Assessors of Town of Hunter*, 29 AD2d 251.) II. It is contrary to public policy to allow someone with no legal or contractual obligation to pay property taxes to challenge an assessment.

OPINION OF THE COURT

GARCIA, J.

The Real Property Tax Law sets out a tiered scheme for the review of property tax assessments. Initially, a complainant who is dissatisfied with a property assessment may seek administrative review by filing a grievance complaint with the assessor or the board of assessment review (*see* RPTL 524). The requirements for initiating administrative review of a tax assessment are set forth in RPTL article 5 (*see* RPTL 524 ["Complaints with respect to assessments"]). RPTL 524 provides that "a complaint with respect to an assessment . . . must be made by the person whose property is assessed, or by some person authorized in writing by the complainant or his officer or agent to make such a statement who has knowledge of the facts stated therein" (RPTL 524 [3]).

Once a grievance complaint has been properly filed and the board of assessment review has made a determination, any "aggrieved party" may seek judicial review of the assessment pursuant to RPTL article 7 (*see Matter of Waldbaum, Inc. v Finance Adm'r of City of N.Y.*, 74 NY2d 128, 132 [1989]; RPTL 704 ["Commencement of proceeding"]). In order to maintain an article 7 tax certiorari proceeding, the aggrieved party must allege in its petition that "a complaint was made in due time to the proper officers to correct such assessment" (RPTL 706 [2]). In other words, the proper filing of an administrative grievance pursuant to RPTL article 5 is a condition precedent to judicial review pursuant to RPTL article 7.

The dispute in this case concerns the pool of appropriate challengers at each stage of assessment review. In particular, the parties dispute (1) whether petitioner is qualified, as a non-owner, to seek administrative review pursuant to RPTL 524 (3), and (2) whether petitioner is an "aggrieved party" with standing to maintain a tax certiorari proceeding pursuant to RPTL article 7.

I.

This appeal arises out of four tax certiorari proceedings challenging annual tax assessments on real property located in the Town of Mamaroneck. Petitioner, the Larchmont Pancake House, is a family-owned corporation that operates an International House of Pancakes franchise on that property. The corporation was formed by Frank and Susan Carfora. The Carforas owned the real property together until Frank's death, when Susan became the sole owner. Upon Susan's death in October 2009, the property was transferred to a revocable trust (the Carfora trust) pursuant to the terms of Susan's will.

Nearly four years later, in June 2013, the real property was transferred to Susan's daughters, Irene Corbin and Portia DeGast, pursuant to the terms of the Carfora trust. In the interim, petitioner continued to operate the restaurant on the property and to pay all of the operating costs, including the real estate taxes.

In the tax years 2010, 2011, 2012, and 2013, petitioner timely filed administrative grievance complaints, challenging the real property assessments for each of those years. Each complaint attached an authorization signed by Portia DeGast in her capacity as the president or owner of the Larchmont Pancake House. The Board of Assessment Review confirmed the tax assessments, and petitioner thereafter commenced tax certiorari proceedings—a separate one for each year—pursuant to RPTL article 7. Respondents (the Board of Assessors, the Assessor of the Town of Mamaroneck, and the Board of Assessment Review) moved to dismiss the petitions, arguing that (1) Supreme Court lacked subject matter jurisdiction because petitioner was not the owner of the real property and therefore had not satisfied RPTL 524 (3)'s requirements for commencing the administrative proceeding, and (2) petitioner lacked standing to challenge the tax assessments because petitioner was not an aggrieved party, as required by RPTL 704 (1).

Supreme Court denied respondents' motion to dismiss the petition in each proceeding (2015 NY Slip Op 32901[U] [Sup Ct, Westchester County 2015]). The court first rejected respondents' argument that petitioner failed to comply with a "precondition of the assessment challenge" provided by RPTL 524 (*id.* at *2). Even though the petition was "not signed by the owner of the property," the court declined to "hang the decision on that simplistic peg," noting that Portia DeGast "was one of the beneficiaries of a Trust which owned the property" (*id.*). The court also rejected respondents' standing argument, holding that "Portia DeGast was an aggrieved party with the necessary standing" to institute the judicial proceeding (*id.* at *3).

The Appellate Division unanimously reversed and granted respondents' motions to dismiss (153 AD3d 521 [2d Dept 2017]). The Court agreed that petitioner had standing as an "aggrieved party" for purposes of RPTL article 7—reasoning that the tax assessments had a "direct adverse [e]ffect" on petitioner's pecuniary interests—but determined that Supreme Court nonetheless "lacked subject matter jurisdiction to review the assessments" (*id.* at 522). The Court noted that "the filing of a grievance complaint" is a "condition precedent and jurisdictional prerequisite to obtaining judicial review" and, pursuant to RPTL article 5, the "property owner" must "file the complaint or grievance to obtain administrative review of a tax assessment" (*id.*). In this case, petitioner "never owned the subject property" and, consequently, the Court determined that petitioner was not authorized to file the grievance complaint (*id.*). Accordingly, the Court held that petitioner "failed to satisfy a condition precedent to the filing of the petitions" and therefore Supreme Court "should have granted [respondents'] motion[ ] to dismiss the petition in each proceeding" (*id.*).

This Court subsequently granted petitioner's motion for leave to appeal (31 NY3d 907 [2018]). We now hold that petitioner is not an aggrieved party within the meaning of RPTL article 7 and, accordingly, that petitioner lacks standing to maintain this proceeding. We affirm on that ground.

II.

A taxpayer is aggrieved under article 7 where the tax assessment has a "direct adverse [e]ffect on the challenger's pecuniary interests" (*Matter of Waldbaum, Inc. v Finance Adm'r of City of N.Y.*, 74 NY2d 128, 132 [1989]; *see also Matter of Steel Los III/Goya Foods, Inc. v Board of Assessors of County of Nassau*, 10 NY3d 445, 452-453 [2008]; *Matter of Walter*, 75 NY 354, 357 [1878]). The quintessential aggrieved party under RPTL article 7 is a taxpaying owner of real property (*see Mat-*

ter of Garth v Board of Assessment Review for Town of Richmond, 13 NY3d 176, 178 [2009]; *Matter of Gantz*, 85 NY 536, 538 [1881]; *Walter*, 75 NY at 357). Naturally, when an assessment is laid, it is "[t]he owner of the land" whose property is "rendered so much the less valuable to him" and "worth so much the less in the market" (*Walter*, 75 NY at 357). Besides the property owner, the lessee of an undivided assessment unit may be aggrieved by a tax assessment "if legally bound by the lease to pay the entire assessment on behalf of the owner at the time it is laid" (*Waldbaum*, 74 NY2d at 133; *see also Matter of Burke*, 62 NY 224, 227-228 [1875]). Much like an owner, a lessee who is "bound by his lease to pay an assessment" is "likely to be put to litigation and expense" as a direct result of its legal obligation (*Burke*, 62 NY at 227-228).

In *Matter of Waldbaum*, the Court considered whether a partial commercial lessee may be an "aggrieved party" if responsible, under the terms of its lease, to pay a pro rata share of the property taxes (*Matter of Waldbaum, Inc. v Finance Adm'r of City of N.Y.*, 74 NY2d 128, 132 [1989]). There, the petitioner entered into a 20-year lease with a shopping center. The shopping center paid the property taxes, but the petitioner's lease required it to pay a formulated share, such that a tax increase would cause an increase in the petitioner's annual rent costs (*id.*). The petitioner later instituted successive tax certiorari proceedings challenging several real property tax assessments levied against the shopping center.

Adhering to established aggrievement principles, the Court in *Waldbaum* determined that "[a] fractional lessee lacks standing to maintain a tax certiorari proceeding unless the lease expressly confers the right to assert the lessor's undivided property interest in a challenge of the assessment, or unless the lessee is required to pay directly the taxes levied against the lessor's undivided parcel" (*Waldbaum*, 74 NY2d at 132). The petitioner in *Waldbaum* was not, "by contractual rearrangement of the obligation," made wholly responsible for the tax liability; legal responsibility for the assessment instead remained with the shopping center (*id.* at 131, 133, 134). Even though, as a practical matter, the property assessment had an adverse financial impact on the petitioner, it had, "in the legal sense," only a "remote and consequential impact" on the petitioner's pecuniary interest—"not the required direct adverse [e]ffect necessary to confer standing" (*id.* at 131).

Here, the parties agree that, during the relevant years, petitioner was not the owner of the subject property, nor was petitioner legally bound to pay the real property taxes. Petitioner contends, however, that the tax assessments had a direct impact on its pecuniary interest sufficient to render it "aggrieved" within the meaning of RPTL article 7: Unlike the petitioner in *Waldbaum*, petitioner here is the sole occupant of the property—not a partial lessee—and, during the relevant years, petitioner paid the entirety of the real property taxes directly to the taxing authority—not merely a pro rata share. But the critical fact remains the same: Like the petitioner in *Waldbaum*, petitioner here was not "legally responsible" for paying the undivided tax liability (*Waldbaum*, 74 NY2d at 134).

A contractual obligation to assume the undivided tax liability ensures the requisite direct pecuniary impact, irrespective of whether the taxpayer is a fractional lessee (*Matter of Big "V" Supermarkets, Store #217 v Assessor of Town of E. Greenbush*, 114 AD2d 726, 727 [3d Dept 1985]) or a nonfractional lessee (*Matter of Malik v Tax Commn. of the City of N.Y.*, 68 AD3d 870, 871 [2d Dept 2009]). Of course, like any taxpaying tenant, petitioner is not immune from the impact of an increased tax obligation. That burden may be sizeable, particularly in the case of a long-standing occupant. But like any tenant—long-term or not—petitioner could have ceased paying the property taxes at any time without incurring any direct legal consequence vis-à-vis the taxing authority or the property owner. Instead, it was the property owner—the Carfora trust—that risked loss of the property if the taxes were not paid (*Walter*, 75 NY at 357; *see also Burke*, 62 NY at 227-228). In other words, only a lessee who is "obligated to pay" an assessment is sure to "lose something from his own property or means" (*Walter*, 75 NY at 357). For those reasons, while "paying taxes always has a direct adverse effect on one's pecuniary interest" (dissenting op at 246), that alone has never been enough (*see Waldbaum*, 74 NY2d at 131). Accordingly, in the absence of a direct contractual obligation, the assessment's remote and consequential impact on petitioner is inadequate to confer standing.[1]

A direct legal obligation also promotes the goals of clarity, efficiency, and judicial economy embodied in the RPTL. As we

1. The informal, de facto "arrangement" described in the affidavits of Portia DeGast and the trustee—whereby petitioner paid the operating costs while occupying the property rent-free—does not amount to a contractual obligation, regardless of whether it involved members of a "happy family" (dissenting op at 256), or generated "smiles of . . . satisfied customers" (dissenting op at 244). Nor does petitioner contend that the arrangement imposed

(n. cont'd)

have noted before, article 7's standing requirement serves a number of salutary purposes: avoiding a fracturing of challenges against an assessment; preventing duplicative petitions; and protecting the taxing authority from multiple litigations as to the same parcel by parties of unknown relation to the taxed premises (*Waldbaum*, 74 NY2d at 134). To those ends, article 7's aggrievement provision consolidates the authority to seek judicial review of a challenged assessment, generally requiring non-owners to assume a direct obligation to pay the owner's taxes, or to obtain a contractual authorization to pursue a tax certiorari proceeding. By narrowing the field of appropriate challengers, this bright-line rule avoids needless confusion and thereby minimizes the risk of fractured and duplicative assessment challenges. Here, petitioner lacks any legal obligation to assume the undivided tax liability or authorization to pursue this proceeding and, as such, lacks standing under article 7.

Nor is Portia DeGast an aggrieved party based on her status as a beneficiary of the Carfora trust. The parties agree that, during the relevant years, the trust itself—not Ms. DeGast—owned the subject property. Like petitioner, Ms. DeGast was not authorized to pursue an article 7 proceeding on the property owner's behalf. And, like petitioner, Ms. DeGast lacked any legal obligation to pay the real property taxes; to the contrary, the terms of the Carfora trust explicitly authorized beneficiaries to "enjoy the assets held by the trust *without rent or other compensation* to the trust, such as by occupying the trust's real property" (emphasis added). In any event, the petitioner in this matter is the Larchmont Pancake House—not Ms. DeGast.[2]

III.

Petitioner is a non-owner with no legal authorization or obligation to pay the real property taxes and, as such, petitioner is not an aggrieved party within the meaning of RPTL article 7. Because petitioner lacks standing, we have no occasion to consider the parties' dispute concerning the scope of

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any sort of legal obligation with regard to payment of the real property taxes (*contra* dissenting op at 251 [reasoning that petitioner's arrangement constituted a "classic bargained-for exchange"]).

2. This case is also not about a "clerical" error or "technicality" (dissenting op at 241, 255). Petitioner does not contend that Ms. DeGast intended to sign (or had the capacity to sign) the authorization on behalf of the Carfora trust.

appropriate challengers under RPTL 524. Accordingly, the order of the Appellate Division should be affirmed, with costs.

WILSON, J. (dissenting). Real Property Tax Law § 704 (1) provides, in relevant part, that "[a]ny person claiming to be aggrieved by any assessment of real property upon any assessment roll" may seek judicial review of that assessment. The majority holds that a person who, pursuant to a long-standing arrangement, pays 100% of the property taxes on a piece of land cannot "claim[ ] to be aggrieved" even by the improper inflation of the property taxes they pay.

That conclusion is as wrong as it sounds. Worse still, the mistake relied on to divest these aggrieved taxpayers of their right to judicial review is purely clerical: hardworking pancake proprietors, following their mother's death, listed the name of their business instead of the name of the trust that temporarily held legal (but not equitable) title to the land on which their business sat. The trust filed an affidavit saying it would have approved of the tax proceedings when they were filed, and executed authorizations of the proceedings once the problem was brought to its attention. To top it off, the Town knew all along who owned the property and did not see fit to mention it until four years had passed. All agree the claimed error was harmless, yet the Court dismisses the proceedings anyway.

For almost a century, we have followed the rule that courts should disregard errors like this, so that taxpayers can vindicate their rights to an accurate and equitable property tax assessment (NY Const, art XVI, § 2; art I, § 11). "The Tax Law," we have explained, "relating to review of assessments is remedial in character and should be liberally construed to the end that the taxpayer's right to have [its] assessment reviewed should not be defeated by a technicality" (*People ex rel. New York City Omnibus Corp. v Miller*, 282 NY 5, 9 [1939]). Putting the wrong name on a tax assessment challenge is the kind of "technicality" the courts should disregard if no one is prejudiced (*People ex rel. Durham Realty Corp. v Cantor*, 234 NY 507, 508 [1922]) and the party in whose name the proceeding should have been brought consents. If our own precedent were not enough reason to permit this error to be corrected and the challenge to proceed as filed, the legislature has repeatedly directed the courts to ignore defects in petitions, complaints, and pleadings "if a substantial right of a party is not prejudiced" (CPLR 2001, 3026). These provisions embody "an enlightened system of civil procedure that eschews the elevation of form over substance" (Vincent C. Alexander, Practice Commentaries, McKinney's Cons Laws of NY, Book 7B, CPLR 2001). The late Professor David Siegel, "a preeminent expert in New York civil practice" (*Rodriguez v City of New York*, 31 NY3d 312, 318 n 3 [2018]), described one of these statutes, CPLR 3026, as "the philosopher, the oracle, to which all disputants turn for advice . . . [declaring that] [i]f the defect prejudices no one, it must be ignored" (David D. Siegel, Practice Commentaries, McKinney's Cons Laws of NY, Book 7B, CPLR C3026:1).

The majority abandons our rule of lenity and renders CPLR 3026 a Cassandra. Relying on hypertechnicalities to close the courthouse doors to aggrieved taxpayers undermines the constitutional mandate that tax assessments be neither inaccurate nor inequitable (*Matter of Burrows v Board of Assessors for Town of Chatham*, 64 NY2d 33, 36 [1984]), replacing the legislature's liberal scheme for challenging local government decisions with a new, gloomier rule: you can't fight City Hall.

I.

The family-owned International House of Pancakes franchise at 1375 Boston Post Road is a Larchmont institution. In 1985, Frank and Susan Carfora purchased the parcel of land there and opened their restaurant, incorporated as Larchmont Pancake House, Inc. (LPH). Two of Mr. and Ms. Carfora's daughters—Portia DeGast and Irene Corbin—became co-owners of LPH with their parents in 1995, and from that date Ms. DeGast served as LPH's president (for ease of reference, I will call the entire family the Carforas).

Shortly after Ms. DeGast assumed her leadership role at LPH, her parents took steps to ensure the business stayed in the family after their passing. Mr. Carfora provided in his will that his stock in the business and ownership of the Boston Post Road property would go to his wife upon his death. After Mr. Carfora died, Ms. Carfora sought to transfer her stock in LPH as well as ownership of the land to her daughters. Exactly how Ms. Carfora accomplished the transfer of the land, however, needs some explanation. Rather than simply deeding the Boston Post Road property to her children directly while she was alive, or willing it to them directly upon her death, Ms. Carfora willed the property to a trust (the Carfora trust), with Kimberly Corbin (Ms. Carfora's granddaughter) and Kevin O'Donnell (Ms. Carfora's lawyer) as trustees and executors of her estate. The Carfora trust was a temporary stopping-point for the land. When Ms. Carfora died, her will transferred the land to the trust; the trust's declaration in turn instructed the trustees to transfer the land to Ms. Corbin and Ms. DeGast as tenants in common upon Ms. Carfora's death.

Unfortunately, the land stayed in the Carfora trust way station for several years as the probate process dragged out, as probate proceedings sometimes do.[1] Ms. Carfora's will was first admitted to probate in Surrogate's Court in New Jersey in 2009; an ancillary probate petition in New York (to effectuate the transfer of the Boston Post Road land) was not commenced until 2012, and the property was finally transferred to Ms. Corbin and Ms. DeGast in June 2013. The Carfora trust declaration made express provision for what was to be done with the land while it was in the care of the trust, giving the trustees the power to "permit the beneficiary of any trust [i.e., Ms. Carfora's children] to enjoy the assets held by the trust without rent or other compensation to the trust, such as by occupying the trust's real property" but otherwise insisting that property the trust owned be "leased," if it was to be occupied by non-beneficiaries, such as LPH.

While all of this was going on, the Carforas had to attend to the other inevitability of life: taxes. Ms. Carfora died in 2009, right at the height of the housing crisis. Property prices throughout the state declined precipitously, and many small business owners understandably sought to have their businesses' property values reassessed to reduce their tax burden, a burden made acute by the general economic downturn.[2] The Carforas, attempting to keep their business afloat amid personal tragedy and the worst recession since the Depression, joined thousands of other Westchester families in seeking property tax relief by challenging their tax assessment.

Challenging a commercial property tax assessment is a two-step process. First, one must file an administrative complaint with the Town's Board of Assessment Review (RPTL 706 [2];

1. *See generally* Charles Dickens, Bleak House (1853) (in which the central "scarecrow of a suit" around which the plot revolved was, at bottom, a will probate proceeding).

2. The Westchester County Clerk records that tax certiorari filings from commercial landowners like the parties in this case jumped from 3,398 in 2008 to 4,268 in 2011, attributing the increase to the economic downturn (Westchester County Clerk, *Finally! A Decline in Tax Certiorari Cases* [Mar. 9, 2013], https://www.westchesterclerk.com/news/2013-news/304-finally-a-decline-in-tax-certiorari-cases).

see Matter of Onteora Club v Board of Assessors of Town of Hunter, 17 AD2d 1008, 1009 [3d Dept 1962], *affd* 13 NY2d 1170 [1964]). That filing is done on a form provided by the State, and requires, among other things, a statement authorizing the complaint "made by the person whose property is assessed, or by some person authorized in writing by the complainant or his officer or agent to make such statement who has knowledge of the facts stated therein" (RPTL 524 [3]). Second, "[a]ny person claiming to be aggrieved" by the property tax assessment and dissatisfied with the result of the Town's administrative review may file a tax certiorari petition to have the property tax assessment reviewed by a court (RPTL 704 [1]).

The quintessential "aggrieved" person is, as the majority explains, "a taxpaying owner of real property" (majority op at 237). Here, however, the taxpayer and the owner were different people. The property taxes owed on the Boston Post Road parcel were paid by LPH, the family business, and not by the Carforas or the Carfora trust (the "owners," in varying combinations at various times, of the land). LPH paid the taxes as part of a long-standing and simple arrangement: LPH, wholly owned and operated by the Carforas, would "reside" on the Boston Post Road property rent-free, and in return would pay all the utilities, repairs, and property taxes it, or the land, incurred. The arrangement made sense: it was LPH that directly benefited from the use of the land. The Carforas' enjoyment of the land came indirectly, from the profits realized by LPH and, doubtless, from the smiles of LPH's satisfied customers.[3] However, as with many family-run small businesses, the arrangement was not embodied in a formal contract; the Carforas simply paid out of the LPH account the property taxes and other expenses of maintaining the property used by the restaurant. Certainly, there is no evidence in the record to suggest that the Town ever rejected LPH's tax payments on the grounds that the wrong person was paying the taxes.

Having paid the Boston Post Road property taxes via LPH, the Carforas filed property tax valuation challenges in the name of LPH that are the subject of this appeal: one for each of the 2010 to 2013 tax years. Each filing was accompanied by an authorization from Ms. DeGast that read as follows:

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3. Appellate jurists may particularly enjoy their egg, bacon, sausage, French toast, and pancake combo, entitled "the Split Decision."

> "I, the undersigned, being an aggrieved person within the meaning of the Real Property Tax Law, or an officer or partner of such aggrieved person, as complainant, hereby designate and authorize the below named law firm [Herman, Katz, Cangemi & Klyne, LLP] or any other attorney designated by said firm, to act as my representative in any and all proceedings before the Board of Assessment Review."

In 2010, and again in 2011, then 2012, then 2013, the Town Board of Assessment Review (the Town) reviewed the complaints and, each year, rejected the challenges to the assessments. Each and every year the Town did so, it never queried LPH's right to challenge the assessments, even though (as events would demonstrate) the Town's own records indicated that LPH had never been the owner of the property. After each administrative denial, LPH filed a tax certiorari petition pursuant to RPTL 704. Even then, the Town never questioned LPH's right to bring either the administrative complaint or the tax certiorari petition until four years after these proceedings started, when suddenly the Town sought to throw out all four certiorari actions on two grounds. First, the Town argued that the administrative complaints were defective because such complaints could only be brought by a "person whose property is assessed" (RPTL 524 [3]). The Town read this language to mean that only "owners" could bring such challenges, and between 2009 and 2013, it argued, the "owners" of the Boston Post Road property were the trustees of the Carfora trust and not the trust beneficiaries (Ms. DeGast or Ms. Corbin). Second, the Town argued that even if LPH could make the administrative complaint pursuant to an authorization from the owner, LPH was not an "aggrieved" party able to bring a tax certiorari proceeding; there too, it argued, only the Carfora trust had standing to sue (absent a written agreement between the trust and LPH assigning property taxes to LPH).

Supreme Court denied the Town's motion to dismiss the petitions, finding that LPH, as the payer of the taxes, was sufficiently "aggrieved" under RPTL 704 and Ms. DeGast, who authorized the complaints, was a "person whose property is assessed" by virtue of her status as a beneficiary of the Carfora trust and president of LPH (2015 NY Slip Op 32901[U] [Sup Ct, Westchester County 2015]). Supreme Court also observed that "the fact that the Town waited so many years after the filing, for the municipality to complain of this technicality seems a bit disingenuous" (*id.* at *3). The Appellate Division agreed with Supreme Court that LPH was a "person claiming to be aggrieved" and could file the tax certiorari proceeding because "the assessments had a direct adverse [e]ffect on its pecuniary interests" (153 AD3d 521, 522 [2017]). However, the Appellate Division held that because LPH "never owned the subject property" (*id.*), it could not have commenced the administrative proceedings in the first place, and therefore Supreme Court lacked jurisdiction over the tax certiorari petitions.

II.

I have three principal points of disagreement with the majority's rationale for affirmance. First, our decision in *Matter of Waldbaum, Inc. v Finance Adm'r of City of N.Y.* (74 NY2d 128, 132 [1989]) does not require that a taxpayer be "legally bound to pay" property taxes to be "aggrieved" such that they can challenge that assessment (majority op at 237-239). Second, even if *Waldbaum* did hold that "aggrieved" means "legally bound to pay," there is sufficient—and uncontroverted—record evidence here to raise a question of fact as to whether LPH was legally bound to pay the property taxes. Third, the entity the majority concludes was legally bound to pay the taxes—the Carfora trust—consented to the tax certiorari petitions and thus the use of LPH's name on the petition should be disregarded (or a right to amend to make a technical correction should be allowed) under our precedents, CPLR 2001, and CPLR 3026.

A.

The majority and I agree that a party can "claim[ ] to be aggrieved" under RPTL 704 only if the tax assessment has a "direct adverse [e]ffect on the challenger's pecuniary interests" (*Waldbaum*, 74 NY2d at 132).[4] That is precisely what has occurred here: because LPH actually paid the entirety of the taxes owed on the Boston Post Road land, the assessment (which determined the amount paid) had a "direct adverse [e]ffect on the challenger's pecuniary interests" in the same way that paying taxes always has a direct adverse effect on one's pecuniary interest. If you don't believe me, you have never paid taxes.

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4. *Waldbaum* refers to an "adverse affect," but the Court plainly meant "adverse effect"—although a taxpayer's affect may be affected (or even effected) by an overlarge tax bill.

Contrast the petitioner in *Waldbaum*, which we held could not "claim[ ] to be aggrieved" under RPTL 704. Waldbaum, a grocery store lessee, never paid the property taxes on the subject property; the property taxes were always paid by the owner of the shopping mall in which the Waldbaum's grocery store was located. Instead, Waldbaum's lease specified that its rental payments to the landlord might fluctuate depending on a complex formula that took into account changes to the landlord's property tax obligations in such a way that Waldbaum paid "additional rent" only if property tax increases that year were a certain proportion larger than the amount of rent Waldbaum would pay as a function of its gross annual sales (*Waldbaum*, 74 NY2d at 134-135).

In addition, Waldbaum was just one of several tenants occupying a single tax parcel. Because a property tax assessment challenge reviews the assessed value of the entire parcel, and not the value of smaller pieces of the parcel that happen to be occupied by individual tenants, it was fundamentally unfair for one lessee to steer the course of a litigation that would affect the property taxes for all lessees, not to mention the property's owner (*id.* at 134). Under those circumstances, we explained,

> "[i]t seems necessary to us as a matter of sound policy and interpretation to condition a partial lessee's procedural standing in such matters on a direct obligation to pay the lessor's taxes or on a contractual authorization to pursue a tax certiorari proceeding, representing the undivided assessment unit, in the lessor's stead in order to avoid a fracturing of challenges against an assessment" (*id.*).

However, the majority misreads *Waldbaum* to impose the requirement that one must be "legally responsible" for paying the property taxes owed in order to be "aggrieved" by an assessment. *Waldbaum* did require that "*partial lessee's* procedural standing in such matters" be conditioned on "a direct obligation to pay the lessor's taxes" (*id*. [emphasis added]), but that obligation arose as an alternative sufficient condition for aggrievement. That is, even a fractional lessee, such as Waldbaum, would be sufficiently aggrieved if it had a direct obligation to pay the entire tax bill of the landlord rather than just its own portion of that tax bill. That is why the *Waldbaum* Court cited *Matter of Burke* (62 NY 224 [1875]), which the majority in this case misleadingly claims stands for the proposition that only threatened pecuniary losses that are the "direct result of its legal obligation" (majority op at 238) constitute "aggrievement." Instead, *Burke* supported the conclusion in *Waldbaum* that tax proceedings should be open to more than owners, because, as the *Burke* Court explained, the tax certiorari proceeding "was meant to afford an early, speedy and cheap mode of testing the legality. It is open to any one, owner or lessee, who is likely to be put to litigation and expense by reason of it" (62 NY at 228).

Contrary to the majority's contention (majority op at 238-239), *Waldbaum* is silent on the question of whether a person who actually pays the entirety of the taxes on a tax lot—which Waldbaum did not do—can "claim[ ] to be aggrieved" under RPTL 704. However, in *Matter of Walter* (75 NY 354 [1878]), a case *Waldbaum* cited in support of its analysis, we explained that although a lessee who paid the entirety of property taxes "loses nothing in the diminished value of the land in market, by reason of the lien put upon it" if he does not pay, "he will lose something from his own property or means, if he must pay" (*Walter*, 75 NY at 357). That conclusion precisely describes LPH's situation. *Waldbaum*, which never considered the aggrievement of an actual payor of all property taxes on the challenged assessment, does not.

The majority's aggrievement rule does not merely ignore our prior cases; it ignores reality. Suppose a couple of my colleagues and I order coffees. I gratuitously pay for all, and later realize the barista has overcharged me. Surely I am aggrieved by the overcharge, even though I had no legal obligation to pay for my colleagues' coffee. The same rule should apply here: a person who pays the entirety of someone else's property tax is as, if not more, aggrieved as the lucky beneficiary of that payment, even if at the time the taxes were paid the payor had no "legal obligation" to do so.

Indeed, under the majority's rule, it might be that no one could bring a tax certiorari petition under the circumstances present here. Because the challenged assessments were uniformly paid by LPH, neither Ms. DeGast nor the trust (and certainly not the trustees) experienced a loss of "something from [her or its] own property or means" because of the challenged assessment. Although failure to pay the property taxes would have resulted in enforcement action by means of a lien, the trustees are personally immune under Lien Law § 77 and the possibility of harm to the trust or to Ms. DeGast because of a chain of causation that begins with nonpayment might be deemed "remote and consequential" (*Walter*, 75 NY at 357), and thus insufficient, under *Waldbaum* and the majority's opinion today. Whatever the purposes of the RPTL, it surely cannot be said that it intended taxpayers like the Carforas to find themselves mired in a judicial Catch-22.

Indeed, the majority's rule does not even advance the purposes it claims are embedded in the RPTL: "clarity, efficiency, and judicial economy" (majority op at 239). Determining who paid the challenged taxes is a simple task. Determining who had a "legal obligation" to pay them may not be. Even here, as I explain below, there is a triable issue as to whether the arrangement between the trust and LPH is a sufficient legal obligation to render LPH aggrieved. Many other, more difficult scenarios await.

Consider, for example, an instance in which the Carfora trust did not have sufficient cash on hand to pay the taxes. If the trustees—mindful of their need to avoid breaching their fiduciary duties by defaulting on their tax obligations—pay the property taxes out of pocket, is their fiduciary duty a sufficient legal obligation to render them aggrieved? Or consider land divided between life estates and partial fee owners with various vested and unvested contingent remainders: who is "legally obligated" to pay taxes then? What if the validity of the life estate is disputed? What if the division of ownership interests in fact violates the rule against perpetuities (EPTL 9-1.1 [b]) but no one has noticed it yet?[5] I repeat the warning Judge Fuchsberg gave more than 30 years ago: resort to "hypertech-

5. The majority, in a citation-free paragraph of pure dicta, dismisses the possibility that Ms. DeGast might be an aggrieved party based on her status as a beneficiary of the trust because "[t]he parties agree that . . . the trust itself—not Ms. DeGast—owned the subject property" when these petitions were filed (majority op at 240). The parties agreed (as do I) that the Carfora trust possessed *legal* title, but that is beside the point. It is an elemental principle of trust law that when real property is put in trust, the ownership interest is divided—the trustees hold legal title and the beneficiary holds equitable title (EPTL 7-2.1). The question is whether the equitable/beneficial title Ms. DeGast held in the subject land as a trust beneficiary carried with it sufficient ownership interest in the subject parcel such that one would be "aggrieved" by the taxes levied upon it. It does. Because beneficiaries still hold substantial incidents of title, their interest in the property is superior, in many ways, to that of the trust or the trustees (Restatement [Second] of Trusts § 88; Restatement [Third] of Trusts § 42). New York Jurisprudence goes so far as to declare that "[a]n executor or fiduciary is not the 'owner' of realty" (87 NY Jur 2d, Property § 11; *accord People ex rel. Brownell v Board of Assessors of City of Buffalo*, 109 NYS 991, 994 [Sup Ct, Erie County 1908] [trustee whose trust held legal title to residence could not sign petition for

(n. cont'd)

nical punitive processes . . . impacts unfavorably on the desirable goal of judicial economy. Such adventures should not receive our encouragement, surely not in the absence of a more telling context" (*A & J Concrete Corp. v Arker*, 54 NY2d 870, 873 [1981, Fuchsberg, J., concurring]). Recognizing that someone who pays a tax bill is aggrieved is simpler to administer, fairer and more consistent with our precedents than the rule the majority announces today.

B.

Even under the majority's rule that LPH must have a "legal obligation to pay" the entirety of the property tax assessment to be sufficiently aggrieved, LPH should still win. On summary judgment—the posture of this case—there is sufficient evidence of the existence of an agreement to create a triable issue of fact. Uncontroverted record evidence supports the existence of an agreement that obligated LPH to pay property taxes and other costs of maintaining the real property in exchange for use of the premises.

The affidavit of Kimberly Corbin, a trustee of the Carfora trust, explains that

> "[p]rior to Susan I. Carfora's death, the Larchmont Pancake House operated out of the subject property on a rent-free basis and paid all of the operating costs for the property including utilities, repairs, and property taxes. Following Susan I. Carfora's death, the estate and her trust continued that arrangement with Irene Corbin and Portia DeGast, who were owners of the Larchmont Pancake House."

Ms. DeGast filed an affidavit to the same effect.

According to the declaration of trust and the will of Susan Carfora, the Carfora trustees are without power to permit

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street improvement because statute required signatures of "resident owners"], *affd* 127 App Div 851 [4th Dept 1908], *revd on other grounds* 193 NY 248 [1908]). Here, the trust declaration gave Ms. DeGast and Ms. Corbin one of the major branches in the classic bundle of rights making up property rights in land—use and enjoyment of the land rent-free—while keeping only legal title in the hands of the trustees. To say then that *only* the trust would be harmed by a failure to pay property taxes is to ignore the express terms of the trust declaration and the beneficiaries' equitable ownership interests. At the end of the day, the ultimate losers of the Carfora trust's hypothetical default on its tax obligations would have been its beneficiaries—which means that Ms. DeGast, as a beneficiary, is as good, if not a better, a candidate for "aggrieved" party than the trust itself.

anyone other than Irene Corbin and Portia DeGast—including LPH—to use the subject property rent-free. Indeed, the trustees had a fiduciary duty to the beneficiaries to obtain income from the property if possible. The affidavits explain (albeit perhaps subject to challenge at trial) how LPH complied with the declaration and met its fiduciary duty: it charged LPH "rent" for the land by allowing it to reside on the land in exchange for the payment of taxes and all other incidents and costs of the land. That is a classic bargained-for exchange (Restatement [Second] of Contracts § 17)—use of land in exchange for payment of the costs incurring from such use—that served to assign legal responsibility to pay real property taxes to LPH.

The majority rejects this "informal, de facto arrangement" in a footnote bereft of analysis, declaring it "does not amount to a contractual obligation" (majority op at 239-240 n 1 [internal quotation marks omitted]).[6] The majority does not say why for a simple reason: it cannot. The RPTL contains no requirement that an agreement requiring a tenant to pay taxes be in writing, nor does *Waldbaum* or any of our decisions so hold. Even if the Town were to attempt to raise the statute of frauds as a basis to disallow proof of the oral contract (which it has never asserted), because each of LPH and the Carfora trust (the contractees) "admit[ted] in its pleading, testimony[,] or otherwise in court that a contract was made" (General Obligations Law § 5-701 [b] [3] [c]) by filing sworn affidavits below, the contract is excepted from the statute of frauds.

Furthermore, year after year, LPH fully performed its obligations under the "informal, de facto" agreement, creating a course of performance from which a contractual obligation could be established. In *Canda v Totten* (157 NY 281 [1898]) we confronted exactly this situation: a third party paid property taxes on behalf of owner but without a written agreement, and the question before us was whether that arrangement was legally enforceable. We held it was; even in absence of a writ-

6. The majority notes that the Carforas did not use the phrase "legal obligation" to describe the "arrangement" by which LPH paid property taxes and other expenses (majority op at 239-240 n 1), but the Carforas also did not use the terms "de facto" or "informal" the majority uses to characterize the arrangement's legal status. The uncontested testimony as to the existence of the arrangement and its apparently flawless performance over many years creates a triable issue of fact as to the legal effect of the arrangement sufficient to defeat summary judgment.

ing "as required by the provisions of the Statute of Frauds, there was performance of the agreement on the part of the plaintiff, and acceptance thereof by the defendant, and this fact operated to take the case out of the statute [of frauds]" (*id.* at 287). Likewise, in *Matter of Burke* (62 NY at 227), we relied on an affidavit that averred that the leaseholder had a legal obligation to pay the property tax assessment at issue, rather than insisting on the production of a written lease.[7]

Even were there some doubt as to the binding nature of LPH's contract with the Carfora trust, there is ample record evidence of the agreement to satisfy LPH's burden at the summary judgment stage. On summary judgment, "facts must be viewed in the light most favorable to the non-moving party" (*Vega v Restani Constr. Corp.*, 18 NY3d 499, 503 [2012] [internal quotation marks omitted], quoting *Ortiz v Varsity Holdings, LLC*, 18 NY3d 335, 339 [2011]), and "[s]ummary judgment should not be granted where there is any doubt as to the existence of a factual issue or where the existence of a factual issue is arguable" (*Forrest v Jewish Guild for the Blind*, 3 NY3d 295, 315 [2004], citing *Glick & Dolleck v Tri-Pac Export Corp.*, 22 NY2d 439, 441 [1968]). Only two years ago, we held that when two home renovators disputed the exact nature of the "arrangements" they entered into in the course of various construction projects, triable issues of fact on the existence and nature of the "arrangement" precluded summary judgment (*Utica Mut. Ins. Co. v Style Mgt. Assoc. Corp.*, 28 NY3d 1018, 1020 [2016]). The majority makes no mention of the summary judgment posture of the case or our holding in *Utica*. On these

7. Indeed, even if the LPH's payment of the property taxes was a gratuitous payment (as the majority seems to imply), and even if the statute of frauds applied, a gratuitous promise to pay a sum on behalf of another causing a detrimental reliance can give rise to a "legal obligation to pay" as a matter of promissory estoppel—indeed, we so held just less than two years ago (*Matter of Hennel*, 29 NY3d 487 [2017]). The affidavits explain in no uncertain terms that the Carfora trust relied on those payments to preserve its unencumbered legal title to the land so that it could execute the trust declaration's command that legal title in the land be transferred to Ms. DeGast and Ms. Corbin. Had LPH failed to pay the taxes, the Carfora trust could well have sued LPH for the harms it would incur as a consequence (accepting the majority's assumption that we ought to assign no significance to LPH's principal officers and stockholders being the same persons as the Carfora trust's beneficiaries). Thus LPH had a "legal obligation to pay" the taxes arising out of the Carfora trust's detrimental reliance on its preexisting agreement to pay it under settled promissory estoppel principles.

facts, however, LPH easily surmounts the summary judgment threshold even under the majority's new "legal obligation" test.[8]

C.

Even if the petitioner in a tax certiorari proceeding must have a legal obligation to pay the taxes to be "aggrieved," and even if LPH had no legal obligation to pay taxes (that is, accepting the majority's proposition that the Carfora trust was the only party able to bring this action), LPH should still prevail under our well-established technical error doctrines.

CPLR 2001 provides that "[a]t any stage of an action, including the filing of a . . . petition to commence an action . . . , if a substantial right of a party is not prejudiced, the mistake, omission, defect or irregularity shall be disregarded." Here, proceeding on the assumption above, the only mistake was submitting the action in the name of LPH rather than the majority's identified "aggrieved party": the Carfora trust.

Only three people could possibly be prejudiced by the correction of that technical error: the Carfora trust, its beneficiaries, or the Town. The Carfora trust would not be prejudiced by correction of the error. Its trustee, Kimberly Corbin, affirmed that "had [I] been asked to authorize a grievance and/or petition to review the subject property's assessment for the 2010, 2011, 2012, or 2013 tax year, I would have agreed to do so." She then did so retrospectively, on behalf of the trust, authorizing the proceedings for those years in the course of this litigation.[9] The beneficiaries also would not be prejudiced. Ms. DeGast ap-

8. Because I would hold that LPH's proceeding should not be dismissed and reject the majority's aggrievement holding, I must explain why the administrative complaints issued here were valid. The majority has no need to, and does not, address that question, so I summarize my views briefly. RPTL 524 (3) does not require that an administrative complaint be *filed* by "the person whose property is assessed." Indeed, RPTL 524 (3) states that the complaint may be filed either "by the person whose property is assessed, or by some person authorized in writing by the complainant or his officer or agent to make such statement." I would hold that LPH could file the complaints as a person authorized to do so by the "owner": the beneficial owner, Ms. DeGast. It is not necessary for me to reach the larger question presented by the parties and amici—whether "person whose property is assessed" means *only* an "owner"—because even if it did, an "owner" approved the complaint here.

9. The majority never addresses this authorization by the Carfora trustee; even if one accepted that Ms. DeGast did not intend to sign on behalf of the Carfora trust or in her capacity as its beneficiary (majority op at 240 n 2), the trustee *did* sign—it simply did so only after the lawsuit was commenced, once the "error" had been identified.

proved of the proceeding—she signed the authorizations that started the matter. Finally, the Town has never suggested, including in its briefing to this Court, that it suffered a whit of prejudice because the wrong party was named. It knew the identity of the lot and the basis of the claim of overassessment, and evaluated and rejected the claims on the merits.[10]

The Court offers no explanation for disregarding CPLR 2001 (majority op at 240 n 2) and ignores our settled precedents by doing so. In *People ex rel. Schwarz v Miller* (281 NY 554 [1939]) we held that the owner's failure to sign the administrative complaint verification would be forgiven notwithstanding the mandatory nature of the verification. Discussing that case in *People ex rel. New York City Omnibus Corp. v Miller* (282 NY 5 [1939]) we held that errors in administrative proceedings should be treated (and forgiven) in the same fashion as errors in a tax certiorari proceeding. We disregarded an error nearly identical to the one present here in *People ex rel. Durham Realty Corp. v Cantor* (234 NY 507 [1922]). There, the property under consideration was owned by one James B. Duke. The petition should have been verified by Mr. Duke, but by mistake it was verified by Durham Realty Corp.—a mistake discovered three years later. We reversed the Appellate Division's dismissal of the case and adopted the opinion of the dissenting Justice, who stated that "under the liberal provisions of the statutes of this State in regard to practice, the amendment should have been allowed" (201 App Div 834, 835 [1922]). Finally, and perhaps most relevant here, in *Matter of Miller v Board of Assessors* (91 NY2d 82 [1997]), we held, citing CPLR 2001, that petitioner's "error in naming the prior owner of the Robinson property in the petition was a technical defect that was corrected when a written authorization from Robinson was filed" (*id.* at 87; *accord People ex rel. Floersheimer v Purdy*, 221 NY 481, 483 [1917] ["Under such circumstances it would be unjust to hold that because the corporation was unauthorized to act in the first instance, or the attorney was unauthorized to procure the issuance of the writ, the relator should be punished by denying him any relief whatever"]; *Matter of Tagliaferri v Weiler*, 1 NY3d 605, 606 [2004] [wrong name in notice of ap-

10. CPLR 2001 applies to tax proceedings (*Matter of Great E. Mall v Condon*, 36 NY2d 544, 548 [1975]) and applies to the commencement of proceedings, including mistakes in the name under which a proceeding was filed (*Ruffin v Lion Corp.*, 15 NY3d 578, 581 [2010]).

peal should be disregarded because all understood who was actually taking the appeal]).

Moreover, in light of the trust's authorization of the LPH lawsuits, the error is technical and not jurisdictional under our "two-pronged test . . . consonant with modern rational thinking toward pleading and procedure" that looked simply to whether (1) the proper party received notice, and (2) whether that party would be prejudiced by disregarding the defect (*Matter of Great E. Mall v Condon*, 36 NY2d 544, 548 [1975]). The Carfora trust had proper notice and approved this proceeding brought to defend the interests the majority holds it, and only it, has. No one can explain how anyone in the subject proceeding was prejudiced even trivially by this error. Certainly the Town cannot; the trust cannot; the Carforas cannot; even the majority cannot. I am at a loss to explain its silent deviation from our long line of cases establishing lenity for this type of technical defect in tax proceedings.

III.

The majority's retreat from our "civil harmless error" doctrine is my gravest concern. In 1875, we described the tax certiorari proceeding as "open to any one, owner or lessee, who is likely to be put to litigation and expense by reason of it" (*Burke*, 62 NY at 228). In the decades since then, we have repeated our command that "[t]he Tax Law relating to review of assessments is remedial in character and should be liberally construed to the end that the taxpayer's right to have his assessment reviewed should not be defeated by a technicality. No substantial rights of the town were prejudiced by the granting of the amendment" (*People ex rel. New York City Omnibus Corp. v Miller*, 282 NY 5, 9 [1939]; *accord W.T. Grant Co. v Srogi*, 52 NY2d 496, 513 [1981]; *Matter of Great E. Mall v Condon*, 36 NY2d 544 [1975]). Exactly 10 years ago, we reaffirmed that

> "mere technical irregularities in the commencement process should be disregarded if a substantial right of a party is not prejudiced. . . . [t]o require strict compliance with [the statute] in this context would mean that, under certain circumstances, petitioners would be foreclosed from judicial review of their tax assessments through no fault of their own. We find that approach unduly harsh and contrary to our historically liberal construction of pleading and

> procedure in tax certiorari proceedings" (*Matter of Garth v Board of Assessment Review for Town of Richmond*, 13 NY3d 176, 181 [2009]).

The majority refuses even to cite to these enduring legal principles.

Lenity is especially appropriate because this case involves the presence of a type of party we rarely see in our Court: a happy family. Happy families are alike in a way particularly germane to the application of lenity here. The members of happy families often do not execute formal written agreements with each other, though they clearly understand and perform the bargained-for agreements between and among them. Our decisional law has consistently emphasized the importance of lenity as applied to taxpayers, and our State's Constitution prohibits the overassessment of real property (NY Const, art XVI, § 2). It is unfortunate that we bar these taxpayers from seeking judicial review because the beneficial owner, instead of the trustee, signed the authorization, or because the family business that actually paid the taxes, instead of the trust, was listed as "owner" on a form. That is particularly so when the taxing authority fully considered the administrative challenges to the assessment, ruled on them, was not prejudiced by any of the defects it now alleges, and belatedly raised them.

I respectfully dissent.

Chief Judge DIFIORE and Judges STEIN, FAHEY and FEINMAN concur; Judge WILSON dissents in an opinion in which Judge RIVERA concurs.

Order affirmed, with costs.

[124 NE3d 210, 100 NYS3d 660]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v CARLOS TAPIA, Appellant.

Argued February 14, 2019; decided April 2, 2019

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered June 6, 2017. The Appellate Division affirmed a judgment of the Supreme Court, Bronx County (Miriam R. Best, J.), which had convicted defendant, upon a jury verdict, of attempted assault in the first degree.

People v Tapia, 151 AD3d 437, affirmed.

HEADNOTES

Crimes — Evidence — Hearsay — Past Recollection Recorded Exception

1. In the prosecution of defendant for assault arising from an altercation outside a bar during which the victim suffered lacerations to his neck and face, Supreme Court did not abuse its discretion in admitting as a past recollection recorded the grand jury testimony of one of the arresting officers who testified at trial, but could not recall the circumstances leading to defendant's arrest. At trial, when a witness testifies in the presence of the defendant and before the trier of fact, the evidentiary doctrine of past recollection recorded allows a memorandum made of a fact known or an event observed in the past of which the witness lacks sufficient present recollection to be received in evidence as a supplement to the witness's oral testimony where the foundational requirements are met. Here, at trial the officer stated that he had previously testified truthfully and accurately at the grand jury to an event he had observed when that event was still fresh in his mind, and that reading the official minutes of the prior testimony did not refresh his present recollection. Although the officer, based on his lack of independent recollection, could not swear that the transcription of his testimony was accurate, the court stenographer's certification of the grand jury testimony, together with the officer's statement that he had testified truthfully and accurately, satisfied the requirement that the transcript of the official minutes was a correct representation of the prior testimony. A trivial typographical error in the transcript of the officer's testimony did not create an improper foundation, particularly where defendant fully explored the discrepancy on cross-examination.

Crimes — Evidence — Use of Prior Testimony

2. In the prosecution of defendant for assault arising from an altercation outside a bar, Supreme Court's admission of the grand jury testimony of one of the arresting officers who testified at trial, but could not recall the circumstances leading to defendant's arrest, did not violate CPL 670.10. That section sets forth three specific types of former testimony to be admitted into evidence when the declarant is subsequently proved unable to attend trial for

certain reasons, such as death, illness or incapacity, or that the declarant cannot with due diligence be found, or that the declarant is outside the state or in federal custody and cannot with due diligence be brought before the court. The admissible categories of prior testimony adhere to the constitutional right to confrontation by providing the defendant with an opportunity to cross-examine the declarant: testimony that was given at a trial on the accusatory instrument, at a preliminary hearing on the felony complaint, or at a conditional examination under CPL article 660. In the absence of defendant's forfeiture of the right of confrontation, CPL 670.10 does not allow the People's use of grand jury testimony of an unavailable witness for the reason that there was no cross-examination in the prior proceeding. Here, however, the officer took the stand before the trier of fact, without objection by defendant, as a People's witness and was cross-examined by defendant. Those factors rendered the purpose of CPL 670.10 inapplicable here. Moreover, the People did not seek to introduce the grand jury testimony under section 670.10, but rather laid an adequate foundation for admission of the testimony as a past recollection recorded.

Crimes — Right of Confrontation — Admission of Prior Grand Jury Testimony of Trial Witness

3. In a prosecution for assault arising from an altercation outside a bar, defendant's Sixth Amendment right to confrontation was not violated when the trial court admitted as a past recollection recorded the grand jury testimony of one of the arresting officers who testified at trial, but could not recall the circumstances leading to defendant's arrest. The right to confrontation guarantees the right to cross-examine all witnesses and the ability to literally confront the witness who is providing testimony against the accused in a face-to-face encounter before the trier of fact. The Confrontation Clause is satisfied when those requirements are fulfilled, even if the witness's memory is faulty. When the declarant appears for cross-examination at trial, the Confrontation Clause places no constraints at all on the use of his or her prior testimonial statements. Thus, the arresting officer's presence at trial as a testifying witness, where he was subjected to cross-examination before the trier of fact who must assess the credence and weight to be accorded to his testimony as a whole, precluded defendant's Confrontation Clause argument.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d Criminal Law §§ 1045–1048, 1071; Am Jur 2d Evidence §§ 1196–1199; Am Jur 2d Witnesses §§ 700, 703, 705, 706.

Carmody-Wait 2d Particular Types of Evidence §§ 194:79, 194:90, 194:111–194:113, 194:140, 194:142, 194:143, 194:145, 194:148.

LaFave, et al., Criminal Procedure (4th ed) § 24.4.

McKinney's, CPL 670.10.

NY Jur 2d Criminal Law: Procedure §§ 2133, 2152, 2155, 2184–2186, 2295, 2297.

US Const 6th Amend.

ANNOTATION REFERENCE

See ALR Index under Confrontation of Witnesses; Prior Testimony or Statement; Recorded-Recollection Exception.

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POINTS OF COUNSEL

Orrick, Herrington & Sutcliffe LLP, New York City (*Daniel A. Rubens* of counsel), and *Christina A. Swarns*, *Office of the Appellate Defender*, New York City (*Eunice C. Lee* of counsel), for appellant. I. Carlos Tapia's attempted first-degree assault conviction was legally insufficient because there was no evidence that Mr. Tapia himself used a sharp object to inflict serious physical injury or knew that anyone else involved in the attack might do so. (*People v Danielson*, 9 NY3d 342; *People v Reed*, 22 NY3d 530; *People v Allah*, 71 NY2d 830; *People v Scott*, 25 NY3d 1107; *People v Monaco*, 14 NY2d 43; *People v Rivera*, 176 AD2d 510; *People v Lazaro*, 38 Misc 3d 697, 125 AD3d 1008; *People v Akptotanor*, 158 AD2d 694, 76 NY2d 1000; *People v Whatley*, 69 NY2d 784; *People v Brathwaite*, 63 NY2d 839.) II. The People should not have been permitted to introduce Lieutenant Cosgrove's grand jury testimony as a past recollection recorded. (*People v Geraci*, 85 NY2d 359; *People v Simmons*, 36 NY2d 126; *People v Diaz*, 97 NY2d 109; *People v Hines*, 284 NY 93; *People v Robinson*, 89 NY2d 648; *Chambers v Mississippi*, 410 US 284; *People v Ayala*, 75 NY2d 422; *People v Green*, 78 NY2d 1029; *People v DiTommaso*, 127 AD3d 11; *People v Savinon*, 100 NY2d 192.)

Darcel D. Clark, District Attorney, Bronx (*James J. Wen, Nancy D. Killian* and *Matthew B. White* of counsel), for respondent. I. This Court should dismiss defendant's appeal without prejudice because he has been deported, and is, therefore, no longer within the power and control of this Court. (*People v Diaz*, 7 NY3d 831; *People v Ventura*, 17 NY3d 675.) II. Defendant's conviction for attempted assault in the first degree, under a theory of acting in concert, was proved beyond a reasonable doubt where the evidence supported the conclusion that either defendant slashed the victim in the face and neck, or if his co-assailant did the slashing, defendant continued to participate in the attack on the victim after the slashing, thereby evidencing a community of purpose. (*People v Danielson*, 9 NY3d 342; *People v Bleakley*, 69 NY2d 490; *People v Reed*, 22 NY3d 530; *People v Rivera*, 84 NY2d 766; *People v Duncan*, 46 NY2d 74;

People v Mateo, 2 NY3d 383; *People v Russell*, 91 NY2d 280; *People v La Belle*, 18 NY2d 405; *Matter of Juan J.*, 81 NY2d 739; *People v Allah*, 71 NY2d 830.) III. The trial court properly admitted portions of Lieutenant Cosgrove's grand jury testimony as a past recollection recorded to supplement his in-court testimony, which was subject to cross-examination. (*People v Taylor*, 80 NY2d 1; *People v Almonor*, 93 NY2d 571; *People v Tarsia*, 50 NY2d 1; *People v DiTommaso*, 127 AD3d 11; *People v Linton*, 21 AD3d 909; *People v Holmes*, 291 AD2d 247; *People v Turner*, 210 AD2d 445; *Crawford v Washington*, 541 US 36; *United States v Owens*, 484 US 554; *People v Bradley*, 8 NY3d 124.)

OPINION OF THE COURT

Chief Judge DiFiore.

The issue presented in this appeal is whether a portion of a testifying witness's prior grand jury testimony was properly admitted as a past recollection recorded to supplement his trial testimony. We hold that the trial court did not abuse its discretion in admitting the grand jury testimony as a past recollection recorded as there was a proper foundation for receipt of the evidence. We further hold that, since the declarant of that out-of-court statement was a live witness at trial, defendant's Sixth Amendment right to confrontation was not violated.

I.

At trial, Sergeant Charlie Bello[1] testified that, on November 2, 2008, he was driving Lieutenant James Cosgrove back to the police precinct at about 3:30 a.m. when he saw defendant "body slam" the victim in the street outside a bar and drag him between two parked cars. The officers exited their vehicle and, while Cosgrove pulled defendant off the victim, Bello stopped another man who was running toward the altercation. Bello testified that, after Cosgrove separated the victim from defendant, he noticed the victim was "bleeding profusely from his face and neck." Defendant and the other man were arrested.[2] Bello observed a shattered beer bottle on the ground where the victim had been assaulted, but did not collect the pieces of glass as evidence.

The victim sustained multiple injuries consistent with being cut by a dangerous instrument. He testified at trial that he

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1. Bello was a police officer at the time of the offense but had been promoted to the rank of sergeant at the time of trial.

2. The second individual was not indicted in connection with the assault.

was attacked from behind—punched and kicked—and only realized he was bleeding just before the police intervened. The victim identified defendant as one of his assailants. The physician who treated the victim at the emergency room testified that the five lacerations to the victim's face and neck were "consistent with being struck with a sharp cutting instrument," such as a piece of glass. The physician explained that the victim's neck lacerations were "potentially life threatening" because of their proximity to the carotid artery and the vena cava.

During the People's case, defense counsel timely notified the court and the People that she would be seeking a missing witness charge if Lieutenant Cosgrove was not called as a witness. In response, the People produced Cosgrove, who had retired from the police department. Because Cosgrove could not independently recall the incident, the People, outside the ken of the jury, sought to have his prior grand jury testimony admitted as a past recollection recorded. Defense counsel objected, asserting that Cosgrove could not be cross-examined due to his claimed lack of memory and that admitting the grand jury testimony would therefore violate defendant's Sixth Amendment right to confrontation. Counsel also contended that the grand jury testimony was inadmissible under CPL 670.10, which governs the use of prior testimony of a "witness . . . unable to attend" trial (CPL 670.10 [1]). The People indicated that, although the witness was available, if the missing witness charge was denied, Cosgrove would not take the stand. Defense counsel declined to withdraw her request for a missing witness charge, inconsistently asserting that Cosgrove was available for purposes of the latter charge but, due to his memory loss, was unavailable for confrontation purposes. The court found that the witness was available for confrontation as "[h]e is literally subject to cross-examination by being on the witness stand under oath and passed to [the defendant] as a witness for cross[-]examination." The trial court held that, if the People established the appropriate evidentiary foundation, the prior grand jury testimony would be admissible as a past recollection recorded, because Cosgrove was in attendance and subject to cross-examination.

The People called Cosgrove to the stand, who testified that on November 2, 2008, he had been working an 11:00 p.m. to 7:45 a.m. shift, in uniform, with his partner, Officer Bello. Based on his review of police paperwork, Cosgrove was also able to testify that he assisted in arresting two individuals at the scene, but could not independently recall the circumstances leading to defendant's arrest. The People then sought to introduce Cosgrove's grand jury testimony as a past recollection recorded. Cosgrove testified that he appeared before the grand jury just days after the offense, that the event was fresh in his mind at that time, that he testified truthfully and accurately before the grand jury and that his review of the stenographic transcript of his prior testimony did not refresh his present recollection of the events. Finding the appropriate evidentiary foundation established, the court allowed a portion of Cosgrove's testimony to be read into the record.

Cosgrove's grand jury testimony, which was consistent with Bello's trial testimony, was brief and not particularly detailed. The testimony added the fact that Cosgrove saw defendant kick the victim in the head. The court immediately gave the jury the limiting instruction that "a memorandum of a past recollection is not of itself independent evidence of the facts contained therein. It is auxiliary to the testimony of the witness."

On cross-examination, defense counsel questioned Cosgrove about several routine matters including his partnership with Officer Bello and the circumstances surrounding his grand jury testimony. Cosgrove testified that he had been to the area of the assault, which was located close to the police precinct, on various occasions "to intervene in bar fights." Cosgrove readily admitted that he did not recall the details of those particular altercations, explaining that he "did midnights for most of [his] career and a fight outside of a bar [did not] really stick out in [his] mind [because he] responded to a lot of them." Defense counsel focused on the witness's lack of present recollection but also elicited that Cosgrove's grand jury testimony that he had been a passenger in a "parked police department vehicle" was probably supposed to read "marked" police vehicle. In addition, Cosgrove admitted that he did not review a copy of the grand jury minutes other than in preparation for trial and that, based on his lack of independent recollection, he could not swear that the official court reporter's transcription of his testimony—although certified—was accurate.

The following day, after the close of evidence, defendant moved to strike Cosgrove's grand jury testimony, asserting that the officer's inability to independently verify the accuracy of the stenographer's transcription removed the foundation for its admissibility as a past recollection recorded. In response to the People's argument that the motion was untimely, the court initially observed that it could still give a curative instruction but, ultimately held that defendant's argument was "untimely and thereby is waived." The court went on to reject the argument on the merits.

Three counts of the indictment were submitted in the alternative to the jury under a theory of acting in concert—assault in the first degree, attempted assault in the first degree and assault in the second degree. In its final charge, the court expounded upon how the jury should consider Cosgrove's grand jury testimony as a past recollection recorded. In addition to a second instruction that the evidence of past recollection recorded was auxiliary to the witness's trial testimony and not independent evidence of the facts, the jury was further instructed that

> "you may consider the witness had knowledge at the time the testimony was taken of the events he testified to and whether he saw the reported testimony at or near the time [the testimony] was taken and recognized it at the time as containing a true statement of facts within his own knowledge.
>
> "You may consider the witness's testimony on this issue in deciding what weight to give the statements contained in the former testimony. You are at liberty to accept as much as you think accurate and disregard the rest or accept or disregard it in its entirety."

The jury acquitted defendant of assault in the first degree, but convicted him of attempted assault in the first degree.

The Appellate Division affirmed, holding that it was a proper exercise of discretion for the trial court to admit Lieutenant Cosgrove's grand jury testimony as a past recollection recorded (151 AD3d 437, 439 [1st Dept 2017]). The Court held that the People laid a proper foundation for the admission of the testimony and that there was no violation of the Confrontation Clause because Cosgrove testified at trial and was subject to cross-examination. The Court also held that the evidence was legally sufficient to support the conviction. Two Justices dissented in part and would have reduced defendant's conviction to attempted second-degree assault, on the ground that the evidence was not legally sufficient because it did not establish beyond a reasonable doubt that defendant, alone or acting in concert, cut the victim with a dangerous instrument. One of the dissenting Justices granted defendant leave to appeal (2017 NY Slip Op 87014[U] [1st Dept 2017]) and we now affirm.[3]

II.

At trial, when a witness testifies in the presence of defendant and before the trier of fact, the evidentiary doctrine of past recollection recorded allows "a memorandum made of a fact known or an event observed in the past of which the witness lacks sufficient present recollection [to] be received in evidence as a supplement to the witness's oral testimony" (*People v Taylor*, 80 NY2d 1, 8 [1992]). The foundational requirements for the admissibility of a past recollection recorded are: (1) the witness must have observed the matter recorded; (2) the recollection must have been fairly fresh at the time when it was recorded; (3) the witness must currently be able to testify that the record is a correct representation of his or her knowledge and recollection at the time it was made; and (4) the witness must lack sufficient present recollection of the information recorded (*see* 80 NY2d at 8).

> "When such a memorandum is admitted, it is not independent evidence of the facts contained therein, but is supplementary to the testimony of the witness. The witness' testimony and the writing's contents are to be taken together and treated in combination as if the witness had testified to the contents of the writing based on present knowledge" (80 NY2d at 9).

The admissibility of such evidence is committed to the sound discretion of the trial court in determining whether the appropriate foundational requirements have been met (*see* 80 NY2d at 9).

[1] Here, the court did not abuse its discretion in finding that the foundational requirements were met and that Cosgrove's grand jury testimony was admissible as a past recollection recorded. On direct examination, Cosgrove stated that he had previously testified truthfully and accurately before the grand jury to an event he had observed when that event was still fresh in his mind, and that reading the official minutes of

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3. This Court previously denied the People's motion to dismiss the appeal based on defendant's deportation (32 NY3d 1017 [2018]).

the prior testimony did not refresh his present recollection. The correct representation of the record was provided by the court stenographer's certification of the grand jury testimony. Defendant's argument that there was an improper foundation is based on an alleged typographical error in the minutes and Cosgrove's testimony that he did not review the transcript of his grand jury testimony near the time it was recorded to verify its accuracy. This argument is without merit. Determinatively, the transcript of the grand jury minutes was certified by the court reporter as a true and accurate record of the testimony (*see* 80 NY2d at 10-11). The trial court reasonably concluded that the officer's representation that his testimony was truthful and accurate when made, together with the official court stenographer's certification, were sufficient—particularly here, where the discrepancy identified was a trivial typographical error that defendant fully explored on cross-examination (*see generally People v Bethune*, 29 NY3d 539, 543 [2017]).

III.

Notwithstanding the core fact that Cosgrove was a testifying witness at the trial and thus not an unavailable witness, defendant and the dissent maintain that the use of Cosgrove's grand jury testimony as a past recollection recorded violated CPL 670.10 and the Confrontation Clause. These arguments disregard the plain text of CPL 670.10—particularly the phrase "unable to attend"—as well as the significance of defendant's cross-examination of a live, testifying witness before the trier of fact, and are without merit.

CPL 670.10 sets forth three specific types of former testimony to be admitted into evidence when the declarant is subsequently proved "unable to attend" trial for certain reasons. The admissible categories of prior testimony adhere to the constitutional right to confrontation by providing the defendant with the opportunity to cross-examine the declarant: testimony that was given at a trial on the accusatory instrument, at a preliminary hearing on the felony complaint, or at a conditional examination under CPL article 660 (*see* CPL 670.10 [1]). The declarant is unavailable at trial within the meaning of the statute when "the witness is *unable to attend* . . . by reason of death, illness or incapacity, or cannot with due diligence be found, or is outside the state or in federal custody and cannot with due diligence be brought before the court" (CPL 670.10 [1] [emphasis added]). CPL 670.20 (1) sets forth the procedure for moving the prior testimony of an absent declarant into evidence and requires the trial court to "conduct a hearing to determine whether personal attendance of the witness is" "precluded by some factor specified in [CPL 670.10 (1)]." As we have held, CPL 670.10, "reflecting the spirit of the underlying constitutional prescriptions, demands a showing that the witness 'cannot without due diligence be found' " (*People v Arroyo*, 54 NY2d 567, 571 [1982]). The unavailability of the witness under 670.10 must "be established to satisfy the court that the prosecutor's failure to produce [the witness] was not due to . . . a strategic preference for presenting [the] testimony in the more sheltered form of . . . minutes rather than in the confrontational setting of a personal appearance on the stand" (54 NY2d at 571).

The statute's "three carefully worded and enumerated exceptions" to the use of prior testimony of an unavailable declarant are essentially exclusive (*People v Ayala*, 75 NY2d 422, 429 [1990] [internal quotation marks and citation omitted]), but we have recognized certain "exceptions" predicated on either the forfeiture or inapplicability of the defendant's right to confrontation of the declarant. In the case of a defendant's forfeiture of the right to confrontation, a witness's grand jury testimony may be admissible "as direct evidence where the witness is unavailable to testify at trial and the proof establishes that the witness's unavailability was procured by misconduct on the part of the defendant" (*People v Geraci*, 85 NY2d 359, 366 [1995]). In the case where the right to confrontation is not a factor because the defendant is the proponent of the evidence, a defendant's due process right to present witnesses in his own defense required that he be permitted to use grand jury testimony from an unavailable witness (*see People v Robinson*, 89 NY2d 648, 654 [1997]).

In the absence of defendant's forfeiture of the right of confrontation, there is no real dispute that CPL 670.10 does not allow the People's use of grand jury testimony of an *unavailable* witness, as defined therein, for the simple reason that there was no cross-examination in the prior proceeding. In this regard, defendant's and the dissent's reliance on *People v Green* (78 NY2d 1029 [1991]) for the proposition that CPL 670.10 is essentially a categorical exclusion of grand jury testimony of a live witness at trial is mistaken. In *Green*, we held that it was error to allow the People to admit a nontestifying witness's prior grand jury testimony at trial as evidence-in-chief because that testimony "did not fall within the classes of prior testimony rendered admissible in criminal proceedings by CPL 670.10" (78 NY2d at 1030).

In that murder case, after jury selection had begun, the prosecutor informed the court that the 11-year-old witness "was indicating an unwillingness to testify and that his critical testimony would not be forthcoming at the trial" (*see* appellant's appendix at A11 in *People v Green*, 78 NY2d 1029 [1991]). After interviewing the child in the robing room and confirming that the child professed to have no recollection of the incident or of testifying at the grand jury, the court issued a written decision, ruling that the child's grand jury testimony would nonetheless be admissible at trial. The People, who were unable to demonstrate that the defendant had played any part in causing the witness's reticence, opted not to proceed to a *Sirois* hearing (*see Matter of Holtzman v Hellenbrand*, 92 AD2d 405 [2d Dept 1983]; *People v Smart*, 23 NY3d 213 [2014]).[4] During the trial, the witness was again examined in the robing room—not before the trier of fact—and reiterated that he had no rec-

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4. Review of the briefs and appellate record filed with this Court on the appeal in *Green* demonstrates that the People sought to introduce the grand jury testimony by arguing that, despite the lack of proof that Green had induced the witness to refuse to testify, it would not be "too far of a stretch of the imagination to blame the defendant[ ]" for the witness's refusal to testify, based, in part, on the "climate of fear" in the neighborhood (*see* appellant's appendix at A53 in *People v Green*, 78 NY2d 1029 [1991]). This argument in *Green*, which predates *Geraci* and its progeny, fails to measure up to the standard of proof required before a defendant is deemed to forfeit his right to confront a witness that he or she rendered unavailable. The trial court in *Green* ultimately determined that the nontestifying witness's grand jury testimony could be admitted, not under any then-existing statute or hearsay exception, but under a provision of the Proposed Code of Evidence which would have authorized a residual exception to the hearsay rule for evidence containing substantial guarantees of trustworthiness and significant probative value (*see id.* at A80-A84). The defendant's adamant position was that the child witness, proclaiming no recall of any facts relating to the crime or his own testimony before the grand jury, could not be presented before the jury without prejudice to the defendant's case. Nonetheless, the court deemed the defendant's ability to compel the witness to testify for cross-examination purposes somehow sufficient to excuse the hearsay nature of the testimony while protecting the defendant's right to confrontation (*see id.* at A14, A80). Any suggestion that the defendant's right to confrontation is satisfied by placing the onus on defendant to call to the stand an available witness after the People elected not to call that witness and instead used the nontestifying declarant's hearsay in their case-in-chief is wholly without merit. Needless to say, based on all of the above factors, *Green* is completely inapposite to the present case.

ollection of the incident, of ever having testified before the grand jury, or even of his prior robing room conversation with the court. The child was not sworn and refused to respond to the court's attempt to establish his testimonial capacity (*see* CPL 60.20). The court adhered to its prior decision, allowing the grand jury testimony into evidence as an exception to the hearsay rule. Defense counsel was then permitted to inquire of the witness as to whether he recalled speaking with defense investigators, which the child denied. The witness was never called to the stand by either party, even to explain the extent of his lack of recollection, despite the witness's physical availability to testify before the factfinder.[5] Nonetheless, the People were erroneously permitted to introduce the nontestifying witness's prior grand jury testimony as evidence-in-chief, despite the failure to lay any foundation that the out-of-court statement was admissible either under CPL 670.10 or as a past recollection recorded.

[2] In stark contrast, here Cosgrove took the stand before the trier of fact, without objection by defendant, as a People's witness and was cross-examined by defendant. Those factors are not "immaterial" and indeed render the very purpose of CPL 670.10 inapplicable to this case. To be sure, the People did not seek to introduce the testifying witness's grand jury testimony under that statute. Rather, as noted above and unlike the circumstances presented in *Green*, the People laid an adequate foundation for admission of the testimony as a past recollection recorded via Cosgrove's live testimony that he appeared before the grand jury just days after the offense, that the event was fresh in his mind at that time, that he testified truthfully and accurately before the grand jury, and that his

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5. The dissent's extraordinary assertion that the unsworn child witness in *Green* "attended and testified at trial" (dissenting op at 280) is completely at odds with the positions of the parties in that case as well as the trial court's own jury instructions ("[the child witness] as you obviously are aware was not here. Did not testify from the witness stand") (*see* appellant's appendix at A106 in *People v Green*, 78 NY2d 1029 [1991]). There is no support for the contention that the inquiry of the child in the robing room is the functional equivalent of testimony given in open court before the jury (*see* CPL 65.20) and indeed, the inquiry simply elicited additional hearsay statements outside the ambit of CPL 670.10. Moreover, the *Green* defendant's use of the nontestifying declarant's prior statements, including his denials in the robing room, to impeach the prior grand jury testimony does not transform the declarant into a testifying witness.

review of his grand jury testimony did not refresh his present recollection.[6]

[3] Equally unavailing is defendant's Sixth Amendment argument that, even though Cosgrove testified at trial, his memory failure rendered him unavailable for the purpose of cross-examination within the meaning of the Sixth Amendment. Significantly, the right to confrontation guarantees not only the right to cross-examine all witnesses, but also the ability to literally confront the witness who is providing testimony against the accused in a face-to-face encounter before the trier of fact (*see Coy v Iowa*, 487 US 1012, 1016-1020 [1988]; *California v Green*, 399 US 149, 157-158 [1970]). The Confrontation Clause is satisfied when these requirements are fulfilled—even if the witness's memory is faulty. The United States Supreme Court has directly addressed the situation where a witness was unable to explain the basis for a prior out-of-court identification due to memory loss (*see United States v Owens*, 484 US 554 [1988]; *see also* CPL 60.25). In *Owens*, the Court held that "[t]he Confrontation Clause guarantees only an *opportunity* for effective cross-examination, not cross-examination that is effective in whatever way, and to whatever extent, the defense might wish" (484 US at 559 [internal quotation marks and citations omitted]).[7] To that end, "[i]t is sufficient that the defendant has the opportunity to bring out such matters as the witness' bias, his lack of care and attentiveness, his poor eyesight, and even (what is often a prime objective of cross-examination), . . . the very fact that he has a bad memory"

6. The dissent's dire warning that we are permitting "the wholesale introduction of prior testimony not subjected to cross-examination" (dissenting op at 281) disregards both the foundational requirements of a past recollection recorded and its limited evidentiary value. Again, as we held in *Taylor*, the past recollection recorded is not independent evidence of the facts, but is merely supplementary to the witness's trial testimony. The dissent further ignores that the jury is the arbiter of the testifying witness's credibility and will take memory loss into account in its calculus of the weight that should be accorded to that witness's testimony. Combining these factors, there is no incentive whatsoever for a witness who has an independent recollection of the facts to feign memory loss in favor of such prior testimony. Finally, the dissent overlooks various other evidentiary rules imposing limitations on the use of prior testimony of available witnesses (*see e.g. People v McClean*, 69 NY2d 426 [1987] [prior consistent statements generally inadmissible unless proffered to rebut a claim of recent fabrication]).

7. Prior grand jury testimony has been held admissible as a past recollection recorded under Federal Rules of Evidence rule 803 (5) where the witness is present at trial and the defendant has the opportunity for cross-examination (*see Isler v United States*, 824 A2d 957, 961 [DC 2003]).

(484 US at 559; *see also Delaware v Fensterer*, 474 US 15, 19 [1985] ["an expert witness who cannot recall the basis for his opinion invites the jury to find that his opinion is as unreliable as his memory"]). "[T]he Clause's ultimate goal is to ensure reliability of evidence, but it is a procedural rather than a substantive guarantee. It commands, not that evidence be reliable, but that reliability be assessed in a particular manner: by testing in the crucible of cross-examination" (*Crawford v Washington*, 541 US 36, 61 [2004]). Although *Crawford* changed the landscape of the analysis of what constitutes "testimonial evidence" within the meaning of the Confrontation Clause, the Supreme Court clearly maintained the fundamental importance of a witness's presence at trial. "[W]hen the declarant appears for cross-examination at trial, the Confrontation Clause places no constraints at all on the use of his prior testimonial statements. . . . The Clause does not bar admission of a statement so long as the declarant is present at trial to defend or explain it" (541 US at 60 n 9). Therefore, Cosgrove's presence at trial as a testifying witness, where he was subjected to cross-examination before the trier of fact who must assess the credence and weight to be accorded to his testimony as a whole, precludes defendant's Confrontation Clause argument.[8]

IV.

Finally, the evidence was legally sufficient to support the conviction. "[V]iewing the facts in a light most favorable to the People, there is a valid line of reasoning and permissible inferences from which a rational jury could have found the elements of the crime proved beyond a reasonable doubt" (*People v Danielson*, 9 NY3d 342, 349 [2007] [internal quotation marks and citations omitted]).

Accordingly, the order of the Appellate Division should be affirmed.

WILSON, J. (dissenting). Chief Justice John Marshall presided over the 1807 trial of Aaron Burr. Prosecutors attempted to admit the out-of-court statement of one of Burr's alleged coconspirators, Herman Blennerhassett. The Chief Justice ruled the out-of-court statement inadmissible because of the importance of cross-examination:

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8. We note that defendant did not raise, and we therefore do not address, whether admission of Cosgrove's grand jury testimony violated his right to confrontation under the New York State Constitution.

> "The rule of evidence which rejects mere hearsay testimony, which excludes from trials of a criminal or civil nature the declarations of any other individual than of him against whom the proceedings are instituted, has been generally deemed all essential to the correct administration of justice. I know not why a declaration in court should be unavailing, unless made upon oath, if a declaration out of court was to criminate others than him who made it; nor why a man should have a constitutional claim to be confronted with the witnesses against him, if mere verbal declarations, made in his absence, may be evidence against him. I know of no principle in the preservation of which all are more concerned. I know none, by undermining which, life, liberty and property, might be more endangered. It is therefore incumbent on courts to be watchful of every inroad on a principle so truly important" (*United States v Burr*, 25 F Cas 187, 193 [D Va 1807, No. 14,694]).

More succinctly, testimony is generally inadmissible unless both the witness and opposing counsel were in the room where it happened.

Here, Mr. Tapia's conviction rested in part on the admission of the grand jury testimony of Lieutenant Cosgrove. That testimony was not subjected to cross-examination when taken, and by the time of trial, Lieutenant Cosgrove testified that he remembered nothing about the incident for which Mr. Tapia stood trial. The admission of his grand jury testimony, under those circumstances, violated CPL 670.10 and our decision in *People v Green* (78 NY2d 1029 [1991]).

I.

At around 3:30 a.m. on November 2, 2008, Sergeant Charlie Bello was driving south on Jerome Avenue in an unmarked vehicle, with Lieutenant James Cosgrove as his passenger. The two police officers were headed to the 44th Precinct station house to process an arrest. A block south of the precinct sat a local bar, La Rubia. Driving past La Rubia, Sergeant Bello saw Carlos Tapia body slam a person in front of some parked vehicles.

The officers stopped and rushed on foot toward the fight. Sergeant Bello testified that he saw Mr. Tapia drag the man's body behind two cars and lost sight of them. Lieutenant Cosgrove came upon Tapia kicking his victim and pulled him off; Mr. Tapia was standing over his bloodied victim, who bore a slash on his face. Sergeant Bello saw another individual running toward the fight, whom he and Cosgrove believed to be a second assailant. The victim said he had been attacked by two people, but he was disoriented during the melee and could not say who had cut him or when it happened. Sergeant Bello canvassed the area and saw pieces of a broken beer bottle near the spot Mr. Tapia had been on top of his victim, but did not check them for fingerprints or to see if there was blood on them. He did not find any razors, knives, or other weapons, either at the scene or in the possession of Mr. Tapia or the other presumed assailant.

Both officers testified before the grand jury. At trial, four years later, Lieutenant Cosgrove testified that he no longer had any independent recollection of this arrest, and that reviewing his grand jury testimony had not refreshed his recollection at all.

Sergeant Bello testified live and in detail about the event. The People moved to introduce Lieutenant Cosgrove's grand jury testimony. Over defense counsel's objection, the court allowed the People to read Lieutenant Cosgrove's grand jury testimony that related to the events in question.

II.

As regards this appeal, the Confrontation Clause is neither the starting nor ending place. It is not the starting place because even before its enactment, the common law forbade criminal prosecution by way of out-of-court statements, even if they were sworn (*see generally Crawford v Washington*, 541 US 36 [2004]). It is not the ending place because the legislature's enactment of Criminal Procedure Law § 670.10 resolves this case as a matter of statute, without resort to the Constitution.[1]

Criminal Procedure Law § 670.10 allows for three types of prior testimony to be admissible in a criminal prosecution: "testimony given by a witness at (a) a trial of an accusatory instrument, or (b) a hearing upon a felony complaint conducted pursuant to section 180.60, or (c) an examination of such witness conditionally, conducted pursuant to article six hundred

1. Defendant failed to preserve for appellate review any claim based on the Confrontation Clause of the State Constitution.

sixty" (CPL 670.10 [1]). Prior grand jury testimony is not among those. Crucially, each of the three varieties of prior testimony that may be admitted are types of testimony as to which, when the testimony was originally taken, the right of cross-examination was assured (*see* NY Const, art I, § 6; CPL 180.60 [4], [8]; 660.60 [1]). The majority acknowledges that the common feature of the allowable types of prior testimony is that the testimony was previously subjected to cross-examination (majority op at 265).

Of course, grand jury testimony is never subjected to cross-examination. Moreover, even as to the three categories of prior testimony that may be admitted at a criminal trial, the legislature insisted that such testimony could not be admitted unless "the witness is unable to attend," which must be proved by "evidence demonstrating that personal attendance of such witness is precluded" (CPL 670.10 [1]; 670.20 [2]). The legislature's decision to exclude prior testimony unless both (1) it was subject to cross-examination when originally taken, and (2) the witness cannot be produced at trial, could not be clearer.

Our decision in *People v Green*, which applied CPL 670.10 to bar the admission of a witness's prior grand jury testimony, controls the disposition of this case, and requires the conclusion that the admission of Lieutenant Cosgrove's grand jury testimony violated CPL 670.10, requiring reversal. *Green*'s holding, unanimous on this point, is as follows:

> "The Grand Jury testimony of an eyewitness to the crime, which identified defendant as one of the perpetrators, did not fall within the classes of prior testimony rendered admissible in criminal proceedings by CPL 670.10. Inasmuch as the statute's 'three carefully worded and enumerated exceptions' are exclusive (*People v Harding*, 37 NY2d 130, 134; *see*, *People v Ayala*, 75 NY2d 422, 429), the trial court erred in allowing the witness' prior testimony to be admitted as evidence-in-chief against the defendant" (78 NY2d at 1030).

The facts of *Green* are not stated in our memorandum decision, but appear in the papers then before us. A child (J.H.) witnessed a shooting and testified at length before the grand jury that he saw Mr. Green and another man (7up) shoot the victim and flee. In his grand jury testimony, J.H. described the color of the gun that each man used and the direction they fled and stated that he saw the victim bleeding on the ground. He also testified that Mr. Green was someone he saw every day in the neighborhood and knew well. A year later, before a second grand jury, he testified the same way as before. When, two years after the shooting, trial commenced, J.H. said he had no recollection of the events. Faced with that total memory loss and a request by the People to read J.H.'s grand jury testimony into the record, Supreme Court, in its order of January 31, 1989, directed as follows:

> "I have concluded that the appropriate procedure is to produce the witness at the trial, that if when he is called he adheres to his earlier position, that the Grand Jury minutes of [J.H.] be read to the jury, that thereafter [he] be made available for cross-examination so that the defendants' right of confrontation and their right to impeach his testimony is available."

During trial, but out of the presence of the jury, J.H. was examined first by counsel for the People and then by counsel for Mr. Green. Thereafter, both the examination by the People and the examination by Mr. Green's counsel, together with both instances of J.H.'s grand jury testimony, were read into the record with the jury present.

No meaningful distinction exists between *Green* and this case. In *Green*, J.H. was physically present, just as Lieutenant Cosgrove was present at this trial. Indeed, the "written decision" cited by the majority (majority op at 267) directed that "the Grand Jury Minutes of [J.H.] will be read to the jury, [and] that after [J.H.] will be available for cross-examination" (appellant's appendix at A80 in *People v Green*, 78 NY2d 1029 [1991]). In *Green*, J.H. was examined and cross-examined at trial, just as Lieutenant Cosgrove was; the only, immaterial, difference being that in view of J.H's young age, the court took his testimony in camera, and had it read to the jury. Just as here, when the witness repeatedly denied any recollection of the events he had observed, the court admitted his grand jury testimony. We held that the admission of that testimony violated CPL 670.10 and required a new trial.

To admit prior testimony, CPL 670.10 (1) requires that a witness be "unable to attend" specifically limited to circumstances "by reason of death, illness or incapacity, or cannot with due diligence be found, or is outside the state or in federal custody and cannot with due diligence be brought before the court."

Neither the witness in *Green* nor Lieutenant Cosgrove was unable to attend. Both attended trial, and the testimony of both, including testimony as to their inability to recall, was presented to the jury. In *Green*, we applied 670.10 and reversed. Any different decision here relies on distinctions that do not constitute a meaningful difference.

The majority's several attempts to distinguish *Green* are wholly unpersuasive. First, the majority repeatedly claims that *Green* is distinguishable because J.H. was a "nontestifying" witness who was "never called to the stand by either party, even to explain the extent of his lack of recollection" (majority op at 268). As set forth above, that is untrue. The entirety of J.H.'s in camera examination and cross-examination, in which he testified as to his total lack of recollection of the events two years prior, was read to the jury in open court as part of the trial evidence, immediately after his grand jury testimony was read into the record.

Labelling those facts "extraordinary" (majority op at 268 n 5) does not alter them. The majority acknowledges that both the People and the defense examined J.H. in chambers, and that the in camera examination was read to the jury, along with J.H.'s grand jury testimony. The majority does not dispute that the in camera examination was directed at J.H's lack of memory. Although the majority properly notes that the trial court's instructions reminded the jurors that J.H. "was not here. Did not testify from the witness stand," the court continued that even so, "[y]ou may consider that testimony the same as though [J.H.] appeared in court and testified from the witness stand" (appellant's appendix at A106 in *People v Green*, 78 NY2d 1029 [1991]). The majority, however, omits the following. After concluding the bulk of the jury charge, the court met with counsel to determine whether any further instructions or exceptions were requested by counsel. Defense counsel requested that the court further instruct the jury that the jurors could consider the in camera testimony of J.H. "in determining the credibility of [J.H.'s] Grand Jury testimony" (appellant's appendix at A127 in *People v Green*, 78 NY2d 1029 [1991]). The court then instructed the jury as follows:

> "I did not during my instructions, I indicated that [J.H.'s] Grand Jury testimony can be considered by you as evidence, there was a, in addition to his Grand Jury testimony, questions that were asked

> of him by Mr. Dubin [defense counsel] *and they are in evidence as well and you may consider those on the issue of [J.H.'s] credibility*" (appellant's appendix at A128 in *People v Green*, 78 NY2d 1029 [1991] [emphasis added]).

The "contention that the inquiry of the child in the robing room is the functional equivalent of testimony given in open court before the jury" (majority op at 268 n 5) is not a contention at all. The plain fact from the record in *Green* is that the trial court instructed the jury that J.H's in camera examination was "in evidence" just as was his grand jury testimony, with no distinction made between them as to evidentiary value. It was clear to the Appellate Division, too, that "the in camera transcripts also were admitted" (*People v Green*, 159 AD2d 432, 433 [1st Dept 1990]). The majority's elaborate explanations of what should or could have happened are, quite simply, not what happened.

Both J.H. and Lieutenant Cosgrove were testifying witnesses whose contemporary testimony about their lack of recollection was trial evidence. Thus, the majority's claim of a "stark contrast" between the facts of *Green* and those present here is wholly unfounded. I do agree with the majority, though, that I should not have used the word "immaterial" to describe the difference between Lieutenant Cosgrove's live testimony about his lack of memory and J.H.'s like testimony read into the record (majority op at 268). I should instead have said "nonexistent," because the trial court expressly instructed the jury that J.H.'s testimony, including the testimony taken in camera and read into the record, was in evidence and could be considered in evaluating J.H.'s credibility.[2] *Green* requires reversal here.

Second, the majority asserts that the witness in *Green* refused to testify at trial out of fear for his safety, citing the People's wholly speculative assertion in that case that "it would not be 'too far of a stretch of the imagination to blame the defendant[ ]' for the witness's refusal to testify, based, in part, on the 'climate of fear' in the neighborhood" (majority op at 267 n

2. The application of CPL 670.10 cannot possibly turn on whether the cross-examination is conducted in camera, to spare a child the trauma of testifying in open court; certainly nothing in the statute would permit that distinction. Nor can its application turn on whether counsel chooses to cross-examine or the extent of that cross-examination; if that were a sound basis to distinguish *Green*, all defense counsel need do in the future to block the introduction of grand jury testimony would be to decline to cross-examine the witness or conduct a perfunctory cross-examination.

4). Courts must rely on evidence, not stretches of the imagination, and there was no evidence that either Mr. Green or his codefendant had done anything to cause the witness's inability to recall the events. Putting that aside, the trial court granted the defense's request for a limiting instruction as to the grand jury testimony and instructed the jury that the reason the testimony was being read into the record had "nothing to do with the parties in this litigation. They have nothing to do with anyone being unavailable by reason of conduct by anybody." The majority's observation that our decision in *Geraci*, which detailed the requirements for allowing the introduction of grand jury testimony when a defendant was responsible for a witness's refusal (or claimed inability) to testify (majority op at 267 n 4, citing *People v Geraci*, 85 NY2d 359, 366 [1995]), came after *Green* is irrelevant. The People had no evidence that Mr. Green or his codefendant had anything to do with the witness's inability (or unwillingness) to testify, and the trial court's expression of its understanding of the substantive law governing such a showing was entirely consistent with *Geraci*.

Third, the majority asserts that *Green* is distinguishable because there, the People "fail[ed] to lay any foundation that the out-of-court statement was admissible either under CPL 670.10 or as a past recollection recorded" (majority op at 268). That distinction, too, is without merit. As the majority acknowledges, the trial court in *Green* held that the grand jury testimony was admissible under the residual exception to the hearsay rule based on its trustworthiness and probative value. In reversing, we did not hold that the grand jury testimony was inadmissible because the court's analysis on the residual hearsay exception was incorrect. Rather, we held that its admission violated CPL 670.10 (*see Green*, 78 NY2d at 1030). The same result should apply here. Whether Lieutenant Cosgrove's grand jury testimony met the requirements for admission under the hearsay exception for a past recollection recorded is irrelevant because CPL 670.10 barred its admission.

Until now, we have consistently understood CPL 670.10 as standing for "a general rule [that] the Grand Jury testimony of an unavailable witness is inadmissible as evidence-in-chief (*see*, *People v Green*, 78 NY2d 1029; *People v Gonzalez*, 54 NY2d 729; CPL 670.10)" (*People v Geraci*, 85 NY2d 359, 365 [1995]). For example, in *People v Harding* (37 NY2d 130, 133 [1975]), we refused to permit the admission of prior testimony taken in a police disciplinary proceeding, even though that testimony was under oath, subjected to cross-examination, and the witness had died in the interim. We explained CPL 670.10 "only permits the use of testimony previously taken in certain, specified criminal judicial proceedings" (37 NY2d at 133). Likewise, in *People v Ayala* (75 NY2d 422, 429 [1990]), we held it was error to introduce an unavailable witness's prior testimony given in court and under oath and subject to cross-examination at a *Wade* hearing, because:

> "[A]lthough CPL 670.10 is '[l]argely a codification of common-law' principles (*People v Arroyo, supra*, at 569), this court has already rejected the argument that the statutory terms and their fair import are not exclusive (*People v Harding, supra*, at 133-134). As the court has noted, the statute contains 'three carefully worded and enumerated exceptions' to the general rule excluding hearsay evidence (*id.*, at 134), suggesting that the Legislature intended the statute's reach to be relatively narrow and limited to its precise terms. Further, the general rule that '[i]n criminal matters the courts must be more circumspect' (*id.*, at 134) counsels against a construction that would extend CPL 670.10 well beyond the 'fair import' of its language." (*Cf. Crawford*, 541 US at 53-54 ["the common law in 1791 conditioned admissibility of an absent witness's examination on unavailability and a prior opportunity to cross-examine. . . . The numerous early state decisions applying the same test confirm that these principles were received as part of the common law in this country"].)

The First Department summarized our controlling case law thus:

> "New York has modified the common-law rule that prior testimony is generally inadmissible as constituting hearsay when offered for its truth by allowing testimony given at certain prior proceedings to be admitted at a subsequent proceeding, provided that the witness is 'unable to attend' the subsequent proceeding because of 'death, illness or incapacity, or [because the witness] cannot with due diligence be found, or is outside the state or in federal custody and cannot with due diligence be brought before the court'. (CPL 670.10 [1].) In the instant

> matter, even if the mother were found to be unavailable due to 'incapacity' (*see, e.g.*, *People v Muccia*, 139 AD2d 838, 839, *lv denied* 72 NY2d 960), a rather dubious proposition, the statutory exception to the common-law rule would still be unavailable since it is limited to three types of prior proceedings—previous trials, preliminary hearings conducted pursuant to CPL 180.60 and conditional examinations taken pursuant to CPL article 660. (*See,* CPL 670.10 [1].) These three classes of prior testimony rendered admissible in criminal proceedings by CPL 670.10 'are exclusive'. (*People v Green*, 78 NY2d 1029, 1030.) As the Court of Appeals noted in *People v Geraci* (85 NY2d 359), in reaffirming the holding in *Green*, not only is Grand Jury testimony not mentioned in CPL 670.10, but such testimony 'is especially troubling because "although given under oath, [it] is not subjected to the vigorous truth testing of cross-examination" ' and it 'is often obtained through . . . conditions which tend to impair its reliability', such as 'leading questions and reduced attention to the rules of evidence.' (*People v Geraci, supra*, at 368.)" (*People v Concepcion*, 228 AD2d 204, 205 [1st Dept 1996].)

The admission of Lieutenant Cosgrove's grand jury testimony fails both parts of CPL 670.10: he was not "unable to attend" as defined in that statute, and his grand jury testimony fell into none of the enumerated exceptions. Instead, it violated our settled decisional law, rooted in the common law, prohibiting the introduction of grand jury testimony in the People's case-in-chief.

III.

In an attempt to bypass CPL 670.10 and *Green*, the majority proposes to read CPL 670.10 in an unsupportable manner, claiming that when a witness is available, any sort of prior testimony fitting within a hearsay exception may be offered into evidence (majority op at 266-267). Putting aside, for a moment, that that claim is wholly incompatible with *Green* (as explained above),[3] it is also wholly incompatible with the common-law prohibition against trial by out-of-court testimony.

3. Even under the majority's interpretation that CPL 670.10 is irrelevant if a witness is available, *Green* nevertheless dictates the result here, becau-

(n. cont'd)

The availability of a witness does not remove the strictures of 670.10; instead, it means that one of its requirements for the "[u]se in a criminal proceeding of testimony given in a previous proceeding" has not been met.

CPL 670.10 (1) provides that certain, specified kinds of prior testimony "may, where otherwise admissible" be received into evidence at a subsequent proceeding "when at the time of such subsequent proceeding the witness is unable to attend" for certain, specified reasons. The majority reads this language to mean that where the witness *is* able to attend, CPL 670.10 imposes no restrictions whatsoever on the use of the witness's prior testimony. That reading of the statute is irreconcilable with our holding in *Green*, as explained, because J.H. not only was available, but attended and testified at trial, and yet we held that admission of his grand jury testimony violated CPL 670.10. Under CPL 670.10, the unavailability of the witness to testify at trial is a prerequisite to using the witness's prior testimony as a substitute for the witness's live testimony with respect to the events in question.[4]

Inasmuch as we have held that CPL 670.10 was " '[l]argely a codification of common-law' principles," *Crawford* (541 US 36) is instructive. The Supreme Court expressly stated that hearsay exceptions, such as the doctrine of past recollection recorded, cannot be used to evade the common-law proscription of the use of prior testimony that fails to satisfy *both* requirements of (a) unavailability of the declarant, and (b) the right to have cross-examined the prior testimony when given—the very conditions set out in CPL 670.10:

> "there is scant evidence that [hearsay] exceptions were invoked to admit *testimonial* statements against the accused in a *criminal* case. Most of the hearsay exceptions covered statements that by their nature were not testimonial—for example,

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se it holds that a witness (like J.H. in *Green* or Lieutenant Cosgrove) who testified before a grand jury but now lacks recollection from which to testify is governed by CPL 670.10. Whatever construction of CPL 670.10 one chooses, *Green* is indistinguishable, and its holding controls this case.

4. The title of CPL 670.10 confirms that it applies to all circumstances in which prior testimony is sought to be introduced in a criminal trial: "Use in a criminal proceeding of testimony given in a previous proceeding; when authorized." "The title of an act is like a label; it defines the scope of the enactment and gives notice of the purpose which its sponsors had in mind" (McKinney's Cons Laws of NY, Book 1, Statutes § 13, Comment).

> business records or statements in furtherance of a conspiracy. We do not infer from these that the Framers thought exceptions would apply even to prior testimony" (541 US at 56).

People v Taylor (80 NY2d 1, 6 [1992]), on which the majority relies, presents a paradigmatic example of the past recollection recorded exception's proper use: it involves the admission of an out-of-court *nontestimonial* statement, not prior testimony. There, we precisely stated the exception's sweep: "a memorandum made of a fact known or an event observed in the past of which the witness lacks sufficient present recollection may be received in evidence as a supplement to the witness's oral testimony" (*id.* at 8). Introduction of the slip of paper on which a percipient witness wrote down a license plate number (or, in *Taylor*, use of a detective's note recording the license plate number when the witness relayed the plate number to the detective) is the kind of nontestimonial out-of-court statement that supplements a witness's oral testimony where present recollection is lacking. Nothing about *Taylor* suggests that grand jury testimony may be read into the record as a past recollection recorded if a witness's memory has failed. Indeed, Supreme Court tacitly recognized the impropriety of reading Lieutenant Cosgrove's grand jury testimony into the record when it instructed the jury that the testimony was "not of itself independent evidence of the facts contained therein. It is auxiliary to the testimony of the witness," though the live testimony contained nothing of substance. There is a certain irony in the majority's explanation of the past recollection recorded doctrine as requiring that such evidence be admitted "not [as] independent evidence of the facts contained therein, but [as] supplementary to the testimony of the witness" (majority op at 264), when the witness has no substantive testimony to supplement.

The majority's decision takes a large step towards reinstating the very procedures the common law deemed illegitimate: trial by declaration or affidavit. In doing so, it turns our common-law and statutory rules on their head, admitting that the grand jury testimony of a dead witness could not be offered at trial for the truth of the matters contained therein, but permitting the wholesale introduction of prior testimony not subjected to cross-examination if the witness is alive. For several hundred years and for good reason, we have not let the government secure the testimony of witnesses in private examinations and introduce those at trial to convict the accused. A witness's lack of memory at the time of trial does not render such testimony any more reliable or less threatening to the rights of the accused than the introduction of that testimony when a witness has perfect recall; indeed, it has a greater potential to undermine the rights of the accused because of the impairment of the scope of cross-examination. It makes no sense to permit more hearsay when a witness is available.

The majority offers several unsatisfying explanations as to why its decision will not facilitate the wholesale introduction of prior testimony that has not been tested by cross-examination. First, again reciting that such testimony would be admitted "not [as] independent evidence of the facts, but . . . merely supplementary to the witness's trial testimony" (majority op at 269 n 6) ignores two points: (a) when the witness lacks all recall of the events, there is no testimony to supplement; and (b) a jury cannot possibly make a distinction between admitting Lieutenant Cosgrove's grand jury testimony as "supplementary" versus "independent evidence of the facts." Here, no one could make that distinction, and no one has: the lower courts and the majority treat Lieutenant Cosgrove's grand jury testimony as independent evidence of the facts to which he testified. As explained later, certain of those facts appear nowhere else in the record and are essential to maintaining the conviction for first-degree assault.

Second, the majority offers that "the jury . . . will take memory loss into account in its calculus of the weight that should be accorded to that witness's testimony" (*id.*). That might be meaningful in a case such as *United States v Owens* (484 US 554 [1988]), where the witness had a partial memory and his memory was impaired to some degree by the attack he suffered. In the case of the grand jury testimony of a police officer who testifies truthfully that he no longer has any recollection because of the passage of time, but who was under oath and testified truthfully before the grand jury when he did recall the incident, the jury has no basis to question the accuracy of the testimony based on memory loss. It is hard enough to remember details about a meeting one attended or a movie one saw a few weeks ago; many of the cases on our docket involve gaps between incident and trial of several years (in this case, more than four). No one is suggesting that the majority's decision will cause witnesses to "feign memory loss" (majority op at 269 n 6). Heretofore, the grand jury testimony of witnesses who had no memory by the time of trial could not be introduced as evidence in the People's case-in-chief. The problem occasioned by the majority's decision is its facilitation of convictions based on testimony that has not been subjected to cross-examination, which is anathema to our system of justice.

Third, the majority's example that the rule that "prior consistent statements [of a witness are] generally inadmissible unless proffered to rebut a claim of recent fabrication" (*id.*) will restrict the use of grand jury testimony is quite odd: its consequence is that where the witness has no affirmative testimony to offer, the grand jury testimony is admissible, but where the witness vividly recalls the details, the grand jury testimony will not be admitted. If we remember that the purpose of trial is to determine the truth, we would be much better off admitting grand jury testimony where the witness recalls the details vividly and can be cross-examined, than admitting grand jury testimony where the witness remembers none of the details, and the substance of the testimony cannot be cross-examined.

IV.

"Errors of law of nonconstitutional magnitude may be found harmless where 'the proof of the defendant's guilt, without reference to the error, is overwhelming' and where there is no 'significant probability . . . that the jury would have acquitted the defendant had it not been for the error' " (*People v Byer*, 21 NY3d 887, 889 [2013], quoting *People v Crimmins*, 36 NY2d 230, 241-242 [1975]). The evidence that Mr. Tapia was guilty of attempted assault in the second degree was substantial, but as to assault in the first degree, it was not. The victim had a slash on his face, which led the People to pursue a theory involving the use of a deadly weapon. The jury was asked to convict on two theories, either Mr. Tapia himself assaulted the victim with a deadly weapon, or that Mr. Tapia acted in concert with the other attacker, who used a deadly weapon. With respect to these theories involving the use of a deadly weapon, the admission of Lieutenant Cosgrove's testimony was not harmless error.

As to the first theory, no witness saw Mr. Tapia with a weapon at any point during, before or after the assault. No weapon was found at the scene. The victim testified at trial that he did not know which of his attackers cut him or when he was cut. Although there was broken glass on the ground in the area where Lieutenant Cosgrove pulled Mr. Tapia away from the victim, the police did not look for blood on the glass or see any blood on Mr. Tapia. There are no facts from which a jury could determine, beyond a reasonable doubt, that Mr. Tapia used a deadly weapon to cut the victim.

The acting-in-concert theory is a closer question, but I conclude the evidence of defendant's guilt was not so overwhelming that we could conclude that the error was harmless. "[T]o be liable under an acting in concert theory, the accomplice and principal must share a 'community of purpose' " (*People v Scott*, 25 NY3d 1107, 1110 [2015], quoting *People v La Belle*, 18 NY2d 405, 412 [1966]). The requisite "community of purpose" is not satisfied, where, for example, the evidence shows "a spontaneous and not concerted or planned use of [a] weapon" (*People v Monaco*, 14 NY2d 43, 45 [1964]). Thus, if the People's evidence demonstrated only that Mr. Tapia and another assaulted the victim, but that the other assailant slashed the victim spontaneously and unexpectedly during the attack, that evidence would be insufficient to support Mr. Tapia's conviction for first-degree assault guilt under an acting-in-concert theory (*see e.g. People v Akptotanor*, 158 AD2d 694, 695 [2d Dept 1990], *affd* 76 NY2d 1000 [1990]). On the other hand, we have held the "community of purpose" doctrine is satisfied where, for example, there is "evidence of prior planning and then active participation" (*People v Brathwaite*, 63 NY2d 839, 842 [1984]), or the defendant was aware that a weapon was carried to the encounter from the outset (*see People v Whatley*, 69 NY2d 784, 785 [1987]), or the defendant was present when the principal approached the victim with the injury-causing weapon (*see Scott*, 25 NY3d at 1110). However, the record is bereft of evidence that would fit under one of those precedents.

Here, the acting-in-concert claim hinges on a theory of the case for which we have no precise precedent: because Mr. Tapia assaulted the victim after the victim had been slashed, Mr. Tapia was acting in concert with the slasher. That evidence alone does not overwhelmingly establish that Mr. Tapia acted in concert with the slasher. In any event, even if the evidence were overwhelming, the difficulty here is that Lieutenant Cosgrove's grand jury testimony provides the only evidence that Mr. Tapia was assaulting the victim after the victim had been slashed. His grand jury testimony also provides the sole support for the People's claim that Mr. Tapia was in a position to see that the victim had been slashed. Those facts are essential to supporting the second theory for conviction provided by the People.

Two Justices of the Appellate Division believed that, even with the inclusion of Lieutenant Cosgrove's testimony, the evidence could not support a conviction of first-degree assault. The jury convened for four days and submitted 16 notes to the Judge before reaching a verdict. The factfinders in the proceedings below clearly considered this case a close question when Lieutenant Cosgrove's grand jury testimony was part of the record. Thus, because it was error to admit that testimony, the error here cannot be said to be harmless.

For the above reasons, I would reverse the judgment and grant defendant a new trial.

Judges STEIN, GARCIA and FEINMAN concur; Judge WILSON dissents in an opinion in which Judges RIVERA and FAHEY concur.

Order affirmed.

[125 NE3d 117, 101 NYS3d 702]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v OMAR ALVAREZ, Appellant.

Argued February 12, 2019; decided March 28, 2019

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered September 28, 2017. The Appellate Division denied defendant's motion for a writ of error coram nobis for review of his claim of ineffective assistance of appellate counsel and vacatur of an order of that Appellate Division entered September 28, 2000 (275 AD2d 679 [2000]), which had affirmed a judgment of the Supreme Court, New York County (Leslie Crocker Snyder, J.), convicting defendant, upon a jury verdict, of conspiracy in the first degree, murder in the second degree, attempted murder in the second degree (two counts), assault in the first degree, assault in the second degree, criminal possession of a weapon in the second degree, criminal possession of a weapon in the third degree, criminal sale of a controlled substance in the second degree, and criminal sale of a controlled substance in the third degree, and sentenced defendant to an aggregate term of 66⅔ years to life.

People v Alvarez, 2017 NY Slip Op 87246(U), affirmed.

HEADNOTES

Crimes — Right to Counsel — Effective Representation — Appellate Counsel

1. Defendant was provided with meaningful representation on his direct criminal appeal under the New York State Constitution notwithstanding counsel's failure to challenge defendant's sentence as unduly harsh and severe, and claimed deficiencies in the quality of both the appellate brief and appellate counsel's communication with defendant. The fairness of defendant's direct appeal was not compromised by appellate counsel's performance. Apart from his own allegation, defendant provided no proof that his appellate counsel failed to adequately communicate with him. While the brief filed by appellate counsel was somewhat terse, could have been better drafted, and was not a model to be emulated, it demonstrated appellate counsel's grasp of the relevant facts and law. Appellate counsel raised four reviewable issues that triggered plenary review by the Appellate Division, which ultimately addressed each issue on the merits. Given the heinous nature of defendant's violent crimes, as well as defendant's lamentable behavior and lack of remorse at sentencing, it could not be said that appellate counsel lacked a sound, strategic reason to forgo pursuing a discretionary reduction of defendant's sentence that had little chance of success.

Crimes — Right to Counsel — Effective Representation — Failure to File Criminal Leave Application

2. Appellate counsel's failure to file a criminal leave application with the Court of Appeals did not, on its own, constitute ineffective assistance of counsel under either the Federal or State Constitutions. Defendant did not identify any claim that should have been raised in a criminal leave application, and the only claim he faulted counsel for failing to raise in the Appellate Division—that the sentence was unduly harsh and severe—would be unreviewable by the Court of Appeals.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Criminal Law §§ 1110–1116.
CARMODY-WAIT 2d Right to Counsel §§ 184:281–184:283.
LAFAVE, ET AL., CRIMINAL PROCEDURE (4th ed) § 11.7.
NY JUR 2d Criminal Law: Procedure §§ 956–959, 3635.

ANNOTATION REFERENCE

Adequacy of defense counsel's representation of criminal client regarding appellate and post-conviction remedies. 14 ALR4th 582.

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POINTS OF COUNSEL

Christina A. Swarns, *Office of the Appellate Defender*, New York City (*Richard M. Greenberg* and *Rosemary Herbert* of counsel), for appellant. Omar Alvarez was deprived of "meaningful representation" where assigned appellate counsel failed to communicate with Mr. Alvarez, was dilatory in filing a brief, ultimately filed a brief that was patently deficient and substandard and that failed to seek a sentence reduction, neglected to inform Mr. Alvarez of the Appellate Division decision, and failed to file a Court of Appeals leave application. (*People v Baldi*, 54 NY2d 137; *People v Benevento*, 91 NY2d 708; *People v Hobot*, 84 NY2d 1021; *People v Turner*, 5 NY3d 476; *People v Stultz*, 2 NY3d 277; *Evitts v Lucey*, 469 US 387; *People v Andrews*, 23 NY3d 605; *People v Gonzalez*, 47 NY2d 606; *People v Bennett*, 29 NY2d 462; *Strickland v Washington*, 466 US 668.)

Cyrus R. Vance, Jr., District Attorney, New York City (*Yan Slavinskiy* and *Patrick J. Hynes* of counsel), for respondent. The Appellate Division properly denied defendant's petition for a writ of error coram nobis. (*People v Bachert*, 69 NY2d 593; *People v Syville*, 15 NY3d 391; *United States v Morgan*, 346 US 502; *People v D'Alessandro*, 13 NY3d 216; *People v Rosario*, 26 NY3d 597; *People v Arjune*, 30 NY3d 347; *Klein v United States*, 880 F2d 250; *Hirabayashi v United States*, 828 F2d 591; *Foont v United States*, 93 F3d 76; *Telink, Inc. v United States*, 24 F3d 42.)

OPINION OF THE COURT

STEIN, J.

On this appeal, we are asked to determine whether the Appellate Division properly denied defendant's petition for a writ of error coram nobis based upon his claim that he was deprived of the effective assistance of appellate counsel due to counsel's failure to challenge defendant's sentences as unduly harsh and severe, and claimed deficiencies in the quality of both the appellate brief and appellate counsel's communication with defendant. Because defendant was provided with meaningful representation under this State's well-settled ineffective assistance of counsel standard, we conclude that the Appellate Division correctly denied his application. We, therefore, affirm.

In 1996, defendant was convicted, upon a jury verdict, of conspiracy in the first degree, murder in the second degree, two counts of attempted murder in the second degree, assault in the first and second degrees, criminal possession of a weapon in the second and third degrees, and criminal sale of a controlled substance in the second and third degrees. These convictions arose from defendant's membership in a narcotics trafficking organization, which enforced its control over its drug territory with extreme acts of violence. Defendant, who sold large quantities of crack cocaine to undercover police officers on multiple occasions, fulfilled the role of a "manager," whose duties included enforcing discipline among the organization's workers, using physical force to protect the organization and its assets, and supervising street dealers for that organization. In one instance, defendant, together with his codefendants, fired approximately 30 bullets in a drive-by shooting, hitting three teenagers—a 14 year old and two 15 year olds. The shooting killed the 14 year old and caused one of the surviving victims to suffer permanent disabilities.

At sentencing, defendant denied responsibility for the shooting, expressly refused to apologize to the deceased victim's family, and laughed while the court explained its sentencing determination. The court ultimately imposed consecutive sentences, whereby defendant received an aggregate term of $66^2/_3$ years to life in prison.[1]

On his direct appeal to the Appellate Division, defendant was represented by assigned counsel, who raised four reviewable issues in a brief submitted on defendant's behalf. Specifically, appellate counsel argued that: at the time of defendant's arrest, the police conducted an illegal search, resulting in recovery of a loaded weapon and drugs that should have been suppressed; the trial court erroneously denied defendant's request for an adjournment to review certain evidence with his counsel before trial; the court illegally sealed the witness list, interfering with his ability to prepare for cross-examination of the People's witnesses; and the verdict on the conspiracy count was against the weight of the evidence. The Appellate Division affirmed the judgment of conviction, after considering and rejecting each of appellate counsel's arguments on the merits (275 AD2d 679, 680 [1st Dept 2000]).

Nearly two decades later, in 2017, defendant commenced this proceeding seeking a writ of error coram nobis and vacatur of the Appellate Division order affirming his conviction, based on his claim that appellate counsel's performance was constitutionally defective. The Appellate Division denied defendant's application (2017 NY Slip Op 87246[U] [1st Dept 2017]), and a Judge of this Court granted defendant leave to appeal (30 NY3d 1113 [2018]).

It is well-settled that, to prevail on a claim of ineffective assistance of appellate counsel under the New York Constitution, a defendant must demonstrate that counsel failed to provide meaningful representation (*see People v Stultz*, 2 NY3d 277, 284 [2004]; *People v Baldi*, 54 NY2d 137, 147 [1981]). Unlike the Federal Constitution, which requires a defendant to show "that there is a reasonable probability that, but for counsel's unprofessional errors, the result of the proceeding would have been different" (*Strickland v Washington*, 466 US 668, 694 [1984]), our state standard considers prejudice to be " 'a significant but not indispensable element in assessing meaningful

1. The maximum life sentence was mandatory and defendant has never claimed that the minimum sentence was illegal.

representation' " (*People v Caban*, 5 NY3d 143, 155-156 [2005], quoting *Stultz*, 2 NY3d at 284). Thus, " '[o]ur state standard . . . offers greater protection than the federal test' because, 'under our State Constitution, even in the absence of a reasonable probability of a different outcome, inadequacy of counsel will still warrant reversal whenever a defendant is deprived of [fair process]' " (*People v Honghirun*, 29 NY3d 284, 289 [2017], quoting *Caban*, 5 NY3d at 155-156). Nevertheless, we remain "skeptical" of ineffective assistance of counsel claims where the defendant is unable to demonstrate any prejudice at all (*Stultz*, 2 NY3d at 283-284; *see People v Ennis*, 11 NY3d 403, 412 [2008], *cert denied* 556 US 1240 [2009]).

Regarding coram nobis applications in particular, we have held that "[a]ppellate advocacy is meaningful if it reflects a competent grasp of the facts, the law and appellate procedure, supported by appropriate authority and argument" (*Stultz*, 2 NY3d at 285; *see People v Feliciano*, 17 NY3d 14, 21 [2011]). However, "[e]ffective appellate representation by no means requires counsel to brief or argue every issue that may have merit"; rather, appellate attorneys are afforded wide "latitude in deciding which points to advance and how to order them" (*Stultz*, 2 NY3d at 285; *see People v Ramchair*, 8 NY3d 313, 316 [2007]). We again emphasize "that 'counsel's efforts should not be second-guessed with the clarity of hindsight' and that our Constitution 'guarantees the accused a fair [proceeding], not necessarily a perfect one' " (*People v Turner*, 5 NY3d 476, 480 [2005], quoting *People v Benevento*, 91 NY2d 708, 712 [1998]). A defendant seeking a writ of error coram nobis bears the burden of demonstrating that counsel was ineffective (*see People v Session*, 34 NY2d 254, 255-256 [1974]; *see also People v Arjune*, 30 NY3d 347, 357 n 8 [2017], *cert denied* 586 US —, 139 S Ct 67 [2018]).

[1] Defendant argues that appellate counsel was ineffective here because he allegedly failed to communicate with defendant during the pendency of his direct appeal, submitted an appellate brief that was poorly structured and that did not challenge the length of the minimum portion of the indeterminate sentence imposed as unduly harsh and severe in the interest of justice, and neglected to file a criminal leave application seeking leave to appeal to this Court. We conclude that the fairness of defendant's direct appeal was not compromised by appellate counsel's performance and, therefore, defendant was not deprived of meaningful representation.[2]

In support of his application, defendant proffered the brief filed on his behalf in the Appellate Division and a letter sent to him by appellate counsel after the Appellate Division had notified defendant that his case was placed on the dismissal calendar, stating that counsel was working on defendant's appeal. Defendant also submitted his own affidavit, wherein he averred that he received only one letter from appellate counsel, and maintained that appellate counsel failed to provide him with the appellate briefs or notify him of the Appellate Division's decision after his appeal was heard. Defendant also submitted an affidavit from his wife, who had no relationship with defendant during the pendency of his direct appeal and lacked any personal knowledge regarding counsel's communications with defendant during that time period. In short, apart from his own otherwise unsupported allegation (*see People v Andrews*, 23 NY3d 605, 615 [2014]; *People v Rosario*, 26 NY3d 597, 603 [2015]; *Arjune*, 30 NY3d at 357), defendant provides no proof that his appellate counsel failed to adequately communicate with him. Thus, on this record, we cannot conclude that defendant satisfied his burden of demonstrating ineffective assistance of counsel on this ground.[3]

Regarding defendant's primary argument—namely, that the quality of the appellate brief and counsel's failure to argue that defendant's sentence was unduly harsh and severe deprived him of meaningful representation—this Court has recognized ineffective assistance of counsel based upon the content of an appellate brief only in very limited circumstances. In *People v Turner*, we determined that, in rare instances, the failure to raise a single argument on appeal may constitute a "clear-cut and completely dispositive" error that is "so egregious and prejudicial as to deprive a defendant of [the] constitutional right" to effective representation (5 NY3d at 480-481 [internal quotation marks and citations omitted]; *see People v Ambers*, 26

2. We reject the People's alternative contention that defendant's coram nobis application should be denied on the grounds of laches or failure to exercise due diligence.

3. Our dissenting colleagues entreat us to infer from appellate counsel's two-sentence letter that he "waited over three years to take any action on defendant's appeal" (Rivera, J., dissenting op at 300) and had no other communication with defendant while his direct appeal was pending. That the dissenters must resort to such unsupported speculation demonstrates that defendant failed to satisfy his burden of proof.

NY3d 313, 317 [2015]). In *People v Gonzalez*, the principal case relied upon by defendant, we determined that a brief setting forth the attorney's position that "there were no points to be raised on his appeal," and proceeding to list four point headings requested by the defendant without additional argument—together with other deficiencies—constituted ineffective assistance of appellate counsel due to counsel's complete failure to raise any argument at all (47 NY2d 606, 611-612 [1979]). Likewise, in *People v Vasquez*, we made clear that appellate counsel's submission of a brief affirmatively disparaging arguments the defendant requested be raised on appeal constitutes ineffective assistance of counsel because, "for all practical purposes," such conduct precluded the client from presenting those arguments in a pro se brief (70 NY2d 1, 4 [1987]).

In the instant matter, there is no question that the brief filed by appellate counsel was somewhat terse, could have been better drafted, and is not a model to be emulated. Nevertheless, the brief demonstrated appellate counsel's grasp of the relevant facts and law. Indeed, appellate counsel raised four reviewable issues that triggered plenary review by the Appellate Division, which ultimately addressed each issue on the merits. Brevity—which, indeed, can be a virtue in an appellate brief—a small number of citations to case law, or even the poor style of a brief that otherwise permits meaningful appellate review does not render appellate representation ineffective under our "undemanding" standard (*Turner*, 5 NY3d at 482; *compare Gonzalez*, 47 NY2d at 611; *see generally Stultz*, 2 NY3d at 285). Moreover, defendant's claim of ineffective assistance of appellate counsel is particularly weak here because he can identify only a single issue that was even potentially meritorious—an excessive sentence claim—that he asserts should have been included in the appellate brief. Given the heinous nature of defendant's violent crimes, as well as defendant's lamentable behavior and lack of remorse at sentencing, it cannot be said that appellate counsel lacked a sound, strategic reason to forgo pursuing a discretionary reduction of defendant's sentence that had "little . . . chance of success" (*Caban*, 5 NY3d at 152, quoting *Stultz*, 2 NY3d at 287).[4]

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4. Judge Wilson correctly acknowledges that none of the circumstances allegedly arising after defendant's sentence—and, likewise, the case law and research cited regarding the differences between adults and children that postdated defendant's conviction—could possibly have been raised by counsel

(n. cont'd)

To be sure, this Court has rejected the federal rule that a defendant must show a reasonable probability that counsel's errors changed the result of the case (*see Strickland*, 466 US at 694). Nevertheless, "we are not indifferent to whether the defendant was or was not prejudiced by . . . counsel's ineffectiveness" (*Stultz*, 2 NY3d at 283), and we have not hesitated to take prejudice into account in analyzing whether our meaningful representation standard is satisfied (*see e.g. People v Heidgen*, 22 NY3d 259, 279 [2013]; *People v Thompson*, 21 NY3d 555, 560 [2013]; *People v Henry*, 95 NY2d 563, 566 [2000]). Our holding in this case does not change any of these well-settled precepts. Here, Judge Rivera's dissent emphasizes such things as appellate counsel's inferior writing style, punctuation, pagination, and the "[i]nexplicabl[e] . . . insert[ion] . . . of a six-page letter from trial counsel to the judge requesting an adjournment" (Rivera, J., dissenting op at 301). That our colleagues quibble over such minuscule issues, largely exalting form over substance, is telling. Further, even their more substantive criticisms do not stand up to scrutiny. For example, Judge Rivera's dissent criticizes appellate counsel's failure to distinguish between legal sufficiency and weight of the evidence. Notably, inasmuch as the Appellate Division has authority to review both legal sufficiency and weight of the evidence, the discussion of both issues in an appellate brief directed to that Court does not demonstrate counsel's ineffectiveness. Moreover, defendant concedes that, even if the same preserved issues raised in the appellate brief filed on his behalf had been championed more effectively, they would have fared no better. Indeed, the only relief defendant sought on his

on direct appeal (Wilson, J., dissenting op at 314). Therefore, those facts and circumstances are not properly considered in determining whether appellate counsel was ineffective (*see People v Henry*, 95 NY2d 563, 565 [2000]; *People v Hobot*, 84 NY2d 1021, 1022 [1995]; *People v Baldi*, 54 NY2d 137, 147 [1981]); this does not suggest, however, that any such information would necessarily render appellate counsel ineffective had this appeal arisen following the development thereof. Nevertheless, Judge Wilson concludes that appellate counsel's failure to raise a claim that the sentence imposed was unduly harsh and severe, alone, amounted to ineffective assistance. His reasoning distills to little more than an old proverb: "nothing ventured, nothing gained" (Wilson, J., dissenting op at 310). Of course, this conflicts with the well-settled principle that appellate counsel is not required "to brief or argue every issue that may have merit" (*People v Stultz*, 2 NY3d 277, 285 [2004]; *see Jones v Barnes*, 463 US 745, 754 [1983] ["(f)or judges to second-guess reasonable professional judgments and impose on appointed counsel a duty to raise every 'colorable' claim suggested by a client would disserve the very goal of vigorous and effective advocacy"]).

error coram nobis application was the opportunity to argue that his sentence was unduly harsh and severe. Under these circumstances, we cannot conclude that the Appellate Division erred in determining that the quality of the brief did not constitute ineffective assistance of counsel (*compare Gonzalez*, 47 NY2d at 609-611).

[2] Finally, insofar as defendant faults appellate counsel for failing to file a criminal leave application to this Court, such an omission does not, on its own, constitute ineffective assistance of counsel under either the Federal or State Constitutions (*see People v Grimes*, 32 NY3d 302, 306 [2018]; *Andrews*, 23 NY3d at 616). In any event, defendant does not identify any claim that should have been raised in a criminal leave application, and the only claim he faults counsel for failing to raise in the Appellate Division—that the sentence was unduly harsh and severe—would be unreviewable by this Court (*see People v Thompson*, 60 NY2d 513, 521 [1983]).

In sum, because defendant was afforded meaningful representation on his direct appeal, his counsel was not ineffective under the New York State Constitution. Inasmuch as the meaningful representation standard "offers greater protection than the federal test, we necessarily reject defendant's federal constitutional challenge" (*Caban*, 5 NY3d at 156). Accordingly, the order of the Appellate Division should be affirmed.

RIVERA, J. (dissenting). Our State Constitution guarantees every defendant effective assistance of counsel, which we have defined as "meaningful representation" (*People v Benevento*, 91 NY2d 708, 712 [1998]; *People v Baldi*, 54 NY2d 137, 147 [1981]; *see also People v Stultz*, 2 NY3d 277, 284 [2004] [extending the "meaningful representation" standard to appellate counsel]). In the appellate context, "[a]ppellate advocacy is meaningful if it reflects a competent grasp of the facts, the law and appellate procedure, supported by appropriate authority and argument" (*Stultz*, 2 NY3d at 285). Defendant Omar Alvarez claims his appellate counsel's work failed to satisfy these criteria and seeks the opportunity to appeal his conviction and sentence with the benefit of a lawyer who will timely perfect the appeal, discuss the issues with him in preparing the appellate arguments, and submit a brief that advocates for him based on the facts and law rather than leaving it to the judiciary to conjure the strongest arguments on his behalf. Based on the record of appellate counsel's substandard brief and failure to comply with his basic professional obligations to his client, a de novo appeal should be granted.[1]

The majority's acceptance in this case of appellate counsel's failures erodes our constitutional standard for effective assistance, imports a prejudice standard we have long rejected, and sends a message to the profession that there is seemingly little to no value attached to a lawyer's skill in advocacy. This could not be further from the truth. I dissent.

I.

As a threshold matter, the People's argument that defendant failed to act with due diligence in asserting his claim of ineffective assistance is unpreserved. As the People concede, they argued in the Appellate Division that defendant's request for coram nobis relief should be denied on laches grounds because his failure to file his coram nobis petition earlier prejudiced the People. They did not argue, as they do now, that defendant failed to exercise due diligence in pursuing relief. In fact, the People argued that the reasons for the timing of defendant's coram nobis petition were wholly irrelevant to the court's analysis because the petition must be dismissed on the sole basis of the alleged prejudice to the People's ability to oppose defendant's request.

The People attempt to avoid our preservation rules by arguing that laches and a statutory due diligence requirement are functionally equivalent grounds for disposition of defendant's petition. The People fail to address the significant, and ultimately dispositive, differences between the two. Laches originated as a doctrine in the courts of chancery as a ground to refuse a claim in equity by a plaintiff who delayed bringing an action, even if opposing party suffered no prejudice (*see e.g. Petrella v Metro-Goldwyn-Mayer, Inc.*, 572 US 663, 678 [2014]; Black's Law Dictionary 1006 [10th ed 2014]). Laches remains an equitable doctrine but requires a showing of prejudice caused by a party's unreasonable delay in pursuing a right or claim. "The mere lapse of time, without a showing of prejudice, will not sustain a defense of laches" (*Saratoga County Chamber*

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1. The brief that defendant's counsel filed on his behalf in his original appeal is available here: http://www.nycourts.gov/ctapps/reference/Alvarez%20Brief.pdf, cached at http://www.nycourts.gov/reporter/webdocs/AlvarezBrief.pdf. The brief is also permanently available for viewing at the New York State Library. The library is the repository for all court filings: http://www.nysl.nysed.gov/recbrief.htm.

of Commerce v Pataki, 100 NY2d 801, 816 [2003], *cert denied* 540 US 1017 [2003]). Specifically, laches is an affirmative defense, deployed to estop a party from asserting a claim (*id.*). As its sine qua non is prejudice to the party against whom a claim is asserted, laches may be invoked regardless of whether the action is timely or not (*id.*). However, the doctrine is narrow in application and the United States Supreme Court "has cautioned against invoking laches to bar legal relief" (*Petrella*, 572 US at 678). In contrast, the People rely on CPL 460.30 (1), a statutory provision which extends the time to file a criminal leave application and expressly imposes a due diligence requirement on a defendant, tethered to a limitations period (CPL 460.30 [1]; *People v Syville*, 15 NY3d 391, 399 [2010]). In other words, by statute, the burden falls on the defendant to establish due diligence in bringing the claim within the time allotted (*see People v Rosario*, 26 NY3d 597, 604 [2015]; *People v Arjune*, 30 NY3d 347, 357-358 [2017], *cert denied* 586 US —, 139 S Ct 67 [2018]). A defense based on laches and a due diligence requirement are founded on disparate analytic foundations, each imposes different burdens of production and persuasion (*see e.g. Pecorino v Vutec Corp.*, 6 F Supp 3d 217, 221 [ED NY 2013] ["Because laches is an affirmative defense, a defendant asserting laches bears the ultimate burden of persuasion, even where a presumption of laches may apply"]). As such, and notably, the Appellate Division would not have applied due diligence principles to the People's claim that the doctrine of laches was an insurmountable bar to his request for coram nobis relief (*Lichtman v Grossbard*, 73 NY2d 792, 794 [1988] [Court cannot grant relief on theory not argued below]; Karger, Powers of the New York Court of Appeals § 17:1 at 589-591 [3d ed rev 2005]). Since the People's due diligence argument was not presented below, we may not consider it on this appeal (*see Bingham v New York City Tr. Auth.*, 99 NY2d 355, 359 [2003]).

Even if preserved, the People's argument is without merit.[2] The People would have us extend the analysis of cases resolved under CPL 460.30 (1) and impose a statutory due diligence requirement to the writ of coram nobis. The Court has previously rejected the same claim, holding that a demand for coram nobis relief is to be considered on the merits as we do "not allow the lengthy passage of time, in itself, to bar review of a

2. The Appellate Division denied defendant's petition, suggesting that it rejected the People's argument that the petition should be dismissed based on laches.

defendant's claims" (*People v D'Alessandro*, 13 NY3d 216, 221 [2009]). With good reason, as the writ of coram nobis is not a creature of statute, subject to the limits set by the legislature, but rather "[a] common-law writ . . . [that] continues to be available to alleviate a constitutional wrong when a defendant has no other procedural recourse" (*Syville*, 15 NY3d at 400, citing *People v Bachert*, 69 NY2d 593 [1987]). That is the case here, as defendant has no other mechanism by which to present his claim that appellate counsel was ineffective.

II.

Turning to the merits, it is well established that a defendant has a right to effective assistance of counsel under both the Federal and State Constitutions (*see Evitts v Lucey*, 469 US 387 [1985] [defendant has federal right to appellate counsel on first appeal as of right]). We have also long recognized that our state standard affords greater protection to defendants than the federal test for ineffectiveness (*People v Caban*, 5 NY3d 143, 156 [2005]). Effective assistance under our State Constitution requires counsel provide the client with "meaningful representation" (*see Benevento*, 91 NY2d at 712; *Baldi*, 54 NY2d at 147). "[T]he claim of ineffectiveness is ultimately concerned with the fairness of the process as a whole rather than its particular impact on the outcome of the case" (*Benevento*, 91 NY2d at 714). This Court has stressed that "our legal system is concerned as much with the integrity of the judicial process as with the issue of guilt or innocence" (*id.*, quoting *People v Donovan*, 13 NY2d 148, 153-154 [1963]). "Thus, under our State Constitution, even in the absence of a reasonable probability of a different outcome, inadequacy of counsel will still warrant reversal whenever a defendant is deprived of a fair trial" (*Caban*, 5 NY3d at 156).

> "In *Stultz*, we held that the 'meaningful representation' standard, announced in *People v Baldi* in the context of evaluating the constitutional adequacy of trial representation, applies as well to claims of ineffective assistance of appellate counsel, and that appellate counsel provides meaningful representation when [counsel] displays a competent grasp of the facts, the law and appellate procedure, supported by appropriate authority and argument" (*People v Borrell*, 12 NY3d 365, 368 [2009] [citations and internal quotation marks omitted]).

The Court recognized that "[i]n delineating what is meaningful, however, it would be unwise and possibly misleading to create a grid or carve in stone a standard by which to measure effectiveness" (*Stultz*, 2 NY3d at 285). In other words, our "meaningful representation" standard is not static, and takes into account differences between trial and appellate advocacy. Just as trial counsel must be judged holistically by the work attendant to preparing and conducting a defense at trial (*Baldi*, 54 NY2d at 147), appellate counsel must be judged according to the obligations and tasks of appellate practice, without consideration of whether the arguments presented would have resulted in a beneficial outcome for defendant (*Stultz*, 2 NY3d at 283). "The essential inquiry in assessing the constitutional adequacy of appellate representation is, then, not whether a better result might have been achieved, but whether, viewed objectively, counsel's actions are consistent with those of a reasonably competent appellate attorney" (*Borrell*, 12 NY3d at 368, citing *People v Satterfield*, 66 NY2d 796, 799 [1985]).

More to the point, an appellate lawyer is measured by the ability to advocate persuasively, and forcefully, if not successfully, for the client. Advocacy is "[t]he act of pleading for or actively supporting a cause or proposal" (Black's Law Dictionary 66 [10th ed 2014]). A synonym of to advocate is to "champion" (Merriam-Webster Online Dictionary, advocate [https://www.merriam-webster.com/dictionary/advocate]). The right to counsel "means more than just having a person with a law degree nominally" representing defendant (*People v Bennett*, 29 NY2d 462, 466 [1972]), and requires the effective assistance of counsel in "research of the law, and marshalling of arguments on [defendant's] behalf" (*Douglas v California*, 372 US 353, 358 [1963]). The culmination of that work for appellate counsel is the presentation of a cogent and organized appellate argument, presented in writing, grounded on legal analysis and the facts of the case, and, when available, reaffirmed and further expounded orally before the court.

We have considered effectiveness of appellate counsel's overall performance in a small number of cases (*see People v Townsley*, 20 NY3d 294 [2012]; *Borrell*, 12 NY3d 365; *People v Ramchair*, 8 NY3d 313 [2007]; *People v Turner*, 5 NY3d 476 [2005]; *Stultz*, 2 NY3d 277; *People v Vasquez*, 70 NY2d 1 [1987]; *People v Gonzalez*, 47 NY2d 606 [1979]). Most of those cases focused on appellate counsel's choices, and specifically, the failure to raise a specific claim. In *Gonzalez* and *Vasquez*, the focus was on the manner in which counsel undermined their client by disparaging the client's claims; defendant's case is of a different kind. It goes to the essence of appellate advocacy—the ability to present a coherent argument intended to persuade through its rhetorical and analytical power. Here, we must consider whether merely presenting points of law without any reasoned advocacy effort is sufficient as a matter of law.

III.

Defendant filed this petition for coram nobis relief on the ground that his appellate counsel's performance, considered in its totality, deprived him of the effective assistance of counsel in his appeal. Defendant's claims are several and supported by the record.

First, defendant maintains that counsel was ineffective because he initially failed to perfect the appeal, causing the Appellate Division to place the matter on the court's dismissal calendar, thus risking the loss of defendant's only appeal as of right (CPL 450.10; Rules of App Div, All Depts [22 NYCRR] § 1250.10). The majority does not even address this failure.

Second, counsel failed to communicate at all with his client in the three years following his appointment to represent defendant, and only as a late-day response to the dismissal calendar notification. Even then, the correspondence was cursory—a mere two sentence letter stating, "Enclosed please find a copy of your transcript which has been separated from the transcript of your co-defendants'. I am presently preparing your appeal brief and it will be submitted as soon as it has been completed." The majority concludes that defendant's allegations are unsupported and thus fail to establish this lack of client contact (majority op at 291). I disagree and conclude that appellate counsel's on-the-record conduct supports defendant's claim.[3]

3. The majority claims that I have engaged in speculation about appellate counsel's years-long failure to communicate with his client (majority op at 291 n 3). The majority ignores the totality of my analysis, which focuses on several key factors: counsel's dilatory conduct was established by the Appellate Division's warning letter that defendant's appeal was at risk of dismissal for counsel's failure to perfect; counsel's hurried reaction which consisted of a cursory letter to defendant, one that lacked even a semblance of an attorney-client relationship as it failed to acknowledge any prior communication and did not explain why the appeal was noticed for the dismissal calendar; and the eventual submission of a slapdash writing that counsel had the temerity

(n. cont'd)

Appellate counsel waited over three years to take any action on defendant's appeal, and only after prompted by the Appellate Division's notice of potential dismissal. Even still, counsel's letter to defendant was nothing more than an announcement of belated work. Its perfunctory content is telling in what it lacks. The letter does not reference prior correspondence or communication with defendant, so it cannot be viewed as a follow-up to prior contact. It nowhere explains why counsel is sending defendant transcripts three years into his representation. The letter does not discuss the Appellate Division dismissal calendar notification, even though the Court copied defendant on the letter and any reasonable attorney would expect the client to be curious or even concerned about a potential dismissal. Perhaps most revealing, counsel announces that he is working on the brief and will submit it when completed, without any suggestion of prior attorney-client discussions or the opportunity to discuss the contents of the brief, pre-filing. Of course, there is the additional matter of counsel's failure to file a request for leave to appeal to this Court when the Appellate Division affirmed his conviction.[4]

This track record is sufficient to support defendant's claims that counsel failed to communicate with defendant about the status of his appeal or otherwise engage with defendant about the issues counsel chose to raise in his brief. Counsel's failure to communicate with defendant is a basic violation of counsel's professional obligation to discuss the representation with his client, thus depriving defendant a voice in his appeal (*see* Rules of Professional Conduct [22 NYCRR 1200.0] rule 1.4 [a] [2]; [b] ["Communication": a lawyer shall "reasonably consult with the client about the means by which the client's objectives are to

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to represent as an appellate brief. If what the majority means by speculation is an unjustified assumption, then it is the majority that has faltered in its analysis by assuming that appellate counsel conducted himself in a professional manner when all evidence is to the contrary.

4. I adhere to the view that when, as here, appellate counsel fails to timely file a criminal leave application to this Court, the defendant has been denied effective assistance (*see People v Grimes*, 32 NY3d 302, 320-336 [2018, Wilson, J., dissenting]; *People v Andrews*, 23 NY3d 605, 617-619 [2014, Rivera, J., concurring in part and dissenting in part]). Defendant does not seek review in this Court, which would be the relief for that failure, but rather an opportunity for a fair consideration of his appeal in the Appellate Division. Therefore, I address the question whether appellate counsel was ineffective in his representation of defendant before the Appellate Division, the one appellate review as of right provided under New York law (CPL 450.10; *People v West*, 100 NY2d 23 [2003]).

be accomplished" and "(a) lawyer shall explain a matter to the extent reasonably necessary to permit the client to make informed decisions regarding the representation"]).

Third, defendant complains of the poor quality of appellate counsel's advocacy. As the record establishes, counsel took an inexplicably long time to file the brief, over four years, delaying defendant's appeal. Once filed, the brief was, according to defendant, a "pathetic mockery of competent advocacy." There was no possibility any of the points raised could have persuaded the Appellate Division to reverse the conviction, and counsel's failure to raise an excessive sentence claim was inexplicable and inexcusable. Defendant submitted the brief in support of this claim.

The failings of the brief are substantial. Indeed, it is beyond understatement to declare, as the majority does here, that this "is not a model to be emulated" (majority op at 292). The brief fails to meet the basic criteria we have identified as fundamental to meaningful appellate advocacy. It does not "reflect[ ] a competent grasp of the facts, the law and appellate procedure" (*Stultz*, 2 NY3d at 285). The brief is barely 20 double-spaced pages, including separate pages for the cover, tables of contents and cases, CPLR 5531 statement, and issues presented.[5] Inexplicably, at the end of the facts section, appellate counsel inserted a photocopy of a six-page letter from trial counsel to the judge requesting an adjournment. The factual recitation consists of two pages and six lines of text. There is not a single citation in this section to the record on appeal, as required by the Rules of the Appellate Division, All Departments (22 NYCRR) § 1250.8 (b) (4) which requires an appellant's brief to include a statement of facts "with appropriate citations to the . . . record." This hardly seems adequate given defendant appealed from a judgment following a three-month joint trial with two codefendants, resulting in a trial transcript spanning over 4,000 pages, and involving multiple serious counts, including murder. In contrast, the People submitted a brief over 175 pages long, with 60 pages solely devoted to the facts.

Appellate counsel's brief contained four argument points. Point 1 is titled: "Once the defendant is under police control

5. Previously, at least one member of this Court has indicated concern by a brief in a complicated case that was "only 37 pages long" (*Borrell*, 12 NY3d at 371 [Pigott, J., dissenting] [noting that counsel's performance in its totality was less than meaningful where "counsel's brief, which as noted by the majority was for two separate felony indictments and convictions, was only 37 pages long" (citation omitted)]).

was the search of the immediate area controlled by the defendant, illegal." The argument is just barely over three pages, with several single sentence paragraphs, and a vague reference to a "recent" case (but rather than cite or even name the case, appellate counsel appears to cite a three-year-old law journal article without a title). In contrast, the People responded with 15 pages of legal analysis, focused on both defendant's standing and the merits of his claim. Point 2, titled "Did the court's denial of an adjournment violate the defendant's 14th Amendment right of due proces [sic]," is a page and a half long. The People's brief on this point was 11 pages in length, with a full discussion of the constitutional standard. Counsel's point 3, titled "Did the court's sealing of the witness list deny the defendant effect [sic] assistance of counsel," is one paragraph long, a mere six sentences, and does not contain even a single citation to any legal authority.[6] The People responded with five pages of argument with over 11 legal citations. All of the People's points in response contain thorough and repeated citations to the record. Point 4, "The verdict is against the weight of the evidence," is a page and a half and, likewise, fails to contain a single citation to any legal authority. Not even to the standard of review. This is especially notable because, despite the point heading being labelled "weight of the evidence," counsel then argues there was not enough "legally sufficient" evidence. Legal sufficiency has a different, much more limited standard of review than weight of the evidence (*see People v Acosta*, 80 NY2d 665, 672 [1993] [compar-

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6. The entire paragraph, exactly as it appears in the brief, errors and all, reads:

> "The defendant was placed at a handicap because he was not aware who was going to testify against him for the records were sealed and the witnesses were not known until they testified . This interfered with the ability to cross exam a witness that you were not aware of until he took the stand . There was not an opportunity to discuss the witnesses with your client before cross examination .An investigator would have been able to provide the defense attorney with background information before the witness took the stand to make his cross examination more effective . The court indicated that the witness records were sealed because there were threats, however there should have been some proof that the threats came from Omar for he should not be denied his rights if the treats came from a co-defendant however there were no indication that treats came from any of the defendants. There should be a hearing before the witness list are sealed to determine whether there is justification for such a drastic action ."

ing *People v Steinberg* (79 NY2d 673, 681-682 [1992] [legal sufficiency]) and *People v Bleakley* (69 NY2d 490, 495 [1987] [weight of the evidence])]).

The brief in no way illustrates appellate counsel's mastery of the factual record and the significant legal rules that supported these arguments (*Stultz*, 2 NY3d at 285). None of the points raised contain a citation to the facts or trial transcript; nowhere in the brief is the record ever cited. It appears counsel was not even certain of the standard as, for example, in support of his purported "weight of the evidence" argument, counsel invoked his personal opinion: "so I feel that the possibility of YTC setting Omar up to take the fall is very probable since they are the only ones to testify against him in the conspiracy."

The brief violates every rule about effective appellate advocacy taught to law students across the country. These rules are well-known and found in numerous academic and practice-oriented texts used in classrooms to assist future generations of lawyers in developing the skills recognized by the profession as essential to effective appellate lawyering (*see e.g.* Mary Beth Beazley, A Practical Guide to Appellate Advocacy [4th ed 2014]; Daniel P. Selmi, Principles of Appellate Advocacy [2013]; Ursula Bentele, Eve Cary & Mary R. Falk, Appellate Advocacy: Principles and Practice [5th ed 2012]). One commentator summarized the skills necessary for appellate counsel as follows:

> "First, counsel must be familiar with and follow the court's rules for protecting the defendant's right to appeal, such as the rules of procedure for filing the notice of appeal and any related statements and for ordering the transcript. Second, counsel must review the record for possible appellate issues. Third, counsel must determine what issues to raise in light of the facts, the law, the standard of review, and the scope of review. Fourth, counsel must decide how to formulate those issues. Fifth, counsel must find and use the most persuasive authority available. And sixth, counsel must write persuasively—including marshalling the facts, analyzing the law, and applying it to the facts" (Lissa Griffin, *The Right to Effective Assistance of Appellate Counsel*, 97 W Va L Rev 1, 37 [1994]).

Although not of the same significance, in addition to its substantive shortcomings, the brief is also riddled with grammatical and typographical errors. For example, counsel starts the brief by incorrectly identifying the parties on the cover—referring to the People as "Plaintiff-appellee" (which makes little sense in a criminal case) and referring to the defendant as both the "Defendant-Appellant" and "Defendant Appellee." Point 2 refers in its heading to "due proces." The first sentence uses the contraction "it's" for the possessive. The same type of error is repeated later when the brief incorrectly refers to "defendants" in the plural rather than the singular possessive "defendant's," and uses the singular possessive "court's" when the sentence clearly intends to refer to the plural "courts." The second sentence is barely coherent: "The court in this matter appeared in the denial of an adjournment to Omar to view the tapes and discuss them [sic] with his counsel prior to starting trial as if starting trial on that day was more important than the defendant being properly prepared for trial." There is also this sentence: "The defendant had to proceed to trial without adequately preparing himself with the tapes that were an obstacle he had to traverse in his defense." Ironically, the point ends with appellate counsel's assertion that a defendant has a fundamental right to an adequately prepared counsel, and it is an abuse of discretion for the court to deny defendant the opportunity to consult with counsel. If only appellate counsel had been so self-aware.

There is more. The heading for point 3 posits the question "[d]id the court's sealing of the witness list deny the defendant effect [sic] assistance of counsel." The argument is one paragraph long and the penultimate sentence refers to "treats" instead of "threats"—not once but twice in the same sentence. The final sentence argues about the need for a hearing "before the witness list are sealed." The point 4 heading refers to the weight of the evidence but in the very first sentence states that "[t]here is not enough legally sufficient evidence to sustain a conviction on the conspiracy count."

As this summary reveals, appellate counsel's brief fails to cite cases in support of the argument, lacks appropriate discussion of the facts, fails to comply with the filing rules of the Appellate Division, and violates basic rules of syntax and grammar. To the further detriment of defendant, this was the only advocacy on his behalf presented to the Appellate Division, as appellate counsel chose to submit the appeal and did not argue in person before that Court.

The majority attempts to trivialize the deficiencies in this brief and suggests that I have focused on style rather than substance (majority op at 293). The majority's fixation on the grammatical and structural errors I describe elides critique of the fundamental problems with the writing. As is obvious from my analysis, my primary concern is with appellate counsel's failure to file a brief that "reflect[ed] a competent grasp of the facts, the law and appellate procedure, supported by appropriate authority and argument" (*Stultz*, 2 NY3d at 285). That counsel could not even proofread his brief is further evidence that he failed to meet the minimum threshold for satisfactory appellate work. For all the majority's efforts to normalize these numerous deficiencies, the majority cannot make a silk purse out of this sow's ear.

Faced with an obviously inadequate writing, the majority clings to the view that the brief satisfies our standard of meaningful representation, as long as the brief "raised four reviewable issues that triggered plenary review by the Appellate Division" (majority op at 292). However, it is not enough for appellate counsel to raise an issue; counsel must advocate in support of the issue and serve as defendant's champion. According to the majority all appellate counsel need do to provide meaningful representation is prepare a document populated with a list of issues, unsupported by facts and law, and then leave it to the judiciary to work through the record and the law to determine whether there is a meritorious claim hidden somewhere in this substandard brief. This is not advocacy but abdication of the professional obligation to prepare a quality work product on behalf of the client.

Of course, the brief speaks for itself, and so for the reader's convenience, the brief is immediately available to view here: http://www.nycourts.gov/ctapps/reference/Alvarez%20Brief.pdf (cached at http://www.nycourts.gov/reporter/webdocs/AlvarezBrief.pdf).[7] Practitioners, educators, and law students may assess whether this brief comports with our standard of effective legal assistance. To the organized bar, I ask: Is this an acceptable work product? Would any one of your members submit this on behalf of a client?

As for defendant's claim that appellate counsel was ineffective because he failed to challenge the sentence as harsh and excessive, I agree that on the facts of this case, there appears

7. This link is the equivalent of an appendix. It provides quick and easy perpetual access to appellate counsel's brief, which should be read as part of this dissent.

to be no strategic reason to fail to assert this claim. While "[e]ffective appellate representation by no means requires counsel to brief or argue every issue that may have merit . . . [and] appellate lawyers have latitude in deciding which points to advance and how to order them," there is no hard and fast rule and counsel's representation must be measured in light of the circumstances (*Stultz*, 2 NY3d at 285). I would not adopt a per se rule that every appellate counsel who fails to challenge the sentence as excessive is ineffective as a matter of law. However, here, defendant's sentence was $66^2/_3$ years to life. This effectively turns the minimum term of incarceration into a life sentence without the possibility of parole. Under these circumstances, there was no strategic advantage to be gained by failing to request the Appellate Division exercise its interest of justice power to consider whether defendant—who at the time of the crime was 19 years old—was potentially redeemable and should have the opportunity to persuade the Parole Board of such in the future. After all, if paroled, defendant would still serve a lengthy sentence and would walk out of prison an old man. Still, the possibility of parole would provide him hope of spending his last days free. As Judge Wilson persuasively argues in his dissent (Wilson, J., dissenting op at 313-314), defendant's conduct during his incarceration should remind us why we cannot simply write off young people who violate the law, even those who commit heinous crimes.

The majority's conclusion that appellate counsel was effective because there is no claim upon which defendant would have prevailed ignores that, under our state standard, prejudice to defendant is "not [an] indispensable element in assessing meaningful representation" (*Stultz*, 2 NY3d at 284; *Benevento*, 91 NY2d at 712; *Baldi*, 54 NY2d at 147). The reason is because our standard does not solely protect against errors that may have adversely affected a defendant. If that were the case, we would have adopted the federal test which requires "a reasonable probability that, but for counsel's unprofessional errors, the result of the proceeding would have been different" (*Strickland v Washington*, 466 US 668, 694 [1984]). Instead, we have repeatedly eschewed the federal prejudice requirement because our Constitution provides greater protection and is concerned with the integrity of the process overall (*see e.g. Borrell*, 12 NY3d at 368; *Turner*, 5 NY3d at 479-480; *Stultz*, 2 NY3d at 283). Even if the outcome would not have changed, if counsel for the defendant fails to provide constitutionally adequate representation, our justice system is weakened. Thus, we regard counsel as ineffective because "[o]ur focus is on the fairness of the proceedings as a whole" (*Stultz*, 2 NY3d at 284).

IV.

For the reasons I have discussed, the majority has reduced our constitutional guarantee of meaningful representation for defendants to nothing more than a platitude, empty of any real substance. Previously, we lauded our state standard for legal representation as affording greater protection than the federal test (*Caban*, 5 NY3d at 156). Now, the majority has adopted a substandard threshold for professionalism. While public defenders, legal aid attorneys, other institutional providers of indigent defense services, the American Bar Association, and our State Bar Association promote guidelines and best practices for trial and appellate counsel, the majority has chosen to accept shoddy work product as the benchmark for meaningful representation. Defendants have a constitutional right to something better and our judiciary has the obligation to maintain the high quality of legal practice in New York by rejecting inferior work.

What other profession accepts a product riddled with errors? What client would put their liberty at risk with a brief that fails to present a cogent argument grounded in the facts and the law? The answer seems plain to me that no profession and no individual would be satisfied with the work at the center of this appeal.

Defendant has established that his appellate counsel failed to provide meaningful representation as required by our State Constitution. Defendant's coram nobis petition should be granted so that he may pursue a de novo appeal before the Appellate Division (*see e.g. Vasquez*, 70 NY2d at 4).

WILSON, J. (dissenting). I fully join in Judge Rivera's dissent, but write separately to explain why, irrespective of the atrocious quality of appellate counsel's brief and the abject failure of appellate counsel to communicate with Mr. Alvarez, counsel's failure to ask the Appellate Division to reduce Mr. Alvarez's sentence in the interest of justice was, standing alone, ineffective assistance of counsel.

I.

Our legislature, in section 470.15 of the Criminal Procedure Law, granted the Appellate Division an extraordinary power—one usually confined to the head of state: the power to reduce sentences as a matter of discretion in the interest of justice. The statute was passed in 1970 as a recodification of Code of Criminal Procedure § 543, which gave appellate courts that same power, though stated in a tortuous manner.[1]

Article VI of the New York State Constitution created a unique wrinkle in that authority. In *People v Speiser* (277 NY 342 [1938]), we held that we, the State's highest court, lacked the power to review Appellate Division decisions reducing sentences as excessive. We explained:

> "Under this statute, the Appellate Division has complete jurisdiction to reduce the sentence imposed upon this defendant. In examining the power of this court, however, section 543 must be read in connection with sections 7 and 8 of article VI of the Constitution. Pursuant to section 7, except where the judgment is of death or where, in civil actions, the Appellate Division, on reversing or modifying, makes new findings, our jurisdiction is limited to the review of questions of law. The provisions of section 8 which confer upon 'any appellate court' the power to modify a judgment must necessarily exclude power by this court to modify on questions of fact or discretion except in the two instances provided for in section 7. In reviewing a judgment of conviction for a misdemeanor or for a felony other than a capital offense, we can no more review the appropriateness of a discretionary sentence than

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1. Section 543 gave appellate courts the power to review cases in which an "erroneous judgment" had been entered "upon a lawful verdict, or finding of fact," to "correct the judgment to conform to the verdict or finding." The statute then went on to say that "in all other cases" the court must "either reverse or affirm the judgment appealed from or reduce the sentence imposed to a sentence not lighter than the minimum penalty provided by law." The broadly stated "in all other cases" was interpreted to include legal but excessive judgments, giving the Appellate Division the power to declare a sentence unduly harsh and modify it accordingly (*see People v Speiser*, 277 NY 342 [1938]; *People v Rytel*, 284 NY 242 [1940]; *People v Potskowski*, 298 NY 299 [1948]; *see also* Gerhard O. W. Mueller, *Penology on Appeal: Appellate Review of Legal but Excessive Sentences*, 15 Vand L Rev 671 [1962]).

> the weight of evidence or other elements which do not include questions of law." (277 NY at 344.)

Section 543 was subsequently recodified in CPL 470.15,[2] with the Appellate Division's unfettered power to reduce sentences in the interest of justice more plainly stated:

> "Upon . . . an appeal [to an intermediate appellate court], the intermediate appellate court must either affirm or reverse or modify the criminal court judgment, sentence or order . . .
>
> "Upon a determination that a sentence imposed upon a valid conviction is illegal or unduly harsh or severe, the court may modify the judgment by reversing it with respect to the sentence and by otherwise affirming it." (CPL 470.15 [2] [c].)

This creates in New York a peculiar, dramatic, and powerful authority of the Appellate Division to ensure the fairness of criminal sentences, one that operates completely outside our purview. We are powerless to review the Appellate Division's exercise of that jurisdiction, and indeed we cannot even prescribe factors to be taken into account by the Appellate Division when exercising it. We can, however, review an attorney's failure to petition the Appellate Division to reduce a sentence in the interest of justice, and decide whether, in a given case, that failure falls below what a minimally competent attorney would do.

II.

Ninteen-year-old Omar Alvarez was convicted of nine counts of an indictment broadly charging him and others as members of a drug-dealing conspiracy known as the Yellow Top Crew, YTC, or Young Talented Children; one count was for first-degree homicide of a 14-year-old bystander. He was sentenced to $66^2/_3$ years in prison, meaning that he would be eligible for parole at the age of 87. His was, in reality, a life sentence without the possibility of parole. Indeed, at sentencing, the trial court made clear that was its goal. The court explained that Mr. Alvarez was "beyond rehabilitation" and that he "[needed] to be removed from the streets indefinitely, so that you can never return to the streets of our city." The court also asked the Parole Board to "not let these defendants out. Please make them serve their maximum sentence under law."

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2. The Court of Appeals power in the Constitution has also been recodified, moving from section 7 to section 3 of article VI.

Both now and when Mr. Alvarez appealed, the People contended the points raised on appeal were meritless. What strategic reason, then, might a competent lawyer have to refrain from asking the Appellate Division to reduce the lower end of his sentence, say, to 40 years to life so that, at age 59, the Parole Board would have the opportunity to consider whether Mr. Alvarez had been rehabilitated, would not pose a danger to society if released, had been sufficiently punished, and should not continue to be imprisoned at a substantial cost to taxpayers?

Here, the People have two answers. The first is to list some reasons the Appellate Division would have denied his request. But those are not a reason to refrain from making the request: whether the argument would have changed the outcome is not the proper inquiry (*People v Borrell*, 12 NY3d 365, 368 [2009]). The question is whether counsel's choices are consistent with those of a minimally competent attorney. That question is answered by the old saw, "nothing ventured, nothing gained."

The People's second answer is that Mr. Alvarez's appellate lawyer may have made the strategic decision not to dilute his merits arguments by making a plea in the interest of justice. That answer is particularly unsatisfactory in light of the wholly frivolous arguments counsel did raise. For example, point 1 of the appellate brief argued the police were not permitted to search the immediate area "controlled by" Mr. Alvarez upon his arrest. Even leaving aside the argument's utter lack of merit, had Mr. Alvarez miraculously prevailed on that argument, it would have, at most, resulted in a reversal on the weapons possession charge, which, because that sentence ran concurrently with the others, would not have shortened Mr. Alvarez's prison term by a day.

III.

Because I have great faith in the commitment of the Justices of our Appellate Division to the interests of justice, I do not conclude that a request by Mr. Alvarez to reduce the minimum term of his sentence would have been doomed to failure. Had that relief been granted, Mr. Alvarez might still have spent the rest of his life in prison if the circumstances warranted, but we would not be forced to keep him incarcerated if the circumstances sufficiently changed.

The United States Supreme Court has articulated three key differences between youthful offenders and their adult counterparts:

> "First, children have a 'lack of maturity and an underdeveloped sense of responsibility,' leading to recklessness, impulsivity, and heedless risk-taking. Second, children 'are more vulnerable . . . to negative influences and outside pressures,' including from their family and peers; they have limited 'contro[l] over their own environment' and lack the ability to extricate themselves from horrific, crime-producing settings. And third, a child's character is not as 'well formed' as an adult's; his traits are 'less fixed' and his actions less likely to be 'evidence of irretrievabl[e] deprav[ity].' " (*Miller v Alabama*, 567 US 460, 471 [2012] [citation and internal quotation marks omitted], citing *Roper v Simmons*, 543 US 551, 569 [2005].)

These gaps between adult and youthful offenders weaken each of the justifications for perpetual imprisonment.

"The heart of the retribution rationale is that a criminal sentence must be directly related to the personal culpability of the criminal offender" (*Tison v Arizona*, 481 US 137, 149 [1987]). The degree of retribution appropriate for an adult is not appropriate for youthful offenders, because the parts of the brain concerned with behavior control have not yet fully developed in them (*Graham v Florida*, 560 US 48, 68 [2010]). "Whether viewed as an attempt to express the community's moral outrage or as an attempt to right the balance for the wrong to the victim, the case for retribution is not as strong with a minor as with an adult" (*Roper v Simmons*, 543 US 551, 571 [2005]). Likewise, the state's interest in deterrence is significantly diminished when punishing a young offender, who is unlikely to be deterred by the threat of stiff punishments for transgressions (*Graham*, 560 US 48, 72). The state interests in incapacitation and rehabilitation are also different when dealing with young defendants, because, compared to fully-formed adults, youths have a greater capacity for change. Thus, sentencing schemes that mandate life in prison without the possibility of parole are unconstitutional when applied to juveniles (*see Miller v Alabama*, 567 US 460, 473 [2012]).

The Supreme Court made the above points with respect to juveniles under the age of 18, but that line, like all such lines, is necessarily arbitrary and cannot account for variations in the maturation of individuals. The scientific conclusions about brain development for adolescents entering adulthood present similar concerns for young adults entering their early 20s. Researchers examining brain development in the years immediately after 18 suggest that "young adulthood is a time when cognitive control is still vulnerable to negative emotional influences, in part as a result of continued development of lateral and medial prefrontal circuitry" (Alexandra O. Cohen et al., *When is an Adolescent an Adult? Assessing Cognitive Control in Emotional and Nonemotional Contexts*, 27 Psychol Sci [Issue 4] 549, 559 [Apr. 2016]). Indeed, the areas of brain development that concerned the Supreme Court in its discussion of criminal penalties for young offenders—those that govern impulsivity, risk-taking, and susceptibility to social coercion—are also those that typically develop later, including into young adulthood (Laurence Steinberg et al., *Are Adolescents Less Mature Than Adults? Minors' Access to Abortion, the Juvenile Death Penalty, and the Alleged APA "Flip-Flop,"* 64 Am Psychol [Issue 7] 583, 587 [Oct. 2009]).

Many other countries have adapted their legal systems to account for the scientific evidence. In Austria, Belgium, England and Wales, France, Hungary, Italy, Germany, Portugal, Sweden, and Switzerland, governments have put in place special rules mitigating penalties for young adults over the age of 18 (T2A: Transition to Adulthood, *Better in Europe? European responses to young adult offending* [Mar. 2, 2015], available at https://www.t2a.org.uk/wp-content/uploads/2016/02/T2A_Better-in-Europe.pdf [accessed Mar. 7, 2019]). Those rules are widespread enough, that in 2007 the United Nations Committee on the Rights of the Child "note[d] with appreciation that some States parties allow for the application of the rules and regulations of juvenile justice to persons aged 18 and older, usually till the age of 21, either as a general rule or by way of exception" (UN Committee on the Rights of the Child [CRC], General comment No. 10 [2007]: Children's Rights in Juvenile Justice, 25 April 2007, CRC/C/GC/10, available at https://www.refworld.org/docid/4670fca12.html [accessed Mar. 7, 2019]). Although the Supreme Court's decisions, international policies, and much of the scientific research proving that young people should not be held to the same standard as adults postdates Mr. Alvarez's conviction, the Appellate Division never has been constrained to accept the proposition that sentencing a 19 year old to life without parole (or a functionally equivalent minimum term of years) is in the interest of justice (*cf.* Oscar Wilde, Children in Prison and Other Cruelties of Prison

Life 6 [Murdoch & Co., London 1897] ["The present treatment of children is terrible, primarily from people not understanding the peculiar psychology of a child's nature. A child can understand a punishment inflicted by an individual, such as a parent or guardian, and bear it with a certain amount of acquiescence. What it cannot understand is a punishment inflicted by Society. It cannot realise what Society is"]).[3]

The Supreme Court, and indeed much of the rest of the world, considers the youth of a defendant to be an important factor when considering the appropriate punishment. Our jurisprudence should do the same. The majority, in contrast, does not mention Mr. Alvarez's age when he committed his crimes.

IV.

Mr. Alvarez's life graphically illustrates why it is morally wrong to prejudge the entire future of a 19 year old. Mr. Alvarez has been incarcerated almost 25 years, during which time he has completed rehabilitative programs including Alternatives to Violence, Action for Personal Choice, Substance Abuse Counseling, a Pre-GED Class, Computer Technology, Computer Lab, Computer Repair, and Barber Shop training. In those programs, Mr. Alvarez has received uniformly positive reviews. He also has a positive disciplinary record.

While in prison, Mr. Alvarez has also become gravely ill. He suffers from Hodgkin's Lymphoma. His cancer was not diagnosed until it had already metastasized and caused compression around his spinal cord. As a result, Mr. Alvarez is a paraplegic. He does not have the use of his lower extremities, and he cannot control his bladder or bowels. He is wheelchair bound, in constant pain, and under full-time medical care.

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3. The majority's dismissal of these precedents and research based on their recency (majority op at 292-293 n 4) conflates two very different propositions. No research or Supreme Court decisions are necessary to conclude that an attorney with no viable merits-based arguments, representing a 19 year old sentenced so that he will not be eligible for parole until age 87, is ineffective for failing to ask the Appellate Division to consider advancing the parole eligibility date. Such a request might resonate with more Appellate Division Justices now than it would have decades ago, but that is a very different question.

The most interesting feature of the majority's footnote, however, is that it necessarily endorses the proposition that, given the cited Supreme Court decisions and scientific research, an attorney's failure to seek a sentence reduction in the interest of justice where a young offender has been sentenced to a very long minimum would constitute ineffective assistance of counsel. Otherwise, pointing out the recency of the authorities is meaningless.

Mr. Alvarez's rehabilitation as a father and husband is also extraordinary. While in prison he reconnected with Diana Alvarez, an old acquaintance; they were married in 2006. With Ms. Alvarez, he has a daughter, and he has been a loving father and stepfather to her and Ms. Alvarez's daughter from a prior relationship. Before his illness, he was able to have regular weekend trailer visits with his family, thanks to his good conduct in prison. His family is also the reason this case is even before us. It was Diana Alvarez who helped Mr. Alvarez research his appeal and discover it had concluded without his knowledge. She wishes to care for him at home.

The majority does not mention those facts. It would be worth dissenting if only to acknowledge them, but that is not my point in so doing. Of course, those facts were unknowable at the time Mr. Alvarez was sentenced, and most were unknowable at the time his appeal was denied, four years later. But all knew he was 19 years old when he committed his crimes. The possibility of a transformation like Mr. Alvarez's is precisely why our system should rarely if ever sentence young people to life without some realistic opportunity to seek parole.

On this appeal, Mr. Alvarez has not asked to be granted parole. He has not even asked to be granted a chance to ask the Parole Board to consider paroling him. Instead, he has asked for permission to ask the Appellate Division what his patently ineffective counsel neglected to ask: that, while leaving the maximum life term of his sentence in place, the Appellate Division reduce the minimum $66^2/_3$-year term in the interest of justice, so that someday he might be able to prove to the Parole Board that both he and society would be better off terminating his incarceration short of his death. Had we granted Mr. Alvarez's coram nobis petition, allowing him to ask the Appellate Division to reduce his sentence in the interest of justice, the Appellate Division could have considered all the facts I outline above, or others. As discussed, we have no power to review the Appellate Division's exercise of its interest-of-justice jurisdiction or to limit the factors it might consider in exercising its discretion to reduce a sentence in the interest of justice. It would be entirely up to the Appellate Division to determine whether facts that occurred after Mr. Alvarez's original appeal could be considered.

V.

A holding that the failure to seek a sentence reduction in the interest of justice automatically renders appellate representation ineffective would, contend the People, open a Pandora's box. They are right. I advocate no such rule. The law advances one case at a time; granting Mr. Alvarez's petition would be just one of Holmes' (after Coleridge) "sibylline leaves": a 19 year old with no viable merits-based argument, effectively sentenced to life without parole, living in a state in which the legislature has empowered its intermediate appellate justices to live up to their titles, has a constitutional right to a lawyer who will ask those justices for a measure of mercy, be it only the chance at age 60 to demonstrate to the satisfaction of the Parole Board that further imprisonment is unjustified. Where we draw the line can await the next case; here, the lawyer's defalcation in failing to ask for a reduction of the minimum sentence, to allow for the consideration of parole at some point within Mr. Alvarez's lifetime, is patently ineffective assistance of counsel. Were you Mr. Alvarez's lawyer, would you believe you competently represented him, as required by the ethical rules (Rules of Professional Conduct [22 NYCRR 1200.0] rule 1.1)? Were Mr. Alvarez your son, would you have instructed his lawyer not to ask the Appellate Division to exercise its interest of justice jurisdiction to give him the chance to prove he had earned parole? I, for one, believe he should have such a chance someday. Even poor Pandora was left, in the end, with the aid of the one deity the majority today denies Mr. Alvarez.

For the reasons expressed in Judge Rivera's dissent and here, I too dissent.

Chief Judge DIFIORE and Judges FAHEY, GARCIA and FEINMAN concur; Judge RIVERA dissents in an opinion, in which Judge WILSON concurs in a separate dissenting opinion.

Order affirmed.

[125 NE3d 808, 102 NYS3d 143]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v DARRYL BROWN, Respondent.

Argued March 27, 2019; decided May 7, 2019

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered February 20, 2018. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, Bronx County (Robert A. Neary, J.), which had convicted defendant, upon a jury verdict, of manslaughter in the first degree; and (2) remanded the matter for a new trial.

People v Brown, 160 AD3d 39, reversed.

HEADNOTE

Crimes — Justification — Initial Aggressor

In the prosecution of defendant for fatally shooting his daughter's boyfriend, who was unarmed and had swiped at defendant's gun after defendant wielded it during an argument between the two in the lobby of defendant's apartment building, the trial court's refusal to charge justification was not error, because defendant was the initial aggressor as a matter of law. A defendant is never justified in using deadly physical force if that defendant is the "initial aggressor": the first person in an altercation who uses or threatens the imminent use of deadly physical force (Penal Law § 35.15 [1] [b]). To determine who the initial aggressor is, both the sequence of the attacks (or imminently threatened attacks) and the nature of those attacks matter, and the question is which attacks were physical force and which attacks were deadly physical force. The imminent threat to use a gun against another is a threat of deadly physical force, and the first person to make such an imminent threat is the initial aggressor with respect to deadly physical force. Here, defendant placed his gun in a position where he was readily able to aim and fire it imminently, and did so before the victim's efforts to "swipe" at the gun. The circumstances surrounding that act—where a verbal altercation between defendant and the victim preceded it, where the victim was unarmed, where the armed defendant pursued the victim into the building's lobby, and where both defendant's daughter and the victim himself expressed their subjective belief that defendant had threatened the imminent use of deadly force—provided further support for the trial court's conclusion that defendant's drawing of a gun could only be understood as an imminent threat of deadly physical force. As no reasonable jury could conclude based on the evidence either that defendant withdrew from the encounter after drawing his gun, communicated that withdrawal to the victim, and the victim thereafter used or threatened imminent use of deadly physical force, or that the victim himself was the initial "deadly force" aggressor, the initial aggressor rule barred defendant from claiming justification.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d Homicide §§ 134, 145, 151, 236, 444.
Carmody-Wait 2d Charge and Instruction to Jury §§ 200:15, 200:71–200:73.
McKinney's, Penal Law §§ 35.15 (1) (b).
NY Jur 2d Criminal Law: Procedure § 2829; NY Jur 2d Criminal Law: Substantive Principles and Offenses §§ 148, 166–172, 400.

ANNOTATION REFERENCE

Standard for determination of reasonableness of criminal defendant's belief, for purposes of self-defense claim, that physical force is necessary—modern cases. 73 ALR4th 993.

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POINTS OF COUNSEL

Darcel D. Clark, District Attorney, Bronx (*Clara H. Salzberg, Nancy D. Killian* and *Justin J. Braun* of counsel), for appellant. The Appellate Division majority committed legal error in its application of this Court's settled precedent in finding that defendant was entitled to a justification charge in the absence of any evidence supporting such a charge. (*People v Sparks*, 29 NY3d 932; *People v Cox*, 92 NY2d 1002; *People v Reynoso*, 73 NY2d 816; *People v Butts*, 72 NY2d 746; *Matter of Y.K.*, 87 NY2d 430; *People v Wesley*, 76 NY2d 555; *People v Goetz*, 68 NY2d 96; *People v Berk*, 217 AD2d 941; *People v Petty*, 7 NY3d 277; *People v Crimmins*, 36 NY2d 230.)

Watford Jackson, PLLC, New York City (*Joey Jackson* of counsel), for respondent. I. The decision of the Supreme Court, Appellate Division, First Department, must be upheld. (*People v Padgett*, 60 NY2d 142; *People v Gant*, 282 AD2d 298; *Matter of Y.K.*, 87 NY2d 430; *People v Wesley*, 76 NY2d 555; *People v Goetz*, 68 NY2d 96.) II. The trial court engaged in faulty legal analysis in denying the justification charge. (*People v Torres*, 140 AD3d 478; *People v Taylor*, 134 AD3d 508; *People v Jones*, 3 NY3d 491.) III. The prosecution's brief includes major misstatements of the record which amount to an alternate set of facts. (*People v Wesley*, 76 NY2d 555; *People v Goetz*, 68 NY2d 96; *People v Sparks*, 29 NY3d 932; *People v Cox*, 92 NY2d 1002; *People v Crimmins*, 36 NY2d 230; *People v Petty*, 7 NY3d 277.) IV. The cases relied upon by the First Department's dissent are distinguishable and have no place in the instant analysis. (*People v Hosein*, 221 AD2d 563; *People v Berk*, 217 AD2d 941; *People v Dodt*, 61 NY2d 408; *People v Madeo*, 103 AD2d 901; *People v Magliato*, 68 NY2d 24.)

OPINION OF THE COURT

WILSON, J.

Defendant Darryl Brown shot and killed Vonde Cabbagestalk in the lobby of Mr. Brown's apartment building after an argument. At trial, Mr. Brown sought a jury instruction on justification, which the court declined to give. We agree with the trial court that no reasonable view of the evidence warranted a justification charge, and, accordingly reverse.

I.

Mr. Brown and his pregnant daughter lived in an apartment building in the Bronx; Mr. Cabbagestalk was Mr. Brown's daughter's boyfriend and the father of her child. Three witnesses who saw at least a part of the events surrounding Mr. Cabbagestalk's death testified at trial.

The first witness, Yvette Flores, lived across the hall from Mr. Brown. Ms. Flores heard arguing in the hallway. Looking through the peephole in her front door, she saw Mr. Brown and Mr. Cabbagestalk arguing in front of the open door to Mr. Brown's apartment, with Mr. Brown's daughter standing there as well. The argument between Mr. Brown and Mr. Cabbagestalk continued after both men passed out of Ms. Flores' view; shortly afterwards, she heard Mr. Brown's daughter yell, "No, daddy, no!" followed by a loud boom. Ms. Flores left her apartment, saw Mr. Cabbagestalk lying on the lobby floor, and saw Mr. Brown and his daughter reenter their apartment. She called 911.

A second witness, Sheila Thomas, observed the argument as she was entering the building. Looking through the interior glass door, she saw two men in the lobby, one older than the other. She saw the older man (Mr. Brown) walk away and the younger man (Mr. Cabbagestalk) follow. Ms. Thomas said the older man was walking and the younger man was following him with his hands out and elbows bent so that his palms were up, facing the older man, as if he was "trying to reason" with him. The argument continued after Ms. Thomas could no longer see them, when suddenly a shot rang out. She saw the younger man fall and heard a woman scream. She then fled outside.

The third witness, Raymond Wolf, a postal carrier, was delivering mail to the building at the time of the incident. When he arrived at the building, Mr. Cabbagestalk and Cordarell Marshall, an acquaintance of Mr. Cabbagestalk's, opened the building's locked door to admit Mr. Wolf.[1] While Mr. Wolf was in the lobby, distributing mail into the residents' individual mailboxes, an older man (Mr. Brown) entered the lobby where the two younger men had been talking, and started arguing with the taller of the two younger men (Mr. Cabbagestalk). Mr. Wolf said he heard the older man say, "[S]tay away from my daughter, don't come around here." Mr. Cabbagestalk responded, "you can't tell me where to be." According to Mr. Wolf, Mr. Cabbagestalk was "getting in the older guy's face a little bit," "trying to back him down," and Mr. Marshall was trying to calm Mr. Cabbagestalk down.

Mr. Wolf testified at trial that he observed Mr. Cabbagestalk throwing a few punches at Mr. Brown but that he believed those punches did not reach Mr. Brown. Mr. Wolf also testified that Mr. Brown was holding a gun slightly "above waist high" and "pointed away from him." Mr. Cabbagestalk then "swiped" at Mr. Brown's gun, though Mr. Wolf's testimony about the exact number of swings and sequence of events was inconsistent, at times testifying to three swings followed by one swipe, at other times interspersing one swipe amid swings. In any event, Mr. Wolf averred that he could not recall if any of the swings or swipes was with an open or closed hand. According to Mr. Wolf, at some point before Mr. Cabbagestalk's last swing or swipe, Mr. Cabbagestalk said, "you going to pull a gun out, you better use it." Mr. Brown did just that, shooting Mr. Cabbagestalk in the chest. When Mr. Wolf first saw the gun, he started up the stairs to the second floor. From his vantage point on the stairs, he did not see "the flash [of the gun firing] or anything," but heard the shot and saw Mr. Cabbagestalk fall.

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1. The identity of Mr. Cabbagestalk's companion was not definitively resolved at trial, but for purposes of the present appeal we will follow the Appellate Division's finding that this individual's name is Cordarell Marshall (160 AD3d 39, 42 n 1 [1st Dept 2018]).

When the police arrived, they found Mr. Cabbagestalk lying face down in the lobby, dead at the scene with a shell casing next to him. During their canvass of the building, the police spoke to Ms. Flores, who directed them to the Browns' apartment. Mr. Brown admitted the police, where they recovered a semiautomatic Glock pistol in a kitchen drawer. Testing later revealed it was the gun that fired the shell casing found next to Mr. Cabbagestalk's body.

Mr. Brown was indicted for murder in the second degree, manslaughter in the first degree, and criminal use of a firearm in the first degree. Defense counsel asked the court for a justification instruction; the People objected. The court denied the request because the evidence, taken in the light most favorable to Mr. Brown, did not warrant a justification charge.[2] The jury acquitted Mr. Brown of murder in the second degree but found him guilty of manslaughter in the first degree. The Appellate Division, over a two-Justice dissent, reversed, holding Mr. Brown was entitled to a jury instruction on justification (*People v Brown*, 160 AD3d 39 [1st Dept 2018]). A Justice of the Appellate Division granted the People leave to appeal to this Court (2018 NY Slip Op 70484[U] [1st Dept 2018]), and we now reverse.

II.

Mr. Brown's shooting of Mr. Cabbagestalk self-evidently constituted the use of deadly physical force. As relevant here, a defendant is justified in using "deadly physical force" upon another only if that defendant "reasonably believes that such other person is using or about to use deadly physical force" (Penal Law § 35.15 [2] [a]): in other words, both that "he believed deadly force was necessary to avert the imminent use of deadly force [and that] in light of all the circumstances . . . a reasonable person could have had these beliefs" (*People v Goetz*, 68 NY2d 96, 115 [1986] [internal quotation marks omitted]). However, the Penal Law provides that a defendant is never justified in using deadly physical force if that defendant is the "initial aggressor": the first person in an altercation who uses or threatens the imminent use of deadly physical force

2. Contrary to the position of Mr. Brown and the conclusion of the Appellate Division majority below (160 AD3d at 49 n 9), the question of whether the trial court correctly denied Mr. Brown's request for a justification instruction, including on initial aggressor grounds, is preserved (CPL 470.05 [2]; *cf. People v Miranda*, 27 NY3d 931, 932 [2016]).

(Penal Law § 35.15 [1] [b]; *People v Petty*, 7 NY3d 277, 285 [2006]).[3]

"Justification is a defense, not an affirmative defense, and therefore the People bear the burden of disproving it beyond a reasonable doubt" (*Matter of Y.K.*, 87 NY2d 430, 433 [1996]). "[I]n considering whether the trial court's charge to the jury was adequate, the record must be considered most favorably to defendant . . . [and] if[,] on any reasonable view of the evidence, the fact finder might have decided that defendant's actions were justified, the failure to charge the [justification] defense constitutes reversible error" (*People v Padgett*, 60 NY2d 142, 144-145 [1983]). However, "when no reasonable view of the evidence would support a finding of the tendered defense, the court is under no obligation to submit the question to the jury" (*People v Watts*, 57 NY2d 299, 301 [1982]).

Mr. Brown's argument that he was entitled to a justification charge rests entirely on Mr. Wolf's testimony; the testimony of the other witnesses does not provide any basis for a justification charge. Even fully crediting Mr. Wolf's testimony, it is uncontested both that Mr. Cabbagestalk was unarmed and that Mr. Cabbagestalk swiped at the gun only after Mr. Brown wielded it. On the facts of this case, taken in the light most favorable to Mr. Brown, we hold that the trial court's refusal to charge justification was not error, because Mr. Brown was the initial aggressor as a matter of law.

The "initial aggressor" is the first person who uses or threatens the imminent use of physical force in a given encounter. However, even if someone is the initial aggressor with respect to mere physical force, another person may be the initial aggressor with respect to *deadly* physical force. If mere physical force is employed against a defendant, and the defendant responds by employing deadly physical force, "the term initial aggressor is properly defined as the first person in the encounter to use deadly physical force" (*People v McWilliams*, 48 AD3d 1266, 1267 [4th Dept 2008] [emphasis omitted]).[4]

To determine who the "initial aggressor" is, then, both the sequence of the attacks (or imminently threatened attacks)

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3. We have no need to consider the People's argument that Mr. Brown was not entitled to a justification instruction because he does not satisfy the subjective and objective criteria of the defense set out in *People v Goetz* (68 NY2d at 114-115) and its progeny.

4. *See also People v Valentin*, 29 NY3d 57, 61 (2017); *People v Kerley*, 154 AD3d 1074, 1076 (3d Dept 2017); *People v Daniel*, 35 AD3d 877, 878 (2d Dept 2006); *People v Walker*, 285 AD2d 364, 365 (1st Dept 2001); *People v Mickens*,

(n. cont'd)

and the nature of those attacks matter: which attacks were "physical force" and which attacks were "deadly physical force?" "Deadly physical force means physical force which, under the circumstances in which it is used, is readily capable of causing death or other serious physical injury" (Penal Law § 10.00 [11] [internal quotation marks omitted]). Deadly physical force, we have held, encompasses not merely the striking of the first blow or infliction of the first wound. It also encompasses acts by a person that cause the defendant reasonably to believe that the defendant is facing the "imminent threat" of deadly force (*see People v Valentin*, 29 NY3d 57, 60 [2017]). As for what constitutes such a threat, we held in *People v Dodt* (61 NY2d 408 [1984]) that the imminent threat to use a gun constituted the threat of deadly physical force even if the gun is never fired.

> "[T]he threat presented by a gun does not depend to any significant extent on the manner in which it is used. So long as a gun is operable, it constitutes deadly physical force, and a threat to use a gun, such as was made here, can only be understood as a threat that the weapon is operable" (*id.* at 414-415).

Thus, the imminent threat to use a gun against another is, necessarily, a threat of deadly physical force. The first person to make such an imminent threat is, therefore, the initial aggressor with respect to deadly physical force.

Those principles control this case. Here, Mr. Brown placed his gun in a position where he was readily able to aim and fire it imminently, and did so before Mr. Cabbagestalk's efforts to "swipe" at the gun. The circumstances surrounding that act—where a verbal altercation between Mr. Brown and the victim preceded it, where the victim was unarmed, where an armed Mr. Brown pursued the victim into the building's lobby, and where both Mr. Brown's daughter ("No, daddy, no!") and the victim himself ("you going to pull a gun out, you better use it") expressed their subjective belief that Mr. Brown had threatened the imminent use of deadly force—provide further support for the trial court's conclusion that Mr. Brown's drawing of a gun here could only be understood as an imminent threat of deadly physical force.

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219 AD2d 543, 544 (1st Dept 1995); CJI2d(NY) Defense, Justification: Use of Deadly Physical Force in Defense of a Person.

Even the Appellate Division majority, holding that Mr. Brown was not an initial aggressor, nonetheless characterized Mr. Cabbagestalk's errant punches as "[u]ndeterred by [Brown's] weapon" (160 AD3d at 45). Mr. Brown's display of the gun as a "deterrent" was, on this record, a deterrent precisely because it threatened the imminent use of deadly physical force. We reached the same conclusion in *People v Magliato* (68 NY2d 24 [1986]), in which we held that the defendant was the initial aggressor when he drew his firearm to "scare off" the victim, because the gun was "readily capable of causing death or physical injury" (*id.* at 30 [internal quotation marks omitted]) as those terms are defined in Penal Law § 10.00 (11). We explained "[t]he risk of serious injury or death and the capacity presently to inflict the same are central to the definition [of deadly physical force], not the consequence of defendant's conduct or what he intended" (*Magliato*, 68 NY2d at 29).

Because Mr. Brown's drawing of his gun under these circumstances constituted the imminent threat of deadly physical force, the "initial aggressor" rule bars Mr. Brown from claiming justification unless a reasonable jury could conclude either: (1) that Mr. Brown withdrew from the encounter after drawing his gun, communicated that withdrawal to Mr. Cabbagestalk, and Mr. Cabbagestalk thereafter used or threatened imminent use of deadly physical force (Penal Law § 35.15 [1] [b]), or (2) that Mr. Cabbagestalk himself was the initial "deadly force" aggressor. No reasonable jury could reach either conclusion based on the evidence in this case, even viewing the evidence in the light most favorable to Mr. Brown (as we must).

First, there is no evidence that Mr. Brown withdrew after drawing his gun. Instead, after drawing his gun, Mr. Brown shot Mr. Cabbagestalk dead. All testimony as to Mr. Brown carrying a firearm indicates that Mr. Brown had his firearm out during all or part of the argument in the lobby—there was no withdrawal between the imminent threat to use the gun (the first threat of deadly physical force) and the grim realization of that threat.

Second, Mr. Cabbagestalk was not the initial deadly force aggressor because of his "swipe" at Mr. Brown's gun. No reasonable view of the evidence supports the proposition that Mr. Brown was ever threatened by Mr. Cabbagestalk with the imminent use of deadly force prior to the point at which Mr. Brown drew his gun. Mr. Cabbagestalk sought to swipe the gun only after Mr. Brown had first threatened the imminent use of deadly physical force by displaying his gun, leaving Mr. Brown as the initial deadly force aggressor. There is no evidence that Mr. Cabbagestalk was ever armed; indeed, both Mr. Wolf and Ms. Thomas testified that Mr. Cabbagestalk had nothing in his hands. As for Mr. Cabbagestalk's argument with Mr. Brown, as we said in *Valentin*, "calling a person names or the like unaccompanied by physical threats or acts does not make a person an initial aggressor and does not justify physical force" (29 NY3d at 61), let alone deadly physical force.[5] As the dissenting Justices below explained, "[w]hen defendant became the first and only participant in the altercation to threaten the use of deadly physical force . . . he did so without any basis for fearing that Cabbagestalk was about to use such force on him" (160 AD3d 39, 60 [Kahn, J., dissenting]).[6] To hold that one who wields a gun during a nondeadly altercation may claim justification because the unarmed victim subsequently attempted to swipe, grab or dislodge the gun would be to disregard the requirements of Penal Law § 35.15.

III.

In holding that Mr. Brown is not entitled to a justification charge on this record, we do not disturb in the slightest

> "the well-settled principle that, in considering whether the trial court's charge to the jury was adequate, the record must be considered most favorably to defendant [and i]f, taking that view of the record, the evidence supports the defense of justification, the trial court should instruct the jury as to the defense and must when so requested" (*Padgett*, 60 NY2d at 144-145).

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5. There is no evidence in this case remotely akin to that presented in *People v Petty* (7 NY3d 277 [2006]), in which we held a reasonable jury could infer an imminent threat of deadly physical force from the victim's unambiguous, credible death threats uttered repeatedly to the defendant over an 11-day period. The uncontroverted evidence in this case is that Mr. Cabbagestalk did no more than argue with Mr. Brown before Mr. Brown drew his gun.

6. Mr. Brown further argues that the reasonableness of his alleged belief that Mr. Cabbagestalk threatened the imminent use of deadly physical force is demonstrated by the jury's decision to acquit him of murder, because the acquittal shows that Mr. Brown did not intend to cause the death of Mr. Cabbagestalk. But whether proof beyond a reasonable doubt existed that Mr. Brown intended to kill Mr. Cabbagestalk is a different question than whether Mr. Brown reasonably believed he himself was threatened with deadly physical force.

However, where, as here, there is no reasonable view of the evidence that Mr. Brown was anything other than the initial aggressor in his use of deadly physical force, he is not entitled to a jury instruction on justification.

Accordingly, the order of the Appellate Division should be reversed and the case remitted to the Appellate Division for a determination of the facts and issues raised but not determined on appeal to that Court.

Chief Judge DiFiore and Judges Rivera, Stein, Fahey, Garcia and Feinman concur.

Order reversed and case remitted to the Appellate Division, First Department, for determination of the facts and issues raised but not determined on appeal to that Court.

[125 NE3d 816, 102 NYS3d 151]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v AGAPE A. TOWNS, Appellant.

Argued March 26, 2019; decided May 7, 2019

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered June 9, 2017. The Appellate Division affirmed a judgment of the Monroe County Court (John L. DeMarco, J.), which had convicted defendant, upon a jury verdict, of robbery in the first degree (six counts).

People v Towns, 151 AD3d 1638, reversed.

HEADNOTE

Crimes — Conduct of Trial Judge — Personally Negotiating and Entering into Cooperation Agreement with Codefendant — Fair Trial

In the prosecution of defendant for robbery, the trial court judge, who personally negotiated and entered into a cooperation agreement with a codefendant requiring the codefendant to testify truthfully against defendant in exchange for a more lenient sentence, abandoned the role of a neutral arbitrator and assumed the function of an interested party, thereby creating a specter of bias and denying defendant his right to a fair trial. Every person accused of a crime has the right to a fair and impartial trial before an unbiased court and unprejudiced jury. In determining whether this right has been violated, the pertinent inquiry is not whether the judge is actually, subjectively biased, but whether the average judge in the same position is likely to be neutral, or whether there is an unconstitutional potential for bias. Although the law will allow a certain degree of judicial intervention in the presentation of evidence, the line is crossed when the judge takes on either the function or appearance of an advocate at trial. Here, whatever its subjective intentions, the trial court effectively procured a witness in support of the prosecution by inducing the codefendant to testify concerning statements the codefendant made to police, which identified defendant as one of the robbers, in exchange for the promise of a more lenient sentence. By tying its assessment of the truthfulness of the codefendant's testimony to that individual's prior statements to police, the trial court essentially directed the codefendant on how the codefendant must testify in order to receive the benefit of the bargain. Because the error was not subject to harmless error review, defendant was entitled to reversal of his conviction.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Criminal Law § 909; AM JUR 2d Trial §§ 128, 199, 223.

CARMODY-WAIT 2d Trial, In General § 45:3; CARMODY-WAIT 2d Conduct of Trial, In General § 190:9.

LAFAVE, ET AL., CRIMINAL PROCEDURE (4th ed) § 22.4.

NY JUR 2d Courts and Judges § 355; NY JUR 2d Criminal Law: Procedure §§ 2505, 2508; NY JUR 2d Trial § 307.

ANNOTATION REFERENCE

Disqualification of original trial judge to sit on retrial after reversal or mistrial. 60 ALR3d 176.

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POINTS OF COUNSEL

Timothy P. Donaher, Public Defender, Rochester (*Dianne C. Russell* of counsel), for appellant. I. The trial court’s action in personally negotiating and entering into a cooperation agreement with a codefendant by which he traded a favorable sentence for the codefendant’s testimony against appellant at appellant’s trial denied appellant due process of law under the Federal and State Constitutions. (*Missouri v Frey*, 566 US 134; *People v Novak*, 30 NY3d 222; *People v De Jesus*, 42 NY2d 519; *Tumey v Ohio*, 273 US 510; *Matter of Murchison*, 349 US 133; *People v Crimmins*, 36 NY2d 230; *People v Yut Wai Tom*, 53 NY2d 44; *People v Mees*, 47 NY2d 997; *People v Mendes*, 3 NY2d 120; *Bordenkircher v Hayes*, 434 US 357.) II. The court’s action in negotiating and entering into a quid pro quo cooperation agreement with codefendant Tashmere Lamar which made him available as a witness and required Mr. Lamar to testify against Agape Towns violated the separation of powers doctrine. (*Matter of Maron v Silver*, 14 NY3d 230; *Katz v United States*, 389 US 347; *Matter of Soares v Carter*, 25 NY3d 1011; *Matter of Cantwell v Ryan*, 3 NY3d 626.)

Sandra Doorley, District Attorney, Rochester (*Lisa Gray* and *Joseph Plukas* of counsel), for respondent. I. County Court’s sentence agreement with codefendant did not deprive defendant of a fair trial. (*People v Arnold*, 98 NY2d 63; *People v Zappacosta*, 77 AD2d 928; *People v Moquin*, 77 NY2d 449; *People v Outley*, 80 NY2d 702; *People v Alcide*, 21 NY3d 687; *People v Cuenea*, 130 AD3d 412, 27 NY3d 995; *People v Nelson*, 27 NY3d

361; *People v Novak*, 30 NY3d 222; *People v Zamorano*, 301 AD2d 544; *Delaware v Fensterer*, 474 US 15.) II. County Court's sentence agreement with codefendant did not constitute a mode of proceedings error. (*People v Alcide*, 21 NY3d 687; *People v Agramonte*, 87 NY2d 765; *People v Kelly*, 5 NY3d 116; *People v Griffith*, 239 AD2d 705; *People v Lane*, 259 AD2d 1047, 93 NY2d 973; *People v DeTomaso*, 186 AD2d 1023, 81 NY2d 762; *People v Walker*, 53 AD3d 672, 11 NY3d 858; *People v Warden*, 141 AD2d 913; *Roberts v United States*, 445 US 552.)

OPINION OF THE COURT

STEIN, J.

On this appeal, we are asked to decide whether defendant was denied the right to a fair trial when the trial court negotiated and entered into a cooperation agreement with a codefendant requiring that individual to testify against defendant in exchange for a more favorable sentence. We hold that the trial court abandoned the role of a neutral arbiter and assumed the function of an interested party, thereby creating a specter of bias that requires reversal.

Defendant was convicted, upon a jury verdict, of six counts of first-degree robbery after he and the codefendant robbed three restaurant employees at gunpoint.[1] Although some aspects of the robbery were captured on surveillance video, the faces of the perpetrators were covered and the victims were unable to identify defendant. However, the codefendant testified for the People at trial, admitting to his own involvement and identifying defendant as his accomplice.

Prior to trial, the trial court negotiated a plea agreement directly with the codefendant, under which the codefendant pleaded guilty to the entire indictment in exchange for a determinate sentence within the range of 9 to 15 years in prison. The trial court advised the codefendant that the sentence imposed would be left to the court's discretion "entirely based upon [the codefendant's] level of cooperation in the prosecution of [defendant]," explaining that, if the codefendant testified "candidly and honestly and . . . cooperate[d] with the District Attorney's Office in telling the truth," the court had "every intention of [imposing] . . . the lowest end of

1. Although there were multiple codefendants in this case, the only codefendant pertinent to the central question raised on defendant's appeal is the codefendant who entered into a cooperation agreement with the trial court, hereinafter referred to as "the codefendant."

[the] term." On the other hand, the court stated that, if the codefendant failed to cooperate or to testify truthfully "based upon the information available to the [c]ourt, that being any statements that you have already made or how it matches against physical evidence or other testimony in the case, and I determine that you are not being truthful, [the sentence] would be greater than nine years." The trial court further informed the codefendant that "one of the primary touchstones" of its determination concerning the codefendant's truthfulness and cooperation would be the codefendant's previously recorded statements to police.

At trial, defendant moved to preclude the codefendant's testimony, arguing, among other things, that the cooperation agreement demonstrated that the court had abdicated its responsibility to act in a neutral and detached manner. After the trial court denied defendant's motion, the codefendant testified consistent with the codefendant's previous statements to the police and identified defendant from the restaurant's surveillance footage. The details of the codefendant's agreement with the court were revealed to the jury during his testimony. Notably, the People elicited testimony from the codefendant establishing that the codefendant had *not* entered into an agreement with the prosecutor or anyone else from the District Attorney's office. In addition, prior to deliberations, the court acknowledged in its instructions to the jury that "*the [c]ourt* has entered into a[n] . . . agreement with a prosecution witness, [namely the codefendant]" (emphasis added). Defendant was convicted as noted above.[2]

Defendant moved to set aside the verdict, asserting, among other things, that the court improperly injected itself into the proceedings by entering into an agreement with the codefendant, which influenced the codefendant's testimony at defendant's trial and prejudiced defendant's due process rights. The court denied the motion, reasoning that "defendant [was] mistaken when he state[d] that there existed a 'cooperation agreement' between the [c]ourt and [the codefendant], when, in fact, it was nothing more than a sentence commitment after

2. The trial court thereafter sentenced the codefendant to seven years in prison, to be followed by five years of postrelease supervision. According to the court, it downwardly departed from the promised sentencing range because the codefendant "testified truthfully [and was] extremely forthright." Defendant was ultimately sentenced to 17 years in prison, to be followed by three years of postrelease supervision.

[the codefendant] pleaded guilty." The court rejected defendant's claim that its acceptance of the guilty plea and sentencing commitment "made the [c]ourt a . . . second prosecutor in the courtroom," explaining that "[c]ourts routinely accept guilty pleas and make sentencing commitments . . . in criminal cases and defendant's characterization[ ] that it was improper for the [c]ourt to do so here ha[d] no[ ] basis in fact or law."

On defendant's appeal, the Appellate Division affirmed (151 AD3d 1638 [4th Dept 2017]). That Court rejected the trial court's characterization of the agreement and "criticize[d], in the strongest possible terms, the conduct of the court . . . in personally negotiating and entering into a quid pro quo cooperation agreement with the codefendant whereby the court promised to sentence the codefendant within a specific range in exchange for his testimony against defendant" (*id.* at 1639). Nevertheless, the Appellate Division upheld the judgment of conviction, explaining that it could not "conclude on this record that defendant was deprived of a fair trial by the codefendant's testimony, nor [could] [it] conclude that the court in essence vouched for the truth of that testimony" (*id.*). The Court reasoned that, "[b]ecause the [trial] court's conduct . . . occurred wholly outside the presence of the jury, . . . [it] did not assume the appearance and role of a prosecutor in the course of defendant's trial" (*id.*).

A Judge of this Court granted defendant leave to appeal (30 NY3d 1120 [2018]), and we now reverse.

Defendant asserts that the trial court effectively stepped into the role of prosecutor and impliedly vouched for the trial testimony of the codefendant, thereby violating defendant's fundamental constitutional right to a fair trial before a neutral and detached magistrate. He maintains that the Appellate Division's analysis improperly focused on whether the trial court's conduct took place before the jury, rather than on whether the court improperly participated in the prosecution by taking affirmative steps to secure defendant's conviction. Defendant argues that the trial court's error of entering into a cooperation agreement with the codefendant and inducing that individual to testify against defendant, viewed objectively, requires reversal because "the risk of bias was too high to be constitutionally tolerable" (*Rippo v Baker*, 580 US —, —, 137 S Ct 905, 907 [2017]). We agree.

"A fair trial in a fair tribunal is a basic requirement of due process" (*In re Murchison*, 349 US 133, 136 [1955]; *see* US

Const, Amend XIV, § 1; NY Const, art I, § 6). This Court has emphasized that " '[t]he right of every person accused of crime to have a fair and impartial trial before an unbiased court and an unprejudiced jury is a fundamental principle of criminal jurisprudence' " (*People v De Jesus*, 42 NY2d 519, 523 [1977], quoting *People v McLaughlin*, 150 NY 365, 375 [1896]). "Not only must judges actually be neutral, they must appear so as well" (*People v Novak*, 30 NY3d 222, 226 [2017]). The pertinent inquiry in that regard is " 'not whether the judge is actually, subjectively biased, but whether the average judge in [the same] position is "likely" to be neutral, or whether there is an unconstitutional "potential for bias" ' " (*id.*, quoting *Caperton v A. T. Massey Coal Co.*, 556 US 868, 881 [2009]; *see Williams v Pennsylvania*, 579 US —, —, 136 S Ct 1899, 1905 [2016]).[3]

Questions concerning the objective neutrality of a court often arise in the context of actions undertaken by the court during trial. In *People v De Jesus*, for example, we held that the defendant was deprived of a fair trial when the trial court's caustic remarks directed at defense counsel "cast[ ] a pall of suspicion over [the defendant's] case and . . . unfairly burdened the defendant with the obligation, not only of rebutting the proof of the People, but also of countering the implications imputed by the court" (42 NY2d at 524). While this Court did not foreclose a trial court's "active role in the resolution of the truth," we cautioned that "care should be assiduously exercised lest the [t]rial [j]udge's conduct, in the form of words, actions or demeanor, . . . divert[s] or itself become[s] an irrelevant subject of the jury's focus" (*id.* at 523). We further emphasized that "the Bench must be scrupulously free from and above even the appearance or taint of partiality" (*id.* at 524).

More recently, in *People v Arnold*, this Court held that a trial court abused its discretion by calling its own witness at trial when "[i]t assumed the parties' traditional role of deciding what evidence to present, and introduced evidence that had the effect of corroborating the prosecution's witnesses and discrediting defendant on a key issue" (98 NY2d 63, 68 [2002]). We explained that, "[a]lthough the law will allow a certain degree of judicial intervention in the presentation of evidence,

3. To the extent the concurrence suggests that a showing of actual bias is required, we disagree. That contention is inconsistent with our case law, which does not impose such a heightened standard.

the line is crossed when the judge takes on either the function or appearance of an advocate at trial" (*id.* at 67).

In the related context of recusal, we have held that, "under principles of due process, a judge may not act as appellate decision-maker in a case over which the judge previously presided at trial" (*Novak*, 30 NY3d at 226 [citations omitted]). We clarified that, in determining whether to recuse, "courts [must] evaluate whether a 'serious risk of actual bias,' based on objective perceptions and considering all the circumstances alleged, rises to an unconstitutional level" (*id.* at 225-226, quoting *Caperton*, 556 US at 884). Applying that standard, we concluded that "there was a clear abrogation of our State's court structure that guarantees one level of independent factual review as of right," and held that the judge's dual trial and appellate roles created a "facial appearance of impropriety which conflicted impermissibly with the notion of fundamental fairness" (*id.* at 226 [internal quotation marks and citation omitted]; *see also Rippo*, 580 US at —, 137 S Ct at 907; *Williams*, 579 US at —, 136 S Ct at 1906).

Although this case presents unique concerns, the same guiding principles apply. It is undisputed that, as the Appellate Division concluded, the trial court "personally negotiat[ed] and enter[ed] into a quid pro quo cooperation agreement with the codefendant whereby the court promised to sentence the codefendant within a specific range in exchange for his testimony against defendant" (151 AD3d at 1639). In so doing, the trial court improperly "assume[d] the advocacy role traditionally reserved for counsel" (*Arnold*, 98 NY2d at 68) and ventured from its own role as a neutral arbiter "[s]tationed above the clamor of counsel or the partisan pursuit of procedural or substantive advantage" (*De Jesus*, 42 NY2d at 523-524). Indeed, whatever its subjective intentions, the trial court effectively procured a witness in support of the prosecution by inducing the codefendant to testify concerning statements the codefendant made to police—which identified defendant as one of the robbers—in exchange for the promise of a more lenient sentence. Significantly, by tying its assessment of the truthfulness of the codefendant's testimony to that individual's prior statements to police, the trial court essentially directed the codefendant on how the codefendant must testify in order to receive the benefit of the bargain.[4] Under these circumstances, the trial court's conduct "conflicted impermissibly with the notion of fundamental fairness" (*Novak*, 30 NY3d at 226 [internal quotation marks and citation omitted]). That is, by assuming the function of an interested party and deviating from its own role as a neutral arbiter, the trial court denied defendant his due process right to "[a] fair trial in a fair tribunal" (*In re Murchison*, 349 US at 136). This error is not subject to harmless error review and requires reversal (*see People v Crimmins*, 36 NY2d 230, 238 [1975]; *see also Novak*, 30 NY3d at 226; *Williams*, 579 US at —, 136 S Ct at 1909).

In light of our decision, we need not reach defendant's claim that the trial court's actions violated the separation of powers doctrine and, because this matter must be remitted to County Court for a new trial before a different judge, we render no opinion on the remaining issues raised by defendant in his appeal. Accordingly, the order of the Appellate Division should be reversed and the case remitted to County Court for further proceedings in accordance with this opinion.

RIVERA, J. (concurring). I agree that the Appellate Division order should be reversed, and the case remitted for a new trial before a different judge. Here, the trial judge personally entered into a cooperation agreement with the codefendant to testify against defendant Agape Towns at trial, expressly promised to measure the "truthfulness" of the codefendant's testimony by comparing it to his pretrial statement, and assured the codefendant that it would sentence him to the lower end of the range provided for in the cooperation agreement if his testimony was consistent with the pretrial statement. Thus, the trial judge assumed the role of prosecutor when he negoti-

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4. To be clear, trial courts are not categorically precluded from initiating or facilitating plea agreements under appropriate circumstances that conform with "significant ethical, constitutional, and statutory limits" and, specifically, do not "create an impression [that the judge] is . . . aligned in interest with [the prosecutor]" (*see* Advisory Comm on Jud Ethics Op 17-110 [2017]). Likewise, there is nothing untoward about a court making a sentencing commitment in connection with a plea negotiated between a defendant and the People (*see People v Selikoff*, 35 NY2d 227, 240 [1974], *cert denied* 419 US 1122 [1975]). Nor is it inappropriate or unusual for a sentencing court to consider and evaluate the extent of a defendant's compliance with its obligations under a cooperation agreement between that defendant and the People (*see People v McConnell*, 49 NY2d 340, 346 [1980]). Here, however, the codefendant's cooperation agreement was *with the trial court*, not the People, and directed the codefendant to specific testimony in order to ensure a more favorable sentence within the specified range.

ated and secured an agreement for identification testimony against defendant, and subsequently ruled on the presentation of that testimony in his role as judge. Therefore, while I join in the resolution of this appeal, I depart from the majority analysis to the extent it concludes the conduct here is something short of bias.

The judge's role and interest in ensuring the codefendant would testify was plain, as was the People's apprehension over the court's involvement. The record shows that the prosecutor was not a party to the agreement and was concerned about its impact on the trial proceedings. At the codefendant's plea, the prosecutor told the judge "[a]s you can appreciate that I am—because this is a deal between the Court and [the codefendant]—I am kind of in a—a rough spot to where I don't necessarily know if and when I call [the codefendant] to the stand in the trial against [defendant] what he is going to say." The prosecutor described the agreement as "a deal between the Court and [the codefendant]." The judge's protective view of that "deal" led the People to intercede when the court initially ruled to prohibit defense counsel from cross-examining the codefendant on the details of his personal cooperation agreement with the trial judge, prohibiting defense counsel from even "identify[ing] the so-called gate keeper on this cooperation agreement," insistent that it did not matter with whom the agreement was made. An Assistant District Attorney from the Appeals Bureau eventually appeared in court, stated his Office's opinion that the limitation on cross-examination may constitute reversible error, and requested no limitation on defense counsel's cross. The judge still insisted that it was "of no moment to the jury" whether the prosecutor or the judge would be determining the "truthfulness" of the witness's testimony. The ADA from the Appeals Bureau reiterated his position and stressed that he saw "no reason to give an issue on appeal where we could avoid it." The judge eventually reversed course and allowed cross-examination, but with an instruction to the jury that the cooperation agreement did not suggest that the judge had an opinion as to the truthfulness of the testimony or defendant's guilt.

As the majority explains, the trial judge "effectively procured a witness in support of the prosecution by inducing the codefendant to testify concerning statements the codefendant made to police—which identified defendant as one of the robbers—in exchange for the promise of a more lenient sentence" (majority op at 332). The combination of this "quid pro quo cooperation agreement" (*People v Towns*, 151 AD3d 1638, 1639 [4th Dept 2017]), and the judge's rulings, informed by his personal investment in the propriety of his actions, constitute bias. The trial judge assumed the role of prosecutor while cloaked with the authority to decide how the testimony was presented, and as such he was fully invested in the presentation of the testimony as charted by him, in favor of the People (*see People v Novak*, 30 NY3d 222, 226 [2017]; *People v Arnold*, 98 NY2d 63, 68 [2002]). As this case demonstrates, the trial judge need not have a personal interest in a guilty verdict to be biased—although certainly such interest would constitute a particular species of unconstitutional favoritism (*see Williams v Pennsylvania*, 579 US —, —, 136 S Ct 1899, 1910 [2016], quoting *Marshall v Jerrico, Inc.*, 446 US 238, 242 [1980] [a defendant is entitled to a judge who is not "predisposed to find against him"]; *Withrow v Larkin*, 421 US 35, 57 [1975] [same, recognizing when a judge has personal interest in outcome]). Partiality is not the sole criterion for bias. In this sense, I agree with the majority that reversal and a new trial are required without reference to the trial judge's subjective intentions (majority op at 332-333). The bias on display here is obvious from the trial judge's efforts to shape the People's case while avoiding reversible error.*

Chief Judge DIFIORE and Judges FAHEY, GARCIA, WILSON and FEINMAN concur; Judge RIVERA concurs in result in an opinion.

Order reversed and case remitted to County Court, Monroe County, for further proceedings in accordance with the opinion herein.

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* The majority misunderstands my point; I do not assume that a defendant must prove actual bias to establish a violation of the right to a fair trial before an impartial and neutral arbiter (majority op at 331 n 3). The law is well settled that even an appearance of bias offends the constitution (*Rippo v Baker*, 580 US —, —, 137 S Ct 905, 907 [2017]; *Williams v Pennsylvania*, 579 US —, —, 136 S Ct 1899, 1906 [2016]; *People v Novak*, 30 NY3d 222, 226 [2017]; *People v De Jesus*, 42 NY2d 519, 524 [1977]).

[126 NE3d 1041, 103 NYS3d 1]

In the Matter of NATIONAL ENERGY MARKETERS ASSOCIATION et al., Appellants, v NEW YORK STATE PUBLIC SERVICE COMMISSION, Respondent. (And Two Other Related Proceedings.)

In the Matter of RETAIL ENERGY SUPPLY ASSOCIATION et al., Appellants, v PUBLIC SERVICE COMMISSION OF THE STATE OF NEW YORK et al., Respondents. (And Two Other Related Proceedings.)

Argued March 19, 2019; decided May 9, 2019

SUMMARY

APPEAL, in the first above-entitled proceeding and action, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered July 27, 2017. The Appellate Division order, insofar as appealed from, affirmed a judgment of the Supreme Court, Albany County (Henry F. Zwack, J.; op 53 Misc 3d 641 [2016]), entered in a combined proceeding pursuant to CPLR article 78 and action for declaratory judgment, which had, among other things, (1) granted the petition to the extent of vacating provisions 1 through 3 of respondent's order resetting retail energy markets and establishing further process; and (2) remitted the matter to respondent for further proceedings.

APPEAL, in the second above-entitled proceeding and action, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered July 27, 2017. The Appellate Division order, insofar as appealed from, affirmed a judgment of the Supreme Court, Albany County (Henry F. Zwack, J.; op 53 Misc 3d 641 [2016]), entered in a combined proceeding pursuant to CPLR article 78 and action for declaratory judgment, which had, among other things, (1) granted the petitions to the extent of vacating provisions 1 through 3 of respondent's order resetting retail energy markets and establishing further process; and (2) remitted the matter to respondent Public Service Commission for further proceedings.

Matter of National Energy Marketers Assn. v New York State Pub. Serv. Commn., 152 AD3d 1122, modified.

Matter of Retail Energy Supply Assn. v Public Serv. Commn. of the State of N.Y., 152 AD3d 1133, modified.

HEADNOTES

Public Utilities — Rate Making — Gas Corporation or Electric Corporation

1. Petitioner energy service companies (ESCOs) did not fall within the definitions of "gas corporations" and "electric corporations" under Public Service Law § 2 (11) and (13) such that they were subject to respondent Public Service Commission's (PSC) direct rate-making authority under Public Service Law article 4. By definition, gas and electric companies are entities or persons who own, operate or manage a "gas plant" or "electric plant," which are defined as encompassing "all real estate, fixtures and personal property" used for, among other things, the sale of gas and electricity (*see* § 2 [10], [12]). Here, the PSC's interpretation, concluding that ESCOs fall within the relevant definitions because they use personal property in the sale of gas and electricity, contradicted the plain language of the statute, which requires the use of real estate, fixtures and personal property, not just personal property. Moreover, if the definitions of gas and electric corporations in section 2 covered ESCOs, it would have been meaningless for the legislature to enact Public Service Law § 53, which provides that "a reference to a gas corporation, an electric corporation, a utility company, or a utility corporation shall include, but is not limited to, any entity that, in any manner, sells or facilitates the sale or furnishing of gas or electricity to residential customers."

Public Utilities — Public Service Commission — Authority to Require Energy Service Companies to Comply with Price Cap — Utilities' Transportation of Energy Service Companies' Gas and Electricity

2. Respondent Public Service Commission (PSC), under its authority to regulate utilities' transportation of energy service companies' (ESCOs) gas and electricity, may condition access to utility infrastructure upon ESCOs' compliance with a price cap on gas or electricity. Under Public Service Law § 5 (1) (b), the PSC's "jurisdiction, supervision, powers and duties" extend to "the manufacture, conveying, transportation, sale or distribution of gas . . . and electricity for light, heat or power," as well as "to gas plants and to electric plants and to the persons or corporations owning, leasing or operating the same." The PSC is not charged solely with monitoring abuses of monopoly power by "electric corporations" and "gas corporations," but also has the additional duty of preventing extortionate competition and oppressive or discriminating charges. In giving the PSC discretionary power to require gas corporations to transport energy sold by ESCOs "upon such terms and subject to such conditions as the [PSC] considers just and reasonable," Public Service Law § 66-d (2) directs the PSC to determine the terms and conditions under which utilities will be required to transport ESCOs' gas through their delivery infrastructure. Nothing in the language of the relevant statutory provisions limits the PSC's consideration of what is just and reasonable to ensuring only that utilities receive a fair price for transporting ESCOs' energy.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Public Utilities §§ 95, 96, 145, 165.

MCKINNEY'S, Public Service Law §§ 2 (11), (13); 5 (1) (b); 53, 66-d.

NY JUR 2d Energy §§ 76, 77, 91; NY JUR 2d Public Utilities §§ 26, 33, 70.

ANNOTATION REFERENCE

See ALR Index under Public Service Commissions; Rates and Charges; Utilities.

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POINTS OF COUNSEL

Boies Schiller Flexner LLP, Armonk (*Jason C. Cyrulnik* and *Motty Shulman* of counsel) and Albany (*George F. Carpinello* and *Teresa A. Monroe* of counsel), for appellants in the first above-entitled proceeding and action. I. The legislature did not give the New York State Public Service Commission jurisdiction to set rates for private companies, like energy service companies. (*Abiele Contr. v New York City School Constr. Auth.*, 91 NY2d 1; *Matter of Durant v Motor Veh. Acc. Indem. Corp.*, 20 AD2d 242; *Matter of Tze Chun Liao v New York State Banking Dept.*, 74 NY2d 505; *Rochester Gas & Elec. Corp. v Public Serv. Commn. of State of N.Y.*, 71 NY2d 313; *Matter of Campo Corp. v Feinberg*, 279 App Div 302; *Matter of Kittredge v Planning Bd. of Town of Liberty*, 57 AD3d 1336; *People v Mobil Oil Corp.*, 48 NY2d 192; *Boreali v Axelrod*, 71 NY2d 1; *Matter of Health Ins. Assn. of Am. v Corcoran*, 154 AD2d 61.) II. The Appellate Division erred in reversing the Supreme Court's finding that energy service companies have a property interest in continued access to utility systems. (*Matter of Campo Corp. v Feinberg*, 279 App Div 302; *Matter of Energy Assn. of N.Y. State v Public Serv. Commn. of State of N.Y.*, 169 Misc 2d 924; *Spinelli v City of New York*, 579 F3d 160; *Greene v McElroy*, 360 US 474; *Ezekwo v New York City Health & Hosps. Corp.*, 940 F2d 775; *Bell v Burson*, 402 US 535; *Phillips v Vandygriff*, 711 F2d 1217.)

Barclay Damon, LLP, Syracuse (*David G. Burch, Jr.* of counsel), for appellants in the second above-entitled proceeding and action. I. The legislature did not give the New York State Public Service Commission jurisdiction to cap prices for energy service companies or other private companies. (*Matter of Durant v Motor Veh. Acc. Indem. Corp.*, 20 AD2d 242; *Matter of*

City of New York v State of N.Y. Commn. on Cable Tel., 47 NY2d 89; *Matter of Kittredge v Planning Bd. of Town of Liberty*, 57 AD3d 1336; *Matter of Chemical Specialties Mfrs. Assn. v Jorling*, 85 NY2d 382; *Matter of Raritan Dev. Corp. v Silva*, 91 NY2d 98; *Matter of Campagna v Shaffer*, 73 NY2d 237; *Abiele Contr. v New York City School Constr. Auth.*, 91 NY2d 1; *Lorillard Tobacco Co. v Roth*, 99 NY2d 316; *Matter of Toys "R" Us v Silva*, 89 NY2d 411; *Matter of Rochester Tel. Corp. v Public Serv. Commn.*, 87 AD2d 672.) II. The Appellate Division improperly found that the New York State Public Service Commission has broad statutory jurisdiction over energy service companies when the legislature itself did not include such jurisdiction in the plain language of the Public Service Law. (*Matter of Chemical Specialties Mfrs. Assn. v Jorling*, 85 NY2d 382; *Matter of Raritan Dev. Corp. v Silva*, 91 NY2d 98; *Matter of Estate of Allen v Colgan*, 190 AD2d 939; *Bender v Jamaica Hosp.*, 40 NY2d 560; *Boreali v Axelrod*, 71 NY2d 1; *Matter of Mooney v Cohen*, 272 NY 33; *Matter of Levine v Whalen*, 39 NY2d 510; *Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801; *Clark v Cuomo*, 66 NY2d 185; *People v Francis*, 30 NY3d 737.) III. The Appellate Division improperly reversed the Supreme Court's finding that energy service companies have a property interest in continued access to utility systems. (*Matter of Keyspan Energy Servs. v Public Serv. Commn. of State of N.Y.*, 295 AD2d 859; *Tenoco Oil Co., Inc. v Department of Consumer Affairs*, 876 F2d 1013; *Nixon v United States*, 978 F2d 1269; *Matter of Niagara Mohawk Power Corp. v New York State Dept. of Transp.*, 224 AD2d 767; *Matter of Campo Corp. v Feinberg*, 279 App Div 302; *Board of Regents of State Colleges v Roth*, 408 US 564; *Rochester Gas & Elec. Corp. v Public Serv. Commn. of State of N.Y.*, 71 NY2d 313.)

John J. Sipos, Acting General Counsel, Public Service Commission, Albany (*D. Scott Bassinson, Jessica R. Vigars, Salomon T. Menyeng* and *Lucas C. McNamara* of counsel), for respondents in the first and second above-entitled proceedings and actions. I. The Court of Appeals lacks jurisdiction. (*Lincoln v Austic*, 60 AD2d 487; *Matter of Dolomite Prods. Co., Inc. v Town of Ballston*, 151 AD3d 1328; *Parochial Bus Sys. v Board of Educ. of City of N.Y.*, 60 NY2d 539; *T.D. v New York State Off. of Mental Health*, 91 NY2d 860; *Matter of Hoover v DiNapoli*, 75 AD3d 875; *Matter of Held v New York State Workers' Compensation Bd.*, 58 AD3d 971; *Pennsylvania Gen. Ins. Co. v Austin Powder Co.*, 68 NY2d 465; *Matter of Xavier II. [Rahiem II.]*, 81 AD3d 1222; *Matter of Wilder v Koehler*, 77 NY2d 858;

Matter of Grand Jury Subpoenas for Locals 17, 135, 257 & 608 of United Bhd. of Carpenters & Joiners of Am., AFL-CIO, 72 NY2d 307.) II. Petitioners were not deprived of constitutional procedural due process. (*United States v Florida East Coast R. Co.*, 410 US 224; *Londoner v City & County of Denver*, 210 US 373; *Minnesota State Bd. for Community Colleges v Knight*, 465 US 271; *Bi-Metallic Investment Co. v State Bd. of Equalization of Colo.*, 239 US 441; *P & N Tiffany Props., Inc. v Village of Tuckahoe*, 33 AD3d 61, 8 NY3d 943; *Board of Regents of State Colleges v Roth*, 408 US 564; *Matter of General Motors Corp. v Public Serv. Commn.*, 95 AD2d 876; *Matter of Niagara Mohawk Power Corp. v New York State Dept. of Transp.*, 224 AD2d 767, 87 NY2d 1054; *Matter of Campo Corp. v Feinberg*, 279 App Div 302, 303 NY 995.) III. The New York State Public Service Commission has authority to require that energy service companies, as a condition of accessing utility systems, charge just and reasonable prices. (*Matter of ATM One v Landaverde*, 2 NY3d 472; *Matter of Niagara Mohawk Power Corp. v Public Serv. Commn. of State of N.Y.*, 69 NY2d 365; *Matter of Consolidated Edison Co. of N.Y. v Department of Envtl. Conservation*, 71 NY2d 186; *Matter of Levine v Whalen*, 39 NY2d 510; *Boreali v Axelrod*, 71 NY2d 1; *Matter of National Fuel Gas Distrib. Corp. v Public Serv. Commn. of the State of N.Y.*, 16 NY3d 360; *Elizabethtown Gas Co. v Federal Energy Regulatory Commn.*, 10 F3d 866; *Matter of General Tel. Co. of Upstate N.Y. v Lundy*, 17 NY2d 373; *Rochester Gas & Elec. Corp. v Public Serv. Commn. of State of N.Y.*, 71 NY2d 313; *People ex rel. Cayuga Power Corp. v Public Serv. Commn.*, 226 NY 527.) IV. Alternatively, the New York State Public Service Commission can assert authority over energy service companies as gas and electric corporations pursuant to Public Service Law article 1. (*Parochial Bus Sys. v Board of Educ. of City of N.Y.*, 60 NY2d 539; *People v Starling*, 85 NY2d 509; *People ex rel. Champlin v Gray*, 185 NY 196; *Kimmel v State of New York*, 29 NY3d 386; *Matter of Energy Assn. of N.Y. State v Public Serv. Commn. of State of N.Y.*, 273 AD2d 708; *Public Util. Law Project of N.Y. v New York State Pub. Serv. Commn.*, 263 AD2d at 881.)

Letitia James, Attorney General, New York City (*Judith N. Vale, Barbara D. Underwood, Steven C. Wu, Blair J. Greenwald, Jane M. Azia* and *Kate Matuschak* of counsel), and *Linda M. Baldwin, General Counsel, Department of State* (*Kathleen O'Hare* of counsel), for Office of the Attorney General and another, amici curiae. The New York State Public Service Commission has statutory authority to supervise the retail-energy market to protect consumers. (*People ex rel. New York Tel. Co. v Public Serv. Commn., Second Dist.*, 157 App Div 156; *Matter of Energy Assn. of N.Y. State v Public Serv. Commn. of State of N.Y.*, 169 Misc 2d 924; *Matter of Anonymous v Molik*, 32 NY3d 30; *Rochester Gas & Elec. Corp. v Public Serv. Commn. of State of N.Y.*, 119 AD2d 353, 71 NY2d 313; *People ex rel. New York Edison Co. v Willcox*, 207 NY 86; *Matter of Campo Corp. v Feinberg*, 279 App Div 302, 303 NY 995.)

OPINION OF THE COURT

STEIN, J.

On this appeal, we are asked to determine whether the Public Service Law authorizes the Public Service Commission (PSC) to issue an order that conditions access to public utility infrastructure by energy service companies (ESCOs) upon ESCOs capping their prices such that, on an annual basis, they charge no more for electricity than is charged by public utilities unless 30% of the energy is derived from renewable sources. We conclude that the Public Service Law, in authorizing the PSC to set the conditions under which public utilities will transport consumer-owned electricity and gas, has such authority.

I.

The PSC was created at the beginning of the twentieth century to regulate and control public service corporations, as an exercise of the state's police powers, for purposes of "prevent[ing], on the one hand, the evils of an unrestricted right of competition and, on the other hand, the abuses of monop[o]ly" (*People ex rel. New York Edison Co. v Willcox*, 207 NY 86, 94 [1912]; *see Matter of Cahill v Public Serv. Commn.*, 69 NY2d 265, 272 [1986], *cert denied* 484 US 829, 830 [1987]). Consistent with that mandate, the PSC was given broad regulatory powers over public utilities to ensure that every utility "shall furnish and provide such service, instrumentalities and facilities as shall be safe and adequate and in all respects just and reasonable" (Public Service Law § 65 [1]). Historically, public utilities were "vertically integrated monopolies," which "control[led] the generation of electricity [or production of gas], its transmission, and its distribution to consumers" (*Morgan Stanley Capital Group Inc. v Public Util. Dist. No. 1 of Snohomish Cty.*, 554 US 527, 535 [2008]). Those "[u]tility services have traditionally been 'bundled,' " with utilities charging customers a single rate for all services, including both the cost of the gas or electricity itself and of transporting that commodity (*see Matter of Energy Assn. of N.Y. State v Public Serv. Commn. of State of N.Y.*, 169 Misc 2d 924, 933 [Sup Ct, Albany County 1996], *affd on other grounds* 273 AD2d 708 [3d Dept 2000], *lv denied* 95 NY2d 765 [2000]).

During the 1980s—in an effort "to stimulate production of natural gas indigenous to New York State thereby benefiting local producers, diversifying the State's energy supplies and increasing competition within the natural gas industry by providing an economical means for [less expensive] local gas to be marketed"—the legislature granted the PSC authority to establish a retail energy market by requiring public utilities to transport natural gas from local producers to consumers through the utilities' pipelines (*Rochester Gas & Elec. Corp. v Public Serv. Commn. of State of N.Y.*, 71 NY2d 313, 317 [1988]; *see* L 1984, ch 519, § 1 [legislative findings]). Under Public Service Law § 66-d (2), the PSC is authorized to order, "upon such terms and subject to such conditions as the commission considers just and reasonable, . . . any gas corporation to transport or contract with others to transport gas under contract for sale by such producer or owned by such consumer," subject to certain limitations, including a finding that "the gas corporation has available capacity." Essentially, section 66-d "allowed consumers to purchase gas still in the ground and compelled utilities to transport it to them . . . if the consumer[s] paid for the use of the utility's pipelines" (*Rochester Gas*, 71 NY2d at 318). Following enactment of the statute, the PSC "ordered [utilities] to file a tariff establishing rates for transportation of nonowned gas" (*id.* at 319).[1] By its terms, section 66-d applies only to the gas industry. However, upon the PSC's determination that a similar restructuring of the electric service industry would benefit consumers by decreasing electricity prices, increasing customer choice and leading to the development of innovative new products and services as suppliers competed for customers, the PSC adopted a similar scheme for the electric industry in the 1990s (*see* 1996 NY PSC Op No. 96-12 at 25-31).

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1. This Court rejected a utility's constitutional challenges to Public Service Law § 66-d, as well as the PSC's implementation of it, concluding that it was a valid exercise of the state's police power and did not result in an impermissible taking of the utility's property (*see Rochester Gas*, 71 NY2d at 317).

These statutory and regulatory measures effectively required that the different services provided by utilities be "unbundled" so that non-utility suppliers, such as ESCOs, could sell energy commodities directly to consumers by using the utilities' delivery infrastructure. It was expected that market forces and competition would, over time, produce lower rates (*see id.* at 28), "while allowing customers to retain the level of protections they enjoy[ed] . . . if that [was] their choice" (1997 NY PSC Op No. 97-5 at 42). The PSC explained that it "intend[ed] to monitor the market's development[,] and to take corrective action should problems arise, and, when necessary, to adapt [its] policies as the market evolve[d]" (*id.*).

The PSC exercised oversight of ESCOs through its control over utilities and their delivery infrastructure; specifically, it "require[d] the utilities to reflect certain aspects of [its] approved ESCO oversight process in their tariffs" by "set[ting] forth the criteria an ESCO, as a customer of the utility, would have to meet in order to purchase delivery services from the utility" (*id.* at 44).[2] To maintain that eligibility, "ESCOs must meet specific compliance and reporting requirements on an ongoing basis" (1997 NY PSC Op No. 97-5 at 43). To that end, the PSC adopted the Uniform Business Practices (UBP), a set of rules regulating ESCOs' business and marketing practices; in addition, the PSC directed major gas and electric corporations to file revised tariffs embodying the UBP's access rules (*see* 1999 NY PSC Op No. 99-3 [Case No. 98-M-1343]). It is undisputed that ESCOs have been operating for almost 20 years pursuant to PSC oversight and regulation, as reflected in the UBP's requirements.

In 2014, following an investigative process, the PSC issued an order finding that ESCOs were generally charging their residential or small-scale customers higher prices than the prices charged by utilities (*see* Proceeding on Motion of the Commis-

2. In a separate opinion, the PSC explained that its "general supervisory duties normally extend to those electric [and gas] corporations that have 'authority . . . to lay down, erect or maintain wires, pipes, conduits, ducts or other fixtures in, over or under the streets, highways and public places' " (1997 NY PSC Op No. 97-17 at 34, quoting Public Service Law § 66 [1]). The PSC concluded that it lacked authority to "regulate *directly* [ESCOs] that do not own, operate, lease, lay down, erect or maintain wires, pipes, conduits, ducts or other fixtures in, over or under public property" (*id.* [emphasis added]). Therefore, the PSC established an "oversight process" pursuant to which "ESCOs agree to provide specific and limited consumer protections as a condition of tariffed distribution service" (*id.* at 33-34).

sion to Assess Certain Aspects of the Residential and Small Non-residential Retail Energy Markets in New York State, 2014 WL 805942, *1-2, 2014 NY PUC LEXIS 54, *1-2 [No. 12-M-0476, Feb. 25, 2014]). Two years later, the PSC issued the challenged order—the Reset Order—to address that concern (*see* Order Resetting Retail Energy Markets & Establishing Further Process, 2016 WL 791804, *12, 2016 NY PUC LEXIS 65, *31-32 [No. 12-M-0476, Feb. 23, 2016]). As relevant here,[3] the order stated:

> "1. . . . [E]ffective [10] calendar days from the date of this [o]rder, [ESCOs] shall only enroll new residential or small non-residential customers (mass market customers) or renew existing mass market customers in gas or electric service if at least one of the following two conditions is met: (1) enrollment where the contract guarantees that the customer will pay no more than were the customer a full-service customer of the utility; or (2) enrollment based on a contract for an electricity product derived from at least 30% renewable sources.
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> "2. ESCOs must receive affirmative consent from a mass market customer prior to renewing that customer from a fixed rate or guaranteed savings contract into a contract that provides renewable energy but does not guarantee savings.
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> "3. For each ESCO that intends to enroll new mass market customers or renew existing mass market customers once [the first provision of the order] has gone into effect, . . . the ESCO must make a filing by 4:00pm on the [10th] calendar day[ ] after the date of this [o]rder certifying that any enrollments will comply with the conditions of this [o]rder."

The PSC explained that it issued the Reset Order in response to "a large number of complaints" it had received "from ESCO customers about unexpectedly high bills," and had determined that mass market customers were not receiving comparable benefits to those received by large commercial and industrial customers (2016 WL 791804, *1, 2016 NY PUC LEXIS 65, *2). Thus, "an immediate transition away from a retail market focused on commodity only without price protection, to a market in which competitive ESCOs provide services of demon-

3. The Reset Order has five other provisions that are not challenged.

strated value to consumers, [was] warranted" (2016 WL 791804, *1, 2016 NY PUC LEXIS 65, *3). Specifically, the PSC concluded, based on the performance of the ESCO market, that "additional restructuring [of the market was] necessary to further protect consumers from high-pressure sales situations, deceptive marketing, slamming [i.e., enrolling customers without authorization], and lack of expected savings" (2016 WL 791804, *6, 2016 NY PUC LEXIS 65, *14).

The PSC opined that it had authority to issue the Reset Order pursuant to Public Service Law articles 1 and 2—specifically sections 5 and 53, which it interpreted as providing "broad legal authority to oversee ESCOs"—and section 66 (5), which the PSC reasoned, grants it "authority over the tariffed rules and regulations of electric and gas distribution utilities" (2016 WL 791804, *5, 2016 NY PUC LEXIS 65, *12). The PSC clarified that it is under those tariffed rules that it "has placed conditions on when the distribution utilities may allow ESCOs to use utility infrastructure to distribute electricity and natural gas to ESCO customers" (2016 WL 791804, *5, 2016 NY PUC LEXIS 65, *12). Thus, while the language of the three challenged clauses of the Reset Order appears to be directed solely at ESCOs, rather than to the regulation of utilities transporting ESCOs' products through their infrastructure, the entirety of the PSC's order makes clear that the PSC relied on its ability to regulate utilities' tariffed rules in "confirm[ing] its authority to oversee ESCO participation in the residential and small commercial markets . . . to ensure sufficient protection of the public interest and that the prices that consumers pay for those services are just and reasonable" (2016 WL 791804, *6, 2016 NY PUC LEXIS 65, *14).

Following issuance of the Reset Order, petitioners—ESCOs and their representative trade associations—commenced these two separate proceedings, which are combined CPLR article 78 proceedings and actions for declaratory judgment, seeking a declaration that the Reset Order is void, as well as a permanent injunction enjoining the PSC from enforcing the first three clauses of the order. The National Energy Marketers Association petitioners alleged, among other things, that the Reset Order should be annulled as arbitrary and capricious and in excess of the PSC's authority, and sought a declaratory judgment that the first three provisions of the Reset Order are void and unenforceable because the PSC "acted without jurisdiction in issuing [the] Order." The Retail Energy Supply Association petitioners sought, among other things, to annul the Reset Order on the ground that the PSC exceeded its authority in issuing the order and a declaration that the order: (1) constituted a regulatory taking that deprived them of their vested property rights in their businesses in violation of the Federal and State Constitutions; (2) violated their vested property rights in their businesses in contravention of their substantive due process rights under the Federal and State Constitutions; and (3) was unconstitutionally vague. All of the petitioners argued that the Reset Order was contrary to the PSC's jurisdictional mandate because it purports to limit the price that ESCOs may charge their customers to that charged by local utilities, despite the absence of authorization in the Public Service Law for the PSC to regulate ESCOs' rates for the provision of retail energy services.

Supreme Court granted the petitions to the extent of vacating the challenged provisions of the Reset Order, and remitted to the PSC "for further proceedings, including notice specific to the directives of the . . . [R]eset [O]rder" (53 Misc 3d 641, 656 [Sup Ct, Albany County 2016]). The court did not expressly issue a declaration, but concluded that the PSC has the power to regulate ESCOs in the manner asserted in the Reset Order, stating "that it is counterintuitive to claim that the PSC lacks jurisdiction over the retail energy market," inasmuch as the PSC created the retail energy market and adopted the UBP "to oversee virtually every aspect of the market, from eligibility, to marketing and contracts, and policing abuses as they affect its customers" (*id.* at 649). Nevertheless, the court determined that the Reset Order should be vacated because petitioners were denied procedural due process due to the PSC's failure to provide them with adequate notice under the State Administrative Procedure Act and an opportunity to be heard prior to the order's adoption.

Upon the parties' cross appeals,[4] the Appellate Division unanimously affirmed (152 AD3d 1133 [3d Dept 2017]; 152 AD3d 1122 [3d Dept 2017]). The Court stated that "[t]he

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4. Petitioners appealed from that part of Supreme Court's order that determined "the [PSC's] authority and jurisdiction to set rates in the retail energy markets." The PSC cross-appealed from the order insofar as it held that the PSC "denied procedural due process or could not rely upon the unworkability of the retail electric market or the record before the [PSC]. The [PSC] d[id] not appeal the conclusion that it violated the State Administrative Procedure Act."

paramount issue presented is whether the PSC has the authority to impose the rate-making limitations on ESCOs set forth in the Reset Order" (152 AD3d at 1136). As relevant here, the Court held "that the PSC's broad statutory jurisdiction and authority over the sale of gas and electricity" set forth in the Public Service Law "authorized it to impose the limitations set forth in the Reset Order" (*id.* at 1137-1138). "In fact," the Court concluded, "it is the PSC's broad jurisdiction that enabled it to allow ESCOs access to utility systems in the first place . . . [and] this same authority allows [the PSC] to impose limitations on ESCO rates as a condition to continued access" (*id.* at 1138).

This Court subsequently granted petitioners leave to appeal (31 NY3d 902 [2018]).

II.

Initially, the PSC maintains that an entity's use of any of its property—real or personal—for the "sale" of gas or electricity establishes that the entity is a "gas corporation" or "electric corporation" within the meaning of Public Service Law § 2. Because ESCOs use personal property in the sale of gas and electricity, the PSC argues that they operate gas and electric plants and the PSC, therefore, has the statutory authority to require them to pay just and reasonable rates under Public Service Law § 65 (1).

[1] We reject the PSC's argument that ESCOs fall within the definitions of "gas corporations" and "electric corporations" set forth in Public Service Law § 2 such that they are subject to the PSC's direct rate-making authority under Public Service Law article 4 (*see* Public Service Law § 66 [1], [5]).[5] Section 2 provides that the terms "gas corporation" and "electric corporation" include "every corporation, company, association, joint-stock association, partnership and person . . . owning, operating or managing any gas plant" (*id.* § 2 [11]) or "electric plant" (*id.* § 2 [13]), with certain exceptions inapplicable here. In turn, the terms "gas plant" and "electric plant" are defined as "includ[ing] all real estate, fixtures and personal property operated, owned, used or to be used for or in connection with or to facili-

5. As petitioners argue, the statutory interpretation issues raised in this appeal involve matters "of pure statutory reading and analysis, dependent only on accurate apprehension of legislative intent" and, thus, "de novo review is appropriate" (*Weingarten v Board of Trustees of N.Y. City Teachers' Retirement Sys.*, 98 NY2d 575, 580 [2002]).

tate the manufacture, conveying, transportation, distribution, sale or furnishing of gas . . . for light, heat or power" (*id.* § 2 [10]) or "electricity for light, heat or power" (*id.* § 2 [12]).

By definition, gas and electric corporations are entities or persons that own, operate or manage a "gas plant" or "electric plant" (*id.* § 2 [11], [13]). The Public Service Law defines a "plant" consistent with the term's plain meaning—as encompassing "all real estate, fixtures *and* personal property" used for, among other things, the sale of gas and electricity (*id.* § 2 [10], [12] [emphasis added]). Section 2 does not state that a plant consists of "real estate, fixtures *or* personal property" used to do the same, which is how the PSC reads the statute for purposes of this appeal. Thus, the PSC's reading of section 2 contradicts the plain statutory language, violating the fundamental canon of construction that, "[w]hen the statutory language is clear and unambiguous, it should be construed so as to give effect to the plain meaning of the words used" (*People v Pabon*, 28 NY3d 147, 152 [2016] [internal quotation marks and citations omitted]).

Moreover, adoption of the PSC's interpretation of the statutes would render Public Service Law § 53 meaningless. Section 53 provides that, for purposes of Public Service Law article 2 only—which addresses limited consumer protection measures—"a reference to a gas corporation, an electric corporation, a utility company, or a utility corporation shall include, but is not limited to, any entity that, in any manner, sells or facilitates the sale or furnishing of gas or electricity to residential customers." If the more general definitions of gas and electric corporations in Public Service Law § 2 covered ESCOs, there would have been no need for the legislature to enact section 53 in 2002.[6] Thus, acceptance of the PSC's interpretation of section 2 would require us to disregard the " 'accepted rule that all parts of a statute are intended to be given effect and that a statutory construction which renders one part meaningless should be avoided' " (*Matter of Springer v Board of Educ. of the City Sch. Dist. of the City of N.Y.*, 27 NY3d 102, 107 [2016], quoting *Rocovich v Consolidated Edison Co.*, 78 NY2d 509, 515 [1991]).

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6. In fact, the legislature enacted section 53 in order to overturn a 1997 decision of the PSC confirming that ESCOs that do not provide transmission and delivery service are exempt from complying with the consumer protections set forth in article 2 because they are *not* "gas corporations" and "electric corporations" (*see* 1997 NY PSC Op No. 97-17 at 34-35; *see also* Budget Rep on Bills, Bill Jacket, L 2002, ch 686 at 4; Letter from Public Service Commn, Bill Jacket, L 2002, ch 686 at 13).

III.

[2] While ESCOs do not fall within the definition of "gas corporation" and "electric corporation"—and, therefore, are not subject to the PSC's direct rate-making authority under Public Service Law article 4—we nevertheless conclude that, under its authority to regulate *utilities*' transportation of ESCOs' gas and electricity, the PSC may condition access to utility infrastructure upon ESCOs' compliance with a price cap on gas or electricity. Public Service Law § 5 (1) (b) provides that the PSC's "jurisdiction, supervision, powers and duties . . . shall extend . . . *[t]o* the manufacture, conveying, transportation, sale or distribution of gas . . . and electricity for light, heat or power," as well as "*to* gas plants and *to* electric plants and *to* the persons or corporations owning, leasing or operating the same" (emphasis added). The language of section 5 (1) (b) does not constrain the PSC's broad regulatory powers to those that impact only the activities of owners and operators of gas and electric plants. Indeed, as this Court has recognized for over a century, the PSC's purpose is to regulate and control public utilities, not only to prevent the abuses of monopoly, but also "the evils of an unrestricted right of competition" (*Willcox*, 207 NY at 94). In other words, contrary to petitioners' arguments, the PSC is not charged solely with monitoring abuses of monopoly power by "electric corporations" and "gas corporations," i.e., utilities. Rather, in the context of its power to supervise the "conveying, transportation, sale or distribution of gas . . . and electricity" (Public Service Law § 5 [1] [b]), the PSC has always had the additional duty of preventing "extortionate competition" and "oppressive or discriminating charges" (*Willcox*, 207 NY at 93-94).

Public Service Law § 66-d (2) states, in relevant part, that

> "after notice and hearing [the PSC] shall, upon such terms and subject to such conditions as the [PSC] considers just and reasonable, have the authority to order any gas corporation to transport or contract with others to transport gas under contract for sale by such producer or owned by such consumer."

In giving the PSC discretionary power to require gas corporations to transport energy sold by ESCOs "upon such terms and subject to such conditions as the [PSC] considers just and reasonable," section 66-d (2) necessarily directs the PSC to determine the terms and conditions under which utilities will be required to transport ESCOs' gas through their delivery infrastructure.[7]

Article 4 provides direct support for the PSC's authority to regulate utilities' infrastructure and thus condition ESCOs' access to that infrastructure on compliance with a price cap. Section 65 (1) requires that all utilities provide "service, instrumentalities and facilities" that are "in all respects just and reasonable." Nothing in the language of the relevant statutory provisions limits the PSC's consideration of what is "just and reasonable" to ensuring only that utilities receive a fair price for transporting ESCOs' energy; in fact, section 65 (1) provides that utility service must be just and reasonable "in all respects" (*see also* Public Service Law § 66 [5] [directing the PSC to "(e)xamine all . . . corporations . . . under its supervision" to determine whether, among other things, "the rates, charges or classifications or the acts or regulations of any such . . . corporation . . . are unjust (or) unreasonable"]). In authorizing the PSC to ensure that the terms by which utilities provide ESCOs access to public infrastructure remain "just and reasonable," sections 65 (1) and 66-d (2) support the PSC's long-held position that it has the authority to regulate ESCOs' eligibility to transport energy over public utilities' infrastructure.

Put differently, a necessary corollary of the PSC's authority to regulate utilities' delivery of ESCOs' energy is that the PSC has the authority to determine the terms and conditions under which ESCOs are eligible to purchase delivery services—for both gas and electricity—from utilities. Indeed, petitioners do not dispute that the PSC has properly regulated ESCOs pursuant to the UBP's eligibility requirements—i.e., the terms by which utilities are required to permit ESCOs access to their infrastructure—since 1999. Petitioners fail to adequately explain why the PSC may set conditions for eligibility to access public utility lines but may not, as one of those conditions, cap the prices charged by ESCOs, viewed cumulatively on an annual basis, to the same amount as those charged by public utilities. It is not enough to simply point to the fact that the PSC has no rate-making authority over ESCOs under Public Service Law article 4, without distinguishing between setting the rate that must be charged for energy and determining

7. As explained above, the PSC adopted a similar scheme for the electric industry, leading to the formation of ESCOs as a direct result of the PSC's decision to increase market competition and make utility infrastructure available to non-utility service providers.

eligibility for access as set forth in the UBP, incorporated into utility tariffs. While "no utility may charge more or less than the rates established by the PSC" (*Cahill*, 69 NY2d at 272), ESCOs may charge less.

Finally, we observe that the legislature expressly recognized the PSC's authority to regulate ESCOs' eligibility to access public utilities' infrastructure in General Business Law § 349-d (11), which preserves the PSC's preexisting "authority . . . to limit, suspend or revoke the eligibility of an energy services company to sell or offer for sale any energy services for violation of any provision of law, rule, regulation or policy enforceable by [the PSC]." The language in section 349-d reserving the PSC's authority to suspend ESCOs' eligibility would be meaningless if such authority did not already exist; thus, section 349-d further supports the PSC's contention that it has authority to condition ESCOs' eligibility to access utility systems.

Because the PSC is empowered to regulate utilities' transportation of gas and electricity and created the ESCO markets for the benefit of consumers, and because the legislature has delegated to the PSC the authority to condition ESCOs' eligibility to access utility lines on such terms and conditions that the PSC determines to be just and reasonable, it follows that the PSC has authority to prohibit utilities from distributing overpriced products by conditioning ESCOs' access on a price cap. That is, the statutory framework permits the PSC, pursuant to its authority to regulate the energy market, to impose a price cap on ESCOs as a condition of eligibility. Therefore, although the PSC has no direct rate-making authority over ESCOs, it did not exceed its statutory authority in determining that public utility transportation of energy sold by ESCOs is not "just and reasonable" if ESCOs are charging consumers more than that charged by public utilities. Thus, the courts below should have issued a declaration to the effect that the PSC did not exceed its authority under the Public Service Law or violate petitioners' constitutional rights in issuing the Reset Order.

Petitioners' procedural due process argument is moot and their remaining arguments lack merit. Accordingly, the Appellate Division orders insofar as appealed from should be modified, with costs to respondents, in accordance with the decision herein and, as so modified, affirmed.

In *Matter of National Energy Marketers Assn. v New York State Pub. Serv. Commn.*: Order insofar as appealed from modified, with costs to respondent, in accordance with the opinion herein and, as so modified, affirmed.

Opinion by Judge STEIN. Chief Judge DIFIORE and Judges RIVERA, GARCIA, WILSON and FEINMAN concur. Judge FAHEY taking no part.

In *Matter of Retail Energy Supply Assn. v Public Serv. Commn. of the State of N.Y.*: Order insofar as appealed from modified, with costs to respondents, in accordance with the opinion herein and, as so modified, affirmed.

Opinion by Judge STEIN. Chief Judge DIFIORE and Judges RIVERA, GARCIA, WILSON and FEINMAN concur. Judge FAHEY taking no part.

[128 NE3d 128, 104 NYS3d 1]

159 MP CORP. et al., Appellants, v REDBRIDGE BEDFORD, LLC, Respondent.

Argued March 20, 2019; decided May 7, 2019

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered January 31, 2018. The Appellate Division affirmed an order of the Supreme Court, Kings County (David I. Schmidt, J.; op 2015 NY Slip Op 32817[U] [2015]), which had (1) denied plaintiffs' motion for a *Yellowstone* injunction; (2) granted defendant's cross motion for summary judgment dismissing the complaint; and (3) dismissed the action. The following question was certified by the Appellate Division: "Was the opinion and order of this Court dated January 31, 2018, properly made?"

159 MP Corp. v Redbridge Bedford, LLC, 160 AD3d 176, affirmed.

HEADNOTES

Landlord and Tenant — Lease — Waiver in Commercial Lease of Right to Commence Declaratory Judgment Action

1. The waiver clause in the parties' leases whereby plaintiff commercial tenants unambiguously agreed to waive the right to commence a declaratory judgment action as to the terms of their leases was not void as against public policy and was enforceable. The declaratory judgment waiver was clear and unambiguous, was adopted by sophisticated parties negotiating at arm's length, and did not violate the type of public policy interest that would outweigh the strong public policy in favor of freedom of contract. There is nothing in contemporary statutory, constitutional, or decisional law indicating that the interest in access to declaratory judgment actions, or more generally, to a full suite of litigation options without limitation, is so weighty and fundamental that it cannot be waived by sophisticated, counseled parties in a commercial lease. While access to declaratory relief benefits the parties as well as society in quieting disputes, a declaratory judgment is merely one form of relief available to litigants in enforcing a contract. Critically, the waiver clause at issue here did not preclude access to the courts but left available other judicial avenues through which plaintiffs might adjudicate their rights under the leases. Moreover, arbitration clauses, which are routinely enforced, provide no access to court for initial litigation of the merits and limited judicial review and are more restrictive than the declaratory judgment waiver here, which permitted judicial resolution of the parties' dispute in a RPAPL article 7 proceeding with full appellate review.

Landlord and Tenant — *Yellowstone* Injunction — Waiver in Commercial Lease of Right to Commence Declaratory Judgment Action

2. Plaintiff commercial tenants' waiver of the right to commence a declaratory judgment action as to the terms of their leases was not rendered

unenforceable because it resulted in an inability to obtain *Yellowstone* relief (*First Natl. Stores v Yellowstone Shopping Ctr.*, 21 NY2d 630 [1968]). *Yellowstone* relief is not an end in itself but merely a means of maintaining the status quo by tolling a contractual cure period during a pending action, permitting a tenant who loses on the merits of the lease dispute to cure the defect and retain the tenancy. A *Yellowstone* injunction is not essential to protect property rights in a commercial tenancy which are governed by the terms of the lease negotiated by the parties. Plaintiffs' inability to obtain *Yellowstone* relief did not prevent them from raising defenses in summary proceedings if commenced and thus vindicating their rights under the leases if defendant owner's allegations of default were baseless. If plaintiffs believed defendant was not performing its respective obligations under the leases, they could bring an action in Supreme Court for breach of contract and request specific performance. While *Yellowstone* injunctions are useful procedural tools for tenants seeking to litigate notices of default, there is no strong societal interest in the ability of commercial entities to seek such a remedy that would justify voiding an unambiguous declaratory judgment waiver negotiated at arm's length, merely because that incidentally precluded access to *Yellowstone* relief.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Estoppel and Waiver §§ 186, 196; AM JUR 2d Landlord and Tenant §§ 18, 38, 39.

DOLAN, RASCH'S NEW YORK LANDLORD AND TENANT INCLUDING SUMMARY PROCEEDINGS (5th ed) § 6:13.

NY JUR 2d Estoppel, Ratification, and Waiver §§ 80, 84; NY JUR 2d Landlord and Tenant §§ 58, 67.

ANNOTATION REFERENCE

See ALR Index under Declaratory Judgments; Estoppel and Waiver; Landlord and Tenant.

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POINTS OF COUNSEL

A. Joshua Ehrlich, Albany, and *Wenig Saltiel LLP*, Brooklyn (*Meryl L. Wenig* and *Jason M. Fink* of counsel), for appellants. I. The Supreme Court, Appellate Division, erred by upholding that portion of the lease provision at issue which violates public policy by prohibiting declaratory relief. (*Metropolitan Transp. Auth. v Bruken Realty Corp.*, 67 NY2d 156; *John J. Kassner & Co. v City of New York*, 46 NY2d 544; *Mount Vernon Trust Co. v Bergoff*, 272 NY 192; *Hanover Ins. Co. v D & W*

Cent. Sta. Alarm Co., 164 AD2d 112; *Matter of Leifer v Gross*, 140 AD3d 959; *Hammelburger v Foursome Inn Corp.*, 76 AD2d 646; *Salomon Bros. v West Va. State Bd. of Invs.*, 152 Misc 2d 289, 168 AD2d 384; *Craig v Commissioners of Sinking Fund of City of N.Y.*, 208 App Div 412; *Kalman v Shubert*, 270 NY 375.) II. The Supreme Court, Appellate Division, erred by upholding that portion of the lease provision that prohibits declaratory relief based in part on the availability of judicial review regarding whether the alleged breaches of the leases even exist because the same lease provision explicitly prevents such judicial review and penalizes plaintiffs-appellants for seeking such review. (*Yonkers Contr. Co. v Port Auth. Trans-Hudson Corp.*, 87 NY2d 927; *Westinghouse Elec. Corp. v New York City Tr. Auth.*, 82 NY2d 47; *Kane v Walsh*, 295 NY 198; *Yuppie Puppy Pet Prods., Inc. v Street Smart Realty, LLC*, 77 AD3d 197; *Marbury v Madison*, 5 US 137; *Matter of A.G. Ship Maintenance Corp. v Lezak*, 69 NY2d 1; *Liang v Wei Ji*, 155 AD3d 1018; *Dimery v Ulster Sav. Bank*, 82 AD3d 1034.) III. The Supreme Court, Appellate Division, erred by upholding that portion of the lease provision at issue which prohibits declaratory relief as it encourages the defendant-respondent to act in bad faith regarding its performance under the leases, in violation of public policy. (*Rowe v Great Atl. & Pac. Tea Co.*, 46 NY2d 62.)

Lupkin PLLC, New York City (*Jonathan D. Lupkin* and *Isabel D. Knott* of counsel), for respondent. I. There is no public policy against waiving the right to a *Yellowstone* injunction. (*First Natl. Stores v Yellowstone Shopping Ctr.*, 21 NY2d 630; *Steele v Drummond*, 275 US 199; *People v Hawkins*, 157 NY 1; *Victory Taxi Garage, Inc. v Butaro*, 16 Misc 3d 875; *Post v 120 E. End Ave. Corp.*, 62 NY2d 19; *Baltimore & Ohio Southwestern R. Co. v Voigt*, 176 US 498; *Miller v Continental Ins. Co.*, 40 NY2d 675; *New England Mut. Life Ins. Co. v Caruso*, 73 NY2d 74; *Rowe v Great Atl. & Pac. Tea Co.*, 46 NY2d 62; *George Backer Mgt. Corp. v Acme Quilting Co.*, 46 NY2d 211.) II. By agreeing not to bring an action for declaratory judgment, appellants did not deprive themselves of meaningful judicial review. (*Salomon Bros. v West Va. State Bd. of Invs.*, 152 Misc 2d 289; *Craig v Commissioners of the Sinking Fund of the City of N.Y.*, 208 App Div 412; *Kalman v Shubert*, 270 NY 375; *Kalisch-Jarcho, Inc. v City of New York*, 72 NY2d 727; *European Am. Bank v Mr. Wemmick, Ltd.*, 160 AD2d 905; *Matter of A.G. Ship Maintenance Corp. v Lezak*, 69 NY2d 1; *Liang v Wei Ji*, 155 AD3d 1018; *Dimery v Ulster Sav. Bank*, 82 AD3d 1034; *Westinghouse*

Elec. Corp. v New York City Tr. Auth., 82 NY2d 47.) III. Respondent's alleged "bad faith" is neither demonstrated nor relevant. (*Bingham v New York City Tr. Auth.*, 99 NY2d 355; *Telaro v Telaro*, 25 NY2d 433.)

OPINION OF THE COURT

Chief Judge DiFiore.

In New York, agreements negotiated at arm's length by sophisticated, counseled parties are generally enforced according to their plain language pursuant to our strong public policy favoring freedom of contract. In this case, commercial tenants who unambiguously agreed to waive the right to commence a declaratory judgment action as to the terms of their leases ask us to invalidate that waiver on the rationale that the waiver is void as against public policy. We agree with the courts below that, under the circumstances of this case, the waiver clause is enforceable, requiring dismissal of the complaint.

Plaintiffs 159 MP Corp. and 240 Bedford Ave Realty Holding Corp. executed two commercial leases with the predecessor-in-interest of defendant Redbridge Bedford LLC, the current owner of the subject building. Together, the 20-year leases permit plaintiffs to occupy 13,000 square feet of property in Brooklyn to operate a Foodtown supermarket. Rents started at $341,628 per year and were to increase over the lifetime of the leases to $564,659.02, which included a 10-year option at escalating rents. While the lengthy and detailed leases contained a standard form, its terms were not accepted as boilerplate but rather contained numerous handwritten additions and deletions, initialed by the parties. Of particular relevance to this dispute, each lease also incorporated a 36-paragraph rider, which was also replete with handwritten additions and deletions. Paragraph 67 (H) of the rider provides:

> "*Tenant waives its right to bring a declaratory judgment action with respect to any provision of this Lease or with respect to any notice sent pursuant to the provisions of this Lease* . . . [I]t is the intention of the parties hereto that their disputes be adjudicated via summary proceedings" (emphasis added).

In March 2014, defendant sent notices to plaintiffs alleging various defaults and stating that plaintiffs had 15 days to cure the violations in order to avoid termination of the leases. Before the cure period expired, plaintiffs commenced this action by way of order to show cause in Supreme Court seeking, as relevant here, a declaratory judgment that they were not in default. Plaintiffs also sought a *Yellowstone* injunction in order to prevent the owner from terminating the leases or commencing summary proceedings during the pendency of the declaratory judgment action. Defendant answered and cross-moved for summary judgment dismissing the complaint, arguing that the action and, thus, the request for *Yellowstone* relief were barred by the waiver clause in the leases.[1] In response, plaintiffs asserted, among other things,[2] that if interpreted in the manner urged by the owner, the waiver clause was unenforceable and that the waiver was premised on mutual mistake concerning the scope of summary proceedings.

Supreme Court denied plaintiffs' motion for a *Yellowstone* injunction, granted defendant's cross motion for summary judgment, and dismissed the action in its entirety. The court began by observing that, "[a]bsent some violation of law or transgression of a strong public policy, the parties to a contract are basically free to make whatever agreement they wish, no matter how unwise it may appear to a third-party" (*159 MP Corp. v Redbridge Bedford LLC*, 2015 NY Slip Op 32817[U], *6 [Sup Ct, Kings County 2015], citing *Rowe v Great Atl. & Pac. Tea Co.*, 46 NY2d 62, 67-68 [1978]). Relying on the plain language of the contract, the court concluded plaintiffs clearly waived the right to bring a declaratory judgment action and, in enforcing the provision, referenced the fact that the waiver did not

> "prevent either side from performing the agreement or from recovering damages as a result of a breach or the parties' tortious conduct . . . [and did not] deny plaintiffs all legal redress in this instance [because i]f plaintiffs dispute that they are in breach of the leases, they may raise any defenses they may have in any . . . summary proceeding brought by defendant in Civil Court to evict them"

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1. Although defendant cited a portion of paragraph 67 (H) stating that commencement of a declaratory judgment action provided a separate basis for termination of the leases, it did not counterclaim seeking either a declaration that the leases terminated or eviction based on purported breach of this provision. Because that provision was not enforced in this case, we have no occasion to further address it.

2. Plaintiffs also argued that the complaint pleaded a cognizable breach of contract claim that was not barred by the waiver clause. However, that argument is not presented in this Court.

> (*159 MP Corp.*, 2015 NY Slip Op 32817[U], *7 [citations omitted]).

The court also rejected plaintiffs' mutual mistake argument, noting that plaintiffs had neither alleged fraud nor claimed they had been unable to review the leases with counsel (*id.*).

The Appellate Division, with one Justice dissenting, affirmed, determining that the declaratory judgment waiver was enforceable and barred plaintiffs' claim (*159 MP Corp. v Redbridge Bedford, LLC*, 160 AD3d 176 [2d Dept 2018]). The Court commented, in light of the strong public policy favoring freedom of contract, that parties may waive a wide range of rights, observing that the parties here are "sophisticated entities that negotiated at arm's length" and entered contracts that defined their obligations "with great apparent care and specificity" (*id.* at 187, 189). Like Supreme Court, the Appellate Division emphasized that the waiver clause did not leave plaintiffs without other available legal remedies, noting that plaintiffs retained the right to receive notices under the leases (and thus cure defaults), to seek damages for breach of contract and tort, and to defend themselves in summary proceedings (*id.* at 191). Moreover, the Appellate Division observed that plaintiffs will remain in possession of the property unless summary proceedings are commenced and, if vindicated in a summary proceeding, would remain indefinitely until expiration of the leases (*id.* at 191-192). In contrast, if found to have been in default, plaintiffs would properly be evicted under the terms of the leases (*id.* at 192).

One Justice dissented, concluding that the waiver clause is void as against public policy and, thus, unenforceable (160 AD3d at 194 [Connolly, J., dissenting]). The dissent reasoned that declaratory relief serves the important societal function of providing certainty in contractual relationships and that the tenant's ability to litigate in summary proceedings commenced by the owner was not a sufficient substitute for the ability to commence a declaratory judgment action (*id.* at 203-206). The Appellate Division granted plaintiffs leave to appeal to this Court, certifying the question whether its order was properly made, and we now affirm.

We begin with the "familiar and eminently sensible proposition of law . . . that, when parties set down their agreement in a clear, complete document, their writing should . . . be enforced according to its terms" (*Vermont Teddy Bear Co. v 538 Madison Realty Co.*, 1 NY3d 470, 475 [2004] [citation omitted]). As we noted in *Vermont Teddy Bear*, a seminal case involving a commercial lease, this rule has "special import in the context of real property transactions, where commercial certainty is a paramount concern, and where . . . the instrument was negotiated between sophisticated, counseled business people negotiating at arm's length" (*id.* [internal quotation marks and citation omitted]). The lease provision at the center of this dispute could not be clearer. In it, plaintiffs "waive[d] [the] right to bring a declaratory judgment action with respect to any provision of this Lease or with respect to any notice sent pursuant to the provisions of this Lease." Applying our well-settled contract interpretation principles, this unambiguous waiver clause reflects the parties' intent that plaintiffs be precluded from commencing precisely the type of suit they initiated here and, as such, this action was foreclosed by the plain language of the leases. Plaintiffs nonetheless ask us to relieve them of the consequences of their bargain, contending that the waiver clause violates a public policy strong enough to warrant a departure from the bedrock principle of freedom of contract. We reject that argument.

Freedom of contract is a "deeply rooted" public policy of this state (*New England Mut. Life Ins. Co. v Caruso*, 73 NY2d 74, 81 [1989]) and a right of constitutional dimension (US Const, art I, § 10 [1]). In keeping with New York's status as the preeminent commercial center in the United States, if not the world, our courts have long deemed the enforcement of commercial contracts according to the terms adopted by the parties to be a pillar of the common law. Thus, "[f]reedom of contract prevails in an arm's length transaction between sophisticated parties . . . , and in the absence of countervailing public policy concerns there is no reason to relieve them of the consequences of their bargain" (*Oppenheimer & Co. v Oppenheim, Appel, Dixon & Co.*, 86 NY2d 685, 695 [1995]).[3] We have cautioned that, when a court invalidates a contractual provision, one party is deprived of the benefit of the bargain (*see id.*; *Rowe*, 46 NY2d at 67). By disfavoring judicial upending of the balance

3. *See also Bluebird Partners v First Fid. Bank*, 94 NY2d 726, 739 (2000) (declining to enforce the contract on champerty grounds may "engender uncertainties in the free market system in connection with untold numbers of sophisticated business transactions—a not insignificant potentiality in the State that harbors the financial capital of the world"); *J. Zeevi & Sons v Grindlays Bank (Uganda)*, 37 NY2d 220, 227 (1975) ("In order to maintain [New York's] pre-eminent financial position, it is important that the justified expectations of the parties to the contract be protected").

struck at the conclusion of the parties' negotiations, our public policy in favor of freedom of contract both promotes certainty and predictability and respects the autonomy of commercial parties in ordering their own business arrangements.

Of course, the public policy favoring freedom of contract does not mandate that the language of an agreement be enforced in all circumstances. Contractual provisions entered unknowingly or under duress or coercion may not be enforced (*see Matter of Abramovich v Board of Educ. of Cent. School Dist. No. 1 of Towns of Brookhaven & Smithtown*, 46 NY2d 450, 455 [1979]; *see also Austin Instrument v Loral Corp.*, 29 NY2d 124, 130 [1971]). The doctrine of unconscionability also protects against "unjust enforcement of onerous contractual terms which one party is able to impose [upon] the other because of a significant disparity in bargaining power" (*Rowe*, 46 NY2d at 68). Plaintiffs raised none of these defenses.

[1] Here, plaintiffs assert that the declaratory judgment waiver is unenforceable because it is void as against public policy. Thus, plaintiffs' challenge is not predicated on the circumstances surrounding the making of this particular agreement, such as allegations of unequal bargaining power, coercive tactics or lack of counsel—claims pertinent to other well-established contract defenses. Rather, plaintiffs' contention is that the right to bring a declaratory judgment action is so central and critical to the public policy of this state that it cannot be waived by even the most well-counseled, knowledgeable or sophisticated commercial tenant. We are unpersuaded.

We have deemed a contractual provision to be unenforceable where the public policy in favor of freedom of contract is overridden by another weighty and countervailing public policy (*Oppenheimer & Co.*, 86 NY2d at 695).[4] But, because freedom of contract is itself a strong public policy interest in New York, we may void an agreement only after "balancing" the public interests favoring invalidation of a term chosen by the parties against those served by enforcement of the clause and concluding that the interests favoring invalidation are stronger (*see*

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4. When we refer to public policy in this context, we mean "the law of the State, whether found in the Constitution, statutes or decisions of the courts" (*New England Mut. Life Ins. Co.*, 73 NY2d at 81). It is not enough that the agreement appears unwise to outsiders (*see Rowe*, 46 NY2d at 68), or violates "personal notions of fairness" (*Welsbach Elec. Corp. v MasTec N. Am., Inc.*, 7 NY3d 624, 629 [2006]) or "[courts'] subjective view of what is sound policy" (*Matter of Walker*, 64 NY2d 354, 359 [1985]).

New England Mut. Life Ins. Co., 73 NY2d at 81). Although we possess the power to set aside agreements on this basis, our "usual and most important function" is to enforce contracts rather than invalidate them "on the pretext of public policy," unless they "clearly . . . contravene public right or the public welfare" (*Miller v Continental Ins. Co.*, 40 NY2d 675, 679 [1976], quoting *Baltimore & Ohio Southwestern R. Co. v Voigt*, 176 US 498, 505 [1900]).

The fact that a contract term may be contrary to a policy reflected in the Constitution, a statute or a judicial decision does not render it unenforceable; "that a public interest is present does not erect an inviolable shield to waiver" (*Matter of American Broadcasting Cos. v Roberts*, 61 NY2d 244, 249 [1984]). Indeed, we regularly uphold agreements waiving statutory or constitutional rights, indicating that we look for more than the impingement of a benefit provided by law before deeming a voluntary agreement void as against public policy (*see e.g. id.* [upholding waiver of Labor Law protections that serve the societal interest of preventing worker exhaustion]; *Abramovich*, 46 NY2d 450 [upholding waiver by tenured teacher of the protections in Education Law § 3020-a]; *Antinore v State of New York*, 40 NY2d 921 [1976] [upholding waiver of due process protections afforded by disciplinary hearings under Civil Service Law §§ 75 and 76]). Many rights implicate societal interests and, yet, they have been determined to be waivable.

Only a limited group of public policy interests has been identified as sufficiently fundamental to outweigh the public policy favoring freedom of contract. In some circumstances, the legislature has identified the benefits or obligations recognized in constitutional, statutory or decisional law that are so weighty and critical to the public interest that they are nonwaivable. For example, General Obligations Law § 5-321 states that agreements exempting a lessor for liability resulting from its own negligence are "void as against public policy" (*see Great N. Ins. Co. v Interior Constr. Corp.*, 7 NY3d 412, 418 [2006]). Likewise, Rent Stabilization Code (9 NYCRR) § 2520.13 states that "[a]n agreement by the tenant to waive the benefit of any provision of the [Rent Stabilization Law] or this Code is void" (*see Thornton v Baron*, 5 NY3d 175, 179 [2005]). The legislature has similarly deemed unenforceable agreements to extend the statute of limitations before accrual of a claim by express statutory proscription in General Obligations Law § 17-103 ("[a] promise to . . . extend . . . the statute of limitation" has no effect except where made after accrual of a claim) (*see John J. Kassner & Co. v City of New York*, 46 NY2d 544, 552 [1979]). There are other examples (*see e.g. West-Fair Elec. Contrs. v Aetna Cas. & Sur. Co.*, 87 NY2d 148, 156 [1995] [applying Lien Law § 34 classifying waivers of the right to file or enforce certain liens "void as against public policy and wholly unenforceable"]; *Symphony Space v Pergola Props.*, 88 NY2d 466, 476 [1996] [applying New York's rule against perpetuities statute EPTL 9-1.1 (b), stating that "(n)o estate in property shall be valid unless it must vest, if at all, not later than twenty-one years after one or more lives in being at the creation of the estate and any period of gestation involved"]). Where the legislature has not expressly precluded waiver of a right or obligation, we have deemed that to be a significant factor militating against invalidation of a contract term on public policy grounds (*see e.g. Ballentine v Koch*, 89 NY2d 51, 59 [1996] [there is no "general prohibition preventing the creation of benefits for retired public employees that exist separately from the applicable pension or retirement system"]; *Abramovich*, 46 NY2d at 455 ["the statute contains no express provision preventing a teacher from waiving its benefits"]; *Matter of Feinerman v Board of Coop. Educ. Servs. of Nassau County*, 48 NY2d 491, 498 [1979] [the relevant statute "does not contain a provision which prevents a prospective teacher from knowingly and voluntarily waiving the three-year probationary period embodied therein"]; *see generally Slayko v Security Mut. Ins. Co.*, 98 NY2d 289, 295 [2002]).

We have also classified as void agreements that involve illegal activity.[5] We refused to permit a lender that charged usurious interest from recovering principal (*see Szerdahelyi v Harris*, 67 NY2d 42 [1986]) and refused to permit a lawyer not licensed in New York from collecting fees for work performed here (*see Spivak v Sachs*, 16 NY2d 163 [1965]). Similarly, in *Mount Vernon Trust Co. v Bergoff* (272 NY 192 [1936]), we invalidated an agreement on the public policy rationale that it was essentially fraudulent as to society. Addressing an agree-

5. "Decisions like these are not based on a search for the equitable outcome of a particular case, or on a calculation of which result will most contribute, in an immediate and practical way, to the enforcement of a particular statute or public policy" (*Balbuena v IDR Realty LLC*, 6 NY3d 338, 364-365 [2006]). "Rather, they are based on the sound premise that courts show insufficient respect for themselves and for the law when they help a party to benefit from illegal activity" (*id.* at 365).

ment that a note made to a bank would be unenforceable against its maker, we explained that such "[a] fictitious note delivered to a bank, intended to become part of its apparent assets . . . is in itself a continuing falsehood calculated to deceive the public" and undermines the stability of banks, which is a matter of public concern reflected in the regulatory oversight systems for banking (*id.* at 196). No interest of this magnitude is implicated in this case.

Here, the declaratory judgment waiver is clear and unambiguous, was adopted by sophisticated parties negotiating at arm's length, and does not violate the type of public policy interest that would outweigh the strong public policy in favor of freedom of contract. Although plaintiffs argue otherwise, there is simply nothing in our contemporary statutory, constitutional, or decisional law indicating that the interest in access to declaratory judgment actions or, more generally, to a full suite of litigation options without limitation, is so weighty and fundamental that it cannot be waived by sophisticated, counseled parties in a commercial lease. CPLR 3001 enables Supreme Court to grant declaratory judgments in the context of justiciable controversies but in no way indicates that sophisticated parties may not voluntarily waive the right to seek such relief. A declaratory judgment is a useful tool for providing clarity as to parties' obligations and may, in some circumstances, enable parties to perform under a contract they might otherwise have breached. Access to declaratory relief benefits the parties as well as society in quieting disputes. However, a declaratory judgment is merely one form of relief available to litigants in enforcing a contract. In codifying the right to seek declaratory relief, the legislature neither expressly nor impliedly made access to such a claim nonwaivable with respect to any party, much less sophisticated commercial tenants.

Our case law discussing declaratory relief explains its benefits in stabilizing uncertainty in contractual relations but likewise expresses no concrete public policy so weighty that it would justify broadly restricting commercial entities from freely waiving in negotiations the ability to seek such relief (*see e.g. James v Alderton Dock Yards*, 256 NY 298, 305 [1931]). To the contrary, this Court already held in *Kalisch-Jarcho, Inc. v City of New York* that a party can relinquish its right to commence a declaratory judgment action in favor of an alternative dispute resolution method (72 NY2d 727 [1988]). There, the

Court held that a declaratory judgment action filed by a construction contractor was barred by a contract provision requiring the contractor to use an administrative procedure to resolve mid-project disputes, postponing claims for additional compensation until project completion (*id.*). The Court reached this conclusion despite recognizing the benefits of declaratory relief in "settling justiciable disputes as to contract rights and obligations" (*id.* at 731).

The availability of declaratory relief may indirectly encourage parties to freely contract at the outset, knowing that they can later obtain judicial clarification of their obligations at the moment a justiciable controversy arises. However, a party who has chosen freely to waive the right to seek such relief could not have relied on any such expectation; that party may compensate for the waiver by demanding greater clarity in the construction of other contract terms so that the parties' respective rights and obligations are fully understood before they sign the agreement. Regardless, a party may agree to such a waiver during contract negotiations to obtain a valuable benefit, such as a rent concession or the inclusion of a cure period following a notice of default. Such considerations are for the parties to weigh in crafting a commercial agreement that meets their unique needs.

Critically, the waiver clause at issue here does not preclude access to the courts but leaves available other judicial avenues through which plaintiffs may adjudicate their rights under the leases. The waiver permits plaintiffs to raise defenses to allegations of default in summary proceedings in Civil Court, under Real Property Actions and Proceedings Law article 7, and specifically states that "it is the intention of the parties . . . that their disputes be adjudicated via summary proceedings." As this Court has observed, RPAPL article 7 "represents the Legislature's attempt to balance the rights of landlords and tenants to provide for expeditious and fair procedures for the determination of disputes involving the possession of real property" (*Matter of Mennella v Lopez-Torres*, 91 NY2d 474, 478 [1998] [citation omitted]). Thus, the leases reflect the parties' general intent to resolve their disputes in proceedings carefully designed for that purpose. Moreover, the waiver does not impair plaintiffs' ability to seek damages on breach of contract or tort theories.

Indeed, despite the waiver clause, the judicial review available to plaintiffs is more generous than that available to parties whose contracts contain arbitration clauses—yet we routinely enforce arbitration clauses (*see e.g. Matter of Nationwide Gen. Ins. Co. v Investors Ins. Co. of Am.*, 37 NY2d 91, 95 [1975]). Such clauses preclude plenary litigation of disputes in court; when an award is made, typically the sole avenue for judicial review is a summary proceeding under CPLR article 75. Courts may set aside an arbitration award only if "it violates a strong public policy, is irrational, or clearly exceeds a specifically enumerated limitation on the arbitrator's power" and may not "interpret the substantive conditions of the contract or . . . determine the merits of the dispute . . . even where the apparent, or even the plain, meaning of the words of the contract [was] disregarded" by the arbitrator (*Matter of United Fedn. of Teachers, Local 2, AFT, AFL-CIO v Board of Educ. of City School Dist. of City of N.Y.*, 1 NY3d 72, 79, 82-83 [2003] [internal quotation marks and citations omitted]). An arbitration clause—providing no access to court for initial litigation of the merits and limited judicial review—is more restrictive than the declaratory judgment waiver here, which permits judicial resolution of the parties' dispute in an RPAPL article 7 proceeding with full appellate review.

Although they significantly limit access to court, arbitration clauses provide "an effective and expeditious means of resolving disputes between willing parties desirous of avoiding the expense and delay frequently attendant to the judicial process" (*Maross Constr. v Central N.Y. Regional Transp. Auth.*, 66 NY2d 341, 345 [1985] [citations omitted]). "It has long been the policy of the law to interfere as little as possible with the freedom of consenting parties to achieve that objective" (*Matter of Siegel [Lewis]*, 40 NY2d 687, 689 [1976]). That policy applies with equal force here where the parties selected a summary proceeding as the primary vehicle for resolution of their disputes. That we permit parties to waive the right to substantive review of their disputes in court by entering arbitration arrangements supports the conclusion we reach here: that there is no overriding public policy preventing sophisticated entities from waiving the right to commence a declaratory judgment action, which presents merely one tool for litigating a dispute.

[2] Nor was this declaratory judgment waiver rendered unenforceable because, under the circumstances presented here, it resulted in an inability to obtain *Yellowstone* relief. We have described the *Yellowstone* injunction as a "creative remedy" crafted by the lower courts to extend the notice and cure period for commercial tenants faced with lease termination (*Graubard Mollen Horowitz Pomeranz & Shapiro v 600 Third Ave. Assoc.*, 93 NY2d 508, 514 [1999]). In the wake of *First Natl. Stores v Yellowstone Shopping Ctr.* (21 NY2d 630 [1968]), tenants challenging notices of default in declaratory judgment actions "developed the practice of obtaining a stay of the cure period before it expired to preserve the lease until the merits of the dispute could be settled in court," and courts have "accepted far less than the normal showing required" for injunctive relief under CPLR article 63 (*Post v 120 E. End Ave. Corp.*, 62 NY2d 19, 25 [1984]). Requests for a *Yellowstone* injunction are necessarily made in Supreme Court rather than Civil Court, which lacks authority to issue injunctive relief and, as such, may not be obtained in a summary proceeding under RPAPL article 7. *Yellowstone* relief is not an end in itself but merely a means of maintaining the status quo by tolling a contractual cure period during a pending action, permitting a tenant who loses on the merits of the lease dispute to cure the defect and retain the tenancy. Here, because plaintiffs' declaratory judgment action was barred by the lease waiver, there was no pending action in which to adjudicate the parties' rights and to support interim relief in the form of a *Yellowstone* injunction. Indeed, the request was rendered academic by the dismissal of the complaint.

Plaintiffs' inability in this case to obtain *Yellowstone* relief does not prevent them from raising defenses in summary proceedings if commenced and thus vindicating their rights under the leases if the owner's allegations of default are baseless. It is undisputed that the owner cannot evict plaintiffs without commencing a summary proceeding and establishing that plaintiffs materially breached the leases. Absent such a proceeding, plaintiffs remain in possession of the premises and their rights under the leases are undisturbed. If plaintiffs' defenses fail on the merits—if plaintiffs in fact breached the leases—then their interest in the tenancy would properly be extinguished under the plain language of the leases. Furthermore, if plaintiffs believe that the owner is not performing its respective obligations under the leases, they can bring an action in Supreme Court for breach of contract and request specific performance. Thus, a *Yellowstone* injunction is not essential to protect property rights in a commercial tenancy which, of course, are governed by the terms of the lease negotiated by the parties. As this Court has recognized, *Yellowstone* injunctions are useful procedural tools for tenants seeking to litigate notices of default (*see Graubard*, 93 NY2d at 514). But there is no strong societal interest in the ability of commercial entities to seek such a remedy that would justify voiding an unambiguous declaratory judgment waiver negotiated at arm's length, merely because this incidentally precluded access to *Yellowstone* relief.

Nothing in our statutory or decisional law suggests otherwise. The legislature has made certain rights nonwaivable in the context of landlord-tenant law (*see e.g.* General Obligations Law § 5-321 [right to seek damages for injury caused by landlord's negligence]; Real Property Law § 235-b [right to habitability]; Real Property Law § 236 [right of a deceased tenant's estate to assign the lease when reasonable]) but has not precluded a commercial tenant's waiver of interim *Yellowstone* relief. Notably, the legislature has recognized the utility of *Yellowstone*-type relief for some residential tenants. RPAPL 753 (4) (L 1982, ch 870) provides New York City residential tenants with a nonwaivable 10-day post-adjudication cure period at the conclusion of a summary proceeding and thus offers a losing tenant relief comparable to that obtained with a *Yellowstone* injunction in Supreme Court (i.e., the ability to cure a violation after a judicial determination that the tenant breached the lease) (*Post*, 62 NY2d at 26). The decision to provide this benefit only to a class of residential tenants indicates that the legislature did not view this type of relief as fundamental for commercial tenants, believing that their rights were adequately protected under existing law, which included the availability of *Yellowstone* relief for parties who timely sought such an injunction. As remains true, at that time there was no appellate precedent suggesting that the right of commercial tenants to seek such relief could not be waived by the inclusion of unambiguous language to that effect in a negotiated lease. The legislature was obviously aware of our strong public policy favoring freedom of contract, which is why it included the narrowly-crafted benefit among a group of rights expressly declared to be nonwaivable (RPAPL 753 [5]). Yet, the legislature did nothing to alter the status quo for commercial tenants. Thus, notwithstanding plaintiffs' inability to obtain a *Yellowstone* injunction, we are unpersuaded that the voluntary declaratory judgment waiver by this sophisticated commercial tenant is void as against public policy.

The right to commence a declaratory judgment action, although a useful litigation tool, does not reflect such a fundamental public policy interest that it may not be waived by counseled, commercial entities in exchange for other benefits or concessions. Entities like those party to this appeal are well-situated to manage their affairs during negotiations, and to conclude otherwise would patronize sophisticated parties and destabilize their contractual relationships—contrary to New York's strong public policy in favor of freedom of contract. Because the declaratory judgment waiver is enforceable, the action was properly dismissed.

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question not answered as unnecessary.

WILSON, J. (dissenting). "In New York, agreements negotiated at arm's length by sophisticated, counseled parties are generally enforced according to their plain language pursuant to our strong public policy favoring freedom of contract" (majority op at 356). Just so, but why? The majority's thesis is our State's commitment to freedom of contract is so powerful that it cannot be overcome by competing public policies unless, for example, the legislature has criminalized the object of the contract (majority op at 362) or has expressly stated a prohibition on waiver by statute (*id.* at 361). That thesis has little to do with this case. The public policy at play here, which requires us to disallow contractual provisions depriving a party of the ability to seek a declaratory judgment, is the freedom of contract itself. A contractual provision that forecloses a party from timely knowing its contractual obligations—instead forcing parties to gamble on the contract's meaning—undermines the contract and with it, society's benefit from the freedom of contract.

In any event, freedom of contract is not a limitless right. It should not be elevated above every other protection the law affords to litigants. The majority's decision today will result in the elimination of the "*Yellowstone* injunction," a common-law precedent that has existed in New York for more than half a century. That injunction allows commercial tenants to determine their responsibilities under the terms of their lease agreements without risking eviction. The *Yellowstone* injunction expresses a public policy of this State and is grounded in the legislature's century-old determination that New York's public policy broadly favors the availability of declaratory relief in preference to more protracted, costly and antagonistic litigation.

After this decision, commercial building owners and landlords will undoubtedly include a waiver of declaratory and *Yellowstone* relief in their leases as a matter of course. Those clauses will enable them to terminate the leases based on a tenant's technical or dubious violation whenever rent values in the neighborhood have increased sufficiently to entice landlords to shirk their contractual obligations. The majority insists that its decision represents the application of the well-settled public policy supporting freedom of contract. That notion of the unlimited primacy of contract rights is based on a jurisprudence discredited since the Great Depression. The majority's decision will alter the landscape of landlord-tenant law, and of neighborhoods, throughout the state for decades to come, absent legislative action.

I.

What does "freedom of contract" mean, and why do we care about it? I can enter into an agreement with anyone about anything—I am "free" to contract in that sense, even if the agreement is not legally enforceable. You and I can agree to have dinner next Thursday, and we can both think of it as to our advantage, but if one of us cancels, society has no interest in treating that agreement as enforceable, letting you sue me for damages, or compelling us to sup. We make some agreements legally enforceable because of the societal benefit from doing so, not because of the benefit to the contracting parties per se. Of course, the parties who strike a legally enforceable bargain believe the bargain will benefit each of them individually, and it most often will, but that is also true of agreements that are not legally enforceable.

Another vantage point from which to understand that freedom of contract is not an individual right, but rather is grounded in the benefit to society at large, is the concept of efficient breach. Damages for breach of contract are not punitive; they are calculated to make the nonbreaching party whole (*see e.g. Freund v Washington Sq. Press*, 34 NY2d 379 [1974]). If the breaching party can put its goods or services to a (societally) higher use than what the contract requires even after fully compensating the nonbreaching party, that is a socially beneficial result: the nonbreaching party receives the full value of its bargain, the breaching party earns more, and society benefits in the process because the property is put to a higher use. That the breaching party also receives a benefit is not the purpose of the efficient breach—it is the engine that drives the party to breach so that the resources can be put to their best use.

So "freedom of contract" cannot properly be understood as an individual right of the contracting parties. "Commerce and manufactures can seldom flourish long in any state . . . in which the faith of contracts is not supported by law." (Adam Smith, Wealth of Nations 910 [1976].) The free-market system is driven by the principle that contracting parties will reach agreements that maximize social welfare (output, thought of as price, quantity and quality) by maximizing their individual interests through bargaining in a market in which multiple buyers and sellers exist and transaction costs are as low as possible. The freedom of contract is of fundamental importance in society because it creates legally enforceable rights, on which the contracting parties can act now based on assurances about the future: contracts are a way that economic actors can obtain some measure of security about an otherwise uncertain future. "[T]he major importance of legal contract is to provide a framework for well-nigh every type of group organization and for well-nigh every type of passing or permanent relation between individuals and groups." (Karl N. Llewellyn, *What Price Contract?—An Essay in Perspective*, 40 Yale LJ 704, 736-737 [1931].)

Freedom of contract is based on the understanding that "stability and predictability in contractual affairs is a highly desirable jurisprudential value" (*Sabetay v Sterling Drug*, 69 NY2d 329, 336 [1987]). "The traditional concerns of contract law, and warranty law in particular, are the protection of the parties' freedom of contract and *the fulfillment of reasonable economic expectations*" (*Bellevue S. Assoc. v HRH Constr. Corp.*, 78 NY2d 282, 304 [1991] [emphasis added]). "It is clear that public policy and the interests of society favor the utmost freedom of contract" (*Diamond Match Co. v Roeber*, 106 NY 473, 482 [1887]). "[A] party may waive a rule of law or a statute, or even a constitutional provision enacted for his benefit or protection, where it is exclusively a matter of private right, and no considerations of public policy or morals are involved, and having once done so he cannot subsequently invoke its protection" (*Sentenis v Ladew*, 140 NY 463, 466 [1893]). However, "waiver is not permitted where a question of jurisdiction or fundamental rights is involved and public injury would result" (*People ex rel. Battista v Christian*, 249 NY 314, 318 [1928]).

Whether the State chooses to enforce certain types of agreements turns on whether enforcement would generally advance society's interests. Our rules about contract formalities, parol evidence, consideration, detrimental reliance, fraud, duress, illegality and so on are ways to cabin enforceability to the types of contracts from which society will ordinarily benefit. For example, since 1677, common-law jurisdictions like New York have had some version of the statute of frauds, requiring that certain kinds of contract be in writing so that highly consequential matters (marriage, long-term contracts, etc.) must be in writing to be enforced (*see* General Obligations Law § 5-701). Similarly, the parol evidence rule serves to clarify obligations by limiting the scope of a contractual dispute to its writing.

II.

Declaratory judgments constitute another vital strand in this cord. Because the future is hard to predict, because even the best efforts at precision in language may wind up imprecise, because contracting parties sometimes deliberately avoid negotiating a contentious issue in the expectation that it will never transpire during the life of the contract, and because motivations change, courts since time immemorial have been asked to interpret agreements. Declaratory judgment actions allow contracting parties to know their rights and obligations under a contract prior to breach (*New York Pub. Interest Research Group v Carey*, 42 NY2d 527, 530 [1977] ["when a party contemplates taking certain action a genuine dispute may arise before any breach or violation has occurred and before there is any need or right to resort to coercive measures. In such a case all that may be required to insure compliance with the law is for the courts to declare the rights and obligations of the parties so that they may act accordingly. That is the theory of the declaratory judgment action authorized by CPLR 3001"]; *see also* Rep of NY St Bar Assn Comm on Law Reform, Proceedings of 44th Ann Meeting at 193-196 [1921] ["congratulat(ing) the People of New York upon the adoption of this enlightened policy" that "enables parties to entertain an honest difference of opinion as to their rights, particularly under written instruments . . . without becoming enemies and undergoing a long expense"]). That knowledge removes a material uncertainty (*James v Alderton Dock Yards*, 256 NY 298, 305 [1931] ["The general purpose of the declaratory judgment is to serve some practical end in quieting or stabilizing an uncertain or disputed jural relation either as to present or prospective obligations"]). Uncertainty is itself a form of transaction cost that society has a clear interest in minimizing. As but one example, a party's ability to determine that breach would be efficient depends on its knowledge as to the interpretation of the contract.[1] "[C]ontract remedies should . . . give the party to a contract an incentive to fulfill [its] promise unless the result would be an inefficient use of resources" (Richard A. Posner, Economic Analysis of the Law 56 [1972]).

Although superficially a private matter between contracting parties, the availability of declaratory judgments has far-reaching societal impacts. Parties may enter into contracts that seem quite clear, only to later find the terms are ambiguous (*see e.g.* the famous "Peerless" case, *Raffles v Wichelhaus* [(1864) 159 Eng Rep 375, 2 Hurl & Colt 906]). Because ambiguity often strikes, society has a powerful interest in adopting procedures that permit a timely and conclusive determination that preserves the object of the parties' bargain. We have previously extolled the virtues of stability and certainty, particularly with respect to real estate (*see Matter of Estate of Thomson v Wade*, 69 NY2d 570, 574 [1987]). Here, the majority has conflated the object of the bargain (the lease of space to a grocery store) with a procedural provision (the prohibition of a declaratory judgment action). The object of the contract—the lease of space—provides the societal value. The provision barring the tenant from seeking a declaratory judgment impedes that very value, by forcing a party (in this case, the tenant) either to refuse to replace the ventilation system and risk eviction if a court later determines that the tenant was responsible, or to replace the ventilation system (if within the tenant's wherewithal) and later institute an action of some sort to recover the costs of doing so if a court later determines that the landlord was responsible. Because the legal liability remains in limbo when the tenant must make that choice, the tenant's ability to consider an efficient breach (e.g., moving to a differ-

1. Here, for instance, the landlord and tenant each claim that the other is responsible to resolve several lease violations, including the current configuration of a ventilation system. If the tenant knows it is liable, it might decide to terminate the lease; the landlord apparently has better offers for the space, so that the tenant could walk away without liability and the landlord could rent the space to a higher-paying tenant. If the landlord knows it is liable, it may then determine whether it is more profitable to buy out the tenant and lease the space to a higher-paying tenant or to continue under the existing lease terms.

ent space would be less expensive than paying for a compliant ventilation system, with which the landlord would be happy because it could rent the space to others at a higher price) is eliminated, and society's benefit is lost in the balance. Yes, both the use of the space and the declaratory judgment bar appear in the contract, but society's benefit derives from the former, and is defeated by the latter. The availability of declaratory judgments enhances the stability of contracts, allows deviations from the status quo to be done on an informed basis, and allows the efficiency gains of the freedom of contract to be spread throughout the economic system—the fundamental purpose of "freedom of contract."

A waiver of the right to declaratory judgment, by contrast, creates instability by undermining the purposes and benefits of the freedom of contract, and the enforcement of such a waiver violates that very public policy. The ability to obtain declaratory relief is a part of our State's public policy because it is an essential part of the policy of freedom of contract. We should no more allow contracting parties—however sophisticated—to strike declaratory judgments than we would allow them to strike the parol evidence rule or the statute of limitations. The majority's fundamental mistake comes from treating "freedom of contract" as if it were an individual right, when its raison d'être is the economic advancement of society.

That mistake is the same conceptual mistake made during the *Lochner* era, in which the United States Supreme Court aggrandized freedom of contract as if it were solely a personal right, rather than an important ingredient to the formation and advancement of society as a whole (*Lochner v New York*, 198 US 45 [1905]). There, the Supreme Court invalidated a law enacted by the New York Legislature to prevent the overwork of bakers. Here, the majority upholds a contractual provision that prevents the tenant (and notably, the tenant alone) from seeking a judicial declaration of the rights and obligation of the parties to a lease agreement. Today's decision, like *Lochner*, rests on "juristic thought of an individualist conception of justice, which exaggerates the importance of property and of contract . . . [and] exaggerates private right at the expense of public right" (Roscoe Pound, *Liberty of Contract*, 18 Yale LJ 454, 457 [1909]).

III.

When contractual obligations are unclear and disputed, a declaratory judgment affords the parties a conclusive determination, without the attachment of any damages or injunction. The availability of a pre-breach (or pre-enforcement) interpretation of disputed rights and obligations is incorporated by, but long predates, the common law.[2] In the Roman law of procedure, as in our own, actions at law resulted in an executory judgment, called a *condemnatio*, which decreed that something must be done, including that damages might have to be paid (*see* Edwin M. Borchard, *The Declaratory Judgment—A Needed Procedural Reform*, 28 Yale LJ 1, 10 [1918]). Often, a preliminary procedure would be sought, known as *prae-judicium*, where parties merely asked for questions of law or fact to be determined, resulting in statements of law known as *pronuntiatio* (*id.* at 11). Those preliminary proceedings proved so advantageous they eventually developed into independent actions, without any *condemnatio* ever sought (*id.*).

The declaratory judgment continued to develop in Italy through the Middle Ages, including the creation of negative declaratory actions, or actions to declare that another does not have a claim against the plaintiff (*id.* at 13). Upon the "reception" of Roman law into central Europe in 1495, both forms of declaratory judgment would have been known (*id.* at 12). The declaratory judgment of the Middle Ages first made its way into common-law countries through Scotland, with cases of "declarator" occurring as far back as the 1500s (*id.* at 21). England would adopt a form of the declaratory judgment in 1852, with a version much like what we know today adopted in 1883 (*id.* at 25).

That history is not some far-flung obscurity. Professor Borchard's 1918 article was the first written in the United States about declaratory judgments; three years later, the New York State Bar Association extolled the virtues of declaratory judgments, and referenced that history and Professor Borchard's work (Rep of NY St Bar Assn Comm on Law Reform, Proceedings of 44th Ann Meeting at 194-196 [1921]). The next year, 1922, when the New York Legislature first enacted the Civil Practice Act, a portion of that act authorized declaratory judgments (*see generally* Louis S. Posner, *Declaratory Judgments in New York*, 1 St. John's L Rev [No. 2, art 2] 129 [1927]). Shortly after, the federal government and numerous other

2. Even before Roman times, King Solomon issued a declaratory judgment, determining the rights of the parties without requiring either putative mother to abscond with the infant (1 *Kings* 3:16-28).

states legislatively created the right to seek declaratory judgments. Unlike the several states that modeled their legislation on the Commission on Uniform State Legislation's Uniform Declaratory Judgment Statute, New York's declaratory judgment statute afforded the courts broad leeway in issuing declarations, "based on the theory that the courts should be given as broad powers as possible so that their discretion under the statute be unfettered and that they should accordingly be free to work out their own rules as contingencies may arise" (*id*. at 130). New York's adoption of the declaratory judgment was so swift that there is no formal legislative history. In its absence, the history of the federal counterpart, passed shortly afterwards, is instructive. Both the Senate and House Reports note that England had a declaratory judgment act in 1852 and that Scotland's had existed for nearly 400 years (S Rep 1005, 73rd Cong, 2d Sess at 4 [1934]; H Rep 1264, 73rd Cong, 2d Sess at 1 [1934]). Both cite Professor Borchard and the history his work chronicled (*id*.). The reports recount a rapid and substantial movement: between 1919 and the U.S. Senate's report on the Declaratory Judgment Act, 34 states and territories had passed their own declaratory judgment laws (S Rep 1005, 73rd Cong, 2d Sess at 4). The Senate Report notes that our Chief Judge Benjamin Cardozo was one of the principal advocates supporting the federal act (*see id.* at 1-2).

We know that the common law allowed suits that were de facto declaratory judgments long before this wave of declaratory judgment acts swelled. Suits to quiet title, declare marital status, declare the validity of a trust, or to declare the legitimacy of children are all declaratory judgments of one kind or another. Proponents of expanding declaratory judgments understood this (*see id.* at 4). When viewed in history properly, Civil Practice Act § 473, now embodied in CPLR 3001, is not the start of declaratory judgments in this state, but is rather an expansion and legislative endorsement of a right with a deep legal history.

IV.

The majority offers several arguments about why, "under the circumstances of this case" (majority op at 356), we should enforce the parties' agreement barring the courts from making a declaration of their rights and obligations: (A) barring declaratory relief does not bar all resort to the courts; (B) agree ments to arbitrate are enforceable, and those are a greater bar to the courts than the elimination of declaratory judgments; (C) many constitutional and statutory rights are waivable, so the right to a declaratory judgment must also be waivable; and (D) "[o]nly a limited group of public policy interests has been identified as sufficiently fundamental to outweigh the public policy favoring freedom of contract" (majority op at 361). I address each in turn.

A.

By observing that "[c]ritically, the waiver clause at issue here does not preclude access to the courts but leaves available other judicial avenues" (majority op at 364), the majority concedes that public policy would void a contractual provision that barred the contracting parties from all forms of judicial or quasi-judicial (arbitral) resolution. That concession makes sense, it comports with our cases voiding arbitration agreements as inimical to the common law (discussed below), and it reaffirms the central failure of the majority's thesis: freedom of contract is not merely an individual right (were it so, we would allow contract disputes to be determined by any means to which the parties agreed, including no means at all). Instead, the agreements society will enforce as binding are those of a type that generally improve output for society, because freedom of contract is rooted in its benefit to society. Although the clause in question does not absolutely bar judicial review, it obstructs it in clear contravention of public policy and the common law.

From the time the legislature enacted the declaratory judgment act through its present incarnation as CPLR 3001, the statute has always granted parties the right to seek a declaratory judgment "whether or not further relief is or could be claimed." Thus, when the majority relies on the availability of other avenues of redress as the reason to enforce a clause barring declaratory judgments, it contravenes the legislature's express command: declaratory actions are available regardless of the availability of other avenues for judicial review. Again, because society has an interest in the determination of the parties' contractual obligations, and because that interest is the basis for devoting society's resources to the enforcement of contracts in the first place, public policy demands that such clauses are unenforceable.[3] The public interest in declaratory relief is patent in cases like this, involving a commercial lease. Certainty and stability in the contractual affairs of a neighborhood grocery has consequences for local residents and employees, not merely for the grocer. The majority allows parties to contract away those societal benefits, which we would never allow for a statute of limitations or the parol evidence rule, even though the societal benefits of the latter are more abstract and attenuated.

B.

The common-law entitlement to judicial determination of contractual disputes is quite powerful, to be overcome by legislative action (narrowly construed) or a judicial modification of the common law based on some more important public policy. In that regard, the majority's framework is backwards, assuming instead that parties are free to avoid judicial (and, with arbitration now firmly established by statute, quasi-judicial) resolution of disputes if they so desire.

One would not understand, from the majority's opinion, that New York common law condemned arbitration clauses as contrary to public policy, and thus unenforceable, because arbitration agreements purported to bar parties from the courts (*Meacham v Jamestown, Franklin & Clearfield R.R. Co.*, 211 NY 346, 354 [1914, Cardozo, J., concurring] ["If jurisdiction is to be ousted by contract, we must submit to the failure of justice that may result from these and like causes. It is true that some judges have expressed the belief that parties ought to be free to contract about such matters as they please. In this state

3. The majority's reliance on *James v Alderton Dock Yards* and *Kalisch-Jarcho, Inc. v City of New York* (majority op at 363) is misplaced. In *James*, we upheld the denial of declaratory relief as an appropriate exercise of the trial court's discretion: "The use of a declaratory judgment, while discretionary with the court, is nevertheless dependent upon facts and circumstances rendering it useful and necessary" (*James v Alderton Dock Yards*, 256 NY 298, 305 [1931]). Likewise, in *Kalisch-Jarcho, Inc. v City of New York* (72 NY2d 727 [1988]), the contract between the City and the contractor required the contractor to continue with work even if the obligation to do the work was contested, subject to payment for the additional work at the contract's end. The denial again was for discretionary reasons. Neither case upholds the validity of a provision purporting to extinguish the right to seek a declaration, because the contracts in those cases had no such provision. Even were we to strike as void against public policy the provision at issue here, nothing would prevent Supreme Court from denying declaratory relief or the *Yellowstone* injunction in a proper exercise of its discretion.

the law has long been settled to the contrary"]). Ousting jurisdiction by contract is precisely what the majority seeks to legitimate by theorizing that a party might obtain "a valuable benefit, such as a rent concession" in exchange for waiving the right to a declaratory judgment (majority op at 364). So too might a party obtain that same benefit by waiving all judicial and arbitral resolution of contract disputes, or by waiving the statute of limitations or the rules of evidence. Thus, neither the benefit to a party nor the expectation of the parties determines whether our public policy is violated.

New York's policy was in line with other common-law courts, which had been deeply suspicious of arbitration for centuries, dating back to England (*see* Angelina M. Petti, Note, *Judicial Enforcement of Arbitration Agreements: The Stay-Dismissal Dichotomy of FAA Section 3*, 34 Hofstra L Rev 565, 570-571 [2005]). New York was at the forefront of the nationwide shift in attitude toward arbitration clauses, with the Arbitration Act, passed in 1920, serving as a template for the federal act passed five years later. The Court of Appeals accepted that legislative derogation of the common law, albeit with a strong caveat: "The new policy does not mean that there is to be an inquisition rather than a trial, and that evidence unknown to the parties and gathered without notice may be made the basis of the judgment" (*Berizzi Co. v Krausz*, 239 NY 315, 319 [1925, Cardozo, J., writing for the Court]).

Given the above, addressing the majority's argument about arbitration agreements is short work. The legislature modified the common law in 1920 to make arbitration agreements enforceable, against a common law that voided them as contrary to public policy. Having expressly provided that declaratory relief is available "whether or not further relief is or could be claimed," the legislature never provided that private parties could contract otherwise. Ironically, the majority now justifies the contractual elimination of the legislature's grant by relying on the "availab[ility of] other judicial avenues" (majority op at 364).

The majority's claims about arbitration ignore the above history and, thus, erroneously invert the presumption against the derogation of the common law (*Fitzgerald v Quann*, 109 NY 441, 445 [1888] ["the rule to be well established and almost universally acted on, that statutes changing the common law must be strictly construed, and that the common law must be held no further abrogated than the clear import of the language used in the statutes absolutely requires"]; *Morris v Snappy Car Rental*, 84 NY2d 21, 28 [1994] ["It is axiomatic concerning legislative enactments in derogation of common law . . . that they are deemed to abrogate the common law only to the extent required by the clear import of the statutory language"]; *Artibee v Home Place Corp.*, 28 NY3d 739, 748 [2017] ["Because CPLR 1601 is a statute in derogation of the common law, it must be strictly construed"]). The common law has always been suspicious of clauses seeking to limit access to the courts. The history of arbitration clauses demonstrates precisely the opposite of what the majority has concluded.

C.

That certain rights afforded to individuals are waivable is true but uninteresting and irrelevant here.[4] Television workers may alter their statutory meal breaks through collective bargaining (*Matter of American Broadcasting Cos. v Roberts*, 61 NY2d 244 [1984]), and teachers may waive the Education

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4. The majority's observation that the legislature has specified that several types of agreements are void as against public policy (majority op at 361) is true but irrelevant. No one disputes the legislature's ability to do so (query, then, whether the purported force of the freedom of contract is so great as the majority claims), but the legislature's ability to declare contractual terms void as against public policy does not disable the common law from doing so as well. The cases the majority cites for the proposition that the legislature's failure to preclude a waiver is "a significant factor militating against invalidation of a contract term on public policy grounds" (*id.* at 362) do not support that proposition at all. *Ballentine v Koch* (89 NY2d 51 [1996]) contains no such statement; it rejected the plaintiffs' claim because "they attack as unenforceable an aspect of the legislation that was necessary to the creation of the rights they seek to enforce" (*id.* at 59), and rejected their Contract Clause argument to boot. *Matter of Abramovich v Board of Educ. of Cent. School Dist. No. 1 of Towns of Brookhaven & Smithtown* (46 NY2d 450 [1979]) is not a case in which the legislature was silent; instead, we concluded the waiver there was not against public policy because the statue affirmatively "authorized waiver by simple neglect" and the "waiver serves as the quid pro quo for countervailing benefits" (*id.* at 455). *Matter of Feinerman v Board of Coop. Educ. Servs. of Nassau County* (48 NY2d 491 [1979]) says nothing about legislative inaction, but instead is merely a follow-on to *Abramovich* concluding that nontenured faculty have, a fortiori, less of a property interest than tenured faculty, and therefore also can waive the rights determined waivable in *Abramovich*. Only *Slayko v Security Mut. Ins. Co.* mentions legislative inaction, but expressly conditions it on the rejection of the plaintiff's attempt to analogize the highly regulated field of automobile insurance to homeowner's insurance: "Cases involving auto insurance coverage—an area in which the contractual relationship and many of its terms are prescribed by law—provide a weak basis for generalization about the constraints public policy places upon other insurance contracts" (98 NY2d 289, 295 [2002]).

Law's tenure protections (*Matter of Abramovich v Board of Educ. of Cent. School Dist. No. 1 of Towns of Brookhaven & Smithtown*, 46 NY2d 450 [1979]). Those rights are personal, and we leave it up to each individual to determine whether that individual would be personally advantaged by asserting or relinquishing those rights in a particular situation. As explained above, the freedom to contract is not a purely individual right; it is a societal engine for growth and stability.

A criminal defendant may prefer to testify than to remain silent; another may make the opposite choice. Society is indifferent to the choice made, so long as it is knowing and voluntary. Society, however, is not indifferent to whether contracting parties can obtain a quick determination of their rights and obligations before they must or may take actions that would be better informed (and often different) with a declaration in hand. We, as a society, are not benefitted or burdened by the defendant's choice; we are burdened when a contracting party's choice is made based on guesswork as to contractual rights, and benefitted when contracting parties make decisions informed by knowledge of their rights and obligations. Indeed, the majority's tacit admission that parties cannot contractually waive *all* judicial and quasi-judicial review, like our common-law decisions voiding arbitration clauses before the legislature stepped in, demonstrates the fundamental difference between the waivable rights to which the majority points and the clause barring declaratory relief at issue here.

D.

The proposition that only a "limited group of public policy interests" is sufficiently strong to overcome freedom of contract is both wrong and irrelevant here. It is wrong for the following reason: most law-abiding people do not enter into agreements that are against public policy. Countless parties enter into agreements to violate criminal and civil laws; those laws embody thousands of public policies, but those parties do not come to court to seek enforcement of agreements to traffic drugs or people or to recover damages from an illicit stock tip gone bad. Instead of the majority's sweeping claim, a more accurate statement would be that there are a modest number of cases in which the courts have voided an agreement as against public policy, because that circumstance arises only when the alleged violation of public policy is a close call.

The majority's proposition is also irrelevant here: it describes when a public policy *other than* the freedom to contract is sufficient to outweigh the freedom to contract. Here, the issue is whether the public policy underlying the freedom to contract *itself* voids the purported declaratory judgment bar, not whether some distinct public policy voids it. As discussed previously, freedom of contract is vital because of the benefits that flow to society—not because of any individual right to have the government enforce agreements between parties. As the legislature recognized when it provided for a declaration of rights regardless of the existence of other remedies, society is benefitted when disputes between contracting parties can be resolved by a declaration of rights, and injured when parties must guess and act at their peril.

V.

This case offers a concrete illustration of why the public policy underlying freedom of contract requires voiding contractual provisions barring declaratory judgments. In 2010, 159 MP Corp. and 240 Bedford Ave Realty Holding Corp. (herein, collectively MP) entered into 20-year leases for retail and storage space in which to operate a Foodtown grocery store in the Williamsburg section of Brooklyn. Two years later, the lessor, BFN, sold the building to Redbridge Bedford, LLC. In 2014, Redbridge Bedford sent MP a "Ten (10) Day Notice to Cure Violations." The notice alleged that the site had had work done without proper approvals from city agencies, that the store configuration violated lease terms, that city agencies had improperly been denied access to the premises to inspect the sprinkler system, and that the ventilation system violated the lease and had to be removed. MP disputes all the violations, asserting they either depend on misreadings of the lease or on factual inaccuracies.

MP filed a verified complaint asserting four causes of action: (1) a request for a declaration that the lease was in effect and no violations had occurred; (2) a request to enjoin Redbridge Bedford from taking any steps to terminate the lease; (3) a claim to estop Redbridge Bedford from asserting violations, if any, to which it and BFN had consented; and (4) a claim for damages. To preserve the status quo, MP also sought a *Yellowstone* injunction, which would toll the cure period during the pendency of the action.

Redbridge Bedford moved for summary judgment on the ground "that the mere commencement of the declaratory judgment action constituted contractual grounds for terminating the tenancies" (*159 MP Corp. v Redbridge Bedford, LLC*, 160 AD3d 176, 181 [2d Dept 2018]). The contractual provision on which Redbridge Bedford relied states that MP:

> "waives its right to bring a declaratory judgment action with respect to any provision of this Lease or with respect to any notice sent pursuant to the provisions of this Lease. Any breach of this paragraph shall constitute a breach of substantial obligations of the tenancy, and shall be grounds for the immediate termination of this Lease. It is further agreed that in the event injunctive relief is sought by Tenant and such relief shall be denied, the Owner shall be entitled to recover the costs of opposing such an application, or action, including its attorney's fees actually incurred, it is the intention of the parties hereto that their disputes be adjudicated via summary proceedings."

Both Supreme Court and the Appellate Division denied MP's request for a *Yellowstone* injunction on the basis of the above contractual provision.

The *Yellowstone* injunction derives from *First Natl. Stores v Yellowstone Shopping Ctr.* (21 NY2d 630 [1968]). In that case, we held that a tenant's failure to obtain a temporary restraining order prior to the expiration of the 10-day cure period in the lease deprived the court of the power to extend the cure period (*id.* at 637-638). In so doing, we implicitly endorsed what would come to be known as the *Yellowstone* injunction, which allows the court to stay the running of a cure period so that tenants may obtain a declaration as to the existence of an alleged lease default and retain the ability to cure such default once their obligations have been determined. The *Yellowstone* injunction is an important adjunct to one type of declaratory judgment action, in which a tenant threatened with eviction based on debatable claims of breach may obtain a judicial resolution of the debate before deciding whether to cure, to remain with no need to cure, or to accept the eviction. Although CPLR 3001 (and its predecessor) does not mention the prospect of judicial extension of a contractual cure period, we explained that " 'declaratory relief is *sui generis* and is as much legal as equitable' . . . Thus, in a proper case, a court has the fullest liberty in molding its decree to the necessities of the occasion" (21 NY2d at 637, quoting Edwin M. Borchard, Declaratory Judgments 239 [2d ed 1941]).

MP has been operating a grocery store in a neighborhood that has undergone, and continues to undergo, rapid gentrification, rendering the real estate substantially more valuable. Its lease is for 20 years, with a further 10-year renewal option. It would like to keep operating the grocery store under the lease terms. Redbridge Bedford would, undoubtedly, like to terminate the lease and make a greater profit from it. Let us assume that there is a legitimate dispute about whether the violations identified by Redbridge Bedford are MP's obligation to cure. The declaration sought by MP, coupled with the *Yellowstone* injunction, would allow MP to learn which, if any, of the claimed violations it is obligated to cure, and could then decide whether to cure any for which it is responsible or agree to termination of the lease. Enforcement of the waiver provision eliminates that possibility, requiring MP to take one of the following courses without the benefit of knowing its contractual liability: (1) cure all the alleged defects, even though it might be responsible for none of them; (2) cure none or some of the alleged defects, guessing which, if any, it may be held responsible for, and defend an eviction proceeding hoping that it has guessed correctly; or (3) accept termination of the lease because the eviction proceeding's result is too uncertain, and attempt to move its business elsewhere or shut it down.

The majority protests that MP and all other commercial tenants who waive declaratory and *Yellowstone* relief in their leases are left with "other judicial avenues through which [they] may adjudicate their rights under the leases" (majority op at 364). The only available legal avenue left to MP, however, as the majority acknowledges, is to wait for Redbridge Bedford to commence summary eviction proceedings in Civil Court and then raise any defenses it may have against the allegations of default in that summary proceeding (*see* majority op at 364).

Notably, the waiver provision at issue here prevents *only the tenant* from commencing a declaratory judgment action to clarify its rights and responsibilities. The leases permit Redbridge Bedford to commence a declaratory judgment action at will. As the dissenting Justice of the Appellate Division noted, MP is completely at the mercy of Redbridge Bedford to commence such summary eviction proceedings before it may raise any defenses it has to the allegations of default (*see* 160 AD3d at 206-207 [Connolly, J., dissenting]). "In other words, the plaintiffs, having been boxed into a corner, would be entirely dependent on the defendant commencing a summary proceeding in order to bring the issue of the validity of a notice to cure before a court" (*id.*). Such a tenant "would be faced with great uncertainties with respect to any decision-making related to improving the property, accepting deliveries of new stock or merchandise, or the negotiation of any type of long-term agreement with customers or suppliers" (*id.* at 207).

Furthermore, as the majority acknowledges (majority op at 365-367), the waiver provision at issue here prevents MP from obtaining a *Yellowstone* injunction, even though it did not mention *Yellowstone* itself, because the tenants were limited to defending themselves in summary eviction proceedings commenced by Redbridge Bedford in Civil Court, and Civil Court lacks plenary authority to grant injunctive relief (*see* NY City Civ Ct Act § 209 [b]). If Civil Court therefore determines during the summary eviction proceeding that MP is responsible for some or all of the alleged defaults, even if MP has all along been willing and able to cure those defaults, it will be too late: the leases will have terminated. That "all or nothing result" (*Post v 120 E. End Ave. Corp.*, 62 NY2d 19, 25 [1984]) destabilizes contract relationships and neighborhoods, and effectively allows landlords who own buildings in gentrifying areas to terminate commercial leases at any time based on technical or minor violations. In other words, if a waiver of declaratory and *Yellowstone* relief is enforceable, it will be used by landlords as a mechanism to vitiate a lawful contract. That does not preserve the parties' benefit of their bargain, it destroys it.

"The public policy behind Yellowstone relief is not difficult to envision: commercial enterprises leasing business locations have a vested interest in remaining at the locations known to their customers, their premises are often fitted with industry-specific fixtures, and commercial evictions disrupt employments and potential business profitability" (Hon. Mark C. Dillon, *The Extent to Which "Yellowstone Injunctions" Apply in Favor of Residential Tenants: Who Will See Red, Who Can Earn Green, and Who May Feel Blue?*, 9 Cardozo Pub L Pol'y & Ethics J 287, 315-316 [2011]). The majority's elimination of the clearly best option—knowing one's rights before determining whether and what action to take—strikes at the very core of declaratory judgments. One of the very first decisions under the then-new declaratory judgment act closely parallels the present case:

> "Plaintiff urges that this construction imposes upon the lessee the risk of forfeiture if he subleased and points out the practical difficulty of finding a sublessee under such circumstances. *Young v. Ashley Gardens Properties, Ltd.*, L. R. (1903) 2 Ch. Div. 112, shows the remedy. There plaintiff sought a declaratory judgment that defendant had no right to withhold consent. Cozens-Hardy, L. J., writes: 'I cannot imagine a more judicious or beneficial exercise of the jurisdiction to make a declaratory order than that which has been adopted . . . in this case.' Under Section 473 of the Civil Practice Act, plaintiff may, if the facts warrant, secure a similar declaration in the instant case" (*Sarner v Kantor*, 123 Misc 469, 470 [1924]).

The majority allows a lease provision to undo the legislature's creation of declaratory judgments, the common law's rejection of contractual provisions purporting to remove judicial interpretation of contracts, and the long-standing efforts of our Court and the lower courts thereafter in fashioning the *Yellowstone* injunction, which, after 50 years of unquestioned existence, itself is engrained in the common law.

The majority's newfound dismissiveness towards *Yellowstone* cannot be justified by its observation that the legislature has granted a 10-day post-adjudication cure period for New York City residential tenants and made that cure period unwaivable (*see* RPAPL 753 [4], [5]). The majority reasons that the legislature's decision to provide that benefit "only to a class of residential tenants indicates that the legislature did not view this type of relief as fundamental for commercial tenants" (majority op at 367). To the contrary, the legislature did not enact this particular protection for residential tenants in New York City until 1982 (*see* L 1982, ch 870; *see Post*, 62 NY2d at 22-24). By that time, *Yellowstone* injunctions had been a long-established method for commercial tenants to preserve their right to cure if they were alleged to be in default of their lease agreements. It is entirely likely, then, that the legislature extended this protection to certain residential tenants in 1982 but did not extend it to commercial tenants because the legislature believed that *Yellowstone* itself already adequately protected the rights of commercial tenants. Indeed, a one-size-fits-all 10-day post-adjudication cure period might be appropriate for residential tenants, whereas commercial tenants, whose uses are more specialized and varied, would best be left to the court's discretion to determine the length and nature of any post-adjudication cure period. The majority's reasoning is backwards, drawing a negative inference about our jurisprudence from the legislature's provision of a fixed post-adjudication cure period to residential tenants. At most, this would qualify as long-standing legislative inaction in the face of well-established common law, which we typically construe as approval (*see People v Defore*, 242 NY 13, 23 [1926, Cardozo, J.] ["If we had misread the statute or misconceived the public policy, a few words of amendment would have quickly set us right. The process of amendment is prompt and simple. It is without the delays or obstructions that clog the change of constitutions. In such circumstances silence itself is the declaration of a policy"]). By holding today that commercial tenants may waive declaratory and *Yellowstone* relief, the majority is effectively unwinding 50 years of common-law precedent based in part on erroneous assumptions about the legislature's intent.

The majority appears to assume that commercial tenants have a relatively higher level of sophistication and bargaining power than residential tenants, and therefore commercial tenants should be allowed to waive the availability of *Yellowstone* relief even though some residential tenants cannot (*see* RPAPL 743 [4], [5]). Indeed, the majority states several times that "sophisticated" commercial tenants should be allowed to waive their right to declaratory relief. A contract provision that violates public policy, however, cannot be enforceable regardless of the level of the sophistication of the parties (*see* 160 AD3d at 207 [Connolly, J., dissenting]; *see e.g. Riverside Syndicate, Inc. v Munroe*, 10 NY3d 18 [2008] [wherein a sophisticated tenant bargained away the rent limits of the Rent Stabilization Code as part of an eviction settlement that allowed his tenancy to continue despite being a non-primary residence]; *see also Bissell v Michigan S. & N. Ind. R.R. Cos.*, 22 NY 258, 285 [1860] ["That contracts which do in reality contravene any principle of public policy are illegal and void, is not and cannot be denied. The doctrine is universal. There is no exception"]). Furthermore, there is no evidence on this record demonstrating the sophistication of these particular tenants.[5] The majority assumes that because they were commercial tenants, they were sophisticated. The level of

5. The majority not only asserts that plaintiffs were "sophisticated" but also that they were "counseled" (majority op at 363, 368). There is no evidence in the record before us that plaintiffs reviewed the lease terms with counsel.

(n. cont'd)

sophistication of commercial tenants, and their relative bargaining power, may fall anywhere between Walmart and *Cheers*' Sam Malone. It is not true that all commercial tenants will understand the meaning of a waiver of declaratory relief, or will have the bargaining power to negotiate for removal of such a waiver if they understand it, and we should not assume otherwise.

VI.

The majority has now undone the faithful work of the courts over the past 50 years in creating the *Yellowstone* injunction, based on the uniform understanding of the Appellate Division Departments that the declaratory judgment act, when applied in the context of commercial leases, requires a specialized form of augmenting injunction (*see Another Slice, Inc. v 3620 Broadway Invs. LLC*, 90 AD3d 559 [1st Dept 2011]; *Caldwell v American Package Co., Inc.*, 57 AD3d 15, 18 [2d Dept 2008]; *Kem Cleaners v Shaker Pine*, 217 AD2d 787 [3d Dept 1995]; *Fay's Inc. v Park Centre Dev.*, 226 AD2d 1067 [4th Dept 1996]). That undoing calls for a simple enough legislative fix. The far more troubling aspect of the majority's decision is that it, perhaps unwittingly, heads us down the road of the roundly discredited *Lochner*-era jurisprudence, in which "freedom of contract" was misunderstood as an individual right instead of as a doctrine by which society decides to enforce only those types of agreements that tend to enhance social welfare. "[F]reedom of contract is a qualified, and not an absolute, right. There is no absolute freedom to do as one wills or to contract as one chooses" (*West Coast Hotel Co. v Parrish*, 300 US 379, 392 [1937], quoting *Chicago, B. & Q. R. Co. v McGuire*, 219 US 549, 567 [1911], and overruling *Adkins v Children's Hospital of D. C.*, 261 US 525 [1923] and *Lochner*).

It is easy to see why freedom of contract is enhanced when the parties, arriving at a dispute about what a contract requires, can have that dispute resolved and then act accordingly. That best preserves the substance of their bargain and provides assurance to future negotiating parties that our law will not require a Hobson's choice of them. Conversely, what reason is there to allow parties to agree to bar declaratory judgments, other than "the-parties-agreed-to-it-so-it-must-be-

Supreme Court concluded that plaintiffs had the "opportunity" to review the leases with the assistance and guidance of counsel, not that such assistance and guidance actually occurred.

their-right”? As Charles Evans Hughes commented in support of New York’s Declaratory Judgment Act, “[w]hatever may be said as to the propriety of desirability of such a change in practice, the point that any body will be injured in that way cannot be regarded as well taken” (Rep of NY St Bar Assn Comm on Law Reform, Proceedings of 44th Ann Meeting at 196). We deserve better than the majority’s resuscitation of the long-discredited “assumption that economic liberty is the holy of holies in a just constitutional system” (Robert Green McCloskey, American Conservatism in the Age of Enterprise 83 [1951]). “I regret sincerely that I am unable to agree with the judgment in this case, and that I think it my duty to express my dissent” (*Lochner*, 198 US at 74-75 [Holmes, J., dissenting]).

Judges STEIN, GARCIA and FEINMAN concur; Judge WILSON dissents in an opinion in which Judges RIVERA and FAHEY concur.

Order affirmed, with costs, and certified question not answered as unnecessary.

[128 NE3d 153, 104 NYS3d 26]

ANDREW CAROTHERS, M.D., P.C., as Assignee of Audrey White, Appellant, v PROGRESSIVE INSURANCE COMPANY, Respondent.

Argued May 1, 2019; decided June 11, 2019

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered April 5, 2017. The Appellate Division affirmed an order of the Appellate Term of the Supreme Court in the Second Judicial Department, Second, Eleventh, and Thirteenth Judicial Districts (op 42 Misc 3d 30 [2013]), which had affirmed, insofar as appealed from, a judgment of the Civil Court of the City of New York, Richmond County. The Civil Court had, upon a jury verdict and after denying plaintiff's motion pursuant to CPLR 4404 (a) to set aside the verdict (Peter Paul Sweeney, J; op 26 Misc 3d 448 [2009]), dismissed the complaint. The following question was certified by the Appellate Division: "Was the opinion and order of this Court dated April 5, 2017, properly made?"

Andrew Carothers, M.D., P.C. v Progressive Ins. Co., 150 AD3d 192, affirmed.

HEADNOTES

Insurance — No-Fault Automobile Insurance — Recovery of First Party No-Fault Benefits — Fraudulent Incorporation Defense

1. A finding of common-law fraud is not required for an insurer to withhold payments to a medical service corporation improperly controlled by nonphysicians, and the trial court did not err in declining to give a charge requiring the jury to find fraudulent intent or conduct tantamount to fraud by plaintiff corporation in order to reach a verdict in favor of defendant insurer. A corporate practice that shows willful and material failure to abide by licensing and incorporation statutes may support a finding that the provider is not an eligible recipient of reimbursement under 11 NYCRR 65-3.16 (a) (12) or the interpretation of that regulation in *State Farm Mut. Auto. Ins. Co. v Mallela* (4 NY3d 313 [2005]) without meeting the traditional elements of common-law fraud. A jury is not required to evaluate the extent to which corporate misconduct approximates fraud. The no-fault insurance regulations make providers ineligible for reimbursement when their violations of Business Corporation Law §§ 1507, 1508 or Education Law § 6507 (4) (c) are more than merely technical and rise to the level of a grave violation such as fraud. Here, the jury's finding that plaintiff was in material breach of the foundational rule for professional corporation licensure—namely that it be controlled by licensed professionals—was enough to render plaintiff ineligible for reimbursement under 11 NYCRR 65-3.16 (a) (12). Nor could the improper

control of plaintiff by unlicensed persons be considered simply an instance of improper fee splitting of a professional corporation's profits with a nonphysician as the jury determined that plaintiff was controlled by unlicensed persons rather than merely splitting fees with them.

Trial — Harmless and Prejudicial Error — Permitting Deposition Testimony of Nonparty Witness Who Invoked Privilege against Self-Incrimination

2. Any error by the trial court in admitting the deposition testimony of nonparty witnesses, the nonphysicians who controlled plaintiff medical service corporation, in which they repeatedly invoked their Fifth Amendment privilege against self-incrimination, and in giving the jury an adverse inference instruction was harmless as there was no reasonable view of the evidence under which plaintiff could have prevailed. Based on the trial evidence the jury could rationally infer only one conclusion: plaintiff was in violation of the requirement of Business Corporation Law § 1507 that a professional service corporation be owned and controlled solely by licensed professionals.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Appellate Review §§ 610, 625, 658; AM JUR 2d Automobile Insurance §§ 497, 529.

CARMODY-WAIT 2d Appeals in General §§ 70:460, 70:462; CARMODY-WAIT 2d Appeals to the Court of Appeals §§ 71:134, 71:151.

COUCH ON INSURANCE (3d ed) § 171:58.

MCKINNEY'S, Business Corporation Law §§ 1507, 1508; Education Law § 6507 (4) (c).

11 NYCRR 65-3.16 (a) (12).

NY JUR 2d Appellate Review §§ 729, 740, 741; NY JUR 2d Disclosure §§ 290, 292; NY JUR 2d Insurance §§ 1926, 1970; NY JUR 2d Physicians, Surgeons, and Other Healers § 27.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Automobile Insurance; Harmless and Prejudicial Error; No-Fault Insurance.

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POINTS OF COUNSEL

D'Agostino, Levine, Landesman & Lederman, LLP, New York City (*Bruce H. Lederman* and *Eric R. Garcia* of counsel), for appellant. I. Andrew Carothers, M.D., P.C. was denied a fair trial. (*Access Capital v DeCicco*, 302 AD2d 48; *State of New York v Markowitz*, 273 AD2d 637; *Crowder v Wells & Wells Equip., Inc.*, 11 AD3d 360; *Califano v City of New York*, 212 AD2d 146; *People v Webster*, 248 AD2d 738; *LiButti v United States*, 107 F3d 110; *Tishman Constr. Corp. of N.Y. v City of New York*, 306 AD2d 150; *Searle v Cayuga Med. Ctr. at Ithaca*, 28 AD3d 834; *Marine Midland Bank v Russo Produce Co.*, 50 NY2d 31; *Garricks v City of New York*, 1 NY3d 22.) II. As generally interpreted since 2005, and as specifically applied in this case, *State Farm Mut. Auto. Ins. Co. v Mallela* (4 NY3d 313 [2005]) is inconsistent with no-fault insurance laws and applicable insurance regulations. (*Pro-Align Chiropractic, P.C. v Travelers Prop. Cas. Ins. Co.*, 58 Misc 3d 857; *LMK Psychological Servs., P.C. v State Farm Mut. Auto. Ins. Co.*, 12 NY3d 217; *Presbyterian Hosp. in City of N.Y. v Maryland Cas. Co.*, 90 NY2d 274; *Matter of Allstate Prop. & Cas. Ins. Co. v New Way Massage Therapy P.C.*, 134 AD3d 495; *Professional Chiropractic Care, P.C. v 21st Century Ins. Co.*, 58 Misc 3d 403; *H & H Chiropractic Servs., P.C. v Metropolitan Prop. & Cas. Ins. Co.*, 47 Misc 3d 1075; *Glassman v ProHealth Ambulatory Surgery Ctr., Inc.*, 14 NY3d 898; *Fifty States Mgt. Corp. v Pioneer Auto Parks*, 46 NY2d 573; *A.T. Med., P.C. v State Farm Mut. Ins. Co.*, 10 Misc 3d 568; *Nationwide Affinity Ins. Co. of Am. v Acuhealth Acupuncture, P.C.*, 155 AD3d 885.) III. A *Mallela* jury charge should require a threshold finding of behavior “tantamount to fraud.” IV. The *Mallela* jury instruction was so fraught with errors that the verdict should be set aside on this basis alone. (*Green v Downs*, 27 NY2d 205; *United States v Clark*, 475 F2d 240; *Bollenbach v United States*, 326 US 607; *People v Lupo*, 305 NY 448; *Lynch v Figge*, 200 App Div 92; *Noghrey v Town of Brookhaven*, 48 AD3d 529; *People v Graves*, 76 NY2d 16; *People v Powell*, 21 AD2d 789; *Altamirano v Door Automation Corp.*, 76 AD3d 401; *People v Mott*, 77 AD2d 606.)

Rivkin Radler LLP, Uniondale (*Barry I. Levy* of counsel), *McCormack & Mattei, P.C.*, Garden City (*Kevin A. Mattei* and *John E. McCormack* of counsel), *Freiberg, Peck & Kang, LLP*, Armonk (*Craig J. Freiberg* of counsel), *Bruno, Gerbino & Soriano, LLP*, Melville (*Vincent Gerbino* of counsel), and *White and Williams, LLP*, New York City (*Jay Shapiro* of counsel), for respondent. I. All trial court rulings and jury determinations in this case were in accord with *State Farm Mut. Auto. Ins. Co. v Mallela* (4 NY3d 313 [2005]), which is consistent with applicable no-fault laws and regulations. (*One Beacon Ins.*

Group, LLC v Midland Med. Care, P.C., 54 AD3d 738; *Matter of Allstate Prop. & Cas. Ins. Co. v New Way Massage Therapy P.C.*, 134 AD3d 495, 28 NY3d 909; *Glassman v ProHealth Ambulatory Surgery Ctr., Inc.*, 14 NY3d 898; *Parochial Bus Sys. v Board of Educ. of City of N.Y.*, 60 NY2d 539; *Allstate Ins. Co. v Belt Parkway Imaging, P.C.*, 78 AD3d 592.) II. The jury instructions were proper in all respects. (*Losee v Buchanan*, 51 NY 476; *Vaccarino v Mad Den, Inc.*, 100 AD3d 867; *Radiology Today, P.C. v GEICO Gen. Ins. Co.*, 32 Misc 3d 4; *Midborough Acupuncture P.C. v State Farm Ins. Co.*, 13 Misc 3d 58; *Eastern Med., P.C. v Allstate Ins. Co.*, 19 Misc 3d 775; *Metroscan Imaging, P.C. v GEICO Ins. Co.*, 13 Misc 3d 35; *Spivak v Sachs*, 16 NY2d 163; *Bendell v De Dominicis*, 251 NY 305; *Mavco Realty Corp. v M. Slayton Real Estate, Inc.*, 12 AD3d 575; *Price v Close*, 302 AD2d 374.) III. There is no basis to reverse the jury's unanimous decision based on the trial court's admission of Hillel Sher and Irina Vayman's deposition testimony or the court's instruction permitting an adverse inference to be drawn as a result of their invocation of the Fifth Amendment privilege. (*Parochial Bus Sys. v Board of Educ. of City of N.Y.*, 60 NY2d 539; *Marine Midland Bank v Russo Produce Co.*, 50 NY2d 31; *Searle v Cayuga Med. Ctr. at Ithaca*, 28 AD3d 834; *LiButti v United States*, 107 F3d 110; *People v Savinon*, 100 NY2d 192; *Flynn v Manhattan & Bronx Surface Tr. Operating Auth.*, 61 NY2d 769; *McGean v Manhattan Ry. Co.*, 117 NY 219; *Matter of DeBonis v Corbisiero*, 155 AD2d 299, 75 NY2d 709; *Lefkowitz v Cunningham*, 431 US 801; *Purcell v Doherty*, 55 NY2d 985.) IV. Plaintiff mischaracterizes the Civil Court proceedings regarding the total value of plaintiff's receivables, and any error on this issue was harmless. (*Hyde v County of Rensselaer*, 51 NY2d 927; *People v Gamble*, 18 NY3d 386; *Price v New York City Hous. Auth.*, 92 NY2d 553; *Matter of Von Bulow*, 63 NY2d 221.)

Mura & Storm, PLLC, Buffalo (*Roy A. Mura* and *Scott D. Mancuso* of counsel), for The Coalition Against Insurance Fraud, amicus curiae. I. History of combating fraud in the New York no-fault system. (*Pommells v Perez*, 4 NY3d 566; *Matter of Medical Socy. of State of N.Y. v Serio*, 100 NY2d 854; *State Farm Mut. Auto. Ins. Co. v Mallela*, 372 F3d 500; *People v Woodbury Dermatological Inst.*, 192 NY 454; *AIU Ins. Co. v Deajess Med. Imaging, P.C.*, 24 Misc 3d 161; *Metroscan Imaging, P.C. v GEICO Ins. Co.*, 13 Misc 3d 35; *Bendell v De Dominicis*, 251 NY 305; *Spivak v Sachs*, 16 NY2d 163; *Price v Close*, 302 AD2d 374; *Gordon v Adenbaum*, 171 AD2d 841.) II. The

State Farm Mut. Auto. Ins. Co. v Mallela (4 NY3d 313 [2005]) decision. III. The case on appeal does not require the Court to disturb *State Farm Mut. Auto. Ins. Co. v Mallela* (4 NY3d 313 [2005]). (*Matter of Country-Wide Ins. Co. v Bay Needle Care Acupuncture, P.C.*, 162 AD3d 407; *Pro-Align Chiropractic, P.C. v Travelers Prop. Cas. Ins. Co.*, 58 Misc 3d 857; *Lexington Acupuncture, P.C. v General Assur. Co.*, 35 Misc 3d 42.)

Letitia James, Attorney General, New York City (*David S. Frankel, Barbara D. Underwood* and *Steven C. Wu* of counsel), for New York State Department of Financial Services, amicus curiae. I. The Appellate Division correctly held that no additional proof of criminality or fraudulent intent is required to deny reimbursement to a professional corporation controlled by nonphysicians. (*Matter of Gaines v New York State Div. of Hous. & Community Renewal*, 90 NY2d 545; *Ferraiolo v O'Dwyer*, 302 NY 371; *Allstate Ins. Co. v Lyons*, 843 F Supp 2d 358; *Jerman v Carlisle, McNellie, Rini, Kramer & Ulrich, L. P. A.*, 559 US 573; *People v Marrero*, 69 NY2d 382; *Matter of Medical Socy. of State of N.Y. v Serio*, 100 NY2d 854; *Pommells v Perez*, 4 NY3d 566; *United States v Gabinskaya*, 829 F3d 127; *Country-Wide Ins. Co. v Gotham Med., P.C.*, 154 AD3d 608.) II. A physician's practice of medicine does not disprove improper control, and financial structures can be probative of control. (*United States v Gabinskaya*, 829 F3d 127; *Matter of Allstate Prop. & Cas. Ins. Co. v New Way Massage Therapy P.C.*, 134 AD3d 495; *H & H Chiropractic Servs., P.C. v Metropolitan Prop. & Cas. Ins. Co.*, 47 Misc 3d 1075; *Necula v Glass*, 231 AD2d 457; *Sachs v Saloshin*, 138 AD2d 586; *Tap Holdings, LLC v Orix Fin. Corp.*, 109 AD3d 167; *Psychoanalytic Ctr. v Burns*, 46 NY2d 1002; *Glassman v ProHealth Ambulatory Surgery Ctr., Inc.*, 14 NY3d 898.)

OPINION OF THE COURT

FAHEY, J.

Only licensed physicians may practice medicine in New York. The unlicensed are not bound by the ethical rules that govern the quality of care delivered by a physician to a patient. By statute, regulation, and the common law, the corporate form cannot be used as a device to allow nonphysicians to control the practice of medicine.

In *State Farm Mut. Auto. Ins. Co. v Mallela* (4 NY3d 313 [2005]), we held that, pursuant to 11 NYCRR 65-3.16 (a) (12), an insurer may withhold payment for medical services provided by a professional corporation when there is "willful and material failure to abide by" licensing and incorporation statutes (*Mallela*, 4 NY3d at 321). Today we clarify that *Mallela* does not require a finding of fraud for the insurer to withhold payments to a medical service corporation improperly controlled by nonphysicians. The trial court did not err in declining to give a charge requiring the jury to find fraudulent intent or conduct "tantamount to fraud" (*id.* at 322), in order to reach a verdict in favor of the insurers.

I.

The factual background is essential in understanding our legal conclusion. The plaintiff in this case, Andrew Carothers, M.D., P.C., a professional service corporation, was formed by Andrew Carothers, M.D., a radiologist, in 2004. The company provided magnetic resonance imaging (MRI) services. Plaintiff was incorporated after Carothers met Hillel Sher, a nonphysician who owned and controlled two companies that together held long-term leases for three, fully equipped, operational MRI facilities in New York City. They had been introduced by an MRI equipment repair technician who knew that Carothers was in financial distress and that Sher was "looking for a doctor." In 2005-2006, plaintiff subleased the facilities and associated equipment from Sher's companies.

Specifically, plaintiff agreed in January 2005 to lease the premises and MRI equipment for a fee comprised of $547,000 per month for the equipment[1] and $30,000 per month for the three premises. Sher had the right to terminate each lease without cause, regardless of payment, on 30 days' notice. No similar provision allowed plaintiff to terminate the leases without cause. Indeed, the leases contained clauses whereby they automatically renewed unless terminated by Sher, giving plaintiff no exit.

The rental fees charged to plaintiff for the MRI equipment were exorbitant. For example, a piece of equipment that one of Sher's companies leased from a third party for a monthly payment of $5,950 was leased to plaintiff for $75,000 per month. Indeed, Sher's companies charged plaintiff far more per year to rent the MRI machines, which were about 10 or 11 years old, than it would have cost to buy them outright. There was trial testimony that for two months' rent charged by Sher in one of

1. In this opinion, we use the figures given by the Appellate Division.

the equipment leases, a company could have owned a similar used MRI unit. As of December 2004, plaintiff could have bought used equipment to replace all the MRI equipment in the leases for less than $600,000. This amount is not significantly more than plaintiff paid each month to lease the equipment. All in all, the difference between the fair market value of six MRI scanners and what Sher charged plaintiff in one year to rent them was $4,680,000. Similarly, plaintiff paid $60,000 per year to lease nine used fax machines, even though the company could have purchased scores of new machines every year for that price.

Carothers opened a bank account on behalf of plaintiff. It was at the bank that Sher introduced Carothers to Irina Vayman, another nonphysician, whom Carothers hired as plaintiff's executive secretary. Carothers never wrote a check from the bank account; Vayman would write the checks.

At the MRI facilities, Carothers's oversight of the provision of medical services was practically nonexistent. Prior to signing the leases, Carothers did not seek out the referring physicians who generated patient traffic to the practices, and it was Vayman, not Carothers, who subsequently had contact with those physicians. Patient care protocols had already been set up by Carothers's predecessor. Carothers was not involved in evaluating or disciplining employees. Carothers rehired a second radiologist, who had worked for Carothers's predecessor, to interpret scans, and Carothers himself reviewed at most 79 reports out of a total of some 38,000.

At trial, an expert on radiology practice testified that "there was absolutely no quality control; there was no supervision; . . . the reports did not reflect [the] reality [of] what the films showed," and "the quality of what was being produced . . . was abysmal." The expert opined that

> "what was being done here was not being done with an eye towards producing any kind of a quality product. This was . . . being done to sort of get an image on the film. And those images are not the images that would lend themselves towards being highly diagnostic types of examinations. . . . [A] lot of the images are replete with a tremendous amount of artifacts that reflect . . . inadequate equipment performance."

Most of the scans performed at plaintiff's facilities were of patients allegedly injured in motor vehicle accidents. The patients assigned their rights to receive first-party no-fault insurance benefits to plaintiff, which billed insurance companies to recover payment on the assigned claims. Sher introduced Carothers to an entity named Medtrex, with which plaintiff entered into a loan and security agreement. Vayman, not Carothers, was the authorized borrower's representative on the Medtrex agreement. Medtrex advanced loans to plaintiff on a weekly basis. Payments from the insurance companies were then used to pay back Medtrex's loans and pay its fees.

Carothers's salary, at $133,000 from January 2005 through December 2006, was lower than that of plaintiff's executive secretary, Vayman, who earned $120,000 a year. Throughout her employment, Vayman transferred large sums of money from plaintiff's bank account to her own personal bank account and used plaintiff's account to cover expenses such as lease payments on her car and water bills on a house in Las Vegas owned by Sher. Even larger sums were transferred from plaintiff's account to an account of Sher's. Carothers eventually opened two more accounts in plaintiff's name to facilitate payments made by Vayman and Sher, including wire transfers to overseas accounts totaling $2,900,000. A certified public accountant who had conducted a "forensic investigation" of plaintiff testified at trial that some $12,200,000 was funneled through plaintiff to Sher and Vayman.

Vayman introduced Carothers to a tax preparer, whom Carothers hired to file tax returns for plaintiff. Sher's telephone number, not Carothers's, was listed on plaintiff's tax return. The filed return contained egregious errors, such as a deduction taken for fictitious management fees in excess of $1,000,000. At trial, the accountant who had conducted the forensic investigation of plaintiff testified that it had "no books and records," such as financial statements, ledgers, and invoices.

Insurance companies stopped paying plaintiff's no-fault claims in 2006. Although Carothers had not personally guaranteed the leases, he did personally guarantee the Medtrex loans and he ended up owing that company over $7,000,000. Plaintiff closed in December 2006 after Medtrex refused to make any more advances.

II.

The procedural history begins with multiple collection actions filed by plaintiff against the insurance carriers, in the

Civil Court of the City of New York, seeking to recover unpaid claims of assigned first-party no-fault insurance benefits. The carriers' defense is that plaintiff was not eligible to seek reimbursement of the insurance benefits under 11 NYCRR 65-3.16 (a) (12) (stating that "[a] provider of health care services is not eligible for reimbursement . . . if the provider fails to meet any applicable New York State or local licensing requirement necessary to perform such service in New York"), because it was controlled by unlicensed nonphysicians (*see* Business Corporation Law § 1507 [a] [requiring all shareholders of a professional service corporation to be "individuals who are authorized by law to practice in this state a profession which such corporation is authorized to practice and who are or have been engaged in the practice of such profession in such corporation or a predecessor entity, or who will engage in the practice of such profession in such corporation within thirty days of the date such shares are issued"] and § 1508 [a] [imposing similar requirements on directors and officers of a professional service corporation]). The defendants also relied on our decision in *State Farm Mut. Auto. Ins. Co. v Mallela*, which held, in light of the above-cited provisions, that insurance carriers may withhold payment for medical services provided by "fraudulently incorporated" enterprises to which patients have assigned their claims, regardless of the quality of care such entities have provided.

The defendants contended that Carothers was merely a nominal owner of plaintiff, and that the professional corporation was actually owned and controlled by Sher and Vayman, who were not physicians. They also maintained that plaintiff was not entitled to payment because Carothers, the shareholder with a medical license, did not personally engage in the practice of medicine through the professional corporation.

At their depositions, Sher and Vayman invoked their Fifth Amendment privileges against self-incrimination and refused to answer almost all the questions, numbering in the hundreds, posed to them by the defendants. Specifically, in response to each question (other than identifying themselves), Sher and Vayman answered, simply, "Fifth." By way of examples, Sher and Vayman responded in that manner to the following questions: "Are you [Sher] the owner of [plaintiff]?"; "Did you [Sher] pay Dr. Carothers money in exchange for the use of his professional license in order to operate [plaintiff]?"; "Did you [Sher] ever charge [plaintiff] fair market value for the use of MRI machines at the facilities where [plaintiff] conducted its business?" "Mr. Sher, did you exercise any control over the entity known as [plaintiff]?"; "Are you [Vayman] a part owner of [plaintiff]?"; "Is Hillel Sher a part owner of [plaintiff]?"

The cases, involving 54 insurance carriers, were consolidated and a joint trial was held in Civil Court. The parties stipulated that Sher and Vayman were not available to testify at trial within the meaning of CPLR 3117 (a) (3).[2] Plaintiff moved to preclude the insurance companies from reading into evidence the depositions of Sher and Vayman in which they had serially invoked their Fifth Amendment privileges, on the ground that the invocation of the Fifth Amendment by a nonparty could not be used against a party. Civil Court denied the motion.

In opening remarks, the lead defense counsel told the jury that it would not hear from Sher and Vayman "because both of those witnesses chose to take the [F]ifth [A]mendment privilege against self-incrimination." As the first piece of evidence presented, Sher's entire deposition testimony was read to the jury, including his repeated invocations of the Fifth Amendment. The same approach was taken with Vayman's deposition testimony. Plaintiff's counsel objected.

During the trial, the jury heard from multiple witnesses whose testimony supported the defendants' assertions that plaintiff's profits were funneled to Sher and Vayman, through grossly inflated equipment lease payments to Sher's companies and through the transfer of plaintiff's funds to personal accounts. The accountant who had conducted a forensic investigation of plaintiff opined that

> "Dr. Carothers was not in control of [plaintiff] as a true business owner would be. . . . [H]e was not actively involved in the operations or the financial aspects of the company. . . . [T]he core business assets . . . were owned and controlled by Hillel Sher. . . . Hillel Sher not only controlled the company, but profited from the monies that were in [plaintiff]. . . . Dr. Carothers, based on everything that I read, did no due diligence that a true business owner would before he signed leases for millions of dollars. . . . [S]ince a medical practice is the only way you can bill an insurance company,

2. CPLR 3117 (a) (3) states conditions under which "the deposition of any person may be used" at a trial due to the witness's unavailability.

> [plaintiff] was used as a vehicle to siphon money to Sher and Vayman . . . ."

In the expert's view, the lease agreements between plaintiff and Sher's companies were not made at arm's length, because the terms of those agreements were not mutually beneficial to both parties.

Carothers himself testified, but he was not able to account for the transactions described by the other witnesses called by the insurance carriers. He suggested that the payments to Vayman's personal account were for back wages and payment of corporate expenses and that the only payments for Sher's benefit were to repay a $400,000 bridge loan, for which he presented no proof. Although he testified that a general ledger compiled by an accounting firm in 2007 accounted for all transactions, no such ledger was admitted into evidence.

During summation, the insurance carriers' counsel repeatedly mentioned that Sher and Vayman had invoked their Fifth Amendment privileges.

Plaintiff's counsel requested that the court give a jury instruction on "the traditional elements of fraud," including fraudulent intent, on the theory that *Mallela* allows insurers to withhold payments, under 11 NYCRR 65-3.16 (a) (12), only in situations where the professional corporation's ostensible or real managers engaged in conduct "tantamount to fraud" (*Mallela*, 4 NY3d at 322). The trial court denied the request and the jury charge contained no instruction on fraudulent intent or the elements of fraud. The court told the jury that it could "find that [plaintiff] was fraudulently incorporated" if it concluded "that reasonable people would say that Mr. Sher and/or Miss Vayman were de facto . . . owners of the corporation or that they exercised substantial control over the corporation." The jury could "look beyond the certificate of incorporation." The trial court further instructed the jury that

> "[t]o find that Mr. Sher and [or] Miss Vayman were de facto owners of [plaintiff], [the jury] must find that they exhibited the attributes of ownership, particularly that they exercised dominion and control over the corporation and its assets, and that they shared risks, expenses[,] and interest in the profits and los[s]es of the corporation."

The jury was instructed that, in order to find that Sher and Vayman "exercised substantial control over the corporation," it "must find that they had a significant role in the guidance, management and direction of the business of the corporation." The trial court then enumerated 13 factors that the jury might consider relevant in deciding whether Sher and Vayman were de facto owners of or exercised substantial control over plaintiff. The court also required the jury to decide whether Carothers was engaged in the practice of medicine through plaintiff, within the meaning of Business Corporation Law § 1507.

In the course of its instructions, Civil Court charged the jury that it could, but was not obliged to, draw an adverse inference against plaintiff on the basis of the invocations by Sher and Vayman of their Fifth Amendment rights, but could not rely on such an adverse inference as the only basis for concluding that plaintiff was not solely owned or controlled by Carothers.

The jury found that the defendants had proved that plaintiff was "fraudulently incorporated" and that Carothers did not engage in the practice of medicine through plaintiff in 2005-2006.

Plaintiff moved under CPLR 4404 (a) to set aside the verdict and for judgment as a matter of law or in the alternative to set aside the verdict as against the weight of the evidence or in the interest of justice and for a new trial. Plaintiff contended that the trial court erred by failing to instruct the jury regarding the elements of fraud and in particular by failing to instruct the jury that the defendants must have established that there was a fraudulent intent at the time of plaintiff's incorporation. Plaintiff also argued that it was error for Civil Court to set forth the particular list of factors it gave to assist the jury in determining whether Sher and Vayman were de facto owners of or exercised substantial control over the plaintiff. Additionally, plaintiff contended that it was error to permit Sher's and Vayman's deposition testimony to be read to the jury, because any probative value of reading the depositions was outweighed by its prejudicial effect, and that this error was further compounded by the court's instruction that the jury could draw an adverse inference against plaintiff based upon the invocations of Fifth Amendment privileges. Finally, plaintiff challenged the verdict that Carothers had not practiced medicine through plaintiff, as contrary to the weight of the evidence.[3]

The trial court denied plaintiff's motion (26 Misc 3d 448 [Civ Ct, Richmond County 2009]). It was then agreed, by a so-ordered stipulation, that, with the exception of one action against defendant Progressive Insurance Company (Progressive), judgments would not be entered, pending the disposition of the appeal. Accordingly, Civil Court entered a single judgment in favor of Progressive and against plaintiff, dismissing the complaint.

The Appellate Term affirmed Civil Court's judgment dismissing the complaint, insofar as appealed from (42 Misc 3d 30 [App Term, 2d Dept, 2d, 11th & 13th Jud Dists 2013]). The appellate court set aside, as contrary to the weight of the evidence, so much of the verdict as determined that Carothers failed to practice medicine, but upheld so much of the verdict as found that the plaintiff was fraudulently incorporated, affirming the judgment on that basis.

The Appellate Term held that Civil Court erred in permitting the defense to read the deposition transcripts of Sher and Vayman to the jury, in which those witnesses repeatedly invoked the Fifth Amendment.

> "The error was compounded by the repeated references to the nonparties' depositions in the defense summation to the jury, and in the decision of the court to charge an adverse inference. While it is proper for the court to give such an instruction to the jury in a civil action when a party invokes his or her Fifth Amendment privilege, generally, the adverse inference is inappropriate when it is based on a nonparty's decision to remain silent." (*Id.* at 44-45 [citations omitted].)

The Appellate Term reasoned, however, that the errors were harmless under CPLR 2002, on the basis that the outcome of the trial, on the question whether plaintiff was in violation of the requirement that it be owned and controlled solely by licensed professionals, "would have been the same notwithstanding [the] errors" (*id.* at 45-46).

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3. Plaintiff also maintained that a decision by the trial court to preclude evidence of some $18 million in accounts receivable allegedly owed to plaintiff by the insurance companies prejudiced plaintiff's ability to respond to the fraudulent incorporation defense. That argument was properly rejected by the lower courts.

The Appellate Term upheld Civil Court's jury charge.

> "Although both the United States Court of Appeals for the Second Circuit and New York's Court of Appeals employed the term 'fraudulently incorporated' in the *Mallela* case, which was the term used in the certified question, the essence of the defense in that case, as here, was the provider's 'lack of eligibility,' which does not require a finding of fraud or fraudulent intent, but rather, addresses the actual operation and control of a medical professional corporation by unlicensed individuals.
>
> "[A] reading of the *Mallela* case demonstrates that the case involved fraud 'in the corporate form' rather than the more traditional forms of common-law fraud." (*Id.* at 40-41 [citation omitted].)

Plaintiff appealed to the Appellate Division, pursuant to permission granted by that Court. Progressive did not appeal.

The Appellate Division affirmed the Appellate Term's order insofar as appealed from (150 AD3d 192 [2d Dept 2017]).

The Appellate Division upheld the Appellate Term's holding that Civil Court erred in permitting the defendants to read the transcripts into evidence and in instructing the jury that it could draw an adverse inference, and agreed with the Appellate Term majority that the error could not have affected the outcome of the trial and therefore was harmless. The Appellate Division reasoned that there was "overwhelming evidence" that "Carothers was merely the nominal owner of the plaintiff and that the plaintiff was actually owned and controlled by nonphysicians Sher and Vayman, who funneled the plaintiff's profits to themselves, and . . . the outcome of the trial would have been the same absent the error" (*id.* at 204).

In addition, the Appellate Division held that Civil Court properly declined to give plaintiff's requested charges on common-law fraud and fraudulent intent.

> "*Mallela* involved fraud 'in the corporate form' rather than the more traditional forms of common-law fraud. With respect to fraudulent intent at the time of incorporation, *Mallela* instructs that even if a professional corporation did not intend to yield control to unlicensed parties at the time of incorporation, it nonetheless would be ineligible for no-

> fault reimbursement if the nominal physician owner yielded control of the corporation at some later date. Good faith compliance with the requirements of a professional corporation at the time of incorporation does not end when the certificate of incorporation is filed and does not defeat a claim of fraudulent incorporation if the evidence demonstrates that at some point after the initial incorporation, the nominal physician owner turned over control of the business to nonphysicians in contravention of state regulations." (*Id.* at 202 [citations omitted].)

The Appellate Division rejected plaintiff's challenge to Civil Court's list of 13 factors and its remaining contentions.

Plaintiff moved at the Court of Appeals for leave to appeal. We dismissed the motion on the basis that the Court of Appeals does not have jurisdiction to entertain a motion for leave to appeal from an order commenced in Civil Court (29 NY3d 1047 [2017]). Plaintiff then moved at the Appellate Division for leave to appeal to this Court. The Appellate Division granted plaintiff's motion, certifying the question whether its opinion and order was properly made (2017 NY Slip Op 90794[U]). We subsequently denied a motion by Progressive to dismiss the appeal (32 NY3d 1073 [2018]).

III.

In New York, a professional service corporation may be owned and controlled only by licensed professionals (*see* Business Corporation Law § 1507). Moreover, licensed professionals are permitted to incorporate only if they are the sole organizers, owners, and operators of the professional corporation (*see* Business Corporation Law §§ 1503 [a], [b]; 1508). To incorporate, the licensed individual must obtain a "certificate . . . issued by the [New York State Department of Education] certifying that each of the proposed shareholders, directors and officers is authorized by law to practice a profession which the corporation is being organized to practice" (Business Corporation Law § 1503 [b] [ii]), and the Department of Education may not issue a certificate of authority to a professional service corporation unless it meets these qualifications (*see* Education Law § 6507 [4] [c] [i]). Once the professional corporation is formed, shareholders may not transfer their voting power to any person who is not a licensed professional in the field (*see*

Business Corporation Law § 1507 [a]); only shareholders or licensed professionals engaged in the practice may be directors and officers (*see* Business Corporation Law § 1508 [a]).

New York law prohibits unlicensed individuals from organizing a professional service corporation for profit or exercising control over such entities. In the medical context, the underlying policy concern is "that the so-called 'corporate practice of medicine' could create ethical conflicts and undermine the quality of care afforded to patients" (*State Farm Mut. Auto. Ins. Co. v Mallela*, 372 F3d 500, 503 [2d Cir 2004]). Control of medical service corporations by unlicensed individuals leads to higher costs, less effective medical treatment, and mistrust of the no-fault insurance system. More generally, the common law in New York has long recognized the need to ensure that providers of professional services are not unduly influenced by unlicensed third parties who are free of professional responsibility requirements and may disregard patient care in operating a "corporation . . . organized simply to make money" (*Matter of Co-operative Law Co.*, 198 NY 479, 484 [1910]).

In *State Farm Mut. Auto. Ins. Co. v Mallela*, this Court held that, under 11 NYCRR 65-3.16 (a) (12), a regulation adopted by the Commissioner of Insurance pursuant to New York's "no-fault" insurance laws (*see* Insurance Law § 5101 *et seq.*), insurance carriers may withhold payment for medical services provided by a professional corporation that has been "fraudulently incorporated." There, we considered a certified question from the United States Court of Appeals for the Second Circuit: whether "a medical corporation that was fraudulently incorporated under . . . Business Corporation Law §§ 1507, 1508, and . . . Education Law § 6507(4)(c) [is] entitled to be reimbursed by insurers, under . . . Insurance Law §§ 5101 *et seq.* and its implementing regulations, for medical services rendered by licensed medical practitioners" (*Mallela*, 372 F3d at 510). We answered the question in the negative, determining that a provider that was not solely owned and controlled by physicians was not eligible for no-fault insurance reimbursements.

The *Mallela* decision interpreted 11 NYCRR 65-3.16 (a) (12) to allow insurance carriers to withhold reimbursement for no-fault claims that are "provided by fraudulently incorporated enterprises to which patients have assigned their claims" (*Mallela*, 4 NY3d at 319). In *Mallela*, nonphysicians paid physicians to use their names on paperwork to establish medical service corporations, and the nonphysicians then operated the companies, while billing the physicians inflated rates so that profits were channeled to them. The nonphysicians contended that the professional corporations were "entitled to reimbursement even if fraudulently licensed" (*id.* at 321). The *Mallela* Court rejected the argument, reasoning that if this were so, reimbursement would go "to the medical service corporation that exists to receive payment only because of its willfully and materially false filings with state regulators" (*id.*). In our holding, this Court clarified that insurers may "look beyond the face of licensing documents to identify willful and material failure to abide by state and local law," such as actual ownership or operation of the practice by an unlicensed individual (*id.*).

The *Mallela* Court warned insurance carriers, however, that insurers could not delay payments of reimbursement claims to pursue investigations unless they had "good cause" (*id.* at 322; *see* 11 NYCRR 65-3.2 [c]) and that "[i]n the licensing context, carriers will be unable to show 'good cause' unless they can demonstrate behavior tantamount to fraud" (*Mallela*, 4 NY3d at 322). The Court further cautioned that "[t]echnical violations will not do. For example, a failure to hold an annual meeting, pay corporate filing fees or submit otherwise acceptable paperwork on time will not rise to the level of fraud" (*id.*).

[1] Plaintiff, citing our language in *Mallela*, contends that the trial court erred in denying its request to instruct the jury that it had to find fraudulent intent or, at least, conduct "tantamount to fraud." We conclude that there was no error. Neither 11 NYCRR 65-3.16 (a) (12) nor our interpretation of that regulation in *Mallela* requires that an insurance carrier, seeking to demonstrate that a professional service corporation engaged in corporate practices that violate Business Corporation Law §§ 1507, 1508, or Education Law § 6507 (4) (c), show that the professional service corporation or its managers engaged in common-law fraud. We drew the term "fraudulently incorporated" from the Second Circuit's certified question, but the term may be misleading. A corporate practice that shows "willful and material failure to abide by" licensing and incorporation statutes (*Mallela*, 4 NY3d at 321) may support a finding that the provider is not an eligible recipient of reimbursement under 11 NYCRR 65-3.16 (a) (12) without meeting the traditional elements of common-law fraud.

Nor is a jury required to evaluate the extent to which corporate misconduct approximates fraud. The no-fault insurance regulations make providers ineligible for reimbursement when their violations of the cited statutes are more than merely technical and "rise to the level of" a grave violation *such as* fraud (*id.* at 322). Insurance carriers do not have good cause to delay or deny payments of reimbursement claims on the basis of a provider's slight divergence from licensing requirements. Here, the jury's finding that plaintiff was in material breach of the foundational rule for professional corporation licensure—namely that it be controlled by licensed professionals—was enough to render plaintiff ineligible for reimbursement under 11 NYCRR 65-3.16 (a) (12). The trial court committed no error in refusing to issue a charge requiring a "tantamount to fraud" finding by the jury.[4]

Plaintiff also suggests that in *Mallela* the corporate misconduct was more egregious than here, in that Mallela's company had pleaded guilty to billing fraud and Mallela had surrendered his license. We can discern no salient factual difference between *Mallela* and this appeal that would justify a distinct analysis. The allegations in *Mallela* were very similar to the evidence presented at trial here; both cases involve alleged funneling of profits to nonphysicians who owned companies that billed the professional corporation inflated rates. Our decision in *Mallela* was not based on fraudulent billing. In fact, we did not mention in our opinion that Mallela had pleaded guilty to that charge.

Finally, plaintiff is incorrect to characterize the improper control of plaintiff by unlicensed persons as simply an instance of improper fee splitting of the professional corporation's profits with a nonphysician in violation of 8 NYCRR 29.1 (b) (4). Although the Appellate Division held in *Matter of Allstate Prop. & Cas. Ins. Co. v New Way Massage Therapy P.C.* (134 AD3d 495, 495 [1st Dept 2015], *lv denied* 28 NY3d 909 [2016]) that a "fee-sharing arrangement . . . does not constitute a defense to a no-fault action," the jury in this case determined that plaintiff was controlled by unlicensed persons, rather than merely splitting fees with them. Control of a professional corporation by nonprofessionals violates foundational New York licensing requirements and rendered plaintiff ineligible for insurer

4. We reject plaintiff's argument that it was error for Civil Court to set forth the particular list of factors it gave to assist the jury in determining whether Sher and Vayman were de facto owners of or exercised substantial control over plaintiff. Although we do not endorse the trial court's specific list of factors, in this case the trial court's charge satisfactorily directed the jury to the ultimate inquiry of control over a professional corporation.

reimbursement, for exactly the same reason the medical service corporation in *Mallela* was ineligible for reimbursement.

IV.

[2] Plaintiff's other principal contention is that the trial court erred in admitting the deposition testimony in which Sher and Vayman repeatedly invoked the Fifth Amendment and in giving the jury an adverse inference instruction.

While the Fifth Amendment accords an individual the privilege not to answer questions in a civil proceeding if the answers might incriminate the person in future criminal proceedings (*see Baxter v Palmigiano*, 425 US 308, 316 [1976]), a witness who asserts this Fifth Amendment privilege in a civil trial is not necessarily protected from consequences in the same manner as in a criminal trial. This Court has held that, in a civil case, failure to answer questions by a witness who is a party "may be considered by a jury in assessing the strength of evidence offered by the opposite party on the issue which the witness was in a position to controvert" (*Marine Midland Bank v Russo Produce Co.*, 50 NY2d 31, 42 [1980]). In a civil trial, "an unfavorable inference may be drawn against a party from the exercise of the privilege against self-incrimination" (Jerome Prince, Richardson on Evidence § 5-710). We have not previously decided whether a *nonparty's* invocation of the Fifth Amendment may trigger an adverse inference instruction against a party in a civil case, and we have no occasion to do so here because any error by the trial court was harmless (*see* CPLR 2002). There is no reasonable view of the evidence under which plaintiff could have prevailed (*see Marine Midland Bank*, 50 NY2d at 43). We agree with the Appellate Division that, based on the trial evidence, the jury could rationally infer only one conclusion: plaintiff was in violation of the requirement of Business Corporation Law § 1507 that a professional service corporation be owned and controlled solely by licensed professionals.

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question not answered as unnecessary.

Chief Judge DiFiore and Judges Rivera, Stein, Garcia, Wilson and Feinman concur.

Order affirmed, with costs, and certified question not answered as unnecessary.

[128 NE3d 169, 104 NYS3d 42]

In the Matter of Eileen Jordan et al., Respondents, v New York City Housing Authority, Appellant, et al., Respondent.

Argued May 1, 2019; decided June 13, 2019

SUMMARY

Appeal, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered October 31, 2017. The Appellate Division order, insofar as appealed from, affirmed an order and judgment (one paper) of the Supreme Court, New York County (Shlomo S. Hagler, J.), which, to the extent appealed from as limited by the briefs, had (1) granted the petition to the extent of remitting the proceeding to respondent New York City Housing Authority for compliance with Civil Service Law § 71; and (2) denied that respondent's cross motion to dismiss the petition as against it or to permit an answer to the petition.

Matter of Jordan v New York City Hous. Auth., 154 AD3d 618, reversed.

HEADNOTE

Civil Service — Reinstatement — Application of Civil Service Law § 71 to Labor Class Employees

Petitioner, a labor class employee who suffered a workplace injury and was terminated after missing more than one year of work, did not fall within the ambit of Civil Service Law § 71, which governs reinstatement of public sector employees injured on the job, and, thus, respondent did not violate section 71 when it refused to reinstate petitioner. Section 71 was adopted to address the difficult situation created by the prolonged absence of a civil service employee due to injury. Under Civil Service Law § 75 delineated groups of employees may not be removed except for incompetency or misconduct shown after a hearing. Section 71 was designed to remove the procedural hurdle imposed by section 75 by allowing a state governmental employer to terminate an employee without resort to a disciplinary proceeding and providing the injured employee a mechanism for later reinstatement. Including petitioner within the coverage of section 71 would not serve its legislative purpose because, as a labor class employee, petitioner was not entitled to a disciplinary hearing before she was terminated. Moreover, even if respondent were forced to rehire petitioner, she could have been lawfully terminated the next day—an absurd result that would frustrate the statutory purpose.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d Civil Service §§ 51, 94, 105.

McKinney's, Civil Service Law §§ 71, 75.

NY Jur 2d Civil Servants and Other Public Officers and Employees §§ 418, 492.

ANNOTATION REFERENCE

See ALR Index under Civil Service; Public Officers and Employees.

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Query: civil /2 service /s injur! /5 job employ! & reinstatement

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POINTS OF COUNSEL

Kelly D. MacNeal, General Counsel, New York City Housing Authority, New York City (*Jane E. Lippman* of counsel), for appellant. I. The order should be reversed because Civil Service Law § 71 does not apply to the labor class, who are at will and have no tenure rights under the Civil Service Law. (*Matter of Merriweather v Roberts*, 268 NY 12; *Matter of Jones v Carey*, 55 AD2d 260; *Abbott v City of Poughkeepsie*, 98 Misc 2d 601, 71 AD2d 1010; *FDA v Brown & Williamson Tobacco Corp.*, 529 US 120; *Matter of Gruber [New York City Dept. of Personnel—Sweeney]*, 89 NY2d 225; *Matter of Bookhout v Levitt*, 43 NY2d 612; *Matter of Murray v McNamara*, 303 NY 140; *Matter of Hansen v Finegan*, 276 NY 638; *Matter of Jones v Carey*, 55 AD2d 260; *Koso v Greene*, 260 NY 491.) II. The order should be reversed because the Department of Citywide Administrative Services (DCAS) is a necessary party, this proceeding is time-barred as to DCAS, and the entire proceeding therefore should be dismissed. (*Windy Ridge Farm*, 11 NY3d 725; *Matter of Hughes v Doherty*, 5 NY3d 100; *Matter of City of New York v New York City Civ. Serv. Commn.*, 6 NY3d 855; *Matter of Albano v Kirby*, 36 NY2d 526; *Matter of Boss v Kelly*, 3 Misc 3d 936, 17 AD3d 269; *People v L.R.S. & B. Realty Co., Inc.*, 192 Misc 646; *Matter of Bork v City of School Dist. of City of N. Tonawanda*, 60 AD2d 13, 44 NY2d 647; *Matter of Lazzari v Town of Eastchester*, 62 AD3d 1002, 13 NY3d 771; *City of New York v Long Is. Airports Limousine Serv. Corp.*, 48 NY2d 469; *Matter of Brooks v Dalsheim*, 103 AD2d 986.) III. The order should be reversed because it conflicts with CPLR 7804 (f). (*Matter of Bethelite Community Church, Great Tomorrows Elementary School v Department of Envtl. Protection of City of*

N.Y., 8 NY3d 1001; *Matter of Banos v Rhea*, 25 NY3d 266; *Matter of 230 Tenants Corp. v Board of Stds. & Appeals of City of N.Y.*, 101 AD2d 53; *Matter of Davis-Elliott v New York City Dept. of Educ.*, 31 AD3d 266; *Matter of Briarcliff Manor Union Free School Dist. v Westchester County Human Rights Commn.*, 20 AD3d 564; *Matter of Smiler v Board of Educ.*, 15 AD3d 409; *Matter of Davila v New York City Hous. Auth.*, 190 AD2d 511.)

Cohen, Weiss and Simon LLP, New York City (*Joshua J. Ellison* and *Wendy M. LaManque* of counsel), for respondents. The Appellate Division properly granted the petition and denied New York City Housing Authority's motion to dismiss. (*Matter of Killian*, 89 NY2d 748; *Matter of Amorosi v South Colonie Ind. Cent. School Dist.*, 9 NY3d 367; *People v Elmer*, 19 NY3d 501; *Commonwealth of the N. Mariana Is. v Canadian Imperial Bank of Commerce*, 21 NY3d 55; *City of New York v Long Is. Airports Limousine Serv. Corp.*, 48 NY2d 469; *Matter of Brooks v Dalsheim*, 103 AD2d 986; *Matter of Natchev v Klein*, 45 AD2d 725; *Matter of Storrs v Holcomb*, 245 AD2d 943; *Matter of Lazzari v Town of Eastchester*, 62 AD3d 1002; *Matter of Davila v New York City Hous. Auth.*, 190 AD2d 511.)

Zachary W. Carter, Corporation Counsel, New York City (*Elina Druker, Richard Dearing* and *Devin Slack* of counsel), for City of New York, amicus curiae. The text of Civil Service Law § 71, when read in light of its spirit and history, confirms that its reach stops with competitive class positions. (*People v Ryan*, 274 NY 149; *Ferres v City of New Rochelle*, 68 NY2d 446; *Matter of Anonymous v Molik*, 32 NY3d 30; *Matter of Merriweather v Roberts*, 268 NY 12; *Rogers v Common Council of Buffalo*, 123 NY 173; *Anderson v Dolce*, 653 F Supp 1556; *Chittenden v Wurster*, 152 NY 345; *People ex rel. Sims v Collier*, 175 NY 196; *Matter of Board of Educ. of City of N.Y. v Nyquist*, 31 NY2d 468; *Matter of Murray v McNamara*, 303 NY 140.)

OPINION OF THE COURT

GARCIA, J.

The narrow question on this appeal is whether petitioner Eileen Jordan falls within the ambit of Civil Service Law § 71, a provision governing reinstatement of public sector employees injured on the job. For the reasons set forth below, we hold that she does not.

I.

Jordan was a Caretaker for respondent New York City Housing Authority (NYCHA) for roughly 12 years before she suffered a workplace injury in 2011. Jordan's position fell within the "labor class"—one of four possible classifications under New York's Civil Service Law—which includes "all unskilled laborers in the service of the state" (Civil Service Law § 43 [1]).

Jordan's injury led her to miss more than one year of work and, as a result, NYCHA terminated her effective August 1, 2012. At the time of Jordan's dismissal, NYCHA noted that "[w]ithin one year after the termination of [her] disability, [Jordan] may request reinstatement to [her] Caretaker title." To do so, NYCHA instructed Jordan to "submit a written request to . . . NYC Department of Citywide Administrative Services (DCAS)." Jordan eventually did so, requesting reinstatement in April 2014. Nevertheless, a month later NYCHA informed Jordan that, because she was "terminated from a labor [c]lass Caretaker" position, she was "not eligible to be reinstated." Jordan, and her union, then commenced this CPLR article 78 proceeding in Supreme Court.

Jordan sought a judgment that, primarily, would find NYCHA violated section 71 of the Civil Service Law. That provision, as noted above, allows "an employee" who "has been separated from the [civil] service by reason of a disability resulting from occupational injury or disease" to request reinstatement (Civil Service Law § 71). NYCHA cross-moved, among other things, to dismiss the petition, arguing that section 71 did not apply to labor class employees. Supreme Court, as relevant here, granted the petition as against NYCHA, denied NYCHA's cross motion, and remitted the matter to NYCHA "for compliance with [section 71]" because it held the plain language of that section did not exclude labor class employees.

The Appellate Division affirmed, holding "NYCHA's argument that [section 71] does not apply to labor class employees [to be] contradicted by the plain language of the statute" (154 AD3d 618, 619 [1st Dept 2017]). It also rejected two procedural arguments that NYCHA raised. That Court determined Supreme Court did not err by (1) denying NYCHA the opportunity to answer Jordan's petition once NYCHA's cross motion was denied and (2) rejecting NYCHA's argument that Jordan failed to join a necessary party, DCAS (*id.* at 619-620).

We granted leave to appeal and now reverse.

II.

Section 71 of the Civil Service Law provides that when "an employee has been separated from . . . service by reason of a disability resulting from occupational injury or disease . . . , he or she shall be entitled to a leave of absence for at least one year." The statute goes on to state:

> "Such employee may, within one year after the termination of such disability, make application to the civil service department or municipal commission having jurisdiction over the position last held by such employee for a medical examination to be conducted by a medical officer selected for that purpose by such department or commission. If, upon such medical examination, such medical officer shall certify that such person is physically and mentally fit to perform the duties of his or her former position, he or she shall be reinstated to his or her former position, if vacant, or to a vacancy in a similar position or a position in a lower grade in the same occupational field, or to a vacant position for which he or she was eligible for transfer. If no appropriate vacancy shall exist to which reinstatement may be made, or if the work load does not warrant the filling of such vacancy, the name of such person shall be placed upon a preferred list for his or her former position, and he or she shall be eligible for reinstatement from such preferred list for a period of four years. In the event that such person is reinstated to a position in a grade lower than that of his or her former position, his or her name shall be placed on the preferred eligible list for his or her former position or any similar position" (Civil Service Law § 71).

Petitioners argue, as they did below, that "employee" is unqualified in the statute and so we should apply that term broadly, consistent with its plain meaning. NYCHA counters that, although "employee" is undefined in the Civil Service Law, section 71 uses terms of art normally not associated with the labor class, including "preferred eligible list" and "grade." Both are fair points, and therefore to resolve any ambiguity, we turn to the history and the purpose of the statute in resolving this issue.

Our task here is made easier by the fact that we have already articulated section 71's purpose. Twenty-five years ago, in *Matter of Allen v Howe*, we said that section 71 "w[as] adopted to address the difficult situation created by the prolonged absence of a civil service employee" due to injury (84 NY2d 665, 671 [1994]). Under Civil Service Law § 75, delineated groups of employees "shall not be removed . . . except for incompetency or misconduct shown after a hearing" (Civil Service Law § 75 [1]). This section left a governmental employer unable to fill a vacancy created by an extended absence due to injury without a "resignation" or the "institut[ion] [of] disciplinary [hearings]" (*Allen*, 84 NY2d at 671). Section 71 was designed to remove the procedural hurdle imposed by section 75 by allowing a "State governmental employer" to terminate an employee without "resort to a disciplinary proceeding" and providing the injured employee a mechanism for later reinstatement (*id.*).

Including Jordan within the coverage of section 71 would not serve that legislative purpose. As a labor class employee, Jordan was not entitled to a disciplinary hearing before she was terminated and NYCHA did not face the dilemma that led to passage of section 71. Moreover, even if NYCHA was forced to rehire Jordan, she could have been lawfully terminated the next day—"an absurd result that would frustrate the statutory purpose" (*Matter of Long v Adirondack Park Agency*, 76 NY2d 416, 420 [1990]). Therefore, we hold that NYCHA did not violate section 71 when it refused to reinstate Jordan.

We observe, however, that the legislature amended section 75, well after Jordan was terminated, to provide pre-termination hearings for labor class employees with "at least five years of continuous service" (Civil Service Law § 75 [1] [c]). We express no opinion on whether employees covered under section 75 at the time of their termination—or employers of those covered employees—may avail themselves of section 71. Of course, the reach of section 71, and its relationship to section 75, "is a matter which might be resolved most readily by legislative clarification of the statute" (*Matter of Forte v Supreme Ct. of State of N.Y.*, 48 NY2d 179, 182 n 1 [1979]).

Because we conclude Jordan is not covered by section 71, we do not address NYCHA's alternative grounds for reversal. Accordingly, the order insofar as appealed from should be reversed, with costs, and the petition dismissed in its entirety.

Chief Judge DIFIORE and Judges RIVERA, STEIN, FAHEY, WILSON and FEINMAN concur.

Order insofar as appealed from reversed, with costs, and petition dismissed in its entirety.

[128 NE3d 165, 104 NYS3d 38]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v DAVID MENDOZA, Appellant.

Argued May 2, 2019; decided June 13, 2019

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered November 1, 2017. The Appellate Division affirmed a judgment of the Supreme Court, Kings County (Suzanne M. Mondo, J.), which had convicted defendant, upon a jury verdict, of burglary in the second degree (two counts) and petit larceny (two counts).

People v Mendoza, 155 AD3d 652, affirmed.

HEADNOTE

Crimes — Right to Counsel — Effective Representation — Jury Nullification Defense

In the prosecution of defendant for second-degree burglary and petit larceny after he admitted to and was caught on surveillance video on two occasions unlawfully entering a multi-residential apartment building and stealing the contents of packages from the mailbox area of the lobby, the representation by defense counsel, who advanced a jury nullification defense at trial, did not constitute ineffective assistance of counsel when viewed as a whole on the record. While jury nullification is not a legally sanctioned function of a jury and should not be encouraged by a court, there is nothing to prevent a jury from exercising mercy by acquitting a defendant although finding the prosecution has proved its case. Defense counsel argued, without much interference from the trial court, that the burglary charges did not fit the facts because defendant did not break any locks, did not enter anyone's apartment, did not possess burglar's tools, and took only mail packages containing pairs of pants and dog training pads. Given the overwhelming evidence against his client and constrained by the limited defense strategies available, counsel raised what he reasonably perceived could be factual issues in the case, such as the method of defendant's entry into the building. His performance included cogent opening and closing arguments, a motion to dismiss after the People's case-in-chief, and thorough cross-examination of the People's witnesses. Moreover, the trial court did not curb counsel's jury nullification summation arguments.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Criminal Law §§ 1111–1116.

CARMODY-WAIT 2d Right to Counsel §§ 184:163, 184:173, 184:174, 184:253, 184:257, 184:269.

LAFAVE, ET AL., CRIMINAL PROCEDURE (4th ed) § 11.10.

NY Jur 2d Criminal Law: Procedure §§ 862, 867–872, 885, 886, 890.

ANNOTATION REFERENCE

See ALR Index under Attorneys.

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POINTS OF COUNSEL

Paul Skip Laisure, Appellate Advocates, New York City (*Caitlin Halpern* of counsel), for appellant. Appellant was denied the effective assistance of counsel when his trial attorney advanced a jury nullification defense in violation of *People v Weinberg* (83 NY2d 262 [1994]), abandoning available legal defenses and urging the jury "only" to "be fair" because appellant "did not commit the crime of the century." (*Strickland v Washington*, 466 US 668; *People v Benevento*, 91 NY2d 708; *People v Mussenden*, 308 NY 558; *People v Rytel*, 284 NY 242; *People v Goetz*, 73 NY2d 751; *People v Sullivan*, 68 NY2d 495; *People v Willson*, 109 NY 345; *Duffy v People*, 26 NY 588; *People v Boyd*, 31 NY3d 953; *Sparf v United States*, 156 US 51.)

Eric Gonzalez, District Attorney, Brooklyn (*Gamaliel Marrero* and *Leonard Joblove* of counsel), for respondent. Defendant received effective assistance of counsel. (*Strickland v Washington*, 466 US 668; *People v Baldi*, 54 NY2d 137; *People v Benevento*, 91 NY2d 708; *People v Henry*, 95 NY2d 563; *People v Ambers*, 26 NY3d 313; *People v Taylor*, 1 NY3d 174; *People v Hobot*, 84 NY2d 1021; *People v Rivera*, 71 NY2d 705; *People v Stultz*, 2 NY3d 277; *People v Weinberg*, 83 NY2d 262.)

OPINION OF THE COURT

Chief Judge DiFiore.

This appeal presents the issue of whether defense counsel is ineffective for advancing a jury nullification defense at trial. Although jury nullification "is not a legally sanctioned function of the jury" (*People v Goetz*, 73 NY2d 751, 752 [1988]), we hold that counsel's representation, when viewed as a whole on this record, does not constitute ineffective assistance of counsel.

On two separate occasions, defendant unlawfully entered a multi-residential apartment building and stole the contents of packages from the mailbox area in the lobby. The items stolen were dog training pads and two pairs of pants. On both occasions, defendant's identity as the thief of the property was captured with clarity on the building's surveillance video. Defendant admitted to the police that he was the thief captured twice on the surveillance video and stated to his mother, on a recorded telephone call from Rikers Island, that he had been arrested for the "package thing." By indictment, defendant was charged with two counts each of burglary in the second degree, burglary in the third degree, petit larceny, and trespass. Defendant pleaded not guilty and proceeded to trial.

At the outset of the trial, defense counsel declared in his opening statement that there was "no great mystery" to the case and that this was a "rock-solid" case because the crimes were captured on video. However, counsel argued that the burglary charges do not fit the facts because the evidence would show that defendant took only mail packages of pairs of pants and "doggy pee pads." Counsel also stated that defendant did not break any locks, did not enter into anyone's apartment, and did not possess any burglar's tools during the incident. He told the jury that he had been "fighting for" defendant for over a year and implored the jurors to "join that fight when [they] listen to the evidence," a comment for which a People's objection was sustained.

The People's case included the surveillance video; defendant's admissions to the police; the telephone call recording; and photographs of the premises. The two victims, residents of the dwelling, also testified. Defense counsel cross-examined each of the witnesses called by the People. The defense rested after the close of the People's case.

In summation, defense counsel again commented on the sheer strength of the evidence against his client, repeatedly stating that there was no "great mystery" to the case and that he was not asking the jury to find defendant "not guilty" of the burglary charges but only to be fair. Counsel challenged the evidence of the unlawful entry into the building. He reiterated that the facts did not fit the crime because no locks were broken, no individual apartments were damaged, and defendant was armed with a sandwich (defendant can be seen eating a sandwich during the second crime) rather than any burglar's tools. Invoking Jean Valjean of *Les Misérables* and his theft of bread, counsel argued that stealing "doggy diapers and a pair of pants" is not "the crime of the century" and thus could not be considered burglary. Counsel pressed for leniency for defendant along the following lines:

> "This case, I submit to you, ladies and gentlemen, is overcharged. We're talking about packages laid out in the open, not going to anyone's apartment, packages laid out in the open on a ledge . . . . The man took doggy diapers and pants."

Counsel concluded by describing the case as an "overexaggerate[d] reality" based on the government deciding to "trump up" charges.

In response, the People emphasized the surveillance video and argued the sufficiency of the evidence presented, including that defendant had no right to be in the building, the lobby of the apartment building was a dwelling and a home to the residents, and that defendant targeted the lobby because it was a home. The prosecutor also pointed out that neither damage to any property nor forcible entry into the building were elements of the crimes charged.

In its legal instructions, the court charged the jury "to apply the law to the facts, and in that way decide the case" and "not be governed or influenced by sympathy or prejudice for or against any party." It instructed the jury as to the elements of burglary in the second degree, including the definitions of an unlawful entry and a dwelling. The court also made clear that any crime committed during the burglary is "separate and distinct" from the crime of burglary itself. The jury returned a verdict convicting defendant of both second-degree burglary and petit larceny.

On appeal, the Appellate Division rejected defendant's claim of ineffective assistance of counsel and affirmed the conviction, holding that "defense counsel pursued a reasonable strategy and provided meaningful representation" (155 AD3d 652, 652-653 [2d Dept 2017]). A Judge of this Court granted defendant leave to appeal (31 NY3d 1084 [2018]) and we now affirm.

Defendant argues that his trial counsel was ineffective because he "deliberately conceded appellant's guilt on all counts" and exclusively pursued a jury nullification defense to the exclusion of other viable defenses. The People contend that trial counsel "provided meaningful representation by developing and consistently advancing the defense theory that, while defendant was guilty of petit larceny, the People had overcharged defendant with respect to the burglary counts."

A defendant's right to the effective assistance of counsel is guaranteed by the Federal and State Constitutions (*see* US Const, 6th Amend; NY Const, art I, § 6). "To prevail on a claim of ineffective assistance, defendants must demonstrate that they were deprived of a fair trial by less than meaningful representation" (*People v Flores*, 84 NY2d 184, 187 [1994]). "Meaningful representation" is determined by an examination of "the evidence, the law, and the circumstances of a particular case, viewed in totality and as of the time of the representation" (*People v Oliveras*, 21 NY3d 339, 346 [2013], quoting *People v Baldi*, 54 NY2d 137, 147 [1981]). It is defendant's burden "to demonstrate the absence of strategic or other legitimate explanations" for alleged shortcomings (*People v Rivera*, 71 NY2d 705, 709 [1988]), and counsel's performance is "objectively evaluated to determine whether it was consistent with strategic decisions of a reasonably competent attorney" (*People v Benevento*, 91 NY2d 708, 712 [1998] [internal quotation marks and citations omitted]). In this case, we must determine whether the pursuit of a jury nullification defense, without much interference from the court or prosecutor, rises to the level of ineffective assistance of counsel.

The societal roles of both the court and the jury are not new. "Upon the court rests the responsibility of declaring the law; upon the jury, the responsibility of applying the law so declared to the facts as they, upon their conscience, believe them to be" (*Sparf v United States*, 156 US 51, 102 [1895]; *see Duffy v People*, 26 NY 588, 591 [1863]). "[W]hile the jury has the power to refuse to find any fact regardless of how clearly it may appear to a judge to have been proved, the jury does not, so to speak, have the right to find a fact and then refuse to render the verdict which such a finding necessarily requires" (*People v Mussenden*, 308 NY 558, 563 [1955]). However, jury nullification is "an inevitable consequence of the jury system" (*id.* at 562) and the system's "several features" designed "to protect the jury's power to acquit" (*United States v Thomas*, 116 F3d 606, 615 [2d Cir 1997]).

In *People v Goetz*, we held that "[t]he trial court did not err in instructing the jury that, if it found that the People had proved each of the elements of the crime beyond a reasonable doubt, it 'must' find defendant guilty" because "the jury's function is to apply the legal definition of the crime to the evidence and to convict if it is satisfied that each of the elements of the crime has been established beyond a reasonable doubt" (73 NY2d at 752). "While there is nothing to prevent a petit jury from acquitting although finding that the prosecution has proven its case, this so-called 'mercy-dispensing power' . . . is not a legally sanctioned function of the jury and should not be encouraged by the court" (*id.*).

Subsequently, in *People v Weinberg*, we concluded that defendant's argument that "he should have been permitted by the trial court to present the concept of jury nullification during summation is foreclosed by our holding in *People v Goetz*" (83 NY2d 262, 268 [1994]). Relying on *Goetz*, we explained that "[p]ermitting defense counsel instead to encourage the jury to abdicate its primary function would directly contravene the trial court's authority, recognized in *Goetz*, to instruct the jury that they must follow and properly apply the law" (*id.*).

We cannot say that, on this record when viewed in totality, defendant was provided with less than meaningful representation. Here, defense counsel was eminently familiar with the facts of the case and the evidence elicited, including the details of the surveillance video and the photographic exhibits. Given the truly overwhelming evidence against his client on all the charges, and constrained by the limited legitimate defense strategies available, counsel raised what he reasonably perceived could be factual issues in the case, such as the method of defendant's entry into the building. Counsel's performance included cogent opening and closing arguments, a motion to dismiss after the People's case-in-chief, and thorough cross-examinations of the People's witnesses. Moreover, the trial court did not curb counsel's jury nullification summation arguments. As a result, the whole record of counsel's performance demonstrates that defendant has failed to sustain his burden that he was deprived of meaningful representation (*see People v Sanchez*, 21 NY3d 216, 224 [2013]).* Accordingly, the Appellate Division order should be affirmed.

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* On this record on direct appeal, we reject defendant's ineffectiveness challenge to his trial counsel's defense strategy. However, a claim of ineffective assistance of counsel based on allegedly deficient trial strategy often is raised by a collateral or postconviction proceeding under CPL 440.10 (*see People v Brown*, 45 NY2d 852, 853-854 [1978]), and defendant is not precluded from commencing a proceeding "based on matters outside the [current] record and beyond review on this appeal" (*People v Henderson*, 28 NY3d 63, 66 [2016]).

Order affirmed.

Judges Rivera, Stein, Fahey, Garcia, Wilson and Feinman concur.

[128 NE3d 627, 104 NYS3d 550]

Sofia Fasolas, as Administratrix of the Estate of Elias N. Fasolas, Also Known as Elias Fasolas, Deceased, Respondent, v Bobcat of New York, Inc., et al., Defendants, Bobcat of Long Island, Inc., et al., Appellants, and Port Jefferson Rental Center, Inc., Doing Business as Taylor Rental Center, Respondent.

Argued March 26, 2019; decided May 9, 2019

SUMMARY

Appeal, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered April 12, 2017. The Appellate Division order, insofar as appealed from, affirmed so much of a judgment of the Supreme Court, Queens County (Roger N. Rosengarten, J.), as had, upon a jury verdict on the issues of liability and damages, awarded plaintiff money damages as against defendants Bobcat of Long Island, Inc. and Bobcat Company.

Fasolas v Bobcat of N.Y., Inc., 150 AD3d 147, reversed.

HEADNOTE

Products Liability — Defectively Designed Product — Absence of Optional Safety Feature — Product Sold to Rental Company — Liability of Manufacturer and Seller

The exception to the general rule of strict products liability for design defects set forth in *Scarangella v Thomas Built Buses* (93 NY2d 655 [1999]), where the manufacturer offers a product with an optional safety device and the purchaser chooses not to obtain it, is not categorically unavailable when the allegedly defective product came into the injured end user's hands through the rental market, rather than by a purchase transaction. Under *Scarangella*, a product is not defective—and a manufacturer or seller is not strictly liable for a design defect based upon a claim that optional safety equipment should have been a standard feature—when the buyer is thoroughly knowledgeable regarding the product and its use and is actually aware that the safety feature is available; there exist normal circumstances of use in which the product is not unreasonably dangerous without the optional equipment; and the buyer is in a position, given the range of uses of the product, to balance the benefits and the risks of not having the safety device in the specifically contemplated circumstances of the buyer's use of the product. Here, in an action alleging that the loader plaintiff's decedent had rented was defectively designed because it did not incorporate an optional door kit, the buyer's status as a retail rental company did not establish, as a matter of law, that it was not in a position to engage in the balancing analysis contemplated by the third prong of *Scarangella*. Nor was the *Scarangella* exception categorically unavailable to defendant manufacturer because the person making the purchasing decision on the rental company's behalf was not at risk of personal harm through use of the loader without the optional safety device, as there is no "risk of personal harm" requirement. By charging the jury that it should consider whether the loader was safe without the door kit for use "in the rental market"—rather than safe for its intended and reasonably foreseeable uses—the trial court put its imprimatur on plaintiff's expert's rental market theory. As the charge impermissibly expanded the universe of circumstances where the jury could have found the product to be defective, a new trial as to defendant manufacturer's liability was required.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d Products Liability §§ 534, 535, 603, 869, 906, 1165.

NY Jur 2d Products Liability §§ 63, 93, 105, 109, 113, 138, 208.

New York Law of Torts §§ 16:20, 16:45, 16:53.

Weinberger, New York Products Liability 2d §§ 18:2, 18:10.

ANNOTATION REFERENCE

See ALR Index under Design of Products and Structures; Products Liability; Strict or Absolute Liability.

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POINTS OF COUNSEL

Goldberg Segalla LLP, Garden City (*Brendan T. Fitzpatrick, Neil A. Goldberg* and *David S. Osterman* of counsel), for appellants. I. *Scarangella v Thomas Built Buses* (93 NY2d 655 [1999]) applied to bar plaintiff's design defect claim against Bobcat Company, which offered a safety option to a knowledgeable purchaser. (*Heller v U.S. Suzuki Motor Corp.*, 64 NY2d 407; *Codling v Paglia*, 32 NY2d 330; *Micallef v Miehle Co., Div. of Miehle-Goss Dexter*, 39 NY2d 376; *Torrogrossa v Towmotor Co.*, 44 NY2d 709; *McCarthy v Olin Corp.*, 119 F3d 148; *Robinson v Reed-Prentice Div. of Package Mach. Co.*, 49 NY2d 471; *Denny v Ford Motor Co.*, 87 NY2d 248; *Forni v Ferguson*, 232 AD2d 176; *Biss v Tenneco, Inc.*, 64 AD2d 204; *Warlikowski v Burger King Corp.*, 9 AD3d 360.) II. At the very least, the Supreme Court should have given the *Scarangella v Thomas Built Buses* (93 NY2d 655 [1999]) charge to the jury. (*Amodeo v*

Cumella, 41 AD3d 396; *Romero v Romero*, 231 AD2d 460; *Morgan v Solomon*, 305 AD2d 982.) III. The trial court improperly permitted plaintiff's counsel to question Bobcat Company's witness about allegedly similar incidents. (*Vega v Jacobs*, 84 AD2d 813; *Ramirez v Sears, Roebuck & Co.*, 236 AD2d 530; *Buonono v Moldenke*, 274 App Div 603; *Sawyer v Dreis & Krump Mfg. Co.*, 67 NY2d 328.)

The Pillersdorf Law Firm, New York City (*Andrew H. Pillersdorf* of counsel), for Sofia Fasolas, respondent. I. There is no basis on which to overturn the Appellate Division, Second Department's decision. (*People v Gruttola*, 43 NY2d 116; *Magraw v Hann*, 263 NY 674; *Beaumont v City of New York*, 56 AD3d 591; *Kiley v Almar, Inc.*, 1 AD3d 570; *Voss v Black & Decker Mfg. Co.*, 59 NY2d 102; *Warnke v Warner-Lambert Co.*, 21 AD3d 654; *Glenbriar Co. v Lipsman*, 5 NY3d 388; *Stiles v Batavia Atomic Horseshoes*, 81 NY2d 950; *People v Thatch*, 71 NY2d 906; *Matter of Westerfield*, 163 NY 209.) II. Even if the matter is reviewed on the merits, *Scarangella v Thomas Built Buses* (93 NY2d 655 [1999]) cannot apply to this case. (*Sprung v MTR Ravensburg*, 99 NY2d 468; *Johnson v Johnson Chem. Co.*, 183 AD2d 64; *Hoover v New Holland N. Am., Inc.*, 23 NY3d 41; *Sage v Fairchild-Swearingen Corp.*, 70 NY2d 579; *Speller v Sears, Roebuck & Co.*, 100 NY2d 38; *Voss v Black & Decker Mfg. Co.*, 59 NY2d 102; *Passante v Agway Consumer Prods., Inc.*, 12 NY3d 372; *Campbell v International Truck & Engine Corp.*, 32 AD3d 1184; *Warlikowski v Burger King Corp.*, 9 AD3d 360.) III. The jury charge as given was proper. (*Tucker v Elimelech*, 184 AD2d 636; *Phillips v United Artists Communications*, 201 AD2d 634; *Voss v Black & Decker Mfg. Co.*, 59 NY2d 102; *Miele v American Tobacco Co.*, 2 AD3d 799; *Sage v Fairchild-Swearingen Corp.*, 70 NY2d 579.) IV. Plaintiff's counsel's questioning of the defendant engineer was appropriate. (*Horton v Smith*, 51 NY2d 798; *Sanchez v Kato, Inc.*, 115 AD2d 646; *Vega v Jacobs*, 84 AD2d 813; *Sawyer v Dreis & Krump Mfg. Co.*, 67 NY2d 328; *Ramirez v Sears, Roebuck & Co.*, 236 AD2d 530; *People v Montgomery*, 216 AD2d 332.)

Keller, O'Reilly & Watson, P.C., Woodbury (*Scott C. Watson*, *Patrick J. Engle* and *Kathleen V. Meara* of counsel), for Port Jefferson Rental Center, Inc., doing business as Taylor Rental Center, respondent. I. The rare exception to the long-standing strict products liability principle set forth in *Scarangella v Thomas Built Buses* (93 NY2d 655 [1999]) is not applicable to this case. (*Liriano v Hobart Corp.*, 92 NY2d 232; *Rosado v*

Proctor & Schwartz, 66 NY2d 21; *Denny v Ford Motor Co.*, 87 NY2d 248; *Voss v Black & Decker Mfg. Co.*, 59 NY2d 102.) II. The evidence clearly shows that the three *Scarangella v Thomas Built Buses* (93 NY2d 655 [1999]) factors are not present in this action. (*Rainbow v Albert Elia Bldg. Co.*, 79 AD2d 287; *Warlikowski v Burger King Corp.*, 9 AD3d 360; *Wallach v American Home Prods. Corp.*, 300 AD2d 576; *Campbell v International Truck & Engine Corp.*, 32 AD3d 1184; *Cordani v Thompson & Johnson Equip. Co., Inc.*, 16 AD3d 1002; *Terwilliger v Max Co., Ltd.*, 137 AD3d 1699; *Rosado v Proctor & Schwartz*, 66 NY2d 21; *Biss v Tenneco, Inc.*, 64 AD2d 204; *Noveck v PV Holdings Corp.*, 742 F Supp 2d 284.) III. The jury charge was correct. (*Green v Downs*, 27 NY2d 205; *Robinson v Reed-Prentice Div. of Package Mach. Co.*, 49 NY2d 471; *Voss v Black & Decker Mfg. Co.*, 59 NY2d 102.) IV. Allowing the questioning of Bobcat's employee of alleged prior similar incidents is, at best, harmless error. (*Sawyer v Dreis & Krump Mfg. Co.*, 67 NY2d 328; *Cover v Cohen*, 61 NY2d 261.)

McGaw, Alventosa & Zajac, Jericho (*Andrew Zajac, Rona L. Platt, Caryn Lilling, Jessica L. Foscolo* and *Seth Weinberg* of counsel), for the Defense Association of New York, Inc., amicus curiae. The Appellate Division has dramatically departed from the well settled analytical framework to be applied in this area of the law and this Court should reverse course and adhere to its precedent in *Scarangella v Thomas Built Buses* (93 NY2d 655 [1999]). (*Voss v Black & Decker Mfg. Co.*, 59 NY2d 102; *Biss v Tenneco, Inc.*, 64 AD2d 204; *Pahuta v Massey-Ferguson, Inc.*, 170 F3d 125; *Parks v Ariens Co.*, 829 F3d 655; *Austin v Clark Equip. Co.*, 48 F3d 833; *Scallan v Duriron Co., Inc.*, 11 F3d 1249.)

OPINION OF THE COURT

Chief Judge DiFiore.

In *Scarangella v Thomas Built Buses* (93 NY2d 655 [1999]) we recognized an exception to the general rule of strict products liability for design defects, where the manufacturer offers a product with an optional safety device and the purchaser chooses not to obtain it. In this case, we must examine whether the exception is categorically unavailable when the allegedly defective product came into the injured end user's hands through the rental market, rather than by a purchase transaction. We conclude that no such "rental market" exclusion from *Scarangella* is appropriate, and that jury instructions incorporating the rental market theory espoused by plaintiff's expert were misleading and incompatible with governing precedent. Accordingly, we reverse the Appellate Division order and remit for a new trial as to the manufacturer's liability.

Elias Fasolas was killed while operating a Bobcat S-175 "skid-steer" loader (the loader) with a bucket attachment when a small tree entered the open operator cab, crushing him. Fasolas obtained the loader from defendant Port Jefferson Rental Center, Inc., doing business as Taylor Rental Center (Taylor), a retail rental center, pursuant to a two-day rental contract. Defendant Bobcat Company manufactured the loader and defendant Bobcat of Long Island, Inc., a distributor (collectively, Bobcat),[1] sold it to Taylor in November 2006, along with three others at a price of approximately $22,000 each. Taylor had similarly purchased twenty S-175 loaders with bucket attachments from Bobcat during the preceding decade, which were rented to a diverse clientele including schools, fire departments, churches, local businesses, contractors and homeowners. Plaintiff Fasolas' estate brought strict products liability claims against Bobcat and Taylor on defective design and failure to warn theories, among others.

The Bobcat S-175 loader is a ride-on machine that can be used for multiple light construction functions. It consists of a motorized base with wheels and hydraulic arms that can be raised and lowered. The loader can be used for different functions when connected to different attachments. It has an open front operator cab and includes rollover protection and fall protection systems as standard safety features. According to the manufacturer, the cab is open for easy use, convenient entry and exit and to promote operator visibility.

The loader can accommodate up to 150 different attachments, which are purchased separately. Each attachment performs a different function, enabling the machine to be customized for use for a variety of distinct tasks. The bucket attachment, which is available with or without teeth, is intended to be used to level soil and pick up or transport dirt, broken branches and other loose debris. A bucket with teeth, the attachment on the loader rented by Fasolas, is also able to dig up and loosen hard-packed earth. Some attachments—such

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1. Bobcat of Long Island, Inc. is a d/b/a of Bobcat of New York, Inc., which is named in the caption along with Bobcat of London, which is not mentioned in any allegations in the complaint. Only Bobcat Company and Bobcat of Long Island, Inc. appear in this Court.

as the “brush saw” and “jackhammer”—come with a “special applications kit” as a standard feature due to the potential for flying debris to enter the cab during the types of operation calling for those attachments. The special applications kit consists of a top, rear windows and front door made of a half-inch-thick plexiglass called “Lexan” (“the door kit”) and can be attached to the loader to enclose the cab and thus restrict airborne material from entering that area.

Although it came standard with some attachments, the door kit could also be purchased as an optional component at an approximate cost of $800 to $1,000 and used when the loader was equipped with the bucket attachment. However, Bobcat did not recommend the door kit for use with a bucket attachment like the one rented to Fasolas, since debris would not be expected to fly into the cab if the bucket was used as intended—to dig or move soil and other loose debris. According to Bobcat, the loader with bucket attachment was not intended to be used to knock down rooted trees, as other attachments were available for that function.

The precise circumstances surrounding Fasolas’ rental and use of the loader remain unclear. However, Taylor employees testified that it was standard practice to carefully question each prospective renter of a loader about the intended use of the product, explaining that they would refuse to rent the loader with bucket attachment for inappropriate tasks, such as removing tree stumps. According to the investigating detective, the nine-foot-tall tree that killed Fasolas was still rooted in the ground and apparently slid past the loader’s bucket attachment, entering the open cab. Post-accident photographs admitted at trial show the loader that Fasolas was operating at rest in an area comprised of brush and small trees.

As relevant here, plaintiff alleged that the loader was defectively designed because it did not incorporate the optional door kit.[2] At trial, plaintiff’s expert testified that the failure to include the door kit as a standard feature for any S-175 loader

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2. Plaintiff also raised a defective warning claim, alleging that Bobcat and Taylor failed to properly advise and train Fasolas on the availability of the door kit and the proper use of the loader. However, because the jury credited the failure to warn theory only as against Taylor (who is not an appellant in this Court), that claim is not at issue in this appeal brought by the Bobcat defendants. Indeed, Taylor appeared in this Court as a party respondent and joined plaintiff in defending the judgment, arguing that the *Scarangella* exception is inapplicable and that the jury charge was correct. Thus,

(n. cont’d)

with bucket attachment destined for the rental market was a "design defect" and that the Lexan door could have saved Fasolas' life by deflecting the tree from entering the cab. He conceded that the loader as configured without the door kit was not defective for all uses. His theory was that the defect was present when the product was placed in the "rental market" because, in his view, this created the potential for an untrained end-user to use the product in a manner for which the optional door kit would be recommended. Thus, the expert further opined that every piece of equipment going to the "rental market" needed "all of the safety devices available." The expert did not offer a basis for the implicit conclusion that a purchaser of the product would necessarily have more training or experience than a renter or would be better able to do without optional safety devices. Moreover, the expert admitted that the loader and the cab's opening complied with all industry standards for skid-steer loaders and represented industry "best practice"; he conceded that no industry writing, standard or expert supported his opinion that a loader sold to a rental company required a door kit as a standard feature.

Bobcat's position at trial was that the S-175 loader with bucket attachment was not defective without the door kit when used for its intended purpose—to move soil. Bobcat contended that Taylor had been made aware of the availability of the door kit through a variety of means, including handbooks and safety manuals accompanying the machines, and conversations between employees of Bobcat's distributors and Taylor's employees. Bobcat's employees testified that, upon delivery of each loader to Taylor, each item on a general checklist was checked off (ostensibly indicating it had been discussed), including the availability of the optional door kit. Bobcat's theory was that Fasolas misused the product by attempting to plow over or dig up trees, which was not a proper use of the loader with bucket attachment. The manufacturer's employees explained that different attachments for the loader are available for leveling trees and include the door kit as a standard feature to prevent airborne material from entering the cab.

At the close of plaintiff's case, the Bobcat defendants moved pursuant to CPLR 4401 for judgment as a matter of law dismissing the complaint against them, contending, among

Taylor's liability to plaintiff (under any theory) is both settled given the finality of the judgment as against it and beyond the scope of this appeal.

other things, that they could not be liable for failing to make the door kit a standard feature and should be relieved from strict liability under *Scarangella*. Tracking the three-pronged *Scarangella* test, Bobcat argued that (1) Taylor, the purchaser, was thoroughly knowledgeable about the loader with the bucket attachment and actually aware that the door kit was available; (2) under normal circumstances of use the loader with bucket attachment was not unreasonably dangerous without the optional door kit; and (3) Taylor was in a superior position than Bobcat to balance the benefits and risks of not purchasing the optional safety kit for the product's contemplated use by its clientele, including Fasolas.

The trial court reserved decision on the motion and denied Bobcat's request that the jury be instructed to consider whether Bobcat satisfied the *Scarangella* test. In its strict product liability charge, over Bobcat's objection, the court departed from the pattern jury instructions (PJI 2:120), fashioning a new charge advising the jury that it could find that the loader was "defective if it's not reasonably safe, and in this case we mean reasonably safe *to be put in the rental market*" (emphasis added). The jury was also instructed to consider whether the loader was defective because it did not "include a protective front door . . . *for the purposes of being rented*" (emphasis added). Additional modifications, similarly incorporating the rental market theory propounded by plaintiff's expert, permeated the charge.

The jury found that Fasolas was not at fault and rendered a verdict in favor of plaintiff, awarding $1 million in damages and finding the Bobcat defendants and Taylor liable on the defective design theory. It did not credit the failure to warn theory as against Bobcat but found that Taylor's warnings were defective and that its training of the deceased was inadequate. Twenty-five percent of the fault was apportioned to each Bobcat defendant and 50% to Taylor.

The court denied Bobcat's motion to set aside the verdict, rejecting the argument (among others) that the court erred in modifying the product liability charge to reflect the "rental market" theory. The court reasoned there were "two streams of commerce into which the [loader] . . . was released and to which the Bobcat Defendants owed a duty," and it was the "home owner, non-professional occasional renter who deserved protection from such dangers as befell the Plaintiff's decedent herein" (internal quotation marks omitted).

The Appellate Division affirmed, framing the question as "whether the manufacturer and seller of a product that is allegedly defective because of the absence of an optional safety device can invoke the *Scarangella* exception to liability where the product was sold to a buyer which, in turn, rented the product to the ultimate consumer" (150 AD3d 147, 150 [2d Dept 2017]). Answering that question in the negative, the Court held "that the *Scarangella* exception is not applicable where, as here, the product is sold to a rental company" (*id.* at 150-151). The Court reasoned that Bobcat knew "Taylor would be renting the loader to persons over whom Taylor had no control, and who might lack any experience operating heavy equipment" (*id.* at 155). The Court further speculated that Taylor had little motivation to engage in a reasonable risk-benefit analysis because its agent who purchased the machine "was not at risk of personal harm through use of the loader without the optional safety device" (*id.* at 156). Finally, it distinguished Taylor's position from that of the buyer in *Scarangella*, an employer in control of the work site where its employees would be mainly at risk.

We granted the Bobcat defendants leave to appeal to this Court (31 NY3d 906 [2018]). Because we do not adopt the rental market distinction as a limitation on our holding in *Scarangella* and conclude that plaintiff's expert's theory was improperly incorporated into the strict products liability instruction charged to the jury, we reverse the Appellate Division order and remit for a new trial as against them on the design defect claim.

Our recognition of the strict product liability cause of action in *Codling v Paglia* (32 NY2d 330 [1973]) rested on the principle that the manufacturer is in a superior position to know when its product is suitably designed and safely made for its intended purpose. Thus, imposing strict liability on the manufacturers for defects in the products they manufactured "should encourage safety in design and production; and the diffusion of this cost in the purchase price of individual units should be acceptable to the user if" it results in added assurance of protection (*id.* at 341). Although originally applied to cases involving manufacturing defects, the cause of action evolved to include claims based on defective design (*Voss v Black & Decker Mfg. Co.*, 59 NY2d 102 [1983]) and inadequate warnings (*Liriano v Hobart Corp.*, 92 NY2d 232 [1998]).

"[A] defectively designed product is one which, at the time it leaves the seller's hands, is in a condition not reasonably contemplated by the ultimate consumer and is unreasonably dangerous for its intended use" and "whose utility does not outweigh the danger inherent in its introduction into the stream of commerce" (*Voss*, 59 NY2d at 107 [internal quotation marks and citation omitted]). In a design defect case, the question for the jury "is whether after weighing the evidence and balancing the product's risks against its utility and cost . . . the product as designed is not reasonably safe" (*id*. at 109). In *Voss*, we identified a series of factors that are relevant to the jury's risk-utility analysis, including: (1) the product's utility "to the public as a whole and to the individual user; (2) the nature of the product—that is, the likelihood that it will cause injury; (3) the availability of a safer design; (4) the potential for designing and manufacturing the product so that it is safer but remains functional and reasonably priced; (5) the ability of the plaintiff to have avoided injury by careful use of the product; (6) the degree of awareness of the potential danger of the product which reasonably can be attributed to the plaintiff; and (7) the manufacturer's ability to spread any cost related to improving the safety of the design" (*id.* [citations omitted]; *Yun Tung Chow v Reckitt & Colman, Inc.*, 17 NY3d 29, 34 [2011]). These factors are "rooted in a recognition that there are both risks and benefits associated with many products and . . . instances in which a product's inherent dangers cannot be eliminated without simultaneously compromising or completely nullifying its benefits" (*Denny v Ford Motor Co.*, 87 NY2d 248, 257 [1995]).

In *Scarangella* (93 NY2d 655), we recognized an exception to the general rule of strict liability for design defects, where the manufacturer offers a product with an optional safety device that is not a required accessory, the purchaser chooses not to buy it and an injured party claims the product is defective due to the absence of the accessory. There, the plaintiff—a bus driver—was injured when struck by a bus that was being operated in reverse by a coworker. She brought a defective design claim against the bus manufacturer, claiming the bus should have been equipped with an automatic backup alarm because a driver always has a substantial blind spot when operating in reverse. The manufacturer offered an optional backup alarm but plaintiff's employer declined to purchase it because it was noisy and the employer was concerned about receiving complaints from the bus yard's suburban neighbors, instead opting to instruct drivers to sound the horn when reversing.

In determining that the manufacturer should not be liable for the accident, we held that a product is not defective—and a manufacturer or seller is not strictly liable for a design defect based upon a claim that optional safety equipment should have been a standard feature—when the following three conditions are met:

> "(1) the buyer is thoroughly knowledgeable regarding the product and its use and is actually aware that the safety feature is available; (2) there exist normal circumstances of use in which the product is not unreasonably dangerous without the optional equipment; and (3) the buyer is in a position, given the range of uses of the product, to balance the benefits and the risks of not having the safety device in the specifically contemplated circumstances of *the buyer's* use of the product" (*id*. at 661).

When these elements are present, "the buyer, not the manufacturer, is in the superior position to make the risk-utility assessment, and a well-considered decision by the buyer to dispense with the optional safety equipment will excuse the manufacturer from liability" (*id*.).

There is no claim here that *Scarangella* was wrongly decided. Rather, the dispute is over whether the exception is categorically unavailable to a manufacturer that sells its product to purchasers known to rent the product to the public. Bobcat asks this Court to reject the holding below that *Scarangella* has no application where "the product is sold to a rental company"—a conclusion apparently reached by no other court. The trial court denied Bobcat's request for a *Scarangella* charge and altered the pattern jury instruction based on the rental market theory of plaintiff's expert. The Appellate Division reasoned that *Scarangella* was not available here because, as a rental agent, Taylor did not retain "control" over the loader's use and thus could not have been in a superior position to engage in the risk-utility analysis required by prong three. We do not agree.

Both courts misinterpreted the third *Scarangella* factor which requires consideration of the purchaser's ability, in light of the possible uses of the product, to assess the risks and benefits of purchasing the safety device given the circumstances and the contemplated uses of the product at the time of acquisition. For these purposes, the contemplated "use" of the product was not "rental" or "placement in the rental market"—that is merely the process by which the product came into the hands of the end user. The preoccupation with this process deviates from our analysis in *Scarangella* by shifting the focus away from the purchaser's knowledge of the product and ability to make a reasoned judgment concerning the utility of the safety feature and toward the nature of the marketplace through which the product passed.

Bobcat's theory was that the loader was not unreasonably dangerous without the optional door kit when used for its intended purpose of moving soil and that Taylor knew its own clientele and was in control of who would have access to the loader (i.e., its rental customers) and for what purpose. Thus, it argued that Taylor was in a superior position, given the wide range of uses of the product, to balance the benefits and risks of not purchasing the door kit in the specifically-contemplated circumstances of its clients' intended uses. Taylor's status as a retail rental company does not establish, as a matter of law, that it was not in a position to engage in the balancing analysis contemplated by the third prong of *Scarangella*. Without question, whether the buyer exercises control over the product's use in its capacity as an employer or otherwise is a consideration that is relevant to a determination of the buyer's relative "position" to engage in the proper balancing inquiry—but it is not dispositive.[3] A lessor may be able to appropriately mitigate risk by carefully controlling to whom it rents its products and for what use. In this case, testimony was presented that Taylor rented its products to businesses, contractors, schools and other community institutions, such as the fire department—entities that may have possessed training and expertise in the use of loaders and other construction equipment.

We are also unpersuaded that the *Scarangella* exception was categorically unavailable to Bobcat here because "the person making the purchasing decision on Taylor's behalf was not at risk of personal harm through use of the loader without the optional safety device" (150 AD3d at 156). There is no "risk of

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3. As is evident from the facts in *Scarangella*, that an employer may control a workplace does not necessarily ensure that a product is being used safely and as contemplated at the time of purchase. In lieu of the backup alarm, the employer directed bus drivers to sound the horn when backing up but there was no evidence that the driver followed that directive and plaintiff testified that she did not hear a horn. Obviously, in that case the employer did not succeed at managing the risk—yet the manufacturer received the benefit of the exception.

personal harm" requirement in *Scarangella*. It is not unusual for a purchaser to obtain a product contemplating its use by someone else—an employee, coworker, partner, family member or, as in this case, customer. The fact that the end user may not be the purchaser is also not disqualifying under *Scarangella*. In fact, in that case the purchasing decision was made—not by an employee who worked in the bus yard—but by the president and chief operating officer of the bus company, which owned and operated 190 school buses and had 300 employees.

The *Scarangella* purchaser undoubtedly took the safety of his employees into account when he made the "considered decision" not to purchase the backup alarm. We are unwilling to presume, as a matter of law, that a purchaser such as Taylor would not have a comparable interest in the well-being of its retail rental customers. Moreover, unlike the bus company, which was shielded from direct liability for employee injury by the Workers' Compensation Law, Taylor could be—and in fact was—held liable for Fasolas' injuries and, thus, had and retains a pecuniary interest in ensuring the safety of the products rented to its customers. *Scarangella*'s three-prong test—faithfully applied—already requires assessment of the purchaser's basis of knowledge concerning the scope of the intended uses of the product and its ability to weigh the risks and benefits of available optional safety devices. There is no need to engraft a "rental market" exemption, nor does our rejection of that approach expand the *Scarangella* defense.

The misplaced focus on the fact that plaintiff acquired access to the loader through the rental process was not confined to the *Scarangella* issue. The trial court's product liability charge incorporated the same rental market theory underlying the creation of a blanket exemption from *Scarangella* and, thus, imparted an improper standard to the jury. Under the Pattern Jury Instructions, which are derived from our governing precedent, the focus of the jury's inquiry as to whether a product is defective is whether "it is not reasonably safe" "for its intended or reasonably foreseeable purpose" (PJI 2:120; NY PJI 2:120, Comment, citing *Voss*). A product is "not reasonably safe" if it "is so likely to be harmful to [persons] that a reasonable person who had actual knowledge of its potential for producing injury would conclude that it should not have been marketed in that condition" (PJI 2:120). In determining whether the product should have been marketed in that condition, the pattern charge instructs the jury to balance "the risks involved in using the product against (1) the product's usefulness and its costs, and (2) the risks, usefulness and costs of the alternative design[s] as compared to the product the defendant did market" (*id.*). The nature of the market transaction that placed the product in the end-user's hands—whether the product was purchased or rented—is not part of this calculus.

The uncontested trial testimony was that the intended uses of the loader with bucket attachment were to dig or move soil and other loose debris. Bobcat offered evidence that, in this configuration and for this purpose, the loader was safe without the door kit and that the door kit was designed for use with other attachments not purchased by Taylor. However, by charging the jury that it should consider whether the loader was safe without the door kit for use "in the rental market"—rather than safe for its intended and reasonably foreseeable uses—the court put its imprimatur on the expert's rental market theory. Rather than considering Bobcat's evidence that the loader with the bucket attachment was safe for its intended use without the door kit, the jury was led to believe that the manufacturer had some higher, undefined duty when the product came into the end user's possession in the course of a rental transaction. Indeed, the modified jury charge here improperly suggested that, when placed in the "rental market," the Bobcat loader had to be reasonably safe for "whatever use" a renter might make of it. Thus, the charge impermissibly expanded the universe of circumstances where the jury could have found the Bobcat product to be defective.

Plaintiff's expert conceded that the rental market theory he advanced would effectively require a manufacturer to include every optional safety device as a standard feature for every piece of equipment it knows is destined for the rental market. As a practical matter, this theory would be unworkable with respect to many products, including this one. The undisputed proof at trial indicated that the loader had 150 attachments that served different purposes and included various safety devices, depending on their function. Under the expert's theory, every safety device available for every attachment would need to accompany every loader entering the rental market. This would significantly raise the cost of the product—perhaps making it prohibitively expensive and, thus, essentially inaccessible to the occasional user that had neither the means nor the desire to purchase a loader. Because the court's jury instructions on defective design erroneously incorporated the rental market theory as a standard for the manufacturer to meet, Bobcat is entitled to reversal and a new trial on this basis alone.

Having deemed *Scarangella* to be wholly inapplicable, neither the trial court nor the Appellate Division examined whether Bobcat raised a triable question of fact warranting a *Scarangella* charge. Because Bobcat is entitled, in any event, to a new trial on the design defect claim due to the error in the strict products liability instruction, we have no occasion to do so either. For purposes of resolution of this appeal, it is sufficient to observe as a matter of law, based on the evidence presented at this trial, that Bobcat was not entitled to a directed verdict in its favor on the *Scarangella* exception. Whether a *Scarangella* instruction will be appropriate on retrial is a matter for the trial court to determine based on the evidence presented at that time. Bobcat's evidentiary argument is academic.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be reversed, with costs, and the motion of defendants Bobcat of Long Island, Inc. and Bobcat Company for a new trial granted.

RIVERA, J. (dissenting). In this appeal, we must determine whether the exception to strict products liability recognized in *Scarangella v Thomas Built Buses* (93 NY2d 655 [1999]) applies to a manufacturer that sells its product to a rental company, which in turn rents it to an individual who suffers injuries that were allegedly caused by the manufacturer's failure to install as standard an optional safety device. The majority's expansion of *Scarangella* to absolve a manufacturer of liability, if the renting company has information about the product and the optional safety equipment that has not been provided to the renter, runs counter to our products liability public policy goals and the instrumentalist rationale of *Scarangella*.

Contrary to the majority view, under New York's established tort law doctrine and product liability rules for design defect claims, the manufacturer could not avoid its nondelegable duty to produce a safe product based solely on information about the product known to a rental company. Instead, "departure from the accepted rationale imposing strict liability upon the manufacturer" (*id.* at 661) was justified only when the ultimate user, or another party in the chain of distribution with control over the use environment, was sufficiently knowledgeable about the product and the optional safety device's availability to conduct an adequate multifactor risk-utility analysis (*id.*; *Voss v Black & Decker Mfg. Co.*, 59 NY2d 102, 109 [1983]).

Here, the evidence did not establish that the person in the best position to balance the risk and benefits of the product's use without the safety device—the renter—had such knowledge, or that the manufacturer took steps when entering the rental equipment market to ensure the renter would receive the information necessary to engage in a risk utility analysis, even if the manufacturer did not have direct access to the renter. Therefore, the question of the manufacturer's strict liability, based on its introduction into the rental market of its machinery without the safety device, was properly submitted and charged to the jury. A new trial is not warranted, and I would affirm the order of the Appellate Division.

I.

Manufacturer Products Liability for Design Defects

Before turning to the application of strict liability for a defectively designed product introduced to the ultimate user through a rental market distribution chain, it is important to review, in broad strokes, the development of products liability theory. Generally, this area of law has developed in response to the shortcomings of other legal rules in addressing the costs of injuries caused by changes in the market (Guido Calabresi, *A Broader View of the Cathedral: The Significance of the Liability Rule, Correcting a Misapprehension*, 77 Law & Contemp Probs 1 [2014]). Its analytical tenets are grounded in social policy concerns and instrumentalist goals (*see* Michael L. Rustad, *Twenty-First-Century Tort Theories: The Internalist/Externalist Debate*, 88 Ind LJ 419 [2013]).

A. Strict Liability for Product Injuries

"In many ways, the birth of modern products liability in the United States can be traced to Judge Cardozo's 1916 majority opinion . . . in MacPherson v. Buick Motor Co." (Daniel W. Leebron, *An Introduction to Products Liability: Origins, Issues and Trends*, 1990 Ann Surv Am L 395, 396 [1991]).[1] Judge Cardozo rejected the traditional privity-based liability for

1. As one commentator has noted, the groundwork for *MacPherson* and the national movement leading to

> "[t]he erosion of the barrier of privity in negligence actions began in 1852 when the New York State Court of Appeals held [in

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negligence that depended on a contractual duty to the purchaser of a product, because "[i]f the nature of a thing is such that it is reasonably certain to place life and limb in peril when negligently made, it is then a thing of danger" (*MacPherson v Buick Motor Co.*, 217 NY 382, 389 [1916]). This analysis excised privity as "the principal bar to recovery for persons injured by products" (Product Liability § 1.01). In the century since the *MacPherson* decision, other jurisdictions have adopted and expanded upon the exception to privity (*see e.g. Coakley v Prentiss-Wabers Stove Co.*, 182 Wis 94, 106, 195 NW 388, 392 [1923] [collecting cases in other jurisdictions];William J. Prosser, *The Assault Upon the Citadel [Strict Liability to the Consumer]*, 69 Yale L J 1099, 1101-1102 [1960]).[2] The Restatement of Torts adopted strict liability in 1965 (Restatement [Second] of Torts § 402A), state legislatures enacted product liability statutes, and the jurisprudence continued to develop.[3] Courts drew from contracts, theories of warranty, as well as tort in adopting standards for products liability. As noted by the Restatement (Third) of Torts: Products Liability, " 'strict products liability' is a term of art that reflects the judgment that products liability is a discrete area of tort law which borrows from both negligence and warranty. It is not fully congruent with classical tort or contract law" (Restatement [Third] of Torts: Products Liability § 1, Comment *a*). The law expanded to permit claims for failure to warn, instruct, inspect or test, and for manufacturing and design defects.

> *Thomas v Winchester*, 6 NY 397 (1852)] that a seller could be held liable to third persons not in privity with the seller for the seller's negligence in the manufacture or sale of products 'imminently' or 'inherently' dangerous to the ultimate user. . . . By the early 1900's, liability was imposed without privity in a few cases involving products that were not in themselves inherently dangerous, but which became so when defectively manufactured" (John S. Allee, Theodore V.H. Mayer & Robb W. Patryk, Product Liability § 1.02 [2018]).

2. Res ipsa loquitur was heavily relied upon during the evolution of this area of torts law (*see e.g. Escola v Coca Cola Bottling Co. of Fresno*, 24 Cal 2d 453, 461, 150 P2d 436, 440 [1944, Traynor, J., concurring] [concurring in the judgment but stating that strict liability, not res ipsa loquitur, should be the applicable standard, relying on the articulation of the rule in *MacPherson*]; *see generally* Matthew R. Johnson, Note, *Rolling the "Barrel" a Little Further: Allowing Res Ipsa Loquitur to Assist in Proving Strict Liability in Tort Manufacturing Defects*, 38 Wm & Mary L Rev 1197 [1997]).

3. For a comprehensive discussion of the development of products liability, including strict liability for design defects, see David W. Leebron, *An Introduction to Products Liability: Origins, Issues and Trends*, 1990 Ann Surv Am L 395 (1991).

As the law developed to recognize strict liability for a manufacturer's defective design, jurisdictions differed on their approaches for holding a manufacturer liable (*see generally* Kyle Graham, *Strict Products Liability at 50: Four Histories*, 98 Marq L Rev 555 [2014]; Dominick Vetri, *Order Out of Chaos: Products Liability Design-Defect Law*, 43 U Rich L Rev 1373 [2009]; David G. Owen, *Design Defects*, 73 Mo L Rev 291 [2008]). Current law reflects jurisdictional variations on the same theme: the manufacturer is liable for a defect in the design of its product that is the proximate cause of a plaintiff's injury. Examples of product recalls and extensive litigation that have received national attention over the years easily come to mind—phones unexpectedly catching fire, car ignition switch flaws, drugs substantially increasing the risk of heart attack and death—and easily illustrate the interest in addressing the harms caused by unsafe products.[4]

The main features of products liability are straightforward: it relieves the plaintiff from establishing that the manufacturer acted negligently in designing the product and generally does not permit shifting preventable risks to consumers (*Voss*, 59 NY2d at 107 ["Liability attaches when the product, as designed, presents an unreasonable risk of harm to the user"]). The Restatement (Third) of Torts: Products Liability rejected "the 'consumer expectations test' as the governing standard for defining product defect" (Products Liability § 8, Comment *b*), and instead adopted a foreseeability test. Thus, a product "is defective in design when the foreseeable risks of harm posed by the product could have been reduced or avoided by the adoption of a reasonable alternative design by the seller or other distributor, or a predecessor in the commercial chain of distribution, and the omission of the alternative design renders the product not reasonably safe" (Restatement [Third] of Torts: Products Liability § 2 [b]).[5] This Restatement also rejected the patent danger rule—which had been adopted by various

4. Paul Mozur, *Battery Flaws Caused Phones to Catch Fire, Samsung Says*, NY Times, Jan. 23, 2017, § B at 1; Bill Vlasic & Rebecca R. Ruiz, *Agency Expects More Deaths from G.M.'s Ignition Flaw*, NY Times, May 24, 2014, § B at 3; Alex Berenson, *Merck is Said to Agree to Pay $4.85 Billion for Vioxx Claims*, NY Times, Nov. 9, 2007, § A at 1.

5. To the extent the majority focuses on the fact that Bobcat offered evidence that the loader was safe without the door kit "for [the specific] purpose of moving soil," (majority op at 432, 434), the majority ignores our settled law that "[a] manufacturer who sells a product in a defective condition is liable for injury which results to another when the product is used for its intended

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jurisdictions—meaning manufacturers have a duty to eliminate obvious risks when they can do so by cost-effective design changes (Restatement [Third] of Torts: Products Liability § 2, Comment *d*). This reflects the Third Restatement's view that liability for design defects is "predicated on a different concept of responsibility" than, for example, manufacturing defects because design defects are by definition based on "the manufacturer's own design . . . standards" (Restatement [Third] of Torts: Products Liability § 2, Comment *a*). Accordingly, "various trade-offs need to be considered in determining whether accident costs are more fairly and efficiently borne by accident victims, on the one hand, or, on the other hand, by consumers generally through the mechanism of higher product prices attributable to liability costs imposed by courts on product sellers" (*id.*). This devolves to whether the manufacturer has made the choice society is willing to accept as to the balance between the risks of the product as designed and the benefits it provides.

Strict liability is justified by public policies that seek to reduce injuries while acknowledging the benefits of inventions and product development (*see Codling v Paglia*, 32 NY2d 330, 341 [1973]; Calabresi, *A Broader View of the Cathedral*, 77 Law & Contemp Probs 1, 12 [discussing the liability rules in tort as "an essential part of the social structure and of the law" and the fundamental public function of tort]). Courts attempt to achieve social goals by adopting standards of strict liability that accomplish any or a combination of the following outcomes: (1) entrepreneurial liability, meaning accident costs are included in the cost of doing business; (2) risk-spreading by manufacturers because they are in a better position "to absorb and allocate risk of injury through price increases, insurance, etc., than those who suffer illness and disability from defective products" (Product Liability § 1.04 [1]); (3) compensation of innocent victims; (4) deterring the production of unsafe products, and improving product quality; (5) the party that introduces the product into the market bears the costs of injury rather than the customer who is powerless to protect against defective products; and (6) risk control, to ensure liability is placed on the entity "in the best position to understand the nature and the extent of the risk and to control that risk" (Product Liability § 1.04 [1] [g]).

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purpose *or for an unintended but reasonably foreseeable purpose*" (*Lugo v LJN Toys*, 75 NY2d 850, 852 [1990] [emphasis added]).

B. Manufacturer Design Defect Strict Liability under New York Law

Our Court has set forth clear rules in this area of law: "[w]here a plaintiff is injured as a result of a defectively designed product, the product manufacturer or others in the chain of distribution may be held strictly liable for those injuries" (*Hoover v New Holland N. Am., Inc.*, 23 NY3d 41, 53 [2014]). Accordingly, "the manufacturer is under a nondelegable duty to design and produce a product that is not defective" (*Robinson v Reed-Prentice Div. of Package Mach. Co.*, 49 NY2d 471, 479 [1980]).

"[A] defectively designed product is one which, at the time it leaves the seller's hands, is in a condition not reasonably contemplated by the ultimate consumer and is unreasonably dangerous for its intended use; that is one whose utility does not outweigh the danger inherent in its introduction into the stream of commerce" (*id.*). The Court has also explained that "[s]trict products liability for design defect . . . differs from a cause of action for a negligently designed product in that the plaintiff is not required to prove that the manufacturer acted unreasonably in designing the product. The focus shifts from the conduct of the manufacturer to whether the product, as designed, was not reasonably safe" (*Voss*, 59 NY2d at 107). A manufacturer is strictly liable for a design defect because "regardless of [the manufacturer's] lack of actual knowledge of the condition of the product [the manufacturer] is in the superior position to discover any design defects and alter the design before making the product available to the public. Liability attaches when the product, as designed, presents an unreasonable risk of harm to the user" (*id.*; *see also Codling*, 32 NY2d at 340 ["In today's world, it is often only the manufacturer who can fairly be said to know and to understand when an article is suitably designed and safely made for its intended purpose"]). "[I]n the products liability cases, rather than arising out of the 'will or intention of the parties', the liability imposed on the manufacturer is predicated largely on considerations of sound social policy, including consumer reliance, marketing responsibility and the reasonableness of imposing loss redistribution" (*Milau Assoc. v North Ave. Dev. Corp.*, 42 NY2d 482, 489 [1977] [citations and alterations omitted]), in addition to the social policies already set forth above. Thus, a manufacturer is strictly liable for injuries proximately caused by a design defect in its product (*id.*).

In *Voss*, the Court identified seven nonexclusive factors to be considered in balancing the risks created by the product's design against its utility and cost, including:

> "(1) the utility of the product to the public as a whole and to the individual user; (2) the nature of the product—that is, the likelihood that it will cause injury; (3) the availability of a safer design; (4) the potential for designing and manufacturing the product so that it is safer but remains functional and reasonably priced; (5) the ability of the plaintiff to have avoided injury by careful use of the product; (6) the degree of awareness of the potential danger of the product which reasonably can be attributed to the plaintiff; and (7) the manufacturer's ability to spread any cost related to improving the safety of the design" (52 NY2d at 109).

The requisite

> "analysis is rooted in a recognition that there are both risks and benefits associated with many products and that there are instances in which a product's inherent dangers cannot be eliminated without simultaneously compromising or completely nullifying its benefits. In such circumstances, a weighing of the product's benefits against its risks is an appropriate and necessary component of the liability assessment under the policy-based principles associated with tort law" (*Denny v Ford Motor Co.*, 87 NY2d 248, 257 [1995] [citation omitted]).

Similar to the view of the Third Restatement, the Court has acknowledged that unlike manufacturing defects, "[i]n design defect cases, the alleged product flaw arises from an intentional decision by the manufacturer to configure the product in a particular way" (*id.* at 257 n 3). The Court has thus recognized that this risk-utility analysis is "closer to that used in traditional negligence cases, where the reasonableness of an actor's conduct is considered in light of a number of situational and policy-driven factors" (*id.* at 257; Restatement [Third] of Torts: Products Liability § 1, Comment *a*).

In *Scarangella v Thomas Built Buses*, this Court recognized an exception to a manufacturer's strict liability for a design defect and shifted the manufacturer's responsibility for the risk-utility analysis to a buyer with superior knowledge about the risks and benefits of the buyer's contemplated use without the optional safety device.[6] "In an effort to lend predictability to litigation of this kind" (*Passante v Agway Consumer Prods., Inc.*, 12 NY3d 372, 384 [2009]), the Court identified "some governing principles for cases where a plaintiff claims that a product without an optional safety feature is defectively designed because the equipment was not standard" (*Scarangella*, 93 NY2d at 661).

> "The product is not defective where the evidence and reasonable inferences therefrom show that: (1) the buyer is thoroughly knowledgeable regarding the product and its use and is actually aware that the safety feature is available; (2) there exist normal circumstances of use in which the product is not unreasonably dangerous without the optional equipment; and (3) the buyer is in a position, given the range of uses of the product, to balance the benefits and the risks of not having the safety device in the specifically contemplated circumstances of *the buyer's* use of the product. In such a case, the buyer, not the manufacturer, is in the superior position to make the risk-utility assessment, and a well-considered decision by the buyer to dispense with the optional safety equipment will excuse the manufacturer from liability. When the factors are not present, there is no justification for departure from the accepted rationale imposing strict liability upon the manufacturer because it 'is in the superior position to discover any design defects' " (*Scarangella*, 93 NY2d at 661, quoting *Voss*, 463 NY2d at 107).

Our Court has since clarified that

> "[u]nder *Scarangella*, the second question is not whether equipment 'would normally be used' without unreasonable danger; it is whether 'there exist normal circumstances of use' where the danger is not unreasonable. In other words, if there exist buyers who use the product normally and can forgo the safety feature without unreasonable risk,

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6. *Scarangella* recognized a limited exception to our products liability rules that applies solely to a manufacturer's optional safety device, and not to any possible "accessory," as suggested by the majority (majority op at 430).

> the judgment as to which buyers ought to do so is left to the buyers themselves" (*Passante*, 12 NY3d at 385).

In those cases where a defendant manufacturer argues that the exception applies, the trial court conducts an analysis in accordance with the principles set forth in *Scarangella* to determine whether the plaintiff made a prima facie showing that the manufacturer's failure to install the optional safety device is a design defect, so as to present a triable issue of fact for the jury on that question. If the court concludes the plaintiff has met this threshold burden, the jury is charged with determining "if a reasonable person who knew or should have known of the product's potential for causing injury and of the feasible alternative design[s] would have concluded that the product should not have been marketed in that condition" (PJI 2:120; *Voss*, 59 NY2d at 108-109). In reaching its verdict, the jury must "balanc[e] the risks inherent in the product, as designed, against its utility and cost," weighing such relevant factors as those recognized in *Voss* (*see Voss*, 59 NY2d at 109).[7]

II.

Scarangella Applies Solely to Cases Where the Ultimate User or Purchaser with Control over the Use Environment Has Special Knowledge

Defendant is a manufacturer who argues that the *Scarangella* exception to strict products liability applies because the rental company to which it sold its injury-causing product had knowledge about the machine and the available optional safety device to make the requisite risk-utility analysis. This application of *Scarangella*—which shifts the balancing of risks and benefits to a rental company that is neither the ultimate user nor has control over the use environment—and now adopted by

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7. To the extent the majority suggests that a plaintiff must produce expert testimony to prove that *Scarangella* does not apply (majority op at 427), the law is to the contrary. *Scarangella* does not require expert testimony by the plaintiff; instead, the court's analysis is based on the information about the product, the safety device, and the use environment—information which is a defendant's burden to bring forward to establish that the exception applies (*see Passante v Agway Consumer Prods., Inc.*, 12 NY3d 372, 381 [2009] [defendants' burden to make a prima facie showing of entitlement to judgment as a matter of law on *Scarangella* factors]).

the majority—is inapt. The exception recognized in *Scarangella* to strict liability applies when the party has adequate information about the product and the optional safety device, along with superior knowledge to that of the manufacturer of the circumstances of the particular use. In a case involving the rental market, that party is the renter, not the rental company.[8]

A. The Underlying Litigation

Sofia Fasolas, as administrator of Elias Fasolas's estate, commenced this wrongful death action, alleging strict liability for defective design and manufacture, negligence, breach of express and implied warranties, and failure to warn. As established at trial, Elias Fasolas rented a Bobcat S 175 skid-steer loader with a bucket attachment from defendant-respondent Port Jefferson Rental Center, Inc., doing business as Taylor Rental Center (Taylor). Taylor purchased the loader from defendant Bobcat of Long Island, Inc. (Bobcat LI), the distributor for manufacturer defendant Bobcat Company (Bobcat). Taylor rents various products, including Bobcat machinery, to the general public.

For over 50 years, Bobcat has built "compact equipment" and leads the industry in the design, manufacture, marketing, and distribution of this equipment for construction, rental, landscaping, agriculture, grounds maintenance, government, utility, industry, and mining.[9] Bobcat's brochure at the time of the incident asserted that its skid loaders set the standard for design, productivity, and comfort and that the loaders were "state of the art."

The loader is a piece of machinery that could be outfitted with up to 150 different attachments to allow it to be used for numerous landscaping-type tasks. Among those attachments

8. No party requests that we revisit *Scarangella*'s underlying presumptions or ultimate holding to absolve a manufacturer of strict liability based on a purchaser's knowledge of the product's risks and uses. Given that the parties do not challenge the framework adopted in that case, I have no occasion to opine on the soundness of the *Scarangella* approach to products liability as a general matter, nor the more discrete question whether application of *Scarangella* to an employer—a party typically free of tort liability under Worker's Compensation laws—should be reconsidered (*see* James A. Henderson, Jr. & Aaron D. Twerski, *Optional Safety Devices: Delegating Product Design Responsibility to the Market*, 45 Ariz St LJ 1399, 1410 [2013]).

9. Bobcat, Overview, https://www.bobcat.com/company-info/about/overview (last visited Apr. 10, 2019), cached at http://www.nycourts.gov/reporter/webdocs/BobcatOverview.pdf. According to Bobcat's website, its brand has "earned the nickname 'One Tough Animal.' "

are the "bucket attachment"—either with or without "teeth"—that could be used to move and pick up dirt, broken branches, downed trees, and debris. A bucket with teeth can dig and loosen up packed soil. Bobcat also manufactured an optional special applications kit which could be purchased for installation on the loader. As relevant here, the kit included a thick plastic front door for the operator cab—what the parties refer to as the optional safety device. The Bobcat defendants presented evidence at trial that it recommended installation of the door when the loader was used with attachments that created the risk of flying debris—such as the drilling attachment. The door was not recommended when the loader was used to move and level soil because it would obstruct the user's visibility and make it more difficult to escape the cab. It is undisputed that Taylor purchased at least eight loaders over the course of five years but did not purchase the kits or have the doors installed on the loaders.

Elias rented the loader without the door from Taylor for personal use, to clear land on his family's property. He died while operating the loader when a small tree entered the open front section of the cab and pushed him back, pinning him against the back wall and ceiling of the cab. While the tree did not enter his body, he was pushed up and crushed to death by the tree. The tree pushed Elias off the controls (which are hand controlled) and unable to reach them, Elias could not move the loader to back it off the tree. The end of the tree remained rooted in the ground. There was evidence that Elias likely suffered pain and terror for approximately 5 to 10 minutes as he died. Plaintiff claimed that the loader without the door was a design defect that proximately caused Elias's death. Plaintiff's expert testified that, given the product was entering the rental market, it was defectively designed to not have the thick plastic door as a standard feature.

The testimony of both Taylor employees was consistent with their having learned of the availability and purpose of the kit and the door specifically only after Elias's accident. Although a Bobcat LI employee would go through a checklist with a Taylor employee upon delivery of a loader, the checklist had 20 different items on it and did not mention the door by name. Bobcat's brochure mentioned the availability of the "special applications kit," which apparently included the door, but did not contain specific language about the door or its purpose.

Supreme Court denied the Bobcat defendants' request for a jury charge on the *Scarangella* exception and charged the jury on whether the product was defectively designed for use in the rental market. The jury returned a verdict in favor of plaintiff, and, as relevant here, apportioned each Bobcat defendant 25% liability on a defective design theory. Supreme Court denied defendants' pre- and post-verdict motions seeking to avoid liability, concluding that *Scarangella* was "not applicable" because Taylor was not the ultimate user. The Appellate Division affirmed, holding the *Scarangella* exception inapplicable because the manufacturer sold to a rental company knowing that the company would rent to persons over whom it had no control and who might lack expertise in operating the equipment (150 AD3d 147 [2017]).

B. A Manufacturer Remains Strictly Liable for Design Defects When it Enters the Product Rental Market

The majority adopts the view, advocated here, that the exception recognized in *Scarangella* applies to absolve the manufacturer of strict liability for a design defect when it sells its product to a rental company that has knowledge about the product and the manufacturer's optional safety device (majority op at 424, 432). The majority's analysis mischaracterizes the relevant question as "whether the exception is categorically unavailable when the allegedly defective product came into the injured end user's hands through the rental market, rather than by a purchase transaction" (majority op at 424, 431). The question is not whether the end user rented or purchased the product, but whether the end user has the type of knowledge necessary to make the risk-benefit analysis that traditionally falls to the manufacturer. The majority's rejection of a " 'rental market' exclusion from *Scarangella*" (majority op at 424) is an answer in search of a problem. It is already the case that a rental company is subject to claims for liability for its role in the distribution chain of an allegedly defectively designed product (Restatement [Third] of Torts: Products Liability § 20 [b] ["Commercial nonsale product distributors include, but are not limited to, lessors, bailors, and those who provide products to others as a means of promoting either the use or consumption of such products or some other commercial activity"]). The real issue is whether the manufacturer may escape strict liability by choosing to distribute its product through a third-party rental company. Our cases, including *Scarangella*, do not mandate absolution where the information available to the buyer fails to place the buyer in the position of "a highly knowledgeable consumer" (*Scarangella*, 93 NY2d at 661).[10]

The facts of *Scarangella* illustrate the point. The third-party defendant in that case was a bus company that declined an optional backup alarm for its fleet of buses. The company had decades of information and experience about how school buses function, the conditions under which the buses would be used without the optional backup alarm device, and knowledge about the risks to its bus driver employees if it did not use the backup alarm (*id.*). Although the defendant manufacturer did not sell to the end user (i.e., the bus drivers), it sold to their employer—the party that instructed the drivers and wielded control over the environment in which the product was used. Indeed, because of the bus company's unique experience, it had access to information about the product and the safety device and the environment in which the buses would be moved. As a consequence of this base knowledge, the company was able to weigh the risks of forgoing use of the backup alarm.

The justifying premise of *Scarangella*—that "the buyer, not the manufacturer, is in the superior position to make the risk-utility assessment, [such that] a well-considered decision by the buyer to dispense with the optional safety equipment will excuse the manufacturer"—has no application where the manufacturer relies on the rental company's knowledge alone (93 NY2d at 661). The rental company is not the end user and, unlike the bus company in *Scarangella*, the rental company has no control over the environment in which the product will be used.

It is the renter and not the rental company that is "in the best position to make the cost-benefit analysis and act upon it" (Guido Calabresi & Jon T. Hirschoff, *Toward a Test for Strict*

10. The majority's contention that holding a manufacturer strictly liable for design defects when the manufacturer sells to a rental agency is "unworkable" (majority op at 434) reflects a misunderstanding of the plaintiff's theory and the facts in the appeal before us, as well as basic products liability doctrine. The majority claims that because the loader had 150 attachments that served different purposes "every safety device available for every attachment would need to accompany every loader entering the rental market" (*id.*). There was no testimony at trial suggesting any other potential safety devices—rather a single safety device (the door) that was already recommended by Bobcat for multiple iterations of the product. Additionally, pointing out the complexity of the product and the many considerations involved in analyzing the risk-utility trade-off for each of 150 uses only further suggests that the manufacturer of such a specialized product is typically in a far better position to conduct such an analysis.

Liability in Torts, 81 Yale L J 1055, 1063 [1972]). Indeed, because the rental company has no control over how the product will actually be used, the only way a rental company can assure that it does not run afoul of the majority's interpretation of *Scarangella* is to purchase all the optional safety equipment, or not rent the machinery at all. The former essentially makes the optional device standard for rental purposes; the latter removes from the market a multipurpose product with various beneficial uses that in certain circumstances is not unreasonably dangerous without the safety device. Neither outcome furthers the public policy goals of risk control, allocative efficiency,[11] and consumer autonomy that justify our state's products liability rules.

The majority contends that whether the purchaser "exercises control over the product's use in its capacity as an employer or otherwise is a consideration that is relevant to a determination of the buyer's relative 'position' to engage in the proper balancing inquiry—but it is not dispositive" (majority op at 432). The majority argues that the facts of *Scarangella* demonstrated that the employer was not able to sufficiently control the workplace to ensure the product's safe use. However, the question is not whether the buyer *succeeded* in making the environment accident-proof. The question is whether *at the time of purchase* the buyer was in a *better* position than the manufacturer to properly balance the product's utility and risks without the optional safety device. *Scarangella* recognized that a manufacturer was not liable in those rare cases where the purchaser was sufficiently knowledgeable and motivated to make that determination. Central to the analysis was our Court's recognition that the persons at risk from the decision not to purchase the optional safety device were the buyer and "almost exclusively" those within the buyer's employ who were specifically instructed and required to use the product in a certain manner as part of their employment (*Scarangella*, 93 NY2d at 662). The scenario presented here is akin to a leasing arrangement, which generally does not absolve a manufacturer of strict liability for a design defect merely by selling the product to a lessor. Rather, both may be liable, and a commercial lessor of a particular product can be strictly liable, just like the

11. Allocative efficiency is an economics theory of tort law which focuses on the optimal distribution of goods and services, taking into account consumer preferences. When the output of production is as close as possible to the marginal cost the market has achieved allocative efficiency.

manufacturer (*see* Michael Weinberger, New York Products Liability 2d § 5:7 [2019]; *Assam v Deer Park Spring Water, Inc.*, 163 FRD 400, 405 [ED NY 1995] [applying New York law]; *Winckel v Atlantic Rentals & Sales*, 159 AD2d 124 [2d Dept 1990]; *Mi Suk Buley v Beacon Tex-Print*, 118 AD2d 630, 631 [2d Dept 1986]; *Nastasi v Hochman*, 58 AD2d 564 [1st Dept 1977]). New York and "[m]ost jurisdictions that have adopted the doctrine of strict liability in products liability have also, when faced with the question, applied the doctrine to commercial lessors or bailors of products, or to lease transactions which are commercial in nature and are not isolated cases" (Am L Prod Liab 3d § 36:19; *see also* Restatement [Third] of Torts: Products Liability § 1, Comment *b* ["The rule stated in this Section applies not only to sales transactions but also to other forms of commercial product distribution that are the functional equivalent of product sales"]; Restatement [Third] of Torts: Products Liability § 20 [b] ["Commercial nonsale product distributors include, but are not limited to, lessors, bailors, and those who provide products to others as a means of promoting either the use or consumption of such products or some other commercial activity"]).[12]

III.

Additional Policy Concerns

Several policy concerns further inform and confirm this analysis, as viewed through the lens of our approach to strict liability for defectively designed products (illustrated by the *Voss* line of cases) and this Court's cabining of manufacturer liability in optional safety equipment cases in accordance with the principles set forth in *Scarangella*. These policy matters provide useful insight for the future development of New York's strict liability law now that the majority has sanctioned the reallocation of the burdens of risks and uncertainty from manufacturer to nonuser purchaser.

First, the question of who is best positioned to control risk is made more difficult when the product has multiple uses, some

12. The majority's assertion (majority op at 431) that no other court has reached the conclusion that *Scarangella* has no application where the product is sold to a rental company is of no moment, and a transparent attempt to bolster its flawed analysis. The fact is no published opinion other than the Appellate Division decision here has addressed the issue and the majority can point to none.

of which are not intended to be used with the optional safety device. In these cases, the purchaser knows what function the product will be performing and dictates a particular use. As such, the argument goes, as between the manufacturer and the purchaser, the purchaser is in a better position to control the risks. To be contrasted are single-purpose products, in which case the manufacturer knows how the product is intended to be used and the risks that arise from that specific use. The manufacturer is therefore the party in the best position to know the product's dangers and avoid or account for accident costs. Application of *Scarangella* to a rental company, however, only further confuses the analysis as the company is neither the user nor the party that may dictate the renter's actual use.

Second, and relatedly, the *Scarangella* approach depends on the purchaser having the capacity to process and make informed decisions based on information about the safety device, the purchaser's particularized knowledge about the use environment and the purchaser's assessment of the risks of use without the safety device and the purchaser's ability to avoid that risk (93 NY2d at 661). Tests that depend on purchaser knowledge have been criticized as failing to contend with the unsophisticated customer (*see* Henderson & Twerski, 45 Ariz St LJ 1399). Applying these same concerns to the rental market, where the customer base includes occasional or one-time renters with a limited foundational knowledge about the product and its uses, it is unrealistic to assume the renter, by mere fact of having access to certain information, will adequately process the rental company's explanation of the purpose of the optional safety device, and then engage in a multifactor risk-utility assessment. We need only consider the weekend do-it-yourself gardener or homeowner who rents a machine at the local store and after a five-minute explanation on how to use it, is assumed to have the same understanding and skills to deploy the machine as skilled contractors and those who regularly work with machinery. How is that inexperienced person going to make an analysis that has traditionally been placed on the manufacturer? How are they to consider whether they can avoid the risk? (*Biss v Tenneco, Inc.*, 64 AD2d 204, 207 [4th Dept 1978] [manufacturer not liable because purchaser was "the party in the best position to exercise an intelligent judgment to make the trade-off between cost and function, and it is (the purchaser) who should bear the responsibility if the decision on optional safety equipment presents an unreasonable risk to users"].) This may appear simple enough when the user is assessing a common product, with a low risk of injury, but construction machinery is a far cry from a blender.

Third, treating the rental company as the buyer for *Scarangella* purposes still requires that the manufacturer provide information about the product and the optional safety equipment, but only to the rental company. This is not good public policy. Rather than abandon the manufacturer strict liability rule, we should retain the liability framework that holds liable every party in the distribution chain. Under that framework, the manufacturer is free to impose a contractual obligation on the rental company to include provision of the type of information necessary for a renter to make an adequate risk-utility analysis. Indeed, in the leasehold context, New York courts have noted that the lease and the user's guide provided by the lessor could include just such information (*Cordani v Thompson & Johnson Equip. Co., Inc.*, 16 AD3d 1002, 1003-1007 [3d Dept 2005]; *Patane v Thompson & Johnson Equip. Co.*, 233 AD2d 905 [4th Dept 1996]).

Fourth, the majority's approach ignores the fact that the manufacturer chose to enter a market whereby it makes what amounts to an indirect sale. Indeed, the majority's decision to permit the manufacturer to delegate to the rental company the manufacturer's responsibility to the ultimate user advances no public policy. If the manufacturer injects itself into this market but has no reasonable basis to know whether the end user is "a knowledgeable consumer"—meaning the manufacturer has no way to be reasonably certain that the renter is thoroughly knowledgeable about the product and the safety device, and capable of balancing the benefits and risks of not using the safety device for the user's intended purpose—the manufacturer should not be relieved of its nondelegable responsibility to provide the consumer with a safe product. This undermines an intended goal of products liability: to reduce injury and all the economic harms that flow from them by incentivizing manufacturers to design and produce products reasonably safe for their intended use (Restatement [Third] of Torts: Products Liability). The facts of this appeal are worthy of note on this point. Bobcat knew that Taylor never purchased the optional safety device even though the rental customer base was not exclusively experienced renters of construction and landscaping machinery of the type at issue here. Yet, Bobcat regularly introduced its products into this rental market for years and profited from that business model. Under these circumstances it retained the duty to provide a product that was not defective for the needs of that market.

Maintaining the responsibility and strict liability with the manufacturer keeps the focus on safety in the hands of the party best positioned to make design and production choices. Further, and as explained above, nothing prevents a manufacturer from entering a contract agreement with the rental company to ensure that use of its product is adequately explained to the end user so as to avoid injury through unsafe uses.

IV.

Manufacturer Bobcat's Strict Liability was Properly Submitted to the Jury

For the reasons I have discussed, the underlying premise of *Scarangella* does not apply to a rental company like Taylor as it lacks control over the product use and the use environment. Therefore, the narrow exception to a manufacturer's strict liability does not bar a plaintiff's design defect claim based solely on the rental company's knowledge about the product and the optional safety device. Here, Supreme Court did not err in denying defendants' CPLR 4404 motion to set aside the verdict on the ground that plaintiff failed to establish a prima facie case of design defect because no evidence established that Elias had superior knowledge to that of defendant Bobcat manufacturer that permitted him to conduct an adequate risk-utility analysis.[13]

Nor is a new trial required based on the court's failure to charge the jury on the *Scarangella* factors. The majority is incorrect that the charge—a modified version of the strict products liability Pattern Jury Instruction 2:120—was erroneous because it referred to the rental market (majority op at 424-425,

13. Under the majority's interpretation of *Scarangella*—meaning the exception applies to a rental market, and that the factors set forth in that case apply to the buyer rental company, not the renter—the Bobcat defendants failed to establish both that Taylor had superior knowledge of the product and that it was actually aware of the safety device (the first *Scarangella* factor). Thus, the question of defendants' liability was for the jury to decide in accordance with established manufacturer strict liability design defect doctrine.

429, 433-434) and wrongly suggests that the applicability of *Scarangella* and the rental market charge were related (majority op at 434). A court is not required to follow the Pattern Jury Instructions and should instruct the jury on "what the factual contentions of the parties are with respect to the legal principles charged" (Siegel & Connors, NY Prac § 768 [6th ed 2018]). Here, the court decided to charge the jury based on the specific facts of the case, not based on any consideration that the *Scarangella* exception did not apply. The fact that Elias rented the skid loader was undisputed and relevant to whether under the circumstances of his acquisition of this machine—namely by renting the Bobcat loader from Taylor—Elias was capable of balancing the risks and benefits. Plaintiff's theory of design defect, which the jury was free to reject, was that Bobcat actively pursued the rental market, including encouraging its distributors to directly rent its loaders even without a safety device, and as such, the product was defectively designed for Bobcat's foreseeable users. Accordingly, the trial court properly charged the jury, and because no error is apparent warranting rejecting the jurors' verdict that Bobcat was liable for a defectively designed product that proximately caused Elias's fatal injuries, the Appellate Division should be affirmed.[14]

I dissent.

Judges STEIN, FAHEY, GARCIA, WILSON and FEINMAN concur; Judge RIVERA dissents and votes to affirm in an opinion.

Order insofar as appealed from reversed, with costs, and motion of defendants Bobcat of Long Island, Inc. and Bobcat Company for a new trial granted.

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14. Defendants' other arguments are without merit.

[128 NE3d 649, 104 NYS3d 572]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v SAMUEL J. SMITH, Appellant.

Argued May 2, 2019; decided June 6, 2019

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered June 29, 2018. The Appellate Division affirmed a judgment of the Supreme Court, Monroe County (Alex R. Renzi, J.), which had convicted defendant, upon a jury verdict, of attempted murder in the second degree, assault in the first degree and criminal use of a firearm in the first degree.

People v Smith, 162 AD3d 1686, reversed.

HEADNOTES

Crimes — Witnesses — Failure to Call Witness — Missing Witness Charge

1. Under *People v Gonzalez* (68 NY2d 424 [1986]), the proponent of a missing witness charge initially must demonstrate that there is an uncalled witness believed to be knowledgeable about a material issue pending in the case, that the witness can be expected to testify favorably to the opposing party, and that the opposing party has failed to call the witness. The party opposing the charge can defeat an initial prima facie showing by accounting for the witness's absence or demonstrating that the charge would not be appropriate, a burden that can be met by demonstrating, among other things, that the witness's testimony would be cumulative. If the party opposing the charge meets its burden by rebutting the prima facie showing, the proponent retains the ultimate burden to show that the charge would be appropriate. Appellate Division decisions placing the burden of negating cumulativeness on the charge's proponent have misapplied that established precedent. The Court of Appeals reaffirms again the long-standing rule established in *Gonzalez*, and rejects any decisions placing the initial cumulativeness burden on the proponent of a missing witness charge (*see e.g. People v Chestnut*, 149 AD3d 772, 773 [2d Dept 2017], *lv denied* 29 NY3d 1077 [2017]; *People v McBride*, 272 AD2d 200, 200 [1st Dept 2000], *lv denied* 95 NY2d 868 [2000]; *People v Townsley*, 240 AD2d 955, 958 [3d Dept 1997], *lv denied* 90 NY2d 943 [1997], *denied upon reconsideration* 90 NY2d 1014 [1997]).

Crimes — Witnesses — Failure to Call Witness — Missing Witness Charge

2. In a prosecution arising from a shooting that resulted in serious injury to the victim, Supreme Court abused its discretion in declining to give a missing witness charge with respect to the victim's boyfriend, who was originally on the People's witness list and who had seen the shooter before the victim and attempted to push the victim out of the way before fleeing the scene. The proponent of a missing witness charge initially must demonstrate

that there is an uncalled witness believed to be knowledgeable about a material issue pending in the case, that the witness can be expected to testify favorably to the opposing party, and that the opposing party has failed to call the witness. While the party opposing the charge can defeat an initial prima facie showing by accounting for the witness's absence or demonstrating that the charge would not be appropriate, a burden that can be met by demonstrating, among other things, that the witness's testimony would be cumulative, the proponent is never required to negate cumulativeness to meet its initial burden. The proponent lacks the information necessary to know what the uncalled witness would have said, and thus whether the testimony would be cumulative. Here, defendant established that the victim's boyfriend likely was knowledgeable about the identity of the man who shot the victim, as he was the only eyewitness to the shooting other than the victim. In addition, inasmuch as the boyfriend was on the People's initial witness list, he had cooperated to some extent with the People, and was thus under their control and would be expected to testify favorably to them. The burden then shifted to the People to establish why the charge would be inappropriate, and their simple assertion, without explanation, that there was no indication that the boyfriend's testimony would provide anything that was not provided by the victim was insufficient to satisfy that burden. Instead, the record evidence, including the victim's inconsistencies in the descriptions of the incident, indicated that the boyfriend's testimony would not have been cumulative.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Evidence §§ 254, 258–260; AM JUR 2d Trial §§ 489, 1059, 1067.

CARMODY-WAIT 2d Appeals in General § 70:457; CARMODY-WAIT 2d Charge and Instruction to Jury §§ 200:45–200:46, 200:48, 200:50; CARMODY-WAIT 2d Charge to Jury §§ 57:42–57:47.

NY JUR 2d Criminal Law: Procedure §§ 2813, 2815; NY JUR 2d Evidence §§ 130, 136; NY JUR 2d Trial §§ 417–418.

ANNOTATION REFERENCE

Presumption or inference from party's failure to produce witnesses within his control, as affected by his introduction of some evidence on the matter in question. 135 ALR 1375.

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POINTS OF COUNSEL

Timothy P. Donaher, Public Defender, Rochester (*Drew R. DuBrin* of counsel), for appellant. In this case, where identification was the sole factual dispute at trial and the accuracy and truthfulness of the identification made by the only eyewitness called to testify was vigorously challenged, the trial court erred in refusing to give a missing witness charge for the People's strategic decision to keep off the stand the only other eyewitness to the shooting. (*People v Gonzalez*, 68 NY2d 424; *People v Moore*, 17 AD2d 57; *DeVito v Feliciano*, 22 NY3d 159; *People v Dianda*, 70 NY2d 894; *People v Erts*, 73 NY2d 872; *People v Vasquez*, 76 NY2d 722; *People v Fields*, 76 NY2d 761; *People v Macana*, 84 NY2d 173; *People v Keen*, 94 NY2d 533; *People v Edwards*, 14 NY3d 733.)

Sandra Doorley, District Attorney, Rochester (*Daniel Gross* of counsel), for respondent. The trial court's denial of a missing witness charge was an appropriate exercise of its discretion because defendant failed to establish victim's ex-boyfriend had noncumulative testimony to offer on the People's behalf. (*People v Gonzalez*, 68 NY2d 424; *People v Kitching*, 78 NY2d 532; *People v Durant*, 26 NY3d 341; *DeVito v Feliciano*, 22 NY3d 159; *People v Hall*, 18 NY3d 122; *People v Savinon*, 100 NY2d 192; *People v Edwards*, 14 NY3d 733; *People v Chestnut*, 149 AD3d 772, 29 NY3d 1077; *People v Brown*, 139 AD3d 1178; *People v McBride*, 272 AD2d 200, 95 NY2d 868.)

OPINION OF THE COURT

FEINMAN, J.

In *People v Gonzalez* (68 NY2d 424 [1986]), we set forth the conditions necessary to warrant a missing witness charge and a burden-shifting analysis to determine whether those conditions are met. We hold that the People failed to meet their burden under this established framework.

In May 2013, the victim was struck in the torso by a bullet when a stranger repeatedly shot at her and her then-boyfriend, James Dees. At trial, the victim testified that she and Dees were walking in the City of Rochester when Dees called out to the driver of a gold car. Although it was a hot day, the victim saw a man in the car's backseat putting on a pullover jacket. The driver ignored Dees's greeting and drove off. As the victim and Dees continued on their walk, she noticed that a man wearing a green hooded sweatshirt and a black baseball hat with bright red or orange trim was following them. When the pursuing man was 15 to 18 feet from them, Dees said that the man had a gun and tried to push the victim to the ground. The victim did not fall, but turned around and looked at the man.

The victim testified that the man smiled at her, shot her, and then fired several other shots.

The police found the victim lying facedown in a pool of blood in a driveway. She was taken to a hospital, where doctors found that she had a significant liver injury and significant lung lacerations. About two hours after she arrived at the hospital, the victim was lethargic but able to speak. She told the police that she could not identify the shooter by name, that he was wearing a blue baseball hat and a green jacket, and that he was standing approximately five feet from her when he shot her. Defendant Samuel J. Smith was later arrested for the shooting and charged in an indictment with attempted murder in the second degree, assault in the first degree, and criminal use of a firearm in the first degree.

At trial, surveillance footage admitted into evidence showed a man wearing a green hooded sweatshirt and black baseball hat with red trim exit a gold car in the vicinity of the shooting. A witness who had called 911 to report the shooting testified that he saw a man walking down the street remove and discard a green sweatshirt in a location where it was later recovered by the police. The man was then wearing a white tank top. Additional recordings corroborated testimony from a customer and an employee of a nearby convenience store that a man in a white tank top tried to give them his black baseball hat with red trim shortly after the shooting. The victim identified defendant both as the man who shot her and as the man in the white tank top appearing in the convenience store surveillance footage. A police investigator also identified defendant as the man in the convenience store surveillance footage. The other witnesses to the events following the shooting did not identify defendant.

Dees initially was on the People's witness list, but he never testified. Defendant requested a missing witness charge with respect to Dees, arguing that Dees was in the People's direct control, had seen the shooter first, and had attempted to push the victim out of the way before fleeing.[1] In response, the People did not dispute their control of Dees, but contended, without elaboration, that Dees's testimony would have been cumulative to that of the victim. Supreme Court denied defendant's ap-

1. Defendant's request for the missing witness charge immediately followed his motion to dismiss on the ground that the People failed to establish that he intended to injure the victim, as opposed to Dees.

plication without stating its rationale. The jury found defendant guilty on all three counts of the indictment and the court imposed sentence.

The Appellate Division affirmed, with two Justices dissenting. After stating that one seeking a missing witness instruction "has the initial, prima facie burden of showing that the testimony of the uncalled witness would not be cumulative of the testimony already given" (162 AD3d 1686, 1687 [4th Dept 2018]), the Court held that Supreme Court did not abuse its discretion by denying defendant's request for the charge. The dissenters disagreed that the proponent of a missing witness charge bears the initial burden with respect to cumulativeness. The dissenters concluded that Supreme Court erred by denying the application because the People failed to demonstrate that Dees's testimony would have been cumulative. A dissenting Justice granted defendant leave to appeal to this Court (*see* 32 NY3d 943 [2018]).

"The 'missing witness' instruction allows a jury to draw an unfavorable inference based on a party's failure to call a witness who would normally be expected to support that party's version of events" (*People v Savinon*, 100 NY2d 192, 196 [2003]). The instruction "derives from the commonsense notion that the nonproduction of evidence that would naturally have been produced by an honest and therefore fearless claimant permits the inference that its tenor is unfavorable to the party's cause" (*Gonzalez*, 68 NY2d at 427 [internal quotation marks, citation, and emphasis omitted]). The charge "seeks to dispel any advantage a party may receive when expected to call a particular witness but for strategic reasons does not" (*Savinon*, 100 NY2d at 197). A missing witness charge is appropriate when three conditions are met. "First, the witness's knowledge must be material to the trial" (*id.*). "Second, the witness must be expected to give noncumulative testimony favorable to the party against whom the charge is sought" (*id.*). "Third, the witness must be available to that party" (*id.*; *see Gonzalez*, 68 NY2d at 427). "We review a trial court's decision whether to grant a missing witness charge on an abuse of discretion standard" (*Savinon*, 100 NY2d at 197).

In *Gonzalez*, we established the analytical framework for deciding a request for a missing witness instruction. The proponent initially must demonstrate only three things via a prompt request for the charge: (1) "that there is an uncalled witness believed to be knowledgeable about a material issue pending in the case," (2) "that such witness can be expected to testify favorably to the opposing party," and (3) "that such party has failed to call" the witness to testify (*Gonzalez*, 68 NY2d at 427). The party opposing the charge can defeat the initial showing by accounting for the witness's absence or demonstrating that the charge would not be appropriate (*see id.* at 428). "This burden can be met by demonstrating," among other things, that "the testimony would be cumulative to other evidence" (*id.*). If the party opposing the charge meets its burden by rebutting the prima facie showing, the proponent retains the ultimate burden to show that the charge would be appropriate (*see id.* at 427; *Savinon*, 100 NY2d at 197). We have repeatedly reiterated *Gonzalez*'s specific burden-shifting analysis (*see e.g. People v Keen*, 94 NY2d 533, 539 [2000]; *People v Macana*, 84 NY2d 173, 177 [1994]; *People v Kitching*, 78 NY2d 532, 536-537 [1991]), but we have never required the proponent of a missing witness charge to negate cumulativeness to meet the prima facie burden.[2]

[1] Appellate Division decisions placing the burden of negating cumulativeness on the charge's proponent have misapplied this established precedent. We reaffirm again our long-standing rule established in *Gonzalez*, and reject any decisions placing the initial cumulativeness burden on the proponent of a missing witness charge (*see e.g. People v Chestnut*, 149 AD3d 772, 773 [2d Dept 2017], *lv denied* 29 NY3d 1077 [2017]; *People v McBride*, 272 AD2d 200, 200 [1st Dept 2000], *lv denied* 95 NY2d 868 [2000]; *People v Townsley*, 240 AD2d 955, 958 [3d Dept 1997], *lv denied* 90 NY2d 943 [1997], *denied upon reconsideration* 90 NY2d 1014 [1997]).

A contrary rule, requiring the proponent to negate cumulativeness in the first instance, would undermine the framework established in *Gonzalez*. As we explained in *Kitching*, "[t]o require the party requesting a missing witness charge to furnish details which could only be obtained from the very witness the opposing party has failed to produce . . . would vitiate the rule that we established in *Gonzalez*" (78 NY2d at 538). The proponent of the charge typically lacks the information necessary to know what the uncalled witness would have said and, thus, whether the testimony would have been cumulative.

2. We reject the People's argument that our decision in *People v Edwards* (14 NY3d 733 [2010]) is to the contrary. *Edwards* did not place the initial burden concerning cumulativeness on the party seeking the charge, nor did we suggest that we were altering *Gonzalez*'s long-standing rule.

The party opposing the charge is in a superior position to demonstrate that the uncalled witness's testimony would be cumulative. The opposing party therefore appropriately bears the initial burden with respect to cumulativeness.

[2] We conclude that defendant met his limited initial burden demonstrating prima facie entitlement to the missing witness charge (*see id.* at 537).[3] First, defendant established that Dees likely was knowledgeable about a material issue pending in the case, the identity of the man who shot the victim. Indeed, the People's evidence established that Dees was the only eyewitness to the shooting other than the victim. The materiality of the identification issue in this case was not in dispute. Defendant also met the second prong of the initial burden. Defendant asserted that Dees was under the People's direct control, implying that he would be expected to testify favorably to the People. Moreover, the trial court was aware that Dees initially was listed on the People's witness list, indicating that he cooperated to some extent with the People in the prosecution of the man that allegedly shot his then-girlfriend and, as defendant argued in his motion to dismiss, seemed intent on harming Dees himself. Finally, it is undisputed that the People failed to call Dees to testify.

Given that defendant, as the proponent of the missing witness charge, met his initial burden, the People were required to rebut that showing by establishing why the charge was inappropriate. They failed to do so. The People simply asserted, without explanation, that Dees's testimony on the issue of identification would be cumulative because "there is absolutely no indication that [Dees] would be able to provide anything that wasn't provided by [the victim]." This conclusory argument was insufficient to satisfy the People's burden in response to defendant's prima facie showing (*see People v Vasquez*, 76 NY2d 722, 724 [1990]). Further, the People's argument was not supported by the record. Dees's testimony would not have been "trivial or cumulative"; due to inconsistencies in the victim's descriptions of the incident and what the shooter was wearing, the issue of identification was "in sharp dispute . . . and the

3. Some portion of the argument concerning the request for the missing witness charge occurred at an off-the-record conference. We reiterate that, "[i]n order to allow for effective judicial review, it is imperative that all discussions regarding" a request for such a charge "be clearly set forth on the record so that the respective positions of each party are readily discernible" (*Gonzalez*, 68 NY2d at 428).

testimony of the only additional person who was present [during the shooting] might have made the difference" (*People v Rodriguez*, 38 NY2d 95, 101 [1975]; *see Gonzalez*, 68 NY2d at 430). As noted above, Dees called out to the person he believed to be the driver when he first saw the car, indicating that he might have been familiar with at least one person involved in the events preceding the shooting. By contrast, the victim stated at trial that, although she knew of the person Dees believed to be the driver, she did not know him personally. Further, Dees saw the shooter before the victim and presumably had a better basis for an identification. Dees's testimony may have "contradicted or added to" the victim's disputed identification testimony (*People v Almodovar*, 62 NY2d 126, 133 [1984]). Because the People failed to rebut defendant's prima facie showing of entitlement to the missing witness charge, Supreme Court abused its discretion by declining to give the charge (*see People v Erts*, 73 NY2d 872, 874 [1988]; *Gonzalez*, 68 NY2d at 431).

Finally, the error cannot be classified as harmless because the evidence against defendant in this case was not overwhelming (*see People v Sage*, 23 NY3d 16, 29 [2014]; *People v Crimmins*, 36 NY2d 230, 241 [1975]). Accordingly, the Appellate Division order should be reversed and a new trial ordered.

Chief Judge DiFiore and Judges Rivera, Stein, Fahey, Garcia and Wilson concur.

Order reversed and a new trial ordered.

[128 NE3d 655, 104 NYS3d 577]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v JOHN GIUCA, Respondent.

Argued April 30, 2019; decided June 11, 2019

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered February 7, 2018. The Appellate Division (1) reversed, on the law and the facts, an order of the Supreme Court, Kings County (Danny K. Chun, J.), which had, after a hearing, denied defendant's motion pursuant to CPL 440.10 to vacate a judgment of that court (Alan D. Marrus, J.), convicting defendant, upon a jury verdict, of murder in the second degree, robbery in the first degree, and criminal possession of a weapon in the second degree; (2) granted defendant's motion; (3) vacated the judgment of conviction; and (4) remitted the matter to Supreme Court for a new trial.

People v Giuca, 158 AD3d 642, reversed.

HEADNOTES

Crimes — Disclosure — Failure to Disclose Exculpatory Material — Prosecutor's Involvement with Witness's Burglary Case and Drug Treatment Program

1. On defendant's motion to vacate his convictions based on a *Brady* violation, the Appellate Division erred in its determination that the trial jury could have found a tacit understanding that a witness who had testified against defendant at trial would receive or hoped to receive a benefit in his pending burglary case for his testimony. A witness's subjective hope of favorable treatment, absent any objective circumstances that reasonably substantiate that expectation, cannot unilaterally form the basis of a tacit understanding. Defendant's own witnesses at the CPL 440.10 hearing proved that there was no agreement with the witness—tacit or otherwise. The witness did not speak with law enforcement about defendant's case until after he had already brokered his agreement on his burglary case, pleaded guilty, and obtained a promise of a conditional sentence that left the possibility of a complete dismissal of his burglary conviction within his own control if he successfully completed a drug treatment program. The witness was the only one to testify that an agreement existed, and his testimony was found to be incredible by the hearing court. On the other hand, the trial prosecutor, after admitting to having appeared for the People at a hearing involving the trial witness after he had absconded from drug treatment, testified that she did not consider him a witness in defendant's case at that time as she had yet to investigate his statement, and that she asked to approach the bench at that appearance solely for the witness's safety. Moreover, one year after defendant's conviction, the trial witness was ultimately sentenced to the maximum

term on his burglary conviction upon his failure to successfully complete drug treatment. A prosecutor's duty to disclose the existence of an agreement arises from the fact that the prosecutor and the witness have reached an understanding in which the witness's cooperation has been exchanged for some quid pro quo on the part of the prosecutor. That type of understanding, or the making of any assurances creating an expectation of some benefit, was plainly absent here.

Crimes — Disclosure — Failure to Disclose Exculpatory Material — Prosecutor's Involvement with Witness's Burglary Case and Drug Treatment Program — Materiality

2. The Appellate Division, in failing to do the required materiality analysis after determining that a *Brady* violation occurred when the People failed to disclose favorable impeachment material derived from the circumstances of a prosecution witness's pending burglary case, erred in granting defendant's motion to vacate his convictions. To make a successful *Brady* claim, a defendant must show that the evidence is favorable to the defendant because it is either exculpatory or impeaching in nature; the evidence was suppressed by the prosecution; and prejudice arose because the suppressed evidence was material. A new trial is not automatically required whenever a combing of the prosecutors' files after the trial has disclosed evidence possibly useful to the defense but not likely to have changed the verdict. Assuming the People had an obligation to disclose the information about the witness, there was no reasonable possibility that it would have resulted in a different verdict. At trial, defendant's counsel accessed the witness's court file on his open burglary case and his extensive criminal history, emphasized that the witness was a career criminal, that the detective on defendant's case and a "DA" had appeared at the witness's drug court hearing, and that he continued to be released without bail despite repeated violations. This provided ample basis for counsel to argue that the witness had a bias in favor of the People, with the People's failure to request bail as the benefit conferred. Moreover, there was strong evidence of defendant's guilt at trial, including his incriminating statements to friends, his efforts to dispose of the gun shortly after the murder, and the physical evidence at the crime scene linking him to the murder.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Appellate Review §§ 739, 740, 742; AM JUR 2d Depositions and Discovery § 290.

CARMODY-WAIT 2d Discovery §§ 187:84, 187:86, 187:87, 187:98–187:100; CARMODY-WAIT 2d Appeals in Criminal Cases §§ 207:194, 207:244.

LAFAVE, ET AL., CRIMINAL PROCEDURE (4th ed) §§ 20.3, 20.6.

NY JUR 2d Criminal Law: Procedure §§ 1735, 1742–1744, 3744, 3747, 3749.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Brady Evidence; Depositions.

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POINTS OF COUNSEL

Eric Gonzalez, District Attorney, Brooklyn (*Leonard Joblove, Diane R. Eisner* and *Victor Barall* of counsel), for appellant. I. The People complied with their *Brady v Maryland* (373 US 83 [1963]) obligation to disclose material information that is favorable to the defendant. (*People v Cwikla*, 46 NY2d 434; *People v Garrett*, 23 NY3d 878; *Giglio v United States*, 405 US 150; *People v Steadman*, 82 NY2d 1; *People v Novoa*, 70 NY2d 490; *Bell v Bell*, 512 F3d 223; *People v St. John*, 89 NY2d 1018; *Jackson v Marshall*, 864 F3d 1; *White v Steele*, 853 F3d 486.) II. The People complied with their obligation to correct knowingly false or mistaken material testimony. In any event, vacatur of the conviction is unwarranted, because there is no reasonable possibility that the alleged error affected the verdict. (*People v Colon*, 13 NY3d 343; *People v Savvides*, 1 NY2d 554; *People v Pressley*, 91 NY2d 825.) III. The records from the organization that oversaw the drug treatment of the witness at issue do not constitute newly discovered evidence. (*People v Salemi*, 309 NY 208; *People v Hicks*, 6 NY3d 737.) IV. The People complied with their *People v Rosario* (9 NY2d 286 [1961]) disclosure obligation. In any event, vacatur of the conviction is unwarranted, because there is no reasonable possibility that the nondisclosure of the documents at issue affected the verdict. (*People v Flynn*, 79 NY2d 879; *People v Fishman*, 72 NY2d 884; *People v Tissois*, 72 NY2d 75; *People v Martinez*, 22 NY3d 551.)

Mark A. Bederow, New York City, for respondent. I. The Appellate Division correctly held that the People violated *Brady v Maryland* (373 US 83 [1963]) by failing to disclose evidence of the jailhouse informant's motive to falsely accuse John Giuca. (*People v Greene*, 64 NY2d 850; *People v Albro*, 52 NY2d 619; *Davis v Alaska*, 415 US 308; *Napue v Illinois*, 360 US 264; *People v Colon*, 13 NY3d 343; *People v Steadman*, 82 NY2d 1; *Giglio v United States*, 405 US 150; *People v Novoa*, 70 NY2d 490; *People v Wright*, 86 NY2d 591; *Kyles v Whitley*, 514 US 419.) II. The Appellate Division correctly held that the People violated John Giuca's right to a fair trial by failing to correct the jailhouse informant's materially false testimony. (*Napue v Illinois*, 360 US 264; *People v Colon*, 13 NY3d 343; *People v Savvides*, 1 NY2d 554; *People v Steadman*, 82 NY2d 1; *People v Novoa*, 70 NY2d 490; *People v Cwikla*, 46 NY2d 434; *Jenkins v Artuz*, 294 F3d 284.) III. The conviction should be vacated for the additional reasons that the people should have obtained and disclosed the jailhouse informant's EAC records under *Brady v Maryland* (373 US 83 [1963]) and such records constitute newly discovered evidence that was material to the outcome. (*People v Garrett*, 23 NY3d 878; *United States v Stewart*, 433 F3d 273; *People v Novoa*, 70 NY2d 490; *People v Salemi*, 309 NY 208; *People v Rensing*, 14 NY2d 210; *People v Hargrove*, 162 AD3d 25.) IV. The People violated John Giuca's rights under *People v Rosario* (9 NY2d 286 [1961]) by failing to disclose the jailhouse informant's material, on-the-record statements during his September 19, 2005, court appearance. (*Banks v Dretke*, 540 US 668; *Matter of Bertha K.*, 58 AD2d 811; *People v Fishman*, 72 NY2d 884.)

National Association of Criminal Defense Lawyers, New York City (*Joel B. Rudin* of counsel), *Innocence Project, Inc.*, New York City (*Barry C. Scheck* and *Nina R. Morrison* of counsel), *The Legal Aid Society*, New York City (*John C. Schoeffel* of counsel), *American Civil Liberties Union*, Washington, D.C. (*Somil Trivedi* of counsel), and *New York Civil Liberties Union Foundation*, New York City (*Philip Desgranges* and *Christopher Dunn* of counsel), for National Association of Criminal Defense Lawyers and others, amici curiae. A prosecutor may not withhold knowledge from the defense of circumstantial evidence from which a jury might reasonably infer that a prosecution witness has a motive to lie simply because the prosecutor believes such a determination would be "false," nor may it excuse its error years later by citing evidence that also was never presented or vetted at the trial. (*People v Rosario*, 9 NY2d 286; *People v Cwikla*, 46 NY2d 434; *People v Geaslen*, 54 NY2d 510; *People v Baxley*, 84 NY2d 208; *People v Behling*, 26 NY2d 651; *People v Wright*, 86 NY2d 591; *People v Bond*, 95 NY2d 840; *People v Colon*, 13 NY3d 343; *DiSimone v Phillips*, 461 F3d 181; *Mendez v Artuz*, 303 F3d 411.)

Wilmer Cutler Pickering Hale and Dorr LLP, New York City (*Ross E. Firsenbaum* and *Tara E. Levens* of counsel), for Center on the Administration of Criminal Law at New York University School of Law, amicus curiae. I. The Kings County District Attorney's Office fell short of best practices in evaluating its disclosure obligations regarding the jailhouse informant. (*Brady v Maryland*, 373 US 83; *Giglio v United States*, 405 US 150; *Crawford v United States*, 212 US 183; *Lee v United States*, 343 US 747; *People v Jackson*, 74 NY2d 787; *People v Hicks*, 38 NY2d 90; *United States v Bernal-Obeso*, 989 F2d 331; *United States v Bagley*, 473 US 667; *United States v Agurs*, 427 US 97; *Cone v Bell*, 556 US 449.) II. John Giuca was entitled to the substance and contents of the jailhouse informant's EAC records. (*United States v Rodriguez*, 496 F3d 221; *People v Rensing*, 14 NY2d 210; *Chnapkova v Koh*, 985 F2d 79; *People v Colon*, 13 NY3d 343; *People v Hayes*, 17 NY3d 46; *People v Santorelli*, 95 NY2d 412; *Kyles v Whitley*, 514 US 419; *United States v Osorio*, 929 F2d 753; *People v Washington*, 86 NY2d 189; *People v Tissois*, 72 NY2d 75.)

OPINION OF THE COURT

Chief Judge DiFiore.

The question presented in this appeal is whether the People violated their obligations under *Brady v Maryland* (373 US 83 [1963]) by failing to disclose favorable impeachment material derived from the circumstances of a prosecution witness's pending burglary case and whether the People failed to correct false or misleading testimony provided by the witness on that subject at trial. We hold that, to the extent there was any suppression of impeachment material, there is no reasonable possibility that the verdict would have been different if the information at issue had been disclosed.

In September 2005, defendant and his codefendant, Antonio Russo, were jointly tried before dual juries for the murder of Mark Fisher. The prosecution proceeded on theories of both intentional and felony murder. Relevant to this appeal, the majority of the People's witnesses, who were defendant's friends, testified that defendant made a series of incriminating statements, including that defendant believed the victim was "disrespecting" his home, that he supplied codefendant Russo with a gun for the purpose of robbing Fisher, that Russo intentionally shot and killed the victim, that defendant attempted to cover his role in the felony murder by asking his friends not to cooperate with the police, and that defendant arranged for the disposal of his gun after the crime.

In addition to defendant's inculpatory statements, the evidence at trial established that, after a night out in Manhattan, Fisher and several other individuals accompanied defendant to his Brooklyn home, arriving at about 4:00 a.m. on October 12, 2003. Thereafter, Russo accompanied Fisher to a nearby ATM where Fisher withdrew $20. Shortly after the two men returned to defendant's house, the gathering broke up and Fisher went to sleep on defendant's couch. At 6:40 a.m., Fisher was shot and killed. He was shot five times with a .22 caliber weapon—the same caliber gun that defendant owned prior to the shooting. Fisher's body was found a few blocks from defendant's house, on a distinctive blanket that defendant's mother identified as one that came from her house. The individual who disposed of the gun for defendant testified at trial that, a day or two after the murder, defendant gave him a bag containing a black gun and, pursuant to an arrangement made by defendant, another individual later took the bag in exchange for money. Phone records were also introduced at trial, showing that defendant and Russo placed an unusual volume of calls to each other in both the hours leading up to and the days following the murder.

A different version of events was provided by a jailhouse informant, JA, who testified that defendant made certain admissions to him while they were both incarcerated on Rikers Island—including that defendant himself had participated in the robbery and beating of the victim.

During JA's direct testimony, the prosecutor elicited that the witness met defendant while incarcerated on a burglary charge, that he had since pleaded guilty to third-degree burglary and that he was sentenced to an 18- to 24-month drug treatment program. JA testified that he had a 13-year history of drug abuse and "quite a lengthy criminal history" dating back to 1989. The People elicited from JA his 15 individual prior convictions, mostly for larcenous crimes. When asked how he was progressing in his current drug program, JA responded that he was "doing good." The ADA then asked JA if he had relapsed during the drug program and he admitted to one relapse. JA denied that he ever requested or received any promise or benefit in exchange for his trial testimony.

On cross-examination, defense counsel elicited the following facts. JA entered the drug treatment program on April 28, 2005, as part of a conditional sentence in exchange for his guilty plea on his burglary case and that his next scheduled court appearance was October 6, 2005—after his trial testimony. In fact, JA's negotiated guilty plea provided that if he successfully completed the drug treatment program, his burglary case would be dismissed, but if he failed the program, he faced a 3½- to 7-year prison term. JA had committed several violations since entering the treatment program, including absconding from the program on the night of June 9, 2005. Earlier that same day, JA had appeared in treatment court, where the judge reminded him that he faced state prison if he failed the drug program. On June 13th, police officers associated with defendant's murder case returned JA to the drug court on the warrant for absconding.[1] JA, who testified that he began cooperating with the police in June 2005, was not remanded after that violation. Nor was he remanded after he tested positive for drugs on June 16th, or after two additional violations (August 24th and September 2nd)—one of which was a second relapse. As JA admitted, despite his violations of the treatment program conditions, the prosecutors did not ask for bail. When questioned whether he thought this favorable outcome was related to his discussions with the police on defendant's case, JA rejected that suggestion.

Defense counsel also elicited from JA that he was an admitted "career criminal" and, as JA further agreed, if counsel were to go through the facts of all of his prior convictions, "we'd be here until probably Sunday morning." Counsel then cross-examined JA as to his extensive criminal record, impeaching the witness when he attempted to mitigate the serious nature of the underlying facts of certain convictions.

On redirect, JA clarified that, after he absconded on June 9th, he contacted his drug counselor who (along with the police) walked him over to court, where his counselor and "the DA" spoke with the judge. Although the trial prosecutor clarified that the judge presiding in the witness's drug court was not the judge presiding in defendant's murder case, she failed to identify herself as "the DA" who appeared in court with JA on the return on the warrant. The witness also stated that he believed his drug counselor "got [him] another shot."

During the charge conference, defense counsel requested a jury instruction that JA received consideration for his testimony as a matter of law. Counsel asserted that the witness violated the terms of his initial guilty plea on five different occasions,

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1. In response to defense counsel's request for *Rosario* material immediately following JA's testimony, the ADA advised that she had been "present for all [of the police] interviews" with JA. This fact was not elicited before the jury by the prosecutor, likely in order to avoid any claim of improper bolstering of a prior consistent statement by the witness.

including leaving the drug program three times, and that the People's failure to request bail in JA's burglary case despite his criminal history and relapses was proof that "something [was] happening here to protect [JA]." The court denied the request, but agreed to give a general credibility charge that permitted the jury to consider a witness's motive for testifying, including any possible benefit or advantage the witness may have received.

Thereafter, during his summation, defense counsel attacked JA's credibility on multiple grounds. Defense counsel pointed out the misleading nature of JA's direct testimony regarding the imposition of his sentence on the burglary case. He further asserted that JA only contacted the police to provide false information on defendant's high profile case because he had absconded from his drug treatment program in June 2005 and emphasized that the officers in defendant's murder case accompanied JA to court on the return on the bench warrant. Counsel also maintained that JA, who was still "facing 3 and a half to 7 years," was not a sentenced prisoner testifying "out of the goodness of his heart." Finally, he argued that JA's testimony was an act of desperation by the People and it "completely destroyed" their case.

Defendant was convicted of murder in the second degree on the theory of felony murder, robbery in the first degree and criminal possession of a weapon in the second degree. The count of intentional murder was not submitted to defendant's jury. The conviction was affirmed on direct appeal (58 AD3d 750 [2d Dept 2009]).[2]

In March 2015, defendant brought this CPL 440.10 motion to vacate his conviction, alleging multiple claims of prosecutorial misconduct. Using JA as his primary source of sworn allegations, defendant asserted that the People had violated their *Brady* obligation by failing to turn over evidence that there was an agreement to confer a benefit on JA in exchange for his testimony at defendant's murder trial. In addition, defendant asserted that the trial prosecutor personally intervened in JA's burglary case by procuring his release without bail during the June 13th drug court appearance, failed to correct JA's trial testimony to specify that she was the "DA" who participated on

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2. Defendant's trial lasted nearly two weeks and the jury took less than four hours to deliver its guilty verdict. In addition, when affirming the judgment of conviction, the Appellate Division characterized the evidence against defendant as "overwhelming" (58 AD3d at 751).

June 13th, and failed to correct his characterization of his performance as "good" in the drug treatment program.[3] The People, who acknowledged the trial prosecutor's appearance at the June 13th proceeding in their motion papers, opposed the motion to vacate the judgment, but consented to a hearing on any disputed facts.

The transcript of JA's June 13th court proceeding was in evidence at the hearing. It reflects that JA was represented by his attorney on the burglary case and that defendant's trial prosecutor appeared for the People. The prosecutor told the court that it was a voluntary return on a warrant and asked if "we" may approach the bench, "[w]hereupon, a discussion was held off the record." At the hearing, the prosecutor testified that she accompanied JA to that court appearance because she could not let him leave her office on his own because there was an open warrant. She denied considering him a witness in defendant's case at that early juncture because she had yet to investigate his statement. The ADA explained that she asked to approach the bench for purposes of JA's safety because she did not want to announce in open court that JA came to speak with her about a homicide. She maintained that she told the judge that JA was giving purported information about a murder case and did not take any position about his bail/remand status in the burglary case. She explained that her preference would be for an individual in JA's position to be remanded because it is easier to locate a witness if he is in custody.

The evidence at the hearing also included a June 15, 2005 email from a high-ranking executive ADA in the District Attorney's Office to the director of EAC-Link indicating that the District Attorney's Office—the same agency prosecuting both JA's burglary case and defendant's murder case—was interested in JA's progress in the drug treatment program. In addition, defendant's witnesses established that drug addicts participating in drug treatment court often fall into relapse and that it is very common for such individuals to be given multiple opportunities by the court to stay in the program

3. Defendant also asserted an additional *Brady* argument—that the People failed to disclose JA's EAC-Link records concerning his prior psychiatric history—as well as *Rosario* and newly discovered evidence claims. EAC-Link is a nonprofit organization comprised of social workers who provide case management for criminal defendants who are participating in drug or mental health diversion programs.

rather than be remanded to prison. The ADA in charge of the Mental Health Court Bureau testified that the prosecutor, as an advocate, will often take a position as to whether a defendant is succeeding or failing in the program but, once a defendant has taken a conditional plea, "his fate really lies in the hands of the judge."

The hearing evidence further revealed that, on September 19, 2005, three days prior to JA's testimony at defendant's trial, he was discharged from a treatment facility for bringing cigarettes into the facility and distributing them to other patients. At his court appearance on that date, JA explained "I have a hard time with cigarettes, I'm a big smoker, I'm supposed to [be] testify[ing] . . . this week in a murder case so I was smoking a lot." JA was not remanded, and was given another opportunity to participate in an outpatient treatment program. Neither this specific violation nor the transcript of the September 19th proceeding was disclosed to defense counsel at trial. Notably, defendant's trial counsel testified at the hearing that he was unsure whether he would have used that information, observing that "most people would consider bringing cigarettes to a facility to be something that's not so sinister."

The October 2006 transcript of JA's sentencing proceeding on the burglary conviction was also admitted into evidence. Based on JA's ultimate failure to successfully complete his 18- to 24-month drug treatment program, he was sentenced to $3\frac{1}{2}$-7 years in prison, the maximum term he originally faced. At that proceeding, approximately one year after defendant's conviction, where JA was represented by the same attorney who represented him at his June 13th drug court appearance, no reference was made to JA's cooperation at defendant's murder trial.

In all, defendant presented five witnesses at the hearing—JA, the lead prosecutor at defendant's trial, the ADA in charge of the Mental Health Court Bureau, defendant's trial counsel and one of the detectives who worked on defendant's case. The only witness who testified to any type of arrangement or tacit agreement by which JA would receive a benefit for his testimony at defendant's trial was JA himself, who was soundly discredited. Indeed, Supreme Court found his testimony to be "absolutely incredible," remarking that "it was so patently incredible it bordered on being laughable and embarrassing."[4] Given JA's prior, and recorded, contrary statements to an investigator for the defense as well as his internally inconsistent hearing testimony, defendant's 440 counsel stated that, "if the Court is so inclined, by all means, dismiss [JA's] hearing testimony outright and throw it in the garbage," as his testimony was unnecessary to sustain defendant's burden of proof. Supreme Court specifically credited the testimony of the remaining witnesses, including the People's sole witness—another Giuca case detective.

At the conclusion of the hearing, Supreme Court denied defendant's CPL 440.10 motion, finding no evidence of any understanding or agreement between the prosecution and the witness. The court held that, even assuming JA received a benefit by being released instead of remanded by the court based on his drug treatment violations, the error was not material. For the same reason, the court held that there was no reasonable possibility that the failure to clarify that defendant's trial prosecutor was the ADA who appeared with the witness in drug court affected the jury's verdict.

The Appellate Division reversed and granted defendant's motion to vacate his conviction, but did so while deferring to Supreme Court's credibility determinations (158 AD3d 642 [2d Dept 2018]). The Court held that the People had a duty to disclose certain *Brady* information—specifically, the circumstances of JA's initial contact with the police relating to defendant's case, the trial prosecutor's June 13th appearance, and the information she provided to the drug treatment court at that appearance. The Court also held that the trial prosecutor was required to correct JA's trial testimony about his "good" progress in drug treatment and the extent of his contact with her and the police detectives. Although the Court found no evidence of any express promise of a benefit to JA, it nonetheless concluded that, had the evidence at issue been disclosed, the jury could have found that " 'there was . . . a tacit understanding' between [JA] and the prosecution that he would receive or hoped to receive a benefit for his testimony" (158 AD3d at 646, quoting *People v Cwikla*, 46 NY2d 434, 441 [1979]).

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4. On cross-examination, JA admitted that he did not recant his trial testimony until more than seven years after trial, after he was approached by an individual connected to defendant. In his initial recorded conversations with a defense investigator, JA maintained that his trial testimony was truthful. However, he eventually signed a written recantation containing statements that, by JA's own admission, were false.

A Judge of this Court granted the People leave to appeal (31 NY3d 1117 [2018]) and we now reverse.

The People have an obligation under *Brady* to disclose evidence and information in their possession that is both material and favorable to the defense (*see People v Vilardi*, 76 NY2d 67, 73 [1990]). " 'The *Brady* rule is based on the requirement of due process,' and '[i]ts purpose is not to displace the adversary system as the primary means by which truth is uncovered,' but to ensure that the accused receives a fair trial" (*People v Garrett*, 23 NY3d 878, 884 [2014], quoting *United States v Bagley*, 473 US 667, 675 [1985]). The prosecutor's duty to disclose "arises out of considerations of elemental fairness to the defendant and as a matter of professional responsibility. Negligent, as well as deliberate, nondisclosure may deny due process. Good faith, therefore, may not excuse even a negligent failure to disclose unrequested exculpatory evidence where that evidence is highly material to the defense" (*People v Simmons*, 36 NY2d 126, 131-132 [1975] [citations omitted]). Impeachment material that may affect the credibility of a principal prosecution witness, including "promises of leniency given to the witness in exchange for favorable testimony against an accused," must be disclosed (*People v Steadman*, 82 NY2d 1, 7 [1993]). The People's duty also "extends to correcting mistakes or falsehoods by a witness whose testimony on the subject is inaccurate" (82 NY2d at 7). "Where a prosecutor elicits or fails to correct such inaccurate testimony, reversal and a new trial are necessary unless there is no 'reasonable possibility' that the error contributed to the conviction" (*People v Colon*, 13 NY3d 343, 349 [2009] [citation omitted]).

"To make out a successful *Brady* claim, a defendant must show that (1) the evidence is favorable to the defendant because it is either exculpatory or impeaching in nature; (2) the evidence was suppressed by the prosecution; and (3) prejudice arose because the suppressed evidence was material" (*Garrett*, 23 NY3d at 885 [internal quotation marks and citations omitted]). In New York, where a defendant made a specific discovery request for a document, and the information was not disclosed, we measure the third prong of the materiality of the suppressed *Brady* material by considering whether there is a reasonable possibility that disclosure of the evidence would have changed the result of the proceedings (*Vilardi*, 76 NY2d at 77). In the absence of a specific request by defendant, materiality is established if there is a "reasonable probability" that the result would have been different if the evidence had been disclosed—meaning " 'a probability sufficient to undermine the court's confidence in the outcome of the trial' " (*People v Hunter*, 11 NY3d 1, 5 [2008], quoting *People v Bryce*, 88 NY2d 124, 128 [1996]; *see Kyles v Whitley*, 514 US 419, 434 [1995]).

Defendant asserts this *Brady* violation in the procedural context of a postconviction CPL article 440 motion. "At the hearing of a motion to vacate the conviction, the 'defendant has the burden of proving by a preponderance of the evidence every fact essential to support the motion' " (*People v Thibodeau*, 31 NY3d 1155, 1158 [2018], quoting CPL 440.30 [6]). Supreme Court properly rejected defendant's claim. Defendant's own witnesses at the CPL 440.10 hearing proved there was no agreement with JA—tacit or otherwise. Their testimony was that JA never asked for anything and that he was not promised anything in return for his testimony. Nor does the evidence reveal any indication that JA ever expressed any hope or expectation that his cooperation would result in some favorable treatment. The testimony was that, when asked, JA specifically denied wanting any benefit for his testimony. There is no dispute that JA did not speak with law enforcement about defendant's case until after he had already brokered his agreement on his burglary case, pleaded guilty, and obtained a promise of a conditional sentence that left the possibility of a complete dismissal of his burglary conviction within his own control. The dismissal required one thing—that he successfully complete his 18- to 24-month drug treatment program.

[1] The Appellate Division erred in its determination that the jury could have found a tacit understanding that the witness "would receive or hoped to receive a benefit for his testimony" (158 AD3d at 646). That holding seems to have been based, in part, on an overly broad reading of some of our cases addressing tacit agreements (*see e.g. People v Novoa*, 70 NY2d 490 [1987]; *People v Cwikla*, 46 NY2d 434 [1979]). In *Cwikla*, the People suppressed a letter to the parole board on behalf of the testifying accomplice wherein the prosecutor conveyed the accomplice's "extreme cooperation" at the defendant's first trial; a specific defense request was made for that material at the retrial. We stated that the suppression of the material was a *Brady* violation, as "the jury could have found that, despite the witness'[s] protestations to the contrary, there was indeed a tacit understanding between the witness and the prosecution, *or at least so the witness hoped*" (46 NY2d at 441 [emphasis added]). Our holding was specifically predicated on the correspondence between the office of the District Attorney and the Parole Board against the backdrop of the circumstances of the testifying witness's own criminal case. A witness's wholly subjective hope of favorable treatment, in the absence of any objective circumstances that reasonably substantiate the witness's expectation, cannot unilaterally form the basis of a tacit understanding—particularly where, as here, the only credible evidence in the record is that the witness was given no promises or assurances by, and communicated that he did not request or expect any favorable treatment from, the People.[5] Rather, as we have held, the prosecutor's duty to disclose the existence of an agreement "arises from the fact that the prosecutor and the witness have reached an understanding in which the witness's cooperation has been exchanged for some *quid pro quo* on the part of the prosecutor" (*Novoa*, 70 NY2d at 497). That type of understanding, or the making of any assurances in this regard creating an expectation of some benefit, was plainly absent in this case.

We do recognize, however, that even where there is neither an express nor a tacit agreement, the People have a broader responsibility to disclose favorable information tending to show that a witness had an incentive to testify falsely in order to curry favor with the prosecution on an open criminal case (*see Colon*, 13 NY3d at 350 n 4). Whether this information must be turned over is not dependent on whether the prosecutor believes it to be credible (*see People v Baxley*, 84 NY2d 208, 213-214 [1994]). Nor is the nondisclosure of material evidence excused by the good faith belief of the prosecutor that the material was not relevant (*see Brady*, 373 US at 87).

Given the circumstances of the conditional sentence promise in the pending burglary case and JA's violations of his treatment program, it could be argued that JA may have perceived

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5. Federal courts have been more explicit in holding that the prosecution does not have to disclose evidence of an agreement that does not exist, even if the witness may have hoped to obtain some consideration or favorable treatment as a result of his or her testimony (*see White v Steele*, 853 F3d 486, 491 [8th Cir 2017] ["without a hint or deal, even if (the witness) did expect to get something, the State could not have known of (the witness's) expectation. Accordingly, the State did not violate *Brady* . . . by failing to disclose an agreement that did not exist"]; *Collier v Davis*, 301 F3d 843, 849 [7th Cir 2002] [the witness's "general and hopeful expectation of leniency is not enough to create an agreement or an understanding"]; *Shabazz v Artuz*, 336 F3d 154, 163 [2d Cir 2003]).

that his upcoming testimony at the murder trial was beneficial to his retention in the drug treatment program as he was repeatedly released by the court, without the People's objection, on his own recognizance despite those violations.[6] There was undisclosed evidence that would have enabled defense counsel to deepen his argument that JA was testifying falsely in order to receive favorable treatment from the court with the People's acquiescence. Specifically, defendant argues the People should have disclosed: emails from the executive ADA in charge of the drug treatment program to the director of the EAC indicating the People's interest in what was happening with JA in the drug treatment program, JA's release after the September 19th cigarette violation, and the trial prosecutor's appearance at the June 13th proceeding.

"We do not, however, automatically require a new trial whenever 'a combing of the prosecutors' files after the trial has disclosed evidence possibly useful to the defense but not likely to have changed the verdict' " (*Giglio v United States*, 405 US 150, 154 [1972], quoting *United States v Keogh*, 391 F2d 138, 148 [2d Cir 1968]).[7] Assuming the People had an obligation to disclose this information, there is no reasonable possibility that it would have resulted in a different verdict. In *Turner v United States*, the United States Supreme Court observed that, determining the materiality of these types of *Brady* claims is "legally simple but factually complex. We must examine the trial record, 'evaluat[e]' the withheld evidence 'in the context of the entire record,' and determine in light of that examination" whether there is a reasonable possibility that the result of the trial would have been different if the evidence had been disclosed (582 US —, —, 137 S Ct 1885, 1893 [2017] [citations omitted]). The Court did "not suggest that impeachment evidence is immaterial with respect to a witness who has already been impeached with other evidence," but held that neither "the undisclosed impeachment evidence . . . [which] was

6. Relapse is a common occurrence and the legislature has recognized judicial flexibility is necessary in making determinations regarding violations of conditions for participants in drug diversion programs (*see People v Fiammegta*, 14 NY3d 90 [2010]; CPL 216.05).

7. We note that any confusion in determining what information the People must turn over may be attributed to the failure of the police and prosecutor to document the basic facts and circumstances of the witness's cooperation. As defense counsel argued at trial, the absence of a "single solitary note" recording these "critical interviews" in a murder investigation would appear to be anomalous.

largely cumulative of impeachment evidence petitioners already had and used at trial," nor "the cumulative effect of the withheld evidence" would have impacted the jury verdict (582 US at —, 137 S Ct at 1894-1895).

[2] In determining that a *Brady* violation occurred, the Appellate Division failed to do the required materiality analysis as to the suppressed information. At the trial, defendant's counsel accessed JA's court file on his open burglary case, as well as JA's extensive criminal history. In his cross-examination of the witness, defense counsel emphasized JA's status as a "career criminal" and highlighted the differences between the witness's factual descriptions of his crimes and the official records of those convictions. Most importantly, counsel elicited facts enabling him to argue to the jury that JA, despite having heard defendant's jailhouse admissions months before, contacted the police working defendant's case after he absconded from the drug program on June 9th, that defendant's case detective and a "DA" appeared with JA in drug court on June 13th for return on the warrant issued when JA absconded, and that JA, having violated the conditions of the program, was nonetheless released by the court following that appearance. Counsel made the jury aware that JA continued to be released despite additional violations of his drug treatment program conditions and that bail was never requested in his burglary case notwithstanding those violations. There is no dispute that defense counsel at trial knew that the prosecutor's office for JA's pending burglary case and defendant's murder case was the same entity (*see Giglio*, 405 US at 154) and, accordingly, knowledge of the absence of a bail or remand request was chargeable to the trial prosecutor (*see Steadman*, 82 NY2d at 8).

Given his knowledge of the court history of JA's burglary case and the extensive impeachment material elicited at trial, defense counsel was able to argue forcefully that JA was testifying falsely to curry favor from the court and the prosecutor in connection with his pending case. Contrary to the dissent's position, the undisclosed impeachment evidence at issue here, like that in *Turner*, was more of the same evidence that was available to the defense and used to impeach the witness at trial. The disclosed evidence provided ample basis for defense counsel to argue to the jury that JA had a bias in favor of the People, as he hoped to receive a benefit in exchange for his testimony, and that the People's failure to request bail in his open burglary case despite his drug program violations was the benefit conferred. Nor can it be ignored that, as noted, the People presented strong evidence of defendant's guilt at trial—including defendant's self-incriminating statements to his friends, his efforts to dispose of the gun shortly after the murder and the physical evidence from his house (the blanket) recovered from the crime scene. In sum, given the above, there is no reasonable possibility that the failure to disclose the particular evidence would have affected the verdict.

Relatedly, the trial prosecutor failed to correct JA's mischaracterization of his progress in drug treatment and failed to disclose her involvement at his June 13th appearance in drug court. The trial record reveals defense counsel knew of at least five violations and, in fact, did impeach JA as to his purported "good" progress. On the other hand, while the identity of the particular prosecutor does not change the fact that the District Attorney's Office is viewed as one entity for *Brady* disclosures, the ADA should have "clarif[ied] the record by disclosing all the details of what had actually transpired" (*Steadman*, 82 NY2d at 8) at the June 13th appearance. Nonetheless, as the 440 record demonstrates, there was no deal between the People and the witness and the witness was not offered any promises or assurances in reference to his burglary case. Again, to say that there was ample impeachment evidence at trial against the witness on multiple levels is an understatement. In light of the above, there is no reasonable possibility that the knowledge that the trial prosecutor was the specific ADA who stood up for the People at the June 13th appearance and that JA was still in a drug program despite additional program violations—leaving treatment and bringing cigarettes into a facility—would have changed the jury's verdict.

Defendant's remaining *Brady* argument—that the People suppressed JA's EAC-Link records—is without merit (*see Garrett*, 23 NY3d at 886-888), as are his *Rosario* and newly discovered evidence claims.

Accordingly, the order of the Appellate Division should be reversed and the order of Supreme Court reinstated.

RIVERA, J. (dissenting). I would affirm the Appellate Division order which granted defendant John Giuca's CPL 440.10 motion and ordered a new trial based on the People's violation of defendant's rights under *Brady v Maryland* (373 US 83 [1963]) and *Giglio v United States* (405 US 150 [1972]). Specifically, the People improperly failed to provide defendant with impeachment material regarding a jailhouse informant's motivation to fabricate defendant's alleged inculpatory statements and failed to correct misrepresentations during the informant's testimony (*People v Steadman*, 82 NY2d 1, 7 [1993]). As the majority acknowledges, the prosecutor withheld information about the relationship between this key witness and the District Attorney's Office and also failed to correct the informant's inaccurate and misleading statements, including one brought out by the prosecutor on redirect (majority op at 478).

The Appellate Division accurately and comprehensively describes the relevant trial testimony, CPL 440.10 hearing evidence, and the People's suppressed information that establish the *Brady/Giglio/Steadman* violations and I summarize here only those events of particular significance to my analysis. After the People's jailhouse informant witness (JA) absconded from his drug program on June 9, 2005, he contacted police and then went to the District Attorney's Office on June 13th where he was questioned by the prosecutor on defendant's case. JA informed her that he had an open warrant for leaving his program. The detectives on the case and the prosecutor then walked JA to drug court, where she appeared on the record in place of the Assistant District Attorney handling JA's case. It was the prosecutor who requested a sidebar with the judge—not JA's counsel or someone else, as implied during JA's trial testimony. At the sidebar, the prosecutor informed the court that JA was providing information in a murder investigation. The prosecutor also received and reviewed a copy of the prosecution file in defendant's drug case. Shortly thereafter, the District Attorney's Office contacted the agency overseeing JA's drug treatment and requested that his case be flagged for "special attention" and the District Attorney's Office be updated on his progress.

At defendant's trial, defense counsel was able to cross-examine JA on the fact that he was in a drug treatment program as part of a guilty plea on his burglary case, that he had violated the program's terms several times without being remanded, that he had a lengthy criminal history, and that he was escorted to court by police officers when he returned on the warrant. However, the questioning was limited because counsel could not ask—because he did not know—about the prosecutor's sidebar or about the various requests and notes from her office archiving its ongoing communications with JA's drug program officials. Defense counsel's summation was similarly hampered by not having complete information about the People's involvement in JA's criminal case. Counsel argued to the jury that JA's testimony showed that the prosecutor presented an entirely different theory once the credibility of the People's other witnesses (defendant's friends) was challenged. To undermine JA's credibility, counsel stressed JA's criminal history—information previously brought out by the prosecutor on her direct examination. He remarked rhetorically, "isn't it funny" that the police in this case were present with JA in court when he appeared after a warrant was issued for him, suggesting that JA was not testifying against defendant simply for altruistic reasons. Significantly, the jury did not hear about the extent of the People's actions that may well have provided the basis for an inference of a tacit agreement or JA's expectation of beneficial treatment in his criminal case in exchange for his testimony against defendant.

The prosecutor, for her part, was able to take full advantage of JA's testimony during her summation to undermine counsel's argument that the witnesses presented an incoherent version of defendant's actions and the events leading to the murder. To set the stage for her counter-narrative, the prosecutor argued that JA's testimony tied all the evidence together and was key to understanding the testimony of the People's other witnesses. According to the prosecutor, defendant gave partial statements to his friends—explaining some of the testimonial inconsistencies—but did not hold back in talking to JA because he was "similarly situated" and was his "prison buddy." Taking this version to its logical conclusion, the prosecutor suggested defendant's statement to JA established that defendant had a much larger role in the murder than what he disclosed to his friends. Apart from using JA's testimony as the fulcrum to explain the prosecution's theory of disparate storytelling by defendant and his friends, the prosecutor worked mightily to paint JA in a positive light. She conceded that he had a criminal history and drug problems, but urged the jury to see him as a flawed individual who was telling the truth about what defendant told him. To undermine counsel's argument that JA had a motive to fabricate his testimony, the prosecutor went further and offered her own opinion that JA was "very honest about his problems and his criminal past." She stressed that there was no evidence that JA received anything for his testimony, that it was not surprising he was given multiple chances in his drug program because he acted responsibly by contacting his caseworker after absconding, and that he had contacted police to help with defendant's case because "for once he tried to do something right."

At the hearing on defendant's CPL 440.10 motion, the evidence established that, contrary to the picture painted by the prosecutor at trial, there was, at a minimum, inferential evidence that JA actually benefitted and might reasonably expect continued benefits in his drug case in exchange for his testimony against defendant. The prosecutor admitted she was the "DA" who walked JA to his June appearance and requested a sidebar where she informed the judge that JA was a witness in a murder trial. Emails confirmed the numerous contacts between the District Attorney's Office and EAC, tracking JA's progress at the request of a supervising Assistant District Attorney within the office. "Prosecutors occupy a dual role as advocates and as public officers and, as such, they are charged with the duty not only to seek convictions but also to see that justice is done. In their role as public officers, they must deal fairly with the accused and be candid with the courts" (*Steadman*, 82 NY2d at 7 [citations omitted]). In furtherance of that duty, the prosecutor has a legal obligation under the Federal Constitution to turn over favorable information to a defendant (*see Giglio*, 405 US at 154-155; *Brady*, 373 US at 86; *Steadman*, 82 NY2d at 7). Where, as here, a defendant makes a specific request for undisclosed evidence, such evidence is not material under *Brady* if there is no reasonable possibility that it would have changed the result of the proceeding (*see People v Fuentes*, 12 NY3d 259, 263 [2009]). "[T]he existence of an agreement between the prosecution and a witness, made to induce the testimony of the witness, is evidence which must be disclosed under *Brady* principles" (*People v Cwikla*, 46 NY2d 434, 441 [1979]). In *Cwikla*, relying on *Brady* and *Giglio*, this Court held that the evidence relating to the witness should have been disclosed because it was "of such a nature that the jury could have found that, despite the witness' protestations to the contrary, there was indeed a tacit understanding between the witness and the prosecution, *or at least so the witness hoped*" (*id.* at 441 [emphasis added]). Similarly, "[w]here a prosecutor elicits or fails to correct [knowingly false or mistaken material testimony of a prosecution witness], reversal and a new trial are necessary unless there is no reasonable possibility that the error contributed to the conviction" (*People *v Colon*, 13 NY3d 343, 349 [2009] [internal quotation marks omitted]).

Defendant's trial counsel made a specific request and there is no dispute that the prosecutor suppressed information about her involvement and her office's communications with JA's drug program administrators that could have been used to impeach JA and suggest JA was motivated to fabricate testimony to gain a benefit. Nor is there disagreement that the prosecutor bore a legal responsibility to correct JA's inaccurate and misleading statements. The only question on this appeal is whether there is a reasonable possibility that proper disclosure and corrective action would have made a difference in the outcome of defendant's trial. I conclude it would.*

The suppressed information would have provided defense counsel with critical information to dispute the prosecutor's claim that JA was simply "doing the right thing" by testifying and that the court in JA's burglary case acted unaware of the People's interests in securing JA's testimony against defendant. Without the suppressed evidence, counsel was left to attack JA's credibility in general terms, exploring standard impeachment areas typical for a jailhouse informant, namely criminal history and a generic interest in gaining a benefit in exchange for information about a fellow inmate. What counsel could not argue is that the prosecutor was the one who requested a sidebar at the June 13th court appearance in JA's drug case—information that supported a foundation for an inference that such action influenced the judge's decision not to remand JA—even though JA had several relapses, absconded and was returned on a warrant, and had been warned several times that he faced incarceration for such violations. Defense counsel was unable to argue that the jury could infer that JA received a benefit in court on June 13th, the first of several, afforded every time he relapsed and avoided jail. Counsel could not urge the jury to reject that this treatment was more than mere coincidence or the beneficence of the court repeatedly giving a substance abuser another chance, as the prosecutor argued in summation. Counsel did not have available the notes

* Since I conclude that the People violated defendant's right to a fair trial by suppressing *Brady* material regarding JA's motive to fabricate, and the People disclosed the suppressed materials prior to the 440.10 hearing, I do not address defendant's remaining contention that he was entitled to JA's drug treatment and psychiatric records from the agency overseeing his drug rehabilitative services.

from the District Attorney's Office to suggest that the Office had an unusual heightened interest in JA's progress and that the officials at the drug program and the court understood that JA was an important witness in a homicide case, a highly publicized case with pressure on the District Attorney's Office to secure a guilty verdict. Conversely, the prosecutor was free to argue that JA received nothing and expected nothing in return for his testimony, even though the undisclosed information would suggest otherwise.

In violation of her duty as a public officer to "deal fairly with the accused and be candid with the courts" (*Steadman*, 82 NY2d at 7), the prosecutor also misled the court, the jury, and defense counsel by failing to correct JA's statements that he was doing well in his program, or disclose that she was "the DA" who appeared at the sidebar with the court and that it was she who told the judge in JA's drug case that he was providing information in a murder investigation. The latter is particularly troubling conduct as the prosecutor drew out the misleading statement on her redirect of JA to offset any possible damage to his credibility inflicted by counsel's cross-examination. This was not a mistake or misstep because the prosecutor was quick to have JA clarify that "the judge" in his drug case was not the same judge present during defendant's trial, while she avoided eliciting that she was "the DA" at the June 13th appearance. This was an attempt to recover ground by bolstering the credibility of the witness after defense counsel's cross-examination—a particularly egregious violation of our law and the prosecutor's ethical obligations (22 NYCRR 1200.0 rule 3.8 [b]).

Although the majority concedes that "[t]here was undisclosed evidence that would have enabled defense counsel to deepen his argument that JA was testifying falsely in order to receive favorable treatment from the court with the People's acquiescence" (majority op at 476), the majority concludes that this would merely have been cumulative to the impeachment evidence used by counsel at trial. I disagree with this characterization of the suppressed information and its potential use by defense counsel.

The information was not merely cumulative evidence of what counsel already had available—meaning more of the same or "tending to prove the same thing" (*see* Black's Law Dictionary [11th ed 2019], cumulative). The information the prosecutor failed to turn over concerned actions by the trial prosecutor and representatives of the District Attorney's Office—far different evidence than what counsel used on JA's cross-examination and during summation, which focused on JA and the police, namely the informant's criminal history (which the prosecutor relied upon to suggest JA was trying to overcome his past), and his police escort to the court on June 13th. True enough that both types of information put in question JA's credibility, but only as a general matter, and as related to the actions of the police. In contrast, the suppressed information provides a distinct basis for an inference that JA fabricated defendant's alleged inculpatory statements based on benefits associated and derived from the prosecution. Labeling this information as additional but unnecessary for counsel's argument, as the majority does here, also underestimates the potential use of this information in the hands of a skilled defense lawyer (*see Davis v Alaska*, 415 US 308, 316 [1974] ["Cross-examination is the principal means by which the believability of a witness and the truth of (the witness's) testimony are tested"]; *People v Walker*, 83 NY2d 455, 461 [1994] ["(I)mpeachment is a particular form of cross-examination whose purpose is, in part, to discredit the witness and to persuade the fact finder that the witness is not being truthful"]).

The majority's view of what constitutes cumulative evidence is overly broad and unsound, as made apparent by simple illustrations of truly redundant information. For example, if the prosecutor had suppressed information that JA had an additional criminal conviction when it was already revealed to the jury that he had an extensive criminal history, this would be cumulative impeachment evidence as it would not have significantly aided the jury's assessment of JA's credibility. Therefore, failure to disclose this additional crime would not warrant reversal of defendant's conviction under *Brady*. Similarly, the suppressed information about JA's program violation, which I do not include as part of the prosecutor's *Brady* violation, is cumulative since two other program violations were known to defense counsel. Again, more of the same; not likely to surprise the jury or affect the verdict. These examples are in stark contrast to the undisclosed information of the prosecutor's personal involvement in JA's burglary case, her representations to the court and her office's ongoing interest in JA for the sole reason that he was a valuable People's witness. This undisclosed impeachment evidence was qualitatively different—not merely reflecting on JA's overall credibility but providing a specific, concrete reason for JA to lie in the hopes of receiving ongoing favorable attention from the District Attorney's Office.

Nor does the majority's reliance on *Turner v United States* (582 US —, —, 137 S Ct 1885, 1893 [2017]) support a conclusion that the undisclosed information about the actions of the individual prosecutor and the District Attorney's Office was cumulative or would have had a cumulative effect given the trial evidence (majority op at 476-477). *Turner* involved an assault and murder committed by a large group of individuals acting in concert. The petitioners alleged that they were denied information about the trial witnesses that would have permitted them to mount a defense that the murder was committed by one or two individuals, rather than, as the Government maintained, petitioners as a group. The withheld information in *Turner* in no way resembles what the prosecutor suppressed here, as a summary of the petitioners' alleged *Brady* material reveals. At the trial the record evidence showed that one witness was on PCP when she observed the events and so "it would not have surprised the jury to learn that [the witness] used PCP on yet another occasion"; another witness had been impeached "about changes in her testimony over time, leaving little added significance to the [undisclosed] note that she changed her mind" about agreeing with another witness's claims; and a third witness had effectively been impeached "with her shifting stories about what she witnessed [so] [k]nowledge that a detective raised his voice during an interview with her would have added little more" (582 US at —, 137 S Ct at 1894-1895). Unlike the evidence suppressed in defendant's case, the undisclosed impeachment information in *Turner* was of questionable value to the defense because it was more of the same type of conduct by the same witness.

Here, the mere fact that counsel impeached JA to some extent cannot support excusing the People from their constitutional obligations. The majority quotes but misapprehends *Turner*'s warning about reading too much into its fact-specific conclusion, which states in full: "[w]e of course do not suggest that impeachment evidence is immaterial with respect to a witness who has already been impeached with other evidence. We conclude only that in the context of this trial, with respect to these witnesses, the cumulative effect of the withheld evidence is insufficient to undermine confidence in the jury's verdict" (582 US at —, 137 S Ct at 1895 [citations and internal quotation marks omitted]). The same cannot be said here where the suppressed information described actions by the prosecutor, actions which a jury may have considered more likely to motivate JA to fabricate statements favorable to the People's case against defendant.

The applicable standard, that there was no reasonable possibility that the result of the proceeding would have been different if the undisclosed material had been turned over, is an extremely low bar. It is lower than "reasonable probability," which "does not require demonstration by a preponderance that disclosure of the suppressed evidence would have resulted ultimately in the defendant's acquittal" (*Kyles v Whitley*, 514 US 419, 434 [1995]). Even under the higher reasonable probability standard, "[t]he question is not whether the defendant would more likely than not have received a different verdict with the evidence, but whether in its absence [the defendant] received a fair trial, understood as a trial resulting in a verdict worthy of confidence" (*id.*; *see also Matter of Beautisha B. [Racquirine A.]*, 115 AD3d 854, 854 [2d Dept 2014] ["To establish a fact by a preponderance of the evidence means to prove that the fact is more likely than not to have occurred"], citing *Matter of Tammie Z.*, 66 NY2d 1 [1985]). The relevant question then is whether a reasonable possibility exists that the suppressed evidence may have affected the outcome of defendant's case. On this record, I cannot say that not even one juror would have thought JA held out hope—corroborated by the conduct of the prosecutor and her office—for favorable treatment by the courts or otherwise sought to curry the prosecutor's favor in JA's drug case. At least one juror could conclude that it was not simply the court, as usual, giving multiple chances to a person in rehabilitation—as suggested by the prosecutor in her summation and by the majority here (majority op at 471, 475-476 and n 6)—but rather, special treatment for JA as the People's witness. Of course, just one juror would have been enough to change the outcome of defendant's trial (*see Turner*, 582 US at —, 137 S Ct at 1897 [Kagan, J., dissenting] [suppressed evidence "could well have flipped one or more jurors—which is all *Brady* requires"]).

Finally, as all the Justices in *Turner* agreed, expansive disclosure should be the norm and the "better course is to take care to disclose any evidence favorable to the defendant" (*Turner*, 582 US at —, 137 S Ct at 1893). Even the dissent joined in this part of the majority opinion, agreeing that "such evidence ought to be disclosed to defendants as a matter of course" (*Turner*, 582 US at —, 137 S Ct at 1897 [Kagan, J., dissenting]). Indeed, a generous policy of disclosure of *Brady* material fully aligns with our recognized interests in finding the truth and rejecting efforts at gaming the criminal justice system that undermine the truth-finding process (*Strickler v Greene*, 527 US 263, 280-281 [1999] [The *Brady* line of cases "illustrate the special role played by the American prosecutor in the search for truth in criminal trials"]). "[T]he *Brady* rule's 'overriding concern [is] with the justice of the finding of guilt,' and . . . the Government's 'interest . . . in a criminal prosecution is not that it shall win a case, but that justice shall be done' " (*Turner*, 582 US at —, 137 S Ct at 1893 [citations omitted]). All this reflects the principled view that "[c]onstitutional requirements aside, turning over exculpatory materials is a core responsibility of all prosecutors" (*Turner*, 582 US at —, 137 S Ct at 1897 [Kagan, J., dissenting]). "Put another way, 'When there is substantial room for doubt, the prosecutor is not to decide for the court what is admissible or for the defense what is useful' " (*People v Andre W.*, 44 NY2d 179, 185 [1978], quoting *Griffin v United States*, 183 F2d 990, 993 [DC Cir 1950]). The District Attorney's Office here asserts that it is the policy of its office "generally to disclose all information that is identified as even arguably favorable to the defense, regardless of the prosecutor's assessment of the materiality of that information." This correct articulation of the prosecutor's duty comes too late for defendant.

Since there is a reasonable possibility that counsel's use of the suppressed information would have changed the result of the proceedings, defendant met his burden in support of his 440.10 motion for a new trial (*Fuentes*, 12 NY3d at 263; *People v Vilardi*, 76 NY2d 67, 77 [1990]). The majority's reversal of the Appellate Division order granting the same is erroneous on the law as applied to the record before us. I dissent.

Judges STEIN, GARCIA, WILSON and FEINMAN concur; Judge RIVERA dissents and votes to affirm in an opinion; Judge FAHEY taking no part.

Order reversed and order of Supreme Court, Kings County, reinstated.

[129 NE3d 891, 105 NYS3d 353]

In the Matter of the EIGHTH JUDICIAL DISTRICT ASBESTOS LITIGATION.

DONALD J. TERWILLIGER, Administrator of the Estate of DONALD R. TERWILLIGER, Deceased, Appellant, v BEAZER EAST, INC., Formerly Known as KOPPERS COMPANY, INC., et al., Defendants, and HONEYWELL INTERNATIONAL, INC., Successor in Interest to the WILPUTTE COKE OVEN DIVISION OF ALLIED CHEMICAL CORPORATION, Respondent.

Argued April 30, 2019; decided June 11, 2019

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered May 5, 2017. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, Erie County (Deborah A. Chimes, J.), which had denied the motion of defendant Honeywell International, Inc., successor in interest to the Wilputte Coke Oven Division of the Allied Chemical Corporation, for summary judgment dismissing the complaint as against it; (2) granted the motion; and (3) dismissed the complaint against that defendant.

Matter of Eighth Jud. Dist. Asbestos Litig., 150 AD3d 1617, reversed.

HEADNOTE

Products Liability — Exposure to Toxic Substances — Failure to Warn — What Constitutes Product — Industrial Coke Ovens

Defendant, the successor in interest to a company that designed, constructed, maintained and repaired the industrial coke ovens that were in the steel plant where plaintiff's decedent worked and was exposed to coke emissions that allegedly contributed to his fatal lung cancer, failed to meet its burden on its summary judgment motion to show that the ovens were not "products" as a matter of law to which strict products liability can attach under a failure-to-warn theory. Because many products in the context of industrial machines can create circumstances where the danger from use is likely to be disastrous, the focus is on the potential dangers rather than the product's physical characteristics. Here, regardless of alterations decedent's employer may have made to the scale and specifications of the coke oven battery at large, the ovens themselves served one function: the production of coke. The process was standard across all variations of ovens that defendant's predecessor sold, placing the hazardous thing at issue within the category of products to which liability has attached. Defendant's predecessor exerted full control over the manner in which the ovens were built, furnished necessary materials in their production, placed them into the stream of commerce, marketed them with brochures, and derived a financial benefit from its role in the process. Thus, it was in the best position to assess the safety of the ovens based on its superior knowledge of their intended functionality. That the ovens were built into the large structures that made up the oven battery did not take them out of the products liability context, as items beyond tangible personal property distributed commercially for use are products when the context of their distribution and use is sufficiently analogous to the distribution and use of tangible personal property. Moreover, while strict products liability does not apply to a transaction for services, where a good is sold in the course of a transaction, the mere presence of a service component, here the installation of the ovens, does not mean that the item is not a product to which a duty to warn may apply.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Products Liability §§ 612, 1011.
NY JUR 2d Products Liability §§ 1, 2, 104, 212.

ANNOTATION REFERENCE

See ALR Index under Asbestos; Products Liability.

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POINTS OF COUNSEL

Lipsitz & Ponterio, LLC, Buffalo (*John N. Lipsitz* and *Dennis P. Harlow* of counsel), for appellant. I. Wilputte Coke Oven Division of the Allied Chemical Corporation had a duty to warn users of latent hazards associated with the operation of its ovens. (*Liriano v Hobart Corp.*, 92 NY2d 232; *Robinson v Reed-Prentice Div. of Package Mach. Co.*, 49 NY2d 471; *Penn v Amchem Prods.*, 85 AD3d 475; *MacPherson v Buick Motor Co.*, 217 NY 382; *Micallef v Miehle Co., Div. of Miehle-Goss Dexter*, 39 NY2d 376; *George v Celotex Corp.*, 914 F2d 26; *Gebo v Black Clawson Co.*, 92 NY2d 387; *Sukljian v Ross & Son Co.*, 69 NY2d 89; *Sprung v MTR Ravensburg*, 99 NY2d 468; *Codling v Paglia*, 32 NY2d 330.) II. The manufacturer of a good may not absolve itself of its duty to warn by purporting to transfer that good through a service-oriented contract. (*Perlmutter v Beth David Hosp.*, 308 NY 100; *Ben Constr. Corp. v Ventre*, 23 AD2d 44; *Milau Assoc. v North Ave. Dev. Corp.*, 42 NY2d 482; *Gebo v Black Clawson Co.*, 92 NY2d 387; *Sukljian v Ross & Son Co.*, 69 NY2d 89; *Van Iderstine v Lane Pipe Corp.*, 89 AD2d 459;

Church v Callanan Indus., 285 AD2d 16; *Winckel v Atlantic Rentals & Sales*, 159 AD2d 124; *Hart v Moray Homes*, 158 AD2d 890; *Perazone v Sears, Roebuck & Co.*, 128 AD2d 15.)

Harris Beach PLLC, Pittsford (*Victoria A. Graffeo, Svetlana K. Ivy, A. Vincent Buzard* and *Nicholas C. Roberts* of counsel), for respondent. I. The Appellate Division properly applied the well-established rule that products liability does not apply to the construction of structures. (*Milau Assoc. v North Ave. Dev. Corp.*, 42 NY2d 482; *Trustees of Columbia Univ. in City of N.Y. v Gwathmey Siegel & Assoc. Architects*, 192 AD2d 151; *Hart v Moray Homes*, 158 AD2d 890; *Curry v Davis*, 241 AD2d 924; *Van Iderstine v Lane Pipe Corp.*, 89 AD2d 459; *Matter of City of Lackawanna v State Bd. of Equalization & Assessment of State of N.Y.*, 16 NY2d 222; *Gilpin v Oswego Bldrs., Inc.*, 87 AD3d 1396; *Scholz Design, Inc. v Sard Custom Homes, LLC*, 691 F3d 182.) II. The precedent relied on by plaintiff regarding defective components or equipment sold by a service provider is inapplicable because plaintiff has not identified any defective component in coke ovens. (*Trustees of Columbia Univ. v Mitchell/Giurgola Assoc.*, 109 AD2d 449; *Trustees of Columbia Univ. in City of N.Y. v Gwathmey Siegel & Assoc. Architects*, 192 AD2d 151; *Perazone v Sears, Roebuck & Co.*, 128 AD2d 15; *Appalachian Ins. Co. v General Elec. Co.*, 8 NY3d 162; *Maltese v Westinghouse Elec. Corp.*, 89 NY2d 955; *Sprung v MTR Ravensburg*, 99 NY2d 468; *Adair v Koppers Co., Inc.*, 541 F Supp 1120, 741 F2d 111; *Cincinnati Gas & Elec. Co. v General Elec. Co.*, 656 F Supp 49; *Liriano v Hobart Corp.*, 92 NY2d 232; *McLaughlin v Mine Safety Appliances Co.*, 11 NY2d 62.)

Ernstrom & Dreste, LLP, Rochester (*Kevin F. Peartree* of counsel), for Builders Exchange, Inc. and others, amici curiae. I. The service versus product distinction remains valid and critical to the construction industry in New York. (*Codling v Paglia*, 32 NY2d 330; *Milau Assoc. v North Ave. Dev. Corp.*, 42 NY2d 482; *Perlmutter v Beth David Hosp.*, 308 NY 100; *Trustees of Columbia Univ. v Mitchell/Giurgola Assoc.*, 109 AD2d 449; *Perazone v Sears, Roebuck & Co.*, 128 AD2d 15.) II. Imposing strict liability on construction services would adversely impact the construction industry in New York and the markets it serves.

OPINION OF THE COURT

FEINMAN, J.

Plaintiff Donald J. Terwilliger, as administrator of the estate of decedent Donald R. Terwilliger, brought this negligence and products liability action against defendant Honeywell, as successor in interest to the Wilputte Coke Oven Division of the Allied Chemical Corporation (Wilputte), seeking damages for injuries decedent sustained while employed by Bethlehem Steel (Bethlehem) at its plant in Lackawanna, New York (the Lackawanna plant). The question presented on this appeal is whether defendant has met its burden on summary judgment that the large, industrial coke ovens located in decedent's workplace are not "products" for purposes of strict products liability, such that defendant did not owe a duty to warn of their harmful nature. We hold that defendant failed to carry that burden and, therefore, the order of the Appellate Division should be reversed.

I.

According to the complaint, decedent worked for Bethlehem as a coke oven "lid man" at the Lackawanna plant between 1966 and 1993. A "coke oven," roughly 13 feet high and 1.5 feet wide, burns coal at high temperatures to create coke, a fuel then used in the production of steel. A "coke oven battery" is a collection of these individual ovens stacked in a long row to create the wall of the battery structure in which the ovens are housed. The batteries at issue here were located on the grounds of the coke oven plant, which "consisted of a number of other structures, including coal towers, coal conveyors, coke wharfs, screening stations, storage tanks, electrical substations, gas recovery systems, byproduct facilities, and quenching stations."

Decedent's job as a lid man was to work on top of the battery, near where the ovens released the emissions that are a byproduct of the coke production process. Plaintiff alleges that prolonged exposure to these emissions poses long-term health risks, most notably various types of cancer. The complaint further alleges that from 1966, the time he began working around the ovens, until the late 1970s, when OSHA set forth regulations requiring warning placards to be placed on the ovens and all oven workers to wear protective respirators, decedent was continuously and "injuriously exposed to coke oven emissions from coke ovens designed, constructed, maintained and repaired" by Wilputte.

Decedent died from lung cancer in 2012. The following year, his estate commenced this action, alleging, inter alia, that decedent's cancer was proximately caused, in part, by his exposure to the coke oven emissions at the Lackawanna plant. Defendant does not dispute this for the purposes of this appeal. This appeal pertains only to plaintiff's second and fourth causes of action, which essentially allege under a products liability theory that defendant Honeywell, as successor in interest to Wilputte, at all times relevant "engaged in the design, construction, maintenance, and repair of coke ovens and coke oven batteries, as well as in the sale of goods and contracting services for the construction of coke ovens" at the Lackawanna plant[1] and "failed to disclose to plaintiff's decedent and those similarly situated, or warn them of the known dangers associated with the inhalation of coke oven emissions."

Defendant moved for summary judgment, arguing first "that the coke ovens at issue are not products and hence, do not subject [it] to strict liability as a products manufacturer"; and second "that Wilputte's contract with Bethlehem, under which it designed and built the ovens[,] was one for services, and that, as a service provider it is not subject to strict products liability." In response, plaintiff submitted several documents relevant to the nature of Wilputte's business, including sales records showing that Wilputte had, by 1962, sold hundreds of coke ovens in the United States, Canada, and Mexico; Wilputte's proprietary schematics for the coke oven batteries and their various component parts; and a 1954 advertising brochure widely distributed by Wilputte entitled "The Wilputte Coke Oven" that contains several figures detailing the various components that make up ovens like the ones at issue. Plaintiff averred that "[t]he individual coke ovens, assembled into battery units, were products with a particular technical design, the purpose of which was to transform coal into coke for the steel industry."

Supreme Court, among other things, denied defendant's motion, framing its conclusion as follows:

> "[t]aking into consideration: that defendant marketed and sold different types of coke ovens throughout the United States and in Mexico and

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1. Although the original contract between Wilputte and Bethlehem was not produced in discovery, the record contains another contract between Wilputte and U.S. Steel for the construction of coke ovens which both parties agree is an approximate facsimile of the agreement likely entered into by Wilputte and Bethlehem.

> Canada; that the customer could select the number of ovens it purchased to create a battery (some purchases were as small as 15 coke ovens); that defendant published a brochure for its coke ovens explaining their different types of ovens and providing a detailed explanation of the parts of the oven; and that each oven had its own equipment including gas jets, standpipe, activation system and mechanical doors, it is this court's conclusion that the coke ovens are more like machines or equipment than a building" (2016 WL 4077169, *4 [Sup Ct, Erie County, Mar. 7, 2016]).

In essence, the oven's "function and purpose" outweighed considerations of its size and its integration into the battery structure. Supreme Court also highlighted the "sound social policy" underlying this Court's strict products liability jurisprudence and concluded that defendant, as the manufacturer of the ovens, "was in the best position to assess if the coke ovens it was marketing were safely made and suitable for their intended purpose" (*id.* at *4-5).

The Appellate Division reversed and granted the motion for summary judgment dismissing the complaint against Honeywell (150 AD3d 1617 [4th Dept 2017]). Noting that the battery's construction "would have taken approximately 1,460,000 hours of labor to complete over six phases," the Appellate Division opined "that service predominated the transaction herein and that it was a contract for the rendition of services, i.e., a work, labor and materials contract, rather than a contract for the sale of a product" (*id.* at 1619). Therefore, emphasizing its size and immovable nature, the Court concluded that "a coke oven, installed as part of the construction of the 'great complex of masonry structures' at Bethlehem, permanently affixed to the real property within a coke oven battery, does not constitute a 'product' for purposes of plaintiff's products liability causes of action" (*id.*, quoting *Matter of City of Lackawanna v State Bd. of Equalization & Assessment of State of N.Y.*, 16 NY2d 222, 227 [1965]).

We granted plaintiff leave to appeal (30 NY3d 912 [2018]) and now reverse.

II.

In New York, a product is considered "defective," and the manufacturer liable, if the product: (1) "contains a manufacturing flaw," (2) "is defectively designed," or (3) "is not accompanied by adequate warnings for the use of the product" (*Liriano v Hobart Corp.*, 92 NY2d 232, 237 [1998]). Here, defendant primarily argued on summary judgment that the coke ovens at issue are not "products" to which a duty to warn can attach. Thus, although many of the principles underlying these three categories overlap, our analysis is specific to the "failure-to-warn" category of claims.

Initially, we note that when considering whether strict products liability attaches, the question of whether something is a product is often assumed; none of our strict products liability case law provides a clear definition of a "product." However, "[a]part from statutes that define 'product' for purposes of determining products liability, in every instance it is for the court to determine as a matter of law whether something is, or is not, a product" (Restatement [Third] of Torts: Products Liability § 19, Comment *a*).

In the failure-to-warn context, we have imposed a duty upon a manufacturer whose wares serve a standardized purpose, such that the product's latent dangers, if any, are known, or should be known, from the time it leaves the manufacturer's hands. In many cases, industrial machines have been assumed to be products for strict liability purposes (*see e.g. Passante v Agway Consumer Prods., Inc.*, 12 NY3d 372 [2009] [mechanical dock leveler]; *Liriano*, 92 NY2d at 232 [commercial meat grinder]; *Robinson v Reed-Prentice Div. of Package Mach. Co.*, 49 NY2d 471 [1980] [industrial plastic molding machines]). However, what constitutes a product is not limited to the physical characteristics common to such machines (*see e.g. Matter of New York City Asbestos Litig.*, 27 NY3d 765, 787 [2016] [hereinafter *Dummitt*] [valves requiring asbestos-laden gaskets]; *McLaughlin v Mine Safety Appliances Co.*, 11 NY2d 62, 68 [1962] [medical heating blocks]; *Rosebrock v General Elec. Co.*, 236 NY 227 [1923] [wooden packing materials for electric transformers]). Because many products in this context can create "circumstances where the danger from use was likely to be so very disastrous," our case law has not focused on creating an exhaustive list of the product's physical characteristics but has instead focused on those potential dangers (*Rosebrock*, 236 NY at 238).

Intertwined with our analysis of whether something is a product is the more central question of whether the defendant manufacturer owes a duty to warn (*see Dummitt*, 27 NY3d at

787, citing *Darby v Compagnie Natl. Air France*, 96 NY2d 343, 347 [2001]; *cf.* Restatement [Third] of Torts: Products Liability § 19, Comment *a* ["Given that design and warning cases turn on essentially risk-utility evaluations, the practical importance of whether something is, or is not, a product has diminished somewhat" (citation omitted)]). Although "the existence and scope of . . . a duty [to warn] are generally fact-specific" (*Liriano*, 92 NY2d at 240), a manufacturer's duty typically "extends to the original or ultimate purchasers of the product, to employees of those purchasers, and to third persons exposed to a foreseeable and unreasonable risk of harm by the failure to warn" (*McLaughlin*, 11 NY2d at 68 [citations omitted]). Thus, a manufacturer can be held liable for failing to warn of "latent dangers resulting from foreseeable uses of its product of which it knew or should have known" (*Liriano*, 92 NY2d at 237, citing *Rastelli v Goodyear Tire & Rubber Co.*, 79 NY2d 289, 297 [1992]), as well as "the danger[s] of unintended uses of a product provided these uses are reasonably foreseeable" (*Liriano*, 92 NY2d at 237, citing *Lugo v LJN Toys*, 75 NY2d 850 [1990]).

Failure-to-warn claims, like all strict products liability claims, sound in tort rather than contract; the defendant manufacturer's liability will "ar[i]se out of the nature of [its] business and the danger to others incident to its mismanagement," even where no privity exists between the maker of the hazardous article and its end user (*Thomas v Winchester*, 6 NY 397, 410 [1852]; *see also Denny v Ford Motor Co.*, 87 NY2d 248, 256 [1995] [recognizing the establishment of strict products liability as a "tort remedy"]). Although failure-to-warn claims "can be framed in terms of strict liability or negligence, [such] claims grounded in strict liability and negligence are functionally equivalent, as both forms of a failure-to-warn claim depend on the principles of reasonableness and public policy at the heart of any traditional negligence action" (*Dummitt*, 27 NY3d at 787).

Thus, on this motion for summary judgment, we evaluate whether the coke ovens are products within the broader context of our common-law principles of assigning a legal duty to warn. As we most recently explained in *Dummitt*, the court's overarching concern in assigning a duty to warn is to

> "settle upon the most reasonable allocation of risks, burdens and costs among the parties and within society, accounting for the economic impact of a

> duty, pertinent scientific information, the relationship between the parties, the identity of the person or entity best positioned to avoid the harm in question, the public policy served by the presence or absence of a duty and the logical basis of a duty" (*id.* at 788 [citations omitted]).

To that end, although the criteria for determining whether a duty should attach to a seller may be tied to the nature of the given transaction, our case law emphasizes governing factors such as a defendant's control over the design of the product, its standardization, and its superior ability to know—and warn about—the dangers inherent in the product's reasonably foreseeable uses or misuses (*see Dummitt*, 27 NY3d at 793, 800-801).

III.

A.

We must determine, in light of the foregoing principles, whether the record before us supports defendant's arguments on summary judgment that the ovens are not products to which strict liability can attach under a failure-to-warn theory. We review defendant's motion for whether it has "ma[d]e a prima facie showing of entitlement to judgment as a matter of law, tendering sufficient evidence to demonstrate the absence of any material issues of fact" (*Alvarez v Prospect Hosp.*, 68 NY2d 320, 324 [1986]). On a motion for summary judgment, the "facts must be viewed in the light most favorable to the non-moving party" (*Vega v Restani Constr. Corp.*, 18 NY3d 499, 503 [2012] [internal quotation marks omitted]), "and every available inference must be drawn in the [non-moving party's] favor" (*De Lourdes Torres v Jones*, 26 NY3d 742, 763 [2016]). If the moving party meets this burden, "the burden then shifts to the non-moving party to 'establish the existence of material issues of fact which require a trial of the action' " (*Jacobsen v New York City Health & Hosps. Corp.*, 22 NY3d 824, 833 [2014], quoting *Vega*, 18 NY3d at 503).

Based on this record, defendant has not met its burden in showing that the coke ovens at issue are not products as a matter of law. Regardless of the alterations Bethlehem may have made to the scale and specifications of the battery at large, the ovens themselves served one function: the production of coke. This process was standard across all variations of coke ovens that Wilputte sold, ultimately placing the hazardous thing at issue squarely within the category of products to which liability has attached in the failure-to-warn context.

Furthermore, we conclude that Wilputte has not carried its burden as, on this record of undisputed facts, it was an expert designer and manufacturer in the market and sale of these coke ovens such that a duty to warn was owed. First, it is undisputed that Wilputte exerted full control over the manner in which the coke ovens were built. Wilputte served far more than an advisory role in the building of the coke ovens; based on the contract between Wilputte and U.S. Steel furnished in discovery, Wilputte was responsible for furnishing most if not all necessary materials in the production of the ovens, including the various parts and components of the operative machines specific to Wilputte's proprietary design schematics. Although Bethlehem made specific requests to suit the Lackawanna plant's needs, the coke oven designs—as evidenced in Wilputte's advertising brochures and technical drawings—were complex and unique to Wilputte's enterprise, and Wilputte was responsible for installing the ovens pursuant to those designs. Nothing in the record implies that Bethlehem could have created these ovens without Wilputte's standard design and control over its product, nor could Bethlehem have altered the ovens' hazardous nature.

Second, the record reveals that Wilputte was responsible for placing the ovens into the stream of commerce and that it derived financial benefit from its role in the production process. Indeed, by the time decedent began working for Bethlehem, Wilputte had sold hundreds of coke ovens to plants both in the United States and in Canada and Mexico. Wilputte also marketed its ovens with informational brochures showing the completed ovens and their functionality, indicating that Wilputte, not Bethlehem, was the commercial source of the product.[2] Although the ovens were largely assembled and completed on-site, that merely speaks to the logistical realties of the market of which Wilputte had a considerable share. Putting aside

2. The dissent downplays the significance of the 1954 brochure by focusing on its cover page, which describes Wilputte as a "Designer[ ] and Builder[ ]" of coke ovens, while ignoring the larger intended purpose of the entire brochure: the marketing and sale of coke ovens (dissenting op at 508 n 2). Whatever label Wilputte gave itself as the conveyor of those ovens is based in marketing semantics rather than the "nature of [its] business" as manufacturer (*Winchester*, 6 NY at 410), which plaintiff has ably established through its submissions opposing summary judgment.

the dissent's insistence that products be produced and marketed on a "mass" scale (dissenting op at 507-508)—a requirement we have never held as a prerequisite for liability to attach[3] —the record leaves no doubt that Wilputte was the sole distributor of its ovens and that its business in this context was that of a manufacturer.

Finally, the record supports Supreme Court's conclusion that Wilputte was in the best position to assess the safety of the coke ovens because of its superior knowledge regarding the ovens' intended functionality (*see* 2016 WL 4077169, *5). "[A] major determinant of the existence of the duty to warn" is an assessment of "whether the manufacturer is in a superior position to know of and warn against those hazards" inherent to its product (*Dummitt*, 27 NY3d at 790). As this Court has recognized, "the product in the hands of the consumer is often a most sophisticated and even mysterious article" (*Codling v Paglia*, 32 NY2d 330, 340 [1973]). Thus, our jurisprudence has held manufacturers liable because "it is often only the manufacturer who can fairly be said to know and to understand when an article is suitably designed and safely made for its intended purpose" and because the manufacturer "has the practical opportunity, as well as a considerable incentive, to turn out useful, attractive, but safe products" (*id.* at 340-341).

Here, the record shows that Wilputte was the expert in the production of coke ovens and coke oven batteries. For example, the technical drawings included in the record, which were solely the intellectual property of Wilputte, reveal that it was wholly responsible for the initial design of the individual ovens that were then advertised in its marketing brochures. The brochures, technical designs, and defendant's established market share clearly demonstrate that Wilputte "c[ould] fairly be said to know and to understand when an article is suitably designed and safely made for its intended purpose," giving it the "opportunity and incentive" to make the ovens safe for its users at the time they were sold and built (*Codling*, 32 NY2d at 340; *cf. Micallef v Miehle Co., Div. of Miehle-Goss Dexter*, 39

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3. In fact, in *Sprung v MTR Ravensburg*, we concluded that even manufacturers of one-of-a-kind products can be held liable when they "hold themselves out as having expertise in manufacturing their custom products, have the opportunity and incentive to ensure safety in the process of making those products, and are better able to shoulder the costs of injuries caused by defective products than injured consumers or users" (99 NY2d 468, 474 [2003]).

NY2d 376, 386-387 [1976] [considering whether a manufacturer "kept abreast of recent scientific developments and the extent to which any tests were conducted to ascertain the dangers of the product" as part of the manufacturer's "legal responsibility" (citations omitted)]). By the same token, there is no evidence in this record to suggest that decedent or Bethlehem was better-positioned to understand the dangers inherent to the coke ovens or decedent's role as a lid man at the Lackawanna plant.

B.

Defendant's arguments that the coke ovens are not products as a matter of law, and that it did not owe a duty to warn, are unpersuasive. First, defendant insists that the allegation that it failed to "warn of the dangers of use or exposure to their operative coke ovens" is insufficient to sustain a valid failure-to-warn claim because it does not identify a specific component or part of the ovens as "defective." Yet failure-to-warn claims are premised not on a physical defect in a product's constituent parts, but rather the "dangers resulting from foreseeable uses of [the] product of which [the manufacturer] knew or should have known" (*Liriano*, 92 NY2d at 237). Thus, the plaintiff need not identify a specific defective component because the "defect" in these cases lies in the failure to warn of the *whole* product's dangerous "intended use or a reasonably foreseeable unintended use" (*Lugo*, 75 NY2d at 852; *see also Rastelli*, 79 NY2d at 297; *McLaughlin*, 11 NY2d at 68). No more specificity is required to maintain a prima facie failure-to-warn claim, and defendant's arguments to the contrary fundamentally misunderstand our failure-to-warn case law.[4]

Relatedly, defendant argues that our analysis should turn on a bright-line distinction between products and buildings, claim-

4. Similarly, the dissent relies on the affidavits of defendant's experts—which, inter alia, assert that the coke ovens are merely "brick chamber[s]" that "cannot function on their own" outside the larger battery—to conclude that defendant submitted "uncontested proof" that the coke ovens "cannot reasonably be viewed as separate and distinct from the larger coke oven battery" (dissenting op at 508). Yet the brochure submitted by plaintiff plainly describes, through various diagrams, two different kinds of "coke ovens" that include *among their constituent parts* the (presumably brick) "oven chambers." The brochure makes no mention of the battery that defendant and the dissent now claim are inseparable from "operable coke ovens," which are the marketed product that plaintiff has always asserted underlies his claim. Supreme Court's determination that "there is a distinction between the coke manufacturing plant, the coke oven battery and the coke oven" therefore is well-supported on this record, and clearly contradicts the dis-

(n. cont'd)

ing that the two are mutually exclusive for purposes of strict products liability. Defendant contends that because these ovens are built into the large structures that make up the oven battery, they cannot be products as a matter of law. The Appellate Division agreed, citing *City of Lackawanna* for the conclusion that fixtures on real property taxable as such cannot be products to which strict liability attaches.

City of Lackawanna is unsuitable to our inquiry here. In that case, we held that the same coke ovens now at issue did not fall within an exemption from Real Property Tax Law § 102 (12) (f) for "movable machinery or equipment consisting of structures or erections to the operation of which machinery is essential." Recognizing that the ovens were "[q]uite obviously" a "great complex of masonry structures, erections and equipment," we concluded that "by common-law standards, these structures would be deemed real property" (16 NY2d at 226-227).

Our decision in *City of Lackawanna* was solely limited to the Real Property Tax Law. Further, the fact that something is taxable as real property does not render it outside the realm of strict liability. In fact, other affixed taxable real property under the Real Property Tax Law, such as elevators and large turbines, have nevertheless been subject to strict products liability claims, a point defendant does not refute (*see* RPTL 102 [12] [f]; *Di Marco v Westinghouse Elec. Corp.*, 170 AD2d 760 [3d Dept 1991]; *Potaczala v Fitzsimmons*, 171 AD2d 1015 [4th Dept 1991]). Even the Restatement, in cautioning against the inclusion of structures under the products liability umbrella, acknowledges that items beyond "tangible personal property distributed commercially for use or consumption . . . such as real property and electricity, *are products when the context of their distribution and use is sufficiently analogous to the distribution and use of tangible personal property*" (Restatement [Third] of Torts: Products Liability § 19 [a] [emphasis added]). Thus, defendant's emphasis on the ovens' size and immobility is irrelevant to the question of whether they are products for purposes of establishing a duty to warn.

We similarly reject defendant's arguments and the Appellate Division's conclusion that the contract between Bethlehem and Wilputte precludes liability in this case. The Appellate Divi-

sent's assertion that coke oven batteries, or other "single-use facilities," could be construed as products under our analysis (*see id.* at 511).

sion, citing *Perlmutter v Beth David Hosp.*, based its conclusion that the ovens built by defendant were not "products" in part on the rationale that "service predominated the transaction herein" (150 AD3d at 1619, citing *Perlmutter v Beth David Hosp.*, 308 NY 100, 104 [1954]). Our decision in *Perlmutter* applied the sales-service distinction to the unique transactional circumstances of a hospital visit and did not extend that test beyond the implied warranty claim at issue. On occasion, this test has been utilized when determining whether strict products liability applies to a hybrid sales-service contract given the overlapping policy considerations inherent to both our implied warranty and strict liability jurisprudence (*see e.g. Trustees of Columbia Univ. in City of N.Y. v Gwathmey Siegel & Assoc. Architects*, 192 AD2d 151, 155 [1st Dept 1993]; *Hart v Moray Homes*, 158 AD2d 890, 892 [3d Dept 1990]; *Van Iderstine v Lane Pipe Corp.*, 89 AD2d 459, 463 [4th Dept 1982]). Indeed, where the predicate sale of a good is wholly absent because the transaction was "clearly one for services" (*Perlmutter*, 308 NY at 104), we agree that strict products liability does not apply.

Where, however, a good is sold in the course of a transaction, the mere presence of a service component in that transaction does not mean that the furnished item is not a product to which a duty to warn may apply. As we explained in *Milau Assoc. v North Ave. Dev. Corp.*, "particularly in cases involving personal injury, the absence of an enforceable contractual relationship for the technical sale of goods will not necessarily result in the foreclosure of all remedies, *at least where the policies favoring the imposition of strict tort liability for the marketing of defective products are present*" (42 NY2d 482, 488-489 [1977] [emphasis added]; *see also Perazone v Sears, Roebuck & Co.*, 128 AD2d 15, 20-21 [3d Dept 1987] [explaining that the "focus" of breach of warranty claims "is on the transaction between the seller and the particular buyer involved," while "(a) strict products liability cause of action . . . had been extended to retailers for policy reasons," even where the transaction is "primarily service oriented"]). While we in no way today extend strict products liability to general contractors who agree by the nature of their business to provide a construction service, even defendant concedes that "a builder may be held liable for providing or selling a product in connection with construction services."

Here, it is therefore of no moment that the coke ovens at issue took many hours to build, or that the work required to complete the transaction between Bethlehem and Wilputte resembled tasks typically fulfilled by a general contractor. Simply put, the Appellate Division's emphasis on the apportionment of time between sale and service is not the test upon which defendant's duty relies. Such a test ignores the inescapable fact that Wilputte crafted, marketed, and sold the coke ovens that allegedly caused the harm underlying plaintiff's strict product liability claim.

IV.

Given the procedural posture in which this case comes to us—on defendant's motion for summary judgment—we need only conclude that the coke ovens at issue are sufficiently the type of products common to our prior cases to resolve this appeal. Additionally, the imposition of a duty to warn in this case is a "reasonable allocation of risks, burdens and costs among the parties and within society" (*Dummitt*, 27 NY3d at 788). Establishing a legal duty in a strict products liability case is an inherently fact-sensitive inquiry (*see Liriano*, 92 NY2d at 237). In reversing the order below, we do not, as the dissent argues, purport to extend strict liability to general contractors who may be involved in the construction of buildings where defective products are housed. We merely adhere to our tradition of evaluating such claims on a case-by-case basis and conclude that defendant has failed to meet its burden of establishing on this record that the article at issue is not a product.

Accordingly, the order of the Appellate Division should be reversed, with costs, and defendant Honeywell's motion for summary judgment dismissing the complaint against it denied.

STEIN, J. (dissenting). The majority holds that a coke oven—a large brick chamber that is capable of holding more than 25 tons of coal at one time and is entirely indivisible, both structurally and functionally, from the 10-story tall "battery" that houses it—is a product. Because this Court's products liability jurisprudence does not support this result, I respectfully dissent.

In this negligence and strict products liability action, plaintiff seeks to recover for injuries sustained by decedent, Donald R. Terwilliger, caused by exposure to "emissions from coke ovens designed, constructed, maintained and repaired by," among other companies, defendant Honeywell International, Inc., successor in interest to the Wilputte Coke Oven Division of Allied Chemical Corp. According to plaintiff, these emissions were known carcinogens and, "as manufacturers, installers and maintainers of coke ovens," Wilputte "knew, or should have known of the hazards or dangers that resulted from the design and operation of their coke ovens." Thus, plaintiff averred that Wilputte was negligent in its failure to warn decedent "of the severe hazards inherent in the use or exposure to [its] operative coke ovens."

In its motion for summary judgment dismissing the complaint as against it, Honeywell argued, among other things, that Wilputte's coke ovens were not products and, thus, could not expose Honeywell to products liability. In support of their position, Honeywell proffered the affidavit of John Balik, which is largely disregarded by the majority. Balik—an engineer with more than 30 years of experience "in all phases of coke oven battery construction including estimating, purchasing, engineering, accounting, cost control, project management, project engineering and supervision of direct hire craftsmen and subcontractors on projects"—described a coke oven battery as "a building constructed for the specialized purpose of manufacturing coke and other by products," which are then used to manufacture steel. Balik explained the construction process for coke ovens and coke oven batteries. According to Balik, the newest Wilputte battery at Bethlehem Steel's Lackawanna plant—where decedent was employed—housed 76 coke ovens, was approximately 10 stories tall, and extended the length of three football fields. The construction of the battery consisted of six phases over approximately 18 months, during which workers drove approximately 1,100 to 1,200 piles into the ground to support the battery's foundation, laid 10,000 pallets of bricks and 2,800 linear feet of running rail, and installed 250,000 feet of electric wiring and 20 electrical panels.

Balik explained that the 76 individual coke ovens—which could each hold between 28 and 34 tons of coal at one time—were "designed to work as an integrated battery, together with [various] supporting facilities, each of which also had to be designed, constructed, and integrated with the coke ovens to collectively comprise an operable coke oven battery." To that end, Balik opined that coke ovens

> "are not pieces of equipment, but are chambers that have common walls with the battery and with the other ovens. The ovens' brickwork is an integral

> structural component of the battery . . . . [E]ach oven has a common wall with the next oven except those at the end. These walls support the battery roof."

Thus, according to Balik, a coke oven battery is not "a series of multiple, independent, free-standing ovens merely situated together in close proximity." Rather, it "is a complex, integrated manufacturing plant, consisting of a massive building with numerous rooms; chambers; an elevator; tracks for the movement of coke, heating, plumbing and electrical utilities; and piping and other facilities for the movement of gas and other products."

Honeywell also proffered the affidavit of William Thomas Birmingham, which is similarly disregarded by the majority. Birmingham—an engineer formerly employed by Bethlehem as the superintendent of the Coke Oven Department at Lackawanna, whose "duties included planning and supervising engineering projects for the Coke Oven Department"—stated that "Wilputte provided only architectural and general contracting services for the construction of [several of Lackawanna's] coke plants." For each of these projects, "Wilputte would have received from Bethlehem a scope of work which outlined the number of ovens to be built and the expected output of the battery." Wilputte would then submit design plans to Bethlehem's engineers, "who either approved or rejected the plans in whole." Birmingham averred that Bethlehem's engineers "provided input on the design plans, mainly to ensure that [they] were consistent with the production objectives of the [plant]." Furthermore, once Bethlehem approved Wilputte's plans, "Wilputte would construct the project as general contractor," and would hire subcontractors to complete the required work. Because of their size and weight, coke oven batteries were constructed on site and were not movable. A publication provided by Birmingham cataloged the dimensions of the individual coke ovens at various steel mills around the country and indicated that the coke ovens built by Wilputte at Lackawanna measured approximately 18 inches wide by 40 feet long, by 12 feet high.

After plaintiff argued in response that the individual coke ovens were designed based upon technology developed by Wilputte—including the dimensions of the coke ovens and the manner in which they were filled with coal and heated—Honeywell submitted a second affidavit from Balik, which is again overlooked by the majority. This affidavit clarified that coke ovens "are not stand alone units and cannot function on their own," and that they were "not constructed separately, ahead of time, or off-site and were not 'installed' within a larger structure or building, nor can they be removed, relocated or replaced." According to Balik, "a 'coke oven' is a brick chamber where coke can be placed, with two doors, a lid, and associated piping" and "is incapable of performing any function until the chamber is integrated into the surrounding coke oven battery." Moreover, "coke oven batteries are not mass produced, but each is uniquely designed for a very specific set of industrial customers who operate large manufacturing facilities such as steel making plants."

Supreme Court denied Honeywell's motion for summary judgment. On appeal, the Appellate Division reversed and granted Honeywell's motion, dismissing the complaint as against it (150 AD3d 1617 [4th Dept 2017]). The majority now reverses, holding that coke ovens are products and that "the imposition of a duty to warn in this case is a reasonable allocation of risks, burdens and costs among the parties and within society" (majority op at 502 [internal quotation marks and citation omitted]). In my view, a complete analysis of the policy considerations that have traditionally guided this state's products liability jurisprudence demonstrates that a coke oven is not a product for purposes of products liability.

"It is well settled that a manufacturer of defective products who places them into the stream of commerce may be held strictly liable for injuries caused by its products, regardless of privity, foreseeability or due care" (*Finerty v Abex Corp.*, 27 NY3d 236, 241 [2016]; *see Hoover v New Holland N. Am., Inc.*, 23 NY3d 41, 53 [2014]; *Sukljian v Ross & Son Co.*, 69 NY2d 89, 94 [1986]). As relevant here, "a plaintiff may assert that [a] product is defective because . . . the manufacturer failed to provide adequate warnings regarding the use of the product" (*Voss v Black & Decker Mfg. Co.*, 59 NY2d 102, 106-107 [1983] [citations omitted]; *see Matter of New York City Asbestos Litig.*, 27 NY3d 765, 787 [2016]). Where the manufacturer has a duty to warn, it must warn against latent dangers resulting from foreseeable uses of the product and dangers arising from the product's intended use or a reasonably foreseeable unintended use (*see Matter of New York City Asbestos Litig.*, 27 NY3d at 788).

I agree with the majority that the question presented on this appeal is whether a coke oven is a "product" in the first instance for purposes of products liability. If the coke ovens built by Wilputte at Lackawanna are not products, Wilputte owed no duty to warn of the hazards associated with their use and, consequently, plaintiff's causes of action sounding in products liability (both strict products liability and negligence) must be dismissed. I also agree with the majority that there is no rigid definition that determines whether something is a "product." Instead, whether Wilputte owed decedent a duty to warn should hinge upon the well-established principles of public policy that have consistently guided the products liability jurisprudence of this state for nearly a half-century. Applying these tenets, I would hold that both the physical characteristics of Wilputte's coke ovens and an analysis of the reasonable allocation of the risks associated with their use among all the parties and within society, more generally, requires the conclusion that those ovens are not products.

This Court has long explained that whether a particular defendant should be subject to claims sounding in products liability "rests largely on public policy" (*Sage v Fairchild-Swearingen Corp.*, 70 NY2d 579, 585 [1987]; *see Gebo v Black Clawson Co.*, 92 NY2d 387, 392 [1998]). Before we recognized such claims in *Codling v Paglia* (32 NY2d 330 [1973]), litigants would assert contract causes of action based in breach of warranty principles. However, this theory became "inadequate in an economic universe that was dominated by mass-produced products and an impersonal marketplace" because breach of warranty claims required privity between the manufacturer and injured party (*Denny v Ford Motor Co.*, 87 NY2d 248, 255 [1995]). Thus, in *Codling*, we concluded that the absence of privity should not protect product manufactures from liability (*see* 32 NY2d at 342). In that case, we stated that, "[h]aving invited and solicited the use, the manufacturer should not be permitted to avoid responsibility, when the expected use leads to injury and loss, by claiming that he made no contract directly with the user" (*id.* at 339). We observed that, given the increasing sophistication of many contemporary products, "it is often only the manufacturer who can fairly be said to know and to understand when an article is suitably designed and safely made for its intended purpose" (*id.* at 340). Likewise, "[o]nce floated on the market, many articles in a very real practical sense defy detection of defect, except possibly in the hands of an expert after laborious and perhaps even destructive disassembly" (*id.*). We were "persuaded that from the standpoint of justice as regards the operating aspect of today's products," liability should generally be placed on the manufacturer (*id.* at 341).

Economic considerations also supported this rule. Given the mass production, mass advertisement and mass distribution of products, we concluded in *Codling* that manufacturers should be held responsible for the injures caused by their products regardless of privity with the end user because those manufacturers were best positioned to bear that expense by passing it onto their customers (*see id.*). Moreover, we explained that such a rule incentivizes manufacturers, as the parties with the best "practical opportunity" to improve their products and to ensure those products are safe, and that "considerations of competitive disadvantage [would] delay or dilute automatic transferral of such added costs" to consumers (*id.*).

Subsequent decisions of this Court have consistently reaffirmed that the sophistication of modern products, their mass production, mass distribution and mass marketing, as well as the economic incentives associated with holding the manufacturer liable, must guide the courts in determining whether or not a cause of action for products liability is cognizable (*see Matter of New York City Asbestos Litig.*, 27 NY3d at 790-791; *Finerty*, 27 NY3d at 241; *Sprung v MTR Ravensburg*, 99 NY2d 468, 472-473 [2003]; *Sukljian*, 69 NY2d at 95; *Rosado v Proctor & Schwartz*, 66 NY2d 21, 26 [1985]). We have further emphasized that, generally, a seller, "by marketing [a] product, has undertaken a special responsibility toward members of the consuming public who may be injured by it," and that "[t]he public has the right to expect that sellers will stand behind their goods" (*Sage*, 70 NY2d at 585; *see Sprung*, 99 NY2d at 473; *see also* Restatement [Second] of Torts § 402A, Comment *c*). Most recently, in the context of determining whether a manufacturer has a duty to warn against the danger inherent in using its product together with a product designed and produced by another company, we observed that "the court must settle upon the most reasonable allocation of risks, burdens and costs among the parties and within society," while also "accounting for the economic impact of a duty, pertinent scientific information, the relationship between the parties, the identity of the person or entity best positioned to avoid the harm in question, the public policy served by the presence or absence of a duty and the logical basis of a duty" (*Matter of New York City Asbestos Litig.*, 27 NY3d at 788).

I disagree with the majority that, on this record, public policy requires that a coke oven be deemed a product as a matter of law, such that Honeywell may be subject to causes of action sounding in products liability. Initially, the physical characteristics of coke ovens strongly militate in favor of my conclusion that they are not products. Coke ovens are unlike any item this Court has previously considered in this milieu.[1] Coke ovens are not mass produced, mass marketed, or mass distributed. Although Wilputte promoted its coke ovens, its only customers were large steel companies. Even as one of the largest coke oven builders servicing that "market," Wilputte constructed only 22 coke oven batteries in the United States between 1932 and 1962. While it is true that there may be dozens of coke ovens in a single battery, the uncontested proof submitted in support of defendant's motion for summary judgment makes plain that coke ovens cannot reasonably be viewed as separate and distinct from the larger coke oven battery. The coke ovens at the Lackawanna plant were both inseparable from the coke oven battery and inoperable outside of that battery. The coke ovens were effectively empty chambers without the coke oven battery to heat them. Under the majority's analysis, it is wholly unclear why, if a coke oven is a product, the battery is not also a product, since it too, according to plaintiff's allegations and this record, is responsible for the emission of toxic gases.[2]

Not only is the object in question unlike any product we have encountered previously in the context of products liability, the relationship between Bethlehem and Wilputte is also distinguishable from those we have considered to date. In contrast with the typical consumer of mass-produced products, Bethlehem—as a large steel manufacturer that employed engineers

1. The closest analogy the majority presents is to large turbines. This Court, however, has never held that large turbines are products and the answer to that question would, inevitably, depend upon the evidence tendered by the parties, including with regard to how those objects are constructed, sold, marketed, and distributed.

2. The majority's only response is to cite a 1954 brochure issued by Wilputte, proffered by plaintiff in opposition to Honeywell's motion. The majority posits that this document—which, identifies Wilputte as a "Designer[ ] and Builder[ ] of Complete *Plants* for the Carbonization of Coal and the Recovery of Coal Chemicals"—"makes no mention of the batter[ies] that defendant and [I] now claim are inseparable from 'operable coke ovens' " (majority op at 499 n 4). Of course, the silence of the brochure in this regard cannot reasonably be understood to refute Honeywell's expert affidavits, which provide uncontroverted descriptions of the construction and physical features of Wilputte's Lackawanna coke ovens.

specializing in coke oven battery operations—was uniquely situated to understand the hazards associated with coke production. Bethlehem's engineers dictated to Wilputte the number of ovens and total production required for its Lackawanna plant, provided input on the design plans, and approved or rejected the design and construction plans submitted by Wilputte. We are not presented with a situation in which the "functional validity and usefulness" of the item in question was "beyond the ken of the . . . consumer" (*Codling*, 32 NY2d at 340). Nor did Wilputte undertake a special responsibility by collaborating with Bethlehem in the construction of coke ovens. The practical reality is that both Wilputte and Bethlehem were sophisticated entities, with extensive knowledge about the use and construction of these structures (*see Matter of New York City Asbestos Litig.*, 27 NY3d at 790 ["we must consider whether the manufacturer is in a superior position to know of and warn against . . . hazards, for in all failure-to-warn cases, this is a major determinant of the existence of the duty to warn"]). In addition, under the particular circumstances of this case, the economic policies underlying products liability are better advanced by placing the duty to warn on Bethlehem, rather than on Wilputte. Bethlehem was in a superior position to control the use of the ovens by its employees, as well as to absorb the risk of loss by procuring insurance to cover any resulting injuries. Further, Bethlehem had an equal, if not greater, incentive to minimize liability and danger to its employees.

I disagree with the majority's conclusion that our decision in *Sprung v MTR Ravensburg* suggests otherwise. In that case, we held that a manufacturer of specialized sheet metal products was not a casual manufacturer and, thus, could be held strictly liable for injuries caused by a customized retractable floor that malfunctioned and injured the purchaser's employee (*see* 99 NY2d at 471; *see Sukljian v Ross & Son Co.*, 69 NY2d at 95-96 [a casual manufacturer is not subject to strict products liability]).[3] The purchaser in *Sprung* was a turbine manufacturer, and we observed that, "when a custom fabricator builds a product to suit a customer's specific needs, there may well be less informational disparity between the producer and the user than in the mass production setting" (99 NY2d at

3. Notably, in *Sprung*, the parties did not raise the question as to whether the items provided by the manufacturer to its customers were products for the purposes of products liability.

474). We ultimately concluded that the fabricator was liable because it had the greatest "opportunity and incentive to ensure safety in the process of making" its custom products (*id.*). However, this was true largely because the purchaser was a turbine manufacturer, not an expert in custom fabricated flooring. Thus, while the product was designed specifically for the purchaser's facility, the purchaser was not better positioned than the fabricator to discover defects in the floor or safeguard against injury. In contrast, here, Bethlehem specialized in steel production, participated in the design of the coke ovens, and employed engineers who oversaw their construction and were experts in their operation. Under these circumstances, there is no basis for concluding that Wilputte, as the purported manufacturer, was the entity "who alone ha[d] the practical opportunity" to safeguard Bethlehem's employees against emissions produced by operation of the coke oven batteries (*Codling*, 32 NY2d at 341).

Curiously, the majority cites approvingly the definition of "product" set forth in the Third Restatement of Torts. In pertinent part, the Restatement states that products include "tangible personal property distributed commercially for use or consumption," and that "[o]ther items, such as real property and electricity, are products when the context of their distribution and use is sufficiently analogous to the distribution and use of tangible personal property that it is appropriate to apply the rules stated in this Restatement" (Restatement [Third] of Torts: Products Liability § 19 [a]). However, the Third Restatement acknowledges that structures or improvements on real property, such as residential homes, usually "do[ ] not fit the pattern of a . . . manufactured product[ ]," in part, because a builder is generally not "perceived to be more capable than are purchasers of controlling or insuring against risks" (*id.* § 19, Comment *e*). Although the Restatement highlights certain exceptions to this rule, including prefabricated buildings or individual appliances installed in a home, the evidence in this record demonstrates that a coke oven is more akin to a room in a house than to a prefabricated home or an appliance found therein.

I recognize that, without a viable products liability claim, plaintiff's available legal remedies may be limited. Nevertheless, the policies underlying products liability do not support the conclusion reached by the majority, and we must resist the urge to "engage in a simple weighing of equities" when determining whether product liability principles apply, "for a legal duty does not arise when[ever] symmetry and sympathy would so seem to be best served" (*Matter of New York City Asbestos Litig.*, 27 NY3d at 787-788 [internal quotation marks and citations omitted]). "A line must be drawn between the competing policy considerations of providing a remedy to everyone who is injured and of extending exposure to tort liability almost without limit" (*De Angelis v Lutheran Med. Ctr.*, 58 NY2d 1053, 1055 [1983]). The majority denies that its analysis is intended to drastically expand products liability. Although I agree that the majority opinion should be construed as narrowly as possible and as applying only to the unique facts of this case, I nevertheless fear the potential of today's decision to have a broader impact, leading to future claims that the builders of single-use facilities or structures are all manufacturers of *products*, a result that would unreasonably expose builders of such structures to previously uncontemplated liability and that would be completely divorced from the public policy considerations underlying our products liability jurisprudence.

In sum, the record in this case demonstrates both that the construction of the coke ovens at issue did not implicate the concerns raised by mass production, mass distribution, or mass marketing, and that Bethlehem was better positioned than Wilputte to protect decedent from the dangers associated with its factory. Therefore, I would hold that the coke ovens at issue are not products and that Wilputte did not owe decedent a duty to warn him of the dangers inherent in their use.

Judges Rivera, Fahey and Wilson concur; Judge Stein dissents and votes to affirm in an opinion in which Chief Judge DiFiore concurs; Judge Garcia taking no part.

Order reversed, with costs, and motion of defendant Honeywell International, Inc., successor in interest to the Wilputte Coke Oven Division of Allied Chemical Corporation, for summary judgment dismissing the complaint against it denied.

[129 NE3d 909, 105 NYS3d 371]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v DERRICK ULETT, Appellant.

Argued June 5, 2019; decided June 25, 2019

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered August 30, 2017. The Appellate Division affirmed (1) a judgment of the Supreme Court, Kings County (Vincent M. Del Giudice, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree, and (2) an order of that court which had denied, after a hearing, defendant's motion pursuant to CPL 440.10 to vacate the judgment.

People v Ulett, 153 AD3d 945, reversed.

HEADNOTE

Crimes — Disclosure — Failure to Disclose Exculpatory Material

Defendant was entitled to reversal of his murder conviction and a new trial where the People committed a *Brady* violation by failing to disclose a surveillance video from a camera inside the lobby of the building in front of which the victim was shot, which the prosecutor had reviewed before trial, and which, having captured the scene at the time of the shooting, including images of the victim and a key prosecution witness, would have changed the tenor of the trial. Where defendant did not specifically request the exculpatory or impeachment material, the test for whether the suppressed evidence is material is whether there is a reasonable probability that had it been disclosed to the defense, the result would have been different. Defendant need only show that the favorable evidence could reasonably be taken to put the whole case in such a different light as to undermine confidence in the verdict. Here, the case against defendant, who was arrested more than a year after the shooting, relied principally on witness testimony as there was no forensic evidence linking him to the murder. The video evidence could have been used to impeach the eyewitnesses, particularly the key witness's testimony that he was alone with the victim shortly before and after the shooting. The video showed people entering and exiting the building, and an additional person at the scene interacting with the victim as he lay on the ground. The evidence of these other potential unidentified eyewitnesses could have been used to argue that the police did not conduct a thorough investigation. Moreover, the prosecutor's summation statements indicating that no video existed, in response to defense counsel having pointed out that no surveillance video from the lobby of the building had been introduced, characterized defense counsel's summation as a desperate attempt to distract the jury from the proof by reference to phantom evidence.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Depositions and Discovery §§ 280, 290, 291.

CARMODY-WAIT 2d Discovery §§ 187:84–187:87, 187:98, 187:99.

LAFAVE, ET AL., CRIMINAL PROCEDURE (4th ed) §§ 20:3, 20:6.

NY JUR 2d Criminal Law: Procedure §§ 1733–1735, 1742–1744.

ANNOTATION REFERENCE

See ALR Index under Brady Evidence; Discovery; Surveillance; Videotapes.

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POINTS OF COUNSEL

Paul Skip Laisure, Appellate Advocates, New York City (*Leila Hull* of counsel), for appellant. I. In this already weak identification case, the People's suppression of a video of the shooting—which revealed a previously unknown eyewitness, contradicted key aspects of the People's star witness's account, and provided a concrete, alternative argument supported by the medical evidence that someone other than appellant shot the deceased—made it reasonably probable that the verdict would have been different had the video been timely disclosed. (*Giglio v United States*, 405 US 150; *Brady v Maryland*, 373 US 83; *United States v Bagley*, 473 US 667; *People v Baxley*, 84 NY2d 208; *People v Cwikla*, 46 NY2d 434; *People v Bond*, 95 NY2d 840; *People v Garnett*, 23 NY3d 878; *Strickler v Greene*, 527 US 263; *United States v Gil*, 297 F3d 93; *Kyles v Whitley*, 514 US 419.) II. The prosecutor deprived appellant of his right to a fair trial when she misrepresented the record in her summation to claim that no tape of the shooting existed. (*Darden v Wainwright*, 477 US 168; *Berger v United States*, 295 US 78; *People v Alexander*, 94 NY2d 382; *People v Ashwal*, 39 NY2d 105; *People v Wright*, 25 NY3d 769; *People v Carborano*, 301 NY 39; *People v Carter*, 40 NY2d 933; *People v Lovello*, 1 NY2d 436; *United States v Myerson*, 18 F3d 153; *United States v Small*, 74 F3d 1276.)

Eric Gonzalez, District Attorney, Brooklyn (*Ruth E. Ross, Leonard Joblove* and *Victor Barall* of counsel), for respondent.

I. The People's failure to disclose a blurry surveillance video that did not capture the actual shooting did not deny defendant due process, where there was overwhelming evidence of defendant's guilt and no reasonable probability that disclosure of the video would have changed the outcome of the trial. (*Brady v Maryland*, 373 US 83; *People v Garrett*, 23 NY3d 878; *Strickler v Greene*, 527 US 263; *United States v Agurs*, 427 US 97; *People v Vilardi*, 76 NY2d 67; *United States v Bagley*, 473 US 667; *United States v Dominguez Benitez*, 542 US 74; *Harrington v Richter*, 562 US 86; *United States v Orena*, 145 F3d 551; *United States v Jackson*, 345 F3d 59.) II. The prosecutor's summation did not deny defendant a fair trial. (*People v Galloway*, 54 NY2d 396; *People v Roopchand*, 107 AD2d 35, 65 NY2d 837; *Donnelly v DeChristoforo*, 416 US 637; *United States v Farhane*, 634 F3d 127; *People v Guthrie*, 157 AD2d 668; *People v Garcia*, 51 AD2d 329, 41 NY2d 861; *People v Romero*, 7 NY3d 911; *People v Safian*, 46 NY2d 181; *People v Williams*, 29 NY3d 84; *People v Crimmins*, 36 NY2d 230.)

The Bronx Defenders, Bronx (*Amalea Smirniotopoulos, Saul Zipkin* and *Ilona Coleman* of counsel), for The Bronx Defenders and others, amici curiae. I. The prosecution's *Brady* obligations encompass any evidence that the defense can use to investigate the case and discover favorable evidence. (*Giglio v United States*, 405 US 150; *People v Garrett*, 23 NY3d 878; *Leka v Portuondo*, 257 F3d 89; *People v DaGata*, 86 NY2d 40; *Kyles v Whitley*, 514 US 419; *Strickler v Greene*, 527 US 263; *People v Andre W.*, 44 NY2d 179; *People v Simmons*, 36 NY2d 126; *People v Bryce*, 88 NY2d 124; *People v Hunter*, 11 NY3d 1.) II. Disclosures must be made early enough to permit defense investigation. (*Leka v Portuondo*, 257 F3d 89; *People v Anderson*, 66 NY2d 529; *People v Osgood*, 52 NY2d 37.)

OPINION OF THE COURT

GARCIA, J.

Defendant Derrick Ulett was convicted of murder for shooting Ruben Alexandre outside an apartment building in Brooklyn. The proof was substantial: several witnesses placed defendant at the scene, with two identifying him as the shooter. We hold, however, that the People violated their constitutional obligation to disclose a surveillance video that captured the scene at the time of the shooting, including images of the victim and a key prosecution witness. Failure to produce this video raises a reasonable probability that its disclosure would have produced a different result at trial. Accordingly, we reverse the order of the Appellate Division.

I.

The prosecution is required to disclose information that is both favorable to the defense and material to either defendant's guilt or punishment (*see Brady v Maryland*, 373 US 83, 87 [1963]; *People v Vilardi*, 76 NY2d 67, 73 [1990]). That duty to disclose encompasses impeachment evidence as well as exculpatory evidence (*see Strickler v Greene*, 527 US 263, 280 [1999]; *Giglio v United States*, 405 US 150, 154-155 [1972]). "The rule applies regardless of the good or bad faith of the prosecutor, for its purpose is not to punish misconduct but to insure that the accused receives a fair trial" (*People v Bryce*, 88 NY2d 124, 129 [1996]). To establish a *Brady* violation warranting a new trial, "a defendant must show that (1) the evidence is favorable to the defendant because it is either exculpatory or impeaching in nature; (2) the evidence was suppressed by the prosecution; and (3) prejudice arose because the suppressed evidence was material" (*People v Hayes*, 17 NY3d 46, 50 [2011]; *see also Strickler*, 527 US at 281-282). With this well-established standard in mind, we examine the People's proof, the relevance of the missing evidence, and the potential effect of suppression on the outcome of the trial.

II.

In March 2008, the victim was shot and killed in front of 48 St. Paul's Place. Defendant was arrested more than one year later. At his trial, the People presented a series of eyewitnesses: two witnesses identified defendant as the shooter and one placed him at the scene at the time of the murder. Defense counsel extensively cross-examined the witnesses, concerning, among other things, motive to fabricate testimony, opportunity to observe the relevant events, and inconsistencies with other witness accounts.

A bystander walking down St. Paul's Place witnessed the shooting and thereafter identified defendant as the shooter. On cross-examination, this witness conceded that she had only a brief glimpse of the side of the shooter's face. She testified that she did not see anyone else at the scene at the time of the shooting.

A second witness testified that, shortly before the shooting, he saw three men, including the victim, standing outside 48 St.

Paul's Place. Later, as the witness stood on an adjacent street corner, he saw defendant, whom he had known for more than 20 years, walking toward him before turning left onto St. Paul's Place. He heard gunshots less than a minute later. The witness saw defendant cross the street and walk back toward him holding something in his waistband. To corroborate this testimony, the People introduced surveillance video from defendant's apartment building, which showed an individual generally matching the witness's description of defendant leave the building minutes before the shooting and return soon thereafter. On cross-examination, the witness testified that he saw the same two individuals with the victim both before and after he was shot—testimony that contradicted that given by a third witness, Rashawn Cream, and the bystander.

Cream, a childhood friend of both the victim and defendant, was present when the shooting occurred and was the key witness at trial. At the time of the murder, Cream had pending robbery and narcotics charges from a 2007 arrest. He fled the scene without speaking to the police. Ten months later he came forward with his version of events in an effort to obtain favorable treatment on the unrelated criminal charges. After his statement to police but prior to trial in this case, Cream was given a plea deal to reduced charges, although he testified at defendant's trial that there was no agreement to reduce the sentence in exchange for his cooperation. With respect to the murder, Cream stated that he and the victim were outside 48 St. Paul's Place when defendant came around the corner and began arguing with the victim before pulling out a gun and shooting him. According to Cream, defendant ran back up St. Paul's Place and around the corner, consistent with other witness testimony. Cream testified that he was alone with the victim and denied being with anyone else both before and immediately after the shooting. Defense counsel extensively cross-examined Cream about who he was with both before and after the murder; defendant's actions at the time of the shooting, including the direction in which he fled from the scene; and Cream's actions after the shots were fired.

In summation, defense counsel emphasized that there was no video evidence to establish what happened in front of 48 St. Paul's Place at the time of the shooting. Referencing testimony that the building had surveillance cameras in the lobby, defense counsel pointed out that no video from those cameras had been introduced:

> "Where is that video surveillance? Wouldn't you think, ladies and gentlemen, that if there was video camera surveillance at 48 St. Paul's Place, that would be very important, that possibly could show what it was that took place; don't you think it would have shown who actually shot [the victim]? We don't have that video."

The prosecutor responded:

> "[Y]ou heard from [defense counsel] that there are video cameras inside 48 St. Paul's Place; inside the lobby, okay. Common sense, ladies and gentlemen, you saw that the police recovered video footage from [defendant's apartment building], . . . which is around the corner in the direction of flight that the defendant went. Isn't it common sense that they went to the building where the actual event took place in front of? And isn't it common sense that you would have seen that video if there had been a video?"

In fact, there was a video from a surveillance camera in the lobby and the prosecutor had reviewed it before the trial. Nevertheless, it was only years after the verdict—pursuant to a Freedom of Information Law request—that the District Attorney's Office sent defense counsel a copy. The camera recording the video was fixed to the ceiling in the back corner of the lobby at an angle that captures people entering and exiting the lobby, as well as a partial view of the activity in front of the building. On the day of the shooting, the camera recorded what appear to be images of Cream, the victim, and a third individual interacting out front shortly before the shooting. Another individual, who appears to be a delivery person, is seen securing a bicycle outside just as the victim is seen falling to the ground on the sidewalk in front of the entrance. The delivery person then goes into the vestibule and turns to face the street as yet another individual enters the frame, hovers over the prostrate victim, and extends an arm toward the victim before exiting to the right of the frame. A person, presumably Cream, then runs inside the building behind the delivery person.

After receiving the video, defendant moved to vacate his conviction pursuant to CPL 440.10, arguing that the evidence was both material and favorable to the defense and therefore the People's failure to disclose it violated their obligations under *Brady v Maryland* (373 US at 87). Moreover, defendant argued that the prosecutor's statement to the jury that no video existed compounded the *Brady* violation and deprived defendant of his right to a fair trial. In response, the People conceded that the prosecutor had seen the video prior to trial but argued that it was not *Brady* material because the image quality was so poor that it rendered the video useless to the defense. Further, the People maintained that the prosecutor's misstatement in summation did not rise to the level of misconduct warranting a new trial.

Defendant's trial counsel and the prosecutor testified at the hearing on the postconviction motion. Copies of the surveillance video at original and reduced speed, as well as stills from the video found in the prosecutor's file, were introduced at the hearing. Trial counsel for defendant testified that she would have used the video (1) to impeach Cream's testimony; (2) to support a defense that a third party was the shooter; and (3) to identify other potential witnesses. The prosecutor testified that although she had watched the video after presenting the case to the grand jury, she believed it did not constitute *Brady* material because it did not capture the shooter and the images were too "washed out" to identify anyone. The prosecutor put the video in a box for "irrelevant" evidence and "forgot about it."

The court denied defendant's motion, concluding that defendant's alternative shooter theories were "highly speculative" and "not supported by a reasonable viewing of the surveillance tape." The court similarly dismissed defense counsel's claim that the video would have led to an additional eyewitness, noting that it would have been "fruitless" to attempt to locate the person who appeared to be making a delivery. As to the video's impeachment value, the court found that defendant "present[ed] a much stronger argument." The court concluded, however, that even assuming the video would have been useful at least for impeachment purposes, there was no reasonable probability that disclosure would have changed the result of the proceeding. Nor was the prosecutor's misstatement regarding the existence of the surveillance video so egregious as to warrant reversal.

In a consolidated appeal, the Appellate Division unanimously affirmed defendant's judgment of conviction and the order denying his motion to vacate the judgment (153 AD3d 945, 945 [2d Dept 2017]). That Court also assumed, as did the hearing court, that the video was favorable evidence withheld by the

People but found that "defendant failed to show a reasonable probability that the result would have been different had the video been disclosed . . . , particularly in light of the very limited view provided in the video of the events occurring outside the building" (*id.*). The court noted that "any impeachment value provided by the video was minimal, as was the likelihood that the video would have led to additional exculpatory or impeaching evidence" (*id.*). As to the allegation of prosecutorial misconduct, the Appellate Division held that "although some remarks were improper, they were not so flagrant or pervasive as to deprive the defendant of a fair trial" (*id.*). A Judge of this Court granted leave to appeal (31 NY3d 1018 [2018]).

III.

Defendant argues that failure to disclose the video was a *Brady* violation warranting reversal and that the prosecutor's denial in summation that the video existed compounded the prejudice of that violation and deprived him of a fair trial. In response, the People challenge only satisfaction of the third prong of the *Brady* test—whether the suppressed evidence was material.

In New York, where the defense "did not specifically request the information, the test of materiality is whether 'there is a reasonable *probability* that had it been disclosed to the defense, the result would have been different' " (*People v Garrett*, 23 NY3d 878, 891 [2014] [emphasis supplied], quoting *People v Hunter*, 11 NY3d 1, 5 [2008]).* Defendant concedes that the "reasonable probability" standard applies here. In determining materiality, the "question is not whether the defendant would more likely than not have received a different verdict with the evidence, but whether in its absence he received a fair trial, understood as a trial resulting in a verdict worthy of confidence" (*Kyles*, 514 US at 434, citing *Bagley*, 473 US at 678). The "defendant need not demonstrate that after discounting the inculpatory evidence in light of the undisclosed evidence, there

* Under New York law, where a defendant makes a specific discovery request, "the materiality element is established provided there exists a reasonable *possibility* that it would have changed the result of the proceedings" (*Garrett*, 23 NY3d at 891 [emphasis supplied and internal quotation marks omitted], citing *Vilardi*, 76 NY2d at 77). In contrast, in federal court reasonable *probability* is the materiality standard for all alleged *Brady* violations (*see Kyles v Whitley*, 514 US 419, 434 [1995]; *United States v Bagley*, 473 US 667, 682 [1985]).

would not have been enough left to convict" (*Kyles*, 514 US at 434-435). Defendant need only show that "the favorable evidence could reasonably be taken to put the whole case in such a different light as to undermine confidence in the verdict" (*id.* at 435).

Practically, this standard requires us to evaluate the quality of the People's proof against the suppressed evidence—a process described as "legally simple but factually complex" (*Turner v United States*, 582 US —, —, 137 S Ct 1885, 1893 [2017]). The factual analysis is made less complex by the nature of the favorable evidence withheld here, namely, a video that captured the scene at the time of the murder. That video would have changed the tenor of the trial, placing the People's case in such a different light as to undermine confidence in the verdict.

As described above, the People's case relied principally on witness testimony as there was no forensic evidence linking defendant to the murder (*see Banks v Dretke*, 540 US 668, 701 [2004] [finding relevant to the materiality analysis the fact that there was no forensic or physical evidence tying defendant to the crime]). Against this proof, we must measure the cumulative effect of the suppressed evidence (*see Kyles*, 514 US at 421). Here, the People withheld a video of the crime scene that captured events surrounding the murder, including the body of the victim as he fell to the ground. That video was relevant to a number of issues at trial (*see People v Viruet*, 29 NY3d 527, 532-533 [2017] [missing surveillance video that captured the shooting and identified potential eyewitnesses was "reasonably likely to be of material importance" in the context of an adverse inference jury instruction]).

This video evidence could have been used to impeach the eyewitnesses. Each was cross-examined on testimony concerning, among other things, his or her movements at the crime scene, the presence of others before and after the shooting, and the direction of the assailant's flight. Images on the tape were relevant to those areas of inquiry. For example, the tape clearly contradicted Cream's statement that he was alone with the victim shortly before and after the shooting. We reject the People's argument that the impeachment value of the video is cumulative to what was already available to defense counsel. Impeachment with contradictory testimony of other witnesses is hardly the same as being confronted with a videotape of the scene.

The video would also have provided leads for additional admissible evidence (*see United States v Mahaffy*, 693 F3d 113, 131 [2d Cir 2012]; *United States v Gil*, 297 F3d 93, 104 [2d Cir 2002]) and avenues for alternative theories for the defense. The video shows people entering and exiting the building, including other potential eyewitnesses. At a minimum, the presence of unidentified witnesses, at least one of whom was only a few feet away when the shots were fired, could have been used by the defense to argue that the police failed to conduct a thorough investigation (*see Kyles*, 514 US at 445-447 [finding that undisclosed *Brady* material could have been used to attack "the thoroughness and even the good faith of the investigation"]). And the video captures something none of the eyewitnesses reported: an additional person at the scene interacting with the victim as he lay on the ground, which defense counsel could have used at trial in combination with the medical examiner's report to argue that another shooter was potentially responsible for the victim's death after he fell to the ground.

Further, the prosecutor's statements in summation, which denied the existence of a video, "compounded the prejudice to defendant" (*People v Cwikla*, 46 NY2d 434, 442 [1979]). These remarks characterized defense counsel's summation as a desperate attempt to distract the jury from the proof by reference to phantom evidence—when in fact the surveillance video did exist, it had been withheld, and it would have been useful to defendant's case.

It requires no frame-by-frame review to grasp that the video would have become the focal point of defendant's trial. It would have set the scene of the murder, identified other potential witnesses, served to impeach eyewitness testimony, and provided a basis for an argument that other suspects might have been involved in the shooting. Instead of playing that role at trial, the video was withheld from the defense and the jury was told it did not exist. The aggregate effect of the suppression of this evidence undermines confidence in the verdict and therefore defendant is entitled to a new trial.

Accordingly, the order of the Appellate Division should be reversed, defendant's motion pursuant to CPL 440.10 to vacate defendant's judgment of conviction and sentence granted and a new trial ordered.

Chief Judge DIFIORE and Judges RIVERA, STEIN, FAHEY, WILSON and FEINMAN concur.

Order reversed, defendant's motion pursuant to CPL 440.10 to vacate defendant's judgment of conviction and sentence granted and a new trial ordered.

[130 NE3d 833, 106 NYS3d 237]

DANIEL WILLIAMS et al., Appellants, v BEEMILLER, INC., Doing Business as HI-POINT, et al., Defendants, and CHARLES BROWN, Respondent.

Argued March 20, 2019; decided May 9, 2019

SUMMARY

APPEAL, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered February 9, 2018. The Appellate Division reversed, on the law, an order of the Supreme Court, Erie County (Diane Y. Devlin, J.), which had (1) denied defendant Charles Brown's motion for summary judgment dismissing the first amended complaint against him based on lack of personal jurisdiction; (2) granted the motion; and (3) dismissed the first amended complaint against defendant Charles Brown.

Williams v Beemiller, Inc., 159 AD3d 148, affirmed.

HEADNOTE

Courts — Jurisdiction — Long-Arm Jurisdiction — Due Process

In a personal injury action to recover for injuries sustained in a shooting, long-arm jurisdiction could not be exercised under well-established due process precedent over defendant Ohio firearm merchant, who sold a gun to an Ohio resident in Ohio which was subsequently resold on the black market and used in the shooting of plaintiff in New York, because defendant lacked minimum contacts with New York. Defendant was authorized to sell handguns only in Ohio and only to Ohio residents, which he primarily accomplished through retail sales at gun shows held in various locations in Ohio. He did not maintain a website, had no retail store or business telephone listing, and did no advertising of any kind, except by posting a sign at his booth when participating in a gun show. In a series of transactions defendant sold handguns to another Ohio resident who had indicated he was acquiring inventory for the eventual opening of a gun shop, but instead brought the firearms to New York, illegally reselling the handgun used in the shooting of plaintiff to a Buffalo gang member. Despite the buyer's stated aspiration to open a gun shop in Buffalo, the record was devoid of evidence supporting plaintiffs' theory that, merely by selling handguns to the buyer, defendant intended to serve the New York market. Even if the buyer indicated that there was a chance that he might—at some undefined point in the future—transport the firearms to New York, defendant could not be said to have forged constitutionally sufficient ties with New York as there was no evidence that he took purposeful action, motivated by the entirely understandable wish to sell his products here such that he availed himself of the privilege of conducting activities within New York.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Foreign Corporations §§ 269–272, 282, 283, 322; AM JUR 2d Process §§ 147, 148, 152.
CARMODY-WAIT 2d Jurisdiction in Personam and in Rem §§ 25:21–25:26, 25:38, 25:53.
NY JUR 2d Courts and Judges §§ 595–599, 619.
SIEGEL, NY PRAC §§ 84–86.

ANNOTATION REFERENCE

See ALR Index under Long-Arm Statutes.

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POINTS OF COUNSEL

Brady Center to Prevent Gun Violence, Washington, D.C. (*Jonathan E. Lowy* of the District of Columbia bar, admitted pro hac vice, of counsel), and *Connors LLP*, Buffalo (*Terrence M. Connors* and *James W. Grable, Jr.* of counsel), for appellants. I. New York's exercise of specific personal jurisdiction over Charles Brown is constitutional and comports with federal due process. (*Tonns v Spiegel's*, 90 AD2d 548; *LaMarca v Pak-Mor Mfg. Co.*, 95 NY2d 210; *Allen v Auto Specialties Mfg. Co.*, 45 AD2d 331; *Kernan v Kurz-Hastings, Inc.*, 175 F3d 236; *Schaadt v T.W. Kutter, Inc.*, 169 AD2d 969; *International Shoe Co. v Washington*, 326 US 310; *World-Wide Volkswagen Corp. v Woodson*, 444 US 286; *Hanson v Denckla*, 357 US 235; *Burger King Corp. v Rudzewicz*, 471 US 462.) II. The Fourth Department misapplied Supreme Court precedent to reach the conclusion that New York's long-arm statute is unconstitutional as applied to Charles Brown. (*Banco Ambrosiano v Artoc Bank & Trust*, 62 NY2d 65; *D&R Global Selections, S.L. v Bodega Olegario Falcon Pineiro*, 29 NY3d 292; *Rushaid v Pictet & Cie*, 28 NY3d 316; *Licci v Lebanese Can. Bank, SAL*, 732 F3d 161; *Waggaman v Arauzo*, 117 AD3d 724; *Darrow v Hetronic Deutschland*, 119 AD3d 1142; *World-Wide Volkswagen Corp. v Woodson*, 444 US 286; *Darienzo v Wise Shoe Stores*, 74 AD2d 342.) III. The Fourth Department's decision impedes New York courts from exercising jurisdiction over defendants who supply distributors knowing that those products will be re-sold and used in New York. (*D&R Global Selections, S.L. v Bodega Olegario Falcon Pineiro*, 29 NY3d 292; *World-Wide Volkswagen Corp. v Woodson*, 444 US 286; *LaMarca v Pak-Mor Mfg. Co.*, 95 NY2d 210; *Kernan v Kurz-Hastings, Inc.*, 175 F3d 236.) IV. Jurisdiction is also supported because Charles Brown and MKS Supply, Inc. have an alter ego and agency relationship. (*Darienzo v Wise Shoe Stores*, 74 AD2d 342; *Beatie & Osborn LLP v Patriot Scientific Corp.*, 431 F Supp 2d 367; *Porter v LSB Indus.*, 192 AD2d 205; *Volkswagenwerk AG. v Beech Aircraft Corp.*, 751 F2d 117; *Kreutter v McFadden Oil Corp.*, 71 NY2d 460; *Retail Software Servs., Inc. v Lashlee*, 854 F2d 18; *Kinetic Instruments, Inc. v Lares*, 802 F Supp 976.)

Scott L. Braum & Associates, Ltd, Dayton, Ohio (*Scott L. Braum* of the Ohio bar, admitted pro hac vice, and *Timothy R. Rudd* of the Ohio bar, admitted pro hac vice, of counsel), and *Barclay Damon LLP*, Rochester (*John P. Gaughan, Sanjeev Devabhakthuni* and *Arianna E. Kwaitkowski* of counsel), for respondent. I. The Due Process Clause does not permit New York to exercise personal jurisdiction over Charles Brown. (*LaMarca v Pak-Mor Mfg. Co.*, 95 NY2d 210; *Burger King Corp. v Rudzewicz*, 471 US 462; *Keeton v Hustler Magazine, Inc.*, 465 US 770; *Bank Brussels Lambert v Fiddler Gonzalez & Rodriguez*, 305 F3d 120; *World-Wide Volkswagen Corp. v Woodson*, 444 US 286; *Asahi Metal Industry Co. v Superior Court of Cal., Solano Cty.*, 480 US 102; *Hanson v Denckla*, 357 US 235; *Travelers Health Assn. v Virginia ex rel. State Corporation Comm'n*, 339 US 643; *Kernan v Kurz-Hastings, Inc.*, 175 F3d 236; *City of New York v A-1 Jewelry & Pawn, Inc.*, 501 F Supp 2d 369.) II. The long-arm statute does not confer personal jurisdiction over Charles Brown. (*Ingraham v Carroll*, 90 NY2d 592; *Ying Jun Chen v Lei Shi*, 19 AD3d 407; *McKee Elec. Co. v Rauland-Borg Corp.*, 20 NY2d 377; *Muse Collections, Inc. v Carissima Bijoux, Inc.*, 86 AD3d 631; *Schaadt v T.W. Kutter, Inc.*, 169 AD2d 969; *World-Wide Volkswagen Corp. v Woodson*, 444 US 286; *Martinez v American Std.*, 91 AD2d 652; *LaMarca v Pak-Mor Mfg. Co.*, 95 NY2d 210.) III. Unchallenged personal jurisdiction over MKS Supply, Inc. cannot be imputed to Charles Brown. (*Matter of Morris v New York State Dept. of Taxation & Fin.*, 82 NY2d 135; *Campo v 1st Nationwide Bank*, 857 F Supp 264; *Abelman v Shoratlantic Dev. Co.*, 153 AD2d 821; *Cusumano v Iota Indus.*, 100 AD2d 892; *Porter v LSB Indus.*, 192 AD2d 205; *Volkswagenwerk AG. v Beech Aircraft Corp.*, 751 F2d 117; *Beatie & Osborn LLP v Patriot Scientific*

Corp., 431 F Supp 2d 367; *Retail Software Servs., Inc. v Lashlee*, 854 F2d 18; *Houbigant, Inc. v Development Specialists, Inc.*, 229 F Supp 2d 208; *Kinetic Instruments, Inc. v Lares*, 802 F Supp 976.)

Kramer Levin Naftalis & Frankel LLP, New York City (*Michael J. Dell, Jonathan M. Wagner* and *Marjorie E. Sheldon* of counsel), and *Everytown for Gun Safety Support Fund*, New York City (*Eric Tirschwell* and *Molly Thomas-Jensen* of counsel), for Everytown for Gun Safety, amicus curiae. I. Charles Brown knew the sales to James Nigel Bostic and his associates were a component of the Ohio-to-New York gun trafficking pipeline. II. The Appellate Division order should be reversed. (*International Shoe Co. v Washington*, 326 US 310; *LaMarca v Pak-Mor Mfg. Co.*, 95 NY2d 210; *World-Wide Volkswagen Corp. v Woodson*, 444 US 286; *City of New York v A-1 Jewelry & Pawn, Inc.*, 501 F Supp 2d 369; *Burger King Corp. v Rudzewicz*, 471 US 462.)

Center for Constitutional Litigation, P.C., Washington, D.C. (*Robert S. Peck* of counsel), for American Association for Justice, amicus curiae. I. "Minimum contacts" and traditional notions of fair play and substantial justice still define the due process issue presented here and are fully satisfied under the facts. (*International Shoe Co. v Washington*, 326 US 310; *Pennoyer v Neff*, 95 US 714; *World-Wide Volkswagen Corp. v Woodson*, 444 US 286; *Daimler AG v Bauman*, 571 US 117; *Goodyear Dunlop Tires Operations, S. A. v Brown*, 564 US 915; *Burger King Corp. v Rudzewicz*, 471 US 462; *McGee v International Life Ins. Co.*, 355 US 220; *Mathews v Eldridge*, 424 US 319; *Kulko v Superior Court of Cal., City & County of San Francisco*, 436 US 84; *LaMarca v Pak-Mor Mfg. Co.*, 95 NY2d 210.) II. New York's interest in the litigation is undeniable. (*Walden v Fiore*, 571 US 277; *Burger King Corp. v Rudzewicz*, 471 US 462; *Mathews v Eldridge*, 424 US 319; *Lanzetta v New Jersey*, 306 US 451; *FCC v Fox Television Stations, Inc.*, 567 US 239; *World-Wide Volkswagen Corp. v Woodson*, 444 US 286; *Helicopteros Nacionales de Colombia, S. A. v Hall*, 466 US 408; *Daimler AG v Bauman*, 571 US 117; *Logan v Zimmerman Brush Co.*, 455 US 422.)

OPINION OF THE COURT

Chief Judge DiFiore.

This case involves the propriety of New York's exercise of long-arm jurisdiction over defendant Charles Brown, an Ohio firearm merchant who sold a gun to an Ohio resident in Ohio which was subsequently resold on the black market and used in a shooting in New York. We agree with the Appellate Division that, under the circumstances presented in this case, jurisdiction cannot be exercised over Brown under well-established due process precedent because he lacks minimum contacts with this state.

Defendant Charles Brown, a federal firearm licensee, was authorized to sell handguns only in Ohio and only to Ohio residents, which he primarily accomplished through retail sales at gun shows held in various locations in Ohio. Brown did not maintain a website, had no retail store or business telephone listing, and did no advertising of any kind, except by posting a sign at his booth when participating in a gun show. In a series of transactions in 2000, Brown sold handguns to James Nigel Bostic and his associates. Prior to the transaction involving the gun at issue here, Brown consulted with the Bureau of Alcohol, Tobacco, Firearms and Explosives (ATF) to ensure its legality. For each transaction, the necessary forms required by the ATF were properly completed and submitted, the purchaser passed the required Federal Bureau of Investigation (FBI) background check before the firearms were transferred, Brown verified that the purchaser had government-issued identification demonstrating Ohio residency, and notification of the purchases was timely sent to local law enforcement and the ATF as required by the Federal Gun Control Act (*see* 18 USC § 922). During the transactions, Bostic indicated he was in the process of becoming a federal firearms licensee and was acquiring inventory for the eventual opening of a gun shop. Instead of opening a shop, Bostic brought the firearms to New York, illegally reselling one of the handguns to a Buffalo gang member. That gang member then used the handgun in a shooting that caused injury to plaintiff.

Plaintiffs commenced this personal injury action against, among others, Beemiller, Inc., an Ohio corporation and federally licensed firearms manufacturer, MKS Supply, Inc., an Ohio corporation and a federally licensed wholesale distributor of firearms, and Brown. Only Brown contested personal jurisdiction. Supreme Court, among other things, initially granted Brown's motion to dismiss the action (2011 NY Slip Op 34303[U] [Sup Ct, Erie County 2011]) but the Appellate Division reversed, holding in relevant part that plaintiffs made a sufficient showing of personal jurisdiction to warrant further disclosure (100 AD3d 143 [4th Dept 2012]). After extensive discovery, Brown moved for summary judgment dismissing the complaint, again asserting a defense of lack of personal jurisdiction. Supreme Court denied the motion. The Appellate Division reversed, granted the motion for summary judgment, and dismissed the complaint as against Brown (159 AD3d 148 [4th Dept 2018]). Although the Appellate Division credited plaintiffs' argument that jurisdiction could be exercised under CPLR 302, New York's long-arm statute, it nonetheless reversed based on its conclusion that plaintiffs failed to establish the requisite minimum contacts under the Due Process Clause. Plaintiffs appealed to this Court as of right on that substantial constitutional question and we now affirm.

When the defense is timely asserted, a New York court may not exercise personal jurisdiction over a non-domiciliary unless two requirements are satisfied: the action is permissible under the long-arm statute (CPLR 302) and the exercise of jurisdiction comports with due process (*see LaMarca v Pak-Mor Mfg. Co.*, 95 NY2d 210, 214 [2000]). If either the statutory or constitutional prerequisite is lacking, the action may not proceed. Due process requires that a nondomiciliary have "certain minimum contacts" with the forum and "that the maintenance of the suit does not offend traditional notions of fair play and substantial justice" (*International Shoe Co. v Washington*, 326 US 310, 316 [1945] [internal quotation marks and citations omitted]). Thus, this constitutional mandate likewise encompasses two requirements and jurisdiction may not be exercised unless both are present.

With respect to due process, "[a] non-domiciliary tortfeasor has minimum contacts with the forum State . . . if it purposefully avails itself of the privilege of conducting activities within the forum State" (*LaMarca*, 95 NY2d at 216 [internal quotations marks and citations omitted]), "thus invoking the benefits and protections of [the forum state's] laws" (*Hanson v Denckla*, 357 US 235, 253 [1958]). This test envisions something more than the "fortuitous circumstance" that a product sold in another state later makes its way into the forum jurisdiction through no marketing or other effort of defendant (*World-Wide Volkswagen Corp. v Woodson*, 444 US 286, 295 [1980]; *see J. McIntyre Machinery, Ltd. v Nicastro*, 564 US 873, 888-889 [2011, Breyer, J., concurring]). Put another way, "the mere likelihood that a product will find its way into the forum" cannot establish the requisite connection between defendant and the forum "such that [defendant] should reasonably anticipate being haled into court there" (*World-Wide Volkswagen*, 444 US at 297).

The constitutional inquiry "focuses on 'the relationship among the defendant, the forum, and the litigation' " (*Keeton v Hustler Magazine, Inc.*, 465 US 770, 775 [1984], quoting *Shaffer v Heitner*, 433 US 186, 204 [1977]). Significantly, "it is the defendant's conduct that must form the necessary connection with the forum State that is the basis for its jurisdiction" (*Walden v Fiore*, 571 US 277, 285 [2014]). Thus, the United States Supreme Court has "upheld the assertion of jurisdiction over defendants who have purposefully 'reach[ed] out beyond' their State and into another" (*Walden*, 571 US at 285; *see e.g. Burger King Corp. v Rudzewicz*, 471 US 462, 480 [1985]), while clarifying that the relationship between defendant and the forum state must arise out of defendant's own contacts with the forum and not "contacts between the plaintiff (or third parties) and the forum State" (*Walden*, 571 US at 284, citing *Helicopteros Nacionales de Colombia, S. A. v Hall*, 466 US 408, 417 [1984]; *Hanson*, 357 US at 253-254; *World-Wide Volkswagen*, 444 US at 298).

In *Walden*, the United States Supreme Court held that jurisdiction was not properly exercised where a defendant committed allegedly tortious conduct in Georgia against Nevada residents, despite knowing that the conduct would continue to affect them after their return to Nevada. The Supreme Court explained that "when viewed through the proper lens—whether the defendant's actions connect him to the forum—[defendant] formed no jurisdictionally relevant contacts with Nevada," because the defendant "never traveled to, conducted activities within, contacted anyone in, or sent anything or anyone to Nevada" (*Walden*, 571 US at 289 [emphasis omitted]). Ultimately, "[d]ue process requires that a defendant be haled into court in a forum State based on [defendant's] own affiliation with the State, not based on the 'random, fortuitous, or attenuated' contacts [defendant] makes by interacting with other persons affiliated with the State" (*Walden*, 571 US at 286, quoting *Burger King*, 471 US at 475; *see* Siegel & Connors, NY Prac § 88 [6th ed] [observing that the Supreme Court has "tighten(ed) . . . the reins on the application of longarm jurisdiction"]).

Here, viewing the facts in the light most favorable to plaintiffs, we agree with the Appellate Division that the requisite showing of minimum contacts with New York is lacking. In asserting jurisdiction, plaintiffs rely on the fact that firearms sold by Brown in Ohio eventually reached New York and claim that Brown should have had a reasonable expectation that this would happen based on conversations in which Bostic said he planned to open a shop in Ohio and "wouldn't mind having a shop in Buffalo." We agree with the Appellate Division that this evidence falls short of demonstrating purposeful availment. The facts of this case stand in contrast to those in *LaMarca*, wherein jurisdiction was properly exercised over a defendant that, in addition to advertising nationwide, initiated a business relationship with a New York-based distributor in order to sell products in New York (95 NY2d at 218). We distinguished that scenario from one where "defendant's connection with the forum State resulted from decisions made by others" (*id.* at 217). The latter is what occurred here.

Brown was not a member of the criminal gun trafficking conspiracy[1] and had no distribution agreement with Bostic and his associates, who purchased guns in separate transactions. Brown offered uncontradicted evidence that Bostic, who resided in a neighboring Ohio town, represented to Brown that he had applied for an FFL—a license that would, once acquired, permit him (like Brown) to sell handguns only in Ohio to Ohio residents. Despite Bostic's stated aspiration to open a gun shop in Buffalo, the record is devoid of evidence supporting plaintiffs' theory that, merely by selling handguns to Bostic, Brown intended to serve the New York market. Even if Bostic indicated that there was a chance that he may—at some undefined point in the future—transport the firearms to New York, Brown cannot be said to have "forged [constitutionally

1. To the extent that plaintiffs rely on the theory that Brown knew Bostic was not a legitimate gun dealer and instead intended to sell guns illegally, the only basis in the record to conclude that Brown had any knowledge of Bostic's ties to New York were Bostic's statements that he was from Buffalo and "was planning on possibly" opening a gun shop there. Even assuming Brown possessed such a belief, knowledge that goods might end up in New York is not the equivalent of purposeful availment. Moreover, the record shows that Brown consulted the ATF prior to making the sales in question—conduct hardly consistent with the theory that Brown and Bostic had entered into an illicit distribution arrangement to sell guns on the New York black market. Although on a motion for summary judgment we must view the facts in the light most favorable to the non-moving party, this does not permit us to alter or distort the facts or draw inferences not reasonably supported by the record.

sufficient] ties with New York" as there is no evidence that he "took purposeful action, motivated by the entirely understandable wish to sell [his] products here" such that he availed himself "of the privilege of conducting activities within" New York (*LaMarca*, 95 NY2d at 216-217 [internal quotation marks and citations omitted]; *see Walden*, 571 US at 286). In the absence of minimum contacts, New York courts may not exercise personal jurisdiction over Brown.[2] Plaintiffs' alternative alter ego theory of jurisdiction is also unavailing.

Plaintiffs appropriately condemn the scourge of illegal gun trafficking affecting our state and others, which takes an enormous toll on injured parties and their communities. However, notwithstanding the sympathetic facts in this case, we must neutrally apply the well-established precedent of this Court and the United States Supreme Court, which precludes this action from proceeding against Brown in New York, while leaving claims against the manufacturer and distributor pending.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

FEINMAN, J. (concurring). Defendant Charles Brown, a local Ohio firearms retailer, "did not maintain a website [in New York], had no retail store or business telephone listing [in New York], and did no advertising of any kind" in New York (majority op at 527 [DiFiore, Ch. J.]). The only tenuous connection Brown had to this State was the sale of firearms in Ohio to another Ohio resident who indicated that there was "a chance . . . at some undefined point in the future" that those firearms might be "transport[ed] . . . to New York" (*id.* at 530). I agree with our colleagues (*see id.* at 526-527) and the Appellate Division that exercising personal jurisdiction over defendant Charles Brown, an Ohio resident, would violate his federal due process rights. I write separately to express that in my view, Brown's "connection" with this State, to the extent it could be characterized as a connection at all, is insufficient to establish personal jurisdiction in the first instance under our State's long-arm statute (*see generally McGowan v Smith*, 52 NY2d 268, 274 [1981]).

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2. Because we agree with the Appellate Division's constitutional analysis, we do not address Brown's contention, as an alternative ground for affirmance, that the Appellate Division erred in crediting plaintiffs' interpretation of CPLR 302. Even assuming that jurisdiction could be exercised under the statute, the constitutional deficiency precludes the action from proceeding against Brown in New York.

I.

Defendant Beemiller, Inc., an Ohio corporation, manufactures 9 millimeter pistols. Those pistols are sold under the "Hi-Point" brand through an exclusive distributor, defendant MKS Supply, Inc., another Ohio corporation. Brown, a federal firearms licensee, purchased some of these Hi-Point pistols from MKS Supply and re-sold them in Ohio through his company Great Lakes Products (GLP). From May to October 2000, at various gun shows in Ohio, Brown sold 181 handguns to Bostic and his two associates, all Ohio residents. During this time, Bostic told Brown that he and his associates were buying the firearms because they were "*planning on possibly* opening up a couple gun shops in the future, *possibly* two, one in Columbus, Ohio, one in Buffalo[, New York]" (emphases added). Instead, following each Ohio purchase, Bostic would take possession of the firearms, drive the firearms across state lines to Buffalo, New York, and store them at his relatives' homes until he could sell the firearms directly to buyers or hand off the guns to third parties for resale.

In August 2003, plaintiff Daniel Williams was shot in Buffalo, New York with one of the guns sold by Brown to Bostic and his associates. Two months after that shooting, Bostic pleaded guilty to illegally trafficking and sale of weapons in New York. This lawsuit, brought by Williams and his father, followed in July 2005.

Plaintiffs seek to hold defendants Beemiller, MKS, and Brown, among others, liable for the negligent sale and distribution of the firearm used in the shooting. The sole issue on this appeal is whether New York can exercise personal jurisdiction over Brown in this civil suit to recover damages for the injuries sustained by plaintiff.[1] The Appellate Division held that, although personal jurisdiction could be obtained over Brown under this State's long-arm statute, doing so would violate Brown's federal due process rights. Plaintiffs appealed to this Court as of right (*see* CPLR 5601 [b] [1]).

II.

"To determine whether a non-domiciliary may be sued in New York, we first determine whether our long-arm statute (CPLR 302) confers jurisdiction over it in light of *its contacts*

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1. Neither defendant MKS or Beemiller contested jurisdiction under New York's long-arm statute; the action against those defendants is still pending.

with this State" (*LaMarca v Pak-Mor Mfg. Co.*, 95 NY2d 210, 214 [2000] [emphasis added]). If the requirements of CPLR 302 are not met, our inquiry ends (*see* Vincent C. Alexander, Practice Commentaries, McKinney's Cons Laws of NY, CPLR C302:11). However, if personal jurisdiction can be established under the statute, we must ensure that it would not violate the non-domiciliary's federal due process rights (*see LaMarca*, 95 NY2d at 214; Vincent C. Alexander, Practice Commentaries, McKinney's Cons Laws of NY, CPLR C302:11).[2]

As relevant to this appeal, New York's long-arm statute provides that a court may exercise personal jurisdiction over any non-domiciliary, who in person or through an agent:

> "3. commits a tortious act without the state causing injury to person or property within the state . . . if [the non-domiciliary]
>
> "(i) regularly does or solicits business, or engages in any other persistent course of conduct, or derives substantial revenue from goods used or consumed or services rendered, in the state, or
>
> "(ii) expects or should reasonably expect the act to have consequences in the state and derives substantial revenue from interstate or international commerce" (CPLR 302 [a] [3] [i], [ii]).

Neither party disputes that plaintiffs established certain conditions precedent to jurisdiction under CPLR 302 (a) (3) of New York's long-arm statute—that plaintiffs' underlying causes of action arise from Brown's tortious acts without the state (Brown's allegedly negligent sale to Bostic in Ohio), which eventually caused injury within the state (the shooting of plaintiff Daniel Williams in Buffalo, New York). Our inquiry is therefore focused on whether Brown is entitled to summary judgment, dismissing the action, on the basis that New York cannot exercise long-arm jurisdiction over him under either subparagraph (i) or (ii) of subdivision (a) (3) (*see* CPLR 3212 [b]; *Jacobsen v New York City Health & Hosps. Corp.*, 22 NY3d 824, 833 [2014]).

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2. Although I would dispose of this appeal under our State's long-arm statute, five of my colleagues reach federal due process to resolve the case. Because I agree that exercising personal jurisdiction over Brown would also violate his federal due process rights, I concur in the majority's due process analysis.

III.

CPLR 302 (a) (3) was enacted in 1966 after this Court's decision in *Feathers v McLucas*, which held that nonresidents could not be subjected to jurisdiction under our long-arm statute for an "out-of-state tortious act" (15 NY2d 443, 460 [1965]; Jud Conf of St of NY Mem in Support, Bill Jacket, L 1966, ch 590 at 17-18, 1966 NY Legis Ann at 4).[3] In *Feathers*, we noted that "[a]ny plea for further expansion of [the long-arm statute's] scope . . . is a matter for the Legislature rather than the courts" (*id.* at 464). To aid the legislature in amending the long-arm statute, a study was conducted by the Judicial Conference on the necessary revisions to CPLR 302 (11th Ann Rep of NY Jud Conf at 132-139; 12th Ann Rep of NY Jud Conf at 339-344). The new provision was designed to be "*well within* constitutional bounds" (12th Ann Rep of NY Jud Conf at 341 [emphasis added]), and subparagraphs (i) and (ii) of CPLR 302 (a) (3) "were deliberately inserted" to achieve that goal (*Ingraham v Carroll*, 90 NY2d 592, 596-597 [1997]). Hence, "[t]he purpose of sub[paragraphs] (i) and (ii) is to ensure the fairness of asserting jurisdiction over nondomiciliaries whose out-of-state acts cause local injury" (Vincent C. Alexander, Practice Commentaries, McKinney's Cons Laws of NY, CPLR C302:11).

Our rules of construction reinforce the underlying intent of CPLR 302 (a) (3). As a general matter, "courts must avoid, if possible, interpreting a presumptively valid statute in a way that will needlessly render it unconstitutional" (*Overstock.com, Inc. v New York State Dept. of Taxation & Fin.*, 20 NY3d 586, 593 [2013]). In line with this general rule, when our long-arm statute is interpreted, whether federal due process may be offended should be considered to "avoid grave doubts concerning [the statute's] constitutionality" (*Fantis Foods v Standard*

3. In *Feathers*, this Court highlighted the "reformulated" standard of personal jurisdiction ushered in by the Supreme Court's decisions *International Shoe Co. v Washington* (326 US 310 [1945]) and *Hanson v Denckla* (357 US 235 [1958]):

> " 'The *unilateral activity* of those who claim some relationship with a nonresident defendant', the court concluded, '*cannot satisfy the requirement of contact* with the forum State. . . . [I]t is essential in each case that there be some act by which the defendant *purposefully avails* itself of the privilege of conducting activities within the forum State, thus invoking the benefits and protections of its laws' " (*Feathers*, 15 NY2d at 451-452 [emphasis added], quoting *Denckla*, 357 US at 253; *International Shoe*, 326 US at 316).

Importing Co., 49 NY2d 317, 327 [1980]; *see also* Vincent C. Alexander, Practice Commentaries, McKinney's Cons Laws of NY, CPLR C302:11). This interpretive framework, coupled with the intentional legislative design, ensures that it will be the "rare" case where the long-arm statute is out of step with federal due process (*D&R Global Selections, S.L. v Bodega Olegario Falcon Pineiro*, 29 NY3d 292, 300 [2017] [internal quotation marks omitted]).

IV.

In this case, both the dissenters and the Appellate Division agree that the requirements of CPLR 302 (a) (3) (i) were met because Brown derived substantial revenue from goods used or consumed in this state (*see* dissenting op at 546; 159 AD3d 148, 154 [4th Dept 2018]). To support this holding, the dissent, as did the Appellate Division, limits its analysis to a calculation of the revenue generated by Brown from his Ohio sales to Bostic and his associates. The dissent concludes that regardless of whether one examines the proportion of Brown's sales (roughly one third of his sales for the relevant period) or the total dollar value of his sales, "the result is the same"—subparagraph (i) is satisfied (dissenting op at 546). The dissent's calculation of Brown's Ohio sales to other Ohio residents ipso facto includes no sales by him to New York residents or the New York market. This application of the statute is inconsistent with the legislative intent, the structure of the statute, and its prior application.

As this Court has made clear, "CPLR 302 (a) (3) (i) necessitates some *ongoing activity within New York State*" (*Ingraham*, 90 NY2d at 597 [some emphasis added]). This approach is grounded in the plain text of the statute. The first three clauses in CPLR 302 (a) (3) (i) allow for jurisdiction when the defendant "regularly [1] does or [2] solicits business, or [3] engages in any other persistent course of conduct" in the state. These clauses address whether defendants have, of their own volition, engaged in regular or persistent activity in New York such that they have established sufficient contacts with this state (*see* 12th Ann Rep of NY Jud Conf at 343; Vincent C. Alexander, Practice Commentaries, McKinney's Cons Laws of NY, CPLR C302:12). Thus, for example, courts have found that a "long-term apartment rental" by a business in New York can "constitute a persistent course of conduct by the firm" (*Bank Brussels Lambert v Fiddler Gonzalez & Rodriguez*, 305 F3d

120, 126 [2d Cir 2002]). Personal engagement in business transactions in New York also regularly meets the requirements of the first three clauses of CPLR 302 (a) (3) (i) (*see e.g. Granada Tel., Intl., Ltd. v Lorindy Pictures Intl., Inc.*, 606 F Supp 68, 72 [SD NY 1984] [finding participation in "at least two New York real estate partnerships," ownership of land, and maintenance of bank account in New York met the statutory requirements of CPLR 302 (a) (3) (i)]).

The last clause of CPLR 302 (a) (3) (i)—the substantial revenue clause—is no different in its requirement of contacts between a non-domiciliary and New York. But rather than assessing a non-domiciliary's regular activity in New York, it focuses on the value of a non-domiciliary's commercial contacts with the state (*see Allen v Canadian Gen. Elec. Co.*, 65 AD2d 39, 41 [3d Dept 1978] [substantial revenue clause of CPLR 302 (a) (3) (i) involves calculating "(t)he importance of New York revenues to the total revenues of a business not actually doing business in New York State"], *affd* 50 NY2d 935 [1980]). Accordingly, it is the commercial importance to the non-domiciliary of their sales—measured by either "comparing the [non-domiciliary's] overall income with its New York portion" or examining the sheer numerical value of New York income—that is the touchstone (Siegel & Connors, NY Prac § 88 [6th ed]).

This difference in focus does not mean, however, that the volitional requirement that the nonresident engage in some "ongoing activity" within the state disappears under the substantial revenue clause (*see Ingraham*, 90 NY2d at 597). Unlike the dissent's approach here, courts applying that clause have understood as much. Jurisdiction under the substantial revenue clause has been tied to purposeful activity by the defendant in New York, usually direct sales by the defendant to New York-based customers or usage of New York distributors (*see Reynolds v Aircraft Leasing*, 194 Misc 2d 550, 552 [Sup Ct, Queens County 2002]; *Tonns v Spiegel's*, 90 AD2d 548, 549 [2d Dept 1982]; *Allen*, 65 AD2d at 41). Where those intentional relationships are absent, courts have been hesitant to exercise jurisdiction over a non-domiciliary under the substantial revenue clause—especially when the non-domiciliary's goods are used or consumed in New York due to the unilateral activity of third parties (*see e.g. Stephan v Babysport, LLC*, 499 F Supp 2d 279, 289 [ED NY 2007] [declining to "attribute( ) to Defendants" sales made in New York by "an unrelated entity in the final chain of distribution"]).

The dissent's jurisdictional analysis under the substantial revenue clause omits the requirement of "sufficient contacts with this state" that is essential to the exercise of personal jurisdiction under any of the clauses of CPLR 302 (a) (3) (i) (*see Ingraham*, 90 NY2d at 597 [internal quotation marks omitted]). Each clause constitutes a " 'plus factor' " that "serve[s] to filter out cases in which the inforum impact is an isolated event and the defendant otherwise has no, or scant, affiliations with the forum" (*Crane v Carr*, 814 F2d 758, 763 [DC Cir 1987, Ginsburg, J.] [analyzing D.C. long-arm statute that contains identical language to CPLR 302 (a) (3) (i)]). Indeed, "each of the four alternative contacts in sub[paragraph] (i) constitutes a regular course of conduct in the state" (Vincent C. Alexander, Practice Commentaries, McKinney's Cons Laws of NY, CPLR C302:12 [internal quotation marks omitted]; *see* 12th Ann Rep of NY Jud Conf at 343). Reading "sufficient contacts" out of the substantial revenue clause and finding that a nonresident's sales in another state constitute deriving revenue from New York State solely because their goods were later—sometimes years later—used or consumed in this state is entirely inconsistent with the legislative design of the statute.

In short, text, precedent, and legislative intent all compel the conclusion that the substantial revenue clause of CPLR 302 (a) (3) (i) requires evidence that the non-domiciliary not just derive revenue from New York State, but *intend* to derive revenue from this state.[4] There is no evidence that Brown intended to derive such revenue here. Brown never contracted to provide services within New York, nor advertised or solicited business in New York, nor sent representatives or agents into New York, nor enticed New York residents or firearm distributors to come to Ohio to purchase firearms from him (*see e.g. Ingraham*, 90 NY2d at 598 [declining to exercise jurisdiction pursuant to CPLR 302 (a) (3) (i) because "it is undisputed that respondent practices only in Vermont. He neither treated decedent in New York, nor contracted to provide services in New York or solicited business in New York"]).[5] To be sure, *Bostic's* illicit gun trafficking from Ohio and subsequent sales in

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4. The dissent does not dispute that intent or knowledge is necessary to show an "association between [the] defendant and this forum" (dissenting op at 547).

5. In fact, it was only in 2004 that Brown made a single two-gun sale to a New York State resident, a transaction that, by itself, is insufficient to establish that Brown engaged in a regular course of conduct within New York

(n. cont'd)

New York constitute a regular course of conduct within New York, such that *Bostic* could be said to have derived substantial revenue from this state. However, his nebulous remarks to Brown, that he was "planning on possibly opening" or "wouldn't mind having" a store in New York at some unspecified point in the future, are not enough to attribute this regular course of conduct to Brown (*see e.g. Birmingham Fire Ins. Co. of Pa. v KOA Fire & Mar. Ins. Co.*, 572 F Supp 962, 968 [SD NY 1983]). To exercise long-arm jurisdiction over Brown based only on his Ohio sales to Bostic and his associates, all Ohio residents, would contravene the emphasis placed on fairness to the nondomiciliary when subparagraph (i) was crafted (*see* 12th Ann Rep of NY Jud Conf at 343 [subparagraph (i) is meant to cover "those non-domiciliaries who have sufficient contacts with this state so that it is *not unfair* to require them to answer in this state for injuries they cause here by acts done" (emphasis added)]). Put simply, Brown does not have sufficient contacts with this state to make it reasonable to subject him to jurisdiction under the substantial revenue clause of CPLR 302 (a) (3) (i) (*see* Siegel & Connors, NY Prac § 88 [6th ed]).

Jurisdiction is similarly lacking under CPLR 302 (a) (3) (ii). To find jurisdiction under this subparagraph, a plaintiff must demonstrate that the nondomiciliary "expects or should reasonably expect the act to have consequences in the state *and* derives substantial revenue from interstate or international commerce" (CPLR 302 [a] [3] [ii] [emphasis added]). The dissent posits that because Brown sold firearms to Bostic and was told by Bostic that he and his associates might open a store in Buffalo, "Brown served the New York market" (dissenting op at 550-551). In doing so, the dissent disregards the same principles it did when analyzing subparagraph (i) of CPLR 302 (a) (3).

The first clause of subparagraph (ii)—the foreseeability clause—"is intended to ensure some link between a defendant and New York State to make it reasonable to require a defendant to come to New York to answer for tortious conduct committed elsewhere" (*Ingraham*, 90 NY2d at 598). The second clause—the interstate commerce clause—"is designed to narrow 'the long-arm reach to preclude the exercise of jurisdiction over nondomiciliaries who might cause direct, foreseeable injury within the State but whose business operations are of a

State (*see* 12th Ann Rep of NY Jud Conf at 343 ["(a singular) business transaction is insufficient and a regular course of conduct in the state is required"]; *see also Ingraham*, 90 NY2d at 597).

local character' " (*LaMarca*, 95 NY2d at 215 [some internal quotation marks omitted and emphasis added], quoting *Ingraham*, 90 NY2d at 599; *see* 12th Ann Rep of Jud Conf at 342-343).

The key to meeting the first condition is assessing whether the non-domiciliary "knew that [a product] was likely to end up in New York" (Siegel & Connors, NY Prac § 88 [6th ed]). It follows that there must be some "discernible effort [by the non-domiciliary] to directly or indirectly serve the New York market" (*Schaadt v T.W. Kutter, Inc.*, 169 AD2d 969, 970 [3d Dept 1991]). Here, there is no way to discern any such effort. This is not a case where Brown should have "foreseen the forum consequences . . . [because he] entered into agreements with agents to solicit business in New York" (*Allen v Auto Specialties Mfg. Co.*, 45 AD2d 331, 333 [3d Dept 1974]) or engaged with a "New York distributor" (*LaMarca v Pak-Mor Mfg. Co.*, 95 NY2d 210, 215 [2000]). In Bostic's conversations with Brown, the former simply relayed his speculative aspirations: that he "plann[ed] on possibly" opening up a store in Buffalo, New York. These false claims to Brown fail to show that Brown "knew that [his products were] likely to end up in New York" (Siegel & Connors, NY Prac § 88 [6th ed]; *see e.g. Martinez v American Std.*, 91 AD2d 652, 653 [2d Dept 1982] [rejecting jurisdiction under CPLR 302 (a) (3) (ii) where the defendant "d(id) not advertise or solicit business in New York, and . . . d(id) not ship any of its products into New York"], *affd* 60 NY2d 873 [1983]).

The second interstate revenue condition of subparagraph (ii) permits the exercise of jurisdiction over non-domiciliaries that "can reasonably foresee that [their] business may subject [them] to the *jurisdiction of the various states from which [they] derive[ ] revenue*" (Legislation Rep by NY St Bar Assn Comm on Civ Prac Law and Rules at 3, Bill Jacket, L 1966, ch 590 at 9 [emphasis added]). This "limitation . . . is intended to exclude non-domiciliaries whose business operations are of a local character" (12th Ann Rep of NY Jud Conf at 343).

Here, Brown's business was decidedly local. GLP is an Ohio *retail* firearms store, through which Brown, pursuant to his FFL, has only sold handguns to in-state residents (*compare LaMarca*, 95 NY2d at 215 [stating that "Pak-Mor's business can hardly be characterized as 'local.' A Texas corporation with a manufacturing facility in Virginia is inherently engaged in interstate commerce. Moreover, the company had a New York distributor and a district representative"]).[6] In the year 2000, when the firearm sales at issue were made to Bostic, Brown sold only 9 out of 525 firearms to out-of-state residents, accounting for less than 2% of his total sales. Such small percentages of total revenue, which Brown stated was in the thousands of dollars per year, have only been categorized as substantial when the dollar amount has been considerably greater (*see Allen v Canadian Gen. Elec. Co.*, 65 AD2d 39, 42 [3d Dept 1978] [holding that while "ordinarily it would not be expected that a small percentage of 1% or 2% would equal large amounts of money," jurisdiction under the long-arm statute was warranted where 1% of sales generated nine million dollars], *affd* 50 NY2d 935 [1980]; *compare Ingraham*, 90 NY2d at 604, citing *New England Laminates Co. v Murphy*, 79 Misc 2d 1025, 1028 [Sup Ct, Nassau County 1974] [4% of $400,000 not "substantial" as a matter of law]).

In sum, in the year he sold firearms to Bostic, Brown did not engage in interstate activity from which he derived substantial revenue, let alone interstate activity from which he derived revenue from New York State.[7] To find then that plaintiff satisfied the requirements of CPLR 302 (a) (3) (ii) on "so attenuated a consequence of defendant's act" would "burden unfairly nonresidents whose connection with the state is remote" (*Fantis*, 49 NY2d at 327; *see* 11th Ann Rep of NY Jud Conf at 136 [stating that "(i)f the (non-domiciliary) had no other contact with New York, it might be thought both unfair and undesirable to subject him to the jurisdiction of New York"]).

Plaintiffs have failed to raise a question of fact as to whether personal jurisdiction over Brown can be exercised under this State's long-arm statute.

6. In accordance with his federal firearms license, Brown operated a retail firearm store out of his home and sold firearms, within certain parameters, at qualifying gun shows around Ohio: Brown was allowed to sell handguns and long guns (rifles and shotguns) to other Ohio residents, long guns to out-of-state residents, handguns and long guns to licensed out-of-state gun dealers, and handguns and long guns to law enforcement agencies (*see* 18 USC § 922 [b] [3]; 27 CFR 478.50, 478.94, 478.96, 478.99, 478.100).

7. The dissent's attempt to include Brown's sales to Bostic in its calculation of interstate revenue for purposes of exercising jurisdiction under subparagraph (ii) fails for the same reasons it failed under the analysis in subparagraph (i)—Bostic's New York sales cannot be attributed to Brown (*see supra* at 537-538).

Even assuming personal jurisdiction under the statute, I agree with the majority opinion that such jurisdiction would violate Brown's federal due process rights.

FAHEY, J. (dissenting). It is impossible for any court to apply the rule of law if the simple facts are ignored. Here the undisputed facts establish that defendant Charles Brown, on multiple occasions, sold firearms in Ohio to defendant nondomiciliary James Nigel Bostic, a gun trafficker who Brown knew "planned to open a store . . . in Buffalo" and who did indeed sell guns—albeit illegally—in that city.

The Appellate Division concluded that, in spite of his knowledge of Bostic's intentions to remarket those weapons in Buffalo, courts of this state cannot exercise personal jurisdiction over Brown in an action seeking damages for personal injuries sustained as a result of Brown's allegedly negligent sale of those weapons. Any objective review of the unvarnished facts would require reversal of that order.

The majority reaches the opposite conclusion. We respectfully disagree. The law and the facts support jurisdiction over Brown, demand reversal of the Appellate Division order, and compel our dissent.

I.

Daniel Williams (plaintiff) was shot in a case of mistaken identity while he played basketball in front of a neighbor's house in Buffalo in August 2003. The bullet that struck plaintiff entered his stomach, and closing the wound required 22 stitches. Plaintiff, a promising student, could barely walk when he was released from the hospital, and those injuries sidelined a basketball career that included plaintiff's consideration as an NCAA Division I prospect.

The gun used in that shooting was manufactured by defendant Beemiller, Inc., which was doing business as Hi-Point and which was both an Ohio corporation and licensed by the federal government to manufacture the weapon in question. Beemiller sold that gun to defendant MKS Supply, Inc., which in turn sold it to Great Lakes Products. That latter entity was owned and operated by Brown.

For his part, Brown sold that gun and other firearms at gun shows in Ohio in and around 2000. The gun in question was one of 181 such weapons Brown sold to Bostic and defendant

Kimberly Upshaw[1] at such shows in 2000. All of those purchases were cash transactions, and all of the guns obtained from Brown in Ohio were transported to and sold illegally in Buffalo. One of those weapons—which was part of an 85-gun bulk sale—made its way to defendant Cornell Caldwell, who used it to shoot plaintiff.

From those facts and allegations arose three sets of charges. Caldwell pleaded guilty to attempted assault in the first degree—a class C violent felony—based on his participation in the incident in which plaintiff was shot. Bostic, in turn, pleaded guilty to federal trafficking crimes based on his participation in the scheme through which Caldwell obtained the gun that he used to shoot plaintiff (*see* 18 USC § 922 [a] [1] [A] [unlawfully dealing in firearms and, in the course thereof, unlawfully transporting the firearms in interstate commerce]; 18 USC § 922 [a] [5] [unlawfully transferring firearms to individuals who were residing in a state other than that in which the defendant was residing]). Most importantly for the purposes of this appeal, plaintiff and his father, plaintiff Edward Williams, commenced this action seeking justice with respect to the significant, life-altering personal injuries that plaintiff suffered in the shooting.

In lieu of answering, Brown moved to dismiss the first amended complaint as against him on grounds including lack of personal jurisdiction. That issue was litigated in the lower courts; one motion court initially concluded that the operative complaint as against Brown should be dismissed for lack of personal jurisdiction (2011 NY Slip Op 34303[U] [Sup Ct, Erie County 2011, Marshall, J.]), but the Appellate Division reversed that order and directed discovery on the issue of personal jurisdiction (100 AD3d 143 [4th Dept 2012], *amended on rearg* 103 AD3d 1191 [4th Dept 2013]).

Following jurisdictional discovery, Brown moved for summary judgment dismissing the operative complaint as against him on the ground that courts of this state lack personal jurisdiction over him. A different motion court (Sup Ct, Erie County, Devlin, J.) denied that second motion for accelerated judgment, ruling that the evidence adduced during jurisdictional discovery reflected that Brown "had some knowledge that [the subject] guns would end up in New York" based on, among other things, Bostic's "statement to Brown that Bostic and Upshaw planned to open a store [selling those guns] in Ohio and . . . in Buffalo."

1. Dianna Peterson, who is not a defendant, is another Bostic associate who purchased guns from Brown for Bostic.

On appeal, however, the Appellate Division reversed Supreme Court's order and dismissed the operative complaint as against Brown (159 AD3d 148 [4th Dept 2018]). After acknowledging the relevant facts, namely, that

- Brown sold 181 of the guns in question "to Bostic and his associates between May and October 2000" (*id.* at 154);
- Those guns were "used or consumed," that is, they were possessed and fired, in New York State (*id.* [internal quotation marks omitted]);
- The sale of those 181 guns "to Bostic and his associates constituted approximately 34% of Brown's gun sales by volume in 2000" (*id.*) and 4.4% of his sales for the period from 1996 to 2005 (*see id.*);
- Those guns were sold at a discounted rate of $85 per unit (*see id*. at 155);
- Brown attended various trade "shows along the 'I-75 corridor,' which was accessible to buyers from states in the region such as Indiana and Kentucky" (*id*. at 156);
- Not including the guns sold to Bostic and his associates, "Brown sold and transferred 404 guns to out-of-state purchasers" for the period from 1996 to 2005, and "[s]uch interstate transactions constitute[d] over 9.8% of Brown's total sales by volume for that period" (*id.* at 155); and
- Brown's percentage of sales of such guns "would be 14.3% if the Bostic sales were included as out-of-state sales" (*id.*),

the Appellate Division concluded that the requirements of New York's long-arm statute (CPLR 302) had been met (*see* 159 AD3d at 152-156 [discussing CPLR 302 (a) (3) (i)]). Nevertheless, in spite of our repeated instruction that personal jurisdiction under the long-arm statute violates federal due process only in the rarest of cases (*see D&R Global Selections, S.L. v Bodega Olegario Falcon Pineiro*, 29 NY3d 292, 299-300 [2017]; *Rushaid v Pictet & Cie*, 28 NY3d 316, 330-331 [2016], *rearg denied* 28 NY3d 1161 [2017]; *see also Licci ex rel. Licci v Lebanese Canadian Bank, SAL*, 732 F3d 161, 170 [2d Cir 2013]), the Appellate Division "agree[d] with Brown that principles of federal due process preclude New York from exercising personal jurisdiction over him" (159 AD3d at 156). Plaintiffs appeal as of right to this Court (*see* CPLR 5601 [b] [1]).

II.

Under our settled case law, assessing whether a nondomiciliary is subject to personal jurisdiction in New York is a two-step inquiry. First, we must "determine whether our long-arm statute (CPLR 302) confers jurisdiction over [the defendant] in light of [the defendant's] contacts with this State" (*LaMarca v Pak-Mor Mfg. Co.*, 95 NY2d 210, 214 [2000]). "If the defendant's relationship with New York falls within the terms of CPLR 302," then we proceed to the second step of "determin[ing] whether the exercise of jurisdiction comports with due process" (*LaMarca*, 95 NY2d at 214). The majority elects to decide the constitutional question without any consideration of whether the long-arm statute reaches Brown. Doing so contravenes our well-established precedent, including precedents on which the majority itself relies, all of which hold that we must resolve statutory arguments (including statutory interpretation that considers constitutional avoidance) before holding a statute unconstitutional as applied (*see id.* at 214 ["(t)o determine whether a non-domiciliary may be sued in New York, we *first* determine whether our long-arm statute (CPLR 302) confers jurisdiction over it in light of its contacts with this State" (emphasis added)]; *Ingraham v Carroll*, 90 NY2d 592, 600 [1997] [ending inquiry after CPLR 302 (a) (3) analysis because New York could not exercise long-arm jurisdiction over non-domiciliary]; *see generally* McKinney's Cons Laws of NY, Book 1, Statutes § 150 [a] [collecting cases]). The rule, established at least since 1833 by the United States Supreme Court (*Ex parte Randolph*, 20 F Cas 242 [D Va 1833, Marshall, J., No. 11,558]) and adopted by this Court shortly thereafter (*People ex rel. Wetmore v Board of Supervisors of County of N.Y.*, 34 How Prac 379, 379 [Ct App 1865]), that "if a case can be decided on either of two grounds, one involving a constitutional question, the other a question of statutory construction or general law, the Court will decide only the latter" (*Ashwander v TVA*, 297 US 288, 347 [1936, Brandeis, J., concurring]) is foundational to the proper understanding of the judicial power—namely one that avoids placing matters entirely beyond the competence of the elected branches by handing down unnecessary constitutional rulings.[2]

2. To the extent the majority suggests that we need not address CPLR 302 (a) first because Brown appealed as of right pursuant to CPLR 5601 (b) (1) (*see* majority op at 528, 531 n 2), we respectfully disagree. This Court is not limited to reviewing Brown's constitutional arguments merely because he appealed under CPLR 5601 (b) (1), and this provision contains nothing to support the majority's departure from centuries of legal principle (*see* Arthur Karger, Powers of the New York Court of Appeals § 7:2 [3d ed rev 2005]

(n. cont'd)

We doubt the majority intends silently to overrule the "hornbook law that a court will not pass upon a constitutional question if the case can be disposed of in any other way" (*People v Felix*, 58 NY2d 156, 161 [1983]). In any event, there remains the long-standing principle that we interpret statutory provisions before reaching constitutional questions (*see Matter of McBarnette v Sobol*, 83 NY2d 333, 337 [1994]). If our state courts' exercise of personal jurisdiction over Brown does not meet the requirements of CPLR 302 (as the Judges who concur with the majority conclude), then there is no occasion to engage in the due process analysis (in which the majority engages, and which the Judges who concur with the majority gratuitously join). Either way, the majority and concurring opinions violate fundamental rules of judicial review.[3]

We decline to repeat the majority's error and thus begin our analysis with New York's long-arm statute, CPLR 302, which is entitled "Personal jurisdiction by acts of non-domiciliaries." Pursuant to the relevant parts of subdivision (a) of that statute,

> "[A] court may exercise personal jurisdiction over any non-domiciliary . . . who in person or through an agent: . . .
>
> "3. commits a tortious act without the state causing injury to person or property within the state, except as to a cause of action for defamation of character arising from the act, if [the non-domiciliary]

[discussing CPLR 5601 (b) (1) and explaining "so long as such a constitutional question is directly involved, an appeal as of right will lie even though other questions may also be involved, and all questions in the case which the Court of Appeals is empowered to review will be open for consideration, whether or not they are of a constitutional nature"]).

3. As noted, and stated simply, courts are bound by what effectively is a rule of procedure providing that a statutory question (here, long-arm jurisdiction pursuant to CPLR 302) is to be decided before a constitutional question (in this case, whether the exercise of long-arm jurisdiction pursuant to CPLR 302 comports with federal constitutional due process requirements). To the extent that rule is applied here, the Judges in the majority who ignore the question of statutory long-arm jurisdiction arguably have conceded that there is jurisdiction pursuant to CPLR 302 (a) (3) as a predicate to their conclusion that this is one of the rarest of cases (*see D&R Global Selections, S.L.*, 29 NY3d at 299-300; *Rushaid*, 28 NY3d at 330-331) in which statutory long-arm jurisdiction is prohibited under a federal due process analysis (*cf.* majority op at 527 ["agree(ing) with the Appellate Division that . . . jurisdiction cannot be exercised over Brown under well-established due process precedent because he lacks minimum contacts with this state"]).

> "*(i)* regularly does or solicits business, or engages in any other persistent course of conduct, or derives substantial revenue from goods used or consumed or services rendered, in the state, *or*
>
> "*(ii)* expects or should reasonably expect the act to have consequences in the state and derives substantial revenue from interstate or international commerce" (emphases added).

The two branches of this test are disjunctive, meaning that a court may exercise personal jurisdiction over a non-domiciliary in the event that either all of the criteria in subparagraph (i) are met *or* the criteria in subparagraph (ii) are satisfied. Viewed in the light most favorable to plaintiffs, as the nonmoving parties (*Vega v Restani Constr. Corp.*, 18 NY3d 499, 503 [2012]),[4] the evidence establishes that Brown is subject to personal jurisdiction under CPLR 302 (a) (3)—irrespective of which of that subdivision's subparagraphs our analysis proceeds.

A.

Turning first to CPLR 302 (a) (3) (i), there can be no dispute that the requirement that Brown knowingly derived substantial revenue from goods used or consumed in this state has been met. The analysis of this subparagraph turns on the meaning of the word "substantial," which has been subject to both a "proportion" test and a "quantity" test (*see* Siegel & Connors, NY Prac § 88 at 194 [6th ed 2018]).

Irrespective of whether the "proportion" test or the "quantity" test is employed here, the result is the same: Brown's merchandising led to the conclusion that he knowingly "derive[d] substantial revenue from goods used or consumed . . . in [this] state," thereby satisfying the first subparagraph of CPLR 302 (a) (3). As noted, the record reflects, among other things, that Brown sold a significant number of guns to Bostic and Bostic's associates in 2000, that those guns were used and consumed in New York State, and that those sales constituted approximately one third of Brown's total sales in that year.

In reaching a different result, the Judges concurring with the majority conclude that plaintiffs' allegation that Brown

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4. The prism through which the evidence should be viewed—the light most favorable to plaintiffs, as the nonmoving parties—is the lynchpin of our judicial inquiry, but reference to authority acknowledging that concept is inexplicably absent from both the majority and concurring opinions.

derived "substantial revenue" from New York based on his Ohio sales to Bostic and Bostic's associates does not permit the exercise of long-arm jurisdiction over Brown because Brown also did not engage in a regular course of conduct within New York State (*see* concurring op at 535-536). That conclusion conflates what the legislature has said are to be separate analyses under subparagraph (i) of CPLR 302 (a) (3).

Specifically, the Judges who concur with the majority imply that a single business transaction that yields "substantial revenue from goods used or consumed . . . in th[is] state" (CPLR 302 [a] [3] [i]) does not permit the exercise of personal jurisdiction if that substantial revenue is not also the product of a "regular course of conduct in th[is] state" (concurring op at 537 [internal quotation marks omitted]). In CPLR 302 (a) (3), however, the legislature separated degree of revenue from constancy of conduct when it provided that a court may exercise personal jurisdiction over any non-domiciliary who, among other things, "engages in any . . . persistent course of conduct . . . *or* derives substantial revenue from goods used . . . in th[is] state" (CPLR 302 [a] [3] [i] [emphasis added]).

Ingraham v Carroll (90 NY2d 592 [1997]) does not provide otherwise. There, we considered the "regularly [doing] or solict-[ing] business" clause of subparagraph (i) and concluded that, to satisfy such criterion, the party seeking to obtain jurisdiction must show "something more than the 'one shot' single business transaction described in CPLR 302 (a) (1)" (*Ingraham*, 90 NY2d at 597). Here, by contrast, "substantial revenue" does not measure the *frequency* of contacts between a defendant and this state, but the *size* of even a single association between that defendant and this forum. The fact that a defendant's conduct that generates "substantial revenue" is not continual, enduring, or repeated does not exempt that defendant from long-arm jurisdiction under CPLR 302 (a) (3) (i). Rather, where sporadic use or consumption of goods in New York State yields "substantial revenue," the legislature has provided that the beneficiary of such revenue may be subject to statutory long-arm jurisdiction—even if the income-producing activity is not "regular[ ]" or "persistent" (CPLR 302 [a] [3] [i]; *cf.* concurring op at 537).[5] Here, because the parties do not dispute that the preliminary conditions precedent to a finding of jurisdiction

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5. At least one commentator has reached the same commonsense conclusion. The Practice Commentaries to CPLR 302 correctly recognize that to

(n. cont'd)

(namely, a tort occurring outside the state causing injury to person or property inside the state) have been met, satisfaction of the "substantial revenue" factor alone is sufficient to establish long-arm jurisdiction pursuant to CPLR 302 (a) (3) (i).

B.

Whatever one's conclusion under subparagraph (i), the facts here easily satisfy the "interstate or international commerce" prong of subparagraph (ii).[6] Under the latter subparagraph, personal jurisdiction may be exercised over a non-domiciliary when, among other things, such party (1) "expects or should reasonably expect the act to have consequences in the state"; and (2) "derives substantial revenue from interstate or international commerce" (CPLR 302 [a] [3] [ii]). Both prongs are satisfied based on Brown's personal and active multiple sales of guns to Bostic intended for sale in New York.

With respect to the "interstate or international commerce" prong of this subparagraph, Brown's business cannot "be characterized as 'local' " (*LaMarca*, 95 NY2d at 215). By their nature and intent, gun shows attract out-of-state buyers (*see* Office of the New York State Attorney General, *Target on Trafficking: New York Crime Gun Analysis*, available at https://targettrafficking.ag.ny.gov/ [last accessed Apr. 16, 2019]), and Brown conducted business at shows held along Ohio's "I-75" corridor, which provides easy highway access to buyers from neighboring states including Indiana and Kentucky. Even if we exclude the guns sold to Bostic and the two straw purchasers in this case, approximately 10% of Brown's sales for the period from 1996 to 2005 were of an interstate nature. If we count the guns sold to Bostic and his cohorts, then nearly 15% of Brown's total sales during the subject period were to out-of-state buyers.

With respect to the "direct consequences" prong of subparagraph (ii), that element "is intended to ensure some link be-

"derive[ ] substantial revenue from goods used or consumed . . . in the state" (CPLR 302 [a] [3] [i]) is to establish " 'sufficient contacts with this state so that it is not unfair to require [defendants] to answer [here] for injuries they cause here by acts done elsewhere' " (Vincent C. Alexander, Practice Commentaries, McKinney's Cons Laws of NY, CPLR C302:12, quoting 12th Ann Rep of NY Jud Conf at 339, 343 [1967]).

6. Although unnecessary given the determination that there should be jurisdiction under subparagraph (i), the analysis of subparagraph (ii) is relevant for the reason that it informs the federal due process inquiry to follow in section III of this writing.

tween a defendant and New York State to make it reasonable to require a defendant to come to New York to answer for tortious conduct committed elsewhere" (*Ingraham*, 90 NY2d at 598). That is, "[t]he nonresident tortfeasor must expect, or have reason to expect, that [its] tortious activity in another State will have direct consequences in New York" (*id.*).

It is hard to imagine that Brown did not "expect[ ] or should [have] reasonably expect[ed]" his sales to Bostic "to have consequences in th[is] state" (CPLR 302 [a] [3] [ii]). Brown's commercial relationship with Bostic was not an isolated transaction. Over the course of six months, he sold a total of 181 handguns to Bostic and his associates on six different occasions.

Indeed, on October 8, 2000, Brown sold 85 Hi-Point handguns to Bostic and Upshaw, which Brown described as "the biggest sale" he had "ever made in ten years of owning a[ ] [federal firearms license] and 25 [years] of being in the business." To facilitate that transaction, Brown telephoned a contact at the Federal Bureau of Alcohol, Tobacco and Firearms (ATF) to confirm whether he was obligated to do anything out of the ordinary given the large, cash-only sale.

A review of the transactions in chronological order is enlightening. On May 27, 2000, according to Brown, Bostic told Brown's father-in-law that Bostic "was planning on possibly opening up a couple gun shops in the future, possibly two, one in Columbus, Ohio, one in Buffalo." Brown met Bostic for the first time on June 24, 2000, and Brown stated that, during that meeting, Bostic "said his plans were to open up a shop in Columbus, Ohio, somewhere." At that meeting Bostic also "talked" to Brown "about being from Buffalo" and, in Brown's words, "wanting—you know, he said he wouldn't mind having a shop in Buffalo." In the same conversation, Bostic told Brown that Bostic "had been out to other retail stores and . . . was kind of looking around and seeing how they laid their stores out, that type of thing." That meeting also saw Brown discuss with Bostic "a lot of different items with regard to a retail store opening," including "how many guns [Bostic] should . . . start with" and what "would be a good mix" of inventory.

On October 5, 2000, Upshaw telephoned Brown seeking to purchase from Brown 85 firearms at a gun show to be held a few days later. That request prompted Brown to seek direction from the ATF. In communicating with that bureau on October

6, 2000, about Upshaw's purchase request, Brown related that "they"—namely, Bostic and Upshaw—"planned on opening a store in Ohio, one in Buffalo."

Brown, of course, had every incentive to accurately describe the proposed purchase to the federal official—the point of that conversation was to get the proverbial "green light" for the sale based on what Brown told the ATF. Based on those representations Brown received approval to make the sale, and based on that approval Brown sold Upshaw 85 firearms in the aforementioned cash transaction on October 8, 2000.[7] At bottom, the record clearly reflects that Brown "knew that [the guns were] likely to end up in New York" (*see* Siegel & Connors, NY Prac § 88 at 194 [6th ed 2018]; *cf.* concurring op at 539).

The Judges who concur with the majority believe that Brown's operation was completely confined to Ohio inasmuch as he did not advertise in other states, solicit business in other states, or employ distributors in other states (*see* concurring op at 537). However, Brown's June 24, 2000 interaction with Bostic was simply marketing to someone who sought to distribute Brown's inventory in New York State. In that meeting, which he thought to have lasted for "probably 45 minutes," Brown "share[d] [with Bostic] some of [Brown's] knowledge and experience about being a gun dealer." By Brown's own admission, Bostic told Brown that Bostic was "from Buffalo" and "wouldn't mind having a shop in Buffalo." Critically, before the sale of the weapon that was used to shoot plaintiff, Brown also knew that Upshaw and Bostic had a business link and, in Brown's words, that "*they planned on opening a store . . . in Buffalo*" (emphasis added).[8] Given that evidence, and given the large quantity of guns that Brown sold to Bostic and his associates,[9] the only reasonable conclusion is that Brown served the New

7. The gun with which Caldwell eventually shot plaintiff was sold in this transaction.

8. Remarkably, neither the majority nor the concurring writings acknowledge this statement. Those writings also avoid the elementary rule of this Court that, "[o]n a motion for summary judgment, facts must be viewed 'in the light most favorable to the non-moving party' " (*Vega*, 18 NY3d at 503, quoting *Ortiz v Varsity Holdings, LLC*, 18 NY3d 335, 339 [2011]).

9. The Judges concurring with the majority note that, "[i]n the year 2000, when the firearm sales at issue were made to Bostic, Brown sold only 9 out of 525 firearms to out-of-state residents, accounting for less than 2% of his total sales" (concurring op at 540). That point, however, overlooks the fact that, during the same year, Brown sold 181 guns to Bostic and his associates, which constituted 34% of Brown's gun sales by volume. Although Bostic was an Ohio resident at the time of those sales, the point remains that, when

(n. cont'd)

York market (*see generally Darienzo v Wise Shoe Stores*, 74 AD2d 342, 346 [2d Dept 1980]; *Kernan v Kurz-Hastings, Inc.*, 175 F3d 236, 242 [2d Cir 1999]).

III.

For Brown to be subject to personal jurisdiction the use of "the long-arm statute must comport with federal constitutional due process requirements" (*Rushaid*, 28 NY3d at 330-331, citing *LaMarca*, 95 NY2d at 216; *see generally World-Wide Volkswagen Corp. v Woodson*, 444 US 286, 292 [1980]). To satisfy federal due process demands, two criteria must be met: "[1] a nondomiciliary must have 'certain minimum contacts with [the forum] such that [2] the maintenance of the suit does not offend traditional notions of fair play and substantial justice' " (*Rushaid*, 28 NY3d at 331, quoting *International Shoe*, 326 US at 316). "This is in essence another way of asking what is reasonable" (*LaMarca*, 95 NY2d at 217).

A.

As a majority of this Court concludes today (the Judges who concur with the majority and us), CPLR 302 was "designed to be '*well within* constitutional bounds' (12th Ann Rep of NY Jud Conf at 341 [emphasis added]), and subparagraphs (i) and (ii) of CPLR 302 (a) (3) 'were deliberately inserted' to achieve that goal (*Ingraham v Carroll*, 90 NY2d 592, 596-597 [1997])" (concurring op at 534). A fortiori, if a non-domiciliary's actions satisfy CPLR 302 (a) (3) requirements, then the same conduct satisfies the federal minimum contacts test.[10]

Nevertheless—and without any explanation—the majority, including the Judges who prefer to resolve this case on statutory grounds, holds that this is indeed one of these rare cases where the long-arm statute is out of step with federal due pro-

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those transactions were made, Brown knew of Bostic's intent to *resell those weapons in New York State*.

10. We have no occasion to opine whether, based on recent United States Supreme Court case law, CPLR 302 (a) (3) "must be read more narrowly than some New York cases have done" (*see* Oscar G. Chase & Lori Brooke Day, *Re-Examining New York's Law of Personal Jurisdiction after Goodyear Dunlop Tires Operations, S.A. v. Brown and J. McIntyre Machinery, Ltd. v. Nicastro*, 76 Alb L Rev 1009, 1011, 1039-1052 [2013]; *see also J. McIntyre Machinery, Ltd. v Nicastro*, 564 US 873, 885-887 [2011, Kennedy, J., plurality]). It also is unnecessary in the context of this appeal to determine whether the outer boundary of section 302 (a) (3) and the minimum contacts test under the Fourteenth Amendment are doctrinally coterminous.

cess (*see D&R Global Selections, S.L. v Bodega Olegario Falcon Pineiro*, 29 NY3d 292, 300 [2017]). Exactly why is unclear. The majority does not deign to explain to the lower courts how due process doctrine changed so as to suddenly make CPLR 302 exceed permissible constitutional bounds. It also refuses to explain why, if CPLR 302 is indeed unconstitutional as applied to Brown, we would not construe it to return to its proper place well within constitutional bounds (*cf.* concurring op at 534-535; *Overstock.com, Inc. v New York State Dept. of Taxation & Fin.*, 20 NY3d 586, 593 [2013] ["courts must avoid, if possible, interpreting a presumptively valid statute in a way that will needlessly render it unconstitutional"]; *Fantis Foods v Standard Importing Co.*, 49 NY2d 317, 327 [1980] [courts must construe statutes to "avoid grave doubts concerning (the statutes') constitutionality"]; *see also* Vincent C. Alexander, Practice Commentaries, McKinney's Cons Laws of NY, CPLR C302:11). However, given that the majority rests its decision solely on the absence of "minimum contacts" (*see* majority op at 528), we explain why that analysis is at odds with the law and the facts.

This Court has held that the requisite "minimum contacts exist where a defendant 'purposefully avails itself of the privilege of conducting activities within the forum State' " (*Rushaid*, 28 NY3d at 331, quoting *LaMarca*, 95 NY2d at 216). That test has "has come to rest on whether a defendant's 'conduct and connection with the forum State' are such that it 'should reasonably anticipate being haled into court there' " (*LaMarca*, 95 NY2d at 216, quoting *World-Wide Volkswagen*, 444 US at 297; *see Rushaid*, 28 NY3d at 331). "A non-domiciliary tortfeasor has 'minimum contacts' with the forum State—and may . . . reasonably foresee the prospect of defending a suit there—if it ' "purposefully avails itself of the privilege of conducting activities within the forum State" ' " (*LaMarca*, 95 NY2d at 216, quoting *World-Wide Volkswagen*, 444 US at 297, quoting *Hanson v Denckla*, 357 US 235, 253 [1958]).

The majority's view of minimum contacts is unsupported by United States Supreme Court jurisprudence. For example, in the seminal case of *World-Wide Volkswagen Corp. v Woodson* (444 US 286 [1980]), the Supreme Court distinguished cases in which manufacturers purposefully direct their products into a forum state from those in which the product entered the forum by happenstance. In *World-Wide Volkswagen*, Seaway Volkswagen—a New York car dealer—sold an Audi vehicle to a family that lived in New York. The family later left this state for a new home in Arizona. As the family passed through Oklahoma, another car struck the Audi in its rear, "causing a fire which severely burned [a plaintiff spouse] and her two children" (*id.* at 288).

The family subsequently commenced a products liability action in Oklahoma against, among others, Seaway and World-Wide Volkswagen Corp., which distributed the Audi, alleging that the family's "injuries resulted from defective design and placement of the Audi's gas tank and fuel system" (*id.*). The United States Supreme Court concluded that jurisdiction against Seaway and World-Wide Volkswagen "failed because [those] New York defendants could not reasonably foresee being sued in Oklahoma based on 'the fortuitous circumstance that a single Audi automobile, sold in New York to New York residents, happened to suffer an accident while passing through Oklahoma' " (*LaMarca*, 95 NY2d at 216-217 [discussing *World-Wide Volkswagen*, 444 US at 295]). "[I]f the sale of a product of a manufacturer or distributor . . . is not simply an isolated occurrence, but arises from the efforts of the manufacturer or distributor to serve, directly or indirectly, the market for its product in other States," the Supreme Court ruled that it would not be "unreasonable to subject it to suit in one of those States if its allegedly defective merchandise has there been the source of injury to its owner or to others" (*World-Wide Volkswagen* at 297).

World-Wide Volkswagen's "no happenstance" rule applies here in support of personal jurisdiction in New York. The evidence establishes that Brown intended to serve the New York State market.[11] Viewed, as it must be, in the light most favorable to plaintiffs (*see Vega*, 18 NY3d at 503), the evidence reflects that—before the subject sales—Brown knew that Bostic was "from Buffalo" and that Bostic "planned on opening a store . . . in Buffalo" (*cf.* majority op at 529-530). Indeed, Brown thought it significant to advise an ATF agent that Bostic intended to sell guns in Buffalo. Given that evidence, Brown clearly served the New York market when he sold a large quantity of guns to

11. The fact that Brown did not hire Bostic as his distributor is of no moment because Bostic was a de facto distributor of Brown's firearms—reselling guns in Buffalo that were sold to him by Brown with Brown's knowledge of their intended New York destination. This arrangement proved profitable time and time again, and constitutes Brown's "purposeful availment" of the New York gun market, "with the expectation that [his products would] be purchased by consumers in [this] State" (*World-Wide Volkswagen*, 444 US at 298).

Bostic and his cohorts knowing that those weapons were headed for the New York market.[12]

The majority reaches a different conclusion, reasoning that the travel of the subject guns from Ohio into New York State was merely a "fortuitous circumstance" that arose "through no marketing or other effort of defendant" (majority op at 528 [internal quotation marks omitted]). We respectfully disagree. The evidence the parties placed before the motion court shows, in relevant part, Brown availed himself of the New York market by selling weapons to Bostic, who Brown understood would resell them in New York State. Bostic did not buy 181 identical guns for his personal use in Ohio.[13]

Nevertheless, the majority has broken new ground in interpreting the "minimum contacts" requirement stringently in this case—and in contravention of our precedent. The majority's approach shields gun traffickers and their suppliers from civil liability in New York. It has done so without citation to any authority that squarely supports its result, or any explanation as to why this is one of those "rare" instances in which the minimum contacts necessary to satisfy federal due process requirements are not present even though the long-arm jurisdiction is proper pursuant to CPLR 302 (*see D&R Global Selections*, 29 NY3d at 300; *Rushaid*, 28 NY3d at 331).

B.

To break that new ground, the majority joins the Appellate Division (*see* 159 AD3d at 157) in depending heavily upon *Walden v Fiore* (571 US 277 [2014]). Like the concurrence here, the

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12. Contrary to the majority's suggestion, we do not theorize that Brown and Bostic conspired "to sell guns on the New York black market" (majority op at 530 n 1).

13. Unsurprisingly, the civil personal jurisdiction jurisprudence of the United States Supreme Court and of our Court has developed solely in matters involving legitimate business enterprises (*see LaMarca*, 95 NY2d at 213 [manufacturer of garbage hauling equipment]; *see also Burger King Corp. v Rudzewicz*, 471 US 462, 464 [1985] [fast food]; *World-Wide Volkswagen*, 444 US at 28 [automobile manufacturer]; *International Shoe*, 326 US at 313 [travelling shoe salesmen]). That jurisprudence does not translate wholesale to cases in which minimum contacts, fair play, and substantial justice are applied to allegedly negligent or wrongful sales that affected the subject forum through a criminal enterprise. Although this question has not yet been litigated on the merits, if plaintiffs prove at trial that Brown knew or should have known that Bostic intended to sell guns illegally, then it would follow that Bostic specifically identified Ohio and New York as the states in which he expected to sell those guns illegally, and Brown would knowingly have supplied him the means of doing so.

Appellate Division concluded that Brown lacks the minimum contacts with New York based on evidence submitted by Brown that showed, among other things, that Great Lakes "was an Ohio retailer permitted to sell guns within Ohio only" (159 AD3d at 157); that "during the relevant period from 1996 to 2005, [Great Lakes] did not maintain a website, had no business telephone listing, did not advertise in New York" (*id.* at 157-158); and that Great Lakes "made its retail sales and transfers to customers present in Ohio" (*id.* at 158; *see* concurring op at 539). Like the majority here, the Appellate Division also coupled those facts with snippets from *Walden* (571 US 277), to the effect that the minimum contacts "must arise out of contacts that the 'defendant himself' creates with the forum State" (*id.* at 284 [emphasis omitted], quoting *Burger King*, 471 US at 475), or that Brown must have "purposefully 'reach[ed] out beyond' " Ohio and into New York (*Walden*, 571 US at 285). "Instead," in the words of the Appellate Division, "Bostic and his associates came to Ohio [trade] shows where they purchased [the subject guns] and then unilaterally elected to transport them to Buffalo for resale on the illegal market" (159 AD3d at 158; *see* majority op at 529-530).

There are at least two flaws with that analysis. *First*, the facts of *Walden* are inapposite to those of this case. In *Walden*, gamblers travelling from Puerto Rico to Nevada happened to change planes in Atlanta, where a DEA agent, alerted by a drug-sniffing dog, intercepted a large quantity of cash they were carrying. The gamblers sued the DEA agent in Nevada, seeking return of the monies. The United States Supreme Court held that the agent "lack[ed] the minimal contacts with Nevada that are a prerequisite to the exercise of jurisdiction over him" (571 US at 288 [internal quotation marks omitted]). In so holding, the Court relied on the following facts: (1) "no part of [the DEA agent's] course of conduct occurred in Nevada" (*id.*); (2) the agent "approached, questioned, and searched [the plaintiffs], and seized the cash at issue, in the Atlanta airport" (*id.*); (3) the agent drafted the probable cause affidavit in Georgia and submitted it to a Georgia attorney (*id.*); and (4) the agent "never traveled to, conducted activities within, contacted anyone in, or sent anything or anyone to Nevada" (*id.* at 288-289).

Here, Brown sold the subject guns to Bostic (and Upshaw) in Ohio knowing that Bostic intended to re-market those goods in Buffalo. Unlike *Walden*, where the non-domiciliaries lacked *any* contacts and without even *indirect* interaction with the forum, Brown "purposefully directed his activities at residents of the forum" and plaintiffs' "litigation results from alleged injuries that arise out of or relate to those activities," establishing personal jurisdiction over Brown in New York State (*Burger King*, 471 US at 472 [internal quotation marks omitted]). Similarly, *Walden* does not justify the invocation of federal due process grounds so as to suppress the interests of residents of New York in seeking recovery for personal injuries allegedly sustained as a result of the negligent distribution and sale of handguns.[14]

Second, the best analogy to Supreme Court precedent that may be drawn here is not to *Walden* (571 US 277), but to *Calder v Jones* (465 US 783 [1984]). There, the Supreme Court ruled the aiming of allegedly libelous statements about a California resident at the California market was sufficient to establish jurisdiction in California over the editor and author of the magazine story in which those statements were made. Although the reporter and the editor prepared the story almost entirely in Florida and had no relevant contacts with California (*see id.* at 785-786), the Supreme Court concluded that the California circulation of the magazine in which that story was published supported the assertion of jurisdiction in California over those Florida defendants (*see id.* at 789).

Underpinning that conclusion was the Supreme Court's observation that "[a]n individual injured in California[—the

14. The remaining authorities cited by the majority merely consider the legal standard used to answer the question whether the application of long-arm jurisdiction here comports with federal due process considerations. *International Shoe* (326 US 310) formulated the "minimum contacts" theory of personal jurisdiction, which provides, that among other things, for a defendant not present within the territory of the forum to be subject to a judgment therein, he must have a threshold level of association—minimum contacts—with that forum (*see id.* at 316; *see also Milliken v Meyer*, 311 US 457, 463 [1940]). *International Shoe* also deemed amenable to suit in the State of Washington a corporation that was headquartered in Missouri and that employed a team of salespersons in the State of Washington (*see International Shoe*, 326 US at 313, 320).

Those facts have no relation to those of this case, much as the facts of the other case on which the Judges concurring with the majority rely have no similarity to those of this matter. *World-Wide Volkswagen* (444 US 286), as noted, considered a failed effort to assert long-arm jurisdiction over defendants that retailed a vehicle that was sold in New York and that found its way into Oklahoma—where the accident occurred and where an action against those defendants was commenced—without any even indirect attempt of those defendants to serve that market.

forum state—]need not go to [a different state] to seek redress from persons who, though remaining in [that different state], knowingly cause injury in [the forum state]" (*id.* at 790). The same principle should apply here. Much as the injury-producing magazine article in *Calder* (465 US 783) was "expressly aimed at California" (*id.* at 789), the allegedly negligent sale and distribution of firearms here was aimed at New York State inasmuch as Brown knew that Bostic had ties to Buffalo, and that Bostic and Upshaw "planned on opening a store . . . in Buffalo" before he sold a large quantity of handguns to them.

This Court's own decision in *LaMarca v Pak-Mor Mfg. Co.* (95 NY2d 210 [2000]) also supports jurisdiction over Brown. There, we concluded that a sanitation equipment manufacturer that "ha[d] no property, offices, telephone numbers or employees in this State," but that did "maintain a New York distributor . . . and a district representative" (*id.* at 213), had minimum contacts with this state (*id.* at 216). Specifically, under those facts, we determined that the manufacturer "took purposeful action, motivated by the entirely understandable wish to sell its products here" (*id.* at 217), and therefore "had every reason to foresee that its self-initiated contact with New York raised the prospect of defending [the subject lawsuit]" (*id.*). Similarly, here, Brown's actions in supplying a gun trafficker whom Brown knew to serve the New York market supports the conclusion that Brown's actions were "expressly aimed" at New York, and that courts of this state should have jurisdiction over him (*see id.*; *see also Darrow v Hetronic Deutschland*, 119 AD3d 1142, 1144 [3d Dept 2014] ["In view of (a) purposeful distribution arrangement, . . . (the) defendant sought to indirectly market its product in New York and, thus, should have reasonably expected a manufacturing defect to have consequences in this state"]).

The conclusion that the "minimum contacts" threshold cannot be met here also ignores *Burger King Corp. v Rudzewicz* (471 US 462 [1985]), which stands for the proposition "the Due Process Clause may not readily be wielded as a territorial shield to avoid interstate obligations that have been voluntarily assumed" (*id.* at 474). In that case, the Supreme Court concluded that Michigan residents who negotiated with a Florida corporation (Burger King) for the purchase of a franchise to be located in the Detroit, Michigan area were subject to long-arm jurisdiction in Florida—even though one of the defendants "did not maintain offices in Florida and . . . never even visited there" (*id.* at 478-479). That conclusion rested in part on the principle that "[a] State generally has a 'manifest interest' in providing its residents with a convenient forum for redressing injuries inflicted by out-of-state actors" (*id.* at 473), and in part on the idea that, "where individuals 'purposefully derive benefit' from their interstate activities, it may well be unfair to allow them to escape having to account in other States for consequences that arise proximately from such activities" (*id.* at 473-474 [citation omitted]). Indeed, the Court added, "the Due Process Clause may not readily be wielded as a territorial shield to avoid interstate obligations that have been voluntarily assumed" (*id.* at 474).

Shielding is precisely what has happened in this case. Faced with a dearth of authorities to support their conclusion that our long-arm jurisdiction statute has suddenly become unconstitutional as applied, the majority nevertheless applies the Federal Constitution to reach precisely the opposite conclusion to that reached by the United States Supreme Court. The Supreme Court has explained, "[j]urisdiction is proper . . . where the contacts proximately result from actions by the defendant himself that create a substantial connection with the forum State" (*id.* at 475 [internal quotation marks and emphasis omitted]). That connection need not arise from activities within a state; rather, it may inure where a nonresident simply "purposefully directs his [or her] activities toward forum residents" (*id.* at 473 [internal quotation marks omitted]).

Here, Bostic effectively acted as a distributor of Brown's products in this state. The record reflects that Brown marketed to Bostic as a New York State businessperson in an effort to move Brown's inventory. At his deposition, Brown acknowledged that Upshaw was with Bostic when Brown met with Bostic at a June 2000 gun show, that Upshaw knew about the stores that Bostic intended to open, and that Brown knew that Upshaw planned to open the stores with Bostic. At the same meeting, Bostic and Upshaw collectively purchased 13 guns from Brown; five were purchased by Bostic, and eight were bought by Upshaw. Brown "had some assumptions" that Bostic and Upshaw were partners at that time and, as of September 2000, he thought that Bostic and Upshaw might be "dealers."

Brown also acknowledged that his interaction with Bostic included "a lot of talk regarding . . . a retail shop . . . , how many [of the subject devices Bostic] should . . . start with, [what] would be a good mix[, and] . . . different items with regard to a retail store opening." That conversation lasted "probably 45 minutes," and the record reflects such dialogue occurred before the subject sale.

Consequently, Brown's sales to Bostic (in an enterprise that flirted with the bounds of legality, as evinced by Bostic's plea of guilty to federal crimes arising from these transactions) undoubtedly benefitted Brown by expanding his market beyond local purchasers to New York distributors. Brown purposefully derived benefit from the resale of guns Brown sold to people whom he knew to be New York distributors (*see generally id.* at 473-474). Thus, Brown's conscious sale of weapons to be marketed and sold in New York satisfies the minimum contacts test.

C.

The majority, having concluded that minimum contacts do not exist, has no occasion to consider whether personal jurisdiction offends " 'notions of fair play and substantial justice' " (*Rushaid*, 28 NY3d at 331, quoting *International Shoe*, 326 US at 316). It does not.

"Once it has been decided that a defendant purposefully established minimum contacts within the forum State, these contacts may be considered in light of other factors to determine whether the assertion of personal jurisdiction would comport with 'fair play and substantial justice' " (*Burger King*, 471 US at 476, quoting *International Shoe*, 326 US at 320). The fair play element is one of rationality; "[w]here minimum contacts exist, the defendant has the burden to 'present a compelling case that the presence of some other considerations would render jurisdiction unreasonable' " (*D&R Global Selections*, 29 NY3d at 300, quoting *LaMarca*, 95 NY2d at 217-218). The question whether personal jurisdiction is reasonable specifically turns on five factors: " 'the burden on the defendant' "; " 'the forum State's interest in adjudicating the dispute' "; " 'the plaintiff's interest in obtaining convenient and effective relief' "; " 'the interstate judicial system's interest in obtaining the most efficient resolution of controversies' "; and " 'the shared interest of the several States in furthering fundamental substantive social policies' " (*Rushaid*, 28 NY3d at 331, quoting *Burger King*, 471 US at 477; *see World-Wide Volkswagen*, 444 US at 292).

In this case, each factor favors adjudicating plaintiffs' claims in New York.[15] First, the burden on Brown would be essentially nothing because he is already involved in this litigation as the sole owner and chief executive of MKS, which has not contested personal jurisdiction in New York. Second, New York's interest in adjudicating this dispute is high. Plaintiffs are New York residents whose claims stem from serious injuries that occurred within New York as a result of the illegal trafficking of firearms into New York. Third, plaintiffs have a strong interest in adjudicating their claims in this state: they reside in New York and Williams was shot here. Fourth, resolving plaintiffs' claims against Brown in New York is the most efficient use of interstate judicial resources because plaintiffs have already alleged related claims against other defendants stemming from the same gun sales. Requiring them to initiate a separate parallel action in Ohio against Brown—who, irrespective of this Court's decision, will remain involved in the New York proceeding as sole owner and CEO of MKS—will waste interstate judicial resources.

Fifth, and perhaps most significantly, subjecting Brown to jurisdiction in New York will "further[ ] fundamental substantive social policies" (*Asahi Metal Industry Co. v Superior Court of Cal., Solano Cty.*, 480 US 102, 113 [1987]). Principles of federalism and comity support exercising jurisdiction over dealers like Brown who supply the illegal interstate gun market. It will be for a trial on the merits (or, perhaps, multiple trials, conducted contemporaneously in New York as to the defendants remaining in this suit and in Ohio against Brown) to establish what Brown knew and whether—as plaintiffs have been allowed to plead (*see* 100 AD3d 143)—he violated federal law such as to give rise to tortious liability.

However, assuming plaintiffs will succeed on the merits, it is clear that New York has a very substantial interest in protecting its citizens by imposing tort liability on gun sellers who violate federal law. A recent study conducted by the Office of the Attorney General of New York State shows that "law enforcement agencies . . . frequently disrupt[ ] gun trafficking schemes that purchase firearms, predominately handguns, in

15. In his brief to this Court, Brown addresses only the first factor, contending that it would be "an unreasonable burden on him" to face suit in New York because he "is an Ohio resident doing business exclusively in the state of Ohio." He has not contested that the remaining factors support exercise of jurisdiction.

states south of New York . . . and that transport the weapons to New York markets" (Office of the New York State Attorney General, *Target on Trafficking: New York Crime Gun Analysis*, available at https://targettrafficking.ag.ny.gov/ [last accessed Apr. 16, 2019]). Downstate areas are supplied by a stream of trafficked firearms that flow into New York State along the Interstate 95 corridor from states including Pennsylvania, Virginia, North Carolina, South Carolina, Georgia, and Florida. That steady stream of firearms flowing from those "exporter" or "supplier" states has been nicknamed "the Iron Pipeline," and the Attorney General's study reflects that, at one point, approximately 75% of the likely-trafficked guns in New York City entered the state through that channel (*see id.*).

The Buffalo area, in turn, is supplied in trafficked weapons principally by guns sold in and moved from Pennsylvania, Georgia, and Ohio (*see id.*). The flow of trafficked guns into New York State from all of the aforementioned states should come as no surprise. "From New York's vantage point, the correlation between state and local laws and the source of trafficked guns is undeniable" (*id.*). Gun laws in "Iron Pipeline" states and in Ohio are lax, while the gun control laws in New York State are strong. It follows that the direct links between those areas and New York State provided by, among other things, interstate highways, have made them "become the source-of-choice among gun traffickers running guns into New York" (*id.*).

That data contained in that study, of course, is insufficient to establish that Brown himself accepted the benefits of the New York State economy, or that this state was an anticipated marketplace for those weapons. That study, however, also reflects the obvious point that gun shows in states with weak gun control laws attract out-of-state buyers. This state is entitled to protect its citizens from the effects of those weak gun control laws by telling out-of-state gun sellers—including and indeed especially legitimate ones—that they must take every precaution to avoid supplying gun traffickers and will be held accountable when they negligently fail to do so. Under our federal system, Ohio is free to regulate firearms differently, but it has no legitimate interest in serving as a marketplace for gun traffickers and those who seek to flout New York's laws.

IV.

All of the guns sold by Brown to Bostic and his associates were Hi-Point 9 millimeter semi-automatic pistols, which plaintiffs have characterized as a "Saturday Night Special"—that is, as an "inexpensive, low quality, easily concealable gun that has little or no sporting value or utility." Stated differently, and as accurately described by plaintiffs, those weapons "are cheap, low quality, easily concealable guns that are disproportionately used by criminals and widely recognized as having little or no legitimate value or utility." In short, they are "junk guns," practically purposed only to cause harm to other human beings.

The shows at which Brown sold those weapons were held in Ohio, where gun control laws are less strict than the laws of New York. In point of fact, according to plaintiffs, in the 12 years leading up to the sale of the subject guns to Bostic, the ATF has determined that over 10,000 guns sold by Beemiller have been used in crimes. That figure, of course, represents only the guns the ATF was able to successfully trace following a gun crime.

Tracing of such weapons has also revealed that about 100 of the guns brought by Bostic into New York State were used for criminal purposes. News accounts of the wide-ranging and tragic consequences of Bostic's actions starkly portray the menace that he was to the Buffalo community:

> "The crack of gunfire got louder and more frequent on Buffalo streets after . . . Bostic . . . illegally sold [the weapons he purchased at Ohio gun shows] on the city streets to any drug dealer, petty thief or gang member who wanted a cheap pistol. The weapons [were] tied to murders, assaults, robberies and kidnappings. Some were used to shoot at police. And the violence continue[d] [unchecked through at least 2005]" (*Gun by Gun: Five Years of Damage Done by Weapons James Nigel Bostic Bought from Ohio Gun Dealers*, Buffalo News, June 12, 2005, available at https://buffalonews.com/2005/06/12/gun-by-gun-five-years-of-damage-done-by-weapons-james-nigel-bostic-bought-from-ohio-gundealers/ [last accessed Apr. 4, 2019]).

This case cries out for the Court to simply apply the rule of law. Perversely, the Court's decision today elevates Ohio gun laws over our own. Apart from the injustice done here, the majority's erroneous holding has statewide impact as it shields gun traffickers and their suppliers from civil liability in this state, imperiling the public and undermining the public policy of our own gun laws.

Such an outcome is not compelled by—and, in fact, is contrary to—our law[16] and the requirements of federal due process. Indeed, the law of the United States Supreme Court and this Court *strongly supports* the application of long-arm jurisdiction where, as here, Brown at least indirectly served the marketplace in this state (*see generally World-Wide Volkswagen*, 444 US at 297-298) and purposefully and voluntarily derived a benefit from interstate activity (*see generally Burger King*, 471 US at 474, 478-479) aimed at this state (*see generally Calder*, 465 US 783; *LaMarca*, 95 NY2d at 215).

The nature of the device in question—a gun that was one of many such devices sold by Brown to Bostic in conjunction with Bostic's announced efforts to establish a foothold in the New York State marketplace—lends even greater support to the application of personal jurisdiction in New York. Where, as here, "a defendant deals in . . . inherently dangerous products, a lesser showing than is ordinarily required will support jurisdiction" (*City of New York v A-1 Jewelry & Pawn, Inc.*, 501 F Supp 2d 369, 420 [ED NY 2007]). "[A] . . . defendant who deals in handguns should expect to be held accountable on a lesser showing than one who sells something as harmless as rubber bands" given the "inherent interest" the state has in the dangerous product (*id.*), and it follows that federal courts have recognized that due process is satisfied and that jurisdiction can be exercised over out-of-state firearms suppliers who sold guns that are trafficked over state lines (*see e.g. id.*; *Johnson v Bryco Arms*, 304 F Supp 2d 383 [ED NY 2004]).

We should reach the same conclusion in this case. The courts of this state may exercise personal jurisdiction over Brown in this matter. The exercise of that long-arm jurisdiction comports

16. If the shoe was on the other foot here—that is, if Ohio attempted to assert long-arm jurisdiction over a New York resident who was alleged to have negligently sold and distributed a firearm to a black-market dealer whose trafficking of that gun in Ohio led to the shooting of an Ohio resident—the result would be the same. The Ohio long-arm statute allows a court to "exercise personal jurisdiction over a person who acts directly or by an agent, as to a cause of action arising from the person's . . . [c]ausing tortious injury in [Ohio] by an act or omission outside [Ohio] if [the person] . . . derives substantial revenue from goods used or consumed or services rendered in [Ohio]" (Ohio Rev Code Ann § 2307.382 [A] [4]).

with federal due process.[17] There is simply no basis, in law, to deny Daniel and his father their day in court against Brown.

We respectfully dissent.

Judges STEIN, GARCIA and FEINMAN concur; Judge FEINMAN in a concurring opinion in which Judge GARCIA concurs; Judge FAHEY dissents in an opinion in which Judges RIVERA and WILSON concur.

Order affirmed, with costs.

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17. In view of our conclusions, we have no occasion to address plaintiffs' alternative contentions that jurisdiction should be conferred over Brown on the ground that MKS is his agent or an alter ego.

[130 NE3d 862, 106 NYS3d 266]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JAIME LOPEZ-MENDOZA, Appellant.

Argued May 2, 2019; decided June 13, 2019

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered November 28, 2017. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Jill Konviser, J.), as amended, which had convicted defendant, upon a jury verdict, of rape in the first degree.

People v Lopez-Mendoza, 155 AD3d 526, affirmed.

HEADNOTES

Crimes — Right to Counsel — Effective Representation — Failure to Review Surveillance Video Evidence — Insufficient Record

1. The record in defendant's rape prosecution was insufficient to show that defendant was denied the effective assistance of counsel based on trial counsel's alleged failure to review or to comprehend the significance of surveillance video evidence contradicting defendant's grand jury testimony of a consensual sexual encounter with the victim and to call defendant to the stand after promising in his opening statement to do so. Although it cannot be said that a total failure to investigate the facts of a case, or review pertinent records, constitutes a trial strategy resulting in meaningful representation, the limited record in this case did not conclusively establish that counsel was ineffective. On its own, the decision not to call a witness after promising to do so does not establish ineffective assistance of counsel as a matter of law. Further, the jury never learned of defendant's grand jury testimony and he was never subjected to cross-examination with it. But on the record, it could not be determined whether that was part of a strategy employed by counsel, because the record did not address defense counsel's strategic trial decisions, if any. In addition, because the question of whether counsel viewed the entirety of the surveillance footage was never addressed head on, the record did not indicate whether defense counsel reviewed the video before determining a trial strategy. Accordingly, it could not be determined whether, before trial, counsel reviewed and understood the import of the video evidence. Moreover, it was also possible—and undeterminable on the record—that defendant, having heard the trial evidence, himself decided not to testify.

Crimes — Harmless and Prejudicial Error — DNA Evidence Not Relevant to Determinative Issue

2. In a rape prosecution, any error in admitting DNA evidence in violation of defendant's Sixth Amendment rights by allowing an analyst who did not generate the DNA profile taken from defendant's buccal swab to testify at trial was harmless, where the DNA evidence did not go to the determinative

issue of consent. The issue was whether the victim consented to sexual contact with defendant; identification was not at issue.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Appellate Review §§ 610, 613, 658; AM JUR 2d Criminal Law §§ 1111–1116; AM JUR 2d Evidence §§ 995, 1013.

CARMODY-WAIT 2d Right to Counsel § 184:162; CARMODY-WAIT 2d Appeals in Criminal Cases §§ 207:125, 207:184.

LAFAVE, ET AL., CRIMINAL PROCEDURE (4th ed) §§ 11.10, 27.6.

NY JUR 2d Criminal Law: Procedure §§ 862, 867, 869, 2264, 3672, 3673, 3676, 3677.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Attorneys; DNA; Harmless and Prejudicial Error.

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POINTS OF COUNSEL

Christina Swarns, Office of the Appellate Defender, New York City (*Eunice C. Lee* of counsel), for appellant. I. Jaime Lopez-Mendoza was denied effective assistance of counsel where his trial attorney failed to properly review the surveillance video provided to him by the prosecution before trial, and then pursued a defense theory, and promised Mr. Lopez-Mendoza's testimony in support of it, that would be shown to be false when the video was later played at trial. (*People v Henriquez*, 3 NY3d 210; *Strickland v Washington*, 466 US 668; *People v Benevento*, 91 NY2d 708; *Rompilla v Beard*, 545 US 374; *People v Oliveras*, 21 NY3d 339; *People v Droz*, 39 NY2d 457; *People v Graham*, 129 AD3d 860; *People v Donovan*, 184 AD2d 654; *People v Echavarria*, 167 AD2d 138; *People v McCray*, 140 AD3d 794.) II. Jaime Lopez-Mendoza's Sixth Amendment right to confront his accusers was violated where there was no evidence that the analyst who testified at trial played any role in generating his or the complainant's DNA profiles or independently analyzed the raw data. (*Bullcoming v New Mexico*, 564

US 647; *People v John*, 27 NY3d 294; *Crawford v Washington*, 541 US 36; *Melendez-Diaz v Massachusetts*, 557 US 305; *People v Austin*, 30 NY3d 98; *People v Goldstein*, 6 NY3d 119.)

Cyrus R. Vance, Jr., District Attorney, New York City (*Susan Axelrod* and *Susan Gliner* of counsel), for respondent. I. The Appellate Division correctly rejected defendant's claim that his trial counsel was ineffective. (*People v Baldi*, 54 NY2d 137; *People v Oliveras*, 21 NY3d 339; *People v Turner*, 5 NY3d 476; *Strickland v Washington*, 466 US 668; *Hinton v Alabama*, 571 US 263; *People v Flores*, 84 NY2d 184; *People v Benevento*, 91 NY2d 708; *People v Caban*, 5 NY3d 143; *People v Jones*, 55 NY2d 771.) II. The DNA was properly admitted and, in any event, any error was harmless. (*People v John*, 27 NY3d 294; *People v Brown*, 13 NY3d 332; *People v Thompson*, 70 AD3d 866; *Crawford v Washington*, 541 US 36; *Davis v Washington*, 547 US 813; *Melendez-Diaz v Massachusetts*, 557 US 305; *Bullcoming v New Mexico*, 564 US 647; *Williams v Illinois*, 567 US 50; *People v Austin*, 30 NY3d 98; *People v Pascall*, 164 AD3d 1265.)

OPINION OF THE COURT

Wilson, J.

Defendant Jaime Lopez-Mendoza challenges his conviction of first-degree rape on two grounds: (1) he was denied the effective assistance of counsel because his trial attorney failed to review, or failed to comprehend the significance of, surveillance video evidence contradicting his grand jury testimony of a consensual sexual encounter with the victim, and therefore proceeded at trial as if the grand jury testimony were true; and (2) the introduction of DNA evidence violated his Sixth Amendment rights, because the analyst who testified at trial did not generate the DNA profile taken from his buccal swab. On the present record, defendant has not carried his burden of demonstrating ineffective assistance of counsel and the introduction of the DNA evidence was harmless even if erroneous. We therefore affirm.

I.

A young couple drove to Manhattan on the day after Christmas, 2009. They checked into room 205 of a hotel at 7:14 p.m. After a night out with friends in New York City, they returned to their hotel at 2:37 a.m. on December 27. Intoxicated, they were unable to unlock the door to their room. Mr.

Lopez-Mendoza, a hotel employee, appeared and opened the door using one of their card keys. According to the couple, they both passed out on top of the hotel bed almost immediately. According to the victim, she was awakened by a person having sexual contact with her. She thought it was her boyfriend and stopped the encounter. She was again awakened during the act of sexual intercourse. Realizing the person was not her boyfriend, who was still asleep next to her in the bed, she began screaming. She testified seeing a bump under the covers and a figure, low to the ground, scuttling out of the room. Her screams awakened her boyfriend. After the victim dressed, the pair bolted into the hallway. They saw no one. Believing her assailant was next door in room 206, the victim pounded on that door, still screaming. At 3:40 a.m., the hotel sent a security guard to the second floor in response to noise complaints. Several minutes later, the hotel sent Mr. Lopez-Mendoza to assist the guard. When Mr. Lopez-Mendoza appeared, the victim identified him as her attacker, which resulted in a further disturbance. Both the hotel personnel and the victim called 911. The police responded.

When first interviewed by a police officer, Mr. Lopez-Mendoza said that he had assisted the couple to enter their room, and no more. The police officers left, and Mr. Lopez-Mendoza continued his shift at work. The officers returned, and one officer interviewed Mr. Lopez-Mendoza at 6:15 a.m., obtained his work uniform (which he had placed in a laundry bin), and asked him to tell the truth. Mr. Lopez-Mendoza told the officer that "he had sex with her but he didn't force himself on her." The officers arrested him.

Two days later, Mr. Lopez-Mendoza executed a waiver of immunity pursuant to CPL 190.45 and testified voluntarily before a grand jury, in the presence of his attorney. Mr. Lopez-Mendoza testified in great detail as to the events at the hotel, saying that just after he opened the couple's room door for them, he and the woman, at her insistence, had consensual sex on the bed where her boyfriend lay sleeping. Both the prosecutor and the grand jurors had questions for Mr. Lopez-Mendoza, and he reiterated this version of the events several times, adding details about his use and disposal of a condom.

At some point after his grand jury testimony and before trial, the People delivered to defense counsel a substantial volume of hotel surveillance video. The hotel had surveillance video of the ground floor and lower levels but not of the guestroom floors. The surveillance video shows that the couple entered the hotel lobby at 2:37 a.m. The hotel's computer records show that the room's lock was opened at 2:38 a.m. The video also shows that Mr. Lopez-Mendoza exited the basement elevator at 2:40 a.m., went to the utility area and left through the employees' entrance, returning through the lobby at 2:42 a.m. to get an umbrella from the front desk, and then exited the hotel. It then shows him returning to the hotel at 3:09 a.m. through the employees' entrance, going to the men's locker room, and entering the service elevator at 3:11 a.m. At 3:38 a.m., the video shows him exiting the service elevator and taking a large garbage bag to the laundry area.

DNA from saliva recovered from the victim's breast matched Mr. Lopez-Mendoza's, but the vulva swabs did not contain his DNA. Defendant was indicted for the crimes of rape in the first degree, criminal sexual act in the first degree, and two counts of sexual abuse in the first degree on the theory that the sexual acts were nonconsensual due to the physical helplessness of the victim.

Approximately a month before trial, the People advised defense counsel that surveillance video evidence demonstrated the falsity of Mr. Lopez-Mendoza's grand jury testimony. The parties agree that the video demonstrates that Mr. Lopez-Mendoza's grand jury testimony is false, because he could not have had sex with the complainant within the three minutes between the couple's entry into the hotel lobby on the way to their room and Mr. Lopez-Mendoza's exiting the elevator in the basement.

In his opening, defense counsel nevertheless hewed to the timeline his client had given to the grand jury, advising the jury that it would "learn from the defendant that [the victim] appeared to be in an amorous mood . . . starts suggesting to him that he should come into the room . . . [and] starts taking some clothing off." Mr. Lopez-Mendoza bases his ineffective assistance claim on the premise that his trial counsel's opening statement proves that counsel did not review the video evidence or did not understand its importance.

Mr. Lopez-Mendoza points to a mid-trial colloquy that, he asserts, bears on the question of whether defense counsel had seen the video evidence. The People sought to introduce excerpts of the surveillance video that had been compiled from 26 surveillance cameras stationed around the hotel's ground floor and basement level. Defense counsel objected, and a discussion ensued. When defense counsel said that he "would like to have the Court review the videos first before making any decision about whether they are even admissible and what they show," the court asked, "Have you seen the video?" Counsel responded: "Yes. I was never given these particular—I mean, I have like a hundred gigabytes of video, and I ask[ed] for the relevant information." The court then asked, "Did you receive [the] videotapes or not?" Counsel responded, "It's not a tape it's a hard drive with over a hundred gigabytes." The colloquy continued:

> "THE COURT: That's not my question. My question is, did you receive it?
>
> "[COUNSEL]: I didn't see what [the prosecutor is] talking about.
>
> "THE COURT: My question is, did you receive it?
>
> "[COUNSEL]: I received a hard drive with a huge amount of material equivalent to maybe a hundred movies. . . .
>
> "I would like to know in advance which cameras and [which] time periods [the prosecutor is] talking about."

The People confirmed that the entirety of the surveillance video had been turned over to the defense, so that everything the People intended to play for the jury was within defense counsel's possession. Then, the People stated: "He should have watched the videos, especially in light of the fact that we had a bench conference, and I told him that I saw it, that his grand jury testimony was not accurate, was not truthful because we saw the defendant in these other areas when he was supposedly having sex with the victim." Immediately after that statement, the court asked defense counsel whether he had received the entirety of the surveillance video, and defense counsel confirmed that he had. The record does not contain confirmation or denial of the People's implied accusation that defense counsel did not watch the video.

The People subsequently introduced into evidence portions of the surveillance video, undermining the version of events Mr. Lopez-Mendoza related in his grand jury testimony, and which defense counsel recited in his opening statement. After the People rested, defense counsel advised the court that "after continued reflection overnight, confirmed this morning, my client will not testify." The court then advised Mr. Lopez-Mendoza that the choice to testify was "yours not [counsel's]," and that if he chose not to testify "I will instruct the jury they cannot hold that against you, no adverse [inference] will be taken." Mr. Lopez-Mendoza told the court that he did not want to testify.

In summation, defense counsel attacked the complainant's version of events and argued a version of the facts that was inconsistent with what he described in his opening. He attacked the videotape evidence on two grounds: (1) although it showed the defendant entering the basement at 3:11 and 3:38, both times he was in the basement coming from the same direction, and the video never shows him leaving the basement in between, so Mr. Lopez-Mendoza could not have been the attacker if it occurred within that time frame; and (2) if the attack occurred between 2:37 and 2:40, it could not be anything like the incident the complainant described. It would have had to be a momentary encounter only long enough to allow for finding Mr. Lopez-Mendoza's saliva on her breast. He further argued that a shorter encounter would have been consistent with Mr. Lopez-Mendoza's statement to police that the encounter was consensual, as that statement did not describe the sexual encounter in any detail. He also called an emergency medical technician who attended to the victim at the scene; the EMT testified that the victim had said that the attack occurred "moments" after Mr. Lopez-Mendoza helped her open the door to the hotel room. Defense counsel also called investigators who testified that they had tested the door to room 205 and determined that it closed and locked when released. The jury convicted Mr. Lopez-Mendoza of first-degree rape and acquitted him of the criminal sex act charge.

II.

"In determining whether counsel provided effective assistance, the core of the inquiry is whether defendant received meaningful representation. In making that assessment, the court must view counsel's performance in its totality" (*People v Wragg*, 26 NY3d 403, 409 [2015] [internal quotation marks, brackets and citations omitted]). Mr. Lopez-Mendoza argues that his attorney's opening statement undermined his case by promising the defendant would take the stand and making arguments contradicted by video evidence, then failing to call defendant to the stand and closing with a new version of events. The ineffective assistance, he argues, was caused by either his attorney's failure to review the video evidence or his failure to understand its importance. Either way, Mr. Lopez-Mendoza contends, that failure proved disastrous.

[1] The defendant "bears the ultimate burden of showing . . . the absence of strategic or other legitimate explanations for counsel's challenged actions" (*People v Clark*, 28 NY3d 556, 563 [2016] [internal quotation marks omitted]). The record here is insufficient to make that showing. Although "[i]t simply cannot be said that a total failure to investigate the facts of a case, or review pertinent records, constitutes a trial strategy resulting in meaningful representation" (*People v Oliveras*, 21 NY3d 339, 348 [2013]), the limited record in this case does not conclusively establish that counsel was ineffective. On its own, the decision not to call a witness after promising to do so does not establish ineffective assistance of counsel as a matter of law (*People v Benevento*, 91 NY2d 708, 714-715 [1998]).

Further, on this record, defendant has failed to demonstrate that he otherwise was denied meaningful representation. The video evidence demonstrated the falsity of defendant's grand jury testimony. We do know that the jury never learned of Mr. Lopez-Mendoza's grand jury testimony and that he was never subjected to cross-examination with it. Instead, counsel elicited testimony from the EMT that the victim stated the assault occurred "moments" after the victim entered her hotel room, which was inconsistent with the People's theory that the assault happened between 3:11 and 3:38. But on the present record, we cannot determine whether the above was part of a strategy employed by counsel, because the present record does not address defense counsel's strategic trial decisions, if any. The colloquy concerning defense counsel's viewing of the surveillance video is inconclusive: counsel answered the court that he had "seen" the video, though it is certainly possible that he had not seen it, had not seen the right portions of it, or misunderstood its import despite a warning from the People a month earlier. The colloquy was not directed at whether defense counsel had reviewed the video, but rather whether he was entitled to review the People's compilation of excerpts from the video before they were introduced into evidence. Because the question of whether counsel viewed the entirety of the surveillance footage was never addressed head on, the record does not indicate whether defense counsel reviewed the video before determining a trial strategy. Accordingly, we cannot determine whether, before trial, counsel reviewed and understood the import of the video evidence. Moreover, it is also possible—and undeterminable on this record—that defendant, having heard the trial evidence, himself decided not to testify.

"[T]he lack of an adequate record bars review on direct appeal . . . wherever the record falls short of establishing conclusively the merit of the defendant's claim" (*People v McLean*, 15 NY3d 117, 121 [2010]). Here, it is "essential . . . that an appellate attack on the effectiveness of counsel be bottomed on an evidentiary exploration by collateral or post-conviction proceeding brought under CPL 440.10" (*People v Brown*, 45 NY2d 852, 853-854 [1978]). Such a proceeding could answer the questions left open on this record, including whether counsel reviewed the video evidence at all, or whether he may have misunderstood that the evidence was flatly inconsistent with his opening argument.

III.

[2] Defendant also argues the introduction of DNA evidence at trial violated the Sixth Amendment (*see People v John*, 27 NY3d 294 [2016]). Here, the issue was whether the victim consented to sexual contact with defendant; identification was not at issue. Because the DNA evidence did not go to the determinative issue of consent, any error in admitting it was harmless.

The order of the Appellate Division should be affirmed.

Rivera, J. (dissenting). Defendant Jaime Lopez-Mendoza claims that he was denied effective assistance of counsel because his trial attorney pursued a defense after the People forewarned him it was clearly disproven by surveillance video provided to counsel in discovery. The record establishes that counsel pursued a theory explicitly contradicted by video evidence and there can be no strategic reason for adoption of a course of action with no hope of success. Therefore, I would reverse defendant's conviction and grant him a new trial. The majority fails to render a decision on counsel's effectiveness, concluding only that the trial record is inadequate to decide the issue and that the merits can be explored in a CPL 440.10 post-conviction proceeding. However, even accepting the majority's view of what counsel may have intended, there is no way to rationalize counsel's choice.

Every defendant has a constitutional right to the effective assistance of trial counsel (*Strickland v Washington*, 466 US 668 [1984]; *People v Benevento*, 91 NY2d 708, 712 [1998]; *People v Baldi*, 54 NY2d 137 [1981]). This includes counsel's exercise of informed professional judgment in choosing the proper course of the defense (*People v Colville*, 20 NY3d 20, 32 [2012]). With few fundamental exceptions for decisions that belong solely to a defendant, counsel is responsible for determining how best to represent the client (*see People v Hogan*, 26 NY3d 779, 786 [2016] [collecting cases]; *People v Colon*, 90 NY2d 824, 825-826 [1997] [decisions belonging to a defendant are those "such as 'whether to plead guilty, waive a jury trial, testifying in (their) own behalf or take an appeal' "], quoting *People v White*, 73 NY2d 468, 478 [1989]). "If defense counsel solely defers to a defendant, without exercising [counsel's] professional judgment, on a decision that is 'for the attorney, not the accused, to make' because it is not fundamental, the defendant is deprived of 'the expert judgment of counsel to which the Sixth Amendment entitles [the defendant]' " (*Hogan*, 26 NY3d at 786, quoting *Colville*, 20 NY3d at 32).

To establish a claim of ineffectiveness, a defendant "must demonstrate the absence of strategic or other legitimate explanations for counsel's alleged failure" (*People v Wragg*, 26 NY3d 403, 409 [2015], citing *People v Satterfield*, 66 NY2d 796, 799-800 [1985]). "The core of the inquiry is whether defendant received 'meaningful representation' " (*Benevento*, 91 NY2d at 712; *see also Baldi*, 54 NY2d at 147). "As long as the defense reflects a reasonable and legitimate strategy under the circumstances and evidence presented, even if unsuccessful, it will not fall to the level of ineffective assistance" (*Benevento*, 91 NY2d at 712-713, citing *People v Lane*, 60 NY2d 748, 750 [1983]). "The test is reasonable competence, not perfect representation. However, that test cannot be so weak as to deny a defendant adequate due process" (*People v Oathout*, 21 NY3d 127, 128-129 [2013] [internal quotation marks and citations omitted]). "Essential to any representation, and to the attorney's consideration of the best course of action on behalf of the client, is the attorney's investigation of the law, the facts, and the issues that are relevant to the case" (*People v Oliveras*, 21 NY3d 339, 346 [2013]; *see also People v Droz*, 39 NY2d 457, 462 [1976] ["(I)t is elementary that the right to effective representation includes the right to assistance by an attorney who has taken the time to review and prepare both the law and the facts relevant to the defense"]). Based on this investigation, counsel must "determine if matters of defense can be developed, and . . . allow . . . time for [counsel's] reflection and preparation for trial" (*People v Bennett*, 29 NY2d 462, 466 [1972]). Inherent to the nature of legal representation and counsel's obligations to the client is the requirement that counsel both obtain relevant materials and review and consider their application to the unique facts of a defendant's case, applying counsel's expertise to the task. While counsel may decide amongst alternatives, counsel may not fail to adequately investigate and then adopt "a 'strategy' 'born in the blind'—one [that counsel] admittedly pursued without benefit of" matters revealed in the course of counsel's investigation (*Oliveras*, 21 NY3d at 347).

An ineffective assistance of counsel claim may be raised for the first time on direct appeal (*People v Jones*, 55 NY2d 771, 773 [1981]). In such a case, the inquiry is simply whether there is a sufficient record to support the claim (*id.*; *see People v Brown*, 45 NY2d 852, 853 [1978]).

Here, the prosecutor argued in her opening statement that the evidence would show that the door to the victim's hotel room did not fully lock after defendant helped the victim and her boyfriend inside, permitting defendant to later reenter the room and sexually assault the victim while she was unconscious. The prosecutor also told the jury that the evidence would show the time frame for the attack, that the victim identified defendant as her attacker immediately after the assault and that, while defendant confessed to having consensual sex with the victim after he opened the door for her and her boyfriend, his claim was disproved by the evidence.

In his opening statement, defense counsel summarized "what [he] expect[ed] the evidence to show and where it may come from." He argued that the evidence would establish that the victim, drunk and under the influence of drugs, falsely accused the defendant because she was embarrassed by their sexual encounter and was "panicking over things like pregnancy, sexual disease, her boyfriend figuring out she did something." Counsel maintained that the evidence would show "much of her story makes no sense. It's unbelievable." Counsel proposed a different version of the events from that presented by the prosecutor, informing the jurors that they "will learn from the defendant" that the victim was "in an amorous mood" when defendant opened the door and that she initiated the sexual encounter. He told the jury that defendant "goes in with her, and he has sexual activity with her. He used a condom, and when it was over he left the room." Counsel told the jurors "we'll give you evidence" to rebut the People's theory that defendant reentered the room and to establish that "the defendant [was] in a different part of the hotel" during the time when the victim claimed she was assaulted.

At trial, the prosecutor sought to play excerpts from the hotel surveillance video. During a bench conference, the prosecutor explained that the video would refute defense counsel's opening statement because it would show the jury that defendant was in a different part of the hotel at the time when counsel told the jury the victim had invited defendant into her room. The prosecutor informed the court that she had told defense counsel a month earlier that the video established defendant's story was not true. Defense counsel did not dispute that the prosecutor had told him about the import of the video, instead responding that it was his "understanding that there [were] no surveillance videos on the guest floors" which is what he "ha[d] been told." The court asked defense counsel directly if he had seen the video. Counsel responded yes, that he was given "like a hundred gigabytes of video" but that he "wasn't given the camera numbers for the time periods for" the video the prosecutor wanted to play and he "would like to review those." The prosecutor responded that defense counsel had requested "the camera angles and specific time period when the victim and her boyfriend appeared because [counsel] didn't know what they looked like, and that . . . .was a reasonable request, so I gave him those particular time slots. However, I don't have to tell him what his client looks like."

The court asked defense counsel directly: "Okay. Did you receive videotapes or not?" Counsel responded that it was not a tape but a hard drive with over a hundred gigabytes. The court reiterated, "That's not my question. My question is, did you receive it?" Counsel responded, "I didn't see what [the prosecutor is] talking about." After again being asked directly by the court if he had received all the surveillance video, counsel confirmed that he had, but he wanted to know "in advance which cameras and time periods [the prosecutor is] talking about." The prosecutor twice confirmed that she had provided the entire video surveillance to defense counsel. She had taken the relevant portions of the video that she would be seeking to introduce from the master video she gave to defense counsel and put it on a separate DVD to play for the jury. When the court asked defense counsel why he was objecting to the prosecutor's request for defendant to stand during the playing of the video, counsel stated, "I would like to be provided, first, with the information which cameras and timeframes, all these excerpts are from, and I would like to review them before we make a final decision on that." The prosecutor responded, "I had to watch hours of these surveillance videos just to look for the defendant . . . I don't have to do this work for [defense counsel]. I don't know why he didn't." The prosecutor continued, "He should have watched the videos, especially in light of the fact that we had a bench conference, and I told him that I saw it, that [defendant's] grand jury testimony was not accurate, was not truthful because we saw the defendant in these other areas when he was supposedly having sex with the victim." Defense counsel said nothing to refute the prosecutor's repeated claims to the court that she had previously informed counsel of the video's significance at a bench conference. Nor did he respond to the prosecutor's allegation that he did not watch the videos after that conversation.

The court granted the People's request to have defendant stand while the video was played. The video showed defendant getting off an elevator in the basement of the hotel at 2:40 a.m.—less than three minutes after the electronic key record established that defendant helped the victim and her boyfriend into their hotel room. The video showed defendant leaving the hotel at 2:42 a.m. and returning at 3:09 a.m. He went into the area by the service elevator in the hotel's basement at 3:11 a.m., then was off camera until 3:38 a.m., when he again appeared on the basement's camera. After the prosecutor's case-in-chief and after calling his defense witnesses, counsel informed the court that defendant was not going to testify.

In his closing statement, counsel addressed the fact that defendant did not testify: "Now, in my opening remarks I mentioned to you that if the defendant testified you might learn certain things. Obviously, he hasn't testified. Anything I said about that is not evidence. It is not before you. It is not to be considered. It is not part of your deliberations." As in his opening statement, counsel argued that the victim lied, and her story was incredible. He suggested that the jury might want to review the surveillance video during its deliberations and contended that the video did not substantiate the prosecutor's timeline of the attack because it did not show how defendant exited the basement and got to the victim's floor. Counsel then argued that defendant said, "something happened voluntarily" and the DNA showed only contact between defendant's mouth and the victim's breast. Counsel returned to the version of events he outlined in his opening statement to argue that the victim "was in an amorous mood," "open[s] the door and starts soliciting [defendant] and bringing him in, trying to get him to take off her clothing. And that's the activity in which the defendant had a sexual contact with her breasts in the minute or two timeframe that happened."

The prosecutor's summation countered that this was not a case of consensual sex. She reminded the jury that defendant admitted to the police he had sex with the victim, and that defense counsel's opening statement confirmed the same. She repeated how counsel's opening promoted a story that defendant had been invited by the victim to come inside the hotel room after opening the door, defendant had sex with her, and that he used a condom. The prosecutor played back parts of the surveillance video, showing defendant in the basement "less than two minutes after he helps the couple into the room. It is impossible for him to have had any sexual contact with [the victim] during that period." Emphasizing the point further, she stated, "there is no way for the defendant to . . . wait until [the victim's boyfriend] passes out for him to then follow [the victim] into the room, pull down her pants, pull down his pants and have sexual intercourse and be in the basement all in two minutes. That's physically impossible." In response to counsel's argument that there was no footage showing how defendant went from the basement to the victim's floor at the time the prosecutor argued the attack occurred, the prosecutor reminded the jury that the hotel general manager had testified that there are no surveillance cameras on the elevator or the guests' floors, and pointed out that defendant was off camera between 3:11 a.m. and 3:38 a.m., which fit the timeline of when the victim testified she was attacked.

Every possible reading of this record establishes that counsel pursued a defense that was certain to be proved false by the surveillance video. Indeed, the record establishes that counsel either did not view or did not understand the import of the video. Notably, counsel never disputed the prosecutor's assertions that he failed to view the video. Yet, counsel presented a theory in his opening based on a time frame of events that was affirmatively disproved by the video. After a sidebar discussion highlighting the video's significance, perhaps as a last attempt to salvage a defense, counsel abandoned the consensual sexual intercourse narrative and presented a competing theory in his summation.

No matter the analytic lens through which we view this case, all lead to the same conclusion. If counsel failed to view the surveillance video in its entirety or the portion that showed defendant's version of events was untrue, then counsel was ineffective for failing to properly investigate the case (*Oliveras*, 21 NY3d at 348). If he viewed the portion of the video showing defendant in the basement—a highly suspect proposition given that he failed to dispute the prosecutor's allegation that he failed to do so—and nevertheless did not appreciate that it disproved the timing of the defense narrative, then counsel was ineffective. There is no excuse for failing to view or appreciate the significance of the video given that the prosecutor had informed counsel over a month before the trial that the video established defendant was elsewhere at the exact time he claimed he engaged in consensual sex with the victim. If counsel viewed the video, understood that it showed defendant's version of the events was demonstrably false, and proceeded with a narrative that the prosecutor would easily disprove at trial, then counsel was ineffective for pursuing a defense with no chance of success and no strategic value (*see Benevento*, 91 NY2d at 712).

Even though the record allows for no other view of counsel's actions, the majority suggests that counsel may have had some unidentifiable strategy that resulted in keeping defendant's grand jury testimony from the jury (majority op at 572). This ignores the core ineffectiveness of counsel's representation because if counsel pursued a strategy to keep out this testimony so that he could argue the sexual contact was at some time after defendant helped the victim into her room, such "strategy" would not have been reasonable as a constitutional matter (*Benevento*, 91 NY2d at 712-713).[1]

1. The majority's focus on the fact that defense counsel elicited from the EMT that the victim had stated the assault occurred "moments" after the victim entered the hotel room (majority op at 572), overemphasizes a single notation in the EMT report and ignores that this was an unrealistic interpretation of the victim's statement. As the prosecutor argued in summation, if the victim told the EMT she was raped "moments" after being let into the room, that statement was not inconsistent with the timeline since the victim had immediately fallen asleep and was not clear on how much time had passed before the assault. Nevertheless, counsel could have elicited this

(n. cont'd)

Assuming counsel did or said something, or chose silence—all within the proper bounds of advocacy—which kept the testimony out, counsel still undermined the defense. First, if the prosecutor did not introduce the grand jury minutes because she believed defendant would testify, counsel had already recited the exact same false narrative to the jury. Although opening statements are not evidence, the jurors could not simply ignore that they heard from defendant's own lawyer that defendant claimed he had sex with the victim right after helping her inside the hotel room. Actually, counsel provided an opportunity for the prosecutor's final reminder to the jury of this version, which served to undermine counsel and defendant's credibility in the eyes of the jurors. When counsel promised defendant's testimony and failed to deliver by the end of trial, the prosecutor was able to comment on this failure in summation. If counsel had not promised defendant's testimony—by saying instead that the evidence would show that the victim's version was not true—then the prosecutor would not have been permitted to draw the jury's attention to the fact that defendant did not take the stand. Second, it would be of limited value, if not completely in vain, for counsel to intentionally mislead and confuse the jury with competing defense theories, all to keep out a narrative counsel himself presented to the jury. Indeed, it would mean counsel pursued a perilous strategy that risked the jurors' distrust and ire, and irrevocably damaged the chances for an acquittal. The majority's conclusion that a viable strategy may have guided counsel's actions fails to explain counsel's presentation of two separate diametrically opposed defenses. There is no way to harmonize counsel's opening statement that defendant and the victim had consensual sexual intercourse with his closing argument pivoting to an entirely different defense.

In this case, which turned on the People and defendant's competing narratives of the sexual attack, counsel's actions were devastating to the defense. There is no reasonable strat-

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testimony to further challenge the victim's credibility without promising the jury that defendant would testify to a version of events counsel knew to be demonstrably false, and then abandon that version in summation. As defendant is entitled to "meaningful" representation, counsel's ability to elicit evidence helpful to the defendant does not excuse counsel's failure to adequately prepare by watching the surveillance video nor (assuming counsel watched the video) does it explain counsel's presentation to the jury of two irreconcilable defense theories while simultaneously destroying his own credibility with the jury.

egy that renders this representation meaningful (*see People v Turner*, 5 NY3d 476, 480 [2005] ["(O)ur decisions, and the United States Supreme Court's, have recognized that there may be cases in which a single failing in an otherwise competent performance is so 'egregious and prejudicial' as to deprive a defendant of (a) constitutional right"], quoting *People v Caban*, 5 NY3d 143, 152 [2005]; *see also People v Harris*, 26 NY3d 321, 326-327 [2015] [counsel ineffective because defense strategy was not reasonable]). I dissent.[2]

Chief Judge DIFIORE and Judges STEIN, FAHEY, GARCIA and FEINMAN concur; Judge RIVERA dissents in an opinion.

Order affirmed.

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2. I agree with the majority's conclusion that any error in the introduction of the DNA evidence was harmless (majority op at 573).

[130 NE3d 887, 106 NYS3d 291]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v ARTHUR W. ELLIS JR., Respondent.

Argued June 5, 2019; decided June 27, 2019

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered May 31, 2018. The Appellate Division (1) reversed, on the law, a judgment of the Essex County Court (Richard B. Meyer, J.), which had convicted defendant, upon his plea of guilty, of failure to register or verify as a sex offender; (2) granted defendant's motion to dismiss the indictment; and (3) dismissed the indictment.

People v Ellis, 162 AD3d 161, affirmed.

HEADNOTE

Crimes — Sex Offenders — Sex Offender Registration Act — Failure to Register or Verify as Sex Offender — Failure to Register Facebook Account

A Facebook account is not an "Internet identifier" which a sex offender must disclose to the Division of Criminal Justice Services (DCJS) pursuant to Correction Law § 168-f (4), as neither Facebook nor the Facebook account is an email address or a "designation[ ] used for the purposes of chat, instant messaging, social networking or other similar internet communication" (Correction Law § 168-a [18]). Accordingly, the indictment charging defendant with failing to register or verify as a sex offender in violation of Correction Law § 168-f (4) on the theory that he failed to disclose his Facebook account as an Internet identifier was jurisdictionally defective. The Internet identifier an offender uses to access the Facebook account must be disclosed to DCJS, and here, defendant disclosed the email address that he used to access his Facebook account. Similarly, the name one uses to interact with other users on Facebook may be an Internet identifier that must be disclosed to DCJS, and there was no dispute that defendant used his real, full name to interact with other Facebook users. The legislature could have easily included among the mandatory disclosure provisions of Correction Law § 168-f (4) the "authorized Internet entities" that a sex offender uses, such as Facebook. Presently, however, that statute does not require sex offenders to disclose to DCJS the authorized Internet entities that they use. The indictment therefore accused defendant of performing acts that simply did not constitute a crime.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Mentally Impaired Persons §§ 131, 133.

MCKINNEY'S, Correction Law §§ 168-a (18); 168-f (4).
NY JUR 2d Penal and Correctional Institutions §§ 406, 408.

ANNOTATION REFERENCE

See ALR Index under Sex Offender Registration and Notification; Social Media.

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POINTS OF COUNSEL

Kristy L. Sprague, District Attorney, Elizabethtown (*Kathryn M. Moryl* and *James E. Martineau* of counsel), for appellant. Correction Law § 168 legally imposes a requirement that a sex offender register a Facebook account as an Internet identifier rendering the indictment jurisdictionally sufficient. (*People v Swindell*, 72 AD3d 1340; *People v Davis*, 13 NY3d 17.)

Noreen McCarthy, Keene Valley, for respondent. I. Internet identifier does not mean a Facebook account. II. No notice was given to respondent. (*People v Haddock*, 48 AD3d 969, 12 NY3d 854; *Lambert v California*, 355 US 225; *United States v Williams*, 421 F2d 600; *United States v Kerley*, 838 F2d 932; *United States v Boucher*, 509 F2d 991; *McNally v United States*, 483 US 350; *Skilling v United States*, 561 US 358.) III. The statute is unconstitutionally vague under appellant's theory. (*Grayned v City of Rockford*, 408 US 104; *Lanzetta v New Jersey*, 306 US 451; *United States v Reese*, 92 US 214; *United States v Williams*, 553 US 285; *Coates v Cincinnati*, 402 US 611; *People v Bright*, 71 NY2d 376; *Doe v Harris*, 772 F3d 563; *White v Baker*, 696 F Supp 2d 1289; *Doe v Snyder*, 101 F Supp 3d 672.)

OPINION OF THE COURT

FAHEY, J.

The People contend that defendant, a level three sex offender, was required to register his Facebook account as an "Internet identifier" pursuant to Correction Law § 168-f (4). That statute requires that sex offenders register with the Division of Criminal Justice Services (DCJS) "no later than ten calendar days after any change of address, internet accounts with internet access providers belonging to such offender, [or] internet identifiers that such offender uses" (Correction Law § 168-f [4]).* "Internet identifiers" are defined as "electronic mail addresses and designations used for the purposes of chat, instant messaging, social networking or other similar internet communication" (Correction Law § 168-a [18]). Failure to register with DCJS is a class E felony for the first offense and a class D felony for subsequent offenses (*see* Correction Law § 168-t).

In 2015, defendant completed his annual "Verification Form" (*see* Correction Law § 168-f [2]). The form required defendant to disclose to DCJS certain "Internet Information," including his "service provider," "screen name[s]," and "email address[es]." Defendant disclosed information in each of these preprinted sections, including his email address. Although he disclosed the identifier he used to log into Facebook, and the name by which he went on Facebook (his real name), he did not disclose the fact that he had a Facebook account. He was charged with failing to register in violation of Correction Law § 168-f (4) on the theory that he failed to disclose this account as an "Internet identifier."

Defendant moved to dismiss the indictment, claiming, among other things, that it failed to charge a crime or offense, inasmuch as Facebook is not an "Internet identifier." County Court denied that motion, and defendant pleaded guilty as charged. The court noted that defendant was not waiving his challenge as to whether there was an extant crime charged in the indictment. The Appellate Division reversed the judgment and dismissed the indictment based on its conclusion that although sex offenders must disclose all "Internet identifiers" they use, the statute does not require that they disclose the services on which they have accounts, and therefore the indictment failed to charge defendant with a crime, rendering the indictment jurisdictionally defective (162 AD3d 161 [3d Dept 2018]). A Judge of this Court granted the People leave to appeal (32 NY3d 937 [2018]). We now affirm.

The Appellate Division correctly concluded that a Facebook account is not an "Internet identifier" that defendant must dis-

* An "Internet access provider" is defined as "any business, organization or other entity engaged in the business of providing a computer and communications facility through which a customer may obtain access to the internet, but does not include a business, organization or other entity to the extent that it provides only telecommunications services" (Correction Law § 168-a [17]). The parties agree that Facebook does not qualify as an "Internet access provider" and that defendant's Facebook account was not an "internet account[ ] with [an] internet access provider[ ]" (*id.* § 168-f [4]).

close to DCJS because neither Facebook nor the account is an email address or a "designation[ ] used for the purposes of chat, instant messaging, social networking or other similar internet communication" (Correction Law § 168-a [18]). By contrast, the "Internet identifier" an offender uses to access the Facebook account must be disclosed to DCJS, and here, defendant disclosed the email address that he uses to access his Facebook account. Similarly, the name one uses to interact with other users on Facebook—such as a screen name, pseudonym or alias—may be an Internet identifier that must be disclosed to DCJS if it is a "designation[ ] used for the purposes of chat, instant messaging, social networking or other similar internet communication" (*id.*). Here, however, there is no dispute that defendant used his real, full name to interact with other Facebook users.

The People's contention that defendant was required to disclose the existence of his Facebook account to DCJS, in addition to any email addresses and designations associated with that account, cannot be reconciled with the relevant statutes, which aim to provide Facebook and similar Internet services with access to information sufficient to allow them to detect and curtail the inappropriate use of social networking by sex offenders. The term "Internet identifier" was added to the statutory scheme in 2008 with the enactment of the "Electronic Security and Targeting of Online Predators Act," or "e-STOP" (L 2008, ch 67). The legislative purpose and findings of the law demonstrate that the legislature was concerned that "[b]ehind a computer screen, convicted sex offenders are able to *hide their identity* while attempting to engage children in illicit activity" and that the Internet contained a "promise of anonymity" (L 2008, ch 67, § 1 [emphasis added]). The Senate Introducer's Memorandum in Support of e-STOP further confirms that the legislature was concerned with the ability of sex offenders to interact anonymously with others, including children, on the Internet (*see* Senate Introducer's Mem in Support, Bill Jacket, L 2008, ch 67 at 6-7, 2008 McKinney's Session Laws of NY at 1740).

To address the specific issue of sex offenders accessing social media platforms anonymously, e-STOP allowed DCJS to release to "authorized internet entit[ies]" the "internet identifiers" used by sex offenders in order to enable those authorized Internet entities to "prescreen or remove sex offenders from [their] services" and to "advise law enforcement and/or other governmental entities of potential violations of law and/or threats to public safety" (Correction Law § 168-b [10]). An "[a]uthorized internet entity" is defined as "any business, organization or other entity providing or offering a service over the internet which permits persons under eighteen years of age to access, meet, congregate or communicate with other users for the purpose of social networking," other than "general e-mail services" (Correction Law § 168-a [16]). Facebook plainly falls within that definition. Consequently, e-STOP permits Facebook and other social networking sites to obtain the "Internet identifiers" used by sex offenders and, with those Internet identifiers, determine whether a sex offender is utilizing their services, prescreen or remove sex offenders from their services, and inform law enforcement of "potential violations of law and/or threats to public safety" (*id.* § 168-b [10]).

The legislature could have easily included among the mandatory disclosure provisions of Correction Law § 168-f (4) the "authorized Internet entities" that a sex offender uses, such as Facebook. Presently, however, that statute does *not* require sex offenders to disclose to DCJS the authorized Internet entities that they use.

For these reasons, the Appellate Division correctly concluded that Facebook is not an "Internet identifier," and that the existence of a Facebook account—as opposed to the Internet identifiers a sex offender may use to access Facebook or interact with other users on Facebook—need not be disclosed to DCJS pursuant to Correction Law § 168-f (4). As the People concede, this was the legal theory upon which the indictment was based. The indictment therefore accuses defendant of performing acts that "simply do not constitute a crime" and is jurisdictionally defective (*People v Iannone*, 45 NY2d 589, 600 [1978], citing *People v Case*, 42 NY2d 98 [1977]; *see also People v Taylor*, 65 NY2d 1, 5 [1985]). In light of that determination, we do not reach defendant's remaining arguments.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge DIFIORE and Judges RIVERA, STEIN, GARCIA, WILSON and FEINMAN concur.

Order affirmed.

[131 NE3d 876, 107 NYS3d 769]

In the Matter of WEGMANS FOOD MARKETS, INC., Respondent, v TAX APPEALS TRIBUNAL OF THE STATE OF NEW YORK, Respondent, and COMMISSIONER OF TAXATION AND FINANCE OF THE STATE OF NEW YORK, Appellant.

Argued June 6, 2019; decided June 27, 2019

SUMMARY

APPEAL, by permission of the Court of Appeals, from a judgment of the Appellate Division of the Supreme Court in the Third Judicial Department, entered November 22, 2017, in a proceeding pursuant to CPLR article 78 (initiated in the Appellate Division pursuant to Tax Law § 2016). The Appellate Division (1) annulled the determination of respondent Tax Appeals Tribunal of the State of New York affirming an administrative law judge's determination denying the petition seeking certain refunds of sales and use tax imposed under Tax Law articles 28 and 29; and (2) granted the petition.

Matter of Wegmans Food Mkts., Inc. v Tax Appeals Trib. of the State of N.Y., 155 AD3d 1352, reversed.

HEADNOTES

Administrative Law — Judicial Review — Statutory Construction of Sales Tax Exclusion

1. In the case of statutory tax exclusions, the presumption is in favor of the taxing power. In general, a statute which levies a tax is to be construed most strongly against the government and in favor of the citizen. The principle is, however, applicable only in determining whether property, income, a transaction, or event is subject to taxation. The rule is otherwise with respect to the taxpayers' right to exclude items from taxation. When the matter at issue is subject to the taxing statutes, but the question is whether taxation is negated by a statutory exclusion or exemption, a different rule applies. An exemption from taxation and, therefore, a deduction, must clearly appear, and the party claiming it must be able to point to some provision of law plainly giving the exemption. If a statute or regulation authorizing an exemption is found, it will be construed against the taxpayer. This is because an exemption is not a matter of right, but is allowed only as a matter of legislative grace.

Taxation — Sales and Use Taxes — Exclusion for Personal or Individual Information Services

2. Respondent Tax Appeals Tribunal of the State of New York rationally determined that petitioner supermarket chain's purchase of competitive price audits and the corresponding reports from a data collection service did not constitute "the furnishing of information which is personal or individual in nature" excluded from the sales tax imposed by Tax Law § 1105 (c) (1). The information compiled and the reports furnished to petitioner derived from a

non-confidential and widely-accessible source, the supermarket shelves of petitioner's competitors. There was nothing about the information itself that was personal or individual in nature. The service simply collected the prices of products at grocery stores and compiled that information into reports which it furnished to petitioner. Respondent rationally concluded that the information was not personal or individual in nature because it was collected from prices on supermarket shelves, which were publicly available, widely-accessible, and not confidential. Moreover, under the circumstances, it was rational for respondent to determine that the service's customization of the publicly-available information it collected from supermarket shelves into a report format did not render the furnished information personal or individual in nature.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d Administrative Law §§ 458, 463; Am Jur 2d Sales and Use Taxes §§ 34, 47, 90–93, 216.

McKinney's, Tax Law § 1105 (c) (1).

NY Jur 2d Taxation and Assessment §§ 1644, 1687–1690, 1844, 1933, 2775, 2776.

ANNOTATION REFERENCE

See ALR Index under Administrative Law; Sales and Use Taxes.

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POINTS OF COUNSEL

Letitia James, Attorney General, Albany (*Frederick A. Brodie* and *Jeffrey W. Lang* of counsel), for appellant. I. The pricing information that RetailData, LLC sold to Wegmans Food Markets, Inc. was not personal or individual in nature, and thus was subject to sales tax. (*Matter of American Tel. & Tel. Co. v State Tax Commn.*, 61 NY2d 393; *Matter of 677 New Loudon Corp. v State of N.Y. Tax Appeals Trib.*, 19 NY3d 1058; *Matter of Bes Corp. v Tully*, 46 NY2d 1038; *Matter of Mobil Oil Corp. v Finance Adm'r of City of N.Y.*, 58 NY2d 95; *Matter of New York Life Ins. Co. v State Tax Commn.*, 80 AD2d 675; *Matter of Metropolitan Life Ins. Co. v State Tax Commn.*, 55 NY2d 758; *Matter of ADP Automotive Claims Servs. v Tax Appeals Trib.*, 188 AD2d 245, 82 NY2d 655; *Matter of Towne-Oller & Assoc. v State Tax Commn.*, 120 AD2d 873; *Matter of Twin

Coast Newspapers v State Tax Commn., 101 AD2d 977.) II. The Third Department erred by finding facts on an issue not reached by the administrative agency. (*Matter of Hebaron Enters. v Tax Appeals Trib. of State of N.Y.*, 259 AD2d 790; *Matter of Medical Malpractice Ins. Assn. v Superintendent of Ins. of State of N.Y.*, 72 NY2d 753; *Matter of Gaied v New York State Tax Appeals Trib.*, 22 NY3d 592; *Matter of Federal Deposit Ins. Corp. v Commissioner of Taxation & Fin.*, 83 NY2d 44; *Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222.)

Ward Greenberg Heller & Reidy LLP, Rochester (*Jeffrey J. Harradine, Senovia M. Cuevas* and *Nicole D. Ladner* of counsel), for Wegmans Food Markets, Inc., respondent. I. The Third Department correctly determined that the competitive price audits are personal or individual in nature. (*Westwood Pharms. v Chu*, 164 AD2d 462; *Matter of New York Life Ins. Co. v State Tax Commn.*, 80 AD2d 675; *Matter of Council of City of N.Y. v Bloomberg*, 6 NY3d 380; *A. E. Nettleton Co. v Diamond*, 27 NY2d 182.) II. An ambiguous tax exclusion is to be construed in the taxpayer's favor. (*Matter of 677 New Loudon Corp. v State of N.Y. Tax Appeals Trib.*, 19 NY3d 1058, 571 US 952; *Fairland Amusements v State Tax Commn.*, 66 NY2d 932; *Matter of Grace v New York State Tax Commn.*, 37 NY2d 193; *Matter of Towne-Oller & Assoc. v State Tax Commn.*, 120 AD2d 873; *Matter of New York Life Ins. Co. v State Tax Commn.*, 80 AD2d 675; *Matter of Mobil Oil Corp. v Finance Adm'r of City of N.Y.*, 58 NY2d 95; *Matter of Young v Bragalini*, 3 NY2d 602; *Schwartzman v Miller*, 262 App Div 635; *Westwood Pharms. v Chu*, 164 AD2d 462; *Matter of Charter Dev. Co., L.L.C. v City of Buffalo*, 6 NY3d 578.) III. The record on review amply supported the Third Department's conclusion that the information contained in the competitive price audits were not, and could not, be substantially incorporated into reports furnished to others. (*Matter of New York Life Ins. Co. v State Tax Commn.*, 80 AD2d 675; *Matter of Pantelidis v New York City Bd. of Stds. & Appeals*, 43 AD3d 314, 10 NY3d 846; *Matter of Syracuse Aggregate Corp. v Weise*, 72 AD2d 254, 51 NY2d 278; *Matter of Pantelidis v New York City Bd. of Stds. & Appeals*, 43 AD3d 314; *Matter of American Express Co. v Tax Appeals Trib. of State of N.Y.*, 190 AD2d 104; *Matter of McEvoy [New York Tel. Co.— Roberts]*, 89 AD2d 1049; *Matter of Salley v Hempstead School Dist.*, 121 AD2d 547; *Matter of Rivera v Beekman*, 86 AD2d 1; *Matter of 125 Bar Corp. v State Liq. Auth. of State of N.Y.*, 24 NY2d 174.)

OPINION OF THE COURT

FEINMAN, J.

Tax Law § 1105 (c) (1) imposes a sales tax on certain information services, "but exclud[es] the furnishing of information which is personal or individual in nature and which is not or may not be substantially incorporated in reports furnished to other persons." In this CPLR article 78 proceeding, we hold that respondent Tax Appeals Tribunal of the State of New York rationally determined that the information services receipts at issue were not excluded from the tax.

I.

Petitioner Wegmans Food Markets, Inc. is a regional supermarket chain that operates throughout New York. Wegmans monitors its competitors' retail prices as part of its pricing strategy. Since 1995, Wegmans has engaged RetailData, LLC to perform such monitoring through competitive price audits (CPAs). Wegmans selects the products and period covered by a CPA and which of its competitors, and their specific locations, RetailData should surveil. RetailData's data collectors then travel to the locations specified in Wegmans's request and collect the information by scanning prices from the store shelves using scanners or smart phones. After collecting the prices, RetailData validates the information, creates reports, and furnishes the reports to Wegmans in its requested format. The CPAs and the resulting reports are kept confidential to prevent Wegmans's competitors from discovering the products it monitors and its pricing strategies.

The New York State Department of Taxation and Finance conducted an audit of Wegmans's sales and use tax liability for the period June 2007 through February 2010. During the audit, the Department concluded that Wegmans's purchases of CPAs and the corresponding reports from RetailData were taxable receipts under Tax Law § 1105 (c) (1). After the Department issued a notice of determination imposing additional sales tax, Wegmans petitioned the Division of Tax Appeals challenging the determination. Wegmans sought a refund of the money it paid to satisfy the tax liability, arguing that "the services rendered by RetailData qualify as an exempt information service which is 'personal and individual in nature.' "

Following an evidentiary hearing, an administrative law judge (ALJ) denied the petition. Upon Wegmans's exception to the ALJ's determination, the Tribunal, among other things, affirmed. It concluded that the information services at issue do not qualify for section 1105 (c) (1)'s exclusion because the data in the CPA reports was culled from supermarket store shelves, which are widely-accessible and contain non-confidential data. In addition, although there was some customization of the information, that process did not render the information personal or individual in nature. Given its determination, the Tribunal declined to reach the exclusion's second requirement, that is, whether the information may be substantially incorporated into reports furnished to RetailData's other clients. Wegmans commenced this CPLR article 78 proceeding against the Tribunal and respondent Commissioner of Taxation and Finance of the State of New York in the Appellate Division pursuant to Tax Law § 2016, seeking a judgment annulling the Tribunal's determination.

The Appellate Division granted the petition and annulled the Tribunal's determination. Initially, the Court stated that "in the event of ambiguity, where, as here, an exclusion rather than an exemption is involved, the statute must be strictly construed in favor of the taxpayer" (155 AD3d 1352, 1354 [3d Dept 2017] [internal quotation marks and citation omitted]). The Court recognized "that *Matter of Mobil Oil Corp. v Finance Adm'r of City of N.Y.* (58 NY2d 95, 99 [1983]) indicates that exclusions are to be construed against the taxpayer" (155 AD3d at 1354 n 1). However, the Court disagreed with our statement of law, explaining that "the proposition in [*Matter of Mobil Oil Corp.*] relies upon precedent that refers to exemptions rather than exclusions" (*id.*).

Turning to application of the statutory exclusion, the Court acknowledged that "the pricing information that RetailData collects on [Wegmans's] behalf is information that is available to the public," but nonetheless concluded that "such information does not derive from a singular, widely accessible common source or database as that test has previously been applied and commonly understood in determining the applicability of the subject tax exclusion" (*id.* at 1355). The Court further determined that "the information furnished to [Wegmans] was uniquely tailored to [its] specifications and was related exclusively to implementation of its confidential pricing strategy" (*id.* at 1356). Accordingly, Wegmans's "purchase of these information services should have been excluded from taxation" because "the information services that [Wegmans] purchased from RetailData were personal or individual in nature and were not substantially incorporated into reports of others" (*id.*).[1] We granted the Commissioner leave to appeal from the Appellate Division judgment (31 NY3d 908 [2018]), and now reverse.

II.

In *Matter of Mobil Oil Corp.*, we concluded: "In the case of statutory exclusions, the presumption is in favor of the taxing power" (58 NY2d at 99). We reaffirm this straightforward statement of law in light of the Appellate Division's refusal to apply it. By doing so, we neither state a new rule under which "the taxpayer always loses" (concurring op at 596) nor overrule *Matter of Grace v New York State Tax Commn.* (37 NY2d 193 [1975], *rearg denied* 37 NY2d 816 [1975]), despite the concurrence's hyperbolic claims to the contrary. We reiterate our settled rule of construction to ensure consistent application of taxing statutes in the face of our colleagues' apparent invitation for continued evasion (*see* concurring op at 602; Wilson, J., dissenting op at 604).

[1] In general, "[a] statute which levies a tax is to be construed most strongly against the government and in favor of the citizen" (*Matter of Grace*, 37 NY2d at 196 [internal quotation marks omitted]; *see Matter of Mobil Oil Corp.*, 58 NY2d at 99). "The principle is, however, applicable only in determining whether property, income, a transaction[,] or event is subject to taxation" (*Matter of Grace*, 37 NY2d at 196). "[T]he rule is otherwise with respect to the taxpayers' right to exclude items from taxation" (*Matter of Mobil Oil Corp.*, 58 NY2d at 99). In other words, when the matter at issue "is subject to the taxing statute," but the question is whether taxation is negated by a statutory exclusion or exemption, "a different rule applies" (*Matter of Grace*, 37 NY2d at 196). In that instance, "the presumption is in favor of the taxing power" (*Matter of Mobil Oil Corp.*, 58 NY2d at 99; *see Matter of Grace*, 37 NY2d at 196).

In defining the applicable rules for construing tax statutes, we have not differentiated between exemptions, exclusions,

1. We reiterate the long-standing rule that, in CPLR article 78 proceedings, "courts have no right to review the facts generally as to weight of evidence, beyond seeing to it that there is substantial evidence" (*Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222, 230 [1974] [internal quotation marks and citation omitted]). While CPLR 7804 (g) permits the Appellate Division to dispose of issues in the proceeding, it does not provide that Court with the power to conduct an "independent factual review of the record" (155 AD3d at 1357 n 5).

and deductions (*see Matter of 677 New Loudon Corp. v State of N.Y. Tax Appeals Trib.*, 19 NY3d 1058, 1060 [2012], *rearg denied* 20 NY3d 1024 [2013], *cert denied* 571 US 952 [2013]; *Matter of Charter Dev. Co., L.L.C. v City of Buffalo*, 6 NY3d 578, 582 [2006]).[2] Contrary to the Appellate Division's conclusion (*see also Matter of Towne-Oller & Assoc. v State Tax Commn.*, 120 AD2d 873, 874 n [3d Dept 1986]) and Wegmans's argument, our cases in this regard do not turn on syntactical errors conflating these concepts. Rather, we have adopted a functional analysis that affords a singular and workable rule for construing exemptions, exclusions, and deductions, each of which operate to negate the taxpayer's obligation to pay the otherwise applicable tax.

In *Matter of Grace*, for instance, we concluded that "[t]he same rules apply" to deductions and exemptions because "[a] deduction is functionally a particularized species of exemption from taxation" (37 NY2d at 197). We explained that "[a]n exemption from taxation" and, therefore, a deduction, "must clearly appear, and the party claiming it must be able to point to some provision of law plainly giving the exemption" (*id.* at 196 [internal quotation marks and citation omitted]). "Indeed, if a statute or regulation authorizing an exemption is found, it will be construed against the taxpayer" (*id.* [internal quotation marks omitted]). "This is because an exemption is not a matter of right, but is allowed only as a matter of legislative grace" (*id.*). Still, "the interpretation should not be so narrow and literal as to defeat [the exemption's] settled purpose" (*id.*).

The concurrence concedes, as it must, that *Matter of Grace* did "not expressly state that ambiguities in statutory *exclusions* are interpreted in favor of the taxpayer" (concurring op at 598). *Matter of Grace* did not make this statement because it is not the law. Rather than overrule *Matter of Grace*, in *Matter of Mobil Oil Corp.* we extended the functional approach, relying on the analysis previously applied to exemptions and deductions. On the strength of this analysis, we held that, like exemptions, "[t]ax exclusions are never presumed or preferred and before [a] petitioner may have the benefit of them, the

2. The federal view accords with our approach (*see e.g. Stinson Estate v United States*, 214 F3d 846, 848 [7th Cir 2000] [classifying "deductions, exemptions, and exclusions" as "matters of legislative grace"]; *Rozpad v Commissioner of Internal Revenue*, 154 F3d 1, 3 [1st Cir 1998] ["all exclusions from taxation must be narrowly construed"]), but does not dictate our analysis (*see* concurring op at 600).

burden rests on [the petitioner] to establish that the item comes within the language of the exclusion" (*Matter of Mobil Oil Corp.*, 58 NY2d at 99). Consequently, as with exemptions, "the presumption is in favor of the taxing power" when construing "statutory exclusions" (*id.*).[3] We decline the invitation, endorsed by the concurrence and both dissents, to overrule this clear precedent based on a revisionist analysis that ignores our case law.

III.

A taxpayer has the burden "to overcome tax assessments" (*Matter of Grace*, 37 NY2d at 195) and to "establish its entitlement to an exclusion from tax" (*Matter of Colt Indus. v New York City Dept. of Fin.*, 66 NY2d 466, 471 [1985], *rearg denied* 67 NY2d 757 [1986]). In the sales tax context, in particular, "it shall be presumed that all receipts for . . . services of any type mentioned in" Tax Law § 1105 (c) "are subject to tax until the contrary is established" (Tax Law § 1132 [c] [1]). Moreover, "[i]f there are any facts or reasonable inferences from the facts to sustain it, the court must confirm the [Tribunal's] determination" (*Matter of Grace*, 37 NY2d at 195).

Our application of the principles articulated above begins with the text of Tax Law § 1105 (c) (1), which imposes a tax on "[t]he receipts from every sale" of "[t]he furnishing of information by printed, mimeographed or multigraphed matter or by duplicating written or printed matter in any other manner, including the services of collecting, compiling or analyzing information of any kind or nature and furnishing reports thereof to other persons." The statute "exclud[es] the furnishing of information which is personal or individual in nature and which

3. *Fairland Amusements v State Tax Commn.* is not to the contrary (*see* 66 NY2d 932 [1985]). The issue there involved interpretation of the phrase "place of amusement" in the clause generally imposing the tax. The statute at issue, Tax Law § 1105 (f) (1), taxed "[a]ny admission charge . . . in excess of ten cents to or for the use of any place of amusement in the state." The taxpayer did not rely on any of the exceptions included in that subdivision and, thus, the question there was whether the tax applied at all, not whether the transaction fit within a statutory exclusion. Our memorandum decision, interpreting "the statutory scheme," therefore stated the rule for construing general taxing provisions, not the more specific rule for construing statutory exclusions (*Fairland Amusements*, 66 NY2d at 934). When we later interpreted one of the exceptions listed in that subdivision, "dramatic or musical arts performances," we applied the specific rule of interpretation, construing the provision against the taxpayer (*see Matter of 677 New Loudon Corp.*, 19 NY3d at 1060).

is not or may not be substantially incorporated in reports furnished to other persons" (Tax Law § 1105 [c] [1]).

[2] Here, Wegmans concedes that the information services provided by RetailData fall within the general taxing provision of section 1105 (c) (1). The determinative issue before this Court, therefore, is whether the Tribunal rationally determined that those information services were not excluded from the sales tax (*see Matter of Colt Indus.*, 66 NY2d at 471). We conclude that the Tribunal's determination that Wegmans failed to establish its entitlement to the statutory exclusion, because the information at issue was not personal or individual in nature, was rational and should be confirmed.

The information that RetailData compiled and the reports it furnished to Wegmans derived from a non-confidential and widely-accessible source, the supermarket shelves of Wegmans's competitors. There is nothing about the information itself that is personal or individual in nature. RetailData simply collected the prices of products at grocery stores and compiled that information into reports which it furnished to Wegmans. The Tribunal rationally concluded that the information RetailData furnished to Wegmans was not personal or individual in nature because it was collected from prices on supermarket shelves, which are publicly available, widely-accessible, and not confidential. Moreover, in these circumstances, it was rational for the Tribunal to determine that RetailData's customization of the publicly-available information it collected from supermarket shelves into a report format did not render the furnished information personal or individual in nature (*see Matter of ADP Automotive Claims Servs. v Tax Appeals Trib.*, 188 AD2d 245, 248 [3d Dept 1993], *lv denied* 82 NY2d 655 [1993]; *Matter of Rich Prods. Corp. v Chu*, 132 AD2d 175, 177-178 [3d Dept 1987], *lv denied* 72 NY2d 802 [1988]).[4] Accordingly, the Appellate Division judgment should

4. In dissent, Judge Wilson expounds the historical antecedents to Tax Law § 1105 (c) (1), ultimately concluding that "personal or individual in nature" really means "custom" (Wilson, J., dissenting op at 622). He fails, however, to anchor this conclusion to any authority explaining the meaning of that clause of the statutory exclusion. Instead, his conclusion stems from a speculative analysis of the cited sources which relies on multiple layers of unsupported inferences to effectively rewrite "personal or individual" as "personalized or individualized." While we of course recognize that, in appropriate circumstances, legislative history can be a useful tool in determining the legislature's intent, it is not illuminating in every case. This is such a

(n. cont'd)

be reversed, with costs, the Tribunal's determination confirmed, and the petition dismissed.

STEIN, J. (concurring). Effectively overruling our landmark decision in *Matter of Grace v New York State Tax Commn.* (37 NY2d 193 [1975]), the majority today declares a new rule: in New York, the taxpayer always loses. Instead of confronting our four-decade-old precedent, the majority states that the distinction we drew in *Grace* between tax exclusions and exemptions, for purposes of resolving any disagreement over the meaning of a tax statute, does not exist. I write separately to explain that this dramatic departure from our long-standing rule, which the majority refuses to acknowledge, is not only inconsistent with this Court's precedent, but also unnecessary to decide this case, which must be reversed in any event under the analytical framework set forth in *Grace*. Therefore, I concur with the majority in result alone.

I.

In the decision on review in this CPLR article 78 proceeding, the Tax Appeals Tribunal stated that its "resolution of this dispute is guided by the rule of construction that requires exclusions from taxation to be strictly interpreted *in the taxpayer's favor*" (*Matter of Wegmans Food Mkts., Inc.*, 2016 WL 1109502, *8 [NY St Tax Appeals Tribunal DTA No. 825347, Mar. 10, 2016] [emphasis added]). The Tribunal has applied that rule of construction for decades, in recognition that it is based on a proper interpretation of this Court's decision in *Grace* (*see e.g. Matter of Exxon Mobil Corp.*, 2012 WL 1980652, *8, 2012 NY Tax LEXIS 43, *19 [NY St Div of Tax Appeals DTA No. 823437, May 24, 2012]; *Matter of N.A.E., Inc., Gen. Partner*, 1993 WL 491195, *16, 1993 NY Tax LEXIS 495, *42 [NY St Div of Tax Appeals DTA Nos. 810045, 810046, 810210, Nov. 18, 1993]; *Matter of 1605 Bookcenter, Inc.*, 1990 WL 204903, *14, 1990 NY Tax LEXIS 216, *38-39 [NY St Div of Tax Appeals DTA No. 800121, May 17, 1990]; *see Matter of Towne-Oller & Assoc. v State Tax Commn.*, 120 AD2d 873, 874 [3d Dept 1986] [citing *Grace* for the proposition that, "(w)here an exclusion from taxability is involved, it must be strictly construed in the taxpayer's favor"]; *see also Westwood Pharms. v Chu*, 164 AD2d 462, 465 [4th Dept 1990], *lv denied* 77 NY2d 807 [1991] [following *Towne-Oller*]).

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case, and we decline to follow the meandering path to nowhere laid down by Judge Wilson's interpretation of the legislative history.

Nevertheless, in the case presently before us, the Commissioner of Taxation and Finance repudiates that rule of construction, arguing that it derives from a "formalistic distinction" between exclusions and exemptions that this Court established in *Grace*. The Commissioner argues that, in *Matter of Mobil Oil Corp. v Finance Adm'r of City of N.Y.* (58 NY2d 95, 99 [1983]), this Court overruled *Grace* sub silentio and held that the distinction between exemptions and exclusions, which was concededly drawn by the Court in *Grace*, has no force. Thus, the Commissioner maintains, "the *Mobil Oil* Court recognized" in 1983 that "both exemptions and exclusions should . . . be construed *in favor of the government and against the taxpayer*" (emphasis added). However, the Commissioner's argument is contrary to the reading of *Grace* and *Mobil Oil* that both the courts and the Tribunal have employed since the 1980s, and the majority goes even further than the Commissioner.

While the Commissioner argues that we should state that *Mobil Oil* overruled *Grace* in holding that the distinction between exemptions and exclusions has no force—an argument that is simply unsupported by the law—the majority simply denies that this Court has ever differentiated between exemptions and exclusions in the first place (*see* majority op at 592-593), ignoring decades of administrative and judicial authority to the contrary. The majority's reading of *Grace* is untenable.

In *Grace*, the Court explained:

> "It is often said . . . that '[a] statute which levies a tax is to be construed most strongly against the government and in favor of the citizen. The government takes nothing except what is given by the clear import of the words used, and a well-founded doubt as to the meaning of the act defeats the tax' (*People ex rel. Mutual Trust Co. v Miller*, 177 NY 51, 57; *Matter of Voorhees v Bates*, 308 NY 184, 188; see *Matter of American Cyanamid & Chem. Corp. v Joseph*, 308 NY 259, 263; *American Locker Co. v City of New York*, 308 NY 264, 269; cf. *Gould v Gould*, 245 US 151, 153). The principle is, however, applicable only in determining whether property, income, a transaction or event is subject to taxation. Thus, in each of the cases cited above, the issue was whether taxpayer's affairs were subject to the taxing statute at all (see *People ex rel. Mutual Trust Co. v Miller*, 177 NY 51, 53, *supra* [corporate

> franchise tax]; *Matter of Voorhees v Bates*, 308 NY 184, 187-188, *supra* [unincorporated business tax]; *Matter of American Cyanamid & Chem. Corp. v Joseph*, 308 NY 259, 262, *supra* [sales tax]; *American Locker Co. v City of New York*, 308 NY 264, 267, *supra* [sales tax]; *Gould v Gould*, 245 US 151, 153, *supra* [individual income tax]).
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> "When, however, it is undisputed that the taxpayer's income is subject to the taxing statute, but he claims an exemption from taxation, a different rule applies. An exemption from taxation 'must clearly appear, and the party claiming it must be able to point to some provision of law plainly giving the exemption' (*People ex rel. Savings Bank of New London v Coleman*, 135 NY 231, 234; see *Matter of Young v Bragalini*, 3 NY2d 602, 605-606 . . .). Indeed, if a statute or regulation authorizing an exemption is found, it will be 'construed against the taxpayer', although the interpretation should not be so narrow and literal as to defeat its settled purpose (see *Engle v Talarico*, 33 NY2d 237, 240; *People ex rel. Watchtower Bible & Tract Soc. v Haring*, 8 NY2d 350, 358; *People ex rel. Mizpah Lodge v Burke*, 228 NY 245, 247-248). This is because an exemption is not a matter of right, but is allowed only as a matter of legislative grace (cf., e.g., *Colgate v Harvey*, 296 US 404, 435).
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> "A deduction is functionally a particularized species of exemption from taxation" (37 NY2d at 196-197).

To be sure, *Grace* does not expressly state that ambiguities in statutory *exclusions* are interpreted in favor of the taxpayer. It is also true that the *Grace* Court used the words "exemption" and "deduction," but did not use the word "exclusion," which is evidently the cause of the majority's confusion in this case.[1] However, what the majority overlooks is that the precedent

1. The majority insists on writing the word "exclusion" into the *Grace* decision, inaccurately citing *Grace* for the proposition that "when the matter at issue 'is subject to the taxing statute,' but the question is whether taxation is negated by a statutory exclusion or exemption, 'a different rule applies' " (majority op at 592, quoting *Grace*, 37 NY2d at 196). *Grace* explained that deductions are a species of exemption; it did not similarly categorize exclusions or mention them at all.

upon which the Court relied in *Grace* for the proposition that a statute levying a tax must be interpreted in favor of the taxpayer involves exclusions (*see American Cyanamid*, 308 NY 259 [exclusion from sales tax for resales]; *Voorhees*, 308 NY 184 [whether directing an orchestra for radio broadcasts fell within exclusion from definition of "unincorporated business"]). Thus, both parties in the instant matter correctly acknowledge what has long been obvious to the bench and bar—in *Grace*, this Court distinguished between exemptions and exclusions for purposes of construing such provisions in tax statutes.

It bears emphasis that this Court repeated that distinction several years later in a case that the majority also ignores, citing *Grace* for the proposition that statutory "exclusions" refer to properties "not covered because definitionally excepted," where as statutory "exemptions" refer to properties "which meet the statutory conditions precedent to regulation, but are, as an act of legislative grace, nonetheless excepted" (*La Guardia v Cavanaugh*, 53 NY2d 67, 80 [1981]). Moreover, the Division of Tax Appeals has recognized for decades that *Grace* "discusses the differing burdens of proof for an exemption from tax, as opposed to that for an exclusion from tax" (*Matter of Katz*, 1994 WL 268115, *9, 1994 NY Tax LEXIS 318, *21 [NY St Div of Tax Appeals DTA No. 811673, June 9, 1994]; *see Matter of Dunham's Resort Corp.*, 2004 WL 2016219, *7, 2004 NY Tax LEXIS 183, *16-17 [NY St Div of Tax Appeals DTA No. 819106, Sept. 2, 2004] [relying on *Grace* in explaining that "(t)he burden of proof to show entitlement to an exemption . . . (or) an exclusion is placed upon petitioner, though the burden (for exclusions) is a lighter one because exclusions are strictly construed against the taxing authority"]; *Matter of 1605 Bookcenter, Inc.*, 1990 WL 204903, *11, *14, 1990 NY Tax LEXIS 216, *29, *38-39 [NY St Div of Tax Appeals DTA No. 800121, May 17, 1990] [noting that *Grace* provides both that exemptions are strictly construed against the party claiming the exemption and that exclusions must be construed strictly in favor of the taxpayer]). Similarly, the Appellate Division has long recognized this Court's distinction between exemptions and exclusions in *Grace*, and required that statutory exclusions be construed in the taxpayer's favor (*see Matter of New York Life Ins. Co. v State Tax Commn.*, 80 AD2d 675, 676 [3d Dept 1981] [citing *Grace* for the proposition that "where, as here, an exclusion rather than an exemption is involved, the statute must be strictly construed in favor of the taxpayer"], *affd for* *reasons stated in App Div mem* 55 NY2d 758 [1981]; *Matter of Burger King v State Tax Commn.*, 70 AD2d 447, 450 [3d Dept 1979], *affd as mod* 51 NY2d 614 [1980] [same]; *see also Matter of United Artists Theatre Circuit v State Tax Commn.*, 52 NY2d 1013, 1014 [1981], *revg* 76 AD2d 995, 996 n [3d Dept 1980] [reversing "essentially for reasons stated in Presiding Justice A. Franklin Mahoney's dissenting opinion at the Appellate Division"; that dissenting opinion relied on *Grace* in concluding that exclusions, unlike exemptions, must be construed in the taxpayer's favor]). In light of this jurisprudential history—now ironically dismissed by the majority as "revisionist analysis that ignores our case law" (majority op at 594)—it is simply disingenuous to fail to acknowledge that *Grace* drew a distinction between exemptions and exclusions for purposes of statutory construction, requiring that exemptions be construed in favor of the government, but that exclusions be construed in favor of the taxpayer.

The majority's failure to acknowledge the distinction drawn in *Grace* appears to be rooted in an attempt to emulate federal law in interpreting our state tax statutes (*see* majority op at 593 n 2). The majority relies upon *Mobil Oil*, which the Commissioner argues overturned *Grace*. In *Mobil Oil*, the Court stated—without further discussion—that

> "[w]hile it is the general rule that a statute which levies a tax is to be construed most strongly against the government and in favor of the taxpayer, the rule is otherwise with respect to the taxpayers' right to exclude items from taxation. In the case of statutory exclusions, the presumption is in favor of the taxing power" (58 NY2d at 99 [citation omitted]).

The *Mobil Oil* Court did not expressly overrule *Grace* and, inasmuch as "[w]e do not overrule important authorities *sub silentio*" (*Pratt Inst. v City of New York*, 183 NY 151, 161 [1905]), *Mobil Oil* should not be read as doing so.

In fact, the decision in *Mobil Oil* did not even cite *Grace*; rather, the Court relied upon *Matter of Schwartzman* (262 App Div 635, 636 [3d Dept 1941], *affd without op* 288 NY 568 [1942]), a case involving an *exemption*, not an exclusion. The Court of Appeals decision in *Schwartzman* simply affirmed, without opinion, a decision of the Appellate Division, Third Department. However, as explained above, the rule in the Third Department—prior to *Mobil Oil* and based upon our case law—

was that, "while the taxpayer ordinarily must bear the burden of overcoming a tax assessment, where . . . an exclusion rather than an exemption is involved, the statute must be strictly construed in favor of the taxpayer" (*New York Life Ins.*, 80 AD2d at 676 [citation omitted]; *see Burger King*, 70 AD2d at 450). Thus, when the Third Department decided *Fairland Amusements v State Tax Commn.* (110 AD2d 952 [3d Dept 1985], *revd* 66 NY2d 932 [1985]) shortly after *Mobil Oil* was handed down, it is not surprising that a dissenting opinion, in challenging the interpretation of an exclusion in favor of the government, stated the well-settled rule that, "in determining if there is an exclusion under the Tax Law, any ambiguities in the tax statute must be construed most strongly in favor of the taxpayer and against the government" (*id.* at 954 [Mikoll, J., dissenting]). Nor is it surprising that this Court expressly agreed with the dissent in *Fairland* and reiterated our long-standing rule in interpreting the statutory language—providing for an exclusion—in favor of the taxpayer, stating "[w]e agree with the dissenters below that there is an ambiguity in the statutory scheme which must be construed most strongly in favor of the taxpayer and against the government" (*Fairland*, 66 NY2d at 934). Thus, contrary to the majority's conclusion, *Fairland* supports Wegmans' argument that the statement in *Mobil Oil* was a syntactical error—the result of the Court using imprecise language in describing exclusions versus exemptions, as the Third Department correctly recognized six months after *Fairland* reiterated the rule as set forth in *Grace* (*see Towne-Oller*, 120 AD2d at 874 n).[2] In any event, even absent *Fairland*, *Mobil Oil*—based on a misreading of Appellate Division precedent and failing to cite *Grace*—cannot be

2. The majority's attempt to distinguish *Fairland* fails. The question in *Fairland* was whether the sales of tickets for the plaintiff's portable amusement rides were definitionally excluded from taxation because the site where the rides were located was not a "place of amusement" as defined by Tax Law § 1101 (d) (10) (110 AD2d at 953). In other words, the question was whether the rides were "not covered because definitionally excepted" and, thus, an "exclusion" applied (*La Guardia*, 53 NY2d at 80). To the extent that this Court's subsequent decisions in *Matter of Charter Dev. Co., L.L.C. v City of Buffalo* (6 NY3d 578, 582 [2006]) and *Matter of 677 New Loudon Corp. v State of N.Y. Tax Appeals Trib.* (19 NY3d 1058, 1060 [2012], *cert denied* 571 US 952 [2013]) used the terms exclusions and exemptions interchangeably, both of those cases involved exemptions (*see Matter of HDV Manhattan, LLC v Tax Appeals Trib. of the State of N.Y.*, 156 AD3d 963, 967 & n 4 [3d Dept 2017]); thus, the Court was applying the traditional rule that ambiguities in tax statutes providing for exemptions must be resolved in favor of the government.

read as overruling *Grace* sub silentio. Therefore, the rule remains that, in determining entitlement to a tax exclusion, tax statutes are "to be construed most strongly against the government and in favor of the citizen," but "if a statute or regulation authorizing an exemption is found, it will be construed against the taxpayer" (*Grace*, 37 NY2d at 196 [internal quotation marks omitted]).

II.

That said, I agree with the majority that reversal is required here. Wegmans concedes that, as the taxpayer, it bears the ultimate burden to establish its entitlement to the tax exclusion at issue. Moreover, the Tribunal's determination must be upheld unless shown to be irrational (*see Matter of 677 New Loudon Corp. v State of N.Y. Tax Appeals Trib.*, 19 NY3d 1058, 1060 [2012]; *Grace*, 37 NY2d at 195-196). Thus, "[i]f there are any facts or reasonable inferences from the facts to sustain it, the court must confirm the . . . determination" (*Grace*, 37 NY2d at 195). Even if any ambiguity in the statutory exclusion at issue is construed against the government—as the Tribunal did here, applying the traditional rule—Wegmans has failed to demonstrate that the Tribunal's interpretation is unreasonable. Accordingly, I agree that the information furnished cannot be deemed "personal or individual in nature" within the meaning of Tax Law § 1105 (c) (1) (*Matter of ADP Automotive Claims Servs. v Tax Appeals Trib.*, 188 AD2d 245, 248 [3d Dept 1993], *lv denied* 82 NY2d 655 [1993]).

I reiterate that the new rule pronounced by the majority here—namely, that statutory exclusions must be construed against the taxpayer—is inconsistent with our precedent. Significantly, however, I note that even the majority does not contend that it is necessary to construe section 1105 (c) (1)'s exclusion against the taxpayer in order to reach the result that it does. Therefore, I am also compelled to emphasize that the majority's statements regarding statutory construction are, in fact, dicta. The majority's declaration that New York taxpayers are now deprived of a protection they have long enjoyed—in a misguided attempt to resolve confusion in the lower courts that never existed—is not only wrong, but completely unnecessary.

FAHEY, J. (dissenting). I respectfully dissent. The key question on this appeal is the distinction in the interpretation of tax exclusions and tax exemptions. For decades the Appellate

Division has correctly analyzed this area of law in holding that an exclusion should be interpreted in favor of the taxpayer (*see Matter of New York Life Ins. Co. v State Tax Commn.*, 80 AD2d 675, 676 [3d Dept 1981] ["where . . . an exclusion rather than an exemption is involved, the (tax) statute must be strictly construed in favor of the taxpayer"], *affd for reasons stated in App Div mem* 55 NY2d 758 [1981]; *Matter of Burger King v State Tax Commn.*, 70 AD2d 447, 450 [3d Dept 1979] [holding that an exclusion from taxation is "to be strictly construed in favor of the taxpayer"], *affd as mod* 51 NY2d 614 [1980]; *see also Matter of United Artists Theatre Circuit v State Tax Commn.*, 52 NY2d 1013, 1014 [1981], *revg* 76 AD2d 995, 996 [3d Dept 1980]; *see generally Matter of Grace v New York State Tax Commn.*, 37 NY2d 193, 196 [1975]). I agree with the Appellate Division order in this case, and I adopt both its holding and its reasoning as my own.

WILSON, J. (dissenting). If there is any fixed star in our statutory construction constellation, it is that "[t]he primary consideration of courts in interpreting a statute is to ascertain and give effect to the intention of the Legislature" (*Riley v County of Broome*, 95 NY2d 455, 463 [2000] [internal quotation marks omitted]). We announced that principle as early as 1855 (*Corwin v New York & Erie R.R. Co.*, 13 NY 42, 48 [1855]), reiterated it earlier this month (*Nadkos, Inc. v Preferred Contrs. Ins. Co. Risk Retention Group LLC*, 34 NY3d 1 [June 11, 2019]), and repeatedly reasserted it in the intervening years (McKinney's Cons Laws of NY, Book 1, Statutes § 92 [a], Comment [collecting cases]). Nevertheless, neither the Tax Appeals Tribunal, nor any appellate court—including the majority in this case—has attempted to determine with the usual tools of statutory interpretation what the legislature meant by the words "personal or individual" in Tax Law § 1105 (c) (1), the tax exclusion now before us.

Without attempting to discern the legislature's meaning, the majority upholds the Tribunal's determination that the grocery price reports at issue here, "CPAs," are "not personal or individual in nature because [they were] collected from prices on supermarket shelves, which are publicly available, widely-accessible, and not confidential" (majority op at 595). I disagree. The statute says nothing about the confidentiality or public availability of the information. It would have been simple enough for the legislature to have written "confidential"; it did not do so.

The Appellate Division unanimously held that "to expand the interpretation of Tax Law § 1105 (c) (1) to allow for the Tribunal's denial of the subject tax exclusion based solely on the fact that the information ultimately furnished derived from a public source would, under the circumstances presented, serve to defeat the purpose of the exclusion" (*Matter of Wegmans Food Mkts., Inc. v Tax Appeals Trib. of the State of N.Y.*, 155 AD3d 1352, 1357 [3d Dept 2017]). I agree. But the Appellate Division, too, failed to conduct any real investigation into what the legislature meant when it used the words "personal or individual."

Instead, the lower courts and the Tax Appeals Tribunal reached their decisions principally by relying upon their own prior cases, cherry-picked to avoid others that are inconsistent. Not one of those cases attempted to determine the legislature's meaning when it enacted Tax Law § 1105 (c). Cut loose from the usual anchor to text, structure, and history, the lower courts and the Tribunal have incorporated varying and inconsistent interpretations of the exclusion based, in part, on considerations anathema to the statutory scheme, properly understood.

I agree with the majority that the prior decisions of the Appellate Division (two of which were summarily affirmed by our Court) have not clarified the statute's meaning. Despite that recognition, the majority absolves itself of our duty to "give effect to the intention of the Legislature" and resolve the pure question of statutory interpretation presented here. Instead, the majority assumes the soundness of the Tax Appeals Tribunal's interpretation, pausing only to dispense pure obiter dicta denigrating a 40-year-old principle of statutory interpretation distinguishing tax exemptions from tax exclusions.

Our charge is to determine the statute's meaning. I have attempted to do so, by reviewing all of the materials pertinent to statutory interpretation, including text, structure, legislative history, and relevant underlying presumptions. So armed, I conclude that the exclusion here operates quite differently from the way the Tribunal has interpreted it, such that the Tribunal's decision must be annulled.

I.

The Tax Appeals Tribunal is the agency charged with the administration of the tax statutes.

> "[W]here the interpretation of a statute or its application involves knowledge and understanding of underlying operational practices or entails an evaluation of factual data and inferences to be drawn therefrom, the courts regularly defer to the governmental agency charged with the responsibility for administration of the statute. If its interpretation is not irrational or unreasonable, it will be upheld" (*Matter of Colt Indus. v New York City Dept. of Fin.*, 66 NY2d 466, 470-471 [1985], quoting *Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451, 459 [1980]).

Our deference to the Tribunal has an important, foundational limit: "where the question is one of pure statutory reading and analysis, dependent only on accurate apprehension of legislative intent, there is little basis to rely on any special competence or expertise of the administrative agency. In such a case, courts are free to ascertain the proper interpretation from the statutory language and legislative intent" (*International Union of Painters & Allied Trades, Dist. Council No. 4 v New York State Dept. of Labor*, 32 NY3d 198, 209 [2018], quoting *Seittelman v Sabol*, 91 NY2d 618, 625 [1998]). To know whether the Tax Appeals Tribunal's interpretation of the statute is rational or reasonable, we must first know what the statute means. Otherwise, deference would mean the unbounded authority of an administrative agency to make law—a usurpation of the legislative function (NY Const, art III, § 1). Indeed, "[t]he interpretation of the laws is the proper and peculiar province of the courts" (Hamilton, Federalist No. 78).

How, then, do we "ascertain and give effect to the intention of the Legislature" (*Riley*, 95 NY2d at 463)? "We begin with the plain language of the statute, which is the clearest indicator of legislative intent" (*Matter of T-Mobile Northeast, LLC v DeBellis*, 32 NY3d 594, 607 [2018]). That "plain text" analysis incorporates all of the tools we use to make sense of text—the "plain meaning" of the words (*Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653, 660 [2006]), construing "words of ordinary import with their usual and commonly understood meaning" (*Yaniveth R. v LTD Realty Co.*, 27 NY3d 186, 192 [2016], quoting *Rosner v Metropolitan Prop. & Liab. Ins. Co.*, 96 NY2d 475, 479-480 [2001]), considering semantic canons of construction (*see Matter of Kese Indus. v Roslyn Torah Found.*, 15 NY3d 485, 491 [2010]), as well as the surrounding words (*see Matter of Lemma v Nassau County Police Officer Indem. Bd.*, 31 NY3d 523, 528 [2018]) and the larger statutory structure (*see Matter of Albany Law School v New York State Off. of Mental Retardation & Dev. Disabilities*, 19 NY3d 106, 120 [2012]).

In addition to the plain language of the statute, "inquiry should be made into the spirit and purpose of the legislation, which requires examination of the statutory context of the provision as well as its legislative history" (*Nostrom v A.W. Chesterton Co.*, 15 NY3d 502, 507 [2010] [internal quotation marks omitted], quoting *Matter of ATM One v Landaverde*, 2 NY3d 472, 477 [2004]). The question of "pure statutory reading and analysis," as to which we afford agencies no deference, includes "construction based on its legislative history" (*Painters*, 32 NY3d at 209). Thus, in *Matter of Union Indem. Ins. Co. of N.Y.* (92 NY2d 107, 124 [1998]), we explained that when the case presented questions requiring "examination of various statutory provisions contained in articles 74 and 76 of the Insurance Law, the legislative history of these provisions, and case precedent," the questions remained "ones of pure statutory reading and analysis, dependent only on accurate apprehension of legislative intent . . . [such that] no justification for judicial deference to the [agency's] interpretations is warranted" (*id.* at 124 [internal quotation marks omitted]).

Our precedents do not definitively establish any hierarchy among these several tools of statutory interpretation—that is, whether some cannot be resorted to when others on their own may resolve the ambiguities in the statute sufficient to decide the case (*see generally* Adam M. Samaha, *If the Text is Clear—Lexical Ordering in Statutory Interpretation*, 94 Notre Dame L Rev 155 [2018]).[1] Our cases are clear, however, that when engaging in "pure statutory reading and analysis" we are

1. (*Compare Kimmel v State of New York*, 29 NY3d 386, 408 [2017] ["(I)t is appropriate to consider legislative history even where a statute's plain meaning is clear"], *T-Mobile*, 32 NY3d at 607, 609 [considering legislative history even after concluding that the "plain language" of the tax statute at issue in that case encompassed the subject property], *and Fumarelli v Marsam Dev.*, 92 NY2d 298, 307 [1998] [rejecting employment of "overly general and self-canceling canons of construction" in favor of legislative history]; *with Matter of Anonymous v Molik*, 32 NY3d 30, 37-41 [2018] [claiming that resort may be had to legislative history only if the language is ambiguous or literal construction would lead to unreasonable consequences contrary to the purpose of the enactment, but although resolving the case mostly on the basis of the presumption against surplusage, nonetheless considering legislative history]; *Matter of Auerbach v Board of Educ. of City School Dist. of City*

(n. cont'd)

obliged to use all the tools of the judicial trade to "accurate[ly] apprehen[d] . . . legislative intent" before considering whether to defer to an agency's interpretation of a statute (*Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451, 459 [1980]; *see also Matter of Dental Socy. of State of N.Y. v Carey*, 61 NY2d 330, 335 [1984] ["Whether administrative action violates applicable statutes and regulations is a question within the traditional competence of the courts to decide"]).

Courts should defer to an agency's statutory interpretation (if not irrational or unreasonable) only after employing all of the tools of statutory interpretation, because only at that point will the agency's "special competence or expertise" be needed to apply the statute within the bounds of the judicially-determined statutory meaning (*Painters*, 32 NY3d at 209). Once the courts have interpreted the statute as best they can, "[t]he judicial function is exhausted" as a descriptive matter, as well as a matter of doctrine (*Matter of Howard v Wyman*, 28 NY2d 434, 438 [1971]). Although there are many cases in which we have deferred to an agency's expertise after we have construed a statute, those should not be mistaken for a rule requiring deference to every agency construction of the legislature's acts unless it reaches the point of irrationality. It would be an error of constitutional dimension for us to delegate our statutory construction role to any agency under the guise of deference. Doing so would empower agencies to do via interpretation what the legislature did not do via legislation (*see generally Matter of LeadingAge N.Y., Inc. v Shah*, 32 NY3d 249 [2018]).

The majority skips past the legislature's intent.[2] Ignoring the numerous cases in which we insisted on engaging in statutory interpretation before turning to agency deference—including our unanimous decision last month (*Matter of National Energy Marketers Assn. v New York State Pub. Serv. Commn.*, 33 NY3d 336, 347 n 5 [2019])—the majority jumps right to "whether the

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of N.Y., 86 NY2d 198, 204 [1995] [same, although less clearly resting on legislative history].) Here, the admittedly ambiguous statutory text means that we must examine legislative history no matter which side of this debate one takes.

2. The majority has not even applied its rule of deference consistently. It defers to the Tax Appeals Tribunal's construction of section 1105 (c) (1)—which is our job—but overrules the Tax Appeals Tribunal's application of "the rule of construction that requires exclusions from taxation to be strictly interpreted in the taxpayer's favor" (*Matter of Wegmans Food Mkts., Inc.*, 2016 WL 1109502, *8 [NY St Tax Appeals Tribunal DTA No. 825347, Mar. 10, 2016])—which is arguably the Tribunal's job.

Tribunal rationally determined that those information services were not excluded from the sales tax" (majority op at 595). But rationality must be measured against the legislature's action; if not, against what are we measuring it? The first and most important question before us is what the statute means, or at least our best understanding of what the statute includes or excludes; we ask whether the agency's interpretation is acceptable only once we have measured the metes and bounds of the range of statutory meanings ourselves.[3] I therefore turn to the question the majority avoids: what does Tax Law § 1105 (c) (1)'s exclusion mean?

II.

Tax Law § 1105 (c) (1) imposes sales tax on:

> "(c) The receipts from every sale, except for resale, of the following services:
>
> "(1) The furnishing of information by printed, mimeographed or multigraphed matter or by duplicating written or printed matter in any other manner, including the services of collecting, compiling or analyzing information of any kind or nature and furnishing reports thereof to other persons, *but excluding the furnishing of information which is personal or individual in nature and which is not or may not be substantially incorporated in reports furnished to other persons*, and excluding the services of advertising or other agents, or other persons acting in a representative capacity, and information services used by newspapers, electronic news services, radio broadcasters and television broadcasters in the collection and dissemination of news, and excluding meteorological services." (Emphasis added.)

All agree that the services at issue in this appeal fall into the general taxing clause; RetailData is in the business of "collecting, compiling or analyzing information of any kind or

3. The majority's inattention to the statute's meaning is particularly worrisome because this is our first encounter with the exclusion language in Tax Law § 1105 (c) (1), setting aside our opinion-less affirmances of Appellate Division decisions in *Matter of New York Life Ins. Co. v State Tax Commn.* (80 AD2d 675, 676 [3d Dept 1981], *affd* 55 NY2d 758 [1981]) and *Allstate Ins. Co. v Tax Commn. of State of N.Y.* (115 AD2d 831 [3d Dept 1985], *affd* 67 NY2d 999 [1986]).

nature and furnishing reports thereof to other persons" (*see Matter of Audell Petroleum Corp. v New York State Tax Commn.*, 69 NY2d 818, 819-820 [1987] ["sale of the service of furnishing information by a business whose function it is to collect and disseminate information" is taxable under this subdivision]). The question is what information services fall into the first of the subdivision's exclusions: "excluding the furnishing of information which is personal or individual in nature and which is not or may not be substantially incorporated in reports furnished to other persons."

Read alone, the text of the "personal or individual" exclusion is susceptible of several meanings. The phrase "which is personal or individual in nature" could either modify the noun "information" (i.e., the *information* must be "personal or individual in nature") or the present participle phrase "furnishing of information" (i.e., "the *furnishing*" of the information must be "personal or individual in nature"). Likewise, the second clause of the exclusion ("reports furnished to other persons") could refer, on the face of the text, to the specific information "furnished" to the first party (the specific data must not be sold to a third party or commoditized), or to the nature of the information furnished (the report or other tangible output representing the service may not be of the type that can be sold to a third party or commoditized). Indeed, it is not clear whether the second clause of the exclusion is disjunctive—that is, certain activities might fall into the "personal or individual" prong only to be thrown out by the "reports furnished to other persons" prong—or part of a single integrated definition, helping to define what "personal or individual" means.

The remaining words in the clause are of limited help. The advertising exclusion clearly would reach, for example, brochures providing information about canned tuna to a wide audience (which all agree would not be subject to the exclusion because the "reports" would be available to all sorts of persons). The newsgathering exclusions reinforce the general exemption of newspapers and related services from sales taxation (Tax Law § 1115 [a] [5]). "[T]he services of . . . persons acting in a representative capacity" is as unclear on its face as the exclusion before us.[4]

To decide this case, we must resolve the ambiguity on the face of the statute. If "personal or individual" refers to the

4. The remaining clauses of Tax Law § 1105 (c) are of little assistance, because none speaks to services that can be considered—even generously—to

(n. cont'd)

nature of the services provided, the CPAs qualify for the exclusion: they were custom-created for Wegmans, built on observations of the world and compiled into a report only Wegmans could read, containing precisely and exclusively the information Wegmans specified. If, by contrast, "personal or individual" refers to the source of the information provided, it is likely that, as the majority explains, the CPAs, drawing as they do on commonly-available, public information on grocery store prices, likely do not fall into the exclusion.

A.

The majority chooses the latter statutory interpretation by throwing up its hands, declaring the Tribunal's determination not unreasonable, and citing—as it is heading out the door—two Appellate Division cases (*Matter of ADP Automotive Claims Servs. v Tax Appeals Trib.*, 188 AD2d 245, 248 [3d Dept 1993]; *Matter of Rich Prods. Corp. v Chu*, 132 AD2d 175, 177-178 [3d Dept 1987]) that ostensibly support its position. Those cases, however, do not examine the legislative or statutory history of the "personal or individual" exclusion, and do not themselves rely on any other decisions that do. Instead, each cites to a daisy chain of cases, ultimately resting on nothing at all.

ADP Automotive relies for its interpretation of the exclusion on *Matter of Towne-Oller & Assoc. v State Tax Commn.* (120 AD2d 873, 874 [3d Dept 1986]) and *Rich Prods*. *Towne-Oller* rests its reasoning solely on *Matter of New York Life Ins. Co. v State Tax Commn*. (80 AD2d 675, 678 [3d Dept 1981]), which found—correctly—that a private detective agency's writing of individualized reports on particular persons for individual clients fell into the exclusion. Although *New York Life* involved the gathering of some information that was substantially less public than supermarket prices, the Appellate Division's holding rested not on the nature of the information collected, but on the customized nature of the reports delivered: "the primary basis of the report . . . is tailored in each instance to the particular specifications as promulgated by the petitioner company in its request. It is somewhat difficult to imagine how any in-

be "information services" of the type captured by subdivision (c) (1); indeed subdivision (c) (9) expressly excludes whatever was taxable under (c) (1) from its scope.

formation could be more personal or individual" (80 AD2d at 677).[5]

Rich Prods. held that customization of reports "in some respects to respond to the needs of the particular client is not dispositive of entitlement to the exclusion, particularly where, as here, the information contained therein is derived from a single data repository which itself is not confidential and is widely accessible" (132 AD2d at 178). The Court in *Rich Prods.* conducted no investigation into the meaning of "personal or individual," instead explaining that "[t]o rule otherwise would be inconsistent with" *Towne-Oliver*, *Allstate Ins. Co. v Tax Commn. of State of N.Y.* (115 AD2d 831, 834 [3d Dept 1985], *affd* 67 NY2d 999 [1986]) and *Matter of Twin Coast Newspapers v State Tax Commn.* (101 AD2d 977 [3d Dept 1984]) (132 AD2d at 178).

Twin Coast concerned a publisher of a weekly import and export bulletin, widely distributed, who permitted subscribers to purchase excerpts of those bulletins by specifying which portions they wanted to receive. *Twin Coast* contained no examination of the legislature's intent, and its holding is a straightforward application of the statutory language "is not or may not be substantially incorporated in reports furnished to other persons," because the excerpts were merely copies of portions of the (taxable) bulletins.

Allstate Ins. Co. v Tax Commn. of State of N.Y. (115 AD2d 831 [3d Dept 1985]) was decided solely on the ground that a declaratory judgment action was not the proper vehicle to challenge the imposition of tax. Although the opinion states that section 1105 (c) (1) "does not apply to information filed with a governmental agency as a public record to which there is unlimited public access" (115 AD2d at 834), that statement is dicta (*cf. People v Onofre*, 51 NY2d 476, 493 [1980] [noting the "limited precedential value of a summary affirmance"]; *Mandel v Bradley*, 432 US 173, 176 [1977] ["a summary affirmance is an affirmance of the judgment only . . . not necessarily the reasoning by which it was reached" (internal quotation marks omitted)]). I also note that *Allstate* itself relied only on two cases: *New York Life*, which cuts against the Tribunal's position, and *Twin Coast Newspapers*. In sum, the two cases on

5. *New York Life* made the additional observation that the Tribunal's interpretations of section 1105 (c) (1) exhibited "vacillation, inconsistency and obvious doubt concerning the [Tribunal's] own interpretation of the statute" (*id.* at 678).

which the majority relies turn out to be turtles all the way down, lacking any grounding in legislative intent.

Oddly, the parties and the majority fail to mention the one decision of our Court that bears on whether "personal or individual" should be read as relating to the information contained in the report (i.e., are the items of information in the report ones we would call "personal" or "individual") or, instead, as relating to the information service provided (i.e., was the service provided "personal" or "individual" to the recipient). In *Audell*, we held that the tax levied under section 1105 (c) (1) was levied on the service, not the information: "As the statute and the implementing regulations indicate, it is the sale of the service of furnishing information by a business whose function it is to collect and disseminate information which is taxable under Tax Law § 1105 (c) (1) and not the mere sale of information" (69 NY2d at 819-820 [citation omitted]). It would be incongruous, absent legislative direction to the contrary, to read the exclusion to concern the "personal or individual" character of the underlying information when we have held that the tax itself is imposed on the service provided to the client, not the underlying information.

B.

The legislative history, ignored by the majority, makes the meaning of the personal or individual exclusion clear: "personal or individual" was meant to distinguish generic information services from customized ones.[6]

Save for a brief period in 1933, New York had no statewide sales tax until 1965, when it was enacted as part of Governor Rockefeller's executive budget for that year. The information services tax and the exclusion were both part of that original statewide sales tax (L 1965, ch 93, § 1); indeed, the text of the present Tax Law § 1105 (c) (1) is identical to that adopted in 1965, with the exception of the additional exclusion for "meteorological services" adopted by the legislature (L 1995, ch 373) to overturn a contrary Tax Appeals Tribunal holding made

6. Although the majority characterizes my conclusion that "personal or individual" means "custom" as "speculative," "unsupported" and "meandering" (majority op at 595-596 n 4) that conclusion turns on the answer to a very straightforward question: was "personal and individual" meant to modify the *service* or the *information*? Every bit of the legislative history, as well as our decision in *Audell*, points to the former, not the latter. A service that is "personal" or "individual" is specific to a customer, i.e., custom.

some decades later (*see* Governor's Approval Mem, Bill Jacket, L 1995, ch 373 at 5, 1995 NY Legis Ann at 279), and for "electronic news services" to modernize the historic exclusion for newspapers and periodicals (L 2011, ch 583; Senate Introducer's Mem in Support, Bill Jacket, L 2011, ch 583 at 7).

The statewide sales tax did not emerge, like Botticelli's Venus, fully-formed from the Governor's budget submission. Instead, the Governor's proposal was built on the foundation of the existing sales taxes levied by localities. Except for a one-off, one-year one-percent sales tax imposed in 1933 (*see* Robert B. Ward, New York State Government [2d ed 2006]), all prior sales taxes in the state had been levied by local governments pursuant to general legislative authorization—originally limited to New York City (L 1934, ch 873), but eventually extended to other local governments (L 1947, ch 278). All contemporaneous discussion of the State's 1965 tax law, as well as the parties' arguments about the legislative history of the information services tax, begins from the understanding that the information services sales tax was based on the prevailing sales tax on information services imposed by New York City.[7]

In 1965, New York City's information services tax local law read as follows (Administrative Code of City of NY § N46-2.0 [5-a] [adopted by Local Law No. 78 (1952) of City of NY (July 1, 1952), as renum by L 1963, ch 100, § 1428]):

> "[The City imposes a] tax of three per cent upon the receipts from every sale of information services involving the furnishing of printed, mimeographed, multigraphed matter or matter duplicating written or printed matter in any other manner, other than

7. The Governor's 1965 budget message is circumspect about the source of the proposed sales tax act's language, but makes plain that the purpose of the statewide tax is to harmonize local sales taxes (and adjusts other tax revenue flows to compensate New York City for a mandated one-point reduction in the City's sales tax). The Legislative Annual for Laws of 1965, chapter 93 makes it clear that the statewide sales tax was constructed by looking to the existing localities' laws and drawing into its text taxing clauses from local laws (1965 NY Legis Ann at 432-435); the Annual also explains that services that were then taxed by New York City, including "information services," which were not taxed by other localities, would be part of the broader tax base (*id.*; *see also* Marilyn M. Rubin, A Guide to New York State Taxes: History, Issues and Concern at 2-4 [2011], http://pjsc.magikcms.com/Tax%20guides/StateGuideWeb.pdf [state uniform tax based on NY City sales taxes as they stood in 1965]).

> professional services and services of employees, agents or other persons acting in a representative or fiduciary capacity or information services furnished to newspapers. 'Information services' shall mean and include the services of collecting. compiling or analyzing information of any kind or nature and furnishing reports thereof to other persons."

Large sections of that language are nearly word-for-word identical to the language that became Tax Law § 1105 (c) (1), once one transposes the definition section to the same place in the statute:

L 1965, ch 93 (Statewide)	**Administrative Code § N46-2.0 (NY City)**
"The furnishing of information by printed, mimeographed or multigraphed matter or by duplicating written or printed matter in any other manner, including the services of collecting, compiling or analyzing information of any kind or nature and furnishing reports thereof to other persons, but excluding the furnishing of information which is personal or individual in nature and which is not or may not be substantially incorporated in reports furnished to other persons, and excluding the services of advertising or other agents, or other persons acting in a representative capacity, and information services used by newspapers, radio broadcasters and television broadcasters in the collection and dissemination of news."	"information services involving the furnishing of printed, mimeographed, multigraphed matter or matter duplicating written or printed matter in any other manner [includ(ing) the services of collecting, compiling or analyzing information of any kind or nature and furnishing reports thereof to other persons], other than professional services and services of employees, agents or other persons acting in a representative or fiduciary capacity or information services furnished to newspapers."

There is one significant variation between the state and city information services taxes: the city law excludes "professional services" from taxation, whereas the state language substitutes the phrase "personal or individual" services. As it turns out, it was the New York City tax regulations (not a local law approved by the City Council) that provided the "personal or individual" language that wound up in section 1105 (c). The regulation is worth quoting at some length (NY City Dept of Finance Regulations, Sales and Compensating Use Taxes [11 RCNY] art 98 [1964]):

> "Effective July 1, 1952, a tax is imposed upon the receipts from every sale or use of information services involving the furnishing of printed, typewrit-

> ten, written, mimeographed, multigraphed matter or matter duplicating written or printed matter in any other manner, other than professional services and services of employees, agents, or other persons acting in a representative or fiduciary capacity, or information services furnished to newspapers.
>
> " 'Information services' means and includes the services of collecting, compiling, and analyzing information of any kind or nature, and furnishing reports thereof to other persons. Included in but not limited to the type of information services that are subject to the tax are the services of furnishing credit information, statistical information, building and construction information, stock market analyses, and advisory services information, advertising surveys, radio and television surveys, racing and other sports information, tax information, and numerous other services involving the collecting, compiling, or analyzing of information of any kind or nature and furnishing reports thereof to other persons. . . .
>
> "The furnishing of information, including a written report, to a person which is personal or individual in nature and which is not or may not be substantially incorporated in reports furnished to other persons is not deemed to be an information service within the meaning of the law, and is not subject to the tax. In such case, the person furnishing the information is required to pay the tax on the purchases of tangible personal property used by him in connection therewith.
>
> "To illustrate: (1) an investment counselor who examines and analyzes the investment needs of a particular client and who renders a report recommending a portfolio of services for investment by such client is not deemed to be furnishing information services. (2) A private detective agency which makes a special investigation at the request of another and renders a report of such investigation is not deemed to be furnishing information services."

The New York City regulation, read in conjunction with the local law it was interpreting, makes clear that the "personal or individual" phrase was meant to broaden the City's exclusion for "professional services" (the services of "agents" being captured in a separate exclusion). The legislature in 1965 followed suit by adopting the broader "personal or individual" language of the City's regulation instead of using the "professional services" language from the New York City local law.

The claim that the State aimed to copy the city regulation language to capture and define "professional services" is bolstered by the Legislative Annual, which explained that "[d]espite [the] broad tax base [of the statewide law], many sales of property and services would not be taxable under this bill. In addition to the specific exemptions set forth above, *professional*, fiduciary, *consulting*, advertising and transportation services would not be taxable" (1965 NY Legis Ann at 433 [emphasis added]). The "personal or individual" exclusion is the only provision of the 1965 tax law that could possibly be construed to capture "professional" or "consulting" services—indeed, the only use of the word "professional" in the text of the 1965 statewide sales tax law relates to circus performers (Tax Law § 1116 [d] [2] [B]), which, despite shenanigans at firm holiday parties, cannot encompass the entire class of professionals in New York State.[8]

Because the state legislature took the New York City information tax and applied it statewide, I next examine the legislative history of the New York City information tax. The New York City local law that adopted the information services tax (Local Law No. 78 [1952] of City of NY), was an attempt to regulate information services whose published reports had been excluded from the existing tax on retail sales of personal property by a landmark decision of this Court: *Dun & Bradstreet, Inc. v City of New York* (276 NY 198 [1937]). There, New

8. That the state legislature chose to use the regulation's "personal or individual" gloss on the word "professional" and not the New York City tax language "professional" can be explained by the State's relative freedom, compared to the City, to broaden the exclusion. The enabling act permitting New York City to impose sales taxes between 1934 and 1965 incorporated a substantive ban on New York City taxation of professional services—a ban reflected in the Administrative Code § N46-2.0 (5-a) language (*see Glushak v City of New York*, 6 AD2d 381, 384 [1st Dept 1958]). However, the courts—including this Court—read "professional" narrowly, encompassing only a small set of licensed professionals (*see e.g. Matter of Voorhees v Bates*, 308 NY 184, 188 [1954]). The legislature's adoption, in the statewide taxation law, of the regulation's language rather than the local law language evidences its decision that the exclusion from taxation would not be limited to information services provided by licensed professionals, but would extend to information services provided by professionals in a much more generic sense (i.e., "white collar work").

York City sought to tax a "mercantile agency which furnishes to its subscribers information respecting the financial standing of persons engaged in business" compiled in reference books (*id*. at 202). The City reasoned that the books were goods, and thus were subject to the City's "tax on the sale of tangible personal property." We disagreed, in part because the City's sales tax included a specific section for services and in that section taxed only certain utility services (implying that all other services were excluded from taxation), and in part because information services that generated personal property did not constitute the sale of personal property (*id*. at 204-205):

> "It is true that in rendering services to its subscribers, it delivers to them reference books, the title of which remains in appellant, but the subscribers are expressly forbidden to let any one else see or use such books and they are notified not to rely upon the ratings given in the books but in all cases when extending credit to consult the detailed reports in the possession of appellant. No charge is made to the subscribers for the use of the reference books separate and apart from the charge for services rendered and the books cannot be obtained in any other way. The information furnished to subscribers orally, in typewriting and in the reference books is confidential and personal in character. It is not and cannot be, under the subscription contracts, disclosed to the public. The information collected by appellant at great expense is secured to enable it to furnish to its subscribers detail information to guide them in making sales and in extending credit. The information furnished is of value to the subscribers and for it they pay but not for the paper upon which the information is conveyed or for the reference books which are only guides to assist in the rendition of appellant's service. One does not think of a telephone company as a seller of books to its subscribers. It renders a service. To make that service efficient, it furnishes its subscribers with books containing a list of its subscribers with their call numbers. 'The paper is a mere incident; the skilled service is that which is required.' "

The intent of the 1952 law, then, was to tax the "information services" that the Court excluded from taxation in *Dun & Brad-*

street, even though those services provided information that, because of a contractual provision preventing the subscriber from sharing the contents of the books, was "confidential and personal in character" (*id.* at 205). Conversely, the example given in the City's regulation of "an investment counselor who examines and analyzes the investment needs of a particular client and who renders a report recommending a portfolio of services for investment by such client" was excluded from taxation as an information service "personal or individual in nature," even though the information provided surely drew from public data (historical trading prices, debt/equity ratios and profits, for example). Same too for the city regulation's other example of a "private detective agency which makes a special investigation at the request of another"—with no mention of any necessity that the report be based on nonpublic information.

This legislative history helps to resolve the meaning of Tax Law § 1105 (c) (1) because it shows that the legislature, in its choice of "personal and individual," focused on the character of the information service (namely, the customized nature of information delivered by professional service providers), and not the nature of the information collected by the vendor. Dun & Bradstreet's volumes were taxable under the city law even though the information it provided was strictly confidential to its clients; investment counselor reports were not taxable even when they relied on public information.

Likewise, the legislative history demonstrates that the "is not or may not be substantially incorporated in reports furnished to other persons" language in the exclusion is not a separate requirement but an integral part of the more definite professional services exception, ensuring that true services—those where the information has been tailored to the personal or individual needs of the client—are exempt from taxation, but the kinds of services that are commoditized and are or can be provided outside the one-on-one bespoke client-professional relationship are captured by the taxing clause (Dun & Bradstreet services, or a newsletter produced by a specialist law firm for a fee to a large client list supplying the same information to several of its clients).

The understanding of the "personal or individual" exclusion from legislative history also comports with a commonsense interpretation of the statute, once we understand that the "personal or individual" exclusion is meant to exclude from taxation, among other things, professional and consulting services. To use a familiar example to most readers of this opinion, consider the services of a law firm. A law firm is often called upon to provide legal advice to a client on some proposed course of action. The information given to the law firm about the course of action is, naturally, "personal or individual" to the client. But the information the law firm gives the client may not be—indeed, much of it will not be, as law firm advice is founded (or ought to be founded) on law, all of which is or should be accessible to the public (*see generally Banks v Manchester*, 128 US 244, 253 [1888] ["law . . . binding every citizen, is free for publication to all, whether it is a declaration of unwritten law, or an interpretation of a constitution or a statute"]).

Unless law firm billing for such legal advice must now be divided between hours spent conveying public information (taxable) and non-public information (non-taxable)—adding further anguish to those who toil in private practice—even the provision of public information must be exempt from taxation if the "furnishing of information" is "personal or individual in nature" and is not the kind of information service that involves the distribution of information without "personal or individual" tailoring to clients (like, say, an annual client update on the activities of this Court, for which the provider charges a fee).

III.

Armed with that understanding of what the legislature meant by "personal or individual," I turn to the facts of this case. The service in question is a "Competitive Price Audit" (CPA) produced by RetailData Services for Wegmans Food Markets, Inc., a supermarket chain. The CPAs provide Wegmans with real-time pricing information for grocery products (specified by Wegmans) at certain competitor locations (specified by Wegmans), formatted into a report in a format specified by Wegmans. RetailData provided CPAs on demand; Wegmans would decide it needed data either on the prices of a particular item (e.g., a particular brand of canned tuna) being sold by competitors or prices on items generally (e.g., fancy albacore chunk light tuna in water, or simply canned tuna). Wegmans would then transmit a request for a CPA covering those items or categories of items, specifying dates, stores to check, and other parameters to RetailData. RetailData in turn would dispatch individual price checkers armed with smartphones or scanners to the relevant supermarkets to scan all the relevant prices during the specified dates, and then compile those prices into a report for Wegmans and Wegmans only. Although RetailData had multiple clients, if Wegmans and a second client each wanted to gather the same prices on the same items from the same store RetailData would dispatch two price checkers—one for each client—to gather the same data separately, furnishing to each client only the data gathered by the price checker assigned to that client.

The Tax Appeals Tribunal's decision on whether these CPAs were subject to sales tax analyzed these facts using an approach completely untethered from the statutory language, when properly understood.[9] The Tribunal examined the nature of the *information* (i.e., was the information publicly available, which it viewed as incompatible with "personal or individual") rather than the nature of the *information services* (i.e. the delivery of a customized report) provided by RetailData: "the question to be answered to determine eligibility for the exclusion is whether the information in the report is uniquely personal"; "[t]here is nothing 'uniquely personal' about the price of an item in a supermarket [and] such information is obviously not confidential, as it is accessible to anyone who enters a store" (*Matter of Wegmans Food Mkts., Inc.*, 2016 WL 1109502, *8-9 [NY Tax Appeals Tribunal DTA No. 825347, Mar. 10, 2016]).

The price of a can of tuna is "accessible to anyone who enters a store," but what the Tribunal never decided was whether a service that collected those prices for specific types of tuna (e.g., solid fancy albacore in water, 6 oz. can) of specific brands at specific stores on specific dates—with all specifications provided by a client—represented the kind of "furnishing of information" that was "personal or individual in nature and which is not or may not be substantially incorporated in reports furnished to other persons." Likewise, the Tribunal rejected

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9. Instead of attempting to discern the legislature's intent, the Tribunal relied on several Appellate Division decisions; those decisions contained no meaningful discussion or analysis of the information illuminating the legislature's understanding of "personal or individual," instead making guesses about what those words might have meant. By and large, those decisions misunderstood the statute as evincing an information-based, rather than service-based, exclusion (*see e.g. Matter of Hooper Holmes, Inc. v Wetzler*, 152 AD2d 871, 872 [3d Dept 1989]; *Matter of Towne-Oller & Assoc. v State Tax Commn.*, 120 AD2d 873 [3d Dept 1986]; *Matter of Rich Prods. Corp. v Chu*, 132 AD2d 175 [3d Dept 1987]; *Matter of Twin Coast Newspapers v State Tax Commn.*, 101 AD2d 977 [3d Dept 1984]).

Wegmans' contention that RetailData's process of validating data rendered the service within the exclusion, claiming "the compilation of information . . . is insufficient to meet the personal or individual requirement" because that requirement could be met only if the relevant data had been "transformed" (2016 WL 1109502, *9): a focus on the nature of the data provided, rather than whether the information service was one provided on a customized basis, regardless of the source of the underlying information or contents of the report.

Indeed, whether RetailData created new information or found existing information in the world and transformed it does not bear on the ultimate inquiry of whether the furnishing of information was "personal or individual in nature" or of the kind that would be "substantially incorporated in reports furnished to other persons." If RetailData scanned a basket of prices each week and used that as a basis for a highly sophisticated and proprietary analysis of grocery market trends, but then sent that analysis to a large client list in exchange for a subscription fee, the information service would not be one that was "personal or individual in nature" because the data was susceptible to being, and was in fact, "substantially incorporated in reports furnished to other persons" beyond the "personal or individual" client—even though the data was transformed and incorporated into information generated by RetailData, regardless of whether the underlying data was readily available or transmitted to clients along with the analysis. Conversely, a business that collected raw data from a "common source . . . that is not confidential and is widely accessible" (*Matter of Wegmans Food Mkts., Inc.*, 2016 WL 1109502, *11) but that was nonetheless created and validated only in response to a client's specific request is engaging in the "furnishing of information which is personal or individual in nature," so long as that request does not result in a standardized product that is sold to others.

RetailData's CPAs, as a matter of "pure statutory reading and analysis" (*Kurcsics*, 49 NY2d at 459), fell into the exclusion for information services that were "personal or individual in nature." Each CPA was tailored to Wegmans' precise requirements; the data generated was preserved solely for Wegmans' use and by its nature was not a standardized product that could be sold to others.

Because the Tribunal's determination was "inconsistent with the governing statute" (*Matter of Trump-Equitable Fifth Ave.*

Co. v Gliedman, 57 NY2d 588, 597 [1982]), its determination "requires no deference and must be annulled" (*Paramount Communications v Gibraltar Cas. Co.*, 90 NY2d 507, 516 [1997]), even if, as the majority contends, one puts a thumb on the scale in favor of the government (majority op at 594) when construing an exclusion. However, because the majority's decision places such emphasis on abolishing the exclusions/exemptions distinction, I briefly note my agreement with Judge Stein's opinion on this point (although I differ with her view of the correct outcome on the merits of the case). I add to her analysis only one additional observation, the same point I made at the start: "The primary consideration of courts in interpreting a statute is to ascertain and give effect to the intention of the Legislature" (*Riley*, 95 NY2d at 463 [internal quotation marks omitted]). I doubt our legislature intended to establish a rule, whether for exclusions or exemptions, that taxpayers should lose whenever the language of a tax statute is unclear. That seems particularly unlikely here, where the legislature sought to broaden an exclusion that had been previously interpreted to benefit only narrow classes of professional service providers. Even if I am wrong, and you could show me a legislator who says, "when I write tax laws, I want the courts to construe ambiguities so that 'the taxpayer always loses' " (*see* concurring op at 596), I will show you a legislator who will be, very shortly, legislative history.

The legislature's meaning is not opaque if one uses the conventional tools of statutory interpretation entrusted to us. Employing them, it becomes clear that the legislature was not concerned with the public nature of the information gathered by an information service provider or whether that information was transformed in some manner, but rather whether the report delivered was custom—personal or individual for the client—or generic—sold or potentially sold to others.

Accordingly, I dissent.

Chief Judge DIFIORE and Judges RIVERA and GARCIA concur; Judge STEIN concurs in result in an opinion; Judge FAHEY dissents in an opinion; Judge WILSON dissents in a separate dissenting opinion.

Judgment reversed, with costs, determination of respondent Tax Appeals Tribunal of the State of New York confirmed and petition dismissed.

[Next page is 901.]

MOTIONS FOR LEAVE TO APPEAL GRANTED OR DENIED

(Motions for leave to appeal that are dismissed, or that are granted or denied with additional explanation for basis of decision, are reported elsewhere.)

Decided April 2, 2019

Cardali v Slater	1st Dept: 167 AD3d 476	denied
Commissioner of the Dept. of Social Servs. of the City of N.Y. v New York-Presbyt. Hosp.	1st Dept: 164 AD3d 93	denied
Green v Himon	1st Dept: 165 AD3d 590	denied
Guzman v Promesa Admin. Servs. Org., Inc.	1st Dept: 164 AD3d 1142	denied
Karam, Matter of, v Rensselaer County Sheriff's Dept.	3d Dept: 167 AD3d 1108	denied
L&M Bus Corp., Matter of, v New York City Dept. of Educ.	1st Dept: 167 AD3d 454	denied
Marshall, Matter of, v New York State Dept. of Corr. & Community Supervision	3d Dept: 167 AD3d 1115	denied
QuickChek Corp., Matter of, v Town of Islip	2d Dept: 166 AD3d 982	denied
People v Alvarez	1st Dept: 166 AD3d 570	denied
People v Chamorro-Yax	2d Dept: 167 AD3d 955	denied
People v Dixon	2d Dept: 167 AD3d 1052	denied*
People v Holmes	2d Dept: 166 AD3d 821	denied*
People v Jeffreys	1st Dept: 167 AD3d 403	denied*
People v Soriano	2d Dept: 167 AD3d 668	denied*
People v Tracy E.	1st Dept: 167 AD3d 544	denied
People v Vasquez	2d Dept: 167 AD3d 789	denied
Serafin Props., LLC v Amore Enters., Inc.	4th Dept: 166 AD3d 1542	denied
Smiley, Matter of, v Venettozzi	3d Dept: 166 AD3d 1204	denied
Wingate, Matter of, v Venettozzi	3d Dept: 166 AD3d 1174	denied*
Yifru, Matter of (Commissioner of Labor)	3d Dept: 165 AD3d 1341	denied*

* Motion for poor person relief dismissed as academic or denied.

Decided May 2, 2019

Adinolfi, Matter of, v Callanan	2d Dept: 166 AD3d 966	denied
Avianna M.-G., Matter of (Stephen G.)	4th Dept: 167 AD3d 1523	denied
Brady, Matter of, v White	2d Dept: 168 AD3d 723	denied
Brady, Matter of, v White	2d Dept: 168 AD3d 724	denied
Dawn H.F., Matter of, v Marco J.	1st Dept: 169 AD3d 531	denied
DeStefano, Matter of, v Incorporated Vil. of Mineola	2d Dept: 167 AD3d 740	denied
Dominic T.M., Matter of (Cassie M.)	4th Dept: 169 AD3d 1469 (Appeal No. 1)	denied
E.V. v R.V.	2d Dept: 165 AD3d 736	denied
Irene A.-J.R., Matter of (Cassie M.)	4th Dept: 169 AD3d 1471 (Appeal No. 4)	denied
Jahvani Z., Matter of (Thomas V.—Mariah Z.)	3d Dept: 168 AD3d 1146	denied
Jayce P., Matter of (Ashley P.)	4th Dept: 164 AD3d 1607	denied*
Joseph L., Matter of (Cyanne W.)	2d Dept: 168 AD3d 1055	denied*
Lashlee, Matter of, v Lashlee	2d Dept: 169 AD3d 683	denied*
Mullings, Matter of, v Mullings	2d Dept: 168 AD3d 850	denied
Noble, Matter of, v Gigon	4th Dept: 165 AD3d 1640	denied
Nyjeer K.S., Matter of (Cassie M.)	4th Dept: 169 AD3d 1470 (Appeal No. 2)	denied
Paliani, Matter of, v Selapack	4th Dept: 167 AD3d 1576	denied
People ex rel. Torres v Graham	4th Dept: 167 AD3d 1582	denied*
State of New York, Matter of, v Jamaal A.	4th Dept: 167 AD3d 1526	denied
Straight, Matter of, v Schrouter	2d Dept: 168 AD3d 954	denied*
Tyrese M.M., Matter of (Cassie M.)	4th Dept: 169 AD3d 1471 (Appeal No. 3)	denied
Victor M., Matter of	2d Dept: 168 AD3d 1059	denied*

Decided May 7, 2019

Aguilera, Matter of, v Annucci	2d Dept: 167 AD3d 1000	denied

* Motion for poor person relief dismissed as academic or denied.

Bazile, Matter of, v Rubin	2d Dept: 165 AD3d 793	denied*
Briggs v State of New York Dept. of Corr. & Community Supervision	3d Dept: 163 AD3d 1306	denied*
Franco, Matter of, v Dweck	1st Dept: 165 AD3d 551	denied
Global Granite Sales Corp. v Sabovic	2d Dept: 166 AD3d 587	denied
Harris v Kay	1st Dept: 168 AD3d 419	denied
Inmate M. v State of New York	4th Dept: 164 AD3d 1629	denied
Jeffers v Stein	2d Dept: 152 AD3d 754	denied
Joseph, Matter of, v Polizzi	3d Dept: 167 AD3d 1207	denied
Knight, Matter of, v Colvin	4th Dept: 164 AD3d 1603	denied*
Mack v City of New York	1st Dept: 165 AD3d 443	denied
Mitchell v Caton on the Park, LLC	2d Dept: 167 AD3d 865	denied
Murphy, Matter of, v Murphy	2d Dept: 166 AD3d 779	denied
Oakwood Beach Bluebelt, Stage 1, Matter of (City of New York—Yeshivas Ch'San Sofer, Inc.)	2d Dept: 164 AD3d 1453	denied
Oakwood Beach Bluebelt, Stage 1, Matter of (City of New York—Yeshivas Ch'San Sofer, Inc.)	2d Dept: 164 AD3d 1453	denied
People v Espinal-Diaz	1st Dept: 168 AD3d 522	denied
People v Jonas	2d Dept: 168 AD3d 775	denied
People v Kaiser	2d Dept: 168 AD3d 1002	denied
People v Matos	1st Dept: 168 AD3d 438	denied*
People v Pritchett	2d Dept: 168 AD3d 1006	denied
People v Watkins	2d Dept: 168 AD3d 1007	denied*
People v Whitney	2d Dept: 168 AD3d 776	denied
Quadrozzi Concrete Corp. Individual Account Plan & Trust v Javash Realty, LLC	2d Dept: 164 AD3d 1491	denied
Rice, Matter of, v Wightman	4th Dept: 167 AD3d 1529	denied
Roberts v Coeymans Hollow Volunteer Fire Co.	3d Dept: 168 AD3d 1144	denied
Schwenger v New York Univ.	1st Dept: 168 AD3d 443	denied
Stone v Donlon	3d Dept: 156 AD3d 1308	denied
Sunlight Clinton Realty, LLC v Gowanus Indus. Park, Inc.	2d Dept: 165 AD3d 866	denied
Sweeney, Matter of, v Air Stream A.C. Co.	3d Dept: 167 AD3d 1222	denied

* Motion for poor person relief dismissed as academic or denied.

Thompson v Cliffstar Corp.	4th Dept: 167 AD3d 1571	denied
Trustees of Columbia Univ. in the City of N.Y. v D'Agostino Supermarkets, Inc.	1st Dept: 168 AD3d 594	granted
Tzamarot v JP Morgan Chase & Co.	1st Dept: 167 AD3d 550	denied

Decided May 9, 2019

Alam v Alam	2d Dept: 168 AD3d 896	denied
Alfa Laval U.S. Holding, Inc. v Blue Sage Capital, L.P.	1st Dept: 168 AD3d 645	denied
Blue Sage Capital, L.P. v Alfa Laval U.S. Holding, Inc.	1st Dept: 168 AD3d 645	denied
Bolender v Ronin Prop. Partners, LLC	2d Dept: 168 AD3d 1032	denied
Bonacker Prop., LLC, Matter of, v Village of E. Hampton Bd. of Trustees	2d Dept: 168 AD3d 928	denied
Buckshaw, Matter of, v DiNapoli	3d Dept: 169 AD3d 1139	denied
City of Watertown, Matter of (Watertown Professional Firefighters Assn., Local 191)	4th Dept: 169 AD3d 1396	denied
Daum, Matter of, v Venettozzi	3d Dept: 168 AD3d 1333	denied*
Feliciano, Matter of, v Cooper	2d Dept: 169 AD3d 675	denied
Goodwin, Matter of, v Annucci	3d Dept: 167 AD3d 1196	denied
Hill v City of New York	2d Dept: 151 AD3d 1032	denied
Joseph v City of New York	1st Dept: 143 AD3d 489	denied
JP Morgan Chase Bank, NA v Levin	2d Dept: 161 AD3d 966	denied
Juan PP., Matter of, v Sullivan	3d Dept: 168 AD3d 1297	denied
Laboy v City of New York	1st Dept: 159 AD3d 632	denied
Martin, Matter of, v Department of Educ. of the City of N.Y.	1st Dept: 167 AD3d 545	denied
People v Cartiglia	2d Dept: 169 AD3d 725	denied*
People v Harrell	2d Dept: 168 AD3d 890	denied*
People v Johnson	2d Dept: 168 AD3d 1110	denied
People v Joseph	1st Dept: 169 AD3d 430	denied
People v Lazzari	2d Dept: 169 AD3d 837	denied
People v Mangione	4th Dept: 169 AD3d 1370	denied*
People v Norris	2d Dept: 168 AD3d 1003	denied*
People v Paul	2d Dept: 168 AD3d 1004	denied

* Motion for poor person relief dismissed as academic or denied.

People v Sofo	2d Dept: 168 AD3d 891	denied
People v Wallason	2d Dept: 169 AD3d 728	denied*
Preferred Group of Manhattan, Inc. v City of Poughkeepsie	2d Dept: 166 AD3d 916	denied
Reyes v 83 Post Ave. Assoc., L.L.C.	1st Dept: 168 AD3d 607	denied
Route 17K Real Estate, LLC, Matter of, v Zoning Bd. of Appeals of the Town of Newburgh	2d Dept: 168 AD3d 1065	denied
Warner v State of New York	4th Dept: 166 AD3d 1525 (Appeal No. 1)	denied
Warner v State of New York	4th Dept: 166 AD3d 1526 (Appeal No. 2)	denied
Warner v State of New York	4th Dept: 166 AD3d 1527 (Appeal No. 3)	denied
White Plains Rural Cemetery Assn., Matter of, v City of White Plains	2d Dept: 168 AD3d 1068	denied

Decided June 6, 2019

Anonymous, Matter of	App Div, 1st Dept, 12/19/18	denied
Bowen, Matter of, v Dunlop	3d Dept: 169 AD3d 1173 (Proceeding No. 2)	denied*
Brown, Matter of, v Venettozzi	3d Dept: 164 AD3d 1583	denied
Christopher P., Matter of (Anthony P.)	4th Dept: 169 AD3d 1363	denied
Clark v State of New York	3d Dept: 165 AD3d 1371	denied
Cunningham, Matter of, v Trustees of St. Patrick's Cathedral	1st Dept: 170 AD3d 402	denied
Denise E., Matter of (Ajja M.)	4th Dept: 169 AD3d 1412 (Appeal No. 3)	denied
Destiney D.M.L., Matter of (Jose L.)	2d Dept: 170 AD3d 838 (Proceeding No. 1)	denied*
Dunlop, Matter of, v Bowen	3d Dept: 169 AD3d 1173 (Proceeding No. 1)	denied*
Edward M., Matter of (Ajja M.)	4th Dept: 169 AD3d 1408 (Appeal No. 1)	denied
Gavin, Matter of, v Worner	2d Dept: 167 AD3d 1008	denied
Gugliara v Veras	2d Dept: 170 AD3d 815	denied*

* Motion for poor person relief dismissed as academic or denied.

Hennessey S.L., Matter of (Jose L.)	2d Dept: 170 AD3d 838 (Proceeding No. 2)	denied*
Jacob W., Matter of (Jermaine W.)	4th Dept: 170 AD3d 1513	denied*
Jayden T., Matter of (Lesleen T.)	1st Dept: 2018 NY Slip Op 64111(U)	denied
Keyana N., Matter of (Shasha F.)	2d Dept: 167 AD3d 620 (Proceeding No. 2)	denied
Kieara N., Matter of (Shasha F.)	2d Dept: 167 AD3d 620 (Proceeding No. 1)	denied
Lakeya P., Matter of (Ajja M.)	4th Dept: 169 AD3d 1409 (Appeal No. 2)	denied
Liana HH., Matter of (Christopher HH.)	3d Dept: 165 AD3d 1386	denied
Lowenstern v Sherman Sq. Realty Corp.	1st Dept: 165 AD3d 432	denied
Mark A.M., Matter of, v Lesley R.S.	2d Dept: 169 AD3d 1046	denied
Nayquan N., Matter of (Shasha F.)	2d Dept: 167 AD3d 620 (Proceeding No. 3)	denied
Peura, Matter of, v Peura	2d Dept: 170 AD3d 857	denied
Prego, Matter of, v Tecza	2d Dept: 169 AD3d 689	denied
State of New York, Matter of, v Gary C.	2d Dept: 169 AD3d 1054	denied
Unique M.G., Matter of (Jose L.)	2d Dept: 170 AD3d 838 (Proceeding No. 3)	denied*
Wright, Matter of, v Perry	2d Dept: 169 AD3d 910	denied

Decided June 7, 2019

Braunfotel, Matter of, v Feiden	2d Dept: 172 AD3d 1451 (Proceeding No. 1)	denied
Burman, Matter of, v Subedi	3d Dept: 172 AD3d 1882	denied
Feiden, Matter of, v Braunfotel	2d Dept: 172 AD3d 1451 (Proceeding No. 2)	denied
Lynch, Matter of, v Duffy	2d Dept: 172 AD3d 1370	denied
McDonald, Matter of, v Seneca County Bd. of Elections	4th Dept: 172 AD3d 1941	denied
McNiel, Matter of, v Martin	4th Dept: 172 AD3d 1940	denied
Reese, Matter of, v Erie County Bd. of Elections	4th Dept: 172 AD3d 1942	denied
Stack, Matter of, v Harrington	3d Dept: 172 AD3d 1880	denied
Walfish, Matter of, v Brezler	2d Dept: 172 AD3d 1384	denied

* Motion for poor person relief dismissed as academic or denied.

Decided June 11, 2019

Breslin v Frankel	2d Dept: 167 AD3d 692	denied
Clark, Matter of, v New York State Liq. Auth.	1st Dept: 165 AD3d 488	denied
Disneey C., Matter of (Sean S.)	2d Dept: 168 AD3d 851 (Proceeding No. 2)	denied
Fairchild Corp. v State of New York	2d Dept: 169 AD3d 643	denied
Family & Educ. Consultants, LLC v New York State Ins. Fund	3d Dept: 169 AD3d 1187	denied
Howell v State of New York	3d Dept: 169 AD3d 1208	denied
Hutchinson, Matter of, v Miller	3d Dept: 166 AD3d 1199	denied*
Imandt, Matter of, v New York State Unified Ct. Sys.	2d Dept: 168 AD3d 1051	denied
Jin Ming Chen v Insurance Co. of the State of Pa.	1st Dept: 165 AD3d 588	granted
Miller, Matter of, v Elrac, LLC	1st Dept: 170 AD3d 436	denied
Miszko v Miszko	3d Dept: 163 AD3d 1204	denied
People v Anjudar	1st Dept: 169 AD3d 588	denied*
People v Cash	2d Dept: 168 AD3d 1110	denied*
People v Davis	4th Dept: 170 AD3d 1519	denied*
People v Diaz	2d Dept: 169 AD3d 727	denied
People v Dressner	4th Dept: 170 AD3d 1632	denied
People v Hirji	1st Dept: 170 AD3d 412	denied
People v Lumpkin	2d Dept: 168 AD3d 1111	denied
People v Lumpkins	2d Dept: 168 AD3d 1111	denied
People v Saintilus	2d Dept: 169 AD3d 838	denied
People v Sawyer	2d Dept: 169 AD3d 840	denied
People v Wadsworth	4th Dept: 170 AD3d 1532	denied
Prompt Mtge. Providers of N. Am., LLC v Zarour	2d Dept: 155 AD3d 912	denied
Quaiza S.P., Matter of (Sean S.)	2d Dept: 168 AD3d 851 (Proceeding No. 1)	denied
Robert B. Jetter, M.D., PLLC v 737 Park Ave. Acquisition LLC	1st Dept: 162 AD3d 444	denied
Skuret v Yoyo Cab Corp.	2d Dept: 169 AD3d 849	denied
Tafari, Matter of, v Cuomo	3d Dept: 170 AD3d 1351	denied*

* Motion for poor person relief dismissed as academic or denied.

333 E. 49th Partnership, LP, Matter of, v New York State Div. of Hous. & Community Renewal	1st Dept: 165 AD3d 93	denied
Tozzi v Mack	1st Dept: 169 AD3d 547	denied
Wells Fargo Bank, NA v Barrella	2d Dept: 166 AD3d 711	denied
Wiley v Marjam Supply Co., Inc.	3d Dept: 166 AD3d 1106	denied

Decided June 13, 2019

Ade v City of New York	2d Dept: 164 AD3d 1198 (Appeal Nos. 1 and 2)	denied
FranPearl Equities Corp. v 124 W. 23rd St., LLC	1st Dept: 164 AD3d 1190	denied
Gottlieb v Merrigan	3d Dept: 170 AD3d 1316	denied
Meyer v New York-Presbyt. Hosp. Queens	2d Dept: 167 AD3d 996	denied
New York Community Bank, Matter of, v Bank of Am., N.A.	1st Dept: 169 AD3d 35	denied
Nix, Matter of, v New York State Div. of Criminal Justice Servs.	4th Dept: 167 AD3d 1524	denied
People v Blinker	2d Dept: 170 AD3d 1052	denied
People v Cisneros	1st Dept: 170 AD3d 468	denied*
People v Dadd	2d Dept: 170 AD3d 898	denied
People v Garray	1st Dept: 170 AD3d 454	denied*
People v Gonzalez	1st Dept: 170 AD3d 429	denied*
People v Greene	2d Dept: 170 AD3d 1209	denied*
People v Hackrott	4th Dept: 170 AD3d 1646	denied
People v Hannah	2d Dept: 170 AD3d 1053	denied*
People v Middleton	1st Dept: 170 AD3d 616	denied*
People v Padgett	2d Dept: 170 AD3d 1054	denied*
People v Powell	1st Dept: 170 AD3d 413	denied
People v Ralph	2d Dept: 170 AD3d 900	denied
People v Rodriguez	2d Dept: 170 AD3d 902	denied
People v Simmons	2d Dept: 170 AD3d 904	denied*
Solomon, Matter of, v New York State Off. of Children & Family Servs.	3d Dept: 170 AD3d 1297	denied
White, Matter of, v Annucci	3d Dept: 169 AD3d 1326	denied

* Motion for poor person relief dismissed as academic or denied.

Decided June 25, 2019

Ankhenaten Amen-Ra C., Matter of (Adanna J.C.)	2d Dept: 170 AD3d 998 (Proceeding No. 1)	denied*
Anthony C.M., Matter of (Toni D.S.—Anthony M.)	2d Dept: 170 AD3d 841 (Proceeding No. 2)	denied
Anthony M., Matter of (Anna A.)	2d Dept: 170 AD3d 853 (Proceeding No. 2)	denied
Benjamin OO., Matter of, v Latasha OO.	3d Dept: 170 AD3d 1394	denied*
D., Matter of (Adanna J.C.)	2d Dept: 170 AD3d 998 (Proceeding No. 2)	denied*
Eden S., Matter of (Crystal S.)	4th Dept: 170 AD3d 1580	denied
Eden S., Matter of (Joshua S.)	4th Dept: 170 AD3d 1580	denied
Euson, Matter of, v Wright	4th Dept: 170 AD3d 1529 (Appeal No. 1)	denied
Jeffrey J.P., Matter of (Anna A.)	2d Dept: 170 AD3d 853 (Proceeding No. 1)	denied
Jeffrey J.P., Matter of (Anna A.)	2d Dept: 170 AD3d 855	denied
Judea J.C., Matter of (Adanna J.C.)	2d Dept: 170 AD3d 998 (Proceeding No. 3)	denied*
Kaufmann's Carousel, Inc. v Carousel Ctr. Co., L.P.	Sup Ct, Onondaga County, Feb. 27, 2019 (90 AD3d 1592)	denied
Nordee, Matter of, v Nordee	4th Dept: 170 AD3d 1636	denied*
People v Lavelle	3d Dept: 172 AD3d 1568	denied
Richard I., Matter of, v Darcel I.	1st Dept: 171 AD3d 619	denied
Scott P., Matter of, v State of New York	4th Dept: 170 AD3d 1534	denied*
Tanisha M.M., Matter of (Toni D.S.—Anthony M.)	2d Dept: 170 AD3d 841 (Proceeding No. 1)	denied
Wilmington Sav. Fund Socy., FSB v Hayes	1st Dept: 167 AD3d 440	denied
Wright, Matter of, v Euson	4th Dept: 170 AD3d 1529 (Appeal No. 2)	denied
Zahimire E.G., Matter of (Lyasia R.B.)	2d Dept: 171 AD3d 1056 (Proceeding No. 1)	denied*
Zy'ashia D.D.B.G., Matter of (Lyasia R.B.)	2d Dept: 171 AD3d 1056 (Proceeding No. 2)	denied*

* Motion for poor person relief dismissed as academic or denied.

Decided June 27, 2019

Ally Fin., Inc., Matter of, v All County Towing & Recovery	3d Dept: 166 AD3d 1442	denied
Berger v Prospect Park Residence, LLC	2d Dept: 166 AD3d 937	denied
Boder, Matter of, v O'Neill	1st Dept: 170 AD3d 528	denied
Bradley v William Penn Life Ins. Co. of N.Y.	2d Dept: 170 AD3d 936	denied
Greenport Group, LLC v Town Bd. of the Town of Southold	2d Dept: 167 AD3d 575	denied
Hart, Matter of, v Rodriguez	3d Dept: 169 AD3d 1148	denied
High Value Trading, LLC v Shaoul	1st Dept: 168 AD3d 641	denied
HVT, Inc., Matter of, v All County Towing & Recovery	3d Dept: 166 AD3d 1441	denied
Kleinknecht, Matter of, v Siino	2d Dept: 165 AD3d 936	denied
Krodel, Matter of, v Amalgamated Dwellings Inc.	1st Dept: 166 AD3d 412	denied
Metrosearch Recoveries, LLC v City of New York	1st Dept: 169 AD3d 512	denied
Meyer v State of N.Y. Off. of Mental Health	2d Dept: 167 AD3d 997	denied
Nelson v New York City Tr. Auth.	2d Dept: 170 AD3d 1184	denied
Patel v State of New York	3d Dept: 167 AD3d 1111	denied*
People v Austin	4th Dept: 171 AD3d 1494	denied*
People v Caleb	4th Dept: 170 AD3d 1618	denied
People v Dworkowitz	1st Dept: 170 AD3d 512	denied*
People v Eisenberg	2d Dept: 170 AD3d 1208	denied
People v Houck	4th Dept: 170 AD3d 1642	denied*
Spallone v Spallone	1st Dept: 171 AD3d 527	denied
Spencer, Matter of, v Annucci	4th Dept: 166 AD3d 1541	denied
Matter of Terian	1st Dept: 167 AD3d 431	denied
Terian v Wurmbrand	1st Dept: 167 AD3d 431	denied
Webster v Sherman	2d Dept: 165 AD3d 738	denied

* Motion for poor person relief dismissed as academic or denied.

Decided August 29, 2019

Adam E.R., Matter of (Manuel R.)	2d Dept: 168 AD3d 946 (Proceeding No. 2)	denied*
Ariel P., Matter of	1st Dept: 171 AD3d 479	denied*
Carmela H., Matter of (Danielle F.)	4th Dept: 171 AD3d 1488	denied
Hayleigh C., Matter of (Ronald S.)	4th Dept: 172 AD3d 1921	denied
Justin E., Matter of (Jose N.-R.)	1st Dept: 172 AD3d 613	denied
Liam M.J., Matter of (Cyril M.J.)	4th Dept: 170 AD3d 1623	denied
Logan R., Matter of (Manuel R.)	2d Dept: 168 AD3d 946 (Proceeding No. 1)	denied*
Melissa KK., Matter of, v Michael LL.	3d Dept: 170 AD3d 1293	denied
People ex rel. Dixon v Coveny	App Div, 3d Dept, 4/1/19	denied
Phillip M., Matter of, v Precious B.	1st Dept: 173 AD3d 434	denied
Sanchez, Matter of, v Mercedes	4th Dept: 172 AD3d 1898 (Appeal No. 2)	denied
State of New York, Matter of, v Karl X.	3d Dept: 172 AD3d 1498	denied
State of New York, Matter of, v Mark M.	4th Dept: 171 AD3d 1508	denied*
Stefano E.W., Matter of (Stephan J.W.)	2d Dept: 172 AD3d 882	denied
Wells Fargo Bank, N.A. v Drago	2d Dept: 170 AD3d 1083	denied

Decided September 5, 2019

Aina v American Univ. of Antigua	1st Dept: 161 AD3d 508	denied
Albany Police Officers Union, Local 2841, Law Enforcement Officers Union Dist. Council 82, AFSCME, AFL-CIO, Matter of, v New York Pub. Empl. Relations Bd.	3d Dept: 170 AD3d 1312	denied
Board of Educ. of the Minisink Val. Cent. Sch. Dist., Matter of, v Elia	3d Dept: 170 AD3d 1472	denied
Dagaev, Matter of, v Village of Highland Falls, N.Y.	2d Dept: 171 AD3d 920	denied
Glazer v Socata, S.A.S.	4th Dept: 170 AD3d 1685	denied
Harvey v Henry 85 LLC	1st Dept: 171 AD3d 531	denied
Leonard v Planning Bd. of the Town of Union Vale	2d Dept: 164 AD3d 662	denied

* Motion for poor person relief dismissed as academic or denied.

Malta v Gaudio	1st Dept: 166 AD3d 508	denied
People v Alexander	3d Dept: 170 AD3d 1382	denied
People v Badgley	4th Dept: 171 AD3d 1515	denied*
People v Diaz	4th Dept: 171 AD3d 1511	granted
People v Fiavachay	1st Dept: 171 AD3d 527	denied*
People v Griffin	2d Dept: 171 AD3d 955	denied
People v Harrington	2d Dept: 171 AD3d 956	denied*
People v Hart	1st Dept: 171 AD3d 497	denied*
People v Hicks	2d Dept: 172 AD3d 1117	denied
People v Lehmann	2d Dept: 171 AD3d 957	denied*
People v Palomeque	2d Dept: 170 AD3d 1055	denied
People v Ramos	1st Dept: 171 AD3d 483	denied*
People v Uerkvitz	4th Dept: 171 AD3d 1491	denied
People v Varvaro	2d Dept: 171 AD3d 958	denied
Rabideau v Weitz	3d Dept: 169 AD3d 1330	denied
Republic Realty Servs., Inc. v Kuafu Props. LLC	1st Dept: 167 AD3d 436	denied
Santiago, Matter of, v Capra	2d Dept: 170 AD3d 1180	denied*
Stengel, Matter of, v Town of Poughkeepsie Planning Bd.	2d Dept: 167 AD3d 752	denied
Uncle Sam Garages, LLC, Matter of, v Capital Dist. Transp. Auth.	3d Dept: 171 AD3d 1260	denied
Von Ancken v 7 E. 14 L.L.C.	1st Dept: 171 AD3d 440; 166 AD3d 551	denied
Williams v Castronovo	2d Dept: 146 AD3d 923	denied

Decided September 10, 2019

Chimienti, Matter of, v Perperis	2d Dept: 171 AD3d 1047 (Proceeding No. 1)	denied
Dagan B., Matter of (Calla B.)	4th Dept: 172 AD3d 1905 (Appeal No. 1)	denied*
Dagan B., Matter of (Calla B.)	4th Dept: 172 AD3d 1906 (Appeal No. 2)	denied*
Daniels v New York City Tr. Auth.	1st Dept: 171 AD3d 601	granted
42/9 Residential LLC, Matter of, v New York City Envtl. Control Bd.	1st Dept: 165 AD3d 541	denied

* Motion for poor person relief dismissed as academic or denied.

Gould, Matter of, v New York City Loft Bd.	1st Dept: 165 AD3d 455	denied
Horowitz, Matter of, v Zucker	1st Dept: 172 AD3d 538	denied
Lerner, Matter of, v New York City Loft Bd.	1st Dept: 165 AD3d 455	denied
Lohman, Matter of, v Egan	4th Dept: 171 AD3d 1490	denied
People v Bris	2d Dept: 172 AD3d 1118	denied
People v Byrd	4th Dept: 171 AD3d 1517	denied
People v Greene	1st Dept: 171 AD3d 628	denied*
People v Harris	2d Dept: 172 AD3d 922	denied*
People v Hines	4th Dept: 171 AD3d 1513	denied
People v Scott	2d Dept: 172 AD3d 766	denied*
People v Souverain	2d Dept: 171 AD3d 1225	denied*
People v Stephensbush	2d Dept: 172 AD3d 1118	denied
People v Sudderth	1st Dept: 171 AD3d 593	denied*
People v Williams	4th Dept: 172 AD3d 1923	denied
Perperis, Matter of, v Chimienti	2d Dept: 171 AD3d 1047 (Proceeding No. 2)	denied
Purcell, Matter of, v New York State Tax Appeals Trib.	3d Dept: 167 AD3d 1101	denied
Salcedo, Matter of (E.H. Mfg. Inc.—Commissioner of Labor)	3d Dept: 171 AD3d 1437	denied
Saunders, Matter of, v Scott	2d Dept: 172 AD3d 724 (Proceeding Nos. 1, 2 & 3)	denied
Scott, Matter of, v Saunders	2d Dept: 172 AD3d 724 (Proceeding Nos. 4 & 5)	denied
State of New York, Matter of, v James N.	2d Dept: 171 AD3d 930	denied
Town of Clifton Park v Boni Bldrs., Inc.	3d Dept: 156 AD3d 1035	denied
Trade Expo Inc. v Sterling Bancorp	1st Dept: 171 AD3d 634	denied
Weslowski v Zugibe	2d Dept: 167 AD3d 972	denied

Decided September 12, 2019

Cabrera v New York City Tr. Auth.	1st Dept: 171 AD3d 594	denied

* Motion for poor person relief dismissed as academic or denied.

Grace, Matter of, v Russo	2d Dept: 171 AD3d 751	denied*
Juarez, Matter of, v New York State Off. of Victim Servs.	3d Dept: 169 AD3d 52	granted
Karim v Raju	1st Dept: 165 AD3d 504	denied
Melendez v City of New York	1st Dept: 171 AD3d 566	denied
New York Yacht Club v Lehodey	1st Dept: 171 AD3d 487	denied
New York Yacht Club, Matter of, v New York City Dept. of Bldgs.	1st Dept: 172 AD3d 606	denied
People v Alfred M.	1st Dept: 172 AD3d 493	denied*
People v Harris	2d Dept: 173 AD3d 912	denied
People v Pineiro	1st Dept: 172 AD3d 512	denied
Reljic, Matter of, v Tullett Prebon Fin. Servs., LLC	1st Dept: 169 AD3d 532	denied
Tullett Prebon Americas Corp., Matter of, v Reljic	1st Dept: 169 AD3d 532	denied
Warshaw Burstein Cohen Schlesinger & Kuh, LLP v Longmire	1st Dept: 106 AD3d 536	denied
Westreich v Westreich	2d Dept: 169 AD3d 972	denied

[Next page is 925.]

* Motion for poor person relief dismissed as academic or denied.

MEMORANDA

OF

DECISIONS RENDERED DURING THE PERIOD EMBRACED IN THIS VOLUME

[121 NE3d 283, 97 NYS3d 655]

In the Matter of DELKAP MANAGEMENT, INC., et al., Respondents, v NEW YORK STATE DIVISION OF HUMAN RIGHTS, Appellant, et al., Respondent.

Decided March 26, 2019

SUMMARY

APPEAL, by permission of the Court of Appeals, from a judgment of the Appellate Division of the Supreme Court in the Second Judicial Department, entered November 30, 2016, in a proceeding pursuant to CPLR article 78 and Executive Law § 298. The Appellate Division judgment, insofar as appealed from, (1) granted the petition to review a determination of respondent New York State Division of Human Rights, which had adopted the recommendation and findings of an administrative law judge made after a hearing, to the extent of annulling so much of the determination as (a) adopted the finding that petitioners/cross respondents discriminated against the complainant on the basis of her disability, (b) awarded the complainant compensatory damages in the sum of $5,000 and punitive damages in the sum of $10,000, and (c) assessed a civil penalty upon each petitioner/cross respondent payable to the State of New York in the sum of $5,000; and (2) remitted the matter to respondent for the imposition of (a) a new award for compensatory damages in an amount not to exceed the sum of $2,500, (b) a new award for punitive damages in an amount not to exceed the sum of $2,500, and (c) a new civil penalty upon each petitioner/cross respondent payable to the State of New York in an amount not to exceed the sum of $2,000.

Matter of Delkap Mgt., Inc. v New York State Div. of Human Rights, 144 AD3d 1148, reversed.

HEADNOTE

Civil Rights — Discrimination Based on Disability — Judicial Review

In a proceeding pursuant to CPLR article 78 and Executive Law § 298 seeking to review a determination of respondent New York State Division of Human Rights, which adopted the finding of an administrative law judge, made after a hearing, that petitioners/cross respondents discriminated against the complainant on the basis of her disability, the Appellate Division erroneously set aside a portion of the agency's determination. Accordingly, the Appellate Division judgment, insofar as appealed from, was reversed, the petition dismissed in its entirety, and cross petition granted to the extent that respondent's determination was confirmed.

APPEARANCES OF COUNSEL

Caroline J. Downey, *General Counsel*, New York State Division of Human Rights, Bronx (*Toni Ann Hollifield* of counsel), for appellant.

Sperber Denenberg & Kahan, P.C., New York City (*Jacqueline Handel-Harbour* of counsel), for respondents.

OPINION OF THE COURT

MEMORANDUM.

On review of submissions pursuant to section 500.11 of the Rules of the Court of Appeals (22 NYCRR 500.11), judgment, insofar as appealed from, reversed, with costs, petition dismissed in its entirety, and cross petition granted to the extent that the determination of the New York State Division of Human Rights is confirmed. The Appellate Division erroneously set aside a portion of the agency's determination.

Concur: Chief Judge DIFIORE and Judges RIVERA, STEIN, FAHEY and WILSON; Judges GARCIA and FEINMAN dissent and vote to affirm, insofar as appealed from, for reasons stated by the Appellate Division (*see Matter of Delkap Mgt., Inc. v New York State Div. of Human Rights*, 144 AD3d 1148 [2016]).

[123 NE3d 244, 99 NYS3d 760]

In the Matter of STEPHEN SCHOONMAKER, Appellant, v NEW YORK STATE DEPARTMENT OF MOTOR VEHICLES, Respondent.

Decided March 26, 2019

SUMMARY

Appeal from a judgment of the Appellate Division of the Supreme Court in the Second Judicial Department, entered October 3, 2018, in a proceeding pursuant to CPLR article 78. The Appellate Division, with two Justices dissenting, (1) confirmed a determination of the New York State Department of Motor Vehicles Administrative Appeals Board, which had affirmed a determination of an administrative law judge, which, after a hearing, found that petitioner refused to submit to a chemical test in violation of Vehicle and Traffic Law § 1194 and revoked his driver's license; (2) denied the petition; and (3) dismissed the proceeding on the merits.

Matter of Schoonmaker v New York State Dept. of Motor Vehs., 165 AD3d 677, affirmed.

HEADNOTE

Motor Vehicles — Chemical Tests — Refusal — Revocation of Operator's License

Respondent New York State Department of Motor Vehicles' determination revoking petitioner's driver's license for refusing to submit to a chemical test in violation of Vehicle and Traffic Law § 1194 was supported by substantial evidence. At the administrative hearing, the arresting police officer's testimony, articulating credible facts to support a reasonable belief that petitioner violated Vehicle and Traffic Law § 1128 (a) (failure to remain in lane), established that he had probable cause to stop petitioner's vehicle. The officer pulled over the vehicle after observing it make an erratic movement, leaving the paved roadway and then returning to its original lane of travel. During the stop, he noticed that petitioner smelled of alcohol and exhibited signs of inebriation. After failing field sobriety tests and a preliminary breath test given at the scene, at the precinct, petitioner refused to take a chemical test despite receiving appropriate warnings.

APPEARANCES OF COUNSEL

Jaroslawicz & Jaros, PLLC, New York City (*David Tolchin* of counsel), and *Law Offices of Michael Pollok, PLLC*, Red Hook (*Michael S. Pollok* of counsel), for appellant.

Letitia James, *Attorney General*, New York City (*David Lawrence III*, *Barbara D. Underwood* and *Steven C. Wu* of counsel), for respondent.

OPINION OF THE COURT

Memorandum.

The judgment of the Appellate Division should be affirmed, with costs.

Whether an agency determination is supported by substantial evidence is solely an issue of law (*see Matter of Kelly v Safir*, 96

NY2d 32, 38-39 [2001]) and, here, substantial evidence supports respondent's determination revoking petitioner's driver's license for refusing to submit to a chemical test in violation of Vehicle and Traffic Law § 1194. At the administrative hearing, testimony was elicited that, while on patrol at 1:00 a.m. on December 22, 2013, a police officer observed petitioner's vehicle "make an erratic movement off the right side of the road, crossing the fog line and [moving] off the shoulder [with the vehicle's] right front tire." Once the vehicle left the paved roadway—and with the right-hand turn signal on—the officer saw the vehicle immediately move left, returning to its original lane of travel. After observing that there was no animal or other obstruction of the roadway that would have explained the "erratic jerking action," the police officer pulled the vehicle over. During the stop, the officer noticed that petitioner smelled of alcohol and exhibited other signs of inebriation. Petitioner admitted that he "had a few drinks" and asked the officer to give him a ride home, failing field sobriety tests and a preliminary breath test given at the scene. At the precinct, despite receiving the appropriate warnings, petitioner refused to take a chemical test, resulting in an administrative license revocation hearing. The police officer's testimony at the hearing, articulating credible facts to support a reasonable belief that petitioner violated Vehicle and Traffic Law § 1128 (a) (failure to remain in lane), provided substantial evidence that he had probable cause to stop petitioner's vehicle (*see People v Guthrie*, 25 NY3d 130, 133 [2015]; *People v Robinson*, 97 NY2d 341, 353-354 [2001]). Any negative or adverse inference that was drawn from petitioner's failure to testify at the administrative revocation hearing was permissible (*see* 15 NYCRR 127.5 [b]).

RIVERA, J. (dissenting). As explained by the dissent below (*Matter of Schoonmaker v New York State Dept. of Motor Vehs.*, 165 AD3d 677, 679-681 [2d Dept 2018, Brathwaite Nelson, J., dissenting]), the officer's testimony did not provide reasonable grounds to believe there had been a violation of the Vehicle and Traffic Law and therefore, for the reasons stated in my dissent in *People v Guthrie* (25 NY3d 130, 140-149 [2015, Rivera, J., dissenting]), the officer's mistaken belief that there was a violation cannot form the basis for a lawful stop.

Chief Judge DIFIORE and Judges STEIN, FAHEY, GARCIA, WILSON and FEINMAN concur; Judge RIVERA dissents in an opinion.

On review of submissions pursuant to section 500.11 of the Rules of the Court of Appeals (22 NYCRR 500.11), judgment affirmed, with costs, in a memorandum.

[123 NE3d 246, 99 NYS3d 762]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v TIMOTHY MARTIN, Appellant.

Argued February 14, 2019; decided March 28, 2019

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 21, 2017. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Melissa C. Jackson, J., at *Darden* hearing; Richard D. Carruthers, J., at pretrial proceedings, jury trial and sentencing), which had convicted defendant, upon a jury verdict, of criminal possession of a controlled substance in the third degree, criminal possession of a controlled substance in the fifth degree and criminally using drug paraphernalia in the second degree (two counts).

People v Martin, 147 AD3d 587, affirmed.

HEADNOTE

Crimes — Harmless and Prejudicial Error — Admission of Statements under Pedigree Exception

The Appellate Division order affirming a judgment that had convicted defendant of various drug crimes was affirmed where, assuming, without deciding, that the trial court erroneously permitted testimony of defendant's response to custodial interrogation by police during the execution of a search warrant that he lived at the target premises as falling within the pedigree exception to *Miranda* requirements and CPL 710.30, such error was harmless. Given the jury's inability to reach a verdict on charges related to drugs found in an interior hallway closet of the apartment, the jury could not have relied on defendant's statement that he lived there to conclude that he possessed the drugs found in the bedroom where he was initially discovered by police, but not the drugs found outside that bedroom. The evidence of defendant's guilt was overwhelming and there was no reasonable possibility that, but for the error, the jury might have acquitted defendant of possession for the drugs in the bedroom.

APPEARANCES OF COUNSEL

Robert S. Dean, *Center for Appellate Litigation*, New York City (*Megan Byrne* and *Samuel E. Steinbock-Pratt* of counsel), for appellant.

Cyrus R. Vance, Jr., *District Attorney*, New York City (*Alexander Michaels* and *Eleanor J. Ostrow* of counsel), for respondent.

OPINION OF THE COURT

MEMORANDUM.

The order of the Appellate Division should be affirmed.

Defendant Timothy Martin challenges his conviction of criminal possession of a controlled substance in the third degree (Penal Law § 220.16 [1]), criminal possession of a controlled substance in the fifth degree (Penal Law § 220.06 [5]), and two counts of criminally using drug paraphernalia in the second degree (Penal Law § 220.50 [2], [3]). Assuming, without deciding, that Supreme Court erroneously permitted testimony of defendant's response to custodial interrogation by police during the execution of a search warrant that he lived at the target premises as falling within the pedigree exception to the requirements of *Miranda v Arizona* (384 US 436 [1966]) and CPL 710.30, such error was harmless (*see Pennsylvania v Muniz*, 496 US 582, 601-602 [1990]; *People v Rodney*, 85 NY2d 289, 293 [1995]).

Police found defendant alone in a bedroom with drugs and drug paraphernalia in plain view. Police also found four other adults and defendant's son elsewhere in the apartment, and more drugs in an interior hallway closet. Given the jury's inability to reach a verdict on the charges related to the drugs found in the closet, the jury could not have relied on defendant's statement that he lived in the apartment to conclude that he possessed the drugs found in the bedroom where he was discovered, but not the drugs found outside this bedroom. As the evidence of defendant's guilt was overwhelming and there is no reasonable possibility that, but for the error, the jury might have acquitted defendant of possession for the drugs in the bedroom where he was initially found by police, any error was harmless (*People v Crimmins*, 36 NY2d 230, 237 [1975]).

Chief Judge DIFIORE and Judges RIVERA, STEIN, FAHEY, GARCIA and WILSON concur; Judge FEINMAN taking no part.

Order affirmed, in a memorandum.

[122 NE3d 51, 98 NYS3d 534]

RANDALL M. HINTON, Appellant, v VILLAGE OF PULASKI, Respondent.

Decided February 21, 2019

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered April 27, 2018. The Appellate Division affirmed an order of the Supreme Court, Oswego County (James W. McCarthy, J., op 59 Misc 3d 1220[A], 2016 NY Slip Op 51912[U] [2016]), which had granted defendant's motion for summary judgment dismissing the complaint.

Hinton v Village of Pulaski, 160 AD3d 1446, affirmed.

HEADNOTE

Municipal Corporations — Sidewalks — Prior Notice of Defective Condition — Stairway Connecting Public Road to Municipal Parking Lot

In a personal injury action arising from plaintiff's fall while descending an exterior stairway that connected a public road to a municipal parking lot, the courts below correctly held that the stairway at issue functionally fulfilled the same purpose as a standard sidewalk, and therefore plaintiff was required to show that defendant village received prior written notice of the allegedly defective condition under the village code, which required prior written notice as a prerequisite to an action for personal injury sustained as a result of a defect in "any street, highway, bridge, culvert, sidewalk or crosswalk" (*see also* Village Law § 6-628). Since defendant established that plaintiff failed to plead or prove prior written notice, and plaintiff did not raise a triable issue of fact in opposition, summary judgment was properly awarded to defendant.

APPEARANCES OF COUNSEL

D.J. & J.A. Cirando, PLLC, Syracuse (*John A. Cirando* of counsel), for appellant.

Gerber Ciano Kelly Brady LLP, Garden City (*Brian W. McElhenny* of counsel), for respondent.

Association of Towns of the State of New York, Albany (*Sarah Brancatella* of counsel), and *New York State Conference of Mayors and Municipal Officials*, Albany (*Wade Beltramo* of counsel), for New York State Conference of Mayors and Municipal Officials and another, amici curiae.

OPINION OF THE COURT

MEMORANDUM.

The order of the Appellate Division should be affirmed, with costs.

The Village of Pulaski Code provides, in relevant part, that "[n]o civil action shall be maintained" against defendant Village of Pulaski for personal injury sustained as a result of a defect in "any street, highway, bridge, culvert, sidewalk or crosswalk" unless prior written notice of the alleged defect is provided to the Village (Village of Pulaski Code § 122-14; *see also* Village Law § 6-628). Plaintiff commenced this action against the Village after he fell while descending an exterior stairway that connects a public road to a municipal parking lot. The Village did not receive prior written notice of the alleged defect before plaintiff commenced suit, and the Village moved for summary judgment dismissing the complaint. Supreme Court granted the motion (59 Misc 3d 1220[A], 2016 NY Slip Op 51912[U] [Sup Ct, Oswego County 2016]), and the Appellate Division unanimously affirmed (160 AD3d 1446 [4th Dept 2018]).

In *Woodson v City of New York*, this Court determined that a stairway may be classified as a sidewalk for purposes of a prior written notice statute if it "functionally fulfills the same purpose that a standard sidewalk would serve" (93 NY2d 936, 937-938 [1999], citing *Donnelly v Village of Perry*, 88 AD2d 764, 765 [4th Dept 1982] [holding that steps between a roadway and public sidewalk were "the equivalent of a sidewalk" because they "provide(d) a passageway for the public"], and *Youngblood v Village of Cazenovia*, 118 Misc 2d 1020, 1022 [Sup Ct, Madison County 1982] [holding that steps are "essentially sidewalks laid on slopes, often connecting two stretches of sidewalk"], *affd on op below* 93 AD2d 962 [3d Dept 1983]; *see also Groninger v Village of Mamaroneck*, 17 NY3d 125, 129 [2011] [parking lot served the "functional purpose" of a highway, thereby triggering a notice requirement]). In the 20 years since *Woodson* was decided, the legislature—"though fully capable of corrective action"—has done nothing to "signal disapproval" of this interpretation (*Matter of Acevedo v New York State Dept. of Motor Vehs.*, 29 NY3d 202, 225 [2017]). As the identical question has been long since resolved by this Court, the present case involves the application of settled precedent—not statutory interpretation (*see Matter of State Farm Mut. Auto. Ins. Co. v Fitzgerald*, 25 NY3d 799, 819-820 [2015] [noting that an "extraordinary and compelling justification is needed to overturn precedents involving statutory interpretation" because, "if the precedent or precedents have misinterpreted the legislative intention embodied in a statute, the Legislature's competency to correct the misinterpretation is readily at hand" (citation, internal quotation marks and brackets omitted)]; *Matter of Eckart*, 39 NY2d 493, 499-500 [1976] ["Generally, once the courts have interpreted a statute any change in the rule will be left to the Legislature, particularly where the courts' interpretation is a long standing one"]; *Heyert v Orange & Rockland Util.*, 17 NY2d 352, 360 [1966] [noting that "established precedents are not lightly to be set aside" because "the remedy (is) ordinarily with the Legislature" (citation and internal quotation marks omitted)]; *see also People v Taylor*, 9 NY3d 129, 148 [2007] ["Stare decisis is deeply rooted in the precept that we are bound by a rule of law—not the personalities that interpret the law"]). We see no compelling reason to overrule our long-standing precedent.*

The courts below correctly applied *Woodson* in holding that the stairway at issue "functionally fulfills the same purpose" as a standard sidewalk, and therefore plaintiff was required to show that the Village received prior written notice of the allegedly defective condition (*Woodson*, 93 NY2d at 938). In its motion for summary judgment, the Village established that plaintiff failed to plead or prove prior written notice. Plaintiff did not raise a triable issue of fact in opposition, and therefore summary judgment was properly awarded to the Village. Plaintiff's remaining arguments lack merit or are unpreserved for review.

Wilson, J. (dissenting). In this case, we ask: is a stairway a "sidewalk"? Conventions of normal English, legislative policy, and the invention of the escalator would answer "no." But through the alchemy of a "functional equivalence" test conjured from *Woodson v City of New York* (93 NY2d 936, 937 [1999]), one can buy a sidewalk to heaven, climb the sidewalk to the stars, and build a sidewalk to paradise (with a new slab every day). Indeed, while on the subject of alchemy, if Harry Potter was set in New York, his Dursley abode would no doubt change to a cupboard under the sidewalk.

This is a personal injury action in which Randall Hinton fell

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* Nor do we agree that the test derived from *Woodson* (and applied again in *Groninger*) is limited to an examination of whether a defect would cause "more or less the same kind of injuries" (dissenting op at 941).

down an (allegedly) negligently-maintained stairway. In Village Law § 6-628, the legislature gave villages what amounts to "prior written notice" protection from certain negligence actions, providing, in relevant part, that "[n]o civil action shall be maintained against [a] village for damages or injuries to person or property sustained in consequence of any street, highway, bridge, culvert, sidewalk or crosswalk being defective [or] unsafe" absent prior written notice.

By holding that the stairway in this case is a "sidewalk," the majority rewrites the Village Law to provide that the prior written notice rule applies to actions seeking damages for personal injuries allegedly sustained as a consequence of a defective village stairway—even though the legislature specifically declined to include stairways in the list of municipal passageways to which prior written notice protection applies "evincing an intent to exclude any others not mentioned" (*Walker v Town of Hempstead*, 84 NY2d 360, 367 [1994]). "[I]t is not within the province of this court to rewrite the enactments of the Legislature" (*Matter of Chase Natl. Bank v Guardian Realties, Inc.*, 283 NY 350, 360 [1940]; *accord Matter of Wolpoff v Cuomo*, 80 NY2d 70, 79 [1992]). I respectfully dissent because I cannot agree with either the majority's revision of Village Law § 6-628 or its conclusion that this stairway is a sidewalk.

I.

The Village of Pulaski is a town of a few thousand people in Oswego County, NY, about 10 minutes' drive from Lake Ontario. This is fishing country, and the heart of this fishing county is the Salmon River.

> "Unique in the Northeast, the Salmon River is an angler's mecca. Thousands of trophy Chinook and coho salmon, steelhead, rainbows and brown trout, driven by the urge to spawn, run its length each year. Twelve miles of classic riffs, pools and runs are accessible to those who would test its waters with rod and reel" (Oswego County Tourism, *Visit Oswego County, New York: Where to Fish*, http://visitoswegocounty.com/fishing-hunting/fishing/where-to-fish/ [last accessed Feb. 19, 2019]).

Locals will tell you that one of the best fishing spots on the Salmon River is the "Black Hole," on the west end of Pulaski. The south bank is part of a salmon run, but the north bank is public (*id.*). At the peak of the season, hundreds of anglers ply the waters at the Black Hole. The throng regularly blocked the streets, so the Village installed signage directing anglers to park in an adjacent car park normally used by the Village Department of Public Works (DPW). From there, anglers must walk down a stairway, cross Riverview Drive, and walk further down the undeveloped bank before they reach the Black Hole. That stairway (many pictures of which are in the parties' submissions) is the subject of this appeal. It is a "railway tie" stairway, made of compacted earth nosed with recycled railway ties, many of which still include the rusted nails they once had. The stairs are steep, irregularly spaced, with the space between the nosings made of grasses and muddy strands with potholes and muddy clumps (which were exacerbated due to a recent heavy rain). The railings were rickety and wooden, and at a low height; there was also less railing on one side than the other. The stairway was built by the Village.

Mr. Hinton, the plaintiff in this case, is a licensed fishing guide and owns a fishing lodge. He makes his living renting out rooms to anglers and taking them fishing. On October 19, 2013, at the height of the season, finding his schedule unexpectedly free, he decided to spend the afternoon fishing without clients. Although Mr. Hinton preferred less congested spots, he decided to give the Black Hole a try. He drove to the DPW parking lot as the signs instructed, gathered his things, and started down the stairway. About a third of the way down, he tripped—possibly over a rut in the stairs or one of the spikes protruding from the stairs—and went down head over heels. He broke his left ankle, severely injured his knee and suffered various sprains. As he explained in his deposition "[m]y fishing season ended on that day," costing him both medical bills and his livelihood. Faced with those serious financial consequences, Mr. Hinton sued the Village, alleging that the Village had allowed the stairs to deteriorate and become a hazard to members of the public, and that his injuries were caused by the Village's negligent maintenance of the stairway.

In response the Village argued, among other things, that even if Mr. Hinton was injured as a result of the Village's negligence, he must lose, because Village Law § 6-628 provides that "[n]o civil action shall be maintained against the village for damages or injuries to person or property sustained in consequence of any street, highway, bridge, culvert, sidewalk or crosswalk being defective, out of repair, unsafe, dangerous or obstructed" absent prior written notice.[1] Both Supreme Court (59 Misc 3d 1220[A], 2016 NY Slip Op 51912[U] [2016]) and the Appellate Division (160 AD3d 1446 [2018]) agreed; we granted leave to appeal.

II.

On its face, Village Law § 6-628 is inapplicable to this case: there is no dispute that Mr. Hinton fell on the stairway. However, in *Woodson v City of New York* (93 NY2d 936, 937 [1999])—a memorandum decision devoid of facts—the Court held that because "[t]he stairway *in this case* functionally fulfills the same purpose that a standard sidewalk would serve on flat topography, except that it is vertical instead of horizontal" (emphasis added), that particular stairway was a "sidewalk" for purposes of a statute, General Municipal Law § 50-e (4), with text largely similar to the Village Law section at issue here.

That sentence has spawned a jurisprudence applying what we have come to call the "functional equivalence test," where if a court thinks something not on the Village Law § 6-628 list is sufficiently like something on that list, it rewrites the statute to include it. Thus in *Groninger v Village of Mamaroneck* (17 NY3d 125 [2011]), we held that a parking lot "serves the functional purpose of a highway" (*id.* at 129 [internal quotation marks omitted]) because "[i]t was owned and maintained by the Village and was accessible to the general public for vehicular travel" (*id.*), even though, as the three dissenting Judges in that case explained at length, highways—accommodating moving vehicles—and parking lots—accommodating stationary vehicles—had precisely the opposite "functional purpose" (*id.* at 134 [Lippman, Ch. J., dissenting]).

In this case, the lower courts and majority have created a sort of transitive property of traversable surfaces. There was nothing resembling a sidewalk to which the stairway connected, but, said the lower courts, because the Court of Appeals previously held that a parking lot was "functionally equivalent" to a highway, it follows that the stairway, which was connected to this "highway," was a "sidewalk." By conclud-

1. Laws dealing with other forms of local governments or governmental bodies have analogous language (*see* General Municipal Law § 50-e [4] ["street, highway, bridge, culvert, sidewalk or crosswalk"]; Town Law § 65-a [4] ["highway, bridge, culvert or sidewalk"]; Second Class Cities Law § 244 ["street, highway, bridge, culvert, sidewalk or crosswalk"]; Highway Law § 139 [1] ["road, highway, bridge or culvert"]).

ing that a slapdash stairway is a sidewalk because they both have the same "functional purpose," conveying people from place to place, the Court expands a single fact-specific determination into an erroneous doctrine.

We need principles, not "one of these things is/is not like the other" reasoning, that can help lower courts apply the specific list of Village Law § 6-628 and its sister statutes. By disposing of this case as it does today, the Court deprives the lower courts—and itself—of the opportunity to examine *Woodson* thoughtfully. As I explain, if the result in *Woodson* is correct, it is only so when understood in light of its peculiar facts. To understand why *Woodson* does not resolve this case, we need to return to first principles of statutory interpretation.

"When presented with a question of statutory interpretation, our primary consideration is to ascertain and give effect to the intention of the Legislature" (*Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653, 660 [2006] [internal quotation marks omitted]). "We begin with the plain language of the statute, which is the clearest indicator of legislative intent" (*Matter of T-Mobile Northeast, LLC v DeBellis*, 32 NY3d 594, 607 [Dec. 13, 2018]). "[W]hen the statutory language is clear and unambiguous, it should be construed so as to give effect to the plain meaning of the words used" (*People v Pabon*, 28 NY3d 147, 152 [2016]). "Words of ordinary import in a statute are to be given their usual and commonly understood meaning, unless it is clear from the statutory language that a different meaning was intended" (*We're Assoc. Co. v Cohen, Stracher & Bloom*, 65 NY2d 148, 151 [1985]).

If those mantras, reliably repeated in most of our statutory interpretation cases, had any application here, Mr. Hinton would win. Village Law § 6-628 immunizes villages from suits alleging injuries "sustained in consequence of any street, highway, bridge, culvert, sidewalk or crosswalk being defective, out of repair, unsafe, dangerous or obstructed" without prior notice. No one argues that the stairway here is a highway, bridge, culvert, or crosswalk. In 1927, when Village Law § 6-628 was approved, and indeed since at least 1739, "sidewalk" meant "[a] paved footpath alongside a street or road, usually slightly raised above the level of the road surface" (Oxford English Dictionary [2019], sidewalk). No one looking at the site of Mr. Hinton's fall would call it a sidewalk.

Likewise, the canons of construction bear out the intuition that the legislature meant "sidewalk" when it wrote "sidewalk," rather than some broader term. In a case interpreting the analogous General Municipal Law § 50-e (4), we explained that "we can only construe the Legislature's enumeration of six, specific locations in the exception (i.e., streets, highways, bridges, culverts, sidewalks or crosswalks) as evincing an intent to exclude any others not mentioned" (*Walker v Town of Hempstead*, 84 NY2d 360, 367 [1994], citing McKinney's Cons Laws of NY, Book 1, Statutes § 240).[2] *Noscitur a sociis*, "the familiar canon of construction [in which] we ordinarily interpret the meaning of an ambiguous word in relation to the meanings of adjacent words" (*Matter of Kese Indus. v Roslyn Torah Found.*, 15 NY3d 485, 491 [2010]), does not apply here because "sidewalk" is not ambiguous, and even if it were, *noscitur a sociis* aims to limit the range of meanings of a set of words, not expand them (*see e.g. Matter of Avella v City of New York*, 29 NY3d 425, 436 [2017]; *cf*. McKinney's Cons Laws of NY, Book 1, Statutes § 240; Bryan A. Garner & Antonin Scalia, Reading Law at 197; William N. Eskridge Jr., Interpreting Law: A Primer on How to Read Statutes and the Constitution at 76 [2016]). None of the six words in Village Law § 6-628 deals with stairways unless viewed in the abstract, and if the legislature wanted to describe village infrastructure more abstractly it surely knew how to do so (*see e.g.* Village Law § 6-602 [describing "streets *and public grounds* of a village" (emphasis added)]).

"Where, as here, the legislative language is clear, we have no occasion to examine extrinsic evidence to discover legislative intent" (*Makinen v City of New York*, 30 NY3d 81, 85 [2017] [brackets and ellipsis omitted]). However, what little extrinsic legislative evidence exists provides no support whatever for a "functional equivalence" test or any expansion of the meaning of the word "sidewalk." As near as can be determined, Village Law § 6-628's listing of "street, highway, bridge, culvert,

2. Indeed, Bryan A. Garner and the late Justice Antonin Scalia praised *Johnson v City of Laconia* (141 NH 379, 379-381, 684 A2d 500, 501-502 [1996]) as a correct result of the application of the *expressio unius* canon. There, the New Hampshire Supreme Court interpreted New Hampshire Revised Statutes Annotated § 231:92-a that immunized municipalities from "damages arising from insufficiencies or hazards on public highways, bridges, or sidewalks" to exclude a public parking lot; "because the law specified three types of public property but omitted all others, the immunity did not bar the lawsuit" (Bryan A. Garner & Antonin Scalia, Reading Law: The Interpretation of Legal Texts at 110-111 [2012]; *cf. Yates v United States*, 574 US 528, —, 135 S Ct 1074, 1093 [2015] [treating Reading Law as persuasive authority]).

sidewalk or crosswalk" descends directly[3] from various "local laws" passed by the legislature in the late nineteenth century to limit the liability of villages in the wake of our landmark decision in *Saulsbury v Village of Ithaca* (94 NY 27 [1883]). In *Saulsbury*, we held that because the charter of the municipal corporation in that case obliged the village to repair "sidewalks," it was liable for injuries occasioned by an omission on its part to repair or remove a sidewalk which had been, for a sufficient length of time to charge it with notice, in so defective a condition as to be dangerous for travel (*id.*).

The prior notice laws were—and indeed have always been—intensely controversial and carefully limited.[4] Not one of those local laws reached "stairways" and in not one of the cases

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3. Village Law § 6-628 began its life as section 341-a of the Village Law of 1927 (L 1927, ch 650, § 42), having been recodified (with amendments not relevant here) in 1972 (L 1972, ch 892, § 3). The 1927 law's language, however, was itself a wholesale import from the Second Class Cities Law, copied in an effort to harmonize various laws pertaining to municipalities (*see* L 1927, ch 650, Bill Jacket). For present purposes, the prior notice provision appears to have been first added to the Second Class Cities Law in 1906, as part of the Uniform Charter of Cities of the Second Class (L 1906, ch 473), and today (after yet another recodification) can be found at Second Class Cities Law § 244; it reads (and read) almost identically to the Village Law provision ("street, highway, bridge, culvert, sidewalk or crosswalk"). The 1906 law in turn was adopted to iron out inconsistencies in local laws that had cropped up over the preceding quarter-century, and incorporated common charter amendments (which in those days required action from the state legislature) so as to develop a uniform rule.

4. In response to one of the first of such laws, adopted by the legislature in 1881 and applying solely to the City of Cohoes (L 1881, ch 183, § 1 ["(t)he city of Cohoes shall not be liable for the damage or injury sustained by any person in consequence of any street, highway, bridge, culvert, sidewalk or crosswalk in said city being out of repair, unsafe, (or) dangerous"]), a major treatise on negligence in New York declared "[t]he City of Cohoes has, as appears by the reports, been the most negligently administered city in all the state. It seems to have found a new way of escaping the penalty, by making the law to wink at the carelessness of its officials" (John Brooks Leavitt, Law of Negligence in New York at 419 [1895] [reviewing *McNally v City of Cohoes*, 127 NY 350, 353 (1891)]). Likewise, a bill of identical wording introduced in 1892 pertaining to the then-City of Brooklyn (the five boroughs consolidated only in 1898) was condemned by the New York Times as "in keeping with the wild, untamed vagaries of this present Legislature." (The State Legislature, *Unique Brooklyn Sidewalks Bill*, NY Times at 3 [Mar. 4, 1892], available at https://www.nytimes.com/1892/03/04/archives/the-state-legislature-he-insurance-bill-restored-to-life-the.html). Discussion of the careful balance struck when the Village Law prior notice provision was reviewed can be found in the Memoranda of Joint Legislative Committee on Municipal Tort Liability (1957 NY Legis Ann at 205-207). A more contemporary controversy over (successful) efforts by New York City to incorporate almost identical language into its ordinances is thoroughly documented in Terri J. Frank,

(n. cont'd)

decided until well into the later twentieth century did a court apply those or analogous provisions in the general laws to cover trips and falls down "stairways." Indeed, the prior notice statutes were adopted in the heyday of the presumption against derogation of the common law, where the Court declared "the rule to be well established and almost universally acted on, that statutes changing the common law must be strictly construed, and that the common law must be held no further abrogated than the clear import of the language used in the statutes absolutely requires" (*Fitzgerald v Quann*, 109 NY 441, 445 [1888]). All agree that prior notice statutes derogate the common law (*Gorman v Town of Huntington*, 12 NY3d 275, 279 [2009]); the legislature knew full well that in this context when it said "sidewalk" that term would be construed to mean what it says, and nothing more.

III.

Text, context, structure, history, even statutory canons of construction provide no foundation for a "functional equivalence" test that takes a list of six specific items of built environment and allows them to encompass a list of different, tangentially related other items. The majority does not deny this point, but argues that "the present case involves the application of settled precedent—not statutory interpretation" (majority mem at 932). If *Woodson v City of New York* (93 NY2d 936 [1999]), the sole substantive citation in the majority's opinion, truly stood for the proposition the majority cites it for—that prior notice statutes permitted such free association of concepts and statutory terms—it would have represented a radical break from centuries of this Court's common-law jurisprudence as well as a sudden and uncharacteristic departure from our settled principles of statutory interpretation—and all in a terse memorandum.[5] I do not believe our Court would be so cavalier with its own precedents. *Woodson* must mean something different, then, than what the majority says it means here. Once we understand it in its context, it becomes clear why it does not control this case.

In *Woodson*, we held that "when stairs are integrated with, or serve as part of, a connected standard sidewalk, they plainly

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Note, *New York City's Pothole Law: In Need of Repair* (10 Fordham Urb LJ 323 [1982]).

5. I note, as did the dissenters in *Groninger* (17 NY3d at 133), that *Woodson* did not engage in the thoughtful statutory analysis that once characterized our prior notice decisions, like *Walker*.

fall within the meaning of that already existing category" (*id.* at 937). Distinguishing *Walker v Town of Hempstead*, where we held that a paddleball court was not covered by the prior notice statute in question (84 NY2d at 368), we explained in *Woodson* that

> "a paddleball court is functionally different from each of the six locations enumerated in General Municipal Law § 50-e (4) [which is identical, as relevant here, to Village Law § 6-628]. The stairway in this case functionally fulfills the same purpose that a standard sidewalk would serve on flat topography, except that it is vertical instead of horizontal" (*Woodson*, 93 NY2d at 938).

The stairway down which Mr. Hinton fell was not "integrated with, or [a] part of, a connected standard sidewalk" (*id.* at 937). Thus *Woodson* does not, on its own terms, determine the result here.

Although the Court in *Woodson* nowhere explained its basis for interposing a functional equivalence test on words it had previously held in *Walker* to be exclusive, a review of the record and briefing in that case reveals the underlying rationale for the Court's opinion. The stairway at issue in *Woodson* connected the Julius Richman Memorial Park to Valentine Avenue in the Bronx. At the time of the suit, the stairway was relatively short, shallow, and perfunctory, comprising shallow concrete steps up a short, gentle incline connecting two concrete sidewalks. Crucially, the steps could have been replaced with a simple pavement ramp with the same result. What mattered was not merely that the stairway in *Woodson* served the same purpose as a standard sidewalk (making it easier for people to travel from place to place), but had the same functional potential to injure someone if defectively maintained: a person who tripped and fell on that stairway would experience more or less the same kind of injuries as a person who tripped on a hypothetical sidewalk ramp. The same could be said of our decision in *Groninger v Village of Mamaroneck* (17 NY3d 125, 129 [2011]) where the injuries one would incur owing to defects in a "highway" (the term at issue in that case) are the same kind of injuries one would incur owing to defects in a parking lot (where the plaintiff in *Groninger* tripped and fell).

What could make *Woodson* and *Groninger* consistent with *Walker*, in other words, is that they were faithful to the underlying purpose of the statute—to limit somewhat municipalities' duty to detect flaws in their infrastructure, but only for those items of infrastructure that, even when unrepaired, present modest danger to the user.[6] Thus a playground would be properly excluded from the reach of the prior notice law because its potential to injure its intended users is much greater than the items on the list—a small child is much likelier to be injured from a fall off a slide than such a child might be from a tumble on the sidewalk. Unimproved trails that have been cut through municipal parks are likewise distinguishable from sidewalks and roads not because they are comprised of a material other than concrete but because they present a different, and greater, injury potential than their more uniform infrastructural cousins (*see e.g. Quackenbush v City of Buffalo*, 43 AD3d 1386, 1388 [4th Dept 2007] ["reject(ing) the City's contention that the unimproved trail or path upon which (the) plaintiff was injured (wa)s the functional equivalent of a sidewalk" (internal quotation marks omitted)]; *Iannuzzi v Town of Wallkill*, 54 AD3d 812, 813 [2d Dept 2008] [holding that an unpaved dirt path in a public park was not a sidewalk]; *see also Cieszynski v Town of Clifton Park*, 124 AD3d 1039, 1040-1041 [3d Dept 2015] [applying similar reasoning and holding that an unimproved grassy area could not be considered the functional equivalent of either a highway or sidewalk for purposes of a prior written notice statute])—as well, of course, as falling very far outside even a generously expanded "plain meaning" of any of the six statutory terms at issue in this case.

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6. Because of that purpose (as well as the statutory text), we have held that prior notice statutes do not cover acts of municipal "affirmative negligence." Municipalities are liable for dangerous hazards they affirmatively create, rather than allow to happen through neglect, even if their creations are included on the prior notice list, on the theory that such "a hazard was foreseeable, insofar as the municipality created it by, for example, digging an unmarked ditch in a road or neglecting to cover a street drain" (*San Marco v Village/Town of Mount Kisco*, 16 NY3d 111, 117 [2010]). Therefore, for example, in *San Marco* we reversed a grant of summary judgment when plaintiffs showed the municipality's negligent snow plowing allowed black ice to form where it would not otherwise have formed. I note that Mr. Hinton argues in this Court that the Village affirmatively created the hazard by building an inherently dangerous stairway. However, that argument was not made in the trial court (in which Mr. Hinton argued only that the Village had failed to maintain the stairway) and is therefore not preserved for our review (*Matter of McGovern v Mount Pleasant Cent. Sch. Dist.*, 25 NY3d 1051, 1053 [2015]).

The majority—having extended *Woodson* well beyond its limited holding—ignores this discussion of what the functional equivalence test in *Woodson* meant and instead declares (without analysis) that only overruling *Woodson* would justify a different outcome in this case. The stare decisis reach of *Woodson* covers stairs integrated with a connected sidewalk, possessing the same injury potential as a sidewalk, but not other stairs. Expanding *Woodson*, without any articulated justification or analysis, is not "the application of settled precedent" (majority mem at 932) but the creation of a new doctrine that all stairs are sidewalks, or perhaps that some are, with no rule as to how to sort them beyond a mantra ("functionally equivalent") that raises more questions in its bare form than it answers. That the legislature has not "signal[led] disapproval" (majority mem at 932) of *Woodson* is of no moment. Ignoring a holding that a few steps connecting two sidewalks are a "sidewalk" implies nothing about the legislature's view of whether, as the majority seems to affirm today, all stairways are always sidewalks.

The problem with the expanded "functional equivalence" test the majority endorses is that it considers all elements of a sidewalk's "function" except the one that mattered most to the legislature—its function as a source of injury. *Woodson* recognized that some stairways may well possess the same injury profile as the common sidewalk, or be so closely integrated into existing sidewalk infrastructure as to be effectively indistinguishable from it. But most stairways are much more hazardous than sidewalks. "[F]alls are the leading cause of non-fatal injury in the US, and are associated with significant morbidity and mortality among older adults" (Danielle Herbert Blazewick et al., *Stair-related injuries treated in United States emergency departments*, 36 Am J Emergency Med 608, 608 [2018]) and "[s]tairways are a common location for falls, and they result in a disproportionate risk of death or severe injury" (Jesse V. Jacobs, *A Review of stairway falls and stair negotiation: Lessons learned and future needs to reduce injury*, 49 Gait & Posture 159, 159 [2016]). Almost two million people were admitted to emergency rooms for stairway-related injuries incurred on stairways outside the home between 1990 and 2012 (Blazewick, *supra* at 610). Those injuries were incurred in large part because of characteristics possessed by stairways and not sidewalks: lack of vertical uniformity of the steps, rickety handrails, and missing nosings—all characteristics, it appears, of the stairway in this case. Of course, whether a particular stairway is functionally equivalent to the injury potential of a sidewalk is a fact-intensive inquiry. But consideration of injury potential is the only way to make the "functional equivalence" test consistent with the purpose of the legislature in approving these prior notice statutes.

The majority's conclusion has regrettable real-world consequences. Village Law § 6-628 and other prior notice statutes "[p]ractically . . . result in limiting a locality's duty of care" (*Poirier v City of Schenectady*, 85 NY2d 310, 314 [1995]). Today, by declaring the stairs at issue in this case are a "sidewalk," the Court deprives Mr. Hinton and others like him of the opportunity to prove whether municipalities are negligent in constructing or maintaining stairways that cause injuries. As a result, local governments will have less incentive to maintain their potentially dangerous stairways, making all of us less safe.

The plaintiff in this case does not ask us to overrule *Woodson* and I have no occasion here to consider whether *Woodson* "leads to an unworkable rule, or . . . creates more questions than it resolves, [and therefore] may ultimately be better served by a new rule" (*cf. People v Taylor*, 9 NY3d 129, 149 [2007]). *Woodson* did not resolve the question in this case, which I posed at the start: does the word "sidewalk" mean "stairway"? It does not; I therefore dissent.

Chief Judge DiFiore and Judges Rivera, Stein, Garcia and Feinman concur; Judge Wilson dissents in an opinion in which Judge Fahey concurs.

On review of submissions pursuant to section 500.11 of the Rules of the Court of Appeals (22 NYCRR 500.11), order affirmed, with costs, in a memorandum.

APPEALS DISMISSED PURSUANT TO RULES OF PRACTICE OF COURT OF APPEALS OR ON CONSENT

(March 1, 2019 through March 31, 2019)

Rabbinowitz v Robert C. Gottlieb, P.C.	1st Dept: 167 AD3d 410	3/13/19

APPEALS WITHDRAWN AND DISCONTINUED

(March 1, 2019 through March 31, 2019)

Niagara Mohawk Power Corp. v Allied Healthcare Prods., Inc.	3d Dept: 137 AD3d 1539	3/5/19
Nicke v Schwartzapfel Partners, P.C.	2d Dept: 148 AD3d 1168	3/6/19

APPLICATIONS IN CRIMINAL CASES FOR LEAVE TO APPEAL

(March 1, 2019 through March 31, 2019)

People v Adams	1st Dept: 169 AD3d 412 (Bronx)	denied 3/27/19 (Wilson, J.)
People v Alam (Russell)	1st Dept: 168 AD3d 495 (NY 2/27/04)	denied 3/22/19 (Fahey, J.)
People v Alam (Russell)	1st Dept: 168 AD3d 495 (NY 6/14/16)	denied 3/22/19 (Fahey, J.)
People v Alejo	1st Dept: 168 AD3d 485 (NY)	denied 3/12/19 (Fahey, J.)
People v Alexander	2d Dept: 168 AD3d 755 (Queens)	denied 3/27/19 (Feinman, J.)
People v Almonte	1st Dept: 168 AD3d 417 (NY)	denied 3/20/19 (Stein, J.)
People v Altamirano	2d Dept: 168 AD3d 870 (Suffolk)	denied 3/13/19 (Feinman, J.)
People v Alvarez	2d Dept: 168 AD3d 1090 (Kings)	denied 3/27/19 (Feinman, J.)
People v Anderson	App Div, 3d Dept: 2019 NY Slip Op 60664(U) (Albany)	denied 3/27/19 (Feinman, J.)
People v Arroyo	4th Dept: 167 AD3d 1537 (Erie)	denied 3/27/19 (Garcia, J.)
People v Ataroua	1st Dept: 168 AD3d 466 (Bronx)	denied 3/12/19 (Fahey, J.)
People v Ayala-Gonzalez	4th Dept: 167 AD3d 1536 (Erie)	denied 3/25/19 (Stein, J.)
People v Baez	App Div, 2d Dept: 2019 NY Slip Op 63498(U) (Queens)	dismissed 3/28/19 (Wilson, J.)
People v Banga	3d Dept: 168 AD3d 1185 (Schenectady)	denied 3/13/19 (Feinman, J.)
People v Baride	App Term, 2d Dept, 2d, 11th & 13th Jud Dists: 62 Misc 3d 139(A) (Queens)	denied 3/11/19 (Feinman, J.)
People v Barnes	4th Dept: 167 AD3d 1589 (Niagara)	denied 3/21/19 (Stein, J.)
People v Barrett	1st Dept: 168 AD3d 497 (NY)	denied 3/27/19 (DiFiore, Ch. J.)
People v Barthelemy	2d Dept: 168 AD3d 871 (Kings)	denied 3/22/19 (Fahey, J.)
People v Benjamin	2d Dept: 168 AD3d 967 (Kings)	denied 3/28/19 (Feinman, J.)

People v Benton	4th Dept: 167 AD3d 1522 (Onondaga)	denied 3/28/19 (Wilson, J.)
People v Bollers	2d Dept: 168 AD3d 872 (Kings)	denied 3/26/19 (Garcia, J.)
People v Boomer	App Div, 3d Dept: 2018 NY Slip Op 91887(U) (Albany)	denied 3/22/19 (DiFiore, Ch. J.)
People v Brandon G.	2d Dept: 169 AD3d 714 (Kings)	denied 3/22/19 (Feinman, J.)
People v Bresiac	App Term, 1st Dept: 62 Misc 3d 138(A) (NY)	denied 3/27/19 (Wilson, J.)
People v Brito	1st Dept: 167 AD3d 516 (NY)	denied 3/12/19 (Fahey, J.)
People v Busreth	3d Dept: 167 AD3d 1089 (Saratoga)	denied 3/20/19 (Rivera, J.)
People v Camber	4th Dept: 167 AD3d 1558 (Onondaga)	denied 3/29/19 (Wilson, J.)
People v Campbell	1st Dept: 168 AD3d 428 (NY)	denied 3/27/19 (Wilson, J.)
People v Carew	2d Dept: 167 AD3d 1032 (Queens)	denied 3/12/19 (Fahey, J.)
People v Cargill	2d Dept: 168 AD3d 873 (Queens)	denied 3/11/19 (Rivera, J.)
People v Carter	2d Dept: 168 AD3d 873 (Kings)	denied 3/12/19 (DiFiore, Ch. J.)
People v Castro	1st Dept: 166 AD3d 448 (NY)	denied 3/18/19 (Stein, J.)
People v Cea	App Term, 2d Dept, 9th & 10th Jud Dists: 62 Misc 3d 130(A) (Suffolk)	dismissed 3/11/19 (Rivera, J.)
People v Ceballos	1st Dept: 167 AD3d 497 (NY)	denied 3/20/19 (Stein, J.)
People v Chandler	2d Dept: 167 AD3d 1033 (Kings)	denied 3/26/19 (Garcia, J.)
People v Charlet	2d Dept: 169 AD3d 712 (Kings)	denied 3/27/19 (Rivera, J.)
People v Chunicarchi	App Term, 2d Dept, 2d, 11th & 13th Just Dists: 62 Misc 3d 139(A) (Queens)	denied 3/20/19 (Stein, J.)
People v Cimino	App Div, 4th Dept, 1/11/19 (Monroe)	dismissed 3/22/19 (Rivera, J.)
People v Clark	2d Dept: 167 AD3d 1035 (Kings)	denied 3/12/19 (Fahey, J.)
People v Cole	3d Dept: 166 AD3d 1219 (Montgomery)	denied 3/1/19 (Wilson, J.)
People v Colon	2d Dept: 168 AD3d 969 (Kings)	denied 3/26/19 (Wilson, J.)
People v Combs	1st Dept: 168 AD3d 478 (NY)	denied 3/28/19 (Wilson, J.)
People v Craft	4th Dept: 167 AD3d 1588 (Niagara)	denied 3/27/19 (Wilson, J.)
People v Cruz	1st Dept: 168 AD3d 561 (NY)	denied 3/1/19 (Rivera, J.)

People v Cummings	1st Dept: 167 AD3d 533 (NY)	denied 3/26/19 (Garcia, J.)
People v Cutaia	4th Dept: 167 AD3d 1534 (Niagara)	denied 3/27/19 (Garcia, J.)
People v Damon	4th Dept: 169 AD3d 1373 (Niagara)	denied 3/26/19 (Garcia, J.)
People v Daniels (Robert)	3d Dept: 167 AD3d 1088 (Saratoga)	denied 3/20/19 (Stein, J.)
People v Daniels (Robert)	3d Dept: 167 AD3d 1087 (Schenectady)	denied 3/20/19 (Stein, J.)
People v DeJesus	1st Dept: 169 AD3d 445 (Bronx)	denied 3/21/19 (Stein, J.)
People v Deleon	1st Dept: 166 AD3d 542 (NY)	denied 3/12/19 (Fahey, J.)
People v Depetris	4th Dept: 167 AD3d 1590 (Niagara)	denied 3/28/19 (Wilson, J.)
People v Dickenson	2d Dept: 164 AD3d 1358 (Nassau)	denied reconsideration 3/11/19 (Feinman, J.)
People v Dickerson	2d Dept: 168 AD3d 971 (Kings)	denied 3/22/19 (Fahey, J.)
People v Dickson-Eason	App Div, 3d Dept: 2019 NY Slip Op 60668(U) (Albany)	dismissed 3/11/19 (Feinman, J.)
People v Diendere	1st Dept: 167 AD3d 413 (NY)	denied 3/27/19 (Wilson, J.)
People v Dillon	4th Dept: 167 AD3d 1564 (Onondaga)	denied 3/27/19 (Feinman, J.)
People v DiValentino	2d Dept: 166 AD3d 645 (Orange)	denied 3/12/19 (Fahey, J.)
People v Dixon	1st Dept: 168 AD3d 639 (NY)	denied 3/27/19 (Garcia, J.)
People v D.M.	2d Dept: 168 AD3d 879 (Kings)	denied 3/11/19 (Feinman, J.)
People v Dobbins	2d Dept: 167 AD3d 931 (Nassau)	denied 3/28/19 (Feinman, J.)
People v Donely	1st Dept: 168 AD3d 563 (NY)	denied 3/18/19 (Stein, J.)
People v Douce	App Term, 1st Dept: 62 Misc 3d 143(A) (NY)	denied 3/25/19 (Stein, J.)
People v Edison	2d Dept: 167 AD3d 769 (Nassau)	denied 3/14/19 (DiFiore, Ch. J.)
People v Ellis	4th Dept: 167 AD3d 1565 (Monroe)	denied 3/22/19 (DiFiore, Ch. J.)
People v Ervine	App Div, 1st Dept: 2018 NY Slip Op 74644(U) (Bronx)	denied 3/26/19 (Garcia, J.)
People v Escamilla	2d Dept: 168 AD3d 758 (Kings)	denied 3/25/19 (DiFiore, Ch. J.)
People v Faircloth	2d Dept: 162 AD3d 789 (Dutchess)	denied 3/14/19 (Rivera, J.)

People v Febo	1st Dept: 167 AD3d 451 (NY)	denied 3/8/19 (DiFiore, Ch. J.)
People v Felton	1st Dept: 168 AD3d 494 (NY)	denied 3/12/19 (Fahey, J.)
People v Fernandez	2d Dept: 168 AD3d 973 (Queens)	denied 3/21/19 (Feinman, J.)
People v Fick	4th Dept: 167 AD3d 1484 (Livingston)	denied 3/26/19 (Garcia, J.)
People v Fitzhugh	2d Dept: 167 AD3d 933 (Kings)	denied 3/11/19 (Rivera, J.)
People v Flea	3d Dept: 168 AD3d 1225 (Ulster)	denied 3/21/19 (Feinman, J.)
People v Flee	3d Dept: 168 AD3d 1225 (Ulster)	denied 3/21/19 (Feinman, J.)
People v G	4th Dept: 167 AD3d 1465 (Cattaraugus)	denied 3/21/19 (Stein, J.)
People v Gannon (Sally)	App Term, 1st Dept: 62 Misc 3d 138(A) (NY)	denied 3/25/19 (DiFiore, Ch. J.)
People v Gannon (Zafira)	App Term, 1st Dept: 62 Misc 3d 138(A) (NY)	denied 3/25/19 (DiFiore, Ch. J.)
People v Gerratt J.	App Term, 1st Dept: 62 Misc 3d 141(A) (NY)	denied 3/26/19 (Garcia, J.)
People v Gibson	App Div, 4th Dept, 1/10/19 (Erie)	dismissed 3/11/19 (Rivera, J.)
People v Gilley	3d Dept: 163 AD3d 1156 (Albany)	denied 3/15/19 (Fahey, J.)
People v Gomez	2d Dept: 168 AD3d 874 (Queens)	denied 3/26/19 (Wilson, J.)
People v Gonzalez (Douglas)	App Term, 2d Dept, 9th & 10th Jud Dists: 62 Misc 3d 130(A) (Orange)	denied 3/21/19 (Feinman, J.)
People v Gonzalez (Justin)	App Term, 1st Dept: 62 Misc 3d 141(A) (NY)	denied 3/20/19 (Rivera, J.)
People v Gonzalez (Justin)	1st Dept: 168 AD3d 427 (NY)	denied 3/19/19 (DiFiore, Ch. J.)
People v Grand Pubar El Bey	3d Dept: 167 AD3d 1087 (Schenectady)	denied 3/20/19 (Stein, J.)
People v Graves	2d Dept: 168 AD3d 875 (Kings)	denied 3/18/19 (Stein, J.)
People v Green	1st Dept: 168 AD3d 545 (NY)	denied 3/20/19 (Rivera, J.)
People v Griffin	2d Dept: 168 AD3d 760 (Kings)	denied 3/27/19 (Garcia, J.)
People v Guzman (Jose)	1st Dept: 168 AD3d 562 (NY)	denied 3/11/19 (Rivera, J.)
People v Guzman (Luis)	1st Dept: 168 AD3d 528 (NY)	denied 3/26/19 (Garcia, J.)
People v Guzy	3d Dept: 167 AD3d 1230 (Chenango)	denied 3/4/19 (Wilson, J.)
People v Hackett (Patrick)	App Div, 4th Dept: 2019 NY Slip Op 62937(U) (Genesee)	dismissed 3/15/19 (DiFiore, Ch. J.)

People v Hackett (Patrick)	4th Dept: 166 AD3d 1483 (Genesee)	denied reconsideration 3/25/19 (DiFiore, Ch. J.)
People v Hampton	1st Dept: 168 AD3d 559 (NY)	denied 3/26/19 (Garcia, J.)
People v Harris (Eric)	App Div, 4th Dept, 12/3/18 (Seneca)	dismissed 3/1/19 (Stein, J.)
People v Harris (Michelle)	1st Dept: 166 AD3d 553 (NY)	denied 3/14/19 (Fahey, J.)
People v Harvey	4th Dept: 167 AD3d 1574 (Monroe)	denied 3/13/19 (Feinman, J.)
People v Hayes	2d Dept: 168 AD3d 875 (Kings)	denied 3/11/19 (Feinman, J.)
People v Henry	3d Dept: 166 AD3d 1213 (Chemung)	denied 3/13/19 (Fahey, J.)
People v Higgins	1st Dept: 168 AD3d 417 (NY)	denied 3/12/19 (Fahey, J.)
People v Hodges	1st Dept: 168 AD3d 630 (NY)	denied 3/22/19 (Fahey, J.)
People v Hoke	4th Dept: 167 AD3d 1549 (Ontario)	denied 3/26/19 (Rivera, J.)
People v Holden (Randall)	4th Dept: 167 AD3d 1550 (Ontario)	denied 3/11/19 (Feinman, J.) (Appeal No. 1)
People v Holden (Randall)	4th Dept: 167 AD3d 1550 (Ontario)	denied 3/11/19 (Feinman, J.) (Appeal No. 2)
People v Holden (Randall)	4th Dept: 167 AD3d 1551 (Ontario)	denied 3/11/19 (Feinman, J.) (Appeal No. 3)
People v Holguin	2d Dept: 168 AD3d 1096 (Nassau)	denied 3/29/19 (DiFiore, Ch. J.)
People v Holmes	2d Dept: 167 AD3d 1039 (Kings)	denied 3/25/19 (Stein, J.)
People v Huger	2d Dept: 167 AD3d 1042 (Kings)	denied 3/21/19 (DiFiore, Ch. J.)
People v Jack	2d Dept: 168 AD3d 763 (Kings)	denied 3/1/19 (Rivera, J.)
People v Javi	4th Dept: 167 AD3d 1536 (Erie)	denied 3/25/19 (Stein, J.)
People v Jimenez	4th Dept: 167 AD3d 1573 (Jefferson)	denied 3/27/19 (Feinman, J.)
People v Johnson (Chamia)	4th Dept: 169 AD3d 1480 (Niagara)	denied 3/27/19 (Feinman, J.)
People v Johnson (Isa)	2d Dept: 165 AD3d 1287 (Kings)	denied 3/11/19 (Rivera, J.)
People v Johnson (Michael)	4th Dept: 169 AD3d 1366 (Erie)	denied 3/27/19 (Garcia, J.) (Appeal No. 1)
People v Johnson (William)	4th Dept: 167 AD3d 1512 (Ontario)	denied 3/26/19 (Rivera, J.)

People v Jones (Jahmarley)	2d Dept: 166 AD3d 803 (Queens)	denied 3/27/19 (Garcia, J.)
People v Jones (Markese)	3d Dept: 167 AD3d 1073 (Schenectady)	denied 3/25/19 (Stein, J.)
People v Jones (Stephanie)	3d Dept: 166 AD3d 1394 (Albany)	denied 3/4/19 (Wilson, J.)
People v Jordan	2d Dept: 167 AD3d 1044 (Westchester)	denied 3/12/19 (Fahey, J.)
People v Kader	App Term, 1st Dept: 62 Misc 3d 143(A) (NY)	denied 3/20/19 (Rivera, J.)
People v King	1st Dept: 168 AD3d 584 (NY)	denied 3/26/19 (Wilson, J.)
People v Knox	3d Dept: 167 AD3d 1324 (Ulster)	denied 3/27/19 (Wilson, J.)
People v Kocot	2d Dept: 167 AD3d 940 (Dutchess)	denied 3/26/19 (Garcia, J.)
People v Lancaster	2d Dept: 166 AD3d 807 (Kings)	denied 3/26/19 (Garcia, J.)
People v Leslie (Ezra)	App Div, 2d Dept: 2018 NY Slip Op 75904(U) (Suffolk)	denied reconsideration 3/14/19 (Rivera, J.)
People v Leslie (Ezra)	App Div, 2d Dept: 2018 NY Slip Op 87991(U) (Suffolk)	denied reconsideration 3/14/19 (Rivera, J.)
People v Lewis	2d Dept: 167 AD3d 1045 (Orange)	denied 3/26/19 (Garcia, J.)
People v Linares	3d Dept: 167 AD3d 1067 (Albany)	denied 3/5/19 (Wilson, J.)
People v Lombardo	4th Dept: 169 AD3d 1361 (Niagara)	denied 3/28/19 (Wilson, J.)
People v Loney	2d Dept: 164 AD3d 523 (Kings)	granted 3/1/19 (Wilson, J.)
People v Lopez	2d Dept: 168 AD3d 879 (Queens)	denied 3/11/19 (Feinman, J.)
People v Lora	1st Dept: 168 AD3d 440 (NY)	denied 3/12/19 (Fahey, J.)
People v Love	App Div, 2d Dept: 2018 NY Slip Op 91625(U) (Suffolk)	dismissed 3/26/19 (Garcia, J.)
People v Lumpkin	1st Dept: 169 AD3d 406 (NY)	denied 3/25/19 (DiFiore, Ch. J.)
People v Maldonado (Jonathan)	2d Dept: 167 AD3d 1046 (Westchester)	denied 3/27/19 (Garcia, J.)
People v Maldonado (Manuel)	2d Dept: 167 AD3d 1047 (Westchester)	denied 3/27/19 (Garcia, J.)
People v Mandes	2d Dept: 168 AD3d 764 (Kings)	denied 3/27/19 (Stein, J.)
People v Manning	2d Dept: 168 AD3d 982 (Kings)	denied 3/13/19 (Feinman, J.)

People v Manzembe-Udekwu	County Ct, 9/7/18 (Steuben)	denied reconsideration 3/21/19 (Stein, J.)
People v Marte	1st Dept: 167 AD3d 409 (NY)	denied 3/1/19 (Stein, J.)
People v Martinez	1st Dept: 168 AD3d 412 (Bronx)	denied 3/25/19 (Stein, J.)
People v Maull	4th Dept: 167 AD3d 1465 (Cattaraugus)	denied 3/21/19 (Stein, J.)
People v McCray	2d Dept: 166 AD3d 907 (Dutchess)	denied 3/25/19 (Stein, J.)
People v McDonald	1st Dept: 167 AD3d 430 (Bronx)	denied 3/4/19 (Stein, J.)
People v McMillon	4th Dept: 167 AD3d 1589 (Monroe)	denied 3/20/19 (Rivera, J.)
People v Mendoza	2d Dept: 169 AD3d 717 (Queens)	denied 3/26/19 (Rivera, J.)
People v Mijo	4th Dept: 167 AD3d 1536 (Erie)	denied 3/25/19 (Stein, J.)
People v Miller (Daniel)	2d Dept: 166 AD3d 812 (Nassau)	denied 3/22/19 (Fahey, J.)
People v Miller (Maurice)	3d Dept: 160 AD3d 1040 (Rensselaer)	denied reconsideration 3/20/19 (Rivera, J.)
People v Mizrahi	App Term, 2d Dept, 2d, 11th & 13th Jud Dists: 62 Misc 3d 139(A) (Richmond)	denied 3/21/19 (Feinman, J.)
People v Mohamed	1st Dept: 168 AD3d 563 (NY)	denied 3/12/19 (DiFiore, Ch. J.)
People v Moller	1st Dept: 168 AD3d 425 (NY)	denied 3/1/19 (Stein, J.)
People v Moncrieft	2d Dept: 168 AD3d 982 (Kings)	denied 3/20/19 (Rivera, J.)
People v Montgomery	App Term, 1st Dept: 62 Misc 3d 138(A) (NY)	denied 3/20/19 (Rivera, J.)
People v Moore (Darryl)	2d Dept: 163 AD3d 722 (Queens)	denied 3/27/19 (Wilson, J.)
People v Moore (Gregory)	3d Dept: 167 AD3d 1158 (Schenectady)	denied 3/12/19 (Fahey, J.)
People v Moore (Melvin)	4th Dept: 167 AD3d 1589 (Monroe)	denied 3/13/19 (DiFiore, Ch. J.)
People v Mora	2d Dept: 168 AD3d 986 (Queens)	denied 3/26/19 (Garcia, J.)
People v Moreno-Grantini	1st Dept: 167 AD3d 471 (NY)	denied 3/20/19 (Rivera, J.)
People v Morrow	4th Dept: 167 AD3d 1516 (Steuben)	denied 3/19/19 (Stein, J.)
People v Muriqi	County Ct, 9/6/18 (Steuben)	denied reconsideration 3/21/19 (Stein, J.)

People v Murphy	1st Dept: 168 AD3d 632 (NY)	denied 3/26/19 (Garcia, J.)
People v Myers (Kenneth)	2d Dept: 168 AD3d 986 (Kings)	denied 3/22/19 (Fahey, J.)
People v Myers (Theodore)	4th Dept: 167 AD3d 1573 (Steuben)	denied 3/19/19 (Stein, J.)
People v Nance	App Div, 4th Dept, 1/3/19 (Erie)	dismissed 3/29/19 (Garcia, J.)
People v Napier	1st Dept: 168 AD3d 445 (NY)	denied 3/20/19 (Rivera, J.)
People v Napolitano	County Ct, 1/28/19 (Erie)	denied 3/28/19 (Feinman, J.)
People v Neilson	2d Dept: 167 AD3d 779 (Orange)	denied 3/25/19 (Stein, J.)
People v Ne Ne	3d Dept: 168 AD3d 1185 (Schenectady)	denied 3/13/19 (Feinman, J.)
People v Nikaj	1st Dept: 168 AD3d 609 (NY)	denied 3/20/19 (Rivera, J.)
People v Nikiteas	4th Dept: 167 AD3d 1556 (Monroe)	denied 3/27/19 (Wilson, J.)
People v Nunez	1st Dept: 168 AD3d 421 (NY)	denied 3/28/19 (Wilson, J.)
People v Okoli	App Term, 2d Dept, 9th & 10th Jud Dists: 61 Misc 3d 149(A) (Nassau)	denied 3/26/19 (Garcia, J.)
People v Ortiz (Anthony)	2d Dept: 167 AD3d 658 (Queens)	denied 3/4/19 (Wilson, J.)
People v Ortiz (Randy)	1st Dept: 168 AD3d 463 (NY)	denied 3/13/19 (DiFiore, Ch. J.)
People v Pabon	1st Dept: 167 AD3d 460 (NY)	denied 3/27/19 (Garcia, J.)
People v Panico	County Ct, 1/29/19 (Steuben)	denied 3/21/19 (Stein, J.)
People v Pek	1st Dept: 168 AD3d 526 (NY)	denied 3/14/19 (Rivera, J.)
People v Perez (Jose)	1st Dept: 168 AD3d 475 (NY)	denied 3/12/19 (Fahey, J.)
People v Perez (Rafael)	1st Dept: 167 AD3d 479 (Bronx)	denied 3/6/19 (Wilson, J.)
People v Perry	1st Dept: 168 AD3d 522 (NY)	denied 3/12/19 (Fahey, J.)
People v Phipps	2d Dept: 168 AD3d 881 (Queens)	denied 3/27/19 (Feinman, J.)
People v Pinto	2d Dept: 167 AD3d 659 (Queens)	denied 3/26/19 (Garcia, J.)
People v Power	1st Dept: 168 AD3d 416 (NY)	denied 3/26/19 (Garcia, J.)
People v Pubar	3d Dept: 167 AD3d 1087 (Schenectady)	denied 3/20/19 (Stein, J.)
People v Raad	2d Dept: 166 AD3d 907 (Rockland)	denied 3/26/19 (Garcia, J.)

People v Rabito	4th Dept: 167 AD3d 1536 (Erie)	denied 3/25/19 (Stein, J.)
People v Rajbar	2d Dept: 168 AD3d 883 (Queens)	denied 3/26/19 (Garcia, J.)
People v Raspa	1st Dept: 167 AD3d 456 (NY)	denied 3/26/19 (Stein, J.)
People v Reddick	App Term, 1st Dept: 61 Misc 3d 147(A) (NY)	denied 3/27/19 (Garcia, J.)
People v Reese	3d Dept: 166 AD3d 1057 (Ulster)	denied 3/12/19 (Fahey, J.)
People v Rice	1st Dept: 168 AD3d 582 (Bronx)	denied 3/29/19 (DiFiore, Ch. J.)
People v Rickenbacker	3d Dept: 168 AD3d 1315 (Sullivan)	denied 3/20/19 (Rivera, J.)
People v Rivera (Jose)	1st Dept: 168 AD3d 520 (NY)	denied 3/25/19 (Stein, J.)
People v Rivera (Robert)	1st Dept: 168 AD3d 556 (Bronx)	denied 3/26/19 (Garcia, J.)
People v Robbins	County Ct, 1/8/19 (Tompkins)	denied 3/13/19 (Feinman, J.)
People v Robertson	1st Dept: 167 AD3d 451 (NY)	denied 3/22/19 (DiFiore, Ch. J.)
People v Robinson	1st Dept: 168 AD3d 605 (NY)	denied 3/20/19 (Rivera, J.)
People v Rodriguez (Anthony)	App Term, 2d Dept, 9th & 10th Jud Dists: 2018 NY Slip Op 92259(U) (Dutchess)	dismissed 3/8/19 (DiFiore, Ch. J.)
People v Rodriguez (Jeramie)	1st Dept: 166 AD3d 562 (Bronx)	denied 3/11/19 (DiFiore, Ch. J.)
People v Rosario	1st Dept: 162 AD3d 470 (NY)	denied 3/27/19 (Garcia, J.)
People v Rousseau	App Term, 2d Dept, 9th & 10th Jud Dists: 62 Misc 3d 127(A) (Suffolk)	denied 3/22/19 (Fahey, J.)
People v Russell	App Div, 4th Dept, 11/13/18 (Cayuga)	dismissed 3/20/19 (Stein, J.)
People v Sam	2d Dept: 164 AD3d 1379 (Kings)	denied reconsideration 3/1/19 (Stein, J.)
People v Sanders	2d Dept: 161 AD3d 1015 (Kings)	denied 3/12/19 (Fahey, J.)
People v Sarita-Sanchez	App Term, 1st Dept: 62 Misc 3d 138(A) (NY)	denied 3/13/19 (DiFiore, Ch. J.)
People v Scott	2d Dept: 161 AD3d 901 (Orange)	denied 3/12/19 (DiFiore, Ch. J.)
People v Seck	2d Dept: 167 AD3d 782 (Richmond)	denied 3/11/19 (Rivera, J.)
People v Shamsuddin	3d Dept: 167 AD3d 1334 (Albany)	denied 3/11/19 (Feinman, J.)
People v Shureb	County Ct, 9/7/18 (Steuben)	denied reconsideration 3/21/19 (Stein, J.)

People v Silver	3d Dept: 168 AD3d 1225 (Ulster)	denied 3/21/19 (Feinman, J.)
People v Simmons	1st Dept: 168 AD3d 548 (NY)	denied 3/21/19 (Stein, J.)
People v Simpson (Precious)	App Term, 2d Dept, 9th & 10th Jud Dists: 61 Misc 3d 148(A) (Westchester)	denied 3/1/19 (Stein, J.)
People v Simpson (Theodore)	App Div, 1st Dept: 2018 NY Slip Op 85535(U) (Bronx)	denied 3/21/19 (DiFiore, Ch. J.)
People v Singleton	App Div, 4th Dept, 12/19/18 (Ontario)	dismissed 3/26/19 (Wilson, J.)
People v Smalls	1st Dept: 168 AD3d 575 (NY)	denied 3/18/19 (Stein, J.)
People v Smith (John)	2d Dept: 167 AD3d 944 (Kings)	denied 3/12/19 (Fahey, J.)
People v Smith (Vincent)	4th Dept: 167 AD3d 1505 (Erie)	denied 3/21/19 (DiFiore, Ch. J.)
People v Spasoff	2d Dept: 168 AD3d 886 (Westchester)	denied 3/22/19 (Feinman, J.)
People v Spruill	2d Dept: 164 AD3d 1270 (Kings)	denied 3/5/19 (Rivera, J.)
People v Steele	4th Dept: 167 AD3d 1514 (Monroe)	denied 3/29/19 (Rivera, J.)
People v Sutton (Aaron)	2d Dept: 167 AD3d 947 (Queens)	denied 3/27/19 (Garcia, J.)
People v Sutton (Charles)	2d Dept: 167 AD3d 947 (Suffolk)	denied 3/11/19 (Rivera, J.)
People v Thomas (Bernard)	4th Dept: 167 AD3d 1589 (Erie)	denied 3/21/19 (DiFiore, Ch. J.)
People v Thomas (Richard)	2d Dept: 168 AD3d 766 (Queens)	denied 3/12/19 (Fahey, J.)
People v Thompson	2d Dept: 168 AD3d 771 (Richmond)	denied 3/12/19 (Fahey, J.)
People v Tolbert	1st Dept: 168 AD3d 498 (Bronx)	denied 3/27/19 (Wilson, J.)
People v Torres	2d Dept: 168 AD3d 887 (Queens)	denied 3/12/19 (DiFiore, Ch. J.)
People v Tutti	3d Dept: 168 AD3d 1185 (Schenectady)	denied 3/13/19 (Feinman, J.)
People v Tyler	4th Dept: 166 AD3d 1556 (Erie)	denied reconsideration 3/19/19 (DiFiore, Ch. J.)
People v Ullah	1st Dept: 166 AD3d 471 (NY)	denied 3/18/19 (Stein, J.)
People v Utak	App Term, 2d Dept, 9th &10th Jud Dists: 62 Misc 3d 140(A) (Westchester)	denied 3/12/19 (Fahey, J.)
People v Valachovic	3d Dept: 163 AD3d 1351 (Montgomery)	denied 3/20/19 (Rivera, J.)
People v Vaquero	2d Dept: 168 AD3d 1000 (Kings)	denied 3/27/19 (Garcia, J.)
People v Vasquez	3d Dept: 168 AD3d 1185 (Schenectady)	denied 3/13/19 (Feinman, J.)

People v Vecchio	2d Dept: 168 AD3d 1000 (Queens)	denied 3/19/19 (DiFiore, Ch. J.)
People v Vega	4th Dept: 167 AD3d 1468 (Orleans)	denied 3/25/19 (DiFiore, Ch. J.)
People v Venzen	1st Dept: 168 AD3d 457 (NY)	denied 3/29/19 (Wilson, J.)
People v Vias	2d Dept: 167 AD3d 950 (Richmond)	denied 3/21/19 (Stein, J.)
People v Vicente	2d Dept: 167 AD3d 951 (Suffolk)	denied 3/12/19 (Fahey, J.)
People v Villanueva	2d Dept: 168 AD3d 769 (Queens)	denied 3/21/19 (DiFiore, Ch. J.)
People v Walcott	2d Dept: 168 AD3d 888 (Kings)	denied 3/28/19 (Feinman, J.)
People v Walker	4th Dept: 167 AD3d 1502 (Monroe)	denied 3/27/19 (Garcia, J.)
People v Ward	1st Dept: 168 AD3d 432 (NY)	denied 3/21/19 (Stein, J.)
People v Warner	4th Dept: 167 AD3d 1492 (Oneida)	denied 3/26/19 (Garcia, J.)
People v Washington	1st Dept: 168 AD3d 439 (NY)	denied 3/26/19 (Garcia, J.)
People v Watkins	3d Dept: 166 AD3d 1239 (Warren)	denied 3/19/19 (Stein, J.)
People v Weaver	3d Dept: 167 AD3d 1238 (Albany)	denied 3/26/19 (Garcia, J.)
People v Wilcott	1st Dept: 168 AD3d 478 (NY)	denied 3/25/19 (Stein, J.)
People v Williams (Devon)	2d Dept: 168 AD3d 770 (Kings)	denied 3/12/19 (Fahey, J.)
People v Williams (Leroy)	2d Dept: 165 AD3d 848 (Kings)	denied 3/19/19 (DiFiore, Ch. J.)
People v Williams (Michael)	App Div, 3d Dept: 2019 NY Slip Op 61955(U) (Albany)	denied 3/26/19 (Garcia, J.)
People v Williams (Ronald)	App Term, 1st Dept: 62 Misc 3d 137(A) (Bronx)	denied 3/26/19 (Garcia, J.)
People v Wilson (Jeremy)	1st Dept: 168 AD3d 598 (NY)	denied 3/25/19 (DiFiore, Ch. J.)
People v Wilson (Kaseem)	1st Dept: 167 AD3d 478 (NY)	denied 3/29/19 (DiFiore, Ch. J.)
People v Wilson (Lamont)	App Term, 1st Dept: 62 Misc 3d 137(A) (NY)	denied 3/12/19 (DiFiore, Ch. J.)
People v Wilson (Scott)	2d Dept: 168 AD3d 889 (Suffolk)	denied 3/20/19 (Stein, J.)
People v Winfrey	1st Dept: 168 AD3d 422 (NY)	denied 3/11/19 (Rivera, J.)
People v Young	2d Dept: 168 AD3d 771 (Richmond)	denied 3/12/19 (Fahey, J.)
People v Zurek	4th Dept: 166 AD3d 1539 (Oneida)	denied 3/26/19 (Garcia, J.)

[123 NE3d 255, 99 NYS3d 771]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ALEXIS RODRIGUEZ, Appellant.

Decided April 2, 2019

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the Third Judicial Department, from an order of that Court, entered August 9, 2018. The Appellate Division affirmed a judgment of the Schenectady County Court (Matthew J. Sypniewski, J.), which had convicted defendant, upon his plea of guilty, of assault in the first degree.

People v Rodriguez, 164 AD3d 1024, affirmed.

HEADNOTE

Crimes — Plea Bargaining — Enforcement of Agreement — Scope of Cooperation Agreement

In a prosecution for murder and assault, where defendant confessed to the crimes and explained that they were retaliation for a prior invasion of his home by the murder victim and others and then entered into a written cooperation agreement in exchange for a favorable sentence, the trial court properly determined that defendant's refusal to testify in connection with the home invasion prosecution against an associate of the murder victim, who was also an alleged perpetrator of the home invasion, violated the express terms of his cooperation agreement. The plain language of the agreement whereby defendant promised to "cooperate completely and truthfully . . . on all matters in which his cooperation [was] requested, including but not limited to" the prosecution of his accomplices on charges related to the murder and assault, was objectively susceptible to but one interpretation. The trial court, therefore, did not abuse its discretion by denying defendant's motion to withdraw his guilty plea based on his claimed subjective misinterpretation of the agreement or by concluding, to the contrary, that defendant reasonably understood that his cooperation in the home invasion prosecution was required. When defendant signed the agreement, he already had testified to the associate's involvement in the home invasion before the grand jury in the murder and assault prosecution, and he also had assisted the police with their investigation of the home invasion by identifying that individual in a photo array.

APPEARANCES OF COUNSEL

Law Office of Paul J. Connolly, Delmar (*Paul J. Connolly* of counsel), for appellant.

Robert M. Carney, *District Attorney*, Schenectady (*Peter Willis* of counsel), for respondent.

OPINION OF THE COURT

MEMORANDUM.

The order of the Appellate Division should be affirmed. As part of a plea agreement and in exchange for a favorable sentence, defendant entered into a written cooperation agreement whereby he promised to "cooperate completely and truthfully with law enforcement authorities, including the police and the District Attorney's Office, on all matters in which his cooperation is requested, including but not limited to the prosecution of [defendant's accomplices] on charges related to the murder of Jose Sanchez and the assault of [Sanchez's brother]." Prior to entering into the cooperation agreement, defendant had confessed to his involvement in the Sanchez murder and assault, explaining that the crimes were retaliation for a prior invasion of defendant's home by Sanchez and his associates, including Jose Marin. When defendant signed the agreement, he already had testified to Marin's involvement in the home invasion before the grand jury in the Sanchez matter, and he also had assisted the police with their investigation of the home invasion by identifying Marin in a photo array.

The cooperation agreement cautioned defendant that a "fail-[ure] to fully and successfully cooperate" would result in forfeiture of the sentencing promise and imposition of an enhanced sentence. Before County Court accepted his guilty plea, defendant confirmed on the record that he understood this aspect of the cooperation agreement. Defendant pleaded guilty to murder and assault, and he was subsequently sentenced on the murder count. Upon consent of the parties, sentencing on the assault count was postponed until defendant had fulfilled his obligations under the cooperation agreement. Before imposition of that sentence, the District Attorney's Office requested that defendant testify against Marin in connection with the prosecution of the home invasion. Defendant refused.

On this record, County Court did not err when it determined that defendant's refusal to testify against Marin violated the express terms of his cooperation agreement. The plain language of the agreement was objectively susceptible to but one interpretation (*see People v Cataldo*, 39 NY2d 578, 580 [1976]). County Court, therefore, did not abuse its discretion by denying defendant's motion to withdraw his guilty plea based on his claimed subjective misinterpretation of the agreement or by concluding, to the contrary, that defendant reasonably understood that his cooperation in the Marin prosecution was required (*see id.*; *see also People v Collier*, 22 NY3d 429, 433 [2013]). Defendant's ineffective assistance of counsel argument likewise lacks merit (*see People v Manor*, 27 NY3d 1012, 1014 [2016]).

RIVERA, J. (dissenting). This appeal presents an open question that this Court has never addressed: what interpretive standards apply to the terms of a cooperation agreement when, as here, a defendant claims to have neither intended nor understood the agreement to include the People's demand for assistance with an unspecified criminal investigation or prosecution? Rather than tackle that issue head on, the majority affirms the Appellate Division's order in a single sentence analysis that is short on reasoning and creates confusion in this undeveloped area. Our constitutional role is to provide guidance to our state's courts and bar by providing clear rules of legal analysis. In the case of cooperation agreements, those bargained-for promises are subject to our traditional rules of contract interpretation. Applying those rules here, I conclude that defendant's cooperation agreement is limited in scope to the crimes for which he pleaded guilty. Therefore, defendant did not violate the agreement when he refused to testify against an individual charged with a different, prior crime against defendant and his family. Accordingly, it was error for County Court to deny defendant's motion to withdraw his guilty plea upon that court's refusal to sentence defendant to the concurrent terms he bargained for. I dissent.[1]

I.

The Cooperation Agreement, Defendant's Sentence and the Motion to Withdraw his Guilty Plea

Defendant Alexis Rodriguez and his family were victims of a

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1. Defendant stresses that "[t]his appeal presents issues concerning the construction of plea agreements, by which the overwhelming majority of criminal prosecutions in this state are resolved," that it specifically raises the important issue of how a court is to construe a cooperation agreement that purports to require a defendant's unlimited cooperation, and that resolution of these issues is of especially great significance to defendant since it determines whether he serves 20 years to life or 40 years to life in prison. To that end, defendant objects to placement of his appeal on our alternative review track (*see* Rules of Ct of Appeals [22 NYCRR] § 500.11 [b]). As I have previously stated, once a majority of the Court chooses to maintain the appeal on the sua sponte merits review (SSM) track, notwithstanding a party's objection, we must consider the issues in the posture presented (*see Matter of Luis P.*, 32 NY3d 1165, 1167 n 2 [2018, Rivera, J., dissenting]). For the reasons I discuss in this dissent, based on the record and the SSM letter submissions, I would reverse the Appellate Division.

home invasion burglary arising from a dispute between defendant and Jose Sanchez. Defendant owed money to Sanchez for his help registering and insuring a minivan. Sanchez and three accomplices—Sanchez's two brothers and a man later identified as Victor Marin—entered defendant's home and brandished weapons at defendant and his family. Defendant told the men to take the minivan in place of the money he owed, which they did. Before leaving, Marin threatened defendant and his family that anyone who reported the incident to the police would be killed.

About a month later, defendant and three accomplices armed with guns went to Sanchez's house intending to retrieve the vehicle. A fight ensued, during which defendant's accomplices fought and stabbed one of Sanchez's brothers. One of the accomplices then stabbed Sanchez, another shot him multiple times, and after Sanchez fell to the ground, defendant shot Sanchez several more times.

Defendant was arrested for Sanchez's murder and the stabbing and beating of Sanchez's brother. Defendant confessed and told the police about the home invasion to explain the motive for his crimes. The People offered a plea bargain to defendant that required his cooperation with law enforcement. During the negotiations but before signing a written agreement, defendant was shown a photo array from which he identified Marin as a participant in the home invasion. Defendant previously knew Marin only by nickname. Defendant also waived immunity and testified before a grand jury regarding Sanchez's murder. During this testimony defendant again described his motive for the murder as the home invasion and stated that Marin was one of the participants in that prior crime. The People explained to the grand jury that defendant's testimony was relevant only as to the motive behind the murder of Sanchez and the assault on Sanchez's brother. Nevertheless, based on that testimony, the People successfully requested the grand jury consider charges against Marin for burglary in the first degree.

Thereafter, defendant signed a written plea and cooperation agreement. The agreement provides, in relevant part, that

> "Defendant will cooperate completely and truthfully with law enforcement authorities, including the police and the District Attorney's Office, on all matters in which his cooperation is requested,

> including but not limited to the prosecution of [defendant's accomplices] on charges related to the murder of Jose Sanchez and the assault of [Sanchez's brother]."

The agreement also stated that "Defendant hereby verifies, and it is a condition of this agreement, that his Grand Jury testimony . . . regarding this murder and assault was truthful. It is a condition of this agreement that he agree to look at photo array compilations in an attempt to identify the other two accomplices."

Pursuant to the agreement, defendant would plead guilty to murder in the second degree and assault in the first degree. In exchange for his plea and cooperation, he would be sentenced to 20 years to life in prison on the murder count and a concurrent sentence of 20 years in prison, followed by five years' post-release supervision on the assault count. If defendant failed to comply with the cooperation agreement, he would be sentenced to a consecutive term of 10 to 20 years in prison on his plea to the assault. Accordingly, upon defendant's plea, the court sentenced him to 20 years to life in prison for the murder conviction and adjourned sentencing on the assault conviction pending defendant's compliance with the cooperation agreement.

Approximately 10 months after entering into the cooperation agreement and pleading guilty, the People requested that defendant testify against Marin in Marin's burglary trial for the home invasion committed against defendant and his family. Defendant refused to testify. He maintained that the agreement did not require this testimony and he was afraid for his family's safety.

After the court warned defendant that it would view the cooperation agreement as requiring him to testify in Marin's trial, defendant filed a motion to withdraw his guilty plea on the ground that the plea was not knowing, intelligent, and voluntary. Defendant attested by affidavit that he had a justifiable belief that the cooperation agreement only required him to cooperate in the murder and assault prosecution and had he known the People would require him to testify at a public trial regarding the burglary and home invasion he would have rejected the agreement out of concern for his family's safety. In opposition to the motion, the People conceded that the agreement does not mention Marin or the home invasion, but they argued that because defendant picked Marin out of an array and mentioned him in his grand jury testimony the agreement should be read to include his cooperation on “the case in which his family were victims.” County Court denied defendant’s motion, noting the broad language in the agreement, and that defendant had already cooperated in the “case” against Marin. The court further concluded that defendant violated the terms of the agreement by refusing to testify, and therefore it imposed a consecutive term of 20 years in prison for the assault conviction.

The Appellate Division, with two Justices dissenting, affirmed the judgment convicting defendant upon his guilty plea to assault in the first degree (*People v Rodriguez*, 164 AD3d 1024 [3d Dept 2018]). The majority held that the cooperation agreement “did not limit [defendant’s] obligation to cooperate with the People solely with respect to Sanchez’s murder and the assault of Sanchez’s brother, but rather applied to ‘all matters in which his cooperation [was] requested’ ” (*id.* at 1026). The majority rejected defendant’s argument that the agreement’s language was “fatally overbroad” because, according to the majority, the two crimes were “inextricably intertwined” (*id.*). The two dissenting Justices concluded that the cooperation agreement did not include defendant’s public testimony at Marin’s trial because defendant testified about the home invasion in the grand jury solely to explain the motive for the assault and murder and had made it clear to law enforcement from the very beginning that Sanchez and Marin had threatened to kill his family if he reported the home invasion (*id.* at 1027-1028 [Lynch, J., dissenting]). Therefore, because defendant did not violate the cooperation agreement, consecutive sentences should not have been imposed (*id.*). One of the dissenting Justices granted defendant leave to appeal to this Court (32 NY3d 943 [2018]).

II.

Applicable Legal Standards

Defendant argues that the cooperation agreement, by its plain terms, encompasses only defendant’s cooperation as to the murder and assault crimes because it includes no mention of the home invasion. Defendant further maintains that even if construction of the agreement required consideration of extrinsic evidence, a review of the circumstances surrounding the formation of the agreement establishes that defendant and the People understood that defendant was agreeing to cooperate solely in the prosecution of the murder and assault.

The People respond that "[t]he agreement clearly contemplated [defendant's] continued cooperation and explicitly expanded the scope of the cooperation so that the People would be free to utilize [defendant] as a witness whenever he was needed, and for any crime for which he was needed." Under the People's interpretation of the agreement, defendant should have known that the police and prosecutor would seek his cooperation on crimes that he had already discussed with them, which included the home invasion.[2]

The Court has never articulated the standard by which a court may interpret the terms and conditions of a defendant's cooperation agreement with the People. Such agreements set forth the understanding between a defendant and the State as to the bargained-for promises of the respective parties. In return for a defendant's cooperation with a criminal investigation and prosecution, the defendant gains something meaningful in exchange. Here, it is undisputed that the People and defendant intended that, if he cooperated in accordance with the agreement, the court would run his second-degree murder and first-degree assault sentences concurrently, but any violation would result in consecutive sentences for these two counts. To that end, upon defendant's plea, the court sentenced him on the murder count and adjourned the sentence on the assault count to ensure defendant's compliance with the agreement. The cooperation agreement has all the hallmarks of a bargained-for promise and should be subject to traditional rules of contract interpretation. The application of contract doctrine to a cooperation agreement is supported by prior case law recognizing that a defendant is entitled to the contractual remedy of specific performance of a plea bargain (*People v McConnell*, 49 NY2d 340, 343 [1980]). Thus, there is no principled reason to adopt different interpretive rules to a cooperation agreement which sets the terms by which defendant agrees to plea.

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2. The People's alternative argument that the Court lacks jurisdiction to consider this appeal because it is a mixed question of fact and law with record support is easily disposed of as wholly without merit. The proper interpretation of a cooperation agreement—like any contract or bargained-for promise—is a question of law reviewable by this Court (*see e.g. Burlington Ins. Co. v NYC Tr. Auth.*, 29 NY3d 313, 321 [2017]).

"The best evidence of what parties to a written agreement intend is what they say in their writing" (*Slamow v Del Col*, 79 NY2d 1016, 1018 [1992]). Under long-standing rules of contract interpretation, "[w]here the terms of a contract are clear and unambiguous, the intent of the parties must be found within the four corners of the contract, giving a practical interpretation to the language employed and reading the contract as a whole" (*Ellington v EMI Music, Inc.*, 24 NY3d 239, 244 [2014], citing *Greenfield v Philles Records*, 98 NY2d 562, 569 [2002], and *W.W.W. Assoc. v Giancontieri*, 77 NY2d 157, 162-163 [1990]). The agreement is unambiguous if the language it uses has "a definite and precise meaning, unattended by danger of misconception in the purport of the [agreement] itself, and concerning which there is no reasonable basis for a difference of opinion" (*Breed v Insurance Co. of N. Am.*, 46 NY2d 351, 355 [1978]). However, where the agreement is ambiguous, a court may look beyond the four corners of the parties' agreement (*Greenfield*, 98 NY2d at 569). "[E]vidence outside the four corners of the document . . . is admissible only if a court finds ambiguity in the contract. As a general rule, extrinsic evidence is inadmissible to alter or add a provision to a written agreement" (*Schron v Troutman Sanders LLP*, 20 NY3d 430, 436 [2013]).

III.

The Scope of the Cooperation Agreement

Defendant persuasively argues that he did not understand the cooperation agreement to encompass his testimony at Marin's burglary trial. First, because the agreement does not reference the home invasion or Marin, and second, even apart from the language itself, the circumstances surrounding formation of the agreement establish that defendant would not have understood that he was required to assist in prosecuting Marin.

A. Plain Language of the Agreement

As is obvious from the plain language of the cooperation agreement, and undisputed by the People, the writing does not expressly mention the home invasion or Marin. Yet, and in notable contrast, the agreement unambiguously explains that defendant must cooperate with law enforcement in the investigation and prosecution of the murder and assault. Specifically, the agreement refers to the "pending case"—the murder and assault prosecution—and the prosecution of defendant's accomplices to these crimes. Further, the agreement required that defendant look at a photo array to identify his "two accomplices" from the murder and assault, which he previously identified only by their nicknames, but makes no mention of Marin or the prior crime.

Nor can the agreement's condition that defendant's grand jury testimony "regarding this murder and assault was truthful" be read to mean that defendant was required to testify in a separate public trial in another case against someone who was not an accomplice and not even present during the murder and assault. The fact that in the grand jury defendant referenced the home invasion to explain his motive for the crimes to which he eventually pleaded guilty does not affect the analysis since even the People instructed the grand jury to consider that testimony solely for purposes of deciding whether to charge on the murder and assault.

The absence of specific language referencing a particular promise ordinarily ends the inquiry as the court may not rewrite a contract to include terms the parties have expressly omitted (*Greenfield*, 98 NY2d at 569-570 ["if the agreement on its face is reasonably susceptible of only one meaning, a court is not free to alter the contract to reflect its personal notions of fairness and equity"]). Silence is not an invitation to judicial redrafting.

B. Extrinsic Evidence of Defendant's Agreed to Promises

In an effort to fit their proposed broad interpretation within the confines of our contract interpretive rules, the People point to a catchall requirement in the agreement that provides defendant will cooperate "on all matters in which his cooperation is requested, including but not limited to" the murder and assault prosecution. The People argue this phrase establishes that defendant would cooperate with law enforcement in the home invasion investigation and prosecution because defendant understood that at a minimum this language referred to all the crimes he had discussed with the police and District Attorney's office up to that point.

This language cannot operate as the People claim because the text is overbroad and vague, and also because it relies on an interpretation contradicted by defendant's statements and the events surrounding the contract formation. As to the first deficiency, reading the language as the People suggest would render the agreement a nullity (*see e.g. Benjamin Rush Empls. United v McCarthy*, 76 NY2d 781, 782 [1990]). There is no severance provision that would salvage such a flawed agreement.

As to the second deficiency, the People are hard pressed to establish that defendant understood he was promising to publicly testify against Marin in exchange for concurrent sentences for the murder and assault crimes. Assuming, arguendo, the catchall language renders the scope of the agreement ambiguous, under our rules of contract we then consider the circumstances surrounding the formation of the agreement to determine the parties' understanding at that time to determine whether they have a shared intent as to the meaning of the terms. In other words, we look to see if there exists the proverbial "meeting of the minds" (*Stonehill Capital Mgt. LLC v Bank of the W.*, 28 NY3d 439, 448 [2016], quoting *Farago v Burke*, 262 NY 229, 231 [1933]; *see also Matter of Express Indus. & Term. Corp. v New York State Dept. of Transp.*, 93 NY2d 584, 589 [1999] ["there must be a manifestation of mutual assent sufficiently definite to assure that the parties are truly in agreement with respect to all material terms"]). Here, there was no shared understanding for anything other than defendant's cooperation with the crimes he and his accomplices committed against Sanchez and his brother.

As thoroughly discussed by the Appellate Division dissent, the circumstances surrounding the formation of this agreement do not establish that defendant—or the People at the time—understood the agreement to require the defendant's cooperation in the investigation and prosecution of the home invasion. As the dissent below reasoned, the omission of any mention of Marin in the cooperation agreement "is consistent with the main focus of the police investigation, which was to identify and prosecute the accomplices involved in the murder and assault of Sanchez and his brother" (*Rodriguez*, 164 AD3d at 1027). In the grand jury, the People made abundantly clear on the record that defendant was being asked about the home invasion only because it was relevant to the murder of Sanchez and the assault on Sanchez's brother. Significantly, although the cooperation agreement eventually signed by defendant mirrored a prior draft that predated his grand jury testimony, the final agreement never mentioned Marin. It is implausible to read the agreement to require defendant's public testimony against Marin for the home invasion when at the time of defendant's confession he had informed police that Sanchez and Marin had threatened to kill his family if any of them reported the home invasion. Indeed, defendant has never filed a complaint against Marin, and the only times he mentioned him was to the police and in the secrecy of the grand jury proceedings to explain his motive for his own crimes. Finally, defendant refused to testify at Marin's burglary trial over concerns for his family's safety and even after the court explicitly warned him that he faced an additional 20 years in prison for not testifying. Defendant surely would not have entered an agreement to plead guilty knowing at the time that he could never fulfill the promise without endangering his family, thus ensuring an added two decades of incarceration without any commensurate benefit.

IV.

Defendant's Motion to Withdraw His Plea

As I have explained, the cooperation agreement cannot be construed to require defendant's testimony against Marin. The majority disagrees, pronouncing without further explanation that the "agreement was objectively susceptible to but one interpretation" (majority mem at 957). The majority's citation to *People v Cataldo* (39 NY2d 578 [1976]) sheds no light on the standards or analysis that lead to this conclusion, and the reference, like the majority "opinion," fails to provide guiding principles for courts to interpret such agreements in the future. *Cataldo* is particularly inapt because it is a memorandum order devoid of a single citation and does not even involve a cooperation agreement. The Court in *Cataldo* held that a defendant may not withdraw a plea where the court complies with the promises it made when it accepted the plea (*id.* at 580). In *Cataldo*, the trial court explained the exact terms of the bargain at the time of the plea, which, as relevant to the appeal, included the court's promise that if the Probation Department recommended a term of imprisonment, the court would follow the recommendation, with a maximum not in excess of five years. The court then imposed the indeterminate term of imprisonment with a five-year maximum recommended by the Department. *Cataldo* is not applicable here where the question presented is the proper interpretation of an agreement that the People argue, in part, requires consideration beyond the four corners of the document.

The majority's citation to *People v Manor* (27 NY3d 1012 [2016]) appears to suggest that case supports County Court's denial of defendant's motion to withdraw. *Manor* is another easily distinguishable memorandum opinion which involved a defendant's motion to withdraw his guilty plea on the ground that he was under the influence of alcohol and marijuana at the time of the plea (*id.* at 1013). The question presented in *Manor* was whether County Court abused its discretion in denying defendant's motion without a hearing. This Court held there was no abuse of discretion because defendant had a fair opportunity to argue the motion on written submissions, family coercion was not grounds to withdraw the plea, and defendant was silent at the time of the plea as to his alleged use of alcohol and drugs. The appeal did not require the Court to interpret the plea agreement—thus, not even by analogy is the case applicable here.

Under the cooperation agreement, defendant entered a guilty plea for the murder and assault charges in exchange for a specified term of concurrent sentences. He did so without understanding that the sentencing promise was conditioned on his testimony against Marin at Marin's burglary trial. Thus, County Court erred when it refused to impose a concurrent sentence on the ground that defendant violated a term not encompassed by the agreement, and the Appellate Division erroneously upheld defendant's conviction on the same reasoning. Defendant should have been sentenced to a concurrent sentence on the assault conviction, or his motion to withdraw the plea should have been granted.

Chief Judge DiFiore and Judges Stein, Fahey, Garcia and Feinman concur; Judge Rivera dissents in an opinion in which Judge Wilson concurs.

On review of submissions pursuant to section 500.11 of the Rules of the Court of Appeals (22 NYCRR 500.11), order affirmed, in a memorandum.

A. Anonymous, Appellant, v Mount Sinai Hospital, Respondent, et al., Defendant.

Submitted February 19, 2019; decided April 2, 2019

Reported below, 164 AD3d 1167.

Motion for reargument of motion for leave to appeal denied with $100 costs and necessary reproduction disbursements [*see* 32 NY3d 913 (2019)].

BOARD OF DIRECTORS OF WINDSOR OWNERS CORP., Respondent, v ELAINE PLATT, Appellant.

Submitted February 19, 2019; decided April 2, 2019

Reported below, 161 AD3d 637.

Motion for reargument of motion for leave to appeal denied [*see* 32 NY3d 1133 (2019)].

In the Matter of LISA BROWN, Appellant, v WILLIAM J. BRATTON, as Commissioner of the New York City Police, et al., Respondents.

Submitted February 11, 2019; decided April 2, 2019

Reported below, 166 AD3d 421.

Motion for leave to appeal dismissed as untimely (*see* CPLR 5513 [b]; 2103 [b] [2]).

EMIGRANT BANK, Formerly Known as EMIGRANT SAVINGS BANK, Plaintiff, v WANG REAL PROPERTY, LLC, et al., Appellants, et al., Defendants. 41ST ROAD PROPERTIES, LLC, Nonparty Respondent.

Submitted January 28, 2019; decided April 2, 2019

Reported below, 2018 NY Slip Op 91504(U).

Motion for leave to appeal dismissed upon the ground that the order sought to be appealed from does not finally determine the action within the meaning of the Constitution.

In the Matter of Will of SYDNEY H. FIELDS, Deceased. RICHARD FIELDS, Appellant, v DIANA PALMERI, Respondent.

Submitted February 11, 2019; decided April 2, 2019

Reported below, 2018 NY Slip Op 84318(U); 2018 NY Slip Op 91716(U).

On the Court's own motion, appeal, insofar as taken from the September 2018 Appellate Division order, dismissed, without costs, as untimely (*see* CPLR 5513 [a]); appeal, insofar as taken from the December 2018 Appellate Division order, dismissed, without costs, upon the ground that such order does not finally determine the proceeding within the meaning of the Constitution. Motion, insofar as it seeks leave to appeal from the September 2018 Appellate Division order, dismissed as untimely (*see* CPLR 5513 [b]); motion, insofar as it seeks leave to appeal from the December 2018 Appellate Division order, dismissed upon the ground that such order does not finally determine the proceeding within the meaning of the Constitution.

In the Matter of ROYAL DANNIEL HALL, Appellant, v DEBRA BENZIGER, as Records Officer for the State Police, Respondent.

Submitted February 11, 2019; decided April 2, 2019

Reported below, 163 AD3d 1382.

Motion for reargument of motion for leave to appeal denied [*see*32 NY3d 909 (2018)].

In the Matter of L&M BUS CORP. et al., Respondents, v NEW YORK CITY DEPT. OF EDUC. et al., Appellants.

Submitted January 28, 2019; decided April 2, 2019

Reported below, 167 AD3d 454.

Motion by Local 1181-1061, Amalgamated Transit Union, AFL-CIO, for leave to appear amicus curiae on the motion for leave to appeal herein granted and the memorandum is accepted as filed.

MALOU MANANGHAYA, as Administratrix of the Estate of TRISTAN MICHAEL MANANGHAYA, Deceased, et al., Respondents, v BRONX-LEBANON HOSPITAL CENTER, Respondent-Appellant, et al., Defendant.

NAPOLI TRANSPORTATION, INC., Third-Party Plaintiff-Respondent, v AGGREKO, LLC, Third-Party Defendant-Appellant-Respondent. (And Another Third-Party Action.)

Submitted January 22, 2019; decided April 2, 2019

Reported below, 165 AD3d 117.

Motions for leave to appeal dismissed upon the ground that the order sought to be appealed from does not finally determine the action within the meaning of the Constitution.

TEDDY MOORE, Appellant, v FRANK GUERRA, Defendant, and CITY OF NEW YORK et al., Respondents.

Submitted February 11, 2019; decided April 2, 2019

Reported below, 2019 NY Slip Op 61208(U).

Motion for leave to appeal dismissed upon the ground that the order sought to be appealed from does not finally determine the action within the meaning of the Constitution. Motion for poor person relief dismissed as academic.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v TAMARKQUA GARLAND, Appellant.

Submitted February 11, 2019; decided April 2, 2019

Reported below, 155 AD3d 527.

Motion for reargument denied [*see* 32 NY3d 1094 (2018)].

In the Matter of DENNIS W. QUIRK, Appellant, v JONATHAN LIPPMAN, Respondent.

Submitted February 4, 2019; decided April 2, 2019

Reported below, 156 AD3d 516.

Motion for reargument of motion for leave to appeal denied [*see* 32 NY3d 911 (2018)]. Motion for ancillary relief dismissed as moot.

Chief Judge DIFIORE taking no part.

[123 NE3d 263, 99 NYS3d 779]

In the Matter of LURLYN A. WINCHESTER, a Justice of the Monroe Town Court, Orange County.

Decided April 2, 2019

SUMMARY

CONSIDERATION, by the Court of Appeals, on its own motion, pursuant to NY Constitution, article VI, § 22 and Judiciary Law § 44 (8), of whether the Honorable Lurlyn A. Winchester should be removed from the office of Justice of Monroe Town Court, Orange County.

HEADNOTE

Judges — Removal from Office

The Court of Appeals, on its own motion, removed a Town Court Justice from office pursuant to NY Constitution, article VI, § 22 and Judiciary Law § 44 (8).

OPINION OF THE COURT

MEMORANDUM.

On the Court's own motion, it is determined that Lurlyn A. Winchester is removed pursuant to New York Constitution, article VI, § 22 and Judiciary Law § 44 (8).

Chief Judge DIFIORE and Judges RIVERA, STEIN, FAHEY, GARCIA, WILSON and FEINMAN concur.

[123 NE3d 264, 99 NYS3d 780]

In the Matter of the Claim of SHELLY A. GROVER, Appellant, v STATE INSURANCE FUND, Respondent. WORKERS' COMPENSATION BOARD, Respondent.

Decided May 2, 2019

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered October 4, 2018. The Appellate Division, with two Justices dissenting, affirmed a decision of the Workers' Compensation Board which had ruled that claimant's injury did not arise out of and in the course of her employment and denied her claim for workers' compensation benefits.

Matter of Grover v State Ins. Fund, 165 AD3d 1329, affirmed.

HEADNOTE

Workers' Compensation — Injuries Arising out of and in Course of Employment

The Appellate Division properly concluded that on the record, substantial evidence supported the Workers' Compensation Board's determination that claimant's injury was not compensable.

APPEARANCES OF COUNSEL

Bronk & Somers, P.C., Rochester (*Mark C. Somers* of counsel), for appellant.

Hamberger & Weiss LLP, Rochester (*Joseph P. DeCoursey* of counsel), for State Insurance Fund, respondent.

OPINION OF THE COURT

On review of submissions pursuant to section 500.11 of the Rules of the Court of Appeals (22 NYCRR 500.11), order affirmed, with costs. On this record, substantial evidence supports the Workers' Compensation Board's determination that claimant's injury is not compensable.

Concur: Chief Judge DiFiore and Judges Rivera, Stein, Fahey, Garcia, Wilson and Feinman.

[124 NE3d 162, 100 NYS3d 612]

The People of the State of New York, Respondent, v Perry Pendell, Appellant.

Decided March 21, 2019

SUMMARY

Appeal, by permission of a Justice of the Appellate Division of the Supreme Court in the Third Judicial Department, from an order of that Court, entered August 23, 2018. The Appellate Division order, insofar as appealed from, affirmed so much of a judgment of the Columbia County Court (Richard M. Koweek, J.), as had convicted defendant, upon a jury verdict, of rape in the second degree (nine counts), criminal sexual act in the second degree, possessing a sexual performance by a child (count 20 of indictment No. 13-017) and criminal solicitation in the second degree.

People v Pendell, 164 AD3d 1063, affirmed.

HEADNOTE

Crimes — Evidence — Photographic Evidence — Authentication

In a prosecution for rape in the second degree and related crimes, the trial court did not abuse its discretion in admitting into evidence contested photographs, as they were sufficiently authenticated through the testimony of the complainant and the law enforcement agents who extracted them from defendant's cell phone and computers.

APPEARANCES OF COUNSEL

Hug Law, PLLC, Albany (*Matthew C. Hug* of counsel), for appellant.

Paul Czajka, *District Attorney*, Hudson (*Trevor O. Flike* of counsel), for respondent.

OPINION OF THE COURT

Memorandum.

The order of the Appellate Division, insofar as appealed from, should be affirmed. The contested photographs were sufficiently authenticated through the testimony of the complainant and the law enforcement agents who extracted the photographs from the defendant's cell phone and computers (*see People v Byrnes*, 33 NY2d 343, 347 [1974]). Accordingly, County Court did not abuse its discretion in admitting the evidence. Defendant's remaining arguments lack merit.

Chief Judge DiFiore and Judges Rivera, Stein, Fahey, Garcia, Wilson and Feinman concur.

On review of submissions pursuant to section 500.11 of the Rules of the Court of Appeals (22 NYCRR 500.11), order, insofar as appealed from, affirmed, in a memorandum.

APPEALS DISMISSED PURSUANT TO RULES OF PRACTICE OF COURT OF APPEALS OR ON CONSENT

(April 1, 2019 through April 30, 2019)

Benzemann v Citibank N.A.	1st Dept: 149 AD3d 586	4/9/19

APPLICATIONS IN CRIMINAL CASES FOR LEAVE TO APPEAL

(April 1, 2019 through April 30, 2019)

People v Acevedo (Henry)	1st Dept: 168 AD3d 545 (NY)	denied 4/4/19 (Wilson, J.)

People v Acevedo (Mark)	App Div, 1st Dept: 2019 NY Slip Op 61368(U) (NY)	dismissed 4/15/19 (Fahey, J.)
People v Ackerman	App Div, 3d Dept: 2018 NY Slip Op 82636(U) (Albany)	denied reconsideration 4/12/19 (Wilson, J.)
People v Agee	App Div, 4th Dept: 2019 NY Slip Op 62908(U) (Cayuga)	dismissed 4/30/19 (Stein, J.)
People v Aguayo	2d Dept: 168 AD3d 1090 (Kings)	denied 4/2/19 (Fahey, J.)
People v Alfonso	1st Dept: 169 AD3d 428 (Bronx)	denied 4/3/19 (Garcia, J.)
People v Allende (Marcelino)	1st Dept: 168 AD3d 464 (NY)	granted 4/2/19 (Rivera, J.)
People v Allende (Marcelino)	1st Dept: 168 AD3d 464 (NY)	denied 4/2/19 (Rivera, J.)
People v Alnutt	App Div, 3d Dept: 2019 NY Slip Op 61072(U) (Fulton)	denied 4/22/19 (Fahey, J.)
People v Alvarez	1st Dept: 169 AD3d 568 (NY)	denied 4/26/19 (DiFiore, Ch. J.)
People v Arevalo	2d Dept: 168 AD3d 1091 (Nassau)	denied 4/2/19 (Fahey, J.)
People v Arline	4th Dept: 169 AD3d 1371 (Wyoming)	denied 4/22/19 (DiFiore, Ch. J.)
People v Ash	App Div, 2d Dept: 2019 NY Slip Op 62561(U) (Kings)	dismissed 4/25/19 (Feinman, J.)
People v "Bados"	2d Dept: 169 AD3d 924 (Dutchess)	denied 4/25/19 (Feinman, J.)
People v Bailey	2d Dept: 167 AD3d 924 (Queens)	denied 4/16/19 (Rivera, J.)
People v Balkum	4th Dept: 169 AD3d 1358 (Monroe)	denied 4/25/19 (Stein, J.)
People v Banks	2d Dept: 169 AD3d 711 (Kings)	denied 4/30/19 (DiFiore, Ch. J.)
People v Bates	1st Dept: 168 AD3d 617 (NY)	denied 4/2/19 (Fahey, J.)
People v Batista	1st Dept: 168 AD3d 602 (NY)	denied 4/11/19 (Stein, J.)
People v Bowens	2d Dept: 167 AD3d 927 (Richmond)	denied 4/23/19 (DiFiore, Ch. J.)
People v Boyle	App Term, 1st Dept: 62 Misc 3d 148(A) (NY)	denied 4/25/19 (Garcia, J.)
People v Brandon B.	App Term, 1st Dept: 62 Misc 3d 138(A) (Bronx)	denied 4/11/19 (Stein, J.)
People v Breedy	1st Dept: 170 AD3d 414 (NY)	denied 4/22/19 (Fahey, J.)
People v Briggs	4th Dept: 169 AD3d 1369 (Onondaga)	denied 4/24/19 (Wilson, J.)
People v Brown	2d Dept: 169 AD3d 817 (Queens)	denied 4/10/19 (Feinman, J.)

People v Butter	4th Dept: 169 AD3d 1521 (Monroe)	denied 4/25/19 (Feinman, J.)
People v Butts	2d Dept: 170 AD3d 880 (Kings)	denied 4/25/19 (Feinman, J.)
People v Cambridge	2d Dept: 168 AD3d 1092 (Kings)	denied 4/12/19 (Wilson, J.)
People v Carryl	2d Dept: 169 AD3d 818 (Kings)	denied 4/15/19 (Fahey, J.)
People v Clark	2d Dept: 169 AD3d 916 (Kings)	denied 4/29/19 (Feinman, J.)
People v Clayton	4th Dept: 169 AD3d 1360 (Niagara)	denied 4/24/19 (Wilson, J.)
People v Clyburn-Dawson	4th Dept: 169 AD3d 1460 (Monroe)	denied 4/19/19 (Rivera, J.)
People v Colon-Colon	4th Dept: 169 AD3d 187 (Genesee)	denied 4/16/19 (Rivera, J.)
People v Corsini	App Term, 1st Dept: 61 Misc 3d 128(A) (NY)	denied 4/2/19 (Stein, J.)
People v Covington	2d Dept: 169 AD3d 835 (Kings)	denied 4/24/19 (Rivera, J.)
People v Cruz	1st Dept: 170 AD3d 467 (NY)	denied 4/26/19 (DiFiore, Ch. J.)
People v Dance, John	4th Dept: 169 AD3d 1500 (Ontario)	denied 4/25/19 (Garcia, J.)
People v Daniels	App Term, 1st Dept: 62 Misc 3d 146(A) (Bronx)	denied 4/22/19 (Fahey, J.)
People v Darden	1st Dept: 169 AD3d 619 (Bronx)	denied 4/22/19 (Fahey, J.)
People v Davis	1st Dept: 168 AD3d 616 (NY)	denied 4/16/19 (Rivera, J.)
People v DeJesus	2d Dept: 169 AD3d 712 (Queens)	denied 4/2/19 (Stein, J.)
People v Dennis (Andre)	1st Dept: 168 AD3d 644 (NY)	denied 4/2/19 (Fahey, J.)
People v Dennis (Denise)	1st Dept: 168 AD3d 644 (NY)	denied 4/2/19 (Fahey, J.)
People v Dyson	2d Dept: 169 AD3d 917 (Kings)	denied 4/15/19 (Fahey, J.)
People v Elijah R.	2d Dept: 168 AD3d 766 (Richmond)	denied 4/10/19 (DiFiore, Ch. J.)
People v Ellison	4th Dept: 169 AD3d 1373 (Monroe)	denied 4/30/19 (Wilson, J.)
People v Evans	2d Dept: 169 AD3d 824 (Queens)	denied 4/12/19 (Wilson, J.)
People v Faller	3d Dept: 166 AD3d 1380 (Clinton)	denied 4/22/19 (DiFiore, Ch. J.)
People v Fassino	2d Dept: 169 AD3d 921 (Suffolk)	denied 4/24/19 (Fahey, J.)
People v Flores (Fermin)	1st Dept: 169 AD3d 418 (NY)	denied 4/16/19 (DiFiore, Ch. J.)

People v Flores (Jonathan)	App Term, 2d Dept, 9th & 10th Jud Dists: 62 Misc 3d 46 (Nassau)	denied 4/11/19 (Wilson, J.)
People v Foster	App Term, 1st Dept: 62 Misc 3d 137(A) (Bronx)	denied 4/8/19 (Rivera, J.)
People v Freeman (Lamont)	4th Dept: 169 AD3d 1513 (Monroe)	denied 4/22/19 (DiFiore, Ch. J.)
People v Freeman (Rodger)	2d Dept: 164 AD3d 1257 (Kings)	denied reconsideration 4/15/19 (Fahey, J.)
People v Freire	2d Dept: 168 AD3d 973 (Queens)	denied 4/10/19 (Feinman, J.)
People v Friday	App Term, 1st Dept: 62 Misc 3d 143(A) (Bronx)	denied 4/16/19 (Rivera, J.)
People v Fulgencio	2d Dept: 168 AD3d 1094 (Westchester)	denied 4/24/19 (Stein, J.)
People v Gee	4th Dept: 169 AD3d 1367 (Niagara)	denied 4/4/19 (Wilson, J.)
People v Gibbs	4th Dept: 167 AD3d 1580 (Monroe)	denied 4/4/19 (Wilson, J.)
People v Gigliotti	4th Dept: 169 AD3d 1478 (Monroe)	denied 4/25/19 (Garcia, J.)
People v Glasgow	2d Dept: 169 AD3d 825 (Kings)	denied 4/16/19 (Rivera, J.)
People v Goldwire	3d Dept: 168 AD3d 1286 (Broome)	denied 4/25/19 (Feinman, J.)
People v Gordon (Keiyon)	1st Dept: 169 AD3d 598 (NY)	denied 4/30/19 (Stein, J.)
People v Gordon (Tyrone)	2d Dept: 169 AD3d 714 (Suffolk)	granted 4/22/19 (Wilson, J.)
People v Grant (Markland)	App Term, 2d Dept, 2d, 11th & 13th Jud Dists: 63 Misc 3d 15 (Kings)	dismissed 4/10/19 (Feinman, J.)
People v Grant (Markland)	App Term, 2d Dept, 2d, 11th & 13th Jud Dists: 62 Misc 3d 147(A) (Kings)	denied 4/12/19 (Feinman, J.)
People v Greene	2d Dept: 169 AD3d 715 (Suffolk)	denied 4/10/19 (Feinman, J.)
People v Griffin	4th Dept: 166 AD3d 1543 (Monroe)	denied reconsideration 4/25/19 (Garcia, J.)
People v Hairston	2d Dept: 167 AD3d 935 (Westchester)	denied 4/8/19 (Rivera, J.)
People v Hall (Dequan)	2d Dept: 168 AD3d 761 (Kings)	denied 4/19/19 (Wilson, J.)
People v Hall (Quinntez)	4th Dept: 169 AD3d 1379 (Ontario)	denied 4/22/19 (DiFiore, Ch. J.)
People v Hannan	1st Dept: 169 AD3d 510 (NY)	denied 4/15/19 (Fahey, J.)
People v Hardy	App Term, 2d Dept, 2d, 11th & 13th Jud Dists: 63 Misc 3d 6 (Queens)	granted 4/18/19 (Fahey, J.)
People v Harrell	1st Dept: 168 AD3d 591 (NY)	denied 4/8/19 (Rivera, J.)

People v Harris (Eric)	App Div, 4th Dept, 12/3/18 (Seneca)	denied reconsideration 4/30/19 (Stein, J.)
People v Harris (Nicholas)	2d Dept: 169 AD3d 924 (Dutchess)	denied 4/25/19 (Feinman, J.)
People v Hayes	1st Dept: 168 AD3d 489 (NY)	denied 4/24/19 (Fahey, J.)
People v Henderson	4th Dept: 169 AD3d 1521 (Monroe)	denied 4/25/19 (Feinman, J.)
People v Hernandez (Christopher)	App Term, 1st Dept: 62 Misc 3d 143(A) (NY)	denied 4/2/19 (Fahey, J.)
People v Hernandez (Jose)	1st Dept: 169 AD3d 549 (NY)	denied 4/18/19 (Stein, J.)
People v Hernandez (Thomas)	2d Dept: 167 AD3d 936 (Queens)	denied 4/3/19 (Feinman, J.)
People v Hines	4th Dept: 169 AD3d 1500 (Ontario)	denied 4/25/19 (Garcia, J.)
People v Holmes	App Term, 1st Dept: 62 Misc 3d 138(A) (NY)	denied 4/25/19 (Garcia, J.)
People v Hunt	App Div, 4th Dept, 1/10/19 (Onondaga)	denied reconsideration 4/10/19 (DiFiore, Ch. J.)
People v Hurley	App Div, 3d Dept: 2018 NY Slip Op 88135(U) (Franklin)	denied reconsideration 4/25/19 (Feinman, J.)
People v Hyland	2d Dept: 168 AD3d 1096 (Nassau)	denied 4/16/19 (Rivera, J.)
People v J-5	3d Dept: 166 AD3d 1222 (Schenectady)	granted 4/26/19 (DiFiore, Ch. J.)
People v Jackson (Deryck)	1st Dept: 168 AD3d 473 (NY)	denied 4/22/19 (Fahey, J.)
People v Jackson (Luke)	1st Dept: 168 AD3d 636 (NY)	denied 4/16/19 (Rivera, J.)
People v Jackson (Michael)	App Term, 2d Dept, 2d, 11th & 13th Jud Dists: 61 Misc 3d 136(A) (Kings)	denied 4/10/19 (Feinman, J.)
People v Jacquez	2d Dept: 169 AD3d 827 (Kings)	denied 4/10/19 (Feinman, J.)
People v Javier	1st Dept: 168 AD3d 644 (NY)	dismissed 4/29/19 (Stein, J.)
People v Jiggetts	1st Dept: 168 AD3d 507 (NY)	denied 4/2/19 (Garcia, J.)
People v Joseph (Christopher)	1st Dept: 169 AD3d 430 (NY)	denied 4/25/19 (Garcia, J.)
People v Joseph (Gyasi)	2d Dept: 168 AD3d 877 (Kings)	denied 4/2/19 (Fahey, J.)
People v Joseph (Kethlie)	2d Dept: 169 AD3d 926 (Suffolk)	denied 4/24/19 (Fahey, J.)
People v Kelly	App Term, 2d Dept, 2d, 11th & 13th Jud Dists: 62 Misc 3d 148(A) (Queens)	denied 4/25/19 (Garcia, J.)

People v Kester	4th Dept: 169 AD3d 1353 (Erie)	denied 4/29/19 (DiFiore, Ch. J.)
People v Keyshawn T.	2d Dept: 169 AD3d 833 (Kings)	denied 4/25/19 (Feinman, J.)
People v Khamisi	App Term, 1st Dept: 62 Misc 3d 145(A) (NY)	denied 4/26/19 (DiFiore, Ch. J.)
People v Knight	1st Dept: 169 AD3d 493 (NY)	denied 4/25/19 (Garcia, J.)
People v Knox	1st Dept: 170 AD3d 434 (NY)	denied 4/24/19 (Rivera, J.)
People v Koch	2d Dept: 168 AD3d 977 (Nassau)	denied 4/25/19 (Garcia, J.)
People v Lappe	2d Dept: 169 AD3d 927 (Suffolk)	denied 4/24/19 (Fahey, J.)
People v Larkins	App Term, 2d Dept, 2d, 11th & 13th Jud Dists: 62 Misc 3d 147(A) (Kings)	denied 4/22/19 (Fahey, J.)
People v Law	2d Dept: 169 AD3d 929 (Nassau)	denied 4/26/19 (DiFiore, Ch. J.)
People v Lecler	App Term, 1st Dept: 62 Misc 3d 141(A) (NY)	denied 4/15/19 (Fahey, J.)
People v Lostumbo	App Div, 4th Dept, 12/3/18 (Onondaga)	denied reconsideration 4/9/19 (Feinman, J.)
People v MacLaren	County Ct, 10/25/18 (Delaware)	dismissed 4/18/19 (Rivera, J.)
People v Macon	4th Dept: 169 AD3d 1439 (Monroe)	denied 4/11/19 (Stein, J.)
People v Mallet (Antonio)	App Div, 1st Dept: 2018 NY Slip Op 86751(U) (Bronx)	denied 4/22/19 (DiFiore, Ch. J.)
People v Mallet (Antonio)	1st Dept: 168 AD3d 542 (Bronx)	denied 4/22/19 (DiFiore, Ch. J.)
People v Marshall	4th Dept: 166 AD3d 1543 (Monroe)	denied 4/19/19 (Wilson, J.)
People v Martinez (Anthony)	App Div, 2d Dept: 2019 NY Slip Op 60718(U) (Kings)	dismissed 4/2/19 (Fahey, J.)
People v Martinez (Kevin)	1st Dept: 167 AD3d 465 (NY)	denied 4/25/19 (Feinman, J.)
People v Martinez (Pedro)	2d Dept: 167 AD3d 941 (Queens)	denied 4/30/19 (Wilson, J.)
People v McBee	2d Dept: 169 AD3d 929 (Orange)	denied 4/19/19 (Wilson, J.)
People v McDonald	1st Dept: 169 AD3d 442 (Bronx)	denied 4/12/19 (Wilson, J.)
People v McKinnon	4th Dept: 169 AD3d 1460 (Onondaga)	denied 4/29/19 (DiFiore, Ch. J.)
People v McLaughlin	4th Dept: 169 AD3d 1438 (Niagara)	denied 4/23/19 (Wilson, J.)
People v Mejia	2d Dept: 169 AD3d 715 (Queens)	denied 4/16/19 (Rivera, J.)

People v Mercado	App Term, 2d Dept, 2d, 11th & 13th Jud Dists: 63 Misc 3d 1 (Richmond)	denied 4/23/19 (DiFiore, Ch. J.)
People v Mercer	3d Dept: 169 AD3d 1112 (Ulster)	denied 4/16/19 (Rivera, J.)
People v Miller	App Div, 4th Dept, 1/10/19 (Monroe)	dismissed 4/9/19 (Feinman, J.)
People v Mitchell	3d Dept: 166 AD3d 1233 (Fulton)	denied 4/2/19 (Fahey, J.)
People v Monforte	3d Dept: 166 AD3d 1222 (Schenectady)	granted 4/26/19 (DiFiore, Ch. J.)
People v Moore (Malik)	3d Dept: 169 AD3d 1110 (Albany)	denied 4/25/19 (Garcia, J.)
People v Moore (Melvin)	4th Dept: 167 AD3d 1589 (Monroe)	denied reconsideration 4/26/19 (DiFiore, Ch. J.)
People v Moore (Patrick)	2d Dept: 168 AD3d 1102 (Kings)	denied 4/26/19 (Fahey, J.)
People v Morales	App Term, 1st Dept: 62 Misc 3d 137(A) (Bronx)	denied 4/25/19 (Garcia, J.)
People v Muhammad	1st Dept: 168 AD3d 549 (Bronx)	denied 4/4/19 (Wilson, J.)
People v Musaid	1st Dept: 168 AD3d 526 (NY)	denied 4/25/19 (Garcia, J.)
People v Niang	App Term, 1st Dept: 62 Misc 3d 146(A) (NY)	denied 4/26/19 (DiFiore, Ch. J.)
People v Nieves	3d Dept: 166 AD3d 1380 (Clinton)	denied 4/22/19 (DiFiore, Ch. J.)
People v Nunes	3d Dept: 168 AD3d 1187 (Schenectady)	denied 4/2/19 (Rivera, J.)
People v Ordenana	App Term, 1st Dept: 61 Misc 3d 155(A) (Bronx)	denied 4/19/19 (Wilson, J.)
People v Ortega	1st Dept: 169 AD3d 510 (Bronx)	denied 4/24/19 (Rivera, J.)
People v Ortiz (Anthony)	4th Dept: 167 AD3d 1562 (Monroe)	denied 4/22/19 (Stein, J.)
People v Ortiz (Jose)	1st Dept: 168 AD3d 482 (Bronx)	denied 4/24/19 (Fahey, J.)
People v Pacheco	1st Dept: 168 AD3d 548 (Bronx)	denied 4/4/19 (Wilson, J.)
People v Pagan	2d Dept: 169 AD3d 718 (Kings)	denied 4/10/19 (Feinman, J.)
People v Page	4th Dept: 166 AD3d 1472 (Erie)	granted 4/3/19 (Wilson, J.)
People v Palmer (O'Neil)	1st Dept: 169 AD3d 490 (NY)	denied 4/25/19 (Garcia, J.)
People v Palmer (Ruashawn)	2d Dept: 169 AD3d 933 (Kings)	denied 4/30/19 (Wilson, J.)
People v Parris	4th Dept: 170 AD3d 1536 (Monroe)	denied 4/16/19 (Rivera, J.)

People v Parsons	4th Dept: 169 AD3d 1425 (Monroe)	denied 4/25/19 (Feinman, J.)
People v Parwez	App Term, 1st Dept: 62 Misc 3d 144(A) (NY)	denied 4/25/19 (Garcia, J.)
People v Peak	1st Dept: 170 AD3d 465 (NY)	denied 4/16/19 (Rivera, J.)
People v Peaks	2d Dept: 169 AD3d 718 (Kings)	denied 4/4/19 (Wilson, J.)
People v Perez (Julio)	2d Dept: 168 AD3d 988 (Kings)	denied 4/30/19 (Wilson, J.)
People v Perez (Manuel)	2d Dept: 168 AD3d 881 (Queens)	denied 4/3/19 (Garcia, J.)
People v Perez (Victor)	2d Dept: 169 AD3d 720 (Kings)	denied 4/22/19 (Fahey, J.)
People v Perkins	3d Dept: 166 AD3d 1285 (Schenectady)	denied 4/2/19 (Stein, J.)
People v Peryea	3d Dept: 169 AD3d 1120 (Clinton)	denied 4/2/19 (Fahey, J.)
People v Peters	1st Dept: 166 AD3d 500 (NY)	denied 4/26/19 (DiFiore, Ch. J.)
People v Petrone	2d Dept: 168 AD3d 989 (Queens)	denied 4/22/19 (DiFiore, Ch. J.)
People v Pina-Rodriguez	1st Dept: 170 AD3d 491 (NY)	denied 4/30/19 (Wilson, J.)
People v Poindexter	4th Dept: 169 AD3d 1352 (Monroe)	denied 4/25/19 (Garcia, J.)
People v Popoola	App Term, 1st Dept: 62 Misc 3d 146(A) (NY)	denied 4/25/19 (Garcia, J.)
People v Powell	2d Dept: 166 AD3d 660 (Queens)	granted 4/26/19 (Rivera, J.)
People v Ramirez (Daniel)	App Term, 1st Dept: 62 Misc 3d 146(A) (NY)	denied 4/22/19 (Fahey, J.)
People v Ramirez (Yunnel)	1st Dept: 169 AD3d 566 (Bronx)	denied 4/26/19 (DiFiore, Ch. J.)
People v Ravosa	1st Dept: 167 AD3d 529 (NY)	denied 4/4/19 (Wilson, J.)
People v Rivera	1st Dept: 169 AD3d 576 (NY)	denied 4/30/19 (DiFiore, Ch. J.)
People v Rivers	App Div, 2d Dept: 2019 NY Slip Op 60035(U) (Kings)	dismissed 4/25/19 (Garcia, J.)
People v Rizzuto	1st Dept: 167 AD3d 531 (NY)	denied 4/22/19 (DiFiore, Ch. J.)
People v Rodriguez (Carlos)	1st Dept: 167 AD3d 446 (NY)	denied 4/10/19 (DiFiore, Ch. J.)
People v Rodriguez (Hugo)	1st Dept: 169 AD3d 410 (NY)	denied 4/30/19 (Wilson, J.)
People v Rosa-Gomez	2d Dept: 169 AD3d 831 (Queens)	denied 4/10/19 (Feinman, J.)
People v Rosario	4th Dept: 169 AD3d 1481 (Onondaga)	denied 4/25/19 (Feinman, J.)

People v Rozier	1st Dept: 169 AD3d 526 (Bronx)	denied 4/22/19 (DiFiore, Ch. J.)
People v Russell	3d Dept: 167 AD3d 1326 (Ulster)	denied 4/25/19 (Garcia, J.)
People v Sampson	4th Dept: 169 AD3d 1364 (Jefferson)	denied 4/22/19 (DiFiore, Ch. J.)
People v Sanchez	1st Dept: 169 AD3d 500 (NY)	denied 4/15/19 (Fahey, J.)
People v Sass	1st Dept: 169 AD3d 536 (NY)	denied 4/25/19 (Garcia, J.)
People v Sawyer	App Term, 2d Dept, 2d, 11th & 13th Jud Dists: 62 Misc 3d 140(A) (Kings)	denied 4/2/19 (Fahey, J.)
People v Seador	1st Dept: 169 AD3d 619 (NY)	denied 4/19/19 (Rivera, J.)
People v Shabazz	App Div, 3d Dept: 2018 NY Slip Op 88135(U) (Franklin)	denied reconsideration 4/25/19 (Feinman, J.)
People v Shortell	App Div, 3d Dept: 2019 NY Slip Op 64285(U) (Clinton)	dismissed 4/29/19 (Feinman, J.)
People v Simser	2d Dept: 168 AD3d 884 (Kings)	denied 4/22/19 (DiFiore, Ch. J.)
People v Sosa-Campana	1st Dept: 167 AD3d 464 (NY)	denied 4/30/19 (DiFiore, Ch. J.)
People v Soto	2d Dept: 169 AD3d 937 (Kings)	denied 4/24/19 (Rivera, J.)
People v Spencer	2d Dept: 169 AD3d 722 (Nassau)	denied 4/26/19 (Feinman, J.)
People v Staten-Jackson (Bryan)	App Term, 2d Dept, 2d, 11th & 13th Jud Dists: 62 Misc 3d 139(A), 2019 NY Slip Op 50050(U) (Kings)	denied 4/4/19 (Wilson, J.)
People v Staten-Jackson (Bryan)	App Term, 2d Dept, 2d, 11th & 13th Jud Dists: 62 Misc 3d 139(A), 2019 NY Slip Op 50051(U) (Kings)	denied 4/4/19 (Wilson, J.)
People v Steele	3d Dept: 168 AD3d 1276 (Schenectady)	denied 4/3/19 (Garcia, J.)
People v Stendardo	4th Dept: 169 AD3d 1447 (Monroe)	denied 4/26/19 (DiFiore, Ch. J.)
People v Sylvester	App Term, 1st Dept: 62 Misc 3d 146(A) (NY)	denied 4/25/19 (Garcia, J.)
People v Szatanek	4th Dept: 169 AD3d 1448 (Oswego)	denied 4/25/19 (Feinman, J.)
People v Tanner	2d Dept: 169 AD3d 1068 (Kings)	denied 4/24/19 (Rivera, J.)
People v Tatis	1st Dept: 170 AD3d 45 (Bronx)	denied 4/25/19 (Garcia, J.)
People v Taylor (Devon)	1st Dept: 168 AD3d 468 (Bronx)	denied 4/3/19 (Stein, J.)
People v Taylor (Jeffrey)	1st Dept: 170 AD3d 494 (NY)	denied 4/29/19 (Stein, J.)
People v Torres (Carlos)	1st Dept: 169 AD3d 506 (Bronx)	denied 4/16/19 (Rivera, J.)

People v Torres (Jason)	1st Dept: 169 AD3d 562 (NY)	denied 4/19/19 (Wilson, J.)
People v Torress	App Div, 4th Dept, 2/1/19 (Monroe)	denied 4/30/19 (DiFiore, Ch. J.)
People v Toure	1st Dept: 169 AD3d 439 (Bronx)	denied 4/5/19 (Wilson, J.)
People v Triplett	App Div, 1st Dept: 2017 NY Slip Op 95153(U) (NY)	dismissed 4/12/19 (DiFiore, Ch. J.)
People v Tucker	4th Dept: 169 AD3d 1368 (Monroe)	denied 4/10/19 (Feinman, J.)
People v Velasquez	2d Dept: 168 AD3d 768 (Westchester)	denied 4/19/19 (Wilson, J.)
People v Ventura (Mark)	App Term, 2d Dept, 9th & 10th Jud Dists: 63 Misc 3d 130(A) (Putnam)	denied 4/18/19 (Stein, J.)
People v Ventura (Ricky)	App Term, 2d Dept, 9th & 10th Jud Dists: 63 Misc 3d 39 (Putnam)	denied 4/18/19 (Stein, J.)
People v Viera	2d Dept: 164 AD3d 1277 (Kings)	denied reconsideration 4/15/19 (Fahey, J.)
People v Walker	1st Dept: 169 AD3d 587 (NY)	denied 4/25/19 (Garcia, J.)
People v Walton	2d Dept: 168 AD3d 1001 (Westchester)	denied 4/10/19 (Feinman, J.)
People v Ward (Anthony)	2d Dept: 169 AD3d 833 (Nassau)	denied 4/16/19 (Rivera, J.)
People v Ward (Claude)	2d Dept: 168 AD3d 1107 (Kings)	denied 4/12/19 (Feinman, J.)
People v Warren	2d Dept: 168 AD3d 770 (Suffolk)	denied 4/16/19 (Rivera, J.)
People v Washington	App Div, 3d Dept: 2019 NY Slip Op 63290(U) (Broome)	dismissed 4/25/19 (Garcia, J.)
People v Watkins	App Div, 1st Dept: 2019 NY Slip Op 61701(U) (Bronx)	dismissed 4/25/19 (Stein, J.)
People v Watson (Anthony)	4th Dept: 169 AD3d 1526 (Erie)	denied 4/10/19 (Feinman, J.)
People v Watson (Earl)	2d Dept: 157 AD3d 914 (Kings)	denied 4/2/19 (Fahey, J.)
People v Webb	2d Dept: 167 AD3d 953 (Queens)	denied 4/19/19 (Wilson, J.)
People v Weber	4th Dept: 169 AD3d 1372 (Erie)	denied 4/30/19 (Wilson, J.)
People v Wellington	4th Dept: 169 AD3d 1440 (Herkimer)	denied 4/11/19 (Wilson, J.)
People v Williams (Anton)	2d Dept: 168 AD3d 1002 (Suffolk)	denied 4/2/19 (Fahey, J.)
People v Williams (James)	2d Dept: 169 AD3d 835 (Kings)	denied 4/24/19 (Rivera, J.)
People v Wilson	App Div, 1st Dept: 2018 NY Slip Op 90111(U) (Bronx)	denied reconsideration 4/25/19 (Garcia, J.)

People v Winston	4th Dept: 169 AD3d 1361 (Monroe)	denied 4/25/19 (Garcia, J.)
People v Woods	App Div, 3d Dept: 2019 NY Slip Op 62008(U) (Albany)	dismissed 4/12/19 (Wilson, J.)

APPLICATIONS IN CRIMINAL CASES FOR LEAVE TO APPEAL
Decisions of Appellate Division Justices *

(April 1, 2019 through April 30, 2019)

People v Alston	1st Dept: 169 AD3d 1 (NY)	granted 4/30/19 (Renwick, J.)

[124 NE3d 247, 100 NYS3d 697]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v BORIS BROWN, Appellant.

Argued March 19, 2019; decided May 2, 2019

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered November 21, 2017. The Appellate Division affirmed (1) a judgment of the Supreme Court, New York County (Bonnie G. Wittner, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree and criminal possession of a weapon in the second degree (two counts); and (2) an order of that court which had denied defendant's CPL 440.10 motion to vacate the judgment.

People v Brown, 155 AD3d 509, modified.

HEADNOTES

Crimes — Appeal — Matters Reviewable — Mixed Question of Law and Fact — Challenge to Photographic Array

1. Defendant's judgment of conviction did not warrant reversal on the basis of the suppression court's decision that an accidental viewing of his photograph by a witness to the events surrounding the underlying shooting was not police-arranged. Whether a photo display is unduly suggestive is a mixed question of law and fact and review by the Court of Appeals is limited to whether there is support in the record for the finding of the courts below. Here, such support existed. Moreover, the suppression court found the identification to be otherwise reliable.

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* Includes only applications that were granted.

Crimes — Vacatur of Judgment of Conviction — Improper Summary Denial of CPL 440.10 Motion — Possible Conflict of Interest Arising from Concurrent Representation

2. The Supreme Court abused its discretion in determining that a hearing was not warranted to address the allegations contained in defendant's CPL 440.10 motion regarding his trial attorney's concurrent representation of a witness to the crimes, on unrelated charges, and whether any conflict of interest existed warranting reversal of his judgment of conviction. Upon a CPL 440.10 motion, the court must consider "all papers of both parties . . . and . . . all documentary evidence or information, if any, . . . for the purpose of ascertaining whether the motion is determinable without a hearing to resolve questions of fact" (CPL 440.30 [1] [a]). A court may deny a motion to vacate a judgment of conviction without conducting a hearing in certain specific circumstances (*see* CPL 440.30 [4]). Here, although defendant had informed Supreme Court during a pretrial conflicts inquiry that he or his family had hired his trial attorney, he alleged in his postconviction motion that the witness paid the attorney to represent defendant, resulting in an undisclosed and "unwaivable" conflict, and that the attorney failed to explain any possible conflict of interest related to the witness's payment of defendant's legal fees. Furthermore, defendant submitted an affirmation from his current appellate counsel, who relayed details of a conversation he affirmed he had with the trial attorney about the payment of defendant's legal fees, and recorded prison phone calls, which purportedly corroborated defendant's allegation that the witness hired and paid for his trial attorney.

APPEARANCES OF COUNSEL

Robert S. Dean, *Center for Appellate Litigation*, New York City (*David J. Klem* of counsel), for appellant.

Cyrus R. Vance, Jr., *District Attorney*, New York City (*Sylvia Wertheimer* and *Alan Gadlin* of counsel), for respondent.

OPINION OF THE COURT

MEMORANDUM.

The order of the Appellate Division should be modified in accordance with this memorandum and, as so modified, affirmed. The Appellate Division properly affirmed the judgment of conviction, however, a hearing is required on the CPL 440.10 motion.

In the early morning hours of October 3, 2010, defendant fired into a courtyard at the AK Houses in Manhattan. He killed a 17-year-old victim and wounded another bystander. The shooting was apparently in response to an earlier robbery.

Defendant and his codefendant, Devon Coughman, were arrested and charged with various crimes, including depraved indifference murder, felony murder, felony assault, attempted robbery, and two counts of weapon possession. Jeffrey Chabrowe was hired to represent defendant. While defendant's case was pending, Ahmed Salaam, who had been present at the shooting and the earlier robbery, was arrested on unrelated charges. Salaam hired Chabrowe to represent him in that case.

After being informed of a potential conflict related to Chabrowe's concurrent representation of defendant and Salaam, Supreme Court appointed conflict counsel to advise defendant and conducted a conflicts inquiry pursuant to *People v Gomberg* (38 NY2d 307 [1975]). The People indicated that although Salaam was present at the scene of the murder, they were not planning to call him as a witness. Additionally, Coughman's attorney represented that he was also not likely to call Salaam to testify. Conflict counsel recounted to the court that he met with defendant and explained to him that Salaam was "represented [by Chabrowe] in some unrelated case" and "may be called by the co-defendant" to testify. Conflict counsel informed the court that he discussed with defendant "the potential conflict and the problems that arise, should that happen" and that defendant indicated that he understood and wished to waive the conflict. The court then engaged in its own inquiry of defendant, who again expressed his desire to waive any conflict. The court accepted the waiver and the case proceeded to trial with Chabrowe acting as defendant's counsel.

Defendant was found guilty and sentenced to 25 years to life in prison for depraved indifference murder and to two concurrent seven-year prison terms on the weapon possession counts. The weapon possession sentences were set to run consecutively to the sentence for murder, for an aggregate sentence of 32 years to life in prison.

Defendant subsequently moved to set aside his conviction pursuant to CPL 440.10, contending that he was denied his constitutional right to effective, conflict-free representation. With respect to the concurrent representation that was the subject of the conflict inquiry conducted by Supreme Court, defendant alleged that the only conflict explained to him was that his attorney would be prohibited from cross-examining Salaam if he were called as a witness. Although defendant had informed the trial court during the *Gomberg* inquiry that he or his family had hired Chabrowe, he alleged that Salaam paid Chabrowe to represent defendant, resulting in an undisclosed and "unwaivable" conflict, and that Chabrowe failed to explain any possible conflict of interest related to Salaam's payment of defendant's legal fees. In addition to his own affidavit, defendant submitted an affirmation from his current appellate counsel, who relayed details of a conversation he affirmed he had with Chabrowe about the payment of defendant's legal fees. Defendant also relied on recorded prison phone calls, which purportedly corroborate defendant's allegation that Salaam hired and paid for his attorney. Defendant concluded by noting that "[s]hould the factual allegations set forth in defendant's motion be controverted by the People, then the Court should order a hearing to resolve those issues of fact."

In response, the People dismissed the allegations in appellate counsel's affirmation as hearsay and concluded that "defendant's claims are unsupported by sworn allegations and there is no reasonable possibility they are true." The People also argued that even assuming defendant's allegations were true, there was no conflict of interest, and in the alternative, the conflict was potential, not actual, and was waived by defendant. In this respect, the People contend that even if there was a potential conflict that was not waived, "it is due to defendant's unjustifiable failure to adduce the pertinent facts on the record." Supreme Court made no findings of fact or conclusions of law and denied the motion in a one sentence order, stating: "[d]efendant's motion pursuant to CPL 440.10 is denied without a hearing for the reasons set forth at great length in the People's opposing [papers]."

On direct appeal, defendant challenged the decision of the suppression court that an accidental viewing of defendant's photograph by a witness to the events surrounding the shooting was not police-arranged and argued that the court erred in imposing consecutive sentences. The Appellate Division affirmed the judgment of conviction and the denial of defendant's CPL 440.10 motion in a single order (*People v Brown*, 155 AD3d 509, 509-510 [1st Dept 2017]). The Court held that "the record supports the conclusion that" Chabrowe had a "potential conflict of interest" that was "validly waived" (*id.* at 509). A Judge of this Court granted leave to appeal (31 NY3d 1079 [2018]).

[1] "[W]hether a photo [display] is unduly suggestive is a mixed question of law and fact and our review is limited to whether there is support in the record for the finding" of the courts below (*see People v Holley*, 26 NY3d 514, 524 [2015]). Here, such support exists. Moreover, the suppression court found the identification to be otherwise reliable. Defendant's remaining contentions on direct appeal are without merit. Accordingly, we affirm so much of the Appellate Division's order affirming defendant's judgment of conviction.

With respect to defendant's CPL 440.10 motion, this Court has categorized conflicts of interest as either actual or potential. An actual conflict of interest arises when an attorney "ha[s] divided and incompatible loyalties within the same matter necessarily preclusive of single-minded advocacy" (*People v Cortez*, 22 NY3d 1061, 1068 [2014, Lippman, Ch. J., concurring]). A potential conflict, on the other hand, is one that may never be realized (*see People v Solomon*, 20 NY3d 91, 95-96 [2012]; *People v Ortiz*, 76 NY2d 652, 656-657 [1990]; *see also Cuyler v Sullivan*, 446 US 335, 350 [1980]). When alerted to a conflict, the trial court must ascertain whether the defendant "has an awareness of the potential risks involved in that course and has knowingly chosen it" (*People v Mattison*, 67 NY2d 462, 468 [1986]). At least some actual and all potential conflicts may be waived (*see People v Sanchez*, 21 NY3d 216, 223 [2013]; *Solomon*, 20 NY3d at 96). Because a potential conflict presents only the possibility for conflict, however, even absent an effective waiver, "it is the defendant's heavy burden to show that a potential conflict actually operated on the defense" (*Sanchez*, 21 NY3d at 223 [internal quotation marks and citation omitted]). Whether a conflict operates on the defense is a mixed question of law and fact (*People v Ennis*, 11 NY3d 403, 411 [2008]; *People v Harris*, 99 NY2d 202, 210 [2002]).

[2] Upon a CPL 440.10 motion, the court must consider "all papers of both parties . . . and . . . all documentary evidence or information, if any, . . . for the purpose of ascertaining whether the motion is determinable without a hearing to resolve questions of fact" (CPL 440.30 [1] [a]; *see People v Jones*, 24 NY3d 623, 634 [2014]). A court may deny a motion to vacate a judgment of conviction without conducting a hearing in certain specific circumstances (*see* CPL 440.30 [4]). We review the summary denial of a CPL 440.10 motion under an abuse of discretion standard (*People v Wright*, 27 NY3d 516, 520 [2016]). On this record, we conclude that Supreme Court abused its discretion in determining that a hearing was not warranted to address the allegations contained in defendant's CPL 440.10 motion regarding Chabrowe's representation of defendant and whether any conflict of interest existed warranting reversal.

Stein, J. (dissenting). Because defendant failed to raise a question of fact warranting a hearing on his CPL 440.10 motion, I respectfully dissent insofar as the majority holds that Supreme Court abused its discretion in summarily resolving the motion.

Defendant was convicted of depraved indifference murder and two counts of criminal possession of a weapon after he fired a gun into a crowded courtyard, killing the 17-year-old victim and wounding another bystander. Thereafter, he filed a CPL 440.10 motion to set aside his conviction on the ground that he was deprived of his right to conflict-free representation at trial. Defendant asserted that his trial counsel, Jeffrey Chabrowe, operated "under an actual and unwaived conflict of interest" because he concurrently represented Ahmed Salaam—who was with defendant at the time of the shooting and during an earlier robbery—in an unrelated matter. Although defendant had expressly informed Supreme Court, during a pretrial *Gomberg* inquiry (*see People v Gomberg*, 38 NY2d 307 [1975]) regarding the concurrent representation, that defendant or his family hired Chabrowe, he included an affidavit with his post-conviction motion swearing that, in fact, Salaam had hired Chabrowe to be defendant's lawyer and had paid him on defendant's behalf. Defendant did not provide an affirmation from Chabrowe, but his counsel on the CPL 440.10 motion swore that he had spoken with Chabrowe, who confirmed that he had "received . . . money from Salaam and believed that the money came from Salaam, not [defendant] or his family," and that he had not discussed any conflict of interest with defendant arising from that arrangement. Counsel also stated, without providing the source of the information (*see* CPL 440.30 [1]), that the concurrent representation of Salaam on the unrelated matter continued throughout the pendency of defendant's trial and that Chabrowe has represented a number of Salaam's other associates.

When a defendant moves to vacate a judgment of conviction—here, on the ground that the judgment was obtained in violation of his constitutional right to conflict-free counsel (*see* CPL 440.10 [1] [h])—"CPL 440.30 contemplates that a court will in the first instance determine on written submissions whether the motion can be decided without a hearing" (*People v Satterfield*, 66 NY2d 796, 799 [1985]). It is fundamental that "[a] judgment of conviction is presumed valid, and the party challenging its validity . . . has a burden of coming forward with allegations sufficient to create an issue of fact" (*People v Session*, 34 NY2d 254, 255-256 [1974]). Thus, as we have explained, "[o]nce the parties have filed papers and all documentary evidence or information has been submitted, the court is obligated to consider the submitted material 'for the purpose of ascertaining whether the motion is determinable without *a hearing to resolve questions of fact*' " (*People v Jones*, 24 NY3d 623, 634 [2014] [emphasis added], quoting CPL 440.30 [1] [a]; *compare People v Samandarov*, 13 NY3d 433, 439-440 [2009], *with People v Thomas*, 144 AD3d 1596, 1597 [4th Dept 2016]). When the CPL 440.10 motion cannot be summarily resolved, the court "must conduct a hearing *and make findings of fact* essential to the determination thereof" (CPL 440.30 [5] [emphasis added]). Moreover, "[a]t such a hearing, the defendant has the *burden of proving by a preponderance of the evidence every fact* essential to support the motion" (CPL 440.30 [6] [emphasis added]).

The parties in this case now agree that there are no questions of fact warranting a hearing. Nevertheless, the majority concludes that Supreme Court abused its discretion in determining that a hearing was not warranted. In so doing, the majority has necessarily determined that defendant has raised a question of fact (*see* CPL 440.30 [1], [5], [6]); however, the majority does not identify the factual dispute between defendant and the People that purportedly exists (*cf. Jones*, 24 NY3d at 636). In my view, the record discloses no such question of fact. The only relevant fact outside the record on appeal presented by defendant on his CPL 440.10 motion is that Salaam allegedly paid Chabrowe to represent defendant, but that allegation is directly contrary to defendant's express representations to the trial court during the *Gomberg* inquiry (*cf. People v Ferreras*, 70 NY2d 630, 631 [1987]). "[T]he court [is] not required to credit defendant's evidence of fraud"—particularly, his own, utterly unexplained, fraud on the trial court—"that [is] self-serving and uncorroborated" because the "court does not have 'to accept every sworn allegation as true' " (*People v Chu-Joi*, 26 NY3d 1105, 1106-1107 [2015], quoting *People v White*, 309 NY 636, 641 [1956], *cert denied* 352 US 849 [1956]). Under these circumstances, "[t]he failure to include an affirmation from [trial] counsel, or an explanation for the failure to do so, . . . warrant[s] the summary denial of . . . defendant's post-conviction motion" (*People v Wright*, 27 NY3d 516, 522 [2016]; *see People v Morales*, 58 NY2d 1008, 1009 [1983]; *People v Scott*, 10 NY2d 380, 381-382 [1961]).

In short, "[t]he motion is based upon the existence or occurrence of facts and the moving papers do not contain sworn allegations" that actually "substantiat[e] or tend[ ] to substantiate all the essential facts, as required by [CPL 440.30 (1)]" (CPL 440.30 [4] [b]; *cf. People v Coleman*, 10 AD3d 487, 487-

488 [1st Dept 2004]). Therefore, I would hold that Supreme Court did not abuse its discretion in summarily resolving defendant's motion.

Chief Judge DiFiore and Judges Rivera, Fahey, Garcia, Wilson and Feinman concur. Judge Stein dissents in part and votes to affirm in an opinion.

Order modified in accordance with the memorandum herein and, as so modified, affirmed.

[125 NE3d 803, 102 NYS3d 138]

The People of the State of New York, Respondent, v Nicholas Hill, Appellant.

Argued March 20, 2019; decided May 2, 2019

SUMMARY

Appeal, by permission of a Justice of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered May 30, 2017. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Gregory Carro, J., at suppression hearing; Rena K. Uviller, J., at plea and sentencing), which had convicted defendant, upon a plea of guilty, of criminal possession of a controlled substance in the third degree.

People v Hill, 150 AD3d 627, reversed.

HEADNOTE

Crimes — Unlawful Search and Seizure — Encounter Rising Beyond Level-One Request

Police officers, having observed defendant exit and reenter a building in a public housing development several times, possessed the requisite objective credible reason to approach him and ask briefly about his identity, destination, or reason for being in the area. However, after defendant explained that he was visiting a friend who lived in the building, and provided his identification, the encounter rose beyond a level-one request for information, which the People failed to justify as lawful. An officer took defendant's identification to the eleventh floor of the building to verify whether the occupant of the apartment defendant identified knew him, while another officer instructed defendant to "stand right there" under the watch of two officers, and when the first officer returned, having determined that the occupant of the apartment did not know defendant, defendant was arrested for trespassing. Accordingly, defendant's motion to suppress drugs recovered from his person during a search incident to his arrest was granted.

APPEARANCES OF COUNSEL

Janet E. Sabel, *The Legal Aid Society*, New York City (*Susan Epstein* and *Justine M. Luongo* of counsel), for appellant.

Cyrus R. Vance, Jr., *District Attorney*, New York City (*John T. Hughes* and *Alice Wiseman* of counsel), for respondent.

The Bronx Defenders, Bronx (*Shakeer Rahman*, *Jenn Rolnick Borchetta* and *Johanna B. Steinberg* of counsel), *The Center for Constitutional Rights*, New York City (*Darius Charney* and *Britney Wilson* of counsel), *NAACP Legal Defense and Educational Fund, Inc.*, New York City (*Sherrilyn A. Ifill*, *Samuel Spital* and *Jin Hee Lee* of counsel), and *New York Civil Liberties Union*, New York City (*Mariana Kovel* and *Jordan Wells* of counsel), for The Bronx Defenders and others, amici curiae.

OPINION OF THE COURT

Memorandum.

The order of the Appellate Division should be reversed, the motion to suppress granted and the indictment dismissed.

Defendant Nicholas Hill was approached by New York Police Department officers after they observed him exiting and reentering a building in a New York City Housing Authority development several times. Upon the officers' request, defendant explained that he was visiting a friend who lived in the building. The officers asked defendant for his identification, which he provided. An officer then took defendant's identification to the eleventh floor of the building to verify whether the occupant of the apartment defendant identified knew him.* Another officer instructed defendant to "stand right there" under the watch of two officers. When the first officer returned, having determined that the occupant of the apartment did not know defendant, defendant was arrested for trespassing. At the precinct, officers conducted a search of defendant's person incident to his arrest and recovered 42 bags of crack cocaine from his groin area.

Defendant moved to suppress the evidence on the ground that the police encounter constituted a level-three seizure under *People v De Bour* (40 NY2d 210 [1976]) and was not justified by a requisite reasonable suspicion. The People contended

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* Defendant contends he told the officers a different apartment number than the one they visited, and it is undisputed that the occupant across the hall from the one the police visited was the friend to whom defendant referred. Our decision does not depend on whether defendant provided the correct apartment number to the police.

that the encounter was a level-one request for information under *De Bour*, for which the officers had a requisite objective credible reason. After a hearing, the suppression court denied defendant's motion, concluding that the encounter was an appropriately justified level-one inquiry because defendant was free to leave until he was arrested, and that there was probable cause to support his arrest for trespassing once the arresting officers learned that he was unknown to the apartment's occupant. Defendant pleaded guilty to possession of a controlled substance in the third degree. The Appellate Division, holding that the trial court properly denied defendant's motion to suppress, affirmed the judgment.

At the suppression hearing, the People justified the officers' interaction with defendant purely on the ground that it was a level-one inquiry supported by an objective credible reason. At its inception, this was "a general, nonthreatening encounter in which an individual is approached for an articulable reason and asked briefly about his or her identity, destination, or reason for being in the area" (*People v Hollman*, 79 NY2d 181, 191 [1992]). That request implicated only level one of *De Bour* (*see id.*) and required only an objective credible reason to make basic inquiries of defendant (*De Bour*, 40 NY2d at 223). On this record, the initial inquiry was justified.

However, the record demonstrates that the encounter thereafter rose beyond a level-one request for information, which the People failed to justify as lawful. Consequently, the People have failed to preserve any argument that the encounter in this case was justified under levels two or three of *De Bour*.

Chief Judge DiFiore and Judges Rivera, Stein, Fahey, Garcia and Wilson concur; Judge Feinman taking no part.

Order reversed, defendant's motion to suppress granted and indictment dismissed, in a memorandum.

In the Matter of Hassan M.G. Alamin, a Licensed Legal Consultant, Appellant. Grievance Committee for the Second, Eleventh, and Thirteenth Judicial Districts, Respondent.

Decided May 2, 2019

Reported below, 165 AD3d 88.

Appeal dismissed without costs, by the Court of Appeals sua sponte, upon the ground that no substantial constitutional question is directly involved.

EDSTAN S. BALGOBIN, Appellant, v STATE OF NEW YORK, Respondent.

Decided May 2, 2019

Reported below, 168 AD3d 1158.

Appeal dismissed without costs, by the Court of Appeals sua sponte, upon the ground that no substantial constitutional question is directly involved.

CAYUGA NATION, by and through its Lawful Governing Body, CAYUGA NATION COUNCIL, Respondent, v SAMUEL CAMPBELL et al., Appellants, and COUNTY OF SENECA, Intervenor.

Submitted April 22, 2019; decided May 2, 2019

Reported below, 163 AD3d 1500.

Motion by Tonawanda Seneca Nation et al. for leave to file a brief amici curiae on the appeal herein granted and the proposed brief is accepted as filed. Two copies of the brief must be served, eight copies filed, and the brief submitted in digital format within seven days.

CENTER FOR JUDICIAL ACCOUNTABILITY, INC., et al., Appellants, v ANDREW M. CUOMO, as Governor of the State of New York, et al., Respondents.

Decided May 2, 2019

Reported below, 167 AD3d 1406; 2018 NY Slip Op 91965(U); 2018 NY Slip Op 88755(U); 2018 NY Slip Op 87059(U); 2018 NY Slip Op 80077(U).

Appeal dismissed without costs, by the Court of Appeals sua sponte, insofar as taken on behalf of Center for Judicial Accountability, Inc. by Elena Ruth Sassower, upon the ground that Sassower is not Center for Judicial Accountability, Inc.'s authorized legal representative (*see* CPLR 321 [a]); and, insofar as taken by Elena Ruth Sassower on her own behalf from the December 27, 2018 Appellate Division order affirming the final judgment, upon the ground that no substantial constitutional question is directly involved and, from the remaining Appellate Division orders, upon the ground that such orders do not finally determine the action within the meaning of the Constitution.

Chief Judge DiFiore taking no part.

In the Matter of Joan Sheen Cunningham, Respondent, v Trustees of St. Patrick's Cathedral et al., Appellants.

Submitted March 5, 2019; decided May 2, 2019

Reported below, 170 AD3d 402.

Appeal dismissed without costs, by the Court of Appeals sua sponte, upon the ground that no substantial constitutional question is directly involved.

Echo Westley Dixon, Appellant, v Andrew M. Cuomo, Governor, et al., Respondents.

Decided May 2, 2019

Reported below, 169 AD3d 1363.

Appeal dismissed without costs, by the Court of Appeals sua sponte, upon the ground that no substantial constitutional question is directly involved.

E.V., Respondent-Appellant, v R.V., Respondent. G.V., Nonparty Appellant-Respondent.

Submitted April 1, 2019; decided May 2, 2019

Reported below, 165 AD3d 736.

Motion by Domestic Violence Legal Empowerment and Appeals Project et al. for leave to appear amici curiae on E.V.'s motion for leave to appeal herein granted and the brief is accepted as filed.

In the Matter of JORDAN R. ORANGE COUNTY DEPARTMENT OF SOCIAL SERVICES, Respondent; YON R.-W., Appellant, et al., Respondent. (Proceeding No. 1.)

In the Matter of GRANT R. ORANGE COUNTY DEPARTMENT OF SOCIAL SERVICES, Respondent; YON R.-W., Appellant, et al., Respondent. (Proceeding No. 2.)

Decided May 2, 2019

Reported below, 162 AD3d 671.

Appeal dismissed without costs, by the Court of Appeals sua sponte, upon the ground that appellant has failed to demonstrate timeliness as required by the Rules of the Court of Appeals (*see* Rules of Ct of Appeals [22 NYCRR] §§ 500.9, 500.10).

In the Matter of L&M BUS CORP. et al., Respondents, v NEW YORK CITY DEPT. OF EDUCATION et al., Appellants.

Submitted April 1, 2019; decided May 2, 2019

Reported below, 167 AD3d 454.

Motion by Reliant Transportation, Inc. for leave to appear amicus curiae on the motion for leave to appeal herein dismissed as untimely (*see* Rules of Ct of Appeals [22 NYCRR] § 500.23 [a] [3]).

NELLA MANKO, Appellant, v LENOX HILL HOSPITAL, Respondent.

Decided May 2, 2019

Reported below, 2019 NY Slip Op 60317(U).

Appeal dismissed without costs, by the Court of Appeals sua sponte, upon the ground that the orders appealed from do not finally determine the action within the meaning of the Constitution.

NELLA MANKO, Appellant, v LENOX HILL HOSPITAL, Respondent.

Submitted February 25, 2019; decided May 2, 2019

Reported below, 2011 NY Slip Op 77315(U); 2011 NY Slip Op 72320(U).

Motion for leave to appeal dismissed upon the ground that the orders sought to be appealed from do not finally determine the action within the meaning of the Constitution. Motion for poor person relief dismissed as academic.

NELLA MANKO, Appellant, v LENOX HILL HOSPITAL, Respondent.

Submitted March 25, 2019; decided May 2, 2019

Reported below, 2017 NY Slip Op 83903(U).

Motion for reargument of so much of this Court's February 20, 2018 order as decided the motion for leave to appeal from an August 25, 2017 Appellate Division order dismissed as untimely (*see* Rules of Ct of Appeals [22 NYCRR] § 500.24 [b]) [*see* 30 NY3d 1102 (2018)]. Motion for poor person relief dismissed as academic.

MICHELLE NAPPI, Appellant, v COMMUNITY ACCESS, INC., et al., Respondents.

Submitted February 19, 2019; decided May 2, 2019

Reported below, 169 AD3d 535.

Appeal dismissed without costs, by the Court of Appeals sua sponte, upon the ground that no appeal lies as of right from the unanimous order of the Appellate Division absent the direct involvement of a substantial constitutional question (*see* CPLR 5601).

In the Matter of TYMOTHY M. PARMENTER, Respondent, v JULIE E. NASH, Appellant.

Submitted March 4, 2019; decided May 2, 2019

Reported below, 166 AD3d 1475.

Motion for leave to appeal dismissed upon the ground that the order sought to be appealed from does not finally determine the proceeding within the meaning of the Constitution. Motion for poor person relief dismissed as academic.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v KEVIN CHAPMAN, Appellant.

Submitted April 8, 2019; decided May 2, 2019

Reported below, 168 AD3d 1315.

Motion for an extension of the time within which to apply for permission to appeal pursuant to CPL 460.20 granted and motion papers treated as a timely CPL 460.20 application.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v DAVID M. HOLZ, Appellant.

Submitted April 15, 2019; decided May 2, 2019

Reported below, 167 AD3d 1417.

Motion for assignment of counsel granted and Timothy P. Donaher, Esq., Monroe County Public Defender, 10 N. Fitzhugh Street, Rochester, NY 14614 assigned as counsel to the appellant on the appeal herein.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v RAMEE MCCULLUM, Appellant.

Submitted April 15, 2019; decided May 2, 2019

Reported below, 159 AD3d 8.

Motion by The Community Development Project of the Urban Justice Center et al. for leave to file a brief amici curiae on the appeal herein granted and the proposed brief is accepted as filed. The brief must be submitted in digital format within seven days.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v DON P. SIPP, Appellant.

Submitted April 22, 2019; decided May 2, 2019

Reported below, 169 AD3d 1423.

Motion for assignment of counsel granted and J. Scott Porter, Esq., 78 Cayuga Street, Seneca Falls, NY 13148-1229 assigned as counsel to the appellant on the appeal herein.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v DERRICK ULETT, Appellant.

Submitted April 29, 2019; decided May 2, 2019

Reported below, 153 AD3d 945.

Motion by The Bronx Defenders et al. for leave to file a brief amici curiae on the appeal herein granted and the proposed brief is accepted as filed. The brief must be submitted in digital format within seven days.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JOSE VELEZ, Appellant.

Submitted April 1, 2019; decided May 2, 2019

Reported below, 164 AD3d 622.

Motion for assignment of counsel granted and Paul Skip Laisure, Esq., Appellate Advocates, 111 John Street, 9th Floor, New York, NY 10038 assigned as counsel to the appellant on the appeal herein.

In the Matter of MATTHEW PINNEY, Appellant, v MATTHEW VAN HOUTEN, as District Attorney of Tompkins County, et al., Respondents, et al., Respondents.

Submitted April 8, 2019; decided May 2, 2019

Reported below, 168 AD3d 1293.

On the Court's own motion, appeal dismissed, without costs, upon the ground that no substantial constitutional question is directly involved. Motion for leave to appeal denied. Motion for a stay dismissed as academic.

STEVEN PLAVIN, Appellant, v GROUP HEALTH INCORPORATED, Respondent.

Decided May 2, 2019

See — F3d —, 2019 WL 1965741, 2019 US App LEXIS 13573.

Certification of questions by the United States Court of Appeals for the Third Circuit, pursuant to section 500.27 of the Rules of Practice of the Court of Appeals (22 NYCRR 500.27), accepted and the issues presented are to be considered after briefing and argument.

Concur: Chief Judge DiFiore and Judges Rivera, Stein, Fahey, Garcia, Wilson and Feinman.

In the Matter of Mark S. Purcell et al., Appellants, v New York State Tax Appeals Tribunal et al., Respondents.

Decided May 2, 2019

Reported below, 167 AD3d 1101.

Appeal dismissed without costs, by the Court of Appeals sua sponte, upon the ground that no substantial constitutional question is directly involved.

In the Matter of Sir D.C. Administration for Children's Services, Respondent; Tamarah C., Appellant, et al., Respondent. (Proceeding No. 1.)

In the Matter of Haile J.C. Administration for Children's Services, Respondent; Tamarah C., Appellant, et al., Respondent. (Proceeding No. 2.)

In the Matter of Jesse G., Jr. Administration for Children's Services, Respondent; Tamarah C., Appellant, et al., Respondent. (Proceeding No. 3.)

Submitted March 4, 2019; decided May 2, 2019

Reported below, 168 AD3d 726.

Motion for leave to appeal dismissed upon the ground that the order sought to be appealed from does not finally determine the proceedings within the meaning of the Constitution. Motion for poor person relief dismissed as academic.

In the Matter of State of New York, Respondent, v Walter J.R., Appellant.

Submitted February 25, 2019; decided May 2, 2019

Reported below, 165 AD3d 1267.

Motion for reargument of motion for leave to appeal denied [*see* 32 NY3d 913 (2019)].

SUTTON 58 ASSOCIATES LLC, Appellant, v PHILIP PILEVSKY, et al., Respondents.

Submitted February 19, 2019; decided May 2, 2019

Reported below, 168 AD3d 477.

Motion for leave to appeal denied as unnecessary.

HESHAM TAHA, Appellant, v ABIER ELZEMITY, Respondent.

Submitted February 25, 2019; decided May 2, 2019

Reported below, 2019 NY Slip Op 60352(U).

Motion for leave to appeal dismissed upon the ground that the order sought to be appealed from does not finally determine the action within the meaning of the Constitution.

JOHN L. WESLOWSKI, Appellant, v PATRICIA ZUGIBE, as County Attorney, et al., Respondents, et al., Defendant.

Decided May 2, 2019

Reported below, 167 AD3d 972.

Appeal dismissed without costs, by the Court of Appeals sua sponte, upon the ground that no substantial constitutional question is directly involved.

LARRY WILLIAMS, Appellant, v STATE OF NEW YORK, Respondent.

Decided May 2, 2019

Reported below, 2019 NY Slip Op 65441(U).

Appeal dismissed without costs, by the Court of Appeals sua sponte, upon the ground that the order appealed from does not finally determine the action within the meaning of the Constitution.

XIANG FU HE, Appellant, v TROON MANAGEMENT, INC., et al., Respondents.

Submitted April 22, 2019; decided May 2, 2019

Reported below, 157 AD3d 586.

Motion by Defense Association of New York, Inc. for leave to file a brief amicus curiae on the appeal herein granted and the proposed brief is accepted as filed. The brief must be submitted in digital format within seven days.

[125 NE3d 815, 102 NYS3d 150]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v HASSAN RKEIN, Appellant.

Argued March 27, 2019; decided May 7, 2019

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered July 13, 2017. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Rena K. Uviller, J., at jury trial; Robert M. Stolz, J., at sentencing), which had convicted defendant, upon a jury verdict, of assault in the second degree and assault in the third degree.

People v Rkein, 152 AD3d 434, affirmed.

HEADNOTE

Crimes — Justification — Use of Deadly Physical Force — Second-Degree Assault with Dangerous Instrument

In a prosecution arising from an altercation in which defendant struck the complainant on the head with a pint glass, defendant was not entitled to a deadly force justification charge with respect to a charge of second-degree assault by means of a dangerous instrument (Penal Law § 120.05 [2]). Based on the record, in order to convict defendant of that charge, the jury would necessarily determine that defendant employed deadly, rather than ordinary, physical force. The evidence at trial, including video surveillance, showed that, at the time defendant employed deadly physical force, the complainant had merely pushed defendant and then rested his hands at his sides while another person attempted to separate him from defendant. Defendant could not have reasonably believed that the complainant was using or about to use deadly physical force (Penal Law § 35.15 [2]).

APPEARANCES OF COUNSEL

Christina A. Swarns, *Office of the Appellate Defender*, New York City (*Mandy E. Jaramillo* and *Eunice C. Lee* of counsel), for appellant.

Cyrus R. Vance, Jr., *District Attorney*, New York City (*Jared Wolkowitz* and *Karen Schlossberg* of counsel), for respondent.

OPINION OF THE COURT

MEMORANDUM.

The order of the Appellate Division should be affirmed. Defendant's request for a justification instruction with respect to the second-degree assault charge was properly denied. On this record, the trial court appropriately determined that, if the jury convicted defendant of second-degree assault by means of a dangerous instrument (Penal Law § 120.05 [2]), it necessarily determined that defendant employed deadly, rather than ordinary, physical force by striking the complainant on the head with a pint glass (*see People v Vega*, 33 NY3d 1002 [2019] [decided today]). The trial court also properly determined that no reasonable view of the evidence supported a deadly force justification charge. The evidence at trial—including video surveillance of the altercation—shows that, at the time defendant employed deadly physical force, the complainant had merely pushed defendant, albeit with "pretty strong force," and then rested his hands at his sides while a female patron attempted to separate the two men. Because defendant could not have reasonably believed that the complainant was using or about to use deadly physical force (Penal Law § 35.15 [2]; *Matter of Y.K.*, 87 NY2d 430, 433-434 [1996]), he was not entitled to a deadly force justification charge.

Chief Judge DIFIORE and Judges RIVERA, STEIN, FAHEY, GARCIA, WILSON and FEINMAN concur.

Order affirmed, in a memorandum.

[125 NE3d 805, 102 NYS3d 140]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v FIDEL VEGA, Appellant.

Argued March 26, 2019; decided May 7, 2019

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered November 14, 2017. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Michael J. Obus, J., on pretrial motions; A. Kirke Bartley, Jr., J., at jury trial and sentencing), as amended, which had convicted defendant, upon a jury verdict, of burglary in the first degree (two counts), assault in the second degree (two counts) and endangering the welfare of a child.

People v Vega, 155 AD3d 462, affirmed.

HEADNOTES

Crimes — Justification — Jury Instruction — Crime Containing Dangerous Instrument Element

1. A defendant charged with a crime containing a dangerous instrument element may, in a rare case, be entitled to a jury instruction on the justified use of non-deadly (or "ordinary") physical force. While deadly physical force requires force which, under the circumstances in which it is used, is readily capable of causing death or other serious physical injury, and a dangerous instrument is defined as an instrument which, under the circumstances in which it is used, attempted to be used or threatened to be used, is readily capable of causing death or other serious physical injury, there is no per se rule regarding which justification instructions are appropriate based solely on the fact that the defendant has been charged with second-degree assault with a dangerous instrument (Penal Law § 120.05 [2]). Rather, the trial court must determine whether any reasonable view of the evidence would permit the factfinder to conclude that defendant's conduct was justified, and, if so, which instructions are applicable.

Crimes — Justification — Jury Instruction — Second-Degree Assault with Dangerous Instrument

2. In a prosecution arising from defendant beating the victim with a belt, wherein one count of second-degree assault required the People to prove that with intent to cause physical injury to the victim, defendant caused such injury by means of a dangerous instrument, i.e., the belt with a metal buckle (Penal Law § 120.05 [2]), the jury instruction regarding justification did not require reversal. The trial court instructed the jury on the justified use of non-deadly physical force in connection with the lesser included offense of third-degree assault, which does not contain a dangerous instrument element (Penal Law § 120.00 [1]), and, at the People's request, instructed the jury that if it found beyond a reasonable doubt that defendant used a dangerous instrument, then it should apply the legal rules pertaining to the justified use of deadly physical force (Penal Law § 35.15 [2]). There was no reasonable view of the evidence that defendant merely "attempted" or "threatened" to use the belt in a manner readily capable of causing death or serious physical injury (Penal Law § 10.00 [13]) but that he did not "use" it in that manner (Penal Law § 10.00 [11]), under the statutory definitions of "dangerous instrument" and "deadly physical force."

APPEARANCES OF COUNSEL

Robert S. Dean, *Center for Appellate Litigation*, New York City (*Arielle I. Reid* of counsel), for appellant.

Cyrus R. Vance, Jr., *District Attorney*, New York City (*David P. Stromes* and *Karen Schlossberg* of counsel), for respondent.

OPINION OF THE COURT

MEMORANDUM.

The order of the Appellate Division should be affirmed.

Defendant was charged with several crimes for beating the victim with a belt, including two counts of assault in the second degree. One count of assault in the second degree required the People to prove that with intent to cause physical injury to the victim, defendant caused such injury by means of a dangerous instrument, i.e., the belt with a metal buckle (*see* Penal Law § 120.05 [2]). Defendant raised a justification defense at trial, on the basis of his proffered defense of a third person (*see generally* Penal Law § 35.15). The trial court instructed the jury on the justified use of non-deadly physical force in connection with the lesser included offense of assault in the third degree, which does not contain a dangerous instrument element (*see* Penal Law § 120.00 [1]). At the People's request, the court also instructed the jury that if it found beyond a reasonable doubt that defendant used a dangerous instrument, then it should apply the legal rules pertaining to the justified use of deadly physical force (*see generally* Penal Law § 35.15 [2]).

The Penal Law defines "[d]eadly physical force" as "physical force which, under the circumstances in which it is used, is readily capable of causing death or other serious physical injury" (Penal Law § 10.00 [11]). A "[d]angerous instrument" is defined as "any instrument, article, or substance . . . which, under the circumstances in which it is used, attempted to be used or threatened to be used, is readily capable of causing death or other serious physical injury" (*id.* § 10.00 [13]). Defendant argues that the statutory definitions, while similar, are not identical and that a jury may convict a defendant of a crime containing a dangerous instrument element without necessarily concluding that the defendant used deadly physical force.

[1] Although it would be a rare case—particularly where, as here, the charge is assault in the second degree—we do not rule out the possibility that a defendant may be entitled to a jury instruction on the justified use of non-deadly (or "ordinary") physical force, even though the defendant is charged with a crime containing a dangerous instrument element (*see e.g. People v Powell*, 101 AD3d 1369, 1371-1373 [3d Dept 2012], *lv denied* 21 NY3d 1019 [2013]; *People v Griffith*, 254 AD2d 753, 753-754 [4th Dept 1998]; *People v Ogodor*, 207 AD2d 461, 461-463 [2d Dept 1994]). There is no per se rule regarding which justification instructions are appropriate based solely on the fact that the defendant has been charged with second-degree assault with a dangerous instrument. Instead, as in every case where the defendant requests a justification charge, trial courts must view the record in the light most favorable to the defendant and determine whether any reasonable view of the evidence would permit the factfinder to conclude that the defendant's conduct was justified, and, if so, which instructions are applicable (*see People v Petty*, 7 NY3d 277, 284 [2006]; *People v McManus*, 67 NY2d 541, 549 [1986]).[1]

[2] Under the particular circumstances of this case, the jury instruction does not require reversal (*see People v Valentin*, 29 NY3d 57, 61 [2017]). Viewing the record in the light most favorable to defendant, there is no reasonable view of the evidence that defendant merely "attempted" or "threatened" to use the belt in a manner readily capable of causing death or serious physical injury (Penal Law § 10.00 [13]) but that he did not "use" it in that manner (*id.* § 10.00 [11]).

Defendant's contentions regarding the legal sufficiency of the evidence pertaining to the two counts of burglary in the first degree are partially unpreserved[2] and the remaining are without merit. Defendant preserved his contention regarding defense counsel's attempt to cross-examine the victim with respect to her alleged mental health history, but under the circumstances of this case, we conclude that the trial court did not abuse its discretion as a matter of law.

Garcia, J. (concurring). I agree with the majority's conclusion that, because the jury convicted defendant of second-degree assault by means of a dangerous instrument (Penal Law § 120.05 [2]), it necessarily determined that defendant employed deadly, rather than ordinary, physical force, and therefore the trial court's instruction was proper. I do not, however, endorse the majority's suggestion that a jury may convict a defendant of second-degree assault by means of a dangerous instrument while simultaneously concluding that the defendant used less than deadly physical force. Not only is that proposition dubious as a legal matter, it sweeps beyond the facts presented by this appeal.

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1. If a trial court determines, viewing the record in the light most favorable to the defendant, that there is no reasonable view of the evidence that the defendant used anything less than deadly force, the court may instruct the jury solely on the justified use of deadly physical force if that instruction is warranted, in keeping with the "well-settled principle that a justification charge is not warranted where there is no reasonable view of the evidence to support it" (*Powell*, 101 AD3d at 1373; *see e.g. People v Garcia*, 59 AD3d 211, 212 [1st Dept 2009], *lv denied* 12 NY3d 853 [2009]).

2. Specifically, defendant failed to preserve his contention that the victim's bedroom was not a "separately secured or occupied" unit within the meaning of Penal Law § 140.00 (2) (*see People v Hawkins*, 11 NY3d 484, 492 [2008]).

The Penal Law defines "deadly physical force" as "physical force which, under the circumstances in which it *is used*, is readily capable of causing death or other serious physical injury" (Penal Law § 10.00 [11] [emphasis added]). A "dangerous instrument," by contrast, is defined as "any instrument, article or substance . . . which, under the circumstances in which it *is used, attempted to be used or threatened to be used*, is readily capable of causing death or other serious physical injury" (*id.* § 10.00 [13] [emphasis added]). Given the textual discrepancy between the two statutes, defendant asserts that a defendant convicted of second-degree assault with a dangerous instrument might still be entitled to a jury instruction on the justified use of non-deadly physical force.

That analysis, however, omits the final, critical step: plugging the "dangerous instrument" definition into the assault statute. In order to convict defendant of second-degree assault, the jury was required to find not only that defendant's belt constituted a "dangerous instrument," but also that defendant's use (or "attempted" or "threatened" use) of the dangerous instrument constituted second-degree assault (Penal Law § 120.05 [2]). That inquiry, in turn, required the jury to conclude that, with intent to cause physical injury, defendant actually "*cause[d]*" physical injury "*by means of* . . . a dangerous instrument" (Penal Law § 120.05 [2] [emphasis added]). In other words, to commit second-degree assault under Penal Law § 120.05 (2), a defendant must necessarily employ a "dangerous instrument"—an instrument "readily capable of causing death or other serious physical injury" (Penal Law § 10.00 [13])—in a manner that ultimately caused physical injury (Penal Law § 120.05 [2]). That, it seems, would inevitably constitute deadly physical force.

Moreover, we have repeatedly made clear that the Penal Law's "deadly physical force" provision is not concerned with the "consequence[s] of [a] defendant's conduct or what he intended," but rather with "the nature of the risk created" (*People v Magliato*, 68 NY2d 24, 29 [1986]). In *Magliato*, for instance, we held that the defendant's defensive conduct—"intended merely to scare off an assailant or to keep him at bay"—placed the assailant in "such imminent danger of grave bodily injury or death" that it constituted "deadly physical force" (*id.* at 26). Put differently, even where a defendant merely "attempt[s]" or "threaten[s]" to use a dangerous instrument, a jury would presumably find that the defendant employed deadly physical force by virtue of the instrument's *capacity* to imminently cause death or other serious physical injury.

As a result, it would be the rare case indeed where a defendant commits second-degree assault by means of a dangerous instrument, yet somehow does not employ deadly physical force. Tellingly, the majority offers no example of this seemingly impossible scenario.* While we need not foreclose the possibility that such a case might theoretically arise, I would certainly not foreclose the possibility that, in reality, it never will.

Chief Judge DiFiore and Judges Rivera, Stein, Fahey, Wilson and Feinman concur; Judge Garcia concurs in result in an opinion.

Order affirmed, in a memorandum.

Stephane Cosman Connery et al., Respondents, v Burton S. Sultan, Appellant.

Submitted February 25, 2019; decided May 7, 2019

Motion for reargument of motion for leave to appeal denied [*see* 32 NY3d 1139 (2019)]. Motion for other relief dismissed upon the ground that this Court does not have jurisdiction to entertain it (*see* NY Const, art VI, § 3).

Judge Feinman taking no part.

First Choice Plumbing Corp. et al., Respondents, v Miller Law Offices, PLLC, Appellant.

Submitted February 25, 2019; decided May 7, 2019

Reported below, 164 AD3d 756.

Motion for leave to appeal dismissed upon the ground that the order sought to be appealed from does not finally determine the action within the meaning of the Constitution.

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* In fact, the majority appears to apply a "per se rule" that a defendant convicted of second-degree assault by means of a dangerous instrument must necessarily employ deadly physical force, at least where "there is no reasonable view of the evidence that [the] defendant merely 'attempted' or 'threatened' " to use the dangerous instrument (majority mem at 1005).

LAWRENCE KINGSLEY, Appellant, v 300 W. 106TH ST. CORP., Respondent. (And a Third-Party Action.)

Submitted February 25, 2019; decided May 7, 2019

Reported below, 162 AD3d 420.

Motion for reargument denied [*see* 32 NY3d 1134 (2019)].

WITOLD OPALINSKI, Appellant, v CITY OF NEW YORK et al., Respondents.

Submitted March 11, 2019; decided May 7, 2019

Reported below, 164 AD3d 1354.

Motion for leave to appeal dismissed upon the ground that the order sought to be appealed from does not finally determine the action within the meaning of the Constitution.

PRINCE OPARAJI et al., Appellants, v LAWRENCE T. YABLON et al., Respondents.

Submitted March 11, 2019; decided May 7, 2019

Reported below, 2018 NY Slip Op 83909(U).

Motion for reargument by appellant Maurice Oparaji of motion for leave to appeal denied [*see* 32 NY3d 1142 (2019)].

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JOSE PEREZ, Appellant.

Submitted April 15, 2019; decided May 7, 2019

Reported below, 162 AD3d 1083.

Motion to dismiss appeal denied.

THE PEOPLE OF THE STATE OF NEW YORK ex rel. ANDRE DURHAM, Appellant, v ANTHONY J. ANNUCCI, Acting Commissioner, New York State Department of Corrections and Community Supervision, Respondent.

Submitted April 15, 2019; decided May 7, 2019

Reported below, 170 AD3d 1634.

Motion for leave to appeal dismissed upon the ground that the issues presented have become moot.

THE PEOPLE OF THE STATE OF NEW YORK ex rel. GARY H. MOORE, Appellant, v SUPERINTENDENT OF MID-STATE CORRECTIONAL FACILITY, Respondent.

Submitted March 11, 2019; decided May 7, 2019

Motion for leave to appeal dismissed upon the ground that it does not lie from the order of an individual Justice of the Appellate Division (*see* NY Const, art VI, § 3 [b]; CPLR 5602).

JAMES PETTUS, Appellant, v BOYD, RICHARDS, PARKER & COLONNELLI, P.L., et al., Respondents.

Submitted March 4, 2019; decided May 7, 2019

Motion for reconsideration of this Court's January 10, 2019 dismissal order denied [*see* 32 NY3d 1137 (2019)].

In the Matter of SHALOM BAYIT, LLC, Respondent, v KALMON GLOVIN et al., Appellants.

Submitted February 25, 2019; decided May 7, 2019

Reported below, 58 Misc 3d 155(A), 2018 NY Slip Op 50190(U).

Motion for leave to appeal dismissed upon the ground that this Court does not have jurisdiction to entertain a motion for leave to appeal from an order of the Appellate Division entered in a proceeding commenced in the Civil Court of the City of New York (*see* NY Const, art VI, § 3 [b] [7]; CPLR 5602 [a]).

PHILIP R. SHAWE, Appellant, v KRAMER LEVIN NAFTALIS & FRANKEL LLP et al., Respondents.

Submitted January 28, 2019; decided May 7, 2019

Reported below, 167 AD3d 481.

On the Court's own motion, appeal dismissed, without costs, insofar as taken from so much of the Appellate Division order as affirmed the March 2018 judgment upon the ground that no substantial constitutional question is directly involved and otherwise dismissed upon the ground that the remainder of the order does not finally determine the action within the meaning of the Constitution. Motion, insofar as it seeks leave to appeal from so much of the Appellate Division order as affirmed the March 2018 judgment, denied; motion for leave to appeal otherwise dismissed upon the ground that the remainder of the order does not finally determine the action within the meaning of the Constitution.

In the Matter of STATE OF NEW YORK, Respondent, v NATHANIEL W., for Civil Management Pursuant to Article 10 of the Mental Hygiene Law, Appellant.

Submitted March 11, 2019; decided May 7, 2019

Reported below, 166 AD3d 1523.

Motion for leave to appeal dismissed as untimely (*see* CPLR 5513 [b]; 2103 [b] [2]).

VILLAGE OF SOLVAY, Respondent, v RANA J. ZAHRAN et al., Appellants.

Submitted February 19, 2019; decided May 7, 2019

Reported below, 164 AD3d 1613 (Appeal No. 1).

On the Court's own motion, appeal dismissed, without costs, upon the ground that the order appealed from does not finally determine the action within the meaning of the Constitution. Motion for leave to appeal dismissed upon the ground that the order sought to be appealed from does not finally determine the action within the meaning of the Constitution.

In the Matter of JERRY ADAMS, Appellant, v KENNETH THOMPSON, Respondent.

Submitted April 1, 2019; decided May 9, 2019

Reported below, 2018 NY Slip Op 72456(U), 2018 NY Slip Op 86192(U).

Motion for reargument of motion for leave to appeal denied [*see* 32 NY3d 1190 (2019)].

SUSAN ARANOFF, Respondent, v GERALD ARANOFF, Appellant.

Submitted March 25, 2019; decided May 9, 2019

Motion for leave to appeal dismissed upon the ground that the Court of Appeals does not have jurisdiction to entertain it (*see* NY Const, art VI, § 3; CPLR 5602). Motion for poor person relief dismissed as academic.

AGNIESZKA CHEN, Respondent, v WILLIAM CHEN, Appellant.

Submitted March 4, 2019; decided May 9, 2019

Reported below, 164 AD3d 1668 (Appeal Nos. 1 and 2).

Motion for leave to appeal dismissed upon the ground that the orders sought to be appealed from do not finally determine the action within the meaning of the Constitution.

NORMAN R. COLON, Appellant, v PORSCHE OF ROSLYN, Defendant, and PORSCHE LEASING, LTD., et al., Respondents.

Submitted March 4, 2019; decided May 9, 2019

Reported below, 164 AD3d 747.

Motion for reargument of motion for leave to appeal denied with $100 costs and necessary reproduction disbursements [*see* 32 NY3d 913 (2019)].

JOHNATHAN JOHNSON, Appellant, v DAVID BILOW, Prison Guard, et al., Respondents.

Submitted March 25, 2019; decided May 9, 2019

Reported below, 2019 NY Slip Op 62621(U).

On the Court's own motion, appeal dismissed, without costs, upon the ground that the order appealed from does not finally determine the action within the meaning of the Constitution. Motion for poor person relief etc. dismissed as academic.

JOHNATHAN JOHNSON, Appellant, v DONALD UHLER, Respondent.

Submitted March 25, 2019; decided May 9, 2019

On the Court's own motion, appeal transferred without costs, to the Appellate Division, Third Department, upon the ground that a direct appeal does not lie (*see* NY Const, art VI, §§ 3 [b] [2]; 5 [b]; CPLR 5601 [b] [2]). Motion for leave to appeal dismissed upon the ground that the Court of Appeals does not have jurisdiction to entertain it (*see* NY Const, art VI, § 3; CPLR 5602). Motion for poor person relief dismissed as academic.

In the Matter of CYNTHIA MANOCHERIAN et al., Appellants, v ZONING BOARD OF APPEALS OF THE TOWN OF NEW CASTLE et al., Respondents. (Proceeding No. 1.)

In the Matter of LAURA HOUSTON WHITLINGER et al., Appellants, v ZONING BOARD OF APPEALS OF THE TOWN OF NEW CASTLE et al., Respondents. (Proceeding No. 2.)

Submitted March 11, 2019; decided May 9, 2019

Reported below, 2019 NY Slip Op 60933(U).

Motion for reargument of motion for leave to appeal denied [*see* 32 NY3d 1185 (2019)].

In the Matter of SALVATORE MISTRETTA, Appellant, v DONALD F. KANE, as Commissioner of Nassau County Police Department, et al., Respondents.

Submitted March 25, 2019; decided May 9, 2019

Reported below, 251 AD2d 418.

Motion for reconsideration of this Court's February 14, 2019 dismissal order denied [*see* 32 NY3d 1185 (2019)]. Motion for leave to appeal dismissed as untimely (*see* CPLR 5513 [b]).

In the Matter of SALVATORE MISTRETTA, Appellant, v DONALD F. KANE, as Commissioner of Nassau County Police Department, et al., Respondents.

Submitted March 25, 2019; decided May 9, 2019

Reported below, 251 AD2d 418.

Motion by Vincent J. Grande III for leave to file a brief amicus curiae on petitioner's motion denied.

In the Matter of SCOTT MYERS, Appellant, v BARBARA J. FIALA, as Commissioner, New York State Department of Motor Vehicles, Respondent.

Submitted March 25, 2019; decided May 9, 2019

Reported below, 2019 NY Slip Op 62615(U).

On the Court's own motion, appeal dismissed, without costs, upon the ground that the order appealed from does not finally determine the proceeding within the meaning of the Constitution. Motion for leave to appeal dismissed upon the ground that the order sought to be appealed from does not finally determine the proceeding within the meaning of the Constitution. Motion for ancillary relief dismissed upon the ground that this Court does not have jurisdiction to entertain it (*see* NY Const, art VI, § 3). Motion for poor person relief dismissed as academic.

THE PEOPLE OF THE STATE OF NEW YORK ex rel. CERIOUS-DELMARR MCCRAY, Appellant, v DARWIN LACLAIR, as Superintendent of Franklin Correctional Facility, Respondent.

Submitted March 25, 2019; decided May 9, 2019

Reported below, 161 AD3d 1490.

Motion for reargument of motion for leave to appeal denied [*see* 32 NY3d 1143 (2019)].

SAMUEL POPKOFF, Appellant, v EXTRA SPACE MANAGEMENT, INC., Respondent.

Submitted April 1, 2019; decided May 9, 2019

Reported below, 2019 NY Slip Op 63905(U).

Motion for leave to appeal dismissed upon the ground that this Court does not have jurisdiction to entertain this motion for leave to appeal from the order of the Appellate Division entered in this action commenced in the Civil Court of the City of New York (*see* NY Const, art VI, § 3 [b] [7]; CPLR 5602 [a]).

In the Matter of CHARLES ROCHESTER, Appellant, v NEW YORK STATE DIVISION OF HUMAN RIGHTS et al., Respondents.

Submitted March 18, 2019; decided May 9, 2019

Reported below, 2019 NY Slip Op 61240(U).

Motion for leave to appeal dismissed upon the ground that the orders sought to be appealed from do not finally determine the proceeding within the meaning of the Constitution. Motion for poor person relief dismissed as academic.

JOHN STEVENS, Respondent, v JUDITH STEPANSKI et al., Defendants, and GREENVILLE INN, INC., Appellant.

Submitted March 18, 2019; decided May 9, 2019

Reported below, 164 AD3d 935.

Motion for leave to appeal dismissed upon the ground that the order sought to be appealed from does not finally determine the action within the meaning of the Constitution.

[125 NE3d 830, 102 NYS3d 165]

In the Matter of JAMAEL BURSCH, Appellant, v PURCHASE COLLEGE OF THE STATE UNIVERSITY OF NEW YORK et al., Respondents.

Decided June 6, 2019

SUMMARY

APPEAL from a judgment of the Appellate Division of the Supreme Court in the Second Judicial Department, entered September 19, 2018, in a proceeding pursuant to CPLR article 78 (transferred to the Appellate Division by order of the Supreme Court, entered in Westchester County). The Appellate Division judgment, insofar as appealed from, with two Justices dissenting, (1) confirmed a determination of respondent Purchase College of the State University of New York which had upheld a decision of its Disciplinary Hearing Committee finding that petitioner committed disciplinary violations and expelled him from the school; (2) denied the petition; and (3) dismissed the proceeding on the merits.

Matter of Bursch v Purchase Coll. of the State Univ. of N.Y., 164 AD3d 1324, reversed.

HEADNOTE

Colleges and Universities — Disciplinary Proceedings — Denial of Hearing Adjournment Request Abuse of Discretion

In a CPLR article 78 proceeding brought by petitioner student enrolled at respondent college, who was accused of multiple disciplinary violations including sexual assault of another student, the petition insofar as it sought to annul respondents' disciplinary determination was granted and the matter remitted to the Appellate Division with directions to remand to respondents for a new disciplinary hearing. Under the particular circumstances, respondents abused their discretion as a matter of law by failing to grant petitioner's requested three-hour adjournment of his scheduled administrative hearing so that his attorney could attend the proceeding.

APPEARANCES OF COUNSEL

Brill Legal Group, P.C., Hempstead (*Peter E. Brill* of counsel), for appellant.

Letitia James, Attorney General, New York City (*Seth M. Rokosky* of counsel), for respondents.

OPINION OF THE COURT

MEMORANDUM.

The order of the Appellate Division insofar as appealed from should be reversed, with costs, and the petition insofar as it sought to annul respondents' disciplinary determination granted and the matter remitted to the Appellate Division with directions to remand to respondents for a new disciplinary hearing. Petitioner, a student enrolled at respondent Purchase College of the State University of New York, was accused of multiple disciplinary violations including sexual assault of another student. Petitioner requested a three-hour adjournment of his scheduled administrative hearing so that his attorney could attend the proceeding. Respondents denied this request. Under the particular circumstances of this case, we find respondents abused their discretion as a matter of law by failing to grant the requested adjournment (*see Matter of Abdur-Raheem v Mann*, 85 NY2d 113, 124 [1995]). Petitioner's remaining arguments need not be reached and any other contentions raised below have been abandoned.

Judges RIVERA, STEIN, FAHEY, GARCIA, WILSON and FEINMAN concur; Chief Judge DIFIORE taking no part.

On review of submissions pursuant to section 500.11 of the Rules of the Court of Appeals (22 NYCRR 500.11), order insofar as appealed from reversed, with costs, and petition insofar as it sought to annul respondents' disciplinary determination granted and matter remitted to the Appellate Division, Second

Department, with directions to remand to respondents for a new disciplinary hearing, in a memorandum.

[125 NE3d 829, 102 NYS3d 164]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v MONIQUE ESPOSITO, Respondent.

Decided June 6, 2019

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Term of the Supreme Court in the Second Judicial Department, Second, Eleventh and Thirteenth Judicial Districts, entered August 3, 2018. The Appellate Term (1) reversed, on the law, a judgment of the Criminal Court of the City of New York, Richmond County (Raymond Rodriguez, J.), which had convicted defendant, upon a jury verdict, of common-law driving while intoxicated and resisting arrest; and (2) dismissed the information.

People v Esposito, 60 Misc 3d 60, reversed.

HEADNOTE

Motor Vehicles — Operating Vehicle while Under Influence of Alcohol or Drugs — Sufficiency of Accusatory Instrument

The order of the Appellate Term reversing a trial court judgment which had convicted defendant of common-law driving while intoxicated and resisting arrest was reversed and the case remitted to the Appellate Term for consideration of the facts and issues raised, but not determined, on the appeal to that Court. The factual allegations in the accusatory instrument were sufficient to support the inference that defendant was the operator of the vehicle involved in the accident and, thus, Appellate Term erroneously dismissed the accusatory instrument on that ground.

APPEARANCES OF COUNSEL

Michael E. McMahon, *District Attorney*, Staten Island (*Alexander Fumelli* and *Morrie I. Kleinbart* of counsel), for appellant.

Paul Skip Laisure, *Appellate Advocates*, New York City (*Michael Arthus* of counsel), for respondent.

OPINION OF THE COURT

On review of submissions pursuant to section 500.11 of the Rules of the Court of Appeals (22 NYCRR 500.11), order reversed and case remitted to the Appellate Term, Second Department, Second, Eleventh and Thirteenth Judicial Districts, for consideration of the facts and issues raised, but not determined, on the appeal to that court. The factual allegations in the accusatory instrument were sufficient to support the inference that defendant was the operator of the vehicle involved in the accident and, thus, Appellate Term erroneously dismissed the accusatory instrument on that ground.

Concur: Chief Judge DiFiore and Judges Rivera, Stein, Fahey, Garcia, Wilson and Feinman.

[125 NE3d 831, 102 NYS3d 166]

The People of the State of New York, Respondent, v Kendel R. Gregory, Appellant.

Decided June 6, 2019

SUMMARY

Appeal, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered July 18, 2018. The Appellate Division affirmed a judgment of the Supreme Court, Queens County (Barry Kron, J.), which had convicted defendant, upon a jury verdict, of burglary in the second degree (three counts), attempted burglary in the second degree, criminal possession of stolen property in the fifth degree (two counts) and petit larceny (two counts). The appeal to the Appellate Division brought up for review the denial by that Supreme Court (Joel L. Blumenfeld, J.), after a hearing, of those branches of defendant's omnibus motion which were to suppress physical evidence and his statements to law enforcement officials.

People v Gregory, 163 AD3d 847, affirmed.

HEADNOTES

Crimes — Right to Representation Pro Se — Denial of Request — Malingering

1. The trial court did not abuse its discretion in denying defendant's request to proceed pro se, inasmuch as defendant engaged in conduct which would prevent the fair and orderly exposition of the issues. The trial court had concluded—based upon, among other things, its own observations of defendant's conduct throughout lengthy proceedings and the testimony of defendant's attending physician—that defendant engaged in malingering insofar as he was competent to proceed but persisted in his efforts to avoid trial.

Crimes — Appeal — Matters Reviewable — Reasonable Suspicion of Criminality

2. The existence of record support for the determination of the courts below that the pursuit of defendant by the police was justified by a reasonable suspicion of criminal activity foreclosed further review by the Court of Appeals of that issue.

APPEARANCES OF COUNSEL

Paul Skip Laisure, *Appellate Advocates*, New York City, for appellant.

John M. Ryan, Acting District Attorney, Kew Gardens (*John F. McGoldrick* of counsel), for respondent.

OPINION OF THE COURT

MEMORANDUM.

[1, 2] The order of the Appellate Division should be affirmed. The trial court concluded—based upon, among other things, its own observations of defendant's conduct throughout these lengthy proceedings and the testimony of defendant's attending physician—that defendant engaged in malingering insofar as he was competent to proceed but persisted in his efforts to avoid trial. Inasmuch as defendant "engaged in conduct which would prevent the fair and orderly exposition of the issues," we conclude that the trial court did not abuse its discretion in denying defendant's request to proceed pro se (*People v McIntyre*, 36 NY2d 10, 17 [1974]). Moreover, the existence of record support for the determination of the courts below that the pursuit of defendant by the police was justified by a "reasonable suspicion" of criminal activity forecloses our further review of that issue (*People v De Bour*, 40 NY2d 210, 223 [1976]; *see People v Martinez*, 80 NY2d 444, 447-448 [1992]).

Chief Judge DIFIORE and Judges RIVERA, STEIN, FAHEY, GARCIA, WILSON and FEINMAN concur.

On review of submissions pursuant to section 500.11 of the Rules of the Court of Appeals (22 NYCRR 500.11), order affirmed, in a memorandum.

[125 NE3d 822, 102 NYS3d 157]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v VINCENT MEYERS, Appellant.

Decided May 9, 2019

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered June 27, 2018. The Appellate Division affirmed a judgment of the Supreme Court, Nassau County (Jerald S. Carter, J.), which had convicted defendant, upon a jury verdict, of robbery in the second degree (two counts), assault in the second degree, criminal possession of stolen property in the fourth degree, criminal possession of stolen property in the fifth degree, criminal mischief in the fourth degree (two counts) and harassment in the second degree. In a prior order entered March 22, 2017 (148 AD3d 1057 [2017]), the Appellate Division remitted the matter to the Supreme Court for a reconstruction hearing regarding the item in the court file denominated "Court Exhibit # XIV," and thereafter a report to the Appellate Division, and held the appeal in abeyance in the interim. The Supreme Court filed its report.

People v Meyers, 162 AD3d 1074, affirmed.

HEADNOTE

Crimes — Appeal — Discovery of Purported Jury Note — Reconstruction Hearing

Where appellate counsel discovered a purported jury note, marked as an exhibit, in the court file maintained by the county clerk, while preparing defendant's appeal, and the Appellate Division directed Supreme Court to conduct a reconstruction hearing to clarify whether the exhibit was, in fact, a jury note requesting further information or instruction from the court pursuant to CPL 310.30, after which the trial court concluded that the exhibit was a draft or derelict note that was discarded by the jury and never submitted to the court, the subsequent Appellate Division order that affirmed the judgment convicting defendant was affirmed. Where the record does not establish that counsel was provided meaningful notice of the contents of a substantive jury note, the sole remedy is reversal and a new trial, not a reconstruction hearing. However, the purpose of the reconstruction hearing at issue here was not to determine whether the court complied with the counsel notice requirements of CPL 310.30 and *People v O'Rama* (78 NY2d 270 [1991]). Instead, the hearing was to determine whether, in the first instance, the exhibit reflected a "jury . . . request [to] the court for further instruction or information" (CPL 310.30) such that those obligations were triggered. Moreover, the finding of the courts below, following the reconstruction hearing, that the exhibit was a draft note that the jury discarded was supported by the record and, thus, beyond further review by the Court of Appeals.

APPEARANCES OF COUNSEL

Halscott Megaro, P.A., Orlando, Florida (*Patrick Michael Megaro* of counsel), for appellant.

Madeline Singas, *District Attorney*, Mineola (*Pamela Kelly-Pincus* of counsel), for respondent.

OPINION OF THE COURT

Memorandum.

The order of the Appellate Division should be affirmed. While preparing defendant's appeal, counsel discovered a purported jury note, marked as Court Exhibit XIV, in the court file maintained by the County Clerk. Significant ambiguity existed in the record concerning the circumstances in which the exhibit was marked and entered into the court file, including ambiguity as to whether the jury sent the exhibit to the court or, instead, began drafting it but discarded it in favor of sending other, substantially similar notes. The purported note was sequentially marked after the jury note stating that the jury had reached a verdict and was duplicative of other jury notes undisputedly received and read into the record by the court. Further, no other reference to the exhibit existed on the record or in the court file. The Appellate Division directed Supreme Court to conduct a reconstruction hearing to clarify whether Exhibit XIV was, in fact, a jury note requesting further information or instruction from the court pursuant to CPL 310.30 (148 AD3d 1057 [2d Dept 2017]). After the hearing, the trial court concluded that Exhibit XIV was a draft or derelict note that was discarded by the jury and never submitted to the court.

We recently held that where the record does not establish that counsel was provided meaningful notice of the contents of a substantive jury note, "the sole remedy is reversal and a new trial," not a reconstruction hearing (*People v Parker*, 32 NY3d 49, 62 [2018]). However, the purpose of the reconstruction hearing at issue here was not to determine whether the court complied with the counsel notice requirements of CPL 310.30 and *People v O'Rama* (78 NY2d 270, 276 [1991]). Instead, the hearing was to determine whether, in the first instance, Exhibit XIV reflected a "jury . . . request [to] the court for further instruction or information" (CPL 310.30) such that those obligations were triggered. Moreover, the finding of the courts below, following the reconstruction hearing, that Exhibit XIV was a draft note that the jury discarded is supported by the record and, thus, beyond our further review. Finally, defendant failed to demonstrate that he was denied effective assistance of counsel.

Garcia, J. (concurring in result). Less than a year ago, in *People v Parker*, we held that, in the absence of affirmative record proof that the trial court provided a verbatim account of every jury note, "the *sole remedy* is reversal and a new trial" (32 NY3d 49, 62 [2018] [emphasis added]). No matter how strongly the record suggested that defense counsel was, in fact, given meaningful notice of each note, reconstruction of the record is not permitted to ascertain the existence—or nonexistence—of error. Reversal, and only reversal, must result. That was our short-lived *Parker* rule.

Here, as in *Parker*, defendant asserted that the trial court failed to satisfy its meaningful notice requirement after defense counsel discovered a jury note that was never mentioned at trial. But unlike in *Parker*, the Appellate Division directed Supreme Court to conduct a hearing to "assess all the circumstances" regarding the inquiry (*People v Meyers*, 148 AD3d 1057, 1057 [2d Dept 2017]). Supreme Court then held a reconstruction hearing, where a number of witnesses testified: two jurors, the court clerk, the judge's law secretary, defendant's trial counsel, and the trial prosecutor. Following that hearing, Supreme Court concluded that the inquiry was "a derelict note discarded by the jury," and therefore no error had occurred. The Appellate Division affirmed (162 AD3d 1074 [2d Dept 2018]).

With that knowledge now in hand, *Parker*'s application would yield an absurd result: automatic reversal of defendant's convictions because of a jury note that was not properly read into the record, even though we now know—although we should not know (*Parker*, 32 NY3d at 62)—that it was not a jury note at all. Though I agree that we should avoid that senseless outcome, I do not agree that *Parker*'s per se reversal rule is somehow inapplicable. The trouble with *Parker*'s application stems not from the facts of this case; it stems from *Parker* itself.

I.

The Court's dilemma in this case is a familiar one. In *People v O'Rama*, the Court first applied the "mode of proceedings" exception to cases involving deviations from CPL 310.30's jury note procedure (78 NY2d 270, 279 [1991]). Until then, the mode of proceedings doctrine had comprised a "very narrow" exception to our preservation rule (*People v Patterson*, 39 NY2d 288, 295 [1976]) that was reserved for "the most fundamental flaws" (*People v Becoats*, 17 NY3d 643, 651 [2011]). Because mode of proceedings errors carry extreme and mandatory consequences—immunity from the rules governing preservation, waiver, and harmless error—the doctrine had historically been confined to a "tightly circumscribed class" of cases (*People v Kelly*, 5 NY3d 116, 120 [2005]). In a single sentence of dicta, the *O'Rama* Court changed that.

The results were harsh and widespread. Applying *O'Rama*, the Appellate Divisions began reversing convictions based on unpreserved claims in any case where the record failed to show adequate compliance with CPL 310.30. Countless reversals resulted (*see People v Morrison*, 32 NY3d 951, 960-962 [2018, Garcia, J., dissenting] [collecting cases]). Meanwhile, *O'Rama* faced sharp criticism for its "cursory rationale" that "d[id] not seem very persuasive" (*People v Walston*, 23 NY3d 986, 991 [2014, Smith, J., concurring]).

Facing this backlash, the Court began to scale back *O'Rama*'s sweeping rule. In *People v Nealon*, for instance, we held that preservation was required where the trial court provided notice of the contents of a jury note, but failed to consult defense counsel before responding to the jury's inquiry (26 NY3d 152, 160-162 [2016]). Similarly, in *People v Mack*, we rejected the defendant's claim that a mode of proceedings error had occurred where defense counsel had meaningful notice of the jury's inquiries, but the trial court accepted the jury's verdict without first providing a response (27 NY3d 534, 537 [2016]). In both *Nealon* and *Mack*, we held that a defendant is required to preserve his claim of error where "the trial court fails to provide a meaningful response to a substantive jury note but satisfies its meaningful notice obligations" (*Mack*, 27 NY3d at 539; *Nealon*, 26 NY3d at 160-161). Although meaningful notice and a meaningful response had each been deemed a "core responsibility" under *O'Rama*, the Court began treating the errors quite differently—one required preservation, while the other did not.

Those decisions were harshly criticized for skirting *O'Rama*'s mandate. The dissenters in both cases lamented the Court's unprincipled and haphazard abandonment of one of *O'Rama*'s two core tenets (*see Mack*, 27 NY3d at 545-547 [Rivera, J., dissenting]; *Nealon*, 26 NY3d at 164 [Lippman, Ch. J., dissenting]). Indeed, not long before, this Court had reinforced that "[a] court's failure to supply a meaningful notice *or* response constitutes error affecting the mode of proceedings, and therefore presents a question of law for appellate review even in the absence of timely objection" (*People v Alcide*, 21 NY3d 687, 692 [2013] [emphasis added]; *see also People v Taylor*, 26 NY3d 217, 228 [2015, Rivera, J., concurring] [noting that the trial court's "failure to fulfil these responsibilities constitutes a mode of proceedings error, which does not require preservation"]). Following our lead, the Appellate Divisions were, prior to *Nealon* and *Mack*, consistently excusing preservation failures wherever the trial record did not demonstrate compliance with either of the court's two duties: the duty to provide meaningful notice of a jury note, or the duty to respond (*see People v Mack*, 117 AD3d 1450, 1451 [1st Dept 2014]; *People v Nealon*, 116 AD3d 886, 887 [2d Dept 2014]; *see also People v McGuire*, 101 AD3d 1386 [3d Dept 2012]; *People v Lockley*, 84 AD3d 836 [2d Dept 2011]). In *Nealon* and *Mack*, however, we sharply reversed course.

Compounding the confusion, the Court based its new dichotomy on the notion that, where the trial court complies with its meaningful notice requirement, defense counsel is equipped with "all the knowledge required to make an objection," and thus preservation is required (*Nealon*, 26 NY3d at 162). But meaningful notice, we maintained, required far more than "objection-enabling" notice of the error (*id.* at 166 [Lippman, Ch. J., dissenting] [noting that "objection-enabling notice is not enough to meet the trial court's core notice obligation"]); anything short of a "verbatim" reading "in open court" would not suffice (*Mack*, 27 NY3d at 542). Despite the Court's promise that "lack of notice is the key determinant in classifying a particular procedure as a mode of proceedings error"—since "counsel generally cannot object to an error of which he or she is unaware" (*id.* at 541)—we continued to mandate reversal, regardless of preservation, even in cases where "counsel was made *aware* of the existence of the note" (*see Walston*, 23 NY3d at 990 [emphasis added]).

Shortly after *Nealon* and *Mack*, the Court was offered another opportunity to scale back the damage of *O'Rama*. In *People v Parker*, the record did not contain a verbatim reading of two jury notes, but it strongly "support[ed] the conclusion that the parties and the court discussed the content of the jury notes . . . at an off-the-record proceeding" (*Parker*, 32 NY3d at 62 [DiFiore, Ch. J., dissenting]). Because of the record's ambiguity, the People asserted that a reconstruction hearing—rather than automatic reversal—was the appropriate remedy in order to determine whether or not defense counsel had received meaningful notice of the notes.*

The Court declined that invitation, instead holding that, "where the record does not establish compliance with CPL 310.30, the sole remedy is reversal and a new trial" (*Parker*, 32 NY3d at 62; *see also Morrison*, 32 NY3d at 952 ["The trial court's failure to provide counsel with meaningful notice of a substantive jury note is a mode of proceedings error that requires reversal"]). "[I]t is the court's responsibility," we held, to ensure "specific, record proof" of *O'Rama* compliance for "each note," and accordingly, in the absence of affirmative record proof, "a mode of proceedings error occur[s] requiring reversal" (*Parker*, 32 NY3d at 60-61). The *Parker* per se reversal rule thus "operates without regard to the specific facts of whether counsel actually received meaningful notice of the content of the jury note" (*Parker*, 32 NY3d at 66 [DiFiore, Ch. J., dissenting]); record ambiguity, by itself, warrants reversal. As a result of *Parker*'s holding, the Court reversed convictions in three cases, "even though the record d[id] not conclusively establish that [an] error occurred, and in fact suggest[ed] that it did not" (*Morrison*, 32 NY3d at 974 [Garcia, J., dissenting]; *see also Parker*, 32 NY3d at 62).

II.

The instant appeal presents a straightforward application of *Parker*. While reviewing the court file, defense counsel discovered a juror inquiry that was never mentioned at trial. The inquiry was written on a form entitled "JURY NOTE." It was signed by the foreperson and labeled with a date and time. It was marked by the court clerk as a court exhibit. And it contained a substantive jury request: it asked the court to "clarify . . . the term 'evidence' " and to explain whether "the victim's test[imony]" was "considered direct evidence." It further expressed one juror's concern that the jury had deadlocked—also a substantive announcement.

Put differently, defendant asserted an *O'Rama* error of the most egregious variety: he had no notice of the existence of the

* At that time, the Appellate Division departments were routinely remitting for reconstruction hearings when faced with a record ambiguity regarding *O'Rama* compliance (*see People v Meyers*, 148 AD3d 1057 [2d Dept 2017]; *People v Mitchell*, 129 AD3d 404 [1st Dept 2015]; *People v Williams*, 113 AD3d 1116 [4th Dept 2014]; *People v Kahley*, 105 AD3d 1322 [4th Dept 2013]; *People v Russo*, 283 AD2d 910 [4th Dept 2001]; *People v Martinez*, 186 AD2d 14 [1st Dept 1992]).

note, much less notice of its verbatim contents. Perhaps, defendant alleged, the note was lost in transit from the jury to the judge; or perhaps it was addressed during an off-the-record proceeding; or perhaps the trial judge responded to the note without mentioning it to counsel—all plausible scenarios, and all reversible *O'Rama* errors. Invoking our holding in *Parker*, defendant asserts on appeal that the record does not affirmatively establish compliance with the trial court's meaningful notice requirement, and he is therefore entitled to the "sole remedy" of mandatory reversal (*Parker*, 32 NY3d at 62).

A.

Despite the gravity of defendant's allegations, the majority agrees that automatic reversal was properly sidestepped based on a then-unproven assertion that the inquiry was a draft, rather than an actual jury note. Because of "[s]ignificant ambiguity" in the record, the majority contends, reconstruction was permitted "not to determine whether the court complied with the counsel notice requirements," but rather to ascertain whether those requirements were triggered at all (majority mem at 1020).

First, the majority points out, the note was "sequentially marked after the jury note stating that the jury had reached a verdict" (majority mem at 1020). To be sure, those circumstances are atypical, perhaps signaling record ambiguity. But the note was also marked with a date and time—about four hours *prior* to the jury's verdict announcement. In addition, while the note was irregularly numbered by the court clerk, it was not the only note marked out of order. In fact, at least two other jury notes—genuine jury notes, not drafts—were similarly marked out of sequence. And another court exhibit, Supreme Court found, was also inaccurately marked subsequent to the verdict. Even "real" jury notes, it turns out, can be misnumbered.

Next, the majority emphasizes that the note was "duplicative" of other notes that were undisputedly sent out by the jury (majority mem at 1020). Again, that may be true. But "real" jury notes frequently request (or convey) redundant information. In fact, in this case, at least two other jury notes were largely duplicative of one another; one note asked the court to "define the first (2) charges," and a subsequent note again asked the court to, among other things, "re-read to the jury the description of counts 1 [and] 2." Deadlock announcements in particular—like the one in the note at issue—are often sent out more than once during prolonged jury deliberations (*e.g. People v Britton*, 31 NY3d 1019, 1022 [2018] [jury reported a deadlock more than once]; *Matter of Rivera v Firetog*, 11 NY3d 501, 504 [2008] [same]; *People v Aponte*, 2 NY3d 304, 306 [2004] [same]; *People v O'Rama*, 78 NY2d 270, 275 [1991] [same]; *Matter of Pastrana v Baker*, 55 NY2d 315, 317 [1982] [same]). In other words, while redundancy might mean that the note had been discarded, it might also signal persisting juror confusion.

The majority lastly notes that "no other reference" to the jury's inquiry existed on the record (majority mem at 1020). But the record's silence concerning a "real" jury note, while not ideal, is also not unheard of. Indeed, in *People v Hanson*, the trial transcript similarly did not show that the court was made aware of two jury notes (24 NY3d 294, 298 [2014]). Despite that ambiguity, the Court in *Hanson* held that a mode of proceedings error had occurred and reversed the defendant's convictions outright, reasoning that the record failed to "indicate compliance with adequate procedures under *O'Rama*" (*id.* at 300). Reconstruction, we held, was not an available remedy, noting that "reviewing courts 'cannot assume' that the proper procedure was utilized," and that precedent "impose[d] an affirmative obligation on a trial court to create a record of compliance under CPL 310.30 and *O'Rama*" (*id.* at 300). Here, too, the record was "bereft of any evidence" that the note was "actually received by the Supreme Court" (*People v Hanson*, 100 AD3d 771, 771 [2d Dept 2012]) or, as the majority puts it, there was "[s]ignificant ambiguity . . . in the record concerning the circumstances in which the exhibit was marked and entered into the court file" (majority mem at 1020). Yet somehow, in this case, automatic reversal is unwarranted.

B.

Of course, with the benefit of a reconstruction hearing, we now know that no error occurred. But the opposite outcome was at least equally possible: the hearing might have shown that the inquiry was, in fact, an unmentioned jury note, amounting to a particularly grievous CPL 310.30 violation. The exact same scenario was presented in *Parker*: reconstruction might have shown that meaningful notice was provided, or it might have confirmed that notice was lacking. The entire point of *Parker*'s holding was that we should not—and could not—

find out. Ordering reconstruction hearings, the *Parker* Court noted, would "ignore our case law" and "imperil one of the foundations of *O'Rama*: the necessity that courts fulfill their core responsibility of providing counsel with notice of the precise contents of a jury note" (*Parker*, 32 NY3d at 61-62).

Notably, had defendant asserted an *O'Rama* error of a lesser degree, he presumably would have been entitled to automatic reversal of his convictions. For instance, had the trial court read the note nearly verbatim but failed to mention a single word, defendant would have secured an outright reversal (*see Walston*, 23 NY3d at 988). Automatic reversal would similarly be required if the trial court had provided defendant verbatim notice of the note's precise contents during an off-the-record proceeding, and simply failed to so indicate on the record (*see Parker*, 32 NY3d at 66 n 2 [DiFiore, Ch. J., dissenting]). Yet where the record substantiates a defendant's claim that he received no notice whatsoever of a jury note's existence, automatic reversal is no longer available. The import of that holding—the greater the error, the lesser the relief—is loaded with unfairness.

The majority's new rule also telegraphs a clear formula for evading the dictates of *Parker* whenever a note is not mentioned at trial. So long as any good-faith reading of the record suggests that a jury note may have been a "draft or derelict note" (majority mem at 1020), reconstruction is permitted to determine whether or not an *O'Rama* error occurred. Going forward, then, *Parker*'s generous "sole remedy" applies only in the context of lesser *O'Rama* errors involving partial but incomplete notice; a complete failure to provide any notice whatsoever is now subject to reconstruction.

At bottom, the majority's strained attempt to circumvent *Parker* hinges on an arbitrary and unsupported distinction. While I concur in the majority's ends—limiting *Parker*'s reach—I am not persuaded by its means.

III.

I remain convinced that the *O'Rama* rule—exacerbated by *Parker*—is unfair and unworkable, generating contorted holdings aimed at avoiding absurd results. We can only hope that, sooner rather than later, the legislature will finally relieve us (*see Morrison*, 32 NY3d at 974 [Garcia, J., dissenting]).

Chief Judge DiFiore and Judges Rivera, Stein, Fahey, Wilson and Feinman concur; Judge Garcia concurs in result in an opinion.

On review of submissions pursuant to section 500.11 of the Rules of the Court of Appeals (22 NYCRR 500.11), order affirmed, in a memorandum.

APPLICATIONS IN CRIMINAL CASES FOR LEAVE TO APPEAL

(May 1, 2019 through May 31, 2019)

People v Abdur-Rahman	3d Dept: 168 AD3d 1268 (Albany)	denied 5/7/19 (Fahey, J.)
People v Acevedo (Andrew)	2d Dept: 171 AD3d 776 (Queens)	denied 5/28/19 (DiFiore, Ch. J.)
People v Acevedo (Brandon)	1st Dept: 168 AD3d 627 (Bronx)	denied 5/28/19 (DiFiore, Ch. J.)
People v Acevedo (Hector)	App Div, 3d Dept: 2019 NY Slip Op 61954(U) (Albany)	denied 5/7/19 (Fahey, J.)
People v Adams	4th Dept: 167 AD3d 1448 (Monroe)	denied 5/10/19 (DiFiore, Ch. J.)
People v Alexander	1st Dept: 168 AD3d 619 (Bronx)	denied 5/28/19 (DiFiore, Ch. J.)
People v Allen (Curt)	County Ct, 3/26/19 (Onondaga)	denied 5/24/19 (Rivera, J.)
People v Allen (Doran)	1st Dept: 169 AD3d 453 (Bronx)	denied 5/28/19 (DiFiore, Ch. J.)
People v Althiser (Ronnie)	App Div, 3d Dept: 2019 NY Slip Op 62662(U) (Otsego)	dismissed 5/7/19 (Fahey, J.)
People v Althiser (Ronnie)	App Div, 3d Dept: 2019 NY Slip Op 63275(U) (Otsego)	denied 5/7/19 (Fahey, J.)
People v Alvarracin	App Div, 2d Dept: 2019 NY Slip Op 63497(U) (Queens)	dismissed 5/2/19 (Rivera, J.)
People v Anderson	2d Dept: 170 AD3d 878 (Queens)	denied 5/24/19 (Feinman, J.)
People v Andre	1st Dept: 168 AD3d 457 (NY)	denied 5/3/19 (Wilson, J.)
People v Bah (Malick)	1st Dept: 171 AD3d 437 (Bronx)	denied 5/29/19 (Garcia, J.)
People v Bah (Rafael)	App Term, 1st Dept: 63 Misc 3d 126(A) (NY)	denied 5/14/19 (Fahey, J.)
People v Barlow	1st Dept: 169 AD3d 600 (NY)	denied 5/30/19 (Garcia, J.)
People v Barr	4th Dept: 169 AD3d 1427 (Monroe)	denied 5/9/19 (Stein, J.)
People v Battle	App Term, 1st Dept: 2019 NY Slip Op 50296(U) (NY)	denied 5/28/19 (DiFiore, Ch. J.)
People v Bellamy (Omar)	4th Dept: 170 AD3d 1652 (Jefferson)	denied 5/22/19 (Rivera, J.) (Appeal No. 1)

People v Bellamy (Omar)	4th Dept: 170 AD3d 1653 (Oswego)	denied 5/13/19 (Rivera, J.) (Appeal No. 2)
People v Bencome	1st Dept: 168 AD3d 603 (NY)	denied 5/3/19 (Stein, J.)
People v Benjamin	1st Dept: 170 AD3d 566 (NY)	denied 5/16/19 (Rivera, J.)
People v Benoit	1st Dept: 169 AD3d 543 (NY)	denied 5/1/19 (Wilson, J.)
People v Bermudez	2d Dept: 171 AD3d 777 (Nassau)	denied 5/31/19 (DiFiore, Ch. J.)
People v Bethune	App Term, 1st Dept: 62 Misc 3d 146(A) (NY)	denied 5/14/19 (Fahey, J.)
People v Bisha	App Term, 1st Dept: 62 Misc 3d 146(A) (NY)	denied 5/3/19 (Wilson, J.)
People v Bookard	2d Dept: 169 AD3d 816 (Kings)	denied 5/3/19 (Stein, J.)
People v Bowers	App Div, 2d Dept: 2019 NY Slip Op 64783(U) (Queens)	dismissed 5/10/19 (DiFiore, Ch. J.)
People v Bowman	1st Dept: 170 AD3d 498 (NY)	denied 5/9/19 (Rivera, J.)
People v Brodeur	App Term, 2d Dept, 2d, 11th & 13th Jud Dists: 62 Misc 3d 140(A) (Kings)	denied 5/13/19 (Stein, J.)
People v Brooks	App Term, 1st Dept: 62 Misc 3d 69 (NY)	denied 5/13/19 (Rivera, J.)
People v Brown (DeJuan)	2d Dept: 169 AD3d 914 (Kings)	denied 5/30/19 (Garcia, J.)
People v Brown (Dwight)	1st Dept: 170 AD3d 561 (NY)	denied 5/30/19 (Garcia, J.)
People v Brown (James)	3d Dept: 170 AD3d 1375 (Essex)	denied 5/31/19 (DiFiore, Ch. J.)
People v Brown (Lasean)	3d Dept: 169 AD3d 1258 (Schenectady)	denied 5/30/19 (Garcia, J.)
People v Bullock	App Term, 1st Dept: 63 Misc 3d 126(A) (NY)	denied 5/30/19 (Garcia, J.)
People v Cahill	4th Dept: 170 AD3d 1619 (Onondaga)	denied 5/31/19 (DiFiore, Ch. J.)
People v Canela	1st Dept: 170 AD3d 630 (NY)	denied 5/29/19 (Fahey, J.)
People v Capeles	2d Dept: 168 AD3d 968 (Rockland)	denied 5/14/19 (Fahey, J.)
People v Carmona	1st Dept: 168 AD3d 499 (Bronx)	denied 5/13/19 (Stein, J.)
People v Carrasquillo	4th Dept: 170 AD3d 1592 (Onondaga)	denied 5/24/19 (Feinman, J.)
People v Cartagena	1st Dept: 170 AD3d 451 (NY)	denied 5/30/19 (Garcia, J.)
People v Castro	3d Dept: 170 AD3d 1286 (Washington)	denied 5/30/19 (Garcia, J.)
People v Chambers	2d Dept: 168 AD3d 1092 (Richmond)	denied 5/3/19 (DiFiore, Ch. J.)

People v Charles	2d Dept: 171 AD3d 781 (Kings)	denied 5/23/19 (Fahey, J.)
People v Cherry	1st Dept: 170 AD3d 590 (NY)	denied 5/30/19 (Wilson, J.)
People v Chin	2d Dept: 169 AD3d 916 (Kings)	denied 5/13/19 (Rivera, J.)
People v Church	4th Dept: 170 AD3d 1523 (Onondaga)	denied 5/16/19 (Rivera, J.)
People v Cohen	1st Dept: 170 AD3d 493 (NY)	denied 5/7/19 (Fahey, J.)
People v Contreras	2d Dept: 170 AD3d 1034 (Westchester)	denied 5/21/19 (Fahey, J.)
People v Cordova	App Term, 2d Dept, 2d, 11th & 13th Jud Dists: 62 Misc 3d 148(A) (Queens)	denied 5/29/19 (Fahey, J.)
People v Crowe	2d Dept: 167 AD3d 1036 (Rockland)	denied 5/2/19 (Feinman, J.)
People v Cruz	1st Dept: 154 AD3d 429 (Bronx)	denied 5/9/19 (Rivera, J.)
People v Danielson	3d Dept: 170 AD3d 1430 (Chenango)	denied 5/21/19 (Fahey, J.)
People v Davis	2d Dept: 170 AD3d 745 (Kings)	denied 5/21/19 (Fahey, J.)
People v Delossantos	App Term, 1st Dept: 62 Misc 3d 141(A) (Bronx)	denied 5/7/19 (DiFiore, Ch. J.)
People v Deowasarran	2d Dept: 170 AD3d 1036 (Suffolk)	denied 5/30/19 (Garcia, J.)
People v DeShields	2d Dept: 169 AD3d 823 (Queens)	denied 5/14/19 (DiFiore, Ch. J.)
People v Destiny B.	2d Dept: 171 AD3d 777 (Kings)	denied 5/24/19 (Feinman, J.)
People v Diaz (Isabelino)	App Div, 3d Dept: 2019 NY Slip Op 60669(U) (Sullivan)	dismissed 5/3/19 (Wilson, J.)
People v Diaz (Richard)	1st Dept: 169 AD3d 502 (Bronx)	denied 5/21/19 (Fahey, J.)
People v Diaz (Tara)	2d Dept: 171 AD3d 784 (Queens)	denied 5/24/19 (Feinman, J.)
People v Dix	4th Dept: 170 AD3d 1575 (Niagara)	denied 5/15/19 (Rivera, J.)
People v Dorsey	1st Dept: 170 AD3d 417 (NY)	denied 5/10/19 (Wilson, J.)
People v Dupree	2d Dept: 170 AD3d 881 (Queens)	denied 5/14/19 (Fahey, J.)
People v Espinal	1st Dept: 170 AD3d 457 (NY)	denied 5/28/19 (DiFiore, Ch. J.)
People v Faircloth	2d Dept: 162 AD3d 789 (Dutchess)	denied reconsideration 5/13/19 (Rivera, J.)
People v Feddiman	4th Dept: 169 AD3d 1499 (Oneida)	denied 5/30/19 (Garcia, J.)

People v Ferguson	4th Dept: 170 AD3d 1518 (Niagara)	denied 5/24/19 (Feinman, J.)
People v Fields	2d Dept: 166 AD3d 897 (Queens)	denied reconsideration 5/28/19 (Stein, J.)
People v Fontanez	2d Dept: 171 AD3d 789 (Queens)	denied 5/29/19 (Wilson, J.)
People v Fyffe	App Term, 1st Dept: 63 Misc 3d 126(A) (Bronx)	denied 5/29/19 (Garcia, J.)
People v Gabbidon	App Div, 2d Dept: 2019 NY Slip Op 64043(U) (Dutchess)	dismissed 5/3/19 (DiFiore, Ch. J.)
People v Galagan	1st Dept: 170 AD3d 435 (NY)	denied 5/7/19 (Fahey, J.)
People v Galarza	App Term, 1st Dept: 62 Misc 3d 144(A) (NY)	denied 5/3/19 (Stein, J.)
People v Gazoo	App Div, 3d Dept: 2019 NY Slip Op 62652(U) (Ulster)	denied 5/3/19 (Stein, J.)
People v Gentles	1st Dept: 171 AD3d 471 (Bronx)	withdrawn 5/21/19 (Fahey, J.)
People v Gomez	App Term, 1st Dept: 63 Misc 3d 138(A) (Bronx)	denied 5/31/19 (DiFiore, Ch. J.)
People v Gonzalez (Anthony)	1st Dept: 170 AD3d 558 (NY)	denied 5/17/19 (Wilson, J.)
People v Gonzalez (Douglas)	App Term, 2d Dept, 9th & 10th Jud Dists: 62 Misc 3d 130(A) (Orange)	denied reconsideration 5/31/19 (Feinman, J.)
People v Gould	1st Dept: 170 AD3d 547 (NY)	denied 5/9/19 (Rivera, J.)
People v Grant (Elijah)	2d Dept: 171 AD3d 791 (Kings)	denied 5/31/19 (Feinman, J.)
People v Grant (Jeryl)	2d Dept: 170 AD3d 888 (Richmond)	denied 5/31/19 (DiFiore, Ch. J.)
People v Greer	4th Dept: 170 AD3d 1538 (Erie)	denied 5/24/19 (Feinman, J.)
People v Gumbs	App Div, 1st Dept: 2015 NY Slip Op 89556(U) (NY)	dismissed 5/1/19 (Stein, J.)
People v Hamlett	1st Dept: 168 AD3d 546 (NY)	denied 5/21/19 (Stein, J.)
People v Harrington	3d Dept: 170 AD3d 1338 (Albany)	denied 5/31/19 (DiFiore, Ch. J.)
People v Harris (Diijon)	App Div, 2d Dept: 2019 NY Slip Op 63889(U) (Kings)	dismissed 5/7/19 (Fahey, J.)
People v Harris (Gary)	1st Dept: 168 AD3d 568 (NY)	denied 5/10/19 (DiFiore, Ch. J.)
People v Harvey	4th Dept: 170 AD3d 1675 (Monroe)	denied 5/22/19 (Stein, J.)
People v Hatcher	3d Dept: 168 AD3d 1313 (Broome)	denied 5/10/19 (DiFiore, Ch. J.)
People v Hazell	App Term, 1st Dept: 62 Misc 3d 151(A) (NY)	denied 5/29/19 (Fahey, J.)

People v Headley	2d Dept: 170 AD3d 746 (Kings)	denied 5/9/19 (Rivera, J.)
People v Hemans	2d Dept: 170 AD3d 1039 (Queens)	denied 5/24/19 (Feinman, J.)
People v Hemphill	4th Dept: 170 AD3d 1528 (Niagara)	denied 5/30/19 (Garcia, J.)
People v Henry	1st Dept: 170 AD3d 484 (Bronx)	denied 5/30/19 (Garcia, J.)
People v Herbin	App Term, 2d Dept, 2d, 11th & 13th Jud Dists: 61 Misc 3d 150(A) (Kings)	denied 5/30/19 (Garcia, J.)
People v Hernandez	App Term, 2d Dept, 9th & 10th Jud Dists: 62 Misc 3d 9 (Suffolk)	dismissed 5/30/19 (Fahey, J.)
People v Hill (Quentin)	4th Dept: 170 AD3d 1620 (Erie)	denied 5/24/19 (Feinman, J.)
People v Hill (Quinton)	4th Dept: 170 AD3d 1620 (Erie)	denied 5/24/19 (Feinman, J.)
People v Holley	4th Dept: 170 AD3d 1530 (Erie)	denied 5/30/19 (Garcia, J.)
People v Hopper	4th Dept: 170 AD3d 1523 (Onondaga)	denied 5/23/19 (Wilson, J.)
People v Huger	2d Dept: 167 AD3d 1042 (Kings)	denied reconsideration 5/31/19 (DiFiore, Ch. J.)
People v Jasquez	1st Dept: 170 AD3d 537 (NY)	denied 5/30/19 (Garcia, J.)
People v Johnson	2d Dept: 165 AD3d 1168 (Kings)	denied 5/6/19 (Stein, J.)
People v Jones (Ahmed)	2d Dept: 171 AD3d 1091 (Kings)	denied 5/30/19 (Feinman, J.)
People v Jones (Jemal)	3d Dept: 168 AD3d 1313 (Broome)	denied 5/10/19 (DiFiore, Ch. J.)
People v Jones (Leon)	2d Dept: 169 AD3d 925 (Nassau)	denied 5/24/19 (Feinman, J.)
People v Jordan	1st Dept: 168 AD3d 458 (NY)	denied 5/23/19 (DiFiore, Ch. J.)
People v Kahley	4th Dept: 169 AD3d 1464 (Monroe)	denied 5/3/19 (Feinman, J.)
People v Kaplan	3d Dept: 168 AD3d 1229 (Warren)	denied 5/14/19 (Feinman, J.)
People v Kelvin N.	1st Dept: 170 AD3d 564 (NY)	denied 5/31/19 (DiFiore, Ch. J.)
People v King	2d Dept: 170 AD3d 1041 (Westchester)	denied 5/24/19 (Feinman, J.)
People v Kobbah	1st Dept: 168 AD3d 562 (Bronx)	denied 5/9/19 (Stein, J.)
People v Kulakov	App Div, 3d Dept: 2019 NY Slip Op 64796(U) (Franklin)	dismissed 5/29/19 (Garcia, J.)
People v Lankford	4th Dept: 170 AD3d 1620 (Onondaga)	denied 5/22/19 (Stein, J.)

People v Larbie	1st Dept: 171 AD3d 421 (NY)	denied 5/29/19 (Wilson, J.)
People v Lewis	3d Dept: 167 AD3d 158 (Greene)	denied 5/9/19 (Rivera, J.)
People v Lopez	1st Dept: 168 AD3d 418 (NY)	denied 5/31/19 (DiFiore, Ch. J.)
People v Lozano	1st Dept: 170 AD3d 505 (NY)	denied 5/2/19 (Rivera, J.)
People v Lucious	App Term, 1st Dept: 62 Misc 3d 145(A) (NY)	denied 5/15/19 (Stein, J.)
People v Mack	2d Dept: 168 AD3d 1100 (Rockland)	denied 5/13/19 (Rivera, J.)
People v Madigan	4th Dept: 169 AD3d 1467 (Steuben)	denied 5/9/19 (Stein, J.)
People v McAdams	1st Dept: 170 AD3d 549 (NY)	denied 5/30/19 (Garcia, J.)
People v McCorkle	1st Dept: 171 AD3d 510 (Bronx)	denied 5/28/19 (DiFiore, Ch. J.)
People v McCoy	3d Dept: 169 AD3d 1260 (Chemung)	denied 5/15/19 (DiFiore, Ch. J.)
People v McIntosh	App Term, 1st Dept: 62 Misc 3d 152(A) (NY)	denied 5/29/19 (Fahey, J.)
People v McKenzie	1st Dept: 169 AD3d 557 (NY)	denied 5/2/19 (Rivera, J.)
People v McKinney	4th Dept: 170 AD3d 1507 (Onondaga)	denied 5/30/19 (Garcia, J.)
People v Mendez	3d Dept: 169 AD3d 1255 (Albany)	denied 5/31/19 (DiFiore, Ch. J.)
People v Mercado	App Div, 2d Dept: 2019 NY Slip Op 63502(U) (Westchester)	dismissed 5/3/19 (Stein, J.)
People v Merchant	4th Dept: 170 AD3d 1651 (Onondaga)	denied 5/17/19 (Wilson, J.)
People v Middlebrooks	4th Dept: 167 AD3d 1483 (Erie)	denied reconsideration 5/23/19 (Wilson, J.)
People v Milliman	4th Dept: 122 AD3d 1437 (Cayuga)	denied 5/30/19 (Garcia, J.)
People v Mitchell (Stephen)	App Div, 2d Dept: 2019 NY Slip Op 66165(U) (Kings)	dismissed 5/29/19 (Feinman, J.)
People v Mitchell (Stephen)	App Div, 2d Dept: 2019 NY Slip Op 66166(U) (Kings)	dismissed 5/29/19 (Feinman, J.)
People v Mohan	2d Dept: 169 AD3d 1061 (Queens)	denied 5/14/19 (Fahey, J.)
People v Morales	1st Dept: 171 AD3d 519 (Bronx)	denied 5/13/19 (Rivera, J.)
People v Morris	3d Dept: 161 AD3d 1219 (Albany)	denied 5/9/19 (Stein, J.)
People v Moye	2d Dept: 170 AD3d 1198 (Westchester)	denied 5/29/19 (Wilson, J.)

People v Murphy	2d Dept: 168 AD3d 880 (Kings)	denied 5/3/19 (Stein, J.)
People v Myers	2d Dept: 170 AD3d 891 (Queens)	denied 5/30/19 (Feinman, J.)
People v Nabi	2d Dept: 165 AD3d 1292 (Queens)	denied 5/10/19 (DiFiore, Ch. J.)
People v Najera	2d Dept: 170 AD3d 753 (Rockland)	denied 5/28/19 (DiFiore, Ch. J.)
People v Newborn (Keith)	App Div, 2d Dept: 2017 NY Slip Op 72219(U) (Suffolk)	dismissed 5/29/19 (Garcia, J.)
People v Newborn (Keith)	App Div, 2d Dept: 2017 NY Slip Op 82408(U) (Suffolk)	dismissed 5/29/19 (Garcia, J.)
People v Neysmith	1st Dept: 168 AD3d 626 (NY)	denied 5/9/19 (Stein, J.)
People v Nichols	1st Dept: 170 AD3d 529 (NY)	denied 5/14/19 (DiFiore, Ch. J.)
People v Nunez (Jose)	1st Dept: 167 AD3d 521 (NY)	denied 5/23/19 (Rivera, J.)
People v Nunez (Miguel)	1st Dept: 170 AD3d 581 (Bronx)	denied 5/14/19 (Fahey, J.)
People v Nunez-Gibbs	1st Dept: 170 AD3d 581 (Bronx)	denied 5/14/19 (Fahey, J.)
People v Orta	2d Dept: 169 AD3d 932 (Richmond)	denied 5/3/19 (Stein, J.)
People v Ortega	App Term, 2d Dept, 2d, 11th & 13th Jud Dists: 62 Misc 3d 147(A) (Queens)	denied 5/14/19 (Fahey, J.)
People v Ortiz	2d Dept: 170 AD3d 755 (Suffolk)	denied 5/9/19 (Stein, J.)
People v Pacini	App Term, 1st Dept: 63 Misc 3d 126(A) (NY)	denied 5/3/19 (Wilson, J.)
People v Parsley	2d Dept: 168 AD3d 987 (Westchester)	denied 5/7/19 (Wilson, J.)
People v Pascall	2d Dept: 164 AD3d 1265 (Kings)	denied* 5/15/19 (Rivera, J.)
People v Patel (Amit)	2d Dept: 169 AD3d 934 (Queens)	denied 5/1/19 (Stein, J.)
People v Patel (Amit)	2d Dept: 169 AD3d 935 (Queens)	denied 5/1/19 (Stein, J.)
People v Pearson	App Div, 4th Dept, 2/18/19 (Oneida)	dismissed 5/3/19 (Stein, J.)
People v Pena	App Term, 1st Dept: 61 Misc 3d 134(A) (Bronx)	granted 5/14/19 (Garcia, J.)
People v Pietoso	3d Dept: 168 AD3d 1276 (Tompkins)	denied 5/30/19 (Garcia, J.)
People v Pinkney	1st Dept: 170 AD3d 584 (Bronx)	denied 5/17/19 (Wilson, J.)
People v Porter	3d Dept: 168 AD3d 1283 (Broome)	denied 5/24/19 (Feinman, J.)

* Denied, with leave to renew within 30 days after the Court of Appeals renders a decision in *People v Velez* (164 AD3d 622 [2d Dept 2018], *lv granted* 32 NY3d 1129 [2018]).

People v Ramos-Mondroy	1st Dept: 169 AD3d 494 (NY)	denied 5/3/19 (Wilson, J.)
People v Ransom	2d Dept: 170 AD3d 1199 (Nassau)	denied 5/23/19 (Fahey, J.)
People v Reyes	2d Dept: 169 AD3d 721 (Suffolk)	denied 5/29/19 (DiFiore, Ch. J.)
People v Rivera	2d Dept: 171 AD3d 802 (Kings)	denied 5/30/19 (Feinman, J.)
People v Rodgers	1st Dept: 170 AD3d 460 (NY)	denied 5/3/19 (Stein, J.)
People v Rodriguez (Gloria)	1st Dept: 170 AD3d 553 (NY)	denied 5/7/19 (Fahey, J.)
People v Rodriguez (Nelson)	App Div, 2d Dept: 2019 NY Slip Op 64519(U) (Kings)	dismissed 5/14/19 (Feinman, J.)
People v Romero	App Div, 2d Dept: 2019 NY Slip Op 63898(U) (Suffolk)	dismissed 5/13/19 (Rivera, J.)
People v Sanders	2d Dept: 171 AD3d 802 (Queens)	denied 5/30/19 (Garcia, J.)
People v Santiago	2d Dept: 168 AD3d 989 (Kings)	denied 5/6/19 (Stein, J.)
People v Sell	App Div, 4th Dept, 3/6/19 (Erie)	dismissed 5/13/19 (Rivera, J.)
People v Serrano	2d Dept: 166 AD3d 1020 (Kings)	denied 5/2/19 (Rivera, J.)
People v Shapiro	1st Dept: 170 AD3d 515 (NY)	denied 5/29/19 (Garcia, J.)
People v Shevach	App Term, 2d Dept, 2d, 11th & 13th Jud Dists: 64 Misc 3d 130(A) (Kings)	denied 5/2/19 (Feinman, J.)
People v Simpkins	2d Dept: 170 AD3d 757 (Nassau)	denied 5/23/19 (Rivera, J.)
People v Simpson	App Div, 3d Dept: 2019 NY Slip Op 62652(U) (Ulster)	denied 5/3/19 (Stein, J.)
People v Sinclair	4th Dept: 170 AD3d 1527 (Niagara)	denied 5/31/19 (DiFiore, Ch. J.)
People v Singletary	1st Dept: 170 AD3d 489 (NY)	denied 5/7/19 (Fahey, J.)
People v Singleton-Pradia	4th Dept: 170 AD3d 1518 (Monroe)	denied 5/24/19 (Feinman, J.) (Appeal No. 2)
People v Slater	App Div, 3d Dept: 2019 NY Slip Op 62658(U) (Sullivan)	dismissed 5/10/19 (DiFiore, Ch. J.)
People v Small	App Div, 2d Dept: 2019 NY Slip Op 64520(U) (Westchester)	dismissed 5/24/19 (Feinman, J.)
People v Smith (Joe)	4th Dept: 170 AD3d 1564 (Erie)	denied 5/2/19 (Feinman, J.)
People v Smith (Marvin)	1st Dept: 171 AD3d 498 (NY)	denied 5/31/19 (Stein, J.)
People v Snow	3d Dept: 170 AD3d 1276 (Chemung)	denied 5/23/19 (Rivera, J.)
People v Stahl	4th Dept: 167 AD3d 1555 (Ontario)	denied 5/9/19 (Stein, J.)

People v Syphrett	1st Dept: 170 AD3d 431 (NY)	denied 5/21/19 (Fahey, J.)
People v Thomas (Derrick)	3d Dept: 169 AD3d 1255 (Albany)	denied 5/31/19 (DiFiore, Ch. J.)
People v Thomas (Warren)	App Div, 1st Dept: 2018 NY Slip Op 67902(U) (Bronx)	dismissed 5/21/19 (Fahey, J.)
People v Thompson	1st Dept: 170 AD3d 545 (NY)	denied 5/22/19 (DiFiore, Ch. J.)
People v Truitt	4th Dept: 170 AD3d 1591 (Onondaga)	denied 5/31/19 (Stein, J.)
People v Valdez	1st Dept: 170 AD3d 600 (NY)	denied 5/21/19 (Fahey, J.)
People v Veloz	App Term, 1st Dept: 63 Misc 3d 138(A) (Bronx)	denied 5/16/19 (Rivera, J.)
People v Vickers	3d Dept: 168 AD3d 1268 (Albany)	denied 5/7/19 (Fahey, J.)
People v Villa-Ruiz	App Term, 1st Dept: 63 Misc 3d 126(A) (NY)	denied 5/13/19 (Rivera, J.)
People v Wade	2d Dept: 166 AD3d 912 (Queens)	denied 5/9/19 (Rivera, J.)
People v Walker (Curry)	1st Dept: 170 AD3d 599 (NY)	denied 5/29/19 (Garcia, J.)
People v Walker (Kenneth)	2d Dept: 169 AD3d 1070 (Queens)	denied 5/30/19 (Garcia, J.)
People v Walker (Malcolm)	4th Dept: 170 AD3d 1528 (Onondaga)	denied 5/3/19 (Wilson, J.)
People v Walker (Michael)	2d Dept: 169 AD3d 723 (Richmond)	denied 5/15/19 (Stein, J.)
People v Walton	2d Dept: 168 AD3d 1103 (Kings)	denied 5/6/19 (Stein, J.)
People v Washington	4th Dept: 170 AD3d 1608 (Erie)	denied 5/29/19 (DiFiore, Ch. J.)
People v Watson	1st Dept: 170 AD3d 409 (NY)	denied 5/7/19 (Fahey, J.)
People v Whiting	4th Dept: 170 AD3d 1654 (Erie)	denied 5/13/19 (Rivera, J.)
People v Williams (Larry)	2d Dept: 170 AD3d 1046 (Nassau)	denied 5/31/19 (Stein, J.)
People v Williams (Terrell)	2d Dept: 168 AD3d 1108 (Queens)	denied 5/9/19 (Rivera, J.)
People v Wilson (Brian)	4th Dept: 170 AD3d 1532 (Onondaga)	denied 5/9/19 (Rivera, J.)
People v Wilson (Curtis)	4th Dept: 170 AD3d 1527 (Monroe)	denied 5/31/19 (DiFiore, Ch. J.)
People v Woods	3d Dept: 166 AD3d 1298 (Albany)	denied 5/2/19 (Feinman, J.)
People v Wynn	App Div, 1st Dept: 2018 NY Slip Op 86142(U) (NY)	denied 5/1/19 (Stein, J.)
People v Young	4th Dept: 167 AD3d 1448 (Monroe)	denied 5/10/19 (DiFiore, Ch. J.)

People v Yu	1st Dept: 167 AD3d 521 (NY)	denied 5/22/19 (Rivera, J.)

CLAUDINE BEAUCHEMIN et al., Appellants, v AUTOBUS FLEUR DE LYS, INC., et al., Respondents, et al., Defendants.

Submitted February 19, 2019; decided June 6, 2019

Reported below, 166 AD3d 1122.

Motion for leave to appeal dismissed upon the ground that the order sought to be appealed from does not finally determine the action within the meaning of the Constitution.

BILL BIRDS, INC., et al., Appellants, v STEIN LAW FIRM, P.C., et al., Respondents.

Submitted June 3, 2019; decided June 6, 2019

Reported below, 164 AD3d 635.

Motion by Andrew Lavoott Bluestone, Esq., for leave to file a brief amicus curiae on the appeal herein granted and the proposed brief is accepted as filed. Two copies of the brief must be served, nine copies filed, and the brief submitted in digital format within seven days.

BILL BIRDS, INC., et al., Appellants, v STEIN LAW FIRM, P.C., et al., Respondents.

Submitted June 3, 2019; decided June 6, 2019

Reported below, 164 AD3d 635.

Motion by Jeffrey A. Jannuzzo, Esq., for leave to file a brief amicus curiae on the appeal herein granted and the proposed brief is accepted as filed. The brief must be submitted in digital format within seven days.

BENEDICTA BRITO, Respondent, v RAFAEL GOMEZ et al., Appellants.

Submitted May 28, 2019; decided June 6, 2019

Reported below, 168 AD3d 1.

Motion for a stay denied.

In the Matter of SHEM CARTER, Appellant, v ANTHONY J. ANNUCCI, as Acting Commissioner of Corrections and Community Supervision, Respondent.

Decided June 6, 2019

Reported below, 166 AD3d 1189.

Appeal dismissed without costs, by the Court of Appeals sua sponte, upon the ground that no substantial constitutional question is directly involved.

JACINTHE CLAUDE et al., Appellants, v AUTOBUS FLEUR DE LYS, INC., et al., Respondents, et al., Defendants.

Submitted February 19, 2019; decided June 6, 2019

Reported below, 166 AD3d 1120.

Motion for leave to appeal dismissed upon the ground that the order sought to be appealed from does not finally determine the action within the meaning of the Constitution.

In the Matter of the Appointment of a Guardian for EUGENE DAVID COLELLO, Pursuant to SCPA Article 17-A. MICHELLE A. COLELLO, Respondent, v EUGENE G. COLELLO, Appellant. LISA J. ALLEN, ESQ., et al., Respondents. (Appeal No. 1.)

In the Matter of the Appointment of a Guardian for EUGENE DAVID COLELLO, Pursuant to SCPA Article 17-A. MICHELLE A. COLELLO, Respondent, v EUGENE G. COLELLO, Appellant. LISA J. ALLEN, ESQ., et al., Respondents. (Appeal No. 2.)

In the Matter of the Appointment of a Guardian for EUGENE DAVID COLELLO, Pursuant to SCPA Article 17-A. MICHELLE A. COLELLO, Respondent, v EUGENE G. COLELLO, Appellant. LISA J. ALLEN, ESQ., et al., Respondents. (Appeal No. 3.)

Submitted April 22, 2019; decided June 6, 2019

Reported below, 167 AD3d 1445.

Motion for leave to appeal dismissed upon the ground that the orders sought to be appealed from do not finally determine the proceeding within the meaning of the Constitution.

In the Matter of MICHAEL A. DEEM, Appellant, v JOHN P. COLANGELO, a Justice of the Supreme Court, County of Westchester, et al., Respondents.

Decided June 6, 2019

Reported below, 2019 NY Slip Op 67739(U).

Appeal dismissed without costs, by the Court of Appeals sua sponte, upon the ground that no substantial constitutional question is directly involved.

Chief Judge DIFIORE taking no part.

FREEDOM MORTGAGE CORPORATION, Appellant, v HERSCHEL ENGEL, Respondent, et al., Defendants.

Submitted April 8, 2019; decided June 6, 2019

Reported below, 163 AD3d 631.

Motion, insofar as it seeks leave to appeal as against defendant Herschel Engel, granted; motion for leave to appeal otherwise dismissed upon the ground that as to the remaining defendants the order sought to be appealed from does not finally determine the action within the meaning of the Constitution.

In the Matter of JACQUELINE HAROUNIAN, an Attorney, Appellant. GRIEVANCE COMMITTEE FOR THE TENTH JUDICIAL DISTRICT, Respondent.

Submitted May 3, 2019; decided June 6, 2019

Reported below, 2019 NY Slip Op 63870(U).

Appeal dismissed without costs, by the Court of Appeals sua sponte, upon the ground that the order appealed from does not finally determine the proceeding within the meaning of the Constitution.

HSBC BANK USA, Appellant, v BETTY LUGO, Respondent, et al., Defendants.

Decided June 6, 2019

Reported below, 127 AD3d 502.

Appeal dismissed without costs, by the Court of Appeals sua sponte, upon the ground that the order appealed from does not finally determine the action within the meaning of the Constitution.

In the Matter of JUSTICE L. SUFFOLK COUNTY DEPARTMENT OF SOCIAL SERVICES, Respondent; JESSICA L., Appellant, et al., Respondent. (Proceeding No. 1.)

In the Matter of ALAYSIA L. SUFFOLK COUNTY DEPARTMENT OF SOCIAL SERVICES, Respondent; JESSICA L., Appellant, et al., Respondent. (Proceeding No. 2.)

In the Matter of ZAMAHRI L. SUFFOLK COUNTY DEPARTMENT OF SOCIAL SERVICES, Respondent; JESSICA L., Appellant, et al., Respondent. (Proceeding No. 3.)

In the Matter of SAMIYAH L. SUFFOLK COUNTY DEPARTMENT OF SOCIAL SERVICES, Respondent; JESSICA L., Appellant, et al., Respondent. (Proceeding No. 4.)

In the Matter of TYRIEK L. SUFFOLK COUNTY DEPARTMENT OF SOCIAL SERVICES, Respondent; JESSICA L., Appellant, et al., Respondent. (Proceeding No. 5.)

Submitted March 11, 2019; decided June 6, 2019

Reported below, 168 AD3d 1057.

Motion for leave to appeal dismissed upon the ground that the order sought to be appealed from does not finally determine the proceedings within the meaning of the Constitution.

In the Matter of LACEY J. LORIMER, Appellant, v BRETT J. LORIMER, Respondent.

Submitted February 11, 2019; decided June 6, 2019

Reported below, 167 AD3d 1263.

On the Court's own motion, appeal dismissed, without costs, upon the ground that the two-Justice dissent at the Appellate Division is not on a question of law (*see* CPLR 5601 [a]). Motion for leave to appeal denied.

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v MARCELINO ALLENDE, Respondent.

Submitted May 6, 2019; decided June 6, 2019

Reported below, 168 AD3d 464.

Motion for assignment of counsel granted and Robert S. Dean, Esq., Center for Appellate Litigation, 120 Wall Street, 28th Floor, New York, NY 10005 assigned as counsel to the respondent on the appeal herein.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v RICKEY ALSTON, Appellant.

Submitted May 28, 2019; decided June 6, 2019

Reported below, 169 AD3d 1.

Motion for assignment of counsel granted and Robert S. Dean, Esq., Center for Appellate Litigation, 120 Wall Street, 28th Floor, New York, NY 10005 assigned as counsel to the appellant on the appeal herein.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v MIGUEL CARO, Appellant.

Submitted May 6, 2019; decided June 6, 2019

Reported below, 162 AD3d 546.

Motion for an extension of the time within which to apply for permission to appeal pursuant to CPL 460.20 granted and motion papers treated as a timely CPL 460.20 application.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v EDWARD HARDY, Appellant.

Submitted May 13, 2019; decided June 6, 2019

Reported below, 63 Misc 3d 6.

Motion for assignment of counsel granted and Paul Skip Laisure, Esq., Appellate Advocates, 111 John Street, 9th Floor, New York, NY 10038 assigned as counsel to the appellant on the appeal herein.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v HOWARD POWELL, Appellant.

Submitted May 20, 2019; decided June 6, 2019

Reported below, 166 AD3d 660.

Motion for assignment of counsel granted and Paul Skip Laisure, Esq., Appellate Advocates, 111 John Street, 9th Floor, New York, NY 10038 assigned as counsel to the appellant on the appeal herein.

THE PEOPLE OF THE STATE OF NEW YORK ex rel. ARIEL GARCIA, Appellant, v ANTHONY ANNUCCI, Acting Commissioner, New York State Department of Corrections and Community Supervision, et al., Respondents.

Submitted April 1, 2019; decided June 6, 2019

Reported below, 167 AD3d 199.

Motion for reargument of motion for leave to appeal denied [*see* 32 NY3d 1192 (2019)].

In the Matter of RONALD KENDELL G., III, and Another, Infants. JANET G., Appellant; SAINT DOMINIC'S FAMILY SERVICES, Respondent.

Submitted March 25, 2019; decided June 6, 2019

Reported below, 169 AD3d 558.

Motion for leave to appeal dismissed upon the ground that the order sought to be appealed from does not finally determine the proceeding within the meaning of the Constitution.

In the Matter of SAMANTHA F. and Others, Infants. EDWIN F., Appellant; ADMINISTRATION FOR CHILDREN'S SERVICES, Respondent.

Submitted March 18, 2019; decided June 6, 2019

Reported below, 169 AD3d 549.

Motion for leave to appeal dismissed upon the ground that the order sought to be appealed from does not finally determine the proceeding within the meaning of the Constitution.

Judge FEINMAN taking no part.

In the Matter of CAMMIE L. SIMMES, Respondent, v WILLIAM HOTALING, Appellant. (Proceeding No. 1.)

In the Matter of WILLIAM HOTALING, Appellant, v CAMMIE L. SIMMES, Respondent. (Proceeding No. 2.) (And Another Related Proceeding.)

Submitted April 22, 2019; decided June 6, 2019

Reported below, 166 AD3d 1329.

Motion, insofar as it seeks leave to appeal from that portion of the Appellate Division order as affirmed Family Court's dismissal of appellant's petitions to enforce a prior Family Court order, dismissed upon the ground that such portion of the order does not finally determine the proceedings within the meaning of the Constitution; motion for leave to appeal otherwise denied.

In the Matter of JONATHAN R. STEINBERG, an Attorney, Appellant. ATTORNEY GRIEVANCE COMMITTEE FOR THE FIRST JUDICIAL DEPARTMENT, Respondent.

Decided June 6, 2019

Reported below, 167 AD3d 206.

Appeal dismissed without costs, by the Court of Appeals sua sponte, upon the ground that no substantial constitutional question is directly involved.

Judge FEINMAN taking no part.

CAMERON WINKLEVOSS et al., Appellants, v TODD STEINBERG, an Individual, Respondent.

Decided June 6, 2019

Reported below, 170 AD3d 618.

Appeal dismissed without costs, by the Court of Appeals sua sponte, upon the ground that the order appealed from does not finally determine the action within the meaning of the Constitution.

XIANG FU HE, Appellant, v TROON MANAGEMENT, INC., et al., Respondents.

Submitted May 28, 2019; decided June 6, 2019

Reported below, 157 AD3d 586.

Motion by New York State Trial Lawyers Association for leave to file a brief amicus curiae on the appeal herein granted and the proposed brief is accepted as filed. Two copies of the brief must be served, one copy filed, and the brief submitted in digital format within seven days.

ANNA AYBAR et al., Respondents, v JOSE A. AYBAR, JR., et al., Defendants, and FORD MOTOR COMPANY et al., Respondents. U.S. TIRES AND WHEELS OF QUEENS, LLC, Nonparty Appellant.

Submitted March 11, 2019; decided June 11, 2019

Reported below, 169 AD3d 137.

Motion for leave to appeal dismissed upon the ground that movant is not a party aggrieved (*see* CPLR 5511).

MICHAEL CHENKIN, Appellant, v PUBLIC ADMINISTRATOR OF NEW YORK COUNTY, Respondent.

Submitted April 15, 2019; decided June 11, 2019

Reported below, 163 AD3d 410.

Motion for reargument of motion for leave to appeal denied [*see* 32 NY3d 1191 (2019)].

ESTATE OF ALEXANDER CALDERWOOD, Appellant, v ACE GROUP INTERNATIONAL LLC et al., Respondents.

Submitted April 8, 2019; decided June 11, 2019

Reported below, 169 AD3d 552.

Motion for leave to appeal dismissed upon the ground that the order sought to be appealed from does not finally determine the action within the meaning of the Constitution.

ROSEMARIE A. HERMAN et al.,Appellants, v 36 GRAMERCY PARK REALTY ASSOCIATES, LLC, et al., Respondents, et al., Defendants. 36 GRAMERCY PARK REALTY ASSOCIATES, LLC, et al., Respondents, v ROSEMARIE A. HERMAN, Appellant.

Submitted April 1, 2019; decided June 11, 2019

Reported below, 165 AD3d 405.

Motion for leave to appeal dismissed upon the ground that the Appellate Division order sought to be appealed from does not finally determine the actions within the meaning of the Constitution and the judgments entered pursuant to the parties' conditional stipulation do not finally determine the actions for purposes of this Court's jurisdiction.

EDLON HOUSEN, Appellant, v BOSTON MARKET CORPORATION et al., Respondents, et al., Defendants.

Submitted April 15, 2019; decided June 11, 2019

Reported below, 166 AD3d 593.

Motion for leave to appeal dismissed upon the ground that the order sought to be appealed from does not finally determine the action within the meaning of the Constitution.

RAUL ILLESCAS, Appellant, v ADAM WILKINS, Respondent.

Submitted March 18, 2019; decided June 11, 2019

Reported below, 2019 NY Slip Op 61471(U).

Motion for leave to appeal dismissed upon the ground that the order sought to be appealed from does not finally determine the action within the meaning of the Constitution. Motion for poor person relief dismissed as academic.

JERRY L. JOHNSON, Appellant, v STATE OF NEW YORK, Respondent.

Submitted April 15, 2019; decided June 11, 2019

Reported below, 2017 NY Slip Op 76547(U).

Motion for reargument of motion for leave to appeal denied [*see* 32 NY3d 1191 (2019)].

JPMorgan Chase Bank, National Association, Respondent, v Ross R. Caliguri, Also Known as Ross Caliguri, Appellant, et al., Defendants.

Submitted April 22, 2019; decided June 11, 2019

Reported below, 168 AD3d 819.

Motion, deemed to be seeking leave to appeal (*see* CPLR 5512) from the February 2019 Supreme Court judgment of foreclosure and sale pursuant to CPLR 5602 (a) (1) (ii) to review the January 2019 Appellate Division order, insofar as it seeks review of so much of the Appellate Division order as affirmed the denial of the motion for reassignment, dismissed upon the ground that such portion of the order of the Appellate Division does not "necessarily affect" the judgment sought to be appealed from within the meaning of CPLR 5602 (a) (1) (ii); motion for leave to appeal otherwise granted.

JPMorgan Chase Bank, National Association, Respondent, v Ross R. Caliguri, Also Known as Ross Caliguri, Appellant, et al., Defendants.

Submitted May 13, 2019; decided June 11, 2019

Reported below, 168 AD3d 819.

Motion for a stay granted.

NWM Capital, LLC, Respondent, v Mark Scharfman et al., Defendants, and Fort I Group, L.P., et al., Appellants.

Submitted March 18, 2019; decided June 11, 2019

Reported below, 168 AD3d 624.

Motion, insofar as defendants Fort I Group, L.P., et al. seek leave to appeal from so much of the Appellate Division order as affirmed the January 25, 2018 Supreme Court order denying their motion for attorneys' fees, dismissed upon the ground that such portion of the Appellate Division order does not finally determine the action within the meaning of the Constitution; motion for leave to appeal otherwise dismissed upon the ground that defendants Fort I Group, L.P., et al. are not parties aggrieved by the remainder of the Appellate Division order (*see* CPLR 5511).

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v HOWARD GRIFFITH, Appellant.

Submitted April 8, 2019; decided June 11, 2019

Reported below, 166 AD3d 1518.

Motion for reconsideration of this Court's February 21, 2019 dismissal order denied [*see* 32 NY3d 1196 (2019)].

In the Matter of JAMES PETTUS, Appellant, et al., Petitioner, v BOARD OF DIRECTORS et al., Respondents.

Submitted April 1, 2019; decided June 11, 2019

Reported below, 169 AD3d 524.

On the Court's own motion, appeal dismissed, without costs, upon the ground that no substantial constitutional question is directly involved. Motion for poor person relief dismissed as academic.

REMET CORPORATION, Appellant, v ESTATE OF JAMES R. PYNE, Deceased, et al., Respondents, et al., Defendant. (Appeal No. 1.)

REMET CORPORATION, Appellant, v ESTATE OF JAMES R. PYNE, Deceased, et al., Respondents, et al., Defendant. (Appeal No. 2.)

Submitted April 15, 2019; decided June 11, 2019

Reported below, 169 AD3d 1431; 169 AD3d 1432.

Motion for leave to appeal dismissed upon the ground that the orders sought to be appealed from do not finally determine the action within the meaning of the Constitution.

RISK CONTROL ASSOCIATES INSURANCE GROUP, Appellant, v MALOOF, LEBOWITZ, CONNAHAN & OLESKE, P.C., et al., Respondents.

Submitted April 8, 2019; decided June 11, 2019

Reported below, 151 AD3d 527.

Motion for reargument of motion for leave to appeal denied [*see* 32 NY3d 1196 (2019)].

Judge FEINMAN taking no part.

CHRISTOPHER J. SCULTI et al., Respondents, v BEN FINLEY et al., Defendants, and WESTCHESTER COUNTY et al., Appellants.

Submitted April 1, 2019; decided June 11, 2019

Reported below, 167 AD3d 796.

Motion for leave to appeal dismissed upon the ground that the order sought to be appealed from does not finally determine the action within the meaning of the Constitution.

Chief Judge DIFIORE taking no part.

PHILIP R. SHAWE, Appellant, v ELIZABETH ELTING, Respondent.

Submitted April 8, 2019; decided June 11, 2019

Reported below, 169 AD3d 601.

On the Court's own motion, appeal dismissed, without costs, upon the ground that no substantial constitutional question is directly involved. Motion for leave to appeal denied.

In the Matter of EQUARN WHITE, Appellant, v ANTHONY J. ANNUCCI, as Acting Commissioner of Corrections and Community Supervision, Respondent.

Submitted April 8, 2019; decided June 11, 2019

Reported below, 2019 NY Slip Op 63295(U).

Motion for leave to appeal dismissed upon the ground that the order sought to be appealed from does not finally determine the proceeding within the meaning of the Constitution.

ASPEN SPECIALTY INSURANCE COMPANY, Respondent, v IRONSHORE INDEMNITY INCORPORATED, Appellant, et al., Defendant.

Submitted April 15, 2019; decided June 13, 2019

Reported below, 167 AD3d 420.

Motion for leave to appeal dismissed upon the ground that the order sought to be appealed from does not finally determine the action within the meaning of the Constitution.

In the Matter of KIMBERLY AUSTIN et al., Appellants, v MARIA MILIN, Respondent, and PS 157 LOFTS LLC et al., Respondents.

Submitted April 15, 2019; decided June 13, 2019

Reported below, 161 AD3d 675.

Motion for reargument of motion for leave to appeal denied [*see* 32 NY3d 916 (2019)].

MARILYN BLOCH, Appellant, v CITY OF NEW YORK et al., Respondents.

Submitted April 22, 2019; decided June 13, 2019

Reported below, 2019 NY Slip Op 62341(U).

On the Court's own motion, appeal dismissed, without costs, upon the ground that the order appealed from does not finally determine the action within the meaning of the Constitution. Motion for leave to appeal dismissed upon the ground that the order sought to be appealed from does not finally determine the action within the meaning of the Constitution. Motion for poor person relief dismissed as academic.

JOHN D. CADORE, Appellant, v STATE OF NEW YORK, Respondent.

Submitted May 6, 2019; decided June 13, 2019

Reported below, 170 AD3d 1531.

Motion for leave to appeal dismissed upon the ground that the order sought to be appealed from does not finally determine the action within the meaning of the Constitution.

41st Road Properties, LLC, Respondent, v Wang Real Property, LLC, et al., Appellants, et al., Defendants.

Submitted April 22, 2019; decided June 13, 2019

Reported below, 2018 NY Slip Op 91496(U).

Motion for leave to appeal dismissed upon the ground that the order sought to be appealed from does not finally determine the action within the meaning of the Constitution.

In the Matter of Kyle Jiggetts, Appellant, v New York City Human Resources Administration et al., Respondents.

Submitted April 29, 2019; decided June 13, 2019

Reported below, 156 AD3d 552.

Motion for leave to appeal dismissed upon the ground that this Court does not have jurisdiction to entertain it (*see* CPLR 5602). Motion for poor person relief etc. dismissed as academic.

Nella Manko, Appellant, v Bernard H. Broome et al., Respondents.

Submitted May 20, 2019; decided June 13, 2019

Reported below, 2013 NY Slip Op 62551(U); 2011 NY Slip Op 66529(U).

Motion for reargument of motions for leave to appeal dismissed as untimely (*see* Rules of Ct of Appeals [22 NYCRR] § 500.24 [b]) [*see* 21 NY3d 930 (2013); 21 NY3d 907 (2013)]. Motion for leave to appeal dismissed upon the ground that the orders sought to be appealed from do not finally determine the action within the meaning of the Constitution. Motion for poor person relief dismissed as academic.

Nella Manko, Appellant, v Bernard H. Broome et al., Defendants, and Professional Evaluation Group, Inc., Respondent.

Submitted May 20, 2019; decided June 13, 2019

Reported below, 2012 NY Slip Op 94762(U).

Motion for reargument of motion for leave to appeal dismissed as untimely (*see* Rules of Ct of Appeals [22 NYCRR] § 500.24 [b]) [*see* 21 NY3d 907 (2013)]. Motion for leave to appeal dismissed upon the ground that the order sought to be appealed from does not finally determine the action within the meaning of the Constitution. Motion for poor person relief dismissed as academic. Cross motion to hold plaintiff in contempt denied.

NELLA MANKO, Appellant, v LENOX HILL ANESTHESIOLOGY, PLLC, et al., Respondents.

Submitted April 22, 2019; decided June 13, 2019

Reported below, 2011 NY Slip Op 63512(U).

Motion for reargument of motion for leave to appeal dismissed as untimely (*see* Rules of Ct of Appeals [22 NYCRR] § 500.24 [b]) [*see* 31 NY3d 903 (2018)]. Motion for poor person relief dismissed as academic.

NELLA MANKO, Appellant, v LENOX HILL HOSPITAL, Respondent.

Submitted May 13, 2019; decided June 13, 2019

Reported below, 2018 NY Slip Op 86813(U).

Motion for reconsideration of this Court's March 21, 2019 dismissal order denied [*see* 32 NY3d 1212 (2019)]. Motion for poor person relief dismissed as academic.

NELLA MANKO, Appellant, v LENOX HILL HOSPITAL, Respondent.

Submitted May 28, 2019; decided June 13, 2019

Reported below, 2018 NY Slip Op 86813(U).

Motion for leave to appeal dismissed upon the ground that the order sought to be appealed from does not finally determine the action within the meaning of the Constitution. Motion for poor person relief dismissed as academic.

NELLA MANKO, Appellant, v SHOREFRONT APARTMENTS, LLC, et al., Respondents.

Submitted May 13, 2019; decided June 13, 2019

Reported below, 2012 NY Slip Op 89175(U).

Motion for reargument of motion for leave to appeal dismissed as untimely (*see* Rules of Ct of Appeals [22 NYCRR] § 500.24 [b]) [*see* 21 NY3d 898 (2013)]. Motion for leave to appeal denied. Motion for poor person relief dismissed as academic.

NELLA MANKO, Appellant, v ELTON STRAUSS et al., Respondents, et al., Defendants.

Submitted May 13, 2019; decided June 13, 2019

Reported below, 2013 NY Slip Op 87424(U); 2012 NY Slip Op 89175(U).

Motion for reargument of motions for leave to appeal dismissed as untimely (*see* Rules of Ct of Appeals [22 NYCRR] § 500.24 [b]) [*see* 22 NY3d 1112 (2014); 21 NY3d 898 (2013)]. Motion for poor person relief dismissed as academic.

TEDDY MOORE, Appellant, v FRANK GUERRA, Defendant, and CITY OF NEW YORK et al., Respondents.

Submitted April 22, 2019; decided June 13, 2019

Reported below, 2019 NY Slip Op 61208(U).

Motion for reargument of motion for leave to appeal denied [*see* 33 NY3d 970 (2019)].

In the Matter of the Claim of JONATHAN MULLANE, Appellant. COMMISSIONER OF LABOR, Respondent.

Submitted April 22, 2019; decided June 13, 2019

Reported below, 164 AD3d 984.

Motion for reargument of motion for leave to appeal denied [*see* 32 NY3d 918 (2019)].

SCOTT MYERS, Appellant, v STATE FARM INSURANCE, Respondent.

Submitted April 29, 2019; decided June 13, 2019

Reported below, 2019 NY Slip Op 65327(U).

On the Court's own motion, appeal dismissed, without costs, upon the ground that the order appealed from does not finally determine the action within the meaning of the Constitution. Motion for leave to appeal dismissed upon the ground that the order sought to be appealed from does not finally determine the action within the meaning of the Constitution.

In the Matter of NATIONAL FUEL GAS DISTRIBUTION CORPORATION, Appellant, v PUBLIC SERVICE COMMISSION OF THE STATE OF N.Y., Respondent.

Submitted April 8, 2019; decided June 13, 2019

Reported below, 169 AD3d 1334.

On the Court's own motion, appeal dismissed, without costs, upon the ground that no substantial constitutional question is directly involved. Motion for leave to appeal denied.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v SERGIO DEL ROSARIO, Appellant.

Submitted April 29, 2019; decided June 13, 2019

Reported below, 170 AD3d 759.

Motion for leave to appeal granted. Motion for poor person relief granted.

Chief Judge DIFIORE taking no part.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v DWAYNE WEBB, Also Known as LATIF LAMAR, Appellant.

Submitted May 6, 2019; decided June 13, 2019

Reported below, 162 AD3d 918.

Motion for reargument of motion for leave to appeal denied [*see* 32 NY3d 904 (2018)].

RHONDA ROSENHECK, Respondent, v JONATHAN PETER SCHACHTER, Appellant.

Submitted May 6, 2019; decided June 13, 2019

Reported below, 166 AD3d 1354.

Motion for reargument of motion for leave to appeal denied [*see* 32 NY3d 919 (2019)].

In the Matter of SAVE AMERICA'S CLOCKS, INC., et al., Respondents, v CITY OF NEW YORK et al., Appellants.

Submitted May 13, 2019; decided June 13, 2019

Reported below, 157 AD3d 133.

Motion for reargument denied with $100 costs and necessary reproduction disbursements [*see* 33 NY3d 198 (2019)].

Chief Judge DIFIORE taking no part.

SOLARTECH RENEWABLES, LLC, Respondent, v TECHCITY PROPERTIES, INC., et al., Appellants.

Submitted April 29, 2019; decided June 13, 2019

Reported below, 167 AD3d 1316.

Motion for leave to appeal dismissed upon the ground that the order sought to be appealed from does not finally determine the action within the meaning of the Constitution.

In the Matter of MYRNA VAZQUEZ, as Administratrix of the Estate of LUIS VAZQUEZ, Deceased, Appellant, v HOWARD A. ZUCKER, M.D., et al., Respondents.

Submitted April 15, 2019; decided June 13, 2019

Reported below, 169 AD3d 576.

Motion for leave to appeal dismissed upon the ground that the order sought to be appealed from does not finally determine the proceeding within the meaning of the Constitution.

In the Matter of J'MIN WARD, Appellant, v CRAIG BROWN, Respondent.

Submitted April 22, 2019; decided June 13, 2019

Reported below, 164 AD3d 679 (case No. 2017-12721).

Motion for reargument of motion for leave to appeal denied [*see* 32 NY3d 916 (2019)].

In the Matter of ADAM D. SCO FAMILY OF SERVICES et al., Respondents; VICTORIA C., Appellant. (Proceeding No. 1.)

In the Matter of ANN N.C. SCO FAMILY OF SERVICES et al., Respondents; VICTORIA C., Appellant. (Proceeding No. 2.)

In the Matter of KA'SHAWN D. SCO FAMILY OF SERVICES et al., Respondents; VICTORIA C., Appellant. (Proceeding No. 3.)

Submitted May 6, 2019; decided June 25, 2019

Reported below, 170 AD3d 1006.

Motion for leave to appeal denied. Motion for poor person relief dismissed as academic. Motion for a stay dismissed as academic.

In the Matter of AKILAH A. ADMINISTRATION FOR CHILDREN'S SERVICES, Respondent; BISHME A., Appellant.

Submitted May 13, 2019; decided June 25, 2019

Reported below, 167 AD3d 999.

Motion for leave to appeal dismissed upon the ground that the order sought to be appealed from does not finally determine the proceeding within the meaning of the Constitution. Motion for a stay dismissed as academic.

THE CHURCH OF JESUS CHRIST OF LATTER-DAY SAINTS, SERVANT: XIU JUAN SUN, THE SPIRITUAL ADAM, Appellant, v WU HUA JING, M.D., Ph.D., et al., Respondents.

Decided June 25, 2019

Reported below, 2019 NY Slip Op 67451(U).

Appeal dismissed without costs, by the Court of Appeals sua sponte, upon the ground that no appeal lies as of right from the unanimous order of the Appellate Division absent the direct involvement of a substantial constitutional question.

In the Matter of the Estate of ANDREW F. HARTUNG, Deceased.

ALICIA S. CALAGIOVANNI, Onondaga County Public Administrator, C.T.A., Respondent, v JOSEPH H. HARTUNG, Objectant-Appellant.

Decided June 25, 2019

Reported below, 170 AD3d 1635.

Appeal dismissed without costs, by the Court of Appeals sua sponte, upon the ground that no substantial constitutional question is directly involved.

ROBERT JONES, Appellant, v STATE OF NEW YORK, Respondent.

Decided June 25, 2019

Reported below, 171 AD3d 1362.

Appeal dismissed without costs, by the Court of Appeals sua sponte, upon the ground that no substantial constitutional question is directly involved.

KEYSPAN GAS EAST CORPORATION, Doing Business as NATIONAL GRID, Plaintiff, v SUPERVISOR OF TOWN OF NORTH HEMPSTEAD et al., Defendants and Third-Party Plaintiffs-Respondents. COUNTY OF NASSAU et al., Third-Party Defendants-Appellants.

Decided June 25, 2019

Reported below, 169 AD3d 659.

Appeal dismissed without costs, by the Court of Appeals sua sponte, upon the ground that no substantial constitutional question is directly involved.

KEYSPAN GAS EAST CORPORATION, Doing Business as KEYSPAN ENERGY DELIVERY LONG ISLAND, Plaintiff, v SUPERVISOR OF TOWN OF NORTH HEMPSTEAD et al., Defendants and Third-Party Plaintiffs-Respondents. COUNTY OF NASSAU et al., Third-Party Defendants-Appellants.

Decided June 25, 2019

Reported below, 169 AD3d 661.

Appeal dismissed without costs, by the Court sua sponte, upon the ground that no substantial constitutional question is directly involved.

GILBERT LAU, Appellant, v HUMAN RESOURCES ADMINISTRATION, CARE OF WAVERLY CENTER, et al., Respondents.

Decided June 25, 2019

Reported below, 168 AD3d 565.

Appeal dismissed without costs, by the Court of Appeals sua sponte, upon the ground that the order appealed from does not finally determine the action within the meaning of the Constitution.

In the Matter of MIA B., an Infant. JEFFREY WEINHOFER, Respondent; AMY BAFUMO, Appellant.

Submitted May 29, 2019; decided June 25, 2019

Reported below, 171 AD3d 1328.

Appeal dismissed without costs, by the Court of Appeals sua sponte, upon the ground that the two-Justice dissent at the Appellate Division is not on a question of law (*see* CPLR 5601 [a]).

In the Matter of MID ISLAND THERAPY ASSOCIATES, LLC, Doing Business as ALL ABOUT KIDS, Appellant, v THOMAS P. DINAPOLI, as State Comptroller, et al., Respondents.

Decided June 25, 2019

Reported below, 170 AD3d 1468.

Appeal dismissed without costs, by the Court of Appeals sua sponte, upon the ground that no substantial constitutional question is directly involved.

In the Matter of MSK REALTY INTERESTS, LLC, Appellant, v DEPARTMENT OF FINANCE OF THE CITY OF NEW YORK, Respondent.

Decided June 25, 2019

Reported below, 170 AD3d 459.

Appeal dismissed without costs, by the Court of Appeals sua sponte, upon the ground that no substantial constitutional question is directly involved.

In the Matter of the Claim of SANDRA L. O'DONNELL, Respondent, v ERIE COUNTY et al., Appellants. WORKERS' COMPENSATION BOARD, Respondent.

Submitted April 22, 2019; decided June 25, 2019

Reported below, 162 AD3d 1278.

Motion, insofar as it seeks to dismiss the appeal, denied; motion, insofar as it seeks an order "confirming its authority to correct its decision" and related relief, dismissed upon the ground that the Court does not have jurisdiction to entertain it (*see* NY Const, art VI, § 3).

In the Matter of ONONDAGA COUNTY DEPARTMENT OF SOCIAL SERVICES, on Behalf of DECEMBER R.M., Respondent, v MARCUS N.D., Appellant.

Submitted April 29, 2019; decided June 25, 2019

Reported below, 170 AD3d 1561.

Motion for leave to appeal dismissed upon the ground that the order sought to be appealed from does not finally determine the proceeding within the meaning of the Constitution. Motion for poor person relief dismissed as academic.

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v RASHID BILAL, Respondent.

Submitted June 10, 2019; decided June 25, 2019

Reported below, 170 AD3d 83.

Motion for assignment of counsel granted and Robert S. Dean, Esq., Center for Appellate Litigation, 120 Wall Street, 28th Floor, New York, NY 10005 assigned as counsel to the respondent on the appeal herein.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v MICHAEL LAVELLE, Appellant.

Submitted March 18, 2019; decided June 25, 2019

Reported below, 169 AD3d 1127.

Motion for leave to appeal dismissed upon the ground that the order of the Appellate Division sought to be appealed from has been vacated and superseded by a subsequent order of that court.

THE PEOPLE OF THE STATE OF NEW YORK ex rel. ECHO WESTLEY DIXON, Appellant, v R. COVENY, Respondent.

Decided June 25, 2019

Appeal dismissed without costs, by the Court of Appeals sua sponte, upon the ground that no substantial constitutional question is directly involved.

JAMES PETTUS, Appellant, v BOARD OF DIRECTORS et al., Respondents.

Decided June 25, 2019

Reported below, 2019 NY Slip Op 68636(U)

Appeal dismissed without costs, by the Court of Appeals sua sponte, upon the ground that it does not lie (*see* NY Const, art VI, § 3 [b]; CPLR 5601).

JAMES PETTUS, Appellant, v IMPERIAL PARKING SYSTEMS, INC., Respondent.

Decided June 25, 2019

Reported below, 2019 NY Slip Op 68635(U).

Appeal dismissed without costs, by the Court of Appeals sua sponte, upon the ground that it does not lie (*see* NY Const, art VI, § 3 [b]; CPLR 5601).

In the Matter of BARRY SCHWEIG et al., Appellants, v CITY OF NEW ROCHELLE et al., Respondents.

Decided June 25, 2019

Reported below, 170 AD3d 863.

Appeal dismissed without costs, by the Court of Appeals sua sponte, upon the ground that no substantial constitutional question is directly involved.

VERIZON NEW YORK, INC., Formerly Known as NEW YORK TELEPHONE COMPANY, Plaintiff, v SUPERVISORS OF TOWN OF NORTH HEMPSTEAD et al., Defendants and Third-Party Plaintiffs-Respondents. COUNTY OF NASSAU et al., Third-Party Defendants-Appellants.

Submitted May 10, 2019; decided June 25, 2019

Reported below, 169 AD3d 740.

Appeal dismissed without costs, by the Court of Appeals sua sponte, upon the ground that no substantial constitutional question is directly involved.

BANK OF NY, Respondent, v HEATHER Y. HARPER, Appellant.

Submitted May 13, 2019; decided June 27, 2019

Reported below, 2018 NY Slip Op 89938(U).

Motion for leave to appeal dismissed upon the ground that the order sought to be appealed from does not finally determine the action within the meaning of the Constitution.

In the Matter of ANTHONY E. BERG, Appellant, v MARY E. BERG, Respondent.

Submitted May 20, 2019; decided June 27, 2019

Reported below, 2015 NY Slip Op 76477(U).

Motion for reargument of motion for leave to appeal denied [*see* 32 NY3d 918 (2019)].

In the Matter of DENNIS BRENNAN, Appellant, v MICHAEL C. GREEN, as Executive Deputy Commissioner of Division of Criminal Justice Services, et al., Respondents.

Submitted April 29, 2019; decided June 27, 2019

Reported below, 167 AD3d 1482.

Motion for leave to appeal denied. Motion for a stay dismissed as academic.

CITY OF NEW YORK, Respondent, v SHELLBANK RESTAURANT CORPORATION, Appellant.

Submitted May 13, 2019; decided June 27, 2019

Reported below, 169 AD3d 581.

Motion for leave to appeal dismissed upon the ground that the order sought to be appealed from does not finally determine the action within the meaning of the Constitution.

In the Matter of Will of SYDNEY H. FIELDS, Deceased.

RICHARD FIELDS, Appellant, v DIANA PALMERI, Respondent.

Submitted May 13, 2019; decided June 27, 2019

Reported below, 2018 NY Slip Op 91716(U).

Motion for reargument denied [*see* 33 NY3d 968 (2019)].

In the Matter of TREVIS L. FUNCHES, Appellant, v STATE OF NEW YORK DEPARTMENT OF CORRECTIONS AND COMMUNITY SUPERVISION, Respondent.

Submitted May 13, 2019; decided June 27, 2019

Reported below, 163 AD3d 1390.

Motion for reargument of motion for leave to appeal denied [*see* 32 NY3d 1140 (2019)].

KEVIN PHILLIP, Appellant, v STATE OF NEW YORK, Respondent.

Submitted May 13, 2019; decided June 27, 2019

Reported below, 2019 NY Slip Op 66409(U).

Motion for leave to appeal dismissed upon the ground that the order sought to be appealed from does not finally determine the action within the meaning of the Constitution. Motion for poor person relief dismissed as academic.

In the Matter of REGINA METROPOLITAN CO., LLC, Respondent, v NEW YORK STATE DIVISION OF HOUSING AND COMMUNITY RENEWAL, Appellant, and LESLIE E. CARR et al., Intervenors-Respondents.

In the Matter of LESLIE E. CARR, Respondent, v NEW YORK STATE DIVISION OF HOUSING AND COMMUNITY RENEWAL, Appellant, and REGINA METROPOLITAN CO., LLC, Intervenor-Respondent.

Submitted May 20, 2019; decided June 27, 2019

Reported below, 164 AD3d 420.

Motion to strike granted to the extent that Points II and III of the brief filed by respondents Leslie E. Carr et al. are stricken and respondents Leslie E. Carr et al. are directed to file and serve a revised brief within 20 days.

JACQUELINE SHABOT SVATOVIC, Respondent, v ZARKO SVATOVIC, Appellant.

ZARKO SVATOVIC, Appellant, v JACQUELINE SHABOT SVATOVIC, Respondent.

Submitted April 29, 2019; decided June 27, 2019

Reported below, 166 AD3d 484.

Motion, insofar as it seeks leave to appeal from so much of the Appellate Division order as dismissed the appeal from the September 2017 Supreme Court order of transfer, dismissed upon the ground that such portion of the order sought to be appealed from does not finally determine the action within the meaning of the Constitution; motion for leave to appeal otherwise denied.

SCOTT WHITE et al., Appellants, v MARK P. PLEXOUSAKIS et al., Respondents.

Decided June 27, 2019

Appeal transferred without costs, by the Court of Appeals, sua sponte, to the Appellate Division, Second Department, upon the ground that a direct appeal does not lie when questions other than the constitutional validity of a statutory provision are involved (*see* NY Const, art VI, §§ 3 [b] [2]; 5 [b]; CPLR 5601 [b] [2]).

XUE JIE HE, Appellant, v GUTTENBERG NJ POLICE et al., Respondents.

Submitted May 13, 2019; decided June 27, 2019

Reported below, 2018 NY Slip Op 90529(U); 2018 NY Slip Op 84341(U).

Motion for leave to appeal dismissed upon the ground that it does not lie (*see* NY Const, art VI, § 3). Motion for poor person relief dismissed as academic.

[128 NE3d 172, 104 NYS3d 45]

In the Matter of TYRELL FF., Alleged to Be a Neglected Child. SCHENECTADY COUNTY DEPARTMENT OF SOCIAL SERVICES, Respondent; JAQUASISA GG., Appellant.

Decided June 25, 2019

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered November 21, 2018. The Appellate Division, with two Justices dissenting, dismissed, as moot, an appeal from an order of the Family Court of Schenectady County (Jill S. Polk, J.), entered in a proceeding pursuant to Family Court Act article 10, which had temporarily removed the child from respondent's custody.

Matter of Tyrell FF. (Jaquasisa GG.), 166 AD3d 1331, appeal dismissed.

HEADNOTE

Appeal — Finality of Judgments and Orders — Appeal from Family Court Temporary Removal Order

An appeal to the Court of Appeals from an Appellate Division order, which dismissed, as moot, an appeal from a Family Court order temporarily removing the child from respondent mother's custody in a proceeding pursuant to Family Court Act article 10, was dismissed upon the ground that the order appealed from did not finally determine the proceeding within the meaning of the Constitution.

APPEARANCES OF COUNSEL

Karen R. Crandall, Glenville, for appellant.

Christopher H. Gardner, *County Attorney*, Schenectady (*Michael R. Godlewski* of counsel), for respondent.

OPINION OF THE COURT

On review of submissions pursuant to section 500.11 of the Rules of the Court of Appeals (22 NYCRR 500.11), appeal dismissed, without costs, upon the ground that the order appealed from does not finally determine the proceeding within the meaning of the Constitution.

Concur: Chief Judge DiFiore and Judges Rivera, Stein, Fahey, Garcia, Wilson and Feinman.

[128 NE3d 173, 104 NYS3d 46]

The People of the State of New York, Respondent, v James R. McIntosh, Appellant.

Argued June 6, 2019; decided June 27, 2019

SUMMARY

Appeal, by permission of a Justice of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered June 15, 2018. The Appellate Division modified, on the law, a judgment of the Monroe County Court (Vincent M. Dinolfo, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree and manslaughter in the first degree. The modification consisted of reversing that part convicting defendant of manslaughter in the first degree and dismissing count two of the indictment. The Appellate Division affirmed the judgment as modified.

People v McIntosh, 162 AD3d 1612, affirmed.

HEADNOTE

Crimes — Harmless and Prejudicial Error — Refusal to Charge Remote Lesser Included Offenses

In a prosecution for murder in the second degree and manslaughter in the first degree, any error in the trial court's denial of defendant's request to submit to the jury the lesser included offenses of manslaughter in the second degree and criminally negligent homicide was harmless. Furthermore, defendant's conviction of the lesser inclusory count of first-degree manslaughter, which the Appellate Division dismissed as required by CPL 300.40 (3) (b), did not change the harmless error analysis. The jury's guilty verdict on the indictment's highest count despite the availability of the next lesser included offense for their consideration foreclosed defendant's challenge to the court's refusal to charge the remote lesser included offenses, because it dispelled any speculation as to whether the jury might have reached a guilty verdict on the still lower degrees of homicide.

APPEARANCES OF COUNSEL

Timothy P. Donaher, *Public Defender*, Rochester (*James A. Hobbs* of counsel), for appellant.

Sandra Doorley, *District Attorney*, Rochester (*Scott Myles* of counsel), for respondent.

OPINION OF THE COURT

MEMORANDUM.

The order of the Appellate Division should be affirmed.

Even assuming the court erred in denying defendant's request to submit the crimes of manslaughter in the second degree and criminally negligent homicide to the jury as lesser included offenses of the charged crimes of murder in the second degree and manslaughter in the first degree, the error was harmless (*People v Johnson*, 87 NY2d 357, 361 [1996]; *People v Boettcher*, 69 NY2d 174, 180 [1987]; *People v Brown*, 203 NY 44, 50-51 [1911]; *People v Granger*, 187 NY 67, 73 [1907]). The Appellate Division properly concluded that defendant's conviction of the lesser inclusory count of first-degree manslaughter, which it dismissed as required by CPL 300.40 (3) (b), did not change the harmless error analysis. Under the circumstances presented here, the jury's guilty verdict on the indictment's highest count despite the availability of the next lesser included offense for their consideration, "forecloses [defendant's] challenge to the court's refusal to charge the remote lesser included offenses" (*Boettcher*, 69 NY2d at 180), because it dispels any speculation as to whether the jury might have reached a guilty verdict on "still lower degree[s] of homicide" (*Brown*, 203 NY at 50).

Chief Judge DIFIORE and Judges RIVERA, STEIN, FAHEY, GARCIA, WILSON and FEINMAN concur.

Order affirmed, in a memorandum.

APPLICATIONS IN CRIMINAL CASES FOR LEAVE TO APPEAL

(June 1, 2019 through June 30, 2019)

People v Abreu	App Div, 4th Dept: 2019 NY Slip Op 67876(U) (Monroe)	dismissed 6/7/19 (DiFiore, Ch. J.)
People v Acevedo	2d Dept: 160 AD3d 975 (Westchester)	denied 6/13/19 (Stein, J.)
People v Adams	1st Dept: 171 AD3d 561 (Bronx)	denied 6/18/19 (Fahey, J.)
People v Adelman	App Term, 2d Dept, 9th & 10th Jud Dists: 62 Misc 3d 141(A) (Orange)	denied 6/17/19 (Garcia, J.)
People v Adger	4th Dept: 170 AD3d 1619 (Monroe)	denied 6/3/19 (Feinman, J.)

People v Alcantara	App Div, 2d Dept: 2019 NY Slip Op 66850(U) (Richmond)	dismissed 6/17/19 (Rivera, J.)
People v Alexander	2d Dept: 170 AD3d 738 (Kings)	denied 6/27/19 (Feinman, J.)
People v Allen	4th Dept: 171 AD3d 1507 (Onondaga)	denied 6/21/19 (DiFiore, Ch. J.)
People v Anderson	1st Dept: 171 AD3d 618 (NY)	denied 6/11/19 (Fahey, J.)
People v Anonymous	1st Dept: 172 AD3d 468 (NY)	denied 6/20/19 (Feinman, J.)
People v Archer	3d Dept: 171 AD3d 1404 (Franklin)	denied 6/25/19 (Fahey, J.)
People v Arias	1st Dept: 170 AD3d 576 (NY)	denied[1] 6/4/19 (Garcia, J.)
People v Arscott	App Term, 2d Dept, 9th & 10th Jud Dists: 63 Misc 3d 130(A) (Westchester)	denied 6/3/19 (Feinman, J.)
People v Badji	1st Dept: 171 AD3d 499 (NY)	granted 6/19/19 (Garcia, J.)
People v Barnes (Gregory)	2d Dept: 171 AD3d 1082 (Suffolk)	denied 6/18/19 (Garcia, J.)
People v Barnes (William)	4th Dept: 167 AD3d 1589 (Niagara)	denied reconsideration 6/10/19 (Stein, J.)
People v Bassier	2d Dept: 171 AD3d 1083 (Kings)	denied 6/7/19 (Rivera, J.)
People v Beaupre	2d Dept: 170 AD3d 1031 (Dutchess)	denied 6/21/19 (Wilson, J.)
People v Becerra	2d Dept: 171 AD3d 938 (Kings)	denied 6/14/19 (Stein, J.)
People v Bedeau	1st Dept: 172 AD3d 430 (NY)	denied 6/29/19 (DiFiore, Ch. J.)
People v Bellinger	1st Dept: 169 AD3d 553 (NY)	denied 6/21/19 (DiFiore, Ch. J.)
People v Birchall	App Div, 3d Dept: 2019 NY Slip Op 68505(U) (Ulster)	dismissed 6/18/19 (Fahey, J.)
People v Blanding	App Div, 1st Dept: 2019 NY Slip Op 65862(U) (NY)	dismissed 6/7/19 (DiFiore, Ch. J.)
People v Blocker	2d Dept: 171 AD3d 1083 (Queens)	denied 6/12/19 (Rivera, J.)
People v Blount	1st Dept: 171 AD3d 428 (NY)	denied 6/3/19 (Stein, J.)
People v Bradley	App Term, 2d Dept, 2d, 11th & 13th Jud Dists: 63 Misc 3d 139(A) (Kings)	denied 6/20/19 (DiFiore, Ch. J.)
People v Bray	4th Dept: 170 AD3d 1538 (Niagara)	denied 6/3/19 (Stein, J.)
People v Brissett	App Term, 2d Dept, 2d, 11th & 13th Jud Dists: 62 Misc 3d 149(A) (Richmond)	denied 6/20/19 (Wilson, J.)
People v Brooks	1st Dept: 170 AD3d 621 (NY)	denied 6/12/19 (DiFiore, Ch. J.)

1. Denied, with leave to renew within 30 days after the Court of Appeals renders a decision in *People v Delorbe* (165 AD3d 531 [1st Dept 2018], *lv granted* 32 NY3d 1125 [2018]).

People v Brown (Michael)	App Term, 1st Dept: 63 Misc 3d 138(A) (NY)	denied 6/7/19 (Rivera, J.)
People v Brown (Paris)	1st Dept: 172 AD3d 41 (Bronx)	denied 6/28/19 (Feinman, J.)
People v Brown (Robert)	1st Dept: 172 AD3d 437 (NY)	denied 6/25/19 (Fahey, J.)
People v Buchanan	2d Dept: 171 AD3d 1084 (Queens)	denied 6/20/19 (Rivera, J.)
People v Burgess	2d Dept: 172 AD3d 738 (Kings)	denied 6/12/19 (Rivera, J.)
People v Burns	App Div, 2d Dept: 2019 NY Slip Op 67975(U) (Suffolk)	dismissed 6/26/19 (Garcia, J.)
People v Burroughs	1st Dept: 171 AD3d 482 (Bronx)	denied 6/20/19 (DiFiore, Ch. J.)
People v Bynum	2d Dept: 171 AD3d 1204 (Kings)	denied 6/26/19 (Garcia, J.)
People v Cadigan	1st Dept: 171 AD3d 611 (NY)	denied 6/14/19 (Feinman, J.)
People v Caldara	2d Dept: 170 AD3d 1191 (Queens)	denied 6/7/19 (Feinman, J.)
People v Calkins	4th Dept: 171 AD3d 1475 (Steuben)	denied 6/20/19 (DiFiore, Ch. J.)
People v Camacho	1st Dept: 171 AD3d 472 (NY)	denied 6/6/19 (Garcia, J.)
People v Carmichael	2d Dept: 170 AD3d 742 (Queens)	denied 6/19/19 (Stein, J.)
People v Castro	2d Dept: 170 AD3d 1034 (Suffolk)	denied 6/10/19 (Stein, J.)
People v Chapman	3d Dept: 168 AD3d 1315 (Warren)	denied 6/11/19 (Fahey, J.)
People v Chazbani	2d Dept: 167 AD3d 1034 (Queens)	denied 6/14/19 (Stein, J.)
People v Cintron	2d Dept: 169 AD3d 1058 (Orange)	denied 6/11/19 (Garcia, J.)
People v Ciquera (Marc)	App Term, 2d Dept, 9th & 10th Jud Dists: 64 Misc 3d 130(A), 2019 NY Slip Op 51035(U) (Nassau)	denied 6/14/19 (Rivera, J.)
People v Ciquera (Marc)	App Term, 2d Dept, 9th & 10th Jud Dists: 64 Misc 3d 130(A), 2019 NY Slip Op 51036(U) (Nassau)	denied 6/14/19 (Rivera, J.)
People v Clark	2d Dept: 171 AD3d 942 (Nassau)	denied 6/20/19 (Stein, J.)
People v Clarke	2d Dept: 170 AD3d 1191 (Kings)	denied 6/18/19 (Feinman, J.)
People v Cleverin	2d Dept: 171 AD3d 1086 (Kings)	denied 6/11/19 (Fahey, J.)
People v Cobb	App Term, 1st Dept: 63 Misc 3d 126(A) (Bronx)	denied 6/11/19 (Fahey, J.)
People v Coger	App Term, 2d Dept, 2d, 11th & 13th Jud Dists: 63 Misc 3d 136(A) (Queens)	denied 6/26/19 (Garcia, J.)

People v Coleman (Joshua)	4th Dept: 170 AD3d 1661 (Erie)	denied 6/28/19 (Rivera, J.) (Appeal No. 1)
People v Coleman (Joshua)	4th Dept: 170 AD3d 1662 (Erie)	denied 6/28/19 (Rivera, J.) (Appeal No. 2)
People v Colon	App Term, 1st Dept: 62 Misc 3d 137(A) (Bronx)	denied 6/11/19 (Fahey, J.)
People v Corbett	1st Dept: 171 AD3d 528 (Bronx)	denied 6/7/19 (Wilson, J.)
People v Cordero	1st Dept: 171 AD3d 516 (NY)	denied 6/6/19 (Garcia, J.)
People v Corsini	App Term, 1st Dept: 61 Misc 3d 128(A) (NY)	denied reconsideration 6/20/19 (Stein, J.)
People v Cortez	2d Dept: 170 AD3d 744 (Suffolk)	denied 6/18/19 (Feinman, J.)
People v Cruz	1st Dept: 169 AD3d 611 (NY)	denied 6/3/19 (Stein, J.)
People v Davis	4th Dept: 171 AD3d 1511 (Erie)	denied 6/20/19 (Rivera, J.)
People v Dehoyos	4th Dept: 166 AD3d 1576 (Orleans)	denied 6/17/19 (Rivera, J.)
People v Delgado	2d Dept: 171 AD3d 784 (Richmond)	denied 6/7/19 (Rivera, J.)
People v Derby	4th Dept: 172 AD3d 1908 (Onondaga)	denied 6/29/19 (DiFiore, Ch. J.)
People v Diaby	1st Dept: 172 AD3d 473 (NY)	denied 6/21/19 (DiFiore, Ch. J.)
People v Diop	1st Dept: 172 AD3d 41 (Bronx)	denied 6/28/19 (Feinman, J.)
People v Doctor	1st Dept: 171 AD3d 658 (NY)	denied 6/26/19 (Garcia, J.)
People v Dorsey	3d Dept: 170 AD3d 1325 (Albany)	denied 6/6/19 (Garcia, J.)
People v Dudley	2d Dept: 169 AD3d 1059 (Nassau)	denied 6/20/19 (Stein, J.)
People v Dunham (Jermaine)	1st Dept: 170 AD3d 569 (Bronx)	denied 6/11/19 (Fahey, J.)
People v Dunham (Todd)	3d Dept: 172 AD3d 1462 (Essex)	denied 6/18/19 (Feinman, J.)
People v Evans	1st Dept: 172 AD3d 462 (NY)	denied 6/27/19 (Garcia, J.)
People v Everson	4th Dept: 169 AD3d 1441 (Onondaga)	denied 6/27/19 (Feinman, J.)
People v Ewell	1st Dept: 172 AD3d 479 (Bronx)	denied 6/25/19 (Feinman, J.)
People v Facey	2d Dept: 172 AD3d 741 (Kings)	denied 6/18/19 (Feinman, J.)
People v Ferrer	App Term, 1st Dept: 63 Misc 3d 126(A) (Bronx)	denied 6/11/19 (Fahey, J.)

People v Figueroa	2d Dept: 171 AD3d 1089 (Kings)	denied 6/18/19 (Fahey, J.)
People v Fitch	4th Dept: 170 AD3d 1572 (Niagara)	denied 6/25/19 (Feinman, J.)
People v Freeman	3d Dept: 169 AD3d 1115 (Albany)	denied 6/20/19 (Wilson, J.)
People v Frierson	1st Dept: 167 AD3d 550 (Bronx)	denied[2] 6/20/19 (Stein, J.)
People v Gaffney	App Div, 4th Dept, 5/1/19 (Onondaga)	dismissed 6/26/19 (Feinman, J.)
People v Gala	App Term, 1st Dept: 63 Misc 3d 141(A) (NY)	denied 6/18/19 (Feinman, J.)
People v Garcia (Frank)	App Div, 4th Dept: 2019 NY Slip Op 67888(U) (Monroe)	dismissed 6/12/19 (Rivera, J.)
People v Garcia (Pablo)	1st Dept: 170 AD3d 462 (Bronx)	denied[3] 6/27/19 (Rivera, J.)
People v Geddes	2d Dept: 171 AD3d 1210 (Nassau)	denied 6/18/19 (Feinman, J.)
People v Geer	4th Dept: 170 AD3d 1597 (Genesee)	denied 6/17/19 (DiFiore, Ch. J.)
People v Gibson	App Div, 4th Dept, 1/10/19 (Erie)	denied reconsideration 6/7/19 (Rivera, J.)
People v Goldman	1st Dept: 171 AD3d 581 (Bronx)	granted 6/18/19 (Fahey, J.)
People v Goode	1st Dept: 172 AD3d 433 (NY)	denied 6/21/19 (DiFiore, Ch. J.)
People v Gordon-Patterson	2d Dept: 170 AD3d 1037 (Suffolk)	denied 6/28/19 (Feinman, J.)
People v Graham (Marcus)	4th Dept: 171 AD3d 1559 (Erie)	denied 6/26/19 (Garcia, J.) (Appeal No. 1)
People v Graham (Marcus)	4th Dept: 171 AD3d 1561 (Erie)	denied 6/26/19 (Garcia, J.) (Appeal No. 2)
People v Grant	App Div, 1st Dept: 2019 NY Slip Op 65862(U) (NY)	dismissed 6/7/19 (DiFiore, Ch. J.)
People v Graves	1st Dept: 171 AD3d 674 (NY)	denied 6/28/19 (Feinman, J.)
People v Gray	1st Dept: 169 AD3d 560 (NY)	denied 6/13/19 (Stein, J.)
People v Green	1st Dept: 170 AD3d 632 (NY)	denied 6/7/19 (Wilson, J.)
People v Gross	1st Dept: 169 AD3d 498 (NY)	denied 6/14/19 (Feinman, J.)

2. Denied, with leave to renew within 30 days after the Court of Appeals renders a decision in *People v Foster-Bey* (158 AD3d 641 [2d Dept 2018], *lv granted* 32 NY3d 937 [2018]) or *People v Williams* (158 AD3d 471 [1st Dept 2018], *lv granted* 32 NY3d 942 [2018]).

3. Denied, with leave to renew within 30 days after the Court of Appeals renders a decision in *People v Foster-Bey* (158 AD3d 641 [2d Dept 2018], *lv granted* 32 NY3d 937 [2018]) and *People v Williams* (158 AD3d 471 [1st Dept 2018], *lv granted* 32 NY3d 942 [2018]).

People v Gross-Severino	1st Dept: 169 AD3d 498 (NY)	denied 6/14/19 (Feinman, J.)
People v Hagans	App Term, 2d Dept, 9th & 10th Jud Dist: 63 Misc 3d 139(A), 2019 NY Slip Op 50568(U) (Nassau)	denied 6/27/19 (Garcia, J.)
People v Hall	App Div, 2d Dept: 2019 NY Slip Op 64512(U) (Dutchess)	dismissed 6/20/19 (Wilson, J.)
People v Harwell	County Ct, 5/2/19 (Erie)	denied 6/7/19 (Rivera, J.)
People v Henry	3d Dept: 169 AD3d 1273 (Fulton)	denied 6/7/19 (Rivera, J.)
People v Hernandez (Marlon)	2d Dept: 171 AD3d 791 (Kings)	denied 6/20/19 (Rivera, J.)
People v Hernandez (Nando)	1st Dept: 171 AD3d 531 (Bronx)	denied 6/11/19 (Fahey, J.)
People v Holland	2d Dept: 170 AD3d 890 (Westchester)	denied 6/14/19 (Stein, J.)
People v Holmes	1st Dept: 162 AD3d 585 (NY)	denied 6/19/19 (Stein, J.)
People v Hunt	1st Dept: 171 AD3d 505 (NY)	denied 6/10/19 (Stein, J.)
People v Illa	1st Dept: 171 AD3d 488 (Bronx)	denied 6/7/19 (Rivera, J.)
People v Jackson	2d Dept: 170 AD3d 1040 (Westchester)	denied 6/11/19 (Fahey, J.)
People v Jacobs	2d Dept: 171 AD3d 793 (Nassau)	denied 6/25/19 (Fahey, J.)
People v James	1st Dept: 170 AD3d 477 (NY)	denied 6/14/19 (DiFiore, Ch. J.)
People v Johnson (Judith)	2d Dept: 171 AD3d 1215 (Kings)	denied 6/11/19 (Fahey, J.)
People v Johnson (Willie)	2d Dept: 171 AD3d 1089 (Suffolk)	denied 6/17/19 (Garcia, J.)
People v Jones	3d Dept: 171 AD3d 1249 (Albany)	denied 6/17/19 (DiFiore, Ch. J.)
People v King	2d Dept: 171 AD3d 1217 (Queens)	denied 6/20/19 (Feinman, J.)
People v Lakins	App Term, 2d Dept, 2d, 11th & 13th Jud Dists: 63 Misc 3d 139(A) (Queens)	denied 6/6/19 (Feinman, J.)
People v Lapham	3d Dept: 172 AD3d 1634 (Clinton)	denied 6/28/19 (Feinman, J.)
People v Laurent	App Term, 1st Dept: 63 Misc 3d 133(A) (Bronx)	denied 6/11/19 (Fahey, J.)
People v Lee (Chauncey)	2d Dept: 167 AD3d 778 (Kings)	denied 6/28/19 (Feinman, J.)
People v Lee (Nino)	1st Dept: 169 AD3d 404 (Bronx)	denied 6/21/19 (DiFiore, Ch. J.)
People v Leibovitz	App Term, 1st Dept: 61 Misc 3d 148(A) (NY)	denied 6/20/19 (Wilson, J.)
People v Lendof-Gonzalez (Benito)	4th Dept: 170 AD3d 1508 (Niagara)	denied 6/27/19 (Garcia, J.)

People v Lendof-Gonzalez (Benito)	4th Dept: 170 AD3d 1508 (Niagara)	granted 6/27/19 (Garcia, J.)
People v Lewis	2d Dept: 172 AD3d 749 (Kings)	denied 6/21/19 (Wilson, J.)
People v Lijin	1st Dept: 171 AD3d 563 (NY)	denied 6/20/19 (Wilson, J.)
People v Linder	4th Dept: 170 AD3d 1555 (Onondaga)	denied 6/14/19 (DiFiore, Ch. J.)
People v Lyons	2d Dept: 171 AD3d 796 (Kings)	denied 6/11/19 (Fahey, J.)
People v Mack	2d Dept: 170 AD3d 891 (Queens)	denied 6/17/19 (Rivera, J.)
People v Martin	County Ct, 3/27/19 (Onondaga)	denied 6/12/19 (DiFiore, Ch. J.)
People v Maynard	1st Dept: 167 AD3d 550 (Bronx)	denied[4] 6/20/19 (Stein, J.)
People v McClelland	App Div, 4th Dept, 4/8/19 (Erie)	dismissed 6/26/19 (Garcia, J.)
People v McDay	App Div, 2d Dept: 2019 NY Slip Op 67499(U) (Kings)	dismissed 6/14/19 (Stein, J.)
People v McGee	1st Dept: 171 AD3d 504 (NY)	denied 6/3/19 (Stein, J.)
People v McMullan	1st Dept: 169 AD3d 608 (NY)	denied 6/20/19 (Wilson, J.)
People v McPherson	3d Dept: 170 AD3d 1255 (Chemung)	denied 6/12/19 (Rivera, J.)
People v Mees	App Term, 1st Dept: 2019 NY Slip Op 64973(U) (NY)	dismissed 6/11/19 (Fahey, J.)
People v Mercado	1st Dept: 171 AD3d 590 (Bronx)	denied 6/27/19 (Garcia, J.)
People v Mercedes	1st Dept: 172 AD3d 599 (NY)	denied 6/10/19 (Stein, J.)
People v Mercer	3d Dept: 169 AD3d 1112 (Ulster)	denied reconsideration 6/17/19 (Rivera, J.)
People v Miguel C.	App Term, 1st Dept: 63 Misc 3d 139(A) (Bronx)	denied 6/26/19 (Rivera, J.)
People v Mitchell	4th Dept: 170 AD3d 1522 (Monroe)	denied 6/18/19 (Stein, J.)
People v Molinar	2d Dept: 171 AD3d 1218 (Queens)	denied 6/18/19 (Feinman, J.)
People v Moore	1st Dept: 171 AD3d 406 (NY)	denied 6/26/19 (Rivera, J.)
People v Morrison	County Ct, 5/17/19 (Cayuga)	denied 6/18/19 (Wilson, J.)
People v Munroe	1st Dept: 172 AD3d 480 (NY)	denied 6/20/19 (Feinman, J.)

4. Denied, with leave to renew within 30 days after the Court of Appeals renders a decision in *People v Foster-Bey* (158 AD3d 641 [2d Dept 2018], *lv granted* 32 NY3d 937 [2018]) or *People v Williams* (158 AD3d 471 [1st Dept 2018], *lv granted* 32 NY3d 942 [2018]).

People v Murray	App Term, 2d Dept, 9th & 10th Jud Dists: 63 Misc 3d 130(A) (Orange)	denied 6/20/19 (Stein, J.)
People v Muti	4th Dept: 170 AD3d 1526 (Erie)	denied 6/20/19 (Wilson, J.)
People v Nunez-Reyes	1st Dept: 170 AD3d 518 (NY)	denied 6/7/19 (Wilson, J.)
People v Obregon	1st Dept: 171 AD3d 659 (NY)	denied 6/14/19 (Stein, J.)
People v Olivio	2d Dept: 171 AD3d 798 (Richmond)	denied 6/20/19 (Feinman, J.)
People v Ortiz	2d Dept: 170 AD3d 892 (Rockland)	denied 6/24/19 (Feinman, J.)
People v Paguay	2d Dept: 171 AD3d 799 (Queens)	denied 6/4/19 (Stein, J.)
People v Palmer	2d Dept: 172 AD3d 755 (Queens)	denied 6/14/19 (DiFiore, Ch. J.)
People v Panico	County Ct, 4/2/19 (Steuben)	denied 6/11/19 (Stein, J.)
People v Parker	1st Dept: 167 AD3d 550 (Bronx)	denied[5] 6/20/19 (Stein, J.)
People v Parra	1st Dept: 167 AD3d 550 (Bronx)	denied[6] 6/20/19 (Stein, J.)
People v Patterson	1st Dept: 170 AD3d 548 (Bronx)	denied 6/14/19 (DiFiore, Ch. J.)
People v Paulino	App Div, 1st Dept: 2018 NY Slip Op 75938(U) (Bronx)	denied 6/7/19 (Wilson, J.)
People v Pearsall	2d Dept: 171 AD3d 1096 (Nassau)	denied 6/14/19 (DiFiore, Ch. J.)
People v Peralta	2d Dept: 171 AD3d 948 (Nassau)	denied 6/25/19 (Fahey, J.)
People v Philbert	App Term, 1st Dept: 62 Misc 3d 152(A) (NY)	denied 6/4/19 (Stein, J.)
People v Picart	2d Dept: 171 AD3d 799 (Westchester)	denied 6/18/19 (Fahey, J.)
People v Pitt	3d Dept: 170 AD3d 1282 (Albany)	denied 6/28/19 (Feinman, J.)
People v Pointdujour	2d Dept: 171 AD3d 950 (Queens)	denied 6/6/19 (Garcia, J.)
People v "Poppy"	4th Dept: 166 AD3d 1576 (Orleans)	denied 6/17/19 (Rivera, J.)
People v Pressley	4th Dept: 170 AD3d 1645 (Monroe)	denied 6/12/19 (Rivera, J.)
People v Pruitt	2d Dept: 170 AD3d 1044 (Queens)	denied 6/11/19 (Fahey, J.)

5. Denied, with leave to renew within 30 days after the Court of Appeals renders a decision in *People v Foster-Bey* (158 AD3d 641 [2d Dept 2018], *lv granted* 32 NY3d 937 [2018]) or *People v Williams* (158 AD3d 471 [1st Dept 2018], *lv granted* 32 NY3d 942 [2018]).

6. Denied, with leave to renew within 30 days after the Court of Appeals renders a decision in *People v Foster-Bey* (158 AD3d 641 [2d Dept 2018], *lv granted* 32 NY3d 937 [2018]) or *People v Williams* (158 AD3d 471 [1st Dept 2018], *lv granted* 32 NY3d 942 [2018]).

People v Rivera (Alfred)	1st Dept: 167 AD3d 550 (Bronx)	denied[7] 6/20/19 (Stein, J.)
People v Rivera (Angel)	1st Dept: 172 AD3d 441 (Bronx)	denied 6/21/19 (DiFiore, Ch. J.)
People v Rivera (Chico)	2d Dept: 171 AD3d 1097 (Kings)	denied 6/12/19 (DiFiore, Ch. J.)
People v Rivera (Clemente)	1st Dept: 170 AD3d 566 (NY)	denied 6/11/19 (Fahey, J.)
People v Robles	App Term, 1st Dept: 62 Misc 3d 149(A) (Bronx)	denied 6/3/19 (Stein, J.)
People v Rodriguez (David)	1st Dept: 167 AD3d 550 (Bronx)	denied[8] 6/20/19 (Stein, J.)
People v Rodriguez (Eduardo)	2d Dept: 170 AD3d 1045 (Kings)	denied 6/20/19 (Stein, J.)
People v Rodriguez (Ezequiel)	1st Dept: 172 AD3d 402 (NY)	denied 6/18/19 (Fahey, J.)
People v Rodriguez-Abreu	2d Dept: 170 AD3d 895 (Nassau)	denied 6/20/19 (DiFiore, Ch. J.)
People v Rogers (Artic)	2d Dept: 171 AD3d 1098 (Kings)	denied 6/27/19 (Garcia, J.)
People v Rogers (Jeffrey)	2d Dept: 171 AD3d 951 (Queens)	denied 6/6/19 (Garcia, J.)
People v Rosario	App Term, 2d Dept, 2d, 11th & 13th Jud Dists: 62 Misc 3d 147(A) (Queens)	denied 6/24/19 (Feinman, J.)
People v Ruiz	1st Dept: 171 AD3d 486 (NY)	denied 6/7/19 (Rivera, J.)
People v Sage	4th Dept: 171 AD3d 1510 (Erie)	denied 6/20/19 (Feinman, J.)
People v Scott	2d Dept: 170 AD3d 1203 (Dutchess)	denied 6/6/19 (Garcia, J.)
People v Silva	App Term, 2d Dept, 9th & 10th Jud Dists: 62 Misc 3d 142(A) (Suffolk)	denied 6/19/19 (Garcia, J.)
People v Singleton	App Div, 4th Dept, 12/19/18 (Ontario)	denied reconsideration 6/7/19 (Wilson, J.)
People v Smith (Adam)	4th Dept: 170 AD3d 1528 (Cayuga)	denied 6/27/19 (Feinman, J.)
People v Smith (Carl)	2d Dept: 171 AD3d 1101 (Kings)	denied 6/21/19 (DiFiore, Ch. J.)
People v Smith (Geraldine)	2d Dept: 171 AD3d 803 (Kings)	denied 6/28/19 (Feinman, J.)
People v Smith (Robert)	1st Dept: 171 AD3d 523 (NY)	denied 6/29/19 (DiFiore, Ch. J.)
People v Smith (Shannon)	2d Dept: 171 AD3d 1102 (Queens)	denied 6/6/19 (Feinman, J.)

7. Denied, with leave to renew within 30 days after the Court of Appeals renders a decision in *People v Foster-Bey* (158 AD3d 641 [2d Dept 2018], *lv granted* 32 NY3d 937 [2018]) or *People v Williams* (158 AD3d 471 [1st Dept 2018], *lv granted* 32 NY3d 942 [2018]).

8. Denied, with leave to renew within 30 days after the Court of Appeals renders a decision in *People v Foster-Bey* (158 AD3d 641 [2d Dept 2018], *lv granted* 32 NY3d 937 [2018]) or *People v Williams* (158 AD3d 471 [1st Dept 2018], *lv granted* 32 NY3d 942 [2018]).

People v Stevens	2d Dept: 171 AD3d 1106 (Suffolk)	denied 6/18/19 (Feinman, J.)
People v Stokes	1st Dept: 166 AD3d 489 (NY)	denied 6/17/19 (Wilson, J.)
People v Stuart	App Term, 1st Dept: 63 Misc 3d 138(A) (NY)	denied 6/3/19 (Stein, J.)
People v Sydney	1st Dept: 172 AD3d 408 (NY)	denied 6/21/19 (DiFiore, Ch. J.)
People v Taft	3d Dept: 169 AD3d 1266 (Clinton)	denied 6/21/19 (DiFiore, Ch. J.)
People v Teaque	2d Dept: 170 AD3d 1203 (Kings)	denied 6/18/19 (Fahey, J.)
People v Thompson	4th Dept: 169 AD3d 1473 (Ontario)	denied 6/20/19 (Wilson, J.)
People v Tiburcio	2d Dept: 170 AD3d 1204 (Richmond)	denied 6/11/19 (Garcia, J.)
People v Timmons	4th Dept: 171 AD3d 1501 (Onondaga)	denied 6/20/19 (Rivera, J.)
People v Tobias	2d Dept: 172 AD3d 757 (Kings)	denied 6/12/19 (Rivera, J.)
People v Triplett	App Div, 1st Dept: 2017 NY Slip Op 95153(U) (NY)	denied reconsideration 6/7/19 (DiFiore, Ch. J.)
People v Trowell	2d Dept: 172 AD3d 1112 (Queens)	denied 6/28/19 (Feinman, J.)
People v Underdue	App Div, 3d Dept: 2019 NY Slip Op 67788(U) (Albany)	denied 6/27/19 (Garcia, J.)
People v Utley	2d Dept: 170 AD3d 757 (Queens)	denied 6/20/19 (Wilson, J.)
People v Valdez	2d Dept: 172 AD3d 762 (Kings)	denied 6/21/19 (DiFiore, Ch. J.)
People v Vega	3d Dept: 170 AD3d 1266 (Rensselaer)	denied 6/19/19 (Stein, J.)
People v Velez	1st Dept: 172 AD3d 537 (NY)	denied 6/25/19 (Fahey, J.)
People v Volkes	2d Dept: 172 AD3d 764 (Richmond)	denied 6/25/19 (Fahey, J.)
People v Wagoner	App Div, 4th Dept, 3/4/19 (Cattaraugus)	dismissed 6/17/19 (Garcia, J.)
People v Walker (Deondra)	4th Dept: 171 AD3d 1501 (Onondaga)	denied 6/26/19 (Rivera, J.)
People v Walker (Tiquan)	2d Dept: 171 AD3d 1109 (Queens)	denied 6/11/19 (Fahey, J.)
People v Ward	3d Dept: 171 AD3d 1312 (Schenectady)	denied 6/25/19 (Fahey, J.)
People v Wearen	2d Dept: 167 AD3d 784 (Nassau)	denied 6/4/19 (Feinman, J.)
People v Wearon	2d Dept: 167 AD3d 784 (Nassau)	denied 6/4/19 (Feinman, J.)

People v Weather	App Div, 4th Dept, 4/15/19 (Oneida)	dismissed 6/29/19 (DiFiore, Ch. J.)
People v Webb	2d Dept: 172 AD3d 764 (Kings)	denied 6/26/19 (Rivera, J.)
People v Whitaker	App Term, 1st Dept: 63 Misc 3d 134(A) (NY)	denied 6/11/19 (Garcia, J.)
People v White (Giovanni)	1st Dept: 171 AD3d 589 (NY)	denied 6/14/19 (DiFiore, Ch. J.)
People v White (Willie)	App Div, 4th Dept, 4/8/19 (Erie)	dismissed 6/26/19 (Garcia, J.)
People v Whiting	4th Dept: 170 AD3d 1654 (Erie)	denied reconsideration 6/26/19 (Rivera, J.)
People v Wiggins	2d Dept: 170 AD3d 1046 (Orange)	denied 6/26/19 (Garcia, J.)
People v Williams (Aaron)	2d Dept: 171 AD3d 1109 (Kings)	denied 6/25/19 (Feinman, J.)
People v Williams (Anthony)	1st Dept: 169 AD3d 567 (Bronx)	denied 6/14/19 (Stein, J.)
People v Willis	App Term, 2d Dept, 2d, 11th & 13th Jud Dists: 62 Misc 3d 144(A), 2019 NY Slip Op 50151(U) (Richmond)	denied 6/20/19 (Wilson, J.)
People v Works	4th Dept: 170 AD3d 1670 (Erie)	denied 6/17/19 (Stein, J.)
People v Worrell	2d Dept: 170 AD3d 1048 (Queens)	denied 6/6/19 (Garcia, J.)
People v Wynn	App Div, 1st Dept: 2018 NY Slip Op 86142(U) (NY)	denied reconsideration 6/10/19 (Stein, J.)
People v Young	1st Dept: 171 AD3d 667 (NY)	denied 6/26/19 (Garcia, J.)
People v Yusuf	2d Dept: 170 AD3d 1051 (Richmond)	denied 6/3/19 (Stein, J.)

APPLICATIONS IN CRIMINAL CASES FOR LEAVE TO APPEAL
Decisions of Appellate Division Justices *
(June 1, 2019 through June 30, 2019)

People v Ellis	1st Dept: 2d Dept: 166 AD3d 993 (Queens)	granted 6/11/19 (Barros, J.)
People v Muhammad	1st Dept: 171 AD3d 442 (NY)	granted 6/4/19 (Renwick, J.)

* Includes only applications that were granted.

[128 NE3d 676, 104 NYS3d 598]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v RAYHEAME HILL, Appellant.

Decided June 27, 2019

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered August 1, 2017. The Appellate Division affirmed a judgment of the Supreme Court, Bronx County (Albert Lorenzo, J.), which had convicted defendant, upon a jury verdict, of criminal possession of a weapon in the second degree.

People v Hill, 153 AD3d 413, affirmed.

HEADNOTE

Crimes — Appeal — Appellate Division Review Power

The order of the Appellate Division which had affirmed a judgment of Supreme Court convicting defendant of criminal possession of a weapon in the second degree was affirmed. On the record, there was no basis to disturb the suppression determination.

APPEARANCES OF COUNSEL

Dechert LLP, New York City (*Hector Gonzalez*, *Siobhan M. Namazi* and *Timothy Ly* of counsel), and *Janet E. Sabel*, *The Legal Aid Society*, New York City (*David Crow* and *Andrew C. Fine* of counsel), for appellant.

Darcel D. Clark, *District Attorney*, Bronx (*Shera Knight* of counsel), for respondent.

OPINION OF THE COURT

MEMORANDUM.

The order of the Appellate Division should be affirmed. We conclude that, on this record, there is no basis to disturb the suppression determination. Contrary to the dissent, the Appellate Division did not run afoul of our decision in *People v LaFontaine* (92 NY2d 470 [1998]) or its progeny (*see People v Nicholson*, 26 NY3d 813, 826 [2016]).

FAHEY, J. (dissenting). I would reverse the order of the Appellate Division and remit the matter to Supreme Court for further proceedings.

Defendant challenges the Appellate Division's determination of the question whether the illegal search of his belongings impermissibly tainted the subsequent searches of a vehicle and of the apartment where defendant resided. Defendant preserved this issue at Supreme Court, but that court, which held that defendant lacked standing to challenge the later searches, did not rule on the question. Nevertheless, the Appellate Division, in affirming Supreme Court's order, explicitly reached the issue. In doing so, the Appellate Division exceeded its jurisdiction.

CPL 470.15 (1), as interpreted by this Court, precludes the Appellate Division, in reviewing a judgment, sentence, or order of a trial-level criminal court, from considering an issue that was "not decided adversely to the appellant by the trial court" (*People v Concepcion*, 17 NY3d 192, 195 [2011] [emphasis omitted]; *see People v LaFontaine*, 92 NY2d 470 [1998]). The statute is "a legislative restriction on the Appellate Division's power to review issues either decided in an appellant's favor, or not ruled upon, by the trial court" (*LaFontaine*, 92 NY2d at 474). Moreover, in an appeal from an Appellate Division affirmance, CPL 470.35 (1) grants this Court no broader power than that of the Appellate Division (*see Concepcion*, 17 NY3d at 195; *LaFontaine*, 92 NY2d at 474). Here, the issue on which defendant seeks reversal was decided by the Appellate Division in violation of CPL 470.15 (1), and our precedents prohibit us from affirming. We are obliged to reverse and remit to Supreme Court (*see People v Ingram*, 18 NY3d 948, 949 [2012]).

In discussing CPL 470.15 (1) in *People v Nicholson* (26 NY3d 813 [2016]), we drew a contrast between two types of appeal. In one category, the "trial court does not identify the predicate for its ruling" and the Appellate Division "consider[s] the record . . . to understand the context of the trial court's ultimate determination," ultimately affirming on that ground (*id.* at 825). In the other type, the trial court identifies the rationales for its ruling and nevertheless the Appellate Division "renders a decision on grounds explicitly different from those of the trial court, or on grounds that were clearly resolved in a defendant's favor" (*id.* at 826). We explained that the latter situation is "the type of appellate overreaching prohibited by CPL 470.15 (1)" (*id.*, citing *Concepcion*, 17 NY3d at 195). "[W]here the trial court's decision is fully articulated the Appellate Division's review is limited to those grounds" (*id.*).

The present case clearly falls into the category where the trial court's decision has discrete sections enabling an appellate court to discern which issues it has considered and decided, and yet the Appellate Division reviewed an issue that the trial court had not decided adversely to defendant, offering "an entirely distinct alternative ground for affirmance" (*People v Garrett*, 23 NY3d 878, 885 n 2 [2014]). If a suppression court writes a "fully articulated" decision adverse to a defendant (*Nicholson*, 26 NY3d at 826), but omits discussion of a particular issue raised by the defendant, our law mandates that an appellate court cannot resolve the issue and must remit. Whether our interpretation of CPL 470.15 (1), in *LaFontaine* and its progeny, is "undesirable from a policy point of view" (*Concepcion*, 17 NY3d at 202 [Smith, J., dissenting]) is a question for another day. *LaFontaine* is the law and, until such time as that precedent is overruled, "we are constrained by that decision, and . . . cannot be arbitrary in applying it" (*People v Fernandez*, 20 NY3d 44, 58 [2012, Pigott, J., dissenting]).

Chief Judge DiFiore and Judges Stein, Garcia and Feinman concur; Judge Fahey dissents in an opinion in which Judges Rivera and Wilson concur.

On review of submissions pursuant to section 500.11 of the Rules of the Court of Appeals (22 NYCRR 500.11), order affirmed, in a memorandum.

[128 NE3d 673, 104 NYS3d 595]

The People of the State of New York, Respondent, v Edward Malloy, Also Known as EB, Appellant.

Decided June 25, 2019

SUMMARY

Appeal, by permission of a Justice of the Appellate Division of the Supreme Court in the Third Judicial Department, from an order of that Court, entered November 21, 2018. The Appellate Division affirmed a judgment of the Supreme Court, Albany County (Richard L. Mott, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree and criminal possession of a weapon in the second degree.

People v Malloy, 166 AD3d 1302, affirmed.

HEADNOTES

Crimes — Jurors — Selection of Jury — Trial Court's Resolution of *Batson* Challenge

1. The trial court's credibility determination regarding whether the prosecutor's peremptory strike of an African American prospective juror was racially motivated was supported by the record and it could not be said as a matter of law that the proffered reason was pretextual. In response to defense counsel's *Batson* challenge, the prosecutor stated that the prospective juror was "[d]ismissive and rude," and the trial court accepted that race-neutral explanation after thorough questioning.

Crimes — Sentence — Concurrent and Consecutive Terms — Unlawful Possession of Loaded Weapon and Subsequent Crime with That Weapon

2. The trial court lawfully imposed consecutive sentences for defendant's convictions of second-degree murder (Penal Law § 125.25 [1]) and second-degree criminal possession of a weapon (Penal Law § 265.03 [3]), where video surveillance showed him in possession of a gun several minutes before approaching the victim, supporting the conclusion that he possessed the weapon for a sufficient period of time before forming the specific intent to kill.

APPEARANCES OF COUNSEL

Law Office of Paul J. Connolly, Delmar (*Paul J. Connolly* of counsel), for appellant.

P. David Soares, District Attorney, Albany (*Vincent Stark* of counsel), for respondent.

OPINION OF THE COURT

Memorandum.

The order of the Appellate Division should be affirmed.

[1] Defendant Edward Malloy asserts several meritless challenges to his conviction by jury verdict of second-degree murder (Penal Law § 125.25 [1]) and second-degree criminal possession of a weapon (Penal Law § 265.03 [3]). As relevant here, during jury selection, defense counsel objected to the prosecutor's peremptory strike of an African American prospective juror as racially motivated, in violation of *Batson v Kentucky* (476 US 79 [1986]). The prosecutor responded that the prospective juror was "[d]ismissive and rude," and Supreme Court accepted the prosecutor's race-neutral explanation after thorough questioning. We accord "great deference on appeal" to a trial judge's resolution of a *Batson* challenge, including a determination regarding discriminatory motive (*Hernandez v New York*, 500 US 352, 364 [1991]; *see also People v Hecker*, 15 NY3d 625, 656 [2010]). Here, the court's credibility determination is supported by the record and we cannot say as a matter of law that the proffered reason was "pretext for racial discrimination" (*Hernandez*, 500 US at 363).

[2] We also reject defendant's argument that Supreme Court unlawfully imposed consecutive sentences for the criminal weapon possession and murder counts. "So long as a defendant knowingly unlawfully possesses a loaded firearm before forming the intent to cause a crime with that weapon, the possessory crime has already been completed, and consecutive sentencing is permissible" (*People v Brown*, 21 NY3d 739, 751 [2013]). Here, the record supports Supreme Court's imposition of consecutive sentences. Video surveillance evidence showed defendant in possession of the gun several minutes before approaching the victim, supporting the conclusion that defendant possessed the weapon for a sufficient period of time before forming the specific intent to kill. Thus, consecutive sentencing was permissible.

Defendant's challenges to the grand jury proceedings and sufficiency of the evidence lack merit. His pro se claims are either unpreserved or similarly meritless.

Chief Judge DiFiore and Judges Rivera, Stein, Fahey, Garcia, Wilson and Feinman concur.

On review of the submissions pursuant to section 500.11 of the Rules of the Court of Appeals (22 NYCRR 500.11), order affirmed, in a memorandum.

[128 NE3d 674, 104 NYS3d 596]

Tomhannock, LLC, Respondent, v Roustabout Resources, LLC, Appellant, et al., Defendants.

Argued June 4, 2019; decided June 25, 2019

SUMMARY

Appeal from a final order of the Supreme Court, Rensselaer County (Patrick J. McGrath, J.), entered June 27, 2018. The Supreme Court, among other things, resettled a prior order of that court to reflect that the court granted all the relief sought by plaintiff and that there were no further proceedings necessary on the first cause of action. The appeal brings up for review a prior nonfinal order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered April 6, 2017. The Appellate Division, with two Justices dissenting, had affirmed an order of that Supreme Court entered April 21, 2016, which had (1) denied the motion of defendant Roustabout Resources, LLC for summary judgment dismissing the

complaint; (2) granted plaintiff's cross motion for summary judgment seeking specific performance of an option agreement to the extent of directing defendant Roustabout Resources, LLC to sign the reconveyance deed; and (3) denied plaintiff's cross motion for summary judgment to the extent it sought specific performance that included defendant's signature on the RP-5217.

Tomhannock, LLC v Roustabout Resources, LLC, 149 AD3d 1219, affirmed.

HEADNOTE

Specific Performance — Contract for Sale of Real Property — Option to Demand Reconveyance of Portion of Land

Plaintiff, which entered into an option agreement as part of the sale of a parcel of land to defendant's predecessor-in-title, giving plaintiff the option to demand reconveyance of a portion of the land in consideration for a reduction in the purchase price and payment of a portion of the property taxes for the duration of the agreement, was entitled to specific performance to the extent of delivery of the signed deed because it had fully complied with the agreement's pre-conveyance terms. Plaintiff fulfilled the only precondition in the agreement to the parcel's reconveyance when it made a timely written demand within the 10-year option period, which was the only requirement expressly set forth in the agreement that it had to meet to trigger defendant's obligation to execute and deliver the deed. The agreement did not condition reconveyance on plaintiff securing subdivision approval in accordance with local law, and failure to obtain such approval did not render title to the parcel unmarketable.

APPEARANCES OF COUNSEL

Gilchrist Tingley, P.C., Troy (*Andrew W. Gilchrist* and *Jonathon B. Tingley* of counsel), for appellant.

The Spain Law Firm, PLLC, Troy (*Thomas D. Spain* of counsel), for respondent.

OPINION OF THE COURT

Memorandum.

The Supreme Court order appealed from and the Appellate Division order brought up for review should be affirmed, with costs.

In 2002, plaintiff Tomhannock, LLC sold a parcel of land to a predecessor-in-title of defendant Roustabout Resources, LLC. As part of the sale, the parties entered into an option agreement which gave Tomhannock the option to demand reconveyance of a portion of the land in consideration for a reduction in the purchase price and payment of a portion of the property taxes for the duration of the agreement. The agreement states, in relevant part,

> "[buyer] agrees that upon written demand made by Tomhannock on or before the tenth (10th) anniversary of the recording of the Lot #2 Deed in the Office of the Rensselaer County Clerk, [buyer] will execute a bargain and sale deed with covenant against grantor's acts, conveying the Reconveyance Parcel to Tomhannock to [sic] its designee."

Interpreting a contract "is the process of determining from the words and other objective manifestations of the parties what must be done or forborne by the respective parties in order to conform to the terms of their agreements" (11 Richard A. Lord, Williston on Contracts § 30:1 [4th ed May 2019 update]). "The best evidence of what parties to a written agreement intend is what they say in their writing" (*Slamow v Del Col*, 79 NY2d 1016, 1018 [1992]). Under long-standing rules of contract interpretation, "[w]here the terms of a contract are clear and unambiguous, the intent of the parties must be found within the four corners of the contract, giving a practical interpretation to the language employed and reading the contract as a whole" (*Ellington v EMI Music, Inc.*, 24 NY3d 239, 244 [2014], citing *Greenfield v Philles Records*, 98 NY2d 562, 569 [2002]; *W.W.W. Assoc. v Giancontieri*, 77 NY2d 157, 162-163 [1990]).

Tomhannock fulfilled the only precondition in the agreement to the parcel's reconveyance when it made a timely written demand. Contrary to Roustabout's arguments, this was the only requirement expressly set forth in the agreement that Tomhannock had to meet to trigger Roustabout's obligation to execute and deliver the deed. The agreement does not condition reconveyance on Tomhannock securing subdivision approval in accordance with local law, and failure to obtain such approval does not render title to the parcel unmarketable (*see Voorheesville Rod & Gun Club v E.W. Tompkins Co.*, 82 NY2d 564, 572 [1993]). Tomhannock is entitled to specific performance to the extent of delivery of the signed deed because it has fully complied with the agreement's pre-conveyance terms.

Chief Judge DiFiore and Judges Rivera, Fahey, Garcia, Wilson and Feinman concur; Judge Stein taking no part.

Order appealed from and order of the Appellate Division, Third Department, brought up for review affirmed, with costs, in a memorandum.

[130 NE3d 873, 106 NYS3d 277]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v EMMANUEL ALMONTE, Appellant.

Argued June 6, 2019; decided June 27, 2019

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered April 26, 2018. The Appellate Division affirmed a judgment of the Supreme Court, Bronx County (James M. Kindler, J.), which had convicted defendant, upon a jury verdict, of robbery in the second degree (two counts), attempted assault in the first degree and assault in the second degree.

People v Almonte, 160 AD3d 594, affirmed.

HEADNOTES

Crimes — Lesser Included Offense — Robbery and Assault

1. In a prosecution in which defendant was convicted of two counts of robbery in the second degree, attempted assault in the first degree and assault in the second degree, the trial court properly denied defendant's request to charge the jury on the lesser included offense of assault in the third degree (Penal Law § 120.00 [1]) where defendant failed to show that there was a reasonable view of the evidence that would support a finding that he committed the lesser included offense but not the greater. Moreover, charging the lesser included offense would have forced the jury to resort to sheer speculation.

Crimes — Harmless and Prejudicial Error — Admission of 911 Call

2. In a robbery and assault prosecution, the trial court's admission of the call between the victim and the 911 operator under the excited utterance exception to the hearsay rule did not require reversal. Assuming, without deciding, that it was error to admit the 911 call, any such error would have been harmless.

APPEARANCES OF COUNSEL

Davis Polk & Wardwell LLP, New York City (*David J. Robles*, *Avi Gesser* and *Tyler K. Infinger* of counsel), and *Janet E. Sabel*, *The Legal Aid Society*, New York City (*Justine M. Luongo* and *David A. Crow* of counsel), for appellant.

Darcel D. Clark, *District Attorney*, Bronx (*Joshua P. Weiss*, *Nancy D. Killian* and *Noah J. Chamoy* of counsel), for respondent.

OPINION OF THE COURT

MEMORANDUM.

The order of the Appellate Division should be affirmed.

[1] Supreme Court properly denied defendant's request to charge the jury on the lesser included offense of assault in the third degree (Penal Law § 120.00 [1]). Defendant failed to "show that there [was] a reasonable view of the evidence in the particular case that would support a finding that [he] committed the lesser included offense but not the greater" (*People v Rivera*, 23 NY3d 112, 120 [2014]). Although "[i]n determining whether such a reasonable view exists, the evidence must be viewed in the light most favorable to [the] defendant" (*People v Martin*, 59 NY2d 704, 705 [1983]), charging the lesser included offense here "would [have] force[d] the jury to resort to sheer speculation" (*People v Discala*, 45 NY2d 38, 43 [1978] [internal quotation marks and citations omitted]; *see Rivera*, 23 NY3d at 121).

[2] Nor does Supreme Court's admission of the call between the victim and the 911 operator require reversal. "A 'spontaneous declaration or excited utterance—made contemporaneously or immediately after a startling event—which asserts the circumstances of that occasion as observed by the declarant' is an exception to the prohibition on hearsay" (*People v Cummings*, 31 NY3d 204, 209 [2018], quoting *People v Edwards*, 47 NY2d 493, 496-497 [1979]). "The test is whether the utterance was made 'before there has been time to contrive and misrepresent, i.e., while the nervous excitement may be supposed still to dominate and the reflective powers to be yet in abeyance' " (*People v Brown*, 70 NY2d 513, 518 [1987], quoting *People v Marks*, 6 NY2d 67, 72 [1959]; *see also People v Nieves*, 67 NY2d 125, 135 [1986]). Assuming, without deciding, that it was error to admit the 911 call, any such error would have been harmless (*see People v Kello*, 96 NY2d 740, 744 [2001]; *People v Crimmins*, 36 NY2d 230, 241-242 [1975]).

Finally, defendant's contention regarding the continued viability of the excited utterance exception to the hearsay rule is not preserved for appellate review.

RIVERA, J. (dissenting). Defendant Emmanuel Almonte challenges his convictions for second-degree robbery, second-degree assault, and attempted first-degree assault on the grounds that the trial court failed to properly charge the jury on a lesser included count of assault and erroneously admitted the victim's out-of-court statements under the excited utterance exception to the rule against hearsay. The People's case rested upon the victim's testimony that defendant and codefendant stole his cell phone during a beating at gunpoint.[1] The jury—as the fact-finder—was entitled to accept or reject all or part of that testimony, based on the credibility determinations it made and the inferences it drew from the properly admitted evidence. Then, in accordance with the trial court's instructions, the jury should have applied the law to its factual determinations to reach a verdict on all the criminal counts appropriately submitted by the court. That did not happen here because the jury was not given an opportunity to consider all the verdict options mandated by law and the jury heard inadmissible evidence that bolstered the victim's testimony. Therefore, I would reverse the Appellate Division order because defendant is entitled to a new trial on the assault counts.

I.

The People's case turned on the credibility of the sole eyewitness to the robbery and assault, victim JC. At trial, JC testified that he knew both defendant and codefendant personally for years: he had attended the same middle school as defendant and knew codefendant from high school. He then recounted how these two young men attacked him one night in the stairway outside his apartment.

JC testified that defendant's cousin responded to an advertisement JC had posted to social media offering to sell a pair of popular sneakers for $500. Around 11:00 p.m., JC texted the cousin, agreeing to sell him the sneakers that night. The cousin replied that "his cousin" would come to JC's home to pick up the sneakers. At approximately midnight, JC heard his doorbell. He testified that he had a "gut feeling" that something was wrong. Though he had agreed to the late-night sale and could not explain why he felt uncomfortable, he exited the apartment without the sneakers.

As soon as JC walked out the door of his apartment, he saw defendant and codefendant come at him from the stairway above his apartment and attack him at gunpoint. JC said he had an unobstructed view of the attackers' faces, that codefendant struck him on the back of the head with a gun, and that this caused him to fall onto the stairs. Defendant and codefendant then kicked him, and defendant took JC's cell phone out of his pants pocket. According to JC, as the assault continued, he grabbed the handrail of the stairway, at which

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1. Codefendant, who was adjudicated a youthful offender, pleaded guilty to first-degree robbery prior to trial.

point, defendant kneed him in his face, codefendant hit him in the head with the gun again, and they dragged him down the staircase. In an effort to escape, JC threw himself down the stairs towards the lobby, and tried to jump over the railing. As he held onto the railing, defendant punched his legs. JC then pleaded with defendant and codefendant not to kill him and offered to get the sneakers. Defendant and codefendant then walked JC back upstairs to his apartment at gunpoint. When JC rang the doorbell, his sister answered. JC and his sister yelled at each other and she closed the door. At some point after hearing JC's mother's voice from inside the apartment, the attackers dragged JC back down towards the area between the lobby and the second floor. JC testified that he again pleaded with his assailants and told them he would get the sneakers. However, after JC's mother opened the door and yelled downstairs, the attackers fled.

JC testified that at this point he was bleeding from his head. In response to the prosecutor's question "do you know when, at what point, you got these cuts on your head?" JC answered, "[a]t the point right when it happened, when I got pistol-whipped against the pole and I got kneed on my head by [defendant] and when [codefendant] comes again to get me off the rail hits me again with the gun." JC stated he was hit with the gun a total of three times.

After the attackers left, JC ran back up to the apartment. When his mother opened the door and saw him, she screamed because she saw he was covered in blood. "[R]ight after [this]" his sister phoned 911. JC testified that he was in the bathroom cleaning himself and speaking with his mother while his sister spoke to the 911 operator.

The audio recording of this call was played for the jury. On the recording, the sister tells the dispatcher that "some guys" put a gun to her brother's head and that he is bleeding. When the dispatcher asks if they tried to rob JC, the sister can be heard asking "they take anything from you?" and after a pause responds to the dispatcher "No." The sister also initially told the dispatcher that her brother was shot, but moments later said she did not know why her brother was bleeding. JC testified that he did not talk to his sister while she was on the phone and that he did not tell her he was shot, because "[b]etter off she didn't understand what was going on with the situation." He did admit that he was talking to his mother during this call.

Within a couple of minutes, the dispatcher called back, and JC answered. In the recording of this call, which was played for the jury over defendant's objection, JC is heard in quick succession responding to a series of questions.

> "[JC:] Hello?
>
> "[DISPATCHER:] Yes?
>
> "[JC:] Hello? [inaudible] Can you send an ambulance to 150—
>
> "[DISPATCHER:] Listen, listen, listen, listen, listen to me. The police are there. What happened?
>
> "[JC:] Somebody put a gun to my head and they beat me up. They assaulted me.
>
> "[DISPTACHER:] OK. The police are there, OK? [inaudible] You're still in the apartment?
>
> "[JC:] Can I get
>
> "[DISPATCHER:] OK, hold on. And what did they look like?
>
> "[JC:] [inaudible] stitches to my head.
>
> "[DISPTACHER:] What did they look like? How many were there and what did they look like?
>
> "[JC:] There was two, there was two. One of them had a, they had their hoodies on [inaudible] coats.
>
> "[DISPATCHER:] But were they black, white, or Hispanic?
>
> "[JC:] They were Dominican.
>
> "[DISPATCHER:] They were Hispanic. And they were wearing what color hoodie?
>
> "[JC:] They were wearing a navy blue, a navy blue, um, navy blue sweater.
>
> "[DISPATCHER:] Navy blue sweater?
>
> "[JC:] Yeah.
>
> "[DISPATCHER:] Where did they run off towards?
>
> "[JC:] With a hoodie—they had a hoodie.

> "[DISPATCHER:] Where did—where did they run off towards?
>
> "[JC:] They just ran down the stairs, [inaudible] outside my house.
>
> "[DISPATCHER:] OK.
>
> "[JC:] They had, they had, one of them had a tattoo on their hand [inaudible].
>
> "[DISPATCHER:] Alright. Can you open the door for the police? Or, were you shot sir, or no?
>
> "[JC:] Huh?
>
> "[DISPATCHER:] Were you shot?
>
> "[JC:] No, no, they put a gun to my head and they assaulted me.
>
> "[DISPATCHER:] OK, alright, I'm going to let the police know. Can you open the door?"

Defendant and the People do not dispute the trial court's factual finding that the incomprehensible voice in the background throughout the call is JC's mother yelling.

During JC's testimony, the prosecutor played the building's surveillance video. The video is poor quality and does not capture the entire stairwell where the attack occurred. To the extent human images are visible, they are difficult to discern and to interpret. However, JC testified that the partial scenes in the video represent the lobby and first level stairway and depict JC as he tries to jump over the railing to escape and then holds the railing while being attacked by defendant and codefendant.

Given that no gun was recovered, and no forensic evidence tied defendant to the attack, the People's case would rest on the jury's determination of JC's credibility. JC's criminal history was thus a probative issue. During direct examination, JC explained that while working at a large department store, he filled two gift cards for himself, and changed one of them for cash back at a different branch. On cross-examination, defense counsel questioned JC in greater detail—emphasizing that the thefts occurred after the assault and that JC's crimes involved lying to his employer. JC admitted that he had used another coworker's identification number to create the gift cards and that while he knew it placed that employee at risk of being arrested, he "didn't care." Defense counsel also challenged JC's credibility by repeatedly asking JC for any reason or motive that his two schoolmates, with whom he had been on good terms, would violently attack him. JC gave no reasons but offered that he had never robbed defendant or his cousin and had no issues with them, to which defense counsel asked rhetorically, "[w]e only have your word for that; is that right?"

To corroborate JC's testimony, the prosecutor presented testimony from two police officers; one had responded to the 911 call, the other spoke to JC at the precinct. Both officers observed that JC was bleeding from the head. According to the officer who arrived at the apartment within a "few minutes" of the callback, JC described the two attackers as light-skinned Dominican men with light eyes, whom he knew from the neighborhood. Inexplicably, JC did not provide the officer with their names or the codefendant's address, not even while the police drove him around in search of the attackers. The police subsequently took JC to the hospital where he was treated for his injuries. At the precinct the next day, JC identified defendant and codefendant.

The People also presented testimony from the physician who treated JC at the hospital. The physician explained that JC reported he had been hit with a gun. When the prosecutor asked whether JC's injuries were consistent "with being struck with a hard metal object," the physician opined: "[t]he lacerations [were] consistent with being hit by an object. I couldn't necessarily say if it was metal or wood or glass. It's not just fists. This wouldn't cause those lacerations on the back and the top of the head." On cross-examination, defense counsel asked if the lacerations could be caused by a metal railing, to which the physician replied, "I would assume that a sharp edge would cause the lacerations on the head, though I can't say what type of sharp object that was."

During the charge conference, defense counsel objected to the prosecutor's request to withdraw the charge of third-degree assault. Counsel argued the charge was a lesser-included offense of second-degree assault and must be submitted to the jury because the injuries could have been caused without the use of a dangerous instrument, an element required for second-degree assault but not third-degree assault. He asserted that the injuries could have occurred "from [JC] falling, hitting his head. I mean, you know—the medical professional testified that could have happened any number of ways. There was a melee." Over counsel's objection, the court did not submit this count, stating “the CPL gives the Court considerable discretion as to which counts are being submitted.”

The court submitted first-degree robbery, two counts of second-degree robbery, attempted first-degree assault and second-degree assault. Accordingly, the jury was instructed as follows. To find defendant guilty of robbery in the first degree (Penal Law § 160.15 [3]), the jury must have found that defendant, personally or by acting in concert with another person, forcibly stole property from JC, and “that in the course of the commission of the crime or in the immediate flight therefrom, the defendant or another participant in the crime possessed a dangerous instrument and used or threatened to use that dangerous instrument.” On the first count of second-degree robbery (Penal Law § 160.10 [1]), the People must have proved that defendant forcibly stole property from JC and was aided by another person actually present. As to the second count of second-degree robbery (Penal Law § 160.10 [2] [a]), the People must have proved that defendant either personally or by acting in concert with another person forcibly stole property from JC and that “in the course of the commission of the crime the [defendant] or another participant in the crime cause[d] physical injury to [JC and JC was] not a participant in the crime.”

With regards to the assault counts, the court explained that in order to find defendant guilty of attempted first-degree assault (Penal Law §§ 110, 120.10 [1]), the jury must find that defendant “personally or by acting in concert with another person attempted to cause serious physical injury to [JC] by means of a dangerous instrument” and “that the defendant did so with the intent to cause serious physical injury to [JC].” For the count of second-degree assault (Penal Law § 120.25 [2]), the People must have proved that defendant “personally or by acting in concert with another person caused physical injury to [JC] by means of a dangerous instrument” and “that the defendant did so with the intent to cause physical injury to [JC].”

During deliberations, the jury sent a note requesting to hear the 911 calls, which were played twice in quick succession. The jury also sent a note requesting clarification on the definition of a dangerous instrument:

> “We would also like to request the clarification as to what a dangerous instrument is, specifically if a dangerous instrument can be part of the surround-

> ing crime scene, for example, the railing or the stairs? Does it have to be a structure that can be physically transportable?”

In response, the judge instructed the jury as follows:

> “under the circumstances of this case . . . a dangerous instrument cannot be part of the surrounding crime scene, can’t be the railing or the stairs. It does have to be an instrument that could be physically transportable and, as you know, it’s the People’s theory that the dangerous instrument was a pistol in this case.”

The jury convicted defendant of both counts of second-degree robbery and both assault counts, and acquitted defendant of first-degree robbery. The Appellate Division affirmed the judgment and a Judge of this Court granted leave to appeal (*People v Almonte*, 160 AD3d 594 [1st Dept 2018], *lv granted* 32 NY3d 934 [2018]).

II.

Defendant challenges his conviction on three grounds: (1) the trial court erroneously refused to charge the jury on the lesser included offense of assault in the third degree; (2) JC’s 911 callback statements were not admissible under the excited utterance exception to the rule against hearsay; and (3) the Court should abolish the excited utterance exception because it is based on erroneous assumptions about human behavior that have been disproven by scientific evidence. I agree that defendant’s first two claims have merit.

As defendant argues, there is a reasonable view of the evidence that JC’s injuries were caused by something other than a dangerous instrument or deadly weapon, supporting a verdict of third-degree assault. Defendant is also correct that there is record evidence that JC’s 911 callback statements were calculated responses intended to omit key information, and thus were a product of reflective capacity and not within the excited utterance exception to the hearsay rule. Although he presents an interesting argument, defendant’s macro level attack on the excited utterance exception is not properly before the Court, as trial counsel failed to create a record of the scientific evidence appellate counsel now relies upon to support the abolition of the exception.

A. Lesser Included Offense Jury Charge

Under CPL 300.50 (1), a trial court may “submit in the alternative any lesser included offense if there is a reasonable view of the evidence which would support a finding that the defendant committed such lesser offense but did not commit the greater.” However, if either party requests that a lesser included offense be submitted, and such offense meets the standard of CPL 300.50 (1), the court must submit it to the jury (CPL 300.50 [2]). In other words, the court has no discretion when the evidence supports the request to charge the lesser included offense.

The Court has consistently held that the standard for submitting a lesser included offense sets a low threshold that favors the moving party. At its core, the standard reflects the jury’s authority to make findings of fact and power to dispense mercy. Juries are “free to accept or reject part or all of the defense or prosecution’s evidence” and may find a defendant guilty of a lesser offense even where there is convincing evidence of guilt on a greater charge (*People v Henderson*, 41 NY2d 233, 236 [1976]; *see also People v Malave*, 21 NY2d 29 [1967]). Thus, when deciding whether a jury should contemplate a lesser included offense, “[o]ur inquiry is not directed at whether persuasive evidence of guilt of the greater crime exists . . . but whether, under any reasonable view of the evidence, it is possible for the trier of facts to acquit defendant on the higher count and still find [defendant] guilty of the lesser one” (*People v Van Norstrand*, 85 NY2d 131, 136 [1995]; *see People v Discala*, 45 NY2d 38, 42 [1978]; *Henderson*, 41 NY2d at 236). Indeed, we have held that the “appraisal of the persuasiveness of the evidence indicating guilt of the higher count is irrelevant” (*Henderson*, 41 NY2d at 236). To that end, the Court must view the evidence in the light most favorable to the defendant, with due regard to all proper inferences to be drawn from the record (*see Van Norstrand*, 85 NY2d at 136 [finding that the jury could infer defendant lacked the requisite mens rea for first-degree assault]; *Henderson*, 41 NY2d at 236 [finding that the jury could infer that defendant lacked the intent required for burglary and instead convict defendant of trespass]; *Malave*, 21 NY2d at 29 [finding that the jury could infer that defendant possessed, but did not sell, narcotics, based on his testimony that he was a drug user]). We have long recognized that “[t]he net effect of submitting the lesser charge may be that the jury will simply extend mercy, but this is acknowledged to be an ‘inevitable consequence of the jury system’ ” (*Discala*, 45 NY2d at 42, quoting *People v Mussenden*, 308 NY 558, 562 [1955]).

Here, the trial court refused to instruct the jury on third-degree assault, which requires that the defendant, with intent to cause physical injury to another person, cause such injury (Penal Law § 120.00). Thus, the court failed to submit the only assault count requested that did not require a factual finding that defendant caused physical injury by means of a dangerous instrument. On the facts of this case, that was error.

No gun was recovered and according to JC, he was in direct contact with the railing, a pole, and the steps during the attack. Specifically, JC testified that the attackers twice dragged him down the stairs, he threw himself down the stairs towards the lobby, and he grabbed the railing while he was pummeled by his attackers until they forced him to let go. He stated that his head injuries were inflicted when he was “pistol-whipped against [a] pole” and kneed in the head by defendant, and when codefendant hit him with the gun while he held onto the railing. Additionally, the treating physician stated that she could not identify the object that caused the lacerations on JC’s head.

Based on the record before us, there was a reasonable view of the evidence to support a jury finding defendant guilty of third-degree assault but not guilty of the higher assault counts. The evidence, viewed, as it must, in the light most favorable to defendant, permitted the jury to conclude that JC’s injuries were not caused by a gun or another dangerous instrument, but instead by a sharp edge that he hit as he was knocked around the staircase, dragged down multiple steps, holding onto the railing, throwing himself down the stairs, or kneed in the head while against a pole.

Contrary to the People’s assertion, the jury would not have to engage in “sheer speculation” to doubt JC’s narrative that a gun caused his head injuries. The jury was free to reject JC’s testimony that he was injured when codefendant hit him in the head with a gun (*see Henderson*, 41 NY2d at 236), and the jury’s actions suggest they did. The jury acquitted defendant of a count of first-degree robbery that required the use or threatened use of a dangerous instrument—which, under the court’s instruction, could only have been a gun—while convicting him of two counts of second-degree robbery that only required the use of force (*see* Penal Law §§ 160.15 [3]; 160.10 [1], [2] [a]). Significantly, the jury also sent a note to the court during deliberations asking whether the railing or stairs could be a dangerous instrument. The jury would have no reason to ask this question if it was not specifically considering an alternative view of the evidence explaining the cause of JC's injuries. Lastly, the jury had ample basis to question JC's credibility and his motive for claiming that he was assaulted at gunpoint. JC failed to identify defendant on the 911 callback and to the officers during the neighborhood canvas in search of the attackers, and he previously used an innocent coworker's company registration number to steal from his employer, admitting that he did not care that he placed her at risk of arrest for his criminal actions.

To the extent the People argue that inferences cannot be drawn in favor of defendant, we have never refused to apply the usual rules of inferential fact-finding when evaluating a request for a lesser included offense charge (*see Van Norstrand*, 85 NY2d at 136; *Henderson*, 41 NY2d at 236; *Malave*, 21 NY2d at 29; CJI2d[NY] Evidentiary Inferences ["In evaluating the evidence, you may consider any fact that is proven and any inference which may be drawn from such fact"]). Nor have we expressly held that evidence supporting a lesser included offense charge may only come from direct testimony or incontrovertible proof. Apart from an unprecedented rejection of our traditional rules, the People's narrow view of the trial evidence would turn a standard favorable to the defendant into an insurmountable obstacle in cases, such as defendant's, where the sole eyewitness is also the victim. Here, the People's approach would require JC to expressly reject his own testimony by stating that his injuries were or could have been caused by something other than a gun. However, such a counter-narrative is not required for the lesser included offense charge because the jury could reject JC's testimony that he was hit by a gun on the basis of credibility determinations that were informed by evidence supporting a different cause of the injury. Any analysis that forecloses the submission of the lesser included offense by precluding the jury from crediting that portion of JC's testimony that suggests his injuries were sustained when he was kicked, kneed, and dragged down a staircase, while also discrediting the portion of his testimony that his injuries were caused by a gun, would be in contravention of the jury's quintessential fact-finding role (*Henderson*, 41 NY2d at 236).

The People also unpersuasively argue that the verdict on the higher assault counts establishes that the jury determined that a dangerous instrument caused JC's head injuries, especially given that the judge instructed the jury that a railing or stairwell could not constitute a dangerous instrument. This view does not square with defendant's acquittal on the first-degree robbery count, which required the use of a dangerous instrument or deadly weapon. Equally unpersuasive is the People's argument that the jury may have exercised mercy or concluded that codefendant used the dangerous instrument during the assault but not during the commission of the robbery to forcibly steal JC's cellular phone. This view of the evidence is belied by JC's testimony that the assault was fast-paced and violent, that he was hit with the gun a second time after defendant removed the phone from his pants, and that he was sufficiently frightened to plead for his life.

The People essentially urge us to let stand convictions that may have resulted from a choice between acquittal and conviction of the offense charged even if the jury would have chosen otherwise. We have previously rejected just such a choice because of its coercive framing (*see People v Green*, 56 NY2d 427, 433 [1982] ["From the perspective of the accused, submission of a lesser included offense enables the jury to extend mercy by providing a less drastic alternative than the choice between acquittal and conviction of the offense charged"]; *People v Granger*, 187 NY 67, 72 [1907] ["Of course, the court could not coerce the jurors and force a conviction for a greater crime than they would otherwise have found him guilty of, by withholding from their consideration a lesser degree authorized by the evidence and instructing them to acquit if they did not find him guilty of the greater crime"]). The People's view is also at odds with our directive that consideration of a lesser included offense must focus exclusively on whether, under a reasonable view of the evidence, it is possible for a jury to convict defendant of the lesser offense and acquit of the greater offense, without regard to persuasive evidence of guilt on the greater offense (*see Van Norstrand*, 85 NY2d at 136).

In sum, there is a reasonable view of the evidence based on JC's testimony about the location and nature of the attack; the physician's testimony that the injuries were caused by a sharp object of uncertain material; and JC's impeached credibility that would permit the jury to draw the inference that JC's injuries were inflicted by a sharp edge in the stairwell, and not by a gun. This is like any other reasonable inference that a jury may draw based on evidence of injuries inflicted in the course of a struggle or attack involving dangerous surroundings, or even from a fall or misstep down a staircase. The trial court should have charged the jury on the lesser included assault offense.

Defendant contends this error warrants reversal on all counts. As defendant sees it, the counts are factually related because the People's theory of the case was that the cell phone was stolen during the course of the assault in the stairwell. Defendant's argument is fundamentally flawed. The trial court instructed, and the jury convicted defendant, on one count of robbery that required the People to prove beyond a reasonable doubt that defendant forcibly stole property from JC with the aid of another person actually present (Penal Law § 160.10 [1]). The court also instructed, and the jury convicted defendant, of another count of robbery that required the People to prove that defendant personally, or in concert with another, forcibly stole property from JC, and that in the course of the crime defendant or another caused JC physical injury (Penal Law § 160.10 [2] [a]). The jury thus convicted defendant of robbery counts that did not require forcible stealing with the threat or use of the gun. The failure to submit the option of third-degree assault did not taint the robbery convictions as the jury necessarily rejected a robbery verdict based on JC's testimony about the attackers' use of the gun in furtherance of the theft of his phone.

For the reasons I have discussed, the trial court's erroneous denial of the request to submit the third-degree assault count to the jury, based on its presumed discretionary authority where the law provides for none, requires reversal of defendant's second-degree assault and attempted first-degree assault convictions.

B. Excited Utterance Exception as Applied at Defendant's Trial

It is undisputed that JC's statements to the 911 dispatcher are hearsay as they are out-of-court statements offered by the People for the truth of the matter asserted, i.e. to establish that JC's injuries were caused by a hit to the head with a gun used by the attackers during the assault. Defendant claims the court should not have admitted this hearsay. The People assert that the callback statements are admissible under the excited utterance exception because JC was under the effect of a startling event, having been beaten minutes before making the statements, and having suffered injuries to his head that left him bleeding and in need of medical attention. In rejecting defendant's argument, the majority assumes error and finds it to be harmless (majority mem at 1084). I need not assume what is plain from the record: JC's statements were a product of his calculated choice to withhold identifying information about his attackers, evincing a reflective capacity that takes the statements outside the ambit of the excited utterance exception.

In *People v Cummings* (31 NY3d 204 [2018]), we reiterated the purpose and elements of the excited utterance exception and confirmed our intent that this judicially created exception encompass a narrow category of statements, unscripted and born of impulse. We explained that

> "[a]lthough hearsay, excited utterances may be admissible because, 'as the impulsive and unreflecting responses of the declarant to the injury or other startling event, they possess a high degree of trustworthiness, and, as thus expressing the real tenor of said declarant's belief as to the facts just observed by [the declarant], may be received as testimony of those facts' " (*id.* at 209 [emphasis omitted], quoting *People v Caviness*, 38 NY2d 227, 231 [1975]).

"Excited utterances are exceptions to the hearsay rule because the declarant is exposed to a startling or upsetting event that is 'sufficiently powerful to render [the declarant's] normal reflective processes inoperative' " (*People v Cantave*, 21 NY3d 374, 381 [2013], quoting *People v Vasquez*, 88 NY2d 561, 574 [1996]). Accordingly, in order to qualify as an excited utterance, a statement must be "made contemporaneously or immediately after a startling event which affected or was observed by the declarant, and relate to the event" (*People v Nieves*, 67 NY2d 125, 135 [1986]; *see People v Edwards*, 47 NY2d 493, 496-497 [1979]).

As a threshold matter, the question presented in this appeal is whether the record evidence supports the trial court's conclusion that the victim lacked reflective capacity, based on the facts as found by that court. Defendant maintains that the record is to the contrary: JC's misrepresentations to the 911 dispatcher, and specifically his omission of the identity of his assailants, established that he did not lack reflective capacity. I agree.

First, as the trial court found, several minutes elapsed between the attack and the victim's statements to the dispatcher, providing JC with ample opportunity to reflect on the events and to decide what he would say about the attackers. Second, as the trial court also found, and JC conceded, during the moments immediately after the attack and before talking to the dispatcher, he spoke to his mother and chose not to tell his sister what happened because it was "[b]etter off she didn't understand what was going on with the situation." Third, JC did not call 911 seeking immediate medical assistance for his injuries or to report the crime, but instead answered the phone when the dispatcher called back.

JC's statements during the callback are particularly notable and revealing. He did not say he knew the attackers and did not provide their names or the codefendant's address, despite knowing this information. These were strange omissions given that he knew defendant and codefendant for years, had attended school with them, and had clearly recognized them when he stepped out of his apartment. When asked what happened, he said only that "somebody" attacked him and when first asked what they looked like, he said he needed stitches. JC made no reference to the theft of his cell phone. When asked again what the assailants looked like and how many were involved, he identified them by their subethnic group and eye color. Subsequently, when asked where the attackers fled, he answered down the stairs and offered an additional response, unrelated to that question, saying that one of them had a tattoo on his hand. All the while, JC failed to provide the most crucial identifying information—name and address—that would best enable the police to find the attackers and distinguish them from the hundreds of other young males in the neighborhood. Indeed, if JC had the presence of mind to say what these attackers wore, and that one of them had a tattoo, it is incredible that he would not also think to say who they were supposedly because it did not come to mind. It requires a strained view of these events to conclude that JC spoke on impulse, automatically, without a second thought, to identify these former schoolmates as "Dominicans" rather than by their names. Even under a moment of incredible stress, if you have just been attacked by someone you know well, is your first thought to tell the police the attacker's ethnic origin rather than their name?

Even if, as the trial court found, the victim sounded excited within minutes of the attack, his speech pattern alone does not establish that his statements were spontaneous. A declarant can sound excited and still quickly act on deliberative intent (*see Cantave*, 21 NY3d at 382). Just so here, where JC's statements evinced calculated choices to withhold information from the police and his family. In this regard, defendant's case is similar to *Cantave*, where a recorded 911 call was deemed not an excited utterance because the declarant reported an assault but omitted the facts that he personally knew the assailant and had injured him (*id.*). Similarly, JC's choice to omit both of the attackers' names makes his statements anything but spontaneous and without forethought.

As the record does not support the trial court's conclusion that JC lacked reflective capacity, the statements are not an excited utterance as a matter of law. Thus, they were not admissible under this hearsay exception.

Neither is the error harmless as the majority concludes. JC's statements to the 911 operator were crucial to support his narrative. The People heavily relied on the statements, playing the recording of the 911 callback during its case-in-chief and summation, to argue that JC was attacked with a gun even though one was never found. The jury considered the statements significant, as it requested to hear the recording twice during deliberations.

Contrary to the People's argument, JC's statements were not cumulative because the only other evidence that a gun was used came from his in-court testimony. Nor is admission of the statements excusable because JC took the stand and was cross-examined, as this allowed the People to capitalize on JC's unreliable out-of-court statements to bolster his in-court credibility before the jury. It undermines the purpose of the rule against hearsay: to exclude out-of-court statements because their unreliability may have an adverse impact on the truth-seeking process (*see People v Brown*, 80 NY2d 729, 736 [1993] [noting that hearsay is admissible only where there are "sufficient safeguards to assure the statement's reliability"]; Michael M. Martin, Daniel J. Capra & Faust F. Rossi, New York Evidence Handbook §§ 8.1, 8.1.2 n 13 [2d ed 2003] ["(T)he traditional definition of 'hearsay' insists upon the opportunity for contemporaneous cross-examination—that is, cross-examination at the time the statement is first made, not later—at the time the witness repeats it on the stand"]).[2]

III.

Alternatively, defendant argues that the excited utterance exception should be abolished because the exception is unwork-

2. Any unpreserved potential alternative ground to admit JC's 911 callback statements is not properly before us on this appeal. Accordingly, I do not address the People's argument that the statements were otherwise admissible.

able and fails to serve its intended purpose. In support of these arguments, defendant cites to judicial opinions and scholarly articles that have advocated for abandoning the exception (*see Cummings*, 31 NY3d at 213-214 [Rivera, J., concurring]; *United States v Boyce*, 742 F3d 792, 801-802 [7th Cir 2014] [Posner, J., concurring]; Steve Baicker-McKee, *The Excited Utterance Paradox*, 41 Seattle U L Rev 111, 163 [2017]; Alan G. Williams, *Abolishing the Excited Utterance Exception to the Rule Against Hearsay*, 63 U Kan L Rev 717, 719-720 [2015]; Aviva Orenstein, *"My God!": A Feminist Critique of the Excited Utterance Exception to the Hearsay Rule*, 85 Calif L Rev 159, 178 [1997]).

Defendant asserts that trial counsel's argument that JC's statements were not spontaneous was sufficient to preserve a challenge to the excited utterance exception. Defendant is incorrect. The record establishes that counsel's arguments focused on whether the facts established the application of the existing rule to defendant's case, not that the rule should be abolished or disavowed because it is unworkable as a general matter. Nor did the court below decide the question presented, which would have preserved the question for our review (CPL 470.05 [2]), because the trial judge considered only the events related to the attack and JC's 911 callback statements in deciding that the exception applied.

While only this Court can determine whether to abolish this judicially created exception to our hearsay rules, that does not provide grounds for us to consider his challenge. Our review is strictly limited to questions of law (NY Const, art VI, § 3 [a]; *People v Leonti*, 18 NY2d 384, 390 [1966]). Given that defendant's arguments in our Court are based, in part, on academic literature, and the scientific community's evolving understanding of human behavior and an individual's capacity to fabricate under stressful conditions, defendant should have developed a record below on the state of the science. This would have permitted the trial court to render a decision on whether, apart from the legal scholars' criticism of the exception, there is support for the proposition he asserts here, and also would have allowed the People to respond.

IV.

I would reverse the Appellate Division order because defendant is entitled to a new trial on the assault counts. Under our well-settled law, because a reasonable view of the evidence supports the lesser included offense charge of third-degree assault requested by defendant, the court had no choice but to submit this count for the jury's consideration. Compounding the error, the court applied the excited utterance exception expansively to statements that evinced the declarant's reflection on the events, in contravention of existing law. The exception does not apply when the declarant makes a calculated decision to withhold critical information about the startling event. Regardless of the declarant's motivation, such deliberately crafted statements are not impulsive and cannot be treated as reliable. I dissent.

WILSON, J. (dissenting) . I concur in Judge Rivera's dissenting opinion except that I agree with the majority that the admission of the audio recording of the 911 call was harmless on the facts present here.

Judges STEIN, FAHEY, GARCIA and FEINMAN concur; Judge RIVERA dissents in an opinion; Judge WILSON dissents in a separate dissenting opinion; Chief Judge DIFIORE taking no part.

Order affirmed, in a memorandum.

APPEALS DISMISSED PURSUANT TO RULES OF PRACTICE OF COURT OF APPEALS OR ON CONSENT

(July 1, 2019 through July 31, 2019)

Dagan B., Matter of (Calla B.),	4th Dept: 172 AD3d 1905 (Appeal No. 1)	7/16/19
Dagan B., Matter of (Calla B.)	4th Dept: 172 AD3d 1906 (Appeal No. 2)	7/16/19
Montefiore Med. Ctr. v Jefferson	App Div, 1st Dept: 2018 NY Slip Op 75914(U)	7/25/19

APPLICATIONS IN CRIMINAL CASES FOR LEAVE TO APPEAL

(July 1, 2019 through July 31, 2019)

People v Adger	App Div, 4th Dept: 2019 NY Slip Op 70014(U) (Wyoming)	dismissed 7/15/19 (Feinman, J.)
People v Akbar	2d Dept: 169 AD3d 708 (Queens)	dismissed 7/18/19 (Wilson, J.)
People v Albritton	App Div, 1st Dept: 2018 NY Slip Op 69447(U) (NY)	dismissed 7/2/19 (Rivera, J.)
People v Alexis	2d Dept: 172 AD3d 1223 (Queens)	denied 7/25/19 (Fahey, J.)
People v Alfano	4th Dept: 172 AD3d 1920 (Yates)	denied 7/19/19 (Wilson, J.)

People v Allen	County Ct, 3/26/19 (Onondaga)	denied reconsideration 7/31/19 (Rivera, J.)
People v Almonte	1st Dept: 171 AD3d 470 (NY)	denied 7/17/19 (Wilson, J.)
People v Amien	2d Dept: 172 AD3d 736 (Kings)	denied 7/12/19 (Wilson, J.)
People v Andolina	2d Dept: 171 AD3d 1201 (Richmond)	denied 7/9/19 (Rivera, J.)
People v Aroer	2d Dept: 172 AD3d 736 (Kings)	denied 7/22/19 (DiFiore, Ch. J.)
People v Avilacruz	2d Dept: 172 AD3d 1398 (Suffolk)	denied 7/30/19 (Fahey, J.)
People v Ayala	2d Dept: 172 AD3d 1085 (Kings)	denied 7/29/19 (Garcia, J.)
People v Azor	2d Dept: 172 AD3d 1087 (Queens)	denied 7/29/19 (Garcia, J.)
People v Bailey	1st Dept: 172 AD3d 482 (NY)	denied 7/11/19 (Garcia, J.)
People v Barone	2d Dept: 172 AD3d 737 (Queens)	denied 7/3/19 (Wilson, J.)
People v Baxtrum	4th Dept: 170 AD3d 1535 (Monroe)	denied 7/23/19 (Wilson, J.)
People v Benjamin	1st Dept: 173 AD3d 504 (Bronx)	denied 7/31/19 (Feinman, J.)
People v Bermudez	1st Dept: 168 AD3d 446 (NY)	denied 7/12/19 (Wilson, J.)
People v Birch	2d Dept: 171 AD3d 938 (Queens)	denied 7/1/19 (Stein, J.)
People v Black	2d Dept: 172 AD3d 895 (Dutchess)	denied 7/17/19 (Feinman, J.)
People v Blassingame	1st Dept: 173 AD3d 463 (Bronx)	denied 7/31/19 (Rivera, J.)
People v Bris	2d Dept: 172 AD3d 1108 (Queens)	denied 7/29/19 (Garcia, J.)
People v Brown	1st Dept: 173 AD3d 548 (NY)	denied 7/25/19 (Fahey, J.)
People v Bryan	App Term, 2d Dept, 2d, 11th & 13th Jud Dists: 63 Misc 3d 156(A) (Kings)	denied 7/19/19 (Feinman, J.)
People v Burks	3d Dept: 172 AD3d 1640 (Albany)	denied 7/30/19 (Fahey, J.)
People v Burrell	1st Dept: 172 AD3d 528 (NY)	denied 7/15/19 (Feinman, J.)
People v Caceres	1st Dept: 170 AD3d 626 (NY)	denied 7/11/19 (Stein, J.)
People v Calderon	1st Dept: 171 AD3d 422 (NY)	denied 7/1/19 (Stein, J.)
People v Cantey	App Div, 3d Dept: 2019 NY Slip Op 71546(U) (Albany)	dismissed 7/19/19 (DiFiore, Ch. J.)

People v Caro	1st Dept: 162 AD3d 546 (Bronx)	denied 7/16/19 (Garcia, J.)
People v Carr	1st Dept: 168 AD3d 551 (Bronx)	denied 7/1/19 (Stein, J.)
People v Casillas	4th Dept: 171 AD3d 1487 (Erie)	denied 7/17/19 (Wilson, J.)
People v Castillo	App Term, 1st Dept: 63 Misc 3d 153(A) (NY)	denied 7/16/19 (DiFiore, Ch. J.)
People v Caswell	4th Dept: 171 AD3d 1572 (Monroe)	denied 7/15/19 (Feinman, J.)
People v Cepeda	2d Dept: 171 AD3d 940 (Kings)	denied 7/11/19 (Stein, J.)
People v Cherry	2d Dept: 163 AD3d 706 (Queens)	denied 7/17/19 (Wilson, J.)
People v Clark	1st Dept: 172 AD3d 462 (NY)	denied 7/12/19 (Wilson, J.)
People v Clemmons	2d Dept: 171 AD3d 1207 (Dutchess)	denied 7/1/19 (Stein, J.)
People v Connors	2d Dept: 170 AD3d 743 (Putnam)	denied 7/23/19 (Wilson, J.)
People v Corrado	County Ct, 5/7/19 (Otsego)	denied 7/23/19 (Feinman, J.)
People v Cosme	1st Dept: 173 AD3d 445 (NY)	denied 7/29/19 (Garcia, J.)
People v Cotter	4th Dept: 170 AD3d 1523 (Genesee)	denied[1] 7/31/19 (Feinman, J.)
People v Crawford	1st Dept: 173 AD3d 484 (NY)	denied 7/31/19 (DiFiore, Ch. J.)
People v Croom	2d Dept: 171 AD3d 781 (Queens)	denied 7/12/19 (Wilson, J.)
People v Crowder	App Div, 2d Dept: 2019 NY Slip Op 69020(U) (Kings)	dismissed 7/16/19 (DiFiore, Ch. J.)
People v Cruz	App Term, 2d Dept, 2d, 11th & 13th Jud Dists: 63 Misc 3d 150(A) (Queens)	denied 7/19/19 (Wilson, J.)
People v Cunningham (Jarell)	1st Dept: 171 AD3d 669 (NY)	denied 7/17/19 (Garcia, J.)
People v Cunningham (John)	2d Dept: 171 AD3d 1207 (Queens)	denied 7/24/19 (Fahey, J.)
People v Curry	App Div, 2d Dept: 2019 NY Slip Op 67978(U) (Queens)	dismissed 7/31/19 (Stein, J.)
People v Davis	2d Dept: 171 AD3d 1209 (Queens)	denied 7/11/19 (Garcia, J.)
People v Dean	App Div, 4th Dept, 2/7/19 (Ontario)	dismissed 7/17/19 (Wilson, J.)
People v Deas	2d Dept: 172 AD3d 1400 (Kings)	denied 7/31/19 (Stein, J.)
People v Defretas	2d Dept: 172 AD3d 1089 (Kings)	denied 7/15/19 (Wilson, J.)

1. Denied, with leave to renew within 30 days after the Court of Appeals renders a decision in *People v Lang* (165 AD3d 1584 [2018], *lv granted* 32 NY 3d 1174 [2019]).

People v Delvalle	2d Dept: 172 AD3d 1090 (Queens)	denied 7/31/19 (Garcia, J.)
People v Deming	3d Dept: 171 AD3d 1400 (Rensselaer)	denied 7/26/19 (DiFiore, Ch. J.)
People v Diallo	App Term, 1st Dept: 63 Misc 3d 141(A) (NY)	denied 7/30/19 (Wilson, J.)
People v Dai Ma	App Term, 2d Dept, 2d, 11th & 13th Jud Dists: 63 Misc 3d 159(A) (Queens)	denied 7/31/19 (Stein, J.)
People v Diaz	2d Dept: 172 AD3d 740 (Kings)	denied 7/24/19 (Fahey, J.)
People v Dixon	4th Dept: 171 AD3d 1470 (Steuben)	denied 7/26/19 (Feinman, J.)
People v Dizak (Stuart)	App Div, 4th Dept: 2019 NY Slip Op 70016(U) (Monroe)	dismissed 7/17/19 (Feinman, J.)
People v Dizak (Stuart)	App Div, 4th Dept: 2019 NY Slip Op 65933(U) (Monroe)	dismissed 7/17/19 (Feinman, J.)
People v Dozier	App Term, 1st Dept: 63 Misc 3d 153(A) (NY)	denied 7/22/19 (DiFiore, Ch. J.)
People v Dublino	4th Dept: 171 AD3d 1507 (Niagara)	denied 7/1/19 (Stein, J.)
People v Eury	1st Dept: 172 AD3d 401 (NY)	denied 7/23/19 (Feinman, J.)
People v Ferry	3d Dept: 171 AD3d 1398 (Schenectady)	denied 7/24/19 (Fahey, J.)
People v Figueroa	1st Dept: 171 AD3d 549 (NY)	denied 7/30/19 (Wilson, J.)
People v Flores	1st Dept: 171 AD3d 411 (NY)	denied 7/12/19 (Wilson, J.)
People v Fox	4th Dept: 173 AD3d 1680 (Niagara)	denied 7/31/19 (Rivera, J.)
People v Francisco	1st Dept: 171 AD3d 536 (NY)	denied 7/11/19 (Stein, J.)
People v French	4th Dept: 172 AD3d 1909 (Monroe)	denied 7/29/19 (Garcia, J.)
People v Gates	1st Dept: 171 AD3d 543 (NY)	denied 7/2/19 (Rivera, J.)
People v Golson	2d Dept: 173 AD3d 764 (Queens)	denied 7/22/19 (Feinman, J.)
People v Gomez	2d Dept: 171 AD3d 944 (Suffolk)	denied 7/12/19 (Wilson, J.)
People v Goodman	4th Dept: 171 AD3d 1515 (Ontario)	denied 7/24/19 (Fahey, J.)
People v Graham (Charles)	4th Dept: 171 AD3d 1566 (Onondaga)	denied 7/16/19 (Garcia, J.)
People v Graham (Chuck)	4th Dept: 171 AD3d 1566 (Onondaga)	denied 7/16/19 (Garcia, J.)
People v Graham (Darrell)	App Div, 4th Dept, 4/21/19 (Erie)	dismissed 7/9/19 (Rivera, J.)
People v Graham (Osmond)	2d Dept: 172 AD3d 902 (Kings)	denied 7/16/19 (Rivera, J.)

People v Gray	App Div, 3d Dept: 2019 NY Slip Op 67789(U) (Ulster)	denied 7/15/19 (Feinman, J.)
People v Grose	2d Dept: 172 AD3d 1092 (Kings)	denied 7/29/19 (Garcia, J.)
People v Gross (Ira)	2d Dept: 169 AD3d 159 (Suffolk)	applications denied 7/15/19 (Garcia, J.)
People v Gross (Marcus)	2d Dept: 172 AD3d 741 (Westchester)	denied 7/8/19 (Garcia, J.)
People v Gumbs	3d Dept: 169 AD3d 1119 (Albany)	denied 7/17/19 (Wilson, J.)
People v Guzman	1st Dept: 173 AD3d 447 (NY)	denied 7/24/19 (Feinman, J.)
People v Hall (Ralph)	App Div, 1st Dept: 2019 NY Slip Op 64003(U) (NY)	dismissed 7/1/19 (Stein, J.)
People v Hall (Ralph)	App Div, 1st Dept: 2019 NY Slip Op 67463(U) (NY)	denied 7/1/19 (Stein, J.)
People v Hand	App Div, 1st Dept: 2019 NY Slip Op 69393(U) (NY)	denied 7/15/19 (Feinman, J.)
People v Harris	2d Dept: 171 AD3d 1214 (Kings)	denied 7/1/19 (Stein, J.)
People v Hassan	2d Dept: 172 AD3d 744 (Nassau)	denied 7/24/19 (Fahey, J.)
People v Head	4th Dept: 172 AD3d 1917 (Wyoming)	denied 7/31/19 (Rivera, J.)
People v Heaven	2d Dept: 172 AD3d 1404 (Queens)	denied 7/31/19 (Rivera, J.)
People v Hernandez	App Div, 2d Dept: 2019 NY Slip Op 60717(U) (Nassau)	dismissed 7/30/19 (Fahey, J.)
People v Herrera	2d Dept: 161 AD3d 1006 (Queens)	denied 7/26/19 (Feinman, J.)
People v Hickey (Christopher)	4th Dept: 171 AD3d 1465 (Onondaga)	denied 7/19/19 (Wilson, J.)
People v Hickey (Timothy)	2d Dept: 172 AD3d 745 (Suffolk)	denied 7/9/19 (Rivera, J.)
People v Hicks	4th Dept: 172 AD3d 1938 (Onondaga)	denied 7/31/19 (DiFiore, Ch. J.)
People v Hines	2d Dept: 172 AD3d 1225 (Nassau)	denied 7/31/19 (DiFiore, Ch. J.)
People v Holloway	4th Dept: 171 AD3d 1572 (Monroe)	denied 7/2/19 (Rivera, J.)
People v Ming Guang Huang	1st Dept: 173 AD3d 496 (NY)	denied 7/31/19 (DiFiore, Ch. J.)
People v Hunter (Jerrod)	App Div, 4th Dept, 4/17/19 (Monroe)	dismissed 7/30/19 (Wilson, J.)
People v Hunter (Sean)	4th Dept: 171 AD3d 1534 (Onondaga)	denied 7/30/19 (Wilson, J.)
People v Introne	3d Dept: 172 AD3d 1538 (Fulton)	denied 7/23/19 (Feinman, J.)
People v Johnson (Bruce)	2d Dept: 172 AD3d 902 (Queens)	denied 7/17/19 (Feinman, J.)

People v Johnson (Latisha)	2d Dept: 171 AD3d 1216 (Queens)	denied 7/17/19 (Wilson, J.)
People v Jones	App Term, 1st Dept: 63 Misc 3d 154(A) (Bronx)	denied 7/29/19 (Garcia, J.)
People v Juarez	2d Dept: 172 AD3d 1231 (Kings)	denied 7/31/19 (Rivera, J.)
People v Judkins	1st Dept: 171 AD3d 569 (NY)	denied 7/11/19 (Stein, J.)
People v Kelley	2d Dept: 172 AD3d 1406 (Queens)	denied 7/25/19 (Fahey, J.)
People v Kirkley	3d Dept: 172 AD3d 1541 (Albany)	denied 7/31/19 (Rivera, J.)
People v Kulczyk	4th Dept: 171 AD3d 1514 (Erie)	denied 7/22/19 (DiFiore, Ch. J.)
People v LaPorte	1st Dept: 172 AD3d 622 (NY)	denied 7/29/19 (Feinman, J.)
People v Lathrop	4th Dept: 171 AD3d 1473 (Monroe)	denied 7/24/19 (Fahey, J.)
People v Lebron	2d Dept: 171 AD3d 1092 (Queens)	denied[2] 7/24/19 (Fahey, J.)
People v Lentini	2d Dept: 172 AD3d 1099 (Rockland)	denied 7/9/19 (Rivera, J.)
People v Lithgow	1st Dept: 171 AD3d 517 (NY)	denied 7/17/19 (Wilson, J.)
People v Long	2d Dept: 171 AD3d 794 (Westchester)	denied 7/1/19 (Stein, J.)
People v Mamadou	3d Dept: 172 AD3d 1524 (Chemung)	denied 7/17/19 (DiFiore, Ch. J.)
People v Marcus	2d Dept: 171 AD3d 1093 (Queens)	denied 7/24/19 (Fahey, J.)
People v Marshall	4th Dept: 166 AD3d 1543 (Monroe)	denied reconsideration 7/23/19 (Wilson, J.)
People v Marti	App Term, 1st Dept: 63 Misc 3d 148(A) (NY)	denied 7/29/19 (Feinman, J.)
People v Martinez	1st Dept: 169 AD3d 587 (NY)	denied 7/17/19 (DiFiore, Ch. J.)
People v Mason	2d Dept: 172 AD3d 1234 (Rockland)	denied 7/26/19 (DiFiore, Ch. J.)
People v McCalla	2d Dept: 172 AD3d 750 (Nassau)	denied 7/1/19 (Stein, J.)
People v McCants	2d Dept: 172 AD3d 904 (Westchester)	denied 7/24/19 (Fahey, J.)
People v McCarthy	App Term, 2d Dept, 9th & 10th Jud Dists: 64 Misc 3d 20 (Nassau)	denied 7/24/19 (Feinman, J.)

2. Denied, with leave to renew within 30 days after the Court of Appeals renders decisions in *People v Velez* (164 AD3d 622 [2018], *lv granted* 32 NY3d 1129 [2018]) and *People v Tsintzelis* (153 AD3d 558 [2017], *lv denied* 30 NY3d 1120 [2018], *lv granted upon reconsideration* 31 NY3d 1153 [2018]).

People v McClenos	3d Dept: 172 AD3d 1638 (Rensselaer)	denied 7/25/19 (Fahey, J.)
People v McMillan	App Term, 1st Dept: 63 Misc 3d 126(A) (NY)	denied 7/1/19 (Stein, J.)
People v McNear	4th Dept: 171 AD3d 1572 (Genesee)	denied 7/31/19 (DiFiore, Ch. J.)
People v Metales	4th Dept: 171 AD3d 1562 (Monroe)	denied 7/9/19 (Rivera, J.)
People v Morales	2d Dept: 171 AD3d 945 (Queens)	denied 7/24/19 (Fahey, J.)
People v Morse	2d Dept: 172 AD3d 751 (Queens)	denied 7/17/19 (Wilson, J.)
People v Murray	4th Dept: 170 AD3d 1650 (Onondaga)	denied 7/12/19 (Wilson, J.)
People v Myles	2d Dept: 172 AD3d 752 (Suffolk)	denied 7/8/19 (Garcia, J.)
People v Nickey	2d Dept: 169 AD3d 931 (Westchester)	denied 7/18/19 (Wilson, J.)
People v Nieves	4th Dept: 169 AD3d 1459 (Monroe)	denied 7/12/19 (Wilson, J.)
People v Owens	App Term, 1st Dept: 63 Misc 3d 141(A) (NY)	denied 7/3/19 (Wilson, J.)
People v Paul (Shondell)	4th Dept: 171 AD3d 1467 (Onondaga)	denied 7/31/19 (DiFiore, Ch. J.)
People v Paul (Tajuan)	4th Dept: 171 AD3d 1555 (Onondaga)	denied 7/31/19 (DiFiore, Ch. J.)
People v Paulino	1st Dept: 172 AD3d 488 (NY)	denied 7/8/19 (Garcia, J.)
People v Pierre-Louis	2d Dept: 171 AD3d 949 (Kings)	denied 7/1/19 (Stein, J.)
People v Pinchback (Jamal)	2d Dept: 173 AD3d 772 (Queens)	denied 7/31/19 (Stein, J.)
People v Pinchback (Jamal)	2d Dept: 173 AD3d 773 (Queens)	denied 7/31/19 (Stein, J.)
People v Pinkston	1st Dept: 169 AD3d 520 (NY)	denied 7/24/19 (Fahey, J.)
People v Pruitt	App Div, 2d Dept: 2019 NY Slip Op 67997(U) (Queens)	dismissed 7/24/19 (Fahey, J.)
People v Quinlan	App Term, 1st Dept: 63 Misc 3d 148(A) (NY)	denied 7/1/19 (Stein, J.)
People v Ramacca	2d Dept: 171 AD3d 1097 (Queens)	denied 7/8/19 (Garcia, J.)
People v Ramos	1st Dept: 164 AD3d 1154 (Bronx)	denied 7/17/19 (Wilson, J.)
People v Rasul	App Div, 3d Dept: 2019 NY Slip Op 70180(U) (Albany)	dismissed 7/31/19 (Garcia, J.)
People v Rawlinson	3d Dept: 170 AD3d 1425 (Albany)	denied 7/25/19 (Fahey, J.)
People v Reed	1st Dept: 169 AD3d 573 (Bronx)	denied 7/31/19 (Rivera, J.)

People v Riddles	1st Dept: 172 AD3d 658 (NY)	denied 7/26/19 (DiFiore, Ch. J.)
People v Rivera	1st Dept: 169 AD3d 520 (NY)	denied 7/24/19 (Fahey, J.)
People v Rodriguez	1st Dept: 172 AD3d 637 (NY)	denied 7/31/19 (Rivera, J.)
People v Roeback	App Term, 1st Dept: 64 Misc 3d 126(A) (NY)	denied 7/31/19 (Rivera, J.)
People v Rogers	App Div, 4th Dept, 4/17/19 (Onondaga)	dismissed 7/11/19 (Garcia, J.)
People v Rosa	2d Dept: 171 AD3d 1099 (Queens)	denied 7/31/19 (DiFiore, Ch. J.)
People v Sanders	4th Dept: 171 AD3d 1460 (Erie)	denied 7/8/19 (Garcia, J.)
People v Sandson	2d Dept: 173 AD3d 905 (Queens)	denied 7/31/19 (Fahey, J.)
People v Saunders	2d Dept: 172 AD3d 756 (Kings)	denied 7/15/19 (Feinman, J.)
People v Seay	2d Dept: 172 AD3d 756 (Queens)	denied 7/30/19 (Wilson, J.)
People v Sell	App Div, 4th Dept, 3/6/19 (Erie)	denied reconsideration 7/16/19 (Rivera, J.)
People v Sewell	4th Dept: 171 AD3d 1509 (Erie)	denied 7/16/19 (Rivera, J.)
People v Sicilianonunez	2d Dept: 172 AD3d 912 (Suffolk)	denied 7/17/19 (Garcia, J.)
People v Simmon	1st Dept: 171 AD3d 557 (NY)	denied 7/16/19 (DiFiore, Ch. J.)
People v Singh	2d Dept: 171 AD3d 953 (Queens)	denied 7/2/19 (Rivera, J.)
People v Sloan	1st Dept: 172 AD3d 654 (NY)	denied 7/24/19 (Fahey, J.)
People v Smiley	2d Dept: 172 AD3d 1107 (Suffolk)	denied 7/24/19 (Fahey, J.)
People v Smith	2d Dept: 168 AD3d 885 (Queens)	denied 7/15/19 (Feinman, J.)
People v Stebbins	3d Dept: 171 AD3d 1395 (Rensselaer)	denied 7/29/19 (Garcia, J.)
People v Steinbrecher	4th Dept: 169 AD3d 1462 (Oswego)	denied 7/12/19 (Wilson, J.)
People v Stephensbush	2d Dept: 172 AD3d 1108 (Queens)	denied 7/29/19 (Garcia, J.)
People v Stevens	2d Dept: 172 AD3d 1410 (Kings)	denied[3] 7/31/19 (DiFiore, Ch. J.)

3. Denied, with leave to renew within 30 days after the Court of Appeals renders a decision in *People v Thomas* (158 AD3d 434 [2018], *lv granted* 31 NY3d 1088 [2018]), *People v Green* (160 AD3d 1422 [2018], *lv granted* 32 NY3d 1004 [2018]), and *People v Lang* (165 AD3d 1584 [2018], *lv granted* 32 NY3d 1174 [2019]).

People v Stewart	2d Dept: 172 AD3d 1247 (Suffolk)	denied 7/26/19 (Feinman, J.)
People v Strong (Terrance)	4th Dept: 172 AD3d 1927 (Monroe)	denied 7/31/19 (DiFiore, Ch. J.) (Appeal No. 1)
People v Strong (Terrance)	4th Dept: 172 AD3d 1929 (Monroe)	denied 7/31/19 (DiFiore, Ch. J.) (Appeal No. 2)
People v Suarez	1st Dept: 171 AD3d 612 (NY)	denied 7/24/19 (Fahey, J.)
People v Swails	1st Dept: 172 AD3d 579 (NY)	denied 7/29/19 (Garcia, J.)
People v Swann	2d Dept: 172 AD3d 1110 (Queens)	denied 7/24/19 (Feinman, J.)
People v Takie	2d Dept: 172 AD3d 1249 (Queens)	denied 7/23/19 (Feinman, J.)
People v Taylor	2d Dept: 172 AD3d 1110 (Kings)	denied 7/11/19 (Garcia, J.)
People v Teran	1st Dept: 172 AD3d 447 (NY)	denied 7/29/19 (Garcia, J.)
People v Terry	2d Dept: 169 AD3d 938 (Suffolk)	applications denied 7/1/19 (Stein, J.)
People v Thomas	1st Dept: 172 AD3d 443 (Bronx)	denied 7/31/19 (Rivera, J.)
People v Tietje	3d Dept: 171 AD3d 1355 (Ulster)	denied 7/17/19 (Wilson, J.)
People v Townsend	4th Dept: 171 AD3d 1479 (Monroe)	denied 7/31/19 (DiFiore, Ch. J.)
People v Tucker	1st Dept: 172 AD3d 547 (Bronx)	denied 7/25/19 (Fahey, J.)
People v Turner	App Div, 1st Dept: 2019 NY Slip Op 66475(U) (NY)	dismissed 7/17/19 (Wilson, J.)
People v Utsler	App Term, 1st Dept: 63 Misc 3d 154(A) (NY)	denied 7/17/19 (Garcia, J.)
People v Van Hooser	App Div, 4th Dept, 5/22/19 (Onondaga)	dismissed 7/31/19 (Rivera, J.)
People v Vanalst	3d Dept: 171 AD3d 1349 (Schenectady)	denied 7/8/19 (Garcia, J.)
People v Viera	2d Dept: 172 AD3d 762 (Kings)	denied 7/30/19 (Fahey, J.)
People v Wade	3d Dept: 172 AD3d 1644 (Rensselaer)	denied 7/18/19 (Garcia, J.)
People v Wassell	4th Dept: 171 AD3d 1499 (Chautauqua)	withdrawn 7/3/19 (Wilson, J.)
People v Watkins	2d Dept: 172 AD3d 1411 (Suffolk)	denied 7/31/19 (Garcia, J.)
People v Werkheiser	3d Dept: 171 AD3d 1297 (Tioga)	denied 7/30/19 (Wilson, J.)

People v White	3d Dept: 172 AD3d 1822 (Schenectady)	denied 7/31/19 (Fahey, J.)
People v Womack	3d Dept: 172 AD3d 1819 (Schenectady)	denied 7/31/19 (Rivera, J.)
People v Zelaya	2d Dept: 170 AD3d 1206 (Suffolk)	denied 7/23/19 (Wilson, J.)

BILL BIRDS, INC., et al., Appellants, v STEIN LAW FIRM, P.C., et al., Respondents.

Submitted June 24, 2019; decided August 29, 2019

Reported below, 164 AD3d 635.

Motion by Anita Bernstein for leave to appear amicus curiae on the appeal herein granted only to the extent that the proposed brief is accepted as filed. Two copies of the brief must be served, an original and nine copies filed, and the brief submitted in digital format within seven days.

TOBIAS BERMUDEZ CHAVEZ et al., Respondents, v OCCIDENTAL CHEMICAL CORPORATION, Individually and as a Successor to OTHER OCCIDENTAL CHEMICAL COMPANY OTHER OCCIDENTAL CHEMICAL AGRICULTURAL PRODUCTS INC. OTHER HOOKER CHEMICAL AND PLASTICS OTHER OCCIDENTAL CHEMICAL COMPANY OF TEXAS OTHER BEST FERTILIZER COMPANY, Appellant.

Decided August 29, 2019

See 933 F3d 186.

Certification of questions by the United States Court of Appeals for the Second Circuit, pursuant to section 500.27 of the Rules of Practice of the Court of Appeals (22 NYCRR 500.27), accepted and the issues presented are to be considered after briefing and argument.

Concur: Chief Judge DIFIORE and Judges RIVERA, STEIN, FAHEY, GARCIA, WILSON and FEINMAN.

DANIEL COLLAZO et al., Appellants, v NETHERLAND PROPERTY ASSETS LLC et al., Respondents.

Submitted August 5, 2019; decided August 29, 2019

Reported below, 155 AD3d 538.

Motion by New York State Division of Housing and Community Renewal et al. for leave to appear amici curiae on the appeal herein granted only to the extent that the proposed brief is accepted as filed. Two copies of the brief must be served, nine copies filed, and the brief submitted in digital format within seven days.

In the Matter of EMERALD INTERNATIONAL HOLDINGS LTD., Appellant, v TAX APPEALS TRIBUNAL OF THE STATE OF NEW YORK et al., Respondents.

Decided August 29, 2019

Reported below, 2019 NY Slip Op 66114(U).

Appeal dismissed without costs, by the Court of Appeals sua sponte, upon the ground that no substantial constitutional question is directly involved.

ROBERT D. HAAR, Appellant, v NATIONWIDE MUTUAL FIRE INSURANCE COMPANY, Respondent, et al., Defendants.

Submitted August 5, 2019; decided August 29, 2019

See 918 F3d 231.

Motion by New York Insurance Association, Inc., et al. for leave to appear amici curiae on the certified question herein granted only to the extent that the proposed brief is accepted as filed. Two copies of the brief must be served, nine copies filed, and the brief submitted in digital format within seven days.

Judge GARCIA taking no part.

HOWARD LEADER et al., Respondents, v PARKSIDE GROUP et al., Appellants.

Submitted August 5, 2019; decided August 29, 2019

Reported below, 174 AD3d 420.

Motion for leave to appeal dismissed upon the ground that the order sought to be appealed from does not finally determine the action within the meaning of the Constitution. Motion for a stay dismissed as academic.

In the Matter of NICHOLAS LECLAIR, Appellant, v JEFFREY WAIT, Respondent.

Decided August 29, 2019

Reported below, 2019 NY Slip Op 72635(U).

Appeal dismissed without costs, by the Court of Appeals sua sponte, upon the ground that no substantial constitutional question is directly involved.

In the Matter of LIANG-HOUH SHIEH, a Disbarred Attorney, Appellant. COMMITTEE ON PROFESSIONAL STANDARDS, Now Known as ATTORNEY GRIEVANCE COMMITTEE FOR THE THIRD JUDICIAL DEPARTMENT, Respondent.

Decided August 29, 2019

Reported below, 162 AD3d 1393.

Appeal dismissed without costs, by the Court of Appeals sua sponte, upon the ground that, as to the appeal from the June 2018 Appellate Division order, no appeal lies from this order from which an appeal has already been taken and dismissed (*see Matter of Liang-Houh Shieh*, 32 NY3d 1083 [2018]), and that, as to the appeal from the January 2019 letter, this letter is not a judgment or order from which an appeal to this Court may be taken (*see* CPLR 5512 [a]; CPLR 5601).

PETER LINDNER, Appellant, v CITY OF NEW YORK et al., Respondents.

Submitted May 28, 2019; decided August 29, 2019

Motion for leave to appeal dismissed upon the ground that the Court of Appeals does not have jurisdiction to entertain it (*see* NY Const, art VI, § 3 [b]; CPLR 5602 [a]). Motion for poor person relief dismissed as academic. Motion for a stay dismissed as academic.

In the Matter of LUIS S., Consecutive No. 21916, for Discharge from Central New York Psychiatric Center Pursuant to Mental Hygiene Law § 10.09, Appellant, v STATE OF NEW YORK et al., Respondents.

Submitted July 1, 2019; decided August 29, 2019

Reported below, 166 AD3d 1550.

Motion for poor person relief granted.

THERESA MADDICKS et al., Respondents, v BIG CITY PROPERTIES, LLC, et al., Defendants, and BIG CITY REALTY MANAGEMENT, LLC, et al., Appellants.

Submitted August 19, 2019; decided August 29, 2019

Reported below, 163 AD3d 501.

Motion by Lower Seaman Tenants Association et al. for leave to file a brief amici curiae on the appeal herein granted and the proposed brief is accepted as filed. Two copies of the brief must be served, an original and nine copies filed, and the brief submitted in digital format within seven days.

In the Matter of MICAH T., an Infant. JOSETTE D., Appellant; ADMINISTRATION FOR CHILDREN'S SERVICES, Respondent.

In the Matter of JAHKNAI K.-C.D. and Others, Infants. JOSETTE D., Appellant; CHILDREN'S AID SOCIETY, Respondent.

Decided August 29, 2019

Reported below, 171 AD3d 546.

Appeal dismissed without costs, by the Court of Appeals sua sponte, upon the ground that it does not lie (*see* CPLR 5601).

In the Matter of NAHZZEAR Y.G. and Another, Infants. TANISHA N., Appellant; ABBOTT HOUSE, Respondent.

Submitted June 24, 2019; decided August 29, 2019

Reported below, 172 AD3d 526.

Motion for leave to appeal denied. Motion for poor person relief dismissed as academic. Motion for a stay dismissed as academic.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v RALPH ALICEA, Appellant.

Submitted July 15, 2019; decided August 29, 2019

Reported below, 159 AD3d 532.

Motion for an extension of the time within which to apply for permission to appeal pursuant to CPL 460.20 granted and motion papers treated as a timely CPL 460.20 application.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v FREDERIC BADJI, Appellant.

Submitted July 15, 2019; decided August 29, 2019

Reported below, 171 AD3d 499.

Motion for assignment of counsel granted and Janet E. Sabel, Esq., The Legal Aid Society, 199 Water Street, New York, NY 10038 assigned as counsel to the appellant on the appeal herein.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v BRANDY J. BREITHAUPT, Appellant.

Submitted July 8, 2019; decided August 29, 2019

Reported below, 171 AD3d 1311.

Motion for an extension of the time within which to apply for permission to appeal pursuant to CPL 460.20 granted and motion papers treated as a timely CPL 460.20 application.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v MICHAEL CUBERO, Appellant.

Submitted August 12, 2019; decided August 29, 2019

Reported below, 160 AD3d 1298.

Motion by New York County Lawyers Association Committee on Appellate Courts et al. for leave to file a brief amici curiae on the appeal herein granted and the proposed brief is accepted as filed. Two copies of the brief must be served, an original and nine copies filed, and the brief submitted in digital format within seven days.

Chief Judge DiFiore taking no part.

The People of the State of New York, Respondent, v Robert Ellis, Appellant.

Submitted July 15, 2019; decided August 29, 2019

Reported below, 166 AD3d 993.

Motion for assignment of counsel granted and Paul Skip Laisure, Esq., Appellate Advocates, 111 John Street, 9th Floor, New York, NY 10038 assigned as counsel to the appellant on the appeal herein.

The People of the State of New York, Respondent, v Jhonel Feliciano, Appellant.

Submitted August 19, 2019; decided August 29, 2019

Reported below, 166 AD3d 451.

Motion for an extension of the time within which to apply for permission to appeal pursuant to CPL 460.20 granted and motion papers treated as a timely CPL 460.20 application.

The People of the State of New York, Appellant, v Reginald Goldman, Respondent.

Submitted July 15, 2019; decided August 29, 2019

Reported below, 171 AD3d 581.

Motion for assignment of counsel granted and Robert S. Dean, Esq., Center for Appellate Litigation, 120 Wall Street, 28th Floor, New York, NY 10005 assigned as counsel to the respondent on the appeal herein.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ANDRE JEAN, Appellant.

Submitted July 15, 2019; decided August 29, 2019

Reported below, 60 Misc 3d 141(A), 2018 NY Slip Op 51303(U).

Motion for an extension of the time within which to apply for permission to appeal pursuant to CPL 460.20 granted and motion papers treated as a timely CPL 460.20 application.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ZHAKARIYYA MUHAMMAD, Appellant.

Submitted July 1, 2019; decided August 29, 2019

Reported below, 171 AD3d 442.

Motion for assignment of counsel granted and Robert S. Dean, Esq., Center for Appellate Litigation, 120 Wall Street, 28th Floor, New York, NY 10005 assigned as counsel to the appellant on the appeal herein.

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v MOUHAMED THIAM, Respondent.

Submitted August 12, 2019; decided August 29, 2019

Reported below, 59 Misc 3d 126(A), 2018 NY Slip Op 50339(U).

Motion by The Bronx Defenders et al. for leave to file a brief amici curiae on the appeal herein granted and the proposed brief is accepted as filed. The brief must be submitted in digital format within seven days.

In the Matter of RANDY PEYTON, Respondent, and HILLEL HOFFMAN et al., Intervenors-Respondents, v NEW YORK CITY BOARD OF STANDARDS AND APPEALS et al., Appellants.

Submitted August 12, 2019; decided August 29, 2019

Reported below, 166 AD3d 120.

Motion by The Real Estate Board of New York, Inc. for leave to file a brief amicus curiae on the appeal herein granted and the proposed brief is accepted as filed. Two copies of the brief must be served, an original and nine copies filed, and the brief submitted in digital format within seven days.

KEITH POOLER, Appellant, v STATE OF NEW YORK, Respondent.

Decided August 29, 2019

Appeal transferred without costs, by the Court of Appeals sua sponte, to the Appellate Division, Third Department, upon the ground that a direct appeal does not lie when questions other than the constitutional validity of a statutory provision are involved (*see* NY Const, art VI, §§ 3 [b] [2]; 5 [b]; CPLR 5601 [b] [2]).

In the Matter of PUAH B. and Others, Infants. AUTUMN B., Appellant; ADMINISTRATION FOR CHILDREN'S SERVICES, Respondent, and HEMERD B., Respondent.

Decided August 29, 2019

Reported below, 173 AD3d 422.

Appeal dismissed without costs, by the Court of Appeals sua sponte, upon the ground that the order appealed from does not finally determine the proceeding within the meaning of the Constitution.

R.F. SCHIFFMANN ASSOCIATES, INC., et al., Appellants, v BAKER & DANIELS LLP, Respondent, et al., Defendant.

Decided August 29, 2019

Reported below, 171 AD3d 657.

Appeal dismissed without costs, by the Court of Appeals sua sponte, upon the ground that the order appealed from does not finally determine the action within the meaning of the Constitution.

Judge FEINMAN taking no part.

In the Matter of SAMUEL D., Appellant. MID-HUDSON FORENSIC PSYCHIATRIC CENTER, Respondent.

Decided August 29, 2019

Reported below, 171 AD3d 1172.

Appeal dismissed without costs, by the Court of Appeals sua sponte, upon the ground that no substantial constitutional question is directly involved.

In the Matter of RICHARD P. SAVITT (Admitted as RICHARD PAUL SAVITT), a Suspended Attorney, Appellant. ATTORNEY GRIEVANCE COMMITTEE FOR THE FIRST JUDICIAL DEPARTMENT, Respondent.

Submitted June 10, 2019; decided August 29, 2019

Reported below, 170 AD3d 24.

On the Court's own motion, appeal dismissed, without costs, upon the ground that no substantial constitutional question is directly involved. Motion for poor person relief dismissed as academic. Motion for a stay dismissed as academic.

In the Matter of SEBASTIAN R. ADMINISTRATION FOR CHILDREN'S SERVICES, Respondent; DEBRA S., Appellant, et al., Respondent.

Submitted May 28, 2019; decided August 29, 2019

Reported below, 171 AD3d 928.

Motion, insofar as it seeks leave to appeal from so much of the Appellate Division order as dismissed the appeal from the portion of the Family Court order as was entered on consent, dismissed upon the ground that movant is not a party aggrieved (*see* CPLR 5511); motion for leave to appeal otherwise denied.

DEBORAH SUGAMELE, Individually and as an Administratrix of the Estate of JOSEPH SUGAMELE, Deceased, Respondent, v TOWN OF HEMPSTEAD, Appellant. (Action No. 1.)

JAMES FEYNMAN, as Executor of the Estate of THERESA MANIACI-CANNI, Deceased, et al., Appellants, v TOWN OF HEMPSTEAD, Respondent. (Action No. 2.)

BARBARA ERICSON, as Administratrix of the Estate of PETER SOFIA, Deceased, Appellant, v TOWN OF HEMPSTEAD, Respondent. (Action No. 3.)

Decided August 29, 2019

Reported below, 169 AD3d 852.

Appeal dismissed without costs, by the Court of Appeals sua sponte, upon the ground that the order appealed from does not finally determine the actions within the meaning of the Constitution.

[131 NE3d 901, 107 NYS3d 794]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v DON P. SIPP, Appellant.

Decided August 29, 2019

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered February 1, 2019. The Appellate Division affirmed a judgment of the Seneca County Court (Dennis F. Bender, J.), which had convicted defendant, upon a jury verdict, of assault in the second degree.

People v Sipp, 169 AD3d 1423, affirmed.

HEADNOTE

Crimes — Lesser Included Offense — Assault in Third Degree as Lesser Included Offense of Assault in Second Degree

In a prosecution for assault in the second degree arising from defendant slashing his former girlfriend's face and neck with a sharp instrument and repeatedly stomping on her head with his boot-clad foot, defendant was not entitled to an instruction on a lesser-included charge of assault in the third degree, since no reasonable view of the evidence supported a finding that the victim sustained anything less than a serious physical injury (*see* Penal Law § 10.00 [10]). Both live and photographic evidence at trial, 10 months after the attack, demonstrated that the victim's face was disfigured with scars above one eyebrow, under the other eye, on her lip and across her neck, and that apart from the scars, her facial structure and appearance had changed significantly. Testimony from her treating physician established that she suffered at least five displaced fractures around her eye sockets and nose, which were left to heal as displaced.

APPEARANCES OF COUNSEL

J. Scott Porter, Seneca Falls, for appellant.

Mark S. Sinkiewicz, *Acting District Attorney*, Waterloo, for respondent.

OPINION OF THE COURT

MEMORANDUM.

The order of the Appellate Division should be affirmed. At a jury trial, defendant was convicted of assault in the second degree for slashing his former girlfriend's face and neck with a sharp instrument and repeatedly stomping on her head with his boot-clad foot. His counsel requested that the court charge the jury with assault in the third degree as a lesser-included offense; the court declined to do so.

Both live and photographic evidence at trial, 10 months after the attack, demonstrated that the victim's face was disfigured with scars above one eyebrow, under the other eye, on her lip and across her neck, and that apart from the scars, her facial structure and appearance had changed significantly. Testimony from her treating physician established that she suffered at least five displaced fractures around her eye sockets and nose, which were left to heal as displaced. Viewed in a light most favorable to defendant (*see People v Van Norstrand*, 85 NY2d 131, 135 [1995]; *People v Henderson*, 41 NY2d 233, 236 [1976]), we agree that no reasonable view of the evidence could support a finding that the victim sustained anything less than a serious physical injury (*see* Penal Law § 10.00 [10]; *People v McKinnon*, 15 NY3d 311, 315 [2010]). Accordingly, defendant was not entitled to an instruction on a lesser-included charge of assault in the third degree.

Chief Judge DiFiore and Judges Rivera, Stein, Fahey, Garcia, Wilson and Feinman concur.

On review of submissions pursuant to section 500.11 of the Rules of the Court of Appeals (22 NYCRR 500.11), order affirmed, in a memorandum.

Carmine Dell Aquila, Respondent, v Thomas Rubio, Administrator of the Estate of Joseph O. Rubio, Deceased, et al., Appellants, et al., Defendant.

Submitted June 3, 2019; decided September 5, 2019

Reported below, 171 AD3d 863.

Motion for leave to appeal dismissed upon the ground that the order sought to be appealed from does not finally determine the action within the meaning of the Constitution.

Citimortgage, Inc., Respondent, v Nora C. Ferrari et al., Appellants, et al., Defendants.

Submitted June 3, 2019; decided September 5, 2019

Reported below, 171 AD3d 1005.

Motion for leave to appeal dismissed upon the ground that the order sought to be appealed from does not finally determine the action within the meaning of the Constitution.

Jay Howell, Appellant, et al., Plaintiffs, v City of New York et al., Respondents.

Submitted May 20, 2019; decided September 5, 2019

Reported below, 165 AD3d 567.

Motion for leave to appeal dismissed upon the ground that the order sought to be appealed from does not finally determine the action within the meaning of the Constitution.

Murlar Equities Partnership, Appellant, v Franklin Jiminez, Respondent, et al., Defendants.

Submitted February 19, 2019; decided September 5, 2019

Reported below, 161 AD3d 569.

Motion, insofar as it seeks leave to appeal from the May 2018 Appellate Division order, dismissed upon the ground that it does not lie, appellant having previously moved for leave to appeal to this Court (*see* 32 NY3d 1142 [2019]) from the same Appellate Division order from which leave to appeal is currently sought (*see Selinger v Selinger*, 90 NY2d 842 [1997]); motion, insofar as treated as seeking leave to appeal from the July 2018 Supreme Court "judgment/order," denied. Cross motion for the imposition of sanctions denied.

The People of the State of New York, Respondent, v Michael McNeil, Appellant.

Submitted May 20, 2019; decided September 5, 2019

Reported below, 171 AD3d 562.

Motion for leave to appeal dismissed upon the ground that the Court of Appeals does not have jurisdiction to entertain this motion for leave to appeal from the order of the Appellate Division entered in this proceeding commenced in Criminal Court of the City of New York, Bronx County (*see* NY Const, art VI, § 3 [b] [7]; CPLR 5602). Motion for poor person relief dismissed as academic.

THE PEOPLE OF THE STATE OF NEW YORK ex rel.WANTU ACKERMAN, Appellant, v S. KICKBUSH, Respondent.

Submitted June 3, 2019; decided September 5, 2019

Motion for leave to appeal dismissed upon the ground that it does not lie from the order of an individual Justice of the Appellate Division (*see* NY Const, art VI, § 3 [b]; CPLR 5602).

THE PEOPLE OF THE STATE OF NEW YORK ex rel. EDWARD BROWN, Appellant, v MICHAEL CAPRA, Respondent.

Submitted May 28, 2019; decided September 5, 2019

Reported below, 2019 NY Slip Op 64688(U).

On the Court's own motion, appeal dismissed, without costs, upon the ground that no appeal lies as of right from the unanimous order of the Appellate Division absent the direct involvement of a substantial constitutional question (*see* CPLR 5601). Motion for poor person relief dismissed as academic.

EUGENIA PINKARD, Appellant, v NEW YORK CITY DEPARTMENT OF EDUCATION et al., Respondents.

Submitted May 28, 2019; decided September 5, 2019

Reported below, 168 AD3d 474.

Motion for leave to appeal dismissed upon the ground that the order sought to be appealed from does not finally determine the action within the meaning of the Constitution. Motion for ancillary relief dismissed upon the ground that the Court of Appeals does not have jurisdiction to entertain it (*see* NY Const, art VI, § 3).

In the Matter of LISA MEREDITH PRESTON, Respondent, v YONATHAN HORMADALY, Appellant.

Submitted May 13, 2019; decided September 5, 2019

Reported below, 171 AD3d 926.

Motion for leave to appeal dismissed upon the ground that the order sought to be appealed from does not finally determine the proceeding within the meaning of the Constitution.

In the Matter of HARINDER JEET SINGH, Appellant, v CITY OF NEW YORK et al., Respondents.

Submitted May 20, 2019; decided September 5, 2019

Reported below, 2019 NY Slip Op 67605(U).

Motion for leave to appeal dismissed upon the ground that the April 2019 order sought to be appealed from does not finally determine the proceeding within the meaning of the Constitution.

In the Matter of NEELAM TANEJA UPPAL, Appellant, v NEW YORK STATE DEPARTMENT OF HEALTH, Respondent.

Submitted May 28, 2019; decided September 5, 2019

Reported below, 2019 NY Slip Op 60604(U); 2018 NY Slip Op 87903(U).

Motion for leave to appeal dismissed as untimely (*see* CPLR 5513 [b]; 2103 [b] [2]).

In the Matter of VICKTORIYA DD. and Others, Alleged to be Neglected Children. SARATOGA COUNTY DEPARTMENT OF SOCIAL SERVICES, Respondent; SHERYL EE., Appellant.

Submitted May 28, 2019; decided September 5, 2019

Reported below, 172 AD3d 1470.

Motion for leave to appeal dismissed upon the ground that movant is not a party aggrieved (*see* CPLR 5511).

[131 NE3d 902, 107 NYS3d 795]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JONATHAN MONFORTE, Also Known as J-5, Appellant.

Decided September 5, 2019

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered November 15, 2018. The Appellate Division affirmed a judgment of the Supreme Court, Schenectady County (Matthew J. Sypniewski, J.), which had convicted defendant, upon his plea of guilty, of manslaughter in the first degree.

People v Monforte, 166 AD3d 1222, reversed.

HEADNOTE

Crimes — Indictment — Improper Waiver

Where a felony complaint charged defendant with second-degree murder, a class A felony with a maximum sentence of life imprisonment, his waiver of indictment was improper, and the trial court improperly proceeded by a superior court information charging only first-degree manslaughter and lacked jurisdiction to accept his guilty plea to that offense. Under both the New York State Constitution and Criminal Procedure Law, a defendant who is held for the action of the grand jury on a class A felony punishable by life imprisonment may not waive indictment by the grand jury and agree to be prosecuted for a lesser included offense in order to facilitate a plea bargain on the homicide offense (NY Const, art I, § 6; CPL 195.10). Defendant, having been held for action of the grand jury on the class A felony, could not effectively waive indictment and agree to be prosecuted by information for first-degree manslaughter.

APPEARANCES OF COUNSEL

Law Office of Craig Meyerson, Peru (*Craig Meyerson* of counsel), for appellant.

Robert M. Carney, *District Attorney*, Schenectady (*Peter H. Willis* of counsel), for respondent.

OPINION OF THE COURT

MEMORANDUM.

The order of the Appellate Division should be reversed, the guilty plea vacated, superior court information dismissed, felony complaint reinstated, and the case remitted to County Court for further proceedings in accordance with this memorandum.

Defendant Jonathan Monforte challenges his conviction of first-degree manslaughter (Penal Law § 125.20 [2]). Defendant was arrested and arraigned upon a felony complaint charging him with second-degree murder and first-degree criminal use of a firearm (Penal Law §§ 125.25, 265.09). Defendant, after being held for the action of the grand jury, waived his right to indictment, agreed to be prosecuted by a superior court information charging only first-degree manslaughter (Penal Law § 125.20 [2]) and pleaded guilty to that offense. County Court accepted defendant's waiver of indictment and guilty plea and sentenced him, in accordance with the plea agreement, to a 25-year term of imprisonment. Defendant now argues that his conviction must be vacated because his waiver of indictment was improper and County Court lacked jurisdiction to accept his plea. We agree.

As a threshold matter, this Court may consider defendant's jurisdictional claim on his direct appeal despite his guilty plea and failure to raise the claim below (*see People v Zanghi*, 79 NY2d 815, 817 [1991]).

The New York State Constitution provides that "[n]o person shall be held to answer for a capital or otherwise infamous crime . . . unless on indictment of a grand jury" (NY Const, art I, § 6). The Constitution contains a limited exception to this jurisdictional requirement:

> "a person held for the action of a grand jury upon a charge for such an offense, other than one punishable by death or life imprisonment, with the consent of the district attorney, may waive indictment by a grand jury and consent to be prosecuted on an information filed by the district attorney" (*id.*).

In addition, Criminal Procedure Law § 195.10 provides that a defendant may waive indictment by grand jury when, among other conditions, "the defendant is not charged with a class A felony punishable by death or life imprisonment" (CPL 195.10 [1] [b]). Accordingly, under both the Constitution and Criminal Procedure Law, a defendant who is held for the action of the grand jury on a class A felony punishable by life imprisonment may not waive indictment by the grand jury and agree to be prosecuted for a lesser included offense in order to facilitate a plea bargain on the homicide offense (*see People v Trueluck*, 88 NY2d 546, 551 [1996] ["The inescapable language of the State Constitution and its directly implementing statute establish the authorizing boundary: when an accused is held for Grand Jury action upon a felony complaint that charges a class A felony, as here, a waiver of indictment with respect to that felony complaint is unauthorized"]).

Here, the felony complaint charged defendant with second-degree murder, a class A felony, with a maximum sentence of life imprisonment. Contrary to the People's argument, under the circumstances here, *Trueluck* controls. In accordance with the Constitution, the Criminal Procedure Law, and our established precedent, defendant, having been held for action of the grand jury on the class A felony, could not effectively waive indictment and agree to be prosecuted by superior court information for the crime of manslaughter in the first degree. County Court improperly proceeded by information and lacked jurisdiction to accept his guilty plea (*see id.*). The People's remaining contentions are without merit.

Chief Judge DiFiore and Judges Rivera, Stein, Fahey, Garcia, Wilson and Feinman concur.

On review of submissions pursuant to section 500.11 of the Rules of the Court of Appeals (22 NYCRR 200.11), order reversed, guilty plea vacated, superior court information dismissed, felony complaint reinstated and case remitted to County Court, Schenectady County, for further proceedings in accordance with the memorandum herein.

[131 NE3d 904, 107 NYS3d 797]

Benedicta Brito, Respondent, v Rafael Gomez et al., Appellants.

Decided September 10, 2019

SUMMARY

Appeal, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered November 27, 2018. The Appellate Division affirmed an order of the Supreme Court, Bronx County (Laura G. Douglas, J.), which had, to the extent appealed from as limited by the brief, denied defendants' motion to strike the note of issue and to compel plaintiff to provide discovery relating to prior treatment of her knees. The following question was certified by the Appellate Division: "Was the order of the Supreme Court, as affirmed by this Court, properly made?"

Brito v Gomez, 168 AD3d 1, reversed.

HEADNOTE

Disclosure — Medical Records and Reports — Waiver of Physician-Patient Privilege — Issue Placed into Controversy

The trial court erred in denying defendants' motion to compel plaintiff to provide discovery related to the prior treatment of her knees, where plaintiff had affirmatively placed the condition of her knees into controversy by alleging that the underlying accident caused difficulties in walking and standing that affected her ambulatory capacity and resultant damages. Under the particular circumstances, plaintiff waived the physician-patient privilege with respect to the prior treatment and the discovery sought by authorizations pertaining to the treatment was "material and necessary" to defendants' defense of the action (CPLR 3101 [a]).

APPEARANCES OF COUNSEL

Lewis Brisbois Bisgaard & Smith LLP, New York City (*Nicholas P. Hurzeler* of counsel), for appellants.

Pollack, Pollack, Isaac & De Cicco, LLP, New York City (*Brian J. Isaac* of counsel), for respondent.

OPINION OF THE COURT

MEMORANDUM.

The order of the Appellate Division should be reversed, with costs, the case remitted to Supreme Court for further proceedings in accordance with this memorandum, and the certified question answered in the negative.

Plaintiff affirmatively placed the condition of her knees into controversy through allegations that the underlying accident caused difficulties in walking and standing that affect her ambulatory capacity and resultant damages (*see generally Arons v Jutkowitz*, 9 NY3d 393, 409 [2007]; *Dillenbeck v Hess*, 73 NY2d 278, 287 [1989]). Under the particular circumstances of this case, plaintiff therefore waived the physician-patient privilege with respect to the prior treatment of her knees and the discovery sought by authorizations pertaining to the treatment of plaintiff's knees is "material and necessary" to defendants' defense of the action (CPLR 3101 [a]). Accordingly, Supreme Court erred in denying defendants' motion to compel plaintiff to provide discovery related to the prior treatment of her knees.

Chief Judge DIFIORE and Judges RIVERA, STEIN, FAHEY, GARCIA, WILSON and FEINMAN concur.

On review of submissions pursuant to section 500.11 of the Rules of the Court of Appeals (22 NYCRR 500.11), order reversed, with costs, case remitted to Supreme Court, Bronx

County, for further proceedings in accordance with the memorandum herein and certified question answered in the negative.

BANK OF NEW YORK MELLON, Formerly Known as BANK OF NEW YORK, as Trustee, in TRUST FOR REGISTERED HOLDERS OF CWABS, INC., ASSET-BACK CERTIFICATES, SERIES 2005-IM3, Respondent, v ERIN SLAVIN, Also Known as ERIN MOHAMMED, Appellant, et al., Defendants.

Submitted June 17, 2019; decided September 10, 2019

Reported below, 156 AD3d 1073.

Motion for leave to appeal dismissed upon the ground that the order sought to be appealed from does not finally determine the action within the meaning of the Constitution.

In the Matter of LYSON BAZILE et al., Petitioners, and DAVID JACOBS, Appellant, v JAMES R. RUBIN, as Commissioner of New York State Homes and Community Renewal and New York State Division of Housing and Community Renewal, et al., Respondents.

Submitted July 1, 2019; decided September 10, 2019

Reported below, 165 AD3d 793.

Motion for reargument of motion for leave to appeal denied [*see* 33 NY3d 903 (2019)].

CARMEN BRITT, Individually and as Executor of the Estate of LULA BAITY, Deceased, Appellant, v BUFFALO MUNICIPAL HOUSING AUTHORITY et al., Respondents, et al., Defendants.

Submitted July 8, 2019; decided September 10, 2019

Reported below, 170 AD3d 1530.

Motion for leave to appeal dismissed upon the ground that the order sought to be appealed from does not finally determine the action within the meaning of the Constitution.

Judge FAHEY taking no part.

AGNIESZKA CHEN, Respondent, v WILLIAM CHEN, Appellant.

Submitted June 24, 2019; decided September 10, 2019

Reported below, 164 AD3d 1668 (Appeal Nos. 1 and 2).

Motion for reargument of motion for leave to appeal denied [*see* 33 NY3d 1011 (2019)].

In the Matter of the Claim of GUY COZZI, Appellant, v AMERICAN STOCK EXCHANGE et al., Respondents. WORKERS' COMPENSATION BOARD, Respondent.

Submitted June 24, 2019; decided September 10, 2019

Reported below, 172 AD3d 1658.

On the Court's own motion, appeal dismissed, without costs, upon the ground that the order appealed from does not finally determine the proceeding within the meaning of the Constitution. Motion for leave to appeal dismissed upon the ground that the order sought to be appealed from does not finally determine the proceeding within the meaning of the Constitution.

SOFIA FASOLAS, Respondent, v BOBCAT OF NEW YORK, INC., et al., Defendants, BOBCAT OF LONG ISLAND, INC., et al., Appellants, and PORT JEFFERSON RENTAL CENTER, INC., Doing Business as TAYLOR RENTAL CENTER, Respondent.

Submitted June 24, 2019; decided September 10, 2019

Reported below, 150 AD3d 147.

Motion for reargument denied with $100 costs and necessary reproduction disbursements [*see* 33 NY3d 421 (2019)].

MICHELLE NAPPI, Appellant, v COMMUNITY ACCESS, INC., et al., Respondents.

Submitted June 10, 2019; decided September 10, 2019

Reported below, 169 AD3d 535.

Motion for reconsideration of this Court's May 2, 2019 dismissal order denied [*see* 33 NY3d 996 (2019)].

In the Matter of NATIONAL ENERGY MARKETERS ASSOCIATION et al., Appellants, v NEW YORK STATE PUBLIC SERVICE COMMISSION, Respondent. (And Two Other Related Proceedings.)

Submitted June 24, 2019; decided September 10, 2019

Reported below, 152 AD3d 1122.

Motion for reargument denied with $100 costs and necessary reproduction disbursements [*see* 33 NY3d 336 (2019)].

THE PEOPLE OF THE STATE OF NEW YORK ex rel. JAMES BERRY, Appellant, v J. OCASIO, Respondent.

Submitted July 1, 2019; decided September 10, 2019

Motion for leave to appeal dismissed upon the ground that the order sought to be appealed from does not finally determine the proceeding within the meaning of the Constitution. Motion for poor person relief dismissed as academic.

THE PEOPLE OF THE STATE OF NEW YORK ex rel. VINCENT TORRES, Appellant, v HAROLD T. GRAHAM, Superintendent, Auburn Correctional Facility, Respondent.

Submitted June 10, 2019; decided September 10, 2019

Reported below, 167 AD3d 1582.

Motion for reargument of motion for leave to appeal denied [*see* 33 NY3d 902 (2019)].

Judge FAHEY taking no part.

SUSAN WEINMAN RESCH et al., Appellants, v STATE OF NEW YORK et al., Respondents.

Decided September 10, 2019

Reported below, 172 AD3d 460.

Appeal dismissed without costs, by the Court of Appeals sua sponte, upon the ground that no substantial constitutional question is directly involved.

In the Matter of SHALOM BAYIT, LLC, Respondent, v KALMON GLOVIN et al., Appellants.

Submitted July 8, 2019; decided September 10, 2019

Reported below, 58 Misc 3d 155(A), 2018 NY Slip Op 50190(U).

Motion for reargument of motion for leave to appeal denied [*see* 33 NY3d 1009 (2019)].

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357 WEST 54TH STREET LLC, Respondent, v MADALINA IACOB, Appellant.

Submitted July 1, 2019; decided September 10, 2019

Reported below, 173 AD3d 419.

Motion for leave to appeal dismissed upon the ground that the order sought to be appealed from does not finally determine the action within the meaning of the Constitution.

In the Matter of CHASSIB WAHAB, Appellant, v MAPLE CREST GARDEN APARTMENTS et al., Respondents.

Decided September 10, 2019

Reported below, 171 AD3d 1193.

Appeal dismissed without costs, by the Court of Appeals sua sponte, upon the ground that no appeal lies as of right from the unanimous order of the Appellate Division absent the direct involvement of a substantial constitutional question.

In the Matter of MARTIN T. WALL, Appellant, v ANTHONY J. ANNUCCI, Respondent.

Decided September 10, 2019

Appeal transferred without costs, by the Court of Appeals sua sponte, to the Appellate Division, Fourth Department, upon the ground that a direct appeal does not lie when questions other than the constitutional validity of a statutory provision are involved (*see* NY Const, art VI, §§ 3 [b] [2]; 5 [b]; CPLR 5601 [b] [2]).

RICHARD H. WARNER, Individually and as Guardian of MARY DOROTHY WARNER, an Incapacitated Person, Appellant, v STATE OF NEW YORK, Respondent. (Claim No. 98768.) (Appeal No. 1.)

RICHARD H. WARNER, as Executor of the Estate of MARY DOROTHY WARNER, Deceased, Appellant, v STATE OF NEW YORK, Respondent. (Claim No. 105712.) (Appeal No. 2.)

RICHARD H. WARNER, Individually and as Guardian of MARY DOROTHY WARNER, an Incapacitated Person, Appellant, v STATE OF NEW YORK, Respondent. (Claim No. 98768.)

RICHARD H. WARNER, as Executor of the Estate of MARY DOROTHY WARNER, Deceased, Appellant, v STATE OF NEW YORK, Respondent. (Claim No. 105712.) (Appeal No. 3.)

Submitted July 8, 2019; decided September 10, 2019

Reported below, 166 AD3d 1525, 1526, 1527.

Motion for reargument of motion for leave to appeal denied [*see* 33 NY3d 905 (2019)].

UPSTATE JOBS PARTY et al., Appellants, v DUSTIN M. CZARNY et al., Respondents.

Submitted September 9, 2019; decided September 11, 2019

On the Court's own motion, appeal transferred, without costs, to the Appellate Division, Fourth Department, upon the ground that the constitutional question presented on this direct appeal is not substantial (*see Gerzof v Gulotta*, 40 NY2d 825 [1976]). Motion for ancillary relief dismissed as academic.

In the Matter of ALLY FINANCIAL, INC., Respondent, v ALL COUNTY TOWING AND RECOVERY, Appellant, et al., Respondent.

Submitted August 12, 2019; decided September 12, 2019

Reported below, 166 AD3d 1442.

Motion for reargument of motion for leave to appeal denied [*see* 33 NY3d 910 (2019)].

SUSAN ARANOFF, Respondent, v GERALD ARANOFF, Appellant.

Submitted July 15, 2019; decided September 12, 2019

Motion for reargument of motion for leave to appeal dismissed as untimely (*see* Rules of Ct of Appeals [22 NYCRR] § 500.24 [b]) [*see* 33 NY3d 1011 (2019)].

CYPRESS GROUP HOLDINGS, INC., Appellant, v ONEX CORPORATION et al., Respondents.

Submitted June 17, 2019; decided September 12, 2019

Reported below, 165 AD3d 453.

Motion for leave to appeal dismissed upon the ground that simultaneous appeals do not lie to both the Appellate Division and the Court of Appeals (*see Parker v Rogerson*, 35 NY2d 751, 753 [1974]).

EUROTECH CONSTRUCTION CORP., Appellant, v FISCHETTI & PESCE, LLP, Respondent.

Submitted July 15, 2019; decided September 12, 2019

Reported below, 169 AD3d 597.

Motion for leave to appeal dismissed upon the ground that the order sought to be appealed from does not finally determine the action within the meaning of the Constitution.

ROBERT D. HAAR, M.D., Appellant, v NATIONWIDE MUTUAL FIRE INSURANCE COMPANY, Respondent, et al., Defendants.

Submitted September 9, 2019; decided September 12, 2019

See 918 F3d 231.

Motion by Coalition Against Insurance Fraud et al. for leave to file a brief amici curiae on consideration of the certified question herein granted and the proposed brief is accepted as filed. The brief must be submitted in digital format within seven days.

Judge GARCIA taking no part.

Rosemarie A. Herman et al., Appellants, v 36 Gramercy Park Realty Associates, LLC, et al., Respondents, et al., Defendants.

36 Gramercy Park Realty Associates, LLC, et al., Respondents, v Rosemarie A. Herman, Appellant.

Submitted July 22, 2019; decided September 12, 2019

Reported below, 165 AD3d 405.

Motion for reargument of motion for leave to appeal denied [*see* 33 NY3d 1045 (2019)].

Judge Feinman taking no part.

Marsha Hewitt, Appellant, v Palmer Veterinary Clinic, PC, Respondent, et al., Defendant.

Submitted September 9, 2019; decided September 12, 2019

Reported below, 167 AD3d 1120.

Motion by New York State Trial Lawyers Association for leave to file a brief amicus curiae on the appeal herein granted and the proposed brief is accepted as filed. Two copies of the brief must be served, an original and nine copies filed, and the brief submitted in digital format within seven days.

In the Matter of Kyle Jiggetts, Appellant, v New York City Human Resources Administration et al., Respondents.

Submitted July 29, 2019; decided September 12, 2019

Reported below, 156 AD3d 552.

Motion for reargument of motion for leave to appeal denied [*see* 33 NY3d 1050 (2019)].

In the Matter of Bethany Kosmider, Respondent, v Mark Whitney, as Commissioner of the Essex County Board of Elections, Respondent, and Allison McGahay, as Commissioner of the Essex County Board of Elections, et al., Appellants.

Submitted August 12, 2019; decided September 12, 2019

Reported below, 160 AD3d 1151.

Motion for reargument denied [*see* 34 NY3d 48 (2019)].

JOHN KUZMICH et al., Appellants, v 50 MURRAY STREET ACQUISITION LLC, Respondent.

Submitted August 12, 2019; decided September 12, 2019

Reported below, 157 AD3d 556.

Motion for reargument denied with $100 costs and necessary reproduction disbursements [*see* 34 NY3d 84 (2019)].

NELLA MANKO, Appellant, v LENOX HILL HOSPITAL, Respondent.

Submitted June 24, 2019; decided September 12, 2019

Reported below, 2019 NY Slip Op 60317(U).

Motion for reconsideration of this Court's May 2, 2019 dismissal order denied [*see* 33 NY3d 995 (2019)].

NELLA MANKO, Appellant, v LENOX HILL HOSPITAL, Respondent.

Submitted August 12, 2019; decided September 12, 2019

Reported below, 2019 NY Slip Op 60317(U).

Motion for leave to appeal dismissed upon the ground that the orders sought to be appealed from do not finally determine the action within the meaning of the Constitution. Motion for poor person relief dismissed as academic.

SCOTT MYERS, Appellant, v STATE FARM INSURANCE, Respondent.

Submitted July 15, 2019; decided September 12, 2019

Reported below, 2019 NY Slip Op 65327(U).

Motion for reargument denied [*see* 33 NY3d 1052 (2019)].

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159 MP Corp. et al., Appellants, v Redbridge Bedford, LLC, Respondent.

Submitted June 24, 2019; decided September 12, 2019

Reported below, 160 AD3d 176.

Motion for reargument denied with $100 costs and necessary reproduction disbursements [*see* 33 NY3d 353 (2019)].

The People of the State of New York, Appellant, v Darryl Brown, Respondent.

Submitted August 19, 2019; decided September 12, 2019

Reported below, 160 AD3d 39.

Motion for reargument denied [*see* 33 NY3d 316 (2019)].

The People of the State of New York, Respondent, v Nicole L. Green, Also Known as Nicole Green, Appellant.

Submitted September 9, 2019; decided September 12, 2019

Reported below, 160 AD3d 1422.

Motion by New York County Lawyers Association Committee on Appellate Courts for leave to file a brief amicus curiae on the appeal herein granted and the proposed brief is accepted as filed. Two copies of the brief must be served, an original and nine copies filed, and the brief submitted in digital format within seven days.

The People of the State of New York ex rel. Evans D. Prieston, on Behalf of Kenel Beaubrun, Respondent, v Nassau County Sheriff's Department, Appellant.

Submitted September 9, 2019; decided September 12, 2019

Reported below, 163 AD3d 512.

Motion by The Bronx Defenders et al. for leave to file a brief amici curiae on the appeal herein granted and the proposed brief is accepted as filed. Two copies of the brief must be served, an original and nine copies filed, and the brief submitted in digital format within seven days.

PHILIP R. SHAWE, Appellant, v KRAMER LEVIN NAFTALIS & FRANKEL LLP et al., Respondents.

Submitted June 24, 2019; decided September 12, 2019

Reported below, 167 AD3d 481.

Motion for reargument dismissed as untimely (*see* Rules of Ct of Appeals [22 NYCRR] § 500.24 [b]) [*see* 33 NY3d 1009 (2019)].

In the Matter of PAUL WHITE, Appellant, v ANTHONY J. ANNUCCI, as Acting Commissioner of Corrections and Community Supervision, Respondent.

Submitted May 28, 2019; decided September 12, 2019

Reported below, 170 AD3d 1372.

On the Court's own motion, appeal dismissed, without costs, upon the ground that no substantial constitutional question is directly involved. Motion for leave to appeal denied. Motion for poor person relief dismissed as academic.

In the Matter of PAUL WHITE, Appellant, v ANTHONY J. ANNUCCI, as Acting Commissioner of Corrections and Community Supervision, et al., Respondents.

Submitted June 10, 2019; decided September 12, 2019

Reported below, 168 AD3d 1340.

On the Court's own motion, appeal dismissed, without costs, upon the ground that no substantial constitutional question is directly involved. Motion for leave to appeal denied.

In the Matter of PAUL WHITE, Appellant, v ANTHONY J. ANNUCCI, as Acting Commissioner of Corrections and Community Supervision, et al., Respondents.

Submitted June 10, 2019; decided September 12, 2019

Reported below, 2019 NY Slip Op 68978(U).

On the Court's own motion, appeal dismissed, without costs, upon the ground that the order appealed from does not finally determine the proceeding within the meaning of the Constitution. Motion for leave to appeal dismissed upon the ground that the order sought to be appealed from does not finally determine the proceeding within the meaning of the Constitution.

In the Matter of PAUL WHITE, Appellant, v ANTHONY J. ANNUCCI, as Acting Commissioner of Corrections and Community Supervision, Respondent.

Submitted July 8, 2019; decided September 12, 2019

Reported below, 2019 NY Slip Op 72142(U).

On the Court's own motion, appeal dismissed, without costs, upon the ground that the order appealed from does not finally determine the proceeding within the meaning of the Constitution. Motion for leave to appeal dismissed upon the ground that the order sought to be appealed from does not finally determine the proceeding within the meaning of the Constitution.

DIGEST-INDEX

ABUSE OF PROCESS.

See Process; Torts

ACCOUNTS AND ACCOUNTING.

See, also, Brokers; Executors and Administrators; Guardian and Ward; Incapacitated and Mentally Disabled Persons; Joint Ventures; Limitation of Actions; Partnership; Trusts, and other specific titles

ACTIONS.

See, also, Abatement and Revival; Dismissal and Nonsuit, and other specific titles

Class Actions.

1. Class Certification — Home Health Care Aides Alleging Labor Law Minimum Wage Violations.—In two putative class actions by home health care aides seeking to recover damages for Labor Law § 652 minimum wage violations, class certification was not foreclosed by the fact that damages may vary by class member, notwithstanding the determination that the New York State Department of Labor's (DOL) interpretation of its miscellaneous industries and occupations minimum wage order (12 NYCRR 142-2.1 [b] [wage order]) with respect to aides working 24-hour shifts was rational. The legislature enacted CPLR 901 (a) with a specific allowance for class actions in cases where damages differed among plaintiffs. Thus, a difference in damage awards was an insufficient basis to deny certification as a matter of law where a class may rely on representative evidence of the class-wide violations. Here, under DOL's interpretation, live-in, nonresidential employees, which includes home health care aides, must be paid not less than for 13 hours per 24-hour period provided that they are afforded at least eight hours for sleep and actually receive five hours of uninterrupted sleep and are afforded three hours for meals. It was for the courts below to determine whether plaintiffs' claims regarding systematic violations of the wage order by home health aide employers warrants class certification. *Andryeyeva v New York Health Care, Inc.*, 33 NY3d 152.

ADMINISTRATIVE LAW.

Judicial Review.

1. Statutory Construction of Sales Tax Exclusion.—In the case of statutory tax exclusions, the presumption is in favor of the taxing power. In general, a statute which levies a tax is to be construed most strongly against the government and in favor of the citizen. The principle is, however, applicable only in determining whether property, income, a transaction, or event is subject to taxation. The rule is otherwise with respect to the taxpayers' right to exclude items from taxation. When the matter at issue is subject to the taxing statutes, but the question is whether taxation is negated by a statutory exclusion or exemption, a different rule applies. An exemption from taxation and, therefore, a deduction, must clearly appear, and the party claiming it must be able to point to some provision of law plainly giving the exemption. If a statute or regulation authorizing an exemption is found, it will be construed against the taxpayer. This is because an exemption is not a matter of right, but is allowed only as a matter of legislative grace. *Matter of Wegmans Food Mkts., Inc. v Tax Appeals Trib. of the State of N.Y.*, 33 NY3d 587.

ADMINISTRATORS.

See Executors and Administrators

AGENCY.

See Brokers; Insurance; Principal and Agent

ALIMONY.

See Husband and Wife and Other Domestic Relationships

ANNULMENT OF MARRIAGE.

See Marriage

APPEAL.

See, also, Costs; Courts; Crimes; Unemployment Insurance; Workers' Compensation, and other specific titles

Finality of Judgments and Orders.

1. Appeal from Family Court Temporary Removal Order.—An appeal to the Court of Appeals from an Appellate Division order, which dismissed, as moot, an appeal from a Family Court order temporarily removing the child from respondent mother's custody in a proceeding pursuant to Family Court Act article 10, was dismissed upon the ground that the order appealed from did not finally determine the proceeding within the meaning of the Constitution. *Matter of Tyrell FF. (Jaquasisa GG.)*, 33 NY3d 1063.

Preservation of Issue for Review.

2. Trustee's Ability to Refile Claim Based on Timely Commencement by Certificate Holder.—Plaintiff, the trustee of three residential mortgage-backed securities trusts whose consolidated action alleging that defendant violated representations and warranties regarding the quality of loans contained in the securitization trust instruments was dismissed with prejudice as untimely, failed to preserve its claim that it may refile the action under CPLR 205 (a) due to the timely commencement of the original action by a certificate holder. Defendant, in a footnote in its motion to dismiss, argued that plaintiff could not use CPLR 205 (a) to cure the pleading deficiency by refashioning the case with the trustee as plaintiff. In its response, the trustee made no mention of section 205 (a) and did not argue before Supreme Court that it should be considered the same plaintiff as the certificate holder for purposes of that section. Because defendant's argument by its terms sought to persuade Supreme Court to dismiss the claim with prejudice, plaintiff trustee was required to respond and present its view of CPLR 205 (a) to that court to preserve its argument on appeal. *U.S. Bank N.A. v DLJ Mtge. Capital, Inc.*, 33 NY3d 84.

ARBITRATION.

See, also, Insurance

ARTICLE 78 PROCEEDING.

See Proceeding against Body or Officer

BANKS AND BANKING.

See, also, Bills, Notes and Checks

BILLS, NOTES AND CHECKS.

See, also, Banks and Banking

Interest.

1. Action to Recover on Missed Interest Payments after Claim on Principal Time-Barred Not Permitted.—The Court in *Amrusi v Nwaukoni* (155 AD3d 814 [2d Dept 2017]) impliedly permitted an action to recover on missed interest payments accruing after a claim on principal was time-barred. To the extent that the Court's decision has previously been read as endorsing that view, it should no longer be followed. *Ajdler v Province of Mendoza*, 33 NY3d 120.

2. Contractual Obligation to Make Post-Maturity Interest Payments.—Where an indenture provides that interest is due until the principal is paid, once an action to

BILLS, NOTES AND CHECKS—Cont'd

recover outstanding principal is time-barred, there can be no freestanding claim to enforce the obligation to make postmaturity interest payments. The date when principal is due—ordinarily the maturity date—serves as a legally significant benchmark because it marks the event upon which the obligation to pay postmaturity interest is conditioned. The obligation to pay postmaturity interest arises on the maturity date only if the bond issuer breaches the parties' agreement by failing to timely repay the principal. The recoverability of postmaturity interest payments is tethered to a claim for principal rather than a debt capable of a distinct claim. Once a creditor can no longer establish a right to repayment of principal, there is no basis or foundation upon which to allege a right to payment of postmaturity interest. *Ajdler v Province of Mendoza*, 33 NY3d 120.

CERTIORARI.

See Proceeding against Body or Officer

CHIROPRACTORS.

See Licenses; Physicians and Surgeons

CHURCHES.

See Religious Corporations and Associations

CITIES.

See Municipal Corporations

CIVIL RIGHTS.

Discrimination Based on Disability.

1. Judicial Review.—In a proceeding pursuant to CPLR article 78 and Executive Law § 298 seeking to review a determination of respondent New York State Division of Human Rights, which adopted the finding of an administrative law judge, made after a hearing, that petitioners/cross respondents discriminated against the complainant on the basis of her disability, the Appellate Division erroneously set aside a portion of the agency's determination. Accordingly, the Appellate Division judgment, insofar as appealed from, was reversed, the petition dismissed in its entirety, and cross petition granted to the extent that respondent's determination was confirmed. *Matter of Delkap Mgt., Inc. v New York State Div. of Human Rights*, 33 NY3d 925.

CIVIL SERVICE.

See, also, Arbitration; Labor Unions; Municipal Corporations; Public Officers; Schools, and other specific titles

Reinstatement.

1. Application of Civil Service Law § 71 to Labor Class Employees.—Petitioner, a labor class employee who suffered a workplace injury and was terminated after missing more than one year of work, did not fall within the ambit of Civil Service Law § 71, which governs reinstatement of public sector employees injured on the job, and, thus, respondent did not violate section 71 when it refused to reinstate petitioner. Section 71 was adopted to address the difficult situation created by the prolonged absence of a civil service employee due to injury. Under Civil Service Law § 75 delineated groups of employees may not be removed except for incompetency or misconduct shown after a hearing. Section 71 was designed to remove the procedural hurdle imposed by section 75 by allowing a state governmental employer to terminate an employee without resort to a disciplinary proceeding and providing the injured employee a mechanism for later reinstatement. Including petitioner within the coverage of section 71 would not serve its legislative purpose because, as a labor class employee, petitioner was not entitled to a disciplinary hearing before she was terminated. Moreover, even if respondent were forced to rehire petitioner, she could have been lawfully terminated the next

CIVIL SERVICE—Cont'd

day—an absurd result that would frustrate the statutory purpose. *Matter of Jordan v New York City Hous. Auth.*, 33 NY3d 408.

CLUBS.

See Associations

COLLEGES AND UNIVERSITIES.

Disciplinary Proceedings.

1. Denial of Hearing Adjournment Request Abuse of Discretion.—In a CPLR article 78 proceeding brought by petitioner student enrolled at respondent college, who was accused of multiple disciplinary violations including sexual assault of another student, the petition insofar as it sought to annul respondents' disciplinary determination was granted and the matter remitted to the Appellate Division with directions to remand to respondents for a new disciplinary hearing. Under the particular circumstances, respondents abused their discretion as a matter of law by failing to grant petitioner's requested three-hour adjournment of his scheduled administrative hearing so that his attorney could attend the proceeding. *Matter of Bursch v Purchase Coll. of the State Univ. of N.Y.*, 33 NY3d 1014.

CONDEMNATION.

See Eminent Domain

CONTRACTS.

See, also, Arbitration; Bills, Notes and Checks; Brokers; Frauds, Statute of; Infants; Insurance; Landlord and Tenant; Mortgages; Municipal Corporations; Sales; Specific Performance; State; Vendor and Purchaser, and other specific titles

COUNTIES.

See, also, Municipal Corporations

Industrial Development Agency.

1. Obligation to File Annual, Budget and Independent Audit Reports with Authorities Budget Office — Nonprofit Corporation Legally Affiliated with Local Authority.—Respondent New York State Authorities Budget Office's (ABO) determination that petitioner Madison Grant Facilitation Corporation (MGFC), a nonprofit local development corporation created by and legally affiliated with petitioner Madison County Industrial Development Agency (MCIDA), was required to file separate reports was not irrational, arbitrary and capricious or contrary to law. Under the Public Authorities Accountability Act (PAAA), every "local authority" must submit to ABO and others in state and local government detailed annual, budget, independent audit and other reports (*see* Public Authorities Law §§ 6 [3]; 2800 [1] [a], [b]; [2] [a], [b]; 2801 [1], [2]; 2802 [1], [2]). ABO is required under section 6 to conduct reviews and analysis of the operations, practices and reports of state and local authorities to assess compliance, to maintain a comprehensive inventory of public authorities, and assist state and local authorities in improving management practices and procedures for public disclosure of financial information. The Public Authorities Law (§ 2 [2] [c], [d]) defines a "local authority" to include both a local industrial development agency (IDA) and a local development corporation which is affiliated with a local IDA. Regardless of whether MGFC is a subsidiary of MCIDA or whether MCIDA has the authority to create a subsidiary, MGFC is clearly an "affiliate" of MCIDA, and the PAAA does not contain a reporting exception for subsidiaries. While information on ABO's website suggested an agency policy permitting some subsidiaries of public authorities to file consolidated reports with the parent, ABO had never permitted a purported subsidiary of a local IDA to file consolidated reports. Given the uncertainty of MGFC's status, it was not irrational or an abuse of discretion to decline to treat MGFC as a subsidiary for the limited reporting purpose. ABO's action was consistent with the language of the PAAA and ABO's mandate to ensure transparency. *Matter of Madison County Indus. Dev. Agency v State of N.Y. Auths. Budget Off.*, 33 NY3d 131.

COURT OF CLAIMS.

See State

COURTS.

Jurisdiction.

1. Long-Arm Jurisdiction — Due Process.—In a personal injury action to recover for injuries sustained in a shooting, long-arm jurisdiction could not be exercised under well-established due process precedent over defendant Ohio firearm merchant, who sold a gun to an Ohio resident in Ohio which was subsequently resold on the black market and used in the shooting of plaintiff in New York, because defendant lacked minimum contacts with New York. Defendant was authorized to sell handguns only in Ohio and only to Ohio residents, which he primarily accomplished through retail sales at gun shows held in various locations in Ohio. He did not maintain a website, had no retail store or business telephone listing, and did no advertising of any kind, except by posting a sign at his booth when participating in a gun show. In a series of transactions defendant sold handguns to another Ohio resident who had indicated he was acquiring inventory for the eventual opening of a gun shop, but instead brought the firearms to New York, illegally reselling the handgun used in the shooting of plaintiff to a Buffalo gang member. Despite the buyer's stated aspiration to open a gun shop in Buffalo, the record was devoid of evidence supporting plaintiffs' theory that, merely by selling handguns to the buyer, defendant intended to serve the New York market. Even if the buyer indicated that there was a chance that he might—at some undefined point in the future—transport the firearms to New York, defendant could not be said to have forged constitutionally sufficient ties with New York as there was no evidence that he took purposeful action, motivated by the entirely understandable wish to sell his products here such that he availed himself of the privilege of conducting activities within New York. *Williams v Beemiller, Inc.*, 33 NY3d 523.

CRIMES.

See, also, Bail; Constitutional Law; Contempt; Courts; District and Prosecuting Attorneys; Extradition; Grand Jury; Habeas Corpus; Infants (Juvenile Delinquents, Youthful Offenders); Motor Vehicles; Parole; Prisons and Prisoners, and other specific titles

Appeal.

1. Appellate Division Review Power.—The order of the Appellate Division which had affirmed a judgment of Supreme Court convicting defendant of criminal possession of a weapon in the second degree was affirmed. On the record, there was no basis to disturb the suppression determination. *People v Hill*, 33 NY3d 1076.

2. Discovery of Purported Jury Note — Reconstruction Hearing.—Where appellate counsel discovered a purported jury note, marked as an exhibit, in the court file maintained by the county clerk, while preparing defendant's appeal, and the Appellate Division directed Supreme Court to conduct a reconstruction hearing to clarify whether the exhibit was, in fact, a jury note requesting further information or instruction from the court pursuant to CPL 310.30, after which the trial court concluded that the exhibit was a draft or derelict note that was discarded by the jury and never submitted to the court, the subsequent Appellate Division order that affirmed the judgment convicting defendant was affirmed. Where the record does not establish that counsel was provided meaningful notice of the contents of a substantive jury note, the sole remedy is reversal and a new trial, not a reconstruction hearing. However, the purpose of the reconstruction hearing at issue here was not to determine whether the court complied with the counsel notice requirements of CPL 310.30 and *People v O'Rama* (78 NY2d 270 [1991]). Instead, the hearing was to determine whether, in the first instance, the exhibit reflected a "jury . . . request [to] the court for further instruction or information" (CPL 310.30) such that those obligations were triggered. Moreover, the finding of the courts below, following the reconstruction hearing, that the exhibit was a draft note that the

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jury discarded was supported by the record and, thus, beyond further review by the Court of Appeals. *People v Meyers*, 33 NY3d 1018.

3. Matters Reviewable — Mixed Question of Law and Fact — Challenge to Photographic Array.—Defendant's judgment of conviction did not warrant reversal on the basis of the suppression court's decision that an accidental viewing of his photograph by a witness to the events surrounding the underlying shooting was not police-arranged. Whether a photo display is unduly suggestive is a mixed question of law and fact and review by the Court of Appeals is limited to whether there is support in the record for the finding of the courts below. Here, such support existed. Moreover, the suppression court found the identification to be otherwise reliable. *People v Brown*, 33 NY3d 983.

4. Matters Reviewable — Reasonable Suspicion of Criminality.—The existence of record support for the determination of the courts below that the pursuit of defendant by the police was justified by a reasonable suspicion of criminal activity foreclosed further review by the Court of Appeals of that issue. *People v Gregory*, 33 NY3d 1017.

Conduct of Trial Judge.

5. Personally Negotiating and Entering into Cooperation Agreement with Codefendant — Fair Trial.—In the prosecution of defendant for robbery, the trial court judge, who personally negotiated and entered into a cooperation agreement with a codefendant requiring the codefendant to testify truthfully against defendant in exchange for a more lenient sentence, abandoned the role of a neutral arbitrator and assumed the function of an interested party, thereby creating a specter of bias and denying defendant his right to a fair trial. Every person accused of a crime has the right to a fair and impartial trial before an unbiased court and unprejudiced jury. In determining whether this right has been violated, the pertinent inquiry is not whether the judge is actually, subjectively biased, but whether the average judge in the same position is likely to be neutral, or whether there is an unconstitutional potential for bias. Although the law will allow a certain degree of judicial intervention in the presentation of evidence, the line is crossed when the judge takes on either the function or appearance of an advocate at trial. Here, whatever its subjective intentions, the trial court effectively procured a witness in support of the prosecution by inducing the codefendant to testify concerning statements the codefendant made to police, which identified defendant as one of the robbers, in exchange for the promise of a more lenient sentence. By tying its assessment of the truthfulness of the codefendant's testimony to that individual's prior statements to police, the trial court essentially directed the codefendant on how the codefendant must testify in order to receive the benefit of the bargain. Because the error was not subject to harmless error review, defendant was entitled to reversal of his conviction. *People v Towns*, 33 NY3d 326.

Disclosure.

6. Failure to Disclose Exculpatory Material.—Defendant was entitled to reversal of his murder conviction and a new trial where the People committed a *Brady* violation by failing to disclose a surveillance video from a camera inside the lobby of the building in front of which the victim was shot, which the prosecutor had reviewed before trial, and which, having captured the scene at the time of the shooting, including images of the victim and a key prosecution witness, would have changed the tenor of the trial. Where defendant did not specifically request the exculpatory or impeachment material, the test for whether the suppressed evidence is material is whether there is a reasonable probability that had it been disclosed to the defense, the result would have been different. Defendant need only show that the favorable evidence could reasonably be taken to put the whole case in such a different light as to undermine confidence in the verdict. Here, the case against defendant, who was arrested more than a year after the shooting, relied principally on witness testimony as there was no forensic evidence linking him to the murder. The video evidence could have been used to impeach the eyewitnesses, particularly the key witness's testimony that he was alone with the victim shortly before and after the shooting. The video showed people entering and exiting the

CRIMES—Cont'd

building, and an additional person at the scene interacting with the victim as he lay on the ground. The evidence of these other potential unidentified eyewitnesses could have been used to argue that the police did not conduct a thorough investigation. Moreover, the prosecutor's summation statements indicating that no video existed, in response to defense counsel having pointed out that no surveillance video from the lobby of the building had been introduced, characterized defense counsel's summation as a desperate attempt to distract the jury from the proof by reference to phantom evidence. *People v Ulett*, 33 NY3d 512.

7. Failure to Disclose Exculpatory Material — Prosecutor's Involvement with Witness's Burglary Case and Drug Treatment Program.—On defendant's motion to vacate his convictions based on a *Brady* violation, the Appellate Division erred in its determination that the trial jury could have found a tacit understanding that a witness who had testified against defendant at trial would receive or hoped to receive a benefit in his pending burglary case for his testimony. A witness's subjective hope of favorable treatment, absent any objective circumstances that reasonably substantiate that expectation, cannot unilaterally form the basis of a tacit understanding. Defendant's own witnesses at the CPL 440.10 hearing proved that there was no agreement with the witness—tacit or otherwise. The witness did not speak with law enforcement about defendant's case until after he had already brokered his agreement on his burglary case, pleaded guilty, and obtained a promise of a conditional sentence that left the possibility of a complete dismissal of his burglary conviction within his own control if he successfully completed a drug treatment program. The witness was the only one to testify that an agreement existed, and his testimony was found to be incredible by the hearing court. On the other hand, the trial prosecutor, after admitting to having appeared for the People at a hearing involving the trial witness after he had absconded from drug treatment, testified that she did not consider him a witness in defendant's case at that time as she had yet to investigate his statement, and that she asked to approach the bench at that appearance solely for the witness's safety. Moreover, one year after defendant's conviction, the trial witness was ultimately sentenced to the maximum term on his burglary conviction upon his failure to successfully complete drug treatment. A prosecutor's duty to disclose the existence of an agreement arises from the fact that the prosecutor and the witness have reached an understanding in which the witness's cooperation has been exchanged for some quid pro quo on the part of the prosecutor. That type of understanding, or the making of any assurances creating an expectation of some benefit, was plainly absent here. *People v Giuca*, 33 NY3d 462.

8. Failure to Disclose Exculpatory Material — Prosecutor's Involvement with Witness's Burglary Case and Drug Treatment Program — Materiality.—The Appellate Division, in failing to do the required materiality analysis after determining that a *Brady* violation occurred when the People failed to disclose favorable impeachment material derived from the circumstances of a prosecution witness's pending burglary case, erred in granting defendant's motion to vacate his convictions. To make a successful *Brady* claim, a defendant must show that the evidence is favorable to the defendant because it is either exculpatory or impeaching in nature; the evidence was suppressed by the prosecution; and prejudice arose because the suppressed evidence was material. A new trial is not automatically required whenever a combing of the prosecutors' files after the trial has disclosed evidence possibly useful to the defense but not likely to have changed the verdict. Assuming the People had an obligation to disclose the information about the witness, there was no reasonable possibility that it would have resulted in a different verdict. At trial, defendant's counsel accessed the witness's court file on his open burglary case and his extensive criminal history, emphasized that the witness was a career criminal, that the detective on defendant's case and a "DA" had appeared at the witness's drug court hearing, and that he continued to be released without bail despite repeated violations. This provided ample basis for counsel to argue that the witness had a bias in favor of the People, with the People's failure to request bail as the benefit conferred. Moreover, there was strong evidence of defendant's guilt at trial, including his incriminating statements to friends, his ef-

CRIMES—Cont'd

forts to dispose of the gun shortly after the murder, and the physical evidence at the crime scene linking him to the murder. *People v Giuca*, 33 NY3d 462.

EVIDENCE.

9. Hearsay — Past Recollection Recorded Exception.—In the prosecution of defendant for assault arising from an altercation outside a bar during which the victim suffered lacerations to his neck and face, Supreme Court did not abuse its discretion in admitting as a past recollection recorded the grand jury testimony of one of the arresting officers who testified at trial, but could not recall the circumstances leading to defendant's arrest. At trial, when a witness testifies in the presence of the defendant and before the trier of fact, the evidentiary doctrine of past recollection recorded allows a memorandum made of a fact known or an event observed in the past of which the witness lacks sufficient present recollection to be received in evidence as a supplement to the witness's oral testimony where the foundational requirements are met. Here, at trial the officer stated that he had previously testified truthfully and accurately at the grand jury to an event he had observed when that event was still fresh in his mind, and that reading the official minutes of the prior testimony did not refresh his present recollection. Although the officer, based on his lack of independent recollection, could not swear that the transcription of his testimony was accurate, the court stenographer's certification of the grand jury testimony, together with the officer's statement that he had testified truthfully and accurately, satisfied the requirement that the transcript of the official minutes was a correct representation of the prior testimony. A trivial typographical error in the transcript of the officer's testimony did not create an improper foundation, particularly where defendant fully explored the discrepancy on cross-examination. *People v Tapia*, 33 NY3d 257.

10. Photographic Evidence — Authentication.—In a prosecution for rape in the second degree and related crimes, the trial court did not abuse its discretion in admitting into evidence contested photographs, as they were sufficiently authenticated through the testimony of the complainant and the law enforcement agents who extracted them from defendant's cell phone and computers. *People v Pendell*, 33 NY3d 972.

11. Tape Recordings — Release of Recording of Telephone Calls Made by Defendant from Correctional Facility.—A correctional facility's release to prosecutors or law enforcement agencies of recordings of nonprivileged telephone calls made by pretrial detainees, who are notified that their calls will be monitored and recorded, does not violate the Fourth Amendment. Defendant inmate did not retain a reasonable expectation of privacy once the calls were intercepted by the correctional facility and there were no additional Fourth Amendment protections that would prevent the correctional facility from releasing the recording to prosecutors absent a warrant. Even if defendant subjectively believed that his calls were private—a notion that was largely belied by the record—that expectation was not objectively reasonable. Given the government's weighty interest in ensuring institutional security and order, surveillance is ubiquitous in the prison context. Where detainees are aware that their phone calls are being recorded, all reasonable expectation of privacy in the content of those phone calls is lost and there is no legitimate reason to think that the recordings, like any other evidence lawfully discovered, would not be admissible. *People v Diaz*, 33 NY3d 92.

12. Use of Prior Testimony.—In the prosecution of defendant for assault arising from an altercation outside a bar, Supreme Court's admission of the grand jury testimony of one of the arresting officers who testified at trial, but could not recall the circumstances leading to defendant's arrest, did not violate CPL 670.10. That section sets forth three specific types of former testimony to be admitted into evidence when the declarant is subsequently proved unable to attend trial for certain reasons, such as death, illness or incapacity, or that the declarant cannot with due diligence be found, or that the declarant is outside the state or in federal custody and cannot with due diligence be brought before the court. The admissible categories of prior testimony adhere to the constitutional right to confrontation by providing the defendant with an opportunity to cross-examine the declarant: testimony

CRIMES—Cont'd

that was given at a trial on the accusatory instrument, at a preliminary hearing on the felony complaint, or at a conditional examination under CPL article 660. In the absence of defendant's forfeiture of the right of confrontation, CPL 670.10 does not allow the People's use of grand jury testimony of an unavailable witness for the reason that there was no cross-examination in the prior proceeding. Here, however, the officer took the stand before the trier of fact, without objection by defendant, as a People's witness and was cross-examined by defendant. Those factors rendered the purpose of CPL 670.10 inapplicable here. Moreover, the People did not seek to introduce the grand jury testimony under section 670.10, but rather laid an adequate foundation for admission of the testimony as a past recollection recorded. *People v Tapia*, 33 NY3d 257.

Harmless and Prejudicial Error.

13. Admission of 911 Call.—In a robbery and assault prosecution, the trial court's admission of the call between the victim and the 911 operator under the excited utterance exception to the hearsay rule did not require reversal. Assuming, without deciding, that it was error to admit the 911 call, any such error would have been harmless. *People v Almonte*, 33 NY3d 1083.

14. Admission of Statements under Pedigree Exception.—The Appellate Division order affirming a judgment that had convicted defendant of various drug crimes was affirmed where, assuming, without deciding, that the trial court erroneously permitted testimony of defendant's response to custodial interrogation by police during the execution of a search warrant that he lived at the target premises as falling within the pedigree exception to *Miranda* requirements and CPL 710.30, such error was harmless. Given the jury's inability to reach a verdict on charges related to drugs found in an interior hallway closet of the apartment, the jury could not have relied on defendant's statement that he lived there to conclude that he possessed the drugs found in the bedroom where he was initially discovered by police, but not the drugs found outside that bedroom. The evidence of defendant's guilt was overwhelming and there was no reasonable possibility that, but for the error, the jury might have acquitted defendant of possession for the drugs in the bedroom. *People v Martin*, 33 NY3d 929.

15. DNA Evidence Not Relevant to Determinative Issue.—In a rape prosecution, any error in admitting DNA evidence in violation of defendant's Sixth Amendment rights by allowing an analyst who did not generate the DNA profile taken from defendant's buccal swab to testify at trial was harmless, where the DNA evidence did not go to the determinative issue of consent. The issue was whether the victim consented to sexual contact with defendant; identification was not at issue. *People v Lopez-Mendoza*, 33 NY3d 565.

16. Refusal to Charge Remote Lesser Included Offenses.—In a prosecution for murder in the second degree and manslaughter in the first degree, any error in the trial court's denial of defendant's request to submit to the jury the lesser included offenses of manslaughter in the second degree and criminally negligent homicide was harmless. Furthermore, defendant's conviction of the lesser inclusory count of first-degree manslaughter, which the Appellate Division dismissed as required by CPL 300.40 (3) (b), did not change the harmless error analysis. The jury's guilty verdict on the indictment's highest count despite the availability of the next lesser included offense for their consideration foreclosed defendant's challenge to the court's refusal to charge the remote lesser included offenses, because it dispelled any speculation as to whether the jury might have reached a guilty verdict on the still lower degrees of homicide. *People v McIntosh*, 33 NY3d 1064.

Indictment.

17. Improper Waiver.—Where a felony complaint charged defendant with second-degree murder, a class A felony with a maximum sentence of life imprisonment, his waiver of indictment was improper, and the trial court improperly proceeded by a superior court information charging only first-degree manslaughter and lacked jurisdiction to accept his guilty plea to that offense. Under both the New York State Constitution and Criminal Procedure Law, a defendant who is held for the action

CRIMES—Cont'd

of the grand jury on a class A felony punishable by life imprisonment may not waive indictment by the grand jury and agree to be prosecuted for a lesser included offense in order to facilitate a plea bargain on the homicide offense (NY Const, art I, § 6; CPL 195.10). Defendant, having been held for action of the grand jury on the class A felony, could not effectively waive indictment and agree to be prosecuted by information for first-degree manslaughter. *People v Monforte*, 33 NY3d 1124.

JURORS.

18. Selection of Jury — Trial Court's Resolution of *Batson* Challenge.—The trial court's credibility determination regarding whether the prosecutor's peremptory strike of an African American prospective juror was racially motivated was supported by the record and it could not be said as a matter of law that the proffered reason was pretextual. In response to defense counsel's *Batson* challenge, the prosecutor stated that the prospective juror was "[d]ismissive and rude," and the trial court accepted that race-neutral explanation after thorough questioning. *People v Malloy*, 33 NY3d 1078.

JUSTIFICATION.

19. Initial Aggressor.—In the prosecution of defendant for fatally shooting his daughter's boyfriend, who was unarmed and had swiped at defendant's gun after defendant wielded it during an argument between the two in the lobby of defendant's apartment building, the trial court's refusal to charge justification was not error, because defendant was the initial aggressor as a matter of law. A defendant is never justified in using deadly physical force if that defendant is the "initial aggressor": the first person in an altercation who uses or threatens the imminent use of deadly physical force (Penal Law § 35.15 [1] [b]). To determine who the initial aggressor is, both the sequence of the attacks (or imminently threatened attacks) and the nature of those attacks matter, and the question is which attacks were physical force and which attacks were deadly physical force. The imminent threat to use a gun against another is a threat of deadly physical force, and the first person to make such an imminent threat is the initial aggressor with respect to deadly physical force. Here, defendant placed his gun in a position where he was readily able to aim and fire it imminently, and did so before the victim's efforts to "swipe" at the gun. The circumstances surrounding that act—where a verbal altercation between defendant and the victim preceded it, where the victim was unarmed, where the armed defendant pursued the victim into the building's lobby, and where both defendant's daughter and the victim himself expressed their subjective belief that defendant had threatened the imminent use of deadly force—provided further support for the trial court's conclusion that defendant's drawing of a gun could only be understood as an imminent threat of deadly physical force. As no reasonable jury could conclude based on the evidence either that defendant withdrew from the encounter after drawing his gun, communicated that withdrawal to the victim, and the victim thereafter used or threatened imminent use of deadly physical force, or that the victim himself was the initial "deadly force" aggressor, the initial aggressor rule barred defendant from claiming justification. *People v Brown*, 33 NY3d 316.

20. Jury Instruction — Crime Containing Dangerous Instrument Element.—A defendant charged with a crime containing a dangerous instrument element may, in a rare case, be entitled to a jury instruction on the justified use of non-deadly (or "ordinary") physical force. While deadly physical force requires force which, under the circumstances in which it is used, is readily capable of causing death or other serious physical injury, and a dangerous instrument is defined as an instrument which, under the circumstances in which it is used, attempted to be used or threatened to be used, is readily capable of causing death or other serious physical injury, there is no per se rule regarding which justification instructions are appropriate based solely on the fact that the defendant has been charged with second-degree assault with a dangerous instrument (Penal Law § 120.05 [2]). Rather, the trial court must determine whether any reasonable view of the evidence would permit the factfinder to conclude that defendant's conduct was justified, and, if so, which instructions are applicable. *People v Vega*, 33 NY3d 1002.

CRIMES—Cont'd

21. Jury Instruction — Second-Degree Assault with Dangerous Instrument.—In a prosecution arising from defendant beating the victim with a belt, wherein one count of second-degree assault required the People to prove that with intent to cause physical injury to the victim, defendant caused such injury by means of a dangerous instrument, i.e., the belt with a metal buckle (Penal Law § 120.05 [2]), the jury instruction regarding justification did not require reversal. The trial court instructed the jury on the justified use of non-deadly physical force in connection with the lesser included offense of third-degree assault, which does not contain a dangerous instrument element (Penal Law § 120.00 [1]), and, at the People's request, instructed the jury that if it found beyond a reasonable doubt that defendant used a dangerous instrument, then it should apply the legal rules pertaining to the justified use of deadly physical force (Penal Law § 35.15 [2]). There was no reasonable view of the evidence that defendant merely "attempted" or "threatened" to use the belt in a manner readily capable of causing death or serious physical injury (Penal Law § 10.00 [13]) but that he did not "use" it in that manner (Penal Law § 10.00 [11]), under the statutory definitions of "dangerous instrument" and "deadly physical force." *People v Vega*, 33 NY3d 1002.

22. Use of Deadly Physical Force — Second-Degree Assault with Dangerous Instrument.—In a prosecution arising from an altercation in which defendant struck the complainant on the head with a pint glass, defendant was not entitled to a deadly force justification charge with respect to a charge of second-degree assault by means of a dangerous instrument (Penal Law § 120.05 [2]). Based on the record, in order to convict defendant of that charge, the jury would necessarily determine that defendant employed deadly, rather than ordinary, physical force. The evidence at trial, including video surveillance, showed that, at the time defendant employed deadly physical force, the complainant had merely pushed defendant and then rested his hands at his sides while another person attempted to separate him from defendant. Defendant could not have reasonably believed that the complainant was using or about to use deadly physical force (Penal Law § 35.15 [2]). *People v Rkein*, 33 NY3d 1001.

Lesser Included Offense.

23. Assault in Third Degree as Lesser Included Offense of Assault in Second Degree.—In a prosecution for assault in the second degree arising from defendant slashing his former girlfriend's face and neck with a sharp instrument and repeatedly stomping on her head with his boot-clad foot, defendant was not entitled to an instruction on a lesser-included charge of assault in the third degree, since no reasonable view of the evidence supported a finding that the victim sustained anything less than a serious physical injury (*see* Penal Law § 10.00 [10]). Both live and photographic evidence at trial, 10 months after the attack, demonstrated that the victim's face was disfigured with scars above one eyebrow, under the other eye, on her lip and across her neck, and that apart from the scars, her facial structure and appearance had changed significantly. Testimony from her treating physician established that she suffered at least five displaced fractures around her eye sockets and nose, which were left to heal as displaced. *People v Sipp*, 33 NY3d 1119.

24. Robbery and Assault.—In a prosecution in which defendant was convicted of two counts of robbery in the second degree, attempted assault in the first degree and assault in the second degree, the trial court properly denied defendant's request to charge the jury on the lesser included offense of assault in the third degree (Penal Law § 120.00 [1]) where defendant failed to show that there was a reasonable view of the evidence that would support a finding that he committed the lesser included offense but not the greater. Moreover, charging the lesser included offense would have forced the jury to resort to sheer speculation. *People v Almonte*, 33 NY3d 1083.

Plea Bargaining.

25. Enforcement of Agreement — Scope of Cooperation Agreement.—In a prosecution for murder and assault, where defendant confessed to the crimes and explained that they were retaliation for a prior invasion of his home by the murder

CRIMES—Cont'd

victim and others and then entered into a written cooperation agreement in exchange for a favorable sentence, the trial court properly determined that defendant's refusal to testify in connection with the home invasion prosecution against an associate of the murder victim, who was also an alleged perpetrator of the home invasion, violated the express terms of his cooperation agreement. The plain language of the agreement whereby defendant promised to "cooperate completely and truthfully . . . on all matters in which his cooperation [was] requested, including but not limited to" the prosecution of his accomplices on charges related to the murder and assault, was objectively susceptible to but one interpretation. The trial court, therefore, did not abuse its discretion by denying defendant's motion to withdraw his guilty plea based on his claimed subjective misinterpretation of the agreement or by concluding, to the contrary, that defendant reasonably understood that his cooperation in the home invasion prosecution was required. When defendant signed the agreement, he already had testified to the associate's involvement in the home invasion before the grand jury in the murder and assault prosecution, and he also had assisted the police with their investigation of the home invasion by identifying that individual in a photo array. *People v Rodriguez*, 33 NY3d 956.

Right of Confrontation.

26. Admission of Prior Grand Jury Testimony of Trial Witness.—In a prosecution for assault arising from an altercation outside a bar, defendant's Sixth Amendment right to confrontation was not violated when the trial court admitted as a past recollection recorded the grand jury testimony of one of the arresting officers who testified at trial, but could not recall the circumstances leading to defendant's arrest. The right to confrontation guarantees the right to cross-examine all witnesses and the ability to literally confront the witness who is providing testimony against the accused in a face-to-face encounter before the trier of fact. The Confrontation Clause is satisfied when those requirements are fulfilled, even if the witness's memory is faulty. When the declarant appears for cross-examination at trial, the Confrontation Clause places no constraints at all on the use of his or her prior testimonial statements. Thus, the arresting officer's presence at trial as a testifying witness, where he was subjected to cross-examination before the trier of fact who must assess the credence and weight to be accorded to his testimony as a whole, precluded defendant's Confrontation Clause argument. *People v Tapia*, 33 NY3d 257.

Right to Counsel.

27. Effective Representation — Appellate Counsel.—Defendant was provided with meaningful representation on his direct criminal appeal under the New York State Constitution notwithstanding counsel's failure to challenge defendant's sentence as unduly harsh and severe, and claimed deficiencies in the quality of both the appellate brief and appellate counsel's communication with defendant. The fairness of defendant's direct appeal was not compromised by appellate counsel's performance. Apart from his own allegation, defendant provided no proof that his appellate counsel failed to adequately communicate with him. While the brief filed by appellate counsel was somewhat terse, could have been better drafted, and was not a model to be emulated, it demonstrated appellate counsel's grasp of the relevant facts and law. Appellate counsel raised four reviewable issues that triggered plenary review by the Appellate Division, which ultimately addressed each issue on the merits. Given the heinous nature of defendant's violent crimes, as well as defendant's lamentable behavior and lack of remorse at sentencing, it could not be said that appellate counsel lacked a sound, strategic reason to forgo pursuing a discretionary reduction of defendant's sentence that had little chance of success. *People v Alvarez*, 33 NY3d 286.

28. Effective Representation — Failure to File Criminal Leave Application.—Appellate counsel's failure to file a criminal leave application with the Court of Appeals did not, on its own, constitute ineffective assistance of counsel under either the Federal or State Constitutions. Defendant did not identify any claim that should have been raised in a criminal leave application, and the only claim he faulted counsel for failing to raise in the Appellate Division—that the sentence

CRIMES—Cont'd

was unduly harsh and severe—would be unreviewable by the Court of Appeals. *People v Alvarez*, 33 NY3d 286.

29. Effective Representation — Failure to Review Surveillance Video Evidence — Insufficient Record.—The record in defendant's rape prosecution was insufficient to show that defendant was denied the effective assistance of counsel based on trial counsel's alleged failure to review or to comprehend the significance of surveillance video evidence contradicting defendant's grand jury testimony of a consensual sexual encounter with the victim and to call defendant to the stand after promising in his opening statement to do so. Although it cannot be said that a total failure to investigate the facts of a case, or review pertinent records, constitutes a trial strategy resulting in meaningful representation, the limited record in this case did not conclusively establish that counsel was ineffective. On its own, the decision not to call a witness after promising to do so does not establish ineffective assistance of counsel as a matter of law. Further, the jury never learned of defendant's grand jury testimony and he was never subjected to cross-examination with it. But on the record, it could not be determined whether that was part of a strategy employed by counsel, because the record did not address defense counsel's strategic trial decisions, if any. In addition, because the question of whether counsel viewed the entirety of the surveillance footage was never addressed head on, the record did not indicate whether defense counsel reviewed the video before determining a trial strategy. Accordingly, it could not be determined whether, before trial, counsel reviewed and understood the import of the video evidence. Moreover, it was also possible—and undeterminable on the record—that defendant, having heard the trial evidence, himself decided not to testify. *People v Lopez-Mendoza*, 33 NY3d 565.

30. Effective Representation — Jury Nullification Defense.—In the prosecution of defendant for second-degree burglary and petit larceny after he admitted to and was caught on surveillance video on two occasions unlawfully entering a multi-residential apartment building and stealing the contents of packages from the mailbox area of the lobby, the representation by defense counsel, who advanced a jury nullification defense at trial, did not constitute ineffective assistance of counsel when viewed as a whole on the record. While jury nullification is not a legally sanctioned function of a jury and should not be encouraged by a court, there is nothing to prevent a jury from exercising mercy by acquitting a defendant although finding the prosecution has proved its case. Defense counsel argued, without much interference from the trial court, that the burglary charges did not fit the facts because defendant did not break any locks, did not enter anyone's apartment, did not possess burglar's tools, and took only mail packages containing pairs of pants and dog training pads. Given the overwhelming evidence against his client and constrained by the limited defense strategies available, counsel raised what he reasonably perceived could be factual issues in the case, such as the method of defendant's entry into the building. His performance included cogent opening and closing arguments, a motion to dismiss after the People's case-in-chief, and thorough cross-examination of the People's witnesses. Moreover, the trial court did not curb counsel's jury nullification summation arguments. *People v Mendoza*, 33 NY3d 414.

Right to Representation Pro Se.

31. Denial of Request — Malingering.—The trial court did not abuse its discretion in denying defendant's request to proceed pro se, inasmuch as defendant engaged in conduct which would prevent the fair and orderly exposition of the issues. The trial court had concluded—based upon, among other things, its own observations of defendant's conduct throughout lengthy proceedings and the testimony of defendant's attending physician—that defendant engaged in malingering insofar as he was competent to proceed but persisted in his efforts to avoid trial. *People v Gregory*, 33 NY3d 1017.

Sentence.

32. Concurrent and Consecutive Terms — Unlawful Possession of Loaded Weapon and Subsequent Crime with That Weapon.—The trial court lawfully

CRIMES—Cont'd

imposed consecutive sentences for defendant's convictions of second-degree murder (Penal Law § 125.25 [1]) and second-degree criminal possession of a weapon (Penal Law § 265.03 [3]), where video surveillance showed him in possession of a gun several minutes before approaching the victim, supporting the conclusion that he possessed the weapon for a sufficient period of time before forming the specific intent to kill. *People v Malloy*, 33 NY3d 1078.

33. Second Felony Offender — Predicate Conviction — Controlling Sentencing Date.—In determining a defendant's predicate felony status, the date on which sentence was first imposed upon a prior conviction—not the date of any subsequent resentencings on that same conviction—is the relevant date for purposes of determining when "[s]entence upon such prior conviction [was] imposed" (Penal Law § 70.06 [1] [b] [ii]). A prior conviction will not constitute a predicate felony unless it satisfies the "sequentiality requirement"—namely, that the "[s]entence upon such prior conviction must have been imposed before commission of the present felony" (Penal Law § 70.06 [1] [b] [ii]). Relatedly, the sentence also must have been imposed not more than 10 years before commission of the present felony (Penal Law § 70.06 [1] [b] [iv]). A resentence on a prior conviction imposed after the commission of a subsequent crime does not disrupt sequentiality such that the sentence upon such prior conviction can no longer be considered to have been imposed prior to commission of the present felony. The statutory text of Penal Law § 70.06, itself, establishes that the term "sentence" is not synonymous with the term "resentence." Specifically, for purposes of the sequentiality requirement and 10-year look-back period, the definition of a "sentence" is set forth in section 70.06 (1) (b) (iii), and it does not include any reference to a "resentence." The express language of the predicate felony statutes, not the plenary or clerical nature of the resentencing, determines the date that sentence upon the prior conviction was imposed. Moreover, the legislature has determined that merely hearing a sentence imposed should deter further unlawful conduct. Accordingly, defendant's motion to set aside his sentence as a second felony offender on the ground that his prior convictions were no longer predicate felonies because he was resentenced on both after the commission of the present felony was denied. *People v Thomas*, 33 NY3d 1.

Sex Offenders.

34. Sex Offender Registration Act — Failure to Register or Verify as Sex Offender — Failure to Register Facebook Account.—A Facebook account is not an "Internet identifier" which a sex offender must disclose to the Division of Criminal Justice Services (DCJS) pursuant to Correction Law § 168-f (4), as neither Facebook nor the Facebook account is an email address or a "designation[ ] used for the purposes of chat, instant messaging, social networking or other similar internet communication" (Correction Law § 168-a [18]). Accordingly, the indictment charging defendant with failing to register or verify as a sex offender in violation of Correction Law § 168-f (4) on the theory that he failed to disclose his Facebook account as an Internet identifier was jurisdictionally defective. The Internet identifier an offender uses to access the Facebook account must be disclosed to DCJS, and here, defendant disclosed the email address that he used to access his Facebook account. Similarly, the name one uses to interact with other users on Facebook may be an Internet identifier that must be disclosed to DCJS, and there was no dispute that defendant used his real, full name to interact with other Facebook users. The legislature could have easily included among the mandatory disclosure provisions of Correction Law § 168-f (4) the "authorized Internet entities" that a sex offender uses, such as Facebook. Presently, however, that statute does not require sex offenders to disclose to DCJS the authorized Internet entities that they use. The indictment therefore accused defendant of performing acts that simply did not constitute a crime. *People v Ellis*, 33 NY3d 582.

Unlawful Search and Seizure.

35. Encounter Rising Beyond Level-One Request.—Police officers, having observed defendant exit and reenter a building in a public housing development several times, possessed the requisite objective credible reason to approach him and ask briefly about his identity, destination, or reason for being in the area.

CRIMES—Cont'd

However, after defendant explained that he was visiting a friend who lived in the building, and provided his identification, the encounter rose beyond a level-one request for information, which the People failed to justify as lawful. An officer took defendant's identification to the eleventh floor of the building to verify whether the occupant of the apartment defendant identified knew him, while another officer instructed defendant to "stand right there" under the watch of two officers, and when the first officer returned, having determined that the occupant of the apartment did not know defendant, defendant was arrested for trespassing. Accordingly, defendant's motion to suppress drugs recovered from his person during a search incident to his arrest was granted. *People v Hill*, 33 NY3d 990.

VACATUR OF JUDGMENT OF CONVICTION.

36. Improper Summary Denial of CPL 440.10 Motion — Possible Conflict of Interest Arising from Concurrent Representation.—The Supreme Court abused its discretion in determining that a hearing was not warranted to address the allegations contained in defendant's CPL 440.10 motion regarding his trial attorney's concurrent representation of a witness to the crimes, on unrelated charges, and whether any conflict of interest existed warranting reversal of his judgment of conviction. Upon a CPL 440.10 motion, the court must consider "all papers of both parties . . . and . . . all documentary evidence or information, if any, . . . for the purpose of ascertaining whether the motion is determinable without a hearing to resolve questions of fact" (CPL 440.30 [1] [a]). A court may deny a motion to vacate a judgment of conviction without conducting a hearing in certain specific circumstances (*see* CPL 440.30 [4]). Here, although defendant had informed Supreme Court during a pretrial conflicts inquiry that he or his family had hired his trial attorney, he alleged in his postconviction motion that the witness paid the attorney to represent defendant, resulting in an undisclosed and "unwaivable" conflict, and that the attorney failed to explain any possible conflict of interest related to the witness's payment of defendant's legal fees. Furthermore, defendant submitted an affirmation from his current appellate counsel, who relayed details of a conversation he affirmed he had with the trial attorney about the payment of defendant's legal fees, and recorded prison phone calls, which purportedly corroborated defendant's allegation that the witness hired and paid for his trial attorney. *People v Brown*, 33 NY3d 983.

WITNESSES.

37. Failure to Call Witness — Missing Witness Charge.—In a prosecution arising from a shooting that resulted in serious injury to the victim, Supreme Court abused its discretion in declining to give a missing witness charge with respect to the victim's boyfriend, who was originally on the People's witness list and who had seen the shooter before the victim and attempted to push the victim out of the way before fleeing the scene. The proponent of a missing witness charge initially must demonstrate that there is an uncalled witness believed to be knowledgeable about a material issue pending in the case, that the witness can be expected to testify favorably to the opposing party, and that the opposing party has failed to call the witness. While the party opposing the charge can defeat an initial prima facie showing by accounting for the witness's absence or demonstrating that the charge would not be appropriate, a burden that can be met by demonstrating, among other things, that the witness's testimony would be cumulative, the proponent is never required to negate cumulativeness to meet its initial burden. The proponent lacks the information necessary to know what the uncalled witness would have said, and thus whether the testimony would be cumulative. Here, defendant established that the victim's boyfriend likely was knowledgeable about the identity of the man who shot the victim, as he was the only eyewitness to the shooting other than the victim. In addition, inasmuch as the boyfriend was on the People's initial witness list, he had cooperated to some extent with the People, and was thus under their control and would be expected to testify favorably to them. The burden then shifted to the People to establish why the charge would be inappropriate, and their simple assertion, without explanation, that there was no indication that the boyfriend's testimony would provide anything that was not provided by

CRIMES—Cont'd

the victim was insufficient to satisfy that burden. Instead, the record evidence, including the victim's inconsistencies in the descriptions of the incident, indicated that the boyfriend's testimony would not have been cumulative. *People v Smith*, 33 NY3d 454.

38. Failure to Call Witness — Missing Witness Charge.—Under *People v Gonzalez* (68 NY2d 424 [1986]), the proponent of a missing witness charge initially must demonstrate that there is an uncalled witness believed to be knowledgeable about a material issue pending in the case, that the witness can be expected to testify favorably to the opposing party, and that the opposing party has failed to call the witness. The party opposing the charge can defeat an initial prima facie showing by accounting for the witness's absence or demonstrating that the charge would not be appropriate, a burden that can be met by demonstrating, among other things, that the witness's testimony would be cumulative. If the party opposing the charge meets its burden by rebutting the prima facie showing, the proponent retains the ultimate burden to show that the charge would be appropriate. Appellate Division decisions placing the burden of negating cumulativeness on the charge's proponent have misapplied that established precedent. The Court of Appeals reaffirms again the long-standing rule established in *Gonzalez*, and rejects any decisions placing the initial cumulativeness burden on the proponent of a missing witness charge (*see e.g. People v Chestnut*, 149 AD3d 772, 773 [2d Dept 2017], *lv denied* 29 NY3d 1077 [2017]; *People v McBride*, 272 AD2d 200, 200 [1st Dept 2000], *lv denied* 95 NY2d 868 [2000]; *People v Townsley*, 240 AD2d 955, 958 [3d Dept 1997], *lv denied* 90 NY2d 943 [1997], *denied upon reconsideration* 90 NY2d 1014 [1997]). *People v Smith*, 33 NY3d 454.

DEBTOR AND CREDITOR.

See Assignments for Benefit of Creditors; Attachment; Creditors' Suits; Execution; Fraudulent Conveyances; Liens; Lis Pendens; Mortgages, and other specific titles

DECEDENTS' ESTATES.

See Aliens; Courts (Surrogate's Court); Dead Bodies; Death; Descent and Distribution; Domicile; Executors and Administrators; Gifts; Insurance; Powers; Taxation; Trusts; Wills, and other specific titles

DENTISTS.

See Licenses; Physicians and Surgeons

DEPOSITIONS.

See Disclosure

DISCLOSURE.

Medical Records and Reports.

1. Waiver of Physician-Patient Privilege — Issue Placed into Controversy.—The trial court erred in denying defendants' motion to compel plaintiff to provide discovery related to the prior treatment of her knees, where plaintiff had affirmatively placed the condition of her knees into controversy by alleging that the underlying accident caused difficulties in walking and standing that affected her ambulatory capacity and resultant damages. Under the particular circumstances, plaintiff waived the physician-patient privilege with respect to the prior treatment and the discovery sought by authorizations pertaining to the treatment was "material and necessary" to defendants' defense of the action (CPLR 3101 [a]). *Brito v Gomez*, 33 NY3d 1126.

DISCONTINUANCE.

See Dismissal and Nonsuit

DISCOVERY AND INSPECTION.

See Disclosure

INSURANCE—Cont'd

No-Fault Automobile Insurance.

1. Recovery of First Party No-Fault Benefits — Fraudulent Incorporation Defense.—A finding of common-law fraud is not required for an insurer to withhold payments to a medical service corporation improperly controlled by nonphysicians, and the trial court did not err in declining to give a charge requiring the jury to find fraudulent intent or conduct tantamount to fraud by plaintiff corporation in order to reach a verdict in favor of defendant insurer. A corporate practice that shows willful and material failure to abide by licensing and incorporation statutes may support a finding that the provider is not an eligible recipient of reimbursement under 11 NYCRR 65-3.16 (a) (12) or the interpretation of that regulation in *State Farm Mut. Auto. Ins. Co. v Mallela* (4 NY3d 313 [2005]) without meeting the traditional elements of common-law fraud. A jury is not required to evaluate the extent to which corporate misconduct approximates fraud. The no-fault insurance regulations make providers ineligible for reimbursement when their violations of Business Corporation Law §§ 1507, 1508 or Education Law § 6507 (4) (c) are more than merely technical and rise to the level of a grave violation such as fraud. Here, the jury's finding that plaintiff was in material breach of the foundational rule for professional corporation licensure—namely that it be controlled by licensed professionals—was enough to render plaintiff ineligible for reimbursement under 11 NYCRR 65-3.16 (a) (12). Nor could the improper control of plaintiff by unlicensed persons be considered simply an instance of improper fee splitting of a professional corporation's profits with a nonphysician as the jury determined that plaintiff was controlled by unlicensed persons rather than merely splitting fees with them. *Andrew Carothers, M.D., P.C. v Progressive Ins. Co.*, 33 NY3d 389.

INTELLECTUAL PROPERTY LAW.

See Copyrights; Patents; Trademarks, Trade Names and Unfair Competition

INTERVENTION.

See Parties

JUDGES.

Removal from Office.

1. The Court of Appeals, on its own motion, removed a Town Court Justice from office pursuant to NY Constitution, article VI, § 22 and Judiciary Law § 44 (8). *Matter of Winchester*, 33 NY3d 970.

JUDGMENTS.

See, also, Execution, and other specific titles

JUDICIAL NOTICE.

See Evidence

LABOR.

See, also, Arbitration; Civil Service; Employment Relationships; Labor Unions; Municipal Corporations; Schools; State; Unemployment Insurance; Workers' Compensation, and other specific titles

Hours and Wages.

1. Home Health Care Aide Employees — Department of Labor's Interpretation of Minimum Wage Order Regarding 24-Hour Shifts.—In two putative class actions by home health care aides seeking to recover damages for Labor Law § 652 minimum wage violations, the Appellate Division erroneously disregarded the New York State Department of Labor's (DOL) interpretation of its miscellaneous industries and occupations minimum wage order (12 NYCRR 142-2.1 [b] [wage order]) with respect to aides working 24-hour shifts in determining that class certifi-

LABOR—Cont'd

cation was appropriate. Section 142-2.1 (b) provides that "minimum wage shall be paid for the time an employee is permitted to work, or is required to be available for work at a place prescribed by the employer," but that, for residential employees, such time does not include the employee's normal sleeping hours solely because the employee is required to be on call during those hours, or any time the employee is free to leave the place of employment. In response to questions about the application of the wage order to home health care aides, DOL issued an opinion letter, stating that live-in, nonresidential employees, which includes home health care aides, must be paid not less than for 13 hours per 24-hour period provided that they are afforded at least eight hours for sleep and actually receive five hours of uninterrupted sleep and are afforded three hours for meals. This interpretation was consistent with how DOL interpreted the wage order for decades, and reflected informed judgment grounded in its specialized knowledge of the home health care industry. DOL gave meaning to the language "available for work" as used in the wage order by interpreting it in the context of a 24-hour shift to exclude the hours when the employee is not working because the employee is on a scheduled sleep and meal break. The interpretation also harmonized with the federal approach, and there was nothing unreasonable or irrational about recognizing the similarities and dissimilarities between residential and nonresidential employees to reach the conclusion that a home health care aide assigned to a 24-hour shift should have significant amounts of regularly scheduled work-free periods. If the aide does not receive the minimum break time because the patient needs assistance, the aide is paid for 24 hours of work time. *Andryeyeva v New York Health Care, Inc.*, 33 NY3d 152.

LANDLORD AND TENANT.

See, also, NEGLIGENCE (MAINTENANCE OF PREMISES)

YELLOWSTONE INJUNCTION.

1. Waiver in Commercial Lease of Right to Commence Declaratory Judgment Action.—Plaintiff commercial tenants' waiver of the right to commence a declaratory judgment action as to the terms of their leases was not rendered unenforceable because it resulted in an inability to obtain *Yellowstone* relief (*First Natl. Stores v Yellowstone Shopping Ctr.*, 21 NY2d 630 [1968]). *Yellowstone* relief is not an end in itself but merely a means of maintaining the status quo by tolling a contractual cure period during a pending action, permitting a tenant who loses on the merits of the lease dispute to cure the defect and retain the tenancy. A *Yellowstone* injunction is not essential to protect property rights in a commercial tenancy which are governed by the terms of the lease negotiated by the parties. Plaintiffs' inability to obtain *Yellowstone* relief did not prevent them from raising defenses in summary proceedings if commenced and thus vindicating their rights under the leases if defendant owner's allegations of default were baseless. If plaintiffs believed defendant was not performing its respective obligations under the leases, they could bring an action in Supreme Court for breach of contract and request specific performance. While *Yellowstone* injunctions are useful procedural tools for tenants seeking to litigate notices of default, there is no strong societal interest in the ability of commercial entities to seek such a remedy that would justify voiding an unambiguous declaratory judgment waiver negotiated at arm's length, merely because that incidentally precluded access to *Yellowstone* relief. *159 MP Corp. v Redbridge Bedford, LLC*, 33 NY3d 353.

LEASE.

2. Waiver in Commercial Lease of Right to Commence Declaratory Judgment Action.—The waiver clause in the parties' leases whereby plaintiff commercial tenants unambiguously agreed to waive the right to commence a declaratory judgment action as to the terms of their leases was not void as against public policy and was enforceable. The declaratory judgment waiver was clear and unambiguous, was adopted by sophisticated parties negotiating at arm's length, and did not violate the type of public policy interest that would outweigh the strong public policy in favor of freedom of contract. There is nothing in contemporary statutory,

LANDLORD AND TENANT—Cont'd

constitutional, or decisional law indicating that the interest in access to declaratory judgment actions, or more generally, to a full suite of litigation options without limitation, is so weighty and fundamental that it cannot be waived by sophisticated, counseled parties in a commercial lease. While access to declaratory relief benefits the parties as well as society in quieting disputes, a declaratory judgment is merely one form of relief available to litigants in enforcing a contract. Critically, the waiver clause at issue here did not preclude access to the courts but left available other judicial avenues through which plaintiffs might adjudicate their rights under the leases. Moreover, arbitration clauses, which are routinely enforced, provide no access to court for initial litigation of the merits and limited judicial review and are more restrictive than the declaratory judgment waiver here, which permitted judicial resolution of the parties' dispute in a RPAPL article 7 proceeding with full appellate review. *159 MP Corp. v Redbridge Bedford, LLC*, 33 NY3d 353.

LIBEL AND SLANDER.

See, also, Newspapers, and other specific titles

LICENSES.

See, also, Brokers; Drugs and Pharmacists; Intoxicating Liquors; Motor Vehicles; Physicians and Surgeons, and other specific titles

LIMITATION OF ACTIONS.

Commencement of Action after Termination of Prior Action.

1. CPLR 205 (a) applies to a residential mortgage-backed securities (RMBS) trustee's second action when its timely first action is dismissed for failure to comply with a contractual condition precedent. If a timely brought action has been terminated for any reason other than one specified in CPLR 205 (a), the plaintiff may commence another action based on the same transaction or occurrence within six months of the dismissal of the first action, even if the second action would be subject to a statute of limitations defense, so long as the second action would have been timely if commenced when the first action was brought. The statute applies in instances where an action has been terminated for some fatal flaw unrelated to the merits of the underlying claim and is to be liberally construed. Since RMBS notice and sole remedy provisions are not substantive elements of the cause of action, but rather are procedural prerequisites, they are not related to the merits of a claim based on alleged violations of representations and warranties and they do not affect when the statute of limitations commences because the limitations clock begins to run when the contract is executed. Here, plaintiff, the trustee of an RMBS trust, commenced an action against defendant, the original purchaser of the loans who was contractually required to cure a breach or repurchase a loan in the event that the loan originator was unable, within six years of the execution of the pooling and servicing agreement (PSA) and the reconstitution agreement containing the representations and warranties. Plaintiff's cause of action was timely as it accrued upon execution of the PSA, i.e., when defendant agreed to act as a backstop to the loan originator's obligations. Because plaintiff's failure to comply with the contractual notice and cure or repurchase condition within the limitations period did not foreclose its refiling of its action under CPLR 205 (a), its claims were properly dismissed without prejudice. *U.S. Bank N.A. v DLJ Mtge. Capital, Inc.*, 33 NY3d 72.

LITTORAL RIGHTS.

See Environmental Conservation; Navigable Waters; Waters and Watercourses, and other specific titles

MANDAMUS.

See Proceeding against Body or Officer

MASTER AND SERVANT.

See Employment Relationships

MEDICAL REPORTS.

See DISCLOSURE

MOTELS.

See INNKEEPERS

MOTOR VEHICLES.

CHEMICAL TESTS.

1. Refusal — Revocation of Operator's License.—Respondent New York State Department of Motor Vehicles' determination revoking petitioner's driver's license for refusing to submit to a chemical test in violation of Vehicle and Traffic Law § 1194 was supported by substantial evidence. At the administrative hearing, the arresting police officer's testimony, articulating credible facts to support a reasonable belief that petitioner violated Vehicle and Traffic Law § 1128 (a) (failure to remain in lane), established that he had probable cause to stop petitioner's vehicle. The officer pulled over the vehicle after observing it make an erratic movement, leaving the paved roadway and then returning to its original lane of travel. During the stop, he noticed that petitioner smelled of alcohol and exhibited signs of inebriation. After failing field sobriety tests and a preliminary breath test given at the scene, at the precinct, petitioner refused to take a chemical test despite receiving appropriate warnings. *Matter of Schoonmaker v New York State Dept. of Motor Vehs.*, 33 NY3d 926.

OPERATING VEHICLE WHILE UNDER INFLUENCE OF ALCOHOL OR DRUGS.

2. Sufficiency of Accusatory Instrument.—The order of the Appellate Term reversing a trial court judgment which had convicted defendant of common-law driving while intoxicated and resisting arrest was reversed and the case remitted to the Appellate Term for consideration of the facts and issues raised, but not determined, on the appeal to that Court. The factual allegations in the accusatory instrument were sufficient to support the inference that defendant was the operator of the vehicle involved in the accident and, thus, Appellate Term erroneously dismissed the accusatory instrument on that ground. *People v Esposito*, 33 NY3d 1016.

MUNICIPAL CORPORATIONS.

See, also, BRIDGES; CIVIL SERVICE; COUNTIES; ELECTIONS; EMINENT DOMAIN; ENVIRONMENTAL CONSERVATION; HIGHWAYS; LICENSES; NEGLIGENCE; PROCEEDING AGAINST BODY OR OFFICER; PUBLIC HOUSING; PUBLIC UTILITIES; SCHOOLS; TAXATION; WORKERS' COMPENSATION, and other specific titles

LANDMARKS.

1. Authority to Regulate Interior Landmarks — Mechanical Clocktower.—A determination of the New York City Landmarks Preservation Commission (LPC) to issue a certificate of appropriateness (COA) with respect to a proposal to redevelop a historic building in Lower Manhattan, which building and parts of its interior had previously been designated as landmarks, into private residences and to convert the landmark clocktower from mechanical to electric operation and limit public access thereto constituted a rational exercise of LPC's discretion based on its unique expertise. Under the Landmarks Preservation Law, the LPC has broad discretion to designate landmarks for the purpose of furthering the protection, enhancement, perpetuation and use thereof, as well as strengthening the economy of the City (Administrative Code of City of NY §§ 25-301 [b]; 25-303 [a]). If an application seeks to alter or demolish a landmark, the LPC must determine whether the proposed work would be appropriate for and consistent with the purposes of the Landmarks Preservation Law (§ 25-307 [a]). Here, the LPC made its determination and findings following an extensive deliberative process, including multiple public hearings (§ 25-313 [b]). The COA described the approved proposal, including as it related to the clocktower and mechanism, and found that the main lobby, stair hall, clocktower rooms and banking hall would be fully restored and the clock

MUNICIPAL CORPORATIONS—Cont'd

mechanism and faces retained. While the definition of "interior landmark" states that it is "customarily open or accessible to the public" (§ 25-302 [m]), public access is a threshold condition, not an ongoing one. The COA process presumes change, sometimes drastic change. *Matter of Save America's Clocks, Inc. v City of New York*, 33 NY3d 198.

SIDEWALKS.

2. Prior Notice of Defective Condition — Stairway Connecting Public Road to Municipal Parking Lot.—In a personal injury action arising from plaintiff's fall while descending an exterior stairway that connected a public road to a municipal parking lot, the courts below correctly held that the stairway at issue functionally fulfilled the same purpose as a standard sidewalk, and therefore plaintiff was required to show that defendant village received prior written notice of the allegedly defective condition under the village code, which required prior written notice as a prerequisite to an action for personal injury sustained as a result of a defect in "any street, highway, bridge, culvert, sidewalk or crosswalk" (*see also* Village Law § 6-628). Since defendant established that plaintiff failed to plead or prove prior written notice, and plaintiff did not raise a triable issue of fact in opposition, summary judgment was properly awarded to defendant. *Hinton v Village of Pulaski*, 33 NY3d 931.

NEGLIGENCE.

See, also, ANIMALS; AVIATION; CARRIERS; DEATH; DRUGS AND PHARMACISTS; EMPLOYMENT RELATIONSHIPS; HOSPITALS; INDEMNITY; INSURANCE; LABOR; LANDLORD AND TENANT; MOTOR VEHICLES; MUNICIPAL CORPORATIONS; PHYSICIANS AND SURGEONS; PUBLIC AUTHORITIES; PUBLIC UTILITIES; SCHOOLS; STATE, and other specific titles

NEGOTIABLE INSTRUMENTS.

See BILLS, NOTES AND CHECKS

NEWSPAPERS.

See, also, LIBEL AND SLANDER, and other specific titles

OPTICIANS.

See LICENSES; PHYSICIANS AND SURGEONS

OPTOMETRISTS.

See LICENSES; PHYSICIANS AND SURGEONS

PARENT, CHILD AND FAMILY.

See, also, ADOPTION; CHILDREN BORN OUT OF WEDLOCK; COURTS (FAMILY COURT); HUSBAND AND WIFE AND OTHER DOMESTIC RELATIONSHIPS; INFANTS; SCHOOLS; SOCIAL SERVICES, and other specific titles

PARTIES.

STANDING.

1. Organizational Standing — Mental Hygiene Legal Service — Proceeding to Compel Psychiatric Center to Provide Patient Records Prior to Retention Hearings.—Petitioner Mental Hygiene Legal Service did not have organizational standing to initiate a proceeding in its own name seeking a writ of mandamus to compel respondent psychiatric hospital to provide copies of a patient's entire clinical chart when it provides notice of a request for an admission or retention hearing, even if petitioner is viewed as an "organization" with "members." To the extent petitioner, a government entity that performs legal services, could be said to have "members" they would not be its clients. Petitioner did not demonstrate that it had been harmed—not just its clients—by respondent's alleged interference with rights and interests protected under the statute, which requires a facility to provide notice of a hearing request with "a record of the patient" to petitioner (Mental Hygiene Law

PARTIES—Cont'd

§ 9.31 [b]). The statutory scheme already provides a vehicle for adjudication of the rights of injured clients. Every patient subject to Mental Hygiene Law § 9.31 (b) is represented by counsel—petitioner—who has ample opportunity within an existing legal proceeding to object on the patient's behalf to any alleged violation of the statute. To the extent petitioner argues that its clients are unable to pursue their rights as a result of their illnesses, the legislature created petitioner and made its services available to all patients in mental health facilities to ensure that the constitutional and statutory interests of each individual would be protected. If a hospital violates notice or disclosure obligations, the court can fashion an appropriate remedy. Petitioner need not sue in its own name to enforce its clients' procedural rights, which can be protected in the ordinary course by traditional legal advocacy. *Matter of Mental Hygiene Legal Serv. v Daniels*, 33 NY3d 44.

2. Proceeding Brought by Mental Hygiene Legal Service to Compel Psychiatric Center to Provide Patient Records Prior to Retention Hearings — Injury-in-Fact.—Petitioner Mental Hygiene Legal Service did not have standing to initiate a proceeding in its own name seeking a writ of mandamus to compel respondent psychiatric hospital to provide copies of a patient's entire clinical chart when it provides notice of a request for an admission or retention hearing. Petitioner failed to allege—much less establish—that it had suffered an injury-in-fact within the protected zone of interests as a result of the asserted violation of Mental Hygiene Law § 9.31 (b), which requires a facility to provide notice of a hearing request with "a record of the patient" to petitioner. Petitioner did not show with any particularity that it suffered an actual harm to its own interests as opposed to those of the patients it serves. Rather, petitioner couched its interest in the dispute exclusively in terms of the needs and rights of its clients, noting that a complete copy of the clinical chart must accompany the Mental Hygiene Law § 9.31 notice because it "is necessary to protect the [client's] due process rights" and clients must receive adequate "notice of the evidence being used against them." There was no allegation relating to the number of hours that petitioner's employees would need to expend to copy records or the non-reimbursable expense, if any, that would be incurred if they were not supplied by respondent hospital. As respondent had never before provided copies of a patient's clinical file as part of the section 9.31 (b) notice, petitioner was well-positioned to describe the burden, if any, imposed on the agency and its attorneys as a result of respondent's long-standing practice, but it failed to do so. *Matter of Mental Hygiene Legal Serv. v Daniels*, 33 NY3d 44.

PATERNITY PROCEEDINGS.

See Children Born out of Wedlock

PHYSICAL EXAMINATIONS.

See Disclosure

PLEADING.

Amendment.

1. Relation Back Doctrine.—An untimely filed consolidated complaint by plaintiff, the trustee of three residential mortgage-backed securities trusts, alleging that defendant violated representations and warranties regarding the quality of loans contained in the securitization trust instruments, could not relate back under CPLR 203 (f) to a certificate holder's timely filed actions. CPLR 203 (f) applies only in those cases where a valid preexisting action has been filed. Here, the three trusts were each governed by a separate pooling and servicing agreement (PSA) that included a no action clause and mandatory remedial provisions requiring any party that discovered a breach to promptly notify the other relevant party and allow defendant to remedy the defect. While the certificate holder filed timely separate summonses and notice for each trust within six years of the execution of the PSAs, the lower courts concluded that under the no action clause the certificate holder could not bring the action on behalf of itself, any other certificate holder, or the trustee. Thus, there was no valid preexisting action to which a claim

PLEADING—Cont'd

in a subsequent amended pleading could relate back. *U.S. Bank N.A. v DLJ Mtge. Capital, Inc.*, 33 NY3d 84.

PODIATRISTS.

See Licenses; Physicians and Surgeons

POLITICAL PARTIES.

See Elections

PRINCIPAL AND AGENT.

See, also, Brokers; Insurance, and other specific titles

PRODUCTS LIABILITY.

Defectively Designed Product.

1. Absence of Optional Safety Feature — Product Sold to Rental Company — Liability of Manufacturer and Seller.—The exception to the general rule of strict products liability for design defects set forth in *Scarangella v Thomas Built Buses* (93 NY2d 655 [1999]), where the manufacturer offers a product with an optional safety device and the purchaser chooses not to obtain it, is not categorically unavailable when the allegedly defective product came into the injured end user's hands through the rental market, rather than by a purchase transaction. Under *Scarangella*, a product is not defective—and a manufacturer or seller is not strictly liable for a design defect based upon a claim that optional safety equipment should have been a standard feature—when the buyer is thoroughly knowledgeable regarding the product and its use and is actually aware that the safety feature is available; there exist normal circumstances of use in which the product is not unreasonably dangerous without the optional equipment; and the buyer is in a position, given the range of uses of the product, to balance the benefits and the risks of not having the safety device in the specifically contemplated circumstances of the buyer's use of the product. Here, in an action alleging that the loader plaintiff's decedent had rented was defectively designed because it did not incorporate an optional door kit, the buyer's status as a retail rental company did not establish, as a matter of law, that it was not in a position to engage in the balancing analysis contemplated by the third prong of *Scarangella*. Nor was the *Scarangella* exception categorically unavailable to defendant manufacturer because the person making the purchasing decision on the rental company's behalf was not at risk of personal harm through use of the loader without the optional safety device, as there is no "risk of personal harm" requirement. By charging the jury that it should consider whether the loader was safe without the door kit for use "in the rental market"—rather than safe for its intended and reasonably foreseeable uses—the trial court put its imprimatur on plaintiff's expert's rental market theory. As the charge impermissibly expanded the universe of circumstances where the jury could have found the product to be defective, a new trial as to defendant manufacturer's liability was required. *Fasolas v Bobcat of N.Y., Inc.*, 33 NY3d 421.

Exposure to Toxic Substances.

2. Failure to Warn — What Constitutes Product — Industrial Coke Ovens.—Defendant, the successor in interest to a company that designed, constructed, maintained and repaired the industrial coke ovens that were in the steel plant where plaintiff's decedent worked and was exposed to coke emissions that allegedly contributed to his fatal lung cancer, failed to meet its burden on its summary judgment motion to show that the ovens were not "products" as a matter of law to which strict products liability can attach under a failure-to-warn theory. Because many products in the context of industrial machines can create circumstances where the danger from use is likely to be disastrous, the focus is on the potential dangers rather than the product's physical characteristics. Here, regardless of alterations decedent's employer may have made to the scale and specifications of the coke oven battery at large, the ovens themselves served one function: the pro-

PRODUCTS LIABILITY—Cont'd

duction of coke. The process was standard across all variations of ovens that defendant's predecessor sold, placing the hazardous thing at issue within the category of products to which liability has attached. Defendant's predecessor exerted full control over the manner in which the ovens were built, furnished necessary materials in their production, placed them into the stream of commerce, marketed them with brochures, and derived a financial benefit from its role in the process. Thus, it was in the best position to assess the safety of the ovens based on its superior knowledge of their intended functionality. That the ovens were built into the large structures that made up the oven battery did not take them out of the products liability context, as items beyond tangible personal property distributed commercially for use are products when the context of their distribution and use is sufficiently analogous to the distribution and use of tangible personal property. Moreover, while strict products liability does not apply to a transaction for services, where a good is sold in the course of a transaction, the mere presence of a service component, here the installation of the ovens, does not mean that the item is not a product to which a duty to warn may apply. *Matter of Eighth Jud. Dist. Asbestos Litig.*, 33 NY3d 488.

PROHIBITION.

See Proceeding against Body or Officer

PSYCHIATRISTS.

See Licenses; Physicians and Surgeons

PUBLIC OFFICERS.

See, also, Attorney General; Civil Rights; Civil Service; District and Prosecuting Attorneys; Elections; Governor; Judges; Municipal Corporations; Proceeding against Body or Officer; Schools; Sheriffs and Constables; State, and other specific titles

PUBLIC UTILITIES.

Public Service Commission.

1. Authority to Require Energy Service Companies to Comply with Price Cap — Utilities' Transportation of Energy Service Companies' Gas and Electricity.—Respondent Public Service Commission (PSC), under its authority to regulate utilities' transportation of energy service companies' (ESCOs) gas and electricity, may condition access to utility infrastructure upon ESCOs' compliance with a price cap on gas or electricity. Under Public Service Law § 5 (1) (b), the PSC's "jurisdiction, supervision, powers and duties" extend to "the manufacture, conveying, transportation, sale or distribution of gas . . . and electricity for light, heat or power," as well as "to gas plants and to electric plants and to the persons or corporations owning, leasing or operating the same." The PSC is not charged solely with monitoring abuses of monopoly power by "electric corporations" and "gas corporations," but also has the additional duty of preventing extortionate competition and oppressive or discriminating charges. In giving the PSC discretionary power to require gas corporations to transport energy sold by ESCOs "upon such terms and subject to such conditions as the [PSC] considers just and reasonable," Public Service Law § 66-d (2) directs the PSC to determine the terms and conditions under which utilities will be required to transport ESCOs' gas through their delivery infrastructure. Nothing in the language of the relevant statutory provisions limits the PSC's consideration of what is just and reasonable to ensuring only that utilities receive a fair price for transporting ESCOs' energy. *Matter of National Energy Marketers Assn. v New York State Pub. Serv. Commn.*, 33 NY3d 336.

Rate Making.

2. Gas Corporation or Electric Corporation.—Petitioner energy service companies (ESCOs) did not fall within the definitions of "gas corporations" and "electric

PUBLIC UTILITIES—Cont'd

corporations" under Public Service Law § 2 (11) and (13) such that they were subject to respondent Public Service Commission's (PSC) direct rate-making authority under Public Service Law article 4. By definition, gas and electric companies are entities or persons who own, operate or manage a "gas plant" or "electric plant," which are defined as encompassing "all real estate, fixtures and personal property" used for, among other things, the sale of gas and electricity (*see* § 2 [10], [12]). Here, the PSC's interpretation, concluding that ESCOs fall within the relevant definitions because they use personal property in the sale of gas and electricity, contradicted the plain language of the statute, which requires the use of real estate, fixtures and personal property, not just personal property. Moreover, if the definitions of gas and electric corporations in section 2 covered ESCOs, it would have been meaningless for the legislature to enact Public Service Law § 53, which provides that "a reference to a gas corporation, an electric corporation, a utility company, or a utility corporation shall include, but is not limited to, any entity that, in any manner, sells or facilitates the sale or furnishing of gas or electricity to residential customers." *Matter of National Energy Marketers Assn. v New York State Pub. Serv. Commn.*, 33 NY3d 336.

RAILROADS.

See, also, CARRIERS

REAL ESTATE BROKERS.

See BROKERS

REAL PROPERTY.

See ADVERSE POSSESSION; BOUNDARIES; BROKERS; COVENANTS; DEEDS; EASEMENTS; EMINENT DOMAIN; ENVIRONMENTAL CONSERVATION; LANDLORD AND TENANT; LIENS; MORTGAGES; MUNICIPAL CORPORATIONS (ZONING); PARTITION; RECORDS; STATE; TAXATION; VENDOR AND PURCHASER, and other specific titles

RELEASE.

SCOPE OF RELEASE.

1. Release by Seaman of Claims Related to Asbestos Exposure — Burden to Prove Validity of Release in Mesothelioma Action.—In an action arising from plaintiff's decedent's contraction of mesothelioma, defendant, the successor by merger to the company that owned ships upon which decedent was exposed to asbestos while working as a merchant marine, had the burden to prove that a release signed by decedent upon settlement with defendant's predecessor of maritime asbestos claims by him and other plaintiffs was valid. A seaman in admiralty who attacks a release executed by him or her in favor of a shipowner has no burden to show the invalidity of the release. Instead, the burden is on the entity who sets up a seaman's release to show that it was executed freely, without deception or coercion, and that it was made by the seaman with full understanding of his or her rights. *Matter of New York City Asbestos Litig.*, 33 NY3d 20.

RES JUDICATA.

See JUDGMENTS

RESCISSION.

See CONTRACTS; FRAUD; INSURANCE; SALES; VENDOR AND PURCHASER, and other specific titles

RESIDENCE.

See DOMICILE

RETIREMENT AND PENSION BENEFITS.

See CIVIL SERVICE; EMPLOYMENT RELATIONSHIPS; LABOR UNIONS; SCHOOLS, and other specific titles

RIPARIAN RIGHTS.

See Environmental Conservation; Navigable Waters; Waters and Watercourses, and other specific titles

SALES.

See, also, Contracts; Damages; Frauds, Statute of; Specific Performance; Vendor and Purchaser, and other specific titles

SCHOOLS.

See, also, Civil Service; Colleges and Universities, and other specific titles

SEAMEN.

Jones Act.

1. Release of Claims Related to Asbestos Exposure — Effectiveness of Release to Extinguish Future Mesothelioma Claim.—In an action seeking damages for plaintiff's decedent's contraction of mesothelioma, defendant, the successor to the company that owned ships upon which decedent was exposed to asbestos while working as a merchant marine, did not meet its burden to show that a release, signed by decedent upon settlement with the predecessor of maritime asbestos claims by him and other plaintiffs, entitled it to summary judgment. A release constituting a compromise enabling the parties to settle their dispute without litigation is not prohibited under the Federal Employers' Liability Act and the Jones Act (45 USC § 55; 46 USC § 30104). However, a merchant marine is entitled to heightened protections of the admiralty law, placing the burden on the entity who set up the release to show that it was executed freely, without deception or coercion, and that it was made by the seaman with full understanding of his or her rights, adequate consideration, and the benefit of medical and legal advice. Here, defendant failed to show that the release unambiguously extinguished a future claim for mesothelioma, a term the release did not even mention. At the time of execution, decedent only suffered from a nonmalignant asbestos-related pulmonary disease. Inasmuch as the complaint in the action resulting in the release mentioned mesothelioma among a list of diseases followed by language indicating that plaintiff suffered from such diseases "either singularly or in combination," defendant's predecessor knew that asbestos exposure could cause mesothelioma, but omitted it from the release. Moreover, while the release recited that decedent knew he was relinquishing his rights, the record did not establish his full understanding of what he was extinguishing or that he had any communications with counsel about the settlement. The record was also ambiguous about the adequacy of the consideration and silent as to the medical advice decedent received prior to signing. *Matter of New York City Asbestos Litig.*, 33 NY3d 20.

SEPARATION.

See Husband and Wife and Other Domestic Relationships

SLANDER.

See Libel and Slander

SPECIFIC PERFORMANCE.

Contract for Sale of Real Property.

1. Option to Demand Reconveyance of Portion of Land.—Plaintiff, which entered into an option agreement as part of the sale of a parcel of land to defendant's predecessor-in-title, giving plaintiff the option to demand reconveyance of a portion of the land in consideration for a reduction in the purchase price and payment of a portion of the property taxes for the duration of the agreement, was entitled to specific performance to the extent of delivery of the signed deed because it had fully complied with the agreement's pre-conveyance terms. Plaintiff fulfilled the only precondition in the agreement to the parcel's reconveyance when it made a timely written demand within the 10-year option period, which was the only

SPECIFIC PERFORMANCE—Cont'd

requirement expressly set forth in the agreement that it had to meet to trigger defendant's obligation to execute and deliver the deed. The agreement did not condition reconveyance on plaintiff securing subdivision approval in accordance with local law, and failure to obtain such approval did not render title to the parcel unmarketable. *Tomhannock, LLC v Roustabout Resources, LLC*, 33 NY3d 1080.

SPORTING EVENTS.

See Theatres and Shows

STATUTE OF FRAUDS.

See Contracts; Frauds, Statute of

STATUTE OF LIMITATIONS.

See Limitation of Actions

SUBPOENA.

See Witnesses

SUMMONS.

See Process

SYNAGOGUES.

See Religious Corporations and Associations

TAXATION.

Assessment.

1. Challenge to Condominium Complex Tax Assessment — Authority of Board of Managers to Proceed on Behalf of Unit Owners.—Real Property Law § 339-y (4), which provides that the board of managers of a condominium complex "may act as an agent of each unit owner who has given . . . written authorization to seek administrative and judicial review of [a real property tax] assessment," allows a standing authorization issued by the unit owner to confer authority upon a board to act on behalf of that owner for the tax year in which that authorization was issued and in all subsequent tax years, unless the authorization is cancelled or retracted. The statute created a condition precedent to a board of managers acting on behalf of an individual unit owner, and thus unit owners are required to give authorization for each tax year for which the assessment is challenged. Tax statutes relating to review of assessments are remedial and should be liberally construed and any ambiguity therein should be resolved in favor of the taxpayer. Nothing in section 339-y (4) prohibits a standing authorization or otherwise renders lasting permission defective, regardless of whether the singular "assessment" in the statute refers to one assessment that remains effective until changed by a town assessor or to an assessment effective for one tax year. A new grievance is required for each year. However, absent any written authorization, no agency relationship exists and proceedings cannot be brought on behalf of unit owners who do not authorize the board to act accordingly. Thus, here, the unit owners who provided petitioner condominium board a "standing" agency authorization were entitled to a refund if petitioner prevailed at trial for each tax year disputed, beginning with the tax year in which the owner's written authorization was signed, and regardless of whether the owner signed an authorization each year. *Matter of Eastbrooke Condominium v Ainsworth*, 33 NY3d 139.

2. Standing to Maintain Tax Certiorari Proceeding.—Petitioner restaurant operator, which was the sole occupant of the real property and paid the entirety of the real property taxes directly to the taxing authority for the tax years in question but was not the owner of the real property or legally bound to pay the taxes or authorized to pursue the proceedings it brought challenging the tax assessments, was not an "aggrieved party" within the meaning of RPTL article 7. In the absence

WORKERS' COMPENSATION.

Injuries Arising out of and in Course of Employment.

1. The Appellate Division properly concluded that on the record, substantial evidence supported the Workers' Compensation Board's determination that claimant's injury was not compensable. *Matter of Grover v State Ins. Fund*, 33 NY3d 971.

TABLE OF STATUTES AND RULES CONSTRUED

UNITED STATES CODE—Continued

46 USC § 30104 (Jones Act; personal injury to or death of seaman). *Matter of New York City Asbestos Litig.,* 33 NY3d 20.

UNITED STATES CONSTITUTION.

4th Amend (Unreasonable searches and seizures prohibited). *People v Diaz,* 33 NY3d 92.

6th Amend (Jury trials for crimes; right to confront witnesses). *People v Tapia,* 33 NY3d 257.

NEW YORK REPORTS

CUMULATIVE ERRATA TABLE

1. **19 NY2d 159** (Thrasher v United States Liab. Ins. Co.)	At 19 NY2d 168, line 4 from the bottom of the page, change insurer's to insured's.
2. **33 NY2d 846** (Petrie v Chase Manhattan Bank)	Change defendant's name in title from James A. Pertie, Jr. to James A. Petrie, Jr.
3. **35 NY2d 179** (Matter of Lutfy v Gangemi)	Change plaintiff's name in title from Edward R. Lufty to Edward R. Lutfy.
4. **45 NY2d 233** (Simonds v Simonds)	At 45 NY2d 241, line 3 of last full paragraph, change contructive to constructive.
5. **53 NY2d 499** (Weinberg v D-M Rest. Corp.)	At 53 NY2d 500, line 35, change running line citation from 73 AD2d 1067 to 73 AD2d 1066.
6. **54 NY2d 137** (People v Baldi)	At 54 NY2d 147, lines 3 and 4, change meaninful to meaningful.
7. **64 NY2d 966** (Slatt v Slatt)	At 64 NY2d 967, line 15, change *Marlee Sales Corp. v Manufacturers Trust Co.* to *Morlee Sales Corp. v Manufacturers Trust Co.*
8. **66 NY2d 667** (Matter of Lewis Tree Serv. v Fire Dept. of City of N.Y.)	At 66 NY2d 669, line 15, change citation from 66 NY2d 718 to 66 NY2d 713.
9. **69 NY2d 601** (Matter of Rose Assoc. v State Div. of Hous. & Community Renewal, Off. of Rent Admin.)	Add the word denied in the result column of the motion for leave to appeal table.

10.	**75 NY2d 927** (Matter of David T.)	At 75 NY2d 929, line 20, change effect to defect.
11.	**77 NY2d 806** (Dowd v Ahr)	Change denied to granted in the result column of the motion for leave to appeal table.
12.	**80 NY2d 1030** (People v Sallito)	Change the title entry from Salito to Sallito.
13.	**85 NY2d 139** (British Land [Maryland] v Tax Appeals Trib. of State of N.Y.)	At 85 NY2d 146, second paragraph, line 13, change lead to led.
14.	**88 NY2d 41** (Town of Orangetown v Magee)	At 88 NY2d 41, change running line citation from as amended 218 AD2d 343 to as amended 218 AD2d 733.
15.	**88 NY2d 400** (People v Huston)	At 88 NY2d 402, line 1, change citation from CPL 210.20 [c] to CPL 210.20 [1] [c].
16.	**90 NY2d 717** (Panepinto v New York Life Ins. Co.)	At 90 NY2d 720, line 1, change date of October 28, 1996 to October 28, 1986 and at 90 NY2d 720, line 5, change date of October 28, 1996 to October 28, 1986.
17.	**93 NY2d 382** (BDO Seidman v Hirshberg)	At 93 NY2d 391, line 25, change former employer to former employee.
18.	**97 NY2d 709**	In Criminal Leave Table, first 13 entries on this page (from *People v Santos* through and including *People v Stallone*), change the year within the decision date from "/01" to "/02."
19.	**100 NY2d 960** (Vernon v Vernon)	At 100 NY2d 967, line 7 of second paragraph, change degree to decree.

20.	**1 NY3d 174** (People v Taylor)	At 1 NY3d 177, line 10 of first full paragraph, change (People v Ryan, 93 NY2d at 823-824) to (People v Ryan, 90 NY2d at 823-824), and on line 13 of same paragraph, change (People v Tonge, 90 NY2d at 840) to (People v Tonge, 93 NY2d at 840).
21.	**1 NY3d 541** (People v Sanchez)	In Criminal Leave Table, middle column, change App Div, 1st Dept, 5/22/03 (NY) to 2d Dept: 306 AD2d 296 (Kings).
22.	**4 NY3d 739** (Matter of Peter R. [Stacey R.])	Change the reported below citation from 8 AD3d 567 to 8 AD3d 576.
23.	**4 NY3d 857** (People v Smith [DeJesus])	Change the reported below citation from 15 AD3d 1016 (NY) to 15 AD3d 1015 (NY).
24.	**5 NY3d 864** (Matter of Kadeem W.)	At end of first paragraph on page 865, insert the following: (2) vacated the fact-finding order, and (3) dismissed the petition.
25.	**6 NY3d 427** (People v Boyer)	At 6 NY3d 432, line 31, change 79 NY2d at 922 to 74 NY2d at 922.
26.	**7 NY3d 703** (Matter of Park v Kapica)	Change the page number of the reported below citation from 802 to 801.
27.	**8 NY3d 944** (People v Charriez)	In Criminal Leave Table, middle column, change 2007 NY Slip Op 81340(U) to 2006 NY Slip Op 81340(U).
28.	**9 NY3d 923** (People v Jacobs)	In Criminal Leave Table, middle column, change 37 AD3d 866 to 37 AD3d 868.
29.	**11 NY3d 875** (People v Ford)	On line 5 of the Summary, change Bronx County to New York County.

30.	**13 NY3d 511** (Matter of Goldstein v New York Urban Dev. Corp.)	At 13 NY3d 534, lines 13 and 14 from the bottom of the page, change deposition to [disposition].
31.	**18 NY3d 667** (People v Rodriguez)	At 18 NY3d 671, second line from bottom of the page, change CPL 410.30 to CPL 430.10.
32.	**19 NY3d 1058** (Matter of 677 New Loudon Corp. v State of N.Y. Tax Appeals Trib.)	At 19 NY3d 1058, line 4 of the headnote, and at page 1159, third paragraph, line 4 of the Memorandum, change 10% to 10¢.
33.	**21 NY3d 1043** (People v Mackey-Meggs)	Change defendant's name in title from Mackey-Meggs to Marquan M.
34.	**22 NY3d 648** (Union Sq. Park Community Coalition, Inc. v New York City Dept. of Parks & Recreation)	At 22 NY3d 654, eighth line of third paragraph, change 22,000 acres to 22,000 square feet.
35.	**23 NY3d 455** (People v Golb)	At 23 NY3d 461, in second full paragraph the email address ‘‘newsmedia.ucla.edu’’ should read ‘‘<u>newsmedia@ucla.edu</u>’’ At 23 NY3d 461, in third full paragraph the email address ‘‘steve.goransongmail.com’’ should read ‘‘<u>steve.goranson@gmail.com</u>’’ At 23 NY3d 462, in the first paragraph the email address ‘‘frank.cross2gmail.com’’ should read ‘‘<u>frank.cross2@gmail.com</u>’’ At 23 NY3d 462, in the second full paragraph the email address ‘‘larry.schiffmangmail.com’’ should read ‘‘<u>larry.schiffman@gmail.com</u>’’ At 23 NY3d 463, in the second full paragraph the email address ‘‘seidel.jonathangmail.com’’ should read ‘‘<u>seidel.jonathan@gmail.com</u>’’
36.	**23 NY3d 665** (Norex Petroleum Ltd. v Blavatnik)	At 23 NY3d 668, footnote 3, last sentence on page should read . . . For purposes of discussion in this opinion, we simply assume that, within the meaning of section 205 (a), Norex's federal action was not

		terminated on the merits, and Norex's state court action alleges claims "upon the same transaction or occurrence" as its federal predecessor . . . .
37.	**24 NY3d 294** (People v Silva)	At 24 NY3d 296, change attorney's name for appellant in the second above-entitled action from Steven R. Bernard to Steven R. Bernhard.
38.	**25 NY3d 906** (Richard H. v State of New York)	Change 1324 to 1306 in the middle column of the motion for leave to appeal table.
39.	**26 NY3d - 28 NY3d**	Change the spelling of "irrevelant" to "irrelevant" throughout.
40.	**26 NY3d 903** (McMillin v Grimditch)	Change the reported below citation from 130 AD3d 150 to 131 AD3d 150.
41.	**26 NY3d 903** (Town of N. Elba v Grimditch)	Change the reported below citation from 130 AD3d 150 to 131 AD3d 150.
42.	**27 NY3d 1079** (People ex rel. Monte v Mingo)	Change respondents' name in title from *Warden* to *Warden Maxsolaine Mingo*.
43.	**28 NY3d 1123** (People v Faeth)	In Criminal Leave Table, middle column, change App Div, 4th Dept: 2016 NY Slip Op 68866(U) (Wayne) to App Div, 4th Dept, 9/6/16 (Wayne).